



Routledge Handbook on International Economic Law

Edited by Valentina Vadi and David Collins

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CONTENTS

<i>List of Figures</i>	<i>ix</i>
<i>About the Editors</i>	<i>x</i>
<i>List of Contributors</i>	<i>xi</i>
<i>Foreword 1</i>	<i>xx</i>
<i>Foreword 2</i>	<i>xxii</i>
<i>Preface</i>	<i>xxvi</i>
1 Introducing International Economic Law <i>Valentina Vadi and David Collins</i>	1
PART I	
History and Theory of International Economic Law	19
2 A Short History of International Economic Law <i>Kenneth J. Vandevelde</i>	21
3 The Place of International Economic Law in the International Legal Order <i>Valentina Vadi</i>	36
4 International Economic Law and International Peace and Security <i>Yuka Fukunaga and Tomohiko Kobayashi</i>	50

PART II	
International Trade Law	67
5 The World Trade Organization	69
<i>Maria Gabriela Sarmiento and Katia Fach Gómez</i>	
6 The WTO Dispute Settlement Reform: An Evaluation of the Latest Attempt	84
<i>Peter Van den Bossche</i>	
7 Market Access and Quantitative Restrictions	100
<i>Denise Prévost</i>	
8 Principles of Non-Discrimination in WTO Law	113
<i>Sachiko Yoshimura</i>	
9 Trade in Services	130
<i>Iveta Alexovičová</i>	
10 China's Subsidy Problem and the Limits of the SCM Agreement	145
<i>Ming Du</i>	
11 Trade Remedies in Latin America in Times of Industrial Policy	160
<i>Manuel Quindimil</i>	
12 General Exceptions in WTO Law	174
<i>Henrik Andersen</i>	
13 TRIPS and the Tradification of Intellectual Property	192
<i>Daniel J. Gervais and Peter K. Yu</i>	
14 Trade in Agriculture	207
<i>Adriana Borsellino</i>	
15 Trade and Health and Safety—TBT and SPS Rules	223
<i>Łukasz Gruszczyński and Lena Helińska</i>	
16 Trade and Environment	237
<i>Caroline E. Foster</i>	
17 Digital Trade	257
<i>David Collins</i>	

18	Regional Trade Agreements <i>Kathleen Claussen and Pasha L. Hsieh</i>	271
PART III		
	International Investment Law	283
19	The Sources of International Investment Law <i>Rahim Moloo and Martina Monti</i>	285
20	Domestic Foreign Investment Laws <i>David Collins</i>	297
21	Investor-State Dispute Settlement <i>Eric De Brabandere</i>	311
22	Fair and Equitable Treatment and Its Interactions with Other Standards of Treatment <i>Dr. Ioana Knoll-Tudor</i>	331
23	Non-Discrimination in International Investment Law <i>Prabhash Ranjan</i>	351
24	Expropriation and the Relationship between Treaties and General International Law <i>Esmé Shirlow</i>	368
25	The Right to Regulate in International Investment Law <i>Tarcisio Gazzini</i>	383
26	The International Financial Architecture and Sovereign Debt Crisis Resolution <i>Juan P. Farah Yacoub, Clemens Graf von Luckner, and Sebastian Grund</i>	402
27	Human Rights and the International Monetary Fund: The Case of Argentina <i>Miguel Attaguile, Juan Pablo Bohoslavsky, and Roberto Kozulj</i>	422
28	Taking Sustainable Development Seriously in International Economic Law <i>Marie-Claire Cordonier Segger</i>	435
29	International Economic Law and Indigenous Cultures <i>Valentina Vadi</i>	460

Contents

30 The Global South and the International Economic Legal Order: Universal Reform/Regional Enfranchisement <i>Yenkong Ngangjoh Hodu</i>	478
31 International Economic Law and Climate Change <i>Avidan Kent</i>	491
<i>Index</i>	508

FIGURES

26.1	Stylized Timeline of the Eras of Commercial Sovereign Debt	404
26.2	Creditor Restructuring Forums and Treatment	408
27.1	Estimation of the Evolution of the Value of the Poverty Line and the Minimum Vital and Mobile Wage: Values in Constant 2021 Dollars, 2003–22	432

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FOREWORD 1

The *Routledge Handbook on International Economic Law* arrives at a moment when the discipline is both mature and unsettled. The rules and institutions that govern trade, investment, and finance remain foundational to the international legal order; yet, their purposes and operating assumptions are under intense scrutiny. In assembling a panoramic guide to the field, the editors have produced a volume that takes stock of what international economic law (IEL) is, what it does, and where it may be headed.

The Handbook's architecture is straightforward and effective. Five parts map the field: history and theory; international trade law; international investment law; international financial and monetary law; and the interfaces between IEL and adjacent regimes, including environmental law and human rights. The editors' introduction situates the project historically and normatively, reminding us that the modern architecture imagined at Bretton Woods still frames global economic governance—even as the post-war consensus has fractured, and policy space, legitimacy, and distributional concerns dominate contemporary debates. Thirty commissioned chapters—written by leading scholars and rising voices from across regions—offer a clear tour of core doctrines alongside debates that will shape the next decade. The Handbook offers an entry point into a vast and complex area of international law—a reference work and a springboard for new inquiry, designed for students, practitioners, and policymakers alike.

Methodologically, the editors have opted for legal analysis enriched by history, political economy, and socio-legal perspectives, while preserving the authors' distinct voices. That choice matters. IEL cannot be reduced to efficiency claims or treaty text alone; it lives in the frictions between markets and publics, openness and resilience, liberalization and regulation. By acknowledging contested premises—about the 'Washington Consensus,' the return of industrial policy, and sovereignty costs and legitimacy—the Handbook invites readers to test arguments rather than inherit them.

Moreover, this collection does not prescribe a single pathway for reform. Instead, it equips readers with the vocabulary, evidence, and comparative perspective needed to make and evaluate choices. In a period of geo-economic tension—of supply-chain redesign, industrial subsidies, and contested jurisdictional claims—that intellectual posture is a public good. IEL will continue to evolve not only in courts and negotiating rooms but also in classrooms, ministries, boardrooms,

Foreword 1

and communities affected by its operation. A handbook that clarifies the terrain while leaving space for disagreement has particular value now.

Professor Federico Ortino, Professor of International Economic Law and Co-Director of the Centre for International Governance and International Dispute Resolution, The Dickson Poon School of Law, King's College London

FOREWORD 2

The need for a handbook on international economic law at the present time arises from the fact that the existing principles of international economic law founded on the liberalization of trade, investment, and the flow of financial assets are in the process of breaking down. To a large extent, these changes were initiated by the United States which was the hegemonic power, able to drive changes in the unipolar world it dominated. At the end of the Cold War, the United States was able to create an international economic order that reflected its preference for the twin ideologies of democracy and the free market which had shaped its prosperity and dominance. Its technologies had ensured that the world was integrated through speedy means of travel and communication. The global markets became integrated. The United States set about drawing the principles that suited its own economic interests as the basis of the international economic order it fashioned. The liberalization of the flows of trade, investment, and financial assets was the objective of the order. The flows of assets were promoted and protected by rules drawn largely on the models provided by the domestic legal system of the United States. The sanctity of contracts, the right to property, privatization of public-controlled commercial activity, respect for intellectual property, and other aspects of the neoliberal philosophy that became prominent in the United States and Europe guided the shaping of the rules of the international economic order of the rapidly globalizing world. The law that was shaped was intrusive in that the new rules of international governance of the economy applied to what were hitherto regarded as purely domestic matters. Rules were made for intellectual property protection and government procurement which were essentially domestic matters. The manner in which foreign direct investment was treated by the host state was subjected to an investment treaty system that gave rise to a superstructure of laws created through interpretation, ensuring greater protection to foreign investors than was intended. The increasing debt problems of states enabled the international financial institutions, the World Bank and the International Monetary Fund, to impose austerity measures to ensure payment of the debts and aid recovery from financial crises.

This carefully constructed edifice of international economic law crumbled as regulatory controls that had existed came to be relaxed. A succession of economic crises resulted, culminating in the so-called Global Economic Crisis of 2008 which largely affected the United States and Europe. Discontent with the effects of globalization fuelled populist politics and the emergence of autocratic leaders. The emergence of Trump as the President of the United States resulted in the

withdrawal from the liberal policies underlying the international economic order constructed in the immediate post-Cold War era. China, rapidly emerging as a rival hegemonic power, was intent on presenting alternatives to the existing political and economic world order. Though it largely took over the mantle of being the new protector of the existing liberal economic order, it was a communist state which operated largely through state-owned enterprises. Under President Xi, it has set out to provide a model of economic development which may deviate in time to come from the existing liberal order. Offered as the model that lifted several millions out of poverty within a short period of time, its features may prove attractive to developing states.

The policies of withdrawal from earlier liberal positions initiated by Trump during his first administration are continued with greater vigour during his second administration. The change of the world from a unipolar system to a multipolar one, the rise of populist leaders in the United States and Europe, the emergence of many states with considerable regional economic power, and threat perceptions felt by a weakening hegemonic power can be seen as the reasons for the change that is taking place within the international economic order. The emergence of China which seeks the establishment of an alternative political and economic order has led to the United States and its allies using trade, investment, and control of global finance as means of countering Chinese strategies. There is also the rise of a Global South which is able to act collectively to conserve its interests in the areas of trade, investment, and financial governance. The rise of populism has witnessed the weaponization of the law. At the time of these changes, common global threats have increased. Climate change bringing about a frequency of disasters presents a threat of immense proportions to human life. The frequency of wars undermines global harmony necessary for continued peace. The law has to vacillate between these different competing forces, giving rise to many uncertainties. It is in such circumstances of change where the law is in a state of flux that the need for a handbook that explains international economic law becomes greater. The changes affect international economic law in an intense manner. At this juncture, a handbook that explains the law effectively to a novice while at the same time indicating the evolving complexities precipitated by changing circumstances indicating spheres that need study and research by more advanced scholars is a dire need. It is a need that is fulfilled in a splendid manner by the *Routledge Handbook on International Economic Law*.

Handbooks seem to be a favourite venture among publishing houses. They are useful if they do contain explanations and analysis that could ease the neophyte into the discipline while at the same time providing material of benefit for advanced students as well as ideas for researchers as to new trends that the law may take, especially when diverse changes affect the course of the law. The editors of the *Routledge Handbook on International Economic Law* have selected the necessary topics to be dealt with and have brought together an excellent team of both leading experts and emerging scholars who have a mastery of the existing law and an ability to see into the future developments of the subject areas they cover. Some of the chapters have been written by well-established scholars of the discipline.

International economic law consists of three broad areas—trade, investment, and financial governance—all of which stem from the norms devised through the sources of international law to cover interstate relations in these areas. The choice of the areas is conventional as the scope of the subject is already well-defined.

The Handbook contains an exhaustive coverage of the principal aspects of international economic law. It contains a comprehensive coverage of the law in all the fields. But, the great merit of this Handbook is that it has features that make the work at the cutting edge of the discipline. They relate to the principal themes that will chart the course of the development of the law in the future.

Rather than identify individual chapters, I isolate the features and themes of the work, which make it an outstanding guide to the subject.

The first is that the approach adopted is interdisciplinary. The law is explained in the context of the related subject areas of economics, political science, international relations, and technological factors. The impact of changes on these disciplines and the manner in which the law is affected by them is a constant theme that is explored. This approach is particularly relevant at a time when the world is ceasing to be under the control of a single hegemon, the United States, and is becoming multipolar with the emergence of several centres of power, principally China. International economic law was essentially the product of a globalization that took place after the Cold War under the leadership of the United States. It was guided by the dominant philosophy in the United States, centred around the liberalization of the flows of assets and the attendant neoliberal tenets which emphasized the lowering of tariffs, flows of capital and investment, compulsory dispute settlement, privatization, stability of contracts, and the sanctity of property. Reflected in the Washington Consensus, this ideology played a dominant role in shaping the norms of international economic law. The unravelling of this system seems to be the future course of the law. There is a fragmentation that may give rise to regional systems. The use and abuse of new technologies, the concerns with issues of global concern like climate change and human rights, and the frequency of wars impact the subject in diverse ways. These trends are captured in the different chapters of this work.

A second feature is the increasing weaponization of the law. This trend indicates the erosion of the globalization that guided the law in the immediate post-Cold War period. It witnessed the growth of an institution of international economic law, the World Trade Organization, with a strong system of dispute settlement, hitherto unparalleled in international law. Similarly, one witnessed the rapid increase of bilateral and regional investment treaties, asserting a strong protection for foreign investment. International financial institutions and informal groups brought about a semblance of governance to this sphere. There is an unravelling of these trends in recent times due to the rise of populism and narrow national concerns, particularly in the United States under President Trump. The emergence of national security as a matter of concern is seen in the use of erecting tariff barriers deterring the further rise of rivals. The domestic laws that prevent the entry of foreign investments through screening devices based on national security considerations, the scuttling of the creation of a dispute settlement system that has proved to help the rivals by keeping the law neutral, and the emergence of defences based on national policy considerations undermine the rules of the liberal system. These trends are consistently captured in the various chapters in the handbook so that the reader is made aware of the nature of the changes that are taking place.

Third, a recent phenomenon that is captured in the work is that, even as globalization fragments, there is an ending of the fragmentation within international law. International economic law was developed in a manner detached from its moorings in international law. International economic law has hitherto been developed in silos. International economic law constituted a silo within which itself was further fragmentation into smaller compartments. Trade, investment, and financial governance were developed as distinct areas without indicating the interaction of each area with each other and with general principles of international law. The fragmented development of subjects within international law is ending out of necessity. The overweening importance of climate change and issues of human rights displaces the narrow interests of developing distinct areas of the law as watertight fields of their own, accentuating the interest of wealth creation over the public interest. This may have served distinct communities such as arbitrators or lawyers who specialize in narrow fields but did not benefit the humanity affected by the law. So, for example, international investment law emphasized the protection of investment to the exclusion of other concerns. Such isolationist tendencies have been effectively ended as a result of the dire need to

consider events such as climate change, sustainable development, and the protection of human rights. This extends to other rapidly developing areas of international law such as the protection of cultural property, of indigenous people, of biodiversity, and of other values developed through the recognition of *ius cogens* principles of international law. Sustainable development has become an objective of the law. The handbook makes the reader conversant with the impact of these different areas on aspects of international economic law. It thus serves the important function of integrating international economic law with its roots in public international law, itself a worthy task in the context of the need to recognize the values that shape the law and not the isolation that serves the narrower sections of the international community. The discussion in the chapters focuses upon the interaction between these laws, the extent to which domestic laws reflect them, and outcomes of such interaction. Demonstrating the interconnections within the areas of the law is a task well performed in the Handbook.

Fourth, we live in an age of rapid technological changes. The knowledge industry brings about distinct changes that will benefit mankind. At the same time, it brings problems in that it will increase income equality; leave behind those who do not have the requisite skills, and generate new problems associated with production, crime, and national security. The fact that the state could use technology to control public dissent enables autocracies to control their communities. Issues of data protection and cybersecurity arise. Fraud in e-commerce and other transactions needs to be policed. The impact of new technology on the law is highlighted.

Fifth, as the many chapters make evident, there is an obvious trend to return to the notion of primacy of the state in deciding issues relating to the international economy. Populism is a factor that required a retreat from global rules that were seen as destroying opportunities for local labour and promoting dependence on foreign goods. The increase in the number of economic crises in the Western world promoted these protectionist tendencies. Within the United States, Donald Trump was able to channel the dissent and, after being elected, introduce measures that dismantled the old economic order through new tariffs and through forestalling entry of foreign investment on national security grounds. States seek to protect themselves from liability for measures they take in reasserting regulatory and other controls. The exploration of defences like necessity and national security will consequently increase.

The claim that the interests of the Global South and the need for the economic development of the developing states are not well served by the existing principles of international law raises issues as to the legitimacy of its principles. The promise is held out that an objective of international economic law is to advance the economic development of the poor world. But, this altruistic aim has often been the cloak for the devising of principles that have worked against the interests of the poor world. This issue is raised in many chapters, and its implications are analysed.

The extent to which contemporary trends and issues are addressed in the Handbook is impressive. It raises issues which researchers can pursue more fully with an understanding of the context and interconnectedness of the problems. The Routledge Handbook is a work that will serve as an immense resource for all who have an interest in international economic law. It appears at a moment when the law hovers between its traditional bases and legitimacy crises provoked by questions as to the justice underlying its principles as well as by changes in the context in which the principles operate. It fulfils its task admirably by ensuring that a reader has a thorough understanding of the complex factors which underlie the tussles that have arisen in the subject.

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PREFACE

This *Handbook* is the outcome of a three-year journey. Passionate about international economic law and interested in exploring the multiple dilemmas it raises, we aimed to map the field analytically to enhance its understanding not just among experts and specialists in the field but also among interested scholars, practitioners, and policymakers.

This was not a solitary journey. We found in each other excellent travel buddies—our backpacks certainly contained resilience, grit, and stamina, but also good doses of kindness, solidarity, and enthusiasm. We materially started discussing the *Handbook*'s architecture on a sunny day trekking across the Florentine hills, but we developed it fully navigating through our academic commitments in Europe, Asia, and the Americas.

In our trajectory, we sought good travel companions, and we found an amazing cohort of talented, motivated, and bright people. Some are top scholars with decades of experience; others are rising stars in the field. Some are highly reputed academics; others are practitioners with experience in the heat of international adjudication. Our contributors come from Africa, the Americas, Asia, Europe, and Oceania and reflect good gender and age diversity. They all share fine expertise, commitment, and enthusiasm. It is with immense gratitude to all the wonderful people who have made this project possible that we now publish the proceedings of this intellectual journey.

This *Handbook* presents a broad, limpid, and accessible overview of international economic law. It highlights central themes that have driven the development of the field. While broad, it does not claim to be exhaustive or definitive. Rather, our ambition is that this *Handbook* may reflect the state of the art and serve as a point of departure for future studies in the field. It aims to provide a solid resource for scholars, students, policymakers, and practitioners in international law, international relations, political science, and economics. May the reader enjoy the fruits of our collective labour and forgive possible imperfections.

Valentina Vadi
David Collins
Florence and London, March 2025

INTRODUCING INTERNATIONAL ECONOMIC LAW

Valentina Vadi and David Collins

I Introduction

International economic law (IEL) is best defined as the branch of public international law that governs international economic relations. The regulation of international economic affairs has always been a central aspect of international law, and arguably international economic law has a longer history than usually assumed, as civilizations have governed various international economic exchanges throughout history.¹ While the modern history of IEL is generally traced to the 1648 Peace of Westphalia,² its contemporary history started at the end of World War II, when IEL has become a distinct field of the international legal system.

In the aftermath of WWII, states representatives met at Bretton Woods, New Hampshire, United States, motivated by the belief that a closer economic integration among states could prevent economic warfare, enhance international peace, and promote global welfare. The creation of international institutions dealing with international trade, foreign direct investment (FDI), and currency exchange was seen as instrumental to avoid protectionism and foster peaceful and prosperous relations among nations.

During the 1944 Bretton Woods negotiations, three international institutions were imagined to form the pillars of the international economic order which still largely exists today: the International Trade Organization (the ITO), the International Bank for Reconstruction and Development (the World Bank), and the International Monetary Fund (the IMF).³ The ITO was to govern both trade and investment, the IMF was to provide short-term finance to countries in balance of payment difficulties, and the World Bank was meant to provide long-term capital to assist countries damaged by war or support development. Of the three institutions, only the IMF and the World Bank were established at that time.

1 Valentina Vadi, 'International Economic Law and Its Histories' (2024) 20 Loyola University Chicago International Law Review 23–54.

2 The Treaty (or Peace) of Westphalia is the common name given to two distinct treaties: the Treaty of Münster and the Treaty of Osnabrück, both concluded on 24 October 1648.

3 See Benn Steil, *The Battle of Bretton Woods: John Maynard Keynes, Harry Dexter White, and the Making of a New World Order* (Princeton University Press 2013).

The ITO never saw the light of the day: its founding instrument was adopted in Havana in 1948, but it failed to enter into force since the United States Congress did not approve it, and other states could not establish an international trade system without the largest economy in the world.⁴ Instead, the parties signed the much less ambitious but perhaps more pragmatic General Agreement on Tariffs and Trade (GATT 1947).⁵ The GATT was not an international organization nor did it have an international personality. Rather, it was a multilateral treaty with an agile structure. Although the GATT was meant to have a provisional application, over time, it became extremely successful, probably because of its practical and diplomatic nature. It gradually developed some institutional and dispute settlement features as well as coverage of other areas including trade in services. After almost five decades, an agreement was reached to establish the World Trade Organization (WTO).⁶

The IMF supports economic policies that foster financial stability and monetary cooperation.⁷ With its near-global membership, it offers its members policy advice, financial assistance in the form of loans and aid, and technical assistance and training. Its mandate, focus and programs have evolved greatly over time. For example, its pivotal role in the establishment of the fixed exchange rate regime has shifted to promoting a fluctuating exchange rate system since 1973. Moreover, the Fund has expanded its focus beyond essentially national interventions to the global economy, thus dealing with potential fiscal crises to prevent their regional or global spread and ensure international financial stability.

The World Bank, whose Articles of Agreement were primarily drafted by the British economist John Maynard Keynes (1883–1946), aimed at rebuilding the economies of countries devastated by war and fostering the economic development of developing countries.⁸ When the 1947 Marshall plan took over post-war reconstruction efforts in Europe, the Bank focused on large infrastructure projects around the globe covering sectors such as power, water, and transportation. It has gradually expanded to other sectors including rural development, education, and public health.⁹ Structural adjustment loans came with policy conditions such as tax reform and the liberalization of trade and foreign direct investment. While the loans aimed to improve the domestic legal framework, their overall effectiveness remains debated.

The World Bank Group now also comprises the International Development Association (IDA), the International Finance Corporation (IFC), the Multilateral Investment Guarantee Agency (MIGA), and the International Center for the Settlement of Investment Disputes (ICSID). The first

4 Gerhard Loibl, 'International Economic Law' in Malcom Evans (ed), *International Law* (OUP 2010) 722–51, 732.

5 General Agreement on Tariffs and Trade, adopted 30 October 1947, in force 1 January 1948, 55 UNTS 194.

6 Marrakesh Agreement Establishing the World Trade Organization (Marrakesh Agreement or WTO Agreement), 15 April 1994, 1867 UNTS 154, 33 ILM 1144 (1994). *See generally* Peter Van den Bossche and Werner Zdouc, *The Law and Policy of the World Trade Organization: Text, Cases, and Materials* (5th edn, CUP 2021).

7 Articles of Agreement of the International Monetary Fund, adopted at the United Nations monetary and financial conference, Bretton Woods, New Hampshire, 1–22 July 1944, signed at Washington, 27 December 1945. *See generally* Daniel Bradlow, *The Law of International Financial Institutions* (OUP 2023); Rosa Maria Lastra, *International Financial and Monetary Law* (2nd edn, OUP 2015).

8 Articles of Agreement of the International Bank for Reconstruction and Development, done at Bretton Woods, 22 July 1944, in force 27 December 1945, 2 UNTS 134.

9 Yusra R Shawar and Jennifer Prah Ruger, 'The World Bank and the Right to Health: A Study of the Institution's Rights-Based Discourse' (2018) 12 *Global Health Governance* 87–105; Yusra R Shawar and Jennifer Prah Ruger, 'The World Bank: Contested Institutional Progress in Rights-Based Health Discourse' in Benjamin M Meier and Lawrence O Gostin (eds), *Human Rights in Global Health: Rights-Based Governance for a Globalizing World* (OUP 2018) 353–73.

two organizations are lending institutions. The IDA was established in 1960 with the goal of assisting the world's poorest nations in lifting themselves out of poverty. The IFC is the largest international development organization that concentrates on the private sector in developing nations. By offering political risk insurance to shield investments against noncommercial hazards, MIGA encourages international investment in developing countries. It can assist investors in gaining access to finance sources that offer better terms and conditions for their money. The Agency can help settle conflicts between governments and investors and discourage government actions that might harm projects. The ICSID provides an administrative facility that help settle investor-state disputes.¹⁰

II Challenges and Prospects

While the establishment of the Bretton Woods institutions was presented as a collective effort to rebuild the world economy in the aftermath of WWII, some scholars view them as a strategy to defend or expand Western political, cultural, and economic hegemony. These institutions were inspired by the so-called 'Washington Consensus,' which trusted the efficiency of markets and consequently narrowed the policy space of states. The Bretton Wood institutions promoted liberal economic policies such as deregulation, privatization, and trade liberalization to stimulate economic growth. Their governance structures remain marred by political power imbalances as voting shares are based principally on the size and 'openness' of countries' economies. Thus, poorer countries are structurally under-represented in decision-making processes. More fundamentally, the orthodox recipes of the Washington Consensus 'failed to generate economic growth in the countries that applied them.'¹¹

The IMF and the WB have often attached economic policy conditions as part of loans or financial surveillance, potentially undermining the sovereignty of borrower nations and limiting their ability to make policy decisions. The IMF and WB's promotion of austere fiscal policies and aggressive privatization can jeopardize economic, cultural, and social rights, such as the right to health, education, and an adequate standard of living, which includes sufficient food, clothing, and housing.¹² States may be unable to fulfil their international human rights duties and provide essential public services as a result. IMF- and WB-supported policies have the potential to worsen inequality both within and across nations and disproportionately hurt the marginalized.¹³

There has been a backlash against the international investment and trade regimes too. Designed to protect the interests of multinational enterprises (MNEs), the international investment regime has traditionally promoted neoliberalist globalization.¹⁴ Critics contend that neither international investment agreements (IIAs) nor investor-state dispute settlement (ISDS) serve valid purposes;

10 It remains to be seen what role will be played by regional institutions such as the Asian Infrastructure Investment Bank (AIIB) and the New Development Bank initiated by China or the Partnership for Global Infrastructure and Investment (PGII) launched by the G7.

11 Joseph Stiglitz, 'Is there a Post-Washington Consensus?' in Narcís Serra and Joseph E Stiglitz (eds), *The Washington Consensus Reconsidered: Towards a New Global Governance, Initiative for Policy Dialogue* (OUP 2008).

12 Juan Pablo Bohoslavsky and Francisco Cantamutto, 'Not Even with a Pandemic: The IMF, Human Rights, and Rational Choices Under Power Relations' (2022) 44 *Human Rights Quarterly* 759–83.

13 Nona Tamale, *Adding Fuel to Fire—How IMF Demands for Austerity Will Drive Up Inequality Worldwide* (Oxfam 2021) <<https://oxfamlibrary.openrepository.com/bitstream/handle/10546/621210/bp-covid-loans-imf-austerity-110821-en.pdf;jsessionid=5D9BF3055C1F8FC6186F6E2CC13E81DF?sequence=1>>.

14 See Gus Van Harten, *Investment Treaty Arbitration and Public Law* (OUP 2007).

it is believed that IIAs do not necessarily attract foreign capital and that they may prevent states from protecting the public interest and to advance sustainable development. They also criticize the unpredictability of arbitral awards and the lack of gender and geographical diversity of arbitral tribunals, questioning their independence and impartiality. The backlash against the international investment regime, which ultimately revolves around sovereignty costs, has generated a considerable reform agenda.¹⁵

In parallel, at the WTO, while the objectives of Doha Development Round remain unfulfilled after two decades of negotiations, a backlash against the dispute settlement system (DSS) has emerged. As the United States has blocked the appointment of Appellate Body members, the organ has ceased functioning since December 2019. Losing parties have nonetheless appealed panel reports, thus leaving many disputes unsettled. To address the crisis of the Appellate Body, the European Union and other WTO members adopted the Multi-Party Interim Appeal Arbitration Arrangement (MPIA)¹⁶ under Article 25 of the Dispute Settlement Understanding.¹⁷ However, this remains a temporary and limited solution, as most WTO members have not joined the initiative. The disenchantment with the DSS, once considered the ‘crown jewel of the WTO architecture’ may be due to the perception that states’ ‘adherence to the trade rules may not be in their best national interests because trade law constraints policy choices.’¹⁸

Today, the WTO, the IMF, and the World Bank remain influential pillars of the architecture of the world’s trade, development, and financial order. They continue to be amongst the most relevant and significant powerful norm-setters and continue to shape the international trade, development, and financial landscape. At the same time, there is almost universal consensus that some reforms and changes are needed to meet contemporary challenges even though there is no agreement on how international economic law should be restructured.¹⁹ What seems inevitable is the gradual transition to the post-Washington Consensus which recognizes market failures and re-evaluate the state’s role in the economy, poverty reduction, and the provision of social services, such as education and healthcare. This significant paradigm change in institutional theory and practice aims to build a fairer global economic legal architecture and achieve sustainable development.²⁰

The landscape of international economic law is changing, and many commentators have highlighted the return of the state and power rivalry in international economic relations.²¹ While

15 On the investment regime backlash and prescriptions for change, see Malcolm Langford, Daniel Behn and Ole Kristian Fauchald, ‘Backlash and State Strategies in International Investment Law’ in Tanja Aalberts and Thomas Gammeltaft-Hansen (eds), *The Changing Practices of International Law* (CUP 2018) 70; Jonathan Bonnitcha, Lauge Skovgaard Poulsen and Michael Waibel, *The Political Economy of the Investment Treaty Regime* (OUP 2017); Michael Waibel and others (eds), *The Backlash Against Investment Arbitration: Perceptions and Reality* (Kluwer 2010).

16 WTO, Multi-Party Interim Appeal Arbitration Arrangement Pursuant to Article 25 of the DSU, JOB/DSB/1/Add.12, 30 April 2020.

17 Understanding on Rules and Procedures Governing the Settlement of Disputes (DSU), 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 2, 33 ILM 1125 (1994).

18 Ming Du, ‘International Economic Law in the Era of Great Power Rivalry’ (2024) 58 *Vanderbilt Journal of Transnational Law* 1, at 24, 26.

19 Robert Howse and Joanna Langille, ‘Continuity and Change in the World Trade Organization: Pluralism Past, Present and Future’ (2023) 117 *American Journal of International Law* 1, 16–17.

20 Saïda El Boudouhi, Laurence Dubin and Remi Bachand, *Le Droit International Economique en Question: Vers l’Emergence d’un Nouveau Paradigme?* (Pedone 2024); Viljam Engström, ‘Twenty-First-Century Crises and the Social Turn of International Financial Institutions’ (2023) 24 *Human Rights Review* 289–306; Leon Fink, *Undoing the Liberal World Order—Progressive Ideals and Political Realities Since World War II* (Columbia University Press 2022).

21 José Alvarez, ‘The Return of the State’ (2011) *Minnesota Journal of International Law* 268. Du (n 18) 3, 5.

discontent with current international economic law is growing, there is no consensus on how economic governance should be restructured.²² While some defend national sovereignty as of crucial importance to fix the broken world order,²³ others highlight that the post-neoliberal economic order will likely be far more local, diverse, complex, and multipolar than the neoliberal one.²⁴

Most states have combined pragmatism with idealism reforming their trade and investment policies without exiting international economic law and its institutions. In the new century, the World Bank has emphasized community-driven sustainable development. Accountability mechanisms were set up to hear complaints of communities affected by Bank funded projects, and to foster redress where relevant.²⁵ Most countries continue to be parties to IIAs while updating their model BIT texts or negotiating new investment chapters in FTAs that seek to rebalance investor rights with the states' right to regulate. In parallel, while WTO members remain parties to the WTO, they have pursued their development agenda in other bilateral, regional, and mega-regional settings.²⁶

Therefore, international economic law has become increasingly complex, multilayered, and multipolar as bilateralism and regionalism are on the rise and are contributing to the spaghetti bowl of international economic governance. These bilateral and regional initiatives include the many thousands of bilateral trade and investment treaties, as well as emerging regional and mega-regional agreements such as the Comprehensive Progressive Trans-Pacific Partnership (CPTPP)²⁷ and the Regional Comprehensive Economic Partnership (RCEP),²⁸ as well as multi-layered infrastructure development projects such as the Belt and Road Initiative.²⁹ At the same time, among the most notable transformations in international economic law is its incorporation of legal principles established from treaties and institutions beyond those of the original Bretton

22 Howse and Langille (n 19) 16–17.

23 See generally Dani Rodrik, *Straight Talk on Trade: Ideas for a Sane World Economy* (Princeton University Press 2018).

24 Rana Foroohar, *Homecoming: The Path to Prosperity in a Post-Global World* (Crown 2022).

25 Rosa Maria Lastra, 'Financial Institutions and Accountability Mechanisms' in Pablo Iglesias Rodríguez (ed), *Building Responsive and Responsible Financial Regulators in the Aftermath of the Financial Crisis* (Intersentia 2015) 31–43.

26 Cosimo Beverelli, Jorgen Kurtz and Damian Raess (eds), *International Trade, Investment, and the Sustainable Development Goals: World Trade Forum* (CUP 2020).

27 The Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) is a free trade agreement (FTA) between Australia, Brunei Darussalam, Canada, Chile, Japan, Malaysia, Mexico, Peru, New Zealand, Singapore, and Vietnam. The CPTPP was signed on 8 March 2018 in Santiago, Chile. It entered into force on 30 December 2018 for Australia, Canada, Japan, Mexico, New Zealand, Singapore; on 14 January 2019 for Vietnam; on 19 September 2021 for Peru; on 29 November 2022 for Malaysia; and on 21 February 2023 for Chile. On 16 July 2023, CPTPP Parties and the United Kingdom signed the UK's Accession Protocol to enable the UK to join the CPTPP.

28 The Regional Comprehensive Economic Partnership (RCEP) is a free trade agreement among Australia, Brunei, Cambodia, China, Indonesia, Japan, South Korea, Laos, Malaysia, Myanmar, New Zealand, the Philippines, Singapore, Thailand, and Vietnam. Signed on 15 November 2020, it entered into force on 1 January 2022 for the first ten ratifying countries.

29 China launched the Belt and Road Initiative (BRI) in 2013 as a development strategy and open arrangement in which all countries are welcome to participate. The project aims at improving connectivity, trade, and communication across Eurasia, Latin America, and Africa. Proponents of the BRI highlight how it might increase GDP globally, especially in developing nations. However, there has also been criticism regarding the impact on the environment and human rights, along with worries about debt-trap diplomacy leading to economic imperialism and neocolonialism. See Tomer Broude, 'Belt, Road and (Legal) Suspenders: Entangled Legalities on the New Silk Road' in Nico Krisch (ed), *Entangled Legalities Beyond the State* (CUP 2021) 107–30; Alfred Gerstl and Ute Wallenböck (eds), *China's Belt and Road Initiative* (Routledge 2020).

Woods system, including international environmental law, international cultural heritage law, and international human rights law.

III Aims and Objective of the *Handbook*

International economic law is a well-established area of law that includes international monetary law, international investment law, and international trade law, as well as elements of international financial law and international development law. It has grown to become one of the most significant spheres of academic study within international law and is widely taught to undergraduates and graduates. The maturity of the discipline of international economic law is reflected by the growing number of experts publishing monographs and shorter contributions in specialist journals every year.³⁰

This *Handbook* aims to take stock of this important field of international law adopting a comprehensive approach and including high-quality contributions from a wide range of perspectives, including doctrinal, theoretical, empirical, and interdisciplinary and from both emerging and established scholars from around the world. While the *Handbook* explores the complex architecture of international economic law, it provides some sense of novel and cutting-edge debates arising out of economic exchanges. In particular, it focuses on five distinct areas of investigation: (1) the history and theory of international economic law, (2) international trade law (covering international treaties which aim to eliminate legal barriers to trade in goods and services, primarily those constituted under the auspices of the WTO), (3) international investment law (exploring the broad framework of investment treaties and associated chapters in regional trade agreements as well as ISDS), (4) international financial and monetary law (addressing primarily the work of the IMF), and (5) the interplay between international economic law and sustainable development (including notably the contributions of the World Bank).

Although each area of investigation could be the subject of a book in its own right, this *Handbook* provides a comprehensive analytical framework of international economic law that will be of use for decades to come. The in-depth yet holistic scrutiny of these subfields of international economic law highlights their inherent features along with their close intersection with other fields in international law. This composite approach is particularly timely as it enables a better understanding of how the now troubled international economic order is undergoing fundamental changes due to the growing discontent, legitimacy concerns, and rejection of some elements of economic globalization that had characterized previous decades. Finally, this structure allows for the analytical ‘defragmentation’ of wider public international law, giving a sense of how international economic law has developed through rulemaking for varying economic purposes on the international plane.³¹

The *Handbook* demonstrates that international economic law, despite its highly specialized nature, cannot be isolated from general international law. On the one hand, international economic law can influence the development of general international law; the jurisprudence of international economic courts can be informally considered by other international courts and tribunals; state practice and *opinio juris* developed under the aegis of international economic law can contribute

30 See, *ex multis*, Leila Choukroune and James J Nedumpara, *International Economic Law: Text, Cases and Materials* (CUP 2021); David Collins, *Foundations of International Economic Law* (2nd edn, Edward Elgar 2025); Matthias Herdegen, *Principles of International Economic Law* (2nd edn, OUP 2016).

31 Asif Qureishi and Andreas Ziegler, *International Economic Law* (2nd edn, Sweet & Maxwell 2009) 6.

to the coalescence of customary law or general principles of international law.³² On the other hand, international economic law is rooted in general public international law, and both fields share the same sources of law. International economic law increasingly touches on the private sphere through the influence it has on investors and traders, even small ones, and ultimately peasants, producers, consumers, workers, Indigenous peoples, and local communities. Such non-state actors must be viewed as key stakeholders in many debates, including classic ones regarding market liberalization versus protectionism.³³ International economic law can affect a wide range of public policies that are not necessarily economic in nature. Therefore, it must not be read in clinical isolation from shared concerns.³⁴

The *Handbook* provides a brief but thorough overview of the history and theory of international economic law, its features, aims, and objectives as well dispute settlement mechanisms, thus setting the stage for illuminating the linkage between international economic law and other fields of international law in promoting just, peaceful, and prosperous relations among nations. International economic law has traditionally been premised on the idea that those states which are economically interdependent are less likely to go to war.³⁵ Whether this axiom remains valid today in a world fraught with conflict and where industrial policy has regained prominence is a matter of much debate, much as the observed phenomenon of economic isolationism belies traditional understandings that globalization, underpinned in part by the Bretton Woods project, has actually delivered the prosperity which it sought to achieve.³⁶

IV Methodology

International economic law can be approached from various perspectives.³⁷ While some scholars have used economics lenses to investigate the field,³⁸ other scholars have adopted feminist legal

32 See generally Daniel Peat, *Comparative Reasoning in International Courts and Tribunals* (CUP 2020); Valentina Vadi, *Analogies in International Investment Law and Arbitration* (CUP 2016).

33 John Borrows and Risa Schwartz (eds), *Indigenous Peoples and International Trade—Building Equitable and Inclusive International Trade and Investment Agreements* (CUP 2022); Sergio Puig, *At the Margins of Globalization—Indigenous Peoples and International Economic Law* (CUP 2021); Valentina Vadi, ‘Local Communities, Cultural Heritage and International Economic Law’ in L Biukovic and P Potter (eds), *Local Engagement with International Economic Law and Human Rights* (EE 2017) 150–68.

34 See e.g. Freya Baetens, Michael Waibel and Diane Desierto, *Cambridge Textbook of International Economic Law: An Integrated Approach* (CUP 2024).

35 See Marc-William Palen, *Pax Economica: Left-Wing Visions of a Free Trade World* (Princeton University Press 2024) (narrating the forgotten history of how at the beginning of the 20th century, an unlikely alliance of liberal radicals, socialist internationalists, and feminists envisioned free trade as essential for a prosperous and peaceful world order).

36 Kate Yoon, ‘Freeing Free Trade: Is There Anything Left to Anti-imperial Visions of Global Commerce?’ *Boston Review* (27 February 2024) (contending that ‘To many today, the idea that free trade brings peace looks like bygone naïveté at best and neoliberal apologia at worst’).

37 John Haskell and Akbar Rasulov (eds), *New Voices and New Perspectives in International Economic Law* (Springer 2020). On the hegemony of economic analysis in international economic law, see Oisín Suttle, ‘Poverty and Justice: Competing Lenses on International Economic Law’ (2014) 15 *Journal of World Investment & Trade* 1071–86 (noting that ‘the hegemony of economic analysis . . . left little space for alternative theoretical approaches’).

38 Anne van Aaken and Ivana Stradner, ‘Economic Analysis of International Law’ in Rossana Deplano and Nicholas Tsagourias (eds), *Research Methods in International Law* (Edward Elgar 2022) 367–85.

theory,³⁹ critical legal theory,⁴⁰ socio-legal analysis,⁴¹ or historiographical tools of investigation.⁴² The diversity of methodological approaches can only enrich discourse on international economic law. Indeed, it is testimony to the intellectual depth of the discipline that it has been so responsive to these varying approaches.

The book adopts a multidisciplinary approach: in fact, the authors of these chapters come from a wide array of backgrounds. Some are leading academics; some work for international organizations and yet others have pursued careers within law firms. Most importantly, however, they have all undertaken the common effort of investigating the main themes, key trends, and most recent cases of international economic law, approaching complex legal issues with clarity and methodological rigour.

While advocating methodological pluralism and welcoming interdisciplinary approaches, the *Handbook* maintains a primarily legal focus, adopting an international law perspective. Additional perspectives such as economics, political science, history, and legal theory come into play, when necessary, to understand this complex field of study. The *Handbook* is emphatically not an economics text—the common thread shared by the various contributions lies in the focus on the legal dimension of international economic relations, although many authors draw on interdisciplinary studies and some on economic theory in presenting their ideas and conclusions.

The chapters reflect the opinions of the individual authors only and do not necessarily correspond to those of the editors, City St George's, University of London, the University of Florence, or the European University Institute. The editing was relatively non-intrusive to allow authors to maintain their own voices and perspectives. Therefore, in light of the vast cultural and geographical diversity of the contributors, chapters may well endorse diverging viewpoints.⁴³ Not only do such diverging views reflect the cultural diversity of the international community, but they can also stimulate debate. Neither the editors or the authors are engaged in rendering legal advice; rather this publication scrutinizes and critically assesses international economic law in an academic fashion.⁴⁴ The book constitutes an international law treatise with focus on both theory and practice. Efforts have been undertaken to avoid repetitions and to achieve clarity and cohesion.

39 Emma Larking, 'Challenging Gendered Economic and Social Inequalities: An Analysis of the Role of Trade and Financial Liberalisation in Deepening Inequalities, and of the Capacity of Economic and Social Rights to Redress Them' in Susan Harris Rimmer and Kate Ogg (eds), *Research Handbook on Feminist Engagement with International Law* (Edward Elgar 2019) chapter 18.

40 BS Chimni, 'Critical Theory and International Economic Law: A Third World Approach to International Law (TWAIL) Perspective' in John Linarelli (ed), *Research Handbook on Global Justice and International Economic Law* (Edward Elgar 2015).

41 Olabisi Akinkugbe, 'Reflections on the Value of Socio-Legal Approaches to International Economic Law in Africa' (2021) 22 *Chicago Journal of International Law* 25–36; Amanda Perry Kessaris (ed), *Socio-Legal Approaches to International Economic Law—Text, Context, Subtext* (Routledge 2013).

42 Kate Miles, *The Origins of International Investment Law—Empire, Environment, and the Safeguarding of Capital* (CUP 2013).

43 The use of particular designations of countries or territories does not imply any judgement of the publisher or the editors or their respective universities as to the legal status of such countries or territories, their authorities or institutions, or the delimitation of their boundaries. The mention of names of specific companies does not imply any intention of infringing upon proprietary rights, nor should it be construed as an endorsement or recommendation by the editors. The authors of the chapters are responsible for having obtained the necessary permission to reproduce, translate, or use material from sources already protected by copyright.

44 If legal advice or other expert assistance is required, the services of a competent professional should be sought.

V Chapter Plan

The *Handbook* is structured into five parts. Part I introduces the main themes and challenges to be addressed and briefly examines the history and theory of international economic law. Part II discusses the content, aims, and objectives, as well as the main features, of international trade law. Part III examines the scope, principles, and purposes, as well as the main characteristics, of international investment law. Part IV explores the substance and goals, as well as the main aspects of international financial and monetary law. Part V discusses the interplay between international economic law and sustainable development in its various forms. Final remarks sum up the key findings of the *Handbook* and map future directions.

Opening Part I of the *Handbook* which introduces international economic law as a distinct field of law, Kenneth J. Vandeveld's chapter presents a short history of international economic law tracing the birth of the modern international economic law to the 1648 Peace of Westphalia. Early modern international economic law usually included bilateral treaties known as 'friendship, commerce, and navigation' (FCN) treaties establishing trade and maritime relations between the parties. Such treaties reflected mercantilism, the theory that countries should seek a trade surplus by promoting exports and discouraging imports. They also provided for the protection of foreign property. Dispute settlement mechanisms included arbitration of property claims or guaranteed the proper administration of justice in domestic courts. The chapter also discusses the historical use of bills of exchange and bank notes—namely, promises to pay the bearer an amount of gold or silver coin upon demand. It then discusses various economic globalization waves and how these were governed at the international law level. The chapter concludes by matching historical insights with contemporary geopolitical realities.

Valentina Vadi examines the place of international economic law in the international legal order. Despite its specialized nature, international economic law is inextricably linked to general international law. International economic law can influence the development of general international law, the jurisprudence of international economic courts can be considered informally by other international courts and tribunals, and state practice and *opinio juris* developed under the auspices of international economic law can contribute to the coalescence of customary law or principles of international law. Moreover, international economic law is rooted in international law, and as such, its sources include treaties, customs, and general principles of law, as well as scholarly writings and international law jurisprudence—the same sources as general international law. Furthermore, international economic law is gradually becoming susceptible to the influence of other subfields of international law, such as international environmental law, albeit to a varying extent.⁴⁵ As international economic law can affect a wide range of public policies that are not necessarily economic in nature, it must not be read in clinical isolation from other common concerns.⁴⁶

Yuka Fukunaga and Tomohiko Kobayashi discuss one of the most important and controversial issues in international economic law, namely, the linkage between this field of international law and international peace and security. Since the founding of the Bretton Woods institutions, peace and security have been at the heart of international economic law. However, economic interdependence may not always foster national security. The chapter examines recent cases involving

45 See, *ex multis*, Sherzod Shadikhodjaev, *Energy and the Environment—Exploring the Nexus under International Economic Law* (CUP 2024); Nader Naifar (ed), *Climate Change and Finance* (Springer 2024); Kate Miles (ed), *Research Handbook on Environment and Investment Law* (Edward Elgar 2016); Jorge Viñuales, *Foreign Investment and the Environment in International Law* (CUP 2012).

46 See e.g. Baetens, Waibel and Desierto (n 34).

security exceptions under several treaties in the domains of trade, investment, and finance. International economic treaties often include an exception that authorizes state actions that would otherwise be incompatible with the treaty's economic commitments but are required to defend national security.⁴⁷ While it is primarily a state's responsibility to determine what actions are essential to preserve its national security interests, the decision may be challenged before international economic courts by another state questioning the necessity of the measures. This raises the question of whether and, if so, how international economic courts should review a state's action protecting its security interests.

Part II of the *Handbook* explores international trade law. In the opening chapter of this part, Katia Fach Gómez and María Gabriela Sarmiento examine the WTO, considering its history, objectives, structure, functions, and decision-making. This chapter describes the key aspects of the WTO and its working methods, examining the main techniques adopted to achieve the application and enforcement of the international trade rules and assisting member states throughout trade negotiations. The authors also refer to the WTO relationship with other international organizations.

Peter Van den Bossche then discusses the reform of the WTO dispute settlement system. The creation of this mechanism was one of the main outcomes of the Uruguay Round of Multilateral Trade Negotiations (1986–93). This dispute resolution process used to be the crown jewel of the WTO because of its ambitious mandatory, two-phase, and legally enforceable approach. However, in recent years, the United States has obstructed the appointment process of, and thus paralyzed, the Appellate Body, throwing the WTO dispute settlement mechanism into disarray. This chapter discusses the proposals for reforming the WTO dispute settlement system and its prospects.

In her chapter, Denise Prévost discusses market access and quantitative restrictions in international trade law. The chapter examines the rationale behind the prohibition of quantitative restrictions in the multilateral trading system. It explores its relation to the objectives of the WTO in promoting secure and predictable market access and the role of quantitative restrictions in impeding market access and distorting competition. Prévost then delves into the key provisions of the GATT and the General Agreement on Trade in Services (GATS)⁴⁸ that directly address quantitative restrictions. She discusses the interpretation and application of the prohibition on quantitative restrictions through the jurisprudence of the WTO dispute settlement system. The chapter concludes by considering contemporary challenges and emerging issues related to quantitative restrictions in the context of evolving trade patterns and global economic developments. In so doing, it assesses the potential impact of new technologies, supply chain disruptions, and geopolitical factors on the regulation of quantitative restrictions while considering possible avenues for future reform.

The principles of non-discrimination are the subject of the next chapter by Sachiko Yoshimura. After examining how the principles of the most-favoured nation and national treatment are articulated in the GATT, the chapter examines their coverage in the GATS and the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement).⁴⁹ The chapter then analyses the major non-discrimination-related cases adjudicated by the panels and the Appellate Body.

47 See Article XXI of the GATT.

48 General Agreement on Trade in Services, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1B, 1869 UNTS 183, 33 ILM 1167 (1994).

49 Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement), 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1C, 1869 UNTS 299.

Iveta Alexovičová discusses the vital field of trade in services. The creation of the GATS was one of the landmark achievements of the Uruguay Round. Since its entry into force in 1995, it has aimed at creating a reliable and predictable system of international rules for trade in services to facilitate the progressive liberalization of services markets. While the GATS expressly recognizes the right of WTO members to regulate the supply of services in pursuit of their own policy objectives, several important disputes have centred on the interplay between the liberalization of trade in services and state policy objectives. The chapter discusses the main features of, and principal disputes arisen under, the GATS.

Ming Du analyses subsidies, exploring the limits of the WTO's Agreement on Subsidies and Countervailing Measures (SCM Agreement)⁵⁰ in constraining China's industrial subsidies and, in so doing, reflects upon the future of the SCM Agreement. Du argues that several key weaknesses of the SCM Agreement lessen its capacity to constrain China's subsidy problem. Recent geopolitical changes and debates on the purpose of international trade agreements will likely further constrain the role of the SCM Agreement.

Manuel Quindimil focuses on trade remedies, specifically the use of subsidies and the practice of dumping. He observes that the coronavirus disease (COVID-19) pandemic has significantly affected national production and international trade flows. Industrialized countries have responded by providing generous subsidies to national production, breaching relevant WTO rules. In some cases, dumping has ensued, leading to oversupply of materials such as steel. With the normalization of trade flows, the chapter investigates whether subsidies and antidumping investigations have been adequately used.

Confronting the tension between trade liberalization and public policy issues, Henrik Andersen's chapter examines the GATT general exceptions. Andersen investigates the cases in WTO jurisprudence concerning the *chapeau* of GATT Article XX. The chapter also discusses the potential application of Article XX to human rights and climate change problems considering the broader context of international law, even though neither of these issues are explicitly mentioned in the text of the treaty. The author further addresses the potential issues concerning extraterritorial jurisdiction of WTO law.

The dynamic field of intellectual property rights is the focus of the next chapter of the book by Daniel J. Gervais and Peter K. Yu. The TRIPS Agreement provides international minimum standards for the protection and enforcement of intellectual property rights. Since its inception, it has brought international intellectual property law and trade law closer together. This chapter examines what the authors call the 'tradification' of intellectual property through the TRIPS Agreement, TRIPS-related disputes, and post-TRIPS developments. The chapter discusses different trends that have shaped the international intellectual property domain including the proliferation of trade agreements containing intellectual property chapters, the incorporation of trade law into the broader field of international law, and other drivers of change such as traditional knowledge and emerging technology.

Adriana Borsellino delves into the highly controversial field of trade in agriculture. Over the past 40 years, one of the most contentious and discussed topics in multilateral trade negotiations has been agriculture, which continues to be a delicate subject for both international trade negotiators and the multilateral trading system. The first worldwide agreement on agriculture, the Agreement on Agriculture,⁵¹ covers several topics related to agricultural trade, such as export subsidies, domestic

50 Agreement on Subsidies and Countervailing Measures, Annex 1A to the Marrakesh Agreement, 1869 UNTS 14.

51 Agreement on Agriculture, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1A, 1867 UNTS 410.

support, and market access. Some have lauded it as a huge success since it was signed, encouraging more stable international agricultural trade, fair competition, and increased market openness. However, others view it as a disappointing compromise that lacks significant tariff reductions and adequate special and differential treatment. In fact, disagreements over agricultural policy are where the rift between proponents and opponents of the current multilateral trading system is most noticeable. This chapter analyses the WTO's role in forming international agricultural policies, looking at the key features, constraints, and possible areas for improvement of the Agreement on Agriculture.

Łukasz Gruszczyński and Lena Helińska consider how international trade law has dealt with health and safety issues. Their chapter offers a comprehensive analysis of the pertinent provisions within the Agreement on Technical Barriers to Trade (TBT Agreement)⁵² and the Agreement on the Application of Sanitary and Phytosanitary Measures (SPS Agreements),⁵³ as well as a careful examination of the corresponding jurisprudence. The chapter further investigates the practices of WTO members within the committees operating under these two agreements. Finally, Gruszczyński and Helińska investigate how WTO dispute settlement bodies can strike the right balance between free trade and public health.

In the next chapter, Caroline E. Foster offers a critical analysis of the ongoing debates regarding trade and the environment. This chapter focuses on the evolution of the WTO's trade and environment agenda. It then assesses the prospects for progress through the recently formed Trade and Environmental Sustainability Structured Discussions (TESSD) working groups as well as the Informal Dialogue on Plastics Pollution and Sustainable Plastics Trade. She also discusses the work of the Friends of Fossil Fuel Subsidy Reform and negotiations for an open plurilateral agreement. The chapter then explores trade and environmental trends in Preferential Trade Agreements.

David Collins then considers ongoing developments in the emerging field of digital trade. The chapter discusses the main features of preferential trade agreements which have addressed digital trade, noting the difference between rules on conventional e-commerce and rules on trade in data. In addition to exploring bans on customs duties on electronic transmissions and data localization, the chapter touches on the important issues of privacy and data protection as exceptions to these commitments. The chapter highlights some of the emerging norms in the field of digital trade, including open access and interoperability.

Kathleen Claussen and Pasha L. Hsieh investigate the rapidly advancing trend away from multilateralism in trade in their chapter on regionalism and regional trade agreements. This chapter defines and explains the various types of regional trade agreements. It further studies why and how these agreements have evolved in different waves of global regionalism. The authors skilfully draw out broader trends among regional agreements, considering how those trends have shaped international economic law more generally. They suggest that the agreements that have emerged in the last three decades follow different patterns; some are intent on regional integration, while others prioritize other objectives over market access and trade facilitation. The chapter assesses how these goals may be achieved and concludes with a thoughtful evaluation of the many purposes regional trade agreements serve in the international economic law landscape.

Part III of the *Handbook* addresses the second major topic in international economic law, international investment law—a body of international law governing the treatment of internationally

52 Agreement on Technical Barriers to Trade, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1A, 1868 UNTS 120.

53 Agreement on the Application of Sanitary and Phytosanitary Measures, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1A, 1867 UNTS 493.

mobile firms. Rahim Moloo and Martina Monti examine the sources of international investment law. First, they scrutinize the traditional sources of international investment law, including customary international law concerning the protection of investment and the law of the host state receiving the foreign investment. Second, they focus on international investment agreements and describe the latest trends in new-generation treaties. Third, the chapter discusses the legal value of precedents in international arbitration and the relevance of arbitral decisions in determining and developing international investment law. Finally, the chapter discusses how soft law instruments influence the field.

David Collins then critically assesses the subfield of domestic foreign investment laws, explaining how these pieces of national legislation, which are growing in number and complexity, could reflect a decline in the significance of international investment treaties as the major source of legal obligations under international investment law. He identifies and discusses two main categories of foreign investment laws, those which screen foreign investment on the basis of national security risks, and those of a more general nature which aim to structure inward foreign investment in a manner that is most economically advantageous to the host state. From here Collins delves into legal controversies regarding the status of these states as unilateral acts of state and as the basis of the consent to investment arbitration.

Building upon the previous chapters, Eric De Brabandere explores the expansive and controversial topic of ISDS. This chapter provides an insightful map of the various methods used for settling investment disputes. It covers both diplomatic dispute settlement methods, including mediation, as well as legal mechanisms such as investor-state arbitration. De Brabandere also discusses the recent and ongoing reform proposals aimed at establishing a multilateral appeals mechanism and/or a world investment court.

Ioana Knoll-Tudor critically assesses two of the leading standards of protection in international investment law: fair and equitable treatment (FET) and full protection and security. As the FET standard has been expressed and interpreted in myriad ways, Tudor argues that FET is accordingly largely fact-dependent, and as such, the best way to draw the boundaries of FET is to consider the relevant arbitral jurisprudence. This in turn implies that there will always be novel situations which will be progressively identified as falling under the FET standard by tribunals. The chapter highlights key interactions between the FET standard and the other provisions of investment agreements with which it is often combined, like the obligation to provide full protection and security.

Prabhash Ranjan's chapter looks at the concept of non-discrimination in international investment law discussing two core standards: the most-favoured-nation (MFN) and national treatment (NT). These two non-discrimination standards are relative or comparative, that is, their effectiveness is contingent on the level of treatment the host state provides to other foreign (in the case of MFN) and domestic (in the case of NT) investors. Accordingly, these investment protection standards differ from standards like fair and equitable treatment and full protection and security, which are absolute. The chapter discusses both standards by examining relevant treaty and arbitral practice.

Esmé Shirlow discusses expropriation, perhaps the most significant and problematic substantive element of international investment agreements. She looks at the evolution of expropriation clauses in international investment treaties, as well as approaches to interpreting them in investment treaty arbitrations. She investigates the distinction between 'direct' and 'indirect' expropriations, as well as between lawful and unlawful ones. The chapter also examines the extent to which arbitral tribunals have considered public purpose to be relevant to determining whether an expropriation is lawful, and the role for 'police powers' and other justifications or excuses based on public purpose under both customary international law and emerging treaty practice.

Concluding this part of the book, Tarcisio Gazzini's chapter discusses the right to regulate in international investment law. The right to regulate is indissolubly linked to the concept of sovereignty and is central in understanding the relationship between the host state and foreign investors. Such relationship requires recalibrating the promotion of private business, on the one hand, and the exercise by the state of regulatory powers, on the other hand. While earlier IIAs manifestly favoured foreign investors, the pendulum has swung in the opposite direction to enable the host state to exercise its sovereign prerogatives and discharge its duties in the pursuit of public interest. The chapter reviews the recent treaty practice and arbitral jurisprudence.

Part IV of the *Handbook* discusses international monetary law and finance. Juan P. Farah Yacoub, Clemens Graf von Luckner, and Sebastian Grund analyse the international financial architecture. First, they examine the highly flexible nature of international institutions governing finance. Second, they highlight that the way sovereign debt crisis is solved has changed. They observe the transition from gun-boat diplomacy to IMF mediation, court adjudication, and collective action clauses. Finally, they argue that the outcomes have remained remarkably similar, pointing to an emerging trend in favour of traditional practices such as collateralization by specific assets and *de facto* seniority structures.

Turning directly to the IMF, Juan Pablo Bohoslavsky, Miguel Attaguile, and Roberto Kozulj discuss the Fund's complex relationship with human rights. First, they investigate whether the IMF has obligations under international human rights law and, if so, the contents and specific implications of these commitments relating to addressing poverty and inequality; respecting, protecting, and fulfilling labour and women's rights; and mitigating climate change. Second, they critically assess both the IMF's formal position on human rights law and the practices that it routinely implements on the ground. Third, the chapter discusses a paradigmatic case study focusing on Argentina's tumultuous relationship with the IMF. In 2018, the IMF made the largest loan in its history to the Argentine government. Since then, and even during the pandemic, the IMF has influenced public policies in various areas that are particularly sensitive to human rights. The chapter highlights the human rights consequences of these policies.

The final part of the *Handbook* deals with international economic law and sustainable development, that is, the theory that economic advancement must be pursued in a manner that meets the needs of the present without compromising the ability of future generations to meet their own needs. In the first chapter in this part, Marie-Claire Cordonier Segger examines the interplay between international economic law and sustainable development. On the one hand, she highlights the importance of international economic flows for sustainable development. On the other hand, she stresses the significance of including sustainable development commitments in international economic law. She then examines sustainable development innovations in the WTO, in bilateral and regional trade and investment agreements, and in further international accords, and critically assesses whether such innovations can help or hinder the global Sustainable Development Goals (SDGs).⁵⁴ She concludes discussing the implications for the design and negotiation of future agreements, including trade, investment, and financial accords like the Agreement on Climate Change, Trade, and Sustainability (ACCTS)⁵⁵ and the Indigenous Peoples Economic and Trade Cooperation Arrangement (IPETCA).⁵⁶

54 GA Res. 70/1, Transforming Our World: The 2030 Agenda for Sustainable Development, 25 September 2015.

55 The Agreement on Climate Change, Trade, and Sustainability is currently being negotiated by New Zealand, Costa Rica, Fiji, Iceland, Norway, and Switzerland.

56 The Indigenous Peoples Economic and Trade Cooperation Arrangement (IPETCA) is a non-binding arrangement that aims to increase Indigenous Peoples' participation in trade and investment and promote economic development. Established in 2021, it involves Canada, Australia, New Zealand, and Taiwan. It is open for other economies to join.

Valentina Vadi explores the linkage between international economic law and cultural heritage. Growing international trade and foreign direct investment have sparked increased communication and exchange among countries, which may promote cultural diversity, expand cultural freedom, and provide the resources needed to restore and protect cultural heritage. As a result, the preservation of cultural assets and the advancement of trade and foreign direct investment can complement one another. However, economic globalization can also jeopardize the safeguarding of cultural heritage. Asymmetry in flows of cultural goods can lead to the predominance of a given dominant culture. The transformation of cultural items into objects of trade can dilute their cultural value unless it is conducted in a culturally appropriate way. In parallel, investments in the extractive industries have the ultimate capacity of changing cultural landscapes and local lifestyles. The chapter investigates the tension between the promotion of economic development and cultural sovereignty in international economic law discussing relevant case studies.

Yenkong Hodu discusses the often-overlooked interaction between international economic law and developing countries. His chapter examines the issues of compensation for expropriation under international investment law along with the failed structural adjustment programs of the IMF and the World Bank, which caused considerable harm to the developing world. Hodu identifies two types of contestations arising from these issues, namely, those directed at the universal reform of international economic architecture and those consisting of shifts by countries in the Global South away from universalism to regionalism. The chapter suggests that these tensions provide a useful understanding of the direction of international economic law vis-à-vis the Global South.

The final chapter of the book contains Avidan Kent's study of the intricate and sometimes contentious relationship between international economic law and climate change. In contrast with much existing literature, which has predominantly focused on the negative impacts and conflicts between climate goals and international economic law, this chapter concentrates on the pivotal role that international economic law can play in facilitating the green energy transition, especially as it applies to the needs of the Global South. The chapter convincingly argues that, if designed correctly, international economic law treaties can effectively address many of the conflicts inherent in economic growth and the fight against climate change. Kent further contends that IEL treaties need to be comprehensive and all-encompassing, incorporating material from international environmental law, international human rights law, and international development law.

VI Salience and Expected Audiences

The research *Handbook* is timely given the pressing need for the greater understanding of international economic law in conjunction with rising geopolitical tensions and conflicts, the expansion (and some would argue, decline) of globalization, the observed rise in industrial policy and protectionism throughout the world, the recent flourishing of scholarly interest in international economic law, and the explosion of cases decided by international economic courts. The recent boom in trade and investment disputes has brought the interplay between economic (de)globalization and international governance to the forefront of scholarly debate and public scrutiny because of the public policy implications of such cases on multinational enterprises, governments, and the public at large. The concurrent rise of state capitalism associated with Asia and other emerging markets has questioned the validity of the Washington Consensus approach to economic liberalism which formed the foundation of the Bretton Woods regime upon which much of international economic law has been based for decades.

The *Handbook* aims to offer timely, cutting-edge, and original research in international economic law. It brings together a wide range of scholars and practitioners to present compelling,

new, and diverse perspectives on international economic law. Our authors are drawn from across the world, reflecting approaches informed by a range of politically, geographically, and culturally diverse legal systems. There is also a strong gender balance. Essays from leading experts and rising stars in the field critically engage with existing academic and policy debates and contribute to the evolution of the field by setting the agenda for future research. All the chapters present original and up to date research material.

The *Handbook* aims to reach international law scholars, specialists in the field of international economic law, policymakers, graduate students, and the curious public. In addition, the *Handbook* might be used by students of international economic law or international dispute settlement classes, as it offers an overview of the relevant legal framework, recent cases, and trends. International economic law and associated dispute settlement courses are offered at both bachelor's and master's levels throughout the world. Potentially, the book could be considered as a 'trade' book, that is, one intended for general readers—those without specialized knowledge in the specific area of international economic law, although it does not address the traditional private law elements associated with trade such as shipping, bills of lading or international sale of goods. The ideal reader is a person interested in global economic governance, international law, and politics. Practitioners, policymakers, and civil society groups should therefore form the core group of our readers. In conclusion, the book should appeal to various interested audiences, including but not limited to international lawyers, relevant practitioners, and other stakeholders.

VII The Place of the Book in the Literature

The book goes beyond the state-of-the-art, contributing to the field of international economic law in a systematic fashion. International economic law is a thriving field of study with an established and wide community of experts. Various international law societies have sectors focusing on this field, and the Society of International Economic Law was established in 2008. While publications on IEL abound, dedicated book series and journals have further contributed to the development of this subject.

International economic law has been approached adopting a variety of perspectives and methods. While most scholarly works have privileged economic lenses, the *Handbook* adopts a principally legal approach, with inputs from cognate social sciences such as economics, history, and political sciences. The latter perspective has been particularly influential in the subfield of international investment law, whereas an economic-oriented approach has dominated international trade law.

In the past decades, scholars have acknowledged that while economic liberalization may have positive effects on public well-being, it may also negatively affect some fundamental interests and values.⁵⁷ Therefore, it seems both timely and important to investigate how to govern economic interactions, pushing back against the received wisdom that open markets will always drive prosperity and that state regulation necessarily constitutes an impediment to international economic relations or an unwarranted intrusion in business activities. In parallel, while some scholars have pinpointed the emergence of international economic law as a distinct field of law,⁵⁸ most scholars focus on specific branches of the same, leaving the broader picture aside.⁵⁹ While international

57 Joseph Stiglitz, *Globalization and Its Discontents* (Norton & Co 2002).

58 Andrew T Guzman and Alan O Sykes (eds), *Research Handbook on International Economic Law* (EE 2007).

59 Daniel Bethlehem and others (eds), *Oxford Handbook on International Trade Law* (2nd edn, OUP 2022); Lisa L Martin (ed), *Oxford Handbook of the Political Economy of International Trade* (OUP 2019); Amrita Narlikar,

economic law has received increased attention, scholars have only partially touched upon the interplay between the various subfields of the same and between IEL and international law. The *Handbook* thus contributes greatly to the fields of international law and international economic law, mapping the latter in comprehensive manner. While numerous textbooks on international economic law constitute educational tools for students, this *Handbook* aims to provide analytical commentary on international economic law as a unified discipline.

VIII Conclusions

In conclusion, what are the key points to be drawn from the *Handbook*? IEL is currently torn between continuity and change. It appears to be gradually abandoning the neoliberal view which emphasizes market freedom and deregulation as the primary tool for development. Such approach has come under fire, determining a perceived legitimacy crisis of the various Bretton Woods institutions. IEL is responding to this crisis as ongoing reforms are providing it with new tools to serve people and communities. Ongoing reforms tend to expand the policy space for governments to pursue development policies and to regulate in the public interest. In parallel, an appropriate interpretation of the existing flexibilities and reasonable (rather than strict) scrutiny of state measures by international economic courts may complement existing reform efforts.

Why does IEL remain important? If appropriately interpreted and reformed, IEL can foster peaceful, just, and prosperous relations among nations. The risk of a ‘Schmittean moment,’ that is, ‘the domestication of international economic law’ that prioritizes unbound national leviathans may undermine human rights, including the rights of minorities, Indigenous peoples, and local communities, and discriminate against economic actors on the basis of gender, ethnic, or religious biases.⁶⁰ IEL has also demonstrated a remarkable ability to grow and adapt, expanding into new areas such as digital trade and national security.

Whether IEL has a controversial past and a bright future remains an open question, as open remain the questions of whether it can promote sustainable development, international peace, and security, while also respecting the cultural diversity of nations in its making. While the *Handbook* does not purport to be exhaustive or provide definitive answers to these important questions, it aims to offer critical insights on these key issues that can be useful for decades to come.

Martin Daunton and Robert M Stern (eds), *The Oxford Handbook on The World Trade Organization* (OUP 2014); Julien Chaisse and Cristián Rodríguez-Chiffelle (eds), *The Elgar Companion to the WTO* (EE 2022); David Collins and Michael Geist (eds), *Research Handbook on Digital Trade* (EE 2023); Peter Muchlinski, Federico Ortino and Christoph Schreuer (eds), *Oxford Handbook on International Investment Law* (OUP 2008); Markus Krajewski and Rhea Tamara Hoffmann (eds), *Research Handbook on Foreign Direct Investment* (EE 2019); Ruth Buchanan, Luis Eslava and Sundhya Pahuja (eds), *Oxford Handbook of International Law and Development* (OUP 2023); Zak Cope and Immanuel Ness (eds), *Oxford Handbook of Economic Imperialism* (OUP 2022); Thomas Schultz and Federico Ortino (eds), *Oxford Handbook of International Arbitration* (OUP 2020).

60 Alessandra Arcuri, ‘International Economic Law and Disintegration: Beware the Schmittean Moment’ (2020) 23 *Journal of International Economic Law* 323–45; Valentina Vadi, ‘Taming the Leviathan? The Reason of State in International Law’ (2024) 26 *Journal of the History of International Law* 423–60.



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PART I

History and Theory of International Economic Law



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2

A SHORT HISTORY OF INTERNATIONAL ECONOMIC LAW

Kenneth J. Vandewelde

I. Beginnings

The birth of the modern international legal system is usually traced to the Peace of Westphalia, in 1648. International economic law at that time generally comprised bilateral treaties that established trade and maritime relations between the parties, treaties that became known generically as ‘friendship, commerce, and navigation’ (FCN) treaties.

These treaties appeared on a European continent in which foreign economic policy was structured around mercantilism, the theory that countries should seek a trade surplus by promoting exports, such as through subsidies, and discouraging imports, such as through tariffs. The early FCN treaties sought not to eliminate restrictions on trade but to ensure non-discriminatory treatment, that is, treatment as favourable as that accorded to the most-favoured nation (MFN). Foreign investment in that time would have been minimal, but the early FCN treaties did sometimes include provisions for the protection of foreign-owned property, such as merchandise for trade. Among the provisions found in the mid-1600s were those providing merchants with time to remove their effects in the event of war and requiring that property lost through events such as shipwrecks or piracy be restored to its owners. Provisions relating to dispute settlement sometimes appeared. Such provisions might provide for the arbitration of property claims or guarantee the proper administration of justice in domestic courts.

The European monetary system in the 1600s was based on the use of gold and silver coin, the value of which depended upon their gold or silver content. Because large quantities of gold or silver were difficult to transport and might be stolen, traders had developed the practice of issuing bills of exchange, which were orders to a third party, such as a bank or trading partner, to pay a specified amount of money in the coin of a particular realm to a particular individual. Rather than transporting gold or silver coin to effect payment for a purchase, a buyer need transmit only the bill of exchange. In many cases, bills of exchange were transferable, enabling them to circulate as money.¹

¹ See Jack Weatherford, *The History of Money* (Three Rivers Press 1997).

By the 1600s, banks in Europe were issuing bank notes—promises to pay the bearer an amount of gold or silver coin upon demand, which similarly could circulate as money. They were often issued as a remedy for shortages in coin, although they also provided a means of transporting money that was less cumbersome and dangerous than carrying gold or silver coin. Notes were sometimes issued by a sovereign, promising to pay gold or silver from the treasury. By the 1800s, the use of paper money backed by gold or silver was a common practice.

II. The Emergence of a Global Economy

The 1820s witnessed the beginning of a process of rapid globalization of the international economy, driven initially by geopolitical and technological forces. The end of the Napoleonic Wars in 1815 initiated an era of relative peace in Europe that would continue until 1914. At the same time, the Industrial Revolution generated larger quantities of goods for export and created a greater demand for imported raw materials, while the construction of railroads and the use of steamships reduced transportation costs. A wave of decolonization that began with the American Revolution in 1776 yielded a large number of new countries in the Western Hemisphere in the early 1800s that were available for international trade relations and seeking foreign capital for economic development.

Meanwhile, a new school of liberal economics challenged mercantilism. In his 1776 treatise, *On the Wealth of Nations*, the Scottish economist and philosopher Adam Smith (1723–90) argued that permitting competitive markets would maximize productivity for all nations.² Smith's argument was bolstered by the early-19th-century classical economists, most notably British political economist David Ricardo (1772–1823), who formulated the theory of comparative advantage. In 1846, the United Kingdom, the most important European economy at the time, repealed its grain tariffs, known as the 'corn laws,' moving that country toward a policy of free trade, a decision reflecting not only an ideological shift, but the growing power of a manufacturing sector that did not benefit from agricultural protection. Other European countries followed the British example of lowering at least some trade barriers.

The conclusion of FCN treaties continued to be a common practice among European nations in the 1800s and the United States had initiated its own FCN treaty practice in the 1770s. FCN treaties were concluded not only among these countries, but by mid-century with countries in Latin America, Asia, and Africa. The MFN principle was widely accepted in these treaties and guarantees of national treatment with respect to certain matters sometimes appeared. Treaties with countries in Asia and Africa often included extraterritoriality provisions, exempting Europeans or Americans from local law or legal process.

In 1860, reflecting the movement toward freer trade, the United Kingdom and France concluded a commercial treaty that not only guaranteed MFN treatment but reduced tariff rates and even eliminated some tariffs. To avoid being disadvantaged by that arrangement, a number of other countries quickly concluded similar agreements, liberalizing trade in Europe. Scores of such treaties would be concluded over the next half century.³

The need for capital in the Western Hemisphere drew substantial amounts of investment from Europe in the early 1800s, typically in the form of portfolio investment in public works and transportation. The invention of telegraphy and the laying of a trans-Atlantic cable in 1866 enabled the

2 Adam Smith, *An Inquiry into the Nature and Causes of the Wealth of Nations* (1776; RH Campbell and AS Skinner eds, OUP 1976).

3 Alan O Sykes, *The Law and Economics of International Trade Agreements* (Edward Elgar 2023) 56.

rapid communication over large distances necessary to monitor investment abroad, facilitating a substantial increase in the quantity of foreign direct investment.

FCN treaty provisions for the security of foreign-owned property were becoming broader in the 1800s. These treaties often required each party to provide 'full protection' to the persons or property of nationals of the other party, or words to that effect. Some treaties required just compensation for property that was taken.

The extensive investment by European investors in the Western Hemisphere put considerable amounts of capital at risk and defaults were not uncommon. Governments sometimes employed military force to compel payment of debts. Disagreement emerged within the international community regarding the protection of foreign investment under customary international law. Developed countries argued that customary law required that host countries provide a minimum standard of treatment for foreign investment, while developing countries, most notably those in Latin America, embraced the Calvo Doctrine. Under that doctrine, formulated by the Argentine jurist Carlos Calvo (1824–1906), foreign nationals were not entitled to treatment any more favourable than that accorded by a host country to its own nationals.

By 1914, the international economy had achieved a level of integration that would not be replicated until the end of the century. The increase in international trade and foreign investment was made possible by international monetary policy. As has been seen, paper money traditionally had been backed by gold or, in some cases, silver. By the 1870s, however, most major European countries and the United States had adopted the gold standard.

Under the gold standard, countries fixed the value of their currencies in relation to gold and pledged to exchange their currencies for the gold equivalent upon demand. Because every currency on the gold standard had a fixed value in relation to gold, every such currency therefore had a fixed value in relation to every other such currency. The gold standard facilitated international trade and investment because it eliminated exchange risk; *i.e.* the risk that the relative values of currencies would change during the course of a transaction before payment was made or returns were received. By restricting the money supply, however, the gold standard limited the ability of governments to control their economies.

III. The Collapse of the First Era of Globalization

The geopolitical conditions that had made 19th-century globalization possible collapsed with the outbreak of World War I (1914–18), which turned the major economies of the world into armed belligerents. Hostilities disrupted international trade flows and, even where trade remained possible, countries imposed trade restrictions to protect foreign exchange reserves needed to fund the war effort. Further, as countries borrowed heavily to finance the war effort, they could no longer honour their commitment to maintain the value of their currency in relation to gold, resulting in abandonment of the gold standard.

The end of the war left an international bitterness that precluded reconstruction of the global economy on the same basis on which it had previously existed. The 1919 Treaty of Versailles kept alive wartime animosities. It required Germany to accept blame for the war and to pay to its European wartime adversaries onerous reparations, which it was able to afford only with restructuring agreements and loans from the United States.

Countries abandoned the economic liberalism of the pre-war period in favour of economic nationalism, essentially, mercantilism under a new name. The economic nationalists of the inter-war period sought to advance their national interest not only through trade protection, but through economic self-sufficiency. Many countries pursued import substitution industrialization policies

under which they endeavoured to develop domestic industries to produce goods for local consumption, rather than relying on imports. They also adopted, for the first time, restrictions on inward foreign investment.

The Great Depression, the global economic downturn that began in 1929, only exacerbated the situation. In 1930, hoping to protect US-made products against foreign competition and to limit rising unemployment, the United States enacted the infamous Hawley-Smoot tariff, which raised the average tariff rate on dutiable goods to 59.1%. Other countries retaliated with higher tariffs and import quotas. The United Kingdom instituted its Imperial Preference System to promote trade within the empire, at the expense of imports from without. To protect gold reserves and limit imports, countries enacted exchange controls, impeding trade and capital mobility. By 1934, world trade was at one-third of 1929 levels.

A number of countries had returned to the gold standard after the war, but their return impeded expansion of the money supply needed to stimulate the economy during the depression. In 1931, the United Kingdom abandoned the gold standard, an action soon followed by other countries, leading to rounds of competitive devaluations of their currencies. The United States, the world's largest economy at that point, suspended free convertibility of the dollar in 1933. The depression also curtailed further lending to Germany, which deepened the economic distress in that country, a distress that had fuelled Adolf Hitler's rise to power.

IV. The Cold War Era

While World War I had destroyed the pre-war liberal international economic order, World War II created the conditions for the creation of a new liberal order. Franklin D. Roosevelt (1882–1945), elected US president in 1932, had initiated an ambitious liberal domestic program, known as the New Deal, to address the Great Depression. Even before the United States entered the war, the Roosevelt administration was already planning the structure of a liberal post-war international economic order.

The planning rested on the belief that the international community must avoid the mistakes of the interwar period, particularly the adoption of economic protectionist and isolationist measures, which US policymakers believed had deepened the severity of the Great Depression and led to World War II. Securing world peace required a healthy global economy with full employment and rising standards of living everywhere. To accomplish this, these policymakers believed, the new post-war order must embrace the liberal principles that had prevailed in some form in international economic relations before 1914. The post-war order would differ from the pre-war period, however, in that it would rest on multilateral agreements rather than the bilateral treaties that had structured international economic law in the past.

The Roosevelt administration believed that the most important element of the post-war international economic order was the promotion of international trade. The United States expected that it would be producing a surplus of goods following the war and the reduction of trade barriers would enable the United States to export the surplus and generate fuller employment. The reduction of trade barriers would also enable other countries to export their goods and to earn the dollars that they would need to purchase US exports. The desired increase in trade would be facilitated by new technological developments in transportation, such as the containerization of cargo and the development of civil aviation, while mass communication would break down cultural barriers, foster consumerism, and create demand for foreign goods.

At least in the years immediately following the war, however, few countries would be capable of producing very much for export. Europe was devastated by the war, while much of the rest of

the world was economically underdeveloped. Without exports to generate foreign exchange, these countries would be unable to purchase imports. Thus, merely lowering trade barriers would not be enough. A means must be found to reconstruct Europe and to promote economic development in Africa, Asia, and Latin America so that countries in these regions could participate more fully in the global economy.

Two geopolitical events would complicate efforts by the United States to create a post-war liberal international economic order. First, the end of the war witnessed a growing geopolitical rivalry between the Soviet Union and the United States, a rivalry that quickly evolved into the Cold War. Ultimately, the Soviet Union and its communist satellites and allies would decline to join the agreements that would structure the post-war liberal order. As late as the 1980s, a third of the world's population lived under communist regimes. The effort to halt the spread of communism, however, did provide the United States with further reason to provide economic assistance to the developing world.

Second, the end of the war and the founding of the United Nations triggered a process of decolonization that created dozens of new nations by the 1960s. These nations, protective of their newly gained independence, feared that political domination by former colonial powers would be replaced by economic domination by developed countries and their multinational enterprises. Concerned about economic dependency and caught between the Western and Soviet blocs, many developing countries were slow to sign the agreements that would structure the liberal post-war economic order.

The Bretton Woods System

The first era of globalization had been underpinned by the gold standard, but that system had not survived the Great Depression. As early as 1941, Harry Dexter White (1892–1948), an assistant to US Treasury Secretary Henry Morgenthau (1891–1967), and Lord John Maynard Keynes (1883–1946), an advisor to the British Treasury, began to discuss an international monetary system to replace the gold standard. White and Keynes believed that the two defining features of the gold standard—fixed exchange rates and capital mobility—had aggravated the severity of the Great Depression. Fixed exchange rates prevented countries from adopting expansionary monetary policies needed during times of falling demand. If a country lowered interest rates to promote investment and recovery, capital mobility would allow investors to re-invest their money in another economy where interest rates were higher. If a country raised interest rates to draw capital, the higher interest rates could impede recovery. White and Keynes hoped to devise a system that would provide the stable exchange rates needed to promote international trade, but without the rigidity or the capital mobility of the gold standard.

In July 1944, 44 nations convened the United Nations Monetary and Financial Conference at the Mount Washington Hotel in Bretton Woods, New Hampshire. They adopted a plan that became known as the Bretton Woods system, under which the US dollar would have a fixed value in relation to gold of \$35 per ounce, while other currencies would have a fixed value in relation to the dollar. Countries other than the United States could choose to fix their currencies in relation to gold instead, but none did. Countries would maintain the declared value of their currencies by buying and selling them in the foreign exchange market.

The conference created the International Monetary Fund (IMF), which could provide the flexibility that the gold standard lacked. If a country was facing short-term pressure on the value of its currency, such as a temporary decrease in exports that limited demand for its currency, the IMF would lend foreign exchange to that country that could be used to maintain the value of its

currency. If it appeared that a currency was fundamentally over or undervalued, then, with the approval of the IMF, the country could modify its exchange rate.

Because White and Keynes believed that capital flight had aggravated the Great Depression, the IMF Articles of Agreement allowed countries to impose exchange controls on transfers of capital.⁴ Consistent with the US policy of promoting international trade, however, the IMF Articles of Agreement prohibited members from imposing exchange controls on transactions related to trade, except with the approval of the IMF. Because most countries in 1944 had serious foreign exchange shortages and could not guarantee free convertibility of their currency even for trade transactions, the Articles of Agreement allowed countries to defer their obligations to avoid exchange controls for a transitional period. The principal European currencies became convertible for most current transactions only in 1958. Convertibility for capital transactions was a much slower process that even for European countries stretched into the 1980s and early 1990s.

The Bretton Woods conference also created an International Bank for Reconstruction and Development (IBRD).⁵ The purpose of the IBRD was to provide loans to countries on concessionary terms to enable the reconstruction of war-torn countries and to promote economic development throughout the developing world. Such a bank was believed necessary because private investors would be reluctant to invest in needed public works that were unlikely to generate a return for a long period of time.

The General Agreement on Tariffs and Trade

The Bretton Woods conference had created a new international monetary system and a bank to promote economic reconstruction and development but had not provided any mechanism to dismantle trade barriers, apart from the prohibition on exchange controls for trade-related transactions. As early as 1942, the United States began work on a proposal for an International Trade Organization (ITO) that would sponsor multilateral negotiations to reduce barriers to international trade. International trade, however, posed a more difficult problem than monetary or development policy. One reason was that the United States and the United Kingdom disagreed over whether the latter would be allowed to maintain its Imperial Preference System after the war. Another reason was that the ITO charter was more comprehensive than the IMF and IBRD agreements. Thus, the United Kingdom and the United States did not reach agreement on a proposed ITO charter until after the conclusion of the Bretton Woods conference. Negotiations on the basis of the joint US-UK proposal began in London in 1946, continued in Geneva in 1947, and were completed in Havana in 1948.

Meanwhile, during the ITO charter negotiations in Geneva, 23 countries that, together, accounted for some 80% of world trade conducted a separate multilateral negotiation directed at an agreement on immediate tariff reductions, without waiting for entry into force of the ITO charter. These negotiations resulted in the adoption of a General Agreement on Tariffs and Trade (GATT).⁶

The GATT included a schedule of commitments under which each party would set tariffs at levels not to exceed limits specified in the schedule, commitments known as 'bindings.' Article

4 Articles of Agreement of the International Monetary Fund, adopted at the United Nations Monetary and Financial conference, Bretton Woods, New Hampshire, 1–22 July 1944, signed at Washington 27 December 1945.

5 Articles of Agreement of the International Bank for Reconstruction and Development, done at Bretton Woods, 22 July 1944, in force 27 December 1945, 2 UNTS 134.

6 General Agreement on Tariffs and Trade, 30 October 1947, 55 UNTS 194.

I guaranteed to the parties MFN treatment with respect to tariffs. The GATT also included a set of general obligations intended to reduce non-tariff barriers to trade. For example, Article III prohibited discriminatory regulatory policies, Article VI restricted anti-dumping and countervailing duties, and Articles XI and XIII limited the use of quantitative restrictions. The obligations were not absolute, however. Article XII permitted the use of quantitative restrictions to protect a party's balance of payments. Article XIX authorized a party to deviate from its tariff commitments in the event of an import surge, while Articles XX and XXI contained various exceptions, such as for measures to protect public health or a country's essential security interests. Article XXIV authorized the formation of customs unions and free trade areas, the members of which would be permitted to grant to each other trade concessions that would not be subject to the GATT's MFN obligation, in effect allowing the members to grant preferential trade treatment to each other, on the condition that they liberalized 'substantially all the trade' as among themselves.

Because it was expected to be a temporary agreement, the GATT did not create any kind of administrative body. Any decisions necessary to the implementation of the agreement, such as granting any waivers from GATT commitments or the scheduling of future rounds of negotiations, would be made by the contracting parties collectively.

By 1948, when the ITO charter negotiations concluded, the war having ended three years earlier, the spirit of international cooperation among the allies that prevailed at Bretton Woods in 1944 had faded. The negotiation of the ITO charter involved numerous debates and compromises. When the final document became public, many in the US business community were disappointed, particularly by provisions on the protection of foreign investment, which they saw as guaranteeing less protection than that already provided by customary international law. Because the desired reduction in trade barriers was already being achieved through the GATT negotiations, critics saw the ITO charter as unnecessary. With little business support for the charter and the Cold War requiring action by Congress on other measures, the Truman administration (1945–53) abandoned its efforts to secure Congressional approval of the charter. The charter never entered into force.

Following the abandonment of the ITO charter, the GATT contracting parties undertook the task of creating an organizational structure to continue the work of trade liberalization. They established a secretariat in Geneva and formed committees to address issues that arose between formal negotiating rounds. Several such rounds were held over the next two decades, including the Annecy Round in 1949, the Torquay Round in 1950–51, another Geneva Round in 1956, the Dillon Round in 1960–61, and the Kennedy Round in 1964–67.

These early rounds resulted in substantial reductions in tariffs and, by the 1960s, the relative significance of non-tariff barriers to trade was becoming increasingly apparent. The Tokyo Round, held from 1973 to 1979, produced nine new agreements on various non-tariff barriers, such as technical barriers to trade, subsidies, antidumping measures, government procurement, and customs valuation. These additional 'codes' bound only those GATT parties that acceded to them.

International Investment Law

While the United States regarded trade and monetary policy as the most important tools for promoting full employment and a rising standard of living around the world, the Roosevelt and Truman administrations recognized, however, that lowering trade barriers and stabilizing currencies would not be enough to achieve those goals. Rebuilding the world economy would also require an infusion of capital, some of which would come from the IBRD. Because public funds were limited, however, private investment would need to play the primary role in providing the

required capital. The United States was expected, at the end of the war, to have an enormous surplus of capital, and it became US policy after the war to promote the investment of this capital abroad.

One obstacle to the promotion of outward investment was the risks involved, particularly the risks of exchange controls, expropriation, losses from wars or civil disturbances, and discriminatory treatment. The United States initiated an investment guarantee program under which it would sell to US foreign investors insurance against certain of these risks. The US business community told State Department officials, however, that the most effective way to encourage investment abroad was to conclude treaties providing protections against such risks. The United States had tried to include investment protections in the ITO charter, but this effort had failed when developing countries insisted on weakening the provisions in ways that made them unacceptable to the US business community. The failure of this multilateral effort persuaded US policymakers that effective protection for foreign investment could be obtained only through bilateral negotiations and established an important exception to the multilateralism of US post-war foreign economic policy. The State Department began to add more investment protections to its FCN treaties and, by 1949, with the GATT by then providing the principal framework for trade, it was referring to the FCNs as primarily investment treaties.

The standard draft FCN treaty guaranteed fair and equitable treatment and the most constant protection and security for foreign-owned property. It also required national and MFN treatment with respect to the right to engage in business activities. It prohibited unreasonable or discriminatory measures that would impair property rights and prohibited expropriation of protected property except for a public purpose, with prompt payment of just compensation in an effectively realizable form and on a non-discriminatory basis. It also restricted the imposition of exchange controls. The parties consented to the submission of disputes involving the interpretation or application of the treaty to the International Court of Justice.

Efforts by developing countries to gain control over the economic resources in their territories resulted in hundreds of expropriations of foreign investment from the early 1950s through the mid-1970s, demonstrating to developed countries the threat to their foreign investment and accentuating their need for treaty protection. In 1959, the Federal Republic of Germany (FRG) concluded with Pakistan a bilateral investment treaty (BIT) that, unlike the US FCN treaties, dealt solely with investment protection. The impetus for the German program was similar to that behind the US program.⁷ By the late 1950s, the reconstruction of the FRG had resulted in a persistent trade surplus and a balance of payments surplus. The FRG wished to export its surplus capital, as the United States was doing. To encourage outward investment, it created an investment guarantee program similar to the US program and, to minimize the risk to investments, it prepared a draft BIT, the conclusion of which was a prerequisite to participation in the insurance program. Pakistan, which was seeking foreign investment as part of a plan to industrialize, was fully prepared to conclude a bilateral treaty to protect foreign investment, making it an opportune first BIT partner for the Germans.

The German BITs largely provided the same protection as the US FCN treaties, with a few notable differences. The German BITs contained the parties' consent to arbitration rather than adjudication by the International Court of Justice. The FRG was not then a member of the United Nations and thus was not a party to the statute of the court. The German BITs did not guarantee

7 See Ingo Venzke and Philipp Gunther, 'International Investment Protection Made in Germany? On the Domestic and Foreign Policy Dynamics Behind the First BITs' (2002) 33 *European Journal of International Law* 1183.

non-discriminatory treatment with respect to the right to establish investment, but they did include a provision under which the parties agreed to observe any obligation into which they had entered with respect to investment.

The FRG was immediately more successful at concluding its BITs than the United States was at concluding the more complex FCN treaties. The German example was followed by other Western European countries in the 1960s, including France, Switzerland, the Netherlands, Italy, the Belgium-Luxembourg Economic Union, Sweden, Denmark, and Norway. In the 1970s, the United Kingdom, Austria, Japan, and the United States initiated their BIT programs.

In 1965, the IBRD opened for signature a convention creating the International Centre for Settlement of Investment Disputes (ICSID).⁸ ICSID provided a set of rules and institutional support for the arbitration of investment disputes between investors and host states. The 1968 Netherlands-Indonesia BIT included a provision under which the parties consented to arbitration before ICSID, allowing investors to initiate arbitration to resolve claims of BIT violations. Other countries followed that example and, by the 1980s, a provision for investor-state arbitration was virtually universal in BITs then being concluded.

The longstanding division between developed and developing countries over the protection provided by customary international law for foreign investment continued. In 1974, the United Nations General Assembly, where developing countries were a majority, adopted the Declaration on the Establishment of a New International Economic Order⁹ and the Charter of Economic Rights and Duties of States,¹⁰ declaring that states had the right to expropriate foreign property upon payment of ‘appropriate’ compensation, taking into account the expropriating state’s laws and all circumstances that the state considered pertinent. These instruments, resting on developing country concerns about inequality and economic dependency, appeared to reject the developed country position that payment of fair market value was required by customary law, again signalling to developed countries the need to obtain treaty protection for foreign investment.

The End of Bretton Woods

The Bretton Woods system endured for nearly three decades, but it ultimately became a victim of the Cold War and the success of the post-war international economic order. The United States had spent heavily during the Cold War maintaining a network of military bases around the globe and waging the Vietnam war, resulting in a steady outward flow of dollars. The post-war order rebuilt and restored the competitiveness of Europe and Japan, which were exporting more to, and importing less from, the United States, further draining dollars. New social welfare programs in the United States combined with defence spending increased inflation in the US economy, which made US exports more expensive, aggravating the US trade deficit. Foreigners holding dollars feared that the United States would eventually be forced to devalue the dollar in order to reverse the trade deficit and decided to exchange their dollars for gold, resulting in a severe depletion of US gold reserves. On 15 August 1971, President Richard Nixon (1913–94) suspended the convertibility of the dollar to gold, effectively ending the Bretton Woods system.

⁸ Convention on the Settlement of Investment Disputes between States and Nationals of other States (ICSID Convention), 18 March 1965, 17 UST 1270.

⁹ United Nations General Assembly Resolution 3201 (S-VI) of 1 May 1974, Declaration on the Establishment of a New International Economic Order.

¹⁰ Charter of Economic Rights and Duties of States, General Assembly Resolution 3281 (XXIX), 12 December 1974.

Countries no longer had a uniform method of setting their exchange rates. By 1973, the major currencies began to ‘float.’ That is, countries allowed the value of their currency to be set by market forces and to fluctuate within some desired range. Other countries ‘pegged’ the value of their currency to another currency or group of currencies. Countries intervened in the markets to buy or sell their currencies to keep the market price within the prescribed range or at the pegged rate.

In 1976, a committee of the IMF Board of Governors adopted the Jamaica Accords, a set of recommendations to amend the IMF Articles of Agreement to bring them into conformity with the actual practice that had emerged since 1971. In particular, the amendment, which took effect in 1978, abolished the official price of gold in dollars. It also authorized floating exchange rates, eliminating the obligation to defend an official exchange rate. In order to achieve greater flexibility in their economic policies, members of the international community had abandoned the currency stability promised by both the gold standard and the Bretton Woods system.

Although the Bretton Woods exchange rate system collapsed, the IMF and IBRD continued their important role as lenders, acquiring 190 and 189 members, respectively, by 2020. Between 1959 and 1991, they were joined by regional development banks in the Americas, Africa, Asia, and Europe.

V. The Second Era of Globalization

The United States had designed a liberal post-war international economic order, but the refusal of the Soviet Union and China to participate in the GATT, the IMF, or the IBRD had prevented that order from becoming a truly global legal regime. The collapse of the Soviet Union at the end of the 1980s, however, ended the Cold War and, as former Soviet republics and satellites rushed to create market economies, the liberal post-war order became a global one.

The demise of the Soviet Union occurred at the end of a decade when the two nations most responsible for the creation of the liberal post-war order, the United States and the United Kingdom, were pursuing neoliberal economic policies. Such policies found support among other major developed countries, including Germany and Japan. Neoliberalism called for a minimal role for the state in economic affairs and prescribed privatization of state-owned enterprises, deregulation, and the liberalization of trade and investment. A liberalism based on a minimalist state differed from the New Deal liberalism of the Roosevelt administration that had underlain the liberal post-war international economic order, but the international institutions created in the 1940s were flexible enough to accommodate the ideological shift. The neoliberal policies of the US Treasury Department were echoed by the IMF and the IBRD, institutions that collectively followed a set of neoliberal policies that became known as the ‘Washington Consensus’ and that developing countries were often required to follow as a condition of obtaining loans. This practice, known as ‘conditionality,’ imposed on borrowers structural adjustment programs that could entail painful reductions in spending and currency devaluations.

International Trade Law

In 1986, amidst this neoliberal revolution, the GATT commenced the Uruguay Round. By this time, important changes in world trade had occurred in the nearly four decades since the GATT was concluded. Developed countries increasingly relied on exports of services rather than goods and yet the GATT covered only trade in goods. Some developed countries were exporting substantial quantities of intellectual property and wished to protect that property against piracy, which the GATT did not do. Because the GATT contained no mechanism to address claimed violations

of GATT obligations, the contracting parties had created a dispute resolution process that required consensus to authorize sanctions.

The Uruguay Round addressed all of these concerns. It produced an agreement to establish a new organization, the World Trade Organization (WTO), that would play a role similar to that originally envisioned for the ITO.¹¹ The WTO agreement created a secretariat, which occupies the same facilities in Geneva that the GATT secretariat had occupied. Countries that join the WTO also accede to a series of other agreements annexed to the WTO agreement. These include the GATT itself, which was modified during the Uruguay Round, producing a new agreement generally known as ‘GATT 1994.’¹² The original GATT was terminated, which meant that any country that declined to join the WTO would be left outside the world trading system. The annexes to the WTO Agreement also encompass the General Agreement on Trade in Services¹³ and the Agreement on Trade-Related Aspects of Intellectual Property Rights,¹⁴ which required members to enact domestic legislation to protect intellectual property rights. The Dispute Settlement Understanding¹⁵ established a mechanism for resolving disputes concerning a party’s compliance with its WTO obligations that was more effective than the GATT system. WTO membership grew to 165 countries by 2023, including China, admitted in 2001, despite having maintained a non-market economy.

In 1992, Mexico, Canada, and the United States concluded the North American Free Trade Agreement (NAFTA),¹⁶ which included investment protection provisions as well as trade provisions. Since then, some 450 free trade agreements with investment chapters have been concluded. The mixing of trade and investment provisions in the same agreement marked a return to the model of the FCN treaties, in which trade and investment provisions appeared together. These new agreements protected foreign affiliates while facilitating trade among them. This model reflected an evolution in international economic relations toward much deeper integration. In an earlier time, a company might establish an investment in another country to produce goods for sale there as an alternative to trade. By the 1990s, rather than replacing trade, investment often promoted it. Technological developments—including, in particular, personal computers, the internet, and smartphones—enabled transnational companies to manage highly complex production and distribution systems, permitting the creation of global value chains. These developments also facilitated the offshoring of services. By the early 2000s, the global economy was deeply integrated. More than half of all international trade was between affiliated entities spread around the world.

International Investment Law

The rate at which BITs were concluded increased dramatically in the 1990s. Fuel prices had risen dramatically following the 1973 Yom Kippur War and the 1979 Islamic Revolution in Iran,

11 Marrakesh Agreement Establishing the World Trade Organization, 15 April 1994, 1867 UNTS 154.

12 General Agreement on Tariffs and Trade 1994, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1A, 1867 UNTS 187, 33 ILM 1153 (1994).

13 General Agreement on Trade in Services, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1B, 1869 UNTS 183, 33 ILM 1167 (1994).

14 Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement), 15 April 1994, Marrakesh Agreement Establishing the World Trade, Annex 1C, 1869 UNTS 299.

15 Understanding on the Rules and Procedures Governing the Settlement of Disputes, Dispute Settlement Understanding (DSU), Annex 2 to the Marrakesh Agreement, 1869 UNTS 401, 33 ILM 1226 (1994).

16 North American Free Trade Agreement, 17 December 1992, in force 1 January 1994, 32 ILM 289 (1993).

requiring developing countries to borrow heavily to pay for the cost of energy and leading to loan defaults in the early 1980s. Private banks were thereafter more cautious about lending to developing countries. The conditionality policies of the IBRD and the IMF imposed austerity measures that developing countries preferred to avoid. Increasingly, private foreign investment appeared to be the most available and desirable source of the capital needed for economic development. Meanwhile, the stunning success of several East Asian economies—such as Japan, Hong Kong, Singapore, South Korea, and Taiwan—suggested that opening an economy to international trade and investment could promote economic development. Further, the collapse of the Soviet Union had demolished support for central planning as a means of economic development, leading more states to embrace freer markets. Taken together, these factors created a widespread consensus in the 1990s in favour of creating a favourable environment for foreign investment, including through the removal of restrictions on inward investment and the conclusion of BITs, an attitude that fit well with the neoliberalism of the Washington Consensus. Public debates between developed and developing countries regarding the extent of protection for foreign investment provided by customary international law ceased, as capital importing countries competed to demonstrate their commitment to protecting foreign investment.

The number of BITs exploded. Whereas in the 30 years between 1959 and 1989, a total of 386 BITs worldwide were concluded, by the 2020s, more than 2800 BITs had been concluded, with more than 150 countries being a party to at least one BIT. By 2023, more than 1250 claims had been submitted to investor-state arbitration under an international agreement on investment, with more than 130 countries having been named as a respondent. Awards had been issued in some 900 cases, ordering compensation totalling billions of dollars.

Fragmentation

In the mid-1990s the post-war liberal international economic order sought by the United States through multilateral agreements seemed to triumph. Yet, during those very years, important challenges to the liberal order and to multilateralism emerged, eventually threatening to fragment and stall globalization.

One important challenge arose from the success of the liberal order itself. Liberalization was expected to promote economic development, and it did. The extent of global poverty diminished and many developing countries experienced a growing middle class, with some developing countries achieving gross domestic product levels that exceeded those of many developed countries. The economic benefits, however, were not evenly distributed. In some developed countries, for example, industrial areas were devastated when manufacturing jobs were relocated to low-wage countries.

These distributional consequences were felt acutely in the United States. Because the United States was the architect of the post-war international economic order and the world's largest economy, changes in attitudes toward globalization there would be particularly consequential. Although the US economy was experiencing robust growth in the 1990s, the country was evolving from a manufacturing to a service economy and the number of manufacturing jobs in the United States had been declining since 1979. The effort to obtain Congressional approval of the NAFTA in 1993 drew opposition from both labour and environmental groups. The former were concerned about the loss of manufacturing employment to Mexico. The latter worried that free trade agreements would encourage the lowering of environmental standards to attract foreign investment. Although Congress approved the NAFTA, the debate coalesced opposition to free trade agreements.

The post-war international investment regime also became a target of opposition. A series of financial crises in Latin America in 1994–95, Asia in 1997–98, Russia in 1998, and Brazil in 1999 were attributed to financial liberalization, triggering much criticism of the Washington Consensus. Further, beginning in 1997, several claims under the NAFTA were submitted by investors to investor-state arbitration against the three NAFTA parties in quick succession. Previous investor-state arbitrations had involved claims under BITs against developing countries for relatively modest sums as compensation for physical damage to property. These NAFTA claims, however, sought compensation in the hundreds of millions of dollars for losses arising from routine regulatory measures or commercial adjudications. They triggered widespread concerns that even countries with domestic legal systems highly protective of investment could be required to defend themselves against claims of enormous size for good-faith legislative or judicial actions. Environmental, consumer, and health groups called for reforming or eliminating investor-state arbitration and revising the language of investment agreements to preserve the host state's regulatory discretion.

The United States and Canada responded to these claims by drafting new model BITs intended to address many of these criticisms by articulating treaty protections with more carefully drawn, narrower language and by modifying the investor-state arbitral process. These revisions inspired a new generation of investment agreements intended to reserve greater regulatory discretion for host states and to reform or eliminate investor-state arbitration.

Although countries continued to conclude traditional BITs based on treaty models as they had evolved by the 1980s, since the early 2000s a growing proportion of BITs are of the new generation. Some countries have gone farther and terminated their old-generation BITs. By the early 2020s, the number of BITs terminated annually exceeded the number of new BITs concluded, with the result that the total number of BITs in force began to decline.

Meanwhile, the WTO agreement had contemplated periodic negotiating rounds like those conducted under GATT auspices. The first WTO round was supposed to begin in 1999 in Seattle. Anti-globalization activists, however, mounted substantial demonstrations against the round in what became known as the 'Battle in Seattle.' Initiation of the round was delayed for two years. In 2001, the WTO finally initiated the Doha Round, intended to address, especially, issues of importance to developing countries, such as trade in agriculture.

The round, however, failed to reach an agreement. By then, globalization had resulted in the emergence of new economic powers, such as China, India, and Brazil, whose interests did not necessarily align with those of the traditional economic powers, such as the United States, the European Union, and Japan, that had led the negotiation of the WTO agreements. The divergent interests among the most powerful WTO members made concluding multilateral agreements within the WTO difficult, although occasional successes have occurred, such as a 2022 agreement limiting fishery subsidies and promoting the sustainability of fishing stocks. Trade negotiations continued within the WTO, but the emphasis shifted from negotiating global agreements binding on all members to the negotiation of 'plurilateral' agreements open to members who wished to accede to them, but not binding on others.

Given the difficulty of achieving trade agreements within the WTO, groups of like-minded WTO members turned to the negotiation of preferential trade agreements (PTAs) among themselves. Most WTO members now belong to at least one such PTA. Some of these agreements predate the WTO, such as the European Union, the Association of Southeast Asian Nations, and the Common Market of Eastern and Southern Africa. More recent PTAs include the Comprehensive

and Progressive Agreement for Trans-Pacific Partnership (CPTPP),¹⁷ the Regional Comprehensive Economic Partnership (RCEP),¹⁸ and the African Continental Free Trade Agreement (AfCFTA).¹⁹

The Twenty-First Century has brought new challenges to the liberal international economic order. Deregulation associated with neoliberalism produced the Great Recession of 2008–09, during which world trade fell by 15%. Although international trade levels rebounded, since the return to pre-recession levels they have remained constant or declined as a percentage of gross domestic product. Flows of foreign direct investment also fell during the Great Recession. They, too, rebounded, but since 2015 they have declined as a percentage of gross domestic product.

The organized opposition to globalization has continued to grow and the emergence of social media has enabled globalization critics to organize more effectively. In 2016, the United Kingdom held a referendum in which a majority voted to leave the European Union. That same year, Donald Trump campaigned successfully for the US presidency as an economic nationalist who opposed trade agreements as destructive of manufacturing jobs and as an ethnic nationalist opposed to immigration. His administration (2017–21) withdrew the United States from the agreement that became the CPTPP, re-negotiated the NAFTA (which was renamed the United States–Mexico–Canada Agreement),²⁰ terminated the negotiation of a free trade agreement with the European Union, imposed tariffs on Chinese exports (which triggered a trade war between the two countries), raised tariffs on steel and aluminium, and blocked the appointment of new members of the appellate body of the WTO dispute settlement mechanism, rendering the body inoperable and leading some members to join an interim agreement to arbitrate their appeals. The Biden administration, elected in 2020, faced pressure from electorally important industrial states and left much of the Trump trade policy in place. The United States, which had led the creation of the post-war liberal international economic order, was no longer leading. Or, rather, it was, perhaps, leading in the opposite direction. The trading system was becoming increasingly multipolar, creating a further force for fragmentation.

The 2020s began with the COVID-19 pandemic, which disrupted international trade and demonstrated the vulnerability of global value chains, prompting some businesses to relocate more of their operations nearer to their markets. Russia's invasion of Ukraine in 2022 created geopolitical fragmentation reminiscent of the Cold War, with the United States and Europe providing aid to Ukraine and Russia attracting Chinese support. Russia reduced gas supplies to Europe, while the United States and its European allies imposed economic sanctions on Russia, events that disrupted trade and created further concerns about import dependency. With China both an economic and a geopolitical rival, the United States imposed restrictions on the export to China of semiconductor

17 The Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) is a free trade agreement (FTA) between Australia, Brunei Darussalam, Canada, Chile, Japan, Malaysia, Mexico, Peru, New Zealand, Singapore, and Vietnam. The CPTPP was signed on 8 March 2018 in Santiago, Chile. It entered into force on 30 December 2018 for Australia, Canada, Japan, Mexico, New Zealand, Singapore; on 14 January 2019 for Vietnam; on 19 September 2021 for Peru; on 29 November 2022 for Malaysia; and on 21 February 2023 for Chile. On 16 July 2023, CPTPP Parties and the United Kingdom signed the UK's Accession Protocol to enable the UK to join the CPTPP.

18 The Regional Comprehensive Economic Partnership (RCEP) is a free trade agreement among Australia, Brunei, Cambodia, China, Indonesia, Japan, South Korea, Laos, Malaysia, Myanmar, New Zealand, the Philippines, Singapore, Thailand, and Vietnam. Signed on 15 November 2020, it entered into force on 1 January 2022 for the first ten ratifying countries.

19 Agreement Establishing the African Continental Free Trade Area (AfCFTA) adopted on 21 March 2018, in force 5 February 2021 <https://au.int/sites/default/files/treaties/36437-treaty-consolidated_text_on_cfta_-_en.pdf>.

20 Canada–United States–Mexico Agreement (USMCA), signed on 30 November 2018, in force 1 July 2020.

technology on national security grounds, while authorizing subsidies for the semiconductor sector in order to boost US competitiveness. Because most semiconductors are manufactured outside the United States, implementation of the export restrictions required third countries to comply, thus ‘weaponizing’ trade interdependence. Trade restrictions on national security grounds and industrial policy became common features of the world trading system and more countries became conscious of the vulnerability associated with trade dependency.

These forces for fragmentation occur at a time when the task of economic development remains unfinished and when many are calling for multilateral cooperation to combat climate change, including through the use of international economic law. Decades of globalization have deeply integrated the world economy. Moreover, artificial intelligence offers the promise of a further transformative and integrative power that cannot yet be fully imagined. Nevertheless, globalization has slowed. The future of international economic law, as was its past, will be driven by a variety of factors, including geopolitical circumstances, economic conditions, technological developments, and ideological commitments.

THE PLACE OF INTERNATIONAL ECONOMIC LAW IN THE INTERNATIONAL LEGAL ORDER

Valentina Vadi

1. Introduction

The universe of international law has been pondered for generations. Yet its nature remains highly debated: Is international law international?¹ Does it exist, or does it merely disguise power politics?² Is it law?³ Does it effectively constrain state behaviour, or can it be easily overlooked?⁴ International law scholars have not reached definitive answers to these questions.

While international law certainly deserves the name of ‘law,’⁵ it exists in a liminal space between law and politics.⁶ It is also not a perfectly homogeneous construct carefully planned and harmoniously developed. Instead, international law is perceived differently across various parts of the world. Its historical evolution reveals a disordered, if not chaotic, development responding to human needs while also being shaped by power dynamics and material contingencies.⁷ For lawyers trained in municipal or comparative law, the universe of international law can be confusing due to the absence of known markers and the presence of uncommon features.⁸ Historically designed to govern and constrain states, international law suffers the paradox that states are not only its primary subjects but also its makers. There is neither a world parliament nor an international government to enforce international law.⁹ Unlike supreme domestic courts, the International

1 A Roberts, *Is International Law International?* (OUP 2017) (challenging the conception that international law is universal and that international lawyers exist in a single ‘invisible college’).

2 AT Guzman, ‘Rethinking International Law as Law’ (2009) 103 *Proceedings of the Annual Meeting (American Society of International Law)* 155–56.

3 S Gonzalez Hauck, ‘History of International Law’ in S Gonzalez Hauck, R Kunz and M Milas (eds), *Public International Law—A Multiperspective Approach* (Routledge 2024) 3, 5.

4 V Vadi, ‘Taming the Leviathan? The Reason of State in International Law’ (2024) 26 *Journal of the History of International Law* 423–60.

5 H Thirlway, *The Sources of International Law, Foundations of Public International Law* (OUP 2014) 1.

6 Guzman (n 2) at 156.

7 V Vadi, ‘International Law and Its Histories: Methodological Risks and Opportunities’ (2017) 58(2) *Harvard International Law Journal* 311–52.

8 Thirlway (n 5) 1.

9 A Lopez-Claros, AL Dahl and MA Groff, *Global Governance and the Emergence of Global Institutions for the 21st Century* (CUP 2020) 107.

Court of Justice (ICJ) does not review lower courts' decisions.¹⁰ While international law constitutes an independent legal system, some still view it as an imperfect form of law.¹¹

Be as it may, like our expanding universe, international law is not static or confined; rather, it is a dynamic and open system that has experienced significant expansion and evolution over recent decades.¹² This branch of law has expanded beyond traditional areas such as war and peace, state responsibility, immunities, and diplomatic relations. It now encompasses a wide array of topics—essentially covering 'life, the universe, and everything.'¹³ One of its specialized fields, international human rights law, covers the entire human existence from birth to death and everything in between. Another subfield, international environmental law, covers the whole gamut of geographical space, from deserts to wetlands, from Antarctic glaciers to tropical regions. This area of law also extends over subsoil and air quality, creating a comprehensive legal framework that spans the planet. Moreover, other specialized fields of international law now address various domains, including the depths of the ocean floor and the void of outer space.¹⁴ Consequently, international law textbooks have increasingly reflected this evolution, covering traditional topics alongside an expanding array of specialized subfields.¹⁵

Just as galaxies are the building blocks of the universe, the various branches of international law compose this field of study. Like galaxies consist of vast cosmic mixtures of stars, gas, and dust, all held together by gravity, the various branches of international law include a mix of international legal instruments, organizations, and experts. While international economic law is the focus of this chapter, this does not mean that it lies at the centre of the universe of international law. This would not render justice to general international law and its other vibrant subfields, such as international human rights law.

Locating international economic law within the universe of international law has both theoretical and practical dimensions. Exploring this question helps shape our understanding of international rules and contribute to the theoretical development of international (economic) law. This mapping endeavour can also be socially impactful, especially when different subfields of international law seem to collide. In those cases, like astronauts, international economic tribunals 'must look for reliable reference points in the known legal cosmology.'¹⁶ Charting the universe of international law can help adjudicators reach better results. It can influence the application of international rules and the outcomes of international proceedings. Accordingly, contextualizing the galaxy of international economic law inside the universe of international law, discussing its

10 H Thirlway, *The International Court of Justice* (OUP 2016).

11 H Lauterpacht, 'The Nature of International Law and General Jurisprudence' (1932) 37 *Economica* 301–20.

12 See generally M Koskeniemi, 'Fragmentation of International Law: Difficulties Arising from the Diversification and Expansion of International Law' Report of the Study Group of the International Law Commission, A/CN.4/L.682.

13 C Redgwell, 'Life, The Universe and Everything: A Critique of Anthropocentric Rights' in AE Boyle and MR Anderson (eds), *Human Rights Approaches to Environmental Protection* (OUP 1998); D Adams, *Life, the Universe and Everything* (Pan Books 1982).

14 See Y Tanaka, *The Law of the Sea* (CUP 2023); B Bhat, DU Sandeepa and A Variath (eds), *International Space Law in the New Space Era: Principles and Challenges* (OUP 2024); F Francioni and AF Vrdoljak (eds), *The Oxford Handbook of International Cultural Heritage Law* (OUP 2020).

15 See e.g. S González Hauck, R Kunz and M Milas (eds), *Public International Law—A Multiperspective Approach* (Routledge 2024).

16 M Lennard, 'Navigating by the Stars: Interpreting the WTO Agreements' (2002) 5 *Journal of International Economic Law* 17–89, at 17.

function within it, and identifying some points of reference that can help adjudicators settle international disputes are the objectives of this chapter.

The chapter proceeds as follows. After this short introduction, Section 2 examines the interplay between international economic law and international law. Section 3 explores the topical linkage between international economic law and other subfields of international law. Section 4 investigates the tools that can help international economic ‘courts’ (including WTO panels and arbitral tribunals) adjudicate cases involving non-economic concerns. The conclusions then sum up the key findings of this study.

The chapter shows that international economic law cannot be isolated from general international law. On the one hand, international economic law can influence the development of general international law. The jurisprudence of international economic courts can be informally considered by other international courts and tribunals. Moreover, state practice and *opinio juris* developed under the aegis of international economic law can contribute to the coalescence of customary law or general principles of international law. On the other hand, international economic law is rooted in general international law. Its sources are treaties, customs, and general principles of law—the same sources of general international law. Moreover, international economic law is gradually becoming permeable to the influence of other subfields of international law, albeit to a varying extent. Therefore, general international law and its subfields should not be read in clinical isolation from each other.

2. The Interplay of International Economic Law with International Law

Defined as the branch of public international law that governs international economic relations,¹⁷ international economic law is a well-developed area of law that includes international monetary law, international investment law, and international trade law, as well as elements of international financial law and international development law.¹⁸ The international legal economic order is composed of a mixture of international legal instruments, institutions, and experts.

Although the regulation of international economic relations has always been a central aspect of international law, it has become a distinct field of the international legal system since the end of WWII. In its aftermath, state representatives met at Bretton Woods, New Hampshire, United States, motivated by the belief that closer economic integration among states could prevent economic warfare, enhance international peace, and promote global welfare.

The creation of international institutions dealing with international trade, foreign direct investment, and foreign exchange was seen as instrumental to avoid protectionism and foster peaceful and prosperous relations among nations. International economic and financial organizations include the Bretton Woods institutions (the International Monetary Fund and the World Bank), the World Trade Organization (WTO), development banks, and United Nations’ agencies focusing on economic, financial, and development issues, like the United Nations Conference on Trade and Development (UNCTAD).

17 See JP Trachtman, ‘The International Economic Law Revolution’ (1996) 17 *University of Pennsylvania Journal of International Economic Law* 35–36 (noting that ‘international economic law and public international law are not separate categories; rather, international economic law simply refers to a type of “public” international law that has economic goals’); D McRae, ‘International Economic Law and Public International Law: The Past and the Future’ (2014) 17 *Journal of International Economic Law* 627, 629 (arguing that ‘international economic law is part of international law’).

18 M Herdegen, ‘International Economic Law’ in *Max Planck Encyclopaedia of International Law* (OUP 2020) para 2.

Nowadays international economic law is a vibrant and dynamic field of study. It governs economic phenomena, including but not limited to trade, investment, services, currency, and finance when such activities cross national borders. Due to economic globalization, international economic law has expanded in breadth and width—governing a growing number of fields and to an extent unknown before.¹⁹

However, until relatively recently, the field of international economic law was invisible to international lawyers. The leading texts of public international law did not cover this subfield, and most international lawyers focused more on high politics and issues of war and peace than on international economic law.²⁰ Rightly or wrongly, they have regarded the goal of international law as saving the world and protecting human life.²¹ At first sight, these aims of international law clash with the down-to-earth rationale of international economic law. If prosperity is the end goal of international economic law, that seems both elusive and secondary to other pressing needs appearing in the classical narratives of international law.

Yet, the purpose of international economic law goes beyond prosperity. International economic law ‘aims to promote peaceful and prosperous relations among nations, thus enhancing global welfare.’²² The participants to the Bretton Woods conference endorsed the idea that by promoting a closer economic integration among nations, a mutual and better understanding would follow. Accordingly, an economically close-knit international community would develop a sense of interdependence, unity, and common destiny among its members. Because of its three-fold aim—namely, growth, welfare, and peace—international economic law has multilayered objectives, including both economic and noneconomic goals. That economic exchanges may also foster political cooperation in other fields was also evident to the architects of the then European Economic Community.²³

In the past decades, things have changed, and public international lawyers have paid greater attention to international economic law.²⁴ Generations of international lawyers are equally well-versed in both public international law and (areas of) international economic law. Most law schools include courses on international economic law and/or its subfields like international trade law, international investment law, and international financial law. The literature on international economic law and its subfields is booming.²⁵ Several journals focus on international economic law

19 While most fields of international law have an economic dimension, such economic tools of governance formally remain outside the normative ambit of international economic law. See e.g. S Yoshimura (ed), *United Nations Financial Sanctions* (Routledge 2020)

20 Trachtman (n 17) 36–37.

21 A Boyle, ‘Saving the World? Implementation and Enforcement of International Environmental Law Through International Institutions’ (1991) 3 *Journal of Environmental Law* 229–45.

22 V Vadi, *Cultural Heritage in International Economic Law* (Brill 2023) 90–120.

23 Trachtman (n 17) 36 (noting that ‘There may be a spillover effect from the economic to the political; this was a conscious strategy of Jean Monnet and Robert Schuman in designing the European Economic Community’).

24 McRae, ‘International Economic Law and Public International Law’ (n 17) 628.

25 D Collins, *Foundations of International Economic Law*, II ed. (EE 2025); M Herdegen, *Principles of International Economic Law*, III ed. (OUP 2024); L Han, *International Economic Law in Contemporary World* (Springer 2024); K Nadakavukaren Schefer and T Cottier (eds), *Elgar Encyclopaedia of International Economic Law* (expanded edn, EE 2024); L Choukroune and JJ Nedumpara, *International Economic Law: Text, Cases and Materials* (CUP 2021); AH Qureshi and A Ziegler, *International Economic Law* (4th edn, Sweet & Maxwell 2019); A Lowenfeld, *International Economic Law* (2nd edn, OUP 2008); WJ Davey and JH Jackson (eds), *The Future of International Economic Law* (OUP 2008); AT Guzman and AO Sykes (eds), *Research Handbook in International Economic Law* (EE 2007); Ignaz Seidl-Hohenveldern, *International Economic Law* (Kluwer 1999).

issues.²⁶ Driven by the concern that the international economic legal order could prioritize private over public interests, the backlash against the field has catalysed international lawyers' focus.²⁷

There is anxiety about international economic law. International lawyers consider making a better world to be their mission. They do not see themselves as mere 'technicians' identifying and applying the law. Rather, they see themselves as legal architects building bridges among nations and engineering rules to restrain state power to achieve world peace.²⁸ As McRae points out, 'International economic law does not fit so well into the traditional public international lawyer's perception of improving the world.'²⁹ International lawyers often distrust economic theories.³⁰ They raise questions of distributive justice and human rights.³¹ While human rights are rooted in human dignity, international economic law seems primarily based on neoliberal economic theories aimed at eliminating price controls, deregulating capital markets, lowering trade barriers, and reducing state influence in the economy.³² Because of their internal cultures, missions, and rationales, international economic institutions might prioritize economic concerns over environmental, social, and cultural interests in international economic law.³³ Critical scholars have started questioning whether international economic law fosters sustainable development and prosperity for all and help realize international justice and human rights.³⁴

In parallel, public law scholars have raised concerns about how international economic law has fundamentally changed state sovereignty and limited state power.³⁵ The interpretation and application of international economic law have shifted away from diplomats and ministers to courts and tribunals. This shift has interfered with state policies and led to legal tensions when states must simultaneously comply with conflicting provisions under

26 These include the *Journal of International Economic Law*, the *Journal of World Trade*, *Legal Issues of Economic Integration*, the *World Trade Review*, the *Journal of World Investment and Trade*, *International Trade Law & Regulation*, the *African Journal of International Economic Law*, the *Asian Journal of WTO and International Health Law and Policy*, the *European Yearbook of International Economic Law*, the *Indian Journal of International Economic Law*, and the *Manchester Journal of International Economic Law*, among others.

27 A Arcuri and F Violi, 'Public Interest and International Investment Law: A Critical Perspective on Three Mainstream Narratives' in J Chaisse and others (eds), *Handbook of International Investment Law and Policy* (Springer 2021) 1–2.

28 McRae, 'International Economic Law and Public International Law' (n 17) 632.

29 *ibid* 633.

30 *ibid*.

31 S Ratner, 'International Investment Law Through the Lens of Global Justice' (2017) 20 *Journal of International Economic Law* 747–75.

32 P Alston, 'Resisting the Merger and Acquisition of Human Rights by Trade Law: A Reply to Petersmann' (2002) 13 *European Journal of International Law* 815, 841–43.

33 See S Joseph, *Blame It on the WTO? A Human Rights Critique* (OUP 2011); DP Steger, 'The Culture of the WTO: Why It Needs to Change' (2007) 10 *Journal of International Economic Law* 483–95; G Sarfaty, 'Why Culture Matters in International Institutions: The Marginality of Human Rights at the World Bank' (2009) 103 *American Journal of International Law* 647; B Ghazi, *The IMF, The World Bank Group, and the Question of Human Rights* (Brill 2005); M Darrow, *Between Light and Shadow, the World Bank, the International Monetary Fund and International Human Rights Law* (Hart 2003).

34 A Buser, *Emerging Powers, Global Justice, and International Economic Law—Reformers of an Unjust Order?* (Springer 2021); C Carmody, FJ Garcia and J Linarelli (eds), *Global Justice and International Economic Law—Opportunities and Prospects* (CUP 2012).

35 G Van Harten, *Investment Treaty Arbitration and Public Law* (OUP 2007); D Schneiderman, *Constitutionalizing Economic Globalization* (CUP 2008).

international economic law and other branches of international law.³⁶ More fundamentally, public law scholars question whether international economic law can promote good governance and, if so, for whose benefit.³⁷ They warn against transforming international economic law into ‘an imperial ideology’³⁸ and shifting emphasis from social justice, solidarity, and international cooperation to ‘empty legalism’ in favour of the economic interests of the few.³⁹

3. The Interplay of International Economic Law with Other Legal Regimes

Despite the ambitions of the United Nations, there has never been a single global legislature to create a uniform body of international law.⁴⁰ Rather, like the universe, international law is multipolar, ever-expanding, and potentially infinite.⁴¹ There is no global supreme court reviewing the judgements of various international courts and tribunals ensuring consistency across the different subfields of international law. Nor states have ever wished for such a system. Instead, they have approached given challenges strategically and fragmentarily, often at key historical junctures.⁴²

Like galaxies, various international law subfields have emerged and now govern different fields. New treaties, international organizations, and dispute settlement mechanisms have coalesced, giving rise to distinct regimes like international economic law. These subfields of international law have distinct geographical borders, functional delimitations, and dispute settlement mechanisms. While such systems seem to have ‘independent life . . . at times there may be interactions between them.’⁴³

What happens when galaxies collide? Do they crash or merely adjust in reaction to the gravitational pull of the other? Do they merge or do they pass through one another, or can the collision create a legal black hole, such as exists at the centre of the Milky Way? Given the expansive character of international economic law, this field has increasingly interacted with other international

36 See e.g. *Piero Foresti, Laura de Carli & Others v The Republic of South Africa*, ICSID Case No ARB(AF)/07/01, Award, 4 August 2010 (concerning the clash between foreign investment protection and the pursuit of domestic policies aimed to redress the inequalities created by Apartheid). See also E Shirlow, *Judging at the Interface: Deference to State Decision-Making Authority in International Adjudication* (CUP 2021).

37 M Sattorova, *The Impact of Investment Treaty Law on Host States: Enabling Good Governance?* (Hart 2018).

38 U Mattei and L Nader, *Plunder: When the Rule of Law Is Illegal* (Wiley Blackwell 2008) 3.

39 Arcuri and Violi (n 27) 14.

40 C Greenwood, ‘Unity and Diversity of International Law’ in M Andenas and E Bjorge (eds), *A Farewell to Fragmentation: Reassertion and Convergence in International Law* (CUP 2015) 37–55 at 40.

41 RR Baxter, ‘International Law in Her Infinite Variety’ (1980) 29 *International & Comparative Law Quarterly* 549.

42 M Young, ‘Introduction: The Productive Friction Between Regimes’ in M Young (ed), *Regime Interaction in International Law Facing Fragmentation* (CUP 2012) 1–2.

43 *Eskosol S.p.A. in Liquidazione v Italian Republic*, ICSID Case No ARB/15/50, Decision on Italy’s Request for Immediate Termination, 7 May 2019, para 181 (‘the international legal system is a general system without any central authority from whom the entire system flows. It is composed of different legal sub-systems which have independent life, even if at times there may be interactions between them. As a whole, the international legal system is bound by general principles of international law, i.e., by customary international law, including norms such as *jus cogens* and *pacta sunt servanda* . . . But below this level of general principles there exist various sub-systems of international law, with no precise hierarchy between the different norms established in each sub-system. Rather, each of these sub-systems is governed by its own applicable norms’).

law regimes like international humanitarian law,⁴⁴ international human rights law,⁴⁵ the law of the sea,⁴⁶ international health law,⁴⁷ international cultural heritage law,⁴⁸ and international climate change law.⁴⁹ Substantively, many of these branches of international law have common historical roots, traits, and approaches.⁵⁰ This overlap raises salient questions about how these interactions occur and whether they can affect non-economic values.⁵¹ Interactions between these regimes take place at various phases including the formation, implementation, and enforcement of international economic law.⁵² Researchers can study these interactions using either a temporal approach examining changes over time (diachronic), or a spatial approach focusing on whether the collision effects are bidirectional or unidirectional.⁵³ Earlier studies emphasized how general international law unilaterally informed the development of international economic law. In contrast, more recent

- 44 K Greenman, 'Of War and International Investment Law' (2024) 73 *International & Comparative Law Quarterly* 579–607; T Ackermann, *The Effects of Armed Conflict on Investment Treaties* (CUP 2022); ON Ole and H-J Wolff, *Trade Wars: Past and Present* (OUP 2022).
- 45 See, *ex multis*, S Steiniger, 'The Role of Human Rights in Investment Law and Arbitration: State Obligations, Corporate Responsibility and Community Empowerment' in I Bantekas and MA Stein (eds), *The Cambridge Companion to Business and Human Rights Law* (CUP 2021) 406–27; J Coleman, KY Cordes and LJ Johnson, 'Human Rights Law and the Investment Treaty Regime' in S Deva and D Birchall (eds), *Research Handbook on Human Rights and Business* (EE 2020); S Karamanian, 'The Role of International Human Rights Law in Re-Shaping Investor-State Arbitration' (2017) 45 *International Journal of Legal Information* 34–41; SL Joseph, 'Human Rights and International Economic Law' in M Bungenberg and others (eds), *European Yearbook of International Economic Law* (2016) 461–84; PM Dupuy, F Francioni and EU Petersmann, *Human Rights in International Investment Law* (OUP 2009).
- 46 J Harrison, 'International Investment Law and the Regulation of the Seabed' in C Banet (ed), *The Law of the Seabed Access, Uses, and Protection of Seabed Resources* (Brill 2020) 481–502; MI Papa, 'The Relationship Between International Trade Law and the Law of the Sea in the WTO Dispute Settlement Practice' in A Del Vecchio and R Virzo (eds), *Interpretations of the United Nations Convention on the Law of the Sea by International Courts and Tribunals* (Springer 2019).
- 47 A Garde and G Messenger, *Public Health in International Economic Law* (Bristol University Press 2025); L Gruszczynski and J Scott, *The WTO Agreement on Sanitary and Phytosanitary Measures: A Commentary* (2nd edn, OUP 2023); V Vadi, *Public Health in International Investment Law and Arbitration* (Routledge 2013); B McGrady, *Trade and Public Health: The WTO, Tobacco, Alcohol, and Diet* (CUP 2011); L Gruszczynski, *Regulating Health and Environmental Risks Under WTO Law: A Critical Analysis of the SPS Agreement* (OUP 2010); G Bermann and P Mavroidis (eds), *Trade and Human Health and Safety* (CUP 2006).
- 48 Vadi, *Cultural Heritage in International Economic Law* (n 22); V Vadi, *Cultural Heritage in International Investment Law and Arbitration* (CUP 2014); J Shi, *Free Trade and Cultural Diversity in International Law* (Hart 2013); T Voon, *Cultural Products and the World Trade Organization* (OUP 2007).
- 49 H Asmelash, 'The WTO Dispute Settlement System as a Forum for Climate Litigation?' (2023) 32 *Review of European, Comparative & International Environmental Law* 321; H Van Asselt, 'Trade and Climate Disputes Before the WTO: Blocking or Driving Climate Action?' in I Alogna, C Bakker and J-P Gauci (eds), *Climate Change Litigation: Global Perspectives* (Brill Nijhoff 2021); V Vadi, 'Beyond Known Worlds: Climate Change Governance by Arbitral Tribunals?' (2015) 48 *Vanderbilt Journal of Transnational Law* 1285–351.
- 50 RA Lorz, 'Fragmentation, Consolidation and the Future Relationship Between International Investment Law and General International Law' in F Baetens (ed), *Investment Law Within International Law—Integrationist Perspectives* (CUP 2013) 482, 486.
- 51 J Pauwelyn, *Conflict of Norms in Public International Law; How WTO Law Relates to Other Rules of International Law* (CUP 2009).
- 52 Young (n 42) 1.
- 53 D Mejía-Lemos, 'General International Law and International Investment Law: A Systematic Analysis of Interactions in Arbitral Practice' in J Chaisse (ed), *Handbook of International Investment Law and Policy* (Springer 2021) 1603, 1620.

research highlights a more nuanced, complex, and reciprocal relationship between these areas of international law.⁵⁴

Like colliding galaxies, the various subfields of international law often interact at their formation and implementation level. For instance, while earlier economic policies regarded trade and foreign direct investments as gender-neutral and did not address gender discrimination, trade and foreign direct investments can hamper or foster women's rights.⁵⁵ In light of the emerging consensus that regulating trade and foreign direct investments is needed to enhance its positive effects on women's rights and limit possible pitfalls, gender provisions increasingly appear in preferential trade agreements.⁵⁶ Regime interactions can enable fruitful adjustments and mutual learning.

Like colliding galaxies, the various subfields of international law often interact at the adjudication level. With no formal hierarchy or general appeals mechanism, distinct international courts and tribunals risk interpreting and applying international law in their own way.⁵⁷ Several subfields of international law, like international humanitarian law and international cultural heritage law, lack standing complaints mechanisms or even dispute settlement clauses. Other subfields, like international human rights law and international economic law, present specialized courts such as regional human rights courts and arbitral tribunals and WTO panels respectively. Cross-cutting disputes, like those involving foreign investors and Indigenous communities over investments in the latter's territory, may be simultaneously attracted to the gravitational fields of more than one

54 J Crawford and F Baetens, 'The Influence of International Trade Law on International Law' in D Bethlehem and others (eds), *The Oxford Handbook of International Trade Law* (OUP 2022) 160; D McRae, *The Contribution of International Trade Law to the Development of International Law* (The Hague Academy Collected Courses, Brill 1996) 260; D Charlotin, 'The Place of Investment Awards and WTO Decisions in International Law: A Citation Analysis' (2017) 20 *Journal of International Economic Law* 279–99; M Forteau, 'La Contribution au Développement du Droit International Général de la Jurisprudence Arbitrale Relative aux Investissements Étrangers' (2009) 4 *Anuario Brasileiro de Direito Internacional* 11–39.

55 See e.g. B Adhikari, J King and LP Santoso, 'A BIT of Help? The Divergent Effect of Bilateral Investment Treaties on Women's Rights' (2022) 21 *Journal of Human Rights* 419–33 (arguing that IIAs 'have divergent effects on women's rights dependent on the type of women's rights examined,' positing that 'BITs have a negative effect on women's economic rights in host states' and a positive effect on women's political rights, 'compensating women for the decreasing quality of economic rights'); AK Sinha and P Anand, 'Feminist Overview of International Investment Law—A Preliminary Inquiry' (2021) 24 *Journal of International Economic Law* 99–125 (finding that 'women are under-represented in the structural framework of international investment law, and the normative framework barely touches upon the issues of women' and suggesting 'measures to gender-mainstream the investment law regime'); SP Ng'ambi and KMG Chisanga, *International Investment Law and Gender Equality—Stabilization Clauses and Foreign Investment* (Routledge 2020) (examining the impact stabilization clauses can have on the progressive development of human rights, including women's rights, in the host state); World Bank and World Trade Organization, *Women and Trade: The Role of Trade in Promoting Gender Equality* (World Bank 2020) (showing 'how trade and trade policy can affect men and women differently—in terms of wages, consumption and welfare and in the quality of jobs available to them' and suggesting that 'expanding trade can act as an impetus for countries to improve women's rights and boost female participation in the economy'). See also J Briones, 'Paying the Price for NAFTA: NAFTA's Effect on Women and Children Laborers in Mexico' (1999) 9(2) *UCLA Women's Law Journal* 301–27 (discussing the labour conditions in Mexico after NAFTA).

56 L Macdonald, 'Inclusion of Gender and Labour Standards in Preferential Trade Agreements: Evidence from North American and Canada-Chile Agreements' (2024) 21 *Globalizations* 1421–38 (examining the inclusion of both labour and gender provisions in the North American Free Trade Agreement (NAFTA), the United States–Mexico–Canada Agreement (USMCA), and the Canada–Chile Free Trade Agreement (CCFTA)); R Vargas Amaral and LS Daza Jaller, 'Mainstreaming Gender in Investment Treaties and Its Prevailing Trends: The Actions of MNEs in the Americas' in A Bahri, D López and J Y Remy (eds), *Trade Policy and Gender Equality* (CUP 2023) 194–212 (reviewing the recent evolution of gender provisions in investment agreements).

57 Greenwood (n 40) 46.

international court or tribunal, namely, human rights courts, arbitral tribunals, and WTO panels. International economic ‘courts’ are generally highly effective, compulsory, and binding dispute settlement mechanisms. Like larger galaxies exert their gravitational pull over smaller ones, international economic courts have attracted several cases at the crossroads with other fields of study.⁵⁸

As no galaxy lies at the centre of the universe, no subfield of international law lies at its core: ‘No sub-community can lay claim to a truly neutral and universal outlook on the international legal world, which has become too vast, too pluralistic, and too complex for any one individual or group to master it all.’⁵⁹ Similarly, with different institutional aims, objectives, and features characterizing the distinct subsets of international law, the various dispute settlement mechanisms present distinct ‘social dynamics, . . . epistemic categories, and . . . operational boundaries.’⁶⁰ Such institutional cultures may limit adjudicators’ field of vision and give rise to structural bias. Like black holes, international economic cultures ‘that flatten diversity or are inattentive to contextual and particularistic concerns’ may prevail over other cultures.⁶¹ In other words, because of their institutional culture, international economic courts could prioritize economic concerns over other non-economic interests and values.⁶²

For instance, after the financial crisis of 1998–2002, several investors filed arbitration claims against Argentina for the alleged failure to comply with investment treaty commitments. As known, the international financial architecture is deliberately flexible. States have not agreed upon establishing an international financial court designed to settle international disputes between financial regulators, or between governments and financial institutions or investors. Argentina invoked the necessity defence arguing that non-compliance with its investment obligations was justified by the necessity to protect fundamental interests and values during the financial crisis. Some arbitral tribunals considered the social issues that Argentina faced stemming from the crisis. While they did not necessarily absolve Argentina of any liability, they reduced the amount of compensation.⁶³ Nonetheless, other tribunals did not consider the social impact of the financial crisis.⁶⁴ Yet,

58 V Vadi, ‘Crossed Destinies: International Economic Courts and the Protection of Cultural Heritage’ (2015) 18 *Journal of International Economic Law* 51–77.

59 T Soave, ‘The Social Field of International Adjudication: Structures and Practices of a Conflictive Professional Universe’ (2023) 36 *Leiden Journal of International Law* 565, 583.

60 *ibid.*

61 J Alvarez, ‘The WTO as a Linkage Machine’ (2002) 96 *American Journal of International Law* 146, 151 (noting that ‘[p]recisely because they respond to . . . [non-binding, persuasive] precedents and tend to adopt . . . “lessons” from the past’ . . . similar (but inappropriate) solutions [may be recommended] for problems arising in radically different contexts. The very professionalism that characterizes international . . . communities with a particular expertise may insulate them from the pressures of domestic groups that keep at least some governments accountable; their isolation may lead to proposals or compromise formulations at odds with the realities faced by nation-states’).

62 B Choudhuri, ‘International Investment Law and Noneconomic Issues’ (2020) 53 *Vanderbilt Journal of Transnational Law* 1, 1.

63 *Continental Casualty Co v Argentina*, ICSID Case No ARB/03/9, Award, 5 September 2008, para 180 (‘It is impossible to deny, in the Tribunal’s view, that a crisis that brought about the sudden and chaotic abandonment of the cardinal tenet of the country’s economic life[;] . . . the near collapse of the domestic economy; the soaring inflation; the leap in unemployment; the social hardships bringing down more than half of the population below the poverty line; the immediate threats to the health of young children, the sick and the most vulnerable members of the population, the widespread unrest and disorders; the real risk of insurrection and extreme political disturbances; . . . together with a partial breakdown of the political institutions . . . that all of this, taken together, does not qualify as a situation where the maintenance of public order and the protection of essential security interest of Argentina as a state and as a country was vitally at stake’).

64 See e.g. *National Grid PLC v Argentina*, UNCITRAL Award, 3 November 2008, para 390.

international economic tribunals should not be driven by economic considerations only.⁶⁵ In fact, general international law and its specialized subfields should be generally considered as part of the normative universe which adjudicators are obliged to consider.

International economic courts are aware that many factual constellations may emerge in the interaction between different treaty regimes.⁶⁶ Yet whether international economic law has become porous and responsive to noneconomic values, like human rights, public health, and environmental and cultural concerns, remains to be seen. This interaction—the so-called linkage issue—has attracted growing attention but remains in a twilight zone, thus deserving further scrutiny.⁶⁷

4. Mechanisms to Achieve Consistency

Are there ways to preserve the unity of the universe? Like the universe, international law is continually expanding, yet there are centripetal forces that promote convergence within it.⁶⁸ Just as ‘dark matter’ binds the universe and its galaxies yet is undetectable, various legal tools and infrastructural features connect international law and its subfields, on the one hand, and link these subdisciplines, on the other.⁶⁹ Like other subfields of international law, international economic law is not a self-contained legal system; instead, it should be understood within a broader legal context.⁷⁰ In fact, no international legal instrument can function effectively in isolation.⁷¹

This section discusses legal tools and infrastructural features that connect international law and its subfields. It thus illuminates how the centripetal forces promoting convergence within international law manifest in practice. This interconnectedness occurs at both substantive and procedural levels.

At the substantive level, *jus cogens* can constitute a lodestar for the entire universe of international law thus affording some stability and coherence. *Jus cogens*, a Latin expression meaning ‘compelling law,’ refers to peremptory norms of general international law from which no derogation is possible. *Jus cogens* is grounded in and guards the most fundamental interests of the international community. Although there is no simple criterion to identify a general rule of international law as having the character of *jus cogens*, the concept of *jus cogens* is positive law. Generally accepted examples are self-determination and the prohibition of apartheid, racial discrimination, the use of force, slavery, torture, piracy, and genocide.⁷² International economic courts are bound

65 D Gervais, ‘Investor-State Dispute Settlement: Human Rights and Regulatory Lessons from *Lily v Canada*’ (2017) 8 UC Irvine Law Review 492–93.

66 *Cube Infrastructure Fund SICAV and Others v Kingdom of Spain*, ICSID Case No ARB/15/20, Decision on Jurisdiction, Liability and Partial Decision on Quantum, 19 February 2019, para 152.

67 Alvarez (n 61) 146.

68 M Andenas and E Bjorge, ‘Introduction: From Fragmentation to Convergence in International Law’ in M Andenas and E Bjorge (eds), *A Farewell to Fragmentation. Reassertion and Convergence in International Law* (CUP 2015) 1, 1.

69 Alvarez (n 61) 146 (noting that ‘overarching constructs link the subdisciplines of international law.’)

70 *Asian Agricultural Products Ltd v Republic of Sri Lanka*, ICSID Case No ARB/87/3, Final Award, 27 June 1990, para 21 (‘the Bilateral Investment Treaty is not a self-contained closed legal system limited to provide for substantive material rules of direct applicability, but it has to be envisaged within a wider juridical context in which rules from other sources are integrated through implied incorporation methods, or by direct reference to certain supplementary rules, whether of international law character or of domestic law nature’).

71 *Cube v Spain*, Decision on Jurisdiction, Liability and Partial Decision on Quantum, para 129 (holding that ‘[n]o specialized international law instrument can stand isolated on its own feet’).

72 V Vadi, ‘*Jus Cogens* in International Investment Law and Arbitration’ (2016) 46 Netherlands Yearbook of International Law 357, 359–60.

to consider *jus cogens* norms or other obligations like those under Article 103 of the UN Charter, as these norms prevail over conflicting rules.⁷³ The concept can serve as a ‘systemic value glue for the international legal order.’⁷⁴ Accordingly, a state would not be expected to meet its investment obligations where the investor engaged in torture, genocide, or slavery.⁷⁵

International law provides the essential vocabulary used in its specialized subfields, including international economic law. The sources of international economic law consist of treaties, customs, general principles of law, and, albeit subsidiarily, scholarly opinions and cases.⁷⁶ All of these are international law instruments. Therefore, they must be interpreted in the context of international law. Moreover, if some aspects of international economic treaties may function as *lex specialis*, rules of customary law still apply in the event of gaps. These rules can clarify the meaning of treaty provisions or assist in interpreting and applying the treaty.⁷⁷ Almost all international investment agreements allow for the application of international law alongside the treaty in question and/or the host state law.⁷⁸ Similarly, customary norms and general principles of international law apply to WTO disputes unless the WTO agreements explicitly state otherwise. Thus, general international law constitutes the context in which international economic law is called upon to operate.⁷⁹

Judicial borrowing or the cross-fertilization of references to the jurisprudence of other courts and tribunals can also help resolve or minimize conflicts between international economic law on the one hand and international law and other subfields on the other. International economic tribunals constantly refer to the decisions and awards of other international courts to clarify treaty terms. Such decisions can constitute subsidiary means for the determination of rules of international law.

73 United Nations, Charter of the United Nations, signed on 26 June 1945, in force on 24 October 1945. XV United Nations Conference on International Organization 355, amendments in 557 UNTS 143, 638 UNTS 308 and 892 UNTS 119.

74 B Simma and D Pulkowski, ‘Of Planets and the Universe: Self-Contained Regimes in International Law’ (2006) 17 European Journal of International Law 483, 498.

75 *Phoenix v Czech Republic*, ICSID case No ARB/06/5, Award, 15 April 2009, para 78 (noting that ‘nobody would suggest that ICSID protection should be granted to investments made in violation of the most fundamental rules of protection of human rights, like investments made in pursuance of torture or genocide or in support of slavery or trafficking of human organs’).

76 United Nations, Statute of the International Court of Justice, 18 April 1946, 33 UNTS 993, Article 38. See, *ex multis*, *Eskosol v Italy*, Decision on Italy’s Request for Immediate Termination, para 116 (holding that ‘[t]he sources of international law are authoritatively listed in ICJ Statute Article 38(1)').

77 *Cube v Spain*, Decision on Jurisdiction, Liability and Partial Decision on Quantum, para 129 (holding that ‘the lacunae not covered by the treaty itself must be filled in by recourse to the general rules and principles that make up the legal universe of international law’); *Saipem S.p.A. v The People’s Republic of Bangladesh*, ICSID Case No ARB/05/07, Award, 30 June 2009, para 99 (holding that ‘the Tribunal will primarily apply the BIT as the applicable rule of international law. The Tribunal will also apply the general rules of international law that may be applicable, either because an issue of international law is not directly dealt with in the BIT or, if necessary, to interpret the BIT’). See also Iran-United States Claims Tribunal, *Amoco International Finance Corporation v Government of the Islamic Republic of Iran and others*, Award 310-56-3, 14 July 1987, para 112 (holding that ‘As a *lex specialis* in the relations between the two countries, the Treaty supersedes the *lex generalis*, namely, customary international law. This does not mean, however, that the latter is irrelevant in the instant case. On the contrary, the rules of customary law may be useful in order to fill in possible lacunae of the Treaty to ascertain the meaning of undefined terms in its text or, more generally, to aid interpretation and implementation of its provisions’). See also JE Alvarez, *The Public International Law Regime Governing International Investment* (Brill 2011) 197.

78 V Prislán, ‘Non-Investment Obligations in Investment Treaty Arbitration: Towards a Greater Role for States?’ in F Baetens (ed), *Investment Law Within International Law—Integrationist Perspectives* (CUP 2010) 450, 456.

79 *Desert Line Projects LLC v The Republic of Yemen*, ICSID Case No ARB/05/17, Award, 6 February 2008, para 106 (noting, in passing, that ‘general international law . . . forms the context in which the BIT is called upon to operate’).

In this regard, the jurisprudence of the ICJ and its predecessor, the Permanent Court of International Justice, has a real gravitation pull as international economic courts consistently consider it.⁸⁰

International law also offers the basic legal infrastructure to its subsystems, such as rules concerning temporal, territorial, and subject matter jurisdiction, treaty force⁸¹ and interpretation, and interim relief or provisional measures. In ascertaining their competence and jurisdiction⁸² or interpreting treaty provisions,⁸³ international economic courts consistently use norms of general international law. For instance, arbitral tribunals consistently refer to general international law when awarding compensation, as international investment agreements often do not provide specific rules on damages.⁸⁴ Similarly, WTO panels have often referred to principles of international law for the proper exercise of their judicial functions, for instance, in relation to burden of proof and evidence.

Customary rules on treaty interpretation, as codified in the Vienna Convention on the Law of Treaties (VCLT),⁸⁵ constitute a touchstone for international lawyers.⁸⁶ The VCLT ‘connects international law professionals . . . making them feel part of the same space and geography. It constitutes a reassuring presence, something to turn one’s gaze to in order to orient and locate oneself.’⁸⁷ An important mechanism to reach overall consistency among different fields of international law is the principle of systemic integration, which is embedded in customary norms of treaty interpretation as restated by Article 31(3)(c) of the VCLT. This provision requires interpreters to consider ‘any relevant rules of international law applicable in the relations between the parties.’⁸⁸ According to McLachlan, the principle provides a structured approach to resolving conflicts between legal

80 J Crawford, ‘Chance, Order, Change: The Course of International Law’ (2013) 365 Hague Academy Recueil 1, 216.

81 *Mobil Investments Canada Inc v Canada (II)*, ICSID Case No ARB/15/6, Decision on Jurisdiction and Admissibility, 13 July 2018, paras 169 (‘A party to a treaty is under a specific obligation to perform its obligations under the treaty, derived from the principle *pacta sunt servanda*, which can reasonably be described as one of the cornerstones of international law’) and 170 (‘the binding force of a treaty cannot be derived from the treaty itself but must reside in some rule of international law which exists independently of the treaty’); *Murphy Exploration and Production Company International v Republic of Ecuador*, ICSID Case No ARB/08/4, Award on Jurisdiction, 15 December 2010, para 86 (‘The Tribunal finds that the withdrawal, termination or amendment of the BIT must be governed by the provisions contained in that Treaty, and in a suppletory manner, by general international law, as codified in the Vienna Convention on the Law of Treaties’).

82 See e.g. *M.C.I. Power Group L.C. and New Turbine, Inc v Republic of Ecuador*, ICSID Case No ARB/03/6, Award 31 July 2007, para 42 (holding that ‘The Tribunal will decide on the objections to Jurisdiction raised by the Respondent and rejected by the Claimants in accordance with the provisions of the ICSID Convention, the BIT, and the applicable norms of general international law’).

83 *Hussein Nuaman Soufraki v The United Arab Emirates*, ICSID Case No ARB/02/7, Decision of the ad hoc Committee on the Application for Annulment of Mr Soufraki, 5 June 2007, para 21 (noting that ‘Article 52 of the ICSID Convention must be read in accordance with the principles of treaty interpretation forming part of general international law, which principles insist on neither restrictive nor extensive interpretation, but rather on interpretation in accordance with the object and purpose of the treaty’).

84 See e.g. *British Caribbean Bank Ltd v Government of Belize*, PCA Case No 2010-18, Award, 19 December 2014, para 288 (holding that ‘In the absence of an applicable provision within the Treaty itself, establishing the standard of compensation as a matter of *lex specialis*, the applicable standard of compensation is that existing in customary international law, as set out by the Permanent Court of International Justice in the *Factory at Chorzów* case’).

85 Vienna Convention on the Law of Treaties (VCLT), adopted on 23 May 1969, in force on 27 January 1980, 1155 UNTS 331; (1969) 8 ILM 679.

86 A Bianchi and F Zarbiyev, *Demystifying Treaty Interpretation* (CUP 2024) 6.

87 *ibid.*

88 Article 31(3)(c) of the VCLT.

norms.⁸⁹ It serves as a gravitational force that unifies the whole universe of international law. It encompasses not only general international law but also other subfields.

International economic courts have recognized the central role of the principle of systemic integration. For instance, the Appellate Body held that international trade law ‘cannot be read in clinical isolation from public international law and must be interpreted in the light of customary international law.’⁹⁰ Arbitral tribunals have similarly emphasized the necessity of interpreting international investment law in line with international law.⁹¹ These jurisprudential developments reflect broader trends.⁹² Moreover, under international investment treaties, ‘human rights obligations should be generally considered as part of the legal order of the host State which foreign investors are obliged to respect.’⁹³

International law rules also govern conflict of laws. When different rules address an issue in apparently contradictory ways, international courts must use the interpretive tools available under international law. These tools include principles such as *lex posterior derogat priori*, which means that a later law takes precedence over an earlier one, and *lex specialis derogat generali*, which states that a specific law prevails over a general one. However, these principles do not always apply easily or may be difficult to implement.⁹⁴ The *lex specialis* rule does not clarify which subsystem of international law is general and which specific making it challenging to identify which should prevail. In parallel, the *lex posterior* rule, as codified in Article 30 of the VCLT, applies only when successive treaties involve the same subject matter and parties.⁹⁵

In conclusion, under current international law (*de lege lata*), the international legal order provides numerous tools for solving conflicts of norms between specialized international legal regimes. Looking ahead (*de lege ferenda*), policymakers should consider the potential for building institutional or normative bridges across different treaty regimes. Granting observer status to given international organizations could enhance knowledge exchange on specific issues. Additionally, organizing regular meetings among experts from various regimes—such as workshops, annual meetings, and visiting fellowships—could foster inter-institutional dialogue. Normative bridges could be established by clarifying treaty terms through declarations, waivers, or even amendments.⁹⁶ Meanwhile, international economic courts should use the various interpretive tools

89 See C McLachlan, *The Principle of Systemic Integration in International Law* (OUP 2024).

90 *United States—Standards for Reformulated and Conventional Gasoline*, Appellate Body report, WT/DS2/AB/R, 29 April 1996, p 18; Herdegen, ‘International Economic Law’ (n 18) para 45.

91 *Phoenix Action Ltd v Czech Republic*, ICSID Case No ARB/06/5, Award, 15 April 2009, para 78 (holding that ‘the ICSID Convention’s jurisdictional requirements—as well as those of the BIT—cannot be read and interpreted in isolation from public international law, and its general principles’).

92 ECtHR, *Mamatkulov and Askarov v Turkey*, Applications Nos 46827/99 and 46951/99, Judgment, 4 February 2005 para 111 (holding that ‘the Convention must be interpreted in the light of the rules set out in the Vienna Convention . . . on the Law of Treaties, Article 31.3(c) of which states that account must be taken of “any relevant rules of international law applicable in the relations between the parties.” The Court must determine the responsibility of the States in accordance with the principles of international law governing this sphere, while taking into account the special nature of the Convention as an instrument of human rights protection . . . Thus, the Convention must be interpreted so far as possible consistently with the other principles of international law of which it forms a part’). See also *Golder v the United Kingdom*, Application No 4451/70, Judgment of 21 February 1975, para 29, and *Al-Adsani v the United Kingdom* [GC], Application No 35763/97, Judgment 21 November 2001, para 60.

93 Herdegen, ‘International Economic Law’ (n 18) para 46.

94 *Eskosol v Italy*, Decision on Italy’s Request for Immediate Termination, para 183.

95 Article 30(1) and (3) of the VCLT.

96 L Clover Alcolea, ‘States as Masters of (Investment) Treaties: The Rise of Joint Interpretative Statements’ (2023) 22 Chinese Journal of International Law 479–527.

already at their disposal in a manner that treats international law as ‘a coherent and unified system of rules.’⁹⁷ This holistic approach can help promote coherence between international economic law and other non-economic subfields of international law thus potentially greening or humanizing the field.⁹⁸

Conclusions

In the past decades, the universe of international law has expanded, and new special regimes have emerged in response of distinct functional needs of the international community. These regimes remain embedded into international law in various ways. International law provides a common lexicon for structuring international dialogue; it provides peremptory norms that should constitute a lodestar for further developments. It also provides an infrastructure of techniques, language, and traditions. Interpretive tools, as reflected in customary norms, also constitute a powerful cement that unifies the universe of international law.

Although international economic law is highly specialized, it cannot be separated from general international law. On the one hand, international economic law can influence the development of general international law. The jurisprudence of international economic courts can be considered by other international courts and tribunals. Additionally, state practice and *opinio juris* developed under the aegis of international economic law can contribute to the coalescence of customary law or general principles of international law. On the other hand, international economic law is rooted in general international law, sharing the same sources. Several legal tools link it to its international law matrix.

As international economic law can affect a wide range of public policies that are not necessarily economic in nature, it must not be read in clinical isolation from international law governing shared concerns. While international economic courts always find pragmatic ways to settle disputes, attention to the broader universe of international law is needed to achieve consistency, not just for the sake of order, but also for enabling this field to evolve ‘in conformity with principles of justice and international law.’⁹⁹

97 ICJ, *Right of Passage over Indian Territory (Portugal v India)* ICJ Reports 1957, 125 para 141 (holding that ‘it is a rule of interpretation that a text emanating from a government must, in principle, be interpreted as producing and intended to produce effects in accordance with existing law and not in violation of it’). See also MA Jovanović, *The Nature of International Law* (CUP 2019) at 6.

98 S Yamaguchi, ‘Greening Regional Trade Agreements on Investment’ (2020) OECD Trade and Environment Working Papers 2020/03 at 10 (examining ‘some possible means for ensuring that domestic environmental policy space is supported within trade and investment agreements’ and identifying efforts to promote green investment in these agreements’); MM Mbengue and E Cima, ‘Greening International Investment Arbitration’ in E Cima and MM Mbengue (eds), *A Multifaceted Approach to Trade Liberalisation and Investment Protection in the Energy Sector* (Brill 2021) 218–40 (telling ‘the story of the transformation of investment arbitration from an environment-blind system, concerned solely with the protection of foreign investors, to a system capable of actively contributing to environmental protection’). M Weinstein and S Charnovitz, ‘The Greening of the WTO’ *Public Affairs* (November–December 2001) (arguing that the WTO is ‘developing constructive principles for accommodating both trade and environmental concerns’). For a seminal study, see P. Sands (ed), *Greening International Law* (The New Press 1994) (assessing the extent to which international law and legal institutions have been ‘greened’ and discussing the ways in which these laws will have to adapt to deal effectively with environmental issues).

99 VCLT preamble.

INTERNATIONAL ECONOMIC LAW AND INTERNATIONAL PEACE AND SECURITY

Yuka Fukunaga and Tomohiko Kobayashi

I. Introduction

Peace and security have always been at the centre, rather than the periphery, of international economic law. The overall trends in international economic law since 1945 reflect an evolving understanding of the relationship between economic stability and global peace. Since the establishment of foundational institutions in the post–World War II (WW2) era, peace and security have been considered paramount, as illustrated in Article XXI(c) of the General Agreement on Tariffs and Trade (GATT) of 1947.¹ Since then, in addressing modern challenges such as the north-south divide, climate change and digital trade, international economic law including World Trade Organization (WTO) law has continuously adapted to promote a stable, peaceful, and prosperous global order. This evolution underscores the importance of economic interdependence and cooperation in achieving lasting peace and security.

In the long run, global economic interdependence promotes peaceful relationships among nations through fair and healthy competition, and international economic law can contribute to such development. However, economic interdependence makes each sovereign state somewhat more vulnerable to outside risks and changes in circumstances such as cyber-hacking, natural disasters, and human rights concerns. In this sense, the interconnectedness between peace and security and the role of international economic law therein has brought about potential tension. This tension has been highlighted by the recent expansion and amalgamation of peace and security concepts.

This chapter illustrates the historical evolution of the relationship between international economic law and international peace and security in the post-WW2 context and discusses the challenges that the relationship has brought, with a particular focus on trade and investment dispute settlement. After this brief introduction, Section II examines the historical developments after WW2, and Section III reviews recent trade and investment disputes involving peace and security.

1 Article XXI(c) of the GATT allows contracting parties to take ‘any action in pursuance of its obligations under the United Nations (UN) Charter for the maintenance of international peace and security’ as an overarching exception to all other provisions. General Agreement on Tariffs and Trade, GATT Doc LT/UR/A-1/A/1/GATT/2, signed 30 October 1947 (GATT 1947).

Section IV analyses the challenges faced by international economic institutions and their potential for globalization. Finally, Section V concludes this study.

II. Historical Developments

A. Overview

The mounting tensions between international economic law and ‘peace and security’ can be explained by the recent expansion and amalgamation of the latter. First, the concepts of peace and security are no longer limited to physical warfare. Second, peace and security are not solely ensured by sovereign states: the roles of corporations and other non-state actors are expanding.² Addressing the changing concepts of peace and security and stabilizing the relationship between them is challenging, akin to simultaneously targeting multiple objectives. The first half of the chapter provides an overview of legal and policy developments from a historical perspective.

Since the signing of the GATT in 1947, such developments can be categorized into four periods: (1) pre-globalization, (2) globalization, (3) post-globalization, and (4) re-globalization. First, the pre-globalization period represents a divided world economy between free-market countries and centrally controlled economies, with the GATT representing the former. During this time, the term ‘peace and security’ was used in a highly political context. Second, the globalization period, spanning from the early 1990s, the post-Cold War era, until the early 2010s, saw the integration of China, India, Russia, and other formerly centrally controlled economies into the GATT/WTO regime. During this time, international economic law was conceived as a success story in establishing the global rule of law, and peace and security still did not come up with formal legal disputes. Until then, security exception clauses were rarely used. Third, the post-globalization period, which defines the recent decade, witnessed an increasingly fragmented global economy with the rise of regional trade agreements (RTAs), the emergence of China, and further conflicts between the Global North and South. During this period, the rapid rise of the BRICS countries (Brazil, Russia, India, China, and South Africa) as global stakeholders intensified economic tensions, while the WTO experienced two decades of stalemate in updating its rules because of ineffective decision-making mechanisms. The increased gaps between the new political economy and existing rules weakened the effectiveness of the WTO rules and the dispute settlement system. Major WTO members began justifying their trade-restrictive measures under security exception clauses, making them the main issue of legal conflict.

Finally, what the chapter foresees (hopefully) is a period of re-globalization.³ It calls for filling the aforementioned gaps by updating rules and clarifying the role of security exceptions. A closer global economic integration can secure lasting peace. This prospective issue is discussed in Section IV.

2 Francesco Francioni and Natalino Ronzitti (eds), *War by Contract—Human Rights, Humanitarian Law and Private Contractors* (OUP 2011).

3 The term ‘re-globalization’ was used in the WTO’s *World Trade Report 2023* to redefine and reintegrate peace and security in the world trading system. WTO, *World Trade Report 2023: Re-Globalization for a Secure, Inclusive and Sustainable Future* (WTO 2023) 46–61.

B. Peace and Security Under Post-WW2 International Economic Law

Traditionally, treaties on friendship, commerce, and navigation (FCN) were used to establish and stabilize bilateral trade and investment environments. Expanding economic integration was crucial for building the post-WW2 world economic order.⁴ For example, the US and Japan concluded an FCN Treaty in 1953, eight years after the end of WW2, five years after the start of the provisional application of GATT 1947, and two years before Japan's accession to GATT 1947. The primary aim of this treaty was to establish peace and security through commercial intercourse between the two states that had engaged in a total war less than a decade earlier.⁵

The preamble of the 1953 US-Japan FCN Treaty indicates the desire of the two countries to 'strengthen [the] bonds of peace and friendship traditionally existing between them and of encouraging closer economic and cultural relations between their peoples, and being cognizant of the contributions which may be made toward these ends by arrangements promoting mutually advantageous commercial intercourse, encouraging mutually beneficial investments and establishing mutual rights and privileges.'⁶ Thus, the treaty fundamentally relies on the principles of national treatment and the most-favoured-nation treatment, similar to the GATT of 1947.

In addition, this FCN Treaty has general and national security exception clauses, like the GATT 1947.⁷ For example, Article XXI:1 of the 1953 US-Japan FCN Treaty provides broad exceptions over the importation or exportation of gold or silver, fissionable materials, production of or traffic in arms, ammunition and implements of war, and measures 'necessary to fulfill the obligations of a state party for the maintenance or restoration of international peace and security, or necessary to protect its essential security interests.' Although Japan was not a contracting party to the GATT at that time, the exception clauses were mostly like those of GATT 1947.

The genesis of the GATT 1947 involved a project initiated by the United Nations (UN) in the late 1940s to create the International Trade Organization (ITO), which tried to build a set of multilateral rules with broad coverage that extended to trade liberalization, employment, private business practices, and investment promotion.⁸ The ITO would have a residual function 'to co-operate with the United Nations and other inter-governmental organizations in furthering the achievement of the economic and social objectives of the United Nations and the maintenance or restoration of international peace and security,'⁹ while avoiding institutional redundancy.¹⁰ More specifically, '[n]o action, taken by a Member in pursuance of its obligations under the United Nations Charter

4 See Vandeveldel's chapter in this *Handbook* and Kenneth J Vandeveldel, *The First Bilateral Investment Treaties: U.S. Postwar Friendship, Commerce, and Navigation Treaties* (OUP 2017).

5 The Treaty of San Francisco re-established peaceful relations between Japan and the Allied Powers on behalf of the United Nations. It was signed by 49 nations on 8 September 1951, in San Francisco, California and came into force on 28 April 1952.

6 Preamble of the 1953 US-Japan FCN Treaty. Treaty of Friendship, Commerce and Navigation (with Protocol and exchange of notes) (United States of America-Japan) signed 9 April 1953, entered into force 30 October 1953, 206 UNTS 143.

7 Subsections (b) to (d) of Article XXI:1 in this FCN Treaty bear key similarities with the national security exception clause already stipulated in Article XXI of GATT 1947.

8 Havana Charter for an International Trade Organization (ITO Charter), adopted 24 March 1948, United Nations Conference on Trade and Employment, Final Act and Related Documents, UN Doc E/CONF.2/78.

9 Article 72(1)(f) of the ITO Charter.

10 Article 86(2) of the ITO Charter.

for the maintenance or restoration of international peace and security, shall be deemed to conflict with the provisions of this Charter.’¹¹

However, because of the political environment at the time, such ambitious and comprehensive regulation of international economic relationships failed.¹² The ITO never saw the light of the day: its founding instrument was adopted in Havana in 1948 but it was never ratified and thus failed to enter into force since the United States Congress did not approve it, and other states could not establish an international trade system without the largest economy in the world.¹³ This led to the creation of the GATT 1947, with a focus on trade in goods. Nonetheless, the GATT 1947 represented significant progress in establishing international trade law just a few years after WW2.

The GATT 1947 and subsequent international regimes such as the WTO, RTAs, and international investment agreements (IIAs) have generally avoided directly addressing the concepts of peace and security. However, peace and security are fundamental to economic prosperity. For example, the drafters of the GATT 1947 considered relying on the UN system to settle trade disputes, as indicated in Article XXIII:2, which envisaged collaboration with the UN Economic and Social Council for unresolved trade disputes. Article XXI serves as a safety valve for addressing security concerns. Notably, Article XXI:(c) sets forth that ‘[n]othing in this Agreement shall be construed to prevent any contracting party from taking any action in pursuance of its obligations under the UN Charter for the maintenance of international peace and security.’ A similar trend is seen in IIAs: a growing number of IIAs contain security exception clauses, while in the past the place of the security issue was unclear and thus governed by customary international law.

To sum up, in the aftermath of WW2, peace and security were considered preconditions for a stable and predictable international trade system. While the international economic order did not govern peace and security as such, it nonetheless included these concerns in the form of exceptions.¹⁴ After all, the common assumption was that the maintenance of peace and security would be ensured by the United Nations under the UN Charter¹⁵ and other international legal frameworks outside international economic law.

C. State Practice Involving Trade and Investment Restrictions Due to National Security Concerns

From 1948 to the early 2010s, international economic law regimes underwent drastic changes, including the Nixon Shock, China’s open economic policy, the end of the Cold War, the collapse

¹¹ Article 86(4) of the ITO Charter.

¹² On the drafting history of the security exception clauses in the ITO Charter, see Mona Pinchis-Paulsen, ‘Trade Multilateralism and U.S. National Security: The Making of the GATT Security Exceptions’ (2020) 41 *Michigan Journal of International Law* 109–93.

¹³ Valentina Vadi, *Cultural Heritage in International Economic Law* (Brill 2023) 91.

¹⁴ Security exception clauses in the GATT were transplanted or incorporated into Article 14 *bis* of the General Agreement on Trade in Services (GATS), Article 73 of the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement), Article 3 of the Agreement on Trade-Related Investment Measures (TRIMs Agreement), and Article III:1 of the Agreement on Government Procurement, and many RTAs and IIAs. General Agreement on Trade in Services, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1B, 1869 UNTS 183, 33 ILM 1167 (1994); Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement), 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1C, 1869 UNTS 299; Agreement on Trade-Related Investment Measures (TRIMs Agreement), 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1A, 1868 UNTS 186.

¹⁵ Charter of the United Nations, 26 June 1945, in force 24 October 1946, 1 UNTS XVI.

of the Soviet Union, the establishment of the WTO, and the accession of China and Russia to the same organization. Along with the sporadic invocation of Article XXI of the GATT 1947,¹⁶ there were several instances in which major trading powers imposed trade- or investment-restrictive measures. This section discusses four examples.

First, waivers have been granted for Section 27 of the Merchant Marine Act of 1920 (so-called Jones Act).¹⁷ The Jones Act regulates maritime commerce in US waters and between US ports. It requires transportation of goods within the US to be made by ships built in domestic shipyards, owned by US citizens, and crewed by US seafarers. Although restricting foreign ships from conveying shipping services in territorial waters could be inconsistent with Articles III and XI of the GATT, ‘waivers’ have been granted to enable the application of the Jones Act since the inception of the GATT 1947 until now.

Second, during the GATT 1947 era, several major international incidents involved trade-restrictive measures imposed under Article XXI of the GATT, such as the Nicaragua case.¹⁸ The Nicaragua case was brought before both the GATT panels and the International Court of Justice (ICJ).¹⁹ In the GATT process, Nicaragua contended that a 1985 Executive Order of the President of the United States of America prohibiting all trade with Nicaragua breached several provisions of the GATT. The United States argued that a panel should not be established to discuss measures adopted under Article XXI of the GATT.²⁰ Nonetheless, a panel was established: while Nicaragua argued that the United States could not base itself on Article XXI,²¹ the US contended that the panel under its terms of reference ‘could examine neither the validity of, nor the motivation for, the United States’ invocation of Article XXI:(b)(iii).²² In the end, the GATT panel did not judge hard-core national security issues as a legal problem to be addressed in formal adjudicatory proceedings.²³ This approach discouraged the GATT contracting parties from bringing similar cases before GATT panels.

16 Richard S Whitt, ‘The Politics of Procedure: An Examination of the GATT Dispute Settlement Panel and the Article XXI Defense in the Context of the US Embargo of Nicaragua’ (1987) 19 *Law and Policy in International Business* 617–19.

17 The US Congress adopted the Merchant Marine Act in June 1920 as 46 USC § 688. It was signed into law on 5 June 1920.

18 Stephen Kho and others, ‘The Conundrum of the Essential Security Exception: Can the WTO Resolve the GATT Article XXI Crisis and Save the Dispute Settlement Mechanism?’ (2023) Graduate Institute of International and Development Studies, Centre for Trade and Economic Integration, CTEI Working Paper, 25–31 <<https://repository.graduateinstitute.ch/record/301872/files/WTO%20National%20Security.pdf>> accessed 1 July 2024.

19 *United States—Trade Measures Affecting Nicaragua*, Report by the Panel, L/6053, 13 October 1986; ICJ, *Case Concerning Military and Paramilitary Activities in and Against Nicaragua (Nicaragua v United States of America)* 1986 ICJ Reports 14.

20 *United States—Trade Measures Affecting Nicaragua*, Report by the Panel, L/6053, 13 October 1986, paras 1.1–1.2 and 4.1.

21 *ibid* para 4.5 (Nicaragua argued that ‘Nicaragua and the United States were not at war and maintained full diplomatic relations. If there was tension between the two countries, it was due entirely to actions by the United States in violation of international law. A country could not be allowed to base itself on the existence of an “emergency” which it had itself created . . . Nicaragua added that it must be borne in mind that GATT did not exist in a vacuum but was an integral part of the wider structure of international law, and that the General Agreement must not be interpreted in a way inconsistent with international law. The International Court of Justice had found that the embargo was one element of a whole series of economic and military actions taken against Nicaragua in violation of international law . . . The Security Council (Resolution 562) and the General Assembly (Resolution 40/188) of the United Nations had also condemned the embargo for infringing the principles of free trade and had explicitly demanded its rescinding’).

22 *ibid* para 4.6.

23 *ibid* para 5.16.

A third example concerns the 1988 Exon–Florio amendment to the Defense Production Act of 1950. This enables the president of the United States to suspend or prohibit foreign acquisitions of US companies in certain sectors for security reasons.²⁴ This amendment was mostly motivated to restrict alleged economic coercion by Japan and opened the door for administrative oversight of foreign inward investments that might increase the dependency of domestic industries on foreign governments.²⁵ Without defining the term ‘national security,’ the US president delegated the administration of the national security test to the Committee on Foreign Investment in the United States (CFIUS).²⁶ Although critics highlighted that this amendment could do more harm than good if used for protectionist purposes,²⁷ the investment review process was reinforced and strengthened by the Foreign Investment and National Security Act of 2007, granting more power to the CFIUS and applying to investment in sensitive sectors or investment by foreign government-related entities. Later in the wake of US–China trade rivalry, the Foreign Investment Risk Review Modernization Act (FIRRMA) of 2018 further strengthened the power and responsibility of the CFIUS even to modify specific investment agreements to ‘mitigate any threat to the national security.’²⁸ In this sense, the Exon–Florio amendment has haunted world trade since the era of globalization.

A fourth example from the post–Cold War period is the Helms–Burton Act that strengthens and continues the United States embargo against Cuba.²⁹ Before a GATT panel, the US contended that this law is non-justiciable under the GATT 1947, suggesting referring the case to the UN or the North Atlantic Treaty Organization (NATO) instead.³⁰ These measures epitomize how major WTO members to address unilaterally growing security concerns. The gaps between such new developments and existing WTO rules have become increasingly wider owing to the stalemate in the WTO’s decision-making process and its reform.

D. Post–Cold War and Contemporary Tensions Between Peace and Security

Until recently, measures involving peace and security had rarely reached the formal dispute settlement mechanisms under the GATT/WTO or other trade agreements, with the Nicaragua case being an exception. In this sense, while peace and security have been a central leitmotiv of international economic law, they have remained under its surface. However, as shown in Section III, this issue has resurfaced before WTO ‘tribunals’ since the 2010s.

Overall, economic interdependence has steadily increased over the three decades since the end of the Cold War, affecting the entire structure of the global economy. In theory, keeping ‘peace and security’ concepts invisible from international economic law is viable if, and to the extent that, the concepts of ‘peace’ (or its antonym ‘war’) and ‘security’ are clearly defined and distinguishable

24 Exon-Florio Amendment 50 USC App 2170.

25 James K Jackson, ‘The Exon-Florio National Security Test for Foreign Investment’ (2013) CRS Report for Congress, 3.

26 *ibid* at 4. CFIUS was originally established in 1975 as an interagency coordination panel to address concerns of economic coercion by Arab countries.

27 Karla D Whalen, ‘Exon-Florio and Open Investment: Are They at Odds in a World Where National Security No Longer Revolves Solely Around Military Might?’ (1994) 17 *Suffolk Transnational Law Review* 91–92.

28 Foreign Investment Risk Review Modernization Act of 2018, 50 USC Section 4565(l)(1)(A).

29 The Cuban Liberty and Democratic Solidarity (Libertad) Act of 1996 (Helms-Burton Act), 22 USC §§ 6021–91.

30 Antonio F Perez, ‘WTO and U.N. Law: Institutional Comity in National Security’ (1998) 23 *Yale Journal of International Law* 379.

from highly entangled cross-border economic relationships primarily conducted by the private parties.³¹

However, in practice, considerable deviations from this hypothesis have been observed. First, if the word ‘peace’ can be defined as the absence of ‘war,’ the concept of war has become more nuanced compared to past instances. Recent WTO panels have struggled to define this term as it is unclear whether ‘war’ always necessitates armed conflicts.³² Whether or not a conflict qualifies as a war is important for legal reasons ‘because a state that is at war has certain rights and duties not conferred on states not at war.’³³ Cyber and hybrid wars have become prevalent in recent years. Cyberattacks against a state can cause comparable harm to actual warfare by disrupting vital computer systems.³⁴ In parallel, hybrid warfare refers to ‘irregular’ warfare including terrorist acts, indiscriminate violence, and criminal disorder.³⁵

Simultaneously, security risks increase with threats such as cyberattacks, weaponized drones, generative artificial intelligence (AI), and pandemics. The concept of security has broadened to include supply chain resilience, human security, and sustainable development, expanding beyond the political and military interests of nation-states. The global financial crisis of 2008 underscored the importance of financial stability for global peace, leading to subsequent reforms to strengthen international financial systems. Security now encompasses cybersecurity, data protection, and human security involving environmental and human rights. In a recent statement, the Group of 7 (G7) leaders focused on protecting international peace and security by preventing the leakage of critical and emerging technologies from being used for military and intelligence purposes.³⁶ Goal 16 of the Sustainable Development Goals (SDGs) of 2015 linked economic development directly to peace, security, and environmental sustainability, emphasizing inclusive growth and poverty reduction.³⁷ Human rights protections are becoming increasingly relevant to global peace and security.³⁸

As peace and security have become increasingly intertwined with economic and non-military interests, there is growing awareness that the regulation of private activities increasingly affects the global public order, and that lack of domestic security closely affects international peace.³⁹ These recent changes necessitate a redefinition of the conceptual frameworks of peace and security and their boundaries within international economic law.

Finally, peace and security should be pursued concurrently and coordinately to ensure a sustainable and stable global economic order. The historical developments discussed in this section

31 Government procurement is generally considered as an exception. See GATT Article III:8. The treatment of the state trading enterprises (STEs) has recently given rise to a separate legal issue.

32 WTO, *United States—Origin Marking Requirement*, Panel Report, 21 December 2022, WT/DS597/R, para 7.301.

33 Jan Almäng, ‘War, Vagueness and Hybrid War’ (2019) 19 *Defence Studies* 189–204, 189.

34 Russell Buchan and Nicholas Tsaourias, ‘Cyber War and International Law’ (2012) 17 *Journal of Conflict and Security Law* 183–86 (examining the application of the international law on the use of force (*jus ad bellum*) and international humanitarian law (*jus in bello*) to cyber war.)

35 Frank Hoffman, ‘Complex Irregular Warfare: The Next Revolution in Military Affairs’ (2006) 50 *Orbis* 395–411.

36 G7 Leaders’ Statement on Economic Resilience and Economic Security, 20 May 2023. White House Webpage <<https://www.whitehouse.gov/briefing-room/statements-releases/2023/05/20/g7-leaders-statement-on-economic-resilience-and-economic-security/>>.

37 UN General Assembly, Resolution adopted by the General Assembly on 25 September 2015: Transforming Our World: The 2030 Agenda for Sustainable Development, A/RES/70/1 (2015) 25–26.

38 Office of the United Nations High Commissioner for Human Rights (OHCHR) Webpage, ‘Preventing Violations and Strengthening Protection of Human Rights, Including in Situations of Conflict and Insecurity’ <<https://bangkok.ohchr.org/peace-and-security/>>.

39 James Bacchus, ‘The Black Hole of National Security: Striking the Right Balance for the National Security Exception in International Trade’ (2022) 936 *CATO Policy Analysis* 11.

highlight the significance of integration, cooperation within the framework of healthy competition, and inclusiveness, in the global trading system. Thus, schemes such as ‘supply chain resilience’ and ‘derisking’ should not be lightly used as a vehicle to pursue economic autarchy or to build an economic bloc. For this purpose, the most critical aspect to avoid is treating them as separate or conflicting objectives: ‘peace or security’ or ‘peace versus security.’

III. Recent International Economic Disputes Involving Peace and Security

In recent years, an increasing number of international economic disputes involving peace and security have been brought before international economic ‘tribunals,’ comprising WTO panels and the Appellate Body as well as investment arbitral tribunals. These disputes deal with conflicts between international economic law and state measures allegedly pursuing peace and security objectives. The principal issue in such disputes which are referred to the WTO dispute settlement mechanism is whether trade measures that would otherwise be inconsistent with the WTO-covered agreements can nevertheless be justified by a security exception in the agreements. In investment disputes arising out of conflicts between Ukraine and Russia, one of the critical questions for the tribunals was whether the protection under an applicable investment agreement would extend to investments in the Crimean Peninsula occupied by Russia.⁴⁰ In other investment disputes, the parties dispute how tribunals should consider security concerns in interpreting and applying IIAs. This section reviews how the WTO dispute settlement mechanism, investment arbitration, and the ICJ have dealt with international economic disputes involving peace and security.

A. The WTO Dispute Settlement

Several disputes have been referred to WTO dispute settlement mechanism, in which a WTO member, subject to trade restrictions taken by another WTO member allegedly for achieving peace and security, claims that the measures violate obligations under the WTO-covered agreements. The focal point of such disputes is whether the measures at issue that would otherwise be inconsistent with WTO obligations can nevertheless be justified by security exception clauses in the WTO-covered agreements, such as Article XXI of GATT.

The first-ever WTO dispute in which a panel interpreted and applied Article XXI of GATT was *Russia—Transit*,⁴¹ which arose in the context of escalating tensions between Ukraine and Russia over the Crimean Peninsula. Following the annexation of Crimea by Russia in 2014, several countries, including Ukraine, imposed sanctions on Russian entities and persons. In response, Russia imposed restrictions on imports and transit of certain products originating from countries that had imposed sanctions against it. In response, Ukraine initiated WTO dispute settlement proceedings, claiming that these restrictions and other related measures violated Russia’s obligations under the GATT and the Protocol of Accession of the Russian Federation.⁴²

The dispute had ‘novel and exceptional features’⁴³ in the sense that it was closely connected to a highly political conflict involving national security and the use of force. For this reason, Russia argued that the panel lacked jurisdiction to review Ukraine’s claims. The panel rejected Russia’s

40 See part B) of this Section.

41 WTO, *Russia—Measures Concerning Traffic in Transit* [hereinafter *Russia—Transit*], Panel Report, 5 April 2019, WT/DS512/R.

42 Panel Report, *Russia—Transit*, paras 7.5–7.19.

43 *ibid* para 7.24.

argument and did review Ukraine's claims, but ultimately concluded that the respondent's measures constituted actions 'which it consider[ed] necessary for the protection of its essential security interests' 'taken in time of . . . emergency in international relations' under Article XXI:(b)(iii) of GATT and therefore was justified.⁴⁴

In *Saudi Arabia—Intellectual Property Rights*, one of the key issues was whether Saudi Arabia's unilateral sanctions limiting intellectual property rights of Qatari nationals were justified by a security exception provided in Article 73 of the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement). In 2017, Saudi Arabia imposed sanctions when it cut its diplomatic ties with Qatar. Qatar brought this matter to the WTO dispute settlement mechanism, claiming that diplomatic, political, and economic measures taken by Saudi Arabia were undermining the ability of Qatari nationals to protect their intellectual property rights in Saudi Arabia.

Similar to Russia's argument in *Russia—Transit*, Saudi Arabia argued that political and essential security disputes of this kind could not be resolved at the WTO and should not be brought to the WTO disguised as trade disputes.⁴⁵ However, the panel rejected this argument, pointing out that the matter raised by Qatar concerned alleged violations of the TRIPS Agreement, which fell within the panel's subject matter jurisdiction.⁴⁶ The panel concluded that some of the measures at issue that were inconsistent with the TRIPS Agreement were not justified by Article 73(b)(iii) of the TRIPS Agreement. While they were 'taken in time of war or other emergency in international relations' in the sense of the provision, they did not amount to an action, which Saudi Arabia considered necessary for the protection of its essential security interests.⁴⁷

In these two cases arising amidst high political tensions between the disputing parties, it was evident that 'war or other emergency in international relations' in the sense of the relevant security exception clauses existed. However, in other cases, it was unclear whether certain measures were taken for national security purposes 'in time of war or other emergency in international relations' as required by the security exception clauses.

This became controversial when the US imposed additional duties on steel and aluminium in accordance with Article 232 of its Trade Expansion Act of 1962. Such statute authorizes the president to 'adjust the imports of an article and its derivatives' when the secretary of commerce concludes, after an investigation, that the importation of the article in question is in such quantities or under such circumstances as to threaten to impair the national security and the president concurs with that conclusion.⁴⁸

Several WTO members commenced WTO dispute settlement proceedings over the additional duties on steel and aluminium, claiming that these duties were, in fact, safeguard measures taken to protect the US steel and aluminium industries rather than measures taken for national security purposes, as claimed by the US. In four of these proceedings, while the respective panel reports⁴⁹

44 *ibid* paras 7.53–7.148.

45 WTO, *Saudi Arabia—Measures Concerning the Protection of Intellectual Property Rights*, Panel Report, 19 November 2018, WT/DS567/3, para 7.14.

46 *ibid* para 7.16.

47 *ibid* para 7.294.

48 Presidential Proclamation 9705 of 8 March 2018: Adjusting Imports of Steel into the United States, 83 FR 11625 (15 March 2018).

49 WTO, *United States—Certain Measures on Steel and Aluminum Products*, Panel Report, 9 December 2022, WT/DS544/R; WTO, *United States—Certain Measures on Steel and Aluminum Products*, Panel Report, 9 December 2022, WT/DS552/R; WTO, *United States—Certain Measures on Steel and Aluminum Products*, Panel Report, 9 December 2022, WT/DS556/R; WTO, *United States—Certain Measures on Steel and Aluminum Products*, Panel Report, 9 December 2022, WT/DS564/R.

rejected the complainants' argument that the duties were safeguard measures, they concluded that the duties were not 'taken in time of war or other emergency in international relations' in the sense of Article XXI(b)(iii) of GATT and therefore were not justified by the security exception.

The panel in *US—Origin* also concluded that an emergency in international relations did not exist to meet the requirements under Article XXI(b)(iii) of GATT. In this case, Hong Kong, China, took issue with the US decision that Hong Kong, China, is no longer 'sufficiently autonomous' to justify differential treatment in relation to China and that therefore goods produced in Hong Kong, China 'must be marked to indicate that their origin is "China."'⁵⁰ The US raised human rights concerns in Hong Kong, China, to justify its decision, but the panel concluded that the human rights situation had 'not escalated to a threshold of requisite gravity to constitute an emergency in international relations that would provide justification for taking actions that are inconsistent with obligations under GATT.'⁵¹

B. Investment Arbitration

Investment Disputes Arising Out of Conflicts between Ukraine and Russia

Ukrainian investors commenced several investment arbitrations against Russia under the bilateral investment treaty (BIT) between the two states in the aftermath of the annexation of the Crimean Peninsula in 2014.⁵² Some of these arbitral proceedings have been concluded in favour of claimants/investors. One of the most controversial issues in these cases was the applicability of the BIT to Ukrainian investments in the Peninsula occupied by Russia.

For example, in *Stabil v. Russia*, the tribunal considered that the term 'territory' in the BIT 'includes territory over which a state exercises *de facto* control and jurisdiction' and held that the BIT had become 'opposable to Russia with respect to Ukrainian investments in Crimea . . . no later than 21 March 2014' when Russia ratified a treaty to incorporate the peninsula and formally incorporated Crimea in accordance with its Constitution.⁵³ The tribunal concluded that Russia had breached its obligations in the BIT by taking the claimants' investments.⁵⁴ In *Privatbank v. Russia*, the tribunal also reached a similar conclusion,⁵⁵ while adding that its award 'd[id] not reach any

50 Executive Order 13936 on Hong Kong Normalization, 85 Fed. Reg. 43413 (17 July 2020); 11 August 2020 Federal Register Notice.

51 WTO, *United States—Origin Marking Requirement*, Panel Report (n 32) para 7.358.

52 A few investment disputes have arisen out of the Russian invasion of Ukraine in February 2022, but none of them have decided jurisdiction or liability as of today.

53 *Stabil LLC and Others v Russian Federation*, UNCITRAL, PCA Case No 2015-35, Award on Jurisdiction, 26 June 2017, para 175.

54 *Stabil and others v Russia*, UNCITRAL, PCA Case No 2015-35, Final Award, 12 April 2019, para 430.

55 *Privatbank and Finilon v Russia*, PCA Case No 2015-21, Interim Award (Corrected), 27 March 2017, para 195; *Privatbank v Russia*, PCA Case No 2015-21, Partial Award, 4 February 2019. Reportedly, other unpublished awards related to the annexation of the Crimean Peninsula also affirmed jurisdiction over the cases and held Russia liable for expropriating the investments in the peninsula. For *Lugzor and Others v Russia*, see e.g. Damien Charlotin, 'Real Estate Arbitration Arising Out of Russia's 2014 Takeover of Crimea Concludes with an Award' *Investment Arbitration Reporter* (30 March 2023) <<https://www.iareporter.com/articles/real-estate-arbitration-arising-out-of-russias-2014-takeover-of-crimea-concludes-with-an-award/>> accessed 31 July 2024. For *Everest and Others v Russia*, see e.g. Luke Eric Peterson, 'Russia Held Liable in Confidential Award for Expropriation of Hotels, Apartments and Other Crimean Real Estate; Arbitrators Award Approximately \$150 Million (Plus Legal Costs) for Breach of Ukraine Bilateral Investment Treaty' *Investment Arbitration Reporter* (9 May 2018) <<https://www.iareporter.com/articles/russia-held-liable-in-confidential-award-for-expropriation-of-hotels-apartments-and->

view on the legality or illegality under international law of the incorporation of the Crimean Peninsula by the Russian Federation or on the sovereignty claims of Ukraine and the Russian Federation in respect of the Crimean Peninsula' and that none of its findings 'are intended to take any position on such matters.'⁵⁶

Other tribunals have followed suit. The tribunal in *Oschadbank v. Russia* found that the term 'territory' in the BIT referred to a geographical area over which a party exercises jurisdiction or control and that the peninsula fell within the territory of the respondent for the purpose of the BIT.⁵⁷ The tribunal held that Russia breached its obligations under the BIT by unlawfully expropriating the claimant's investments and ordered Russia to pay damages to the claimant.⁵⁸ The majority of the tribunal in *Naftogaz and Others v. Russia* found that the claimants were entitled to invoke the protection of the BIT because *de facto* power was exercised by Russia since 27 February 2014.⁵⁹ In addition, the tribunal agreed with a finding in *Belbek v. Russia* that denying the applicability of the BIT to conduct in the Crimean Peninsula 'would denude the [BIT] of effect and relieve the Contracting Parties of their obligation to perform the [BIT] in good faith . . . and create a legal void, a bubble, in the application of the [BIT] in respect of the Crimean Peninsula that was never contemplated and should not be countenanced.'⁶⁰ Notably, these tribunals acknowledged that the protection under the BIT would extend to the disputed area while evading the highly political question of security and sovereignty.

In some cases, Russia argued that security concerns should be reflected in examining substantive obligations or assessing quantum even though the BIT does not have a security exception clause. For example, in *Dtek v. Russia*, Russia argued that its actions did not constitute an expropriation under the BIT because they amounted to a legitimate and *bona fide* exercise of its legitimate police powers.⁶¹ While the tribunal acknowledged that regulatory activity exercised under the doctrine of police powers would not give a right to compensation, they concluded that the necessary requirements for the application of the doctrine were not met in this case.⁶² Russia also argued that the doctrine of exceptional circumstances developed by the European Court of Human Rights would preclude a finding of liability or severely limit the payment of compensation.⁶³ However, the tribunal rejected the argument, stating that the exceptional nature of the doctrine prevented its application in the context of the BIT, and that even if it could be applied, the requirements for its

other-crimean-real-estate-arbitrators-award-approximately-150-million-plus-legal-costs-for-breach-of-ukraine-bi/> accessed 31 July 2024. For *Aeroport Belbek and Kolomoisky v Russia*, see e.g. Luke Eric Peterson, 'Russia Held Liable for Expropriation of Bank Operations in Billion Dollar Arbitration, as Well as of Airport' *Investment Arbitration Reporter* (15 February 2019) <<https://www.iareporter.com/articles/russia-held-liable-for-expropriation-of-bank-operations-in-billion-dollar-arbitration-as-well-as-of-airport/>> accessed 31 July 2024. For *Ukrnafta v Russia*, see e.g. Luke Eric Peterson, 'As Russia Is Held Liable in Two New BIT Cases, and Ordered to Pay Upwards of \$100 Million, We Round-Up Developments in Crimea-Related Arbitrations' *Investment Arbitration Reporter* (16 April 2019) <<https://www.iareporter.com/articles/as-russia-is-held-liable-in-two-new-bit-cases-and-ordered-to-pay-upwards-of-100-million-we-round-up-developments-in-crimea-related-arbitrations/>> accessed 31 July 2024.

56 *Privatbank v Russia*, Interim Award (Corrected), 27 March 2017, para 144.

57 *Oschadbank v Russia*, PCA Case No 2016-14, Award, 26 November 2018, paras 212, 218, 410.

58 *ibid* para 410.

59 *Naftogaz of Ukraine and others v Russian Federation*, PCA Case No 2017-16, Partial Award, 22 February 2019, paras 180–82.

60 *ibid* para 178.

61 *Dtek v Russia*, PCA Case No 2018-41, Award, 1 November 2023, para 789.

62 *ibid* paras 802–10.

63 *ibid* paras 811–12.

application were not satisfied.⁶⁴ Russia also raised the doctrine of exceptional circumstances in relation to quantum in *Belbek v. Russia*, suggesting that the doctrine justified the denial or significant reduction of any compensation due to the claimants.⁶⁵ The tribunal found that such doctrine may cover ‘issues of compensation’ and therefore enabled Russia to advance its arguments under the same at a hearing on quantum issues.⁶⁶

In addition, arbitral proceedings have been initiated regarding economic sanctions against Russia.⁶⁷ For example, in *VEB v. Ukraine*, a Russian state-owned development bank filed a claim in response to Ukraine’s sanctions against Russia’s annexation of the Crimean Peninsula. The tribunal held that it had jurisdiction over the claimant’s claims, noting that a state-owned investor is not precluded from the scope of investor-state dispute settlement (ISDS) under the BIT.⁶⁸ In *ABH Holdings S.A. v. Ukraine*, a request for arbitration was submitted by a Luxembourg-based company, partly owned by Russian investors who have been sanctioned by several Western countries. In the request, the claimant claims that Ukraine unlawfully expropriated its wholly owned subsidiary bank in Ukraine.⁶⁹ Similar to the BIT between Ukraine and Russia, the Ukraine–Belgium-Luxembourg Economic Union BIT does not have a security exception. The proceedings are still at an early stage at the time of writing, and a decision on jurisdiction and the merits has not yet been made.

Denial of Benefits and Security Exception

In recent years, an increasing number of IIAs have included a security exception clause,⁷⁰ and there have been several cases in which a security exception clause was invoked in investment arbitration. For example, in cases between US investors and Argentina concerning measures taken by Argentina during its economic crisis in 2001 and 2002, Argentina invoked the state of necessity under customary international law as well as the security exception in Article XI of the US–Argentina BIT. Such provision allows each contracting party to apply ‘measures necessary for the maintenance of public order, the fulfillment of its obligations with respect to the maintenance or restoration of international peace or security, or the protection of its own essential interests.’ Nonetheless, most tribunals in these cases concluded that the measures were not justified by either the state of necessity or the security exception.⁷¹

⁶⁴ *ibid* paras 816–26.

⁶⁵ *Aeroport Belbek LLC and Mr. Igor Valerievich Kolomoisky v Russian Federation*, PCA Case No 2015-07, Procedural Order No 11, 21 December 2020, para 2.12.

⁶⁶ *ibid* para 2.15. The tribunal has not issued a decision on the quantum yet.

⁶⁷ See generally Elena Chachko and J Benton Heath, ‘Symposium on Ukraine and the International Order: A Watershed Moment for Sanctions? Russia, Ukraine, and the Economic Battlefield’ (2022) 116 *AJIL Unbound* 135–39.

⁶⁸ *VEB.RF v Ukraine*, SCC Case No V2019/088, Partial Award on Preliminary Objections, 31 January 2021, paras 112–78.

⁶⁹ *ABH Holdings S.A. v Ukraine*, ICSID Case No ARB/24/1, Claimant’s Request for Arbitration, 29 December 2023, paras 91–93.

⁷⁰ Mohamed Shelbaya, ‘Security Exceptions’ (2024) *ICSID Review—Foreign Investment Law Journal* 1–21.

⁷¹ See e.g. *CMS v Argentina*, ICSID Case No ARB/01/8, Award, 12 May 2005, paras 304–93; *Enron v Argentina*, ICSID Case No ARB/01/3, Award, 22 May 2007, paras 293–339; *Sempra v Argentina*, ICSID Case No ARB/02/16, Award, 28 September 2007, paras 344–54, 373–88; *El Paso Energy v Argentina*, ICSID Case No ARB/03/15, Award, 31 October 2011, paras 561–670; *Mobil Argentina v Argentina*, ICSID Case No ARB/04/16, Decision on Jurisdiction and Liability, 10 April 2013, paras 1023–131. There are a few exceptions, where tribunals accepted partial justification under the security exception. See e.g. *LG&E v Argentina*, ICSID Case No ARB/02/1, Decision

A security exception was also invoked in two arbitral proceedings that have been brought against India regarding the annulment of an agreement for the lease of satellite spectrum. India invoked a security exception in the applicable IIAs, claiming that its decision to annul the agreement was due to reserve satellite spectrum for military and other strategic purposes. While an arbitral tribunal rejected India's defence, stating that the requirements for the application of the security exception were not met in the case,⁷² the majority of the other tribunal recognized that the annulment was in part motivated by essential security interests⁷³ and awarded the claimants 40% of their investment value.⁷⁴

In the most recent arbitral decision as of the time of writing, in *Seda v. Colombia*, the tribunal found that a security exception in the applicable IIA, i.e. the United States–Colombia Trade Promotion Agreement (TPA), was self-judging and that ‘a margin of deference should be afforded to *a fortiori*’ to a state invoking the exception.⁷⁵ The tribunal concluded that the respondent invoked the exception in good faith and dismissed all the claimants’ claims.⁷⁶ The applicability and effects of security exception clauses is likely to be raised more often in future investment arbitrations.⁷⁷

In international investment disputes involving peace and security, the parties can invoke, in addition to a security exception, a denial of benefits clause. Such clause allows a contracting party to deny protections under an IIA to foreign investments under certain circumstances. For example, considering the possibility that Russian investors may bring more investment claims regarding economic sanctions, several states, including Ukraine, have declared that they exercise their right under Article 17 of the Energy Charter Treaty (ECT)⁷⁸ to deny the advantages to investments of investors of Russia.⁷⁹ Article 17 of the ECT provides, in particular, that each contracting party can exercise the right to deny certain advantages of the treaty to given investments if it establishes that such investments belong to investors of a third state with which it does not maintain a diplomatic relationship, or adopts or maintains measures that (i) prohibit transactions with investors of that state or (ii) would be violated or circumvented if the benefits’ under the ECT were accorded to investors of that state or to their investments.

on Liability, 3 October 2006, paras 226–66; *Continental Casualty v Argentina*, ICSID Case No ARB/03/9, Award, 5 September 2008, paras 160–236.

72 *Deutsche Telekom v India*, PCA Case No 2014-10, Interim Award, 13 December 2017, paras 183–291.

73 *CC/Devas (Mauritius) Ltd., Devas Employees Mauritius Private Limited, and Telcom Devas Mauritius Limited v Republic of India*, PCA Case No 2013-09, Award on Jurisdiction and Merits, 25 July 2016, paras 211–374.

74 *CC/Devas v India*, PCA Case No 2013-09, Award on Quantum, 13 October 2020, paras 608–9.

75 *Angel Samuel Seda and others v Colombia*, ICSID Case No ARB/19/6, Award, 27 June 2024, paras 638–40.

76 *ibid* paras 757–95.

77 See also *Huawei v Sweden*, ICSID Case No ARB/22/2, Request for Arbitration, 7 January 2022.

78 Energy Charter Treaty (ECT), signed on 17 December 1994, in force 16 April 1998, 34 ILM 360 (1995).

79 For Ukraine, see <<https://www.energycharter.org/media/news/article/ukraine-denies-advantages-under-article-172-of-the-ect/>> accessed 31 July 2024. For Germany, see <https://www.energycharter.org/media/news/article/germany-denies-advantages-of-part-iii-under-article-17-of-the-ect/?tx_news_pi1%5Bcontroller%5D=News&tx_news_pi1%5Baction%5D=detail&cHash=52958f4e8038af6badc6d5291e20a9a3> accessed 31 July 2024. For the United Kingdom, see <https://www.energycharter.org/media/news/article/the-united-kingdom-denies-advantages-of-part-iii-under-article-17-of-the-ect/?tx_news_pi1%5Bcontroller%5D=News&tx_news_pi1%5Baction%5D=detail&cHash=c03e5fff166859c14b15efaa1f5cb8a3> accessed 31 July 2024. For the EU, see <<https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A52024PC0142>> accessed 31 July 2024.

C. ICJ

The applicability of a security exception has also arisen in the jurisprudence of the ICJ. For instance, in *Iranian Assets*, the Court addressed the applicability of Article XX:1(d) of the Treaty of Amity Economic Relations and Consular Rights between the United States and Iran ('Treaty of Amity'), which provides that the treaty shall not preclude the application of measures 'necessary to protect its essential security interests.' In these proceedings, Iran claimed that the United States had adopted several measures in breach of the Treaty of Amity, and consequently, the assets of Iran and Iranian entities had been subject to enforcement proceedings in the United States, seized, in the process of being seized and transferred, or at risk of being seized and transferred. In response, the United States raised a preliminary objection to the jurisdiction of the Court, alleging that Iran's claims fell outside the scope of the Treaty of Amity by virtue of Article XX:1(d).⁸⁰ However, the Court rejected this objection, stating that the Treaty of Amity contained no provision expressly excluding certain matters from its jurisdiction.⁸¹

In the proceedings on the merits, the United States invoked the provision again to request that the Court dismiss Iran's claims. Relying on *Djibouti v. France*, the United States argued that the exception 'leaves each party, acting in good faith, a wide discretion to determine the measures necessary to protect its security interests.'⁸² However, the Court rejected this argument, distinguishing the case from *Djibouti v. France* in that the applicable treaty in the latter case provided that a party could refuse a request for mutual assistance if it 'consider[ed] that execution of the request [wa]s likely to prejudice its sovereignty, its security, its order public or other of its essential interests' (emphasis added).⁸³ The Court opined that the use of the verb 'consider' provided the state concerned with a 'wide margin of discretion, greater than that afforded to the state parties by Article XX:1(d) of the Treaty of Amity.'⁸⁴ It also added that even if the respondent enjoyed a 'certain margin of discretion,' it bore the burden to show the measure at issue was necessary to protect its essential security interests but it had not convincingly done so.⁸⁵

IV. Analysis

Economic considerations and security concerns are inherently closely interconnected: while the general assumption is that free trade can promote international peace and security, this is not always the case, and tensions can arise. As pointed out in Section II, these tensions have resulted in several high-profile trade and investment disputes in the history of international economic law.

80 ICJ, *Certain Iranian Assets (Islamic Republic of Iran v United States of America)* [*Iranian Assets*], Judgment, Preliminary Objections, 13 February 2019, paras 38–40.

81 *ibid* paras 45–46. Judge *Ad Hoc* Brower appended a separate opinion, noting that Article XX of the Treaty of Amity is worded differently from Article XXI of the GATT, which, in his view, is self-judging and limits the scope of jurisdiction. Separate Opinion of Judge *Ad Hoc* Brower, paras 9–11.

82 ICJ, *Iranian Assets*, Judgment, 30 March 2023, para 104.

83 *ibid* para 107. See also ICJ, *Case Concerning Certain Questions of Mutual Assistance in Criminal Matters (Djibouti v France)* [*Djibouti v France*] Judgment, 4 June 2008, paras 145–47.

84 *Iranian Assets*, Judgment, 30 March 2023, para 107.

85 *ibid* para 108. Judge Iwasawa appended a separate opinion, stating that, even in the absence of the verb 'consider,' security exceptions should be understood as affording the invoking state a 'fair measure of discretion.' Separate Opinion of Judge Iwasawa, para 19. In particular, he is of the view that, in assessing a security exception without the verb 'consider,' an international court should determine whether the measure was 'rational in light of a consideration of the reasonably available alternatives known to that state at that time.' *ibid* para 30.

After having examined some of the most recent cases before international courts and tribunals in Section III, this section critically assesses how this new trend has raised challenging questions for international courts and tribunals, such as WTO dispute settlement panels and investment arbitral tribunals.

First, international courts and tribunals dealing with economic disputes involving peace and security often face the question of whether they have jurisdiction over such disputes. This question may be simple if the applicable treaty explicitly excludes matters related to peace and security from the scope of treaty protection.⁸⁶ If there were no explicit exclusion, a tribunal would have to ask whether an applicable treaty implicitly excludes security-related disputes from its jurisdiction. The WTO panels, at least so far, have unanimously found that security exception clauses in the WTO Agreements do not negate their jurisdiction over security-related disputes. However, some WTO members, including the United States and Russia, remain firmly opposed to this view, and the question of whether a panel should review security-related disputes may recur in future WTO disputes.

Second, the interpretation and application of security exception clauses is not an easy task for WTO panels and investment arbitral tribunals because of the vagueness and ambiguity of the text of the clauses and the sensitivity of the subject matter. In the WTO dispute settlement, the gradual accumulation of panel decisions on Article XXI of GATT and Article 73 of the TRIPS Agreement have shed some light on the meaning of these exception clauses, but many questions remain for future panels. For example, whether ‘war or other emergency in international relations’ as provided in the clauses exists in a particular case needs to be assessed in light of the facts of that case. Moreover, history indicates that the meaning of the term ‘war’ may evolve as the concepts of peace and security develop too.⁸⁷

The interpretation and application of a security exception clause are even more difficult in investment disputes. The wording of investment agreements varies significantly, and arbitral awards are frequently criticized for the lack of a consistent interpretation of applicable IIAs. The previous section mentioned several investment arbitral decisions on security exception clauses. While there is no binding precedent in international (economic) law, the arbitral jurisprudence on security exception clauses is particularly fragmented and the persuasiveness and precedential value of the relevant awards is inevitably limited to due to the different claimants, claims, case circumstances, arbitral tribunals, and applicable IIAs.

Third, the interpretation and application of security exceptions are made more complex by the challenge of establishing the standard of review that tribunals should use when interpreting and applying these exceptions. In the WTO dispute settlement, panels have accorded wide discretion to a WTO member invoking a security exception regarding what the respondent ‘considers necessary for the protection of its essential security interests’ as provided in the exception. However, it remains unclear whether there are limitations to such discretion. In the meantime, the panels have found that the existence of ‘emergency in international relations’ is subject to an objective examination, but it is debatable whether a panel should pay at least some deference to a member’s judgment as to the existence of an ‘emergency.’

86 Some IIAs provide that certain obligations do not apply to non-conforming measures identified by contracting parties. Security measures are often identified as such non-conforming measures.

87 Caroline Henckels, ‘Whither Security? The Concept of ‘Essential Security Interests’ in Investment Treaties’ *Security Exceptions*’ (2024) 27 *Journal of International Economic Law* 114.

The question of the standard of review to be applied in interpreting security exceptions is even more complex in investment arbitration because security exceptions in some IIAs use the term ‘consider’ while others do not. While the absence of the term ‘consider’ from a security exception clause should inform the meaning of that exception in accordance with Article 31 of the Vienna Convention on the Law of Treaties,⁸⁸ it does not necessarily suggest that no deference is needed in applying the exception. If a tribunal finds that discretion should be accorded to the judgment of the respondent state, it has to address the thorny question of the appropriate degree of discretion.

Fourth, in the case of IIAs without a security exception, tribunals may nevertheless be required to ponder peace and security considerations in their examination of substantive obligations under the IIAs, or in the calculation of compensation and damages. How to conduct such consideration remains unanswered. Future awards regarding investment disputes under the BIT between Ukraine and Russia may provide insight into these questions.

Finally, WTO members may need to redefine the relationship between peace and security in international economic law in the anticipated period of ‘re-globalization.’⁸⁹ As argued in the WTO’s *World Trade Report 2023*, re-globalization or a more integrated system of international trade, rather than fragmented, regional and partisan divisions, would contribute to a more resilient and safer world.⁹⁰ In the long run, establishing a more inclusive framework is needed to expand the scope of legal frameworks by embracing the diverse interests of members, especially the most vulnerable ones, such as least developed countries (LDCs) and non-state actors, including local communities, minorities, and indigenous peoples.⁹¹ In the short run, elaborating legal arguments before international courts and tribunals can help develop a legal basis and a starting point for realizing such inclusive frameworks.

V. Conclusions

Peace and security are both an old and new subject in international economic law. It is old in the sense that the development of international economic law has been motivated by a desire to achieve international peace and security, as illustrated by the creation of the multilateral trading system after WW2. However, the evolution and expansion of the concept of peace and security, especially in recent decades, is posing new challenges to international economic law and institutions. It is critical for international economic law and institutions to address these challenges properly to maintain and reinforce their perceived legitimacy and effectiveness.

This chapter reviewed the status quo of international economic law as a laboratory for strengthening peace and security. In this sense, it is pivotal to lay out the theoretical and practical foundations in order to address some of the most important challenges that the international economic order is facing. Many of these are addressed in other chapters of this *Handbook*. In conclusion, it is fair to say that discussing peace and security’s role in international economic law is an indispensable component of enabling peaceful, just, and prosperous relations among nations, thus re-globalizing the world along inclusive lines.

88 Vienna Convention on the Law of Treaties (VCLT), opened for signature 23 May 1969, in force 27 January 1980, 1155 UNTS 331.

89 See Section II of this chapter.

90 WTO, *World Trade Report 2023* (n 3) 57. Recent developments include the following article: Trade Expertettes, ‘Ten Quick Wins for Re-globalization and Resilience in Trade’ Trade Expertettes Webpage <<https://www.tradeexpertettes.org/quick-wins-report-2024>>.

91 See Hodu’s chapter in this *Handbook*.



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PART II

International Trade Law



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THE WORLD TRADE ORGANIZATION

María Gabriela Sarmiento and Katia Fach Gómez

I Introduction

The Doha Development Round was launched in 2001 to include negotiations on more than twenty different subjects. The main aim of this round of negotiations was to tackle the challenges that developing countries (DCs) and least developed countries (LDCs) face in implementing the World Trade Organization (WTO) agreements, with the aim of improving and increasing their international trade.¹ The main areas of trade negotiation were agriculture, non-agricultural market access, services, intellectual property, trade and investment, trade and competition, transparency in public procurement, trade facilitation, anti-dumping and subsidies, regional trade agreements and dispute settlement.²

However, by the time of the 2024 Abu Dhabi Ministerial Conference, WTO members have agreed on two agreements only: a 2013 agreement on trade facilitation and a partial agreement on fisheries subsidies, concluded in 2022. Since some trade liberalization items were abandoned and negotiations on other items have stalled, international economic law has become more fragmented as a result of WTO members creating new trade regulations outside of the organization through regional trade agreements. Regional trade agreements constitute a significant component of international trade law.³ Not only has their number grown since the 1990s, but their scope and complexity has also increased.⁴

This chapter addresses key aspects of the WTO, such as its origins, mandate, and membership. It also explores its functioning and working procedures, with emphasis on decision-making methods. After briefly outlining the trade principles endorsed by the organization, the chapter

1 WTO Ministerial Conference, ‘Ministerial Declaration’ (20 November 2001) WT/MIN(01)/DEC/1 <<https://tinyurl.com/2x75njuu>> (all the links have accessed 24 September 2024).

2 WTO, ‘The Doha Round’ <<https://tinyurl.com/bdeb3ah5>>.

3 According to the WTO RTAs database, there are 364 RTAs in force, of which 166 are good-related, two are service-related and 196 refer to both goods and services. WTO, ‘Regional Trade Agreements (RTAs) Database’ <<http://rtais.wto.org/UI/PublicMaintainRTAHome.aspx>>.

4 Regional trade agreements signed by WTO members include the Pacific Alliance among Chile, Colombia, Mexico and Peru, the tripartite agreement of the African Continental Free Trade Area (AfCFTA) with contracting parties to the Common Market for Eastern and Southern Africa (COMESA), the East African Community (EAC), and the Southern African Development Community (SADC). See Claussen and Hsieh’s chapter in this *Handbook*.

investigates the WTO techniques for applying and enforcing international trade rules and assisting member states (MS) throughout trade negotiations.

The chapter proceeds as follows. After this short introduction, Section II focuses on the origins and mandate of the WTO. Section III discusses the WTO's structure. Section IV examines the interplay between WTO members, observers, and civil society. Section V investigates the main principles guiding the WTO system. Section VI elucidates key trade topics. Section VII concludes that despite the perceived crisis of the WTO, it remains a central and vital element of international economic law.

II The Origins and Mandate of the WTO

The WTO was created as an intergovernmental organization with headquarters in Geneva, Switzerland, in 1995. As of 22 January 2024, this negotiating forum has 164 member states and 25 observer governments.⁵ On 1 January 1995 the WTO replaced the General Agreement on Tariffs and Trade (GATT)⁶ that had operated for almost 50 years. The GATT was an international agreement, provisionally approved in 1947 due to the impossibility of establishing the International Trade Organization at that time.⁷ Underpinning the inception of the GATT was the belief that peace and security are intertwined with freedom of trade. In fact, the pursuit of peace and security motivated the architects of the post-WWII multilateral economic rules and trade system.⁸

An agile agreement, the GATT 1947 focused on trade in goods and created a trade system that evolved through trade negotiation rounds. The first trade negotiations focused on tariff reductions, while later rounds centred on anti-dumping and non-tariff measures. The Uruguay Round (from 1986 to 1994) ended with the signing of a set of multilateral international treaties including the Marrakesh Agreement establishing the WTO (WTO Agreement)⁹ and its four annexes: Annex 1 including the Multilateral Trade Agreements on Trade in Goods (GATT),¹⁰ in Services (GATS),¹¹ and in Trade-Related Aspects of Intellectual Property Rights (TRIPS);¹² Annex 2 including the Dispute Settlement Understanding (DSU);¹³ Annex 3 comprising the Trade Policy Review Mechanism; and Annex 4 dealing with Plurilateral Trade Agreements. The Uruguay Round significantly expanded the substantive coverage of the trade system to include services and intellectual property. It also reformed trade in the sensitive sectors of agriculture and textiles.

5 WTO, 'What Is the World Trade Organization?' <<https://tinyurl.com/2p893pet>>; WTO 'Members and Observers' <<https://tinyurl.com/3ty98y7r>>.

6 General Agreement on Tariffs and Trade, 30 October 1947, 55 UNTS 194.

7 Esther López Barrero, *Regulación del Comercio Internacional: La OMC* (Tirant lo Blanch 2010) 61–71.

8 Hunter Nottage, 'Trade in War's Darkest Hour: Churchill and Roosevelt's Daring 1941 Atlantic Meeting That Linked Global Economic Cooperation to Lasting Peace and Security (WTO)' <<https://tinyurl.com/ppdzbz4c>>.

9 Marrakesh Agreement Establishing the World Trade Organization (Marrakesh Agreement or WTO Agreement), 15 April 1994, 1867 UNTS 154, 33 ILM 1144 (1994).

10 General Agreement on Tariffs and Trade as amended and incorporated into Final Act Embodying the Results of the Uruguay Round of Multilateral Trade Negotiations, Annex 1A, 15 April 1994, 33 ILM 1125 (1994).

11 General Agreement on Trade in Services (GATS), 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1B, 1869 UNTS 183.

12 Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement), 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1C, 1869 UNTS 299.

13 Understanding on the Rules and Procedures Governing the Settlement of Disputes, Dispute Settlement Understanding (DSU), Annex 2 to the Marrakesh Agreement, 1869 UNTS 401, 33 ILM 1226 (1994).

The Uruguay Round agreements did not address all trade issues. Since the inception of the WTO, thus a wide range of new topics have appeared on the trade negotiation rounds' agendas: tariffs on information technology products, a financial services deal covering trade in banking, insurance, securities, and financial information, the liberalizing of telecommunications services and agriculture and services. More recently, trade negotiations have revolved around non-agricultural tariffs, trade and the environment, transparency in government procurement, and trade facilitation.¹⁴

The WTO is heir to the GATT 1947 system, and, in many aspects, it continues its forerunner's approach. It provides a forum for negotiating trade rules between member states¹⁵ and is the primary 'international body dealing with the global rules of trade between nations.'¹⁶ Under Article II of the WTO Agreement, the organization 'shall provide the common institutional framework for the conduct of trade relations among its Members in matters related to the agreements and associated legal instruments included in the Annexes to this Agreement.' The WTO's main function is to serve as a forum for trade negotiations, facilitating the creation of international trade agreements. It also functions as a mechanism for monitoring compliance with such agreements, carrying out political reviews (Annex 3 Trade Policy Review Mechanism) and jurisdictional reviews (Annex 2 Dispute Settlement Understanding). The WTO has contributed significantly to strengthening and stabilizing the global economy, boosting trade growth, resolving numerous trade disputes, and supporting the integration of developing countries into the trading system. It is therefore a centre-piece of international economic law.

However, the WTO has also introduced important innovations, including (a) how the member states assume obligations; (b) the creation of a political compliance monitoring system: the Trade Policy Review Mechanism; and (c) the juridification of the dispute settlement mechanism. As a dedicated chapter of this *Handbook* focuses on the WTO dispute settlement system,¹⁷ this chapter concentrates on the other two distinct features of the WTO. On the one hand, in the WTO, the member states must accept all trade agreements except those in Annex 4 Plurilateral Trade Agreements, a method known as a 'package deal.' On the other hand, the Trade Policy Review Mechanism provides for comprehensive, systematic, and regular reviews of national trade policies and practices of GATT members. Together with regulatory notification obligations, it thus increases transparency in trade regulations.

III The WTO's Structure

Article IV of the WTO Agreement outlines the organization's basic structure. All WTO bodies, with very few exceptions,¹⁸ are open to the participation of all member states. The WTO is thus considered a member-driven organization. Five levels of governance can be identified in the WTO architecture.

First, the highest authority is the Ministerial Conference (MC). The Ministerial Conference is the WTO's top decision-making body, meeting every two years on average.¹⁹ The MC sets out the organization's political line and has the capacity to create new legal obligations. In the 30 years of the WTO's existence the MCs have debated new issues that were not included in

14 WTO, 'What Is the World Trade Organization?' <<https://tinyurl.com/2zw7w8w5>>.

15 WTO, 'The WTO' <<https://tinyurl.com/uycdxjd>>.

16 WTO, *25 Years of WTO, a Photographic Retrospective* (WTO 2020) <<https://tinyurl.com/4y6vv6uc>>.

17 See Van den Bossche's chapter in this *Handbook*.

18 López Barrero, *Regulación del Comercio Internacional* (n 7) 126–27.

19 Marrakesh Agreement Establishing the WTO (n 9) Article IV.

the agreements. For instance, at the Ministerial Conference held in Singapore, member states discussed the so-called Singapore issues including trade and investment, trade and competition policy, transparency in government procurement, and trade facilitation. Likewise, the MCs have defined obligations covered by the agreements. For example, the Doha Ministerial Conference clarified the covered agreements' flexibilities to improve access to essential medicines. At MCs, member states entered new agreements or commitments and opened new trade negotiation rounds. For instance, they committed to eliminating fisheries subsidies at the 12th MC.

Second, the WTO General Council (GC), which is headquartered in Geneva, is the highest WTO decision-making body, acting on behalf of the MC. It is responsible for carrying out WTO functions in the intervals between the biennial MCs. The GC also performs specific tasks assigned to it by the WTO Agreement, such as approving the organization's annual budget. It meets regularly (every six to eight weeks) and is made up of MS representatives, who are usually ambassadors or their civil service equivalents. The GC also meets as the Dispute Settlement Body (DSB) and the Trade Policy Review Body (TPRB) but under different rules. They all report to the MC.

The Council for Trade in Goods (Goods Council), the Council for Trade in Services (Services Council) and the Council for Trade-Related Aspects of Intellectual Property Rights (TRIPS Council), which are made up of all WTO member states and report to the GC, constitute a third hierarchical level. Each Council oversees one of the trade annexes: The GATT is overseen by the Council for Trade in Goods (Goods Council); the GATS by the Council for Trade in Services (Services Council); and the TRIPS Agreement by the Council for Trade-Related Aspects of Intellectual Property Rights (TRIPS Council). The TRIPS Council²⁰ has the mandate to administer and monitor the TRIPS Agreement²¹ and how the MS have adapted or incorporated these commitments in their domestic laws.²² This Council is also open for consultations with international organizations, for instance, the World Intellectual Property Organization (WIPO). It is also the platform for interpreting, analysing and further explaining TRIPS Agreements provisions. All the Councils receive information from the committees for the different agreements that are placed under their trade annex (Goods, Services, and TRIPS). They also debate the information and proposed decisions and submit them to the GC, which is the decision-making body.

The fourth level consists of subsidiary bodies. The WTO has two types of committees. Some report to a Council, while the others report to the GC. The Goods Council has 11 committees as subsidiary bodies, which address agriculture, market access, subsidies, and anti-dumping measures, among other issues. The Services Council subsidiary bodies work on financial services, domestic regulations, GATS rules, and specific commitments. Six committees report to the GC covering trade and development issues, environmental issues, regional trading arrangements, and administrative matters. Two further committees work on plurilateral agreements that have not been signed by all WTO member states, informing the GC on the agreement's status. All the committees function as forums for consultation and debate. The DSB subsidiary bodies are made up of expert panels and the Appellate Body (AB). In general, WTO committees serve important functions in enhancing transparency, monitoring compliance with agreements, providing forums for discussion and consultation, and helping to resolve trade concerns. However, their effectiveness

20 WTO, 'Rules of Procedure for Meetings of the Council for TRIPS' (28 September 1995) IP/C/1 <<https://tinyurl.com/mtzrfcys>>.

21 TRIPS Agreement (n 12) Article 68.

22 *ibid* Article 71.

can be limited by factors like slow decision-making in large groups and the need for consensus. Some reform proposals have suggested strengthening committees' ability to address specific trade concerns and improve deliberative functions.²³

Finally, there are also working groups (WGs) on a variety of issues, such as the WG on Trade and Transfer of Technology (WGTTT) and the WG on Debt and Finance (WGTFD). The WGTTT and the WGTFD were established at the Fourth MC in Doha in 2001 following a proposal from a group of DCs.²⁴ The WGTTT was created to assess the relationship between trade and technology transfer under the General Council umbrella. It aims to explore recommendations for increasing technology flows to developing countries within the WTO's mandate. This WG is also responsible for analysing the relationship between trade and the transfer of technology, examining the work of other international intergovernmental organizations and academia, sharing country experiences, identifying provisions in WTO agreements relating to the transfer of technology, and exploring other topics raised by members. The WGTFD has examined the relationship between trade, debt, and finance since 2002; the discussion became more intense during and after the 2008 financial crisis. As of 2020, Côte d'Ivoire and the African, Caribbean, and Pacific Group of States have put forward proposals that have led to consultations.²⁵ There are also other working groups or working parties that are accountable to the councils: the WG on State Trading Enterprise, which reports to the Goods Council, and the WG on Domestic Regulation GATS Rules, which reports to the Services Council.

The Dispute Settlement Body

Any dispute that may arise between WTO MS with respect to WTO Agreement obligations can be brought before the WTO Dispute Settlement System (DSS). The DSS ensures the WTO member states' continuing compliance with their own WTO treaty obligations.²⁶ The WTO adjudicative system is set out in the DSU and comprises a DSB made up of all WTO member states,²⁷ a permanent seven-member Appellate Body (AB), ad hoc panels of trade experts that produce a report aimed at settling the dispute, and a Secretariat providing legal and administrative support to the AB, established in 1995 and based in Geneva.²⁸

In reverse order and starting from the latter, the WTO Secretariat performs the role of legal adviser and assistant to the panels, whose memberships lack continuity and a thorough knowledge of WTO rulings and AB precedents. Each panel is supported by a team of highly qualified lawyers who are employed by the WTO Secretariat and whose functions include providing advice and support to the panellists and the DSB.²⁹ If the WTO Secretariat has a certain view on a given dispute,

23 WTO, 'Whose WTO Is It Anyway?' <<https://tinyurl.com/4rzndvbk>>; Kian Cassehgari, Emmanuelle Ganne and Roberta Piermartini, 'The Role of WTO Committees Through the Lens of Specific Trade Concerns Raised in the TBT Committee' (1 May 2020) WTO Staff Working Paper ERSD-2020-09 <<https://tinyurl.com/bd2c3fny>>. For councils and committees 2022 proposed reforms, see WTO, 'WTO Reform—an Overview' MC12 Briefing Note <<https://tinyurl.com/49m7y6fr>>.

24 WTO, 'Ministerial Declaration Adopted on the 14 November 2001' (20 November 2001) WT/MIN(01)/DEC/1 paras 36–37.

25 WTO, 'Working Group on Trade and Transfer of Technology' <<https://tinyurl.com/4xkwyeu4>>; WTO, 'Working Group on Trade, Debt and Finance' <<https://tinyurl.com/yp7a9esv>>.

26 José E Alvarez, 'To Court or Not to Court?' (2016) MegaReg Forum Paper IILJ NYU Law 2–3 <<https://rb.gy/17vc2k>>.

27 WTO, 'Dispute Settlement Body' <<https://tinyurl.com/mwfyj74w>>.

28 DSU Article 17.

29 DSU Article 27.

it will do whatever necessary to see this view clearly expressed in the Panel Report. For López Barrero, the collaboration between the WTO Secretariat and the panel members enables a balance between continuity and change in the DSS's operation.³⁰

Panels have played the role of first instance tribunals within the DSS. They are formed on a case-by-case basis³¹ and have three members.³² Parties in the dispute can propose the candidates, although these proposals are not mandatory.³³ The WTO Secretariat can assist in selecting the panellists.³⁴ In the absence of the parties' agreement to propose candidates, the director-general (DG) of the WTO Secretariat selects and appoints them. The parties can oppose nominations for compelling reasons. The overwhelming influence of the WTO Secretariat on the panel reports seems to be receding. Open hearings now exert a real control function and accountability over WTO panels, which did not previously exist. Secrecy as the general rule of conduct in proceedings is no longer the norm. The AB's decision to open the WTO DSS to *amicus curiae* further confirms this shift towards transparency and legitimacy in the WTO's decision-making process.³⁵

The AB is a permanent adjudicating body. Its members are appointed for four-year mandates by the WTO member states. There is an on-going controversy at the WTO regarding the reappointing of AB members. Although the US has always and systematically used the WTO DSS to enforce international trade law and has succeeded more times than it has lost, in recent years it has blocked the appointments of new AB members to replace retiring ones. The Appellate Body thus stopped functioning on the 11 December 2019.³⁶ No panel report appeals have therefore been reviewed since then. The WTO member states seem unable to reach a consensus on the AB's functioning and the issue remains unresolved.³⁷

Neither the panels nor the AB are decision-making bodies in a formal sense, as their role is limited to preparing dispute settlement reports to submit to the DSB. The panels (and until recently the AB) write a draft report, which is circulated among the parties to the dispute for

30 Esther López Barrero, 'Non-legal Adjudicators and the WTO Institutional System' (2017) *Transnational Dispute Management* 2 <<https://tinyurl.com/7bpu74kz>>.

31 Joseph H Weiler, 'The Rule of Lawyers and the Ethos of Diplomats: Reflections on the Internal and External Legitimacy of WTO Dispute Settlement' (2001) 35 *World Trade Journal* 191.

32 The parties to the dispute can agree to compose a panel of five panellists under Art 8.5 DSU. Even when the parties to a dispute are selecting and appointing the adjudicators, 'there is no guarantee of a pluralistic and democratic adjudication.' Anton K Schnyder and Stefanie Pfisteres, 'Features of Trade Law Adjudication and Their Impact on the Development of Legal Concepts and Precedents' in Joanna Jemielniak, Laura Nielsen and Henrik Palmer Olsen (eds), *Establishing Judicial Authority in International Economic Law* (CUP 2016) 193.

33 Joost Pauwelyn, 'The Rule of Law Without the Rule of Lawyers? Why Investment Arbitrators are from Mars, Trade Adjudicators are from Venus' (Conference Paper, 1 January 2015) <<https://tinyurl.com/4duhrex7>>.

34 Reto Malacrida, 'WTO Panel Composition: Searching Far and Wide for Administrators of World Trade Justice' in Gabrielle Marceau (ed), *A History of Law and Lawyers in the GATT/WTO: The Development of the Rule of Law in the Multilateral Trading System* (CUP 2015) 311, 314, 326 (arguing that the WTO Secretariat plays a key role in selecting the panellists).

35 Maria Gabriela Sarmiento, 'The Outsider as Insider: Profiling WTO Panelists for Their Impact on World Trade Decisions' (2017) *Transnational Dispute Management* 2.

36 Ernst-Ulrich Petersmann, 'How Should WTO Members React to Their WTO Crises?' (2019) 18 *World Trade Review* 503–25; Markus Wagner, 'The Impending Demise of the WTO Appellate Body: From Centrepiece to Historical Relic?' in Chang-Fa Lo (ed), *The Appellate Body of the WTO and Its Reform* (Springer 2019).

37 Robert Howse, 'Unappealable but Not Unappealing: WTO Dispute Settlement Without the Appellate Body' (*International Institute for Sustainable Development Policy Analysis* 17 July 2023) <<https://tinyurl.com/4xbwr86j>>. See also WTO, 'Draft Ministerial Decision on Dispute Settlement Reform' (16 February 2024) WT/MIN(24)/W/11.

comment on the findings and conclusions.³⁸ The report can then be improved to enhance its acceptance among the parties. It is up to the DSB to adopt the reports and issue recommendations to settle disputes. The reports, which are not awards and do not generate *res judicata* effects, are adopted by the DSB by negative consensus. The only way a report can be set aside is by consensus among all the WTO member states.³⁹

Reports are not binding until they are approved by the DSB, after which the parties are obliged to comply with the terms of the report. Parties have increasingly appealed panel reports thus stalling the DSB, contributing to delays in the dispute settlement process. The Appellate Body crisis has further complicated this situation, as appeals can no longer be heard through the regular WTO process. This has led some members to seek alternative arrangements to keep WTO's DSS afloat like the Multi-Party Interim Appeal Arbitration Arrangement (MPIA) as an alternative appeal mechanism to preserve appellate review capabilities, according to article 25 of the DSU. By 2024, 53 WTO member states are MPIA members.⁴⁰

In addition to adopting the reports and issuing recommendations to settle disputes, the DSB also monitors the implementation of its recommendations. If the losing party does not implement the DSB recommendation within a set period, the prevailing party can request authorization from the DSB to suspend concessions to the losing party, a measure which is also called retaliation. Its aim is to impose trade restrictions on the losing party, such as allowing higher tariffs on its goods or limiting the volume of goods that can be imported or exported.⁴¹ Countermeasures can also be imposed by prohibiting the import of certain losing party goods.⁴²

The Trade Policy Review Body

The Trade Policy Reviews originated in the 1988 Ministerial Conference, during the Uruguay Round negotiations. The first review took place in 1989.⁴³ Nowadays, the Trade Policy Review Body (TPRB) embodied by the GC uses the Trade Policy Review Mechanism (TPRM) to assess the WTO member states' level of compliance with WTO trade policy agreements and principles. To this end, the TPRB reviews and oversees member states' national trade policies. The trade policy review has three main objectives: it offers transparency and understanding of member state trade policy and practice, qualitatively improves the public and intergovernmental trade policy

38 Friedl Weiss, 'Twirling Curls on a Bald Head' in Katia Fach Gómez and Catharine Titi (eds), *The Award in International Investment Arbitration* (OUP 2024).

39 Georges Abi-Saab, 'The Appellate Body and Treaty Interpretation' in Malgosia Fitzmaurice, Olufemi Elias and Panos Merkouris (eds), *Treaty Interpretation and the Vienna Convention on the Law of Treaties* (Martinus Nijhoff 2010).

40 The founding WTO MS of the MPIA are Australia, Brazil, Canada, China, Chile, Colombia, Costa Rica, European Union, Guatemala, Hong Kong (China), Iceland, Mexico, New Zealand, Norway, Singapore, Switzerland, and Uruguay. WTO, *Statement on a Mechanism for Developing, Documenting and Sharing Practices and Procedures in the Conduct of WTO Disputes* (30 April 2020) JOB/DSB/1/Add.12 <<https://tinyurl.com/44z9mvcc>>.

41 Mitsuo Matsushita, 'The Dispute Settlement Mechanism at the WTO: The Appellate Body—Assessment and Problems' in Amrita Narlikar, Martin Daunton and Robert M Stern (eds), *The Oxford Handbook on the World Trade Organization* (OUP 2012) 511.

42 María Gabriela Sarmiento, 'Adoption and Legal Effects of WTO Panel and Appellate Body Reports' (2017) <<https://ssrn.com/abstract=2931449>>.

43 As of 1995, the reviews are available online. See WTO, 'Chronological List of TPRs' <<https://tinyurl.com/5n6m7pm9>>.

debate, and shares a regular assessment of the impact of member state national trade policies on the global trading system.⁴⁴

The WTO Secretariat carries out the fieldwork necessary for the TPRB evaluations and is responsible for collecting and authenticating the data that it shares. Economists in the Trade Policy Review Division of the Secretariat draft a report containing the Secretariat summary accompanied by detailed chapters assessing the member state's national trade policies and practices and 'describing trade policymaking institutions and the macroeconomic situation.' The summary includes the Secretariat's view on the member state's trade policies.⁴⁵ The member state under evaluation submits a policy statement, both of which are used by the TPRB to conduct the review. Both documents, which are written independently, are 'published after the review meeting, along with the text of the TPRB Chairpersons Concluding Remarks delivered at the meeting's conclusion.'⁴⁶

Country reviews are carried out on different timescales. The member states with the largest share of world trade (China, Japan, European Union, and the United States) are reviewed every three years, followed by 16 member states, which, due to their share of world trade, are reviewed every five years. MS with a smaller impact on world trade are assessed every seven years. The national trade policies of least developed countries (LDCs) may be monitored even less regularly.⁴⁷

The WTO Secretariat

The WTO Secretariat manages the organization's day-to-day work and is made up of approximately 620 international officials of different nationalities. It mostly consists of economists, lawyers, and international trade policy experts.⁴⁸

Since the WTO is a member-driven organization, the Secretariat has no decision-making powers and its mission is purely administrative.⁴⁹ The Secretariat's primary responsibilities include conducting economic research, organizing ministerial conferences, monitoring developments in global trade, providing technical assistance to developing countries, supporting WTO's councils and committees, and disseminating information on WTO activities to a variety of audiences. In addition, it counsels states looking to join the WTO and offers legal support in the dispute resolution procedure.⁵⁰

As the only permanent body within the organization,⁵¹ within the dispute settlement system, the Secretariat contributes to safeguarding and preserving the historic memory of all precedents before and after the creation of the WTO in 1996.⁵² While the Secretariat's role in preserving institutional memory is valuable, its growing substantive influence has become a point of controversy. Its expanded role has several potential implications. On the one hand, it may contribute to greater

44 WTO, 'Overseeing National Trade Policies: The TPRM' <<https://tinyurl.com/5865t4yx>>; WTO, 'Trade Policy Reviews: Ensuring Transparency' <<https://tinyurl.com/3ssba5m3>>. See also Marrakesh Agreement, Annex 3(A), Trade Policy Review Mechanism. For commentary, see López Barrero, *Regulación del Comercio Internacional* (n 7) 363–68.

45 WTO, 'Overseeing National Trade Policies' (n 44).

46 *ibid.*

47 WTO, 'Amendments of the Trade Policy Review: Decision of 26 July 2017' (27 July 2017) WT/L/1014 <<https://tinyurl.com/rv8npwyn>>.

48 WTO, 'Overview of the WTO Secretariat' <<https://tinyurl.com/5xar2eme>>.

49 López Barrero, *Regulación del Comercio Internacional* (n 7) 137–47.

50 WTO, 'Overview of the WTO Secretariat' (n 47).

51 Freya Baetens, 'Judicial Review of International Adjudicatory Decisions: A Cross-Regime Comparison of Annulment and Appellate Mechanisms' (2016) 8 *Journal of International Dispute Settlement* 432–59.

52 Weiler (n 31).

consistency in rulings but also risks entrenching certain interpretations. On the other hand, it raises questions of legitimacy and accountability, as the Secretariat's influence occurs largely behind the scenes. Scholars highlight that 'the WTO Secretariat operates in a way that has expanded far beyond providing research and logistical support to WTO panelists and AB judges as they resolve disputes among WTO state parties.'⁵³ Rather, these scholars contend that the Secretariat has greatly influenced the substantive analyses that WTO panels and the AB produce, determining an over-reach in WTO jurisprudence and creating an institutional imbalance between the permanent body and ad hoc panels. Reforms to increase transparency and rebalance responsibilities between the Secretariat and adjudicators may be needed to address these concerns.⁵⁴

IV WTO Members, Observers, and Civil Society

As of 30 August 2024, the WTO has 166 members. As the WTO membership is not strictly limited to sovereign states, it can include customs territories and other entities with sufficient trade policy autonomy, contingent upon negotiation and approval by existing members. Hong Kong, Macau, and Taiwan are some examples. The later joined the WTO in 2002. In addition to states, the European Union (EU) is a WTO member, as well as each EU member states individually.

Originally, 128 states were members of the WTO because they were contracting parties to GATT 1947 and signed the 1995 WTO Agreements.⁵⁵ In addition to this group, the European Union has assumed its member states' trading powers. The other 36 states joined the organization following the accession procedure under Article XII of the WTO Agreement.⁵⁶ A working group comprised of all interested WTO members examines each application and negotiates the terms of accession. The applicant and each member of the working party negotiate tariff levels and market access. The application and terms of membership must then be approved by the WTO's Ministerial Conference. The applicant's trading practices and level of development determine how long the process takes. At the time of writing, the accession of 22 states is underway.⁵⁷ International and regional intergovernmental organizations are granted WTO observer status so that they can follow discussions on matters of direct interest to them. Nearly 140 international and regional intergovernmental organizations have been granted observer status and can therefore participate in all WTO bodies to which they have been admitted, with a voice but without voting rights.⁵⁸

Enhancing transparency and participation is seen as important for building trust, accountability, and legitimacy for the WTO, especially among developing countries and civil society groups, including non-governmental organizations (NGOs), which were excluded in the GATT era. An

53 Chantal Thomas, 'Introduction to the Symposium on Joost Pauwelyn and Krzysztof Pelc, "Who Guards the 'Guardians of the System'? The Role of the Secretariat in WTO Dispute Settlement'" (2022) 116 AJIL Unbound 367–72.

54 Thomas Cottier, 'Recalibrating the WTO Dispute Settlement System: Strengthening the Panel Stage' (2021) 24 Journal of International Economic Law 515–33; Jasper M Wauters, 'The Role of the WTO Secretariat in WTO Disputes—Silent Witness or Ghost Expert?' (2021) 12 Global Policy 83–91.

55 WTO, *The 128 Countries That Had Signed GATT by 1994* (WTO 1995) <https://www.wto.org/english/thewto_e/gattmem_e.htm>; WTO, 'Members and Observers' (n 5).

56 Marrakesh Agreement (n 9) Article XII.

57 WTO, 'Summary Table of Ongoing Accessions' Updated August 2024 (referring to Algeria, Andorra, Azerbaijan, Bahamas, Belarus, Bhutan, Bosnia and Herzegovina, Curaçao, Equatorial Guinea, Ethiopia, Iran, Iraq, Lebanese Republic, Libya, Sao Tomé and Príncipe, Serbia, Somalia, South Sudan, Sudan, Syrian Arab Republic, Turkmenistan, and Uzbekistan) <<https://tinyurl.com/xrhrw263>>.

58 WTO, 'The WTO and Other Organizations' <<https://tinyurl.com/bddupdem>>.

increased dialogue, engagement, and exchange on multiple international trade-related subjects among these parties has therefore been promoted with limited influence in decision-making.⁵⁹ This dialogue fulfils two objectives. Firstly, it raises NGOs' awareness of WTO work and the multilateral trading system's role. Second, it increases cooperation between NGOs and the WTO. NGOs need to register to attend public meetings and can submit position papers on specific topics to the WTO, according to the 1996 Guidelines for arrangements of relations with NGOs. While increased access and dialogue have contributed to transparency, critics argue that more fundamental reforms to decision-making structures are needed. WTO has made some progress in moving away from the 'insularity' of the GATT era, but many argue it has not gone far enough in opening to diverse stakeholders and contemporary perspectives. Enhancing legitimacy requires more fundamental reforms to governance and participatory mechanisms.⁶⁰

The WTO Public Forum (PF) and the Civil Society Advisory Group (CSAG) are two important ways the WTO engages with civil society and other stakeholders from academia, business, government, and the media. Both initiatives provide NGOs the opportunity to contribute to the multilateral trading system. The WTO PF, held in Geneva annually around September, is the largest annual outreach platform to discuss developments in global trade and propose ways to enhance the multilateral trading system. 'Re-globalization: Better Trade for a Better World' was the theme of the 2024 Public Forum attended by more than 4000 participants and 640 speakers. The oldest WTO PF was organized in 2001. The CSAG was established in June 2023 to strengthen engagement between the WTO director-general and the civil society focused on trade, development, environment, and consumer issues. It meets several times per year.⁶¹

V The Main WTO Principles

Although the WTO-covered agreements constitute a complex legal architecture encompassing a wide range of activities, five fundamental principles run throughout the multilateral trading system and constitute its foundation. These principles are non-discrimination (comprising the most-favoured-nation and national treatment provisions), free trade (eliminating unnecessary trade barriers), predictability (enhancing transparency), fair competition, and development and economic reform.⁶² This section briefly examines these principles.

59 Marrakesh Agreement (n 9) Article V.2. Steve Charnovitz, 'Participation of Nongovernmental Organizations in the World Trade Organization' (2014) 17 *University of Pennsylvania Journal of International Law* 331 ff.; Sungjoon Cho, 'A Quest for WTO's Legitimacy' (2005) 4 *World Trade Review* 391; Robert Wolfe, 'Letting the Sun Shine In at the WTO: How Transparency Brings the Trading System to Life' (6 March 2013) WTO Staff Working Paper ERSD-2013-03 <<https://tinyurl.com/34nfnstsp>>.

60 WTO, 'NGO Position Papers' <<https://tinyurl.com/azactbnp>>; WTO, 'Guidelines for Arrangements on Relations with Non-Governmental Organizations: Decision Adopted by the General Council on 18 July 1996' (23 July 1996) WT/L/162 <<https://tinyurl.com/3x3shrac>>. For the 1999 perception, see: Third World Network, 'Transparency, Participation and Legitimacy of the WTO' (Geneva, 15–18 March 1999) <<https://twon.my/title/legit-cn.htm>>. For comments on the 2023 viewpoint, see Prithvi Gupta, 'An Effective WTO has to be Equitable and Transparent' (3 May 2023) <<https://tinyurl.com/2xewp7sr>>. Also see: 'Ch V Transparency and Dialogue with the Civil Society' in Peter Sutherland and others (eds), *The Future of the WTO* (WTO 2004) 41–48 <<https://tinyurl.com/ypm26577>>.

61 WTO, 'WTO Public Forum 2024' (Geneva, 10–13 September) <<https://tinyurl.com/yc4ey2up>>; WTO, 'Public Forum' <<https://tinyurl.com/mrxrktyr>>; WTO, 'Civil Society Advisory Group' <<https://tinyurl.com/ppc7aa2w>>; WTO, 'DG Okonjo-Iweala sets up Civil Society and Business Advisory Groups' (21 June 2023) <<https://tinyurl.com/4jjnmwrz>>.

62 WTO, 'Principles of the Trading System' <<https://tinyurl.com/r7pknptx>>.

The non-discrimination principle has been fundamental for the functioning of international trade since GATT 1947. It is articulated into the most-favoured-nation and national treatment provisions. The most-favoured-nation (MFN) provision requires that WTO members should not discriminate between their trading partners. In investigating the meaning and scope of the MFN treatment, reference can be made to Article I of GATT, which regulates trade in goods. Under this provision, any advantage, immunity, favour or privilege on import and export tariffs or other customs duties, the cost of international wire transfers connected with the import/export of goods, as well as on other rules and formalities regarding the import/export of goods, which would be granted by one contracting state to another for the latter to import goods from the former or to export goods to the former must be applied unconditionally and with immediate effect to similar or identical goods originating in or exported to another contracting state.⁶³ If one member state grants a favour to a trading partner, this applies immediately and unconditionally to any other WTO member trading in similar or identical goods. Naturally, there are some exceptions to the rule.⁶⁴ The same treatment applies to the import/export of services as set under Article 2 of the GATS.⁶⁵ The MFN treatment is also laid down in Article 4 of the TRIPS Agreement, as any advantage, favour, privilege, or immunity granted by a WTO member state to nationals of other states with regard to the protection of their intellectual property rights shall be granted immediately and without conditions to nationals of any other WTO member state—also with some exceptions.⁶⁶

National treatment requires that imported and domestic goods should be treated equally—at least after the foreign goods have entered the market. The same should apply to foreign and domestic services, and to foreign and local intellectual property rights. The principle appears in Article III of GATT, Article 17 of GATS, and Article 3 of TRIPS. With regard to trade in goods, the legal basis of the National Treatment (NT) principle is GATT Article III. Article III.1 GATT provides that ‘the internal taxes and other charges, and laws, regulations and requirements influencing the internal sale, sales offer, purchase, transportation, distribution or use of goods, and internal quantitative regulations requiring the mixture, processing or use of products in specified amounts or proportions, should not be applied to imported or domestic products so as to protect the local production.’ Under Article III.2 GATT, products that one WTO member state imports from another ‘shall not be subject in any manner to internal taxes or other types of charges in excess of those applied to similar domestic products.’⁶⁷ Moreover, ‘domestic quantitative regulations, that would mean that the production of goods shall be limited in quantity or proportion to the use of local sources,’ must be avoided by WTO member states.⁶⁸ Finally, ‘control measures related to the fixation of internal maximum sales prices which would be prejudicial to importing/exporting trade partners’ shall be avoided by WTO member states.⁶⁹ A number of exceptions apply.⁷⁰

The NT principle can also be found in the GATS and the TRIPS Agreement. Article 17 of GATS stipulates that member states must apply identical treatment when regulating the supply

63 GATT Article I.

64 For example, countries can design a free trade agreement that favours goods traded within the group—discriminating against goods from outside. See Claussen and Hsieh’s chapter in this *Handbook*. They can provide preferential access to their markets for developing countries. See Ngangjoh-Hodu’s chapter in this *Handbook*.

65 GATS Article 2.

66 TRIPS Agreement (n 12) Article 4.

67 GATT Article III.

68 GATT Article III.5 and 7.

69 GATT Article III.9.

70 GATT Article III.3–4, 6, 8, 10.

of services of domestic services and service suppliers to the services and services providers from other trade partners. If the treatment is different, it can in no circumstances be less favourable. Treatment applied to foreign services and services suppliers is less favourable when it negatively alters the competition among domestic and foreign services and service providers, fostering the use of domestic services.⁷¹ Article 3 of the TRIPS Agreement provides that a member state must grant nationals of other member states equal treatment to that granted to its nationals regarding the protection of intellectual property rights. Nonetheless, some exceptions apply.⁷²

Since the inception of the GATT 1947, the GATT contracting parties, subsequently the WTO member states, have adopted the principle of free trade. According to this principle, economic growth and development can be enhanced through trade, which can be encouraged by gradually reducing trade barriers such as customs tariffs and other duties and by eliminating trade bans or quotas. To progressively liberalize trade through multilateral negotiations, member states initially focused on lowering customs tariffs on imported goods. They subsequently extended their negotiations to non-tariff barriers on goods (e.g. quotas, specific standards, and customs administration) and to services and intellectual property.⁷³

Enhancing predictability is another important principle of the WTO system. The elimination of legal and regulatory barriers to international trade creates a more stable and predictable commercial legal framework, encouraging cross-border businesses and foreign investors to engage in international trade, enhancing economic development.⁷⁴ It is important for foreign companies, investors, and governments to know what to expect and be confident that trade barriers will not be raised arbitrarily. The Multilateral Trading System plays a major role in ensuring the predictability of the business environment. Transparency is essential in achieving this goal. It is crucial for international trade rules and domestic trade policies to be clear, publicly available, and known to all WTO member states. WTO members have to notify the WTO of new domestic trade trends, policies, and practices. The WTO deploys regular members' trade policies monitoring through the Trade Policy Review Mechanism, which also promotes transparency.

Promoting fair competition is another principle of WTO law. The WTO trade system provides rules for ensuring fair competition, including the rules on non-discrimination, those on dumping (that is, selling products overseas at below cost to gain market share) and subsidies (that is, providing a financial benefit to producers in one's own territory to make exports more competitive). Many WTO agreements focus on promoting fair competition in areas like agriculture, intellectual property, and services. The Anti-Dumping Agreement (ADA) and the Agreement on Subsidies and Countervailing Measures (ASCM) have expanded and clarified the rules of the General Agreement on Tariffs and Trade (GATT). The ADA provides greater clarity and more detailed regulations on several aspects, including determining when a product is dumped, criteria for establishing that dumped imports cause damage to domestic industries, procedures for initiating and conducting anti-dumping investigations, and the implementation and duration of anti-dumping measures. Additionally, it outlines the role of dispute settlement panels in disputes involving anti-dumping actions taken by domestic authorities. The ASCM interprets Articles VI, XVI, and XXIII of the

71 GATS Article XVII.

72 TRIPS Agreement (n 12) Article 3.

73 WTO, 'Principles of the Trading System' <<https://tinyurl.com/r7pknptx>>.

74 Maria Gabriela Sarmiento and Katia Fach Gómez, 'The UNCITRAL' in Julien Chaisse and Christoph Herrmann (eds), *The International Law of Economic Integration* (OUP 2025).

Marrakech Agreement, introducing a definition of subsidy and categorizing subsidies into prohibited, actionable, and non-actionable subsidies.⁷⁵

Encouraging development and economic reform is another pillar of the WTO system. Development can also occur through economic reform following basic trade principles and negotiations under the WTO system. However, developing countries (DCs) and least developed countries (LDCs) cannot implement the desired reforms at the same pace and within the same period as industrialized countries, a fact that WTO agreements have duly considered.⁷⁶ DCs and LDCs thus adapt their domestic rules and regulations to trade agreements with longer timeframes. Moreover, the Doha Development round focuses on addressing the difficulties that DCs have encountered in implementing the covered agreements.⁷⁷

VI Key Trade Topics

This section briefly introduces key WTO trade topics including goods, services, intellectual property, dispute settlement, capacity building, and trade monitoring.⁷⁸ Numerous WTO agreements govern trade in goods, focusing on multidisciplinary and varied subtopics including agriculture,⁷⁹ anti-dumping,⁸⁰ sanitary and phytosanitary measures,⁸¹ subsidies and countervailing measures,⁸² technical barriers to trade,⁸³ and trade-related investment measures.⁸⁴ These agreements have emerged since GATT 1947 due to states' interest in avoiding trade barriers or liberalizing these economic sectors.

The WTO members have negotiated the terms of a more open service market since 2000. Specific commitments are negotiated at the Council for Trade in Services special sessions. There are seven major negotiation areas for services: market access, domestic regulations, GATS rules, emergency safeguard measures, government procurement and subsidies, and the implementing of LDC modalities.⁸⁵ Countries participating in the Uruguay Round agreed to commit on specific areas of market access and national treatment that were included in the initial schedule of commitments on services. Some have also drawn up MFN exemption lists. When negotiations were extended to other areas such as financial services, telecommunication, movement of natural persons, and maritime transport services (the only negotiation to be suspended), only a few countries participated.

75 WTO, 'Legal Texts: The WTO Agreements' <<https://tinyurl.com/yeypyrvz>>.

76 See Ngangjoh-Hodu's chapter in this *Handbook*.

77 *ibid*.

78 WTO, 'WTO Trade Topics' <<https://tinyurl.com/39dvj2wp>>.

79 Agreement on Agriculture, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1A, 1867 UNTS 410.

80 Agreement on the Implementation of Article VI of the General Agreement on Tariffs and Trade (Anti-Dumping Agreement) 15 April 1994.

81 Agreement on the Application of Sanitary and Phytosanitary Measures, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization.

82 Agreement on Subsidies and Countervailing Measures, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization.

83 Agreement on Technical Barriers to Trade, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization.

84 Agreement on Trade Related Aspects of Investment Measures, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization.

85 WTO, 'WTO Trade Topics' (n 78).

The TRIPS Agreement, which was negotiated during the Uruguay Round, is the broadest multilateral agreement governing intellectual property. The Agreement introduced the first ever intellectual property rules into the multilateral trading system.⁸⁶ It provides minimum standards of treatment to remunerate and incentivize creativity. It also aims to facilitate trade in knowledge and creativity, settling IP-related trade disputes while enabling the fulfilment of WTO members' national policy objectives. The protection of intellectual property requires a balance between remunerating creativity and enabling access to the creative outputs. While governing intellectual property under the aegis of the WTO has not been uncontroversial, the TRIPS Agreement endorses balancing the opposing interests underpinning this delicate field.⁸⁷ It also focuses on innovation, technology transfer, and common welfare and provides flexibilities and exceptions.⁸⁸

The TRIPS Agreement covers five main areas. First, it highlights the applicability of general provisions and basic principles of the multilateral trading system to international intellectual property. Second, it highlights the minimum protection standards required for intellectual property rights. Third, it requires member states to set up national enforcement procedures. Fourth, it provides for international dispute settlement of intellectual property-related trade disputes before the WTO 'courts.' Finally, it contemplates special transitional arrangements for implementing TRIPS provisions. Specific TRIPS topics relate to climate change, geographical indications, public health, innovation policy, technology transfer and biotechnology, biodiversity, and traditional knowledge.⁸⁹

The WTO Dispute Settlement Mechanism has become one of the most successful international tribunals in the world. WTO members can settle differences before the WTO dispute settlement mechanism.⁹⁰ Parties are allowed to use diplomatic means to reach a mutually agreed solution.⁹¹ If no amiable solution is reached, the WTO DSU provides for a structured legal framework to settle international trade disputes. In dispute settlement proceedings, 111 WTO members have participated.⁹² Most claims have related to trade in goods, anti-dumping, and subsidies.⁹³

DCs and LDCs have faced major obstacles to fully benefitting from the multilateral trading system ever since GATT 1947. There have been difficulties with adapting national rules and regulations to the multilateral trade agreements. Accordingly, DCs and LDCs have been granted time extensions to comply with their obligations under the covered agreements. The WTO has also adopted several measures for enabling DCs and LDCs to fully participate in international trade. One is to provide these countries with training and capacity building to cover their special needs to fostering effective and increased trade that will translate to economic growth.⁹⁴ The obligations to support DCs and LDCs appeared in the WTO Agreements, but the Doha Round sought to develop this further.⁹⁵ With the goal of maintaining widespread transparency regarding the content of all WTO agreements, RTA agreements, and any other international trade policy that influences the

86 WTO, 'Guide to the TRIPS Agreement' <<https://tinyurl.com/3drptrsf>>.

87 TRIPS Agreement (n 12) Articles 7 and 8.

88 See *inter alia* TRIPS Agreement (n 12) preamble.

89 See Gervais and Yu's chapter in this *Handbook*.

90 See Van den Bossche's chapter in this *Handbook*.

91 See generally David Luff, *Le Droit de l'Organisation Mondiale du Commerce* (Bruylant 2004) 770–982.

92 See WTO, 'Dispute Settlement Activity—Some Figures' <<https://tinyurl.com/5eu5nuca>>.

93 WTO, 'Dispute Settlement Activity—Some Figures' <<https://tinyurl.com/5eu5nuca>>.

94 WTO, 'Building Trade Capacity' <<https://tinyurl.com/yat8petb>>.

95 'Doha WTO Ministerial Declaration. Adopted on 14 November 2001' (WTO 20 November 2001) WT/MIN(01)/DEC/1 para 38: Technical cooperation and capacity building <<https://tinyurl.com/389adb5e>>.

multilateral trading system, the WTO produces two types of trade monitoring reports (TMR). One set is produced internally and covers developments in trade-related issues in WTO members and observers.⁹⁶ The second set has been jointly drafted every two years by the WTO, the OECD, and the UNCTAD since 2009 and covers G20 trade and investment-related measures.⁹⁷

VII Conclusions

Multilateralism matters and the WTO remains central in international economic law. The WTO has been the key international organization regulating trade at multilateral level over the last 30 years (1994–2024) and a central pillar of international economic law. It has taken on the GATT 1947 trade regulations, improved its institutional system, and faced the new issues and challenges that have emerged in international trade over recent decades.

Technological developments and the globalization of trade, transforming how goods and services are exchanged globally, have led to numerous and highly complex trade issues, which have been incorporated into the multilateral negotiations held continuously and permanently by WTO members within the multilateral trading system. Among these tech developments we can count the advancements in digital communication and services, including financial (e.g. 5G networks, phone-based e-payment methods), the internet, the World Wide Web (WWW), the e-commerce and digital platforms or portals, the internet of things improving goods management and tracking, cloud computing facilitating international data sharing and collaboration, the blockchain improving supply chain transparency and trade documentation with smart contracts but also cryptocurrencies facilitating trade in some areas; the digital certificates to digitally sign binding documents without living the office; drones used in the logistics and delivery sectors; quantum computers, artificial intelligence, machine learning, and big data in the areas of optimizing delivery routes, predicting consumer demand, risk management, trade performance, and cybersecurity; shipping containers adoption; robotics in warehouses; and port and 3D printing in goods manufacturing.

While ongoing negotiations may be perceived as positive, the never-ending nature of the Doha Round could also be perceived as a pitfall. Nonetheless, the Doha Round of trade negotiations has focused on development issues. Some of the main positive aspects of the WTO's evolution are its ongoing trade negotiations, the enacting of multilateral trade rules, increased transparency in multilateral trade regulations and the settling of disputes between MS. The emergence of regionalism can lead to closer economic integration but risk diverting international trade and ultimately reflect geopolitical and legal fragmentation. Finally, while the dispute settlement mechanism used to be defined as the jewel in the crown of the WTO, it remains to be seen whether the next US administration will change its mind, and the AB will start operating again.

Recent U.S. trade policy has weakened the organization's authority, disrupted global trade, and raised existential questions about the future of multilateralism. Unless the WTO's enforcement mechanisms are restored and major members recommit to its principles, the organization risks further marginalization, with global trade increasingly governed by power politics and bilateral deals rather than rules-based cooperation.⁹⁸

96 WTO, 'WTO Mid-Year Trade Monitoring Report' (14 July 2023) <<https://tinyurl.com/4dxkb73s>>.

97 WTO, 'Trade Monitoring' <<https://tinyurl.com/nhfd6upy>>.

98 'World Trade Organisation Says Global Trade Could Slide This Year Because of Trump's Tariff Policies' (The Independent 16 April 2025) <<https://www.independent.co.uk/news/business/news/donald-trump-world-trade-organisation-geneva-trade-china-b2734389.html>>.

6

THE WTO DISPUTE SETTLEMENT REFORM

An Evaluation of the Latest Attempt

*Peter Van den Bossche*¹

1. Introduction

For more than two decades, the dispute settlement system was the ‘jewel in the crown’ of the World Trade Organization (WTO). Today, however, the system is in an existential crisis and a mere shadow of what it once was. This chapter will not look back on the past success of this unique system, nor will it discuss old efforts, which started as early as 1998, to further improve it.² This chapter will also not dwell on the causes and the severity of the current crisis or the EU initiative to limit the damage and secure rules-based WTO dispute settlement among willing members.³ Instead, this chapter first deals with how the discussions on the reform of the WTO dispute settlement system were conducted in 2023 and early 2024 in the run-up of the 13th WTO Ministerial Conference in February/March 2024, and then critically assesses the proposed changes to the WTO dispute settlement system reflected in the Consolidated Text of a draft Ministerial Decision on Dispute Settlement, submitted to the General Council on 14 February 2024.⁴ The chapter focuses on the proposed changes to panel proceedings, compliance, guidelines for adjudicators, procedures to discuss legal interpretations, and Secretariat support.⁵

1 The author wishes to thank Triplicane Satish for excellent research assistance.

2 ‘Marrakesh Ministerial Decision on the Application and Review of the Understanding on Rules and Procedures Governing the Settlement of Disputes, Adopted on 15 April 1994’; WTO Ministerial Conference, ‘Ministerial Declaration Adopted on 14 November 2001, WT/MIN(01)/DEC/1’ (20 November 2001) para 30.

3 WTO, ‘Multi-Party Interim Appeal Arbitration Arrangement Pursuant to Article 25 of the DSU, JOB/DSB/1/Add.12’ 30 April 2020.

4 WTO General Council, ‘Special Meeting of the General Council on 14 February 2024, Report by H.E. Mr Petter Ølberg, Chairman of the DSB, JOB/GC/385’ Annex 1.

5 Due to space limits, the proposed changes regarding alternative dispute resolution and arbitration (Title I of the Consolidated Text), on transparency (Title VIII of the Consolidated Text), on the accessibility, technical assistance, capacity building and legal advice (Title IX of the Consolidated Text), and on the accountability mechanism (Title X of the Consolidated Text), while worthy of careful attention, will not be discussed. For a discussion of these proposed changes, see WTI Working Paper Series, No 2-2024.

2. The Molina Process

In June 2022, 30 months after the crisis of the WTO dispute settlement system became acute, the Ministerial Conference of the WTO ‘recognize[d] the importance and urgency of addressing’ the ‘challenges and concerns with respect of the dispute settlement system’ and ‘commit[ted] to conduct discussions with the view of having a fully and well-functioning dispute settlement system accessible to all Members by 2024.’⁶ In the months immediately preceding and following the latter commitment, the United States, which had previously shown no interest in reviving the WTO dispute settlement system, convened a number of mostly bilateral meetings ‘to understand Members’ expectations regarding the operation of the dispute settlement system.’⁷ During these meetings, members reportedly ‘identified and discussed more than 230 interests.’⁸ With these expressed interests as a starting point, Mr Marco Molina, the then Deputy Permanent Representative of Guatemala to the WTO, initiated in February 2023, at the request of a number of key WTO members, informal discussions on dispute settlement reform (hereinafter ‘the Molina Process’). Although the Dispute Settlement Body (DSB) never provided Molina with an official mandate to facilitate the reform discussions,⁹ Molina did report on the ongoing discussions to the DSB every two months. At these DSB meetings, many members reportedly ‘saw great value in this process,’ ‘recognized that the informal process has achieved significant progress so far,’ and ‘commended Mr Marco Molina for his outstanding leadership in this informal process.’¹⁰

In response to Molina’s invitation ‘to propose ideas and conceptual approaches that could potentially address the interests identified,’ members tabled more than 70 proposals based on which ‘interest-based conversations’ were started among the Geneva-based dispute settlement experts of members.¹¹ Between February 2023 and February 2024, Molina convened ‘more than 350 meetings, including 110 plenary sessions open to all WTO Members, as well as numerous small-group and bilateral meetings.’¹² In total, 145 of the then 164 WTO members participated in these meetings.¹³ While Molina confidently stated that ‘Members have had ample opportunities to share their views,’¹⁴ not all members agreed. In July 2023, the African Group signalled unease with

6 WTO Ministerial Conference, 12th Session, ‘MC 12 Outcome Document, Adopted 17 June 2022, WT/MIN(22)/24 Dated 22 June 2022’ para 4.

7 ‘Report by the Convener of the Informal Reform Discussions—Mr. Marco Molina of Guatemala (Hereinafter ‘2024 Molina Report’)’ para 1.13. This report was included in the report by the Chair of the DSB to the WTO General Council on 14 February 2024, referred to in n 4.

8 *ibid.*

9 The WTO Secretariat was not directly involved in the Molina Process.

10 (n 4) para 1.6. Shortly after presenting his report to the General Council on 14 February 2024 and a few days before the start of the Ministerial Conference meeting in Abu Dhabi on 26 February 2024, Molina was summarily fired by his government. No reason was given for his removal, but professional jealousy was reportedly what motivated this most unfortunate and unwarranted action.

11 (n 7) paras 1.14, 1.15 and 1.22. For an explanation of the ‘interest-based approach’ to the dispute settlement reform discussions adopted by Molina, see paras 1.15 to 1.20. Note that according to Molina, ‘an interest-based approach offers the key advantage of reducing power imbalances and fostering inclusive dynamics, allowing every Member to contribute meaningfully. By centring discussions around interests and concerns rather than leverage, this approach ensures fairness and equality for all Members, regardless of their size or status. This commitment to valuing every perspective equally ensures that our collective pursuit of optimal solutions remains untainted by external factors.’ See (n 7) para 1.19.

12 *ibid* para 1.29. Molina also had bilateral meetings with members whenever requested (*ibid*).

13 *ibid* para 1.30.

14 *ibid* para 1.29. Note in this regard that ‘each iteration of the text reflects feedback received from the plenary sessions, to which all Members are invited to participate’ and that ‘the changes introduced into each iteration resulted from

the Molina Process and called for ‘the commencement of an effective and inclusive multilateral process on dispute settlement reform,’ which would ‘facilitate the participation of developing and least-developed countries (LDCs), including delegations with limited resources.’¹⁵ The African Group voiced concerns regarding, in particular, the pace of the scheduled meetings and the limited time to consult with capitals and regional groupings.¹⁶ In September 2023, Indonesia voiced similar concerns when it observed that ‘many Members from developing countries and LDCs, who inherently do not have a dedicated delegate for the dispute settlement reform issue, experience difficulties in fully and effectively participating in the informal discussion due to conflicting schedule between such discussion and other formal meetings or negotiations.’¹⁷ In November 2023, Egypt, India, and South Africa also voiced concerns regarding the pace and format of the Molina Process.¹⁸ These are, unfortunately, concerns that especially the least-developed country members have, and rightly expressed, in the context of many WTO discussions or negotiations.

Attached to the Report that Molina presented at the General Council meeting on 14 February 2024, i.e. two weeks before the Ministerial Conference in Abu Dhabi (MC13), was the seventh revision of the consolidated text of a draft Ministerial Decision on Dispute Settlement (hereinafter ‘the Consolidated Text’). In his report to the General Council, Molina noted that in the reform discussions, ‘significant progress has been achieved’ and that the seventh revision ‘reflects Members’ collective understandings and expectations regarding the system’s operation.’ The latter statement creates the impression that this latest version of the Consolidated Text has consensus support. This is, however, not the case. Two days before Molina presented his report, Bangladesh, Egypt, India, Indonesia, and South Africa (hereinafter ‘the BEIIS Group’) voiced their concern that the ‘far-reaching changes’ proposed in the reform process ‘would fundamentally alter the nature of the dispute settlement system of the WTO’ and ‘undermine interests that we, as developing countries, including LDCs, have identified as essential in a reformed WTO dispute settlement system.’¹⁹ The BEIIS Group noted that ‘concerns and reservations that have been raised by us in the course of the ongoing discussions have not been recorded’ and that the Consolidated Text ‘presents a misleading view and suggests that there is convergence on the majority of the issues in the text.’²⁰

While the Consolidated Text does not (yet) reflect a consensus among members regarding the WTO dispute settlement reform, its most important shortcoming is that it does not even address the

conversations and understandings reached during those plenary sessions.’ See *ibid* para 1.25. Note also that ‘if delegates are unsure about certain aspects of the text or they need to consult with their Capitals, we leave the discussion and revisit issues at the following plenary session.’ See *ibid* para 1.28.

15 ‘Communication from the African Group on Dispute Settlement Reform, JOB/DSB/5’ 2.

16 *ibid*.

17 ‘Communication from Indonesia, Dispute Settlement Reform Discussion: A Thought on the Process, JOB/DSB/6 Dated 19 September 2023’ para 2.3.

18 ‘Joint Communication from Egypt, India, and South Africa, Reflections on the Reform of the WTO Dispute Settlement System, JOB/DSB/7 Dated 24 November 2023’ para 5. This communication includes additional critical comments that the informal process allowed for in-person participation in Geneva, and not for online participation by capital-based experts and that the composition of the drafting groups had not been made public.

19 ‘Joint Communication from Bangladesh, Egypt, India, Indonesia, and South Africa, Dispute Settlement Reform: Reflections on Substantive Issues, (Hereafter: “BEIIS Group Communication”) JOB/DSB/8, Dated 12 February 2024’ para 2. Note that in para 1.50 of his report to the General Council on 14 February 2024, the DSB chairperson referred to this Communication but merely to note that it contained the ‘reflections on some substantive issues’ of five members.

20 *ibid* 3.

issue that triggered the current crisis, namely, the functioning of the Appellate Body. While Molina states that ‘significant progress has been made,’ there were ‘conceptual differences among Members regarding the operation’ of the ‘appeal or review’ mechanism and, therefore, work on other issues was ‘prioritized.’²¹ The Consolidated Text contains a placeholder title, ‘Appeal/Review Mechanism,’ with the text ‘[Work in Progress].’ As the BEIS Group stated, ‘the central interest that motivated Members to engage in this informal exercise, i.e., the restoration of the Appellate Body, has not been addressed.’²² Be this as it may, the Consolidated Text arguably represents, as Molina reported to the General Council on 16 February 2024, ‘the most optimal calibration’ of interests ‘achievable until today in most of the areas under consideration.’²³ At its session in Abu Dhabi in February/March 2024, the Ministerial Conference recognized ‘the progress made’ through the Molina Process ‘as a valuable contribution to fulfilling our commitment’ of ‘having a fully and well-functioning dispute settlement system accessible to all Members by 2024.’²⁴ One may expect that, notwithstanding the lack of consensus support, the ongoing WTO dispute settlement reform process will build on the proposed changes reflected in the Consolidated Text. These proposed changes, therefore, deserve and require critical assessment, as do the objections and concerns expressed by the BEIS Group.

3. Panel Proceedings

Title II of the Consolidated Text deals with panel proceedings. It introduces changes regarding the establishment of panels (Chapter I) and the composition of panels (Chapter II), as well as changes to streamline the panel process (Chapter III) and ensure the conciseness of panel reports and adherence to the timeframe (Chapter IV).

3.1 Establishment of Panels

Regarding the establishment of panels, Art 6.1 of the Dispute Settlement Understanding (DSU) currently allows the respondent in a dispute to prevent the establishment of a panel when the request for such establishment is for the first time discussed in the DSB as a decision on panel establishment then still requires consensus among members. It is only when the request for a panel is on the agenda of the DSB for the second time that the decision on the establishment is taken by reverse consensus and thus cannot be blocked by the respondent. In almost all disputes to date, respondents have prevented a panel from being established when the request for establishment is on the agenda of the DSB for the first time, thus prolonging the time it takes to settle a dispute. Pursuant to Chapter I of the Consolidated Text, members would agree not to exercise their right under Art 6.1 of the DSU to prevent the establishment of a panel when the request for establishment first appears on the agenda of the DSB.²⁵ This is not a new idea; panel establishment by

21 (n 7) para 1.37.

22 (n 19) para 4. As the BEIS Group stated: ‘we believe that the central focus of the reform efforts should be aimed at prioritizing the restoration of the Appellate Body. The discussion on the intricacies of the review standards should be considered once there is consensus on the structure of the two-tier system, with the Appellate Body at the core.’ See *ibid* para 6.

23 (n 7) para 1.21.

24 WTO Ministerial Conference, 13th Session, ‘Ministerial Decision on Dispute Settlement Reform, Adopted 2 March 2024, WT/MIN(24)/37, Dated 4 March 2024.’

25 Consolidated Text, Title II, Chapter I.

reverse consensus at the first DSB meeting has been proposed before.²⁶ However, as in the past, some members object to it, including the BEIIS Group, because (a) such ‘expedited’ establishment would ‘constrain the flexibility of Members to explore potential amicable solutions to resolve their disputes’ and (b) it would ‘effectively reduce the time available, particularly for the responding party’ and thus ‘adversely impact the ability of developing countries including LDCs to access the dispute resolution system.’²⁷ Regarding (a), there is little evidence that members have indeed used—with any success—the period between the first and the second DSB meeting to reach a mutually agreed solution. Regarding (b), it is clear that preventing the establishment of a panel allows the respondent additional time to prepare its defence. Such additional time is always welcome, especially for developing country members, but could also be provided for during the panel process upon request.

3.2 Panel Composition

Chapter II of Title II of the Consolidated Text concerns the panel composition, detailing who can be panellists and how panellists are appointed. Pursuant to Art 8.3 of the DSU, citizens of the parties or third parties to a dispute can only serve as panellists when the parties agree to this. Under Chapter II of the Consolidated Text, members would agree that citizens of a third party, who are not (or have not been in the past two years) affiliated with the government of any party or a third party may be nominated by the WTO Secretariat to serve as panellists.²⁸ However, parties may oppose such nominations.²⁹ When the WTO director-general is requested to appoint the panellists, members may object to the appointment of a citizen of a third country as a panellist.³⁰ It appears that the proposed change hardly alters the current state of play. Also, as stated by the BEIIS Group, this proposed change is among those changes that are not really required as the existing provisions of the DSU ‘can adequately address Members’ interests.’³¹

Of more importance is the proposed ‘upgrading’ of the WTO Secretariat’s ‘indicative list’ of individuals that may serve as WTO panellists. Pursuant to Art 8.4 of the DSU, members may periodically suggest names of individuals for inclusion on this list and, upon approval by the DSB, those names shall be added to the list. The purpose of the indicative list is to assist in the selection of panellists, but it is generally recognized that this list has been of limited usefulness, arguably because members have not been sufficiently selective in suggesting potential panellists and the DSB in approving them. In order to support the maintenance of a ‘meaningful’ indicative list, a member would, as proposed by the Consolidated Text, be ‘encouraged to nominate’ for inclusion in the indicative list up to three citizens and one non-citizen, possessing ‘significant relevant experience.’³² In addition, individuals nominated to the indicative list must possess high ethical standards and the ability to effectively communicate, orally and in writing in English, French, or Spanish.³³ Interestingly, the chairperson of the DSB, with the support of the WTO Secretariat, is

26 Peter Van den Bossche and Werner Zdouc, *The Law and Policy of the World Trade Organization: Text, Cases, and Materials* (5th edn, CUP 2021) 316.

27 (n 19) para 4.

28 Consolidated Text, Title II, Chapter II, para I.1 and fn 19.

29 *ibid* fn20.

30 *ibid* para I.2.

31 (n 19) para 4.

32 Consolidated Text, Title II, Chapter II, paras II.1 and II.3.

33 *ibid* para II.6.

mandated to check nominations made by members to ensure that nominated individuals meet the qualification requirements referred to earlier.³⁴ If the chairperson opined that the nominated individual does not meet these requirements, he or she might recommend the nominating member not to nominate that individual.³⁵ The nominating member may decide to proceed with the nomination, but in that case, any member, at its request, may be informed by the chairperson, in confidential consultations, which nominated individual the chairperson recommended not to be nominated.³⁶ Note that the DSB is to approve the inclusion of an individual on the indicative list by consensus. To keep the indicative list updated, it will be recomposed every four years.³⁷ As to the use to be made of the indicative list, the Consolidated Text states that the WTO Secretariat is ‘encouraged to use the indicative list in proposing nominations for the panel.’³⁸ If the WTO director-general is requested to compose a panel, the parties may agree that they each submit to the director-general a list of at least 30 individuals on the indicative list. The director-general is to appoint the panellists based on the overlap between the two lists.³⁹

The BEIS Group has criticized the changes proposed regarding the panel composition, particularly those relating to the qualifications of individuals nominated to the indicative list and the nomination of non-citizens to the indicative list. According to the BEIS Group, these changes ‘upset’ ‘the delicate balance between “the independence of the members, a sufficiently diverse background and a wide spectrum of experience,” as specified in Article 8.2 of the DSU.’⁴⁰ The BEIS Group notes that the Consolidated Text does not address concerns raised by developing countries, including the concern that the indicative list must be representative of the WTO membership in terms of geography, levels of development, and legal systems, and the concern that the qualification criteria should be sufficiently flexible to enable capacity constrained developing country members to make nominations for inclusion to the indicative list.⁴¹ The BEIS Group objects to the emphasis on technical expertise in the qualification requirements. Although it may indeed be a challenge for developing country members to nominate citizens with the required technical expertise, it is unclear how they would benefit from nominating citizens who do not have technical expertise. Also note that, while they were perhaps speaking for all developing countries, the members of BEIS Group definitely have many citizens with the required technical expertise.

3.3 Streamlining the Panel Process

Chapter III of Title II of the Consolidated Text concerns the streamlining of the panel process, particularly, the submission of evidence, the timing of the filing of submissions, and the meetings with the panel. The Consolidated Text proposes that a panel shall require, as part of its working procedures, the parties ‘to submit all evidence, except evidence for the purpose of rebuttal, in their

³⁴ *ibid* Appendix I, para 2.

³⁵ *ibid* para 4.

³⁶ *ibid* paras 4–5.

³⁷ Consolidated Text, Title II, Chapter II, para II.9.

³⁸ *ibid* para II.15.

³⁹ *ibid* paras III.1–III.2. If the overlap provides less than three individuals, the director-general shall complete the panel composition.

⁴⁰ (n 19) para 12.

⁴¹ *ibid* 13.

first written submission.⁴² This is already a longstanding requirement set out in the working procedures of most, if not all, panels and, therefore does not amount to much of a change. Regarding the timing of submissions, Art 12.6 of the DSU currently provides for the sequential filing of the first written submissions and the simultaneous filing of rebuttal submissions. The Consolidated Text proposes that both the first and the rebuttal submissions be filed sequentially.⁴³ As this allows the respondent an opportunity to respond more adequately to the arguments of the complainant as they evolve in the course of the proceedings, such change should be welcomed. With regard to the meetings of the parties with the panel, the Working Procedures, as set out in Appendix 3 of the DSU, currently provide for two substantive meetings of the panel with the parties. The Consolidated Text proposes that, unless one of the parties request otherwise, only one substantive meeting shall be held.⁴⁴ One wonders how likely it is that a party will often forego the opportunity to make its case to the panel a second time. Lastly, in order to improve the efficiency of the panel proceedings, the Consolidated Text proposes that a panel shall send written questions to the parties and third parties in advance of the meeting(s) with them.⁴⁵ It shall do so at least 10 days before the relevant meeting, but with the understanding that the panel remains entitled to ask additional questions at any time.⁴⁶ Again, similar to the proposed change regarding the submission of evidence discussed earlier, also the advance sending of written questions is already done by many panels. However, explicitly requiring panels to do so would nevertheless be useful.

While acknowledging the need to streamline panel proceedings, the BEIS Group comments that one should evaluate whether the proposed changes do not make the panel proceedings more onerous for developing countries.⁴⁷ It notes that flexibility in the panel proceedings is ‘of particular importance to developing countries’ and that ‘the changes proposed could be indicative, rather than mandatory.’⁴⁸

3.4 Conciseness and Timeframe Adherence

Chapter IV of Title II of the Consolidated Text deals with word limits for written submissions, time limits for oral submissions, and a timetable for panel proceedings, taking into account the complexity of the dispute.⁴⁹ It explicitly states that a panel is expected to ‘enforce’ these word and time limits and ‘ensure’ strict adherence to timeframes.⁵⁰ The Consolidated Text distinguishes between standard, complex, and extraordinarily complex disputes and sets out different word and time limits for each kind of dispute. For example, the parties’ first written submission in a standard dispute shall not exceed 30,000 words; in a complex dispute 48,000 words; and in an extraordinarily complex case 90,000 words.⁵¹ The time limits for parties’ oral submissions shall not exceed 60 minutes in standard disputes, 90 minutes in complex disputes, and 120 minutes in extraordinarily

42 Consolidated Text, Title II, Chapter III, para 2. Note that the panel may grant an exception if a party shows good cause. See *ibid*.

43 *ibid* para 3.

44 *ibid* paras 4, 6.

45 Consolidated Text, Title II, Chapter III, Advance Written Questions by Panels, para 1.

46 *ibid* paras 1–2.

47 (n 19) para 8.

48 *ibid*.

49 Consolidated Text, Title II, Chapter IV, para 1.

50 *ibid*.

51 *ibid* para 2(a) for standard disputes, para 5(a) for complex disputes, and para 6 for extraordinarily complex cases.

complex disputes.⁵² The Consolidated Text states explicitly that it is expected that ‘the majority of disputes will normally fall into the standard category.’⁵³ The panel will determine whether a dispute is complex or extraordinarily complex⁵⁴ at the request of a party if the requesting party successfully demonstrates that adequate presentation of its case is impossible within the limits for standard disputes.⁵⁵ A dispute shall only be considered as extraordinarily complex in ‘truly exceptional circumstances.’⁵⁶

The Consolidated Text also provides for timeframes within which a panel must issue its report in standard, complex, and extraordinarily complex disputes. In standard disputes, the timeframe shall not exceed 9 months; in complex disputes, 12 months; and in extraordinarily complex disputes, 18 months.⁵⁷ To ensure compliance with applicable timeframes, the panel and the parties shall follow the detailed, standardized timetable for standard and complex disputes set out in Appendix 1 to Chapter IV of Title II.⁵⁸ Most interestingly and innovatively, if a panel fails to meet the applicable timeframes, the chairperson of the DSB ‘shall issue a public communication to the concerned panellists and Secretariat staff, reminding them about the critical importance of adhering strictly to timeframes.’⁵⁹ This amounts to public shaming and may well prove to be an effective way of ensuring compliance with the timeframes. Moreover, panellists participating in multiple disputes showing a pattern of repeated delays shall be backlisted and no longer proposed as panellists by the WTO Secretariat.⁶⁰ However, the naming and shaming of panellists for failing to adhere to timeframes, will make it more difficult to find well-qualified adjudicators willing to accept an appointment as panellist.⁶¹

The BEIIS Group objects to giving panels the authority to determine the nature of a dispute (standard, complex, or extraordinarily complex) and inviting parties to limit their claims as this ‘shifts the locus of control over the panel process away from the disputing parties to the panel.’⁶² Pursuant to the BEIIS Group, these changes dilute or render ineffective the ‘Member-driven nature of the WTO.’⁶³ Also, the proposed changes make no attempt to accommodate the diversity of national circumstances, and in particular those of developing country members.⁶⁴ According to the BEIIS Group, ‘when seen holistically,’ the changes proposed in the Consolidated Text ‘make the dispute settlement process more onerous, complex, and difficult in actual practice for Members.’⁶⁵ It is not clear why this would be the case. The proposed changes regarding word and time limits for

52 *ibid* para 2(b) for standard disputes, para 5(b) for complex disputes, and para 6 for extraordinarily complex cases. For the time limits for third party oral subsidies, see *ibid*. For oral submissions, panels enjoy the same flexibility as for written submissions. See *ibid* para 10.

53 *ibid* fn 37.

54 *ibid* para 3. In determining the complexity of a dispute, a panel shall take, *inter alia*, into account the complexity of the analysis required to determine a breach or a defence, the amount of expert and other complex evidence and the complexity of the measures at issue. See *ibid*.

55 *ibid* fn 37.

56 *ibid*.

57 *ibid* paras 13–14 and 16 respectively.

58 *ibid* para 15.

59 *ibid* para 21.

60 *ibid*.

61 For non-governmental experts the remuneration is modest, and the opportunity costs are often high. Government officials are not paid for panel work, which comes on top of an already demanding workload.

62 (n 19) para 22.

63 *ibid* 20.

64 *ibid* 9.

65 *ibid* 10.

parties' submissions and the timeframe for the panel proceedings should make disputes less complex, and, thus, the dispute settlement process less, not more, onerous. However, the categorization of disputes as standard, complex, or extraordinarily complex brings undoubtedly 'subjectivity' into the panel proceedings,⁶⁶ and the word and time limits are, to a large degree arbitrary. While some arbitrariness in setting word and time limits are probably unavoidable, this can be mitigated by the flexibility granted to a panel to adjust such limits.

4. Compliance

Title IV of the Consolidated Text deals with the reasonable period of time (hereinafter 'RPT') given to respondents to comply with the recommendations and rulings of an adjudicative report adopted by the DSB. Pursuant to Art 21.3 of the DSU, a member whose measure has been found inconsistent with its WTO obligations has, if it is impracticable to comply immediately, a RPT to do so. Art 21.3 does not define what a RPT is, but leaves it to the parties, to the DSB, or to an arbitrator to agree on, or determine it in a given dispute.⁶⁷ The Consolidated Text, however, proposes a different approach.⁶⁸ First, to secure a mutually agreed solution to the dispute—which is, as stated in Art 3.7, clearly to be preferred—the Consolidated Text proposes that the parties, upon request of the complainant, shall engage in consultations regarding compliance 'at the level of ministers or designated senior officials' within 30 days following the adoption of the report.⁶⁹ If the respondent declines to engage in such consultations, the RPT shall be six months from the date of adoption of the report by the DSB.⁷⁰ Second, if the parties do not agree on the RPT within 45 days of the adoption of the report and if neither party requests arbitration to determine the RPT, the RPT shall be nine months from the date of adoption of the report.⁷¹ Third, if a party requests arbitration on the RPT, the arbitrator shall determine the RPT within 90 days after the date of the request and shall, in determining the RPT, consider that the period 'may be shorter or longer than nine months, depending upon the particular circumstances in the Member concerned, but shall not exceed 15 months.'⁷² The arbitrator is, however, explicitly reminded of the 'principle of prompt compliance as expressed in Article 21 of the DSU.'⁷³

The BEIIS Group strongly objects to the proposed changes regarding the RPT, arguing that these changes would 'substantially shorten' the RPT and 'do not take into account the different legal and political systems of Members or provide sufficient [special and differential treatment] for developing countries, including LDCs.'⁷⁴ The latter criticism may appear, at first glance, not justified since the Consolidated Text explicitly allows arbitrators to take 'the particular

66 *ibid* 9.

67 See Art 21.3 (a), (b) or (c).

68 Note that Title IV does not apply to arbitration awards issued pursuant Art 25 of the DSU. Parties, when entering into an arbitration agreement, may, however, agree to apply the provisions of this Title. See Consolidated Text, Title IV, para 7.

69 Consolidated Text, Title IV, para 2. Parties are also 'encouraged' to engage in alternative dispute settlement (hereinafter 'ADR') procedures on compliance. See *ibid* para 3.

70 *ibid* Title IV, para 4. The same is the case when the respondent declines to engage in ADR procedures. See *ibid*.

71 *ibid* para 5.

72 *ibid* paras 6, chapeau, and 6(a). The 'particular circumstances' referred to include the need for a legislative change and the special situation of developing or least developed country members. See *ibid*, para 6(b).

73 *ibid* para 6(c).

74 (n 19) para 25.

circumstances in the Member concerned' into consideration when determining the RPT.⁷⁵ However, as the BEIS Group notes, 'historically, the ask of developing countries, including LDCs, has been for a minimum RPT of 15 months.'⁷⁶ The Consolidated Text would cap the RPT at 15 months⁷⁷ and would thus restrict the flexibility currently available under Art 21.3 of the DSU. This is to the detriment of developing country members in particular.⁷⁸ By penalizing the refusal to engage in consultations in this way, the Consolidated Text does indeed break new ground. The question is, however, whether this strong 'encouragement' to engage in consultations is actually contrary to the interests of developing country members.

5. Guidelines for Adjudicators

Title V of the Consolidated Text sets out guidelines for adjudicators, particularly, on treaty interpretation (Chapter I), obiter dicta (Chapter II), and the precedential value to be given to past reports (Chapter III).

5.1 Treaty Interpretation

On first reading, the two-paragraph chapter of Title V of the Consolidated Text on treaty interpretation appears to state the obvious and is therefore totally unremarkable and harmless. This is, however, not the case. In the first four lines of the first paragraph, the Consolidated Text recalls that Art 3.2 of the DSU requires WTO adjudicators to interpret the covered agreements in accordance with customary rules of interpretation of public international law and that, thus Arts 31, 32, and 33 of the Vienna Convention on the Law of Treaties are to be applied.⁷⁹ This is obviously correct. What is interesting, however, is that in the following nine lines of this paragraph, there is no further elaboration or clarification of the general rule of interpretation set out in Art 31. The following nine lines are about the supplementary means of interpretation.⁸⁰ The importance given to the supplementary means of interpretation, and in particular the preparatory work, i.e. the negotiating history of the WTO agreements, is a clear but misguided concession to the United States, which has often criticized the Appellate Body for not giving more importance to the negotiating history of agreements, and in particular the negotiating history of the agreements on trade remedies.⁸¹ The problem is that there is no agreed negotiating history—no *travaux préparatoires* adopted by the parties to the negotiations—of the WTO agreements.⁸² Those who wish to rely on the negotiating history usually rely on their own negotiating positions and papers. The invocation of the negotiating history then often becomes shamelessly self-serving. This disproportionate attention to the supplementary means of treaty interpretation of this first paragraph of Chapter I of the Consolidated Text is unfortunate.

⁷⁵ See Consolidated Text, Title IV, para 6(a).

⁷⁶ (n 19) para 26.

⁷⁷ See Consolidated Text, Title IV, para 6(a).

⁷⁸ The BEIS Group also objects to what it refers to as 'an element of mandatory Alternate Dispute Resolution (ADR) into the process, since refusal to engage in ADR would result in an RPT of 6 months.' See (n 19) para 25.

⁷⁹ Consolidated Text, Title V, Chapter I, para 1.

⁸⁰ *ibid.*

⁸¹ *ibid* para 2.

⁸² Van den Bossche and Zdouc (n 25) 209.

The second paragraph of the chapter on treaty interpretation of the Consolidated Text has nothing to do with treaty interpretation but with the burden of proof—or perhaps not really with that either. It starts making the obvious statement that a complaining party bears the burden of establishing a *prima facie* case that another party has acted inconsistently with an obligation under the covered agreements.⁸³ It is only in the following sentences that it becomes clear why this paragraph is part of the Consolidated Text. Again, this reflects a misguided attempt to address a concern of the United States, namely, that WTO adjudicators find inconsistencies with obligations not to be found in the covered agreements. To this end, this paragraph requires adjudicators to determine, first, whether the complainant has made a *prima facie* case of the existence of the obligation invoked and only then, in the absence of an effective refutation by the other party, apply that obligation to the facts. Is this requirement at all necessary? Does an adjudicator not always first establish whether the obligation invoked exists before applying it to the facts?

5.2 *Obiter Dicta*

The second chapter of Title V of the Consolidated Text is titled ‘Focus on What is Necessary to Resolve the Dispute.’ The first two paragraphs of this chapter primarily repeat language that was also used in the 2019 Draft General Council Decision on the Functioning of the Appellate Body and in the 2020 Multi-Party Interim Appeal Arbitration Arrangement.⁸⁴ Adjudicators should only make findings that will assist the DSB in making its recommendations and rulings and should limit their reasoning to what is necessary to support their findings.⁸⁵ In other words, adjudicators should avoid *obiter dicta* or, as the United States confusingly calls it, advisory opinions.⁸⁶

While the Appellate Body occasionally said more than strictly speaking had to be said, the reality is that WTO adjudicators have been more than happy to exercise judicial economy and not rule on more than is needed. It is the complainants that bring a multitude of claims in what could often be a simpler case. The third paragraph of this chapter recognizes this reality by authorizing adjudicators to invite parties to focus on certain claims or even to exclude certain claims.⁸⁷ Such invitations are, however, not binding. It remains to be seen how many complainants will voluntarily give up on some of their claims. The BEIS Group observes in this regard that the Consolidated Text ‘constrains the autonomy of disputing parties to fully explore all facets of their dispute.’⁸⁸

5.3 *Precedential Value of Past Reports*

Finally, Chapter III of Title V of the Consolidated Text deals in one somewhat convoluted paragraph with the issue of precedent. As is well known, the United States has been for many years on

83 Consolidated Text, Title V, Chapter I, para 2.

84 WTO General Council, ‘Informal Process on Matters Related to the Functioning of the Appellate Body—Report by the Facilitator, H.E. Dr. David Walker (New Zealand) on 15 October 2019, JOB/GC/222, Dated 15 October 2019, Annex with the Draft General Council Decision on the Functioning of the Appellate Body, under the Heading “Advisory Opinions”’; (n 3) Annex 1, para 10.

85 Consolidated Text, Title V, Chapter II, paras 1 and 2.

86 *Obiter dicta*, a Latin phrase meaning ‘that which is said in passing,’ are incidental statements, passages in a judgment, or in the WTO context, a report, that are unnecessary for the decision of the case before the adjudicative body but may nonetheless be significant. An advisory opinion, on the other hand, is usually understood to be an opinion issued by a court on a matter that does not involve a justiciable case or controversy between adverse parties.

87 *ibid* paras 3–4.

88 (n 19) para 18.

a crusade against precedent in WTO dispute settlement—which has not prevented it from invoking all the jurisprudence it agrees with and insisting that adjudicators follow that case law. The sole paragraph of this chapter starts out by stating what is undisputed, namely, that WTO reports have no precedential value, meaning that they do not have binding force in a subsequent dispute.⁸⁹ What is problematic with the rest of this paragraph is, on the one hand, what it does not say and, on the other hand, what it does say.

What it does not say is that the ultimate purpose of WTO dispute settlement, as stated in Art 3.2 of the DSU, is to bring security and predictability to the international trading system and that, therefore, there is a legitimate expectation of WTO members that the same legal issue will be decided in the same way in subsequent cases.⁹⁰ The omission of any reference to the ultimate purpose of the WTO dispute settlement system is unfortunate.

What the paragraph on precedent says is that while an adjudicator may refer to previous reports to the extent she/he considers the analysis in such reports ‘persuasive,’ each adjudicator must in each dispute ‘develop its own interpretation’ of the WTO provisions at issue.⁹¹ The paragraph concludes with the instruction to adjudicators that they ‘may not presume that an interpretation of the covered agreements in a WTO dispute settlement report is persuasive.’⁹² However, this is not how international adjudication—or for that matter any adjudication—works. Adjudicators build on the hard work done and lessons learned by previous generations of adjudicators. Even though there is no binding precedent in international law, and each case must be decided on its own merits, international adjudicators do not start afresh in each case with the interpretation of the relevant provisions. Rather, international adjudicators objectively assess each case building upon persuasive precedents. The parties in a case will invoke the case law that supports their arguments, and the adjudicator will thus start by considering the invoked jurisprudence. No adjudicator can reasonably be expected to presume that her/his learned colleague-adjudicators, who interpreted a provision in an earlier ruling, got it wrong and that the work needs to be done all again. The instruction in the last sentence of this paragraph thus is misguided.

6. Procedures to Discuss Legal Interpretations

Title VI of the Consolidated Text deals with discussions among WTO members of legal interpretations adopted by WTO adjudicators, particularly in relevant WTO bodies (Chapter I) and the discussion in the Advisory Working Group (Chapter II).

6.1 Discussion in Relevant WTO Bodies

If the chairperson of a WTO body regards an adjudicative report or arbitration award as relevant, or at the mere request of any member, this report or award will be put on the agenda of the next meeting of this body.⁹³ This will give members an opportunity to discuss ‘at the expert level’

⁸⁹ Consolidated Text, Title V, Chapter III, para 1.

⁹⁰ Note that the 2019 Draft General Council Decision of the Functioning of the Appellate Body, JOB/GC/222, Dated 15 October 2019, p 6; and the 2020 Multi-Party Interim Appeal Arbitration Arrangement, JOB/DSB/1/Add.12, Dated 30 April 2020, p 1, state that the ‘consistency and predictability in the interpretation of rights and obligations under the covered agreements is of significant value to Members.’

⁹¹ Consolidated Text, Title V, Chapter III, para 1.

⁹² *ibid.*

⁹³ Consolidated Text, Title VI, Chapter I, para 1.

‘the technical and policy implications’ of the legal interpretations adopted.⁹⁴ Be that as it may, it is surprising that, to support this discussion ‘at the expert level,’ it is considered necessary to instruct the Secretariat to circulate ‘a summary document of the adjudicator’s interpretive findings that should not exceed one page.’⁹⁵ One would expect that experts would need, if anything, much more than a one-page summary. Also, when engaging in this discussion in the relevant WTO body, members are prohibited from discussing dispute-specific facts or the implementation of the DSB’s recommendations.⁹⁶ One may expect that the parties to the dispute, and other members, will find it very challenging, if not impossible, to restrain themselves in this way. In any case, it is unclear whether this proposed change genuinely adds something that is not yet possible under the current rules.

6.2 Advisory Working Group

Chapter II of Title VI of the Consolidated Text provides for the establishment of an Advisory Working Group, which will be composed of all WTO members and operate under the auspices of the DSB.⁹⁷ The Advisory Working Group is to be a new mechanism for WTO members ‘to discuss, build consensus, and provide guidance on legal interpretations developed by adjudicators.’⁹⁸ Any member may request a discussion by the Advisory Working Group,⁹⁹ but as explicitly stated, this mechanism ‘is expected to be used rarely.’¹⁰⁰ The Advisory Working Group ‘shall not relitigate disputes or function as an [appeal/review] mechanism.’¹⁰¹ The outcome of the discussion in the Advisory Working Group may take the form of (1) a draft recommendation, adopted by consensus, for the adoption of an authoritative interpretation by the Ministerial Conference or General Council; (2) a recommendation, adopted by consensus, that the legal interpretation shall not be considered as persuasive and can therefore not be referred to by WTO adjudicators in support for their reasoning; or (3) a record of members’ diverging views about the interpretation.¹⁰² Important to note is that the outcomes of discussions in the Advisory Working Group ‘shall not have any retroactive effect’ on the disputes in the context of which the legal interpretation at issue was adopted.¹⁰³

Regarding this new mechanism to discuss legal interpretations adopted by adjudicators, the BEIIS Group expresses the concern that this change will ‘have a far-reaching impact on the practice of the dispute resolution system’ and is ‘being proposed without rigorous, evidence-based analysis in the specific context of the WTO dispute settlement system.’¹⁰⁴ This is not the first proposal to establish a political body or an expert group to assess legal interpretations adopted by WTO adjudicators. A similar proposal already appeared in the 2005 Sutherland Report.¹⁰⁵ Unlike

94 *ibid* para 2, chapeau.

95 *ibid* para 2(a).

96 *ibid* para 2(c).

97 Consolidated Text, Title VI, Chapter II, para 2.

98 *ibid* paras 2 and 3.

99 *ibid* para 6, chapeau.

100 *ibid* para 4.

101 *ibid*.

102 *ibid* para 13.

103 *ibid* para 14. The validity or the implementation of the recommendations and rulings adopted in these disputes shall not be affected. See *ibid*.

104 (n 19) para 4.

105 WTO, *The Future of the WTO: Addressing Institutional Challenges in the New Millennium: Report by the Consultative Board to the Director-General Supachai Panitchpakdi* (WTO 2004) para 251.

earlier proposals, the current proposal is specific and detailed, in particular with regard to the possible outcomes.

However, it is not clear why there is a need for a new mechanism. Discussions on legal interpretations adopted by WTO adjudicators can already occur in the DSB or any other WTO body. What is the added value of such Advisory Working Group? What would it allow members to do that they currently cannot do yet? Also, it is unlikely that, if established, this mechanism would be ‘used rarely’ and would not be used to ‘relitigate’ disputes. Members may be expected to use all means at their disposal to challenge any legal interpretation that is unamicable to them. Finally, except in very unusual cases, the outcome of discussions in the Advisory Working Group will be a mere record of diverging views and one may wonder whether this would be useful or merely replicate the litigating parties’ arguments made during the proceedings.

7. Secretariat Support

Title VII of the Consolidated Text deals with the WTO Secretariat staffing to support the work of WTO adjudicators (Chapter I) and the responsibilities of these adjudicators in light of the support provided by the Secretariat (Chapter II).

7.1 Secretariat Staffing to Support Adjudicators’ Work

Art 27.1 of the DSU states that the WTO Secretariat shall have ‘the responsibility of assisting panels, especially on the legal, historical and procedural aspects of the matters dealt with, and of providing secretarial and technical support.’ The WTO Secretariat plays a more important role in supporting WTO adjudicators than registries or legal secretariats of other international dispute resolution system. The Consolidated Text states in this regard that in order ‘to ensure high-quality support by the Secretariat,’¹⁰⁶ members expect that the Secretariat staff has ‘appropriate subject-matter expertise.’¹⁰⁷ As the footnote explains, this subject-matter expertise ‘could be relevant committee experience, other experience drawn from the appropriate Secretariat Division, or other practical subject-matter expertise such as relevant government or private sector experience.’¹⁰⁸ The Secretariat lawyers assisting WTO adjudicators are among the very best WTO law experts, and one must therefore wonder why it was considered necessary to refer to members’ expectation of subject-matter expertise of Secretariat staff. Perhaps some members wish to convey in this way their ‘aversion’ for lawyers with general international law expertise and/or an academic (rather than a government/private practice) background.

7.2 Responsibilities of Adjudicators and Scope of Support Provided by Secretariat Staff

Chapter II of Title VII of the Consolidated Text addresses an issue that has been the subject of considerable debate in recent years, namely, the appropriate role of the Secretariat staff in WTO dispute settlement. In particular, with regard to panel proceedings, it has been suggested that it is the

¹⁰⁶ Consolidated Text, Title VII, Chapter I, para 1, chapeau.

¹⁰⁷ *ibid* para 1(a).

¹⁰⁸ *ibid* fn68.

Secretariat staff, rather than the panellists, who decide cases.¹⁰⁹ As already stated, the Secretariat undoubtedly plays a very important role in WTO dispute settlement. There is, however, an important, but often poorly understood, difference between ‘holding the pen’ in a case and ‘deciding a case.’ The former is what the Secretariat staff does; the latter is what the panellists do (or should do). This is an effective and appropriate division of responsibilities.

Addressing concerns about the role of the Secretariat staff, the Consolidated Text finds it necessary to state explicitly that ‘adjudicators shall have full responsibility for decision making’;¹¹⁰ that ‘Members expect adjudicators to draft their reports with the support of the Secretariat staff as appropriate’;¹¹¹ and that ‘adjudicators shall draft the conclusion section of their reports.’¹¹² If the Secretariat staff is requested to assist in drafting, they shall do so ‘on the basis of written instructions by the adjudicators.’¹¹³ The BEIIS Group rightly comments on the proposed changes regarding the responsibilities of adjudicators and the role of the Secretariat that ‘attempting to strictly delineate’ the assistance provided by the Secretariat ‘may have an impact that is opposite to the desired effect.’¹¹⁴

8. Conclusion

The Molina Process and the Consolidated Text on a draft Ministerial Decision on Dispute Settlement which emerged from it, were not successful in resolving the crisis of WTO dispute settlement. This is because no agreement could be reached on the nature and scope of appellate review, i.e. the trigger of the current crisis. Moreover, on many other issues, the proposed changes reflected in the Consolidated Text have less support than the Molina Report may lead one to believe. A group of influential developing countries, the BEIIS Group, have expressed their disagreement or voiced grave concerns regarding many of the proposed changes.

At the 13th WTO Ministerial Conference in Abu Dhabi in February/March 2024, WTO members took note of the work on dispute settlement reform done so far and instructed their officials ‘to accelerate discussions in an inclusive and transparent manner, build on the progress already made, and work on unresolved issues’ with the self-imposed end-of-2024 deadline in mind.¹¹⁵ At the DSB meeting of April 2024, the DSB formalized the dispute settlement reform process and appointed Ambassador Usha Dwarka-Canabady of Mauritius as the facilitator of this process. Six co-convenors were appointed to assist the facilitator on specific issues. Experts of members continue their technical work on the reform and, each month, members meet at the level of ambassadors to discuss the progress made. At the July 2024 meeting, the co-convenors dealing with the issue of appellate review announced that they intend to share with members in early September 2024 a draft document which they ‘anticipate will be useful for structuring future

109 Joost Pauwelyn and Krzysztof Pelc, ‘Who Writes the Rulings of the World Trade Organization? A Critical Assessment of the Role of the Secretariat in WTO Dispute Settlement’ (26 September 2019) <<https://papers.ssrn.com/abstract=3458872>> accessed 23 August 2024.

110 Consolidated Text, Title VII, Chapter II, para 1(a).

111 *ibid* para 1(b).

112 *ibid* para 1(c). Note, however, that the Secretariat staff is instructed to provide the necessary editorial support. See *ibid* para 2(c).

113 *ibid* para 2(b).

114 (n 19) para 32.

115 WTO Ministerial Conference, 13th Session (n 23).

discussions.¹¹⁶ Ambassador Dwarka-Canabady diplomatically stated that the issue of appellate review ‘might take a bit more time.’¹¹⁷

The proposed changes to WTO dispute settlement reflected in the Consolidated Text of February 2024 are a mixed bag of good, ill-conceived, futile, and unnecessary changes. The good changes—many of which are long overdue—include the establishment of panels at the first DSB meeting, the upgrading of the indicative list, the sequential filing of rebuttal submissions, the furtherance of timely compliance, and flexible word limits for written submissions. The ill-conceived changes—most of which address long-standing grievances of the United States and are potentially harmful—include the guidelines for adjudicators regarding treaty interpretation and the precedential value of past reports, as well as the delineation of the role of the WTO Secretariat and the naming and shaming of adjudicators for exceeding the timeframes. The futile changes—which are unlikely to have much of an impact—include the possibility of having one rather than two meetings with the parties, the appointment of third-party nationals as panellists, and the establishment of the Advisory Working Group. Finally, the unnecessary changes—which do not go (much) beyond what is already possible under the current rules or concern practices and features which are firmly established—include the timely submission of evidence, the time limits for oral submissions, and the requirement of appropriate subject-matter expertise of the WTO staff. Having said that, the Consolidated Text, with its gaps and imperfections, is nevertheless a *tour de force* of, in particular, Molina, for which he deserves the greatest respect.

The (geo-)economic and (geo-)political realities of the 21st century, some of which are alluded to elsewhere in this *Handbook*, are very different from those at the end of the 20th century when the current WTO dispute settlement system was conceived. The dispute settlement system of tomorrow may thus have to be different from the system that has served WTO members very well for many years.

However, any dispute settlement system worth having should be a rigorously rules-based system with compulsory jurisdiction, appellate review, impartial and independent adjudicators, and timely, legally binding, and enforceable rulings, which provides security and predictability to the multilateral trading system. Unfortunately, assuming that the United States is willing to agree to any kind of binding international trade dispute resolution, this is not the system that it wants to see established. This makes resolving the current crisis very difficult. If no agreement on a fully and well-functioning dispute settlement system, can be reached, it is better to keep the current system, supplemented with the Multi-Party Interim Appeal Arbitration Arrangement (MPIA), than to accept a new system not worth having.

116 ‘Facilitator, Co-Convenors Update Members on Dispute Settlement Reform Work’ (18 July 2024) <https://www.wto.org/english/news_e/news24_e/disp_18jul24_e.htm> accessed 23 August 2024.

117 *ibid.*

MARKET ACCESS AND QUANTITATIVE RESTRICTIONS

Denise Prévost

1. Introduction

Quantitative restrictions are measures imposed by states that limit the quantity of imports or exports. They can take different forms such as quotas or total restraints, sometimes described as bans or embargoes. They thus limit or even prevent market access and the free flow of trade. The World Trade Organization (WTO) regards quantitative restrictions as a form of market access barrier. It thus provides stringent rules due to concerns about the trade restrictive impact of quantitative restrictions. This can have a significant impact on the regulatory autonomy of WTO members.¹

The General Agreement on Tariffs and Trade (GATT)² and General Agreement on Trade in Services (GATS)³ require the elimination of quantitative restrictions.⁴ While the GATS prohibition on market access barriers, covering an exhaustive list of mainly quantitative restrictions, is expressly limited and depends on the willingness of a member to commit a specific service sector, subject to inscribed limitations, the GATT leaves much less room for members to impose quantitative restrictions, applying a blanket prohibition to such measures. As clarified in WTO jurisprudence, the reach of the prohibition on quantitative restrictions extends beyond obvious quantitative restrictions such as import and export quotas, and also catches other types of measures that have a trade limiting effect. As such, many measures that pursue important domestic policy objectives may fall afoul of the prohibition on quantitative restrictions.

Although quantitative restrictions would only be permissible if they are exempted or meet the requirements of one of the exceptions in the relevant agreement,⁵ the incidence of quantitative

1 See further Wolfgang Weiss, *WTO Law and Domestic Regulation: Exploring the Determinants for the Impact of the WTO on Domestic Regulatory Autonomy* (Beck/Hart/Nomos 2020) 206–28.

2 General Agreement on Tariffs and Trade 1994 (GATT), 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1A, 1867 UNTS 187, 33 ILM 1153 (1994).

3 General Agreement on Trade in Services (GATS), 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1B, 1869 UNTS 183, 33 ILM 1167 (1994).

4 Art XI:1 GATT 1994 and Art XVI:2 GATS.

5 Such exceptions include the general exceptions for societal policy grounds (Art. XX GATT and Art XIV GATS), security exceptions (Art XXI GATT and Art XIVbis GATS), exceptions on balance of payments grounds (Art XII and Art XVIII:B GATT and Art XII GATS), exceptions for safeguard measures (Art XIX GATT and the Agreement on Safeguards), and exceptions for exchange controls or restrictions (Art XV GATT and Art XI GATS).

restrictions on trade in goods remains high.⁶ Since 2012,⁷ 2273 quantitative restrictions on trade in goods have been notified by WTO members, reflected in 2652 measures, 2249 of which are currently in force.⁸ A very small share of these relate to quotas, while by far the majority take the form of non-automatic licencing procedures for imports or exports, bans and conditional bans on specific imports or exports.⁹ An exponential increase has been reported in the number of trade concerns raised in the WTO Committee on Market Access regarding such measures.¹⁰

Members rely on various exemptions or justifications to try to escape the constraints of the prohibition on quantitative restrictions and to preserve their policy space. In respect of the policy basis for members' use of quantitative restrictions, members that notified their quantitative restrictions to the WTO most often justified their measures on grounds of the general exceptions in Article XX of the GATT (88% of notified measures), followed by the security exceptions in Article XXI of the GATT (16% of notified measures).¹¹

The salience of the GATT prohibition on quantitative restrictions for the policy space of WTO members should not be underestimated. This has become increasingly evident in light of members' efforts to respond to current geo-political tensions, the climate crisis, supply chain vulnerabilities for essential goods such as vaccines and other medical equipment during the COVID-19 pandemic,¹² food security risks due to the war in Ukraine,¹³ growing cybersecurity threats,¹⁴

6 Peter Van den Bossche and Werner Zdouc, *The Law and Policy of the World Trade Organization: Law, Cases and Materials* (5th edn, CUP 2021) 522 (noting that while various rounds of GATT tariff negotiations successfully reduced tariff barriers to trade, 'non-tariff barriers have in recent decades gradually become an ever more prominent instrument of protection').

7 The notifications are made in terms of the *Decision on Notification Procedures for Quantitative Restrictions Adopted by the Council for Trade in Goods on 22 June 2012—Revision*, G/L/59/Rev.1 (3 July 2012).

8 Committee on Market Access, *Quantitative Restrictions: Factual Information on Notifications Received—Report by the Secretariat—Revision*, G/MA/W/114/Rev.7 (28 April 2025) para 2.2 (noting that as only 45% of WTO members have notified their quantitative restrictions, these numbers do not comprise all quantitative restrictions imposed by all WTO members).

9 See Committee on Market Access, *Quantitative Restrictions* (n 8) para 2.6.

10 WTO, *World Trade Report: Re-Globalization for a Secure, Inclusive and Sustainable Future* (WTO 2023) 26–27 (reporting that '[t]rade concerns raised at the Committee on Market Access display an exponential increase: they more than doubled from 2020 to 2022 and quadrupled from 2015 to 2022').

11 Seven quantitative restrictions were justified as balance of payments measures under Art XII GATT. Aside from GATT justifications, also the Kimberly Process Waiver (12 quantitative restrictions), the Agreement on Safeguards and provisions in Accession Protocols (2 quantitative restrictions each), and the TRIPS Agreement (4 quantitative restrictions) were referred to. Committee on Market Access, *Quantitative Restrictions* (n 8) paras 2.10–2.11 and Chart 3. See Andersen's chapter in this volume on the GATT general exceptions.

12 See further, Simon J Evenett, 'Chinese Whispers: COVID-19, Global Supply Chains in Essential Goods, and Public Policy' (2020) 3 *Journal of International Business Policy* 408–29; Ignacio Carreño Tobias Dolle, Lourdes Medina and Moritz Brandenburger, 'The Implications of the COVID-19 Pandemic on Trade' (2020) 11(2) *European Journal of Risk Regulation* 402–10.

13 Noncedo Vutula and Thembekile Mlangeni, 'The Russia-Ukraine War Has Triggered the Use of Export Restrictions on Essential Food Supplies by Some WTO Members Prompting Food Insecurity and Rising Food Prices' (*tralacBlog*, 13 June 2022) <<https://www.tralac.org/blog/article/15642-the-russia-ukraine-war-has-triggered-the-use-of-export-restrictions-on-essential-food-supplies-by-some-wto-members-prompting-food-insecurity-and-rising-food-prices.html>> accessed 7 July 2024; Giovanni Dall'Agnola, 'Promoting Food Security Through the Multilateral Trading System: Assessing the WTO's Efforts, Identifying its Gaps, and Exploring the Way Forward' (2024) 10(2) *Groningen Journal of International Law* 157–94.

14 See Joshua P Meltzer, 'Cybersecurity, Digital Trade, and Data Flows: Re-Thinking a Role for International Trade Rules' (2020) 132 *Global Economy & Development WP* <<http://dx.doi.org/10.2139/ssrn.3595175>> accessed 7 July 2024; Daniel Crosby, 'Analysis of Data Localization Measures Under WTO Services Trade Rules and Commitments' (2016) E15Initiative, Geneva, International Centre for Trade and Sustainable Development and

concerns regarding the environmental and social sustainability of corporations' supply chains,¹⁵ restricted access to critical minerals necessary for the energy transition,¹⁶ and security issues, such as those regarding dual-use products.¹⁷ Several such responses entail measures that may have the effect of limiting the quantity of imports or exports of goods or services.¹⁸

While exceptions exist allowing WTO members to justify their otherwise-inconsistent quantitative restrictions, exceptions are inherently limited and conditional,¹⁹ imposing a justificatory burden on the member imposing the measure and thus circumscribing their scope for manoeuvre. This means that the question whether a member's measure could fall within the ambit of the prohibition on quantitative restrictions has crucial implications for the balance between trade liberalization and regulatory autonomy inherent in WTO disciplines.

This chapter delves into this question by sketching the contours of the prohibition on quantitative restrictions in Article XI:1 of the GATT 1994, in order to elucidate its scope and limits, and thereby to explore its implications for the regulatory autonomy of WTO members. It does so by first discussing the rationale for the prohibition on quantitative restrictions in section 2, establishing the backdrop for the subsequent discussion. Section 3 examines the scope of the prohibition on quantitative restrictions in Article XI:1 of the GATT before turning, in section 4, to the permissible derogations from this prohibition. The chapter explores the interpretation and application of the relevant provisions through the jurisprudence of the WTO dispute settlement system, discussing landmark cases that have shaped the understanding of the scope of this prohibition and its derogations. Section 5 explores the relation of the prohibition on quantitative restrictions to the obligation of national treatment, thereby shedding light on the balancing of trade liberalization objectives with the need to leave sufficient policy space for members to exercise their regulatory autonomy. Finally, section 6 concludes by considering contemporary challenges and emerging issues related to the regulation of quantitative restrictions in the context of environmental, geopolitical, and economic developments.

2. Rationale for the Prohibition on Quantitative Restrictions

The primary rationale for the prohibition on quantitative restrictions to trade lies in the adverse effect these measures have on global trade. Unlike regulatory measures, they directly impede market access by restricting the volume or value of goods and services that can enter or exit a market. They thereby artificially limit or even preclude supply, leading to higher prices. It is generally

World Economic Forum <<http://e15initiative.org/wp-content/uploads/2015/09/E15-Policy-Brief-Crosby-Final.pdf>> accessed 7 July 2024.

15 Enrico Zonta, 'The EU's CSDDD: Lawful Extraterritoriality or Jurisdictional Overreach?' (2024) 6(1) Trento Student Law Review 95–123.

16 Nidhi Srivastava, 'Trade in Critical Minerals: Revisiting the Legal Regime in Times of Energy Transition' (2023) 82 Resources Policy <<https://doi.org/10.1016/j.resourpol.2023.103491>> accessed 7 July 2024.

17 Machiko Kanetake, 'Dual-Use Export Control: Security and Human Rights Challenges to Multilateralism' (2021) 11 European Yearbook of International Economic Law 2020, 265–90.

18 In the most recent biennial notification period for quantitative restrictions (2022–24), 58 members notified 1,687 quantitative restrictions currently in force (60% of which are import measures and 40% are export measures). See Committee on Market Access, *Quantitative Restrictions* (n 8) para 2.6.

19 WTO, *Argentina—Import Measures*, Report of the Appellate Body, WT/DS438/AB/R, para 5.221 (holding that 'even for those measures that are expressly excluded or excused from the obligations contained in Article XI:1 of the GATT 1994, this is only the case to the extent that those measures satisfy all of the conditions specified for such treatment').

recognized that quantitative restrictions are inefficient policy tools to achieve objectives such as environmental protection and conservation of natural resources, as they increase transaction costs,²⁰ lead to welfare losses at national and global level and undermine traders' confidence in the international trading system.²¹

Maintaining secure and predictable market access for traders is a core aim of the WTO.²² Reducing uncertainty in the trading environment is essential for enterprises to invest with confidence, and for countries to leverage their comparative advantages, thereby enhancing efficiencies. In respect of tariff barriers, the aim of secure and predictable market access for trade in goods is achieved through tariff reduction negotiations, leading to maximum tariff bindings that WTO members may not exceed.²³ In contrast, in respect of quantitative restrictions to trade, a blanket prohibition applies to achieve predictable market access. Tariffs are therefore seen as the 'border protection of choice' of the GATT 1994.²⁴

The rationale for the different treatment of these two types of market access barriers in WTO law provides a useful context for the following discussion of the GATT rules on quantitative restrictions. Van den Bossche and Zdouc point to several reasons for the GATT preference for tariffs above quantitative restrictions.²⁵ While tariffs can be an important source of government revenue, particularly for developing countries, the economic benefit of quantitative restrictions (quota rents) are enjoyed by importers of the restricted products who can charge higher prices and by the competing domestic industry which faces less import competition. Importantly, quantitative restrictions distort trade by raising absolute barriers to market access or exit, as once a quota limit is reached trade is halted entirely, while tariffs are relative trade barriers as the costs they create can be overcome by efficient producers. Further, quantitative restrictions are regarded as more vulnerable than tariffs to corruption in their administration. Also, the impact of tariffs on product prices is more transparent to consumers than that of quantitative restrictions. Finally, tariffs are more easily liberalized through negotiations than are quantitative restrictions. These considerations can be seen to motivate the prohibitive approach to quantitative restrictions, which incentivizes the conversion of trade restrictive measures into tariffs (known as 'tariffication').

The prohibition on quantitative restrictions in the GATT 1994, contained in Article XI:1, has been called 'one of the cornerstones of the GATT system.'²⁶ Setting out a general prohibition, rather than one conditional on the 'unnecessary' nature of the trade restriction,²⁷ it reflects an intention to

20 GATT, *Japan—Leather II (US)*, Report of the GATT Panel, BISD 31S/94, para 55.

21 Baris Karapinar, 'Defining the Legal Boundaries of Export Restrictions: A Case Law Analysis' (2012) 15(2) *Journal of International Economic Law* 443–79, 444.

22 GATT, *Japan—Agricultural Products I*, Report of the GATT Panel, BISD 35S/163, para 5.4.3; GATT, *EEC—Oilseeds I*, Report of the GATT Panel, BISD 37S/86, para 150; GATT, *US—Superfund*, Report of the GATT Panel, BISD 34S/136, para 5.2.2.

23 Article II:1(a) and (b), first sentence, GATT 1994.

24 WTO, *Turkey—Textiles*, Report of the Panel, WT/DS34/R, para 9.63.

25 Van den Bossche and Zdouc (n 6) 488–89.

26 WTO, *Turkey—Textiles* (n 24) para 9.63.

27 Compare this general prohibition to Article 2.2 of the TBT Agreement and Article 2.2 of the SPS Agreement, each of which prohibit only unnecessarily trade restrictive TBT or SPS measures, respectively. The burden of proof in respect of these provisions rests on the complainant, who would have to show that the measure was more trade restrictive than necessary to meet its objective. While some of the GATT exceptions that could justify a violation of Article XI:1 also contain a 'necessity' test as part of their conditions, a respondent relying on such exceptions would bear the burden of proof to establish necessity. Agreement on the Application of Sanitary and Phytosanitary Measures (SPS Agreement), 15 April 1994, 33 ILM 1144; Agreement on Technical Barriers to Trade (TBT Agreement), 1868 UNTS 120.

eliminate measures falling within its scope, unless they can be justified under one of the limited GATT exceptions. An examination of the scope and limits of Article XI:1 is useful in order to understand its impact on the policy space of WTO members to address current challenges in the increasingly divisive geo-political context.

3. The Comprehensive Scope of Article XI:1 of the GATT

Article XI:1 of the GATT is very broad in its coverage.²⁸ Titled ‘General elimination of quantitative restrictions,’ the wording of this article prohibits members from instituting or maintaining ‘prohibitions or restrictions’ on importation, exportation, or sale for export of goods. While it expressly excludes from its scope tariff measures (duties, taxes, or other charges),²⁹ reflecting its focus on eliminating non-tariff barriers to trade, it covers a broad range of other types of measures that result in prohibitions or restrictions. These include not only quotas and import or export licences but also a residual category of ‘other measures.’³⁰ This open list of measures shows the general aim to ban all non-tariff market access barriers,³¹ as ‘the ingenuity of states in developing new non-tariff restrictions on trade seems to be unlimited.’³²

The blanket coverage of Article XI:1 of the GATT stands in marked contrast with the limited prohibition on market access barriers in Article XVI of the GATS. Not only does the latter provision apply only to the extent that a member has made a specific commitment to liberalize a service sector, and subject to any limitations or conditions recorded in that Member’s Services Schedule,³³ but its prohibition applies only to an exhaustive and carefully circumscribed list of five quantitative restrictions,³⁴ and one restriction on the type of legal entity that may provide a service.³⁵ This restricted scope limits the impact of Article XVI of the GATS on the policy space of members.³⁶ Instead, the open list of measures covered by Article XI:1 of the GATT gives rise to questions

28 WTO, *India—Quantitative Restrictions*, Report of the Panel, WT/DS90/R, para 5.129.

29 Note that tariff rate quotas fall within this exclusion from the scope of Article XI:1 because they do not prohibit or restrict the quantity of imports but rather apply a higher duty once a certain quantity of imports has been reached. As such, they are a form of tariff regime even if linked to a quantitative condition.

30 For an illustrative list of quantitative restrictions, see Council for Trade in Goods, *Decision on Notification Procedures for Quantitative Restrictions*, G/L/59/Rev.1, 3 July 2012, Annex 2.

31 GATT, *Japan—Semi-Conductors*, Report of the GATT Panel, BISD 35S/116, note 104.

32 Rüdiger Wolfrum, ‘Article XI: General Elimination of Quantitative Restrictions’ in Rüdiger Wolfrum, Peter-Tobias Stoll and Holger P Hestermeyer (eds), *WTO—Trade in Goods* (Brill 2010) 281–95, 283.

33 Different from Article XI:1 of the GATT, Article XVI of the GATS is not of general application. It applies only to those specific service sectors and modes of supply that a particular member committed to liberalizing in its market access negotiations, as recorded in its Services Schedule.

34 These relate to limitations on the number of service suppliers, total value of service transactions or assets, total number of service operations or quantity of service output, and total number of persons who are or may be employed in a service sector or the participation of foreign capital.

35 The exhaustive nature of Article XVI:2 was noted in WTO, *US—Gambling*, Report of the Panel, paras 6.293–6.298 and reiterated in WTO, *China—Publications and Audiovisual Products*, Report of the Panel, WT/DS363/R 7.1353.

36 That is not to say that there is no debate regarding the appropriate limits of Article XVI of the GATS, or the correctness of its interpretation in the case law. See, for example, Panagiotis Delimatsis, ‘Don’t Gamble with GATS—The Interaction Between Articles VI, XVI, XVII and XVIII GATS in the Light of the *US—Gambling* Case’ (2006) 40(6) *Journal of World Trade* 1059–80; Markus Krajewski, ‘Playing by the Rules?’ (2005) 32 *Legal Issues of Economic Integration* 417–47; Petros Mavroidis, ‘Highway XVI Re-Visited: The Road from Non-Discrimination to Market Access in GATS’ (2007) 6 *World Trade Review* 1–23; Federico Ortino, ‘Treaty Interpretation and the WTO Appellate Body Report on *US—Gambling*: A Critique’ (2006) 9 *Journal of International Economic Law* 117–48; Joost Pauwelyn, ‘Rien ne va Plus? Distinguishing Domestic Regulation from Market Access in GATT and GATS’ (2005)

regarding the parameters of this obligation and their implications for the balance between the trade and non-trade interests of members. This issue bears further examination, in light of clarifications arising from WTO jurisprudence.

Article XI:1 explicitly covers ‘prohibitions or restrictions’ on importation, exportation, or sale for export. While the meaning of ‘prohibitions’ seems straightforward, covering any legal ban on trade in a particular product,³⁷ conditional prohibitions also fall within its ambit, giving rise to some uncertainty as to the scope of the term.³⁸ The term ‘restrictions’ has an even wider reach, extending to anything with a limiting effect. However, its scope is ‘not unfettered.’³⁹ In light of the word ‘quantitative’ in the title of Article XI, ‘restrictions’ has been clarified by the Appellate Body not to be so wide as to cover *any* condition or burden on importation or exportation,⁴⁰ but rather only those measures that have a limiting effect on the quantity of a product that is imported or exported.⁴¹ Such *de facto* quantitative restrictions have been found to cover a broad range of measures, including bans on certain products based on how they were produced,⁴² restrictions on ports of entry,⁴³ advertising restrictions in magazines,⁴⁴ minimum import or export price requirements,⁴⁵ a prohibition on the use of funds to implement a rule allowing importation of a certain product,⁴⁶ non-automatic import licensing requirements,⁴⁷ required points of sale for an imported product,⁴⁸ a trade-balancing requirement linking imports to commitment to undertake a certain amount of exports,⁴⁹ a domestic processing requirement,⁵⁰ conditions on the allocation of transport capacity

4(2) World Trade Review 131–70; Wei Wang, ‘On the Relationship Between Market Access and National Treatment Under the GATS’ (2012) 46(4) International Lawyer 1045–65.

37 WTO, *China—Raw Materials*, Report of the Appellate Body WT/DS394/AB/R, para 319. See also WTO, *Indonesia—Chicken*, Report of the Panel, WT/DS484/R, para 7.116, where the panel found that the consequence of not being listed on an approved imports list is that the product may not be imported, amounting to a legal ban.

38 As noted by Vidigal, certain conditional prohibitions can be seen as entailing both prohibitive and permissive elements. They could therefore be regarded either as a ban on a certain category of products that do not comply with the conditions (as in *Brazil—Retreaded Tyres* where the measure was seen as a ban on retreaded tyres rather than as the imposition of a condition that imported tyres not be retreaded, and therefore held to violate Article XI:1) or as the imposition of certain requirements for placing a product on the market of the importing country (as in *EC—Asbestos* where the ban on asbestos-containing products was seen as a requirement that all products not contain asbestos, and thus a measure not falling under Article XI:1). Geraldo Vidigal, ‘Article XI GATT—General Elimination of Quantitative Restrictions’ in Markus Wagner (ed), *Technical Barriers and SPS Measures* (Brill 2023) 106.

39 WTO, *Argentina—Import Measures* (n 19) para 5.220.

40 WTO, *Colombia—Textiles (Article 21.5—Colombia)*, Report of the Panel/*Colombia—Textiles (Article 21.5—Panama)*, Report of the Panel, WT/DS461/RW, paras 7.191, 7.192 (pending appeal).

41 WTO, *China—Raw Materials* (n 37) para 320.

42 WTO, *US—Shrimp*, Report of the Panel, para 7.16. Here the US ban on shrimp harvested without the use of turtle-excluder devices was found to violate Art XI GATT.

43 WTO, *Colombia—Ports of Entry*, Reports of the Panel, WT/DS366/R, para 7.270.

44 WTO, *Canada—Periodicals*, Report of the Appellate Body, WT/DS31/AB/R, para 17.

45 GATT, *EEC—Minimum Import Prices*, Report of the GATT Panel, para 4.1; WTO, *China—Raw Materials*, Reports of the Panel, WT/DS394/R, para 8.20.

46 WTO, *US—Poultry (China)*, Report of the Panel, WT/DS392/R, para 7.456.

47 WTO, *Indonesia—Import Licensing Regimes*, Report of the Panel, WT/DS477/R, para 7.55; WTO, *India—Quantitative Restrictions* (n 28) para 5.130. Here the panel found that the imposition of a condition on the import process (eg a bond requirement) is not in itself sufficient to violate Article XI:1, instead to do so the condition must have a limiting effect on importation.

48 GATT, *Canada—Provincial Liquor Boards (EEC)*, Report of the GATT Panel, BISD 35S/37, para 4.24.

49 WTO, *India—Autos*, Report of the Panel, WT/DS146/R, para 7.332.

50 WTO, *Indonesia—Raw Materials*, Report of the Panel, WT/DS592/R, para 7.85.

on a natural gas pipeline⁵¹ and fines on the marketing of banned products.⁵² The residual category of ‘other measures’ that can comprise ‘prohibitions or restrictions’ within the meaning of Article XI:1 is evidently very broad.

Further clarifying the extensive scope of the prohibition in Article XI:1, it has been held that the limiting effect of quantitative restrictions may be actual or potential,⁵³ in line with the understanding that GATT obligations protect the conditions of competition rather than actual trade volumes.⁵⁴ Therefore, a measure may be prohibited by Article XI:1 whether or not it actually impedes imports or exports.⁵⁵ No quantification of the trade effect of the measure is thus needed, instead the potential limiting effect can be shown through the design, architecture, and revealing structure of the measure considered in its relevant context.⁵⁶ This broad protection of competitive opportunity, irrespective of trade effect, gives Article XI:1 sweeping coverage.

4. Derogations from the Prohibition in Article XI:1

Mitigating the wide reach of the prohibition in Article XI:1 are its permissible derogations, listed in Article XI:2(a) to (c). According to Article XI:2, the provisions of Article XI:1 ‘shall not extend to’ measures meeting the conditions set out in paragraphs (a) to (c) thereby restricting the scope of application of Article XI:1, as recognized by the Appellate Body in *Argentina—Import Measures* and *China—Raw Materials*.⁵⁷ Measures falling within Article XI:2 (a) to (c) are therefore outside the scope of Article XI:1; i.e. they are not covered by its prohibition. The burden of proof, therefore, would logically rest on a complainant to show that a challenged measure is not exempted from Article XI:1 under one of the paragraphs of Article XI:2, and that its prohibition is therefore applicable to the measure at issue. Such an understanding of the nature of the derogations and the consequent allocation of the burden of proof would be in keeping with the wording of Article XI:2 and give effect to the intention to carve certain limited situations out of its scope of application.

However, surprisingly, certain panels and subsequently the Appellate Body have characterized the derogations in Article XI:2 as ‘affirmative defences’ and imposed the burden of proof in respect of their conditions on respondents.⁵⁸ This conflates the Article XI:2 exemptions with exceptions provisions (such as Articles XII, XIX, XX, and XXI of the GATT), which can be relied upon to

51 WTO, *EU—Energy Package*, Report of the Panel, WT/DS476/R, para 7.994 (pending appeal). In this case, the Panel found that two of the conditions for access to the gas pipeline restricted market access for natural gas from Russia and thus limited competitive opportunities for the importation of Russian natural gas into the EU.

52 WTO, *Brazil—Retreaded Tyres*, Report of the Panel, WT/DS332/R, paras 7.372–7.373.

53 WTO, *China—Raw Materials* (n 45) para 7.1081.

54 GATT, *US—Superfund* (n 22) para 5.2.2; GATT, *EEC—Oilseeds*, Report of the GATT Panel, L/6627 (25 January 1990) 37S/86 130 para 150.

55 WTO, *Colombia—Ports of Entry* (n 43) para 7.236 note 463; WTO, *China—Raw Materials* (n 45) para 7.1081.

56 WTO, *Argentina—Import Measures* (n 19) para 5.217; WTO, *Indonesia—Raw Materials* (n 50) para 7.74; WTO, *EU—Energy Package* (n 51) paras 7.974–7.975 (pending appeal).

57 WTO, *Argentina—Import Measures* (n 19) para 5.219; WTO, *China—Raw Materials* (n 37) para 334.

58 GATT, *Canada—Ice Cream and Yoghurt*, Report of the GATT Panel, BISD 36S/68, para 59; WTO, *China—Raw Materials* (n 45) para 7.213 and 7.957; WTO, *US—Wool Shirts and Blouses*, Report of the Appellate Body, WT/DS33/AB/R, 15–16. Contra, see WTO, *Indonesia—Raw Materials* (n 50) para 7.21 (noting, ‘Unlike with an affirmative defence, a respondent invoking Article XI:2(a) is not admitting to an inconsistency with Article XI:1 that is nevertheless justified, but rather maintaining that there is no obligation under Article XI:1 of the GATT 1994’).

justify violations of Article XI:1.⁵⁹ The impact of this misallocation of the burden of proof is to increase the burden on respondents who have to demonstrate that all the cumulative conditions for the relevant paragraph are met,⁶⁰ which is an onerous task. Derogations in Article XI:2 have, to date, never been successfully invoked by a respondent. Such an additional burden can have a limiting effect on the regulatory autonomy of the respondent member by, in effect, widening the scope of Article XI:1 beyond its intended reach.

Under paragraph (a) of Article XI:2, measures temporarily applied to prevent or relieve critical shortages of foodstuffs or other essential products are allowed. This paragraph has been relied upon to justify export restrictions on vaccines, medicines and protective equipment during the COVID-19 pandemic⁶¹ and on food products in the times of shortages due to the pandemic and later Russia's war on Ukraine,⁶² among others.⁶³ Its continued relevance is clear from the current global competition for access to critical minerals needed to produce solar panels, wind turbines, electric vehicle batteries and other renewable energy equipment, and the proliferation of export restrictions on critical minerals, including in countries that wish to develop their own industries in these products rather than only export the raw materials.

However, a narrow interpretation has been given to Article XI:2(a), emphasizing the finite nature of measures falling within its scope, which may not simply remain in place until supply is sufficient to meet demand or new technologies develop to lessen demand.⁶⁴ Instead, they may only be applied temporarily to provide relief in extraordinary situations 'to bridge a passing need.'⁶⁵ The exhaustible nature of natural resources is not sufficient to meet the 'temporary' requirement.⁶⁶

In addition 'critical shortages' have been clarified as limited to 'those deficiencies in quantity that are crucial, that amount to a situation of decisive importance, or that reach a vitally important or decisive stage, or a turning point.'⁶⁷ A critical shortage is not present when 'under ordinary market conditions supply cannot currently meet demand or . . . it is projected to be unable to meet

⁵⁹ Vidigal (n 38) 117.

⁶⁰ WTO, *Indonesia—Raw Materials* (n 50) para 7.22.

⁶¹ For a full list of trade restrictive and trade facilitating measures adopted in response to the COVID-19 pandemic, as of June 2024, many of which have since been terminated, see <https://www.wto.org/english/tratop_e/covid19_e/trade_related_goods_measure_e.htm> accessed 7 July 2024.

⁶² Joseph Glauber, David Laborde and Abdullah Mamun, *From Bad to Worse: How Russia-Ukraine War-Related Export Restrictions Exacerbate Global Food Insecurity* (International Food Policy Research Institute 13 April 2022) <<https://www.ifpri.org/blog/bad-worse-how-export-restrictions-exacerbate-global-food-security/>> accessed 7 July 2024. For example, El Salvador notified an export restriction on dried beans in the context of the COVID-19 pandemic, relying on Article XI:2(a) as justification. See Committee on Market Access, *Notification Pursuant to the Decision on Notification Procedures for Quantitative Restrictions*, G/L/59/REV.1—El Salvador, G/MA/QR/N/SLV/1, 27 September 2021.

⁶³ There are currently 25 notified quantitative restrictions in force, and 77 already terminated, that state Article XI:2(a) as the justification ground for their imposition. Information regarding the use of Article XI:2(a) to justify export restrictions was obtained from the WTO database on quantitative restrictions <https://qr.wto.org/en#/explore/wto_justifications> accessed 7 July 2024. Note that as not all members have notified their quantitative restrictions, these numbers do not provide a complete picture.

⁶⁴ WTO, *China—Raw Materials* (n 45) para 7.348 and 7.350; WTO, *Indonesia—Raw Materials* (n 50) para 7.122. Note, however that the time period of application of the measures does not have to be fixed in advance.

⁶⁵ WTO, *China—Raw Materials* (n 37) para 323; WTO, *Indonesia—Raw Materials* (n 50) para 7.112.

⁶⁶ WTO, *China—Raw Materials* (n 45) para 7.298. In such cases, reliance on the general exception in Article XX(g) was suggested by the Panel.

⁶⁷ WTO, *China—Raw Materials* (n 37) para 324–325; WTO, *Indonesia—Raw Materials* (n 50) para 7.135.

demand in the future.⁶⁸ Thus, it is insufficient to demonstrate that the export restrictions are ‘necessary to ensure essential quantities of such materials to a domestic processing industry’ or that a situation of mere ‘short supply’ exists,⁶⁹ situations that are covered by the general exceptions in Article XX(i) and (j) respectively.

Finally, the export restrictions may be applied only on foodstuffs or ‘other essential products,’ interpreted to mean ‘absolutely indispensable or necessary products’ seen in relation to the particular situation of the exporting country.⁷⁰ These may, in certain cases, include exhaustible natural resources and input products for an important domestic industry, for example, when such products are inputs for an industry that accounts for a significant share of that member’s GDP and employment.⁷¹ However, this derogation may not be used to protect a domestic industry ‘from the vagaries of competition or ordinary market conditions with respect to access to inputs, or to create an industry that did not yet exist.’⁷² The restricted interpretation of paragraph (a), therefore, makes it of limited use to members seeking to secure access to their natural resources as inputs for their own domestic industries in the current reality of global competition for critical raw materials, in particular those necessary for the production of key technologies in strategic sectors.⁷³ It is also not available to members that wish to restrict exports of their raw materials in order to develop new strategic industries using these as inputs.

The derogation in paragraph (b) applies to measures necessary for the application of standards or regulations for the classification, grading, or marketing of commodities in international trade. Such regulations, while they may have a limiting effect on importation or exportation, are often important to protect and maintain the reputation and quality of traded products⁷⁴ and may also

68 WTO, *Indonesia—Raw Materials* (n 50) para 7.138.

69 WTO, *China—Raw Materials* (n 37) para 324; WTO, *Indonesia—Raw Materials* (n 50) para 7.135–7.136.

70 WTO, *China—Raw Materials* (n 37) para 326; WTO, *Indonesia—Raw Materials* (n 50) para 7.93 and 7.101. In the latter case, Indonesia’s argument that nickel ore was essential to the economies of two regions (Maluku and Sulawesi) and three industries (nickel mining, stainless steel, and electric vehicle batteries) was rejected by the Panel. It pointed to the fact that while the production of nickel ore was an important industry for Indonesia, stainless steel production contributed a minor share to its GDP and employment, and the electric vehicle battery production had not yet started.

71 WTO, *China—Raw Materials* (n 37) paras 318–28 (accepting that refractory-grade bauxite was an essential product for China due to its importance in the production of iron and steel, of which China is the world’s leading producer and which account for significant shares of China’s GDP and employment.).

72 WTO, *Indonesia—Raw Materials* (n 50) para 7.100. The fact that nickel was a key input for the electric vehicle battery industry that Indonesia planned to develop in the short term was not regarded as sufficient to show that this product was essential for Indonesia.

73 See Przemysław Kowalski and Clarisse Legendre, ‘Raw Materials Critical for the Green Transition: Production, International Trade and Export Restrictions’ (2023) OECD Trade Policy Papers, No 269 <<https://doi.org/10.1787/c6bb598b-en>> accessed 31 July 2024, 37 (reporting a more than five-fold increase in export restrictions on critical raw materials (including in the form of minimum export prices, export licensing requirements and export prohibitions) in the last decade). Several members are experiencing difficulties as a result of limited access to critical raw materials. For example, the EU Critical Raw Materials Act, adopted in May 2024, seeks to make the European critical raw materials value chain more resilient. See Regulation (EU) 2024/1252 of the European Parliament and of the Council of 11 April 2024 establishing a framework for ensuring a secure and sustainable supply of critical raw materials and amending Regulations (EU) No 168/2013, (EU) 2018/858, (EU) 2018/1724 and (EU) 2019/1020. OJ L, 2024/1252, 3 May 2024.

74 For example, Costa Rica notified a quantitative restriction in the form of marketing standards to ensure the quality of its coffee exports, justified under Article XI:2(b). See Committee on Market Access, *Notification Pursuant to the Decision on Notification Procedures for Quantitative Restrictions*, G/L/59/REV.1—Costa Rica, G/MA/QR/N/CRI/5, 23 February 2023.

serve to demonstrate compliance with sustainability due diligence requirements of the exporting member or those in the importing market.⁷⁵

However, the scope of Article XI:2(b) has been restricted by a narrow interpretation of ‘necessary,’⁷⁶ and a requirement that the regulation at issue be designed to promote sales of the restricted product, not another downstream product. Consequently, export restrictions on unprocessed commodities in order to develop a superior quality or more sustainable processed product for marketing abroad would not be covered by this exemption.⁷⁷

Paragraph (c) exempts from the prohibition in Article XI:1 import restrictions on agricultural or fisheries products necessary to enforce government measures aiming, inter alia, to restrict the production or marketing of like or directly competitive domestic products or remove a surplus of such products, under specified conditions. These conditions have been recognized to be extremely difficult to comply with.⁷⁸

GATT panels emphasized that Article XI:2(c) was not intended to allow the protection of domestic producers against foreign competition.⁷⁹ Further, as clarified by the Appellate Body, this exemption has been rendered inoperative with regard to agricultural products by Article 4.2 of the Agreement on Agriculture,⁸⁰ which expressly prohibits quantitative import restrictions that are agriculture-specific.⁸¹ The exemption remains relevant to fisheries products, but its limited nature makes it of little importance.⁸²

This overview of the permissible derogations contained in Article XI:2 makes clear that their categorization as ‘affirmative defences,’ together with the strictness of the conditions that have to be met to rely on them, mean that they do little to rein in the far-reaching prohibition in Article XI:1. Their stringency may account for the fact that members have rarely relied on them when justifying their notified quantitative restrictions.⁸³

75 For example, the EU Ecodesign for Sustainable Products Regulation, adopted in June 2024, will introduce a ‘digital product passport’ for almost all products, without which they may not enter the EU market. In this passport (expected to take the form of a QR code), sustainability information will be made available to consumers. See Regulation (EU) 2024/1781 of the European Parliament and of the Council of 13 June 2024 establishing a framework for the setting of ecodesign requirements, amending Directive (EU) 2020/1828 and Regulation (EU) 2023/1542 and repealing Directive 2009/125/EC, OJ L 2024/1781, 28 June 2024.

76 GATT, *Canada—Herring and Salmon*, Report of the GATT Panel, BISD 35S/98, para 4.2.

77 *ibid* para 4.3.

78 GATT, *Canada—Ice Cream and Yoghurt* (n 58) para 59; GATT, *EEC—Dessert Apples*, Report of the GATT Panel, BISD 36S/93, paras 12.3–12.4.

79 GATT, *Japan—Agricultural Products I*, Report of the GATT Panel, BISD 35S/163, para 5.12.

80 Note that Article 4.2 of the Agreement of Agriculture prevails over Article XI:2 of the GATT under Article 21.1 of the Agreement on Agriculture. Agreement on Agriculture, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1A, 1867 UNTS 410.

81 WTO, *Indonesia—Import Licensing Regimes*, Report of the Appellate Body, WT/DS477/AB/R, paras 5.75–5.82.

82 In the latest notification period, Japan notified an import quota on marine products using Article XI:2(c)(i) as justification. See Committee on Market Access, *Notification Pursuant to the Decision on Notification Procedures for Quantitative Restrictions*, G/L/59/REV.1—Japan, G/MA/QR/N/JPN/6, 26 February 2023.

83 The WTO database of notified quantitative restrictions indicates that Article XI:2(a) has been relied upon a total of 102 times as justification for notified measures, mainly in the context of the COVID-19 pandemic, Article XI:2(b) has been relied on eight times, Article XI:2(c)(i) has been relied on twice, Article XI:2(c)(ii) has been relied on once, and there has been no reliance on Article XI:2(c)(iii) to date. See <https://qr.wto.org/en/#/explore/wto_justifications> accessed 30 July 2024.

5. Relationship to the National Treatment Obligation

The broad interpretation of Article XI:1 in the jurisprudence raises the question of its implications for domestic regulatory measures that may have a limiting effect on imports or exports. Many regulatory measures set out conditions or requirements that apply to imported or exported products to achieve certain policy objectives and thereby potentially limit the quantity of imports or exports. If such measures fall within the scope of Article XI:1 either as conditional ‘prohibitions’ or as ‘restrictions’ and are therefore in principle prohibited, this may undermine the flexibility inherent in Article III:4 of the GATT 1994, which only prohibits domestic regulations that have a detrimental impact on the competitive opportunities of imported products as compared to competing (i.e. ‘like’) domestic products.

Drawing the line between Article XI:1 and Article III is not straightforward. Panels and the Appellate Body have frequently relied on the distinction between ‘internal measures’ and ‘border measures’ to delineate the respective scopes of application of Article III (covering internal taxes and regulations) and Articles II and XI:1 (covering tariffs and quantitative restrictions).⁸⁴ Internal measures are understood as those triggered by an internal event (e.g. the domestic production, sale, distribution or use of the product), whereas border measures are those triggered by the importation or exportation of the product. To assess which of these two categories of measures is at issue, the ‘underlying purpose and centre of gravity’ of the relevant measures must be determined, regardless of the respondent’s own classification of the measures.⁸⁵ However, as noted by the panel in *Indonesia—Raw Materials*, the GATT does not use the term ‘border measures’ nor does it expressly exclude overlap between the various obligations.⁸⁶ In addition, as Article XI:1 explicitly refers to prohibitions or restrictions not only on importation and exportation but also on ‘sale for export’ of any product, it clearly includes some measures that are triggered by an internal event, i.e. the internal sale of a product for purposes of exportation.⁸⁷ The fact that a measure is addressed to internal actors (producers, processors, buyers) is not sufficient to remove it from the scope of Article XI:1.⁸⁸ If an internal measure (such as the mineral resource management requirement that nickel ore be processed domestically, at issue in *Indonesia—Raw Materials*) operates to limit exportation or sale for export, it is caught by Article XI:1.

The note *Ad Article III* provides some assistance by clarifying that internal measures that apply to both imported and like domestic products but are enforced at the time or point of importation in the case of the imported products remain internal measures subject to Article III. This is the case even if the measure applied to domestic products is not identical to that applied to the like imported products.⁸⁹ Consequently, in terms of the note *Ad Article III*, a prohibition on the internal sale of a specific product, such as asbestos-containing material, that is coupled with an import ban on that product, is subject to Article III. Whether this means that Article XI:1 does not apply to such a measure is, however, not addressed in the note *Ad Article III*.

84 WTO, *India—Autos* (n 49) paras 7.217–7.224; GATT, *Canada—FIRA*, Report of the GATT Panel, para 5.14.

85 WTO, *Indonesia—Raw Materials* (n 50) para 7.60.

86 *ibid* paras 7.57–7.58.

87 *ibid* para 7.59.

88 *ibid* para 7.61. Here one of the measures at issue, a domestic processing requirement for nickel ore, was addressed to all domestic producers yet was held to be a measure falling under Article XI:1 due to its effect of preventing the exportation of raw unprocessed nickel ore.

89 WTO, *EC—Asbestos*, Report of the Panel, WT/DS135/R, paras 8.93.

Nevertheless, overlap between Article III and Article XI:1 should be avoided, as the blanket prohibition in Article XI:1 would undermine the flexibility provided by Article III:4 for internal regulatory measures.⁹⁰ As noted by the panel in *Canada—FIRA*, a too broad interpretation of Article XI:1 would render Article III ‘partly superfluous.’⁹¹ It would also overshoot the aim of the prohibition on quantitative restrictions, by catching measures that do not give rise to the same concerns underlying the rationale for its prohibition. Instead, Article XI:1 should be understood to cover measures affecting the importation/exportation of products (as well as their sale for export), while Article III should be regarded as covering measures affecting imported products.⁹²

Nevertheless, uncertainty remains regarding the precise demarcation of the scope of these two articles, particularly in situations where a specific policy objective is pursued domestically and with regard to imports by means of distinct measures (e.g. a marketing restriction and a conditional import ban respectively). One could either view this situation as one of an internal regulation applied at the border with respect to imports, in terms of the note *Ad Article III*, and thus subject to the more permissive regime of national treatment, or one could see the measure as a ban on products not meeting the imposed conditions and thus falling under the prohibition of Article XI:1. This ambiguity is problematic in view of the near-absolute prohibition on quantitative restrictions in Article XI:1, undermining the security and predictability of the legal framework provided by the relevant GATT rules.

6. Conclusion

In light of the significant impact of quantitative restrictions on market access and their detrimental effect on secure and predictable trade, a strict approach to such measures is welcome. It is therefore understandable that the drafters of the GATT opted for a general prohibition on quantitative restrictions, with limited possibilities for derogation. In the specific situations where quantitative restrictions are needed, the limited and conditional exceptions available in the GATT provide policy space, subject to the necessary discipline to prevent abuse.

However, the extensive interpretation of the terms of Article XI:1 has the effect of expanding the scope of its prohibition, particularly when coupled with a restrictive understanding of the exemption grounds in Article XI:2 and the misallocation of the burden of proof onto the respondent. The exigencies of the current reality of the climate crisis, sustainability concerns, wars, food shortages, and geopolitical tensions threatening supply chains have led to an increase in quantitative restrictions, some of which are legitimate responses to challenging situations but are difficult to justify under the limited understanding of the derogations in Article XI:2. A more balanced interpretation of the requirements for these derogations and an allocation of the burden of proof in a manner corresponding to its wording would carve out much needed policy space while maintaining sufficient discipline on such measures.

In addition, the boundary between ‘border measures’ affecting importation and ‘internal measures’ affecting imports in their competitive relationship with domestic products is not always clear.

90 Note that the previously held view that measures based on differences in processes and production methods that are not reflected in the physical characteristics of the product (known as non-product-related PPMs) cannot fall under Article III and are therefore subject to the prohibition in Article XI:1 is today regarded as outdated. See Holger P Hestermeyer, ‘Article III GATT—National Treatment on Internal Taxation and Regulation’ in Markus Wagner (ed), *Technical Barriers and SPS Measures* (Brill 2023) 3–95, 22.

91 GATT, *Canada—FIRA*, Report of the GATT Panel, BISD 30S/140, para 5.14.

92 *ibid.*

When a measure creates a burden on imported products, and thereby disincentivizes their importation, one could not be faulted for seeing this as a measure that limits the quantity of imports even if the measure has a counterpart on domestic level that pursues the same objective in a different manner. On the other hand, such measures seem more appropriately addressed by the national treatment obligation, and thus allowed to the extent that they do not have a detrimental impact on the conditions of competition of imported as compared to domestic products.

Addressing these concerns calls for a reassessment of the role, and therefore the scope, of Article XI:1. As a tool to protect secure and predictable market access, leaving permissible protection to negotiated tariff bindings, it should continue to cover a wide range of non-tariff barriers to trade. However, the question whether such measures, whatever form they may take, have the effect of a 'prohibition or restriction' on importation, exportation, or sale for export merits a tighter approach, one in keeping with the rationale of the prohibition on quantitative restrictions and respecting the policy space provided by the national treatment obligation.

PRINCIPLES OF NON-DISCRIMINATION IN WTO LAW

Sachiko Yoshimura

I. Introduction

Exchanges of goods and products among nations have occurred for millennia. Since ancient times, individuals and nations have gained prosperity and wealth through trade. Throughout history, countries have adopted various trade policies and strategies to thrive.¹ As political scientist Richard Rosecrance (1930–2024) noted in *The Rise of the Trading State*, the opening of trade routes in the modern period frequently accompanied imperial ambitions and conquest.²

Simultaneously, states have restricted or banned trade to pursue political objectives. Gary Clyde Hufbauer's series of studies on economic sanctions indicates that this strategy dates back to ancient Greece and has become sophisticated and weaponized over time.³ In 1806,⁴ Napoleon's Berlin Decree forbade all commerce with Great Britain to force the British government to the peace table.⁵ And as international relations theorist Edward Hallett Carr (1892–1982) analysed, trade restrictions and embargoes reached their peak during the interwar period.⁶ Blocking economic exchanges through trade agreements and customs was considered a primary trigger of World War II.

The recognition that trade fosters peaceful and prosperous relations among nations precipitated international conferences on post-war international trade principles, including non-discrimination, to prevent the escalation of hostilities.⁷ Following the Atlantic Charter's adoption in 1941,⁸ a series

1 Alan Wm Wolff, *Revitalizing the World Trading System* (CUP 2023) 9–18.

2 Richard Rosecrance, *The Rise of the Trading State: Commerce and Conquest in the Modern World* (Basic Books 1986).

3 Gary Clyde Hufbauer, Jeffrey J Schott and Kimberly Ann Elliott, *Economic Sanctions Reconsidered* (2nd edn, Institute for International Economics 1990) 4–5.

4 Napoleon I, Berlin Decree, of 21 November 1806. See Francois Crouzet, 'Wars, Blockade, and Economic Change in Europe, 1792–1815' (1964) 24 *Journal of Economic History* 567–88.

5 Makio Miyagawa, *Do Economic Sanctions Work?* (St. Martin's Press 1992) 8.

6 Edward Hallett Carr, *Twenty Years Crisis, 1919–1939* (2nd edn published 1945, Perennial 2001) 113–32. See also Nicholas Mulder, *The Economic Weapon* (Yale University Press 2022).

7 John H Jackson, *Restructuring the GATT System* (Royal Institute of International Affairs 1990) 9–10.

8 Joint Declaration of Principles issued by the President of the United States and the Prime Minister of the United Kingdom (Atlantic Charter) (14 August 1941) para 4 <https://www.nato.int/cps/en/natohq/official_texts_16912.htm> accessed 13 December 2024.

of United Nations (UN) International Conferences on Trade and Employment were held to establish the International Trade Organization (ITO).⁹ This resulted in the Havana Charter,¹⁰ which sought to establish the ITO and included provisions on the most-favoured-nation (MFN) treatment and national treatment (NT).¹¹

However, the Havana Charter failed to come into force owing to insufficient ratifications. Consequently, the General Agreement on Tariffs and Trade (GATT 1947)¹² was established as a provisional measure, awaiting the ITO's creation. GATT 1947, prepared by a group of 'nuclear' states, endorsed the principles of non-discrimination as its foundation, materialized by the obligations of MFN treatment and NT.¹³

This chapter describes and analyses the two major obligations derived from principles of non-discrimination—namely, MFN treatment and NT—within the World Trade Organization (WTO) legal instruments. The chapter proceeds as follows: First, it examines the trade in goods, tracing the MFN and NT provisions' development during the GATT 1947 period and how these principles evolved with the WTO's establishment in 1995. Subsequently, it describes the non-discrimination obligations in the context of trade in services, under the General Agreement on Trade in Services (GATS).¹⁴ Then, it discusses the non-discrimination obligations related to trade and intellectual property under the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS).¹⁵ Finally, the chapter concludes with an overview of contemporary challenges to the non-discrimination principle in the current WTO framework and future perspectives.

II. The Principle of Non-Discrimination Under GATT

In human rights law, the principle of non-discrimination requires states 'to ensure that all individuals are equal before the law, have equal protection of the law, and are treated by society in general' by eliminating both direct and indirect discrimination.¹⁶ In international trade law, non-discrimination means 'that the contracting parties to an international economic treaty shall not treat domestic market actors more favourably than foreign market actors (national treatment, NT) or differentiate between foreign market actors from different origins (most-favoured-nation treatment, MFN).'¹⁷

GATT 1947 governed international trade in goods, which can be transported by various means and measured by weight and volume. In international trade, all imported and exported goods must proceed through customs clearance—regulated by each country's institutions. During this process, countries impose 'customs duties and charges of any kind' on goods, based on categories set by

9 Yamamoto Kazuto, *Takokukantsuushokyoutei GATT no Tanjyopurosesu* (The Process of the Birth of Multilateral Trade Agreement, GATT) (Minervashobo 2012) 34–36.

10 Havana Charter for an International Trade Organization, adopted 24 March 1948, United Nations Conference on Trade and Employment, Final Act and Related Documents, UN Doc E/CONF.2/78.

11 Havana Charter, Articles 16, 17, 18 and 20.

12 General Agreement on Tariffs and Trade, adopted 30 October 1947, in force 1 January 1948, 55 UNTS 194.

13 Douglas A Irwin, Petros C Mavroidis and Alan O Sykes, *The Genesis of the GATT* (CUP 2009) 62–63.

14 General Agreement on Trade in Services, 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1B, 1869 UNTS 183, 33 ILM 1167 (1994).

15 Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement), 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1C, 1869 UNTS 299.

16 Curtis FJ Doebbler, *The Principle of Non-Discrimination in International Law* (CD Publishing 2007) 3–6.

17 Nicolas F Diebold, 'Standards of Non-Discrimination in International Economic Law' (2011) 60 *International & Comparative Law Quarterly* 831.

the Harmonized System (HS) of the World Customs Organization. The following sections describe each obligation by providing a brief historical background, explaining key terms in the relevant GATT provisions, and exploring their application during the GATT period.

GATT 1947 and the MFN

Derived from the principles of non-discrimination, MFN is ‘a legal obligation to accord equal treatment to all nations accorded the benefit.’¹⁸ Historically, the MFN clause was commonly included in bilateral treaties of friendship, commerce, and navigation¹⁹ to serve multiple functions, including promoting ‘equality between States by preventing different treatment’ and promoting ‘international peace and multilateralism.’²⁰ In reality, it applied unconditionally or conditionally. A 1927 report on the Most-Favoured-Nation Clause, adopted by the League of Nations Committee, noted that the ‘conditional’ MFN clause was utilized by the United States, while European States, especially Great Britain, preferred the ‘unconditional’ MFN clause.²¹ The report suggested that if favours and privileges were not granted mutually and substantially, tensions could arise between the contracting parties.²² A notable example is the Treaty of Amity and Commerce Between the United States and the Empire of Japan of 1858²³ and its aftermath.

To avoid these tensions, Article I of GATT 1947, titled ‘General Most-Favoured-Nation Treatment,’ provides as follows:

1. With respect to customs duties and charges of any kind imposed on or in connection with importation or exportation or imposed on the international transfer of payments for imports or exports, and with respect to the method of levying such duties and charges, and with respect to all rules and formalities in connection with importation and exportation, and with respect to all matters referred to in paragraphs 2 and 4 of Article III, any advantage, favour, privilege or immunity granted by any contracting party to any product originating in or destined for any other country shall be accorded immediately and unconditionally to the like product originating in or destined for the territories of all other contracting parties.

Thus, the MFN treatment under GATT 1947 is based on an ‘unconditional’ treatment policy. By preventing trade tensions, MFN treatment’s benefits encourage states to participate in the multilateral trading system. Other ‘multiplier effects’ are also expected, such as sovereign nations’

18 Mitsuo Matsushita, Thomas J Shoenbaum and Petros C Mavroidis, *The World Trade Organization: Law, Practice and Policy* (OUP 2003) 143.

19 Akbar Rasulov, Robin Geiß and Meinhard Hilf, ‘Most-Favoured Nation Clause’ in *Max Planck Encyclopedia of Public International Law* (OUP 2023) para 6.

20 *ibid* para 4.

21 League of Nations, Committee of Experts for the Progressive Codification of International Law, *The Most-Favoured Nations Clause*, Report adopted by the Committee at its Third Session, in March–April 1927. Reprinted in (1928) 22 *American Journal of International Law Spec Sup* 1, 135–37.

22 *ibid* 140–53.

23 Treaty of Amity and Commerce Between the United States and the Empire of Japan, signed at Yedo, 29 July 1858 (1884) 1 *Gaimusyo Kirokukyoku* (Records Bureau, Ministry of Foreign Affairs) 1 *Teimeikakkokujyoutakuisan* (Treaties and Conventions between Empire of Japan and Foreign Powers) 745–61.

equal treatment, the promotion of free and fair competition within a common multilateral trading system, and improved efficiency in administering trade expansion.²⁴

Article I of GATT 1947 is, however, considered problematic owing to its broad coverage and certain terms' vagueness, which were frequently clarified through GATT jurisprudence. The panel on *Belgian Family Allowances*²⁵ ruled that the exemption from a levy constituted an 'advantage,' and Belgium was required to grant it 'unconditionally to all other contracting parties.'²⁶ It also clarified that the 'term "advantage" also covers indirect discrimination.'²⁷ In *Spain—Tariff Treatment of Unroasted Coffee*,²⁸ the panel determined the criteria of 'like products' within the meaning of Article I:1 as 'the similarity of the physical characteristics of the products involved, their end use . . . , and whether they are directly competitive or substitutable in the marketplace.'²⁹ In *Canada/Japan—Tariff on Imports of Spruce, Pine, Fir (SPF) Dimension Lumber*,³⁰ the panel adopted that 'two products were not "like products" if there were any practical differences,' setting aside the 'end-use' criterion.³¹ It further ruled that tariff classifications alone are not 'conclusive in determining whether products are "like"'³² unless they align with an internationally accepted tariff scheme,³³ such as the HS.

Exceptions to MFN Obligations in GATT 1947

Although the MFN obligation is considered the contracting parties' most fundamental and essential duty, GATT 1947 contains provisions allowing derogations from MFN obligations under certain conditions.

Article XXIV of GATT 1947 permits 'the formation of a customs union or of a free-trade area' among contracting parties under certain conditions. Indubitably, regional economic integration contradicts MFN obligations. However, customs unions and free-trade areas had existed long before WWII with relevant historical development.³⁴ Additionally, the view that 'genuine customs unions and free trade areas were compatible with the principle of non-discrimination, as distinct from the various forms of *ad hoc* and partial discrimination evident in the interwar period' prevailed during the post-war trade negotiations. GATT founders concluded that, on the condition that they can satisfy various requirements provided by GATT 1947, 'regional integration agreements do not pose an *inherent* threat to efforts to promote continued integration on a worldwide basis.'³⁵

24 John H Jackson, *The World Trading System: Law and Policy of International Economic Relations* (The MIT Press 1989) 134–35, Matsushita, Shoenbaum and Mavroidis (n 18) 144–45.

25 *Belgium—Family Allowances (Allocations Familiales)*, Panel Report, G/32, 6 November 1952.

26 *ibid* para 3 (emphasis original).

27 Matsushita, Shoenbaum and Mavroidis (n 18) 149.

28 *Spain—Tariff Treatment of Unroasted Coffee*, Panel Report, L/5135, 27 April 1981.

29 Matsushita, Shoenbaum and Mavroidis (n 18) 151.

30 *Canada/Japan—Tariff on Imports of Spruce, Pine, Fir (SPF) Dimension Lumber*, Panel Report, L/6470, 26 April 1989.

31 *ibid* 3.31–3.32.

32 Matsushita, Shoenbaum and Mavroidis (n 18) 151.

33 L/6470 (n 30) 5.8–5.10.

34 Anqi Wang, *The Interpretation and Application of the Most-Favored-Nation Clause in Investment Arbitration* (Brill 2022) 4–33.

35 World Trade Organization, *Regionalism and the World Trading System* (World Trade Organization 1995) 6 (emphasis original).

Another exception is the special preferential treatment for less-developed contracting parties. In 1964, a report³⁶ by Raúl Prebisch, the first Secretary-General of the United Nations Conference on Trade and Development, proposed granting certain trade preferences from industrialized countries to developing nations, calling for ‘flexibility’ in MFN obligations.³⁷ As a result, the section titled as ‘Trade and Development’ was introduced by a 1965 Protocol to amend the original GATT.³⁸ Later, the establishment of the Generalized System of Preferences provided further measures for ‘Special and Differential Treatment’ under GATT 1947.³⁹

The criteria for determining ‘developing countries’ under the GATT/WTO regime remain unclear and unresolved, precipitating criticism—particularly regarding the classification and treatment of emerging economies such as China.⁴⁰

GATT 1947 and NT

Another fundamental obligation derived from the principles of non-discrimination is NT. Like MFN treatment, NT has evolved through historical developments and international law. In international law, NT refers to the ‘principle of granting national treatment of aliens’ by host states, implying that ‘individuals within their territorial jurisdiction should have the same and equal legal status to that granted to their own nationals.’⁴¹ Unlike MFN, NT had not been applied to tariff schedules frequently since it guaranteed ‘perfect equality’ in much broader sense.⁴² However, as reciprocal MFN treatment clauses were developed, reciprocal NT clauses emerged in treaties of commerce and navigation.⁴³

The purpose and obligations relating to NT are provided in Article III of GATT 1947, as follows:

1. The contracting parties recognize that internal taxes and other internal charges, and laws, regulations and requirements affecting the internal sale, offering for sale, purchase, transportation, distribution or use of products, and internal quantitative regulations requiring the mixture, processing or use of products in specified amounts or proportions, should not be applied to imported or domestic products so as to afford protection to domestic production.
2. The products of the territory of any contracting party imported into the territory of any other contracting party shall not be subject, directly or indirectly, to internal taxes or other internal charges of any kind in excess of those applied, directly or indirectly, to like domestic products. Moreover, no contracting party shall otherwise apply internal taxes or other internal charges to imported or domestic products in a manner contrary to the principles set forth in paragraph 1. . . .

36 E/CONF.46/3, *Toward a New Trade Policy for Development: Report by the Secretary-General of the United Nations Conference on Trade and Development* (United Nations 1964).

37 *ibid* 34, 37–38.

38 GATT 1947 Article XXXVII:1.

39 Eduardo Tempone, ‘Special and Differential Treatment’ in *Max Planck Encyclopaedia of Public International Law* (OUP 2023) para 8.

40 Yuka Fukunaga, *Boekifunso to WTO (Trade Dispute & World Trade Organization)* (Sekaibunkasha 2022) 30–31.

41 Raúl Emilio Vinuesa, ‘National Treatment, Principle’ in *Max Planck Encyclopaedia of Public International Law* (OUP 2023) paras 1–6.

42 League of Nations (n 21) 135.

43 Vinuesa (n 41) paras 8–11.

4. The products of the territory of any contracting party imported into the territory of any other contracting party shall be accorded treatment no less favourable than that accorded to like products of national origin in respect of all laws, regulations and requirements affecting their internal sale, offering for sale, purchase, transportation, distribution or use.

From the perspective of GATT 1947's objective to promote free trade among contracting parties, NT provisions were designed to ensure fair competition between domestic and imported 'like' products by eliminating unfavourable treatment against imports and favourable treatment for domestic goods. Furthermore, under the GATT framework, NT 'implies a general ban on discriminatory internal measures enforced as part of a protectionist domestic policy.'⁴⁴

During the GATT period, several key NT concepts were developed through panel jurisprudence, particularly as 'like' products under NT provisions.⁴⁵ In *Japan—Customs Duties, Taxes and Labelling Practices on Imported Wines and Alcoholic Beverages*,⁴⁶ the panel ruled that "'like" products in terms of Article III:2 . . . cover also other products . . . if they serve substantially identical end-uses.'⁴⁷ Then it determined that shochu and vodka could be considered 'like' products 'because they were both white/clean spirits, made of similar raw materials, and their end-uses were virtually identical.'⁴⁸

In *United States—Measures Affecting Alcoholic and Malt Beverages*,⁴⁹ the panel ruled that, to determine the likeness, whether product differentiation was implemented 'so as to afford protection to domestic production' had to be examined, in addition to the 'physical characteristics.'⁵⁰ This refined criteria of 'like' products within the meaning of Article III, known as the 'aim-and-effects test',⁵¹ was later applied by the 1994 panel on *United States—Taxes on Automobiles*.⁵²

Exception to NT Obligation in GATT 1947

Several exceptions to NT obligations are permitted under GATT 1947, including government procurement and the 'Grandfather Clause.' The Protocol of Provisional Application (PPA) of GATT 1947 requires contracting parties to apply provisionally (a) Parts I and III of the GATT and (b) Part II of the GATT 'to the fullest extent not inconsistent with existing legislation.'⁵³

This 'Grandfather Clause'⁵⁴ created different levels of obligation for MFN treatment and NT during the GATT 1947 era. While Article I (MFN) is in Part I, Article III (NT) is in Part II.

44 *ibid* para 47.

45 For similarities and differences of the 'like product' between GATT Article I (MFN) and III (NT), see Robert E Hudec, "'Like Product": The Difference in Meaning in GATT Articles I and III' in Thomas Cottier, Petros C Mavroidis and Patrick Blatter (eds), *Regulatory Barriers and the Principle of Non-Discrimination in World Trade Law* (The University of Michigan Press 2000) 101–35.

46 *Japan—Customs Duties, Taxes and Labelling Practices on Imported Wines and Alcoholic Beverages*, L/6216, Panel Report, 13 October 1987.

47 *ibid* 5.5.

48 *ibid* 5.7.

49 *United States—Measures Affecting Alcoholic and Malt Beverages*, DS23/R, Panel Report, 16 March 1992.

50 *ibid* 5.71.

51 Matsushita, Shoenbaum and Mavroidis (n 18) 161.

52 *United States—Taxes on Automobiles*, DS31/R, Panel Report, 11 October 1994.

53 For the background and the 'legal force' of PPA, see John H Jackson, 'The Puzzle of GATT: Legal Aspects of a Surprising Institution' (1967) 1 *Journal of World Trade Law* 133–44.

54 GATT Secretariat, *Guide to GATT Law and Practice: Analytical Index* (6th edn, GATT Secretariat 1994).

Consequently, contracting parties were permitted to apply NT obligations only ‘to the fullest extent not inconsistent with existing legislation’ before the WTO’s establishment.⁵⁵ During the GATT 1994 era, jurisprudence on NT exceptions was developed through cases such as *Canada—Import, Distribution and Sale of Certain Alcoholic Drinks by Provincial Marketing Agencies*⁵⁶ and *United States—Measures Affecting Alcoholic and Malt Beverages*.⁵⁷

General Exceptions (Article XX) and Security Exceptions (Article XXI) in GATT 1947 and Their Relationship with MFN and NT Obligations

Beyond specific exceptions to MFN and NT, GATT 1947 includes broader exceptions that are “self-executing” and require no reports.⁵⁸ Article XX, titled ‘General Exceptions,’ comprises a general introductory clause (the *chapeau*)⁵⁹ and a list of 10 specific grounds for exceptions, including the necessity to protect public morals; preserve human, animal, or plant life or health; protect national treasures; and conserve exhaustible natural resources. Another provision is Article XXI titled ‘Security Exceptions,’ which was introduced from the early stages of the GATT 1947 drafting.⁶⁰ This article allows exceptions to MFN and NT obligations when a contracting party takes actions for the necessity to protect its ‘essential security interests,’ taken in time of war or international emergencies or to enforce mandatory UN economic sanctions.

The chance of panel establishment relating to Article XXI was limited during GATT 1947 era.⁶¹ However, in 21st century, various states’ domestic legislation on ‘economic security’ backed by the ‘rise of trade and security collision’⁶² poses the legal questions on consistency with non-discrimination principles in WTO law.⁶³ Current challenges with cases brought to the WTO dispute settlement mechanism in relation with this Article will be discussed at Part V of this chapter.

Establishment of WTO and Principles of Non-Discrimination in Trade in Goods, Including Former ‘Side Agreements’ (Annex 1A)

As described, GATT 1947 had a ‘provisional’ nature owing to the ‘birth defects’ of post-WWII trade negotiations.⁶⁴ To address these shortcomings, John Jackson proposed in 1990 a ‘new treaty instrument contain the organizational “constitution” for an institution’ called the World Trade

55 For the detailed argument on the legal issues in connection to GATT 1947 MFN treatment, see Jackson, ‘The Puzzle of GATT’ (n 53) 144–48.

56 *Canada—Import, Distribution and Sale of Certain Alcoholic Drinks by Provincial Marketing Agencies*, DS17/R, Panel Report, 16 October 1991.

57 DS23/R (n 49).

58 Jackson, ‘The Puzzle of GATT’ (n 53) 152.

59 William J Davey, *Non-Discrimination in the World Trade Organization* (Brill 2012) 361.

60 ‘Article XXI Security Exceptions’ in GATT Secretariat (n 54) 554.

61 *United States—Trade Measures Affecting Nicaragua*, L/6053, Panel Report, 13 October 1986.

62 Tsuyoshi Kawase, ‘Trade, Security and Constitutionalism at Crossroads: Achieving the Right Balance Between the Regulatory Power of WTO and National Sovereignty’ (2001) 64 Japanese Yearbook of International Law 76–116.

63 As for the case of Japan, see Yoshinori Abe, ‘Act on the Promotion of Ensuring National Security through Integrated Implementation of Economic Measures’ (2024) 67 Japanese Yearbook of International Law 416–18.

64 John H Jackson, William J Davey and Alan O Sykes, Jr., *Legal Problems of International Economic Relations* (3rd edn, West Publishing 1995) 293.

Organization.⁶⁵ In 1994, the Marrakesh Agreement Establishing the World Trade Organization was signed and came into force in January 1995.

GATT 1947, along with related legal instruments, understandings, and explanatory notes, currently forms the General Agreement on Tariffs and Trade 1994 (GATT 1994). It is included in Annex IA of the Marrakesh Agreement, titled ‘Multilateral Agreements on Trade in Goods.’ Since the text of GATT 1947 was incorporated without changes, the provisions on MFN and NT remained the same after the WTO’s establishment.

While the text itself remained unchanged, several modifications affected obligations derived from the non-discrimination principles. One major change concerned NT clauses’ legal effects under GATT Article III. A 1994 Decision of the Contracting Parties, adopted alongside the WTO Agreements, effectively abolished the Grandfather Clause.⁶⁶ Under the WTO regime, members must fulfil NT obligations irrespective of the existing legislation.

Another significant change was the legal status of ‘Side Agreements’ concluded during the GATT period. Before the WTO, the ‘legal status of these various agreements and understandings . . . , [was] not always clear,’⁶⁷ allowing contracting parties as well as non-contracting parties to ‘pick and choose’ which texts to apply⁶⁸—a situation described as ‘GATT *à la carte*.’⁶⁹ This changed with the WTO’s ‘single undertaking’ policy, which requires members to accept all agreements as binding, except for the Plurilateral Trade Agreements in Annex 4. GATT 1947 and its 13 related side agreements are now consolidated under ‘Annex 1A: Multilateral Agreements on Trade in Goods.’

A part of former ‘Side Agreements’ contains provisions relating to principles of non-discrimination foreseeing the accession by GATT non-contracting parties.⁷⁰ Article 2.1 of the Agreements on Technical Barriers to Trade (TBT Agreement)⁷¹ is provided as follows:

Members shall ensure that in respect of technical regulations, products imported from the territory of any Member shall be accorded treatment no less favourable than that accorded to like products of national origin and to like products originating in any other country.

Article 2.3 of the Sanitary and Phytosanitary Measures (SPS Agreement),⁷² which in part incorporates the clauses from the *chapeau* of Article XX of GATT 1947,⁷³ is provided as follows:

Members shall ensure that their sanitary and phytosanitary measures do not arbitrarily or unjustifiably discriminate between Members where identical or similar conditions prevail,

65 Jackson, *Restructuring the GATT System* (n 7) 93–100.

66 General Agreement on Tariffs and Trade (GATT) 1994 ‘Provisional application of the General Agreement’ in World Trade Organization, the WTO Analytical Index (electric edn) 1084 <https://www.wto.org/english/res_e/booksp_e/gatt_ai_e/prov_appl_gen_agree_e.pdf> accessed 29 January 2025.

67 Jackson, *The World Trading System* (n 24) 55–56.

68 Jackson, Davey and Sykes, Jr. (n 64) 302.

69 *ibid* 302.

70 Davey (n 59) 266.

71 Agreement on Technical Barriers to Trade (TBT Agreement), 15 April 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1, 33 ILM 1125 (1994).

72 Agreement on the Application of Sanitary and Phytosanitary Measures (SPS Agreement), 15 April 1994, 33 ILM 1144.

73 Peter Van den Bossche and Werner Zdouc, *The Law and Policy of the World Trade Organization* (3rd edn, CUP 2013) 908.

including between their own territory and that of other Members. Sanitary and phytosanitary measures shall not be applied in a manner which would constitute a disguised restriction on international trade.

Besides, Article 2.1 of the Agreement on Trade-Related Investment Measures (TRIMs Agreement)⁷⁴ stipulates the references to GATT obligations on non-discriminations.

The General Interpretive Note to Annex 1A of WTO provides that in ‘the event of conflict . . . , the provision of the other agreement shall prevail to the extent of the conflict.’⁷⁵ Upon application of this provision, the existence of ‘conflict’ between GATT 1994 and other Multilateral Agreements on Trade in Goods will be questioned.⁷⁶ Likewise, the degree and coverage have been questioned when the WTO members must fulfil non-discrimination obligations of different Agreements in Annex 1A simultaneously. For example, TBT Agreement does not have ‘General Exceptions’ clauses as GATT Article XX.⁷⁷ Instead, the ‘SPS Agreement should be understood, to some extent, as an expansion of Article XX GATT 1994.’⁷⁸

Since the WTO’s establishment, the increased number of panels and Appellate Body’s reports has contributed to developing jurisprudence regarding MFN and NT. For MFN obligations, panels and the Appellate Body confirmed that GATT 1994 Article I ‘covers not only *de jure* but also *de facto* discrimination,’⁷⁹ exemplified by the panel decision in *Canada—Certain Measures Affecting the Automotive Industry (Canada—Autos)*.⁸⁰ The panel also clarified that the word ‘unconditionally’ in Article I:1 pertains ‘to the obligation to accord to the like products of all Members an advantage which has been granted to any product originating in any country.’⁸¹ The Appellate Body affirmed⁸² that the MFN obligation encompasses both ‘obligations of conduct as well as obligations of result.’⁸³

The 1996 panel on *Japan—Taxes on Alcoholic Beverages (Japan—Alcoholic Beverages II)* assessed whether products were ‘like’ in the NT context.⁸⁴ It rejected the ‘aim-and-effect test’⁸⁵ and instead adopted a two-steps approach: first, assessing whether products were ‘like’ under Article III:2,⁸⁶ and second, determining whether taxation was discriminatory.⁸⁷ The panel concluded that shochu and vodka are ‘like products’ because vodka ‘shar[e] with shochu most physical

74 *Agreement on Trade-Related Investment Measures* (TRIMs Agreement), 15 April 1994,

75 Reproduced at ‘GATT 1994-General (DS reports)’ in *WTO Analytical Index* 1.

76 Kawase Tsuyoshi, ‘WTO Kyotei ni Okeru Musabetsugensoku no Meikakuka to Henyo’ (Clarification and Transformation of the Non-Discrimination Principle in the WTO Agreements) (2015) 23, RIETI Discussion Paper Series 15-J-004. For the difference of the clauses on the relationship with GATT 1994, see Van den Bossche and Zdouc (n 73) 862–63.

77 Van den Bossche and Zdouc (n 73) 856; Gabrielle Marceau and Joel P Trachtman, ‘Responding to National Concerns’ in Daniel Bethlehem and others (eds), *Oxford Handbook of International Trade Law* (OUP 2009) 214.

78 Marceau and Trachtman (n 77) 214.

79 Matsushita, Shoenbaum and Mavroidis (n 18) 148.

80 *Canada—Certain Measures Affecting the Automotive Industry*, WT/DS139R, WT/DS142R, Panel Report, 11 February 2000.

81 *ibid* 10.18–10.26.

82 *Canada—Certain Measures Affecting the Automotive Industry*, WT/DS139/AB/R, WT/DS142/AB/R, Appellate Body Report, 31 May 2000, 185(a).

83 Rasulov, Geiß and Hilf (n 19) para 3.

84 *Japan—Taxes on Alcoholic Beverages*, WT/DS8/R, WT/DS10/R, WT/DS11/R, Panel Report, 11 July 1996.

85 *ibid* 6.19.

86 *ibid* 4.51.

87 *ibid* 4.59.

characteristics⁸⁸ and that shochu, whisky, brandy, rum, gin, jenever, and liqueurs are ‘directly competitive or substitutable products.’⁸⁹ The Appellate Body upheld this view,⁹⁰ adding that the ‘likeness’ under Article III is akin to ‘the image of an accordion.’⁹¹

WTO also has developed jurisprudence on non-discrimination obligations among the Agreements in Annex 1A. In *Indonesia—Certain Measures Affecting the Automobile Industry (Indonesia-Autos)*,⁹² the panel found that GATT 1994 Article III and the Agreement on Subsidies and Countervailing Measures (SCM) have ‘generally, different coverage and do not impose the same type of obligations.’⁹³ As for TBT Agreement, through cases such as *United States—Measures Affecting the Production and Sale of Clove Cigarette*,⁹⁴ *United States—Measures Concerning the Importation, Marketing and Sale of Tuna and Tuna Products*⁹⁵ and *United States—Certain Country of Origin Labelling (COOL) Requirements*,⁹⁶ a ‘three-tier test of consistency’ has been developed in relation to MFN and NT obligations.⁹⁷ Relating to the SPS Agreement, in *Australia—Measures Affecting Importation of Salmon*,⁹⁸ the 2000 panel evaluated the similarity of the risks although the products were not regarded as ‘like.’⁹⁹ Thus, the panel established unique criteria to determine the consistency by taking different approach from GATT and the TBT Agreement.¹⁰⁰

III. Principles of Non-Discrimination and Trade in Services (Annex 1B)

The most notable change from GATT 1947 to the WTO is the inclusion of trade in services. GATS Article I:3(b) defines ‘services’ as ‘any service in any sector except services supplied in the exercise of governmental authority.’ Currently, services covered by GATS are classified into 12 sectors—business; communication; construction and related engineering; distribution; education; environment; finance; health-related and social services; tourism and travel-related services; recreational, cultural, and sport; transport; and other services not included elsewhere—each with corresponding sub-sectors.¹⁰¹

Services have certain unique characteristics in comparison with goods. First, unlike goods, services are perishable and intangible. Additionally, trade in services is not subject to customs clearance, and tariffs cannot serve as decisive regulatory measures. Second, in the services sector,

88 *ibid* 6.23.

89 *ibid* 7.1.

90 *Japan—Taxes on Alcoholic Beverages*, WT/DS8/AB/R, WT/DS10/AB/R, WT/DS11/AB/R, Appellate Body Report, 4 October 1996.

91 *ibid* 21. For the critical view on this criterion, see Robert E Hudec, ‘GATT/WTO Constraints on National Regulation: Requiem for an “Aim and Effects” Test’ (1998) 32(3) *International Lawyer* 631.

92 *Indonesia—Certain Measures Affecting the Automobile Industry*, WT/DS54/R, WT/DS55/R, WT/DS59/R, WT/DS64/R, Panel Report, 2 July 1998.

93 *ibid* 14.36.

94 *United States—Measures Affecting the Production and Sale of Clove Cigarettes*, WT/DS406/R, Panel Report, 2 September 2011, WT/DS406/AB/R, Appellate Body Report, 4 April 2012.

95 *United States—Measures Concerning the Importation, Marketing and Sale of Tuna and Tuna Products*, WT/DS381/R, Panel Report, 15 September 2011, WT/DS381/AB/R, Appellate Body Report, 16 May 2012.

96 *United States—Certain Country of Origin Labelling (COOL) Requirements*, WT/DS384/R, WT/DS386/R, Panel Report, 18 November 2011, WT/DS384/AB/R, WT/DS386/AB/R, Appellate Body Report, 29 June 2012.

97 Van den Bossche and Zdouc (n 73) 864–72.

98 *Australia—Measures Affecting Importation of Salmon*, WT/DS18/RW, Panel Report, 18 February 2000.

99 *ibid* 7.109–7.114.

100 Van den Bossche and Zdouc (n 73) 909.

101 Services Sectoral Classification List provided by the Secretariat in 1991, in MTN.GNS/W/120, 10 July 1991.

production and consumption often occur concurrently. Third, certain services, such as water supply and electricity, require ‘universal service’ owing to their public nature, necessitating a more active role for governments compared to goods production. Fourth, for effective government supervision, service providers are often required to base in the country where the service is being distributed.¹⁰²

Reflecting these characteristics, GATS Article I:2 stipulates the definition of ‘trade’ in services specified as four patterns of supply; ‘(a) from the territory of one Member into the territory of any other Member; (b) in the territory of one Member to the service consumer of any other Member; (c) by a service supplier of one Member, through commercial presence in the territory of any other Member; (d) by a service supplier of one Member, through presence of natural persons of a Member in the territory of any other Member.’

As part of the WTO framework, GATS had to incorporate the non-discrimination principles though trade in services is not subject to tariff-based control. Applying NT obligations to trade in services was particularly considered as ‘problematic’ ‘because certain kinds of services seemed to call for special principles to handle some particular policy risks that are posed by imports, compared to domestic service providers.’¹⁰³ The basic concept of NT under GATS had to be adjusted ‘so as to effectively balance the need for trade liberalization against appropriate national government regulatory and prudential policies.’¹⁰⁴ Consequently, GATS applies the non-discrimination as to fit ‘for the new terrain encountered.’¹⁰⁵ The obligations under GATS are broadly divided into two categories: (1) unconditional general obligations, which apply regardless of the existence of specific commitments and (2) conditional general obligations, which apply only to sectors listed in a member’s schedule of commitments.¹⁰⁶

Article II of GATS, titled ‘Most-Favoured-Nation Treatment,’ stipulates the following:

1. With respect to any measure covered by this Agreement, each Member shall accord immediately and unconditionally to services and service suppliers of any other Member treatment no less favourable than that it accords to like services and service suppliers of any other country.
2. A Member may maintain a measure inconsistent with paragraph 1 provided that such a measure is listed in, and meets the conditions of, the Annex on Article II Exemptions . . .

As observed in Article II:1, MFN treatment under GATS is categorized as an unconditional general obligation.¹⁰⁷ However, unlike MFN provisions under GATT, ‘GATS permits the maintenance of measures inconsistent with Article II if they are listed in and meet the conditions of Annex II to GATS.’¹⁰⁸ As ‘the only requirement is that the measure be listed,’¹⁰⁹ more than half of all WTO member states have declared such exemptions.¹¹⁰ Therefore, GATS allows members a certain degree of discretion regarding MFN obligations.

102 Matsushita Mitsuo and Kometani Kazumochi, *Kokusaikeizaiho* (International Economic Law) (U of Tokyo P 2015) 703–4.

103 Jackson, *The World Trading System* (n 24) 307.

104 *ibid* 307.

105 John H Jackson, *The World Trading System* (2nd edn, The MIT Press 2000) 307.

106 WTO Trade in Services and Investment Division, *The General Agreement on Trade in Services—An Introduction* (INT/SUB/SERV/324, September 2022) 4–6.

107 *ibid* 4–5.

108 Davey (n 59) 256.

109 *ibid* 256.

110 *The General Agreement on Trade in Services* (n 106), 5.

Article XVII of GATS, titled ‘National Treatment,’ provides as follows:

1. In the sectors inscribed in its Schedule, and subject to any conditions and qualifications established therein, each Member shall accord to any other Member’s services and service suppliers, in respect of all measures affecting the supply of services, treatment no less favourable than that it accords to its own like services and service suppliers.
2. A Member may meet paragraph 1’s requirement according to services and service suppliers of any other Member either formally identical treatment or formally different treatment from that which it accords to its own like services and service suppliers.

Clearly, the NT obligation under GATS is conditional, as members are required to fulfil NT obligations only within the scope of specific commitments they determine individually.¹¹¹ Consequently, the NT provisions within GATS have ‘fundamentally about ensuring equality of competitive opportunities’¹¹² from the outset. Therefore, some academic literature even argues that ‘GATS contains no provision for general NT obligations.’¹¹³

Besides these provisions relating to principles of non-discrimination, GATS stipulates exceptional provisions like GATT 1994 which allow WTO members to deviate from MFN and NT obligations within the degree provided. GATS provides Article XIV ‘General Exceptions’ and XIVbis ‘Security Exceptions’ with similar or identical wordings of Article XX and XXI of GATT 1994.¹¹⁴ GATS also provides Article V ‘Economic Integration’ regarded as a counterpart of Articles XXIV GATT 1994.¹¹⁵ This article, however, does not distinguish a customs union and a free-trade area.¹¹⁶ It stipulates that the agreement on regional economic integration ‘shall not in respect of any Member outside the agreement raise the overall level of barriers to trade in services . . . compared to the level applicable prior to such an agreement’ reflecting the era of WTO establishment. Thus, unlike GATT 1994, participants of a regional economic agreement covering trade in services cannot ‘retain autonomy with respect to their external trade policy.’¹¹⁷

Although the application of MFN and NT obligations in trade in services appears relatively weak, WTO panels and the Appellate Body have provided jurisprudence offering criteria for interpreting MFN and NT obligations under GATS.

For ‘likeness’ in the context of GATS, the panel on *European Communities—Regime for the Importation, Sale and Distribution of Bananas (EC-Banana III)*¹¹⁸ ruled ‘the nature and characteristics’ as a criterion applied both to service and service suppliers.¹¹⁹ Then, the panel on *China—Certain Measures Affecting Electronic Payment Services*¹²⁰ suggested that the criteria of ‘likeness’ in terms of NT as ‘the competitive relationship of the services being compared.’¹²¹ The panel further suggested ‘a case-by-case basis’ determination is necessary for ‘like service suppliers,’

111 Fukunaga (n 40) 42–43.

112 Davey (n 59) 350.

113 Fukunaga (n 40) 42–43.

114 Bosshe and Zdouc (n 78) 583–600.

115 *ibid* 664–71.

116 Matsushita, Shoenbaum and Mavroidis (n 18) 364.

117 *ibid* 344.

118 *European Communities—Regime for the Importation, Sale and Distribution of Bananas*, WT/DS27/R/ECU, WT/DS27/R/GTM, WT/DS27/R/HND, WT/DS27/R/MEX, WT/DS27/R/USA, Reports of the Panel, 22 May 1997.

119 *ibid* 7.322.

120 *China—Certain Measures Affecting Electronic Payment Services*, WT/DS413/R, Panel Report, 16 July 2012.

121 *ibid* 7.702.

diverging from the approach taken in *EC-Banana III*.¹²² In *Argentina—Measures Relating to Trade in Goods and Services (Argentina-Financial Services)*, the panel¹²³ ruled that the same criteria for determining ‘likeness’ could be applied for MFN and NT obligations under GATS, since both are ‘based on the competitive relationship.’¹²⁴ This idea was also followed by its Appellate Body.¹²⁵

Regarding the MFN treatment under GATS, the *EC-Banana III* Appellate Body ruled that “‘treatment no less favourable’ in Article II:1 of the GATS should be interpreted to include *de facto*, as well as *de jure*, discrimination’ and distinguished MFN and NT obligations.”¹²⁶ However, the panel on *Argentina-Financial Services* treated MFN and NT obligations similarly when interpreting the phrase ‘treatment no less favourable.’¹²⁷ The Appellate Body reaffirmed the application of the same criteria for Articles II and XVII in determining ‘like service and service supplier.’¹²⁸

For NT obligations under GATS, the *EC-Banana III* Appellate Body rejected the ‘aim and effects’ test since ‘no comparative provision’ for protecting domestic products existed.¹²⁹ However, in *China—Measures Affecting Trading Rights and Distribution Services for Certain Publications and Audiovisual Entertainment Products*, the panel¹³⁰ considered that jurisprudence based on GATT Article III:4 ‘is relevant also to an analysis under Article XVII of GATS.’¹³¹ In *Argentina-Financial Services*, the Appellate Body stated that NT obligation under GATS ‘requires a Member to refrain from upsetting or distorting the existing market conditions and opportunities in favour of domestic services and service suppliers.’¹³²

As recognized by the panel on *Argentina-Financial Services*, member’s non-discriminatory obligations under GATS allow for certain ‘flexibilities’ to balance obligations and commitments.¹³³ Nicolas F. Diebold’s detailed study on non-discrimination in trade in services highlights the difficulty of developing consistent criteria for determining violations through WTO jurisprudence, considering the differences between obligations in trade in goods and trade in services.¹³⁴

IV. Principles of Non-Discrimination and Trade-Related Aspects of Intellectual Property Rights (Annex 1C)

In addition to trade in goods and services, the TRIPS Agreement was introduced as Annex 1C of the WTO agreements. Unlike GATT and GATS, the intellectual property rights field had already developed international systems with corresponding treaties since the 19th century.¹³⁵ As early

122 *ibid* 7.705.

123 *Argentina—Measures Relating to Trade in Goods and Services*, Panel Report, WT/DS453/R, 30 September 2015.

124 *ibid* 7.161.

125 *Argentina—Measures Relating to Trade in Goods and Service*, WT/DS453/AB/R, Appellate Body Report, 14 April 2016, 6.22–6.24.

126 *European Communities—Regime for the Importation, Sale and Distribution of Bananas*, WT/DS27/AB/R, Appellate Body Report, 9 September 1997, 231–234.

127 WT/DS453/R 7.197–7.220.

128 WT/DS453/AB/R 6.38–6.40.

129 WT/DS27/AB/R 241.

130 *China—Measures Affecting Trading Rights and Distribution Services for Certain Publications and Audiovisual Entertainment Products*, WT/DS363/R, Panel Report, 12 August 2009.

131 *ibid* 7.1131–7.1132.

132 *ibid* 6.144–145.

133 *ibid* 6.112–6.127.

134 Nicolas F. Diebold, *Non-Discrimination in International Trade in Services* (CUP 2010) 69.

135 Van den Bossche and Zdouc (n 73) 953.

as 1883, the Paris Convention for the Protection of Industrial Property, which included precise clauses on NT, was adopted.¹³⁶ To date, 25 universally applicable treaties on intellectual property have been in force. In 1967, the World Intellectual Property Organization (WIPO) was created as one of the specialized agencies of the United Nations to promote and oversee such treaties, with the prospect of adding WIPO Treaty on Intellectual Property, Genetic Resources, and Associated Traditional Knowledge adopted in 2024.

Initially, the inclusion of intellectual property within the WTO framework was questioned owing to concerns about redundancy. However, the United States argued that intellectual property rights infringement could be considered ‘a barrier to trade in that the availability of such goods diminishes market access for legitimately traded goods.’¹³⁷ Driven by such concerns, intellectual property issues were successfully incorporated into the Uruguay Round agenda.

The TRIPS Agreement covers seven categories of intellectual property: copyright and related rights, trademarks, geographical indications, industrial designs, patents, layout-designs (topographies) of integrated circuits, and protection of undisclosed information. Additionally, the agreement stipulates that existing obligations and exceptions permitted under prior intellectual property shall not be derogated.¹³⁸

As part of the WTO agreements, the TRIPS Agreement incorporates the principles of non-discrimination. However, in TRIPS, NT takes precedence as it has historically been a key issue in intellectual property. Article 3.1 of TRIPS, titled ‘National Treatment,’ stipulates as follows:

1. Each Member shall accord to the nationals of other Members treatment no less favourable than that it accords to its own nationals with regard to the protection of intellectual property . . .

Unlike NT, MFN treatment has not been included in multilateral intellectual property conventions. Instead, bilateral agreements were commonly used to regulate intellectual property, often favouring US and European rights holders. During the TRIPS negotiations, MFN obligations were considered an opportunity to rectify the imbalance for Asian countries that were compelled to accept disadvantages. Japan took the lead in advocating, and MFN treatment was successfully included in the TRIPS Agreement with the backing of middle-power and small countries.¹³⁹

Titled ‘Most-Favoured-Nation Treatment,’ Article 4 of the TRIPS stipulates as follows:

With regard to the protection of intellectual property, any advantage, favour, privilege or immunity granted by a Member to the nationals of any other country shall be accorded immediately and unconditionally to the nationals of all other Members . . .

The jurisprudence surrounding NT and MFN obligations under the TRIPS Agreement has evolved through WTO dispute settlement cases. In *United States—Section 211 Omnibus Appropriations*

136 The authentic text of Paris Convention of 1883 is French, and English text is referred at Official Translation to English at World Intellectual Property Organization (WIPO) HP <https://www.wipo.int/wipolex/en/text/288514#P71_4054> accessed 19 November 2024.

137 Matsushita, Shoenbaum and Mavroidis (n 18) 397.

138 TRIPS Agreement, Articles 2.2, 3.1, and 4.

139 Komuro Norio, *Kokusaiketzaiho* (International Economic Law) (Toshindo 2007) 570–71.

Act of 1998 (US—Section 211 Appropriations Act),¹⁴⁰ the Appellate Body ruled that WTO members have an obligation ‘to provide protection to trade names’ even in the absence of explicit indications within the Agreement.¹⁴¹ This decision overturned a same panel ruling, which had relied on the TRIPS Agreement’s clauses and *travaux préparatoires*.¹⁴²

With focus on NT obligations under the TRIPS Agreement, the panel decision in *Indonesia-Autos* ruled that the maintenance of trademark rights did not ‘construe the national treatment obligation of the TRIPS Agreement.’¹⁴³ However, in *US—Section 211 Appropriations Act*, the panel determined that ‘effective equality of opportunities’ was a relevant criterion for NT assessment.¹⁴⁴ The panel on *European Communities—Protection of Trademarks and Geographical Indications for Agricultural Products and Foodstuffs (EC-Trademarks and Geographical Indications)*¹⁴⁵ ruled that the EC regulation was inconsistent with NT obligations concerning equivalence and reciprocity conditions.¹⁴⁶

With focus on MFN obligations under the TRIPS Agreement, the panel on *US—Section 211 Appropriations Act* initially ruled that the Act was consistent with Article 4 as it ‘d[id] not discriminate between Cuban nationals and other foreign nationals in respect of trademarks.’¹⁴⁷ However, the Appellate Body overturned this decision, holding that US administrative measures could not ‘offset in each and every case the discriminatory treatment’ imposed by the Act.¹⁴⁸ Additionally, in *EC-Trademarks and Geographical Indications (US)*, the panel clarified that the ‘protection’ of intellectual property falls within the MFN obligation’s scope under Article 4 of the TRIPS Agreement. It further emphasized that the MFN principle ‘generally only has an independent application.’¹⁴⁹

V. Current Challenges: The Utilization of ‘Exceptions’ and ‘Unilateral Economic Coercive Measures’

Approximately 30 years after its establishment, the WTO faces numerous challenges. Among them, the overuse and misuse of exceptions in WTO law are particularly concerning, as they risk nullifying non-discrimination obligations in the future. One instance is the increasing number of Regional Trade Arrangements (RTA), including mega-FTAs, based on GATT Article XXIV.¹⁵⁰ While these agreements stem from the long-term failure of multilateral decision-making at the

140 *United States—Section 211 Omnibus Appropriations Act of 1998*, WT/DS176/AB/R, Appellate Body Report, 2 January 2002.

141 *ibid* 333–40. Matsushita supports this view. Matsushita Mitsuo, ‘Beikoku no 1998nenn Omunibasusaishutu Ho’ (Omnibus Appropriations Act of 1998 by the US) in Matsushita Mitsuo, Shimizu Akio and Nakagawa Jyunji, *Casebook WTO Ho* (Casebook on WTO Law) (Yuhikaku, 2009) 229.

142 *United States—Section 211 Omnibus Appropriations Act of 1998*, WT/DS176/R, Panel Report, 6 August 2001, 8.20–8.41.

143 *Indonesia-Autos*, 14.272–14.273.

144 WT/DS176/R (n 142) 8.131.

145 *European Communities—Protection of Trademarks and Geographical Indications for Agricultural Products and Foodstuffs*, WT/DS174/R (US), WT/DS290/R (Australia), Panel Reports, 15 March 2005.

146 WT/DS174/R 7.213, 7.258–7.281.

147 WT/DS176/R (n 142) 8.141–8.148.

148 WT/DS176/AB/R (n 140) 297–319. (emphasis original).

149 WT/DS174/R, (n 145) 7.699–7.702.

150 The number of RTA notified to WTO jumps up to 615. World Trade Organization, Regional Trade Agreements Database, ‘RTAs Currently in Force, 1948–2025’ <<https://rtais.wto.org/UI/charts.aspx>> accessed 1 February 2025.

WTO, they have contributed to the so-called ‘spaghetti bowl’ phenomenon,¹⁵¹ which threatens to fragment international trade law and potentially undermine the fundamental principle of non-discrimination within the WTO framework.

Another instance is GATT Article XXI allowing trade restrictions to be justified on the grounds of national security, as the realization of ‘unrestricted warfare’¹⁵² and proliferation of ‘securitization of everything’ notion¹⁵³ gradually allow governments to restrict trade or take retaliatory actions for ‘essential security interests’ of their own. A typical example is ‘military-civil fusion’ development policy prioritized by the Chinese President Xi Jinping since 2015,¹⁵⁴ and corresponding US trade restriction against a leading Chinese information and communication technology company *Huawei Technologies* for its ‘national security’ reasons.¹⁵⁵ Additionally, as China’s trade restriction on ‘dual-use items’ in 2024¹⁵⁶ suggests, the boundaries between civil-use in peacetime and military-use in wartime are gradually eroding. Thus, theoretically, any governments could claim the consistency with non-discrimination principles in WTO law if they can successfully justify their trade restrictions in any products and technologies as for their national security reasons.

In this regard, the panel on *United States—Certain Measures on Steel and Aluminium Products*¹⁵⁷ ruled that the additional duties and related measures by the US could not be regarded as measures provided in Article XXI.¹⁵⁸ However, in other cases, such as *United States—Certain Measures on Steel and Aluminium Products (EU)*¹⁵⁹ and *Japan—Measures Related to the Exportation of Products and Technology to Korea*,¹⁶⁰ members preferred to take solutions by mutual agreements and left the legal arguments unsolved. These facts show that, in the field of ‘security,’ political consideration and sovereignty still matter. The vagueness of ‘essential security interests’ has remained unchanged since the preparatory period of GATT 1947.¹⁶¹

Other area of concern is the overuse and misuse of unilateral coercive economic measures for political purposes. A notable example is the USA’s recent use of unilateral trade actions.¹⁶² These actions seem to echo the interwar period’s beggar-thy-neighbour policies, which ultimately contributed

151 Jagdish Bhagwati, ‘US Trade Policy: The Infatuation with FTAs’ Remarks Made at the American Economic Association Meetings, January 1995, Washington, DC, 4.

152 Qiao Liang and Wang Xiangsui, *Unrestricted Warfare* (Echo Point Books & Media, 2015) 5–6.

153 For the detailed description and development path of this idea, see Hitoshi Nasu, ‘The Global Security Agenda: Securitization of Everything?’ in Robin Geiß and Nils Melzer (eds), *The Oxford Handbook of the International Law of Global Security* (OUP 2021) 36–53.

154 Asano Ryo and Tsuchiya Takahiro, *Shu Kinpei no Gunjisenryaku* (The Military Strategy of Xi Jinping) (2023 Fuyoshobo).

155 *Federal Register* (US) (21 May 2019) 22961–68. For ‘technological blockade’ as an example of retaliatory actions against China, see Joel Wuthnow, ‘Getting to World Class: Can China’s Military Persevere?’ (March 2024) 79 *China Leadership Monitor* 8–11.

156 The State Council, the People’s Republic of China ‘China issues regulations on export control of dual-use items’ (19 October 2024) <https://english.www.gov.cn/policies/latestreleases/202410/19/content_WS67139778c6d-0868f4e8ec188.html>. The original text of the legislation is provided <https://www.gov.cn/gongbao/2024/issue_11686/202411/content_6985161.html> accessed 12 March 2025.

157 *United States—Certain Measures on Steel and Aluminium Products*, WT/DS544/R Panel Report, 9 December 2022.

158 *ibid* 8.1.e.

159 DS548 *United States—Certain Measures on Steel and Aluminium Products (US—Steel and Aluminium Products (EU))*.

160 DS 590 *Japan—Measures Related to the Exportation of Products and Technology to Korea (Japan—Products and Technology (Korea))*.

161 GATT Secretariat (n 54) 554.

162 The Inaugural Address, 20 January 2025 <<https://www.whitehouse.gov/remarks/2025/01/the-inaugural-address/>> accessed 1 February 2025.

to the outbreak of World War II. To prevent such worst-case scenarios, the non-discrimination principle—fundamental to global peace—must serve as a safeguard against the extreme weaponization of trade.

Conclusion

From the earliest records of interregional trade and its legal regulation (*ubi commercium, ibi ius*),¹⁶³ the non-discrimination principle has been the foundation of WTO law and is widely recognized as ‘a cornerstone’ of international economic law.¹⁶⁴ Under the relevant GATT/WTO provisions, MFN and NT obligations have helped maintain a fair and open trading system among members, evolving through consistent practice.

As early as 1989, one of the pioneers of International Economic Law, John Jackson predicted trade regionalism’s rise through the use of Article XXIV exceptions and a US trade policy of ‘rewarding friends.’¹⁶⁵ Today, his predictions have materialized. While the WTO is facing significant challenges, the principles of non-discrimination must be upheld to ensure global stability. The reality may be challenging, but knowledge is a powerful tool to address the system’s vulnerabilities and preserve peace for the future.

163 Ernst-Ulrich Petersmann, ‘World Trade, Principles’ in *Max Planck Encyclopaedia of Public International Law* (OUP 2023) para 1.

164 Diebold (n 17) 831.

165 Jackson, *The World Trading System* (n 24) 145–48.

TRADE IN SERVICES

Iveta Alexovičová

Introduction

In the most recent Ministerial Declaration, members of the World Trade Organization (WTO) highlighted the importance of services to the global economy, emphasizing that services create over two thirds of the world economic output and more than half of jobs globally.¹ Indeed, rapid technological developments in recent decades have led to a profound shift in the structure of economies at all levels of development, with services becoming globally more dominant than manufacturing and agriculture combined, offering increasing benefits also to traditionally economically disadvantaged groups such as women, youth, and micro, small, and medium-sized enterprises.² While the ratio of services' share in gross domestic product (GDP) and in employment increases with the income level of the country, it has grown in countries at all income levels.³ Apart from the importance for countries' GDP and employment, services are indispensable for the overall functioning of the economy. The information and communication services, financial and transportation services are but a few examples of 'infrastructural' services a modern economy cannot operate without.⁴

From the perspective of international trade too, services have begun to dominate the scene, having become its 'most dynamic component.'⁵ While the surge in trade in goods peaked around 2008, this has not been the case for trade in services. The latter has continued to expand, surpassing in growth its counterpart in goods.⁶ This trend is likely to continue, arguably debunking

1 WTO, Abu Dhabi Ministerial Declaration, WT/MIN(24)/DEC, 4 March 2024, para 18.

2 Martin Roy and Pierre Sauvé, *Trade in Services for Development, Fostering Sustainable Growth and Economic Diversification* (World Bank and WTO 2023) chapter 1 (also noting, at 17, that in 2021 as much as 59% of women were employed in services worldwide, compared to 45% of men in the same year and to 44% of women two decades ago).

3 *ibid* chapter 1.

4 *ibid* 18.

5 *ibid* 8, 11.

6 Between 1990 and 2019, trade in services increased by about 15 times whereas trade in goods only about 9 times. See Richard Baldwin, Rebecca Freeman and Angelos Theodorakopoulos, 'Deconstructing Deglobalization: The Future of Trade is in Intermediate Services' (2024) 19 *Asian Economic Policy Review* 18, 22.

the allegations of deglobalization.⁷ Apart from infrastructural services mentioned, other ‘modern’ services, such as business services, often delivered digitally, are likely to grow further in volume and significance, especially at the intermediary (business-to-business) level.⁸ Economists argue that services are ‘the future of trade’⁹ and are now a more likely path to economic growth and development than manufacturing.¹⁰ Moreover, productivity gains in other industries, including manufacturing, agriculture, and extractive industries, will be more than ever determined by effective access to services.¹¹

Hence, although the share of services in global trade has not reached that of goods, their importance clearly has. In added value terms, services even account for a half of the global trade already, with digitally delivered services representing more than half of the services exports.¹² The potential of services and services trade for economic development has not gone unnoticed by academics¹³ and policymakers, challenging the traditional assumption that services are—due to their nature—and/or should be—due to policy reasons—less tradable than goods.

The distinct nature of services lies in their intangible character and inherent connection to the provider. The content and the quality of the service will always be contingent on that of its supplier. For example, legal advice or a haircut will depend on, and only be as good as, the advisor and the hairdresser. Moreover, the supply of a service may require physical proximity between the service supplier and the consumer—the already mentioned haircut cannot be done otherwise. Achieving this proximity by movement of service providers across country borders touches upon highly sensitive and complex issues of migration, which are typically densely regulated in every country.

In addition, to ensure the quality and safety of services provided in their territory, countries impose various regulatory conditions before authorizing access of foreign services and service suppliers to their market, such as qualification requirements. If they are country-specific, such requirements lead to ‘regulatory heterogeneity’¹⁴ or ‘regulatory diversity,’¹⁵ which may make the service concerned *de facto* less or not tradable, even where the need for physical proximity does not stand in the way. Although justified by legitimate policy reasons, the regulatory heterogeneity comes with trade costs and is easily susceptible to serve disguised protectionism goals.¹⁶

Over the past few decades, much has changed in respect of trade in services due to the digitalization of the worldwide economy. The degree of services’ natural non-tradability has diminished

7 *ibid* 18, 35.

8 *See ibid.*

9 Roy and Sauv   (n 2), Foreword by Ngozi Okonjo-Iweala, Director-General World Trade Organization, and Ajay Banga, President World Bank Group, 2. For earlier endorsements of the argument that the future of trade is in trade in services, see Baldwin, Freeman and Theodorakopoulos (n 6).

10 Roy and Sauv   (n 2) 7. *See also* Richard Baldwin and Rikard Forslid, ‘Globotics and Development: When Manufacturing Is Jobless and Services Are Tradeable’ (2023) 22 *World Trade Review* 302.

11 Roy and Sauv   (n 2) 10.

12 *ibid* 11.

13 Pushpa Suryavanshi, ‘Trade in Services and Economic Development’ (2014) 1 *SSARSC International Journal of Geo Science and Geo Informatics* 1.

14 Alan O Sykes, ‘The (Limited) Role of Regulatory Harmonization in International Goods and Services Markets’ (1999) 2 *JIEL* 49.

15 Federico Ortino and Emily Lydgate, ‘Addressing Domestic Regulation Affecting Trade in Services in CETA, CPTPP, and USMCA: Revolution or Timid Steps?’ (2019) 20 *JWIT* 680, 681. *See also* Panagiotis Delimatsis, *International Trade in Services and Domestic Regulation: Necessity, Transparency, and Regulatory Diversity* (OUP 2007).

16 Sykes (n 14) 50.

and/or been suppressed by the number and/or volume of services capable of being delivered digitally. While not possible for all types of services (e.g. hairdressing), the data show that the ratio of services traded cross-border, thus without a physical movement of either the service supplier or the consumer, has been steadily growing, from 23% in 2005 to almost 35% in 2022 worldwide exports, with the largest share of 58% of exports for the least developed countries.¹⁷

Digitalization has clearly removed important natural obstacles to trade in services, rendering regulatory barriers ever more impactful. The incentive to address the latter in order to materialize the potential of trade in services for the economic growth has resulted in an increased engagement of policymakers, including in countries previously less open to liberalization of trade in services.¹⁸ At the same time, engagement through autonomous domestic policy measures is said to outweigh considerably countries' readiness to commit at the negotiating table, particularly in a multilateral setting.¹⁹ This is regrettable as multilateral rules are more apt to prevent unjustified regulatory heterogeneity and thus unnecessary trade disruption.²⁰

The existing multilateral agreement on trade in services, the WTO's General Agreement on Trade in Service (GATS),²¹ acknowledges this issue but does not address it sufficiently. Concluded *de facto* more as a framework agreement, the GATS provides for the basic structure and principles for the liberalization of trade in services among WTO members but leaves several issues—including this one—open for future negotiations. The current chapter discusses the outcome of these negotiations, reached relatively recently. It thereby complements chapters in this *Volume* discussing other specific issues of direct relevance to trade in services, such as non-discrimination, market access, exceptions, digital trade, or regionalism.²²

The chapter begins by briefly outlining the GATS general approach to trade barriers, followed by concentrating specifically on regulatory barriers. The chapter then turns to the outcome of the recently concluded negotiations on services domestic regulation and subsequently those on investment facilitation. Although the chapter focuses on trade, service providers that establish a commercial presence in another WTO member's territory—essentially through foreign direct investment—are covered by the GATS. As such, they are directly influenced by both trade and investment policies of WTO members. The chapter concludes by highlighting the shift in the members' policymaking away from substance to procedural facilitation of trade and investment.

GATS' General Approach to Trade Barriers

Just like its half-century older counterpart in goods, the General Agreement on Tariffs and Trade (GATT),²³ the GATS is based on the presumption that the expansion of trade leads to economic

17 WTO, Trade in Services by Mode of Supply (TISMOS) dataset <www.wto.org/english/res_e/statis_e/gstdh_mode_supply_e.htm> accessed 30 May 2024.

18 Pierre Sauvé, 'To Fuse, Not to Fuse, or Simply Confuse? Assessing the Case for Normative Convergence Between Goods and Services Trade Law' (2019) 22 JIEL 355, 357.

19 *ibid* 357.

20 This does not necessarily entail the international harmonization of applicable rules; it could also be done e.g. by developing disciplines that reduce adverse trade impact of domestic regulation or by mutual recognition of rules developed in other countries for the same policy reasons. For an elaboration of each of these options, see Sykes (n 14).

21 General Agreement on Trade in Services, Annex 1B of the Agreement Establishing the World Trade Organization, 1869 UNTS 183 (GATS).

22 See Chapters 7, 8, 12, 17 and 18 in this volume.

23 General Agreement on Tariffs and Trade 1994, Annex 1A of the Agreement Establishing the World Trade Organization, 1867 UNTS 190 (GATT).

growth and fosters development. Accordingly, it envisages the progressive liberalization of trade in services²⁴ by reducing trade barriers and eliminating discrimination.²⁵ Hence, like the GATT, the GATS prohibits (certain) market access barriers to trade in services and requires both the most-favoured-nation (MFN) treatment and the national treatment (NT).²⁶

That said, ‘separated at birth’²⁷ from the GATT, the GATS is far from a GATT duplication, reflecting the distinctive nature of (trade in) services, but also the lack of available data, experience, and readiness during the GATS negotiations of both developing and developed countries to undertake obligations in politically sensitive areas. Reportedly, many GATS negotiators regarded trade in services as too complex and abstract. They found it challenging even to delineate their own country’s position given the difficulty to align the views of various domestic ministries, departments, and agencies in charge of different affected sectors.²⁸

The need to account for ‘the regulatory intensity’²⁹ of trade in services further explains why negotiators chose a distinct path for the GATS compared to the WTO agreements on trade in goods. The GATS is pervaded by the state desire to maintain a broad policy space. Uniquely among WTO agreements, the GATS preamble expressly recognizes the members’ right to regulate with a view of achieving (any) national policy objectives.³⁰ The right to regulate is also reflected in various GATS provisions, beyond the usual exceptions that characterize the GATT. As stressed by the Appellate Body in *Argentina—Financial Services*, WTO members are free to exercise their regulatory freedom within the GATS flexibilities (and outside the GATS scope). The available exceptions become relevant only when a member’s measure contradicts the GATS obligation.³¹

With regard to the GATS scope, measures affecting trade in services not provided in the exercise of governmental authority are excluded.³² Consequently, in many countries, some of the traditional public services are not subject to the GATS obligations at all and members are free to regulate these services as they wish.³³ The GATS also does not cover trade in services if provided outside the four modes of supply, which include cross-border supply (mode 1), consumption abroad (mode 2), commercial presence (mode 3), and presence of natural persons (mode 4).³⁴ It has been argued that this approach excludes e.g. services incorporated in products before the latter’s exportation,

24 GATS, Preamble, 2nd recital.

25 Agreement Establishing the World Trade Organization (WTO Agreement), 1867 UNTS 154, Preamble, 3rd recital.

26 GATS, arts XVI, II and XVII, respectively.

27 Sauvé (n 18) 356.

28 *ibid* 356–57. See also Recollections of John Drummond, Uruguay Round negotiator, expressed at the WTO Public Forum of 2021. WTO, ‘WTO JSI on Services Domestic Regulation: a MC12 Deliberable?’ (WTO Conference Services 2021) <www.youtube.com/watch?app=desktop&v=U9-qgpXX-TU> accessed 30 June 2024.

29 Sauvé (n 18) 361.

30 GATS, Preamble, 3rd and 4th recital. While the Preambles of the TBT and SPS Agreement contain a similar expression, in both cases such reference is limited and linked to the purpose and scope of the agreement. See Agreement on Technical Barriers to Trade and Agreement on the Application of Sanitary and Phytosanitary Measures, Annex 1A of the Agreement Establishing the World Trade Organization, 1868 UNTS 120 and 1867 UNTS 493, Preambles, 6th and 1st recital, respectively.

31 Appellate Body Report, *Argentina—Measures Relating to Trade in Goods and Services*, WT/DS453/AB/R, adopted 9 May 2016, para 6.114.

32 GATS, art I:3(c).

33 On public services and the GATS, see e.g. Rudolf Adlung, ‘Public Services and the GATS’ (2006) 9 JIEL 455.

34 GATS, art. I:2.

which are subject to the GATT but should rather be recognized as a separate ‘mode 5’ category under the GATS.³⁵

In the services sectors that are covered by the GATS, few binding obligations exist, and provisions on some matters regulated in the GATT or other multilateral agreements on trade in goods, like subsidies or safeguards, are missing. Furthermore, numerous annexes attached to the GATS provide for specific provisions on highly sensitive (e.g. movement of natural persons) or sector-specific issues (e.g. financial and telecommunication services), instead of, or in addition to, the framework provided by the GATS itself.³⁶

The design of the core obligations included in the GATS is perhaps the strongest reflection of the members’ desire to maintain a broad policy space in respect of trade in services. Following a three-pronged approach to effective access to services markets,³⁷ the GATS distinguishes between (i) discriminatory measures (both quantitative and qualitative) and for non-discriminatory measures a distinction is made between (ii) quantitative and (iii) qualitative barriers to trade. *Discriminatory* measures, whether quantitative or qualitative, are in principle prohibited under the GATS, similarly as under the GATT, although under the GATS members may prevent the application of the obligation to any specific services sector or mode of supply. This can be done by recording one-off exemptions to the most-favoured-nation (MFN) treatment³⁸ or by not making a commitment to the national treatment (NT) obligation.³⁹ *Non-discriminatory quantitative* barriers to trade are also prohibited by the GATS but here too a member’s commitment in the relevant sector and mode of supply is required for the prohibition to apply. Moreover, the prohibition is more limited than under the GATT, covering only precisely defined types and form of quantitative restrictions (QRs).⁴⁰

It has been noted that QRs are the only market access barriers that can regulate the quantity of foreign services and service suppliers because, unlike with goods, tariffs are not readily available to services trade.⁴¹ Considering the significant political sensitivities surrounding the potential admission of foreign investments (falling under mode 3) and foreign persons (mode 4), as well as the need to reflect distinct challenges with market liberalization in very diverse services sectors,⁴² it is unsurprising that the GATS leaves much discretion to WTO members to decide in trade negotiations with other members the extent of quantitative market access they wish to permit, per (sub) sector and mode of supply. At the same time, to achieve its objective of progressive liberalization

35 See Lucian Cernat and Zornitsa Kutlina-Dimitrova, ‘Thinking In a Box: A Mode 5 Approach To Service Trade’ (2014) Chief Economist Note 1 <<https://ssrn.com/abstract=4735348>> accessed 4 June 2024.

36 As explained by Ortino and Lydgate, these sectoral arrangements either limit the GATS scope, or provide for additional rules and disciplines or for the mandate for further negotiations. See Ortino and Lydgate (n 15) 685.

37 Aaditya Mattoo and Pierre Sauvé, ‘Domestic Regulation and Trade in Services: Key Issues’ in Aaditya Mattoo and Pierre Sauvé (eds), *Domestic Regulation and Service Trade Liberalization* (World Bank and OUP 2003) 3.

38 GATS, art II:2. See also Rudolf Adlung and Antonia Carzaniga, ‘MFN Exemptions under the General Agreement on Trade in Services: Grandfathers Striving for Immortality?’ (2009) 12 JIEL 357.

39 GATS, art XVII:1.

40 GATS, art XVI:2(a)-(f).

41 Supply of a service in mode 1 is an exception but even there tariffs are typically not imposed, arguably due to the difficulties with monitoring of the transactions. See Robert W Staiger and Alan Sykes, ‘The Economic Structure of International Trade-in-Services Agreements’ (2019) Stanford Law and Economics Olin Working Paper No 552, 6 <<https://ssrn.com/abstract=3617200>> accessed 30 June 2024. Note, however, the ongoing discussion on the possible introduction of tariffs on electronic transmissions which could affect both trade in goods and in services. See WTO, Work Programme on Electronic Commerce, Ministerial Decision, WT/MIN(24)/38 WT/L/1193, adopted 2 March 2024.

42 Sauvé (n 18) 362.

of trade in services, the GATS calls for the negotiation of further commitments, both on market access and national treatment.

When it comes to *non-discriminatory qualitative* requirements, referred to as ‘domestic regulation’ in the GATS, these are distinguished from both discriminatory as well as quantitative measures.⁴³ Although domestic regulation may, and often does, limit access of foreign services and service suppliers to the market, it is recognized as a legitimate means through which members may pursue their policy objectives. Safeguarding this regulatory autonomy is a necessary precondition for any liberalization of services trade, past and future.⁴⁴ Nonetheless, because divergent domestic regulation results in regulatory heterogeneity, members have agreed to negotiate common disciplines to prevent that domestic regulation becomes an unnecessary obstacle to trade. As the negotiations leading to the inception of the GATS failed to reach an agreement on such disciplines, the GATS only provides a mandate for future negotiations and a set of general disciplines applicable in the meantime. They are briefly outlined in the following section.

GATS’ Disciplines on Domestic Regulation

The GATS contains several obligations on domestic regulation, some of general application and others limited to committed sectors. There are obligations of good administration, like those found in the GATT, and there are obligations reflecting the specific nature of services trade and the GATS itself.

For the former, apart from the general transparency obligation requiring *inter alia* advanced publication of all relevant measures of general application relating to or affecting trade in services and establishment of enquiry points,⁴⁵ members must also provide for a prompt, objective and impartial review opportunity for administrative decisions affecting trade in services.⁴⁶ Moreover, in committed sectors, measures of general application must be administered in a reasonable, objective and impartial manner,⁴⁷ and applicants requesting authorization to supply a service must be informed about the decision and, upon request, the status of their application.⁴⁸

43 Drawing a line between quantitative and qualitative measures has proven to be at times difficult as in the US-Gambling dispute, with the decision criticized e.g. in Joost Pauwelyn, ‘Rien ne Va Plus? Distinguishing Domestic Regulation from Market Access in GATT and GATS’ (2005) 4 WTR 131. See also Gilles Muller, ‘Troubled Relationships under the GATS: Tensions between Market Access (Article XVI), National Treatment (Article XVII), and Domestic Regulation (Article VI)’ (2017) 16 WTR 449.

44 WTO, Trade in Services Division, ‘The General Agreement on Trade in Services, An Introduction’ INT/SUB/SERV/324 (2022) 11 <www.wto.org/english/tratop_e/serv_e/gsintr_e.pdf> accessed 25 May 2024. See also Aik Hoe Lim and Bart De Meester (eds), *WTO Domestic Regulation and Services Trade: Putting Principles into Practice* (CUP 2014) pt III (discussing case studies confirming this view).

45 GATS, arts III:1 and 4. For a detailed commentary on this provision, see Panagiotis Delimatsis and Olia Kanevskaia Whitaker, ‘Transparency in Trade in Services—A Legal Commentary of Article III GATS’ (2023) SSRN <<https://ssrn.com/abstract=4474245>> accessed 30 June 2024 (explaining that the GATS transparency obligation is narrower compared to that of other WTO agreements including the GATT, TBT and SPS Agreements.)

46 GATS, art VI:2(a).

47 GATS, art VI:1. Note that a distinction must be made between the content of the measures of general application and their administration. Only the latter is subject to the obligation of being ‘reasonable, objective and impartial,’ not the former. See Panagiotis Delimatsis, *International Trade in Services and Domestic Regulation: Necessity, Transparency, and Regulatory Diversity* (OUP 2007) 96–103.

48 GATS, art VI:3. For a useful discussion of this provision—and other parts of GATS Art VI—see Panagiotis Delimatsis, ‘Due Process and ‘Good’ Regulation Embedded in the GATS—Disciplining Regulatory Behaviour in Services Through Article VI of the GATS’ (2007) 10 JIEL 13.

The obligations reflecting the specific nature of trade in services relate especially to the authorization process for the service suppliers. In that context, in both committed and non-committed sectors, members are encouraged—though not required—to recognize qualifications obtained abroad, unilaterally or by a mutual agreement. This can be done even just in respect of a particular country or countries if an adequate opportunity is given to other interested members to negotiate a comparable agreement or demonstrate comparability of their qualification. This is to avoid discrimination or disguised trade restriction. In any case, recognition should be based on multilaterally agreed criteria, ‘wherever appropriate,’ and be notified to the WTO.⁴⁹

With regard to technical standards, qualification and licensing requirements or procedures though in *committed* sectors only, and pending the conclusion of the mentioned negotiations, the GATS requires members not to apply such requirements that nullify or impair their commitments in a way that could not have been reasonably expected when the commitments were made *and* (i) would not be based on objective and transparent criteria, (ii) be more burdensome than necessary to ensure the quality of the service, and/or (iii) in case of licensing procedures, be in themselves a restriction of the service supply.⁵⁰

These provisions clearly resemble the ‘beyond non-discrimination’ approach also used in the WTO’s Agreement on Technical Barriers to Trade, which applies to trade in goods and requires technical requirements to be not more trade restrictive than necessary.⁵¹ When exercising their right to control the quality of services and their providers, or to pursue any other legitimate policy objective, members are expected to act not just without discrimination but also only to the extent necessary, mindful of the impact of their regulatory action on trade. Together with transparency, necessity is a core ‘tool’ used by the GATS to ensure balance between members’ regulatory autonomy and trade liberalization, ideally distinguishing justified regulation of services from protectionism.⁵² Although the standard applicable to this necessity requirement is not entirely clear,⁵³ it is the main substantive obligation provided by the GATS in respect of members’ domestic regulation alongside the generic requirement of using objective criteria. As shown in the following section, the post-GATS negotiations on domestic regulation have revealed members’ reluctance to accept this ‘balancing’ requirement in the long term.

Post-GATS Developments on Domestic Regulation

The negotiations on disciplines that would ensure that technical standards, qualification, and licensing requirements or procedures do not constitute unnecessary barriers to trade, mandated by the GATS, started early onwards and were later integrated in the Doha Development Round of negotiations, eventually sharing the round’s general failure to achieve required consensus on any negotiated issue. The only successful outcome was reached before the Doha Round, in fact. Back in 1998, the Council for Trade in Services approved the Disciplines on Domestic Regulation in the

49 GATS, art VII.

50 GATS, arts VI:4 and 5.

51 Erich Vranes, ‘The WTO and Regulatory Freedom: WTO Disciplines on Market Access, Non-Discrimination and Domestic Regulation Relating to Trade in Goods and Services’ (2010) 12 JIEL 953, 968.

52 Delimatsis, *International Trade in Services and Domestic Regulation* (n 47) 1.

53 Ortino and Lydgate (n 15) 690; Panagiotis Delimatsis, ‘Who’s Afraid of Necessity? And Why It Matters?’ in Hoe Lim and De Meester (n 44) 95–109.

Accountancy Sector,⁵⁴ which served as a pilot for subsequent negotiations of horizontal disciplines that would be applicable to all services sectors.

Because of the Doha stalemate, however, just like for other issues, negotiations proceeded more expeditiously outside the WTO in the context of preferential trade agreements (PTAs), and since 2017 also within the WTO as a plurilateral initiative on services domestic regulation. Another attempt to negotiate a plurilateral Trade in Services Agreement (TiSA), conducted between 2013 and 2016 and involving 23 members—representing 70% of global trade in services, including the US and the EU but not India, Brazil, and China—stalled after the 2016 US presidential elections. TiSA negotiations concerned market access but also the rules and disciplines governing trade in services. While negotiated outside the WTO, TiSA was to be incorporated in the GATS in the future.⁵⁵

With respect to traditional PTAs concluded by various WTO members, many initially did not go beyond the GATS disciplines on domestic regulation.⁵⁶ However, recent research shows the growing adoption of GATS-plus regulatory obligations by many members, at all income levels and across all regions of the world.⁵⁷ This is relatively more often the case for members also participating in the WTO joint initiative on services domestic regulation.⁵⁸

The WTO joint initiative was successfully concluded in late 2021 by the adoption of the Reference Paper on Services Domestic Regulation (the SDR Reference Paper, or the Paper).⁵⁹ By May 2024, 72 members have committed to implement the disciplines contained therein, by inscribing them as additional commitments in their individual GATS Schedules.⁶⁰ While the commitments are binding only upon the members that undertake them, and only in sectors already inscribed in each member's schedule,⁶¹ they have an MFN affect. Therefore, they potentially benefit the entire WTO membership. At the same time, the disciplines apply only to non-discriminatory qualitative requirements—and specifically 'measures by Members relating to licensing requirements and procedures, qualification requirements and procedures, and technical standards affecting trade in services,' thus not affecting members' market access (quantitative) and national treatment (discriminatory) barriers that are in line with their GATS Schedules.⁶²

54 WTO, Disciplines on Domestic Regulation in the Accountancy Sector, S/L/64, 17 December 1998.

55 Rachel F Fefer, 'Trade in Services Agreement (TiSA) Negotiations: Overview and Issues for Congress' (2017) Congressional Research Centre <<https://sgp.fas.org/crs/misc/R44354.pdf>> and <https://crsreports.congress.gov/product/pdf/IF/IF10311>> accessed 31 August 2024.

56 Panagiotis Delimatsis, 'Concluding the WTO Services Negotiations on Domestic Regulation—Hopes and Fears' (2010) 9 WTR 643, 687–88.

57 Laura Baiker, Elena Bertola and Markus Jelitto, 'Services Domestic Regulation—Locking in Good Regulatory Practices, Analyzing the Prevalence of Services Domestic Regulation Disciplines and Their Potential Linkages with Economic Performance' (2021) WTO Staff Working Paper ERSD-2021-14, s 2 <www.wto.org/english/res_e/reser_e/ersd202114_e.pdf> accessed 30 June 2024. Section 3 further shows that many WTO members have implemented a substantive number of measures in their domestic laws, with the score increasing with the level of economic development. For a useful analysis of provisions in three megaregionals, see Ortino and Lydgate (n 15).

58 Baiker, Bertola and Jelitto (n 57) 31.

59 WTO, Joint Initiative on Services Domestic Regulation, Reference Paper on Services Domestic Regulation, Note by the Chairperson, INF/SDR/1, 27 September 2021.

60 WTO, 2024 News Items, New Disciplines on Regulation of Services Trade Enter into Force for Four More Members.

61 SDR Reference Paper, s I, para 8. Note that members are encouraged to make new inscriptions in their schedules to apply the disciplines to other sectors too.

62 SDR Reference Paper, s II, paras 1 and 2. See also Elena Bertola, Jaime Coghi and Markus Jelitto, 'Facilitating Services Trade Through the Adoption of Good Regulatory Practices: The New Reference Paper on Services Domestic Regulation' (2024) 19 Global Trade and Customs Journal 74, 78.

Reiterating members' right to regulate in one of its first provisions, the SDR Reference Paper draws attention to the difficulties domestic regulatory measures cause to service providers, in particular from developing or least-developed countries.⁶³ To balance the two, the Paper sets out disciplines aimed at enhancing (i) transparency and stakeholder engagement, (ii) certainty and predictability, and (iii) the quality and efficiency of domestic regulatory measures. Each of these three pillars contains a set of obligations which are believed to represent 'good regulatory practices for services' capable of streamlining licensing and authorization procedures.⁶⁴

The obligations falling under each pillar are scattered throughout the 12-page document, and in particular its section II. Under the 'transparency pillar,' the Paper requires publication—or other availability—of information needed to obtain authorization, including about the requirements, procedure, contact point, fees, and timeframe.⁶⁵ It also mandates the establishment of a mechanism for responding to enquiries by service providers, which may be done by using the enquiry points established under the GATS already.⁶⁶ Interestingly, stakeholders are to be provided with an opportunity to comment on newly proposed measures covered by the Paper's scope, which too should be published in advance.⁶⁷

Under the second pillar, certainty and predictability of authorization procedures is to be ensured by requirements such as to process applications in a timely fashion, to provide update on the application status, to allow minor corrections, to identify additional information needed, to hold required examinations reasonably frequently, to allow reasonable time before requirements' entry into force etc.⁶⁸

The third pillar of the SDR Reference Paper aims to promote regulatory quality and efficiency by requiring, *inter alia*, a single contact point for service suppliers, acceptance of electronic applications and authorized copies of documents, reasonable fees, and decision-making independent of the service providers concerned. It also requires members to ensure the use of objective and transparent criteria for measures relating to the authorization and impartial and adequate procedures not unjustifiably preventing the fulfilment of the required criteria to encourage the adoption of technical standards developed through open and transparent process, to share the rationale behind measures, and to support the dialogue of professional bodies on issues relating to the recognition of professional qualifications.⁶⁹ Worth of a separate mention is that, for the first time in a WTO legal text, the Paper explicitly requires members to ensure (*de facto*) equal treatment of men and women, even though members may exclude this obligation from their additional commitments incorporating the Paper.⁷⁰

Despite certain resemblance with GATS provisions, obligations included in the SDR Reference Paper are considerably more detailed and expanded than their GATS counterparts.⁷¹ They address a broad variety of issues encountered by service suppliers when applying for authorization to access

63 SDR Reference Paper, s II, paras 2 and 3.

64 WTO, Services Domestic Regulation, Good Regulatory Practice for Services Markets Enters WTO Rulebook (SDR Factsheets) (2024) 2 <www.wto.org/english/tratop_e/serv_e/sdr_factsheet_feb24_e.pdf> accessed 30 June 2024.

65 SDR Reference Paper, s II, para 11.

66 *ibid* s II, para 20.

67 *ibid* s II, paras 14–17.

68 *ibid* s II, paras 7–8, 10 and 19.

69 *ibid* s II, paras 11, 12, 18, 21 and 22.

70 *ibid* s II, para 22; and s I, para 9.

71 For example, Art III:4 GATS requires the establishment of enquiry points but these are only available to other members, not service suppliers. Under the SDR Reference Paper, enquiry points for service providers will be set up.

the market of another member, relating to either general regulation or individual authorization processes. By attending to both, the Paper is expected to generate tangible results and significantly reduce the costs for businesses, particularly benefitting small and medium enterprises.⁷² That said, such benefits will only materialize if members implement the Paper's disciplines. This is not as straightforward as it may seem, for several reasons.

Firstly, many provisions in the Paper (about two-thirds)⁷³ are soft-law, meaning that the members are sometimes merely 'encouraged' to undertake the obligations therein and/or to do so 'to the extent practicable' or 'in a manner consistent with' their legal system or regulatory requirements or other considerations.⁷⁴ For example, with respect of requests for examinations required by members for authorization for the supply of a service, members are 'encouraged' to accept such requests in electronic format while 'having regard to the cost, administrative burden, and the integrity of the procedures involved.'⁷⁵ Secondly, the Paper provides for a possibility of adopting transitional periods up to 7 years for developing country members, reflecting their specific and self-determined needs. Least-developed country members are not expected, while cautiously encouraged, to implement the disciplines before they graduate from the status.⁷⁶ Lastly, slightly less ambitious 'alternative' disciplines may be applied to financial services, should a member so chooses, although differences seem rather minimal.⁷⁷

All these flexibilities make the extent of the benefits of the disciplines inscribed in the SDR Reference Paper—to be shared by the entire WTO membership—conditional and less certain, albeit for justifiable reasons. They are also limited by the fact that, with limited exceptions, the SDR Reference Paper does not address substantive regulatory divergence caused by differences in national requirements. One such exception relates to the recognition of professional qualifications, licensing, or registration where members are encouraged to consider supporting the dialogue of national professional bodies interested in establishing it.⁷⁸ Other than that, the Paper does not provide much to foster substantive regulatory coherence or harmonization. It also does not envisage regulatory cooperation among members that could prevent some regulatory heterogeneity by building trust and mutual understanding and/or working towards recognition, also not in a soft language often used in PTAs.⁷⁹

With the focus being procedural, on substance the SDR Reference Paper merely requires members to use objective and transparent criteria for their measures.⁸⁰ Notably, the Paper regresses from the GATS by not repeating the necessity requirement for domestic regulation, let alone defining it, or introducing a reference to international standards for members' potential consideration. This is in line with the trend observed for PTAs, which too largely pass over substantive

72 SDR Factsheets (n 64) 3.

73 Bertola, Coghi and Jelitto (n 62) 77.

74 The word 'encourage' appears 13 times, the expression 'to the extent practicable' 24 times, and the expression 'in a manner consistent with' usually 'its legal system' 12 times, in the 12-page long SR Reference Paper.

75 SDR Reference Paper, s III, para 9.

76 *ibid* s I, paras 10–12. See also para 13 (encouraging technical assistance and capacity building to the benefit of these countries, even though this is not a condition for implementing the disciplines, unlike under the WTO Trade Facilitation Agreement applicable to goods).

77 These alternative disciplines are set out in s III of the SDR Reference Paper.

78 SDR Reference Paper, s II, para 11.

79 For a useful analysis of recent PTAs' disciplines on regulatory divergence, see Gabriel Gari, 'Recent Preferential Trade Agreements' Disciplines for Tackling Regulatory Divergence in Services: How Far beyond GATS?' (2020) 19 WTR 1 (distinguishing between regulatory coherence and regulatory cooperation).

80 SDR Reference Paper, s II, para 22.

requirements, advancing procedures and good regulatory practices instead. Only a few PTAs rely on international standards and some more on regulatory cooperation.⁸¹

Arguably, the post-GATS retreat from substance in PTAs reveals the existence of strong concerns about the possible intrusion of requirements like necessity, reasonableness, or objectivity into the members' regulatory space, potentially placing trade interests above other legitimate policy objectives pursued by services domestic regulation.⁸² The SDR Reference Paper fully reflects this. Even the basic commitment to explain the purpose and rationale of domestic regulatory measures is drafted in the most cautious, hortatory manner—the 'encouragement' to provide the explanation is subject to both 'practicability' and 'consistency with national law.' These qualifiers also apply to the obligations to provide stakeholders with an opportunity to comment on newly proposed regulation, and consider the comments, in line with the approach seen in most PTAs.⁸³

Undoubtedly, the frequent use of soft-law language, also present in many PTAs,⁸⁴ allowed members participating in the joint initiative to reach an agreement after years of challenging multilateral negotiations. While weaker in terms of creating enforceable obligations, the SDR Reference Paper's success is likely to come from spreading good regulatory practices across many members. By providing good governance obligations for members, the Paper will remove at least some unnecessary bottleneck in the service suppliers' access to foreign markets. In fact, research on domestic regulation under PTAs has shown that the application of domestic regulation disciplines, which were developed in PTAs and are now largely consolidated in the SDR Paper,⁸⁵ generates positive economic and trade outcomes. According to this research, economies that apply the disciplines exhibit a higher level of entrepreneurship in their markets and have, on average, larger domestic services sectors. They are also usually more actively involved in global value chains as well as in trade in services.⁸⁶

To ensure that all WTO members can benefit, the SDR Paper provides an explicit legal basis for technical assistance and capacity building to developing and least-developed countries, as well as to their service suppliers, for example, to meet requirements and procedures in export markets.⁸⁷ While voluntary, technical assistance and capacity building are a specific WTO-feature typically missing in PTAs. It has been argued that this omission may be diminishing the PTAs' ability to achieve their ambitions.⁸⁸ By providing expanded provisions on technical assistance and capacity building, the SDR Reference Paper creates an opportunity to address concerns about the potentially heavy technical and financial burden that implementing the SDR disciplines may impose on developing countries.⁸⁹

81 Ortino and Lydgate (n 15) 694–96; Gari (n 79) 14–16 and 22–23. Note that the Deep Trade Agreements database developed by the World Bank reports that 26 out of 144 PTAs included in the database contain necessity test for domestic regulation (licensing, qualification, and technical standards). See Gootiiz Batshur and others, 'Chapter 4 Services' in Aaditya Mattoo, Nadia Rocha and Michele Ruta (eds), *Handbook of Deep Trade Agreements* (World Bank 2020) 131.

82 Ortino and Lydgate (n 15) 695; Gari (n 79) 14, footnote 74 (noting that the necessity criterion was among the most difficult items on the GATS SDR negotiation table, strongly opposed by many members).

83 SDR Reference Paper, s II, paras 16–18; Batshur and others (n 81) 134.

84 In PTAs, approximately 40% of provisions on services domestic regulation uses soft-law language like the SDR Paper, although some ambitious PTAs contain mandatory obligations even where the SDR Paper remained in soft-law terms. See Baiker, Bertola and Jelitto (n 57) 24–26.

85 Baiker, Bertola and Jelitto (n 57) 26. See also Bertola, Coghi and Jelitto (n 62) 78–79.

86 Baiker, Bertola and Jelitto (n 57) s 4.

87 See SDR Reference Paper, s I, para 13.

88 Gari (n 79) 23.

89 *ibid* 23.

Beyond-GATS Developments on Investment Facilitation

In 2024, this chapter on trade in services would be incomplete without briefly mentioning two other joint initiatives pursued at the WTO since 2017—on electronic commerce and on investment facilitation. As the former is addressed elsewhere in this handbook in more detail,⁹⁰ this section will briefly discuss the latter.

It has taken a long journey for investment to enter the WTO realm. While initially included in the Havana Charter envisaging the creation of an international trade organization,⁹¹ the Charter never entered into force. With only the GATT in place for decades, investment ended up covered by thousands of (mostly bilateral) investment treaties concluded outside the GATT's institutional framework. This led to a rather strict legal separation of trade and investment at the international level, and the Marrakesh Agreement Establishing the WTO did not reverse this trend. The issue reappeared in the context of the Doha Round of negotiations but because of the lack of consensus to start negotiations on the issue, investment was dropped from the agenda in 2004.⁹²

This is not to say that there are no WTO rules relating to foreign investment. Most visibly, there is the Agreement on Trade-Related Investment Measures, though it is rather limited and relates to trade in goods only.⁹³ For services, it is the GATS itself that provides for rules applicable to foreign direct investments. Since foreign direct investment is by its nature conducted by establishing commercial presence abroad, if the investment concerns services, it is covered by the GATS mode 3. That said, the GATS rules apply only to measures affecting *trade* in services. This is narrower than the scope of investment treaties where treatment of foreign investors and investments by any kind of regulation must meet the agreed standards of investment protection, such as non-discrimination, fair and equitable treatment, and full protection and security.⁹⁴

As explained in detail elsewhere in this volume, investment treaties have been highly controversial and subject to much criticism for some time now, especially due to their failure to balance the host states' obligations towards foreign investors with the right to regulate in pursuance of other legitimate policy objectives, and due to important (design) flows in investor-state arbitration.⁹⁵ Hence, an array of substantive and procedural improvements feature in most newly concluded investment treaties. In addition, and fully in line with developments in respect of trade in goods and services, states have begun to place greater emphasis on investment facilitation, beyond its liberalization and protection.

Developing countries have been particularly active in this respect. Interestingly, while long opposing WTO or other multilateral negotiations on investment issues, they launched the WTO initiative on investment facilitation. The initiative finally expressly recognizes the complementary relationship between trade and investment and the specific importance of investment for the

90 See Chapter 17 by David Collins in this *Handbook*.

91 Final Act of the United Nations Conference on Trade and Employment, Havana Charter for an International Trade Organization, United Nations Conference on Trade and Employment, UN Doc. E/CONF.2/78 <https://www.wto.org/english/docs_e/legal_e/havana_e.pdf> accessed 31 August 2024.

92 This brief historical background information is provided also on the WTO official website <https://www.wto.org/english/thewto_e/minist_e/mc13_e/briefing_notes_e/investment_facilitation_e.htm> accessed 2 July 2024.

93 Agreement on Trade-Related Investment Measures, Annex 1A of the Agreement Establishing the World Trade Organization, 1868 UNTS 186.

94 See e.g. Chapters 22 and 23 in this volume.

95 See, in this *Handbook*, Chapter 21, by Eric De Brabandere, and Chapter 25, by Tarcisio Gazzini.

expansion of trade, economic growth, and sustainable development.⁹⁶ It also acknowledges the limits of trade and investment liberalization policies for further trade and investment expansion. Instead, the initiative highlights the crucial need for simplifying, accelerating, and coordinating required processes.⁹⁷

The initiative reached a successful outcome in late 2023, uniting over 120 WTO members including 87 developing countries (of which 25 LDCs), an increase from the initial 70 members. The resulting Agreement on Investment Facilitation for Development (IDF Agreement) is to be incorporated in Annex 4 of the Marrakesh Agreement as a new plurilateral agreement, subject to the WTO dispute settlement system and creating a new WTO Committee on Investment Facilitation.⁹⁸ At present it remains to be seen when/whether this path will be taken given the opposition by India refusing to give its blessing at, and after, the latest Ministerial Conference held in February 2024.⁹⁹

Disregarding the precise legal fate of the IDF Agreement, the Agreement is likely to be of significant importance and economic impact, also for services.¹⁰⁰ Like the (multilateral) Trade Facilitation Agreement (TFA Agreement)¹⁰¹ for trade in goods and the (plurilateral) SDR Reference Paper for trade in services, leaving aside the substance of members' investment policies, the IFD Agreement focuses instead on facilitating investments through enhancing transparency, predictability, procedural efficiency and cooperation between members.¹⁰² It does so in a non-discriminatory manner given that all investors, both foreign and domestic, will benefit from its disciplines. This is in stark contrast with investment treaties which create rights for foreign investors only, inherently discriminating against domestic businesses.

Just like the SDR Reference Paper discussed earlier, the IFD Agreement is built on three main pillars, with some hard but more often soft-law obligations, aimed at (i) improving the transparency and predictability of investment measures, (ii) streamlining and speeding up authorization procedures, and (iii) strengthening stakeholder consultation and cross-border cooperation. Many included obligations are identical or very similar to those mentioned for the SDR Reference Paper and the GATS provisions on domestic regulation. To help developing country members to implement them, the Agreement provides elaborate special and differential treatment (SDT) provisions inspired by—and very similar to—those in the TFA Agreement, including the same categorization

96 WTO, Negotiations on Investment Facilitation for Development, Investment Facilitation for Development (IFD) Agreement, INF/IFD/W/52, 27 November 2023 (IDF Agreement), Preamble, 1st and 2nd recital.

97 WTO, Investment Facilitation for Development Agreement, Factsheet (IDF Factsheet) (2024), 2 <www.wto.org/english/tratop_e/invfac_public_e/factsheet_ifd.pdf> accessed 30 June 2024.

98 IFD Agreement, s VII (also providing for the *mutatis mutandis* application of WTO general and security exceptions, and introducing a financial exception).

99 India principally opposes the initiation of plurilateral negotiations at the WTO without a preceding consensus by all WTO members. As reported, members were unable to break the deadlock on the matter at the meeting of the General Council in March 2024 where the request for the incorporation of the IDF Agreement into the WTO acquis was resubmitted after India had rejected to consent with placing it on the agenda of the Ministerial Conference in February 2024. See WTO, 13th WTO Ministerial Conference, Investment facilitation for development (2024) <www.wto.org/english/thewto_e/minist_e/mc13_e/briefing_notes_e/investment_facilitation_e.htm> accessed 30 June 2024.

100 Edward J Balistreri and Zoryana Oleksyuk, 'Investment Facilitation for Development Agreement: Potential Gains' <https://yeutter-institute.unl.edu/IFD_2024YI.pdf> accessed 30 June 2024.

101 The Trade Facilitation Agreement, Annex 1A of the Marrakesh Agreement Establishing the World Trade Organization, 3137 UNTS 115. Note that various provisions in the SDR Reference Paper were clearly inspired by the TFA, in particular those on transparency and good regulatory practices.

102 IFD Agreement, Preamble, 3rd recital.

of obligations in categories A, B and C, the self-designation of obligations falling within each category, and support needed for the implementation.¹⁰³

In addition, unlike other WTO agreements, the IFD Agreement contains a dedicated section on ‘sustainable investment.’ Regrettably, the Agreement limits itself to asking members to (i) encourage the voluntary incorporation of corporate social responsibility (CSR) by investors into their activities and (ii) adopt anti-corruption policies in line with national law and nationally supported international standards and commitments.¹⁰⁴ CSR and the fight against corruption are undoubtedly important stepping-stones towards more sustainable trade and investment. The fact that IFD Agreement finally introduces them into the WTO acquis is noteworthy.

Nonetheless, sustainability requires more than that. It stands and falls with meaningful substantive choices. For example, excluding only government procurement and subsidies from its scope, the IFD Agreement covers all sectors, thus also all services sectors, and all types of measures even if merely ‘relating to’ the entire lifecycle of investment from its establishment to disposal, taken at all levels of government.¹⁰⁵ Consequently, the Agreement will potentially benefit all investments, also those with highly questionable sustainability such as, say, investments in cruise ship tourism. Moreover, decisions regarding the terms and recipients of governmental contracts and subsidies, including for services, may continue to be made without the necessary transparency and good governance safeguards provided by the IFD Agreement. This is regrettable as these decisions have the potential to either significantly advance or hinder sustainability.

Consequently, the sustainability of future investments in goods and in services will depend on each member’s own appreciation of their substantive desirability. This is fully reflected in the IFD Agreement’s express distance from members’ substantive regulatory choices, including the choice to accept or reject specific investments in goods or services.¹⁰⁶ The Agreement also repeatedly excludes any linkage, even an ‘interpretative contamination,’ vis-à-vis members’ market access obligations, investment protection standards and investor-state arbitration agreed to through other agreements, inside or outside the WTO framework.¹⁰⁷

Concluding Remarks

Members’ desire to protect their right to regulate in accordance with their own policy objectives is visible in every development relating to trade in services, growing stronger with time. In that sense, trade in services is like other areas of international cooperation, be it multilateral, plurilateral, regional, or bilateral. States’ readiness to commit beyond the existing status quo in respect of substantive obligations like market access or investment protection has become extremely limited. Instead, the focus has shifted to facilitation and creation of business-friendly environment, first in relation to goods, reaching more recently trade in services too. Studies show significant (potential) economic gains from this development.¹⁰⁸

103 IFD Agreement, s V, which takes no fewer than 8 pages in the 30-page document containing the agreement. For a useful analysis of the TFA’s special and differential treatment provisions, see e.g. Antonia Eliason, ‘The Trade Facilitation Agreement: A New Hope for the World Trade Organization’ (2015) 14 WTR 643, s 5.

104 IFD Agreement, s VI.

105 IFD Agreement, arts 2 and 3.

106 IFD Agreement, footnote 1.

107 IFD Agreement, arts 2.2 and 4.

108 See e.g. Cosimo Beverelli and others, ‘Trade and Welfare Effects of the WTO Trade Facilitation Agreement’ WTO Staff Working Paper ERSD-2023-04 (2023) <www.wto.org/english/res_e/reser_e/ersd202304_e.pdf> accessed 2

In times of multiple and long-lasting crises the world faces at present, including that of multilateralism, the successful conclusion of negotiations on SDR and IFD is a positive message to all those keen on crossing borders, potentially creating new opportunities for themselves and others. Cherishing what is feasible at a given time while working towards more in the future is essential for policymakers. While more progress in services trade regulation may be possible only under PTAs for the time being,¹⁰⁹ recent WTO initiatives prove that many countries are still willing and able to commit multilaterally too, in particular if their policy space is respected. True, the plentiful ‘qualifiers’ contained in the agreements reached do turn many commitments into a best endeavour exercise rather than enforceable obligations, cautioning against too much optimism. At the same time, trade and investment facilitation is non-controversial and potentially a win-win situation, including for domestic businesses. Hence, if countries in need receive technical assistance to build their capacity to implement new commitments, there is hope that at least avoidable obstacles to trade in services will diminish with time, enabling cross-border economic exchange without intrusion into legitimate policy choices of each country.

July 2024; Roger Yu So and Eddy Bekkers, ‘The Trade Effects of a New Agreement on Services Domestic Regulation’ WTO Staff Working Paper ERSD-2024-02 (2024) <www.wto.org/english/res_e/reser_e/ersd202402_e.pdf> accessed 2 July 2024; Balistreri and Oleksyuk (n 100).

109 While PTAs do not often liberalize trade in services beyond policies already applied by the parties, they do create new rules on issues too controversial at the WTO level, such as state-owned enterprises, data flows, competition policy, or movement of natural persons. It has been argued that these rules could enhance market access for service providers abroad. See Batshur and others (n 81) 138.

CHINA'S SUBSIDY PROBLEM AND THE LIMITS OF THE SCM AGREEMENT

Ming Du

1. Introduction

It has long been recognized that while subsidies are widely used by governments to promote national policy objectives, they may have adverse effects on the interests of other countries involved in international trade.¹ Countervailing duty (CVD) laws do not prohibit subsidies but intend to provide relief to domestic industries that have been materially injured, or are threatened with material injury, by imported goods that have been subsidized by a foreign government. The relief provided takes the form of an additional import duty on the subsidized imports to offset the value of the subsidy. The WTO Agreement on Subsidies and Countervailing Measures (SCM Agreement), which supplements the relevant provisions of Articles VI and XVI of the General Agreement on Tariffs and Trade (GATT), sets out obligations, rights, and remedies regarding government subsidies of goods and the imposition of CVDs on subsidized imports. Subsidies in the agricultural sector are regulated by a separate and more lenient set of specific disciplines in the Agreement on Agriculture.² In addition, WTO members adopted the text of the WTO Agreement on Fisheries Subsidies to prohibit harmful fisheries subsidies at the 12th Ministerial Conference in June 2022, which will enter force when it has been accepted by two-thirds of WTO members.³

WTO members have regularly imposed CVDs on imported goods. From 1995 to 2023, WTO members have initiated 698 CVD investigations. The widespread use of CVDs has also resulted in a significant number of complaints to the WTO, with 143 cases having cited the SCM Agreement in the request for consultations by June 2025.⁴ With its rapid rise as the world's second largest economy and the top trading partner of over 120 countries, China has been by far the biggest target

1 Kyle Bagwell and Robert W Staiger, 'Will International Rules on Subsidies Disrupt the World Trading System?' (2006) 96 American Economic Review 877.

2 Alan O Sykes, *The Law and Economics of International Trade Agreements* (Edward Elgar 2023) 355.

3 WTO, Agreement on Fisheries Subsidies, adopted at the 12th Ministerial Conference on 17 June 2022 <https://www.wto.org/english/tratop_e/rulesneg_e/fish_e/fish_e.htm>.

4 WTO, Disputes by Agreement <https://www.wto.org/english/tratop_e/dispu_e/dispu_agreements_index_e.htm?id=A20#selected_agreement>.

of CVD investigations. The most recent data indicate that from 1995 to 2024, 159 CVD measures were imposed on China, accounting for more than one third of the CVD measures worldwide.⁵

Despite its widespread use, the SCM Agreement has been subject to sharp criticisms over the years. It was depicted as ‘one of the least economics-informed agreement in the WTO.’⁶ Moreover, while some questioned whether the SCM Agreement leaves sufficient policy space for WTO members, such as the employment of green industrial policy to promote renewable energy, others pointed to the weaknesses of the SCM Agreement in preventing detrimental subsidy competition among WTO members.⁷ In particular, a growing consensus holds that there are enormous difficulties to apply the SCM Agreement to China with its extensive state involvement in the economy. Existing WTO rules are inadequate to manage the challenges posed by China’s massive subsidies and ambitious industrial policies.⁸

This chapter provides a critical analysis of how subsidies are regulated in world trade law with a particular focus on the adequacy of current WTO disciplines to regulate Chinese subsidies. It argues that the SCM Agreement is unlikely to address the root causes of China subsidy problem. In response, other WTO members have started to be norm entrepreneurs in clarifying the existing WTO subsidy rules or designing new disciplines to address the alleged China’s subsidies problem, with profound implications for the world trading system. Section II provides a succinct review of the rationale and structure of the WTO SCM Agreement. Section III explains China’s subsidy problem and its implications for the liberal international economic order. Section IV analyses whether the current WTO subsidies rules can address effectively Chinese subsidies. Section V concludes the chapter.

2. The Rationale and Structure of the SCM Agreement

This section discusses the rationale and structure of the SCM Agreement. It is divided into two parts. The first part explores the policy debate on the international regulation of subsidies. The second part illuminates the structure of the SCM Agreement.

2.1 The Debate on International Subsidies Regulation: A Policy Perspective

From a policy standpoint, subsidies raise challenging conceptual and practical issues. The rationales for the regulation of subsidies in international trade are traditionally based on both efficiency and fairness arguments. First, subsidies can distort resource allocation and reduce global economic welfare because subsidies distort comparative advantage and encourage comparatively inefficient firms to engage in production.⁹ Subsidies can distort the flow of international trade in three ways. If State A subsidizes the production or export of product X, then (1) State B imports subsidized

5 WTO, Countervailing Measures by Exporter 01/01/1995–31/12/2024 <https://www.wto.org/english/tratop_e/scm_e/CV_MeasuresByExp.pdf>.

6 Petros C Mavroidis and others, *The Law and Economics of Contingent Protection in the WTO* (Edward Elgar 2008) 462; Alan O Skyes, ‘The Questionable Case for Subsidies Regulation: A Comparative Perspective’ (2010) 2 *Journal of Legal Analysis* 473, 520.

7 Dominic Coppens, *WTO Disciplines on Subsidies and Countervailing Duties: Balancing Policy Space and legal Constraints* (CUP 2014) 1–2.

8 USTR, *2023 Report to Congress on China’s WTO Compliance* (February 2024) 5; Gregory Shaffer, ‘Governing the Interface of US-China Trade Relations’ (2021) 115 *American Journal of International Law* 622, 637.

9 Michael Trebilcock and others, *The Regulation of International Trade* (Routledge 2013) 389.

X from State A that harm its domestic industry due to the price competition rendered possible by the subsidization; (2) the subsidy permits State A's inefficient domestic industry to withstand the import competition from X more efficiently produced in State B. In this scenario, State A's subsidies potentially erode the value of tariff concessions that State B expect to enjoy. Therefore, the benefits of the subsidy to State A's domestic industry may be viewed as a transfer from State B to State A; (3) the subsidy distorts the competition in the third country markets, rendering the exports from State B to third country markets shrink significantly because of surging subsidized imports from State A.¹⁰

Second, once a state grants large subsidies, trading partners may be compelled to follow suit by granting even larger subsidies for fear of being left out of the competition, triggering a subsidies arms race. International law on subsidies therefore represents a useful hand-tying mechanism to restrain governments from engaging in trade-distorting subsidies.¹¹ Third, subsidies may enable a firm to sell at a lower price in the foreign market to eliminate competition and thereafter reap monopoly profits. To be sure, there is little theoretical or empirical evidence for allegations of predatory pricing because the new entry or re-entry by competitors following predatory pricing practices makes it difficult to recoup the losses. However, governments may be willing to subsidize their national producers for political or strategic reasons even while incurring a loss. Therefore, the possibility of predatory pricing financed by government subsidies may be great.¹²

Finally, the justification of CVDs is also based on the notion of fairness. Subsidies are viewed as unfair trade practices because they alter the level playing field in international trade by depriving entrepreneurs of the opportunity to compete fairly based on their industry and merit. Foreign firms benefitting from subsidies can outcompete domestic firms in the latter's market because of an artificial advantage unfairly conferred by their government. Widespread perceptions of unfairness will also erode political support for the liberal trading system.¹³

Despite these conceptual criticisms and practical pitfalls of subsidies, some scholars have advanced several arguments in favour of adopting a benign attitude toward subsidies. To begin with, economists have long recognized that markets work well for some goods (such as ice cream) but not so well for others (such as clean air). Even if subsidies distort resource allocation, many subsidies might be the first best instrument to correct or compensate for market failures that would otherwise exist, and thus enhance efficient resource allocation.¹⁴ Excessively restrictive subsidies disciplines that penalize useful subsidies may cause inefficiency or make WTO members reluctant to conclude trade agreements altogether.¹⁵

Moreover, many government activities, including some widely accepted and useful activities such as investments in infrastructure, public education, basic research, and healthcare, are likely to affect the pattern of international trade flows and they might be characterized as subsidies. Unless one views every government deviation from a presumptive laissez-faire baseline as a potential subsidy, the claim of unfairness relating to foreign governments' activities has no natural limit.¹⁶ Therefore, the development of sound international subsidies disciplines depends on workable rules

10 Mitsuo Matsushita and others, *The World Trade Organization: Law, Practice, and Policy* (OUP 2015) 300.

11 Gary Clyde Hufbauer and Joanna Shelton-Erb, *Subsidies in International Trade* (MIT Press 1984).

12 Sykes, above n 2, at 359–60.

13 *ibid.*

14 Warren Schwartz and Eugene W Harper Jr., 'The Regulation of Subsidies Affecting International Trade' (1972) 70 *Michigan Law Review* 831, 844.

15 Bagwell and Staiger, above n 1, at 891.

16 Trebilcock, above n 9, at 391.

that can reliably distinguish the good subsidies from the bad or trade-distorting subsidies. However, the task of sorting the good subsidies from the bad subsidies is daunting and the SCM Agreement performs poorly in so doing.¹⁷

Finally, subsidies expand trade, as producers will have an extra incentive to produce and increase the volume of traded goods. However, importing countries are in most cases the net beneficiaries of foreign subsidies because subsidies tend to reduce the prices of imported goods. A reduction in the price of imported goods tends to benefit consumers in an importing country more than the costs imposed on domestic producers of import-competing goods. Therefore, with a few caveats relating to concerns about national security, foreign monopoly, and undermining existing tariff bargains, so the argument goes, importing countries should thank the subsidizing country rather than condemning foreign subsidies.¹⁸ However, as will be discussed in the following section, the main objective of the SCM Agreement is to discourage subsidies that might harm producers in importing countries, not to assess the economic effects of subsidies.¹⁹

2.2 The Structure of the SCM Agreement

Key to the WTO subsidy disciplines is the definition of a subsidy. The SCM Agreement does not cover all government measures that may have trade-distorting effect. Rather, it only applies to certain types of subsidies as defined in Article 1.1 of the SCM Agreement, according to which a subsidy exists only if two distinct elements are present: (1) a financial contribution by a government or public body and (2) a ‘benefit’ is conferred by such a financial contribution. To put it differently, the definition of subsidy ‘captures situations in which something of economic value is transferred by a government to the advantage of a recipient.’²⁰

A financial contribution is defined as a direct transfer or potential direct transfer of funds, foregoing government revenue otherwise due—such as tax credits, and the provision of goods and services other than general infrastructure, or purchase of goods by the government. The case law shows that the WTO Appellate Body (AB) has endorsed a broad interpretation of these three different kinds of financial contributions. For example, in *Japan–DRAMs Countervailing Duties*, the AB indicated that the term ‘funds’ encompassed not only money but also financial resources and other financial claims more generally.²¹ Therefore, the direct transfer of funds covers not only grants, loans, and equity infusion but also other measures such as debt forgiveness, the extension of loan maturity, and interest rate reduction because the financial position of the borrower is improved.²²

To be labelled a subsidy under the SCM Agreement, the financial contribution should confer a ‘benefit.’ Whereas the financial contribution element focuses on the government, the determination

17 Skyes, above n 2, at 501–19.

18 Alan O Sykes, ‘Countervailing Duty Law: An Economic Perspective’ (1989) 89 Columbia Law Review 199, 210.

19 Petros C Mavroidis, *The Regulation of International Trade Volume 2: The WTO Agreement on Trade in Goods* (MIT Press 2016) 193–95.

20 WTO Appellate Body Report, *US-Final Countervailing Duty Determination with Respect to Certain Softwood Lumber from Canada*, WT/DS257/AB/R, 19 January 2004, para 51.

21 WTO Appellate Body Report, *Japan-Countervailing Duties on Dynamic Random Access Memories from Korea*, WT/DS336/AB/R, 17 December 2007, para 250.

22 *ibid* para 251.

of benefit shifts the focus toward the recipient of the financial contribution.²³ In *Canada–Aircraft*, the AB held that a benefit is conferred if the financial contribution makes the recipient better off than it would otherwise have been, absent the contribution, and that the marketplace provides an appropriate basis for such a comparison.²⁴ In this manner, Article 14 of the SCM Agreement prescribes the conditions under which government provision of equity capital, loans and loan guarantees, or goods and services or purchase of goods can be considered as conferring a benefit. For example, a government loan confers benefit to a recipient only if it has been granted on terms more favourable than a comparable commercial loan available in the market when the loan was provided.

In many cases the search for a market benchmark to identify a benefit is straightforward. However, interesting twists arose in WTO case law on how to choose a proper market benchmark. First, what if private market benchmarks are themselves distorted by the government policies at issue? In *US–Softwood Lumber IV*, the AB held that local market benchmarks may be distorted and unreliable due to the pressure of government competition. Under such circumstances, the available private benchmarks in the local market can understate or even mask the benefit of the subsidy to recipients. Therefore, market prices in the alternative markets may be used as a benchmark.²⁵ Second, in *Canada–Feed in Tariffs*, the AB rejected the argument that the market price of energy produced from fossil fuels is a proper market benchmark for renewable energy. Even if the ultimate consumers of electricity view all sources as fungible, the government is entitled to a benchmark based on the market price of renewable energy.²⁶

Specificity is not a constitutive element of a subsidy, but it is a necessary condition for that subsidy to be subject to the disciplines of the SCM Agreement. Only subsidies that are specific to certain enterprises, i.e. an enterprise or industry or enterprises or industries that are known and particularized, rather than being generally available throughout the economy of a WTO member, are countervailable.²⁷ The concept of specificity refers to industrial targeting, reflecting the view that only specific financial contributions can lead to trade distortion.²⁸ However, the required degree of specificity is left open in the SCM Agreement, making any determination under the specificity test unpredictable.

The SCM Agreement targets, first of all, *de jure* specificity, that is, situations in which the subsidy is explicitly limited to certain enterprises. When seeking to determine if there is *de jure* specificity, the focus is on whether only certain enterprises are eligible for the subsidy while the access to that subsidy is precluded to other enterprises.²⁹ By contrast, if the eligibility to a subsidy is automatic based on objective criteria or conditions, then the subsidy is ostensibly non-specific. However, an apparently non-specific subsidy may be *de facto* specific and thus also be subject to the disciplines of the SCM Agreement. Article 2.1(c) of the SCM Agreement lists several factors that can be considered when determining whether a subsidy is *de facto* specific.

23 WTO Appellate Body Report, *Canada–Measures Affecting the Export of Civilian Aircraft*, WT/DS70/AB/R, 20 August 1999, para 156.

24 *ibid* para 157.

25 Appellate Body Report, above n 20, para 103.

26 WTO Appellate Body Report, *Canada–Measures Relating to the Feed in Tariff Program*, WT/DS412/AB/R, 24 May 2013, para 5.199.

27 WTO Appellate Body Report, *United States–Definitive Anti-Dumping and Countervailing Duties on Certain Products from China (US–Antidumping and Countervailing Duties)*, WT/DS379/AB/R, 11 March 2011, para 373.

28 Sykes, above n 2, at 365.

29 AB Report, above n 27, at para 368.

Once it has been determined that there is a specific subsidy for the purposes of the SCM Agreement, a traffic light metaphor is then used in order to categorize subsidies. Export subsidies and import substitution subsidies are principally prohibited by their very nature because of their direct trade-distorting effect, and so are given a ‘red’ light. Prohibited subsidies are also presumed to be specific.³⁰ All other subsidies are actionable subsidies (a ‘yellow’ light), meaning that they can be challenged or countervailed if they cause adverse effects. Article 5 of the SCM Agreement delineates three types of adverse effects: injury to the domestic industry of another member, nullification or impairment of benefits accruing to other members, and serious prejudice to the interests of another member. Three categories of subsidies were non-actionable before 2000. However, the category of green light subsidies expired at the end of 1999. At present, no type of subsidy qualifies for a ‘green’ light under the SCM Agreement.

When subsidies cause or threaten to cause material injury to an import-competing industry, the importing member has the choice between a unilaterally determined CVD to offset the harmful consequences of subsidized import competition under domestic law or a challenge to the subsidy program at the WTO. The two forms of relief can be used simultaneously. The unilateral imposition of CVDs is almost certainly the more attractive option as it bypasses the recourse to an international tribunal and it captures revenue for the national treasury.³¹ In a unilateral action, CVDs may only be imposed pursuant to an investigation conducted in accordance with the procedural and substantive obligations provided for by the SCM Agreement. This investigation should determine the existence of three substantive elements: (1) the existence of a specific subsidy, (2) injury to the domestic industry producing the like product, and (3) a causal link between the subsidized import and the injury.³²

3. China’s Subsidy Problem

Despite more than four decades of market-oriented reforms and 20 years of WTO membership, China’s economic model remains fundamentally different from both command economies and free market economies in structuring political and economic power. It melds the features of an authoritarian state with the power of market capitalism. The government of China continues to exercise extensive direct and indirect control over the allocation of resources through instruments such as government ownership, the control of key economic actors and government directives.³³

A key feature of China’s economic model is its proactive formulation and execution of industrial plans. Compared with industrial plans of other countries, China’s industrial plans have a few unique features. First, the financial support that the Chinese government provides to domestic industries in pursuit of China’s industrial objectives is enormous. One study estimated that it totalled at least 1.73% of GDP in 2019, equivalent to more than USD 248 billion at nominal exchange rates, even using a conservative methodology.³⁴ Second, adherence to the objectives of China’s industrial plans is effectively mandatory. Chinese companies have little if no discretion

30 Art 3 and 2.3 of the SCM Agreement.

31 Sykes, above n 2, at 397.

32 Art 11.2 of the SCM Agreement.

33 Ming Du, ‘International Economic Law in the Era of Great Power Rivalry’ (2024) 57 *Vanderbilt Journal of Transnational Law* 723, 736–39.

34 Gerard DiPippo, Ilaria Mazzocco, and Scott Kennedy, *Red Ink: Estimating Chinese Industrial Policy Spending in Comparative Perspective*, CSIS Report (May 2022), at 2.

to ignore them, even when market forces would dictate different commercial behaviour.³⁵ Third, China's industrial planning is more comprehensive and complex than any other country. It is not limited to one overarching plan, but instead includes hundreds of sub-plans and covers all sectors of China's economy. Various institutions participate in plan formulation and execution, including all levels of government and key Chinese companies.³⁶ Finally, China's industrial planning differs from other countries' industrial policies that generally adopt an open approach and enable the participation of a wide range of foreign partners. Instead, it sets explicit market share targets for replacing imports or quotas for indigenous production.³⁷

One of the most far-reaching industrial plans is Made in China (MIC) 2025. This state-led industrial policy seeks to reduce China's dependence on foreign technology and make China dominant in global high-tech manufacturing. The plan identifies ten high-tech strategic sectors, including advanced robotics, artificial intelligence, information technology (IT), telecommunications, and new energy vehicles, and sets specific targets for production levels and market shares both in the Chinese market and globally. By 2025, China aims to achieve 70% self-sufficiency in high-tech industries and by 2049, the hundredth anniversary of the People's Republic of China, it seeks a dominant position in global markets.³⁸

To achieve this strategic goal, the Chinese government has deployed massive direct government subsidies including energy subsidies, government equity investment, preferential bank loans, tax treatment, land allocation, access to government procurement, forced technology transfer, overseas mergers and acquisitions, and other types of financial and regulatory support. For example, the Chinese government spent USD 266 billion in energy subsidies in 2022, equivalent to 1.5% of China's GDP that year. In addition, as of early 2020, an estimated 1800 Chinese government guidance funds linked to MIC 2025 were collectively valued at USD 627 billion.³⁹

China's industrial subsidies have posed serious challenges to the international economic order. The world trading system was based on the liberal understanding that market forces would dictate competitive outcomes and that governments would not pre-empt the market mechanism.⁴⁰ The market distorting effects of Chinese industrial policy and subsidies affect not only trading partners' goods into the Chinese market but also Chinese exports to the world market. In the Chinese domestic market, the competitive advantages received by Chinese enterprises have altered the competitive landscape against foreign enterprises as China seeks to secure dominant shares for Chinese companies. In global markets, China's massive subsidies have led to severe and persistent overproduction and excess supply. This is concerning for foreign policymakers and businesses because overcapacity incentivizes firms to lower their prices in search of a market for their excess capacity, leading to global over-supply, price declines, weak profitability, bankruptcies, and job losses. This pattern has happened to manufacturing industries such as steel and aluminium.⁴¹

35 USTR, above n 8, at 14.

36 Usha CV Haley and George T Haley, *Subsidies to Chinese Industry: State Capitalism, Business Strategy, and Trade Policy* (OUP 2013), at 5–7.

37 European Union Chamber of Commerce in China, 'China Manufacturing 2025: Putting Industrial Policy ahead of Market Forces' (2021), at 6–7.

38 James McBride, 'Is "Made in China 2025" a Threat to Global Trade?' *Council on Foreign Relations Background* (13 May 2019).

39 Alicia Garcia-Herrero and Robin Schindowski, 'Unpacking China's Industrial Policy and Its Implications for Europe,' Bruegel Working Paper 11/2024, at 7–15.

40 Petros C Mavroidis and Andre Sapir, *China and the WTO: Why Multilateralism Matters* (Princeton UP 2021) at 162–66.

41 USTR, above n 8, at 35.

More recently, excess capacity has emerged in clean technology sectors including electric vehicles. China is now home to more than half of the global stock of electric vehicles.⁴² In 2023, the number of electric vehicles exported from China was seven times greater than in 2019, accounting for nearly 60% of global electric vehicles purchases. The growth of such vehicles in China has coincided with the rise of the new energy vehicles sector as a strategic industry listed in MIC 2025 and the 14th Five-Year Plan (2021–25). The European Commission has launched a CVD proceeding on the grounds that the imports of new battery electric vehicles from China are causing injury to the EU industry. The Chinese industrial policy and subsidies have led to massive increase in capacity in China. The prices of the subsidized electric vehicles are significantly lower compared to those of the European like products, placing significant pressure on EU sales, market shares and profit margins.⁴³ Consequently, the European Commission is poised to provisionally apply CVDs of between 17 and 38% on imported Chinese electric vehicles from July 2024.⁴⁴

4. Is the SCM Agreement Effective in Regulating Chinese Subsidies?

Is the SCM Agreement a powerful tool to regulate China's extensive subsidies? The SCM Agreement has resiliently addressed some challenges posed by Chinese subsidies in a WTO-consistent manner.⁴⁵ In addition, China's WTO Accession Protocol (the Protocol) contains a number of China-special provisions, such as subsidies to state-owned enterprises (SOEs) and the use of out-of-country benchmarks in calculating the amount of benefits in CVD investigations.⁴⁶ More recently, however, it has become a growing concern that the SCM Agreement may not be effective in disciplining China's industrial subsidies.⁴⁷ This section first reviews some of the key issues emerging from the WTO jurisprudence relating to Chinese subsidies and then explains the limits of the WTO SCM Agreement in tackling China's subsidy problem.

4.1 Chinese SOEs and State-Owned Commercial Banks (SOCBs) as 'Public Bodies'

One of the most controversial issues in CVD investigations concerning China is whether Chinese SOEs and SOCBs are 'public bodies' and therefore can provide subsidies. This determination is important because if SOEs and SOCBs are public bodies, then any market entities which have made purchases from Chinese SOEs or taken a loan from SOCBs would have received a financial contribution and potentially fall within the ambit of the SCM Agreement.

The term 'public body' is not defined in the SCM Agreement. The chairman of the Negotiating Group on the SCM Agreement for the Uruguay Round once explained that WTO members used the term to cover not just a government but also any other body which possibly could be

42 International Energy Agency, 'Global EV Outlook 2023' (April 2023) at 16.

43 Notice of Initiation of an Anti-Subsidy Proceeding Concerning Imports of New Battery Electric Vehicles in China, C/2023/16s0, Official Journal of the European Union (4 October 2023).

44 The European Commission Press Release, 'Commission Investigation Provisionally Concludes that Electric Vehicles Value Chains in China Benefit from Unfair Subsidies' (12 June 2024).

45 Ming Du, 'China's State Capitalism and World Trade Law' (2014) 63 *International and Comparative Law Quarterly* 409, 448.

46 Julia Ya Qin, 'WTO Regulation of Subsidies to State-owned Enterprises (SOEs)—A Critical Appraisal of the China Accession Protocol' (2004) 7 *Journal of International Economic Law* 876, 883–92.

47 USTR, above n 8, at 5.

used by the government to channel or generate a financial contribution to prevent circumvention of subsidy disciplines.⁴⁸ In *US–Antidumping and Countervailing Duties*, the panel held that Chinese SOEs and SOCBs are public bodies because they are majority-owned by the Chinese government. The AB rejected the notion that the mere fact of governmental majority control is, in itself, sufficient to render a state-controlled entity a public body. Rather, it saw the concept of ‘public body’ as sharing certain attributes with the concept of ‘government.’ According to the AB, a public body is an entity that ‘possesses, exercises or is vested with governmental authority.’⁴⁹ To make such a determination, investigating authorities should evaluate core features of the entity concerned and its relationship with government, assessing whether the entity exercises authority on behalf of the government.⁵⁰ As many WTO experts pointed out, the AB’s interpretation has narrowed the range of what entities might be considered as public bodies.⁵¹ Nevertheless, in *US–Antidumping and Countervailing Duties*, the AB addressed only the panel’s interpretation of ‘public bodies’ and it did not assess the legal nature of Chinese SOEs more generally.⁵²

In further assessing the nature of Chinese SOEs in light of the AB’s interpretation, the United States Department of Commerce (USDOC) identified the Chinese SOEs’ relevant governmental function as maintaining the predominant role the state sector in the economy and upholding the socialist market economy, as mandated by the Chinese constitution.⁵³ Moreover, the USDOC found that the government of China (GOC) exercises meaningful control over certain categories of SOEs and uses SOEs as instrumentalities to effectuate the governmental function. The USDOC grounded its finding on manifold indicia, including (i) the provision of direct and indirect benefits to SOEs, (ii) governmental incentives and demands for certain firm behaviour in furthering certain policy goals, (iii) the GOC’s maintenance of ownership levels as a means to maintain control over the sector, (iv) the GOC’s management of market competition and market outcomes through the instrumentality of SOEs, (v) the supervision over SOEs, (vi) the GOC’s control over all company appointments in the state sector, and (vii) the presence of Chinese Communist Party (CCP) groups and committees within enterprises.⁵⁴

In *United States–Countervailing Duty Measures (China) (Article 21.5)*, the AB ultimately held that Chinese SOEs in which the GOC has a full or controlling ownership interest are public bodies that ‘possess, exercise, or are vested with governmental authority.’ If the GOC does not have a full or controlling ownership interest, whether the SOEs at issue are public bodies is subject to case-by-case analysis in light of the relevant indicia. Specifically, Chinese SOEs in which the GOC has significant ownership that are also subject to certain government industrial plans may exercise governmental authority, if indicia show that these enterprises are used as instruments by the GOC to uphold the socialist market economy. Even enterprises that have little or no formal government

48 Michael D Cartland and others, ‘Is Something Going Wrong in the WTO Dispute Settlement?’ (2012) 46 *Journal of World Trade* 979, 1002.

49 AB Report, above n 27, para 317.

50 *ibid* para 319.

51 Edwin Vermulst, ‘Concurrent Trade Defense Investigations in the EU, the EU’s New Anti-subsidy Practice against China, and the Future of Both’ (2012) 11 *World Trade Review* 530.

52 Du, above n 45, at 439.

53 WTO Appellate Body Report, *United States–Countervailing Duty Measures on Certain Products from China*, Recourse to Article 21.5 of the DSU by China, WT/DS437/AB/RW, 16 July 2019, para 5.56.

54 *ibid*.

ownership may be found to be public bodies if the GOC exercises meaningful control over such enterprises.⁵⁵

The AB's 2019 ruling practically reduced the exercise of governmental authority to a 'meaningful control' test, which seems to demand less stringent evidentiary requirements.⁵⁶ Moreover, the AB ruled that there is no need for an investigating authority to establish a clear logical connection between an identified governmental function and the specific conduct alleged to provide a financial contribution. Once an entity is a public body, then all conduct of that entity must be attributed to the pertinent government.⁵⁷ Admittedly, the AB did not elaborate on concrete criteria on what kind of, and how much, evidence will suffice to reach a 'public body' determination.⁵⁸ Nevertheless, the AB's interpretation has made it easier to prove that Chinese SOEs may be public bodies in future disputes. In the same vein, the AB ruled that Chinese SOCBs are public bodies, given the scope and extent of control exercised over them by the GOC.⁵⁹

4.2 The Specificity Requirement

Only subsidies that are specific to certain enterprises are countervailable under the SCM Agreement. However, the SCM Agreement and the jurisprudence does not provide adequate guidance on what degree of specificity is required. In *US-Upland Cotton*, the panel held that access to specific subsidies is limited to a 'sufficiently discrete segment' of an economy as to constitute 'certain enterprises.'⁶⁰ Still, it is unclear how big 'certain enterprises' can be without being perceived as being broadly available throughout the economy.

In *US-Antidumping and Countervailing Duties*, the point at issue was whether the SOCBs' preferential lending to the tyre industry constituted specific subsidies. The AB found that several planning documents at central, provincial, and municipal levels of government identified the tyre industry as being one of the 'encouraged projects' and that SOCBs were instructed to provide financing to that industry. The AB concluded that the preferential lending by SOCBs and policy banks to the tyre industry in response to the government policies, and in particular to those producers who were identified specifically in the planning documents, was *de jure* specific.⁶¹ The problem is that, in addition to the tyre industry, the central planning catalogue identified 539 'encouraged industries' spanning 26 broad sectors of economic activity. One may argue that, even if the tyre industry received subsidies, this did not necessarily indicate specificity, and further inquiry should have been made on whether the tyre producers under investigation have received more subsidies than other sectors identified in the planning documents.⁶² However, the AB refused to consider whether all encouraged industries constituted 'certain enterprises.'⁶³ In other words, a subsidy is

55 *ibid* para 5.57.

56 Dukgeun Ahn, 'Why Reform Is Needed: WTO 'Public Body' Jurisprudence' (2021) 12 *Global Policy* 61, 64–66; Robert Howse, 'Official Business: International Trade Law and the Resurgence (or Resilience) of the State as an Economic Actor' (2022) 43 *University of Pennsylvania Journal of International Law* 821, 858–59.

57 Douglas Nelson, 'How Do You Solve a Problem Like Maria? *US—Countervailing Measures (China)* (21.5)' (2021) 20 *World Trade Review* 556, 558.

58 AB Report, above n 53, paras 5.243–5.248.

59 AB Report, above n 27, para 355.

60 WTO Panel Report, *United States-Subsidies on Upland Cotton*, WT/DS267/R, 8 September 2004, para 7.725.

61 AB Report, above n 27, para 400.

62 Thomas J Prusa and Edwin Vermulst, 'United States—Definitive Anti-Dumping and Countervailing Duties on Certain Products from China: Passing the Buck on Pass-Through' (2013) 12 *World Trade Review* 227, 229.

63 AB Report, above n 27, para 395.

specific if eligible beneficiaries are limited to 'certain enterprises,' regardless of whether similar subsidies are also granted to certain other enterprises.⁶⁴

Given that the GOC is the ultimate owner of all land in China, any time an enterprise obtains land-use rights anywhere in China it receives a financial contribution from the GOC. In the *Coated Sheet Paper* case, and in the absence of cooperation from the GOC, the EU made a positive specificity determination based on the following series of facts: (i) some provisions of the government's papermaking plan set out specific rules on industrial layout by stating what types of papermaking industries were to be established in various geographic regions of the country, (ii) there was evidence that the papermaking industry was an 'encouraged industry,' (iii) there was no functioning market for land in China, and (iv) there was evidence from cooperating exporting producers that land was allocated to them for their papermaking projects.⁶⁵ The EU's analysis has been since followed in CVD investigations concerning China.

Admittedly, if the specificity threshold is set at too high a level to be met, Chinese subsidies are less likely to be countervailed because there are many recipients of subsidies in China, where the government retains a significant role in resource allocation. It may be precisely because of this concern that the AB has imposed a lower specificity threshold than conventionally might have been expected. Likewise, Section 10.2 of the China's WTO Accession Protocol prescribes a special SOE-based specificity test. It explicitly provides that subsidies provided to Chinese SOEs will be viewed as specific if SOEs are the predominant recipients of such subsidies or receive disproportionately large amounts of such subsidies. This will make it easier to find that a subsidy provided to a SOE by the GOC is specific.

4.3 Out-of-Country Benchmarks

Article 14 of the SCM Agreement provides that, when determining the amount of subsidy benefit, the prevailing conditions in the domestic market of the WTO member seeking to defend itself should be used as a benchmark. Nevertheless, it has long been established in the WTO jurisprudence that investigating authorities may discard in-country private market prices in favour of out-of-country price benchmarks if it can be demonstrated that in-country private market prices are distorted and that alternative out-of-country benchmarks are related to prevailing market conditions in the country under investigation.⁶⁶

In *US–Antidumping and Countervailing Duties*, the AB held that the predominant role and extensive intervention of the GOC distorted the commercial lending market. Accordingly, the Chinese domestic interest rates were not appropriate benchmarks to determine the existence and amount of benefit associated with the loans from SOCBs.⁶⁷ Similarly, the AB found that in-country prices for provision of land-use rights to the producers were not an appropriate basis for comparison because all land was owned by GOC and land prices were distorted by the significant role that the GOC had in the market by prohibiting private land ownership. Importantly, the AB did not specify the evidentiary standards that must be met before investigating authorities can reject in-country private market prices. Nor did it set out the evidentiary standards for alternative

64 AB Report, *EC-Measures Affecting Trade in Large Civil Aircraft*, WT/DS316/AB/R, 18 May 2011, para 949.

65 Council Implementing Regulation 452/2011, *Coated Fine Paper from China*, Official Journal of the European Union (OJ) 2011 L128/18 (definitive countervailing duty) paras 252–58.

66 AB Report, above n 20, para 103.

67 AB Report, above n 27, para 509.

benchmarks to be used except a reasonable explanation in the light of other plausible alternative explanations.⁶⁸ The investigating authorities enjoy wide latitude to analyse these critical issues.

The AB's approach is supported by Section 15(b) of the Protocol, which explicitly authorizes a departure from the Article 14 guidelines of the SCM Agreement and permits WTO members to resort to alternative benchmarks to calculate the amount of a subsidy in CVD investigations against China. Section 15(b) of the Protocol provides:

The importing member may use methodologies for identifying and measuring the subsidy benefit which take into account the possibility that prevailing terms and conditions in China may not always be available as appropriate benchmarks. In applying such methodologies, where practicable, the importing WTO Member should adjust such prevailing terms and conditions before considering the use of terms and conditions prevailing outside China.

As the AB commented, section 15(b) of the Protocol 'affords importing WTO members investigating Chinese imports additional flexibility in the methodology used to identify and measure subsidy benefits.'⁶⁹ However, in practice the lack of both substantive and procedural guidelines risks rendering the provision prone to abuse by other WTO members, regardless of the actual conditions of the Chinese economy.⁷⁰

4.4 The Limits of the SCM Agreement

Although not every governmental act that distorts trade can be considered a subsidy, the SCM Agreement is broad in scope and wide open for interpretation. The additional disciplines embodied in the Protocol further strengthen the subsidy disciplines on China. The SCM Agreement is interpreted flexibly to capture the major subsidies provided under China's ambitious industrial plans. In fact, the WTO jurisprudence questions the very means by which the GOC regulates the national economy.

To begin with, as described in section III, the GOC uses extensive industrial policies to guide economic development. These policies typically include funding selected sectors by way of equity injection, loans, loan guarantees, tax exemptions and reductions, the provision of production inputs (such as land and electricity) at preferential rates and input materials (such as steel and aluminium) at less than adequate remuneration, and preferential government procurement in favour of domestic goods and services. They fall squarely within the scope of financial contributions as interpreted by the AB. Moreover, China's key industrial policy documents, such as the Five-Year plans and MIC 2025, and their implementing regulatory instruments at both national and local levels, typically set out the priority sectors and projects and the development goals and direct the provision of various financial contributions to these sectors. Only certain enterprises in the selected sectors are eligible for such financial contributions. The AB's interpretation of the specificity requirement has made it rather easy to establish that many Chinese subsidies are *de jure* specific. Finally, the wide latitude enjoyed by the investigating authorities to use out-of-country benchmarks to calculate the amount of benefit is likely to make all loans made by Chinese commercial banks and all land-use rights granted by the GOC to any of the industries featured in government planning documents to

⁶⁸ *ibid* para 523; Prusa and Vermulst, above n 62, at 199–200.

⁶⁹ AB Report, above n 27, para 436 and footnote 401.

⁷⁰ Qin, above n 46, at 904.

be countervailable subsidies.⁷¹ These rulings are likely to have significant long-term consequences for the use of CVDs against China.

Against this background, it is important to understand why the current WTO rules are perceived to be ineffective in regulating Chinese subsidies. Some argue that existing SCM rules, particularly China's WTO-plus obligations, are under-utilized. If they are better utilized and interpreted, they will help level the playing field for foreign firms as well as push China engage in market-oriented reforms.⁷² In the same vein, some suggest that major WTO members may simultaneously bring well-coordinated CVD investigations domestically and 'big, bold' cases challenging China's subsidies at the WTO.⁷³ Undoubtedly a better utilization of existing SCM rules and more litigation at the WTO would certainly be useful. Alternative routes of actions, such as resorting to unilateral trade sanctions with complete disregard for the WTO disciplines, may be harmful to the world trading system.

However, this view may underestimate the scale and complexity of the challenges at issue. First, some well-known birth defects of the SCM Agreement, including the narrow definition of subsidies, high evidentiary burden in proving the existence of a subsidy, the failure of the notification process, and the ineffectiveness of remedies in disciplining subsidies, have rendered the SCM Agreement ineffective in dealing with the complexity of the subsidy problem.⁷⁴ Second, while the weaknesses of the SCM Agreement apply to all WTO members, China's unique economic model and the scale and complexity of its subsidies have amplified these weaknesses. One typical example is the magnitude and significance of subsidies provided by provincial and local governments. The opacity of how subsidies are administered in China and its failure to notify any sub-central government subsidies to the WTO have made the investigations to uncover China's subsidization practices and litigation at the WTO extremely time-consuming and expensive even for large trading countries like the United States. Most other WTO members do not have the resources to conduct these investigations.⁷⁵ This is of course unsurprising because many of the unique features of China's political economy were not fully anticipated when the WTO rules were negotiated several decades ago. It is rather awkward to apply market-oriented WTO rules to China where extensive governmental intervention is the rule, not an exception.⁷⁶ This in turn raises the question of whether and if so to what extent litigation is adequate to address the issue considering the scale of problem, if China keeps its unique industrial policies and massive subsidies.

To address the China subsidy problem, some WTO members have become norm entrepreneurs. One of the key SCM Agreement reform initiatives led by the United States, the European Union and Japan was to identify gaps in existing SCM rules and develop new tools that could address problematic subsidies practices not currently covered by existing obligations. In January 2020, the respective trade ministers agreed to strengthen the WTO SCM Agreement by (1) adding new

71 Dukgeun Ahn, 'United States—Definitive Anti-Dumping and Countervailing Duties on Certain Products from China' (2011) 105 *American Journal of International Law* 764.

72 Henry Gao and Weihuan Zhou, *Between Market Economy and State Capitalism: China's State-owned Enterprises and the World Trading System* (CUP 2022), at 125.

73 Testimony of Jennifer Hillman, United States-China Economic and Security Review Commission Hearing on US Tools to Address Chinese Market Distortions, 8 June 2018.

74 Chad P Bown and Jennifer A Hillman, 'WTO'ing a Resolution to the China Subsidy Problem' (2019) 22 *Journal of International Economic Law* 557, 567–72.

75 USTR, above n 8, at 15.

76 Mark Wu, 'The China, Inc. Challenge to Global Trade Governance' (2016) 57 *Harvard International Law Journal* 261, 285.

types of prohibited subsidies; (2) reversing the burden of proof requiring the subsidizing country to demonstrate for certain other types of subsidies that the subsidy provided did not cause adverse effects and that there is effective transparency about the subsidy in question; (3) specifying that overcapacity linked to the subsidy constitutes an instance of serious prejudice under Article 6.3 of the SCM Agreement; (4) improving the subsidies notification rules; (5) adopting clearer rules on the circumstances in which domestic prices can be rejected and how a proper benchmark can be established, including the use of prices outside of the market of the subsidizing member; and (6) developing a new definition of what constitutes a ‘public body.’⁷⁷

However, adopting more restrictive subsidy rules to be enforced through the WTO dispute settlement system is controversial.⁷⁸ More importantly, it is unlikely for any new subsidy rules to be adopted by consensus given the current paralysis of the WTO. In addition, although preferential trade agreements have proliferated in recent years, they tend to reaffirm the existing subsidies disciplines in the SCM Agreement. Additional commitments are largely of an ancillary or procedural nature, rather than more innovative substantive rules.⁷⁹

5. Conclusion

No issue in international trade law is as contentious, complex, and challenging as the question of subsidies.⁸⁰ Over the past four decades, the Chinese government has strived to move from a command economy to a market economy. Extensive economic reforms have produced an unparalleled economic miracle in China. China has lifted nearly 800 million people out of poverty, accounting for more than 75% of global poverty reduction in the same period.⁸¹ However, the Chinese political and economic system remains fundamentally different from western liberal market capitalism. One key feature of China’s state capitalism is that the Chinese government, directly or indirectly, adopts an active industrial policy and grants subsidies, especially in strategic sectors. The resulting perception of unfair trade has undermined international trade and investment relations between China and other WTO members.

The existing WTO rules, including the WTO-plus obligations embodied in China’s WTO Accession Protocol, have imposed powerful constraints on China’s unique economic model. However, the SCM Agreement is unlikely to address the root causes of Chinese subsidies problem, which is deeply embedded in China’s political and economic system itself. In response, other WTO members have started to be norm entrepreneurs in clarifying the existing rules or designing new disciplines to address the alleged China’s subsidies problem through unilateral means. The Biden administration’s 100% tariff and the EU’s CVDs on Chinese-made electric vehicles are recent examples of how concerns about Chinese subsidies have intensified in the era of great power rivalry and economic competition.

77 Joint Statement of the Trilateral Meeting of the Trade Ministers of Japan, the United States and the European Union, 14 January 2020.

78 Robert Howse, ‘Making the WTO (Not So) Great Again: The Case Against Responding to the Trump Trade Agenda Through Reform of WTO Rules on Subsidies and State Enterprises’ (2020) 23 *Journal of International Economic Law* 371, at 382–84.

79 Luca Rubini, ‘Subsidies’ in Aaditya Mattoo and others (eds), *Handbook of Deep Trade Agreements* (The World Bank 2020) at 428, 458.

80 Andreas F Lowenfeld, *International Economic Law* (OUP 2008) at 216.

81 The World Bank and the Development Research Centre of the State Council, *Four Decades of Poverty Reduction in China* (2022), at 1.

China's subsidy problem is now deeply entangled with other issues, including geopolitical instability, hostility to China, growing indifference to WTO rules, and deglobalization.⁸² The Biden administration presented the adoption of a new industrial policy as the solution for the geopolitical, economic, and societal challenges, including the protection of national security and domestic industries, the resilience of supply chains, job security, and climate change mitigation.⁸³ The second Trump administration's industrial policy sharply diverges from the Biden era, but some subsidies continue. The return of industrial policies around the world makes it harder to decry China's industrial subsidies. The WTO subsidies disciplines must be updated to respond to the new normal, otherwise they will become increasingly irrelevant, and the international trading order could reach a breaking point quite quickly.

82 Martin Wolff, 'How Not to Do Industrial Policy' *Financial Times* (18 June 2024).

83 Simon Evenett and others, 'The Return of Industrial Policy in Data,' IMF Working Paper WP/24/1 (January 2024), at 10; Inu Manak, 'The Curse of Nostalgia: Industrial Policy in the United States,' Council on Foreign Relations, 22 January 2024.

TRADE REMEDIES IN LATIN AMERICA IN TIMES OF INDUSTRIAL POLICY

Manuel Quindimil

Introduction

Different economic crises have been accompanied by the emergence of protectionist measures in various countries. Many authors argue that, during economic crises, these measures have not always taken the form of tariff barriers or restrictions aimed at mitigating the impact of imports on domestic firms. In fact, the typology of protectionist measures evolved during the Great Financial Crisis (GFC) of 2008–09 and the COVID-19 pandemic. During these crises, rather than increasing their import tariffs or border restrictions, countries have granted a vast array of subsidies to their domestic firms.

The existence of this ‘new protectionism’ will undoubtedly have varied effects on the economies of Latin American and Caribbean (LAC) countries. This chapter seeks to analyse how different LAC countries have coped with the various scenarios that have put their domestic firms at risk. It aims to investigate when and how the countries of the region have protected (or not) their national industries.

This work proceeds as follows. Section I describes the evolution of protectionism from the early 20th century to the present, namely, from 1930 to 2023. Section II outlines the key features of LAC countries’ trade policies. The region’s use of trade remedies has been characterized by a pendulum swing between policies promoting industrial development and those advocating for trade liberalization. This section further examines how LAC countries responded to the pandemic-induced economic crisis by protecting their domestic industries. Section III focuses on the trade remedies that began to be requested and implemented during this period (2020–23). Finally, based on the conclusions that a new type of protectionism has emerged, Section IV offers some recommendations on how LAC countries should shape their trade policies, in a world where one can no longer speak of unrestricted free trade, but rather of ‘managed’ trade. The chapter concludes with a summary of the main findings.

I. A Historical Overview: The Evolution of Protectionism: From Traditional Barriers to Subsidy-Based Measures

A comprehensive understanding of the types of trade remedies implemented by certain LAC countries during the recent global financial and COVID-19 crises necessitates a detailed

examination of the changing nature and evolution of the protectionist measures introduced by different nations. Moreover, this analysis cannot ignore the ongoing shift, whether welcomed or not, from a multilateral system characterized by minimal state intervention in international trade flows towards one marked by the implementation of industrial policies. In this context, we are witnessing a return to the phenomenon that economists Kyle Bagwell and Robert W. Stainer termed ‘managed trade’ wherein the state plays an active role in its economy, providing a wide range of subsidies and support to domestic firms. Such measures inevitably distort the international economy.¹

Political economist Nicolas Albertoni provides a historical overview of how countries have imposed restrictions on international trade in response to economic difficulties.² During the 1930s crisis, nations implemented various protectionist measures that ultimately contributed to the outbreak of World War II. The solution to protectionism and the ensuing global conflict was the establishment of a multilateral trading system in 1947. Despite the failure of the proposed International Trade Organization, trade liberalization progressed through the General Agreement on Tariffs and Trade (GATT).³ While this system did not encompass all sectors (such as agriculture and textiles), successive rounds of negotiations successfully reduced import tariffs significantly. The foundation of the system was to minimize state intervention in trade and, if restrictions were necessary, to impose them in accordance with established rules.⁴

In the 1970s, however, economic decline and the emergence of East Asian newly industrializing economies triggered a return to protectionism.⁵ Without resorting to 1930s-style across-the-board tariff increases, governments tilted the playing field in favour of local firms.⁶ This economic crisis prompted many countries to impose various types of non-tariff barriers to trade—such as voluntary export restrictions—and to abuse the application of trade remedies. This climate of uncertainty led to calls from several countries for countries applying trade remedies to be subject to disciplines, resulting in the Anti-Dumping Code and the Anti-Subsidies Code, in the GATT Tokyo round negotiations, among others.⁷

The World Trade Organization (WTO), established in 1995, provided the framework for a rules-based multilateral trading system.⁸ Under this system, trade expanded significantly with limited state intervention and a relatively free flow of goods and services until the end of the first decade of the 21st century. Specifically, regarding anti-dumping measures, with the entry into

1 See K Bagwell and RW Staiger, ‘A Theory of Managed Trade’ (1990) 80 *The American Economic Review* 779–95 (proposing a theory that predicts low levels of protection during periods of ‘normal’ trade volume coupled with episodes of ‘special’ protection when trade volumes surge. This dynamic pattern of protection emerges from a model in which countries choose levels of protection in a repeated game facing volatile trade swings. High trade volume leads to a greater incentive to defect unilaterally from cooperative tariff levels. Therefore, as the volume of trade expands, the level of protection must rise in a cooperative equilibrium to mitigate the rising trade volume and hold the incentive to defect in check).

2 N Albertoni, ‘A Historical Overview of the 21st-Century Protectionism’ (2021) *VL Latin American Journal of Trade Policy* 5–21.

3 General Agreement on Tariffs and Trade, adopted 30 October 1947, in force 1 January 1948, 55 UNTS 194.

4 Albertoni (n 2) 6.

5 *ibid.*

6 Simon J Evenett, ‘Protectionism, State Discrimination, and International Business since the Onset of the Global Financial Crisis,’ (2019) 2(1) *Journal of International Business Policy* 9–36.

7 *ibid.*

8 Marrakesh Agreement Establishing the World Trade Organization (Marrakesh Agreement or WTO Agreement), 15 April 1994, 1867 UNTS 154, 33 ILM 1144 (1994).

force of the WTO Anti-Dumping Agreement,⁹ there was a significant shift in the group of countries imposing anti-dumping duties. The group of countries that traditionally used this trade policy tool was joined by new users, including developing countries. Antidumping measures are no longer a trade policy tool available to just a handful of Western advanced economies, they are now used by economies at all stages of development from different parts of the world.¹⁰ Six prominent new users—Argentina, Brazil, India, Mexico, South Africa, and Turkey—apply more antidumping measures than the traditional users.¹¹ While North America, Latin America, and the European Union collectively imposed many anti-dumping measures between 2000 and 2015, a notable trend emerged.¹² Eight developing Asian economies were included among the top 10 economies most affected by these measures during the same period.¹³ Consequently, despite the relatively lower frequency of anti-dumping measures implemented by Asian economies themselves, they bore the brunt of such impositions, absorbing a substantial 68% of the global total.¹⁴ This dynamic underscored Asia's position as the world's most impacted region in terms of anti-dumping measures.¹⁵

Before analysing the trade frictions that arose in the wake of the GFC of 2008–09, it is imperative to clarify the concept of 'protectionism,' a dynamic notion that has evolved significantly in response to different economic crises. As Simon J. Evenett¹⁶ emphasizes, in the 20th century protectionism tended to refer to a particular form of policy intervention, namely, taxing the imports of foreign goods. However, protectionism is not confined to tariffs on imported goods. Rather, governments frequently use various policy instruments to favour domestic firms, making any form-based definition of protectionism inadequate.¹⁷ A backwards-looking definition of protectionism would emphasize import restrictions (tariffs in particular) and beggar-thy-neighbour currency devaluations.¹⁸

According to Evenett, to define protectionism a more effective approach is to examine the commonality of all unilateral government actions that benefit local interests.¹⁹ Protectionist policies typically discriminate against foreign commercial entities in favour of domestic rivals. By altering the relative treatment of domestic and foreign firms, these policies can distort market competition. Evenett advocates for a revised 21st-century definition of protectionism that encompasses the diverse forms of contemporary international commerce and acknowledges the government's ability to change its methods of favouring domestic firms.²⁰ Consequently, a modern protectionism definition would encompass all government actions that favour local commercial interests

9 Agreement on Implementation of Article VI of the General Agreement on Tariffs and Trade 1994 (Anti-Dumping Agreement), Annex 1A to the Marrakesh Agreement, 15 April 1994, 1868 UNTS 201. For commentary see P De Baere, C du Parc and I Van Damme, *The WTO Anti-Dumping Agreement: A Detailed Commentary* (CUP 2021).

10 JW Kang and D Ramizo, 'Impact of Antidumping Measures on International Trade: Growing South-South Tensions?' (2019) 29(3) *Journal of International Trade & Economic Development* 334–52.

11 PA Messerlin, 'China in the World Trade Organization: Antidumping and Safeguards' (2004) 18(1) *The World Bank Economic Review* 105–30.

12 Kang and Ramizo (n 10) 336.

13 *ibid.*

14 *ibid.*

15 *ibid.*

16 Evenett (n 6).

17 *ibid.*

18 R Baldwin and S Evenett (eds), *COVID-19 and Trade Policy: Why Turning Inward Won't Work* (CEPR Press 2020) <<https://cepr.org/publications/books-and-reports/covid-19-and-trade-policy-why-turning-inward-wont-work>> accessed 14 December 2024.

19 Evenett (n 6).

20 *ibid.*

over one or more foreign competitors, regardless of the specific type of international commerce or policy instrument employed.

Why did countries resort to a wide range of non-tariff barriers instead of traditional measures such as import duties? During the GFC of 2008–09, government measures predominantly focused on stimulating exports rather than restricting imports. Given the acute cash shortages faced by firms at the crisis' peak, they pragmatically sought direct financial support from their governments instead of advocating for increased tariffs. While tariffs can potentially generate revenue by diverting consumer spending from imports to domestic goods, this process is both uncertain and time-consuming. Directly requesting government assistance in the form of cash seemed a more immediate and efficient solution.²¹ The severe cash constraints imposed by the GFC compelled firms to seek direct government financial support rather than advocating for increased import tariffs. Consequently, as Evenett highlights, the primary trade-distorting measures implemented were state subsidies to domestic producers competing with imports, and new government-backed export incentives.²² Camilla Jansen points out that this new protectionism took four forms: (i) traditional protectionist policies; (ii) consumer and ideology-driven sanctions; (iii) standards, health, safety, and environmental concerns; and (iv) strategic and industrial policy measures.²³

The Global Trade Alert (GTA)²⁴ report for 2009–19 highlights a decrease in the utilization of trade remedies compared to the provision of state subsidies during economic crises. According to Global Trade Alert's statistics, subsidies (excluding export subsidies), export-related subsidies, and contingent trade protective measures amounted to 49.1%, 19.2%, and 6.1% of the harmful policy instruments used between 2009 and 2019, respectively.²⁵

The decade preceding the COVID-19 pandemic witnessed a surge in protectionist measures, driven by a confluence of factors that have eroded the multilateral trading system.²⁶ This trend is not merely a series of isolated restrictive trade actions but rather reflects a fundamental shift in the dynamics of international trade. In the immediate aftermath of the financial crisis, a relatively broad range of trade policy instruments with protectionist implications were implemented.²⁷ Non-tariff barriers, characterized by a lack of transparency often referred to as 'murky protectionism' and implemented unilaterally, have become increasingly prevalent in the global economy. The rise of anti-globalization sentiment, exemplified by the election of Donald Trump as US president (2016 and 2024) and the success of Brexit (2016), has further exacerbated these trends. The US-China trade war has also significantly disrupted the normal functioning of international trade. Moreover, the failure to appoint judges to the Appellate Body of the WTO's dispute settlement mechanism has weakened the organization's authority and contributed to instability in the multilateral trading system.^{28,29} Finally, many countries are now incorporating non-economic

21 *ibid.*

22 *ibid.*

23 C Jensen, 'The New Protectionism and the Future of the Global Trading System,' 29 September 2023, SSRN <<https://ssrn.com/abstract=4588293> or <http://dx.doi.org/10.2139/ssrn.4588293>> accessed 14 December 2024.

24 Global Trade Alert, Database <<https://www.globaltradealert.org/>> accessed 14 December 2024.

25 Global Trade Alert, Global Dynamics <https://www.globaltradealert.org/global_dynamics> accessed 14 December 2024.

26 Albertoni (n 2) p 15.

27 Jensen (n 23) p 8.

28 GTA <<https://www.globaltradealert.org/>> accessed 14 December 2024.

29 On 30 April 2020, 47 WTO members established the Multi-Party Interim Appeal Arbitration Arrangement (MPIA), a mechanism intended to arbitrate WTO disputes among themselves that would otherwise be appealed to the inactive WTO Appellate Body. These members aimed to preserve the WTO's appellate process, emphasizing independence, impartiality,

objectives, such as national security, consumer protection, environmental sustainability, public health, and social goals, into their trade policies, creating tensions with the traditional goal of trade liberalization. This shift in policymaking, which distorts international trade, reflects a transition from the open trading system embodied in the GATT-WTO towards a regime of 'managed trade.'³⁰ Governments are increasingly intervening in the economy through industrial policies that have trade-distorting effects.³¹

Unlike traditional defensive instruments like ordinary tariffs, anti-dumping, and safeguards, new protectionist measures were applied relatively evenly across the 2008–20 period.³² Furthermore, there was a significant surge in the use of strategic policy instruments, such as trade bans and economic sanctions, reaching a new high in 2022 following the Ukraine war.³³ Investment measures, including those aimed at protecting natural monopolies and export controls, also witnessed a substantial increase during the 2020s.

According to the GTA, the extensive use of corporate subsidies during the initial phase of the pandemic is evident.³⁴ Governments and companies often report subsidy awards with a substantial delay, which has contributed to the lower overall tally of corporate subsidies recorded in 2023. Nonetheless, even this year, over half of the G20 policy interventions that impede market access involve corporate subsidies granted to import-competing firms. Since the COVID-19 pandemic, there has been a discernible upward trend in protectionist measures, including government procurement, tariff increases, and import licenses and quotas³⁵ GTA data indicates a marked change in government support for domestic industries from 2020 to 2023, with a sharp increase in 2023. Specifically, financial grants, general state aid, and government loans significantly rose. Public procurement favouring local sourcing also saw substantial growth. Import tariffs remained relatively stable. Tax and social security relief became much more common in 2023. Additionally, trade finance, capital injections, and export prohibitions were largely or solely used in 2023. Overall, the data shows a clear trend of increased state intervention for domestic firms in 2023, highlighting the rising significance of industrial policies using diverse state aid.³⁶

In response to the pandemic, all states have adopted more interventionist policies, including providing subsidies and loans to businesses and sectors, income support to individuals, acquiring equity stakes in leading companies, and procuring medical supplies on a large scale.³⁷ The rationale

and efficiency. They also committed to resolving the Appellate Body impasse and terminating the MPIA upon its restoration. The MPIA operates as a political agreement, requiring case-by-case invocation. When MPIA parties have a WTO dispute, they jointly notify the Dispute Settlement Body under Article 25 of the Dispute Settlement Understanding, formally indicating their intention to use the MPIA for appellate resolution and outlining their procedural approach. WTO Plurilaterals. Multi-Party Interim Appeal Arbitration Arrangement (MPIA). https://wtoplurilaterals.info/plural_initiative/the-mpia/. Accessed March 3, 2025.

30 Global Trade Alert, 'Global Dynamics' <https://www.globaltradealert.org/global_dynamics> accessed 14 December 2024.

31 *ibid.*

32 *ibid.*

33 Jensen (n 23) 12.

34 GTA <<https://www.globaltradealert.org/>> accessed 14 December 2024.

35 *ibid.*

36 *ibid.*

37 K Dawar and E Ronen, 'Industrial Policy and International Competition: Trade and Investment Perspectives' *World Economic Forum White Paper*, 8 February 2022, p 6 <https://www3.weforum.org/docs/WEF_Industrial_Policy_and_International_Competition_2022.pdf> accessed 14 December 2024.

behind these industrial policies has been to promote sustained productivity growth, diversification, inclusive development, employment creation, and green transitions.³⁸ Governments around the world have increased their involvement in their national economies as a direct reaction to the COVID-19 pandemic and its consequences. The COVID-19 pandemic amplified trade protectionism, leading many governments to prioritize local economic players. This was reflected in the following types of interventions implemented:³⁹

- Investment in Healthcare: They invested heavily in developing vaccines and treatments.
- Financial Support: Governments supported households and firms through subsidies and loans. G20 countries saw additional spending and foregone revenue equivalent to 9.5% of their combined GDP. Another 9.4% was injected through loans, equity, and guarantees.
- Taking Stakes in Companies: Some governments took equity stakes in struggling strategic companies, as seen with Germany's bailout of Lufthansa and Italy's nationalization of Alitalia.
- Ensuring Supply of Essential Goods: Governments intervened to ensure the supply of essential goods, including medical supplies.
- Increased Use of Industrial Policy Instruments: There was an increased use of various industrial policy instruments, including subsidies, state ownership, government procurement policies favouring domestic players, trade remedies, and investment screening regimes.
- Foreign Investment Screening: Many governments introduced or reformed their FDI investment-screening policies on national security grounds. The EU also established a mandatory information-sharing system for FDI screening.

GTA data shows a continued decrease in trade remedy use compared to prior periods. From 2020 to 2023, the primary harmful policy instruments were subsidies (excluding export subsidies) at 67.9%, export-related measures (including export subsidies) at 11.7%, and contingent trade protective measures at 7.7%.⁴⁰

Specifically, subsidies (excluding export subsidies) composed the largest portion at 67.4%. Export-related measures followed at 11.7%. Other significant categories included trade-related investment measures (5.6%), tariff measures (4.3%), government procurement restrictions (3.3%), and a miscellaneous 'Others' category (7.7%).⁴¹

Renowned scholars like Bown found that the worldwide downturn has demonstrated once again the strong link between economic bad times and increased use of trade remedies.⁴² After the GFC, trade remedies were accompanied by other trade restrictive measures. Citing a 2017 WTO report on trade measures implemented by the G20, Evenett highlights that trade remedies (anti-dumping, countervailing duty, and safeguard investigations) were, for the first time, not counted towards the totals for trade restrictive measures.⁴³

38 *ibid* 7–19.

39 *ibid*.

40 Global Trade Alert Database <<https://www.globaltradealert.org/>> accessed 14 December 2024.

41 *ibid*.

42 CP Bown, 'The Global Resort to Antidumping, Safeguards, and Other Trade Remedies Amidst the Economic Crisis' in O Cattaneo, SJ Evenett and B Hoekman (eds), *Effective Crisis Response and Openness: Implications for the Trading System* (World Bank and CEPR 2009), chapter 7 (highlighting antidumping and safeguards).

43 Evenett (n 6).

An analytical report from the WTO scrutinizes the use of trade remedies in the aftermath of the COVID-19 pandemic from July 2020 to June 2023.⁴⁴ The number of trade remedy investigations (anti-dumping, countervailing duty, and safeguards) initiated by WTO members has decreased over recent years.⁴⁵ There were 335 investigations from July 2020 to June 2021, 136 from July 2021 to June 2022, and 125 from July 2022 to June 2023.⁴⁶ The trend regarding anti-dumping measures as the primary trade remedy was evident, despite a current reduction in new investigations.⁴⁷ The utilization of countervailing duties and safeguards remained marginal throughout the analysed periods.⁴⁸

II. The Basics of Latin American Trade Policy

This section provides a concise outline of Latin American trade policy. While Brazil, Chile, and Cuba were founding members of the GATT 1947, most Latin American states were peripheral actors in the construction of the multilateral trading system. This peripheral position was due to the region's widespread embrace of import substitution industrialization (ISI) policies. It aims to foster domestic industrial growth by replacing imported manufactured goods with locally produced ones. The core idea behind ISI is to reduce a country's dependence on foreign manufactured goods and promote the development of its own industrial sector. This is typically achieved through:

- Protectionist Measures: Implementing tariffs, quotas, and other trade barriers to make imported goods more expensive, thereby encouraging consumers to buy domestically produced alternatives.
- Government Intervention: Providing subsidies, tax breaks, and other incentives to support domestic industries.
- State-Led Investment: Investing in infrastructure and key industries to facilitate industrial growth.

For Albertoni, ISI represents a departure from outward-oriented export promotion towards an inward-looking economic strategy.⁴⁹ Originated in the 1960s, ISI was designed to displace imports with domestically produced goods, guided by state intervention, including industrial, fiscal, and monetary policies.⁵⁰ The imposition of high import tariffs to protect domestic manufacturing industries ran counter to the ongoing tariff reductions on industrial products agreed upon in the early rounds of the GATT.

The 1980s witnessed the demise of the ISI model as countries became increasingly unable to sustain the subsidies and tax breaks associated with this strategy.⁵¹ Moreover, the need to finance rising import costs with foreign exchange has become unsustainable. After nearly three decades

44 World Trade Organization, Trade Policy Review Body, *Overview of Developments in the International Trading Environment*, Annual Report by the Director-General (Mid-October 2022 to mid-October 2023), 23 November 2023, WT/TPR/OV/26 <<https://d3ipxbzibstf0l.cloudfront.net/reports/59-report.pdf>> accessed 14 December 2024.

45 *ibid.*

46 *ibid.*

47 *ibid.*

48 *ibid.*

49 N Albertoni, *Trade Protectionism in an Uncertain and Interconnected Global Economy* (Routledge 2023) 85.

50 *ibid.*

51 *ibid.*

of ISI characterized by high tariffs to protect domestic industries, many Latin American countries embarked on ambitious reforms centred on trade liberalization, privatization, and deregulation in the 1980s.^{52, 53}

This process of opening Latin American economies was a direct result of the policy prescriptions outlined in the Washington Consensus.⁵⁴ Latin America adopted a new approach to economic liberalization which trusted the efficiency of markets and consequently narrowed the policy space of states. The Washington Consensus advocated for liberalizing imports to facilitate exporters' access to capital and intermediate goods needed to compete internationally. This involved reducing tariffs to a range of 10–20%, with low variance, and removing other import barriers.⁵⁵ The term 'open regionalism' refers to a specific approach to regional integration. It's a process of growing economic interdependence at the regional level, promoted by both preferential integration agreements and other policies within a context of liberalization and deregulation. This approach aims to enhance the competitiveness of the countries in the region. It can also serve as a defence mechanism against protectionist pressures in markets outside the region.⁵⁶ 'Open regionalism' fundamentally superseded the ISI model: Instead of prioritizing national industrialization, LAC countries focused on industrialization on a regional scale.⁵⁷ Regional arrangements supported an openness to global capitalism, the trans-nationalization of trade and production, and the progressive liberalization of markets in LAC countries.⁵⁸

The late 2000s saw a shift in Latin America, as countries began to rethink their industrial policies. This was driven by factors such as the region's political flux (marked by the rise of nationalist

52 *ibid.*

53 AC Bianculli, 'Regionalism and Regional Organizations: Exploring the Dynamics of Institutional Formation and Change in Latin America' (2022) 25(2) *Journal of International Relations and Development* 556–81.

54 The term 'Washington Consensus' was coined in 1989 by economist John Williamson of the Peterson Institute for International Economics (PIIE). He used it to describe a set of policies gaining traction among Latin American policymakers in response to the macroeconomic volatility and debt crisis of the early to mid-1980s. These policies also garnered support from experts at Washington-based international institutions, notably the International Monetary Fund, the World Bank, and the US Treasury, to facilitate recovery from the debt crisis. While Williamson intended his list to be descriptive, not prescriptive, the term rapidly evolved, particularly in the 1990s, becoming synonymous with privatization and the liberalization of state control over national economies following the fall of communism. Decades of global economic fluctuations and varying degrees of success with policy reforms have resulted in the 'Washington Consensus' evoking both skepticism and enduring support among economists. The core policies of the Washington Consensus include maintaining fiscal discipline, reallocating public spending from subsidies to health and education, reforming tax policy, allowing market-determined interest rates, maintaining a competitive exchange rate, liberalizing trade, promoting foreign direct investment, privatizing state-owned enterprises, deregulating market entry and exit, and securing property rights. Williamson highlighted that these policies diverged from the prevailing development paradigm of the 1950s, when many developing nations favored state-dominated economic systems. D Irwin and O Ward, 'What Is the "Washington Consensus?"' Peterson Institute for International Economics, 8 September 2021 <<https://www.piie.com/blogs/realtime-economic-issues-watch/what-washington-consensus>> accessed 3 March 2025.

55 I Goldfajn, L Martínez and RO Valdés, 'Washington Consensus in Latin America: From Raw Model to Straw Man,' (2021) 35 *Journal of Economic Perspectives*, American Economic Association 109–32.

56 Economic Commission for Latin America and the Caribbean (ECLAC) (1994) *Open regionalism in Latin America and the Caribbean: economic integration as a contribution to changing production patterns with social equity*, at 11.LC/G.1801/REV.1-P. September <<https://hdl.handle.net/11362/37868>>.

57 AEJ Fernández and B Hogenboom, 'Latin American Experiences with Open Regionalism' (1996) 26 *International Journal of Political Economy* 3–13, at 3.

58 *ibid.*

governments often referred to as the ‘pink tide’),⁵⁹ the economic stagnation leading up to the GFC, and the decline in commodity prices. As a result, many nations moved away from the Washington Consensus model of trade liberalization.⁶⁰ ‘Pink tide’ trade policy was characterized by a move away from unfettered free trade, a focus on regional alliances that challenged US influence, and a greater emphasis on the state’s role in shaping trade outcomes to achieve social and political objectives.⁶¹

The experiences of LAC countries with economic liberalization and inward-looking policies have been diverse, with neither a linear nor a uniform pattern. The liberalization process entailed a swift transition from quantitative trade restrictions to tariffs, followed by a gradual reduction of these tariffs to a uniform low rate of approximately 10%. Albertoni cautions that these reforms were not uniformly applied across Latin America, and many countries continued to protect certain industries.⁶² Moreover, some trade liberalization efforts were swiftly undermined by protectionist policies in the form of non-tariff measures (NTMs) intended to limit imports.

These NTMs often enable domestic industries adversely affected by trade liberalization to seek compensation for their losses. Consequently, domestic actors representing these disadvantaged commercial interests wield significant influence over trade policymaking. Albertoni⁶³ posits a dichotomy between two groups of Latin American countries in their approach to trade liberalization. The former group, encompassing Chile, Colombia, Costa Rica, and Mexico, has exhibited a sustained commitment to trade liberalization, evidenced by continuous tariff reductions, the proliferation of preferential trade agreements, and an unwavering adherence to open trade principles.⁶⁴ Conversely, Brazil, Argentina, and Venezuela have maintained a more protectionist stance, relying on NTMs.⁶⁵ In this latter group of countries, periods of trade liberalization were often followed by policy reversals, marked by increased tariffs and non-tariff barriers. Many governments extended preferential protection to select economic sectors and made extensive use of anti-dumping

59 The ‘pink tide’ describes the rise of left-leaning governments in Latin America in the early 2000s, driven by broad social movements, with Hugo Chávez’s 1998 victory as a catalyst. These governments emphasized equality, social justice, and stronger state intervention in the economy. While the ‘pink tide’ appeared to wane by the late 2010s, subsequent right-wing governments also faced instability, indicating ongoing political flux in the region. ‘Pink tide’ governments often prioritized strengthening regional alliances, particularly those that aimed to counter the influence of the United States. This led to the revitalization or creation of organizations like UNASUR (Union of South American Nations) and ALBA (Bolivarian Alliance for the Peoples of Our America). While the ‘pink tide’ saw a surge in left-leaning governments, Mexico, Colombia, and Peru maintained close ties with Washington. Regional rivalries and disputes persisted, exemplified by the long-standing competition between Brazil and Argentina, and the Chile-Bolivia maritime dispute. Additionally, the ‘pink tide’ exhibited internal divisions, with Venezuela, Bolivia, Nicaragua, and Cuba forming ALBA as an alternative to US-led initiatives, while Brazil, Chile, Argentina, and Uruguay distanced themselves from more radical Bolivarian rhetoric. See G Lievesley, ‘Pink Tide’ in I McLean and A McMillan, *The Concise Oxford Dictionary of Politics* (3rd ed, OUP 2009) <<https://www.oxfordreference.com/display/10.1093/oi/authority.20110803100328139>> (accessed 8 October 2024)

60 M Castillo and C Ominami, ‘Transformación Productiva y Nueva Actualidad de Las Políticas Industriales en América Latina’ (2024) 56(207) *Estudios Internacionales* 185–216.

61 *ibid.*

62 Albertoni (n 4).

63 *ibid.*

64 *ibid.*

65 *ibid.*

instruments.⁶⁶ With their more advanced productive sectors, Brazil, Argentina, and Mexico have been leading countries in the use of anti-dumping measures in the post-WTO era. The protectionist measures most used in Latin America were tariff measures and non-automatic licensing.⁶⁷

Mario Castillo and Carlos Ominami⁶⁸ points out that before the COVID-19 pandemic, the major economies in the region were already experiencing a slowdown. These authors contend that the health crisis further aggravated a structurally weak situation characterized by overreliance on natural resources, low productivity, significant productive heterogeneity, and fiscal constraints. With the pandemic, which disproportionately affected Latin America, the macroeconomic environment in the region deteriorated sharply, with declining growth, accelerating inflation, rising interest rates, declining liquidity, and worsening external debt and balance of payments problems.⁶⁹ In line with the region's GDP decline, Latin American exports experienced a sharp slump at the onset of the pandemic in 2020.⁷⁰ When examining individual countries, Mexico, Colombia, and Costa Rica suffered particularly severe declines, aligning with the OECD-wide trade decrease of 22% in the second quarter of 2020. However, countries like Chile and Brazil did not experience an overall decline in their aggregate exports during the initial shock.⁷¹

While LAC countries have varying economic profiles, for the purpose of simplifying the analysis of trade patterns, Mexico and Costa Rica are integrated into value chains, especially those of the US, given their developed manufacturing sectors. On the other hand, South American countries, with their focus on natural resource-intensive trade, face challenges in integrating into value chains. Given the complex nature of trade policies in LAC countries, it is necessary to analyse which measures, harmful to international trade, were adopted in response to the pandemic crisis. In the face of severe pandemic-induced economic shocks, Brazil was the sole LAC country among the top ten global economies to adopt trade-restrictive measures during 2020–23, ranking fourth. Argentina and Mexico followed at lower positions. In comparison, LAC countries have implemented fewer trade restrictions than more developed countries. This is primarily because, given the predominance of state aid as a response to COVID-19, LAC countries were unable to replicate such measures due to fiscal constraints.

Brazil, Argentina, and Mexico, given their significant economic and industrial weight, were the primary countries in the region to implement trade restrictions. Brazil stands out as the leading

66 Jorge Cornick and others (eds), *Political Economy of Trade Policy in Latin America* (Inter-American Development Bank 2018) <<https://publications.iadb.org/en/political-economy-trade-policy-latin-america>> accessed 14 December 2024.

67 Albertoni (n 54) at 49.

68 Castillo and Ominami (n 31) 185–216.

69 Latin America's economic trajectory has been marked by persistent underperformance compared to other emerging market regions. The period from 1980 to 2020 saw only one significant phase of per capita GDP growth (2003–13), largely attributed to the China-driven commodity boom, rather than gains in physical and human capital or total factor productivity. Even before the COVID-19 pandemic, the region's projected GDP growth was a modest 2% annually. The IMF now forecasts a sharp 8.1% contraction in 2020, followed by a limited 3.6% recovery in 2021, leaving the region's GDP well below its pre-pandemic trend. Among the Latam-6, Peru, Argentina, and Mexico are projected to experience the most severe economic downturns. This pandemic-induced economic performance is significantly weaker than that of other emerging regions, with a more substantial contraction and a slower recovery, intensifying existing challenges related to poverty and high levels of inequality. J Cottani, 'The Effects of COVID-19 on Latin America's Economy' (2020) *Center for Strategic and International Studies (CSIS)* <<https://www.csis.org/analysis/effects-covid-19-latin-americas-economy>> accessed 28 February 2025.

70 J Arnold and others, 'Post-COVID-19 Trade Scenarios and Priorities for Latin America' (2023) *OECD Trade Policy Papers* No 266 <<https://doi.org/10.1787/ea76ade5-en>> accessed 14 December 2024.

71 *ibid.*

country in Latin America in terms of adopting trade-distorting measures for the period 2020 to 2023, with 2 measures announced in 2022, and 109 in 2023. Argentina and Mexico followed with 3, and 39; and 6, and 17 measures, respectively, in 2022 and 2023.⁷²

While trade restrictions were not frequently employed, state loans stood out as a more prevalent policy instrument among Brazil, Argentina, and Brazil. Given the magnitude of its economy, Brazil was the standout in terms of state loans in the LAC region.⁷³

III. Principal Characteristics of Trade Remedy Utilization in the Latin American Context

While Pablo Sanguinetti and Eduardo Bianchi acknowledge that contingent protection encompasses a range of trade policy instruments, they argue that their analysis primarily focuses on anti-dumping duties, given the limited use of countervailing duties and safeguards in LAC countries.⁷⁴ The WTO Trade Remedies Data Portal⁷⁵ reveals that antidumping duties have been the predominant trade defence instrument employed by the LAC region, surpassing the use of countervailing duties and safeguards (although the latter is not typically considered tool to address unfair trade practices).

J. Michael Finger and Julio J. Nogues⁷⁶ investigated the utilization of anti-dumping instruments by LAC economies as a means of mitigating the repercussions of trade liberalization post-1995 WTO Anti-Dumping Agreement. Their findings suggest that these measures were strategically employed to circumscribe the adverse effects of global economic integration.⁷⁷ Moreover, they posit that prevailing macroeconomic imbalances frequently necessitated a delicate balancing act between consumer and producer interests in the enforcement of anti-dumping regulations.⁷⁸

Robert M. Feinberg⁷⁹ points out that LAC countries filed 21% of global antidumping in the 1995–2003 period, with Argentina, Brazil, and Mexico the leading users. Between the establishment of the WTO Anti-Dumping Agreement and 2003, Argentina, Brazil, and Mexico were the most active initiators of anti-dumping investigations in the LAC region, according to Pablo Sanguinetti and Eduardo Bianchi.⁸⁰ These three countries collectively accounted for 92% of all initiated investigations (around 20% of the world total), with Argentina leading with 180 cases (38%), followed by Brazil with 104 (22%) and Mexico with 63 (13%).⁸¹

72 Global Trade Alert <https://www.globaltradealert.org/global_dynamics> accessed 20 December 2024.

73 *ibid.*

74 P Sanguinetti and E Bianchi, 'Trade Liberalization, Macroeconomic Fluctuations, and Contingent Protection in Latin America' (2006) *Economía Journal*, The Latin American and Caribbean Economic Association—LACEA, 147–83.

75 WTO Trade Remedies Data Portal <<https://trade-remedies.wto.org/es>> accessed 14 December 2024.

76 JM Finger and JJ Nogues (eds), *Safeguards and Antidumping in Latin American Trade Liberalization: Fighting Fire with Fire* (Palgrave Macmillan and World Bank 2006) <<https://documents.worldbank.org/pt/publication/documents-reports/documentdetail/300471468247809114/safeguards-and-antidumping-in-latin-american-trade-liberalization-fighting-fire-with-fire>> accessed 14 December 2024.

77 *ibid.*

78 *ibid.*

79 RM Feinberg, 'Antidumping and the Global Financial Crisis: The Impact on Latin America and the Caribbean' (2010) *Studies and Perspectives—ECLAC Office in Washington* 5063, Naciones Unidas Comisión Económica para América Latina y el Caribe (CEPAL) <<https://repositorio.cepal.org/entities/publication/4bf37813-5c9e-4412-b4aa-3b5cccc8bdcd>> accessed 14 December 2024.

80 Sanguinetti and Bianchi (n 74).

81 *ibid.*

Following the GFC, LAC countries exhibited a lower incidence of anti-dumping measures compared to the global average, with regional statistics indicating 15 and 21 cases in 2008 and 2009, respectively, versus 71 and 69 globally.⁸²

Argentina and Brazil exhibited moderate use of anti-dumping measures in 2008 and 2009, implementing 9 and 11, and 5 and 6 measures, respectively.⁸³ By examining these statistics, focusing on the years from 2005 and post-GFC, it is evident that the financial crisis did not significantly impact the use of anti-dumping measures in the region.

The pandemic did not trigger a surge in the use of anti-dumping duties by LAC countries. In fact, the region implemented a relatively low number of these measures (16, 27, and 3 in 2020, 2021, and 2022, respectively), compared to the global figures of 258, 249, and 24 for the same years.⁸⁴ The sudden decrease in imports to numerous countries prevented the use of competition and safeguard measures. Consequently, companies that compete with imports lacked any incentive to request these types of measures from regulatory bodies.⁸⁵

Once again, as has been recorded, during the pandemic period, the countries that applied anti-dumping measures—doing so in an isolated manner—were Brazil, Argentina, and Mexico.⁸⁶

IV. The Pivot of Trade Policy in Latin America Amidst the Backdrop of Substantial Aid to Foreign-Owned Domestic Firms

Regardless of the ideological stance adopted, the major economies in the region were already exhibiting signs of economic deceleration before the pandemic. The health crisis further exacerbated an inherently fragile economic landscape characterized by overdependence on natural resources, low productivity, substantial productive heterogeneity, and fiscal limitations. With the pandemic, the macroeconomic environment within the region deteriorated significantly, marked by a sharp decline in growth, accelerating inflation, rising interest rates, decreasing liquidity, and worsening external debt and balance of payments challenges.⁸⁷ In diagnosing the true extent of the region's participation in international trade, the OECD indicates that the relatively limited participation of Latin America in global trade flows and value chains raises the question of whether the region could benefit from stronger efforts to embrace global trade and reap greater economic gains from international value chain participation.⁸⁸

The solution to this dilemma could lie in greater trade openness, the OECD's stance, or the implementation of a modern industrial policy, as suggested by Castillo and Ominami. From the OECD perspective, to enhance the region's economic opportunities from global value chain

82 WTO Trade Remedies Data Portal (n 75).

83 *ibid.*

84 *ibid.*

85 The value of exports and imports of goods in LAC countries decreased by 17% between January and May 2020 compared to the same period in 2019. Both flows plummeted towards the end of the five-month period in 2020, with a year-on-year drop of 37% in May. The year-on-year decrease in the volume of trade in the April–May 2020 biennium was much greater than in the same period of 2009, during the financial crisis: 20% for exports and 25% for imports. In the case of imports, their decline is mainly due to the deep recession that the region is experiencing, with an expected contraction of its product of 9.1%. Economic Commission for Latin America and the Caribbean (ECLAC). (2020, August 20). The effects of COVID-19 on international trade and logistics (Informe 6 Informe Especial COVID-19) p 3 <<https://hdl.handle.net/11362/45877>> accessed 28 February 2025.

86 *ibid.*

87 Castillo and Ominami (n 31) 185–216.

88 J Arnold and others, 'Post-COVID-19 Trade Scenarios and Priorities for Latin America' (2023) OECD Trade Policy Papers 266, OECD Publishing at 16.

(GVC) participation, LAC countries should implement reforms to improve their business climate, reduce trade costs, and facilitate labour market adjustments. This includes lowering trade barriers, streamlining preferential agreements, and investing in infrastructure and workforce development. By addressing these areas, LAC countries can increase their competitiveness, attract foreign investment, and better integrate into global value chains.

On the contrary, with a view towards greater state intervention and the redesign of industrial policy, Castillo and Ominami propose that the new policy for productive transformation should consider four types of fundamental guidelines: climate change and emissions reduction, digitalization of production or Industry 4.0, new autonomies and shortening of chains, and social inclusion.⁸⁹

When viewed through the lens of trade policy, with developed countries pouring vast sums into subsidizing their industries, LAC economies face a pressing challenge: understanding the impact on their exports. The GTA has sounded the alarm, revealing that as far as 60% of LAC goods exports are confronted with subsidized competition in their target markets.⁹⁰

While research in this area is limited, businesses in developing countries that compete with products subsidized by wealthier nations will undoubtedly face challenges. In a multilateral system where subsidies, illegal unilateral actions,⁹¹ and a broken WTO dispute settlement mechanism are often overlooked, it is unlikely that LAC countries can effectively address unfair competition through countervailing duties. The low frequency of trade remedy filings by LAC countries during the COVID-19 pandemic underpins this assumption.

LAC countries are increasingly concerned about the growing trend of protectionism. Developed countries are imposing unilateral measures citing national security, supply chain resilience, and other non-economic reasons. This could lead to discrimination against LAC products and production processes (PPM),⁹² forcing companies to make substantial changes to their operations to meet new international standards. It is important to note that these industries begin from a position of low competitiveness, limited participation in global value chains (apart from Mexico and Costa Rica), and insufficient government funding to support industrial upgrading.

89 Castillo and Ominami (n 31) 185–216.

90 S Evenett and F Espejo, 'Corporate Subsidy Inventory Version 2.0' (2023) Global Trade Alert 11 May 2023, Commercial Policy Dataset Series Briefing #1 <<https://globaltradealert.org/reports/corporate-subsidy-inventory-21/>> accessed 14 December 2024.

91 G Messenger, 'Mitigating the Rise of Unilateralism: Lessons from Forestry Management' (2024) 27 *Journal of International Economic Law* 223–40 (noting that 'we have seen a rise in unilateralism. Recent literature has noted the increase in the strategic use of trade policy, weaponizing linkages between trade and sensitive sectors, whether in relation to climate, labour rights, or foreign policy. These tactics are not themselves new, as can be seen in decades of trade policy in relation to foreign policy, human rights, environment, labour, and regulatory diplomacy').

92 Non-product-related PPMs refer to the methods and techniques used to produce goods and services that may have an impact on the environment, human health, or animal welfare, but are not directly related to the physical characteristics or quality of the product itself, thus 'non-product-related.' For instance, in principle, sustainably produced palm oil, when measured by its physical characteristics, is as good as identical to palm oil produced on deforested land or while infringing human rights. When the production methods are taken into consideration, however, they might be perceived as substantially different. See A Oeschger and E Bürgi Bonanomi, 'PPMs Are Back: The Rise of New Sustainability-oriented Trade Policies based on Process and Production Methods' *International Institute for Sustainable Development* (IISD), 14 April 2023.

V. Concluding Remarks

This chapter confirms a global shift away from traditional protectionist measures like tariffs and trade defence instruments. The 2008 global financial crisis marked a turning point, as governments increasingly resorted to massive subsidies for domestic industries. From the GFC to the COVID-19 pandemic, the massive use of subsidies is the preferred tool to provide domestic industries with the necessary competitiveness in today's international trade. The shift away from the GATT-WTO's free trade model is evident in the increasing use of industrial policies. The proliferation of government subsidies, often unchallenged by the WTO, demonstrates a new era where states are actively intervening in the global marketplace to bolster domestic industries. Consequently, the protective impact of trade defence measures on import-competing industries has been reduced.

This study analyses Latin American countries' trade policy responses to the COVID-19 pandemic. It shows that, except for Brazil, most LAC countries did not impose significant trade restrictions, despite the crisis' severe impact. Like the global trend, LAC countries largely refrained from using trade remedies during the pandemic.

Latin America's participation in global trade and value chains remains limited. To fully benefit from international trade, structural changes are needed. Trade policy should become an integral part of a broader development strategy, encompassing a wide range of public policies. The post-pandemic period has left Latin America grappling with fiscal constraints, macroeconomic imbalances, political instability, and a heavy debt burden. While LAC countries have largely avoided trade restrictions, this does not guarantee their success in international trade and global value chains. The region's economic challenges hinder the implementation of comprehensive industrial policies to address deep-rooted structural issues.

The increasing prevalence of subsidized imports, non-tariff barriers based on processes or production methods, and the growing importance of digitalization and sustainability present significant challenges for LAC exports. Future research, building on existing studies such as the GTA's analysis of subsidies, should examine the specific impacts of these factors on market access for LAC products.

LAC businesses that compete with products subsidized by wealthier nations will undoubtedly face challenges. In a multilateral system where subsidies, illegal unilateral actions, and a broken WTO dispute settlement mechanism are often overlooked, it is unlikely that LAC countries can effectively address unfair competition through countervailing duties. LAC countries are increasingly alarmed by the growing trend of protectionism. Developed nations are imposing unilateral trade measures, often citing national security, supply chain resilience, and other non-economic factors. This could lead to discrimination against LAC products and production processes (PPMs), forcing companies to make significant operational changes to comply with new international standards. It is crucial to recognize that these LAC industries operate from a disadvantaged position. They face low competitiveness, limited participation in global value chains (except for Mexico and Costa Rica), and insufficient government support for industrial modernization. Addressing these issues will be a key priority for LAC trade policy in the coming years.

GENERAL EXCEPTIONS IN WTO LAW

Henrik Andersen

Introduction: Balancing Freedom of Trade and Other Values

While the aims of the World Trade Organization (WTO) are mostly trade-oriented and provide for open markets, they also include non-economic aspects.¹ The balance between trade principles and other societal values materializes in specific WTO-covered agreements, like the Agreement on the Application of Sanitary and Phytosanitary Measures clarifying the line between free trade and the protection of human, animal, or plant life or health through sanitary or phytosanitary measures.² Such balance is also endorsed in general exceptions.

This chapter explores the role that general exceptions play in WTO law focusing on Article XX of the General Agreement on Tariffs and Trade (GATT) 1994.³ Article XX of GATT 1994 provides an exhaustive list of ten exceptions to the trade principles. Which exceptions should be on such a list is a political question. The final list of exceptions in GATT 1947 (and now GATT 1994) differs from the list of the Havana Charter, which included, for example, ‘conservation of fisheries resources, migratory birds or wild animals.’⁴ In earlier drafts of the Havana Charter, the general exceptions also included measures ‘undertaken in pursuance of obligations under the United Nations Charter for the maintenance or restoration of international peace and security.’⁵ The security exception was omitted from the general exceptions of the Havana Charter and it now appears under Article XXI of GATT 1994.⁶

In order to examine Article XX of GATT 1994, the chapter proceeds as follows. First, it discusses the ten exceptions of Article XX. Second, it analyses its introductory part, the so-called

1 Marrakesh Agreement Establishing the World Trade Organization (WTO Agreement) 15 April 1994, 1867 UNTS 154, 33 ILM 1144 (1994), preamble (referring to sustainable development).

2 See Gruszczyński and Helińska’s chapter in this *Handbook*.

3 General Agreement on Tariffs and Trade as amended and incorporated into Final Act Embodying the Results of the Uruguay Round of Multilateral Trade Negotiations, Annex 1A, 15 April 1994, 33 ILM 1125 (1994).

4 Article 45.1(x) of the Final Act of the United Nations Conference on Trade and Employment (Havana Charter) 24 March 1948, E/Conf. 2/78, UN Publication, Sales No 1948.II.D.4 (not entered into force).

5 UN Economic and Social Council, Report of the First Session of the Preparatory Committee of the United Nations Conference on Trade and Employment, E/PC/T/33, 31/10/1946, p 60.

6 See Fukunaga and Kobayashi’s chapter in this *Handbook*.

chapeau. Third, it explores special issues related to human rights, climate change, and extraterritorial jurisdiction. The conclusions sum up the key findings of the chapter.

The General Exceptions under Article XX of GATT 1994

Article XX of GATT 1994 contains two elements: the *chapeau* and the specific exceptions. Its application involves a two-tier test where the analysis first establishes whether a national measure qualifies under one of the exceptions before assessing the compatibility with the *chapeau*.⁷

The text of the specific exceptions reflects a different era where the world was finding a new geopolitical balance after WWII and faced different types of problems than in the present. Nowadays, exceptions like environmental protection, human rights, and climate change mitigation can be included in trade agreements.⁸ These concerns are not mentioned in Article XX. However, GATT panels—and later WTO panels and the Appellate Body (AB)—have interpreted Article XX of GATT 1994 ‘in light of contemporary concerns.’⁹ Article XX should be interpreted in accordance with customary rules of interpretation of public international law as reflected in Article 31 and Article 32 of the Vienna Convention on the Law of Treaties (VCLT). The implication is that adjudicators interpret general rules and exceptions using the same interpretative toolkit based on the text, context, and purpose of the provision.¹⁰ However, as general exceptions relate to other areas of international law like environmental law, international cultural heritage law, international financial law, and human rights law to mention a few, the exceptions can also be informed by the development of other international law in line with the principle of harmonious interpretation reflected in Article 31.3(c) of the VCLT. This justifies an evolutionary approach to Article XX. The relevant jurisprudence has also evolved accordingly.¹¹

Each exception listed under Article XX of GATT 1994 contains different requirements concerning the relation between the measure adopted by states and the specific goal of the exception. Article XX(a), (b), (d), and (i) all require a necessity test for the exception. In other words, to be justified, state measures must be ‘necessary’ to achieve a specific objective. Other exceptions require a softer or different link between the state measure and its purpose: Article XX(c), (e), and (g) require that the measures ‘relate’ to the exception. Measures to protect national treasures under (f) must be ‘imposed’ for that protection. Under Article XX(h) measures must be ‘undertaken’ in pursuance of obligations under any intergovernmental commodity agreement. Article XX(j) requires state measures to be ‘essential’ to the acquisition or distribution of products in general or local short supply. This section now discusses these various requirements and the relative exceptions.

7 *Indonesia—Import Licensing Regime*, AB Reports, WT/DS477/AB/R, and WT/DS478/AB/R, adopted on 22 November 2017, para 5.96.

8 See Forster’s chapter in this *Handbook*.

9 *US—Shrimps*, AB Report, WT/DS58/AB/R, adopted on 6 November 1998, para 129.

10 *US—Gasoline*, AB Report, WT/DS2/AB/R, adopted on 20 May 1996, p 17.

11 Henrik Andersen, ‘WTO Panel and Appellate Body Jurisprudence on Environmental Protection of Marine Living Resources: Considerations for the Maritime Silk Road Shipping Policies’ (2021) 42 *Comparative Law Yearbook of International Business* 75–126.

a. Necessary to Protect Public Morals

Public morals ‘denotes standards of right and wrong conduct maintained by or on behalf of a community or nation.’¹² Given the cultural, religious, and social differences between WTO members, they have wide discretion to determine their ‘public morals.’¹³ What might be accepted as a moral practice in one state can be considered immoral in another. In the GATT and WTO jurisprudence, various values have been accepted as reflecting ‘public morals,’ or at least they have not been contested by the complaining party.

WTO members have been able to invoke Article XX(a) to claim protection of measures combating gambling,¹⁴ prohibiting book content affecting public morals,¹⁵ protecting Halal food,¹⁶ protecting animal welfare,¹⁷ combating money laundering,¹⁸ combating the digital divide to foster social inclusion,¹⁹ and prohibiting theft, misappropriation, and unfair competition.²⁰ The jurisprudence has not focused on the moral content of the measures, but rather on their *design* and *necessity*. The design of the measure must be *capable* of protecting public morals.²¹

b. Necessary to Protect Human, Animal, and Plant Life and Health

Goods that cause danger to the life or health of ‘human, animal, or plant’ can legitimately be exempted from the general principles of WTO law. GATT panels, WTO panels and the AB have regarded the protection of health and life as vital and prioritized it over trade liberalization.²² The state imposing the measures to protect human, animal, and plant life or health has the burden of proof.²³

One of the challenges concerning Article XX(b) is its coverage. Any good that through its use may cause harm to the health or life of human, animal, or plant, like e.g. gasoline (causing air pollution),²⁴ retreaded tyres (breeding habitat of mosquitoes with risk of mosquito-borne

12 *US—Gambling*, Panel Report, WT/DS285/R, adopted with modifications on 20 April 2005, para 6.465; See also *EC—Seal Products*, AB Report, WT/DS400/AB/R and WT/DS401/AB/R, adopted on 18 June 2014, para 5.199.

13 *China—Publications and Audiovisual Products*, Panel Report, WT/DS363/R, adopted with modifications on 19 January 2010, para 7.763.

14 *US—Gambling*, Panel Report, WT/DS285/R, adopted with modifications on 20 April 2005.

15 *China—Publications and Audiovisual Products*, Panel Report, WT/DS363/R, adopted with modifications on 19 January 2010, para 7.762.

16 *Indonesia—Import Licensing Regimes*, Panel Report, WT/DS477/R and WT/DS487/R, adopted with modifications on 22 November 2017.

17 *EC—Seal Products*, AB Report, WT/DS400/AB/R and WT/DS401/AB/R, adopted on 18 June 2014.

18 *Colombia—Textiles*, Panel Report, WT/DS461/R, adopted with modifications by the DSB on 22 June 2016.

19 *Brazil—Taxation (EU)*, Panel Report, WTO/DS472/R and WT/DS497/R, adopted with modifications on 11 January 2019, paras 7.561–7.568.

20 *US—Tariff Measures (China)*, Panel Report, WT/DS543/R, appealed, and not yet adopted by the DSB, para 7.140.

21 *Colombia—Textiles*, AB Report, WT/DS461/AB/R, adopted on 22 June 2016, paras 5.67–5.70.

22 *Thailand—Restrictions on Importation of and Internal Taxes on Cigarettes*, Panel Report, DS10/R, adopted on 7 November 1990, 37S/200; *Brazil—Retreaded Tyres*, Panel Report, WT/DS332/R, adopted with modifications on 17 December 2007, para 7.111–7.114.

23 *US—Gasoline*, Panel Report, WT/DS2//R, adopted with modifications on 20 May 1996, para 6.20.

24 *ibid* para 6.21. See also *Brazil—Taxation (EU)*, Panel Report, WT/DS472/R and WT/DS497/R, adopted with modifications on 11 January 2019, para 7.880.

diseases),²⁵ vehicle safety (reducing car accidents),²⁶ or goods containing asbestos (related to lung diseases)²⁷ is relatively unproblematic as long as the state imposing the restrictions on these goods can demonstrate ‘a substantial degree of probability of a specified risk’²⁸ to human, animal, or plant life and health.

Questions arise concerning whether the provision applies to production processes that cause environmental harm. Another question concerns the *transportation* of goods if it causes air pollution. The transport situation is unsettled in WTO jurisprudence. In *Germany—Restriction of Circulation of Austrian Lorries* from the GATT era, Austria had introduced a ban on certain trucks due to their noise and general pollution. That affected the transportation of goods from Germany. In response, Germany prohibited circulation of 212,000 lorries from Austria at night which resulted in a complaint from Austria. Austria referred to Article XX(b) in its defence for banning certain types of trucks. The case never reached panel stage.²⁹ However, there are general statements in AB jurisprudence that may support the right under Article XX(b) to reject transport of goods if it pollutes above a certain level. In *US—Gasoline*, the AB stated that WTO members have the autonomy to determine their own environmental policies including their relations with trade,³⁰ which may include transport policies.

There can be overlaps between the exceptions of Article XX(b) and Article XX(g) (conservation of natural exhaustible resources) where a panel/AB exercises judicial economy if it finds that the criteria under Article XX(g) is met. For example, in *US—Tuna II (Mexico) (Article 21.5—Mexico)*,³¹ the panel exercised judicial economy after it stated: ‘in the context of the present dispute, we do not believe that there is a meaningful difference between the goal of ‘conserving’ dolphins under Article XX(g) and the goal of ‘protecting the life or health’ of dolphins under Article XX(b).’³²

c. Relating to the Importations or Exportations of Gold or Silver

This exception has not caused disputes in the WTO. In the GATT practice, an unadopted panel report, *Canada—Measures Affecting the Sale of Gold Coins*, concerned only indirectly Article XX(c). The local government of Ontario in Canada exempted Maple Leaf gold coins, produced in Canada, from taxation in contrast to Krugerrand gold coins, produced in South Africa. The panel found that Canada violated Article III.2 of GATT, and that ‘Maple Leaf and Krugerrand gold coins were not only means of payment but also ‘products’ within the meaning of Article III:2.’³³ Canada did not pursue a defence under Article XX(c). Instead, it relied on Article XXIV.12 which, according to Canada, implied that Canada could not be responsible for actions taken by local governments, which the panel rejected.

25 *Brazil—Retreaded Tyres*, AB Report, WT/DS332/AB/R, adopted on 17 December 2007.

26 *Brazil—Taxation (EU)*, Panel Report, WT/DS472/R and WT/DS497/R, adopted with modifications on 11 January 2019, para 7.877.

27 *EC—Asbestos*, AB Report, WT/DS135/AB/R, adopted on 5 April 2001, para 162.

28 *Turkey—Pharmaceutical Products (EU)*, Panel Report, WT/DS583/R, para 7.171. Due to the blocked AB, the case was appealed under Article 25 of the DSU to arbitration that confirmed this part of the panel report, cf. WT/DS583/ARB25 of 25 July 2022, paras 6.108–6.123.

29 *Federal Republic of Germany—Restriction of Circulation of Austrian Lorries*, DS14/1, 28 February 1990.

30 *US—Gasoline*, AB Report, WT/DS2/AB/R, adopted by the DSB on 20 May 1996, p 30.

31 *US—Tuna II (Mexico) (Article 21.5—Mexico)*, WT/DS381/RW, adopted with modifications on 3 December 2015.

32 *Canada—Measures Affecting the Sale of Gold Coins*, para 7.544.

33 *ibid* para 51.

The text of Article XX(c) does not clarify whether it only concerns gold and silver as payment tools or also as general products. Historically, gold and silver have served as basis of the international monetary systems, which could lead states to adopt special rules regarding the import or export of gold/silver to handle, for example, inflation caused by higher costs of gold production, i.e. the costs of extracting and mining gold, or the increased demand of gold without similar increase in its supply.³⁴ Importation of gold and silver can also be subject to import license controls under WTO law.³⁵

d. Necessary to Secure Compliance with Laws and Regulations Not Incompatible with WTO Law

This exception concerns the administration of a state's laws and regulations. The underlying basis is that the laws or regulations are not in conflict with WTO law, but their administration may lead to violations of the general trade principles. The WTO member relying on Article XX(d) must demonstrate that the measure is designed to secure compliance with laws and regulations, and that such laws and regulations are compatible with WTO law.³⁶

The exemption has a long history in both GATT and WTO practice. For example, in 1949, Haiti had a licensing system for importation of leaf tobacco, cigars and cigarettes. The licensing system was a result of the Haitian law establishing the *Régie du Tabac* (State Tobacco Monopoly), which had exclusive right to purchase, process, and sell tobacco. According to Haiti, the law was vital to the development of the tobacco industry in Haiti, and it was in conformity with GATT.³⁷ Consequently, for Haiti, the licensing system was necessary to secure compliance with the tobacco law under Article XX(d) of GATT. In the 1955 *Haitian Tobacco Monopoly* report the Working Party upheld Haiti's defence.³⁸

In WTO practice, disputes have concerned the question as to whether given state measures 'secure compliance with laws and regulations.' The AB has not adopted a rigid approach to assess whether a given measure 'secures' compliance with laws and regulations. If the design of the measure proves that it is not incapable of securing compliance with laws and regulations, the standard of 'securing compliance' is met.³⁹

The concept of 'laws and regulations' can be examined from both practical and theoretical legal perspectives. Norms that qualify as 'laws and regulations' must be distinguished from political or social norms without binding effect. In *India—Solar Cell*, the panel relied on the enforceability of the measures to assess whether they qualified as 'laws or regulations.' The AB overruled the panel. The AB provided a non-exhaustive list of factors to consider. The list of factors included the degree of normativity, the degree of specificity, enforceability, recognition by competent authorities (by the legislative or executive branch of government), form and title, and sanctions. The wide approach adopted by the AB has the advantage of providing space for different legal cultures.

'International law' does not qualify as 'laws and regulations' under Article XX(d). According to the AB, Article XX(d) cannot be used to ensure that other WTO members comply with their

34 Michael D Bordo, 'Gold Standard' *Econlib* (2023) <<https://www.econlib.org/library/Enc/GoldStandard.html>> accessed 10 June 2024.

35 See e.g. *Import Licensing Procedures*, Finland, L/5130, 6 April 1981.

36 *India—Solar Cells*, AB Report, WT/DS456/AB/R, adopted on 14 October 2016, para 5.58.

37 GATT CONTRACTING PARTIES, Notification by the Government of Haiti, GATT/CP.3/40, 9 June 1949.

38 *The Haitian Tobacco Monopoly*, L/454, adopted on 22 November 1955, 4S/38, para 6.

39 See in particular *Colombia—Textiles*, AB Report, WT/DS461/AB/R, adopted on 22 June 2016, paras 5.134–5.135.

international commitments. Article XX(d) concerns only domestic law and regulations.⁴⁰ Nevertheless, international law may qualify as ‘law and regulations’ if the national law is ‘intended to implement an international agreement. In such situations, the origin of the rule is international, but the implementing instrument is a domestic law or regulation.’⁴¹ It requires an assessment of the international instrument in light of the mentioned factors together with the domestic law or regulation’s ‘coupling technique’ of the international legal instrument.⁴² In some legal systems, international law forms automatically an integral part of national law and is directly applicable before the national courts. In other legal systems, international law will only be an instrument to rely on before national courts if the legislator has implemented the international rule of law through a national legislation. For example, international law is an integral part of EU law and is generally directly applicable. WTO law is an exception: it can only be applied before courts in the EU legal system provided EU legislators intend to implement a WTO rule of law or an EU measure refers directly to a WTO rule of law.⁴³

e. Relating to Prison Labour

There is no explicit exception in Article XX protecting workers’ rights. Only products from prison labour may be subject to measures at odds with trade law principles. This exemption does not aim to alleviate the working conditions of prisoners as workers; rather, it focuses on the trade dimension of prison labour: a prisoner is cheaper than a worker, and a state could use cheap prison-workforce to subsidize the production of goods to the detriment of other states.⁴⁴

The Havana Charter provided several principles governing working conditions including fair labour standards.⁴⁵ The GATT 1947 and its successor, the GATT 1994, do not have any direct or explicit connection to fair labour standards apart from the 1996 Singapore Ministerial Declaration where the WTO members ‘renew[ed] [their] commitment to the observance of internationally recognized core labour standards.’⁴⁶ The legal value of a ‘WTO declaration’ by the Ministerial Conference is not clear. Generally, ‘declarations’ are not binding international law instruments, but they may express state practice and develop into customary international law.⁴⁷ In WTO law, declarations have been used as interpretative context in WTO case law.⁴⁸ Even though labour standards were not exempted directly under Article 45 of the Havana Charter (that broadly corresponds

40 *Mexico—Taxes on Soft Drinks*, AB Report, WT/DS308/AB/R, adopted on 24 March 2006, paras 69–72.

41 *ibid* para 69. See also *India—Solar Cells*, AB Report, WT/DS456/AB/R, adopted on 14 October 2016, para 5.141.

42 Scholars often distinguish between ‘monist’ and ‘dualist’ systems. See e.g. Hans Kelsen, *Pure Theory of Law* (Max Knight tr, 2nd ed, first published in 1967, The Law Book Exchange 2002) 333. In practice, the distinction between ‘monist’ and ‘dualist’ systems is very complex and nuanced. See e.g. James Crawford, *Brownlie’s Principles of Public International Law* (9th edn, OUP 2019) 45.

43 See Henrik Andersen, ‘Time to Reconsider Direct Applicability of WTO Law in ECJ Jurisprudence?—The Three Arguments from *Commission v Hungary* (Higher Education)’ (2022) 4 *European Law Review*.

44 Raj Bhala, *Modern GATT Law—A Treatise on the General Agreement on Tariffs and Trade* (Sweet & Maxwell 2005) 28.

45 Article 7.1 of the Havana Charter.

46 WTO Ministerial Conference, 1996 Singapore Ministerial Declaration, WT/MIN(96)/DEC, 18 December 1996, para 4, reaffirmed in the 2001 Doha Ministerial Declaration, WT/MIN(01)/DEC/1, 20 November 2001, para 8.

47 See Malcolm N Shaw, *International Law* (9th edn, CUP 2021) 98.

48 See, for example, the AB and the Doha Declaration in *Australia—Tobacco Plain Packaging*, AB Report, joined cases WT/435/AB/R and WT/DS481/AB/R, adopted on 29 June 2020, footnote 1675.

to Article XX of GATT 1994), the inclusion of labour standards in the Charter would have served as a close context for interpreting Article 45 of the same Charter in line with Article 31.1 of the VCLT.⁴⁹ Instead, in interpreting Article XX of GATT 1994, panels must search for external context, like International Labour Organization (ILO) Conventions, in line with Article 31.3(c) of the VCLT which requires a ‘relevance’ assessment.⁵⁰ Article XX(e) has not been the source of any disputes before WTO panels and the AB.

f. Imposed for the Protection of National Treasures of Artistic, Historic, or Archaeological Value

The right to impose measures to protect national treasures of artistic, historical, and archaeological value has not led to disputes in either GATT or the WTO. The right to protect cultural property in trade relations follows general principles of international law requiring the protection of cultural property. On the one hand, the principle of international law to protect cultural property during armed conflicts is reflected in numerous conventions including the Hague Conventions of 1899, 1907, and 1954 as well as the Washington Pact 1935.⁵¹ The seizure or damage to cultural properties by an occupying state is forbidden. A state’s cultural heritage must be protected during armed conflict.

On the other hand, states have the right/duty to protect cultural heritage even in peacetime, as shown by the wide ratification of UNESCO conventions protecting various types of cultural heritage and the emergence of customary law and general principles of law in the field.⁵² Accordingly, a free trade system should not reduce such state rights to protect cultural property. In the context of WTO law, states can impose, for example, restrictions on export of cultural property. The right to protect national treasures is also in line with the 1970 UNESCO Convention which defines cultural property as ‘property which, on religious or secular grounds, is specifically designated by each State as being of importance for archaeology, prehistory, history, literature, art or science.’⁵³ States must cooperate to eliminate and prevent illicit transfer of stolen cultural properties,⁵⁴ including by creating systems of certification and imposing criminal sanctions against perpetrators. It must be assumed that Article XX(f) harmonizes with the international framework concerning protection of cultural property. Finally, the connecting element between the measure and the exception is that the measure is ‘imposed for the protection’ of national treasures. That leaves wide discretion for states if the measure is ‘for the protection’ of cultural heritage.

49 See e.g. *Korea—Dairy*, AB Report, WT/DS98/AB/R, adopted on 12 January 2000, para 81.

50 See e.g. *Peru—Agricultural Products*, AB Report, WT/DS457/AB/R, adopted on 31 July 2015, paras 5.101–5.104.

51 See, *ex multis*, 1954 Hague Convention for the Protection of Cultural Property in the Event of Armed Conflict, 14 May 1954, 249 UNTS 215, preamble.

52 See generally Valentina Vadi, *Cultural Heritage in International Economic Law* (Brill 2023).

53 Convention on the Means of Prohibiting and Preventing the Illicit Import, Export, and Transfer of Ownership of Cultural Property, 14 November 1970, in force 24 April 1972, 823 UNTS 231, Article 1.

54 *ibid* Article 2.2.

g. Relating to the Conservation of Exhaustible Natural Resources

States have used this exception for two reasons: for protecting endangered species like turtles⁵⁵ and dolphins⁵⁶ or for protecting mineral resources like petroleum and its by-products,⁵⁷ rare earth minerals, tungsten, and molybdenum ores.⁵⁸ According to the AB, ‘conservation’ means ‘the preservation of the environment, especially of natural resources,’⁵⁹ and it ‘can only be fully understood in the context of the exhaustible natural resource at issue in a given dispute.’⁶⁰

The AB has interpreted ‘natural resources’ in an evolutionary manner considering the evolution in international law of the concept. In *US—Shrimps*, it referred to various international environmental treaties, the jurisprudence of the International Court of Justice (ICJ), and the preamble of the WTO Agreement as basis for its dynamic approach to conclude that exhaustible natural resources ‘whether living or non-living, may fall within Article XX(g).’⁶¹

Even though Article XX(g) has been used for environmental reasons, it has severe limitations from an environmental perspective: it protects the conservation of *exhaustible natural resources*, which besides plants, animals and living organisms also include resources whose transport or use can lead to environmental or climate harm. For example, oil can be seen as an exhaustible natural resource, but leak during transport can lead to environmental damage,⁶² and its use can lead to air pollution⁶³ and to increased greenhouse gas (GHG) problems.⁶⁴

h. Undertaken in Pursuance of Obligations Under any Intergovernmental Commodity Agreement

States may control production or impose import/export restrictions as part of obligations under commodity agreements with other states.⁶⁵ This exception was negotiated under the ‘commercial policy’ chapter of the Havana Charter and has never been tested in GATT or WTO disputes. An interpretative note provides: ‘The exception provided for in this subparagraph extends to any commodity agreement which conforms to the principles approved by the Economic and Social Council in its resolution 30 (IV) of 28 March 1947.’ That resolution does not provide specific

55 *US—Shrimps*, AB Report, WT/DS58/AB/R, adopted on 6 November 1998.

56 *US—Tuna II (Article 21.5—Mexico)*, Panel Report, WT/DS381/RW, adopted with modifications 3 December 2015, para 7.525.

57 *Brazil—Taxation (EU)*, Panel Report, WT/DS472/R and WT/DS497/R, adopted with modifications on 11 January 2019, para 7.986 with reference to Appellate Body Report, *US—Shrimps*, para 128.

58 *China—Rare Earths*, Panel Report, WT/DS431/R, WT/DS432/R, and WT/DS433/R, adopted with modifications on 29 August 2014, para 7.365.

59 *China—Raw Materials*, AB Report, WT/DS394/AB/R, WT/DS395/AB/R and WT/DS398/AB/R, adopted on 22 February 2012 para 355.

60 *China—Rare Earths*, AB Report, WT/DS431/AB/R, WT/DS432/AB/R, and WT/DS433AB/R, adopted on 29 August 2014, para 5.89.

61 *US—Shrimps*, AB Report, WT/DS58/AB/R, adopted on 6 November 1998, para 131.

62 On the 1969 oil accident which caused damage to marine life and to the British and French coastline, and the subsequent work on an international convention on civil liability for oil pollution, see Philippe Sands and others, *Principles of International Environmental Law* (4th edn, CUP 2018) 780.

63 Jonathan J Buonocore and others, ‘Air Pollution and Health Impacts of Oil & Gas Production in the United States’ (2023) Environmental Research: Health 1.

64 IPCC, Working Group III contribution to the Sixth Assessment Report of the Intergovernmental Panel on Climate Change, ‘Climate Change 2022, Mitigation Report, Summary for Policy Makers, note 6.

65 GATT, ‘Trade and Environment,’ Factual Note by the Secretariat, L/6896, 18 September 1991, p 33.

principles regarding intergovernmental commodity agreements but refers to ‘the chapter on inter-governmental commodity arrangements’ of the Havana Charter. That chapter concerns ‘primary commodities,’ which are ‘any product of farm, forest or fishery or any mineral, in its natural form or which has undergone such processing as is customarily required to prepare it for marketing in substantial volume in international trade’⁶⁶ and ‘related commodities.’

Governmental commodity arrangements must pursue specific objectives of the Havana Charter, like preventing or alleviating ‘the serious economic difficulties which may arise when adjustments between production and consumption cannot be effected by normal market forces alone as rapidly as the circumstances require’ or ‘to maintain and develop the natural resources of the world and protect them from unnecessary exhaustion.’⁶⁷ Some states have reported restrictions on goods, like animal products, vegetables, chemicals, textiles, and machinery with reference to Article XX(h) as justification.⁶⁸ However, due to the lack of cases, several legal questions remain unanswered, for example, whether the principles of intergovernmental commodity agreements should still be based on principles of the Havana Charter.

i. Restrictions on Export Related to Price Stabilization

This exception concerns situations where a government restricts exports and keeps domestic prices below world prices as part of a stabilization plan. This exception differs from the others under Article XX as measures justified under Article XX(i) must not violate the non-discrimination principles of GATT 1994. There have not been any WTO cases concerning Article XX(i), apart from its use as context for the interpretation of other provisions of GATT.⁶⁹ However, its text clarifies that such restrictions must be part of a governmental stabilization plan, which could indicate that some sort of price instability—or risk thereof—and potential collapse of a market, could lead a government to introduce stabilizing measures.

In *The Use of Quantitative Restrictions for Protective and Other Commercial Purposes*, from the GATT era, the Working Party clarified that export restrictions cannot be justified under Article XX(i) if they are applied to ‘protect or promote a domestic industry, whether by affording a price advantage to that industry for the purchase of its materials, or by reducing the supply of such materials available to foreign competitors, or by other means.’⁷⁰ In that line, the Working Party concluded that if the purpose of restrictions is to avoid competition, Article XX(i) cannot apply.⁷¹

j. Essential to the Acquisition or Distribution of Products in General or Local Short Supply

Under this exception all contracting parties are entitled to an equitable share of the international supply of products in short supply and can adopt measures in this regard. Such measures shall be discontinued as soon as the conditions giving rise to them have ceased to exist. In *The Use of Quantitative Restrictions for Protective and Other Commercial Purposes*, the Working Party

⁶⁶ Article 56.1 of the Havana Charter.

⁶⁷ See the exhaustive list in Article 57 of the Havana Charter.

⁶⁸ GATT, ‘Trade and Environment,’ Factual Note by the Secretariat, L/6896, 18 September 1991, L/6896, p 95.

⁶⁹ *Indonesia—Raw Materials*, Panel Report, WT/DS592/R, currently under appeal, para 7.136.

⁷⁰ GATT, *The Use of Quantitative Restrictions for Protective and Other Commercial Purposes*, Report of Working Party, GATT/G.P. 4/33, 28 March 1950, para 12.

⁷¹ *ibid* para 15.

analysed the principle that all contracting parties are entitled to an equitable share of the international supply of such products. It found that ‘equitable’ differs from ‘non-discriminatory.’⁷² However, ‘equitable’ has a limit if ‘a contracting party diverts an excessive share of its own supply to individual countries.’⁷³

In *India—Solar Cell*, the AB stated that ‘the responding party must identify the relationship between the measure and the acquisition or distribution of products in general or local short supply.’⁷⁴ Products in short supply are products in respect of which there is a ‘shortage,’ that is, a ‘[d]eficiency in quantity; an amount lacking.’⁷⁵ It is ‘relevant to consider the quantity of products produced in the particular geographical area or market where the alleged shortage exists.’⁷⁶ In that consideration, various factors should be included, for example, price fluctuations, purchasing powers of foreign and local consumers, and the role of foreign and national producers.⁷⁷ The AB rejected India’s argument in defence of a domestic content requirements that by relying on foreign suppliers, there was a risk of short supply if the foreign suppliers stopped their export to India. India had not demonstrated that there had been any disruption in the supply of foreign products.⁷⁸

In *EU—Energy Package*, the panel reached similar conclusions against the EU’s claim concerning short supply of gas where the EU had introduced a diversification of gas supply requirement to facilitate gas supply from other states than Russia. As—at that time—there was no current, but only potential risk of, short supply of gas in the EU, Article XX(j) could not apply.⁷⁹

The Connection Requirements of the Measures to the Exceptions

Each exception has a different connection requirement to the measure that potentially is at odds with WTO law. State measures must be ‘necessary,’ ‘relating to,’ or ‘essential to’ pursuing the purported objective under the relevant exception. The AB has attempted to place these points within a spectrum ranging from ‘indispensable’ to ‘making a contribution to.’ In that range, ‘essential to’ and ‘necessary’ are significantly closer to the ‘indispensable’ pole than to the ‘making a contribution’ pole.⁸⁰

The ‘necessity’ test follows a general pattern. In *China—Publications and Audiovisual Products*, the AB stated that

an assessment of ‘necessity’ involves ‘weighing and balancing’ a number of distinct factors relating both to the measure sought to be justified as ‘necessary’ and to possible alternative measures that may be reasonably available to the responding Member to achieve its desired objective.⁸¹

⁷² *ibid* para 8.

⁷³ *ibid* para 9.

⁷⁴ *India—Solar Cells*, AB Report, WT/DS456/AB/R, adopted on 14 October 2016, para 5.60.

⁷⁵ *ibid* para 5.65.

⁷⁶ *ibid* para 5.71.

⁷⁷ *ibid* para 5.71.

⁷⁸ *ibid* para 5.77.

⁷⁹ *EU—Energy Package*, Panel Report, WT/DS476/R, currently under appeal, paras 7.1351–7.1353.

⁸⁰ *India—Solar Cells*, AB Report, WT/DS456/AB/R, adopted on 14 October 2016, paras 5.62–5.63. See also Panel Report, *EU—Energy Package*, Panel Report, WT/DS476, currently under appeal, para 7.1359.

⁸¹ *China—Publications and Audiovisual Products*, AB Report, WT/DS363/AB/R, adopted on 19 January 2010, para 239. See also *Korea—Various Measures on Beef*, AB Report, WT/DS161/AB/R, WT/DS169/AB/R, adopted 10 January 2001, para 164.

The weighing and balancing are made in respect of the particular exception. For example, in *Korea—Various Measures on Beef*, the AB stated that the weighing and balancing under Article XX(d) ‘include the contribution made by the compliance measure to the enforcement of the law or regulation at issue, the importance of the common interests or values protected by that law or regulation, and the accompanying impact of the law or regulation on imports or exports.’⁸² If the alternative measure is less trade restrictive, and is economically and technically feasible, the applied measures are incompatible with Article XX(a)(b) or (d).⁸³ Furthermore, in *EC—Asbestos*, the AB added that ‘[t]he more vital or important [the] common interests or values’ pursued, the easier it would be to accept as ‘necessary’ measures designed to achieve those ends.’⁸⁴

The ‘relating to’ requirement has been challenged in a few cases. It does not entail assessing whether alternative measures exist as the necessity test.⁸⁵ Rather, it requires a connection between the state measure and the pursued objective that is more flexible and lenient textually than the necessary relationship between the two under other exceptions.⁸⁶ The AB has accepted that ‘relating to’ may be equivalent to ‘primarily aimed at’ the conservation of the particular resources.⁸⁷ In *China—Rare Earths*,⁸⁸ the panel rejected China’s claim that export quotas were measures ‘relating’ to the conservation of exhaustible natural resources. The panel focused on the design and structure of the export quotas. China failed to demonstrate the connection between these quotas and the conservation of the exhaustible natural resources. The AB upheld the panel report noting that the panel had not erred by focusing on the design and structure of the Chinese export quota,⁸⁹ and adding that ‘there must be “a close and genuine relationship of ends and means” between that measure and the conservation objective of the Member maintaining the measure. Hence, a GATT-inconsistent measure that is merely incidentally or inadvertently aimed at a conservation objective would not satisfy the “relating to” requirement of Article XX(g).’⁹⁰

In *India—Solar Cells*, the panel and AB considered the requirement ‘essential to’ under Article XX(j) for the first time. The AB stated that the interpretation of ‘essential to’ requires an approach like the ‘necessity’ test. It ‘involves a process of “weighing and balancing” a series of factors,’⁹¹ including the availability of reasonable alternatives. Although the approach is similar to the ‘necessity’ test, the question remains whether the meaning of ‘essential to’ can be a step closer to the ‘indispensable’ pole as the AB seemed to suggest and whether a potential difference can have an impact in the assessment of alternative measures. In any case, ‘essential to’ is at least as close to ‘indispensable’ as ‘necessity.’

82 *Korea—Various Measures on Beef*, AB Report, WT/DS161/AB/R, WT/DS169/AB/R, adopted 10 January 2001, para 164.

83 See e.g. *Indonesia—Raw Materials*, Panel Report, WT/DS592/R, currently under appeal, para 7.341.

84 *EC—Asbestos*, AB Report, WT/DS135/AB/R, adopted on 5 April 2001, para 172.

85 *US—Gasoline*, AB Report, WT/DS2/AB/R, adopted on 20 May 1996, p 16.

86 *Korea—Various Measures on Beef*, AB Report, WT/DS161/AB/R, WT/DS169/AB/R, adopted 10 January 2001, paras 161–62 and 164.

87 *US—Gasoline*, AB Report, WT/DS2/AB/R, adopted on 20 May 1996, p 18; *China—Rare Earths*, AB Report, WT/DS431/AB/R, WT/DS432/AB/R, and WT/DS433AB//R, adopted on 29 August 2014, para 5.90.

88 *China—Rare Earths*, AB Report, WT/DS431/AB/R, WT/DS432/AB/R, and WT/DS433AB/R, adopted on 29 August 2014.

89 *ibid* para 5.118.

90 *ibid* para 5.90.

91 *India—Solar Cells*, AB Report, WT/DS456/AB/R, adopted on 14 October 2016, para 5.63.

The Chapeau of Article XX of GATT 1994

The function of the *chapeau* of Article XX of GATT 1994 is to ‘prevent the abuse or misuse of a Member’s right to invoke the exceptions contained in the subparagraphs of that Article.’⁹² WTO members invoking Article XX to justify measures incompatible with the general principles of WTO law will often satisfy the first tier, but not the *chapeau*. The *chapeau* sets out two requirements: the measure must not constitute (1) a means of arbitrary or unjustifiable discrimination between countries where the same conditions prevail or (2) a disguised restriction on international trade.

The AB has held that three cumulative elements exist for rejecting the measures as incompatible with the *chapeau*.⁹³ First, there must be *discrimination*. The standard of assessing discrimination under Article XX differs from the standard under the non-discrimination principles.⁹⁴ For example, in *US—Tuna II (Mexico)(Article 21.5—Mexico II)*,⁹⁵ the US amended its measures that were inconsistent with Article I.1 and III.4 and not justified under the *chapeau* of Article XX. The AB agreed with the panel that the measures continued to cause the same detrimental impact resulting from the discriminatory treatment. However, the analysis under the *chapeau* differs from the MFN/NT analyses.⁹⁶ In fact, it centres on the discriminatory *application* of the measure. However, often in practice the indicia of the discrimination are the same.⁹⁷

Second, the discrimination must be *arbitrary or unjustifiable*. It is not sufficient that state measures are applied in a discriminatory way; rather, they should also be arbitrary or unjustifiable to be prohibited under the *chapeau*. The rationale behind the discrimination must be considered, for example, by ascertaining whether it reconciles with the policy objective of the sub-paragraphs of Article XX.⁹⁸ The effect of the discrimination can be a relevant factor for assessing its arbitrariness.⁹⁹ For example, in *US—Shrimps*, the United States’ ‘rigid and unbending’ policies forced other states to adopt its policies. In combination with administrative problems related to due process in the administration of these policies, the AB found that the measures constituted arbitrary and unjustifiable discrimination.¹⁰⁰ The AB has also stressed the importance of exercising diplomacy and engaging with the complaining states to reach a potential agreement on common policies. Failure to engage in cooperation efforts can become a factor in the assessment of arbitrary or unjust discrimination.¹⁰¹ Similarly, ‘inflexible’ rules can be regarded as arbitrary and unjustifiable discrimination.¹⁰²

92 *EC—Seal Products*, AB Report, WT/DS400/AB/R and WT/DS401/AB/R, adopted on 18 June 2014, para 5.297.

93 *US—Shrimps*, AB Report, WT/DS58/AB/R, adopted on 6 November 1998, para 150.

94 *ibid.*

95 *US—Tuna II (Mexico)(Article 21.5—Mexico II)*, WT/DS381/AB/RW/USA/WT/DS381/AB/RW2, adopted on 11 January 2019.

96 *ibid* para 6.277.

97 See e.g. *EC—Seal Products*, Appellate Body Report, WT/DS400/AB/R and WT/DS401/AB/R, adopted on 18 June 2014, para 5.318; *US—Gasoline*, Appellate Body Report, WT/DS2/AB/R, adopted on 20 May 1996, pp 28–29.

98 *Brazil—Retreaded Tyres*, Appellate Body Report, WT/DS332/AB/R, adopted on 17 December 2007 para 227.

99 *ibid* paras 229–30.

100 *US—Shrimps*, Appellate Body Report, WT/DS58/AB/R, adopted on 6 November 1998, para 177.

101 *ibid* paras 166–67; *US—Gasoline*, Appellate Body Report, WT/DS2/AB/R, adopted on 20 May 1996, pp 27–28.

102 *EU and Certain Member States—Palm Oil (Malaysia)*, Panel Report, WT/DS600/R, adopted on 26 April 2024, para 7.1296.

Third, state measures are incompatible with the *chapeau* if they are ‘applied in a manner which would constitute a means of arbitrary or unjustifiable discrimination between countries where the same conditions prevail.’¹⁰³ The AB has emphasized that it must be assessed whether ‘the “conditions” prevailing in the countries between which the measure allegedly discriminates are the same.’¹⁰⁴ The conditions must be seen in the context of the subparagraph of Article XX which has provisionally justified the measure.¹⁰⁵ For example, in *EC—Seal Products*, the EU had not demonstrated that the animal welfare conditions in Greenland differed from animal welfare conditions regulating seal hunters in the complaining states, Norway and Canada, even though the level of development of marketing structures were different.¹⁰⁶ Similarly, in *US—Tuna II (Mexico)(Article 21.5—Mexico)*, the AB found that the harm on dolphins from tuna fishing practices were the same in the United States and Mexico even though the former had asserted that a distinction based on degree of harm led to different conditions.¹⁰⁷

Disguised restriction on international trade is closely related to ‘arbitrary and unjustifiable discrimination.’¹⁰⁸ WTO disputes have not had the same focus on ‘disguised restrictions’ compared to ‘arbitrary or unjustifiable discrimination.’

WTO members often fail to meet the requirements of the *chapeau*. However, states amend their measures to comply with the *chapeau* while continuing to pursue their policy objectives under Article XX. For example, in *EC—Seal Products*, the EU pursued a legitimate policy concerning animal welfare, but its measures failed the test under the *chapeau*. The EU amended its regulation accordingly to continue pursuing the policy of animal welfare and eliminating the elements of the regulation that were considered unjustifiable discrimination.¹⁰⁹

Human Rights and Article XX

Although human rights have no textual basis in Article XX and in general WTO law, international human rights law has been used as a reference for trade policies both in the WTO and by the members. For example, the Waiver Concerning Kimberley Process Certification Scheme for Rough Diamonds referred to ‘gross human rights violations’ in conflicts ‘fuelled by the trade in conflict diamonds.’¹¹⁰ In addition, the enabling clause has been applied by, for example, the EU to give preferential trade access to developing countries provided they comply with certain human rights standards.¹¹¹

103 GATT Article XX preamble.

104 See *US—Tuna II (Mexico)(Article 21.5—Mexico)*, WT/DS381/AB/RW/Mexico, adopted on 3 December 2015, para 7.301.

105 *ibid.*

106 *EC—Seal Products*, AB Report, WT/DS400/AB/R and WT/DS401/AB/R, adopted on 18 June 2014, para 5.317.

107 *US—Tuna II (Mexico)(Article 21.5—Mexico)*, WT/DS381/AB/RW/Mexico, adopted on 3 December 2015, paras 7.302–7.308.

108 *US—Gasoline*, AB Report, WT/DS2/AB/R, adopted on 20 May 1996, p 25.

109 See Status Report by the EU, *EC—Seal Products*, WT/DS400/16/Add.7, WT/DS401/17/Add.7, 16 October 2015.

110 Draft Waiver Concerning Kimberley Process Certification Scheme for Rough Diamonds, Council for Trade in Goods, G/C/W/432/Rev.1, 24 February 2003, adopted by the General Council on 15 May 2003, WT/GC/M/80, 18 July 2003.

111 Regulation (EU) No 978/2012 of the European Parliament and of the Council of 25 October 2012 applying a scheme of generalized tariff preferences and repealing Council Regulation (EC) No 732/2008 with amendments.

It is debated whether measures adopted to respect, protect, and fulfil human rights can be exempted under Article XX.¹¹² Some human rights violations even conflict with peremptory norms (*jus cogens*), like the prohibition of slavery. Restrictions against such practices cannot violate WTO law as the WTO treaties otherwise would conflict with *jus cogens* and be void.¹¹³ However, most human rights norms do not have *jus cogens* status and would instead be considered under Article XX.

So far, there have not been any disputes concerning human rights and Article XX, but in practice states impose financial and trade restrictions on persons and states for human rights violations.¹¹⁴ Article XX(a) concerning public morals and Article XX(b) about human life and health may be relevant provisions to justify human rights protection. In *EC–Seal Products*, ‘public morals’ covered, *inter alia*, animal welfare, where the term ‘inhumane’ hunting methods was used. Accordingly, it should not be ruled out that human rights considerations could be ‘public morals’ of a state. The text of Article XX(b) referring to the ‘protection of life and health’ does not explicitly refer to harm caused by goods. Nonetheless, arguably, harm caused to workers during the production of goods due to inhumane working conditions in violation of ILO Conventions can justify restrictions on trade by other states under Article XX(b).

Another unsettled issue is the scope of human rights. Can public morality concern human rights conditions in general in the state targeted with trade restrictions, or should it specifically concern the situation of the workers producing the goods subject to the restrictions? It can be discussed whether there is a stronger case for human rights under Article XX for the protection of workers involved in the production of the goods, if the state facing the restrictions has ratified the relevant ILO conventions. Furthermore, the type of human rights must also be considered. Human rights laws differ on a regional level. However, on a global level, the International Covenant on Economic, Social, and Cultural Rights and the International Covenant on Civil and Political Rights have wide participation by most WTO members and may be relevant in light of Article XX.¹¹⁵

Climate Change and Article XX

For decades now, the planet’s climate has changed worryingly. The responsibility for these changes falls on human activities, starting with the massive use of fossil fuels and deforestation. The resulting concentration of carbon dioxide causes a global rise in temperature, which determines floods, droughts, hydro-geological instability, facilitating the spread of diseases, agricultural crises, and the extinction of animal and plant species.¹¹⁶ Some states have adopted ambitious policies to

112 See e.g. Gabrielle Marceau, ‘WTO Dispute Settlement and Human Rights’ (2002) 13 *European Journal of International Law* 13 (2002) 753; Robert L Howse, ‘Making a Home for Human Rights at the WTO’ (2000) 43 *Law Quadrangle* 79.

113 VCLT, Article 53.

114 See e.g. the EU Council Regulation 2020/1998 of 7 December 2020 concerning restrictive measures against serious human rights violations and abuses OJ L 410I, pp 1–12, modified in EU Council Implementing Regulation 2021/478 of 22 March 2021 implementing Regulation (EU) 2020/1998 concerning restrictive measures against serious human rights violations and abuses ST/6935/2021/INIT, OJ L 99I, pp 1–12.

115 International Covenant on Civil and Political Rights (ICCPR) 16 December 1966, in force 23 March 1976, 999 UNTS 171, 6 ILM 368 (1967); International Covenant on Economic, Social, and Cultural Rights (ICESCR), adopted 16 December 1966, in force 3 January 1976 (1967) 6 ILM 360 et seq.

116 IPCC, ‘2023: Summary for Policymakers’ in *Climate Change 2023: Synthesis Report*. Contribution of Working Groups I, II and III to the Sixth Assessment Report of the Intergovernmental Panel on Climate Change, A2.

counteract climate change.¹¹⁷ Accordingly, they have imposed climate-mitigation requirements on their producers. A restriction on imports or discriminatory treatment due to differences in WTO members' climate policies may violate the general principles of WTO law. The question is whether climate change mitigation can be justified under Article XX of GATT 1994.

States are bound by their commitments under the climate change treaties, i.e. the United Nations Framework Convention on Climate Change (UNFCCC) and the Paris Agreement as well as the principles and customary rules of general and environmental international law that are relevant to climate change.¹¹⁸ The UNFCCC has a trade dimension as it provides that '[m]easures taken to combat climate change, including unilateral ones, should not constitute a means of arbitrary or unjustifiable discrimination or a disguised restriction on international trade.'¹¹⁹ This proviso resembles the text of the *chapeau* of Article XX of GATT 1994. Climate policies should not be used to conceal protectionism.

However, the provisions also differ. Under the *chapeau* of Article XX, the 'arbitrary or unjustifiable discrimination' relates only to situations where the same conditions prevail in the countries subject to different treatment. Under international climate change law, the principle of common but differentiated responsibilities entails that states have different obligations depending on their economic development.¹²⁰ For example, least-developed countries have lower commitments compared with developed countries. Such divergence should be considered when Article XX of GATT 1994 is interpreted if states adopt trade policies differentiating between, for example, a least-developed country and a developed country. It can be argued that such countries are not under the same conditions, in light of their different levels of development and commitments under international climate change law.¹²¹

Climate change mitigation has been linked to the protection of human rights, and thus it finds space in other fields of international law. While the Inter-American Court of Human Rights has coupled human rights protection with climate change mitigation, the European Court of Human Rights has clarified that the European Convention on Human Rights applies to states for insufficient climate policies.¹²² Climate change has also been coupled with marine pollution. In an advisory opinion,¹²³ the International Tribunal for the Law of the Sea (ITLOS) clarified that the United Nations Convention on the Law of the Sea (UNCLOS) applies to states with insufficient climate

117 See, for example, the EU climate change policies based on the EU Green Deal and expressed in inter alia the EU Climate Law, Regulation (EU) 2021/1119 of the European Parliament and of the Council of 30 June 2021 establishing the framework for achieving climate neutrality and amending Regulations (EC) No 401/2009 and (EU) 2018/1999, and the EU due diligence directive, Directive (EU) 2024/1760 of the European Parliament and of the Council of 13 June 2024 on corporate sustainability due diligence and amending Directive (EU) 2019/1937 and Regulation (EU) 2023/2859.

118 United Nations Framework Convention on Climate Change (UNFCCC), adopted on 9 May 1992 by the Intergovernmental Negotiating Committee for a Framework Convention on Climate Change, in force 21 March 1994, 1771 UNTS 107; The Paris Agreement, adopted on 12 December 2015 by the Conference of the Parties to the UNFCCC, in force 4 November 2016, 3156 UNTS.

119 UNFCCC, Article 3.5.

120 Paris Agreement Article 2.2.

121 *EC—Seal Products*, AB Report, WT/DS400/AB/R and WT/DS401/AB/R, adopted on 18 June 2014, paras 5.299–5.301.

122 Convention for the Protection of Human Rights and Fundamental Freedoms (European Convention on Human Rights or ECHR), adopted on 4 November 1950, in force 3 September 1953, ETS No 005.

123 See ITLOS, *Request for an Advisory Opinion submitted by the Commission of Small Island States on Climate Change and International Law*, Advisory Opinion of 21 May 2024, para 179 (holding that '[a]nthropogenic GHG emissions into the atmosphere constitute pollution of the marine environment').

policies as they cause harm to marine life and health.¹²⁴ These jurisprudential trends all refer to the due diligence obligations deriving from general principles of international (environmental) law, the UNFCCC, and the Paris Agreement. These tendencies cannot be ignored in the WTO system as states have explicit due diligence obligations concerning climate change under international law. If a state's exercise of climate due diligence results in trade obstacles, the legitimate exceptions of Article XX of GATT 1994 should cover the aim of reducing greenhouse gas (GHG) emissions. That will also be in line with the dynamic approach that panels and the AB have adopted in interpreting Article XX.

A few WTO disputes have dealt with state measures hindering trade while allegedly mitigating climate change. In *Brazil—Retreaded Tyres*, the AB recognized the temporal challenge of climate change admitting that certain policies could justify the application of Article XX(b) in the future.¹²⁵ In *Brazil—Taxation*, the panel found that the important objective of reducing carbon dioxide emissions is covered by Article XX(b) of GATT 1994.¹²⁶ The panel linked carbon dioxide emission and human health due to the deterioration of the air quality. In *EU and Certain Member States—Palm Oil (Malaysia)*,¹²⁷ the panel found that the EU's rules which imposed a cap on indirect land use change (ILUC), that is, restricting goods coming from land changed from forest, wetland, and peat land into agricultural field could be justified as protection of an exhaustible natural resource under Article XX(g) of GATT 1994.¹²⁸ The panel also referred to Article XX(b) of GATT 1994.

Extraterritorial Jurisdiction?

Both human rights and climate change are common concerns with transboundary salience. When states pursue human rights and climate change policies, these can have transboundary effects. Yet, under international law, the fundamental principle of state sovereignty implies a duty of non-intervention into other states' affairs. A state cannot impose its own regulations upon another state since, traditionally, states have jurisdiction over their own territories only and not beyond their borders. The regulation of common concerns can give rise to the vexed question as to whether, at least in some circumstances, states can have extraterritorial jurisdiction.

Consider the following scenario: a WTO member invokes Article XX of GATT 1994 for rejecting goods from another state due to the production processes involving slavery in that state. The question as to whether the inhumane treatment of workers in violation of ILO Conventions can justify a trade ban on goods from that state remains unanswered so far. Slavery is considered a breach of *jus cogens*, which prevails over other norms. However, there may be more controversial scenarios. Certainly, if a state could use any argument about the production processes in other states as a basis for rejecting the importation of goods, the trading system would stop functioning and the general principles of WTO law would become irrelevant.

To find a balance between the legitimate concerns of the importing state and the basic rules of state sovereignty, territorial jurisdiction and non-interference into states' internal policies, GATT and WTO panels as well as the AB have focused on the nexus between the legitimate concerns of

124 Convention on the Law of the Sea (UNCLOS) adopted 10 December 1982, entered into force 1 November 1994, 1833 UNTS 397.

125 *Brazil—Retreaded Tyres*, AB Report, para 151.

126 *Brazil—Taxation*, Panel Report, paras 7.880 and 7.916.

127 *EU and Certain Member States—Palm Oil (Malaysia)*, Panel Report, WT/DS600/R, adopted on 26 April 2024.

128 *ibid* para 7.1076.

the importing state and the processes of the exporting state. While several cases have addressed the question of extraterritorial jurisdiction, two cases are particularly relevant in this regard.

In *US—Shrimp*, the US banned shrimps from Malaysia due to the harvesting methods that could harm turtles. The AB stated that turtles migrate and thus there was a nexus between the US protection of an endangered species and the measures prohibiting the harvesting methods of shrimps in Malaysia. However, the AB did not directly engage in the question of extraterritorial jurisdiction. It was sufficient to establish the nexus between the sea turtles and their potential migration to and from the US territory.

Similarly, in *EC—Seals Products*, the EU banned import of seal products due to the inhumane hunting methods of seals in Canada and Norway. In that case, the AB—in full agreement with all the parties of the case—stated that there was sufficient nexus between the aim of protecting seals and the EU ban. The cases, however, do not answer the question of whether it may be legitimate to exercise extraterritorial jurisdiction to address common concerns. The *Shrimp—Turtle* case concerned the protection of an endangered species that migrates to and from the US territory. The *Seal Products* case concerned the inhumane killing of seals before turning their parts into goods that were banned in the EU. In this case, the ‘inhumane treatment’ of the seals related to the actual good (seal product), whereas the inhumane treatment of workers, for example, is not directly related to the good apart from its production. However, this circumstance should not render Article XX inapplicable to human right issues. For instance, it can be argued that a worker’s life and health under Article XX can be protected as the worker potentially could decide to move his/her working skills to another state with better working conditions. Moreover, the likeness test under the non-discrimination provisions has evolved to consider consumers’ tastes and habits. Arguably, informed citizens would consider products produced disrespecting human dignity and fundamental rights very different from products coming from other environments.

Things may be different concerning climate change. In *EU and Certain Member States—Palm Oil (Malaysia)*,¹²⁹ the EU measures concerned land-use in Malaysia as deforestation eliminates sinks that absorb CO₂. The panel referred to the global nature of climate change and stated:

there is a nexus between EU territory and the objective of limiting the risk of [indirect land use change] related GHG emissions. Moreover, the Panel does not consider that the measures can be characterized as regulating GHG emissions outside the European Union. The measures seek to regulate whether and to what extent products supplying the EU transport fuel market can be counted towards the EU renewable energy targets.

These targets concerned inter alia the use of renewable green energy and lowering GHG emissions. The panel further observed:

the ILUC-related GHG emissions from crop-based biofuels that the European Union is seeking to limit do not exclusively arise outside the European Union’s borders and may very well occur also within the European Union’s own territory.¹³⁰

The global dimension of climate change, and the EU’s aim to reduce GHG emissions to combat it moved the discussion away from questions of extraterritorial jurisdiction. The EU may adopt

¹²⁹ *EU and Certain Member States—Palm Oil (Malaysia)*, Panel Report, WT/DS600/R, adopted on 26 April 2024.

¹³⁰ *ibid* paras 7.314–7.315.

climate policies to protect itself from climate change that may impose requirements on the production of goods in other states without it can be regarded as extraterritorial jurisdiction.

Concluding Remarks

Art. XX of GATT 1994 provides general exceptions in WTO law concerning trade in goods where states legitimately can pursue trade restricting policies. It has two tiers: (1) it contains an exhaustive list of policy objectives, and (2) the *chapeau* which requires that the national measures must not constitute a means of arbitrary or unjustifiable discrimination between countries where the same conditions prevail, and they must not be a disguised restriction on international trade.

The specific exceptions in Art. XX of GATT 1994 provide wide legal space for states to pursue policies to protect animal welfare, environmental goods, and public health; mitigate climate change; and address societal and human rights issues. Panels and the AB have taken a dynamic approach and accepted that the interpretation of Art. XX of GATT 1994 must respond to societal changes over time. The biggest challenge for states concerns the requirements of the *chapeau* which states often fail to meet. However, failing the *chapeau* does not rule out the possibility to pursue the policy behind the national measure if the state amends the regulation and eliminate the elements leading to unjustifiable discrimination or disguised restriction on international trade.

TRIPS AND THE TRADIFICATION OF INTELLECTUAL PROPERTY

Daniel J. Gervais and Peter K. Yu

Introduction

The Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement) of the World Trade Organization (WTO) was signed on 15 April 1994.¹ It provides a comprehensive set of international minimum standards for the protection and enforcement of intellectual property rights. Before the adoption of the TRIPS Agreement, the international intellectual property domain was governed primarily by international intellectual property treaties administered by the World Intellectual Property Organization (WIPO), notably the Paris Convention for the Protection of Industrial Property (Paris Convention) and the Berne Convention for the Protection of Literary and Artistic Works (Berne Convention).² The TRIPS Agreement shifted an important part of this governance framework by bringing international intellectual property law and international trade law closer together.

This chapter examines what we call the ‘tradification’ of intellectual property through the TRIPS Agreement, TRIPS-related WTO disputes, and post-TRIPS developments. It begins by recounting the shift of international intellectual property governance from WIPO to the General Agreement on Tariffs and Trade (GATT) and, later, the WTO. It also explores the role played by the WTO dispute settlement process in tradification. The chapter then discusses the developing countries’ resistance to the tradification project. It shows that this project has provided more benefits to emerging countries than to other developing countries. The chapter concludes by identifying the different trends and forces that have shaped, and will further shape, the international intellectual property domain. These forces include the proliferation of international trade agreements containing intellectual property chapters, the incorporation of international trade law into

1 Agreement on Trade-Related Aspects of Intellectual Property Rights (adopted 15 April 1994, entered into force 1 January 1995) 1869 UNTS 299 (TRIPS Agreement).

2 Paris Convention for the Protection of Industrial Property (adopted 20 March 1883, entered into force 7 July 1884, revised at Stockholm 14 July 1967, amended 28 September 1979) 828 UNTS 305; Berne Convention for the Protection of Literary and Artistic Works (adopted 9 September 1886, entered into force 5 December 1887, revised at Paris 24 July 1971, amended 28 September 1979) 1161 UNTS 3 (Berne Convention).

the broader field of international law, and other drivers of change such as traditional knowledge (TK) and emerging technology.

I. The Shift of International Intellectual Property Governance

The pivot around which the story told in this chapter begins is the TRIPS Agreement, which is Annex 1C to the Agreement Establishing the World Trade Organization (Marrakesh Agreement).³ Signed on 15 April 1994, the Marrakesh Agreement ended the Uruguay Round of Multilateral Trade Negotiations (Uruguay Round) (1986–94). The TRIPS Agreement entered into force the following year on 1 January 1995. Prior to this agreement, intellectual property was regulated at the international level by a few rules of the GATT, the WTO's predecessor, and several international conventions, most of which were and still are administered by WIPO.

The shift of international intellectual property governance from within a specialized field of law to one incorporating international trade law, specifically the GATT and other WTO instruments, began in the United States, with Europe, Japan, and a few other countries joining the push a few years later. From the 1970s onwards, the United States established a link between its international trade system and the protection of US intellectual property rights abroad, a link enshrined in Section 301 of the 1974 Trade Act.⁴ Amended several times since, Section 301 empowers the United States Trade Representative (USTR) to investigate and take action to enforce US rights, including intellectual property rights under international trade agreements. The link was established essentially at the request of the recording, film, software (as that term was understood in the 1980s and 1990s), and pharmaceutical industries. Section 301 was reinforced in 1988 to enable US authorities to 'punish' any country accused of pirating the intellectual property of US companies, using or threatening international trade sanctions.⁵ This legislative change sent a very clear signal to the United States' trading partners: in the absence of a multilateral system for the enforcement and protection of intellectual property rights, many of these partners would be placed in the cross-hairs of the United States Trade Representative.

It should be emphasized at the outset that negotiating within the GATT a multilateral agreement covering virtually the entire field of intellectual property was far from obvious, since the GATT contained almost no provision in this area. Article XX(d) of the GATT stated that intellectual property was a tolerated *exception* to the free cross-border trade in goods.⁶ Then Article IX:6 also directs GATT parties to 'co-operate . . . to prevent[] the use of trade names in such manner as to misrepresent the true origin of a product, to the detriment of such distinctive regional or geographical names of products of the territory of a contracting party as are protected by its legislation.'⁷ One can see how such a provision, calling for 'cooperation,' is essentially unenforceable.

Probably because of this very limited role in the GATT context, intellectual property tiptoed into the Uruguay Round on the basis of a Swiss-Colombian proposal at the Punta del Este Ministerial Conference that launched the Round. The text stated that the negotiations would aim 'to

3 Marrakesh Agreement Establishing the World Trade Organization (adopted 15 April 1994, entered into force 1 January 1995) 1867 UNTS 154.

4 See Jan D'Alessandro, 'A Trade-Based Response to Intellectual Property Piracy: A Comprehensive Plan to Aid the Motion Picture Industry' (1987) 76 Georgetown Law Journal 417.

5 Omnibus Trade and Competitiveness Act of 1988, Pub L No 100–418, 102 Stat 1107.

6 General Agreement on Tariffs and Trade (adopted 30 October 1947, entered into force 1 January 1948) 55 UNTS 188 (GATT) Art XX(d).

7 *ibid* Art IX:6.

clarify GATT provisions and elaborate as appropriate new rules and disciplines . . . without prejudice to other complementary initiatives that may be taken in the World Intellectual Property Organization and elsewhere to deal with these matters.⁸ When one compares this text with the TRIPS Agreement, it is easy to see the work accomplished between Punta del Este (1986) and Marrakesh (1994). From an initially quite limited mandate, negotiators concluded the broadest and most comprehensive agreement in the intellectual property field, covering the entire area of previous substantive treaties while adding rules on enforcement, acquisition of rights, the so-called most-favoured-nation clause, and of course state-to-state—or, more precisely, WTO member-to-WTO member—dispute settlement.

To fully understand the origin of the TRIPS Agreement, one must look at the bargaining surrounding the multilateral agreements under the GATT. As noted, the TRIPS Agreement was negotiated as part of the Uruguay Round, which ended with the signing of the Marrakesh Agreement. The negotiation of the TRIPS Agreement was linked to the negotiation of other agreements in different fields. This issue linkage—the simultaneous negotiation of multiple issues for joint settlement—helped states conclude the agreement and demonstrated that intellectual property rules and their enforcement could be ‘traded’—for example, for reducing tariffs, or increasing import quotas, on textiles, tropical fruits, or other goods. In other words, the TRIPS Agreement, along with the parallel negotiation of the North American Free Trade Agreement (NAFTA),⁹ initiated a process that now seems irreversible: intellectual property can be traded like anything with money as a common denominator. Indeed, the numerous regional trade agreements negotiated since the adoption of the TRIPS Agreement almost always contain a detailed chapter on intellectual property, which often goes beyond what is contained in the Agreement (hence the label ‘TRIPS-plus’). If further evidence that intellectual property can be negotiated across trade sectors is required, WTO disputes have linked intellectual property to trade in cotton, bananas, and gambling services.¹⁰

The TRIPS Agreement crystallized the highest level of intellectual property rights as common among industrialized countries (mainly Europe, Japan, and the United States) as of December 1990. In that year, a text close to the final one signed in Marrakesh in 1994 was presented to the negotiators for a conference held in Brussels. That conference was supposed to conclude the Uruguay Round but failed to do so, essentially due to a breakdown in the discussion on agricultural trade.¹¹ For proponents of developmental theories based on historical accounts of how industrialized countries got to where they were economically at the time of the negotiations—namely, by copying others first before adopting high intellectual property standards—this was not good news,¹² as the

8 GATT, Ministerial Declaration on the Uruguay Round of Multilateral Trade Negotiations (20 September 1986) (1986) 25 ILM 1623 pt I.D.

9 North American Free Trade Agreement (adopted 17 December 1992, entered into force 1 January 1994) (1993) 32 ILM 289 (NAFTA).

10 WTO, *United States—Subsidies on Upland Cotton—Recourse to Arbitration by the United States under Article 22.6 of the DSU and Article 7.10 of the SCM Agreement*, Decision by the Arbitrator (31 August 2009) WT/DS267/ARB/2; WTO, *European Communities—Regime for the Importation, Sale and Distribution of Bananas—Recourse to Arbitration by the European Communities under Article 22.6 of the DSU*, Decision by the Arbitrator (24 March 2000) WT/DS27/ARB/ECU; WTO, *United States—Measures Affecting the Cross-Border Supply of Gambling and Betting Services—Recourse to Arbitration by the United States under Article 22.6 of the DSU*, Decision by the Arbitrator (21 December 2007) WT/DS285/ARB.

11 For an overview of the negotiations, see Daniel Gervais, *The TRIPS Agreement: Drafting History and Analysis* (5th edn, Sweet & Maxwell 2021).

12 Ha-Joon Chang, *Kicking Away the Ladder: Development Strategy in Historical Perspective* (Anthem 2002); Llewellyn Joseph Gibbons, ‘Do As I Say (Not As I Did): Putative Intellectual Property Lessons for Emerging

next section further explicates. Indeed, the potential negative impact of the TRIPS Agreement on development in developing countries was recognized early on.¹³

Interestingly, the TRIPS Agreement did not rewrite the book of substantive intellectual property rules. A radical change in the international intellectual property framework could have generated enormous transition costs. Industries, inventors, creators, decision-makers, courts, and administrative and enforcement authorities would have been obliged to make major efforts to understand and apply the new forms of protection. Instead, the TRIPS Agreement tradified intellectual property by incorporating most of the substantive provisions of the preexisting Paris and Berne Conventions. To these conventions, the TRIPS Agreement added definitions (especially for industrial designs, patents, and trademarks, terms not defined in the Paris Convention), some rights and exceptions, but, in a novel effort, also detailed rules on the enforcement of rights before courts and administrative authorities (e.g. border control) and criminal sanctions. Perhaps the biggest change was the incorporation of the agreement into the WTO's binding dispute settlement mechanism.¹⁴ In exchange, and in addition to certain tariff and quota concessions in textiles, agriculture, and other sectors, WTO members, including the United States, would agree to use the WTO dispute settlement process instead of imposing unilateral sanctions.¹⁵

The result is that the TRIPS Agreement is not a separate agreement but an annex to the Marrakesh Agreement. It forms part of the WTO package—the 'single undertaking'—that any member must accept. As of July 2025, 45 state-to-state TRIPS disputes had been filed since the agreement entered into force in 1995.¹⁶ One measurable impact of the tradification of intellectual property can be seen in disputes concerning the so-called 'three-step test'—a test contained in the TRIPS Agreement to limit the scope of exceptions and limitations that WTO members can introduce in their legislation. That test aims to serve as 'a flexible balancing tool offering national policy makers sufficient breathing space to satisfy economic, social, and cultural needs.'¹⁷ It applies in three areas of intellectual property: copyright, industrial designs, and patents.¹⁸ As its name suggests, the test is understood to contain three 'steps.' The first step requires that an exception be 'limited.' The last two—namely, that an exception or limitation in domestic law should not 'conflict with a normal exploitation of the work' or 'unreasonably prejudice the legitimate interests' of the intellectual property right holder—were interpreted in largely financial terms by WTO dispute settlement panels.¹⁹ This is fully understandable from the viewpoint of experts serving on those panels, often former trade negotiators, but it seems to imply a burden on right holders to show evidence of interference with commercial exploitation and a (financial) prejudice that is not always readily

Economies from the Not So Long Past of the Developed Nations' (2011) 64 Southern Methodist University Law Review 923, 935–40.

13 Frederick M Abbott, 'The WTO TRIPS Agreement and Global Economic Development' (1996) 72 Chicago-Kent Law Review 385.

14 To this list one should add the sections on geographical indications, confidential information, and semiconductor masks, which either were not fully covered previously under multilateral norms or were covered under agreements with limited geographical coverage.

15 However, the USTR still issues a report card every year on the protection of US intellectual property interests around the world. See, for example, Office of the United States Trade Representative, *2025 Special 301 Report* (2025).

16 A majority were settled or not pursued, however, as is common in WTO practice.

17 Christophe Geiger, Daniel Gervais, and Martin Senftleben, 'The Three-Step Test Revisited: How to Use the Test's Flexibility in National Copyright Law' (2014) 29 American University International Law Review 581, 582.

18 TRIPS Agreement (n 1) Arts 13, 26.2, 30.

19 WTO, *Canada—Patent Protection of Pharmaceutical Products*, Report of the Panel (17 March 2000) WT/DS114/R; WTO, *United States—Section 110(5) of US Copyright Act*, Report of the Panel (15 June 2000) WT/DS160/R.

available in intellectual property cases—which is why injunctions and statutory damages are often the preferred remedies.

Another important issue in TRIPS-related dispute-settlement cases is the integration of the TRIPS Agreement into a broader body of international law beyond just trade liberalization rules, including human rights. The WTO Appellate Body stated that WTO instruments should not be ‘read in clinical isolation from public international law.’²⁰ The Appellate Body and many panels have had recourse to the Vienna Convention on the Law of Treaties (VCLT)²¹ and to certain human rights decisions from other organizations, though to a very limited extent in the latter case.²² If the Appellate Body is ever allowed to function again (which remains quite uncertain as of July 2025 given the United States’ continuing opposition to the appointment of its members), one of the major challenges facing panels and the new Appellate Body will be to develop further the interface between the TRIPS Agreement and non-WTO instruments. The extent to which such ‘external’ standards are used to interpret the TRIPS provisions could become a matter of particular concern. Account would be taken not just of consensuses reached and declarations issued in the Council for Trade-Related Aspects of Intellectual Property Rights (TRIPS Council) or by the WTO General Council. Broader and deeper recourse to non-WTO norms in the WTO dispute settlement process could transcend the traditional reluctance at the international trading body to modify an agreement by interpretation (or to grant ‘non-negotiated concessions’) by incorporating or referring to external norms. In that respect, developments since the entry into force of the TRIPS Agreement are but signs of things to come. These developments notably include the HIV/AIDS crisis—which was one of the main reasons for the adoption of the Declaration on the TRIPS Agreement and Public Health (Doha Declaration)²³ at the Doha Ministerial Conference in 2001—and the COVID-19 pandemic, which led to the adoption of a TRIPS ‘waiver.’²⁴ The dispute concerning Australia’s tobacco plain packaging measures, discussed in the third section, is also directly relevant in that regard.²⁵

The question of interpreting international intellectual property law in conformity with international trade law is a major shift that has arguably affected the entire area of the latter. It applied somewhat differently to the TRIPS Agreement because that instrument is not typical international trade law. Indeed, as explained already, the Agreement incorporated by reference most provisions of two extant intellectual property conventions, instruments that belonged to the realm of international law, not international trade law. This agreement therefore built a bridge between these two realms. Yet the TRIPS Agreement remains different because, as the Appellate Body noted, it requires ‘active intervention of government to enforce [intellectual property] restrictions . . . *By contrast*, other covered agreements are focused on the *liberalization of international trade*, effected through the progressive reduction, through mutual agreement, of barriers to trade.’²⁶ Hence, there

20 WTO, *United States—Standards for Reformulated and Conventional Gasoline*, Report of the Appellate Body (29 April 1996) WT/DS2/AB/R pt III.B (*US—Gasoline*).

21 Vienna Convention on the Law of Treaties (adopted 23 May 1969, entered into force on 27 January 1980) 1155 UNTS 331.

22 *US—Gasoline* (n 20) pt III.B, fn 36; WTO, *Japan—Taxes on Alcoholic Beverages*, Report of the Appellate Body (4 October 1996) WT/DS8/AB/R, WT/DS10/AB/R, WT/DS11/AB/R pt D.

23 WTO, Declaration on the TRIPS Agreement and Public Health (14 November 2001) (2002) 41 ILM 755.

24 WTO, Ministerial Decision on the TRIPS Agreement (17 June 2022) WT/MIN(22)/30 (Ministerial Decision).

25 WTO, *Australia—Certain Measures Concerning Trademarks, Geographical Indications and Other Plain Packaging Requirements Applicable to Tobacco Products and Packaging*, Reports of the Appellate Body (29 June 2020) WT/DS435/AB/R, WT/DS441/AB/R (*Australia—Tobacco Plain Packaging*).

26 *ibid* fns 1502, 1670 (emphasis added).

is a ‘TRIPS difference,’ justifying its different consideration from the (rest of) international trade law.²⁷ This difference matters, as the third section will discuss a possible pluralist approach to the future application and interpretation of the TRIPS Agreement.

II. Resistance to Tradification

While the United States, Europe, Japan, and a few other allies supported the tradification project, many GATT members, especially those in the developing world, were not on board. During the GATT negotiations, ten countries—Argentina, Brazil, Cuba, Egypt, India, Nicaragua, Nigeria, Peru, Tanzania, and the former Yugoslavia—strongly opposed the incorporation of intellectual property standards into the international trade regime.²⁸ In the view of India, ‘only the restrictive and anti-competitive practices of the owners of [intellectual property rights] . . . could be considered to be trade-related because they alone distorted or impeded international trade.’²⁹ Meanwhile, Brazil called on GATT parties to sign the Madrid Agreement for the Repression of False or Deceptive Indications of Source on Goods ‘as a preliminary to any further discussion on the subject of trade in counterfeit goods.’³⁰

The resistance from developing countries is understandable. Many of them would not derive direct benefits from stronger protection of intellectual property rights. They further believed that treating intellectual property as tradeable could have major adverse impacts on their economic and technological development.³¹ Generally, developing countries also remained far behind in enacting or updating intellectual property laws. The creation of new international obligations in this area that could be enforced through a mandatory dispute settlement process would require them to undertake wholesale law reforms incurring significant implementation, enforcement, and adjustment costs.³²

In addition, some developing countries were somewhat unfamiliar with the more technical legal standards used to protect intellectual property rights, nor did they always understand the implications of such protection, especially outside the intellectual property domain.³³ Although many developing countries had acceded to the Paris and Berne Conventions or were bound by the obligations colonial powers entered into on their behalf,³⁴ these conventions were essentially

27 See Daniel J. Gervais, ‘TRIPS Pluralism’ (2022) 21 *World Trade Review* 185.

28 ‘Draft Ministerial Declaration’ (23 June 1986) PREP.COM(86)W/41; Jayashree Watal, *Intellectual Property Rights in the WTO and Developing Countries* (Kluwer Law International 2001) 19; Peter Drahos, ‘Developing Countries and International Intellectual Property Standard-Setting’ (2002) 5 *Journal of World Intellectual Property* 765, 773.

29 Negotiating Group on Trade-Related Aspects of Intellectual Property Rights, Including Trade in Counterfeit Goods (TRIPS Negotiating Group), ‘Meeting of Negotiating Group of 12–14 July 1989: Note by the Secretariat’ (12 September 1989) MTN.GNG/NG11/14, 4–5; Peter K Yu, ‘The Objectives and Principles of the TRIPS Agreement’ (2009) 46 *Houston Law Review* 979, 987–88.

30 TRIPS Negotiating Group, ‘The Madrid Agreement for the Repression of False or Deceptive Indications of Source on Goods: Suggestion by Brazil’ 1 (9 July 1987) MTN.GNG/NG11/W/11.

31 Bernard M Hoekman and Petros C Mavroidis, *The World Trade Organization: Law, Economics, and Politics* (1st edn, Routledge 2007) 111; World Bank, *Global Economic Prospects and the Developing Countries 2002: Making Trade Work for the World’s Poor* (World Bank 2001) xvii.

32 Keith E Maskus, *Private Rights and Public Problems: The Global Economics of Intellectual Property in the 21st Century* (Peterson Institute for International Economics 2012) 227.

33 Peter K Yu, ‘TRIPS and Its Discontents’ (2006) 10 *Marquette Intellectual Property Law Review* 369, 375–76.

34 Ruth L Okediji, ‘The International Relations of Intellectual Property: Narratives of Developing Country Participation in the Global Intellectual Property System’ (2003) 7 *Singapore Journal of International and Comparative Law* 315, 320–34.

unenforceable, as they included only an optional dispute settlement mechanism (through the International Court of Justice) that no country had ever used in the intellectual property area.³⁵ More importantly, developing countries had traditionally been protected by special and differential treatment under the GATT, which provided them with additional flexibility in treaty compliance.

To help developing countries prepare for the substantial adjustments needed to raise standards of intellectual property protection and enforcement, the TRIPS Agreement introduced transition periods. While the agreement gave every WTO member a one-year grace period—until 1 January 1996—Article 65 gave developing countries and economies in transition an additional four years to comply with TRIPS obligations.³⁶ In countries that had yet to use patents to protect pharmaceutical products, as opposed to processes, Article 65 further allowed these countries to delay such protection for five years on the condition that they would provide a ‘mailbox’ for filing relevant applications.³⁷ Article 66 gave a transition period of ten years to least developed countries³⁸—those countries that the United Nations had classified as the poorest in the world. This last transition period could be extended by WTO members, as it has been several times since the expiry of the initial ten-year period.

Among obligations that continue today, Article 66 requires developed countries to transfer technology to ‘enable [least developed countries] to create a sound and viable technological base.’³⁹ The TRIPS Agreement also includes numerous safeguards and flexibilities to maximize the freedom available to WTO members for implementing their international intellectual property obligations. In the public health arena, for instance, countries—developed and developing alike—are permitted to issue compulsory licenses, authorize parallel importation, use competition law to curb abuse of intellectual property rights, prohibit the grant of patents based on new uses,⁴⁰ and decline to extend the patent term for pharmaceuticals due to delay in regulatory review.⁴¹

Given the transition periods and other accommodations for developing countries, it is understandable why most TRIPS disputes in the first five years of the WTO involved primarily developed countries—most notably, the United States and the European Communities.⁴² A rare exception was the *India—Patents* dispute in which the United States and later the European Communities successfully challenged, through parallel proceedings, India’s failure to establish a ‘mailbox’ system for filing patent applications during the additional five-year transition period in the area of pharmaceutical patents.⁴³ This case was the first TRIPS dispute that led to the establishment of a WTO panel and the release of an Appellate Body report. Another notable exception is the dispute

35 Peter K Yu, ‘Currents and Crosscurrents in the International Intellectual Property Regime’ (2004) 38 *Loyola of Los Angeles Law Review* 323, 355.

36 TRIPS Agreement (n 1) Art 65.2.

37 *ibid* Arts 65.4, 70.8–70.9.

38 *ibid* Art 66.1.

39 *ibid* Art 66.2.

40 For example, when countries grant patent protection to previously approved pharmaceutical products based on new uses, formulations, or methods of administration.

41 Frederick M Abbott, ‘The Cycle of Action and Reaction: Developments and Trends in Intellectual Property and Health’ in Pedro Roffe, Geoff Tansey, and David Vivas-Eugui (eds), *Negotiating Health: Intellectual Property and Access to Medicines* (Earthscan 2006) 30.

42 William J Davey, ‘The WTO Dispute Settlement System: The First Ten Years’ (2005) 8 *Journal of International Economic Law* 17, 17.

43 WTO, *India—Patent Protection for Pharmaceutical and Agricultural Chemical Products*, Report of the Panel (5 September 1997) WT/DS50/R; WTO, *India—Patent Protection for Pharmaceutical and Agricultural Chemical Products*, Report of the Panel (24 August 1998) WT/DS79/R.

between Argentina and the United States over the lack of adequate protection for test and other data for pharmaceutical and agrochemical products.⁴⁴ That dispute was eventually settled.⁴⁵

With the expiration of the TRIPS transition period for developing countries on 31 December 1999, these countries became even more concerned about the immense barriers and challenges that the TRIPS Agreement could pose to their economic and technological development. Many of these countries, especially those in sub-Saharan Africa, were also facing major public health crises caused by the HIV/AIDS, malaria, and tuberculosis epidemics. By the time the Doha Development Round of Trade Negotiations (Doha Round) was launched in November 2001, these issues had become front and centre at the WTO.

In these circumstances, and against a background of the need for greater global cooperation following the 11 September 2001 terrorist attacks in the United States, WTO members adopted the Doha Declaration. Paragraph 6 of the Declaration ‘recognize[d] that WTO Members with insufficient or no manufacturing capacities in the pharmaceutical sector could face difficulties in making effective use of compulsory licensing under the TRIPS Agreement.’⁴⁶ It instructed the TRIPS Council ‘to find an expeditious solution.’⁴⁷ Paragraph 7 further extended the introduction of protections for pharmaceutical patents and undisclosed test data in least developed countries to 1 January 2016.⁴⁸ The Paragraph 6 solution developed by the TRIPS Council was eventually formalized as Article 31*bis* of the TRIPS Agreement.⁴⁹ Taking effect in January 2017, this provision remains, to date, the only amendment to this agreement and the only substantive amendment in any WTO agreement.⁵⁰

Another important development during the Doha Round was China’s accession to the WTO, which has raised questions not previously explored in the international trading body. Not only had the country been long criticized for its massive piracy and counterfeiting problems,⁵¹ the state-driven economic development model in China had posed significant challenges to other WTO members.⁵² These challenges continue even today, both in the intellectual property field and beyond.⁵³

44 WTO, *Argentina—Patent Protection for Pharmaceuticals and Test Data Protection for Agricultural Chemicals*, Request for Consultations by the United States (10 May 1999) WT/DS171/1; WTO, *Argentina—Certain Measures on the Protection of Patents and Test Data*, Request for Consultations by the United States (6 June 2000) WT/DS196/1.

45 WTO, *Argentina—Patent Protection for Pharmaceuticals and Test Data Protection for Agricultural Chemicals* (WT/DS171)—*Argentina—Certain Measures on the Protection of Patents and Test Data* (WT/DS196), Notification of Mutually Agreed Solution According to the Conditions Set Forth in the Agreement (20 June 2002) WT/DS171/3, WT/DS196/4.

46 WTO, Declaration on the TRIPS Agreement and Public Health (14 November 2001) (2002) 41 ILM 755 para 6.

47 *ibid.*

48 *ibid* para 7.

49 TRIPS Agreement (n 1) Art 31*bis*.

50 WTO, *Status of WTO Legal Instruments: 2021 Edition* (WTO 2021) 11.

51 Peter K Yu, ‘Intellectual Property, Economic Development, and the China Puzzle’ in Daniel J Gervais (ed), *Intellectual Property, Trade and Development: Strategies to Optimize Economic Development in a TRIPS-Plus Era* (1st edn, OUP 2007).

52 Henry Gao, Damian Raess, and Zeng Ka (eds), *China and the WTO: A 20-Year Assessment* (CUP 2023); Petros C Mavroidis and André Sapir, *China and the WTO: Why Multilateralism Still Matters* (Princeton University Press 2021); Rob Howse, ‘Official Business: International Trade Law and the Resurgence (or Resilience) of the State as an Economic Actor’ (2022) 43 University of Pennsylvania Journal of International Law 821; Mark Wu, ‘The “China, Inc.” Challenge to Global Trade Governance’ (2016) 57 Harvard International Law Journal 261.

53 WTO, *China—Certain Measures Concerning the Protection of Intellectual Property Rights*, Request for Consultations by the United States (26 March 2018) WT/DS542/1; WTO, *China—Certain Measures on the Transfer*

Meanwhile, the use of alternative intellectual property and innovation models in major developing countries such as Brazil, China, and India has ushered in new developments not previously seen in either the WTO or WIPO—namely, the rise of emerging countries.⁵⁴ These middle-income countries raise new questions and complications because their positions on intellectual property do not align closely with those of either the Global North or the Global South. The success of these countries also invites us to reassess the strengths and weaknesses of the TRIPS Agreement.

The prevailing wisdom in the North-South debate is that some of the intellectual property standards demanded by developed countries, including those in the TRIPS Agreement, are higher than appropriate for developing countries, such as for addressing public health needs or building up their own innovation ecosystems. The tradification project therefore strengthens the economic and technological position of the former group of countries at the expense of the latter. However, if emerging countries were able to improve both economically and technologically, their development trajectories might suggest the existence of some viable innovation models that could allow developing countries to succeed even under the pressures and constraints imposed by the TRIPS Agreement.⁵⁵

Today, commentators continue to debate whether emerging countries succeeded because they selectively adapted TRIPS standards⁵⁶ or whether the WTO provided substantial benefits in other trade areas that had offset the development constraints imposed by the TRIPS Agreement. Making an empirical assessment of the latter is very difficult, if not impossible, due to the ‘single undertaking’ arrangement in the Uruguay Round negotiations.⁵⁷ There were also questions about whether the TRIPS-based intellectual property system is more supportive of innovation than developing countries and their supportive commentators had given it credit for, notwithstanding the short-term pains the TRIPS Agreement had inflicted upon these countries—a position long held by TRIPS advocates.⁵⁸

By the mid-2000s, all major developing countries had overhauled their intellectual property systems. India, for example, adopted the Indian Patents (Amendment) Act in 2005 to extend product patents to pharmaceuticals and other fields of technology. Before joining the WTO in 2001, China also undertook wholesale amendments of its copyright, patent, and trademark laws.⁵⁹ Nevertheless, there remained several major North-South issues that the WTO had to address. Due to its limited length, this section discusses only two.

The first issue concerns the need to extend the transition period for least developed countries, which was clear to most WTO members. If developing countries had significant difficulties with high TRIPS standards, the world’s poorest countries would not be able to meet those standards. Moreover, many WTO members did not have substantial intellectual property trade with least

of Technology, Request for Consultations by the European Union (6 June 2018) WT/DS549/1; WTO, *China—Enforcement of Intellectual Property Rights*, Request for Consultations by the European Union (22 February 2022) WT/DS611/1; Peter K Yu, ‘Two Decades of TRIPS in China’ in Gao, Raess and Zeng (n 52).

54 Peter K Yu, ‘Three Megatrends in the International Intellectual Property Regime’ (2023) 41 *Cardozo Arts and Entertainment Law Journal* 457, 458–66.

55 Peter K Yu, ‘TRIPS and Its Contents’ (2020) 60 *IDEA* 149, 151, 188–94.

56 *ibid* 207–15.

57 Peter K Yu, ‘When the Chinese Intellectual Property System Hits 35’ (2018) 8 *Queen Mary Journal of Intellectual Property Law* 3, 12.

58 Daniel J Gervais, ‘The TRIPS Agreement and the Doha Round: History and Impact on Economic Development’ in Peter K Yu (ed), *Intellectual Property and Information Wealth: Issues and Practices in the Digital Age*, vol 4 (Praeger Publishers 2007) 43.

59 Peter K Yu, ‘From Pirates to Partners (Episode II): Protecting Intellectual Property in Post-WTO China’ (2006) 55 *American University Law Review* 901, 906–23.

developed countries, nor did their nationals and firms actively secure markets or intellectual property rights in those countries. Granting least developed countries a longer transition period would therefore be a low-cost action that would generate much goodwill. The only major question about the extension was its duration. In the end, WTO members, in November 2005, settled on an extension for seven and a half years, half of the 15 years requested by least developed countries and their supporters. This transition period has since been extended two more times in June 2013 and June 2021. Today, least developed countries will not assume full TRIPS obligations until, at the earliest, 1 July 2034.

The second issue pertains to intellectual property enforcement. Even though developing countries remained deeply concerned about the deleterious effects of the TRIPS Agreement, developed countries were equally frustrated by the lack of enforcement of intellectual property rights in developing countries. To improve intellectual property enforcement among WTO members, the European Union, Japan, Switzerland, and the United States submitted proposals to the TRIPS Council, calling for in-depth discussions of intellectual property enforcement issues.⁶⁰ When these discussions were stalled at the WTO, developed and likeminded countries began to develop new international intellectual property standards outside the multilateral process.⁶¹

In October 2007, the United States, the European Union, Japan, and other key trading partners launched the negotiations for the Anti-Counterfeiting Trade Agreement (ACTA),⁶² which sought to use plurilateral negotiations to set new international minimum standards for intellectual property enforcement.⁶³ The launch of these negotiations, in turn, caused developing countries to register their objections before the TRIPS Council. In the Council's June 2010 meeting, both China and India spoke vocally about the potential systemic problems generated by TRIPS-plus enforcement standards in the international trade regime.⁶⁴ Other developing countries, such as Indonesia, continued to register their concerns about the impact of the ACTA negotiations in the next TRIPS Council meeting.⁶⁵

The negotiation of ACTA—and, later, the Trans-Pacific Partnership (which evolved into the Comprehensive and Progressive Agreement for Trans-Pacific Partnership)⁶⁶ and the Regional Comprehensive Economic Partnership⁶⁷—created a new challenge for the WTO and the future development of TRIPS standards. Not only were the standards in these instruments higher than what the majority of WTO members would accept, but the lack of inclusiveness also prevented

60 Peter K Yu, 'TRIPS and Its Achilles' Heel' (2011) 18 *Journal of Intellectual Property Law* 479, 505–08, 511–15.

61 Peter K Yu, 'The Non-multilateral Approach to International Intellectual Property Normsetting' in Daniel J Gervais (ed), *International Intellectual Property: A Handbook of Contemporary Research* (Edward Elgar 2015).

62 Anti-Counterfeiting Trade Agreement (opened for signature 1 May 2011) (2011) 50 *ILM* 243.

63 Daniel Gervais, 'Country Clubs, Empiricism, Blogs and Innovation: The Future of International Intellectual Property Norm Making in the Wake of ACTA' in Mira Burri and Thomas Cottier (eds), *Trade Governance in the Digital Age: World Trade Forum* (CUP 2012) 324; Peter K Yu, 'Six Secret (and Now Open) Fears of ACTA' (2011) 64 *Southern Methodist University Law Review* 975, 1074–83.

64 Yu (n 60) 518–21.

65 Peter K Yu, 'Are Developing Countries Playing a Better TRIPS Game?' (2011) 16 *UCLA Journal of International Law and Foreign Affairs* 311, 332, fn 103.

66 Comprehensive and Progressive Agreement for Trans-Pacific Partnership (adopted 8 March 2018, entered into force 30 December 2018) <<https://www.mfat.govt.nz/assets/Trade-agreements/CPTPP/Comprehensive-and-Progressive-Agreement-for-Trans-Pacific-Partnership-CPTPP-English.pdf>>.

67 Regional Comprehensive Economic Partnership Agreement (adopted 15 November 2020, entered into force 1 January 2022) <<https://rcepsec.org/legal-text/>>.

many WTO members from participating in the negotiations.⁶⁸ Gone were the days when intellectual property norm-setting was largely confined to multilateral fora provided by the WTO and WIPO. The challenge brought about by plurilateral trade agreements continues today.⁶⁹ It provides the backdrop against which WTO members negotiated whether TRIPS standards should be adapted to changing economic and technological conditions, including during the COVID-19 pandemic.

III. The Future of Intellectual Property Tradification

In the future, a myriad of trends and forces will compete to shape the international intellectual property domain. The first trend, already alluded to in the previous section, is the proliferation of international trade agreements containing intellectual property chapters. The second is the impact of the integration of intellectual property concerns in a broader normative array, a process initiated by the WTO Appellate Body before its work was interrupted by the United States' refusal to approve the appointment of its members. Both trends are likely to have substantial impacts on the interests of developing countries and indeed of all WTO members.

The intellectual property chapters of post-TRIPS international trade agreements generally contain TRIPS-plus provisions—sometimes to restrict the definitional flexibility that follows from leaving a term undefined in the TRIPS Agreement (for instance, patentability criteria or the meaning of ‘commercial scale’ in Article 61)⁷⁰ and sometimes to create new norms (for example, para-copyright norms concerning the circumvention of technological protection measures).⁷¹ In certain areas, such as geographical indications, these agreements may contain norms that are difficult to reconcile between all of these agreements and between the TRIPS Agreement and post-TRIPS agreements.⁷²

One potentially troubling aspect of post-TRIPS international trade agreements is the liberty with which negotiators modify TRIPS language, tweaking it to achieve a certain objective. A case in point is the three-step test. With several versions in Articles 13, 26.2, and 30 of the TRIPS

68 Gervais (n 63); Peter K Yu, ‘ACTA and Its Complex Politics’ (2011) 3 WIPO Journal 1; Peter K Yu, ‘TPP and Trans-Pacific Perplexities’ (2014) 37 Fordham International Law Journal 1129.

69 See Hsieh and Claussen’s chapter in this *Handbook*.

70 TRIPS Agreement (n 1) Art 61.

71 See, for example, United States–Australia Free Trade Agreement (adopted 18 May 2004, entered into force 1 January 2005) <https://ustr.gov/sites/default/files/uploads/agreements/fta/australia/asset_upload_file148_5168.pdf> Art 17.4.7; United States–Singapore Free Trade Agreement (adopted 6 May 2003, entered into force 1 January 2004) <https://ustr.gov/sites/default/files/uploads/agreements/fta/singapore/asset_upload_file708_4036.pdf> Art 16.4.7. NAFTA, signed in 1992, contains an intellectual property chapter that predates TRIPS (by a few months). NAFTA (n 9). That chapter is structurally similar to TRIPS. Whether it was TRIPS-plus or TRIPS-minus is a matter of disagreement, but its replacement by the United States–Mexico–Canada Agreement makes the matter essentially moot. Agreement between the United States of America, the United Mexican States, and Canada (adopted 30 November 2018, revised 10 December 2019, entered into force on 1 July 2020) <<https://ustr.gov/trade-agreements/free-trade-agreements/united-states-mexico-canada-agreement>>.

72 Compare Trans-Pacific Partnership Agreement (adopted 4 February 2016, selectively entered into force as part of the Comprehensive and Progressive Agreement for Trans-Pacific Partnership 30 December 2018) <<https://www.mfat.govt.nz/assets/Trade-agreements/TPP/Text-ENGLISH/18.-Intellectual-Property-Chapter.pdf>> Arts 18.30–18.36, with Comprehensive Economic and Trade Agreement between Canada and the European Union and Its Member States (adopted 30 October 2016, provisionally entered into force 21 September 2017) <<https://www.international.gc.ca/trade-commerce/trade-agreements-accords-commerciaux/agr-acc/ceta-aecg/text-texte/20.aspx?lang=eng>> Arts 20.16–20.23, annexes 20-A and 20-B; European Union–Vietnam Trade Agreement and Investment Protection Agreement (adopted 30 June 2019, entered into force 1 August 2020) [2020] OJ L186/3 Arts 12.23–12.33, annex 12-A.

Agreement and Article 9(2) of the Berne Convention as incorporated into the TRIPS Agreement,⁷³ this test was modified many times when used in TRIPS-plus agreements. A difference in language implies a different meaning, which could impact the outcome of future disputes at the WTO and elsewhere. As the patchwork of norms woven by regional or plurilateral trade agreements continues to spread, the interface among these agreements, on the one hand, and between these agreements and the TRIPS Agreement, on the other, grows in complexity.⁷⁴

The second trend is the incorporation of international trade law into the broader field of international law. This was not a given. From World War II up until the early 1990s, international law and international economic law⁷⁵ had relatively few interconnections.⁷⁶ As far as international trade law is concerned, this isolation was by design.⁷⁷ Hence, until around 1990, international trade law was, simply put, disconnected from public international law.⁷⁸ At least at first sight, these two bodies of law involve different international organs, legal frameworks, judicial bodies, and epistemic communities, with little cross-pollination, if any.⁷⁹ As Professor Donald McRae noted, '[h]ow, and to what extent, are concepts of international law to be integrated within the legal regime of international trade law' became a point of focus among trade law experts.⁸⁰

International trade law would progressively enter the realm of international law. The impetus for the change came in significant part from the WTO itself, soon after its establishment in 1995. The Appellate Body quickly took a stand on the matter, even though that position, as we will see shortly, was not initially as portentous as it seemed. Prompted by the WTO negotiators' inclusion in the Dispute Settlement Understanding (DSU) of a significant nudge—in providing that WTO instruments are to be interpreted and applied 'in accordance with customary rules of interpretation of public international law'⁸¹—the Appellate Body determined that WTO instruments, including the TRIPS Agreement, should be interpreted according to the VCLT.⁸² This determination was

73 Berne Convention (n 2) Art 9(2); TRIPS Agreement (n 1) Arts 13, 26.2, 30.

74 Article 13 of TRIPS contains the same version of the test as Article 9(2) of the Berne Convention except that it refers to the interests of 'right holders' instead of authors. The TRIPS Agreement also broadens the coverage of the test to all copyright rights, not just the reproduction right as in the Berne Convention. The test was modified more substantially when applied to other intellectual property rights in the TRIPS Agreement.

75 Anthony Aust, *Handbook of International Law* (1st edn, CUP 2005) 372–89; David J Bederman, *International Law Frameworks* (2nd edn, Foundation Press 2006) 147–55.

76 The separation took shape in the 1940s, after Bretton Woods. See Jürgen Kurtz, *The WTO and International Investment Law: Converging Systems* (OUP 2016).

77 See Gabrielle Marceau, 'Conflicts of Norms and Conflicts of Jurisdictions: The Relationship between the WTO Agreement and MEAs and Other Treaties' (2001) 35 *Journal of World Trade Law* 1081, 1130.

78 Donald M McRae, 'The Contribution of International Trade Law to the Development of International Law' (1996) 260 *Recueil des Cours* 99, 111.

79 See Gervais (n 27). 'An epistemic community is a network of professionals with recognized expertise and competence in a particular domain and an authoritative claim to policy-relevant knowledge within that domain or issue-area.' Peter M Haas, 'Introduction: Epistemic Communities and International Policy Coordination' (1992) 46 *International Organization* 1, 3.

80 Donald M McRae, 'The WTO in International Law: Tradition Continued or New Frontier?' (2000) 3 *Journal of International Economic Law* 27, 27.

81 Understanding on Rules and Procedures Governing the Settlement of Disputes (adopted 15 April 1994, entered into force 1 January 1995) 1869 UNTS 401 Art 3.

82 Compare *US—Gasoline* (n 20) 17; *Case Concerning Oil Platforms* (Islamic Republic of Iran v United States of America) (Preliminary Objection) [1996] ICJ Rep 803, 812. Both cases described Article 31 of the VCLT as customary international law. The Appellate Body has also applied the VCLT to the TRIPS Agreement. See, for example, *WTO, India—Patent Protection for Pharmaceutical and Agricultural Chemical Products*, Report of the Appellate Body (19 December 1997) WT/DS50/AB/R para 46.

uncontroversial for the most part, but then came the statement that ‘WTO Agreements were “not to be read in clinical isolation from public international law”’—a stand that caused much ink to be spilled in international trade journals.⁸³ At the very least, this statement meant that WTO law was not or no longer a closed system.⁸⁴ The former WTO Director-General Pascal Lamy put his shoulder to the wheel by stating that WTO norms could be ‘trumped’ by non-WTO concerns: ‘in leaving Members with the necessary policy space to favour non-WTO concerns, the WTO also recognizes the specialization, expertise and importance of other international organizations.’⁸⁵ This ability of WTO members to ‘favour’ non-WTO concerns is seemingly much broader than just a recognition of the value of the specialized work of other agencies or organizations.⁸⁶

Yet the push towards an opening of the trade realm to international law norms emerging outside of the WTO—a phenomenon one could label legal pluralism⁸⁷—had a limited impact in TRIPS disputes until two major events changed the TRIPS Agreement, probably for good.

The first major event concerned a hard-fought dispute over tobacco packaging that ended with the Appellate Body recognizing Australia’s right to ban the use of non-word trademarks and to regulate the use of word marks on such packaging.⁸⁸ The important point for our purposes is the use by the panel and the Appellate Body of the Framework Convention on Tobacco Control (FCTC) of the World Health Organization (WHO).⁸⁹ This Convention does not mandate trademark restrictions, but its Guidelines call on state parties to consider plain packaging measures.⁹⁰ The use of the FCTC and its guidelines is a striking aspect of the panel report, which mentions both documents *over 1,000 times*.⁹¹ It is also noteworthy that two complainants, the Dominican Republic and Indonesia, were *not* party to the FCTC.⁹² The purported justification for the Australian measure was therefore not contractarian but rather based on the fact the FCTC had broad acceptance (181

83 *US—Gasoline* (n 20) pt III.B.

84 See Gabrielle Marceau, ‘The WTO Is Not a Closed Box’ (2006) 100 *American Society of International Law Proceedings* 29.

85 Pascal Lamy, ‘The Place of the WTO and Its Law in the International Legal Order’ (2006) 17 *European Journal of International Law* 969, 981.

86 For example, the SPS Agreement *expressly* opens a door to the application of non-WTO standards in two ways: first, by referring in its preambular provisions to ‘international standards, guidelines and recommendations developed by the relevant international organizations’; and second, by stating that members must ‘base their sanitary or phytosanitary measures on *international standards, guidelines or recommendations, where they exist.*’ Agreement on the Application of Sanitary and Phytosanitary Measures (adopted 15 April 1994, entered into force 1 January 1995) 1867 UNTS 493 preamble, Art 3.1 (emphasis added).

87 Gervais (n 27).

88 WTO, *Australia—Certain Measures Concerning Trademarks, Geographical Indications and Other Plain Packaging Requirements Applicable to Tobacco Products and Packaging*, Reports of the Panels (28 June 2018) WT/DS435/R, WT/DS441/R, WT/DS458/R, WT/DS467/R, 89–93. The reports in DS 458 and DS 467 were adopted on 27 August 2018 as Cuba and Indonesia did not appeal the report. The Dominican Republic and Honduras did, however. See *Australia—Tobacco Plain Packaging* (n 25).

89 WHO Framework Convention on Tobacco Control (adopted 21 May 2003, entered into force 27 February 2005) 2302 UNTS 166 (FCTC).

90 The Guidelines to Article 11 of the FCTC (on packaging) provides that contracting parties should ‘consider adopting measures to restrict or prohibit the use of logos, colours, brand images or promotional information on packaging other than brand names and product names displayed in a standard colour and font style (plain packaging).’ WHO Framework Convention on Tobacco Control, *Guidelines for Implementation of Article 11* (2013) 11.

91 A word search of the report performed by one of the authors returned a count of 1,062, but the search results included the table of contents, list of abbreviations, and other extraneous material.

92 Ukraine, which has ratified the FCTC, also filed a request for consultation but did not continue with the panel process.

parties when the panel report was released). The position taken in this dispute opens the door to the invocation of other broadly accepted international law norms in WTO disputes—including, for instance, the United Nations Framework Convention on Climate Change (UNFCCC), which has 198 parties as of July 2025.⁹³

The second major event was, of course, the COVID-19 pandemic. As supply chains collapsed worldwide, many WTO members needed access to patent-protected vaccines, medications, and other health products and technologies. To this end, a large contingent of members, mostly from the developing world, demanded a waiver that would temporarily suspend many TRIPS provisions to facilitate the ‘prevention, containment or treatment of COVID-19.’⁹⁴ A waiver was eventually obtained, but it was drastically different from what developing countries proposed. It applies only to vaccines, with several conditions to prevent re-exportation.⁹⁵ As of July 2025, negotiations about the extension of this waiver to products and technologies other than vaccines remain ongoing. As the pandemic’s urgency has diminished significantly in the consciousness of both policy-makers and the public, the prospects for such an extension have also reduced accordingly.

The triple clash of the TRIPS Agreement with public health—HIV/AIDS and the Doha Declaration, the *Australia—Tobacco Plain Packaging* dispute, and the COVID-19 pandemic—will no doubt affect the future of the Agreement. Indeed, the WTO Secretariat itself has taken note of this potential impact, as meetings of the directors-general of the WTO, WHO, and WIPO and other collaborative activities suggest.⁹⁶

Although public health has been the main driver of change, three other drivers must be considered. The first is the improved understanding of the interplay between levels and types of intellectual property protection and innovation in different industrial and socioeconomic systems. The second driver is the push for TK protection, which includes limits or conditions on the grant and scope of protections for certain forms of intellectual property rights (for example, disclosure obligations concerning the use of TK in patent and industrial design applications) and new forms of protection for certain types of TK (from traditional cultural expressions, or folklore, to traditional

93 UN Climate Change, ‘Parties to the United Nations Framework Convention on Climate Change’ <<https://unfccc.int/process/parties-non-party-stakeholders/parties-convention-and-observer-states>> accessed 31 May 2024. As with the FCTC Guidelines, the norms concerned could extend to decisions made by the Conferences of the Parties to the UNFCCC and also potentially to policy recommendations made by the Subsidiary Body of Implementation or other UNFCCC subsidiary bodies. See UN Climate Change, ‘Governing and Subsidiary Bodies’ <<https://unfccc.int/process-and-meetings/bodies/governing-and-subsidiary-bodies>> accessed 31 May 2024.

94 TRIPS Council, ‘Waiver from Certain Provisions of the TRIPS Agreement for the Prevention, Containment and Treatment of COVID-19: Communication from India and South Africa’ (2 October 2020) IP/C/W/669; TRIPS Council, ‘Waiver from Certain Provisions of the TRIPS Agreement for the Prevention, Containment and Treatment of COVID-19: Revised Decision Text’ (25 May 2021) IP/C/W/669/Rev.1. On the COVID-19 TRIPS waiver proposal, see Peter K Yu, ‘A Critical Appraisal of the COVID-19 TRIPS Waiver’ in Taina Pihlajarinne, Jukka Mähönen, and Pratyush Nath Upreti (eds), *Intellectual Property Rights in the Post Pandemic World: An Integrated Framework of Sustainability, Innovation and Global Justice* (Edward Elgar 2023); Peter K Yu, ‘The COVID-19 TRIPS Waiver and the WTO Ministerial Decision’ in Jens Schovsbo (ed), *Intellectual Property Rights in Times of Crisis* (Edward Elgar 2024).

95 Ministerial Decision (n 24) para 1.

96 WHO, WIPO, and WTO, *Promoting Access to Medical Technologies and Innovation: Intersections between Public Health, Intellectual Property and Trade* (2nd edn, WHO, WIPO, and WTO 2020); WIPO, ‘WHO, WIPO, WTO Joint Technical Symposium on the COVID-19 Pandemic: Response, Preparedness, Resilience’ <<https://www.wipo.int/meetings/en/2022/wipo-wto-who-technical-symposium.html>> accessed 31 May 2024; WIPO, ‘WHO, WIPO, WTO Renew Commitment to Support Integrated Solutions to Global Health Challenges’ (13 September 2023) <https://www.wipo.int/policy/en/news/global_health/2023/news_0014.html>.

medicinal knowledge).⁹⁷ The final driver is the frequent negotiation of intellectual property–related provisions outside of intellectual property fora such as the TRIPS Council—for instance, when the negotiations form part of discussions on ‘digital trade’ chapters concerning the liability of internet service providers, ‘electronic commerce,’ and, increasingly, the location of computing facilities and the cross-border transfer of electronic information (including personal data).⁹⁸

The trends and forces described in this section are likely to make it much harder—politically at least—for the industry in industrialized countries to continue to push for increased levels of intellectual property protection, which is clearly visible in the data exclusivity area.⁹⁹ Those forces have different targets, but they all point towards a supplier form of international trade law.

Moreover, the recent tendency of those state actors who built the post–Bretton Woods rules-based multilateral trade system, especially the European Union and the United States, to sideline the WTO signals a less aggressive defence of multilateral rules enshrined in the TRIPS Agreement. The actors involved not only prevented the Appellate Body from performing its duties but also openly flouted WTO commitments in imposing unjustified trade tariffs and refusing national treatment on industrial subsidies.¹⁰⁰ It therefore remains to be seen how all these latest developments will shape the future of the international intellectual property domain and the continued evolution of the tradification project.

Conclusion

Almost 40 years ago, the Uruguay Round was launched at the Punta del Este Ministerial Conference, paving the way for the eventual formation of the WTO and the adoption of the TRIPS Agreement. Although developed and developing countries strongly disagreed initially over the efforts to tradify intellectual property during the TRIPS negotiations, the tradification project was accepted in the end—at times begrudgingly by developing countries. The ramifications of this project, however, did not stop there. By bringing intellectual property and international trade law closer together, the TRIPS Agreement has sparked new trends and forces that affect the evolution of the international intellectual property framework. It has shown how the tradification of intellectual property has a considerable impact not only on the protection and enforcement of intellectual property rights but also on the interrelationship between international law and international trade law.

97 WIPO Treaty on Intellectual Property, Genetic Resources and Associated Traditional Knowledge (adopted 24 May 2024) UN Doc GRATK/DC/7; WIPO, Intergovernmental Committee on Intellectual Property and Genetic Resources, Traditional Knowledge and Folklore, ‘The Protection of Traditional Cultural Expressions: Draft Articles’ (7 June 2023) UN Doc WIPO/GRTKF/IC/47/15; WIPO, Intergovernmental Committee on Intellectual Property and Genetic Resources, Traditional Knowledge and Folklore, ‘The Protection of Traditional Knowledge: Draft Articles’ (7 June 2023) WIPO/GRTKF/IC/47/14; Peter K Yu, ‘WIPO Negotiations on Intellectual Property, Genetic Resources and Associated Traditional Knowledge’ (2024) 57 *Akron Law Review* 277.

98 Mira Burri, *Should There Be New Multilateral Rules for Digital Trade?* (International Centre for Trade and Sustainable Development and World Economic Forum 2013); Anupam Chander and Paul Schwartz, ‘Privacy and/or Trade’ (2023) 90 *University of Chicago Law Review* 49; Peter K Yu, ‘Fitting Machine-Generated Data into Trade Regulatory Holes’ in Antony Taubman and Jayashree Watal (eds), *Trade in Knowledge: Intellectual Property, Trade and Development in a Transformed Global Economy* (CUP 2022).

99 Peter K Yu, ‘Data Exclusivities and the Limits to TRIPS Harmonization’ (2019) 46 *Florida State University Law Review* 641, 672–85.

100 Several states have repeatedly and abusively invoked the security exception in a way that may have backfired in that it might restrict its future use. See, for example, *United States—Certain Measures on Steel and Aluminium Products*, Report of the Panel (9 December 2022) WT/DS564/R.

TRADE IN AGRICULTURE

Adriana Borsellino

Introduction

Agriculture is a cornerstone of the global economy, serving as a vital source of food, income, and employment for billions of people worldwide. In an era of increasing globalization, the regulation and facilitation of international trade in agricultural products have become central to addressing food security, economic development, and environmental sustainability.

The current agricultural trade system is regulated by the World Trade Organisation's (WTO) Agreement on Agriculture (AoA).¹ As result of the Uruguay Round, the eighth round of multilateral trade negotiations conducted within the framework of the General Agreement on Tariffs and Trade (GATT) and spanning from 1986 to 1994, the AoA has had a profound impact on the global agricultural trade landscape, affecting both developed and developing countries (DCs). In fact, agriculture has been one of the most controversial issues in the past multilateral trade negotiations and nowhere is the tension between the critics and the proponents of the existing multilateral trading system more evident than in this matter. This tension stems from the sector's unique sensitivity and the special status it holds due to the complex interplay of economic, environmental, and political factors. Subsidies and protectionism, food security concerns, environmental and social impacts, and cultural and political considerations fuel the controversy and highlight competing interests among trading partners.

The primary goal of the Agreement was to reform the principles and regulations governing agricultural policy, by focusing on market access restrictions, domestic support, and export subsidies. Additionally, it aimed to minimize the distortions in agricultural trade resulting from protectionism and domestic support measures like excessive subsidies and high tariffs. These distortive forces were particularly significant as developed countries proactively protected their agricultural sectors from the implications of unrestricted markets.

Nowadays, the AoA is still the subject of several negotiations aimed at reforming agricultural trade. Indeed, in an ever-changing international scenario, there are more and more challenges to be faced. The COVID-19 pandemic and the conflict in Ukraine have unveiled the vulnerabilities of

¹ Agreement on Agriculture, 15 April 1994, in force on 1 January 1995, LT/UR/A-1A/2 a.

global food systems, resulting in food shortages, price spikes, and food insecurity. In this regard, recent years have witnessed a growing polarization over the role of trade in achieving food security. While some view trade as a catalyst for efficiency and growth, others see it as a threat to domestic agriculture, calling for greater state intervention in formulating food policy. The WTO can play a key role in addressing these challenges providing a multilateral forum for negotiations and a sophisticated legal framework. Its regulatory framework on agriculture, however, is affected by shortcomings and asymmetries that pose challenges to the long-term achievement of secure and sustainable food systems.

This chapter aims to critically examine the interplay between international trade in agriculture and the pursuit of food security, focusing on how trade policies impact DCs and the right to adequate food. It analyses the key provisions of the AoA, exploring the complex issues related to market access, domestic support, and export subsidies, the challenges and opportunities they present, and the implications for international agricultural trade. Central to this discussion is the need to balance the benefits of trade liberalization with the necessity of safeguarding food security, particularly in DCs.

Due to space limits, the scope of the chapter, while attempting to be comprehensive, is not all-encompassing. Other WTO agreements of importance to agriculture, such as the Agreement on the Application of Sanitary and Phytosanitary Measures, the Agreement on Technical Barriers to Trade, the Agreement on Subsidies and Countervailing Measures, and the Agreement on Trade-Related Aspects of Intellectual Property Rights, are not covered. Moreover, academic research on agricultural trade seems to have waned over the years, especially following the stalemate in the Doha Development Round negotiations. As the need for progress in the ongoing negotiations on agricultural trade is pressing, the chapter aims to fill this gap in the literature.

Regulating International Trade in Agriculture

Agricultural trade is an important component of many countries' overall economic activity and plays a major role in rural development, employment, and food security. With increasing global specialization in the production of food, goods, and services, growing environmental challenges, and many opportunities for agricultural trade for DCs, the regulation of international agricultural trade has become a crucial matter.²

The peculiarity of agriculture is underscored by the fact that it is one of the few economic sectors with a dedicated agreement within the WTO.³ Other than the broad distinction between goods and services, all other WTO provisions are neutral as to the economic sector involved.⁴ This rightly begs the question: what makes agriculture so different? In fact, despite the economic welfare argument for liberalizing trade in agriculture, several reasons seem to require treating the agricultural sector differently from the others. A country may want to protect its agricultural sector to ensure domestic food security or price stability, or to preserve its rural areas. Additionally, the rapid liberalization of agricultural trade, while leading to substantial net welfare gains nationally and globally, can give rise to significant adjustment and transitional equity problems

2 David Cheong, Marion Jansen and Ralf Peters, *Shared Harvests: Agriculture, Trade and Employment* (ILO and UNCTAD 2013) 73.

3 The only other sector specific agreement is the Agreement on Trade in Civil Aircraft. It is, however, only a plurilateral agreement.

4 Bernard O'Connor, *Dispute Settlement—World Trade Organization*. 3.15, Agriculture (UNCTAD 2003) 1.

in some countries.⁵ Others refer to agriculture's unique relevance to biodiversity and the environment, and the cultural issue of ensuring the survival of a rural way of life. Others highlight agriculture's main role as a source of food, a fundamental human need. In conclusion, 'agriculture is different from any other sector and is rightly treated according to the rules of a separate WTO Agreement.'⁶

However, it was precisely this inherent uniqueness and special status that made the process leading to the conclusion of a multilateral agreement so arduous. The turning point came with the Uruguay Round (1986–94) of negotiations, which resulted in the most important and broadest of all multilateral trade agreements, the 1994 Marrakesh Agreement and the establishment of the WTO.⁷ The trade liberalization agenda was expanded by the inclusion of agriculture. It took years of negotiations to finally reach an agreement on agricultural trade.⁸

The AoA aims to address government policies that distort markets and restrict trade in agriculture. It has a residual nature, as all WTO agreements and understandings on trade in goods apply to agriculture, but, whenever there is a conflict, the provisions of the AoA prevail. Its importance is reflected by its presence as the first Agreement annexed to the Marrakesh Agreement. The AoA is fairly short, with only 21 articles and 5 annexes. The 21 articles are rather surprisingly divided into 13 chapters. This form of the AoA reflects the sensitivity of the sector and the difficulty in achieving agreement among WTO members.⁹

At the end of the round, each country submitted its Schedule of Commitments which set out how it proposed to implement the new disciplines. A Committee on Agriculture was established to oversee the implementation of the AoA and provide a forum for members to raise and address related questions and concerns. Whenever a country feels that another WTO member's policies breach the AoA rules, it can make a complaint under the WTO's Dispute Settlement Understanding.¹⁰

Before the inception of the AoA, the special status of agriculture, whether real or imaginary, had found its legal expression in the body of the GATT. The GATT arose in 1947 out of the ashes of the Second World War, as a result of unprecedented cooperation. Deeply scarred by the damage and destruction that warfare had brought about, the international community looked for an entirely new beginning and a new international order.¹¹ While the GATT was initially conceived as a multilateral agreement for the reduction of tariffs, in the absence of an international organization for trade, countries gradually turned, from the early 1950s onwards, to the only existing multilateral

5 Michael Trebilcock, Robert Howse and Antonia Eliason, *The Regulation of International Trade* (Routledge 2013) 434.

6 Bernard O'Connor, *Agriculture in WTO Law* (Cameron May 2005) 419.

7 Marrakesh Agreement Establishing the World Trade Organization, 15 April 1994, UNTS 154, 33 ILM 1144.

8 Although the Marrakesh Agreement is a single treaty, it should be noted that the agreements making it up were negotiated in multiple separate committees, which operated quite independently and without much coordination. Only towards the end of the Uruguay Round some efforts were made at coordinating and harmonizing the texts of the various agreements. At that stage, however, the negotiators—for fear of seeing disagreement re-emerge—were often unwilling to change the agreed texts, and some 'inconsistencies' or 'tensions' remained. See Peter Van den Bossche and Werner Zdouc, *The Law and Policy of the World Trade Organization: Text, Cases, and Materials* (CUP 2022) 127.

9 O'Connor (n 4) 5.

10 Ironically the two most famous agricultural disputes, *EC—Bananas III* and *EC—Hormones*, were not brought on the basis of the Agreement on Agriculture but on the GATT 1994. An important case on the AoA is the *Canada-Dairy*. For more see O'Connor (n 4).

11 Craig Van Grasse, *The History and Future of The World Trade Organization* (WTO 2013), Preface by WTO Director-General Pascal Lamy, vii.

‘institution’ for trade to handle problems concerning their trade relations. The GATT, therefore, had to ‘transform’ itself into a *de facto* international organization.¹²

The GATT applied to all goods, including agricultural products. However, agriculture received special treatment under the GATT through exceptions and exemptions from most disciplines applying to manufactured goods. Members found it impossible to limit their capacities to engage in agricultural protection and went so far as to refuse to implement GATT panel rulings.¹³ As a result, the GATT allowed countries to use measures disallowed for other sectors (e.g. subsidies) and maintain many non-tariff barriers that restricted trade in agricultural products (e.g. quotas), leaving some important gaps in agricultural trade from the very beginning.¹⁴

The main GATT rules from which agricultural trade was exempted were quantitative import restrictions; while banned for all other commodities, they were allowed for agricultural products if domestic production faced restrictions or price support policies. The use of agricultural export subsidies was also explicitly permitted, provided they maintained ‘equitable’ market shares. However, ‘equitable’ was difficult to define and agricultural export subsidies increased. Other mechanisms for protecting agriculture, such as variable import levies and domestic subsidies, were not explicitly covered by the GATT, offering further ways for members to protect agriculture.¹⁵

The size of the agricultural discrepancies in GATT continued to grow over time, particularly in the first two decades of its life, thereby further alienating agricultural trade from other sectors. This widening gap can be seen in the waiver granted to the United States (US) in 1955 from its obligations;¹⁶ the exclusion of agricultural products from the new GATT ban on export subsidies in 1955;¹⁷ the creation of the European Common Agricultural Policy (CAP) in the 1960s, which was then subject to a series of renegotiations of commitments each time the Community expanded;¹⁸ the use of a ‘grandfather clause’¹⁹ by the newly acceded countries in their accession protocols to protect their agricultural sectors; and the habitual disregard of such disciplines by other contracting parties, more easily in agriculture than in other sectors.²⁰

The GATT’s limited applicability to agriculture resulted in increasingly high levels of protection and support for domestic agriculture, especially in industrialized countries. Agricultural protection was pervasive in the US, Canada, the European Community (EC), Japan, and many other countries.²¹ This led to a significant decline in the market share of many import suppliers. Some net exporting countries, such as the US, sought to maintain their market share by resorting to export

12 Policymakers envisaged the formation of an International Trade Organisation, along with the World Bank and the International Monetary Fund. However, the attempt failed because the US Congress was unwilling to give its approval. For more see Van den Bossche and Zdouc (n 8) 212.

13 Trebilcock and others (n 5) 435.

14 Melaku Geboye Desta, ‘Legal Issues in International Agricultural Trade: The Evolution of The WTO Agreement on Agriculture From Its Uruguay Round Origins To Its Post-Hong Kong Directions’ (2006) 55 FAO Legal Papers Online 1.

15 Stephen Healy, Richard Pearce and Michael Stockbridge, *The Implications of the Uruguay Round Agreement on Agriculture for Developing Countries* (FAO 1998).

16 GATT, Articles II and XI.

17 *ibid* Article XVI:3.

18 *ibid* Articles XXIV:6 and XXVIII.

19 The grandfather clause allowed contracting parties to continue to apply pre-existing legislation that was incompatible with the bulk of the GATT rules. Thus, applying the GATT did not require modification of existing non-conforming legislation, and only required parliamentary approval—where necessary—to reduce and bind tariffs.

20 Desta (n 14) 2.

21 Trebilcock and others (n 5) 434.

subsidy programmes, whilst those exporters that were unable or unwilling to do this, saw their market shares decline further. International tension and disputes over agricultural trade arose with increasing frequency, and GATT institutions were often used to resolve these disputes.

At the same time, agricultural protectionism imposed implicit taxes on farmers in countries where public sector support for farmers had been absent or negative. In DCs, artificially low world prices created a downward pressure on domestic prices. This was frequently accentuated by domestic agricultural policies which effectively taxed producers. The resulting price disincentives compromised agricultural production, threatened the livelihoods of large sectors of the population, whose incomes were derived from agriculture, and made many DCs increasingly dependent upon cheap food imports.²²

Briefly, protectionist policies provoked large distortions in world food markets, depressing the world price of agricultural commodities to uncompetitive low levels and generating global market instability. Frustration with this reverse evolution of GATT's disciplining power over national agricultural trade policy eventually led to a growing demand, and later an emerging consensus, particularly in the early 1980s, that GATT should do something about agriculture. In the words of the 1982 GATT Ministerial Declaration, 'there [was] widespread dissatisfaction with the application of GATT rules and the degree of liberalization in relation to agricultural trade' and 'there [was] an urgent need to find lasting solutions to the problems of trade in agricultural products.'²³

It was not until the opening of the Uruguay Round in 1986, however, that agriculture was placed finally on the negotiation agenda. The desire to reduce continual friction between the US and the EC over agricultural trade played an important role in reaching a consensus to bring agricultural trade into the regulatory framework of the GATT. The objective was 'to achieve greater liberalization of trade in agriculture and bring all measures affecting import access and export competition under strengthened and more operationally effective GATT rules and disciplines.'²⁴ Consensus on how this was going to be achieved, however, was unclear, and it took seven years before an agreement was finally reached.²⁵

The Polarization Between Developed and Developing Countries

International trade in agricultural products has always been characterized by a strong polarization of interests between developed and developing countries. This divergence was reflected in the Uruguay Round negotiations and in those of the subsequent Doha Round.

Under the GATT, developed countries' agricultural policy was characterized by high levels of protectionism. In particular, the US and the EC adopted various measures to protect and promote agricultural production, conferring enormous advantages on domestic agricultural producers vis-à-vis their competitors in DCs.²⁶

Agriculture was almost entirely exempt from the central GATT obligation to limit tariffs on particular goods to a specified maximum ('tariff binding'). The absence of an agreement on binding tariffs was significant because tariff rates for agricultural products have traditionally been

22 Healy and others (n 15).

23 GATT Ministerial Declaration, GATT/1328 29 November 1982, para 2 and 8.

24 Punta del Este Declaration, PREP COM (86)S, 16 July 1986, para 9.

25 Healy and others (n 15).

26 Carmen Gonzalez, 'Institutionalizing Inequality: the WTO Agreement on Agriculture, Food Security, and Developing Countries' (2002) 27 *Columbia Journal of Environmental Law* 433–90, 441.

much higher than those for manufactured goods.²⁷ This was a particularly important issue for DCs that rely on agriculture as a primary source of export revenue because high tariffs have historically been employed by developed countries to limit market access.²⁸ In parallel, the dumping of agricultural surpluses at below-production costs led to artificially low world prices, depressing domestic food prices in DCs, reducing local farmers' incomes, and discouraging investment in agriculture.²⁹ Additionally, export dumping lowered export earnings of DCs by depressing global market prices for agricultural commodities, thereby increasing food insecurity.³⁰

At the opening of the Uruguay Round negotiations, the main actors were US, the EC, the Cairns Group, and developing countries.³¹ The positions of the EC and the US differed expressing their vigorous competition to expand their respective shares of world agricultural markets.³² The US promoted greater liberalization in agricultural trade and was keen to reduce the protection and support enjoyed by producers in the EC under the CAP.³³ Although the EC was eager to reach a workable compromise to minimize future trade friction, the US proposal to eliminate all trade-distorting subsidies affecting agricultural products was deemed unacceptable in view of earlier French-inspired intransigence on export subsidies and continuing EC insistence on maintaining a dual price system with different prices for exports and home consumption.³⁴ The EC sought to protect its CAP in the face of attacks from other food-exporting countries and countered with a more modest subsidy reduction proposal designed to preserve the *status quo*.

The Cairns Group, which consisted of 14 countries from both the developing and developed world, generally agreed with the US proposal; as net exporters of agricultural commodities, they shared a common interest in desiring greater liberalization in farm trade. The Cairns contingent argued strongly for a reduction in the protectionism and domestic support measures enjoyed by farmers in developed countries.³⁵

Meanwhile, DCs entered the Uruguay Round negotiations with the objective of obtaining greater access to developed country markets for their agricultural exports and the reduction of agricultural subsidies granted by developed countries, which created unfair competition for their products. The demands of DCs also focused on their need for Special and Differential Treatment (S&DT) within the negotiations. They emphasized the fact that agriculture plays a major role in the development of their respective countries, and that new rules and disciplines should not inhibit agricultural growth by placing excessive constraints on government support policies. Moreover,

27 Terance Stewart, *The GATT Uruguay Round: A Negotiating History 1986–1992* (Kluwer 1993) 131.

28 *ibid* 155–56.

29 Healy and others (n 15).

30 Kevin Watkins, *Agricultural Trade and Food Security* (Oxfam Publishing 1995) 25–27.

31 The Cairns Group is an interest group of agricultural exporting countries that at the time comprised Canada, Australia, New Zealand, Thailand, Indonesia, Malaysia, the Philippines, Argentina, Brazil, Colombia, Chile, Uruguay, Fiji, and Hungary.

32 Through a combination of domestic price supports and export subsidies adopted pursuant to its CAP, the EC had transformed itself from a net food importer to a net food exporter and was rapidly gaining market share by dumping surplus production on world markets.

33 While the GATT did not require tariff binding, several European countries agreed to bind tariffs on specific agricultural commodities. However, the CAP provided for tariffs on agricultural commodities exceeding the levels bound under the GATT. In order to implement these CAP provisions, the EC renegotiated its GATT tariff commitments so as to eliminate many of the agricultural tariff bindings that had been adopted by individual EC member states.

34 Marcelo de Paiva Abreu, 'Developing Countries and the Uruguay Round of Trade Negotiations' (1989) 3 *The World Bank Economic Review* 21–46, 25.

35 Healy and others (n 15).

there was a concern about the impact of the Uruguay Round on DCs that were net food importers. This because the reduction of surpluses in industrialized countries, resulting from the reduction of permitted levels of agricultural support and export subsidies, would have increased the international price of food and, consequently, the cost of imports. As a result, DCs argued that rules should be less stringent for them and that they should be given more time to fully implement any policy changes.³⁶

However, DCs found themselves in a weak negotiating position compared to developed countries due to inferior economic and political power and lack of negotiating and implementing capacity.³⁷ As a result, DCs achieved less than they had hoped for in terms of market access, subsidy reductions, and trade rule reforms. They felt there was an asymmetry in the obligations of the AoA and that developed countries had neither done enough to reduce their agricultural subsidies nor to give them greater market access. Indeed, despite S&DT provisions, it is often argued that, *inter alia*, because of the AoA provisions on domestic support, the agreement is tilted against DCs and that reform is needed. The next section will explore the main features of the AoA.

The Agreement on Agriculture

The AoA covers the so-called ‘three pillars of agriculture’: market access; domestic support, and export competition. This structure was not chosen arbitrarily by the negotiators; it was dictated by the very nature of the GATT loopholes that the AoA was designed to plug.³⁸ As argued, these loopholes expanded rather than diminished over the years and one of the most important objectives of the Uruguay Round was to find a lasting solution to the problems of agricultural trade.³⁹ First, as concerns market access, the AoA expands it by requiring tariffication, namely, the conversion of all non-tariff barriers to tariffs, and the binding and reduction of them. Second, the AoA requires the reduction of trade-distorting domestic subsidies. Third, it requires the reduction of both the volume of and expenditures on subsidized exports.⁴⁰ In addition to the three pillars, the AoA defines both S&DT for least developed (LDCs) and DCs, and includes provisions on export prohibitions and restrictions. Through commitments on market access and subsidies, the AoA has helped reduce trade distortions in the agricultural sector. However, several ambiguities in the rules remain.

Market Access

Market access refers to the terms and conditions governing the importation of agricultural products into WTO member countries. The AoA Article 4 provides for the so-called tariffication, while Article 5 is a special safeguard for agricultural products. As part of the overall Agreement, once existing border measures had been converted into tariffs, each member was then required to reduce the tariffs over an implementing period and ensure that there was minimum market access by

36 *ibid.*

37 NC Pahariya, ‘Developing Country Participation in the GATT: A Reassessment,’ CUTS CITEE Briefing Paper No 8/2009, 1.

38 Desta (n 14) 3.

39 However, the GATT had only two agriculture-specific holes: market access and export subsidies; domestic support was found necessary in order to properly address the issues on the two other subjects.

40 Dale McNiel, ‘Agricultural Trade Symposium: Furthering the Reforms of Agricultural Policies in the Millenium Round’ (2000) 9 *Minnesota Journal of Global Trade* 56–70.

means of tariff trade quotas (TRQs).⁴¹ Developed countries were mandated to reduce their bound tariffs by an average of 36% over 6 years, while DCs, in accordance with the principle of S&DT, had a reduction target of 24% over 10 years. LDCs were not subject to tariff reduction, only to tariffication and tariff binding.⁴²

The conversion of pre-Uruguay Round border measures into tariffs was expected to reduce, rather than increase, agricultural trade. To prevent excessively high tariffs resulting from tariffication, the Agreement requires maintaining 'current access opportunities' or providing 'minimum access' through TRQs, ensuring that market access is not diminished. In this way, even if the tariffication process resulted in high tariffs, the overall agricultural trade increased. Finally, the Agreement includes a special safeguard provision allowing the imposition of additional duties in response to import surges or low prices compared with 1986–88 levels.⁴³

Nonetheless, the market access requirements of the AoA produced very little liberalization in the highly protected markets of the Organisation for Economic Cooperation and Development (OECD) countries. One of the great innovations of the Agreement was the tariffication and the prohibition of any further non-tariff barriers. However, many developed countries engaged in 'dirty tariffication.' This practice involved setting tariffs at excessively high levels, effectively nullifying the benefits of tariffication. As a result, the tariff equivalents were often more restrictive than the non-tariff barriers they replaced.⁴⁴

Domestic Support

Rules on domestic support constitute an important step towards a fair and market-oriented agricultural trade system.⁴⁵ Within the AoA, domestic support is mainly governed by Articles 6 and 7 and Annexes 2, 3, and 4 of the Agreement. In WTO parlance, domestic subsidies to agricultural products are identified by special 'boxes': 'green box' measures with no distortive effect on trade, 'amber box' possibly trade-distorting measures, and 'blue box' measures possibly trade-distorting but permitted as aimed at reducing production.

The AoA requires members states to reduce domestic subsidies based on a total aggregate measure of support (total AMS), defined as 'the sum of all domestic support provided in favour of agricultural producers.'⁴⁶ It includes all product-specific support and non-product-specific support in one single figure. This meant, in practice, that it was possible to reduce the overall total AMS while increasing the domestic support for any single product. For developed countries, a 20% reduction in total AMS was required over 6 years (1995–2000), while for DCs it was 13.3% over 10 years (1995–2004).⁴⁷

Compliance is measured by the current total AMS, which refers to the level of support actually provided in any given year.⁴⁸ While the total AMS is a comprehensive quantification of domestic

41 The precise amount of the tariff reduction is specified in each country's individual tariff schedule; Agreement on Agriculture, Art 4.

42 *ibid* Art 15.2.

43 *ibid* Art 5.

44 Gonzalez (n 26) 460.

45 Joseph McMahon, 'The Uruguay Round and Agriculture: Charting a New Direction?' (1995) 29 *The International Lawyer*, 427.

46 Agreement on Agriculture, Art 1.h.

47 McMahon (n 45) 429.

48 Agreement on Agriculture, Arts 1.h(ii), 6.3.

subsidies during the base period, the current total AMS includes the subsidies deemed to be most trade-distorting. The aim was to combine the reduction of the support with some flexibility to allow governments to design their domestic agricultural policies to respond to their specific circumstances. The approach also aimed at ensuring that commitments in market access and export competition were not undermined through domestic support measures. However, because domestic subsidies had declined by the time the Agreement went into effect in 1995, WTO members have had to reduce AMS by only a few percentage points to comply with the Agreement.⁴⁹

Two significant forms of domestic support are specifically excluded from the current total AMS. First, *de minimis* levels of support are exempted from reduction commitments. Support is permitted if it does not exceed 5% of the total value of the product in the case of developed countries, while for DCs the threshold is 10%.⁵⁰ Secondly, blue box measures are exempt from reduction commitments.⁵¹ This allowed the US deficiency payments under the 1985 and 1990 Farm Bills and the EU compensatory payments under the 1992 CAP reform to be counted in the calculation of the total AMS but excluded from the calculation of the current total AMS. As a result, the major players received enormous credit for domestic subsidy reductions they never made.⁵² This created inequities between developed and developing countries with respect to domestic support by allowing developed countries to use trade-distorting domestic subsidies (subject to reduction obligations) while prohibiting DCs from utilizing these subsidies beyond *de minimis* levels.⁵³

The green box measures were also exempt from reduction commitments and applied to both developed and developing countries. DCs receive special treatment for governmental stockholding programs and subsidized food prices for urban and rural populations. Investment subsidies generally available to agriculture in DCs, input subsidies made available to low-income and resource poor farmers in DCs, and domestic subsidies to encourage diversification from growing illicit narcotic crops are likewise excluded from domestic support reduction obligations.⁵⁴

However, green box measures include direct payments to farmers decoupled from production, income safety net programs, and crop insurance programs. While not directly linked to agricultural prices, these programs provide additional revenue to farmers, indirectly subsidizing agricultural production.⁵⁵ The AoA required members to reduce domestic subsidies, but in exempting many of the subsidies typically used by developed countries, it achieved minimal reductions.

Export Subsidies

Commitments to reduce subsidized export quantities became the most controversial issue in the agriculture negotiations, representing the core of the agricultural reform programme of the Uruguay Round. This was due to the proliferation of these subsidies in the years leading up to the Uruguay Round negotiations. Under the GATT, export subsidies for agricultural products were only subject to limited disciplines.

Export subsidies are special incentives provided by governments to encourage increased foreign sales. Article 9 of the AoA sets out the sort of export subsidies which WTO members are

49 Gonzalez (n 26) 467.

50 Agreement on Agriculture, Art 6.4.

51 *ibid* Art 6.5.

52 McNiel (n 40) 57.

53 Gonzalez (n 26) 466.

54 Agreement on Agriculture, Art 6.2.

55 *ibid* Annex 2.1–2.13.

obliged to reduce in accordance with their Country Schedules: direct export subsidies; government exports of non-commercial stocks at a price lower than comparable prices for such goods on the domestic market; export payments financed by virtue of government action, including payments financed by a levy on the product; subsidies to reduce the cost of marketing exports, including cost of handling, up grading and other processing costs and, costs of international transport and freight.⁵⁶

In the Uruguay Round, WTO members agreed to prohibit export subsidies for non-agricultural products and to limit budgetary spending and quantities of exported agricultural products benefiting from export subsidies in the AoA.⁵⁷ In general, the developed countries were expected to make reductions of 36% in budgetary outlays and 21% in volumes over six years (1995–2000), from a 1986–90 base period. In accordance with the principle of S&DT, DCs were required to reduce expenditures for export subsidies by 24% and to reduce their volume of subsidized exports by 14% over 10 years (1995–2004).⁵⁸ The LDCs are not required to undertake reduction commitments but are obligated not to increase subsidized exports.⁵⁹

In contrast to market access provisions, the requirement to reduce export subsidies applies on a product-specific basis rather than industry-wide averages.⁶⁰ However, the Agreement allows for the grouping of commodities to meet reduction obligations. For instance, some countries treat various wheat products as a single entity. Consequently, a country subsidizing wheat and its derivatives can shift subsidies among these products as long as overall reduction commitments are met.⁶¹

Under Article 8, the AoA prohibits the use of export subsidies on any agricultural product which is not subject to a reduction commitment (with the exception, during the implementation period, of those benefiting from S&DT). Thus, any member that did not make specific commitments on export subsidization is not entitled to use export subsidies.⁶²

In addition to provisions directly related to reduction commitments, the AoA includes measures to prevent the circumvention of export subsidy reductions. While only those six specified export subsidies mentioned are subject to reduction, the Agreement prohibits the use of non-listed subsidies that may circumvent these reduction commitments.⁶³ It also bars the creation of export subsidies for agricultural products not subsidized during the 1986–90 base period.⁶⁴ The former provision is widely interpreted as a ban on unlisted export subsidies, while the latter prevents countries that did not use export subsidies during the base period from employing them in the future. Food aid complying with international conventions is not considered subsidized exporting and is not limited by the Agreement.⁶⁵

The AoA mandated the reduction but not the elimination of export subsidies. This approach perpetuated market distortions and inequities between developed and developing countries. Developed countries, historically reliant on subsidies, maintained competitive advantages, while

⁵⁶ *ibid* Art 9.

⁵⁷ McNiel (n 40) 70.

⁵⁸ McMahon (n 45) 429.

⁵⁹ Agreement on Agriculture, Art 15.2.

⁶⁰ *ibid* Art 9.

⁶¹ Dale Hathaway and Merlinda Ingco, 'Agricultural Liberalisation and the Uruguay Round' in Will Martin and Alan Winters (eds), *The Uruguay Round and The Developing Economies* (The World Bank 1995) 19.

⁶² Agreement on Agriculture, Art 8.

⁶³ *ibid* Art 10.1.

⁶⁴ *ibid* Art 3.3.

⁶⁵ *ibid* Art 10.4.

DCs were restricted. Although export subsidies were reduced, major exporters like the US and the EU continued to promote exports through permissible means, such as direct aid and concessional credit, highlighting flaws in the Agreement's provisions on export subsidies.⁶⁶

In conclusion, the AoA aimed to address market access, export competition, and domestic support, tackling complex issues that had plagued agricultural trade for years. Although many distortions and gaps remained, the awareness among WTO members that agricultural trade reform was an ongoing process and negotiations needed to continue led to the Doha Development Round.

The Doha Development Round and Further Negotiations

Article 20 of the AoA recognizes the need for further negotiations.⁶⁷ These started in 2000 and continued in the Doha Round. Development lies at the heart of the Doha Round. The Doha Ministerial Declaration stated that the majority of WTO members are DCs and that their needs and interests are at the heart of the work programme.⁶⁸

Many DCs thought they did not get a good deal out of the Uruguay Round. The evidence seems to support their claim: Finger and Winters reported that the average depth of tariff cut by DCs was substantially greater than that agreed to by high-income countries.⁶⁹ DCs therefore have insisted in the Doha Round on obtaining more market access commitments from developed countries before opening their own markets further.⁷⁰ In addition, the AoA did not result in a reduction of the high domestic support for developed countries' agriculture, and they requested the abolition of the blue box and greater discipline for the green box.⁷¹ In relation to the continuation of the reform process, the Article 20 mandated WTO members to take into consideration the 'experience to date' and the 'effects of the reductions on world trade' in conducting the continued reform process.⁷² However, there is some question as to whether WTO members really undertook that exercise before the agricultural negotiations commenced in 2000.

Once again in the WTO negotiations, agriculture proved contentious, showing the sensitivity of the multilateral agricultural trade rules and the difficulty of reforming them.⁷³ In fact, the interests of developed and developing countries clashed over the pace and extent of subsidy reductions, with concerns about protecting domestic producers and food security. The negotiations ultimately stalled in 2008 and never fully recovered, leaving the future of agricultural trade liberalization uncertain.

The 2008 Modalities Paper addresses each pillar of the AoA to achieve substantial agricultural liberalization by proposing deep cuts in tariffs, in domestic support and the complete elimination of all agricultural export subsidies, while pursuing ambitious objectives in antidumping measures,

66 Gonzalez (n 26) 464.

67 Agreement on Agriculture, Art 20.

68 Doha Ministerial Declaration, WT/MIN(01)/DEC/1, 20 November 2001, para 2.

69 Michael Finger and Alan Winters, 'Reciprocity in the WTO' in B Hoekman, A Mattoo and P English (eds), *Development, Trade and the WTO: A Handbook* (The World Bank 2002) 58.

70 Kym Anderson and Will Martin, *Agricultural Trade Reform and the Doha Development Agenda* (The World Bank 2005) 3.

71 Nadia Cuffaro, 'Il WTO dall'Uruguay Round a Cancun: Una Lettura in Chiave Nord-Sud' (2003) 3 *La Question Agricola* 11.

72 Agreement on Agriculture, Art 20.a-c.

73 Cheong and others, *Shared Harvests: Agriculture, Trade and Employment*, 73.

trade and environment, fisheries' subsidies, geographical indications, and trade facilitation.⁷⁴ In addition, it provided for improvements in the S&DT provisions and/or the inclusion of new ones in all negotiating areas. Thus, the negotiations offered an opportunity to shape the multilateral rules governing agricultural products to meet the needs of DCs.⁷⁵ However, they continued the Uruguay Round approach without much consideration of development issues.

The Doha Modalities tried to reduce domestic support. It was proposed that certain members lower their overall trade-distorting support including amber and blue box and *de minimis* measures. Specific commitments were also proposed for amber box AMS and it was proposed that the *de minimis* value for exemptions be reduced. Commitments concerning blue box measures including per product caps were proposed, along with revisions and tighter monitoring and surveillance of green box measures. Reforms to market access commitments included increased tariff cuts according to a formula that imposes steeper cuts on higher tariffs. The 2008 draft also proposed eliminating export subsidies by the end of 2013, with more time given to DCs.⁷⁶

Although officials came close to striking a deal in Geneva in July 2008, different policy interests prevailed and after ten days of talks the negotiations broke down. In fact, the Doha Round was based on the principle of a single undertaking, which means that 'nothing is agreed until everything is agreed.'⁷⁷

Disagreements over a Special Safeguard Mechanism for DCs in agriculture was in part responsible for the failure. The US and India disagreed about how and when these measures could be applied.⁷⁸ There were also significant disagreements on how to reduce agricultural subsidies and tariffs. DCs wanted to see a significant reduction in agricultural subsidies in developed countries. However, developed countries, particularly the EU and the US, had concern about protecting their farmers.

The issue of market access for industrial and agricultural products was another point of contention. DCs sought greater concessions from developed countries for accessing their markets, while developed countries wanted protections for their sensitive sectors. These disagreements reflected diverging economic interests and domestic political concerns, making it difficult to find a compromise acceptable to all parties involved.

Since then, trade agenda has advanced slowly. Despite serious efforts to renew the negotiations, members have had to settle for 'harvesting the low-hanging fruit.'⁷⁹ Developed and developing countries became disenchanted with the WTO for its apparent inability to conclude negotiations on further trade liberalization and to agree on new rules addressing the challenges international trade is facing in the 21st century. While agreement on some new or updated rules could be reached, the negotiating function of the WTO was widely considered to be broken.⁸⁰

During subsequent ministerial conferences there have been significant accomplishments on a limited number of AoA reforms. Although they represent a small portion of what was on the table, they demonstrate the continued interest in agricultural trade. The 2013 Bali Ministerial Decision

74 Alejandro Jara, 'EU Trade Policy in the Multilateral Trading System' in P Garcia-Duran and M Millet (eds), *Different Glances at EU Trade Policy* (CIDOB 2016).

75 Cheong and others, *Shared Harvests: Agriculture, Trade and Employment*, 83

76 Trebilcock and others (n 5) 470.

77 Paige McClanahan, 'Doha Round Trade Talks—Explainer' *The Guardian* (3 September 2012).

78 Jara (n 74) 11.

79 Joseph W Glauber, 'The Current State of Agricultural Trade and The World Trade Organization' (*IFPRI* 29 July 2020), accessed 20 May 2024.

80 Van den Bossche and Zdouc (n 8) 208.

addressed TRQs by clarifying that their application to agricultural products qualifies as an import license measure.⁸¹ Under the AoA, TRQ administration therefore requires certain transparency provisions to ensure that exporters have adequate and timely information to apply for the right to export under a portion of a TRQ.⁸² It also clarified that some general programs that provide certain services or benefits to agricultural or rural communities may qualify for exemptions from domestic support disciplines.⁸³ These exceptions could apply to ‘programmes related to land reform and rural livelihood security,’ such as soil conservation and drought management measures, designed to ‘promote rural development and poverty alleviation.’⁸⁴ Finally, an agreement was reached to negotiate a permanent solution to public stockholding for food security purposes, and to refrain from challenging breaches of domestic support commitments resulting from DCs’ public stockholding programmes for food security, provided that certain conditions are met.⁸⁵

At the 2015 Ministerial Conference in Nairobi, WTO members adopted the historic decision to eliminate agricultural export subsidies and to set disciplines on export measures with equivalent effect. Under this decision, developed countries had to eliminate export subsidies immediately, except for a handful of agriculture products, while DCs had to do so by the end of 2018.⁸⁶

With regard to the latest developments, at the 2024 Ministerial Conference in Abu Dhabi, no agreement could be reached on advancing agriculture reform. The main points of contention included public stockholding and the reduction of trade-distorting subsidies that exceeds *de minimis* thresholds. The Cairns Group also suggested a 50% reduction in global agricultural subsidies by 2034. However, members’ positions continued to diverge, including on the need for numerical targets for subsidy cuts, the timeline for reducing current support levels, the proportionality of cuts to market distortion, and the scope of subsidies to be included in reduction commitments.

In summary, while the Doha Round has never formally ended, it is widely recognized as having ‘failed’ to achieve its initial objectives of reaching a broad multilateral agreement. Despite this, WTO members all agreed on the importance of updating current global rules on agriculture, which allowed negotiations to continue on a limited number of issues. Ministerial conferences in 2013 and 2015 delivered some outcomes; however, negotiators have yet to reach agreement on several unresolved topics on the reform agenda, also considering ‘non-trade concerns’ such as food security.

Linking Trade to Food Security

While agriculture and food security were often regarded as ‘autonomous’ issues, their interconnection needs to be fully acknowledged. Food security is defined as ‘having physical and economic access to sufficient, safe and nutritious food to meet [individuals’] dietary needs and food preferences for an active and healthy life.’⁸⁷ The disappointing outcomes of the latest ministerial

81 WTO, Ministerial Decision of 7 December 2013: Understanding on Tariff Rate Quota Administration Provisions of Agricultural Products, as Defined in Article 2 of the Agreement on Agriculture, WT/MIN(13)/39, 2013.

82 *ibid* para 1.

83 Agreement on Agriculture, Annex 2, para 2.

84 WTO, Ministerial Decision of 7 December 2013: General Services, WT/MIN(13)/37, 2013.

85 For more see Michael Fakhri, ‘A History of Food Security and Agriculture in International Trade Law, 1945–2017’ in John D Haskell and Akbar Rasulov (eds), *New Voices and New Perspectives in International Economic Law* (Springer 2020) 55–90.

86 WTO, *Agriculture Negotiations* <www.wto.org/english/tratop_e/agric_e/negoti_e.htm>.

87 FAO, *Rome Declaration on World Food Security and World Food Summit Plan of Action*, World Food Summit Rome, 13–17 November 1996, para 1.

conferences in promoting food security suggest that a new approach is needed in the way the linkage between agricultural trade and food security is addressed to advance the redesign of the pillars of AoA.⁸⁸

In the WTO legal architecture food security is still treated as the exception, while international trade is the rule. The current multilateral trading system lacks a comprehensive legal framework that addresses food security beyond market access, subsidy disciplines, and export measures. After the COVID-19 pandemic, the conflict in Ukraine has further highlighted the necessity of placing food security at the forefront of trade discussions. Food security is a complex, multifaceted, and multilayered issue that needs to be addressed through a ‘comprehensive approach.’⁸⁹

In recent years, there has been a progressive polarization of the strategies for achieving food security, with trade being perceived as a danger by some and a chance by others. For some, trade is a looming threat, while for others, it presents a promising opportunity. The ‘trade as opportunity’ narrative relies on economic theory, advocating for trade openness to mitigate distortions and foster efficiencies and stability within the sector. Here, food security is viewed as contingent upon market dynamics driving resource allocation efficiency, boosting food production, economic growth, income levels, and employment opportunities, thereby enhancing both food availability and access.

Conversely, the ‘trade as threat’ narrative emerges from other social sciences and agroecological studies. In this view, agriculture serves not only as an economic sector but also as a provider of public goods that markets alone cannot adequately supply. Supporters of this narrative call for significantly reducing reliance on international trade for meeting food security needs, advocating for a more pronounced role of the state in formulating food policy at the national level.

Both perspectives present valid arguments but also have weaknesses and inconsistencies. National delegates, political activists, and scholars may disagree over how to reform the WTO in relation to the rising food security demands. What is certain is the often tense and direct relationship between food security and international trade.⁹⁰

Although DCs have considerable flexibility to pursue their food security objectives, there is ongoing debate as to whether the AoA is appropriate to promote agricultural development and food security.⁹¹ A common argument is that the current WTO rules limit the policy action of food insecure countries to build their food security independence, which for some countries may require support for agriculture and/or protection of their domestic markets. Another concern is that WTO rules are no longer appropriate in the context of high and volatile prices for agricultural products. Today’s global food system has evolved since the Doha Round was launched. The change in the world market price influences the way in which food security concerns are framed in WTO negotiations and is reflected in current trade negotiations. Finally, the AoA was negotiated in a different geopolitical environment from the present one. The North–South view of international agricultural trade diverges increasingly from current realities. South–South agricultural trade is growing in importance. In addition, while agricultural support has been falling in OECD countries, it has been growing rapidly in several larger-middle income DCs.⁹²

88 Giovanni Dall’Agnola, ‘Promoting Food Security through the Multilateral Trading System: Assessing the WTO’s Efforts, Identifying its Gaps, and Exploring the Way Forward’ (2024) 10 *Groningen Journal of International Law* 157–94, 184.

89 *ibid.*

90 FAO, *The State of Agricultural Commodity Markets. Trade and Food Security: Achieving a Better Balance between National Priorities and the Collective Good* (FAO 2015) 19–20.

91 Oliver de Schutter, *International Trade in Agriculture and the Right to Food* (FES 2009) 15.

92 FAO (n 90) 54.

The current WTO rules on agriculture were created during times of overproduction and decreasing prices, while current challenges include disruptions in supply chains, high prices, volatile markets, and limited resources. The current rules need to be reshaped to ensure that during crises, importing countries can rely on international markets while also developing more resilient agricultural systems that can withstand external shocks like climate change.

In this regard, the notion of sustainable development, encompassing an economic, social, and environmental dimensions, could be a useful tool to go beyond the ‘pure’ market-based trade perspective and embrace a cross-cutting approach that draws on human rights and the right to food.⁹³ While the traditional trade tools aimed at improving access, distribution, and market stability failed to frame a holistic approach to food security, a rights-based approach would conceive food as an entitlement rather than a commodity, and it would require examining food systems in their entirety. This notion can be found in the preamble to the Marrakech Agreement, which adopts a comprehensive approach to sustainable development: it acknowledges that trade relations should be aimed at promoting higher standards of living, full employment, and higher incomes, while also ensuring the optimal use of natural resources according to sustainable development. At the same time, the AoA’s aim is to establish a fair and equitable agricultural trading system, having regard to food security. Yet the member states’ human rights obligations and the commitments they make under the WTO framework remain uncoordinated.⁹⁴

As the former United Nations Special Rapporteur on the Right to Food Olivier de Schutter points out, commitments made under the WTO do not always sit comfortably with human rights obligations. Although international law clarifies that human rights obligations come first,⁹⁵ trade agreements often seem to hold equal weight, leading to a concerning situation. Countries might prioritize trade rules over their human rights commitments for fear of economic sanctions under the WTO. To bridge this gap, some recommendations are proposed. Among these, impact assessment tools can help countries understand how these agreements might affect their ability to guarantee the right to food for their citizens;⁹⁶ transparency and participation of civil society and farmer organizations to monitor the positions adopted by governments in trade negotiations are essential.

More substantively, states should avoid excessive reliance on international trade in the pursuit of food security. The short-term interest of states in procuring from international markets the food they cannot produce locally at lower prices should not lead them to sacrifice their long-term interest in building their capacity to produce the food they need to meet their consumption needs. While short-term benefits from cheaper international food may seem advantageous, it is crucial to build or preserve local food production capacity to meet long-term needs. There are two key reasons for this. First, while trade liberalization may promote national benefits through comparative advantage, it often neglects the impacts on the most vulnerable populations. Agricultural incomes are generally lower than urban incomes, making productivity improvements in small-scale farming essential for food security. Second, in areas where agriculture is less competitive, limiting government policy space by restricting tariff barriers can be detrimental. Past import surges have harmed local producers in DCs, worsening rural poverty. Maintaining the ability to protect local agriculture through tariffs is crucial to prevent further impoverishment. By developing their capacity

93 Katrin Kuhlmann, ‘Trade, Sustainable Development, and Food Security’ (Presentation at Georgetown’s International Economic Law Colloquium, Georgetown University, 2022).

94 de Schutter (n 91) 37.

95 United Nations Charter, Article 103.

96 James Harrison and Alessa Goller, ‘Trade and Human Rights: What Does “Impact Assessment” Have to Offer?’ (2008) 8 Human Rights Law Review 587–615.

to feed their populations, states limit the vulnerability resulting from the volatility of prices on international markets.

Finally, international trade law should not be just economically beneficial but also socially and environmentally responsible. Trade policies need to prioritize the development of sustainable food systems that consider the environmental and health impacts of food production and global supply chains. Trade policies should promote fair market practices that benefit all participants in the food system.⁹⁷

Conclusions

Trade in agriculture is a complex, multifaceted, and cross-cutting domain, of crucial importance in global economic and social landscapes. Despite significant progress in agricultural trade policies since the establishment of the Agreement on Agriculture, substantial challenges remain. These challenges are particularly pronounced in DCs, where food security is linked to the ability to access and benefit from international markets.

The historical context of agricultural protectionism showed that government interventions often resulted in market distortions and inefficiencies, impacting global food prices and local agricultural sectors especially in developing nations. Despite the aims of the AoA to promote trade liberalization and diminish export subsidies, the persistence of high tariffs and the strategic use of non-tariff barriers by developed countries have hindered the intended benefits for poorer nations. Indeed, the AoA achieved limited liberalization, with several DCs perceiving an imbalance in commitments.

Although negotiations continued with the Doha Development Round, no comprehensive agreement has been reached yet. This highlights and confirms the difficulties of achieving consensus when reforming agricultural trade policies, particularly in finding a balance of interests between developed and developing countries.

At the same time, the integration of human rights considerations into trade policies, particularly the right to adequate food, is crucial. There exists a disjoint between state commitments under international trade agreements and their obligations under international human rights law. This lack of coordination has perpetuated an imbalance where trade obligations often overshadow human rights commitments.

A key takeaway is the need for a balanced approach that does not overly rely on international trade at the expense of domestic agricultural development. Excessive dependence on global markets for food security can expose countries to vulnerabilities, especially in the face of market volatility and balance of payments difficulties. Instead, enhancing local agricultural productivity, particularly among small-scale farmers, should be a priority. This approach not only aligns with the right to food but also supports rural livelihoods and economic stability.

In conclusion, agricultural trade policy reform needs to continue, keeping in mind the fundamental objective of achieving food security. It is important to continue negotiations while ensuring the policy space for states to protect their agricultural sectors, while simultaneously fostering international cooperation to ensure that trade policies support human rights and sustainable development. The path forward necessitates a cohesive international effort to harmonize trade and human rights obligations, creating a supportive environment where all nations can achieve food security and economic prosperity.

97 de Schutter (n 91) 39–47.

TRADE AND HEALTH AND SAFETY—TBT AND SPS RULES

Łukasz Gruszczyński and Lena Helińska

1. Introduction

The interplay between international trade and public health has a long and largely unresolved history. The main question in this context is how to effectively balance the economic benefits of liberalized trade with the need to preserve the state's regulatory freedom in this policy area. On the one hand, proponents of trade liberalization believe that free trade fosters economic growth and thus can positively contribute to public health. For instance, by increasing the overall global wealth, free trade can enhance the determinants of public health such as access to clean water and sanitation facilities.¹ Some in this group also contends that the existing 'rules of the game' are sufficiently flexible and adaptable to accommodate genuine national public health interests.

On the other hand, not only do critics warn about traditional trade-related concerns connected with the spread of foodborne illnesses, zoonotic diseases, or invasive pests, but they also underline health risks resulting from increased consumption of processed foods and sugar-sweetened beverages, all facilitated by globalization. Others highlight the potential for erosion of domestic health and safety standards in favour of trade interests or point out to the apparent shift in 'decision-making power from national democratic processes towards less accountable experts and international bureaucrats'² occurring under the current global governance structures.³ The last concern appears to be part of a much broader crisis of regulatory science that is reflected in the growing distrust in the expert assessment and (national and international) expert-based institutions, the politicization of science, and the pervasive problem of misinformation and disinformation (a phenomenon that was clearly visible during the recent COVID-19 pandemic).

The World Trade Organization (WTO) stands at the crossroads of two dynamic forces—international trade and public health. While the organization aims at promoting an open trade

1 On the relationship between health and economic growth, see e.g. DE Bloom, M Kuhn and K Prettnner, *Health and Economic Growth*, IZA Institute of Labour Economics Discussion Paper, No. 11939 (2018).

2 B Rigod, 'The Purpose of the WTO Agreement on the Application of Sanitary and Phytosanitary Measures (SPS)' (2013) 24(2) *European Journal of International Law* 503, 504. See also the literature cited there.

3 For an overview of different positions L Gruszczyński, *Regulating Health and Environmental Risks Under WTO Law. A Critical Analysis of the SPS Agreement* (OUP 2010) 150–55.

among its members, it also recognizes the sovereign right of nations to protect health and safety of their citizens. Two specific WTO treaties—the Agreement on the Application of Sanitary and Phytosanitary Measures (SPS Agreement)⁴ and the Agreement on Technical Barriers to Trade (TBT Agreement)⁵—play a central role in managing this tension. Both aim at establishing a framework that balances a nations’ right to safeguard public health and trade liberalization. They outline which domestic actions are legally permissible and which are prohibited, prescribe certain procedures (including transparency rules), and establish specific channels of communication among the members of the organization. Since many of these obligations are broadly formulated, it has fallen to the members themselves and the WTO dispute settlement bodies to elucidate their normative content.

This chapter investigates how WTO law reconciles its trade liberalization objective with the domestic (quasi-)autonomy in the field of health and safety, and whether this has been done successfully.⁶ It does so through an analysis of the pertinent provisions of the SPS and TBT Agreements, the corresponding jurisprudence and members’ practice, as evidenced by their activities within the committees operating under each treaty.

To this end the chapter proceeds as follows. After this short introduction, Section 2 explains the main disciplines of the SPS and TBT agreements. This descriptive part is followed by more detailed analysis of two innovative mechanisms that these agreements have introduced: (1) setting science as a normative benchmark for assessing domestic measures (Section 3) and (2) creating new platforms for cooperation among members in the SPS and TBT field (Section 4). The last section draws some general conclusions.

2. SPS and TBT Agreements: Promoting Trade While Upholding Regulatory Autonomy

The adoption of the SPS and TBT Agreements in the 1990s reflected a shift in focus: while states had formerly concentrated on border measures, since then they seriously started considering internal regulations as potential trade barriers.⁷ They also recognized the importance of harmonizing domestic regulatory standards and procedures or dealing with them through equivalence in order to facilitate trade and ensure the smooth functioning of global value chains. This change was likely driven by at least three factors. First, the proliferation of non-tariff barriers, such as SPS or TBT measures, made it increasingly difficult for exporters to navigate the complex regulatory landscapes of different countries. Consequently, gains resulting from the previous tariff reductions could have eroded with time. Second, the adoption of new agreements reflected a broader recognition that behind-the-border measures play a crucial role in shaping trade patterns and outcomes. This development was not only connected with the success of the liberalizing

4 Agreement on the Application of Sanitary and Phytosanitary Measures, Marrakesh Agreement Establishing the World Trade Organization, 15 April 1994, Annex 1A, 1867 UNTS 493 (1994).

5 Agreement on Technical Barriers to Trade, Marrakesh Agreement Establishing the World Trade Organization, 15 April 1994, Annex 1A, 1868 UNTS 120 (1994).

6 This problem may also arise in the context of regional trade agreements, the issue which is not covered by the chapter; for a very good introductory reading on the topic see D Gleeson and R Labonté, *Trade Agreements and Public Health. A Primer for Health Policy Makers, Researchers and Advocates* (Palgrave Macmillan 2020).

7 The Standards Code, adopted during the 1979 Tokyo Round, was a protoplast to the TBT Agreement and covered SPS measures as well. Ultimately, however, the Code proved to be an ineffective instrument in disciplining the GATT Parties.

rounds organized under the General Agreement on Tariffs and Trade (GATT) of 1947 (i.e. border measures were either eliminated or significantly reduced) but also with the emergence of modern regulatory state with its broad agenda in the field of public health, environmental, and consumer protection. Third, and finally, there was a fear among SPS negotiators that their efforts in lowering tariffs and abolishing some of the farm subsidies would be undermined by regulatory barriers that impede market access.⁸

The two agreements deal with a wide range of technical measures. At the same time, their application is mutually exclusive—if one of them applies, the other one remains inapplicable.⁹ The scope of the TBT Agreement is much broader as it focuses on all technical regulations, standards, and conformity assessment procedures¹⁰ that may impede international trade. In particular, this may include rules pertaining to product characteristics, symbols, packaging, marking or labelling requirements, and testing procedures. On the other hand, the SPS Agreement only applies to a subsection of technical measures insofar as they intend to protect particular interests (generally the life or health of humans, animals, or plants) against specific risks (e.g. those resulting from the presence of additives, contaminants, toxins or disease-carrying organisms in imported food or feedstuff, diseases carried by animals, plants or their products, or entry, establishment or spread of pests and diseases).¹¹ Measures with multiple objectives that potentially fall under both agreements need to be internally separated and each part is to be analysed only under one set of rules.¹²

The core principle (and the first innovation) of both agreements is their emphasis on international harmonization. This aims to reduce regulatory fragmentation and create a more coherent system for global trade governance. Notably, the SPS Agreement prioritizes basing measures on international standards set by specific bodies like the Codex Alimentarius Commission (Codex), the World Organization for Animal Health (OIE), and the International Plant Protection Convention (IPPC).¹³ The TBT Agreement takes a broader approach. It does not identify any particular standard-setting bodies but requires basing technical measures on any relevant international standards or their near-completion drafts.¹⁴ In practice, standards set by the International Organization for Standardization (ISO) and the International Electrotechnical Commission (IEC) are most commonly used.¹⁵ Those measure which are not only based on international standards but actually conform to them, are presumed to be consistent with the relevant provisions of the SPS Agreement (Art. 3.2) or are regarded as necessary (Art. 2.5 TBT).

However, these obligations are relatively flexible. Members can deviate from international standards if they aim for a higher level of protection (Art. 3.3 SPS) or if the standards are ineffective

8 Rigod, *supra* note 2, 507.

9 See Art 1.5 of the TBT Agreement and Art 1.4 of the SPS Agreement. For more extensive discussion see L Gruszczynski and J Scott, *The WTO Agreement on Sanitary and Phytosanitary Measures: A Commentary* (2nd revised edn, OUP 2023) (particularly Chapter 1).

10 As to the definitions of all these terms see Annex A.1 of the TBT Agreement.

11 See Annex A.1 of the SPS Agreement.

12 Panel Report, *European Communities—Measures Affecting the Approval and Marketing of Biotech Products*, WT/DS291/R, WT/DS292/R, WT/DS293/R, 21 November 2006, paras 7.172–7.173.

13 Art 3.1 of the SPS Agreement.

14 Arts 2.4 and 5.3, Annex 3.F of the TBT Agreement. For analysis of what counts as relevant international standard see P Delimatsis, ‘Relevant International Standards’ and ‘Recognised Standardisation Bodies’ under the TBT Agreement’ in P Delimatsis (ed), *The Law, Economics and Politics of International Standardisation* (CUP 2015) 104–36.

15 Of course, technical regulations do not necessarily need to relate to health and safety. As noted, the TBT Agreement covers a great variety of regulatory objectives, such as the prevention of deceptive practices, product quality, technical harmonization, or simply trade facilitation.

or unsuitable for achieving their legitimate objectives (Art. 2.4 TBT), provided that they comply with certain requirements. Ultimately, as far as health and safety are concerned, it is the acceptable level of risk that determines the extent of required harmonization as none of the agreements force countries to compromise on their desired level of protection.¹⁶ This principle has been also confirmed by the WTO dispute settlement bodies in a number of cases.¹⁷ Moreover, with respect to / in respect of measures not based on international standards, it is still for the complaining member to show, *prima facie*, that such measures are incompatible with the relevant requirements of the SPS or TBT Agreement.¹⁸ Therefore, members are not procedurally disadvantaged when aiming at higher level of protection.

The introduction of the harmonization disciplines can be seen as a shift from negative to positive economic integration. At the same time, these disciplines embody a delicate balance between facilitating international trade and preserving states' regulatory autonomy. By promoting convergence towards internationally recognized standards and norms, they seek to enhance the predictability, transparency, and efficiency of international trade, while concurrently ensuring that regulatory objectives related to public health, safety, and environmental protection are not compromised. At the end of the day, each member has the right to establish its own level of protection.

Of course, this does not mean that members seeking a higher level of protection can do whatever they want. On the contrary, measures that deviate from international standards must be—among the other things—sufficiently grounded in science. This is the second innovation introduced by the SPS and TBT Agreements: both require domestic regulations to be rational and not simply non-protectionist. The SPS Agreement is more demanding in this regard, as it asks for scientific justification in the form of risk assessment.¹⁹ On its face, the TBT Agreement looks more flexible. In theory, it requires members to consider available scientific and technical information; in practice, this information must substantially support the implemented measure. The next section will explore these rules in more detail.

Both treaties also contain traditional non-discrimination disciplines in the form of the most-favoured-nation (MFN) and national treatment (NT). While the TBT Agreement generally repeats the GATT requirements,²⁰ the SPS Agreement introduces in its Art. 2.3 some important modifications. Contrary to the GATT, discrimination is not assessed on the basis of the comparability of the products originating in the different members (including the importing country) but on the SPS conditions prevailing in those states, such as disease prevalence and the credibility and

16 Compare also with the following preamble statements: '[r]ecognizing that no country should be prevented from taking measures necessary . . . for the protection of human, animal or plant life or health . . . at the levels it considers appropriate' (recital no. 6 of the TBT Agreement) and '[r]eaffirming that no Member should be prevented from adopting or enforcing measures necessary to protect human, animal or plant life or health' (recital no. 1 of the SPS Agreement).

17 See e.g. Panel Report, *European Communities—Trade Description of Sardines*, WT/DS231/R, 29 May 2002, paras 7.120–7.121; Appellate Body Report, *Australia—Measures Affecting Importation of Salmon*, WT/DS18/AB/R, 20 October 1998, para 199.

18 See e.g. Appellate Body Report, *European Communities—Measures Concerning Meat and Meat Products (Hormones)*, WT/DS26/AB/R, WT/DS48/AB/R, 16 January 1998, paras 104, 169, and 172.

19 Cf. Arts 5.1–5.3 and Annex A(4) of the SPS Agreement. If there is insufficient scientific evidence to perform risk assessment, members can still act provisionally on the basis of available pertinent information (Art 5.7 SPS).

20 See Arts 2.1, 5.1.1 and Annex 3(D) of the TBT Agreement. See also Appellate Body Report, *United States—Measures Concerning the Importation, Marketing and Sale of Tuna and Tuna Products*, WT/DS381/AB/R, 16 May 2012, para 236. But see Panel Report, *United States—Measures Affecting the Production and Sale of Clove Cigarettes*, WT/DS406/R, 2 September 2011, para 7.119, for a slightly different approach.

effectiveness of the sanitary controls. This is understandable as in practice similar (like) products may pose completely different sanitary or phytosanitary risks depending on those external circumstances (and vice versa).

Both the TBT and SPS Agreements enable members to implement ‘discriminatory’ technical measures for pursuing some non-protectionist reasons like public health protection. They integrate within their non-discrimination disciplines possible justifications that can be seen as an equivalent of Art. XX GATT. While Art. 2.3 of the SPS Agreement only prohibits arbitrary or unjustifiable forms of discrimination, thus enabling its *justifiable* forms under the TBT Agreement such possibility has been introduced by the WTO dispute settlement bodies despite the lack of relevant textual basis. In particular, in *US—Clove Cigarettes*, the panel noted that if detrimental effects on imports ‘can be explained by factors or circumstances *unrelated to the foreign origin of the product*’²¹ no violation would be found. This opens a possibility for states to implement ‘discriminatory’ technical measures justified by non-protectionist reasons (e.g. public health protection).

Both agreements have their own necessity tests. Art. 2.2 of the TBT Agreement prohibits the adoption of technical requirements with a view to or with the effect of creating unnecessary obstacles to international trade. As a consequence, technical regulations cannot be more trade-restrictive than necessary to fulfil a legitimate societal objectives like public health. A similar rule can be found in the SPS Agreement, which requires domestic measures to be applied only to the extent necessary to protect human, animal or plant life or health. This general obligation is further elaborated in its Art. 5.6, which establishes the least-trade restrictive requirement.

Transparency is another crucial feature of both agreements.²² Members are required—either under a regular or an emergency procedure—to notify the WTO Secretariat of all proposed and final SPS and TBT measures, provided that they may have a significant effect on international trade and are not substantially the same or in accordance with international standards.²³ This information is subsequently disseminated to all members through online ePing SPS & TBT Platform. Members have an opportunity to make comments on notified measures within a reasonable period of time and those comments need to be taken into account by a regulating country.²⁴ The notification mechanism therefore serves as a conduit for facilitating the peer review and assessment of proposed measures by other members. Not only does this participatory approach enhance the legitimacy and effectiveness of final regulatory measures, but it also promotes the external accountability of states and inform their internal decision-making.²⁵ Obviously, the mechanism also reduces the potential for future disputes as some problems can be addressed at this initial stage.

Other similarities of the two agreements include rules concerning equivalency. Different regulatory measures may be regarded as equivalent if they fulfil the same objectives (e.g. a certain level

21 Panel Report, *US—Clove Cigarettes*, para 7.269.

22 For the in-depth discussion of transparency under both treaties see MB Karttunen, *Transparency in the WTO SPS and TBT Agreements. The Real Jewel in the Crown* (CUP 2020).

23 In practice the SPS Committee encourages members to notify all measures, regardless of whether they are based on, conform to, or are substantially the same as international standards. SPS Committee, *Recommended Procedure for Implementing the Transparency Obligations of the SPS Agreement*, 20 June 2008, G/SPS/7/Rev.3, para 8. There is no equivalent suggestion from the TBT Committee.

24 See respectively Art 2.9–2.12 of the TBT Agreement, and Art 7 and Annex B of the SPS Agreement.

25 The notification mechanism also operates as trade facilitation mechanism, as it facilitates the effective operation of the dispute settlement system and the work of international standard setting bodies. For additional details see Gruszczynski and Scott, *supra* note 9, Chapter 6.

of health protection).²⁶ Equivalency rules may be therefore viewed as an alternative to harmonization as they preserve regulatory diversity without distorting international trade. The respective obligations are of procedural character—they prescribe how members should proceed when recognizing equivalence but do not force any specific outcome. Equally important are requirements relating to controls, inspections, and approvals, or conformity assessment,²⁷ setting certain basic parameters for the relevant domestic procedures but again without compromising the ability of members to enforce their selected levels of public health protection. Both agreements also contain provisions dealing with special and differential treatment of developing country members.²⁸ Last but not least, both treaties come with their own institutional platforms in the form of special committees that perform certain functions with respect to the implementation and operation of the agreements. This is the third innovation discussed in detail in Section 4 of this chapter.

In essence, the SPS and TBT Agreements represent sophisticated regulatory frameworks that seek to reconcile the imperatives of trade facilitation with the legitimate objectives of protecting public health, safety, and the environment (or—under the TBT Agreement—also other legitimate regulatory goals). In this context, they both recognize the member right to determine its own level of public health protection.

3. Science as a Normative Yardstick

A yardstick, a cane, perhaps also a whip; science is present in various forms both in the SPS and the TBT Agreement.²⁹ While some scholars suggest that the scientific risk assessment or evidentiary basis for a measure under WTO law includes natural science determinations only,³⁰ there seems to be no reason to restrict the definition of science to specific disciplines such as the natural sciences, excluding the social sciences, even if natural and empirical components inevitably play a primary role in scientific assessments. The tendency to rely on a restrictive understanding of science seems to be in decline. For instance, according to UNESCO, a scientific enterprise should be organized, objective, and validated through availability of data and peer review, regardless of whether it refers to natural or social phenomena.³¹ This approach is more in line with the 3R principle applied in data science, where 3R stands for repeatability, replicability, and reproducibility.³² A common denominator between all fields of research is the commitment to the logic and transparency of reasoning, which is as close as one can get to objectivity.

26 Cf. Art 4 of the SPS Agreement and Arts 2.7, 6.1 of the TBT Agreement.

27 See Art 8 and Annex C of the SPS Agreement and Art 5.2 of the TBT Agreement.

28 Art 10 of the SPS Agreement and Art 12 of the TBT Agreement.

29 See J Peel, 'Risk Regulation under the WTO SPS Agreement: Science as an International Normative Yardstick?' Jean Monnet Working Paper No. 2002/04.

30 GE Isaac, M Philipson and WA Kerr, *International Regulation of Trade in the Products of Biotechnology: Executive Summary* (Estey Centre for Law and Economics in International Trade 2002) 5–6.

31 UNESCO, 'Recommendation on Science and Scientific Researchers' (2017) <<https://www.unesco.org/en/open-science>> accessed 7 July 2025.

32 To simplify the concept, repeatability means that the same team repeating the research in the same circumstances would achieve the same results; replicability means that a different team would also achieve the same results in those circumstances; reproducibility means that the conclusions could be confirmed by yet another team through other appropriately rigorous methods, even if the situation was different. Even though it may sound exotic, social scientists and lawyers are no strangers to similar reasoning. Will the judge issue the same judgment in cases based on the same facts (repeatability)? Will the second instance confirm the ruling of the first (replicability)? Can the conclusion be applied as a precedent or a principle in other circumstances (reproducibility)? For more details on

As the scopes of the TBT and SPS Agreements form a fertile ground for multidisciplinary research, their purpose may be better served by moving away from debates over the superiority of one scientific domain over another. What seems to be more important in the context of both agreements is the function which science is supposed to play, serving as a guarantee of reliable fact-finding and a source of logical presumptions.

Unsurprisingly, using scientific criteria in the settlement of trade disputes can be an attractive option. Science can be seen as a useful proxy for detecting protectionism, the main villain in international trade relations. The logic is simple here: if a TBT/SPS measure is not based on scientific evidence, how can it serve its stated objective, for example, the protection of public health? Reference to scientific data and methods can also provide a much-needed shield for states adopting trade-restrictive measures, which could otherwise be denounced as arbitrary and contrary to trade liberalizing rules. Science thus legitimizes states' regulatory measures, immunizing them from the pressure that might come from other countries. Adjudicators appear to benefit here as well. By using extra-legal, namely, scientific criteria, they transfer (at least partially) the responsibility for adequate and fair decisions in heavily technical, complex cases to the scientific community with its privileged epistemic position. Cases are decided on the basis of objective criteria; their outcome is simply dictated by science.

But as usual, the devil is in the details. Science is not as uniform as it seems to be. Whenever scientific consensus is understood as unanimity of the scientific community, it is most likely either an approximation or a conclusion based on inputs from fairly limited sources. Even mainstream scientific opinions are usually met with some resistance, which is perfectly understandable given that science is built on disagreements and constant improvements. While the COVID-19 pandemic was a backdrop of pleas for consensus which would shape a coordinated and effective global response,³³ the extent of differences between various prevention and mitigation recommendations serves as a powerful commentary. Even the most widely cited example of scientific consensus—the assertion of human influence on post-industrial climate change, allegedly supported by 97–99.9% of experts³⁴—does not equal uniformity, not to mention that some studies cast doubt on the methodology and veracity of some of the highest estimations.³⁵ With that level of nuance, the scientific community is unlikely to provide the adjudicators with the clear and unreserved answers they are looking for. Divergent opinions are thus inevitable albeit problematic.

Therefore, the role of WTO dispute settlement bodies in the resolution of scientific controversies remains questionable at best and potentially harmful at worst. While, in theory, the panels are not obliged and competent to decide on such matters (rather they must adjudicate trade dispute at hand), in practice they can perpetuate biases in assessing evidence, recognizing the credibility of particular views and testimonies. If such bodies need to address these controversies in one way or another, what—if any value—should they attribute to minority opinions?

two more complex components of the 3R principle, *see e.g.* HE Plesser, 'Reproducibility vs. Replicability: A Brief History of a Confused Terminology' (2018) 11(76) *Frontiers in Neuroinformatics* 1.

33 NA Alwan and others, 'Scientific Consensus on the COVID-19 Pandemic: We Need to Act Now' (2020) 296(10260) *The Lancet* e71.

34 For the 99.99% estimation, *see* M Lynas, BZ Houlton and S Perry, 'Greater than 99% Consensus on Human Caused Climate Change in the Peer-reviewed Scientific Literature' (2021) 16(11) *Environmental Research Letters* 1. For the 97% claim, *see e.g.* NASA, 'Do Scientists Agree on Climate Change?' <<https://science.nasa.gov/climate-change/faq/do-scientists-agree-on-climate-change/>> accessed 7 July 2025.

35 *See e.g.* D Dentelski and others, 'Ninety-Nine Percent? Re-Examining the Consensus on the Anthropogenic Contribution to Climate Change' (2023) 11(11) *Climate* 215.

The WTO ‘courts’ have addressed this issue, albeit with some hesitation and varied success in the application of WTO law. While, in some instances, they disregarded or underestimated minority views in favour of what may be described as a best science approach,³⁶ they have generally not excluded minority views from the possibility of meeting the required thresholds of quality³⁷ and specificity.³⁸ Divergence from the mainstream does not automatically render minority views indefensible or less reputable than the majority views.³⁹ The possibility of considering minority opinions as a valid basis for SPS/TBT measures is visible in the currently prevailing criteria for assessing evidence under Article 11 of the WTO Dispute Settlement Understanding, as elucidated by the reports in *Australia—Tobacco Plain Packaging*,⁴⁰ *US/Canada—Continued Suspension*,⁴¹ and *EU and Certain Member States—Palm Oil (Malaysia)*.⁴² In this context, panels and the Appellate Body, when dealing with minority views, have used evaluative language, referring to both objective (qualifications, necessity, objectivity, coherence, accordance with scientific standards) and subjective criteria (respect and reputability of a source). All these requirements indicate that methodological considerations play a major role in assessing minority views. It can therefore happen that both parties to a given dispute rightfully base their arguments on sound, legitimate science, even though the scientific conclusions differ from one another. The same evidence—depending on its interpretation—may lead to different conclusions.

Does scientifically informed decision-making automatically render good decisions? Regulatory science can help transform scientific findings into rights and obligations. The scientific language of facts, potentialities and probabilities is at some stage translated into the language of imperatives. While the frontline of regulatory science is occupied mostly by legislators and policymakers, one cannot underestimate the role of dispute settlement bodies in the interpretation and development of science-related norms. Yet balancing legally protected values necessarily entails a qualitative assessment, with strong moral and cultural underpinnings. Some normative solutions, especially general clauses and legal standards, are not susceptible to objective quantification and do not fare well when forced into a one-size-fits-all methodological straitjacket.

The WTO dispute resolution system has clearly expanded the room for manoeuvre offered to members by the agreements. For instance, the appropriate level of protection (ALOP) referred to extensively in the SPS Agreement stems from state policy and, as such, is influenced by complex socio-political considerations. In *US—Continued Suspension* cultural factors related to the level

36 Gruszczynski, *supra* note 3, 137.

37 See e.g. Appellate Body Report, *European Communities—Measures Affecting Asbestos and Products Containing Asbestos*, WT/DS135/AB, 12 March 2001, para 178; Panel Report, *European Union and Certain Member States—Certain Measures Concerning Palm Oil and Oil Palm Crop-Based Biofuels*, WT/DS600/R, 5 March 2024, para 7.503; Appellate Body Report, *EC—Hormones*, para 194.

38 The suggestive and indirect nature of evidence used by many minority opinions is a potential threat to their specificity, but it could potentially be dispelled by the application of the quality threshold, see L Gruszczynski, ‘Judicial Review of Science-based Measures under WTO Law’ in V Abazi, J Adriaensen and T Christiansen (eds), *The Contestation of Expertise in the European Union* (Palgrave Macmillan 2020) 187–93.

39 Gruszczynski, *supra* note 3, 136.

40 Panel Reports, *Australia—Certain Measures concerning Trademarks, Geographical Indications and other Plain Packaging Requirements applicable to Tobacco Products and Packaging*, WT/DS435/R, WT/DS441/R, WT/DS458/R, WT/DS467/R, WT/DS458/R and WT/DS467/R, 28 June 2018, para 7.516.

41 Appellate Body Report, *United States—Continued Suspension of Obligations in the EC—Hormones Dispute*, WT/DS320/AB/R, 16 October 2008, paras 591–92.

42 Panel Report, *EU and Certain Member States—Palm Oil (Malaysia)*, para 7.502.

of social tolerance of food-related risks⁴³ influenced the measures introduced by the European Communities. The Appellate Body clarified that by choosing a higher level of protection than one mandated by an international standard, the scope and method of risk assessment may need to be framed differently than in the research supporting the international standard⁴⁴—as long as the rigor and objectivity of risk assessment are unharmed, and the results of risk assessment are not predetermined.⁴⁵

As the jurisprudence demonstrates, cultural values can come into play even in seemingly technical matters such as risk assessment. Disputes do not merely focus on the sole existence of risk, but they also centre on the justification of regulatory actions undertaken in reaction to such risk. Is the risk worth taking? Was the reaction justified? What could possibly be sacrificed if the risk is neglected? One may attempt to answer these questions at least partially by resorting to scientific methods and findings, especially those typical for economics, sociology, psychology, environmental studies, and other disciplines measuring various physical and non-physical impacts, but the ultimate answer will never be free from discretion. This is especially visible in situations where the availability of risk-mitigating resources and the existence of groups exposed to risk may, in connection with other socioeconomic factors, influence the regulatory decisions of a state.⁴⁶ Sometimes science alone is problematic too; when risks are small, difficult to ascertain, or related to understudied phenomena, scientific methodologies can be deficient, and a substantially larger part of the assessment may be based on a speculative approach to scientific uncertainty. As an aftermath of *Australia—Apples*, a discussion on negligible probability has led to studies on an optimal quantitative model applicable to risk assessment. Triangulation suggests that the bias in risk assessment might have been even bigger than anticipated by the panel.⁴⁷ Similar dilemmas have been noted by other panels dealing with SPS and TBT disputes, leading to a less stringent approach to arguments and methods brought forward by the parties to the dispute.

While scientific argumentation can explain crucial interlinkages and serve as an important safeguard for members and adjudicators, it can also lure the latter into illusions of absolute objectivity. In early cases, adjudicators adopted a high level of control and intrusive scrutiny whenever they were tasked with scientific fact-finding.⁴⁸ What might seem beneficial for ascertaining the truth, was not necessarily beneficial for legal purposes. The choice between intrusive and deferential standards of review in science-related cases depends not only on the readiness to tackle scientific arguments but also on considerations ranging from legitimacy and balance of powers to legal certainty and procedural economy. Note that early cases of SPS jurisprudence (e.g. *EC—Hormones*, *Japan—Apples*) were more intrusive than more recent instances, where more deferential approach was taken (e.g. *US—Continued Suspension*, *Australia—Apples*).⁴⁹ The latter also constituted a

43 For further examples of matters which may be at least partially attributed to cultural sensitivity and historical or geographical factors, see e.g. T Voon, 'Culture, Human Rights, and the WTO' in A Vrdoljak (ed), *The Cultural Dimension of Human Rights, Collected Courses of the Academy of European Law* (OUP 2013).

44 Appellate Body Report, *US—Continued Suspension*, para 685. See also Gruszczynski and Scott, *supra* note 9, 233.

45 Appellate Body Report, *US—Continued Suspension*, para 534.

46 Gruszczynski, *supra* note 38.

47 See M Powell, 'How to Model a Negligible Probability Under the WTO Sanitary and Phytosanitary Agreement?' (2013) 33(6) *Risk Analysis* 972.

48 For differences between the adversarial/accusatorial and investigative/inquisitorial models, see C Foster, *Science and the Precautionary Principle in International Courts and Tribunals* (CUP 2011) Preface.

49 L Gruszczynski and V Vadi, 'Standard of Review and Scientific Evidence in WTO Law and International Investment Arbitration. Converging Parallels?' in L Gruszczynski and W Werner (eds), *Deference in International Courts and Tribunals. Standard of Review and Margin of Appreciation* (OUP 2014) 156–59.

point of reference for TBT cases dealing with public health-related technical regulations (e.g. *Australia—Plain Packaging*). While the degrees of deference differ in practice and panels' assessment is relational, the overall tendency towards deferential review helps to preserve regulatory space for members.⁵⁰

Dispute settlement bodies also use three additional strategies to preserve the state regulatory space in the area of public health. Two of these methods are directly linked to scientific considerations; the third belongs to the lexicon of international law. First, panels tend to interpret SPS/TBT obligations in a manner that is friendly to scientifically supported regulatory objectives (most notably public health). Second, they also rely on international science-based instruments (if they do not qualify as international standards for which a separate set of rules applies) as evidence of facts. For instance, the Framework Convention on Tobacco Control and its guidelines have been used as factual evidence. This in turn can help a responding member to prove that its measure is necessary or supported by scientific evidence.⁵¹ The third method involves showing respect for the regulatory autonomy of states in the field of public health. This allows the WTO dispute settlement bodies to properly balance states' rights and obligations and adopt interpretation of WTO law that is receptive towards public health considerations.

The SPS and TBT jurisprudence remains one of the most robust examples of science-conscious adjudication at the international level, showing a high degree of flexibility in the selection of the scientific criteria used to legitimize decisions made by members. As a matter of principle, this approach allows members to retain their regulatory freedom while still offering the adjudicators some guidance as to the definition of science. Far from being uniform or optimal, these jurisprudential developments have nonetheless followed a logical path of strengthening both the scientific and the public health objectives.

4. SPS and TBT Committees—Real Gems in the WTO Structures?

An important role, yet normally underappreciated by lawyers, is played by the SPS and TBT Committees. Both operate as regular fora where members can discuss SPS and TBT issues. They also carry out other functions necessary for implementing the agreements and furthering their objectives.⁵² In particular, both Committees can be seen as mechanisms for norm elaboration—either directly and generally through the adoption of quasi-normative documents or indirectly and specifically through the process of contestation and deliberation over national SPS and TBT measures.⁵³

The normative function of the Committees can be seen in their development of various acts that build upon the obligations laid down in the agreements. These instruments take the form of guidelines, recommendations, and other decisions. Interestingly, such documents are not limited to internal procedural issues and may deal with substantive matters, aiming to facilitate the

50 L Gruszczynski, 'Saving Regulatory Space for States through the Standard of Review: A Case Study of Tobacco Control-Related International Disputes' in G Kajtar, B Cali and M Milanovic (eds), *Secondary Rules of Primary Importance—Attribution, Causality, Standard of Review and Evidentiary Rules in International Law* (OUP 2022) 72–78.

51 See L Gruszczynski, 'The Role of IEL Dispute Settlement Bodies in Reinforcing the Sovereign Rights of States in the Field of Tobacco Control' in ME Gispén and B Toebe (eds), *Human Rights and Tobacco Control* (Edward Elgar 2020).

52 Cf. Art 13 of the TBT Agreement and Art 12 of the SPS Agreement.

53 Gruszczynski and Scott, *supra* note 9, at 35.

implementation of specific TBT/SPS provisions. Both Committees are very active in this regard. Sometimes they act on the basis of explicit delegation provided in the respective agreement, but documents can be also adopted on their own initiative. For example, the SPS Committee prepared guidelines for the practical implementation of the consistency requirement under Article 5.5 as instructed by the same provision.⁵⁴ However, it also developed the Recommended Notification Procedures without any explicit mandate, based on the general clause of Art. 12.1 of the SPS Agreement.⁵⁵ Similarly, the TBT Committee adopted the decision on principles for the development of international standards, guides and recommendations on the basis of the general provision of Art. 13.1 of the TBT Agreement.⁵⁶

Although the WTO dispute settlement bodies have frequently referred to the decisions of the Committees in interpreting the TBT or SPS Agreement, their legal status remains unclear. Sometimes these documents have been used as a context to merely confirm the outcome of the panels' textual inquiry.⁵⁷ On other occasions, however, they have been identified as subsequent agreements within the meaning of Art. 31.3(b) of the Vienna Convention on the Law of Treaties.⁵⁸ In particular, the Appellate Body held (correctly in our opinion) that TBT decisions can express a subsequent agreement between members on the interpretation or application of a provision of WTO law. Their legitimacy is further reinforced by the fact that the membership of the TBT Committee comprises all WTO members, and that its decisions are normally adopted by consensus.⁵⁹ This is also true for the SPS Agreement. While this lack of legal clarity is not ideal, one may argue that the ambiguous status of the Committees' decisions is in fact one of their strengths, making it easier for the members to reach consensus on specific issues.⁶⁰

More interesting are, however, the activities undertaken within the second process—that of contesting and deliberating over national SPS and TBT measures. As already noted, both Committees serve as fora where members can discuss actual and potential challenges posed by their SPS and TBT measures. This is facilitated by the notification mechanism, which is routinely used by the members.⁶¹ While some problems can even be resolved at this stage, at least the notification and subsequent exchange of opinions can increase the awareness of a specific matter in both regulating and affected members. However, if these interactions between members are not successful, relevant issues may be raised at Committees' meetings as 'specific trade concerns.' This is a mechanism for information exchange and peer review which has grown up organically within

54 SPS Committee, *Guidelines to Further the Practical Implementation of Article 5.5*, 19 July 2000, G/SPS/15.

55 SPS Committee, *Recommended Procedures for Implementing the Transparency Obligations of the SPS Agreement (Article 7)*, 4 June 2018, G/SPS/7/Rev.4.

56 TBT Committee, *Decision on Principles for the Development of International Standards, Guides and Recommendations with Relation to Articles 2, 5 and Annex 3 of the Agreement*, in: WTO Secretariat, *Decisions and Recommendations Adopted by the WTO Committee on Technical Barriers to Trade since 1 January 1995. Revision*, 15 November 2022, G/TBT/1/Rev.15.

57 Panel Report, *India—Measures Concerning the Importation of Certain Agricultural Products*, WT/DS430/R, 14 October 2014, para 7.679. See also Panel Report, *United States—Measures Affecting the Importation of Animals, Meat and Other Animal Products from Argentina*, WT/DS447/R, 24 July 2015, para 7.656.

58 Vienna Convention on the Law of Treaties (signed on 23 May 1969, entered into force on 27 January 1980), 1155 UNTS 331.

59 Appellate Body Report, *US—Tuna II (Mexico)*, para 371. The same approach was later taken by at least one of the panels. See Panel Reports, *Australia—Plain Packaging*, para 7.1085.

60 Gruszczynski and Scott, *supra* note 9, at 57.

61 As of 30 November 2024, 56,314 TBT and 35,867 SPS notifications have been made. For more detailed data on notifications, see the ePing platform <<https://eping.wto.org/en/FactsAndFigures/Notifications>> accessed 7 July 2025.

the committees.⁶² They operate here as multilateral fora in which members are called upon to explain and justify their proposed or adopted measures, under the gaze of other members, and in the shadow of the rules of the respective agreement and dispute settlement system. This process obviously serves an important dispute prevention function which has become even more critical after the partial paralysis of the WTO dispute settlement system.⁶³ As mentioned, it can also be seen as a sophisticated form of indirect and specific rule-making (or rather rule-elaboration).

Raising a specific trade concern initiates a dialogue between members, frequently requiring informal negotiation and formal exchanges over multiple meetings. A complaining member strives to demonstrate the impact of a regulatory proposal or final measure on its trade interests. In turn, a regulating member must supply details and clarifications about the contested measure and explain the supporting evidence. The process of contestation is balanced by efforts to justify the measures. One may argue that what we witness here a unique form of norm elaboration, which is informal, indirect, and specific. While no rules are formally adopted, this informal norm-creation is always connected to the specific circumstances of a particular case. As noted elsewhere, ‘in this setting, the Committee [can be] seen to operate as a contextualizing regime, whereby Members arrive at (provisionally) settled understandings of the standards laid down in the agreement[s], and of their implications for the boundaries of domestic legitimate regulation.’⁶⁴ TBT/SPS measures are not simply judged as legal or illegal in this process; instead, they are often modified or adjusted to address the concerns of both importing and exporting members, reflecting their common understanding of what is permissible and what is not under the respective agreement.

Both treaties are formulated in a very general language that is open to different, often competing readings. What does it mean to base an SPS measure on scientific risk assessment? How to understand ‘insufficiency of scientific evidence’? How to show that international standards would be ineffective or inappropriate for fulfilling legitimate objectives? While the WTO dispute settlement bodies can shed light on some of those requirements, the space for interpretation is still considerable as the assessment of many TBT and SPS measures very much depends on context. In the course of their discussions, WTO members can fill this interpretive space and determine, *inter partes*, legal criteria for specific measures.

Both Committees appear to operate relatively effectively. Since 1995, 874 TBT- and 608 SPS-specific trade concerns have been raised,⁶⁵ with almost half of them resolved wholly or partially without recourse to formal dispute settlement mechanism.⁶⁶ In practice, these numbers are likely higher since members often fail to report resolutions to the Committees, especially when the problem is resolved through bilateral talks. Moreover, some concerns raised at Committees’ meetings simply disappear from the agenda without leading to any formal dispute proceeding,

62 R Wolfe, ‘Reforming WTO Conflict Management: Why and How to Improve the Use of Specific Trade Concerns’ (2020) 23(4) *Journal of International Economic Law* 817.

63 For a comprehensive analysis of this crisis see C-f Lo, J Nakagawa and T-f Chen (eds), *The Appellate Body of the WTO and Its Reform* (Springer 2020).

64 Gruszczynski and Scott, *supra* note 9, at 34.

65 See WTO Trade Concerns Database <<https://tradeconcerns.wto.org/en>> accessed 7 July 2025.

66 TBT Committee, *Thirtieth Annual Review of the Implementation and Operation of the TBT Agreement. Note by the Secretariat*, 6 March 2025, G/TBT/58, paras 4.1 et seq.; SPS Committee, *Annual Overview—Implementation of SPS Transparency Provisions and Specific Trade Concerns. Note by the Secretariat. Revision*, 25 February 2025, G/SPS/GEN/804/Rev.17, G/SPS/GEN/204/Rev.25, paras 3.17 et seq.

suggesting they may have been resolved informally. On that basis, Horn et al. have estimated the actual resolution rate might be closer to 90%.⁶⁷

Assessing the Committees' efficiency (i.e. whether something could be done better) is more challenging. As Wijkström correctly notes, we lack a counterfactual to undertake such assessment.⁶⁸ We know trade friction exists with or without the Committees, but we do not know whether friction might have been better settled elsewhere, or whether matters might have been worse. Despite this uncertainty, it is reasonable to assume the Committees operate quite efficiently. Notably, only a small fraction of specific trade concerns leads to formal dispute settlement requests, and those raised during the draft stage are less likely to become disputes.

The Committees clearly help members to implement their public health and safety policies in a way that respects the trade interests of other members. In most cases, addressing specific trade concerns requires adjustments in the design of a measure rather than its complete removal. The appropriate level of protection is almost never contested in this process unless it differs from what is reflected in a measure. Moreover, the mechanism as such cannot be seen as a deregulatory tool. Members do engage in regulatory dialogue over the means used to achieve specific objectives like public health protection and the trade consequences of their regulatory actions. This process predominantly relies on a practical problem-solving approach. In its course, the regulating member may not only introduce modifications to its measure but can also inform a complaining member about its priorities and risk preferences. It is not uncommon to see far-reaching cooperation between members in achieving compliance, including the provision of technical assistance.⁶⁹

5. Conclusion

The SPS and TBT Agreements are two of the most sophisticated treaties in the WTO legal framework. They attempt to strike a delicate balance between trade liberalization and the preservation of state regulatory autonomy, particularly in the areas of health and safety. The agreements introduce several innovative mechanisms, including the emphasis on international harmonization and the use of science as a normative benchmark for assessing national measures. They also establish special committees for regulatory cooperation and dispute prevention.

While the agreements have been largely successful in achieving their objectives, challenges remain. The interpretation and application of scientific standards can be complex and contentious, especially given the evolving nature of scientific knowledge and the potential for disagreements among experts. The Committees' role in norm elaboration and dispute prevention, while valuable, is still evolving and could benefit from further clarification and strengthening. Moreover, the changing landscape of global trade, with the rise of regional economic integration, the increasing complexity of supply chains, sustainability and environmental concerns, evolving consumer expectations, and technological developments, presents new challenges for the SPS and TBT Agreements. In particular, one can witness a shift in the focus of members from the WTO to regional trade initiatives. Although such integration allows for closer cooperation among interested parties in the SPS and TBT field, it also leads to the creation of additional layer of

67 H Horn, PC Mavroidis and EN Wijkström, 'In the Shadow of the DSU: Addressing Specific Trade Concerns in the WTO SPS and TBT Committees' (2013) 47(4) *Journal of World Trade* 729, at 749–52.

68 EN Wijkström, 'The Third Pillar: Behind the Scenes, WTO Committee Work Delivers,' E15 Task Force on Regulatory Systems Coherence, Think Piece, August 2015, at 4.

69 Gruszczynski and Scott, *supra* note 9, at 45.

normativity that may overlap with or sometimes even contradict the WTO rules (e.g. the approach to genetically modified products could serve as an example here).⁷⁰ This not only makes the regulatory environment less predictable for private operators but may also weaken the autonomy of States in this important policy space.

Despite these challenges, the SPS and TBT Agreements have proven to be adaptable and resilient. They have been instrumental in facilitating trade while ensuring that legitimate health and safety concerns are not compromised. The ongoing dialogue and cooperation among WTO members, both within the committees and in the broader context of the WTO, are crucial for ensuring that these agreements continue to be effective in addressing the complex and evolving challenges at the intersection of trade and health and safety. The future of these agreements lies in their ability to adapt to new challenges while maintaining their core principles of transparency, non-discrimination, and scientific justification.

⁷⁰ See generally F Fontanelli, 'Unspoken SPS-Plus and SPS-Minus Aspirations: Biotechnologies in EU and US Trade Agreements' (2021) 12(3) *European Journal of Risk Regulation* 564.

TRADE AND ENVIRONMENT

Caroline E. Foster

Introduction

Governments around the world recognize the unprecedented environmental challenges we now face.¹ International economic law is potentially the engine that will reorient the global economy to assist the world in dealing with the current climate and biodiversity crises. Yet international trade law's engagement to date feels like a 'slow motion' reaction to what has become a pressing situation. As this chapter reveals, the necessary response is only gradually emerging, through a combination of formal and informal processes and a blend of multilateral, plurilateral, bilateral, and unilateral initiatives and agreements.

This chapter is divided into five parts. After this short introduction, section II tracks the interplay between environmental policies and international trade law from the 1960s to the early 1990s, when trade and environmental policy were often regarded as being in competition with one another. Section III discusses the growing recognition of trade and environments' mutual supportiveness from the 1990s to around 2020. The section highlights that this reconcilability remained more or less hypothetical. Despite the formal emphasis on the reconcilability of trade and environmental aims, the impetus for action was lacking even as the global environmental crisis became clear. Even after the adoption of the Paris Agreement in 2015, momentum for serious engagement developed only sluggishly, slowed both by traditional economic reservations and then by the COVID-19 pandemic.

Section IV explores the post-pandemic developments that aim to make trade work for the environment,² mobilizing new actors and strategies. These developments include current initiatives within the multilateral World Trade Organization (WTO) setting and beyond, including the variously configured Trade and Environmental Sustainability Structured Discussions (TESSD) Working Groups, alongside the Informal Dialogue on Plastics Pollution and Sustainable Plastics Trade

1 Dubai Consensus 2023, Advance unedited version, Decision-/CMA.5 'Outcome of the First Global Stocktake' <<https://unfccc.int/documents/636584>>; Kunming-Montreal Global Biodiversity Framework 2022, UN Doc CBD/COP/15/L25 <<https://www.cbd.int/article/cop15-final-text-kunming-montreal-gbf-221222>>

2 See Locknie Hsu, 'The Evolution of the "Trade and . . ." "Debate"—A View from ASEAN' (2023) 26 JIEL188 on the joint report by the WTO and UN, 'Making Trade Work for the Environment, Prosperity and Resilience' (2018).

and the 2021 WTO Ministerial Statement on Fossil Fuel Subsidies. Plurilaterally, they include the Agreement on Climate Change, Trade, and Sustainability (ACCTS) concluded in July 2024. There are also some particularly important developments in regional and bilateral Preferential Trade Agreements (PTAs) with novel chapters on sustainability. Unilaterally, the most prominent development is the advent of carbon border adjustment mechanisms (CBAMs). Section V focuses on WTO dispute settlement in the trade and environment sphere, primarily in the era of the Appellate Body, and developments since including provisions in PTAs.

The chapter concludes by highlighting that even with all these promising developments, international trade law's response to critical environmental challenges remains slow, piecemeal, and un-coordinated, lacking the necessary political support from all actors. To be fair, certain risks accompany the reorientation of the international trade system to address environmental imperatives. The multilateral approach that characterized the General Agreement on Tariffs and Trade (GATT) era and the first decades of the WTO meant that the trade system embraced all members. Although uneven political power enabled major disparities in market access and the permissibility of subsidies, formally all had a place at the table. Movements away from the multilateral model create situations where trade policies may be designed by a few, may be less responsive to the needs and perspectives of others, and may need to be reviewed and modified over time to gather wider support. Multilateral responses to environmental challenges arguably remain the most desirable, if they can be achieved. Broad, active participation is needed.³

Leadership in setting a new and action-oriented forward course is important. The Paris Agreement's 2023 Global Stocktake has made clear that on current trajectories the global carbon budget will all but expire by 2028.⁴ An acceleration in international actions to mitigate climate change is urgently required and trade and environment must 'partner' up in renewed pursuit of sustainable development.⁵ The sooner this realization percolates to the heart of international economic policymaking, the greater the chances that the international community can deal with the problems confronting us. For effective and meaningful action, the WTO membership as a whole needs to come on board.

II Early Years: Two Cultures

International trade law as we know it dates back to the post-war 1944 Bretton Woods conference though earlier trade treaties predate this period.⁶ Realizations in the 1960s around the pressures that the world's economic expansion was beginning to impose on the planet and its natural resources provoked a new environmental consciousness. During the 1970s through to the 1990s this continued to grow. At the same time, there arose in trade circles the awareness that environmental policies could create trade barriers.⁷ Over this period, trade and environment policies came to be perceived as being in opposition. Even where this perspective was not dominant, the trade

3 Mary Footer, Gregory Messenger and Meredith Kolsky Lewis (eds), *Final Report: Committee on Sustainable Development and the Green Economy in International Trade Law* (International Law Association 2022) <https://www.ila-hq.org/en_GB/documents/final-consolidated-draft-final-report-june2021sustainabledevelop>

4 Carbon Brief, 13 December 2023 'COP28: Key Outcomes agreed at the UN Climate Talks in Dubai.'

5 Edith Brown Weiss and Nathalie Bernasconi-Osterwalder, 'The Earth Summit and Trade-related Issues' in Panos Delimatsis and Leonie Reins (eds) *Encyclopaedia on Trade and Environmental Law* (Edward Elgar 2021) 58.

6 See Gabrielle Marceau, *A History of Law and Lawyers in the GATT/WTO: The Development of the Rule of Law in the Multilateral Trading System* (CUP 2015).

7 GATT Secretariat, Industrial Pollution Control in International Trade, 9 June 1971, L/3538.

and environment communities represented what were in effect ‘two cultures’.⁸ The perspectives of those involved in each field differed significantly, and the institutions within which they worked tended to promulgate and reinforce the relevant ‘cultural’ outlook.

The landmark UN environmental conferences of the time helped bring trade and environment closer together, but always on the terms set by the rules and culture of international trade law. The 1972 Stockholm Conference helped to catalyse discussion in the 1970s and 80s on the relationship between economic growth, social development, and environment. References to trade in the Stockholm Conference Action Plan reflected developing countries’ concerns that environmental protection would create trade barriers, focusing on assurances that environmental concerns would not be used as a pretext for discrimination in international trade.⁹ Developing countries sought above all an open and fairer economic system in order to provide better living standards for their populations.

Momentum for a closer relationship between trade and environmental policy benefitted from the 1987 publication of the Brundtland Report by the World Commission on Environment and Development.¹⁰ The Report is well known for defining the concept of sustainable development as development meeting the needs of the present without compromising the ability of future generations to meet their own needs. However, at the 1992 Rio Conference developing countries’ concerns that developed countries would force adherence to environmental rules were again central. The resulting Rio Declaration sought to address the trade and environment relationship through Principle 12.¹¹ This principle indicated that unilateral environmental measures should be avoided. Commentators have criticized the clumsy wording of Principle 12 and its ‘overreach’¹² in respect of unilateral environmental measures.¹³ *Agenda 21*, the action plan accompanying the Rio Declaration, emphasized non-discriminatory, equitable trade, and improved market access. Environmental policies’ adverse impacts on trade were still the major concern.¹⁴ Reference to the ‘mutual supportiveness’ of trade and environment featured also,¹⁵ but in second place. That trade was the primary focus is evident in the use of the phrase ‘trade and environment’ rather than ‘environment and trade’.¹⁶

The fairness of unilateral environmental measures was intensely debated in the Preparatory Committee sessions leading up to Rio. Pakistan, the G77, and China lobbied hard against unilateral measures.¹⁷ The US, Canada, Sweden, and Norway had already banned most chlorofluorocarbons

8 Daniel C Esty, *Greening the GATT: Trade, Environment and the Future* (Institute for International Economics, 1994).

9 Brown Weiss and Bernasconi-Osterwalder (n 5) 60.

10 World Commission on Environment and Development, *Our Common Future* (WCED 1987) at 80.

11 Declaration of the UN Conference on Environment and Development, UN Doc A/CONF/26/Rev1, Principle 12.

12 Margaret A Young, ‘Principle 12: The Environment and Trade’ in Jorge Vinales (ed), *The Rio Declaration on Environment and Development: A Commentary* (OUP 2015) 325, 347, and 336–38.

13 Principle 12 specified that ‘Unilateral actions to deal with environmental challenges outside the jurisdiction of the importing country should be avoided. Environmental measures addressing transboundary or global environmental problems should, as far as possible, be based on an international consensus.’ See also Principle 16. On related aspects of Agenda 21 see also Brown Weiss and Bernasconi-Osterwalder (n 5) 65. Consider also Principles 3 and 4 integrating developmental and environmental policy priorities. Note Chapter 2.22(i) Agenda 21.

14 Brown Weiss and Bernasconi-Osterwalder (n 5) 63.

15 See also Report of a panel of experts convened by the secretary-general of the *United Nations Conference on the Human Environment, Founex, Switzerland June 1971*, in *Development and Environment*, Report by the Secretary-General, UNGA, A/Conf.48/10, 22 December 1971, Annex 1.

16 Brown Weiss and Bernasconi-Osterwalder (n 5) 63.

17 *ibid.*

(CFCs) and aerosols, for instance,¹⁸ even prior to adoption of the Montréal Protocol on Substances that Deplete the Ozone Layer.¹⁹ The *Tuna-Dolphin* proceedings under GATT had started to test the legal limits of individual States' entitlements to adopt environmental measures affecting others' trade and economic interests.²⁰ Such unilateral environmental measures' inherently extraterritorial effects provoked intense criticism. Political efforts against unilateral environmental trade measures sought to help keep the economic playing field level by preventing arbitrary conduct and disguised protectionism. These aims remained in tension with States' legitimate interest in protecting the Earth's environment.²¹

In sum, even in UN settings where environmental policy concerns might have been expected to be uppermost, great effort was expended in the early years to articulate policy commitments on terms geared to economic interests. Of the two 'cultures' it was the trade culture which provided the lens through which scope for mutual supportiveness was evaluated. Environmental considerations were regarded as extrinsic to trade policy. This cultural dominance of trade over the environment partly reflected the genuine economic development concerns of developing countries. Yet this mode of engagement made it difficult to progress the environmental dimensions of the international trade system.

III Next Steps: Politics and Priorities

While economic politics continued to play a central role, several breakthroughs marked the institutional response to the tension between trade and environment from the early 1990s until around 2020. The year 1991 saw a first meeting of the Environmental Measures in International Trade (EMIT) Group, established in 1971 to examine, on request, matters relevant to trade policy aspects of pollution control or environmental measures, taking into account the particular problems of developing countries.²² This group again discussed concerns about the effects of environmental policies on the world trade system.

Refreshingly, in 1994 when the Uruguay Round of trade negotiations concluded, the preamble to the Marrakesh Agreement establishing the WTO reflected both trade and environmental interests and made a commitment to sustainable development.²³ The preamble to the 1994 Ministerial Declaration on Trade and Environment further clarified the compatibility of trade and environmental interests.²⁴ However, despite its theoretical merits, in practice the recognition of trade and

18 Peter M Morrisette, 'The Evolution of Policy Responses to Stratospheric Ozone Depletion' (1989) 29 *Natural Resources Journal* 793 at 809.

19 Montréal Protocol on Substances that Deplete the Ozone Layer, opened for signature 16 September 1987, entered into force on 1 January 1989, (1989) 26369 UNTS 1522.

20 Brown Weiss and Bernasconi-Osterwalder (n 5) 64. *United States—Restrictions on Imports of Tuna*, Report of the Panel, 3 September 1991, DS21/R—39S/155.

21 Daniel Bodansky and Jessica C Lawrence, 'Trade and Environment' in Daniel Bethlehem and others (eds), *The Oxford Handbook of International Trade Law* (OUP 2009) 505, 525.

22 GATT Council, Minutes of the Meeting of 9 November 1971, 17 November 1971, C/M/74; Aik Hoe Lim, 'History of the Trade and Environment Debate at the WTO' in Panos Delimatsis and Leonie Reins (eds) *Encyclopedia on Trade and Environmental Law* (Edward Elgar 2021) 7, 8.

23 Marrakesh Agreement establishing the World Trade Organization, concluded 15 April 1994, in force 1 January 1995, UNTS 1867, 1868, 1869.

24 'Considering that there should not be, nor need be, any policy contradiction between upholding and safeguarding an open, non-discriminatory and equitable multilateral trading system on the one hand, and acting for the protection of

environment objectives as reconcilable supplanted positive trade policy action to help address environmental needs.

In 2001 just prior to the 2002 World Summit for Sustainable Development or ‘Rio+10’ conference in Johannesburg, the WTO launched the new Doha Round of trade negotiations with the adoption of the Doha Ministerial Declaration.²⁵ This Declaration referenced the upcoming Summit and reaffirmed commitment to the objective of sustainable development.²⁶ In the 1994 Ministerial Declaration on Trade and Environment, Ministers had already decided to set up a Committee on Trade and Environment (CTE) which had been duly established in 1995 by the WTO General Council, with membership open to all WTO members.²⁷ The Doha Ministerial Declaration further promoted work by the CTE on certain matters. Importantly, it also established the CTE Special Session (CTESS) as a forum for advancing the relationship between the WTO trade rules and trade-related obligations under multilateral environmental agreements (MEAs), procedures for MEA Secretariats’ interaction with the WTO, and the reduction or, as appropriate, elimination of tariff and non-tariff barriers to environmental goods and services.²⁸

The value of the CTE’s work on trade and environment has generally been underappreciated. The Committee has provided an important forum for ‘negotiation, deliberation, transparency and exchange of best practices’.²⁹ However, the politics of the trade and environment debate have remained difficult in the CTE. As scholars observe, ‘the intense political debates regarding the impact on trade of some environmental measures, and the concern by some Members (in particular developing countries) that environmental objectives would be invoked to deny them benefits from the multilateral trading system, have always made reaching consensus at the CTE extremely challenging’.³⁰

As to concrete CTES outcomes, interface between the WTO Secretariat and the secretariats of relevant MEAs through modes including reciprocal observer status, information exchange, and cooperative agreements has helped smooth the edges of the trade and environment ‘cultural’ divide at the institutional level, albeit unevenly.³¹ The originally high level of concern around the relationship between MEAs and trade rules fell back over time with the realization that out-and-out disputes are unlikely in practice, considering the flexibility provided through the relevant general

the environment, and the promotion of sustainable development on the other.’ Decision on Trade and Environment 1994 <https://www.wto.org/english/docs_e/legal_e/56-dtenv.pdf>

25 WTO Ministerial Conference, Ministerial Declaration adopted on 14 November 2001, WT/MIN(01)/DEC/1 20 November 2001 <https://www.wto.org/english/res_e/booksp_e/ddec_e.pdf>

26 *ibid* para 7. The 2002 Johannesburg Plan of Action likewise referenced the work taking place in the WTO. Brown Weiss and Bernasconi-Osterwalder (n 5) 69.

27 WTO General Council, Minutes of Meeting of 31 January 1995, WT/GC/M/1, 28 January 1995, 12. See also Gerardo Vidigal and Ludovine Tamiotti, ‘Committee on Trade and Environment’ in Panos Delimatsis and Leonie Reins (eds) *Encyclopedia on Trade and Environmental Law* (Edward Elgar 2021) 107. The CTE’s ten point work agenda is summarised by Vidigal and Tamiotti at 109.

28 MEAs of particular interest included the Montréal Protocol on Substances that Deplete the Ozone Layer 1989 (n 19), the Convention on International Trade in Endangered Species of Wild Fauna and Flora, opened for signature on 30 April 1973, in force 1 July 1975 (1973) 14537 UNTS 993 and the Basel Convention on the Control of Transboundary Movements of Hazardous Wastes and their Disposal (1992) opened for signature on 26 March 1989, in force 5 May 1992, 1673 UNTS.

29 See Manuel AJ Techankee, *Trade and Governance at the World Trade Organisation Committee on Trade and Environment* (Wolters Kluwer 2020), reviewed by Gabrielle Marceau (2020) 23 JIEL 1055, 1058.

30 Vidigal and Tamiotti (n 27) 112.

31 Marina Foltea, ‘WTO Institutional Cooperation with Other “Environmental” IOs’ in Panos Delimatsis and Leonie Reins (eds) *Encyclopedia on Trade and Environmental Law* (Edward Elgar 2021) 114.

exceptions to the GATT and other rules.³² Proposals by the EU, and countries such as New Zealand and Switzerland for formally clarifying the relationship between MEAs and trade rules have not come to fruition.³³ Some proposed the adoption of an understanding explicitly allowing trade measures taken under MEAs under the GATT General Exceptions, provided the measures met the criteria in the introductory paragraph (*chapeau*) to Article XX of GATT.³⁴ This idea was based on the rationale that MEAs have a broad membership, both in economic and geographical terms.³⁵ Neither have alternative outcomes been reached. For instance, no agreement has been reached on strengthening national cooperation between government agencies with responsibilities for trade and environment respectively.³⁶ Substantive discussions in the CTESS effectively came to an end in 2011.³⁷

In 2012, a decade after the ‘Rio+10’ conference, the ‘Rio+20’ United Nations conference on sustainable development included in its outcome document the United Nations Sustainable Development Goals.³⁸ However, the document’s ‘Green Economy’ section reaffirmed that policies should not constitute a means of arbitrary or unjustifiable discrimination or a disguised restriction on international trade and should avoid unilateral actions to deal with environmental challenges outside the jurisdiction of the importing country and ensure environmental measures are based on international consensus as far as possible.³⁹

At the same time, states underlined that they remained focused on progress in areas including trade in environmental goods and services and trade-distorting subsidies.⁴⁰ Identifying environmental goods and services is a long-running initiative. This work is important because it will allow market access for environmental goods on preferential terms and should increase their availability. In some cases it may also help bypass troublesome questions about the ‘likeness’ of goods and the matter of when process and production methods (PPMs) can be taken into account in determining likeness for the purposes of applying trade law’s non-discrimination disciplines.⁴¹ Environmentalists consider it essential that there be scope for distinction between goods produced in ways that have different environmental impacts.⁴² Yet major ongoing issues remain in relation to the effects on trade of non-tariff barriers including environmental standard setting, government procurement practices, and subsidies,⁴³ which may increase the expenses associated with production and keep

32 Gabrielle Marceau, ‘Trade and Environment Governance at the World Trade Organization Committee on Trade and Environment’ (2020) 23 JIEL 1055, 1058.

33 Michael Trebilcock, Robert Howse and Antonia Eliason, *The Regulation of International Trade* (4th edn, Routledge 2012) 698–99; Bodansky and Lawrence (n 21) 535.

34 Trebilcock and others (n 33) 698.

35 On the Generalised System of Preferences (GSP) see Trebilcock and others (n 33) 707–96.

36 Vidigal and Tamiotti (n 27) 111.

37 *ibid* 110.

38 *Transforming our World: The 2030 Agenda for Sustainable Development*, A/RES/70/1 (2015).

39 Brown Weiss and Bernasconi-Osterwalder (n 5) 70.

40 *ibid*.

41 On the relevant GATT panel reports see Tetyana Payosova and Isabelle Van Damme, ‘Likeness and Environment in the GATT Years’ in Panos Delimatsis and Leonie Reins (eds), *Encyclopedia on Trade and Environmental Law* (Edward Elgar 2021) 171, 174–76.

42 Several developing countries have opposed this. Bodansky and Lawrence (n 21) 526 and Jagdish Bhagwati, ‘The Question of Linkage’ (2002) 96 AJIL 126 at 133. In its active phase the EMIT group discussed the likeness issue both under GATT and in the context of non-process-related PPMs, including requirements under the TBT Agreement. Filippo Fontanelli, ‘Environment-led Technical Regulations’ in Panos Delimatsis and Leonie Reins (eds), *Encyclopedia on Trade and Environmental Law* (Edward Elgar 2021) 280, 288–89.

43 Bodansky and Lawrence (n 21) 513.

goods out of markets.⁴⁴ As observed in the 2021 WTO Ministerial Statement on Trade and Environmental Sustainability, it is necessary to explore trade promotion and facilitation with reference not only to market access but also supply chain, technical and regulatory elements.⁴⁵

Overall, from the early 1990s to around 2020 steps were taken toward better addressing environmental issues within and through international trade rules. However, a rhetorical emphasis on the reconcilability of trade and environmental objectives largely took the place of action. Articulation of their reconcilability in theory does not in itself promote or generate pro-environmental trade policy nor establish the terms for this reconciliation in practice.

IV Vehicles for Progress?

The adoption of the Paris Agreement by nearly 200 States in 2015 injected new energy into international environmental policy. States have collectively emphasized the urgency of climate action at successive conferences of the parties (COPs) convened under the United Nations Framework Convention on Climate Change (UNFCCC).⁴⁶ In the meantime, states party to the Convention on Biological Diversity (CBD) adopted the Kunming Montréal Biodiversity Framework in late 2022.⁴⁷ It is clear that making the international economic system work for the environment is vital to mitigate climate change, and to reverse species loss and widespread terrestrial and marine ecosystem damage.

Climate and environmental policy is increasingly becoming a mainstream preoccupation within international trade law, albeit through a multifaceted, kaleidoscopic response with many factors significantly slowing its development. Multi-party independent initiatives in the WTO setting include four differently configured Trade and Environmental Sustainability Structured Discussions (TESSD) working groups set up in 2020. They are accompanied by the Informal Dialogue on Plastics Pollution and Sustainable Plastics Trade, and ongoing work on fossil fuel subsidy reform, likewise independently and without formal connection to the WTO. The EU and New Zealand have led the way towards an inclusive Coalition of Trade Ministers on Climate manifesting a commitment to ensuring that sufficient progress is made on climate change, joined by Kenya, Ecuador, and the United Kingdom.⁴⁸ Important developments have occurred in regional and bilateral PTAs including adoption of novel chapters on sustainability, while the 2024 Agreement on Climate Change, Trade, and Sustainability (ACCTS) constitutes a unique plurilateral initiative. Unilaterally, the advent of CBAMs stands out, with many economies likely to impose carbon tariffs to lift the cost of imports so as to balance out differences in carbon pricing across jurisdictions and ensure that emissions do not escape pricing or regulation altogether.

44 See, for instance, Korea's 2019 ban on PVC plastics and packaging. See the WTO's Environmental Database of notified measures. Fontanelli (n 42) 282–83 and 288.

45 2021 Ministerial Statement on Trade and Environmental Sustainability, WT/MIN(21)/6/Rev.2, 14 December 2021 <<https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q:/WT/MIN21/6R2.pdf&Open=True>>.

46 United Nations Framework Convention on Climate Change, concluded 9 May 1992, in force 21 March 1994, *UNTS* 1771 107.

47 Above (n 46). See also *Decision adopted by the Conference of the Parties to the Convention on Biological Diversity* CBD/COP/DEC/15/4, 19 December 2022, at 2.

48 'The EU Teams Up with Ecuador, Kenya, New Zealand to Forge Cooperation on Trade and Climate,' EU Directorate-General for Trade, news article, 13 June 2022 <https://policy.trade.ec.europa.eu/news/eu-teams-ecuador-kenya-new-zealand-forge-cooperation-trade-and-climate-2022-06-13_en>. See also Launch Statement of 19 January 2023, cited by Margaret Young and Georgina Clough, 'Net Zero Emissions and Free Trade Agreements: Efforts at Integrating Climate Goals by the United Kingdom and Australia' (2023) 72 *ICLQ* 393, 394.

These developments position international economic governance on the cusp of a new era in which the need to integrate environmental objectives into trade law is increasingly understood. Governments and citizens are coming to see that in practical terms there is a need to develop economic practices in ways that help address environmental objectives. The shifting of gears has been particularly evident since the adoption of the 2015 Sustainable Development Goals for 2030. SDG 12 calls for sustainable production and consumption, SDG 7 focuses on sustainable energy, and SDG 13–15 are also relevant, especially SDG 14 regarding fish stocks.⁴⁹ WTO annual reporting to the High-level Political Forum on Sustainable Development (HLPF), responsible for monitoring action taken toward the SDGs, indicates an increased institutional pivot to sustainable development within the WTO. Further support is provided by references in the Global Pact for the Environment to patterns of sustainable production and consumption respectful of the environment.⁵⁰

The 2020 launch of the TESSD constitutes the paradigmatic example of a set of critical moves to make trade work for the environment in practice. The TESSD's four differently composed working groups, each with different numbers and combinations of WTO members,⁵¹ deal respectively with (a) environmental goods and services, (b) subsidies, (c) trade-related climate measures, and (d) the circular economy. All four working groups will be important loci for vital developments on the environment-trade connection. Meantime the launch of the WTO Secretariat's Trade Policy Tools for Climate Action at UNFCCC COP 28 communicates an institutional level of awareness of the need for concrete action.⁵² However it must be recalled that participation in the TESSD working groups is voluntary and only certain WTO members are opting to participate.

The following subsections discuss these and other initiatives as vehicles for progress on trade and the environment. These subsections focus on new efforts to liberalize trade in environmental goods and services, work on the circular economy and on plastics, subsidies reform, and work on trade-related climate measures and initiatives in preferential trade agreements.

Liberalizing Trade in Environmental Goods and Services

The rationale for liberalizing trade in environmental goods and services is that this will provide significant benefits both economically and environmentally. Considerable progress liberalizing environmental goods has been made in PTAs including the New Zealand FTAs with the EU and the UK, as well as the ACCTS and CETA. However, it is important to see progress also in the WTO, with its broad, multilateral membership. The TESSD Working Group on Environmental Goods and Services has taken forward the liberalization agenda, building on the momentum generated through the launch of the Environmental Goods Agreement negotiations in 2014 which stalled in 2016.⁵³ At the time of writing, the Working Group has been focused on how to liberalize trade in goods and services that are key for the renewable energy sector including solar wind and

49 SDGs 13–15 deal with climate action, life below water and life on land.

50 Noting the General Assembly Resolution adopted on 10 May 2018 Towards a Global Pact for the Environment, GA Res 72/277, A/RES/72/277, 14 May 2014.

51 See Joost Pauwelyn, 'Taking Stakeholder Engagement in International Policy-Making Seriously: Is the WTO Finally Opening Up?' (2023) 26 JIEL 51 58–60.

52 WTO Secretariat, *Trade Policy Tools for Climate Action* (WTO 2023) <https://www.wto.org/english/res_e/publications_e/publications_e.htm>

53 Vidigal and Tamiotti (n 27) 111.

hydropower.⁵⁴ The more promptly this can be achieved, the more members will contribute to a timely global energy transition.

Reaching good outcomes on renewables could then inspire WTO members to consider the best methodological approach to the listing of environmental goods and services in other fora beyond the WTO. When last considering the matter in 2011, the CTESS was contemplating a hybrid approach to the listing of environmental goods and services. An agreed core list would be complemented by (i) a self-selected list put together by developed countries, with developing countries encouraged also to participate; (ii) a list produced through a request and offer process with concessions in relation to the listed items to be multilateralized through the MFN principle; and (iii) liberalization in goods and services to be employed in environmental projects by inclusion in any of these lists or unilaterally.⁵⁵

Breadth in coverage will be important as there has been concern that the already existing Asia-Pacific Economic Cooperation (APEC) list of environmental goods of 2011 embodies an overly narrow approach.⁵⁶ Organisation for Economic Co-operation and Development (OECD) listings have been broader, embracing the idea of liberalization to promote cleaner or *more* environmental techniques, products, and services with a view to reducing environmental risks and minimizing pollution and resource use. Such lists also include goods that are inputs into sustainable agriculture, forestry, and fisheries.⁵⁷ Of even broader scope has been the UN Trade and Development (UNCTAD) approach, centring on the idea of Environmentally Preferable Products (EPPS), which is likewise grounded in notions of relative degrees of environmental protection.⁵⁸ Positive aspects of such approaches include the promotion of technological change and environmentally sound investment while helping avoid overinvestment in environmentally inadequate or harmful enterprises. At the same time, it is hoped they will spread the benefits of liberalization in environmental goods and services widely across developing countries.⁵⁹

However suitable standards are needed to apply such schemes.⁶⁰ Relative environmental benefits should ratchet up over time as new environmental technologies became available or risks of harm rise higher. The challenge is considerable. A number of WTO members have highlighted the difficulties with basing tariffs on criteria not representing physical characteristics or product function.⁶¹ The concern is that this wedges open the door to distinctions based on how products are produced. In principle, this could operate against developing country interests at scale in respect of both environmental and labour standards. Meanwhile we see environmental goods lists in bilateral trade agreements such as the EU–New Zealand Free Trade Agreement (EU–NZ FTA),⁶² believed to be a first for the EU, with a longer list in the NZ–UK Free Trade Agreement (NZ–EU FTA).⁶³

54 ‘Members Discuss Possible TESSD Outcomes for Delivery at MC13’ (11 July 2023) <https://www.wto.org/english/news_e/news23_e/tessd_11jul23_e.htm>

55 Report by the Chairman, Ambassador Manuel A.J. Teehankee to the Trade Negotiations Committee, Committee on Trade and Environment in Special Session, TN/TE120, 21 April 2011.

56 Young and Clough (n 48).

57 Trebilcock and others (n 33) 702–3.

58 *ibid* 702–3.

59 *ibid*.

60 *ibid*.

61 *ibid* 703.

62 New Zealand–European Union Free Trade Agreement 2023 <https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/new-zealand/eu-new-zealand-agreement/text-agreement_en>, Annex 19.

63 New Zealand–United Kingdom Free Trade Agreement 2022 <<https://www.mfat.govt.nz/en/trade/free-trade-agreements/free-trade-agreements-in-force/new-zealand-united-kingdom-free-trade-agreement/resources/>>, Annex 22A.

In the services sphere, the Council for Trade in Services adopted the Decision on Trade in Services and the Environment in 1995 requesting the CTE to report with recommendations on the relationship between the services trade and the environment including the issue of sustainable development.⁶⁴ Trade in both environmental goods and services is important for human development. As noted during the Uruguay Round by the GATT Secretariat, environmental services provide, for instance, clean drinking water and safe sanitation, remediation of contamination, and the protection of nature and the landscape. The forum for talks on environmental services was supposed to be the Special Sessions of the CTS (CTSSS) but the topic has been eclipsed by an emphasis on trade in environmental goods. Successive deadlines have been missed, even though needs for environmental goods and services will often go together in practice as seen in relation to renewable energy.⁶⁵ However, APEC ministers have meantime agreed a reference list of environmental services, in 2021.⁶⁶

In sum, progress on liberalizing trade in environmental goods and services requires a significant investment of policy and technical energy as well as political commitment. It is an important step forward at the trade and environment interface. Adopting appropriate technical standards will also assist in facilitating the necessary trade.⁶⁷

Circular Economy and Plastics

Circular economy principles require a major adjustment in the linear approach to production and consumption that has prevailed in previous periods.⁶⁸ The circular economy is a model of production and consumption which involves reusing, repairing, and recycling existing materials and products as long as possible. The aim is to make better use of the enormous volumes of resources presently funnelled through economies and discarded. The greenhouse gas (GHG) emissions associated with linear handling and use of resources are estimated to be as high as 70% of the global total emissions,⁶⁹ while resource extraction and processing is believed to drive 90% of biodiversity loss and water stress impacts.⁷⁰ The circular economy could significantly decrease these impacts, and therefore has an attraction like never before. The Circular Economy Working Group's mapping of the trade aspects of the circular economy throughout product life cycle is an important first step to assess how the trade rules can be developed to 'rewire' the global and domestic economies.

64 Regis Simo, 'Trade in Environmental Services' in Panos Delimatsis and Leonie Reins (eds) *Encyclopedia on Trade and Environmental Law* (Edward Elgar 2021) 447, 447–48.

65 *ibid* 452, 454.

66 APEC Ministerial Meeting, Wellington, New Zealand, 9 November 2021 <<https://www.apec.org/meeting-papers/annual-ministerial-meetings/2021/2021-apec-ministerial-meeting#:~:text=Now%20more%20than%20ever%2C%20and,%20economic%20inclusion%20for%20all>> see paragraph 33 and Annex 2 for the services schedule.

67 Trebilcock and others (n 33) 691–92; see also WTO Secretariat, Trade and Climate Change Information Brief No 6, 'What Yardstick for Net-zero? How WTO TBT Disciplines can Contribute to Effective Policies on Carbon Emission Standards and Climate Change Mitigation' <https://www.wto.org/english/news_e/news21_e/clim_03nov21-6_e.pdf>

68 Kimberley Botwright, Dominic Coppens and Nicolas JS Lockhart, 'Remaking Trade: Waste, Circular Economy, and Trade' (Villars Framework for a Sustainable Trading System 2023) <<https://remakingtradeproject.org/villars-framework>>

69 Circle Economy, 'The Circularity Gap Report 2022' (2022) <<https://www.circularity-gap.world/2022>>

70 International Resource Panel, 'Global Resources Outlook 2019' (2019) <<https://www.resourcepanel.org/impact-and-uptake>>

Circularity is addressed also within the Informal Dialogue on Plastics Pollution and Sustainable Plastics Trade (IDP) taking place among self-selected WTO members beyond the context of TESSD. Trade in plastic, food stocks, polymers, additives, pellets, products, and waste has played a significant part in creating the global plastics crisis and accompanying micro- and nano-plastic pollution.⁷¹ The IDP aims to identify how trade cooperation can reduce and end plastic pollution. Separately, current negotiations aim to develop an ‘internationally legally binding instrument on plastic pollution including in the marine environment’ as well as the Basel, Rotterdam, and Stockholm conventions.⁷² Increased involvement from the business community will be important.⁷³

Subsidies Reform

Subsidies constitute one of the most challenging aspects of traditional international trade policy.⁷⁴ As an economic tool, subsidies can be used to promote environmental policies enabling trade to work for the environment.⁷⁵ However, WTO law disciplines subsidies heavily because they are generally considered inconsistent with maintaining a level playing field for open competition. Since the expiry of previous narrow provisions under the Agreement on Subsidies, there are no longer any special rules for environment-related subsidies.

In the absence of specific rules, the Appellate Body’s 2013 decision in *Canada—Certain Measures Affecting the Renewable Energy Generation Sector* may have helped governments feel more at ease in offering renewable energy subsidies provided they are non-discriminatory.⁷⁶ Overall, though, trade remedy rules continue to militate against support for the development of renewable energy systems on a national basis, and WTO law on government procurement provides only certain elements of relief.⁷⁷

While subsidies reform is needed to better enable appropriate environmental subsidies, there has been ongoing opposition based on economic concerns. Stimulus for the development of renewable energy, and industries producing the necessary equipment, would be at the top of a potential desirable subsidies list. At the same time, local content requirements may impede the development of the renewable energy industry globally depending on the circumstances. The TESSD Working Group on Subsidies is engaged in early-stage work only, compiling member experiences in subsidy design.⁷⁸

71 ‘WTO Rules and Key Elements for Consideration in the Context of a Treaty to End Plastic Pollution,’ IUCN (2023).

72 See IDP Factual Report (2021) INF/TE/IDP/W/3, 4 October 2021.

73 Pauwelyn (n 51) 58.

74 See Ming Du’s chapter in this *Handbook*.

75 See Roland Ismer and others, ‘Supporting the Transition to Climate-Neutral Production: An Evaluation Under the Agreement on Subsidies and Countervailing Measures’ (2023) 26 JIEL 216.

76 *Canada—Certain Measures Affecting the Renewable Energy Generation Sector*, Report of the Appellate Body, 24 May 2013, WT/DS412/AB/R and WY/DS246/AB/R.

77 Ilaria Espa, ‘SCM/AD/GATT/GPA: Renewable Energy Promotion and Trade Defence’ in Panos Delimatsis and Leonie Reins (eds) *Encyclopedia on Trade and Environmental Law* (Edward Elgar 2021) 379, 383, 385 (noting that local content requirements in feed-in tariffs have remained problematic in all six of the renewable energy subsidy disputes heard as of 2021.)

78 WTO News, ‘Members Discuss Possible TESSD Outcomes for Delivery at MC13’ (11 July 2023) <https://www.wto.org/english/news_e/news23_e/tessd_11jul23_e.htm#:~:text=Members%20also%20considered%20suggestions%20for,trade%20and%20environmental%20sustainability%20policies>.

Persistent subsidization in the three fields of fisheries, fossil fuels and also agriculture encourages overuse of resources while distorting trade flows.⁷⁹ The perversity of subsidies that support overcapacity in fishing fleets and extraction of fossil fuels is apparent, while the permissibility of agricultural subsidies and domestic support under WTO law is often considered a perennial weakness. The 2022 Agreement on Fisheries Subsidies implemented long-standing Doha Round commitments to address environmentally and economically unfriendly subsidies. However, further negotiations are still needed to enable the Agreement to work,⁸⁰ ideally reducing subsidies that are likely to contribute to excess capacity or overfishing including subsidies for purchase of equipment, machinery, fuel, and bait, as well as personnel costs. Certain FTAs that also address the issue of fisheries subsidies include the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP),⁸¹ the Agreement between the United States of America, Mexico, and Canada (USMCA),⁸² and the EU–New Zealand, UK–New Zealand, and UK–Australia FTAs.⁸³

Work within the WTO on tackling fossil fuel subsidies runs contrary to entrenched interests but is long overdue.⁸⁴ Energy subsidies are a complex matter. People around the world are reliant on government interventions to help deal with energy poverty in a world where it is fossil fuels that presently provide the energy they need. The COVID-19 pandemic caused further economic hardship, while fuel prices fluctuate with global security concerns. The challenges will continue to rise as emissions pricing in national economies kicks in with States seeking to live up to their Paris Agreement commitments. Yet bringing about global decarbonization requires the collective tackling of fossil fuel subsidies. These subsidies were estimated by the OECD and the International Energy Agency (IEA) at a figure of USD 1,481.3 billion in 2022, doubling from 2021.⁸⁵

The Friends of Fossil Fuel Subsidy Reform grouping seeks to build consensus on the importance of fossil fuel subsidy reform, comprising at the time of writing Costa Rica, Denmark, Ethiopia, Finland, the Netherlands, New Zealand, Norway, Sweden, Switzerland, and Uruguay.⁸⁶ The 2021 Ministerial Statement on Fossil Fuel Subsidies by Albania, Chile, Costa Rica, the European Union, Fiji, Iceland, Liechtenstein, Moldova, Montenegro, New Zealand, North Macedonia, Norway, Panama, Switzerland, Tonga, the United Kingdom, Uruguay, and Vanuatu likewise sought to generate forward momentum on the issue.⁸⁷ Increased reporting of energy subsidies to gain

⁷⁹ Bodansky and Lawrence (n 21) 512.

⁸⁰ Agreement on Fisheries Subsidies, 17 June 2022, WT/L/1144.

⁸¹ Comprehensive and Progressive Agreement for Trans-Pacific Partnership, concluded 8 March 2018, in force 30 December 2018, UNTS 3346.

⁸² Agreement between the United States of America, Mexico and Canada, concluded 30 September 2028, in force 1 July 2020 <<https://ustr.gov/trade-agreements/free-trade-agreements/united-states-mexico-canada-agreement/agreement-between>>

⁸³ Bernard M Hoekman, Petros C Mavroidis and Sunayana Sasmal, 'Managing Externalities in the WTO: The Agreement On Fisheries Subsidies' (2023) 26 JIEL 266, 274.

⁸⁴ See Anna-Alexandra Marhold, 'SCM: Fossil Fuel Subsidies' in Panos Delimatsis and Leonie Reins (eds) *Encyclopedia on Trade and Environmental Law* (Edward Elgar 2021) 347, 347.

⁸⁵ 'Cost of Support Measures for Fossil Fuels almost Doubled in 2022 in Response to Soaring Energy Prices' (1 December 2023) <<https://www.oecd.org/newsroom/cost-of-support-measures-for-fossil-fuels-almost-doubled-in-2022-in-response-to-soaring-energy-prices.htm>>

⁸⁶ For further information, see the Friends of Fossil Fuel Subsidy Reform's website <<https://ffsr.org/>>

⁸⁷ Ministerial Statement on Fossil Fuel, WT/MIN(21)/9/Rev.1, 14 December 2021 <<https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q:/WT/MIN21/9r1.pdf&Open=True>> See also 'Joint Statement on Fossil Fuel Subsidies' adopted at the 28th Conference of the Parties to the UN Framework Convention on Climate Change in 2023 The Netherlands, Antigua and Barbuda, Austria, Belgium, Canada, Costa Rica, Denmark, Finland, France, Ireland, Luxembourg and Spain as reported by Carbon Brief <<https://www.rijksoverheid.nl/documenten/publicaties/2023/12/09/>>

transparency will be an important first step. The 2024 WTO Ministerial statement includes an annex on planned work, including working together on roadmaps for fossil fuel subsidy elimination.⁸⁸ Certain bilateral agreements also include language on fossil fuel subsidy reform as seen in the NZ-UK FTA,⁸⁹ with weaker language in the EU-NZ FTA.⁹⁰

Trade-Related Climate Measures

The TESSD Working Group on Trade-Related Climate Measures aims to produce an outline of WTO member practices in the development of trade-related climate measures, including mechanisms for transparency and consultation as well as impact assessments and guiding principles.⁹¹ In the meantime certain WTO members are moving ahead unilaterally.

Adopted as part of the European Green Deal, the 2023 EU's CBAM aims to prevent carbon leakage that would increase greenhouse gas emissions in other countries even with emissions reduction by the EU. It also seeks to prevent the undercutting of the European economy through the delocalization of economic activity in countries with less strict climate laws.⁹² In its current transitional phase, the CBAM requires importer reporting of greenhouse gases embedded in carbon-intensive goods including cement and steel, aluminium, fertilizers, electricity, and hydrogen. The permanent system envisaged to take effect on 1 January 2026 will require the surrender of CBAM certificates with pricing calculated according to European Emissions Trading Scheme (ETS) allowances' weekly average auction prices.⁹³ Credit will be applied against these EU prices to the extent that imported products have already been subject to carbon taxes or an ETS in their exporting countries. The importer will pay the difference.

The EU CBAM will have negative effects on trade for many developing countries including China and India.⁹⁴ It has generated controversy around whether its design allows sufficient flexibility as permitted to states under the Paris Agreement, which recognizes the principle of common but differentiated responsibilities and states' different national circumstances.⁹⁵ The Paris Agreement enables countries to adopt their own pathway towards the Agreement's global goal of 'holding the increase in the global average temperature to well below 2°C above pre-industrial levels and pursuing efforts to limit the temperature increase to 1.5°C above pre-industrial levels'.⁹⁶ The Agreement specifies that each state's nationally determined contribution will reflect its highest possible

joint-statement-on-fossil-fuel-subsidies> and <file:///Users/cfos011/Downloads/Joint+Statement+on+fossil+fuel+s
ubsidies.pdf>

88 Ministerial Statement on Fossil Fuel Subsidies, MC13, Abu Dhabi, WT/MIN(24)/19, 26 February 2024 <<https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q:/WT/MIN24/19.pdf&Open=True>>

89 NZ-UK FTA (n 63) Art 22.8.

90 EU-NZ FTA (n 62) Art 19.7.

91 'Members Discuss Possible TESSD Outcomes for Delivery at MC13' (n 78).

92 Ilaria Espa, 'Reconciling the Climate/Industrial Interplay of CBAMs: What Role for the WTO?' (2022) 116 AJIL Unbound 191.

93 European Commission, *Carbon Border Adjustment Mechanism* <https://taxation-customs.ec.europa.eu?carbon-border-adjustment-mechanisms_en>.

94 Aaron Cosbey, 'Counting Carbon: The Implications of Border Carbon Adjustments on Developing Countries' (Hinrich Foundation, 14 December 2021) <<https://www.hinrichfoundation.com/research/article/sustainable/border-carbon-adjustments/>>. See 'Policy Issues for Dedicated Multilateral Discussions on Border Carbon Adjustment,' Communication from China, 10 November 2023, WT/CTE/W/258, G/C/W/839 G/MA/W/184, G/TBT/W/777.

95 Paris Agreement 2015, opened for signature 22 April 2016, in force 4 November 2016, 3156 UNTS, Art 2(2).

96 *ibid* Art 2(1)(a).

ambition, and progression beyond a state's own previous nationally determined contributions (NDCs), and be informed by the outcomes of Global Stocktakes, including the 2023 Global Stocktake.⁹⁷ It further provides that developed country parties should continue taking the lead by undertaking economy-wide absolute emission reduction targets.⁹⁸ The argument here is that the CBAM errs in international law by adopting EU carbon pricing as set under mechanisms for achieving the EU's Paris Agreement commitments, rather than taking into account that the Paris Agreement commitments of states will differ from those of the EU, and that they may be countries entitled to benefit from the Paris Agreement's flexibility.⁹⁹ The CBAM's default emissions calculation methodology is also contentious. For exporting countries lacking an emissions trading scheme, carbon pricing, or other suitable climate change measures, the CBAM is to be applied on the assumption that production facilities in the exporting country are on a par with their worst performing EU counterparts unless reliable information can be provided to the contrary.¹⁰⁰

The major argument in support of the CBAM is that it will preserve the integrity of the EU's emissions reduction policies which would otherwise be undercut by offshored production in less demanding jurisdictions,¹⁰¹ increasing world greenhouse gas emissions and rendering EU consumers complicit in this.¹⁰² Arguably, other states are not obliged to export to the EU and further are not entitled to do so if this will contravene the EU's environmental policies.¹⁰³ The Paris Agreement envisages that certain countries may take more time than others in their emissions reduction, but this does not mean they are entitled to have their products take up EU market share.¹⁰⁴ In essence, the debate is framed as being about whether the EU should have control over environmental policy in its own market. The trouble is that in a global economy this means others who are economically dependent on that market will bear significant costs.

In the big picture, all trade and climate initiatives at present remain far behind what is needed for worldwide greenhouse gas emissions reduction. Therefore, the CBAM, even if it does require further calibration, must be viewed favourably as a significant move in gearing up the international economy to the present environmental challenges. Further, as the carbon crisis intensifies,

97 *ibid* Art 4.2; 4.3; Art 4.9.

98 *ibid* Art 4(4).

99 See Gracia Marín Durán, 'Securing Compatibility of Carbon Border Adjustments with the Multilateral Climate and Trade Regimes' (2023) 72 ICLQ 72, 73; Ingo Venzke and Geraldo Vidigal, 'Are Trade Measures to Tackle the Climate Crisis the End of Differentiated Responsibilities? The Case of the EU Carbon Border Adjustment Mechanism (CBAM)' (10 January 2022) Amsterdam Law School Legal Studies Research Paper No. 2022–02.

100 Reinhard Quick and Isha Das, 'Guest Post: The EU's CBAM-Regulation Stands in Contrast to Fundamental EU-obligations under the Paris Agreement' (*International Economic Law and Policy Blog*, 19 July 2023) <<https://ielp.worldtradelaw.net/2023/07/guest-post-the-eus-cbam-regulation-stands-in-contrast-to-fundamental-eu-obligations-under-the-paris-.html>> and Reinhard Quick and Isha Das, 'Guest Post: A Reply to Aaron Cosbey's Comment on our CBAM Post' (*International Economic Law and Policy Blog*, 16 August 2023) <<https://ielp.worldtradelaw.net/2023/08/guest-post-a-reply-to-aaron-cosbeys-comment-on-our-cbam-post-from-reinhard-quick-saarland-university.html>>. On the legality of the CBAM, see Geraldo Vidigal and Ingo Venzke, 'Of False Conflicts and Real Challenges: Trade Agreements, Climate Clubs, and Border Adjustments' (2022) 116 AJIL Unbound 202. See also Espa (n 93) (critiquing the CBAM's design in respect of export rebates).

101 Aaron Cosbey, 'Guest Post: EU's CBAM vs. the Paris Agreement: A Response to Quick and Das' (*International Economic Law and Policy Blog*, 1 August 2023) <<https://ielp.worldtradelaw.net/2023/08/guest-post-eus-cbam-vs-paris-agreement-a-response-to-quick-and-das.html>>.

102 See Joanne Scott, 'The Global Reach of EU Law' in Marise Cremona and Joanne Scott (eds), *EU Law Beyond EU Borders: The Extraterritorial Reach of EU Law* (OUP 2019) 21.

103 Cosbey (n 101).

104 Cosbey (n 101).

the extent of effort required of all states under international law relating to climate change increases. This has been recognized for instance under the United Nations Convention on the Law of the Sea.¹⁰⁵ It will also be the case under the customary international law due diligence requirement to prevent significant harm to the environment of other states and areas beyond national jurisdiction.¹⁰⁶ In this context, toleration and even support for unilateral action appears to have increased. For instance, states' decision on the outcome of the first Global Stocktake adopted at the 28th Conference of the Parties to the UNFCCC in Dubai in 2023 noted that 'measures taken to combat climate change, including unilateral ones, should not constitute a means of arbitrary or unjustifiable discrimination or a disguised restriction on international trade'.¹⁰⁷ This contrasts with the statements adopted at the Rio conference in which unilateral action was to be avoided.

There are moves afoot challenging the EU CBAM, including on the part of India. At the same time other WTO members are considering whether they too might design and establish their own CBAMs. The UK has decided to introduce a CBAM. Taiwan has one already. Discussion is taking place in the US. Canada has been considering the matter, while the Australian government has commissioned a carbon leakage review.¹⁰⁸ Scholars have suggested that it may be valuable for small groups of countries to set the pace for a new era in climate diplomacy including through trade measures.¹⁰⁹ Most recently, the G7 Climate Club was launched at COP28 in Dubai, though trade measures are not yet specifically envisaged.

Preferential Trade Agreements

Preferential trade agreements (PTAs) are enabling significantly stronger and more speedy advances in international law and policy than seen so far in the WTO setting.¹¹⁰ For instance, the USMCA¹¹¹ and its predecessor the North American Free Trade Agreement (NAFTA)¹¹² contain arrangements in respect of environmental protection.¹¹³ The USMCA includes a specific chapter on the environment and establishes a North American Commission on Environmental Cooperation. The US filed a first formal complaint against Mexico under the environmental chapter of the USMCA in

105 United Nations Convention on the Law of the Sea, concluded 10 December 1982, in force 16 November 1994, 1833 UNTS 397. International Tribunal on the Law of the Sea, *Request for an Advisory Opinion submitted by the Commission of Small Island States on Climate Change and International Law (Request for Advisory Opinion submitted to the Tribunal)*, Advisory Opinion of 21 May 2024, paras 239–42.

106 *Request to the International Court of Justice for an Advisory Opinion on the Obligations of States in respect of Climate Change*, Written submission of the International Union for Conservation of Nature (IUCN).

107 Outcome of the First Global Stocktake (n 1) para 154.

108 Climate Strategies, 'Bridging the Divide: Assessing the Viability of International Cooperation on Border Carbon Adjustments' (December 2023) <<https://climatestrategies.org/wp-content/uploads/2023/12/Climate-Strategies-Report--Bridging-the-Divide.pdf>>.

109 Makane Moïse Mbengue and Elena Cima, 'Clubbing in the Club: Could Climate-Related Trade Arrangements Set the Pace for Future Climate Cooperation?' (2022) 116 AJIL Unbound 219.

110 Consider the arguments in Pasha L Hsieh, 'Shaping Green Regionalism: New Trade Law Approaches to Environmental Sustainability' (2024) 33 Review of European Community and International Environmental Law 172.

111 Elizabeth Trujillo, 'Climate Change Adjudication in Trade-driven Tribunals' in Panos Delimatsis and Leonie Reins (eds) *Encyclopedia on Trade and Environmental Law* (Edward Elgar 2021) 72 at 81.

112 Trebilcock and others (n 33) 707–14.

113 USMCA (n 82) Chapter 24.

2022,¹¹⁴ even though scholars have remarked on the North American parties' scepticism in respect of formal dispute resolution processes under the USMCA.

The CPTPP addresses an important new range of environmental issues.¹¹⁵ Its Environment Chapter recognizes the importance of multilateral environmental agreements¹¹⁶ and addresses liberalization in environmental goods and services.¹¹⁷ It promotes voluntary mechanisms to enhance environmental performance¹¹⁸ and cooperation for better environmental outcomes.¹¹⁹ It also incorporates important and lengthy provisions on marine capture fisheries (including on subsidies that encourage prohibited fishing),¹²⁰ vessel source pollution,¹²¹ alien invasive species,¹²² trade and biodiversity,¹²³ conservation and trade,¹²⁴ and transition to a low emissions and resilient economy.¹²⁵ A joint Environment Committee is to keep implementation of the chapter's relevant provisions under review. The chapter further refers to corporate social responsibility.¹²⁶ As with the USMCA, there are non-regression commitments.

A particularly notable development is the plurilateral *Agreement on Climate Change, Trade, and Sustainability* (ACCTS) concluded in July 2024. The ACCTS is unique to date as an attempt to generate concrete international legal change, initially among a small group of countries who will be prepared and able to commit ambitiously to the agreement's rules.¹²⁷ The negotiating group comprised New Zealand, Costa Rica, Fiji, Iceland, and Norway, as well as Switzerland. However, unfortunately, Norway was not in a position to participate at the time of the agreement's conclusion. The concept behind the ACCTS is that after a core group have concluded an appropriate agreement, further members will join over time. The content is intended to be dynamic, with the potential to include discrete new trade and climate issues. The conclusion of the ACCTS is a significant achievement. The agreement addresses market access for environmental goods and services, fossil fuel subsidies, and guidelines for voluntary ecolabelling schemes. A possible future New Zealand–Singapore open plurilateral green economy agreement could offer a further example of this type of trade treaty model.

Regional economic institutions are among the important crucibles for the development of political engagement in trade and environment issues both beyond and within the WTO. The 2023 APEC San Francisco Principles on Integrating Inclusivity and Sustainability into Trade and Investment Policy provide an example of how political and other non-binding instruments can

114 See Yukong Wang, 'Free Trade Agreements and Marine Species Sustainability: United States Files Environmental Complaint against Mexico to Protect Vanishing Vaquita' (2022) 7 *Asia Pacific Journal of Ocean Law and Policy* 156.

115 CPTPP (n 81).

116 CPTPP Art 20.4, 20.5.

117 CPTPP Art 20.18.

118 CPTPP Art 20.11.

119 CPTPP Art 20.12.

120 CPTPP Art 20.16.

121 CPTPP Art 20.6.

122 CPTPP Art 20.14.

123 CPTPP Art 20.13.

124 CPTPP Art 20.17.

125 CPTPP Art 20.15.

126 CPTPP Art 20.10.

127 Caroline E Foster, 'The Agreement on Climate Change, Trade, and Sustainability' in Panos Delimatsis and Leonie Reins (eds) *Encyclopaedia on Trade and Environmental Law* (Edward Elgar 2021) 479.

allow for advances that may assist in building momentum for hard law developments.¹²⁸ States' collective regional economic strategies also increasingly incorporate an environmental dimension, often including a subsidies aspect, as seen in the Indo Pacific Economic Framework (IPEF) Pillar III on a green and fair economy,¹²⁹ and with a longer history in the Association of Southeast Asian Nations (ASEAN).¹³⁰ Significantly the 2021 APEC outcome welcomed officials' reports on ways in which member economies could pursue a voluntary standstill on inefficient fossil fuel subsidies.¹³¹

Bilaterally, stand-out instruments include the Australia-Singapore Green Economy Agreement¹³² and various EU agreements, particularly the EU-NZ FTA. The EU is increasingly embedding environment and sustainability aims in its bilateral free trade agreements (FTAs).¹³³ The EU-NZ FTA follows in the footsteps of the EU-Korea FTA, which was the first to include a trade and sustainability chapter, as do the EU-Vietnam and EU-Japan FTAs.¹³⁴ However, the trade and sustainability enforcement mechanisms in the EU-NZ FTA are novel. Even in the 2021 EU-UK Trade and Cooperation Agreement, where specialized collaborative dispute settlement processes apply to cases concerning sustainable development,¹³⁵ there are no specific sanctions for violation of multilateral environmental agreements.¹³⁶ The EU-NZ FTA's sustainability chapter includes commitments to abide by multilateral environmental agreements, labour commitments and gender commitments. Further, the EU-NZ FTA puts in place specific panel processes for disputes arising under the sustainability chapter, in addition to a standard dispute procedure, with sanctions available if non-compliance is determined. Both FTAs also contain further wide-ranging commitments on current environmental concerns.

Although only provisionally in force the EU-Canada Comprehensive Economic and Trade Agreement (CETA) is also a significant advance.¹³⁷ The CETA contains chapters on regulatory cooperation, sustainable development, and the environment, considering sustainable development

128 APEC San Francisco Principles on Integrating Inclusivity and Sustainability into Trade and Investment Policy 2023 <<https://www.apec.org/meeting-papers/leaders-declarations/2023/2023-leaders-declaration>>

129 The substantial conclusion of negotiations was reached on 16 November 2023. See Ministry of Foreign Affairs and Trade of New Zealand, 'Indo-Pacific Economic Framework for Prosperity (IPEF) Overview' <<https://www.mfat.govt.nz/en/trade/free-trade-agreements/free-trade-agreements-under-negotiation/indo-pacific-economic-framework-for-prosperity/ipef-overview/>>

130 Hsu (n 2) 193–95.

131 APEC Ministerial Meeting, Wellington, New Zealand, 9 November 2021 <<https://www.apec.org/meeting-papers/annual-ministerial-meetings/2021/2021-apec-ministerial-meeting#:~:text=Now%20more%20than%20ever%2C%20and,and%20economic%20inclusion%20for%20all>>, paragraph 34.

132 Australia-Singapore Green Economy Agreement, signed on 18 October 2022, in force on 18 October 2022 <[https://www.dfat.gov.au/geo/singapore/singapore-australia-green-economy-agreement#:~:text="](https://www.dfat.gov.au/geo/singapore/singapore-australia-green-economy-agreement#:~:text=)

133 See eg Eline Blot, 'Reflections on the New Approach to the TSD Chapters for Greener Trade: A Rapid Review of the New Approach and Stakeholders' Positions,' February 2023 <https://ieep.eu/wp-content/uploads/2023/02/Reflections-on-the-new-approach-to-the-TSD-Chapters-for-greener-trade_IEEP-2023-1.pdf>; Clara Brandi and Jean-Frédéric Morin, *Trade and the Environment: Drivers and Effects of Environmental Provisions in Trade Agreements* (CUP 2023).

134 Beatriz Pérez de las Heras, 'European Union and New Zealand Free Trade Agreement: Promoting a Global Climate Agenda' (2023) 25 *Araucaria: Revista Iberoamericana de Filosofía, Política, Humanidades y Relaciones Internacionales* 69, 70–71.

135 Young and Clough (n 48) 423.

136 De las Heras (n 134) 76.

137 EU-Canada Comprehensive Economic and Trade Agreement <<https://www.international.gc.ca/trade-commerce/trade-agreements-accords-commerciaux/agr-acc>>

‘for the welfare of present and future generations’¹³⁸ and asserting that trade should promote sustainable development.¹³⁹ The Agreement’s Trade and Sustainable Development Committee will oversee the implementation of this chapter.¹⁴⁰ The Agreement promotes the value of multilateral environmental agreements, and seeks facilitation of trade in environmental goods and services, and lifecycle management of goods including carbon accounting and recycling,¹⁴¹ together with wide-ranging enhanced cooperation on identified trade and environment matters.

Recent UK agreements are also forward-looking. The UK-NZ FTA affirms the parties’ commitments in terms similar to the EU-Japan Economic Partnership Agreement.¹⁴² Under the UK-Australia FTA the parties’ commitments to addressing climate change are cast in only aspirational terms and are unlikely to support a legal claim, although there are provisions for panel processes in case of a party’s failure to enforce environmental laws.¹⁴³

In respect of the US, bilateral US FTAs including the US-Dominica, US-Panama and US-Colombia FTAs focus on the parties’ compliance with their own domestic environmental laws. The model as now seen in the US-Peru FTA, based on earlier experience under NAFTA, is for citizens’ complaints concerning a party’s non-application of its domestic environmental laws to go to a secretariat for submissions on environmental enforcement matters, which then provides information to the parties.¹⁴⁴

In conclusion, scholars have continued to emphasize the value of PTAs as vehicles for climate action, including eliminating or phasing out fossil fuel subsidies, eliminating trade barriers for environmental services especially in the renewable energy sector as well as for sustainably produced goods, and promoting trade in remanufactured goods.¹⁴⁵ There are strong arguments, too, for engagement through PTAs in assisting developing countries toward emissions reduction including through technology transfer and development aid.¹⁴⁶

V Horizons in Dispute Settlement

The freshest development at the trade and environment interface is the use of PTAs to reinforce parties’ obligations under multilateral environmental agreements including the Paris Agreement. As mentioned, the EU-NZ FTA employs this approach embracing the parties’ international legal commitments in respect of labour and gender. The agreement has differentiated panel-based dispute settlement processes for trade and sustainability disputes and other trade disputes.

However, disputes in the WTO based on the traditional mainstream trade disciplines will likely continue to be the primary arena for legal clashes on trade and environment, with cases arising

138 CETA Art 22.1.

139 CETA Art 22.3(2).

140 CETA Art 22.4.

141 CETA Arts 24.3, 24.12(1).

142 Hsu (n 2) 195–96, noting that a number of Digital Economy Partnership Agreements (DEPAs) also incorporate statements committing to trade and sustainability.

143 Young and Clough (n 48) 424 (also noting differences between the UK-Singapore FTA and the UK-Australia FTA.)

144 Pablo Pena, ‘Could a Trade Agreement Strengthen the Enforcement of Domestic Environmental Laws? Envisioning the Impacts of the US–Peru Environmental Submissions Mechanism’ (2023) 32 *Review of European Comparative & International Law* 465, 468.

145 Clara Brandi and others, ‘Trade and Climate Change: How to Design Better Climate-Related Provisions in Preferential Trade Agreements’ *German Institute of Development and Sustainability Policy Brief* 21/2023.

146 Brandi and others (n 145).

under the GATT, GATS, TBT, and SCM in particular.¹⁴⁷ In this context, Article XX GATT titled ‘General Exceptions’ has remained a key anchor point for determining the legality of many environmental trade measures. Replicated in the GATS and widely in PTAs, the provision reflects international trade law’s dominance over environmental law and policy. Its title describes the provisions it contains as ‘exceptions’. Consistent with this, the burden of proof has in practice been allocated to the party relying on them.¹⁴⁸ GATT Article XX General Exceptions provides:

Subject to the requirement that such measures are not applied in a manner which would constitute a means of arbitrary or unjustifiable discrimination between countries where the same conditions prevail, or a disguised restriction on international trade, nothing in this Agreement shall be construed to prevent the adoption or enforcement by any contracting party of measures: . . .

- (b) necessary to protect human, animal or plant life or health; . . .
- (g) relating to the conservation of exhaustible natural resources if such measures are made effective in conjunction with restrictions on domestic production or consumption.

In actuality, the text of Article XX does not read as an exception but clarifies that the types of measure envisaged in this article are outside the scope of the rules and disciplines contained in the GATT as a whole, stating that ‘nothing in this Agreement shall be construed to prevent the adoption or enforcement by any contracting party of measures. . .’.¹⁴⁹ However, the practice is unlikely to change in the near future.¹⁵⁰

The Appellate Body has recognized the Article XX environmental subparagraphs (b) and (g) as having a broad scope.¹⁵¹ Nonetheless, when challenged through WTO settlement, measures recognized as falling within the subparagraphs have frequently failed to qualify under Article XX’s introductory paragraph or *chapeau*.¹⁵² A WTO member adopting an environmental trade measure must take special care in how the measure is designed to make sure that it aligns with all the requirements of the *chapeau*. Meantime cases decided under the Agreement on the Application

147 Analysing the current state of affairs, Harro Van Asselt, ‘Trade and Climate Disputes before the WTO: Blocking or Driving Climate Action?’ in Ivano Alogna, Christine Bakker and Jean-Pierre Gauci (eds) *Climate Change Litigation: Global Perspectives* (Brill 2021) 433.

148 Caroline E Foster, *Science and the Precautionary Principle in International Courts and Tribunals: Expert Evidence, Burden of Proof and Finality* (CUP 2011).

149 Caroline E Foster, ‘The Right to Regulate: An Inherent Power Enjoyed by a Government?’ (2014) 16 European Society of International Law Newsletter <<http://www.esil-sedi.eu/node/92>>.

150 On Art XX(a), which has also been invoked in the sustainability context, see Caroline E Foster, ‘The Problem with Public Morals’ (2019) 10 Journal of International Dispute Settlement 622.

151 See Peter Van den Bossche, ‘WTO Law as a Constraint on Domestic Environmental Policy: An Overview’ in Panos Delimatsis and Leonie Reins (eds) *Encyclopaedia on Trade and Environmental Law* (Edward Elgar 2021) 40–42. See also Trebilcock and others (n 33) 682–84.

152 See, for instance, in *United States—Standards for Reformulated and Conventional Gasoline*, Report of the Appellate Body, 29 April 1996, WT/DS2/AB/R, WT/DS4/AB/R, DSR 1996:I, 3; *United States—Import Prohibition of Certain Shrimp and Shrimp Products*, Report of the Appellate Body, 12 October 1998, WT/DS58/AB/R, DSR 1998:VII, 2755; *Brazil—Measures Affecting Imports of Retreaded Tyres*, Report of the Appellate Body, 3 December 2007, WT/DS332/AB/R, DSR 2007:IV, 1527; *European Communities—Measures Prohibiting the Importation and Marketing of Seal Products*, Reports of the Panel, 25 November 2013, WT/DS400/R, WT/DS401/R, DSR 2014:II, 365.

of Sanitary and Phytosanitary Measures (SPS Agreement) have produced a specialized jurisprudence attuned to relevant provisions.¹⁵³ Finally, the WTO Appellate Body, before its operation was suspended, addressed also a suite of disputes arising under the Agreement on Technical Barriers to Trade (TBT Agreement). The Appellate Body has held that the TBT Agreement's Article 2.2 non-discrimination rule is breached only if a measure's detrimental impact on imported products' competitive opportunities does not stem exclusively from a legitimate regulatory distinction. Legitimate objectives include those listed in the Agreement: national security requirements, the prevention of deceptive practices, and the protection of human health or safety, animal or plant life or health, or the environment.¹⁵⁴ In principle, the Appellate Body's decisions in this sphere have offered a persuasive reconciliation of combined trade and environmental policy demands. Unfortunately, criticism of this jurisprudence was a factor in the politics that put the Appellate Body out of action.

New challenges lie on the horizon for dispute settlement bodies in the WTO and under PTAs, including in relation to the interpretation of Article XX. The enduring legal framework of Article XX continues to provide at least a consistent basis for evaluating measures taken to address the world's increasingly pressing environmental needs. Most importantly, though, states need to commit to developing new mechanisms like those analysed in this chapter to make the necessary progress on trade and environment, and this needs doing now.

Conclusion

Trade and environment initiatives suitably designed for the 21st century could produce a radically greener global economy. The international trade system should play its part in helping the world to avoid the economic and physical dispossession and instability that climate change and ecosystem disruption will provoke. Increased forward momentum in trade policy is needed as soon as practicable.¹⁵⁵ The International Tribunal on the Law of the Sea's determination that greenhouse gas atmospheric concentrations constitute 'pollution' of the oceans, and that states are required under the United Nations Convention on the Law of the Sea to address the matter, is an important wake up call, as are the proceedings in the International Court of Justice's *Advisory Opinion on Obligations of States in respect of Climate Change*.

Historically, international trade rules have constituted the centre of gravity around which environmental policies have long been required to revolve, and environmental objectives have been considered external to economic aims. Now we are moving into a new era in international trade law calling for multilateral, plurilateral, and unilateral action. This needs to be combined with major new initiatives in the private sector and in government procurement as well as ensuring knowledge and technology transfer, capacity building, and finance flows. Simultaneously, states must attend to development concerns in the context of environment-related policy proposals and trajectories. In achieving all this, trade rules will begin to respond to the environmental realities for which we are headed and take important steps toward promoting the political stability needed for thriving international economic relations.

¹⁵³ Van den Bossche (n 151) 35–36; see also Foster (n 150).

¹⁵⁴ Agreement on Technical Barriers to Trade, Article 2.2.

¹⁵⁵ IPCC AR6 Synthesis Report *Climate Change 2023* <<https://www.ipcc.ch/report/ar6/syr/>>.

17

DIGITAL TRADE

David Collins

I Introduction

Among the fastest growing facets of international economic law in recent years is surely digital trade governance. As the internet matured into the 21st century and with it the advent of the key enabling technologies of smart phones and big data, the capacity to conduct business digitally across international borders escalated at an unprecedented pace. In the US, the digital economy accounted for \$3.7 trillion of gross output in 2021, more than 10% of gross domestic product (GDP).¹ While trade in goods remains physically constrained by the capacity of shipping containers and ports, the transactions which underpin it have been supercharged by digitization, eliminating the need for paper contracts and documentation such as invoices and customs declarations. Even more so than trade in goods, trade in services is naturally attuned to the digital sphere of telecommunication. Accelerated by the exigencies of the COVID-19 pandemic, many forms of human interaction upon which services industries are based may now be delivered seamlessly online. Digital trade in services has increased four-fold since 2005 and 12% in 2022 alone, now comprising more than half of all services trade worldwide.² By some estimates, the digital economy contributes more than 15% of global GDP and in the past decade has been growing at two and half times faster than physical world GDP.³

While sometimes policymakers manage to anticipate trends in society and regulate them in advance,⁴ in the case of digital trade, international economic law as it is conventionally understood has widely lagged behind. This is especially true in the case of multilateral responses from the World Trade Organization (WTO), where negotiations on the plurilateral Joint-Statement Initiative (JSI) on e-commerce resulted in a stabilised text in July 2024. At the time of writing, the US has withdrawn its proposals from the JSI, a worrying sign for those in favour of the widest possible adoption of liberalizing rules in this sphere. Bilateral arrangements, which are easier to reach

1 US Bureau of Economic Analysis (Nov 2022) <<https://www.bea.gov/data/special-topics/digital-economy>>

2 WTO, 'Global Trade Outlook and Statistics' (5 April 2023).

3 'Digital Trust: How to Unleash the Trillion Dollar Opportunity for Our Global Economy' World Economic Forum (17 August 2022) citing an unspecified World Bank study.

4 Artificial Intelligence may be a suitable example here, although this remains to be seen.

because of their fewer number of participants, have been markedly more successful and thus more conducive to dynamism in the field. If it is true that multilateralism is in decline, the management of digital trade is perhaps the strongest example of where a more fragmented approach has gained ground.

As with many trends in the global economy in recent years, digital trade has also witnessed a rise in protectionism. Concern for privacy, cultural diversity, and the need for cybersecurity has prompted a number of countries to reassess their commitments to free flow of data. Excessively restricted regulation at the national level runs the risk of creating ‘data islands,’ forestalling the benefits of digital trade such as access to services like education and finance as well as global supply chains.⁵

Traditionally whenever protectionism, that is to say regulatory barriers that impede international trade, rears its head, international economic law has attempted to provide solutions, ideally by striking a balance between productive liberalization and safeguarding of the social and cultural values which trade barriers have sought to protect. This chapter will accordingly examine some of the main features of the nascent international economic landscape covering digital trade. As with many aspects of international economic law, it is treaties, not custom or general principles, which have paved the way in establishing the international legal framework which governs digital trade. This has been done via dedicated chapters in bilateral and regional instruments notably the Comprehensive Progressive Trans-Pacific Partnership (CPTPP) a 12-nation trade bloc centring on the Pacific and comprising roughly 15% of global GDP and the United States–Mexico–Canada Agreement (USMCA), which accounts for 30% of global GDP. Some reference will also be made to the Regional Comprehensive Economic Partnership (RCEP) a new 15-member trade pact amounting to 30% of global GDP and 30% of the global population, making it the largest trade bloc in history. This chapter will also pay close attention to the digital-only Digital Economy Partnership Agreement (DEPA) between Singapore, Chile, New Zealand, and South Korea, which, although minute economically by comparison, illustrates some of the key innovations in the sphere of digital trade regulation, plausibly illuminating a path forward in this important, dynamic sphere of economic activity. This chapter will explore some of the key legal challenges which these instruments have attempted to address, concluding with some brief thoughts on possibly emerging “norms,” which, at a highly generalized level, may characterize how rule-making in digital trade has been designed.

II The Scope of Digital Trade

Before turning to the legal issues arising in digital trade, it is important first to deal with a definitional issue that features prominently in this field of international economic law: the distinction (false or real) between electronic commerce and digital trade. Electronic commerce, or e-commerce, is a term often used interchangeably with digital trade. For this author, it may more analytically useful to think of e-commerce as governing the private, business-to-business transactional element of digital trade, whereas digital trade is an umbrella topic which encompasses the obligations incurred by states governing commerce conducted digitally. More simplistically, in some cases the terms may be used synonymously, for example, the USMCA contains a chapter on ‘digital trade,’ whereas the CPTPP uses ‘e-commerce’ for its substantively very similar chapter. The present author prefers the term ‘digital trade’ as it is the one which fits more neatly into the field of international economic law as a branch of public, rather than private, international law.

5 Z Fan and A Gupta, ‘The Dangers of Digital Protectionism’ *Harvard Business Review* (30 August 2018).

Another more nuanced distinction between the two phrases suggests that e-commerce refers to rules regarding digitally enabled electronic commerce whereas digital trade refers to trade in data itself as well as other digital assets.⁶ These two categories raise a different set of legal challenges. For e-commerce, the main challenge has been described as one of *norm-equivalence*; rule-makers seek to ensure that the same conventions governing traditional trade also apply to trade that has been enabled through technology. In contrast, trade in digital assets is an entirely new phenomenon. The main challenge it creates is one of *norm-creation*: policymakers must decide how to regulate the newly emerging practice of trade in data.⁷

Increasingly, data governance has emerged as its own distinct field within, and in some respects respect apart from, digital trade. This may be another primarily semantic distinction. Clearly all digital trade involves data and international law is an aspect of governance. However, arguably governance is multilayered and in addition to international data governance, there is domestic and regional data governance. International data governance comprises rules but lacks accompanying implementation/supervisory body. By contrast, regional and domestic data governance encompass distinct legal frameworks and institutional administration of rules.⁸

The related concept of data protection typically refers to a specific variety of data—that belonging to individuals, as distinct from government data or data which is broadly publicly availability. This terminology belies yet another reality, that in a sense all trade, as in commercial dealings between businesses and consumers, has become digital or data-driven in one way or another, making the adjective ‘digital’ or ‘electronic’ redundant. The shift away from cash has only reinforced this truth. In other words, as technology progresses, the concept of digital trade has become diluted to the point that it has begun to lose coherence as a distinct body of analysis for legal academics. Data protection is also one of the rationales for an encroaching protectionism in digital trade.

II Digital Trade in Preferential Trade Agreements (PTAs)

The use of preferential trade agreements (PTAs) to respond to the rapidly growth of digital trade may be due to the slow pace at which the WTO has approached digital trade. This is not to suggest that the WTO has been inactive. The WTO’s Declaration of Global Electronic Commerce was at least responsive to global trends when it was issued in 1998, if not ahead of them. The WTO’s Joint-Statement Initiative on E-Commerce, negotiations of which are ongoing and expected to conclude in mid-2024, seeks to secure common ground in relation to some of the basic legal principles of digital trade. These include a moratorium on customs duties on digital transactions and online consumer protection. The lack of real progress in digital trade to date at the multilateral level is also reflected in the failure of WTO members to update their General Agreement on Tariffs and Trade (GATS) schedules to capture modern services, often yielding interpretive difficulties for WTO panels.⁹ Many such schedules were drafted in the mid-1990s long before the era of big data and mobile technology enabled mass telecommunication.

6 See generally W Alschner, ‘E-Commerce or Digital Trade? Why the Difference Should Matter to Trade Lawyers’ in D Collins and M Geist (eds), *Research Handbook on Digital Trade* (Edward Elgar 2023).

7 See generally Alschner (n 6).

8 There are numerous databases which track national regulations concerning digital trade. Increasing restrictiveness towards digital trade has been generally observed. See e.g. European University Institute (EUI): The Digital Trade Integration Project; University of St. Gallen: Global Trade Alert and Digital Policy Alert; Organisation for Economic Co-operation and Development: Digital Services Trade Restrictiveness Index Regulatory Database.

9 See e.g. *Electronic Payment Systems in China—Certain Measures Affecting Electronic Payment Services* (WT/DS413/R) (16 July 2012).

The Australia-Singapore FTA of 2003¹⁰ was the first treaty to have a dedicated chapter on e-commerce. The number of PTAs dealing with digital trade issues has increased significantly, with more than 370 concluded since 2000.¹¹ Digital trade provisions are included in more than 40% of all PTAs concluded between 2011 and 2021. Two-thirds of the WTO members are party to a PTA with e-commerce-related provisions.¹² As of mid-2022, 57% of the PTAs with digital trade provisions were negotiated between developed and developing countries and 35% between developing countries. Developed countries concluded only 8% of the agreements with e-commerce provisions.¹³ This trend reflects the reality that barriers to digital trade may be more associated with developed countries, perhaps because issues such as privacy and cybersecurity are greater concerns in these societies.

Over time PTAs granting favourable treatment to parties have become more complex, covering multiple policy areas. It is arguable that the rapidly changing nature of digital trade driven by new technologies has necessitated a higher degree of policy flexibility than in traditional trade areas. This has made inclusion of digital elements into conventional trade agreements, let alone into multilateral instruments, more problematic. This is a major reason that digital-only agreements, known as digital economy agreements (DEAs) have begun to appear, illustrating a preference for signatories to segregate digital issues from other classic trade areas, such as trade remedies or tariffs. The US-Japan Digital Trade Agreement of 2019 was the first DEA to be concluded. Singapore has concluded several DEAs, establishing itself as a world-leader in the field.¹⁴ DEAs embody greater specialization, omitting many of the classic fields of economic integration associated with PTAs, such as tariffs and market access for services. Whether DEAs qualify as valid PTAs under WTO law, exempting them from the most-favoured nation obligation under GATS Article V, is debateable. Since DEAs likely only cover one of the four modes of supply of services (Mode 1, cross-border), then they probably do not have ‘substantial sectoral coverage’ as required by GATS Article V:1 a).

Two key trade mega-regional trade agreements are broadly indicative of the maturing era of digital trade as a feature of international economic law: the CPTPP and the USCMA.¹⁵ These treaties notably lack the participation of the world’s second and third largest economies: the European Union (EU) and China, both of which have distinct approaches to the regulation of data as it crosses international borders. For its part, the EU only recently adopted a more modern stance towards the regulation of digital trade, comparable to that of the CPTPP. It is one that emphasizes the safeguarding of personal data. The new EU approach towards cross-border data can be found in the EU’s currently negotiated deals with Australia and Tunisia as well as the 2022 agreement with New Zealand. While these FTAs’ digital trade chapters include commitments on the free flow of data and data localization bans, the EU subjects these to data protection.¹⁶

10 Australia-Singapore FTA, Ch. 14.

11 M Burri and R Polanco, ‘Digital Trade Agreements in Preferential Trade Agreements: Introducing a New Dataset’ 23 *Journal of International Economic Law* (2020) 1–34.

12 I Willems, *Digital Services in International Trade Law* (CUP 2021) at 311.

13 See generally R Polanco, ‘Three Generations of Digital Trade Provisions in Preferential Trade Agreements’ in D Collins and M Geist (eds), *Research Handbook on Digital Trade* (Edward Elgar 2023).

14 See e.g. Singapore-Korea (2021), Singapore Australia (2020), Singapore-UK (2022).

15 See generally M Burri, ‘Digital Trade Rulemaking in Free Trade Agreements’ in D Collins and M Geist (eds), *Research Handbook on Digital Trade* (Edward Elgar 2023).

16 See European Commission, Horizontal Provisions for Cross-Border Data Flows and for Personal Data Protection in EU Trade and Investment Agreements, February 2018 <https://trade.ec.europa.eu/doclib/docs/2018/may/tradoc_156884.pdf> accessed November 2023.

China has signed few PTAs with digital trade provisions. The only instruments with standalone chapters in this area are the two China signed with Korea and Australia in 2015,¹⁷ as well as the recently upgraded PTAs with Chile¹⁸ and Singapore¹⁹ and the mega-regional RCEP.²⁰ Unlike US PTAs, which often include provisions on free flow of data and ban on data localization requirements, China's digital trade commitments only govern classic e-commerce-related issues, such as moratorium on customs duties on electronic transmission, electronic authentication and electronic signature, protection of personal information in e-commerce, and paperless trading.²¹ China was initially reluctant to join the WTO JSI negotiation on e-commerce but more recently has begun to contribute to these discussions, becoming one of the more active participants. This policy shift is thought to be the result of China's realization that the JSI is crucial to its rule-making power in e-commerce and the digital economy.²²

Turning to the scope of the digital trade sections of major PTAs, the CPTPP's e-commerce chapter applies 'to measures adopted or maintained by a Party that affect trade by electronic means'²³ but excludes from this broad scope (1) government procurement and (2) information held or processed by or on behalf of a party, or measures related to such information, including measures related to its collection.²⁴ This reflects a familiar divide in international economic law between private and government commerce, the latter of which tends to be excluded from full liberalization (for example, in the GATS). Measures affecting the supply of a service delivered or performed electronically are subject to the obligations contained in the relevant provisions on investment and services;²⁵ some additional exceptions are also specified.²⁶

USMCA parties recognize that facilitating public access to, and use of, government information fosters economic and social development, competitiveness, and innovation. Under the agreement, 'To the extent that a Party chooses to make government information, including data, available to the public, it shall endeavour to ensure that the information is in a machine-readable and open format and can be searched, retrieved, used, reused, and redistributed.'²⁷ USMCA parties further signal their intent to cooperate to 'expand access to and use of government information, including data, that the Party has made public, with a view to enhancing and generating business opportunities, especially for small and medium-sized enterprises.'²⁸ The cooperation provision of the

17 H Gao, 'E-Commerce in ChAFTA: New Wine in Old Wineskins?' in C Piker and others (eds), *The China Australia Free Trade Agreement: A 21st-Century Model* (Hart Publishing 2018).

18 Protocol to Amend the Free Trade Agreement and the Supplementary Agreement on Trade in Services of the Free Trade Agreement Between the Government of the People's Republic of China and the Government of the Republic of Chile (2017) <http://fta.mofcom.gov.cn/chiletwo/xieyi/bcyds_en.pdf>, at Chapter 4.

19 Protocol to Upgrade the Free Trade Agreement between the Government of the People's Republic of China and the Government of the Republic of Singapore (2018) <https://www.enterprisesg.gov.sg/-/media/ESG/Files/Non-Financial-Assistance/For-Companies/Free-Trade-Agreements/CSFTA/Legal-Text/Appendix6_E-Commerce_Chapter.pdf>, at Appendix 6, New Chapter 15.

20 Chapter 12 on E-Commerce.

21 H Gao, 'Digital or Trade? The Contrasting Approaches of China and US to Digital Trade' (2018) 21 *Journal of International Economic Law* 297.

22 See generally H Gao, 'China and WTO E-Commerce Negotiations' in D Collins and M Geist (eds), *Research Handbook on Digital Trade* (Edward Elgar 2023).

23 Article 14.2(2) CPTPP.

24 Article 14.2(3) CPTPP.

25 Article 14.2(4) CPTPP.

26 Article 14.2(5) and (6) CPTPP.

27 Article 19.18(2) USMCA.

28 Article 19.8(3) USMCA.

USMCA goes beyond the CPTPP,²⁹ contemplating an institutional setting to enable this cooperation.³⁰ The emphasis here appears to be on the dissemination of data in the possession of the state as widely as possible, recognizing that access to data, collected at public expense, can be a social good which can enhance commercial interactions by identifying efficient suppliers and consumers and refine pricing.

III Core Issues

This section will now examine the main legal issues found in digital trade/electronic commerce chapters of PTAs, drawing upon CPTPP, USMCA, and RCEP provisions as illustrative examples of emerging treaty practice.

i Elimination of Customs Duties on Electronic Transmissions and Non-Discrimination

As noted earlier, increasing data restrictiveness, with negative repercussions on economic prosperity, has become apparent.³¹ In effort to combat this trend in favour of wealth-enhancing liberalization, the e-commerce chapter of the CPTPP states: ‘No Party shall impose customs duties on electronic transmissions, including content transmitted electronically, between a person of one Party and a person of another Party.’³² This provision is circumscribed by the statement that it does ‘not preclude a Party from imposing internal taxes, fees or other charges on content transmitted electronically,’³³ enabling signatories to apply digital services taxes, which many states intend to impose to address perceived tax avoidance by large technology companies.³⁴

Article 19.11 of the USMCA outlines that parties can adopt or maintain a measure inconsistent with the free flow of data requirements, if this is necessary to achieve a legitimate public policy objective, provided that there is no arbitrary or unjustifiable discrimination nor a disguised restriction on trade; and the restrictions on transfers of information are not greater than necessary to achieve the objective.³⁵ This provision is built upon familiar GATT general exceptions language. Relevant GATT/GATS general exceptions jurisprudence may act as an interpretive aid to this exception in the event of an arbitral challenge. It is noteworthy to add that the ban on customs duties on electronic transmissions is perhaps the most fundamental of all in the field of digital trade. It was maintained multilaterally by the WTO in 2022, although there is no reason to assume that this will be permanent.

29 The provision envisages the exchange of experience on personal information protection with the view to strengthening existing international mechanisms for cooperation in the enforcement of laws protecting privacy. See Article 19.14(1) USMCA.

30 Article 19.14(2) USMCA.

31 M Ferracane, ‘The Costs of Data Protectionism’ in M Burri (ed), *Big Data and Global Trade Law* (CUP 2021) at 66.

32 Article 14.3.1 CPTPP.

33 Article 14.3.2 CPTPP.

34 See generally D Collins, ‘The Compatibility of Digital Services Taxes with World Trade Organization (WTO) Law’ in D Collins and M Geist (eds), *Elgar Research Handbook on Digital Trade* (Edward Elgar 2023).

35 Article 19.11(2) USMCA. There is a footnote which states: ‘a measure does not meet the conditions of this paragraph if it accords different treatment to data transfers solely on the basis that they are cross-border in a manner that modifies the conditions of competition to the detriment of service suppliers of another Party.’ This footnote does not appear in the CPTPP.

CPTPP further contains a comprehensive non-discrimination provision: ‘No Party shall accord less favourable treatment to digital products created, produced, published, contracted for, commissioned or first made available on commercial terms in the territory of another Party, or to digital products of which the author, performer, producer, developer or owner is a person of another Party, than it accords to other like digital products.’³⁶ This obligation does not apply to subsidies, setting out a potentially far-reaching limitation, particularly since the WTO Subsidies and Countervailing Measures agreement does not cover subsidies afforded to services. As with classic trade in goods under GATT, the CPTPP conceives the MFN treatment as central to the functioning of the bloc. Again, the application of the ‘likeness’ test at the heart of this standard will inevitably deploy WTO/GATT jurisprudence in the event disputes arise.

For some, WTO non-discrimination principles are incapable of coping with the heterogeneity of state approaches to the regulation of the digital economy. If regulatory frameworks on data differ widely, disparities in policies will segment markets and may exclude foreign firms based in countries with regulatory frameworks that are deemed inadequate by importing states. This inevitably leads to the fragmentation of the digital trade landscape.³⁷ In one sense this may be a welcome development, as regulatory competition in the digital economy can work to establish best-practices, stimulating innovation and discouraging one-size-fits-all approaches which may entrench inefficiencies. At the same time, disproportionate restrictiveness has the potential to generate or exacerbate inequalities, with some people and firms facing greater barriers to accessing the benefits of digital trade than others—a phenomenon once associated with lags in technology and sometime described as the ‘digital divide.’³⁸ This facet of digital trade appeals to scholars interested in issues of distributive justice and equality.³⁹

ii Prohibition on Data Localization

Rules regarding the treatment of data are now a central element of digital trade chapters of PTAs, many of which seek to control data protectionism. In this regard, the CPTPP replaces the soft language from the earlier US–South Korea FTA on free data flows, setting a hard rule: ‘[e]ach Party shall allow the cross-border transfer of information by electronic means, including personal information, when this activity is for the conduct of the business of a covered person.’⁴⁰ This issue often falls under the heading of ‘location of computing facilities’ and is sometimes accompanied by a concession that parties recognize that signatories to digital trade agreements may have their own regulatory requirements regarding the use of computing facilities, including those aiming to ensure the security and confidentiality of communications.⁴¹ Most digital trade agreements then go on to prohibit parties from requiring businesses or persons from locating computing facilities

36 Art 14.4.1 CPTPP.

37 SJ Evenett, J Fritz and T Giardini, ‘Deterring Digital Trade Without Discrimination’ (2023) 117 AJIL Unbound 104 (arguing that regulatory heterogeneity can be a de facto trade deterrent and thus stressing the importance of regulatory coherence, e.g. through mutual recognition of regulatory frameworks).

38 UN Deputy Secretary-General Press Release, ‘With Almost Half of World’s Population Still Offline, Digital Divide Risks Becoming “New Face of Inequality,”’ Deputy Secretary-General Warns General Assembly, UN Doc. DSG/SM/1579 (27 April 2021).

39 E.g. J van Dijk, *The Digital Divide* (Polity 2019).

40 Article 14.11(2) CPTPP.

41 Article 14.13.1 CPTPP.

in that party's territory as a condition of conducting business in that territory.⁴² This includes servers—computing devices that store and receive information, including that which crosses international borders. It is interesting that, despite the ethereal nature of the internet, computer facilities handling digital information function as an effective anchor to physical space, tying associated economic activity to a particular jurisdiction. This resembles the way in which conflicts of law rules employed concepts such as place of contract or place of performance to establish jurisdiction over international transactions.

Some countries, such as India and China, have resisted this prohibition because of the security risk of having certain kinds of data stored outside national borders—an issue which will be discussed further here. Although the RCEP's electronic commerce chapter includes a ban on localization measures,⁴³ as well as a commitment to free data flows,⁴⁴ there are clarifications that appear to accord RCEP signatories much more policy space than in the CPTPP or USMCA, in some respects unravelling the value of the data localization. For example, there is an exception for legitimate public policies⁴⁵ which states: 'For the purposes of this subparagraph, the Parties affirm that the *necessity* behind the implementation of such legitimate public policy *shall be decided* by the implementing Party.' This operates as a self-judging assessment, essentially undoing the objective element associated with WTO general exceptions. Unlike GATT XX-style general exceptions, RCEP Article 12.15 on cross-border transfer of information follows the same broad language, enabling parties to control data flows without further justification. The essential security exception of RCEP is also framed in this self-judging language (more standard practice for essential security) adding the phrase 'Such measures shall not be disputed by other Parties,'⁴⁶ underscoring the sentiment that these kinds of measures are not to be challenged. It needs mentioning that national security can operate as a barrier to liberalization in the field of digital trade, much as it does in other spheres of international economic law.

iii Consumer Protection

The issue of consumer protection has triggered the attention of policymakers since the internet era took hold in the 1990s. This was predicated on the notion that consumers were at risk when engaging in faceless transactions, especially international ones. Although new kinds of risks have emerged, the need for protecting consumers remains a fundamental feature of digital trade law. Rather than mandate rules in this area, the relevant chapter of the USMCA emphasizes party autonomy, requiring: 'Each Party shall adopt or maintain consumer protection laws to proscribe fraudulent and deceptive commercial activities that cause harm or potential harm to consumers engaged in online commercial activities.'⁴⁷ It is now common for digital trade PTAs to contain an obligation on parties to adopt measures to protect consumers from unsolicited commercial 'spam' email.⁴⁸ RCEP signatories also commit to adopt or maintain laws or regulations regarding online

42 E.g. Article 19.12 USMCA.

43 Article 12.14 RCEP.

44 Article 12.15 RCEP.

45 Article 12.14.3(a) and footnote RCEP.

46 Emphasis added. The 'essential security interest' language has been endorsed by China also in the framework of the WTO JSI negotiations.

47 Article 19.7.2 USMCA.

48 E.g. Article 19.13 USMCA.

consumer protection,⁴⁹ unsolicited commercial electronic messages,⁵⁰ and a framework governing electronic transactions that takes into account international instruments,⁵¹ as well as commit to transparency.⁵² Concern for safeguarding the interests of vulnerable consumers engaging in online transactions underpins much of the modern focus on data protection, although the latter has imbued elements of privacy and identity which were mostly immaterial in 1990s.

iv Electronic Contracting and Paperless Trading

With regard to electronic contracting, the CPTPP sets out binding obligations for the parties to follow the principles of the UNCITRAL Model Law on Electronic Commerce 1996⁵³ or the UN Convention on the Use of Electronic Communications in International Contracts.⁵⁴ Both instruments aimed to adapt traditional rules governing paper-based contracts to those formed through e-mail. As such, parties to the CPTPP must endeavour to (1) avoid any unnecessary regulatory burden on electronic transactions and (2) facilitate input by interested persons in the development of its legal framework for electronic transactions.⁵⁵ It is common for digital trade PTAs to ensure that parties do not deny the validity of a signature solely on the basis that it is in electronic form.⁵⁶ Capturing the ethos of mutual recognition, digital trade instruments also tend to require parties to encourage the use of ‘interoperability’ in electronic authentication.⁵⁷ There is growing support for digital trade facilitation through electronic means to lower the cost of cross-border trade. A study by the International Chamber of Commerce and the WTO found that fewer than 1% of trade documents are fully digitized, with the average transaction requiring more than 36 hard copy documents.⁵⁸ It is therefore encouraging that countries such as the UK are beginning the transition towards accepting digital customs documentation.⁵⁹ Signing PTAs containing digital trade facilitation obligations is almost certainly playing a part in this transition. It is noteworthy that commitments on paperless trading are not found in all digital trade PTAs. For example, the RCEP lacks binding commitments in this area. Parties instead commit to ‘work toward,’ ‘endeavour,’ or ‘cooperate’ in these areas.⁶⁰ The provisions on accepting the validity of electronic signatures are somewhat more binding but, unlike the CPTPP and USMCA, enable domestic laws and regulations to prevail in case of inconsistency.

49 Article 12.7 RCEP.

50 Article 12.9 RCEP

51 Article 12.10 RCEP

52 Article 12.12 RCEP

53 United Nations Commission On International Trade Law (UNCITRAL) Model Law on Electronic Commerce, adopted on 12 June 1996, 36 ILM 197 (1997).

54 UN Convention on the Use of Electronic Communications in International Contracts, UN Doc. A/60/21, Annex, adopted by the United Nations General Assembly on 23 November 2005, in force 1 March 2013.

55 Article 14.5(2) CPTPP.

56 E.g. Article 19.6 USMCA.

57 Article 19.6.4 USMCA.

58 <<https://iccwbo.org/news-publications/news/icc-and-wto-launch-first-ever-standards-toolkit-for-paperless-trade/>> accessed September 2025.

59 UK Electronic Trade Documents Act, 2023 c. 38.

60 Article 12.5 RCEP.

IV Personal Data

The protection of personal data is a fundamental pillar of digital trade governance, operating perhaps as the most significant barrier to the free flow of data for commercial means. It remains a core pre-occupation of the EU but is central in the digital trade chapters of many other states. The USMCA sets out that parties ‘shall adopt or maintain a legal framework that provides for the protection of the personal information of the users of digital trade. In the development of this legal framework, each Party should take into account principles and guidelines of relevant international bodies.’⁶¹ Once again prioritizing party autonomy in reaching desired objectives rather than proscriptive rules, the CPTPP enables its parties to take their own approach to the protection of personal information focusing on compatibility between different regimes. It lists mechanisms which can serve this end including: ‘the recognition of regulatory outcomes, whether accorded autonomously or by mutual arrangement, or broader international frameworks. To this end, the Parties shall endeavour to exchange information on any such mechanisms applied in their jurisdictions and explore ways to extend these or other suitable arrangements to promote compatibility between them.’⁶² This approach conforms with the view, held by many, that data regulation should be crafted first at the domestic level as part of a national strategy for data governance, only then moving towards the interoperability of standards, rather than harmonization at the international level.⁶³

Data protection is a component of the CPTPP’s ‘legitimate public policy objectives’ which may restrict free flow of data as long as they are not ‘applied in a manner which would constitute a means of arbitrary or unjustifiable discrimination or a disguised restriction on international trade.’⁶⁴ Going beyond the WTO general exceptions format, the CPTPP also requires that the measure ‘does not impose restrictions on transfers of information greater than are required to achieve the objective.’⁶⁵ The scope of the exception is unclear and could create legal uncertainty for policymakers in signatory states. The CPTPP exceptions may not offer as much policy space for issues like data protection as once thought—there is actually rather limited flexibility since they are likely to face strict scrutiny, if the GATS experience is any indication.⁶⁶ Some hold that broad data flow commitments under instruments like the CPTPP and the USMCA, as discussed earlier, could severely restrict signatories’ domestic data policy objectives, leaving little room to protect individuals’ privacy.⁶⁷

The EU permits data flows only if coupled with the high standards of its General Data Protection Regulation (GDPR)⁶⁸ and endorses privacy as a fundamental right. In EU PTAs there is a broad carve-out safeguarding signatories’ ‘right to regulate within their territories to achieve

61 Article 19.8.2 USMCA (referring to the APEC Privacy Framework and the OECD Recommendation of the Council concerning Guidelines governing the Protection of Privacy and Transborder Flows of Personal Data.)

62 Article 14.8.5 USMCA.

63 S Aronson, ‘Data is Different So Policymakers Should Pay Close Attention to Its Governance’ in M Burri (ed), *Big Data and Global Trade Law* (CUP 2021) at 354.

64 Art 14.11.3a) CPTPP.

65 Art 14.11.3 b) CPTPP.

66 P Lablond, ‘Uploading the CPTPP and USMCA Provisions into the WTO Digital Trade Negotiations Pose Challenges for National Data Regulation’ in M Burri (ed), *Big Data and Global Trade Law* (CUP 2021) 308.

67 *ibid* 312.

68 Regulation 2016/679 of the European Parliament and of the Council of 27 April 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation), OJ 2016 L 119/1 [hereinafter GDPR].

legitimate policy objectives’ of which privacy and data protection are merely one objective.⁶⁹ This exception also fundamentally differs from the objective necessity test under the CPTPP and the USMCA, or that under WTO law, because it is essentially subjective.⁷⁰ A rights-based construction of privacy, as opposed to a more economic one, constitutes a significant challenge to the search for global standards or the workability of data localization.⁷¹ These varied approaches to the salience of privacy capture the tension, born by policymakers, between allowing data to flow freely across borders while maintaining a high degree of trust, for which strong data protection is an essential element.⁷² The management of personal data underpinning cross-border commercial transactions in goods and services represents one of the most significant points of contention in international economic law.

V New Frontiers

Digital PTAs containing entirely new topics which do not correspond readily to traditional legal concepts have been described as ‘third generation’ digital trade agreements.⁷³ Here the aforementioned distinction between norm-equalizing rules of e-commerce and norm-creating rules of digital trade⁷⁴ is at its sharpest. This section briefly considers some of the emerging issues.

The protection of source code is a compelling new facet of international digital trade rules. Under Article 14.17 of the CPTPP, a party ‘may not require the transfer of, or access to, source code of software owned by a person of another Party as a condition for the import, distribution, sale or use of such software, or of products containing such software, in its territory.’ The prohibition applies only to mass-market software or products containing such software.⁷⁵ Tailor-made products are therefore excluded, as is software used for critical infrastructure and those in commercially negotiated contracts.⁷⁶ The aim of this provision is to protect software companies and address their concerns about loss of their intellectual property (IP). It could also be viewed as a response to China’s demands to access to source code from software producers selling in its market.⁷⁷ Article 19.16 of the USMCA extends this ban on transfer to algorithms, which it defines as ‘a defined sequence of steps, taken to solve a problem or obtain a result.’⁷⁸

Breaking further new ground, the USMCA also recognizes the vital importance of ‘interactive computer services.’ Here parties pledge in not to ‘adopt or maintain measures that treat a

69 Other areas include: the protection of public health, social services, public education, safety, the environment including climate change, public morals, social or consumer protection, or the promotion and protection of cultural diversity: see e.g. Article 2 draft EU–Australia FTA. The same wording is found in the EU–New Zealand and the draft EU–Tunisia FTA.

70 S Yakovleva, ‘Privacy Protection(ism): The Latest Wave of Trade Constraints on Regulatory Autonomy’ 74 *University of Miami Law Review* (2020) 416–519, at 496.

71 See generally E Fahey, ‘The EU as a Digital Trade Actor’ in D Collins and M Geist (eds), *Research Handbook on Digital Trade* (Edward Elgar 2023).

72 Lablond (n 66) 303.

73 See generally Polanco, Polanco (n 13).

74 See generally Alschner (n 6).

75 Article 14.17(2) CPTPP.

76 *ibid.*

77 See e.g. Joint Statement on Trilateral Meeting of the Trade Ministers of the United States, Japan, and the European Union, Washington, DC, 14 January 2020 <https://trade.ec.europa.eu/doclib/docs/2020/january/tradoc_158567.pdf> accessed June 2023.

78 Article 19.1 USMCA.

supplier or user of an interactive computer service as an information content provider in determining liability for harms related to information stored, processed, transmitted, distributed, or made available by the service, except to the extent the supplier or user has, in whole or in part, created, or developed the information.⁷⁹ This provision is crucial because it aims to clarify the liability of intermediaries and distinguish this from the liability of host providers with respect to IP rights' infringement. This part of the USMCA further acknowledges the application of Section 230 of the US Communications Decency Act,⁸⁰ which insulates platforms from civil liability for the removal of incident material.⁸¹

Ensuring net neutrality is another important concept that has been addressed in the CPTPP, although these rules are of non-binding nature.⁸² Net neutrality refers to the concept that all data on the internet should be treated equally with a view to enhancing access without restrictions. This standard also has a number of exceptions, permitting deviations from undefined situations that call for 'reasonable network management' or exclusive services.⁸³ It is thought that, as this obligation is unlinked to remedies, such as blocking or filtering content, it is unlikely that the CPTPP will ultimately establish a uniform approach to net neutrality across its signatories.⁸⁴

Digital identities are a new policy battleground beginning to appear in digital trade agreements. A digital identity is a digital representation of a person's identity-oriented information, such as name and age. It could be used for purposes of accessing government services or in some cases for voting. While digital identities could facilitate many kinds of interactions by providing security, many view them as an encroachment on privacy and an unnecessary intrusion of the state into private life. Rather than wade into these debates, modern digital PTAs focus instead on the mutual recognition of different state's domestic approach to digital identities. For example, DEPA specifies that parties will 'endeavour to promote the interoperability between their respective regimes for digital identities.'⁸⁵

Digital inclusion is another progressive area that is poised to become more important in digital trade treaties. This is part of a growing trend in international economic law toward recognizing marginalized groups who have traditionally failed to take advantage of the benefits of economic liberalization. Here DEPA sets out that parties 'shall cooperate on matters relating to digital inclusion, including participation of women, rural populations, low socio-economic groups and Indigenous Peoples in the digital economy.'⁸⁶ It adds that 'cooperation may be carried out through the coordination, as appropriate, of the Parties' respective agencies, enterprises, labour unions, civil society, academic institutions and non-governmental organisations, among others.'⁸⁷ Once

79 Article 19.17(2) USMCA. Annex 19-A creates specific rules with the regard to the application of Article 19.17 for Mexico, effectively postponing its implementation for three years.

80 47 USC 230 (1996). Section 230 reads: 'No provider or user of an interactive computer service shall be treated as the publisher or speaker of any information provided by another information content provider.'

81 See e.g. T Bone, 'How Content Moderation May Expose Social Media Companies to Greater Defamation Liability' (2021) 98 Washington University Law Review 937–63.

82 Article 14.10 CPTPP.

83 Article 14.10(a) CPTPP. Footnote 6 to this paragraph specifies: 'The Parties recognise that an Internet access service supplier that offers its subscribers certain content on an exclusive basis would not be acting contrary to this principle.'

84 See generally Burri, 'Digital Trade Rulemaking in Free Trade Agreements.'

85 Article 7.1 DEPA. This is modified by the statement that any such measures shall not prevent parties from maintaining measures for a legitimate public policy objective.

86 Article 11.1.3 DEPA.

87 Article 11.1.4 DEPA.

again the focus in digital trade is on cooperation in standard-setting rather than mandating specific approaches.

Financial technology (fintech) is an important new frontier in digital trade. Mobile technology has enabled many more customers to have access to financial services than ever before, eliminating the expense and delay of transactions mediated by a person working in costly offices. After more than a decade of rapid growth, fintech has become a significant component of financial services in its own right.⁸⁸ Fintech appears to have gained ground particularly in countries like the UK where wages are high, driving firms to reduce costs by replacing workers with technology,⁸⁹ coupled with a world-leading financial services industry and reasonably flexible approach to financial regulation. As with other new spheres of economic activity, digital PTAs are opting to encourage mutual support rather than top-down rulemaking. DEPA states that ‘parties shall promote cooperation between the financial technology industry’ adding that parties shall ‘encourage collaboration of entrepreneurship or start-up talent between the Parties in FinTech.’⁹⁰ Pre-existing rules ensuring the validity of electronic contracts should ensure that fintech continues to thrive.

Probably the most prominent and controversial frontier in digital trade, if not technology in its entirety, is artificial intelligence (AI), that is, the *ability of a computer to perform tasks commonly associated with intelligent beings*. Some regard AI with much optimism as a way of not only liberating workers from repetitive, data-oriented tasks, but also as a route to optimizing digital interactions, saving cost and time, and delivering goods and services tailored to the needs of consumers. Others view AI with much trepidation, not necessarily because of a dystopian fear of being ruled by robots but because it can replicate many kinds of labour through which humans have traditionally earned their living. The management of AI poses serious challenges to regulators worldwide. The role of international economic law appears to be one of coordination rather than rule-making in any particular direction. For example, DEPA recognizes ‘the economic and social importance of developing ethical and governance frameworks for the trusted, safe and responsible use of AI technologies’ and ‘the benefits of developing mutual understanding’ on the matter in international trade.⁹¹ In this regard, the parties commit to consider ‘internationally recognised principles or guidelines, including explainability, transparency, fairness and human-centred values.’⁹²

A vital field of digital trade policy that remains under-developed is the emerging need to protect individuals from alleged algorithmic biases, wherein some categories of people are treated unfairly in decision-making based on automated use of data. Domestic regulatory and industry bodies may need to establish best practice and ultimately standards with regards to the use of algorithms that yield decisions which affect resource allocation as well as the capacity to conclude private contracts. Accountability and transparency will be essential in this process. This may require states to renege on their data flow commitments, along with privacy and national security concerns.⁹³ As yet no digital PTA has addressed algorithmic bias directly, but this issue might form part of broader discussions on the regulation of AI and digital inclusion as well as revisiting the prohibition on the mandatory disclosure of source code.

88 See generally L Lu, ‘Fintech: Technology-Enabled Financial Innovation for Digital Trade’ in D Collins and M Geist (eds), *Research Handbook on Digital Trade* (Edward Elgar 2023).

89 The search for labour-saving innovation is also thought to be one of the reasons that the Industrial Revolution began in England: K Gunnar-Persson, *An Economic History of Europe* (CUP 2010) at 101.

90 Article 8.1 c) DEPA.

91 Article 8.2.2 DEPA.

92 Article 8.2.4 DEPA.

93 Lablond (n 66) 312.

VI Conclusion

Digital trade has become among the most prominent fields of international economic law, carrying wide implications for all kinds of international commercial transactions as well as social interactions at the local, regional, and, increasingly, international level. It has also become a vibrant field of study for academic lawyers, already spawning an array of sub-specialisms, such as electronic contracting, data protection, and AI. This chapter has attempted to illustrate some of the key features of the international treaties which govern digital trade, notably the CPTPP, USMCA, RCEP and DEPA. Evincing a shared language and scope, these regional agreements have demonstrated more progress in digital trade than has so far been found at the multilateral level.

The analytical separation of digital trade into the two categories of digitally enabled trade (often termed e-commerce) and trade in digital assets (digital trade) may be helpful in both understanding and establishing the path forward for the development of relevant international economic law. International rules on e-commerce appear to be the low-hanging fruit of digital trade regulation, with norm consolidation beginning to take place in a sphere of economic activity that has been underway for decades. In contrast, norm development and regulatory experimentation have been free to proceed in the less mature rules on trade in data. E-commerce rules have been more readily integrated within the existing trade regime, notably the WTO's JSI on e-commerce. Trade in data rules might benefit from assimilation into other governance regimes, such as data protection, privacy, and the management of AI.⁹⁴ For the time being, emerging norms in the combined field of digital trade which may have been uncovered in this chapter include a focus on transparency, mutual recognition (termed operability in the context of digital trade) and cooperation.

This chapter has highlighted the digital-only regime found in DEPA as a strong basis for promoting the interoperability of domestic frameworks as well as international cooperation that takes into account the complex challenges of contemporary data governance that has both trade and non-trade elements.⁹⁵ The inclusion of new topics, such as digital identities and AI, typically in non-binding language, demonstrate a path for future negotiations of DEAs and PTAs with digital trade provisions.⁹⁶ Given the public policy implications of digital trade governance in a globally interrelated economy, if multilateralism is to replace the growing patchwork of regional initiatives such as CPTPP and DEPA, it may be more appropriate to remove data regulation issues from the already fraught WTO negotiations. This may require the establishment of an entirely separate international regime to govern cross border data flows, leaving the WTO to its core functions of non-discrimination for goods and services.⁹⁷ In the more immediate future, digital trade is a policy area which highlights the growing fragmentation of international economic law and the increasing emphasis on compatibility of autonomous regimes built on shared principles rather than centralized rulemaking.

94 Alschner (n 6).

95 Burri, 'Digital Trade Rulemaking in Free Trade Agreements.'

96 See generally Polanco (n 13).

97 Lablond (n 66) 315, giving the example of the Financial Stability Board which oversees the various international bodies that set standards for global finance.

18

REGIONAL TRADE AGREEMENTS

Kathleen Claussen and Pasha L. Hsieh

I Introduction

Regional trade agreements (RTAs) have grown in content and in membership since the 1990s, and their popularity has likewise increased among many governments. While some states have become sceptical about the World Trade Organization (WTO), most have continued to support the negotiation and conclusion of regional agreements. This interplay between RTAs and the multilateral trading system has been a mixed bag. As this chapter demonstrates, while some RTAs have reinforced the WTO disciplines, others have covered areas where consensus is not available in Geneva.

The proliferation of regional agreements has resulted from several factors. One major contributor is widespread discontent, or disillusionment, with the multilateral system to achieve gains sought by WTO members. Whether concerning commercial barriers to trade or so-called trade-plus flanking policies designed to avoid negative externalities, the stalemate among WTO members in negotiations since 2001 has prompted many to pursue alternative paths.

A second explanation for the increase in regional agreements is the interest in greater regional cooperation for geopolitical purposes. The parties to the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP),¹ originally the US-led Trans-Pacific Partnership (TPP),² were clear that they were very much concerned with stability in the Asia-Pacific region and the political influence of China.³ Likewise, the Africa Continental Free Trade Agreement

1 The Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) is a free trade agreement (FTA) between Australia, Brunei Darussalam, Canada, Chile, Japan, Malaysia, Mexico, Peru, New Zealand, Singapore, and Vietnam. The CPTPP was signed on 8 March 2018 in Santiago, Chile. It entered into force on 30 December 2018 for Australia, Canada, Japan, Mexico, New Zealand, and Singapore; on 14 January 2019 for Vietnam; on 19 September 2021 for Peru; on 29 November 2022 for Malaysia; and on 21 February 2023 for Chile. On 16 July 2023, CPTPP parties and the United Kingdom (UK) signed the Accession Protocol to enable the UK to join the CPTPP.

2 The Trans-Pacific Partnership (TPP) was a planned agreement between Australia, Brunei, Canada, Chile, Japan, Malaysia, Mexico, New Zealand, Peru, Singapore, Vietnam, and the United States. For more on why the TPP did not materialize, see Mireya Solís, 'Commentary: Trump Withdrawing from the Trans-Pacific Partnership' (*Brookings*, 24 March 2017) <<https://www.brookings.edu/articles/trump-withdrawing-from-the-trans-pacific-partnership/>> accessed 8 August 2024.

3 Bich T Tran, 'Vietnam Needs to Do More to Reduce Trade Dependence on China' *Think China* (7 September 2021) <<https://www.thinkchina.sg/economy/vietnam-needs-do-more-reduce-trade-dependence-china>> accessed 20 May 2024.

(AfCFTA)⁴ has both political and economic objectives, with the former being strengthened by the latter. As described further here, it aims to liberalize the flow of goods and services to increase intra-African trade and enhance regional development. The same rationale also applies to the Association of Southeast Asian Nations (ASEAN) integration.⁵ Notably, both the AfCFTA and ASEAN represent a shift from political cooperation to economic regionalism. However, the level of intra-ASEAN tariff commitments is higher than that of the AfCFTA. More importantly, ASEAN's external agreements position it as a central hub in the regional architecture, whereas the AfCFTA lacks comparable agreements. Consequently, ASEAN holds greater geopolitical and economic significance than the AfCFTA.

A third reason that many governments have turned to regional agreements rather than to the multilateral system has been to support supply chain management objectives. Since the COVID-19 pandemic, more governments have intervened in their economies to support supply chain resilience and security, with an emphasis on ensuring the availability of products from nearby partners.⁶ A fourth rationale for greater engagement with regional partners has been one of normative development and diffusion. By engaging with regional partners in likeminded areas, or by creating a trade bloc with shared norms and principles, these regional groupings gain power on the world stage and wield greater influence than any of their members alone. For example, the EU's Indo-Pacific strategy to expedite trade and investment pacts arguably aims to augment its normative power. The enforceable provisions on sustainable development and investment court systems in the latest EU agreements with Singapore, Vietnam, and New Zealand best reflect the 'export' of European values and norms. These agreements reinforce Brussels' Indo-Pacific strategy in shaping international law.

This chapter proceeds as follows. After this short introduction, section II begins by defining and explaining the types of agreements that could properly be described as RTAs. A diverse set of deals now comprises the universe of regional trade agreements, and their regional character has become more capacious. The section illuminates how these agreements vary considerably. Section III examines why and how RTAs have evolved in different waves of global regionalism. While space does not permit an in-depth investigation into every regional agreement, the chapter offers an analytical and empirical analysis of select examples. The section also explores the uneven distribution of regional agreements worldwide. While RTAs have eclipsed the WTO in some important elements, some WTO members appear to be putting the brakes on such deals. The United States, for example, has negotiated only one such agreement since 2011.⁷ The US Biden administration has made it clear that it does not intend to conclude any additional major trade agreements—at least of the type that seeks to lower trade barriers—in the near term given its belief that such agreements have negatively affected US workers.⁸ Doubts linger about the future of the South American trade bloc, the Common Market of South America (Mercosur), in light of years of backsliding toward protectionism.⁹ Nonetheless, in Asia and many other parts of the world, the path toward greater economic integration through RTAs appears to continue, prompting both excitement and caution

4 Africa Continental Free Trade Agreement (AfCFTA), entered into force on 30 May 2019 for 24 countries.

5 Pasha L Hsieh, *New Asian Regionalism in International Economic Law* (CUP 2022) 29–63.

6 Ministry of Trade and Industry (MTI) (Singapore), 'Singapore Reaffirms Commitment to Facilitate Cross-Border Flows with Australia, Canada, Republic of Korea, and New Zealand' (2020) 1–2.

7 United States–Mexico–Canada Agreement, adopted 1 October 2018, entered into force 1 July 2020, art 20.

8 Joe Biden, 'Responses to United Steelworkers' Federal Candidate Questionnaire' (USW Voices 2020).

9 'Can Mercosur Reverse Decades of Backsliding?' *The Economist* (27 March 2021) <<https://www.economist.com/the-americas/2021/03/25/can-mercotur-reverse-decades-of-backsliding>> accessed 24 May 2024.

from trade law practitioners and international lawyers.¹⁰ Section IV provides a conceptual framework for thinking about RTAs as multipurpose instruments and draws out broader trends among regional agreements analysing how those trends have shaped international economic law more generally. Arguably, the proliferation of diverse agreements across different geographic locations signals a shift from the *Pax Americana* to a multipolar world. The chapter concludes with a view of what the next generation of RTAs might mean for the world economy and for its constituents.

II Empirics: An Overview

As of May 2024, the WTO counts 371 RTAs in force,¹¹ but that number is somewhat misleading. The WTO lists agreements that members have reported to the Committee on RTAs. Not all of these agreements are regional in scope. What many have in common is that they form ‘free trade areas.’ Indeed, the most traditional trade instrument outside the WTO continues to be what many call the ‘free trade agreement’ (FTA). Defined by its commitment to reduce tariffs and non-tariff regulatory barriers between the parties to zero on substantially all the trade between them, the FTA is now a staple among trade institutions.¹²

Where FTAs have regional scope, they are sometimes called RTAs. Such agreements that now include many parties are often referred to as ‘mega-regionals’ as well. These have received considerable political attention among major economic players in the last decade. Furthermore, the term ‘preferential trade agreements’ (PTAs) is sometimes used to refer to these same agreements or still others that likewise give preferences to state parties.

These three acronyms—FTA, RTA, PTA—are imperfectly applied. The WTO does not disaggregate among them in its RTA Database. This chapter refers to all of them as RTAs but focuses on the ‘mega-regionals’ and those that involve partners of geographic proximity. What links them all—at least up until the 2020s—is attention to reducing tariffs and often non-tariff barriers among or between the parties and their conclusion and application outside of the WTO.

RTAs grew in popularity from the 1990s to the present as evidenced by their exponential increase. The United States is a party to RTAs with 20 countries, all but two of which have entered into force since 2000.¹³ The European Union (EU) reports 44 RTAs to the WTO with several more soon to be completed.¹⁴ The Africa Continental Free Trade Agreement (AfCFTA), trading under which commenced on 1 January 2021, has brought together many countries on the continent

10 Cf Kelly Ann Shaw, ‘China Is Racing Ahead to Lock-in Asian Trade. Time to Worry,’ *Barron’s* (3 December 2021) <<https://www.barrons.com/articles/china-rcep-trade-deal-51638479544?tesla=y>> accessed 24 May 2024 (arguing that the United States ought to (re-)join Comprehensive and Progressive Trans-Pacific Partnership Agreement) with David Henig, ‘Perspectives: The World Trading System is No Longer Subject to Universally Agreed Rules’ *Borderlex* (1 December 2021) <<https://borderlex.net/2021/12/01/perspectives-the-world-trading-system-is-no-longer-subject-to-universally-agreed-rules/>> accessed 24 May 2024 (arguing that more agreements create sub-optimal economic outcomes).

11 ‘Regional Trade Agreement Database, Results for European Union’ (WTO) <<http://rtais.wto.org/UI/PublicSearch-ByMemberResult.aspx?MemberCode=918&lang=1&redirect=1>> accessed 20 May 2024.

12 General Agreement on Tariffs and Trade, adopted 30 October 1947, entered into force 1 January 1948, 55 UNTS 194, art XXIV.

13 ‘Free Trade Agreements’ (*Office of the United States Trade Representative*) <<https://ustr.gov/trade-agreements/free-trade-agreements>> accessed 1 May 2024.

14 ‘Regional Trade Agreement Database, Results for European Union’ (WTO) <<http://rtais.wto.org/UI/PublicSearch-ByMemberResult.aspx?MemberCode=918&lang=1&redirect=1>> accessed 20 May 2024.

while also closely collaborating with several African regional economic partnerships.¹⁵ In the Asia-Pacific, since the conclusion of the Association of Southeast Asian Nations (ASEAN) Free Trade Area of 1992, intra-regional and inter-regional agreements have grown in number. These agreements include the recent Regional Comprehensive Economic Partnership (RCEP),¹⁶ which entered into force on 1 January 2022, and the Comprehensive and Progressive Transpacific Partnership Agreement (CPTPP), which came into effect on 30 December 2018.¹⁷ China and India are party to or are negotiating 62 RTAs between them.¹⁸

RTAs have grown also in scope, expanding to many chapters covering not just tariff barriers and customs facilitation. They now govern non-tariff barriers covered by the WTO agreements as well as social policies that may have an effect on trade such as labour and environment. Recent academic volumes have tried to cover their many facets, including their attention to so-called ‘trade-plus’ areas.¹⁹ These deals have been praised by civil society actors seeking inclusion of enforceable binding trade-plus obligations and criticized by some states and private actors pushing back on these inclusions as overreach.

The RTAs described are not the only *regional* trade agreements into which the governments of the world have entered. Many have also concluded agreements with their regional partners—and beyond—that affect and adjust trade flows but do not cover large parts of bilateral or regional trade. These agreements may adjust tariff rates, but more often they address non-tariff barriers. These are often shorter, more targeted, and typically bilateral. Consider, for example, a 2013 agreement between Mexico and the United States regarding their bilateral treatment of exports of tomatoes.²⁰ Another example would be mutual recognition agreements, such as the 2002 Agreement between the Swiss Confederation and the European Community on mutual recognition in relation to conformity assessment, an instrument designed to remove technical barriers to the trade of industrial goods between Switzerland and the EU.²¹

These types of agreements have also increased in scope and in number since the 1990s.²² The recent Indo-Pacific Economy Framework (IPEF) led by the United States is one such arrangement that seeks to redirect trade flows without lowering substantially all barriers to trade. The IPEF consists of four pillars that are expected to become agreements, with the potential for more, among 14

15 Agreement Establishing the African Continental Free Trade Area (AfCFTA) adopted on 21 March 2018, in force 5 February 2021, <<https://au.int/en/ti/cfta/about>> accessed 27 May 2024.

16 Regional Comprehensive Economic Partnership (RCEP), entered into force for ten parties 1 January 2022.

17 Comprehensive and Progressive Transpacific Partnership Agreement (CPTPP) (note 1).

18 *ibid.*

19 For example, see Kathleen Claussen, Manfred Elsig, and Rodrigo Polanco (eds), *The Concept Design of a Twenty-First Century Preferential Trade Agreement* (CUP 2024); Lorand Bartels and Federico Ortino (eds), *Regional Trade Agreements and the WTO Legal System* (OUP 2006); Andreas Dür and Manfred Elsig, *Trade Cooperation: The Purpose, Design and Effects of Preferential Trade Agreements* (CUP 2014); Clair Gammage, *North-South Regional Trade Agreements as Legal Regimes* (Edward Elgar 2017); Stefan Griller, Walter Obwexer and Erich Vranes, *Mega-Regional Trade Agreements: CETA, TTIP, and TiSA* (OUP 2017); Matthias Herdegen, *Principles of International Economic Law* (2nd edn, OUP 2016).

20 Memorandum of Understanding for the Exchange of Information on Exports of Fresh Tomatoes between the Secretariat of Economy of the United Mexican States and the Department of Commerce of the United States of America (Mexico-United States) (19, 23 August 2013).

21 MRA Switzerland-EU’ (*State Secretariat for Economic Affairs*) <https://www.seco.admin.ch/seco/en/home/Aussenwirtschaftspolitik_Wirtschaftliche_Zusammenarbeit/Wirtschaftsbeziehungen/Technische_Handelshemmnisse/Mutual_Recognition_Agreement_MRA0/MRA_Schweiz_EU.html> accessed 1 March 2024.

22 Kathleen Claussen, ‘Trade’s Mini-Deals’ (2022) 62 *Virginia Journal of International Law* 315, 343–45.

trading partners in the Asia-Pacific.²³ The three agreements negotiated to date, on a clean economy, a fair economy, and supply chain resilience, are intended to create greater linkages and investment among the members to divert trade away from other partners—in the case of the United States, the intent is to redirect trade away from China.²⁴

III Trends and Highlights

This section reviews recent highlights among RTAs negotiated by key economies in the last decade, many of which have implications for countries beyond the immediate regions we discuss. The legal, economic, and geopolitical significance of these agreements is hard to measure; we underscore their groundbreaking dimensions.

From the 1990s until around 2010, the United States was a leader in developing FTAs, three of which were focused on regional partners. It signed its first bilateral free trade agreement in 1985 with Israel, followed by the 1987 US-Canada agreement, and then the 1994 North American Free Trade Agreement (NAFTA). It has negotiated additional FTAs since 2000, and now has such agreements with 20 (mostly small) countries.²⁵ The regional focus took a backseat to other political priorities for several years. The primary power of these agreements was not their regional impact, but rather the normative development they precipitated. Text adopted by the United States, especially in trade-plus topic areas, has proliferated in trade agreements crafted by the EU, Canada, and other US and non-US trading partners.²⁶

In the last decade, the United States has made two important trade agreement moves. The first was the renegotiation of the NAFTA in 2018 and 2019. The renegotiation of the NAFTA was unusual because the Trump administration's approach was nontraditional and confrontational. The administration announced its intention to renegotiate the NAFTA in May 2017, and the original US proposals were extreme. For automobiles, for example, the Trump administration sought to raise the regional content requirement from 62.5 to 85%.²⁷

The administration also proposed a five-year sunset clause for the agreement, which would reduce certainty for firms investing in Mexico regarding their future duty-free access to the US market. The final deal included some changes like these, though the outcome did not go quite as far as originally proposed, and a change in the political makeup of the Congress prompted the Trump administration to add more labour provisions, among other adjustments, without which the deal would not have received congressional approval.²⁸ Taken together, these changes make

23 Indo-Pacific Economic Framework' (*US Department of Commerce*) <<https://www.commerce.gov/ipef>> accessed 21 May 2024.

24 Lien Hoang, 'China-less IPEF Trade Framework will Benefit Business: USTR' (*Nikkei Asia*, 15 February 2023) <<https://asia.nikkei.com/Economy/Trade/China-less-IPEF-trade-framework-will-benefit-business-USTR>> accessed 21 May 2024.

25 Chad Bown, *Economic Policy in the Age of Trump* (CEPR Press 2017) 158; Henry J Tasca, *The Reciprocal Trade Policy of the United States: A Study in Trade Philosophy* (University of Pennsylvania Press Reprint 2016); Benjamin B Wallace, 'Tariff Bargaining' (1933) 11 *Foreign Affairs* 621.

26 See generally Kathleen Claussen, 'Separation of Trade Law Powers' (2018) 43 *Yale Journal of International Law* 315.

27 Jenny Leonard, 'Sources: USTR to Demand 50 Percent US Content in NAFTA Auto Rules of Origin' (*Inside US Trade*, 5 October 2017) <<https://insidetradetrade.com/daily-news/sources-ustr-demand-50-percent-us-content-nafta-auto-rules-origin>> accessed 24 May 2024.

28 Megan Cassella, 'We Ate Their Lunch': How Pelosi Got to "Yes" on Trump's Trade Deal' (*Politico*, 10 December 2019) <<https://www.politico.com/news/2019/12/10/democrats-trumps-trade-deal-080719>> accessed 24 May 2024.

the new agreement, called the United States–Mexico–Canada Agreement (USMCA),²⁹ the most far-reaching trade agreement in the world regarding labour rights provisions.

The second important move made by the United States was the clear policy choice to negotiate trade-related agreements that were not comprehensive trade agreements, beginning in 2019 and continuing to the present. In lieu of negotiating comprehensive FTAs, the United States has invested more time in negotiating other types of deals with foreign allies. In the present political moment, allies are the US priority rather than regional partners. As part of a move toward elaborating a new set of trade values, the United States has sought to enhance its trade and investment relationships within the Asia-Pacific, such as through the IPEF mentioned earlier, as well as in the Americas through the Americas Partnership for Economic Prosperity (APEP), which takes a similar form.³⁰ The United States has also reached agreements with Taiwan and Japan—strategic partners—and has considered negotiating so-called ‘critical minerals’ trade agreements with other allies.³¹

The United States’ outreach to other American partners stands in contrast to some of the challenges faced by the Southern Common Market (in Spanish, Mercado Común del Sur, or Mercosur). The Mercosur trading bloc in South America was established in 1991 and today includes Argentina, Brazil, Paraguay, and Uruguay, with Venezuela as a suspended member. Since its inception it has aimed to boost the regional economy, by promoting free trade and the movement of goods, people, and capital. As an institution, Mercosur has many interesting and novel features and designs, but political struggles have thrown the project in doubt.³² Following the suspension of Venezuela in 2017, the tension between Brazil and Argentina has complicated the bloc’s external negotiations and internal operations.³³

On the African continent, several regional trading blocs have long dominated the economic governance landscape. These include the Economic Community of West African States, the Common Market for Eastern and Southern Africa, the Eastern African Community, the Community of Sahel Saharan States, and the Southern African Development Community, among others. Most recently, however, the entry into force in May 2019 of the AfCFTA has garnered the most attention, and rightly so. The AfCFTA is now the largest regional trading bloc by number of parties, creating a market of 1.2 billion people. The principal purpose of the project is to liberalize the flow of goods and services to increase intra-African trade and enhance regional development. The project also has secondary goals with respect to political unity that complement the intra-continental economic aims.³⁴ Currently, there are 47 state parties to the AfCFTA.

29 United States–Mexico–Canada Agreement (USMCA), entered into force 1 July 2020.

30 M Angeles Villarreal and Andres B Schwarzenberg, ‘U.S.–Latin America Trade and Investment’ (*Congressional Research Service*, 2024) 2.

31 The US–Japan Critical Minerals Agreement and the first agreement of the US–Taiwan Initiative on 21st-Century Trade were concluded in 2023.

32 For a detailed look at the state of play in Mercosur, see ‘Mercosur: South America’s Fractious Trade Bloc’ (*Council on Foreign Relations*, 18 December 2023) <<https://www.cfr.org/backgroundunder/mercotur-south-americas-fractious-trade-bloc>> accessed 8 August 2024.

33 Canning House, ‘What Future for Mercosur’ (2023) 4–6 <https://www.canninghouse.org/storage/uploads/resources/canning-papers/pdf/2023/2301_What_future_for_Mercosur_yxssn.pdf> accessed 24 May 2024.

34 The many motivations behind the deal are noted by Peter Draper, Habtamu Edjigu, Andreas Freytag, ‘A Political Economy Assessment of the AfCFTA’ in Evelyn F Wamboye and Bichaka Fayissa (eds), *The Palgrave Handbook of Africa’s Economic Sectors* (Springer International Publishing 2022).

The EU and the United Kingdom (UK) have also negotiated a growing number of RTAs. The EU has concluded more comprehensive FTAs throughout the 2010s and into the 2020s.³⁵ Since Brexit, the UK likewise has pursued a robust comprehensive RTA strategy.³⁶ However, in neither instance has the focus been on regional partners. For instance, in 2021, the UK applied to accede to the CPTPP despite having little geographic presence in the Pacific.³⁷ The UK signed the accession protocol in 2023 and is expected to be the first non-founding member of the CPTPP by the end of 2024.³⁸

The CPTPP is a typical mega-regional agreement and involves Australia, Brunei, Canada, Chile, Japan, Malaysia, Mexico, New Zealand, Peru, Singapore, and Vietnam. The UK accession increases the share of the CPTPP in global gross domestic product (GDP) from 12 to 15%.³⁹ The regional character of the 12-party CPTPP will be further diluted if it admits additional members, including China, Taiwan, Ukraine, and three Latin American countries, which have formally submitted their applications to join the pact.⁴⁰ Although the text of the CPTPP stipulates that the agreement is open to ‘any State or separate customs territory,’ the accession process enacted in 2019 mandates ‘consensus’ at various stages of the accession process.⁴¹ The dilemma is to reach a consensus on procedures for China and Taiwan. Following the completion of the UK accession, the 2024 Chair of the CPTPP Commission, Canada, will be confronted with politically challenging accession issues.

In terms of substance, the CPTPP aims to achieve ‘the highest standard of market access commitments.’⁴² While largely based on the TPP, the CPTPP suspends 20 provisions and selected parties’ side letters also make certain provisions non-applicable.⁴³ Notable features of the CPTPP include the significant tariff liberalization of agricultural goods, the yarn-forward-rule for textile products, e-commerce provisions, and broad definitions of state-owned enterprises (SOEs).⁴⁴ Investor-state dispute settlement (ISDS) issues have become controversial. CPTPP members narrowed the scope of ISDS by disallowing investors’ claims based on private investment contracts

35 Following trade and investment agreements with Singapore and Vietnam, the EU signed the free trade agreement with New Zealand in 2023.

36 Since Brexit, the UK has concluded trade and digital economy agreements with Australia, Singapore, and Ukraine. It also rolled over 68 trade agreements to which it had been a party while a member of the EU. For details, see Dominic Webb, ‘Progress on UK Free Trade Agreement Negotiations’ (2024) *House of Commons Library Research Briefing* No. 9314, 1–6.

37 *ibid* 9.

38 *ibid* 6–9.

39 Greg Hands, ‘Instrument of Accession to the Comprehensive and Progressive Agreement for Trans-Pacific Partnership: Statement made on 17 May 2024’ (*UK Parliament*, 17 May 2024) <<https://questions-statements.parliament.uk/written-statements/detail/2024-05-17/hcws478>> accessed 21 May 2024.

40 Hugh Stephens and Jeff Kucharski, ‘The CPTPP Bids of China and Taiwan: Issues and Implications: An Update’ (*Asia Pacific Foundation of Canada*, 16 January 2024) <<https://www.asiapacific.ca/publication/cptpp-bids-of-china-and-taiwan-issues-and-implications-update>> accessed 21 May 2024.

41 Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP), adopted 8 March 2018, entered into force 30 December 2018, art 30.4; CPTPP Accession Process, Annex to CPTPP/COM/2019/D002 (2019) arts 3.6 and 4.1.

42 ‘CPTPP—Joint Ministerial Statement on the Occasion of the Fourth Commission Meeting’ (*Government of Canada*, 1 June 2021) <https://www.international.gc.ca/trade-commerce/trade-agreements-accords-commerciaux/agr-acc/cptpp-ptpp/cptpp_meeting_four-ptpgp_declaration_quatre.aspx?lang=eng> accessed 24 May 2024.

43 Department of Foreign Affairs and Trade (Australia), *CPTPP Suspensions Explained* (2019) 1–5.

44 Yuka Fukunaga and Pasha L Hsieh, ‘Pacific Trade’ in Daniel Bethlehem and others (eds), *The Oxford Handbook of International Trade* (2nd edn, OUP 2022) 239, 249–58.

and violations of the minimum standard of treatment related to financial services. Moreover, by signing side letters, certain countries such as New Zealand and the UK have excluded ISDS entirely on a bilateral basis.

Another notable mega-regional agreement is the RCEP, which encompasses 15 Asia-Pacific countries. The fact that it accounts for 30% of global GDP makes it the world's largest RTA by economic scale.⁴⁵ Both the RCEP and the CPTPP are potential pathways to the Free Trade Area of Asia-Pacific that would connect 21 economies of Asia-Pacific Economic Cooperation (APEC).⁴⁶ The RCEP crystallizes the concept of ASEAN centrality, which has been recognized by major powers, including China, the EU, and the United States. ASEAN centrality reflects the bloc's hedging strategy by positioning itself at the heart of the regional architecture for both security and economic purposes. From a normative perspective, ASEAN has played a role as a guardian of stability in the Indo-Pacific Building upon the Global ASEAN agenda of the ASEAN Economic Blueprint 2015, and the RCEP is the culmination of ASEAN Plus One agreements, which refer to ASEAN's RTAs with China, Japan, India, Korea, Australia, New Zealand, and Hong Kong from 2002 to 2017.⁴⁷

Although India was an original negotiating party, Prime Minister Narendra Modi decided not to join the RCEP, as it was likely to harm India's exports and investment flows. The RCEP members agreed to accord India observer status before its potential accession to the RCEP.⁴⁸ RCEP members plan to lay out the accession process in 2025, and with Beijing's strong support, Hong Kong will likely be admitted as the first non-founding member.⁴⁹ In 2024, Indonesia and Malaysia also proposed the accession of the Gulf Cooperation Council—a regional economic union comprising Bahrain, Kuwait, Oman, Qatar, Saudi Arabia, and the United Arab Emirates—to the RCEP, strengthening interregional trade.⁵⁰

Except for the ASEAN–Australia–New Zealand FTA and the ASEAN–Hong Kong agreements that follow the conventional single-undertaking approach, other ASEAN Plus One pacts were negotiated from the framework agreements followed by sector-specific agreements. This building block approach resembles the legal frameworks of intra-ASEAN economic agreements and is considered by some to be more suitable for parties at significantly different stages of development. Compared with the CPTPP, the level of tariff commitments among RCEP members is lower, excluding agricultural products and incorporating phase-in periods of up to 20 years.⁵¹ Unlike the

45 Hsieh (n 5) 67–68.

46 APEC, 'CTI Report to Ministers—Collective Strategic Study on Issues Related to the Realization of the FTAAP' (2016) 1–11.

47 Pasha L Hsieh, 'New Investment Rulemaking in Asia: Between Regionalism and Domestication' (2023) 22 *World Trade Review* 173, 186.

48 'Ministers' Declaration on India's Participation in the Regional Comprehensive Economic Partnership (RCEP)' (*Australian Government Department of Foreign Affairs and Trade*, 2020) <<https://www.dfat.gov.au/trade/agreements/not-yet-in-force/rcep/news/ministers-declaration-indias-participation-regional-comprehensive-economic-partnership-rcep>> accessed 24 May 2024.

49 Cannix Yau, 'Beijing Lobbying for Hong Kong to Join World's Biggest Free-Trade Pact This Year' (*South China Morning Post*, 19 April 2024) <<https://www.scmp.com/news/hong-kong/hong-kong-economy/article/3259615/beijing-lobbying-worlds-biggest-free-trade-pact-admit-hong-kong-year-minister>> accessed 21 May 2024.

50 Yuni Arisandy Sinaga, 'RI, Malaysia Propose ASEAN-GCC Collaboration for New Economic Power' (*Antara News*, 29 April 2024) <<https://en.antaranews.com/news/312075/ri-malaysia-propose-asean-gcc-collaboration-for-new-economic-power>> accessed 23 May 2024.

51 Hsieh (n 5) 81–84.

CPTPP, the RCEP does not include specific chapters on SOEs, ISDS, labour, and environmental protection.

However, we should not underestimate the global impact of the RCEP. First, the RCEP harmonizes the diverse rules of origin under different ASEAN Plus One agreements. This harmonization markedly benefits regional enterprises and will augment the utilization rate of the agreement and lessen the ‘noodle bowl syndrome’ caused by rules of origin under overlapping RTAs.⁵² The RCEP’s regional cumulation provisions are significant because they allow parties to count production inputs from other member countries toward meeting the rules of origin requirements. Hence, these rules may result in ‘Asia for Asia’ trade, thus disadvantaging US and EU companies who seek entrance into the Asia-Pacific market.

Second, the RCEP should be regarded as a living agreement and is expected to evolve in tandem with other ASEAN agreements. Notably, the ASEAN–Australia–New Zealand FTA⁵³ was upgraded in 2023, marking the first ASEAN agreement that permits ‘full cumulation’ and includes the Education Services Cooperation Annex and a chapter on trade and sustainable development.⁵⁴ The ASEAN–China FTA 3.0 Upgrade Negotiations, launched in 2022 and expected to conclude in 2024, are anticipated to result in new rules on the digital and green economy, as well as supply chain connectivity.⁵⁵ These new elements are also considered in the negotiations of the updated ASEAN Trade in Goods Agreement, which is the key pillar of the ASEAN Economic Community. These advancements will influence the normative progression of the RCEP, likely rendering it more advantageous for nations in the region compared to the IPEF, which lacks access to the US market.

Other than conventional RTAs, sectoral agreements have proliferated in the Asia-Pacific for several reasons. Some countries have identified openings to be leaders in normative development, for example. In addition to Singapore’s bilateral digital economy agreements with Australia, Korea, and the UK, the Digital Economy Partnership Agreement (DEPA) was concluded between Singapore, Chile, and New Zealand in 2020 and Korea acceded to the DEPA in 2023.⁵⁶ DEPA parties are now working on China’s accession, and ASEAN members are negotiating the ASEAN Digital Economy Framework Agreement. Conventional digital trade rules of RTAs focus on cross-border data transfer and the prohibition of data localization. However, these new sectoral agreements expand into areas such as artificial intelligence, algorithms, and source code. These agreements will play a leadership role in shaping new rules, particularly given the United States’ drastic change in its position on digital trade in 2023, which hindered the IPEF process.⁵⁷

52 Richard Baldwin and Masahiro Kawai, ‘Multilateralizing Asian Regionalism’ (2013) ADBI Working Paper Series No. 431, 11–12<<https://www.adb.org/sites/default/files/publication/156286/adb-wp431.pdf>> accessed 8 August 2024.

53 ASEAN–Australia–New Zealand Free Trade Agreement, entered into force on 1 January 2010.

54 MTI, ‘Annex A: Key Features of the AANZFTA Upgrade, in ASEAN Boosts Trade and Investment Linkages with Dialogue Partners; Signs Upgraded Asean-Australia-New Zealand Free Trade Area Agreement’ (2023) para 4.

55 ‘Public Consultation on the ASEAN–China Free Trade Area (ACFTA) 3.0 Upgrade Negotiations’ (MTI, 2023) <<https://www.mti.gov.sg/Newsroom/Public-Consultations/Active-Consultations/Public-Consultation-on-the-ASEAN-China-Free-Trade-Area>> accessed 23 May 2024.

56 MTI, ‘Joint Press Release on the Accession of the Republic of Korea to the Digital Economy Partnership Agreement,’ 9 June 2023, paras 1–4.

57 David Lawder, ‘U.S. Suspends Indo-Pacific Talks on Key Aspects of Digital Trade—Lawmakers’ (*Reuters*, 8 November 2023)<<https://www.reuters.com/business/finance/us-suspends-indo-pacific-talks-key-aspects-digital-trade-lawmakers-2023-11-08/>> accessed 23 May 2024. For more information on the policy change involving digital rules and e-commerce, see John G Murphy, *How Reversal on Digital Trade Threatens U.S. Workers, Businesses*

Promoting a green economy is also prominently featured in sectoral agreements. To accelerate the objectives of the Paris Agreement, Australia and Singapore concluded the world's first Green Economy Agreement in 2022 and six countries are now negotiating the Agreement on Climate Change, Trade, and Sustainability.⁵⁸ Departing from the model of including chapters on Trade and Sustainable Development in RTAs, these agreements contain reference lists of environmental goods and services, rules on green finance, fossil fuel subsidies, and eco-labelling.⁵⁹ Arguably, the primary goal is to generate consensus on these critical, yet controversial issues by enacting hard-law rules, but they may not be enforced due to the lack of dispute settlement mechanisms. Some narrower, soft-law instruments for similar purposes are also seen in Singapore's arrangements with Malaysia, Vietnam, and the UK, as well as in the Taiwan-UK Enhanced Trade Partnership. These new style agreements give rise to 'green regionalism' in global governance.⁶⁰

Interestingly, certain states have also employed sectoral agreements to foster inclusive trade. As the world's trade instrument that focuses on indigenous peoples, the Indigenous Peoples Economic and Trade Cooperation Arrangement (IPETCA) is illustrative. Based on the efforts of APEC's Inclusive Trade Action Group, Canada, Australia, New Zealand, and Taiwan concluded the IPETCA in 2021.⁶¹ In particular, New Zealand is at the forefront of pertinent issues, as it has developed FTA exceptions for the Treaty of Waitangi that protects Māori's rights and benefits.⁶² While it is a non-binding cooperation agreement, the IPETCA promotes indigenous trade and investment and includes a non-derogation clause to ensure the rights of indigenous peoples under laws and policies.⁶³ In 2024, the United States joined the IPETCA Partnership Council as an observer, further enhancing IPETCA's role in promoting inclusive trade.⁶⁴

IV Multipurpose Instruments

The agreements that have emerged in the last 30 years follow different patterns. Some are intent on regional integration, while others prioritize objectives such as economic security and alliance over market access and trade facilitation, among still other goals. Many of the next-generation agreements—those that do not seek to eliminate all trade barriers—pursue discrete purposes

(*US Chamber of Commerce*, 27 October 2023) <<https://www.uschamber.com/international/trade-agreements/how-reversal-on-digital-trade-threatens-u-s-workers-businesses>> accessed 8 August 2024.

58 Jaime de Melo, 'Negotiations for an Agreement on Climate Change, Trade, and Sustainability (ACCTS), An Opportunity for Collective Action' (Trade Economics 2020) 2–3; 'Joint Trade Ministers' Statement on the "Agreement on Climate Change, Trade, and Sustainability" Initiative' (*New Zealand Foreign Affairs & Trade*, 24 January 2020) <<https://www.mfat.govt.nz/en/media-and-resources/trade-ministers-express-support-for-the-agreement-on-climate-change-trade-and-sustainability-at-the-world-economic-forum-davos-2020>> accessed 24 May 2024. ACCTS parties include Costa Rica, Fiji, Iceland, New Zealand, Norway, and Switzerland.

59 See Caroline E. Foster's chapter in this *Handbook*.

60 Pasha L Hsieh, 'Shaping Green Regionalism: New Trade Law Approaches to Environmental Sustainability' (2024) 33(2) *Review of European, Comparative and International Environmental Law* 172, 176–81.

61 Indigenous Peoples' (Australian Government Department of Foreign Affairs and Trade) <<https://www.dfat.gov.au/international-relations/themes/indigenous-peoples>> accessed 24 May 2024.

62 See e.g. CPTPP art 29.6. See also Valentina Vadi, *Cultural Heritage in International Economic Law* (Brill 2023) (discussing New Zealand's FTAs including exceptions and carve outs concerning the Maori).

63 Indigenous Peoples Economic and Trade Cooperation Arrangement (2021) arts 2 and 5.

64 United States Trade Representative, 'United States Granted Observer Status in the Indigenous Peoples Economic and Trade Cooperation Arrangement (IPETCA)' <<https://ustr.gov/about-us/policy-offices/press-office/press-releases/2024/april/united-states-granted-observer-status-indigenous-peoples-economic-and-trade-cooperation-arrangement>> accessed 8 August 2024.

beyond what many commentators have traditionally considered to be core trade policy. For example, discussions surrounding ‘digital trade deals’ are on the rise as are ‘sustainable development and trade’ agreements—both of which fall into this category.⁶⁵ These agreements embrace the broader sphere of international economic law.

The trade flows of today and the values and priorities set by many governments have led them to conclude agreements related to themes or sectors, rather than related to their regions. Nevertheless, although many of these agreements receive less attention and are not intentionally regional, they are critical to regulating the ins and outs of transnational commerce often in particular regions. Given this shift, at present, we lack good estimates of their economic, political, social, or legal impacts. Part of their underestimation is the result of their national administration involving little international cooperation apart from working with nuanced regulatory changes in the territory of the other party; they are categorized by academics as international regulatory agreements rather than trade agreements, for example.⁶⁶

Thus, today, RTAs often seek to achieve many purposes. Many agreements still create free trade areas and customs unions. Some governments are clear about seeking to prioritize standard, norm, and discipline setting that will create a domino effect. There are agreements that are purposeful about building market power, such as the AfCFTA. There are those agreements like the IPEF that put emphasis on capacity building, lowering transaction costs among partners, and smoothing understandings of trade policies. And there are those that are part of an effort to ‘friend-shore’ as an element of geoeconomics strategy in a time of global political unrest, like some of the critical-minerals agreements that the United States has pursued.

Despite this diversity, there is a clear trend toward newly styled relationships. The present moment is one of seeking to conclude mutually reinforcing allied commitments. These next-generation agreements implicate diverse constituencies beyond just regional partners, and they do so in the service of economic and geopolitical aims. While that concept is not new, pursuing such an approach without market access is a relatively recent trend, led by the United States. It may not last, but in the immediate, it is reshaping certain long-held notions about RTAs, their purposes, and their impacts on the global economy.

Conclusions

This chapter outlined several waves of regionalism in the international trading system over the last several decades. While many regional trading arrangements continue to thrive, others have faltered, and new ones are emerging, often with characteristics distinct from previous generations. This tempered enthusiasm varies regionally: traditional RTAs enjoy strong support in parts of Asia and Africa, while enthusiasm is more subdued in the Americas, with Europe positioned in between. However, trends in popularity or numbers only tell part of the story. The more important conclusion from recent developments in trade agreements is their diversity and innovative designs. Governments are no longer uniformly focused on comprehensive RTAs. Instead, trade agreements—whether regional or otherwise—are addressing contemporary issues with renewed urgency and in diverse forms.

⁶⁵ See David Collins’ chapter on digital trade in this *Handbook*.

⁶⁶ For example, see, C Boyden Gray, ‘Upgrading Existing Regulatory Mechanisms for Transatlantic Regulatory Cooperation’ (2015) 78 *Law & Contemporary Problems* 31.



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PART III

International Investment Law



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THE SOURCES OF INTERNATIONAL INVESTMENT LAW

Rahim Moloo and Martina Monti

Introduction

This chapter explores the foundations of international investment law and examines the sources international investment law. Part I provides a brief overview of the conventional legal frameworks, including customary international law and the domestic law of the host state receiving the foreign investment. Part II explores the role of international investment agreements, including bilateral investment treaties ('BITs'), and new trends in treaty drafting. Part III analyses the role of precedents in international arbitration, and the push towards greater uniformity in investment arbitral jurisprudence. Part IV explores substantive soft law instruments. Part V provides final remarks on the sources and content of international investment law.

This chapter aims to provide an overview of sources of substantive (as opposed to procedural) law while highlighting their implications for key stakeholders, including states, investors, and arbitral tribunals.¹ Furthermore, it explores the dynamic nature of the field, reflecting on how new developments influence and shape the practice of international investment law.

It is important to note that this chapter does not cover all sources of international law relevant to investment arbitration. Notably, investment contracts, general principles of law, and unilateral statements by states can also play a role, though they fall beyond the scope of this discussion.²

I. Brief Overview of Traditional Sources of International Investment Law

Historically, international investment law was primarily comprised of two principal sources: (i) customary international law, which encompasses both general international legal standards and those specifically tailored to international investment, and (ii) the domestic law of the host state in

¹ For an analysis of the sources of the procedural law applicable to investment disputes, see Jeffery Commission and Rahim Moloo, *Procedural Issues in International Investment Arbitration* (OUP 2018) Chapter 1.

² See e.g. Maximilian Clasmeier, *Arbitral Awards as Investments: Treaty Interpretation and the Dynamics of International Investment Law* (Kluwer Law International 2016) 34–35; Rudolf Dolzer, Ursula Kriebaum and Christoph Schreuer, *Principles of International Investment Law* (3rd edn, OUP 2022) 22–24.

which the foreign investment is made.³ As shown in the next section, customary international law remains important to international investment law, as it provides foundational legal principles that often assist in resolving foreign investment disputes. Likewise, the host state's legal framework often plays a crucial role in shaping the terms and conditions under which foreign investments are made and operated.

A. Customary International Law

The Statute of the International Court of Justice ('ICJ Statute') formally recognizes customary international law as one of the sources of international law.⁴ As a general matter, customary international law refers to international obligations arising from established international practices. Rules of customary international law are binding on all states, and they gradually develop over time as a result of widespread and consistent state practice and a belief in a legal obligation.⁵

Customary international law began to play a role in the protection of foreign investors in the early 20th century when the Minimum Standard of Treatment ('MST') emerged.⁶ The MST established the basic threshold of treatment that should be afforded to all foreign investors.⁷ Other general rules of customary international law also emerged, including the general prohibition of expropriation without compensation.⁸

Over time, however, states began to enter into IIAs as they deemed customary international law to be 'too amorphous . . . to provide sufficient guidance and protection' to foreign investors.⁹ In turn, IIAs and the growing case law on foreign investment have impacted the evolution of customary law.¹⁰ Today, customary international law still plays an important role in the resolution of investment disputes. All treaties must be interpreted in the context of the general rules of international law,¹¹ and some IIAs even refer expressly to the application of customary international law.¹² Among the elements of customary international law that regularly apply to ISDS cases brought under IIAs include: matters relating to state responsibility, such as the rules on attribution,

3 See Dolzer, Kriebaum and Schreuer (n 2) 15.

4 See Statute of the International Court of Justice (adopted 26 June 1945, entered into force 24 October 1945) [1945] UNTS XIV art 38(1). See also James R Crawford, 'The Sources of International Law' in Ian Brownlie (ed), *Brownlie's Principles of Public International Law* (9th edn, OUP 2019) 19–21.

5 See Christopher Greenwood, 'Sources of International Law: An Introduction' (*Legal Affairs Division, United Nations*) <https://legal.un.org/avl/pdf/ls/greenwood_outline.pdf> accessed 15 August 2024; Patrick Dumberry, 'A Few Observations on the Remaining Fundamental Importance of Customary Rules in the Age of Treatification of International Investment Law' (2016) 34 ASA Bulletin 41, 41.

6 See Dumberry (n 5) 42.

7 *ibid.*

8 *ibid* 42–43.

9 *ibid* 43. See also Campbell McLachlan, Laurence Shore and Matthew Weiniger, *International Investment Arbitration: Substantive Principles* (2nd edn, OUP 2017) para 1.70.

10 See e.g. Dolzer, Kriebaum and Schreuer (n 2) 22, 198–205 (explaining the evolution of the MST under international law and the fair and equitable treatment standard); McLachlan, Shore and Weiniger (n 9) paras 1.82–1.85.

11 See Vienna Convention on the Law of Treaties (adopted 23 May 1969, entered into force 27 January 1980) 1155 UNTS 331 art 31(3)(c) (a tribunal should take into account, together with the context of the treaty, any relevant rules of international law applicable in the relations between the parties; these 'rules of international law' include rules of customary international law); Dolzer, Kriebaum and Schreuer (n 2) 22; McLachlan, Shore and Weiniger (n 9) para 1.63.

12 See e.g. US Model Bilateral Investment Treaty (2012) art 5 (a direct reference to custom is often found in FET clauses).

the nationality of investors and the standard for reparation for breaches of international law.¹³ As such, although states increasingly rely on IIAs to offer clearer guidance and protection, customary international law continues to play a pivotal role in the resolution of investment disputes.

B. Laws of the Host State

Subject to the circumstances of an individual case, the interplay between relevant domestic rules of the host state and applicable rules of international law may become central to the analysis of a case.¹⁴ For example, the domestic rules on nationality may determine jurisdiction in a particular case, or the rules of contract interpretation may govern a tribunal's interpretation of an investment contract.

Domestic law can impact investments in many ways, as questions of domestic property law, commercial law, labour law, and tax law are often important when making a foreign investment.¹⁵ It may also apply when dealing with questions of admission and maintenance of investments.¹⁶ For example, Singapore often only extends treaty protection to investments that are 'specifically approved in writing,' subject to the laws in force and the conditions, if any, upon which such approval may be granted.¹⁷

If a foreign investor fails to abide by the host state's laws, they jeopardize protection under IIAs as a state might be able to use that non-compliance as a legitimate defence against a claim (assuming the law in question was adopted and applied with due process and in a non-discriminatory way).¹⁸ As shown in the next section, states are also starting to include some of these obligations in investment agreements, as a new generation of treaties appear to be introducing explicit environment and climate-change-related obligations on investors.¹⁹

13 See Dolzer, Kriebaum and Schreuer (n 2) 22. See also International Law Commission, Articles on State Responsibility (2001) UN Doc A/56/10 (hereinafter 'ILC Articles'). The ILC Articles establish, among other things, the rules of attribution under international law. They have been recognized as the most authoritative statement of law and a codification of customary international law. When the applicable investment treaty specifies rules of attribution, arbitral tribunals will often invoke these rules and complete their analysis by referring to the ILC Articles for the questions not covered by those rules. See James R Crawford, 'Investment Arbitration and the ILC Articles on State Responsibility' (2010) 25 ICSID Review—Foreign Investment Law Journal 128; Crawford, 'The Sources of International Law' 41.

14 See Dolzer, Kriebaum and Schreuer (n 2) 15.

15 *ibid* 15.

16 See Karsten Nowrot, 'Obligations of Investors' in Marc Bungenberg and others (eds), *International Investment Law* (C.H. Beck 2015) 1154, 1170.

17 See e.g. Agreement between the Government of the Republic of Singapore and the Government of the Kingdom of Belgium and the Grand Duchy of Luxembourg on the Promotion and Protection of Investments (adopted 17 November 1978, entered into force 27 November 1980) art 3; Agreement between the Government of the Republic of Singapore and the Government of the Republic of France (adopted 8 September 1975, entered into force 18 October 1976) 1036 UNTS 353 art 9; Agreement between the Government of the Republic of Singapore and the Government of the United Kingdom of Great Britain and Northern Ireland for the Promotion and Protection of Investments (adopted 22 July 1975, entered into force 22 July 1975) 1018 UNTS 175 art 12.

18 See *Fraport AG Frankfurt Airport Services Worldwide v Republic of the Philippines*, ICSID Case No. ARB/03/25, Award, 16 August 2007, para 401; *Cortec Mining Kenya Limited, Cortec (Pty) Limited and Stirling Capital Limited v Republic of Kenya*, ICSID Case No. ARB/15/29, Award, 22 October 2018 (reading an implicit legality requirement into the treaty and dismissing the claims on jurisdictional grounds, after finding that the investors had failed to comply with Kenya's environmental regulations); Rahim Moloo and Alex Khachaturian, 'The Compliance with the Law Requirement in International Investment Law' (2011) 34 Fordham Intl LJ 1473.

19 See *infra* Section II. See also United Nations Conference on Trade and Development, *International Investment in Climate Change Adaptation and Mitigation: Trends and Policy Developments*, UNCTAD/DIAE/INF/2022/2 <https://unctad.org/system/files/official-document/diaeinf2022d2_en.pdf> accessed 3 September 2024, 15–19.

II. International Investment Agreements and Current Trends

Treaties between states are one of the main sources of international law, and IIAs have become the most important source of contemporary international investment law.²⁰ This is for the obvious reason that in addition to providing for clearly articulated substantive rights, they generally provide for a means to enforce those rights—*i.e.* through investor-state arbitration. The first modern BIT was signed between Germany and Pakistan in 1959.²¹ Several states followed suit shortly thereafter, and today, it is estimated that states have signed over 3,000 BITs²² and several multilateral agreements²³ as well as free trade agreements with investment provisions.²⁴

Initially, BITs were relatively short agreements that included definitions of ‘investor’ and ‘investment,’ substantive standards of protection, and dispute settlement provisions.²⁵ While ‘[t]he provisions in the early treaties [were] often less stringent and formulated in nebulous terms,’²⁶ BITs have increased in their scope and complexity. States have come a long way since the first wave of international investment agreements were concluded, as experience litigating investment arbitration cases has resulted in lessons that influence drafting. As a result, many model investment treaties, which serve as starting points for future treaty negotiations,²⁷ have been redrafted.²⁸

Several states have sought to regain more flexibility by renegotiating or adopting new treaties that award them broader regulatory authority or limit investor rights.²⁹ This has led to the development of new-generation treaties that depart significantly from the start of the era of modern BITs in the 1960s.³⁰

For example, following a shift in its foreign investment policy,³¹ India approved its 2015 Model BIT (‘India’s Model BIT’), which includes provisions on investor obligations and corporate social responsibility (‘CSR’).³² Over fears that ISDS tribunals often interpret the provision too broadly—a fear that caused India to altogether terminate a number of BITs—India’s Model BIT does not

20 See Dolzer, Kriebaum and Schreuer (n 2) 16.

21 *ibid* 9; Clasmeier (n 2) 27; McLachlan, Shore and Weiniger (n 9) para 2.04.

22 See Dolzer, Kriebaum and Schreuer (n 2) 16; Clasmeier (n 2) 27, 46; McLachlan, Shore and Weiniger (n 9) paras 1.06, 2.04.

23 See *e.g.* ASEAN Comprehensive Investment Agreement (adopted 26 February 2009; entered into force 29 March 2012); The Dominican Republic—Central America—United States Free Trade Agreement (adopted 5 August 2004; entered into force 1 March 2006) (‘CAFTA-DR’).

24 See *e.g.* Colombia-United States Trade Promotion Agreement (adopted 22 November 2006; entered into force 15 May 2012).

25 See Dolzer, Kriebaum and Schreuer (n 2) 16–17.

26 M Sornarajah, *The International Law on Foreign Investment* (5th edn, CUP 2021) 186–87.

27 See Clasmeier (n 2) 46.

28 This is the case, for example, of the 2004 and 2012 US Model BITs. With regards to expropriation, the 2012 US Model BIT added that certain non-discriminatory regulatory actions could not constitute an indirect expropriation (Annex B(4)(b)). See US Model Bilateral Investment Treaty (2004); US Model Bilateral Investment Treaty (2012).

29 See Crina Baltag, Riddhi Joshi, and Kabir Duggal, ‘Recent Trends in Investment Arbitration on the Right to Regulate, Environment, Health and Corporate Social Responsibility: Too Much or Too Little?’ (2023) 38(2) ICSID Review 381, 382.

30 See Dolzer, Kriebaum and Schreuer (n 2) 9.

31 See ‘India Takes Steps to Reform its Investment Policy Framework after Approving New Model BIT’ (*International Institute for Sustainable Development: Investment Treaty News*, 10 August 2016) <<https://www.iisd.org/itn/en/2016/08/10/india-takes-steps-to-reform-its-investment-policy-framework-after-approving-new-model-bit/>> accessed 22 August 2024; Prabhaskar Ranjan and others, *India’s Model Bilateral Investment Treaty: Is India Too Risk Averse?* (Brookings India IMPACT Series No 082018, August 2018) 8–10.

32 See Model Text for the Indian Bilateral Investment Treaty (adopted 28 December 2015) arts 11–12.

include a fair and equitable treatment ('FET') provision.³³ Instead, India's Model BIT includes protections against denial of justice under customary international law, a fundamental violation of due process, and manifestly abusive treatment.³⁴ While some sceptics wondered how much success India would have negotiating new treaties with its Model BIT, it was able to sign a treaty with Brazil in 2020,³⁵ which includes limited investor protections, investor obligations, and numerous provisions to protect the states' regulatory space.³⁶ And while it does not provide for investor-state arbitration, it contains other dispute resolution mechanisms, such as an ombudsman and a 'dispute prevention procedure'.³⁷

In 2016, Morocco and Nigeria signed a BIT ('Morocco-Nigeria BIT') that sets out pre- and post-investment obligations on investors related to the environment, as well as obligations concerning anti-corruption.³⁸ It also enshrines the host state's right to regulate to 'ensure that development in its territory is consistent with the goals and principles of sustainable development, and with other legitimate social and economic policy objectives'.³⁹ The Morocco-Nigeria BIT also notably conditions the existence of an 'investment' to those that 'contribute [to the] sustainable development' of the host state.⁴⁰ How and whether this will limit the type of investments that will receive protection is to be seen.

Similarly, in 2019, the Netherlands issued its latest Model Investment Agreement ('Dutch Model BIT').⁴¹ While the Dutch Model BIT maintains the usual investor protections included in its 2004 predecessor, with some variations,⁴² it now includes, among other things, gender-responsive

33 See Ranjan and others (n 31) 24.

34 See Model Text for the Indian Bilateral Investment Treaty (adopted 28 December 2015) art 3.1.

35 Tejas Shiroor, 'The Year 2016 for India—Of New Beginnings and Not-So-Happy Endings?' (*Kluwer Arbitration Blog*, 28 December 2016) <<https://arbitrationblog.kluwerarbitration.com/2016/12/28/the-year-2016-for-india-of-new-beginnings-and-not-so-happy-endings/>> accessed 4 September 2024.

36 See Investment Cooperation and Facilitation Treaty between the Federative Republic of Brazil and the Republic of India (adopted 25 January 2020) arts 4, 10–12, 20–24.

37 *ibid* arts 14, 18.

38 See Reciprocal Investment Promotion and Protection Agreement between the Government of the Kingdom of Morocco and the Government of the Federal Republic of Nigeria (adopted 3 December 2016) arts 13–14, 17–19, 24. For example, Article 14 imposes a binding obligation on investors to conduct an environmental impact assessment. Article 18(4) further provides that '[i]nvestors and investments shall not manage or operate the investments in a manner that circumvents international environmental, labour and human rights obligations to which the host state and/or home state are Parties.' Arguably, international climate change obligations could include the United Nations Framework Convention on Climate Change and the Paris Agreement, such that investors would have an obligation to ensure that their activities do not undermine these treaties. See Maxi Scherer and Clara Reichenbach, 'Chapter 5: Climate-Related Counterclaims in International Investment Arbitration' in Annette Magnusson and Anja Ipp (eds), *Investment Arbitration and Climate Change* (Kluwer Law International 2023) 125.

39 See Reciprocal Investment Promotion and Protection Agreement between the Government of the Kingdom of Morocco and the Government of the Federal Republic of Nigeria (adopted 3 December 2016) art 23(1).

40 See *ibid* art 1.

41 See Netherlands Model Investment Agreement (adopted 22 March 2019). See also Eric De Brabandere, 'The 2019 Dutch Model Bilateral Investment Treaty: Navigating the Turbulent Ocean of Investment Treaty Reform' (2021) 36(2) ICSID Review 319.

42 For example, the Dutch Model BIT limited the full protection and security standard to physical protection, thus excluding any extension to legal protection and security. It also detailed the elements under which a state act or omission could be considered discriminatory, such as gender, race, nationality, or religious belief, which are geared more towards discrimination of natural persons rather than corporations. See Netherlands Model Investment Agreement (adopted 22 March 2019) art 9; De Brabandere (n 41) 329–30.

policies as well as international sustainability goals and CSR obligations.⁴³ However, these innovative provisions are excluded from the scope of the ISDS clause, which only applies to investment protections.⁴⁴ More generally, the Dutch Model BIT included strikingly more detail, following a trend in many treaties to carefully cover a variety of situations and procedural questions.⁴⁵

Another relevant reform occurred in 2020 with the advent of the United States–Mexico–Canada Agreement (‘USMCA’), which entered into force on 1 July 2020 to replace the North America Free Trade Agreement (‘NAFTA’). The USMCA limited investor-state arbitration by only allowing arbitration against Mexico or the United States by nationals of the other.⁴⁶ There is no ISDS with Canada.⁴⁷ In addition, investors from Mexico or the United States may only submit arbitration claims related to the alleged breach of national treatment and most-favoured-nation (‘MFN’) treatment, except with respect to the establishment or acquisition of an investment, direct expropriation⁴⁸ and breaches of government contracts.⁴⁹ As a result, claims stemming from the breach of FET standard, for example, while recognized in the USMCA, are not arbitrable except when the investment in question is made in a specifically covered sector.⁵⁰

In 2023, Venezuela—a staunch ISDS critic that had withdrawn from a number of BITs and the Convention on the Settlement of Investment Disputes between States and Nationals of Other States, better known as the ‘ICSID Convention’—entered into three new BITs with Colombia (‘Venezuela-Colombia BIT’), Türkiye (‘Venezuela-Türkiye BIT’), and China (‘Venezuela-China BIT’). None are yet in force, although the Venezuela-Türkiye BIT was ratified by Venezuela in May 2024⁵¹ and the Venezuela-China BIT was ratified by Venezuela in November 2024.⁵² The

43 See Netherlands Model Investment Agreement (adopted 22 March 2019) arts 6–7, 20(2). Article 20(2) of the Dutch Model BIT even tasks the appointing authority in an ISDS dispute to ‘strive for gender and geographic diversity’ in the appointment of arbitral tribunals. See also Marike RP Paulsson, ‘The 2019 Dutch Model BIT: Its Remarkable Traits and the Impact on FDI’ (*Kluwer Arbitration Blog*, 18 May 2020) <<https://arbitrationblog.kluwerarbitration.com/2020/05/18/the-2019-dutch-model-bit-its-remarkable-traits-and-the-impact-on-fdi/>> accessed 4 September 2023.

44 See Netherlands Model Investment Agreement (adopted 22 March 2019) art 16(1); De Brabandere (n 41) 319, 326–28.

45 See De Brabandere (n 41) 320, 331.

46 See Protocol Replacing the North American Free Trade Agreement with the Agreement Between Canada, The United States of America, and the United Mexican States (adopted 30 November 2018, entered into force 1 July 2020) Annex 14-D.

47 However, other investment treaty protections could apply. For example, both Canadian and Mexican investors may submit their disputes to arbitration under the Comprehensive and Progressive Agreement for Trans-Pacific Partnership. See Comprehensive and Progressive Agreement for Trans-Pacific Partnership (adopted 8 March 2018, entered into force 30 December 2018).

48 See Protocol Replacing the North American Free Trade Agreement with the Agreement Between Canada, The United States of America, and the United Mexican States (adopted 30 November 2018, entered into force 1 July 2020) art 14.D.3.1.

49 See Protocol Replacing the North American Free Trade Agreement with the Agreement Between Canada, The United States of America, and the United Mexican States (adopted 30 November 2018, entered into force 1 July 2020) Annex 14-E.

50 See *ibid* Article 14.6, Annex 14-E.

51 See Gaceta Oficial de la República Bolivariana de Venezuela No. 6.808 Extraordinario (13 May 2024) (in English, Official Gazette of the Bolivarian Republic No. 6.808 Extraordinary) (translation is our own).

52 See Acuerdo entre la República Bolivariana de Venezuela y el Gobierno de la República Popular de China Relativo a la Promoción y Protección de Inversiones (signed 22 May 2025) (in English, Agreement between the Bolivarian Republic of Venezuela and the People’s Republic of China Regarding the Promotion and Reciprocal Protection of Investments) (translation is our own). Venezuela ratified the agreement in November 2024. See Gaceta Oficial de la

treaties are notable for including an origin of capital requirement in the definition of ‘investment’ and explicitly excluding assets such as arbitral awards or court orders, public debt, portfolio investments, and claims to money exclusively derived from the sale of goods.⁵³ The treaties also provide for ISDS under the Arbitration Rules of the United Nations Commission on International Trade Law (‘UNCITRAL’), subject to a parallel litigation waiver requirement and a three-year limitation period.⁵⁴ The Venezuela-Colombia BIT also states that the parties involved in an investor-state dispute may choose to submit a dispute to a binational arbitration centre.⁵⁵ We understand that no such centre exists to date.

The examples provided illustrate efforts to strike a balance between the regulatory flexibility of a host state and the protections afforded to foreign investors.⁵⁶ In turn, these reforms could potentially reshape how investors approach and manage their investments, as well as influence the outcomes of ISDS proceedings.⁵⁷ However, these new-generation treaties are exceptions rather than the norm, and many have yet to enter into force.

Investors will understandably view these treaties as less protective and could attempt to seek greater protections by restructuring their investments or by invoking an MFN clause (granting investors no less favourable treatment than investors from third states, including those that might have greater investment treaty protections).⁵⁸

As states continue to refine their treaty drafting practices, it is important to recognize the institutional reasons behind the traditionally one-sided nature of international investment agreements. IIAs were originally designed to attract foreign investment and address specific challenges faced

República Bolivariana de Venezuela No. 6.852 Extraordinario (13 November 2024) (in English, Official Gazette of the Bolivarian Republic No. 6.852 Extraordinary) (translation is our own).

53 See Agreement between the Government of the Republic of Türkiye and the Government of the Bolivarian Republic of Venezuela on the Reciprocal Promotion and Protection of Investments (signed 27 July 2023) art 2; Acuerdo entre la República Bolivariana de Venezuela y la República de Colombia Relativo a la Promoción y Protección Recíproca de Inversiones (signed 3 February 2023) art 2 (in English, Agreement between the Bolivarian Republic of Venezuela and the Republic of Colombia Regarding the Promotion and Reciprocal Protection of Investments) (translation is our own); Acuerdo entre la República Bolivariana de Venezuela y el Gobierno de la República Popular de China Relativo a la Promoción y Protección de Inversiones (signed 22 May 2025) art 2 (in English, Agreement between the Bolivarian Republic of Venezuela and the People’s Republic of China Regarding the Promotion and Reciprocal Protection of Investments) (translation is our own).

54 See Agreement between the Government of the Republic of Türkiye and the Government of the Bolivarian Republic of Venezuela on the Reciprocal Promotion and Protection of Investments (signed 27 July 2023) art 12(2)–(3); Acuerdo entre la República Bolivariana de Venezuela y la República de Colombia Relativo a la Promoción y Protección Recíproca de Inversiones (signed 3 February 2023) art 12(b)–(c) (in English, Agreement between the Bolivarian Republic of Venezuela and the Republic of Colombia Regarding the Promotion and Reciprocal Protection of Investments) (translation is our own); Acuerdo entre la República Bolivariana de Venezuela y el Gobierno de la República Popular de China Relativo a la Promoción y Protección de Inversiones (signed 22 May 2025) art 12 (in English, Agreement between the Bolivarian Republic of Venezuela and the People’s Republic of China Regarding the Promotion and Reciprocal Protection of Investments) (translation is our own).

55 See Acuerdo entre la República Bolivariana de Venezuela y la República de Colombia Relativo a la Promoción y Protección Recíproca de Inversiones (signed 3 February 2023) art 12(b) (in English, Agreement between the Bolivarian Republic of Venezuela and the Republic of Colombia Regarding the Promotion and Reciprocal Protection of Investments) (translation is our own).

56 See M Sornarajah, *The International Law on Foreign Investment* (5th edn, CUP 2021) 175; Klara Polackova Van der Ploeg, ‘Protection of Regulatory Autonomy and Investor Obligations: Latest Trends in Investment Treaty Design’ (2018) 51 *International Lawyer* 109, 119.

57 See Polackova Van der Ploeg (n 56) 119.

58 See Marc Jacob and Stephan W Schill, ‘Going Soft: Towards a New Age of Soft Law in International Investment Law?’ (2014) 8(1) *World Arbitration and Mediation Review* 1, 32, 45.

by investors and thus were not intended to be reciprocal. States have always been able to pursue investors for unlawful conduct through domestic regulatory or administrative actions, and that has not changed. IIAs were meant to compensate for this imbalance, at least in part. Specifically, ISDS was created to allow foreign investors to bring claims before a politically neutral forum, offering a crucial guarantee of an independent and impartial tribunal.⁵⁹ Meanwhile, states arguably benefited by securing foreign investments, which was seen as a key driver of economic development.

III. The Role of Precedents: The Road Towards Greater Uniformity

In examining the landscape of international law, a question emerges regarding the weight and significance attributed to precedents.

In the context of the International Court of Justice ('ICJ'), the ICJ Statute clarifies that '[t]he decision of the Court has no binding force except between the parties and in respect of that particular case.'⁶⁰ This language is often read as excluding a formal doctrine of precedent in international law.⁶¹ However, while there is no *stare decisis* in international law, prior decisions are considered a 'subsidiary means for the determination of rules of law'⁶² and have been persuasive to the court.⁶³

In international investment arbitration, it is similarly well-established that tribunals are not bound by precedents.⁶⁴ In this regard, Article 53(1) of the ICSID Convention provides that an award is only binding 'on the parties.'⁶⁵ Some tribunals have further limited the relevance of prior arbitral decisions. For example, in *AES v. Argentina*, Argentina asked the tribunal to consider the case individually rather than as forming part of a series of other cases. The tribunal agreed and stated:⁶⁶

[E]ach decision or award delivered by an ICSID Tribunal is only binding on the parties to the dispute settled by this decision or award. There is so far no rule of precedent in general international law; nor is there any within the specific ICSID system . . .

While it held that each tribunal remained 'sovereign,' the tribunal found that it could consider the lines of reasoning in cases with 'the same or very similar issues' and could adopt the same rationale if it found that reasoning convincing.⁶⁷

However, merely stating that previous decisions are not binding does not accurately represent arbitral practice.⁶⁸ The absence of a doctrine of precedent has not stopped arbitral tribunals from

59 See UNCTAD, IIA Issues Note No. 2, 'Reform of Investor-State Dispute Settlement: In Search of a Roadmap' (2013), 2.

60 Statute of the International Court of Justice (adopted 26 June 1945, entered into force 24 October 1945) [1945] UNTS XIV art 59.

61 See Gabrielle Kaufmann-Kohler, 'Arbitral Precedent: Dream, Necessity or Excuse?' (2007) 23 *Arbitration International* 357, 360–61.

62 Statute of the International Court of Justice (adopted 26 June 1945, entered into force 24 October 1945) [1945] UNTS XIV art 38. See also Crawford, 'The Sources of International Law' 35.

63 See Kaufmann-Kohler (n 61) 361.

64 See Dolzer, Kriebaum and Schreuer (n 2) 45; Patrick Dumberry, 'The Role and Relevance of Awards in the Formation, Identification and Evolution of Customary Rules in International Investment Law' (2016) 33 *Journal of International Arbitration* 269, 272–73.

65 Convention on the Settlement of Investment Disputes between States and Nationals of Other States (adopted 18 March 1965, entered into force 14 October 1966) 575 UNTS 159 art 53(1). See also *Wintershall Aktiengesellschaft v Argentine Republic*, ICSID Case No. ARB/04/14, Award, 8 December 2008, para 194.

66 *AES Corporation v The Argentine Republic*, ICSID Case No. ARB/02/17, Decision on Jurisdiction, 26 April 2005, para 23(d).

67 *AES Corporation v The Argentine Republic*, ICSID Case No. ARB/02/17, Decision on Jurisdiction, 26 April 2005, para 30.

68 See Clasmeier (n 2) 43.

increasingly relying on prior arbitral ‘case law’—especially when a series of cases have articulated similar standards—as authority for their decisions.⁶⁹ In practice, tribunals examine and rely on previous awards by other tribunals and international courts,⁷⁰ and often explain why they accept the findings of other tribunals or distance themselves from earlier decisions and depart from them.⁷¹ Therefore, while arbitrators have no obligation to follow precedents, prior cases have become an important part of the development of international investment law.⁷² Some tribunals even believe that they must follow a consistent line of earlier decisions to avoid concerns over the divergence of interpretations and to improve the consistency and predictability of decisions.⁷³

Prior arbitral decisions—often rendered by three accomplished arbitrators after an adversarial proceeding—can aid tribunals in interpreting broad terms such as ‘fair,’ ‘arbitrary,’ or ‘discriminatory.’ These terms can be difficult to interpret in isolation and their application to different fact patterns can be helpful to elucidate core aspects of their meaning in the investment law context. As a result, prior investment arbitration decisions can be a helpful resource for counsel and arbitrators alike.

The evolution of investment arbitration law and precedents has gradually led to a degree of harmonization, prompting some scholars to describe a ‘common law of investment protection, with a substantially shared understanding of its general tenets.’⁷⁴ For instance, a consistent jurisprudence has begun to develop around the notion of FET.⁷⁵ Other legal issues, such as the application of umbrella clauses and the scope of MFN provisions, still lack uniform consensus.⁷⁶

When relying on prior decisions, however, one must be careful to account for differences in treaty text. It is not appropriate to adopt the reasoning of prior decisions wholesale without careful consideration of the differences in the language being interpreted read in its proper context. And,

69 See D Brian King and Rahim Moloo, ‘International Arbitrators as Lawmakers’ (2014) 46 (3) *NYU Journal of International Law and Politics*, 875; Patrick M Norton, ‘The Use of Precedents in Investment Treaty Arbitration Awards’ (2014) 25(2) *The American Review of International Arbitration* 167; *Saipem S.p.A. v The People’s Republic of Bangladesh*, ICSID Case No. ARB/05/07, Decision on Jurisdiction and Recommendation on Provisional Measures, 21 March 2007, para 67 (explaining that while the tribunal ‘is not bound by previous decisions . . . it is of the opinion that it must pay due consideration to earlier decisions of international tribunals’).

70 Likewise, there is an emerging trend for international courts to refer to arbitral tribunals’ jurisprudence. See e.g. Valentina Vadi, *Analogies in International Investment Law and Arbitration* (CUP 2016).

71 Dolzer, Kriebaum and Schreuer (n 2) 45–47; *Señor Tza Yap Shum v The Republic of Peru*, ICSID Case No. ARB/07/6, Decision on Jurisdiction and Competence, 19 June 2009, para 173; *SGS Société Générale de Surveillance S.A. v The Republic of Paraguay*, ICSID Case No. ARB/07/29, Decision on Jurisdiction, 12 February 2010, paras 41–42; *Kiliç İnşaat İthalat İhracat Sanayi Ve Ticaret Anonim Şirketi v Turkmenistan*, ICSID Case No. ARB/10/1, Decision on Article VII.2 of the Turkey– Turkmenistan Bilateral Investment Treaty, 7 May 2012, paras 9.9–9.13; *Orascom TMT Investments S.à r.l. v People’s Democratic Republic of Algeria*, ICSID Case No. ARB/12/35, Award, 31 May 2017, para 287; *Manuel García Armas and others. v Bolivarian Republic of Venezuela*, PCA Case No. 2016–08, Award on Jurisdiction, 13 December 2019, paras 726–33.

72 Certain scholars note, however, that ‘[t]he massive use of precedents by investment tribunals in their argumentation is not the equivalent of the development of a rule of binding precedent.’ Eric De Brabandere, ‘Arbitral Decisions as a Source of International Investment Law’ in Tarcisio Gazzini and Eric De Brabandere (eds), *International Investment Law: The Sources of Rights and Obligations* (Martinus Nijhoff Publishers 2012) 1, 28.

73 See *Saipem S.p.A. v The People’s Republic of Bangladesh*, ICSID Case No. ARB/05/07, Decision on Jurisdiction and Recommendation on Provisional Measures, 21 March 2007, para 67; Dolzer, Kriebaum and Schreuer (n 2) 47.

74 McLachlan, Shore and Weiniger (n 9) para 1.75.

75 See Kaufmann-Kohler (n 61) 371; Clasmeier (n 2) 30.

76 See Kaufmann-Kohler (n 61) 369–71; *Wintershall Aktiengesellschaft v Argentine Republic*, ICSID Case No. ARB/04/14, Award, 8 December 2008, para 178; *El Paso Energy International Company v The Argentine Republic*, ICSID Case No. ARB/03/15, Decision on Jurisdiction, 27 April 2006, paras 76–78.

of course, decisions can be wrong—thus, cases should be especially scrutinized where a *jurisprudence constante* has not yet emerged on the issue being considered.

To improve the consistency of arbitral decisions—an improvement viewed as necessary based on historical inconsistent decisions⁷⁷—some states have considered the creation of a standing and/or appeals mechanism.⁷⁸ Since 2017, the UNCITRAL Working Group III has discussed numerous reform options for ISDS, including the possibility of establishing a standing mechanism to resolve disputes, which would presumptively include an appeals tribunal.⁷⁹

Similarly, Article 28(10) of the 2012 US Model BIT foresees the possibility of establishing an appellate mechanism.⁸⁰

In the event that an appellate mechanism for reviewing awards rendered by investor-State dispute settlement tribunals is developed in the future under other institutional arrangements, the Parties shall consider whether awards rendered under Article 34 should be subject to that appellate mechanism. The Parties shall strive to ensure that any such appellate mechanism they consider adopting provides for transparency of proceedings similar to the transparency provisions established in Article 29.

However, an appellate body could only harmonize case law to the extent treaty language is the same (or very similar). And while consistency is desirable so that both states and investors can govern their behaviour in accordance with a known set of rules, getting decisions right and allowing for some evolution of the law in this still relatively young field, is also important. Accordingly, it is unclear whether an appellate body would achieve the lofty goals set for it.

IV. The Role of Soft Law

Soft laws are understood as rules of potential application that have no direct legal force or effect.⁸¹ Soft law can play a role in helping to fill gaps and develop practices that allow for the efficient resolution of ISDS cases.

Soft law, however, rarely applies to the substantive protections applicable in investment law because tribunals risk failing to apply the applicable law if they deviate from the treaty text.

77 For example, the well-known cases of *CME v Czech Republic* and *Lauder v Czech Republic* resulted in different decisions in relation to the same underlying factual situation, giving rise to substantial criticism by the international legal community. Notwithstanding the same facts and ‘*virtually identical claims*,’ both tribunals found that they had jurisdiction to hear the claims as the relevant parties and applicable BITs were different. However, on the merits, the *Lauder* tribunal rejected all the claimant’s requests for relief, while the *CME* tribunal found for the claimant in each of its claims. See *Ronald S. Lauder v The Czech Republic*, UNCITRAL, Final Award, 3 September 2001, paras 160–80, 255, 264, 291, 296–29; *CME Czech Republic B.V. v The Czech Republic*, UNCITRAL, Partial Award, 13 September 2001, paras 412, 514–15, 520, 534, 603, 611–14.

78 See Dolzer, Kriebaum and Schreuer (n 2) 47.

79 See United Nations Commission on International Trade Law, Possible Reform of Investor-State Dispute Settlement (ISDS): Draft Statute of a Standing Mechanism for the Resolution of International Investment Disputes (Working Group III (Investor-State Dispute Settlement Reform), 48th session, New York, 1–5 April 2024) arts 1–3.

80 US Model Bilateral Investment Treaty (2012) art 28(10). See also CAFTA-DR art 10.20(10); United States–Singapore Free Trade Agreement (adopted 6 May 2003; entered into force 1 January 2004) art 15.19(10); Free Trade Agreement between the Government of the United States of America and the Government of the Republic of Chile (adopted 6 June 2003; entered into force 1 January 2004) art 10.19(10).

81 See Gabrielle Kaufmann-Kohler, ‘Soft Law in International Arbitration: Codification and Normativity’ (2010) *Journal of International Dispute Settlement* 1, 2; George A Bermann, *Twilight Issues in International Arbitration: Latent Choice of Law Challenges* (Kluwer Law International 2023) 105, 107.

Instead, soft law applies mainly to the procedure for resolving disputes (such as on issues of evidence, where the applicable arbitral rules tend to allow broad discretion). Because this chapter focuses on the substantive law applicable in international investment disputes, we do not address procedural soft law tools here.

Substantively, soft law can play a role to assess conduct touching on issues where investment treaties are silent, such as in the field of CSR.⁸² As shown,⁸³ while some newer treaties and model BITs are starting to implement provisions on CSR, the vast majority of treaties do not feature these provisions.⁸⁴ Today, the primary tools for implementing CSR are soft law instruments, such as the United Nations Global Compact and the United Nations Norms on the Responsibilities of Transnational Corporations and Other Business Enterprises with Regard to Human Rights and the OECD Guidelines on Multinational Enterprise.⁸⁵ Although sparingly applied, some investment arbitration tribunals are beginning to refer to these instruments in analysing otherwise vague standards of treatment in investment agreements. In *Al Warraq v. Indonesia*, for example, the tribunal referred to the United Nations' Guidelines on the Role of Prosecutors in analysing the FET standard.⁸⁶

Again, however, applying soft law instruments to inform substantive obligations can be risky given that the law must be applied as agreed or else an award risks annulment.

V. Conclusion

The sources of international investment law have evolved over time, as has their content. Historically, host state law, and to a more limited extent, customary international law, were the main sources of law governing foreign investments. This has changed substantially in recent decades with the proliferation of investment treaties (and free trade agreements with investment chapters), though host state law continues to be applicable and relevant, including in the ISDS context. The content of investment treaties continues to evolve in response to the initial wave of investment cases. New-generation treaties are also adapting to contemporary economic and political contexts.

Additionally, the interpretation of the applicable treaty standards continues to be informed by developing case law (and, for that matter, scholarship). While not binding on a tribunal—whose sole task it is to decide the dispute before it—the reasoning of previous tribunals can help add nuance to otherwise broadly worded standards of protection.

There is little room to apply soft law instruments to the substance of an international investment dispute because to do so risks failing to apply the law, which renders any award vulnerable to annulment. However, soft law plays an important role in procedural matters, especially with respect to matters on which tribunals retain broad discretion on how to conduct proceedings.

International investment law is still relatively young, even though it has developed substantially in recent years as a result of the introduction of a means to enforce investor rights against states through ISDS. That development has been good for the rule of law. As the world continues to become more interdependent—a thesis that is periodically challenged to serve domestic political

82 See Marss Jacob and Stephan W Schill, 'Going Soft: Towards a New Age of Soft Law in International Investment Law?' (2014) 8(1) World Arbitration and Mediation Review 1, 2; Stephan Schill, *Sources of International Investment Law: Multilateralization, Arbitral Precedent, Comparativism, Soft Law* (ACIL Research Paper 2017–16, Amsterdam Center for International Law 2017) 1, 17.

83 See *supra* Section II.

84 See Jacob and Schill (n 82) 16.

85 *ibid* 17.

86 See Hesham T M Al Warraq v Republic of Indonesia, UNCITRAL, Final Award, 15 December 2014, para 577.

constituencies, but one that remains a reality in the long term—the law governing international investment will continue to evolve, primarily through an evolution of the language used in investment treaties and refinements to host state laws. As it does, we must strive to maintain the delicate balance between allowing states sufficient regulatory flexibility on the one hand and ensuring that foreign investors—which are critical to economic development—do not unduly bear the burden of evolving state policies.

DOMESTIC FOREIGN INVESTMENT LAWS

David Collins

I Introduction

Until recently largely neglected by academia,¹ national laws governing foreign investment are a key component of an individual state's investment governance with vital repercussions on international investment law. The enactment of domestic statutes governing foreign investment requires scholarly attention for several reasons. First, greater transparency is needed for foreign investors seeking to enter foreign markets, especially in an increasingly complex legal environment. Second, international investment treaties, particularly those concluded more than twenty years ago, placed significant obligations on states with few corresponding obligations on investors. International investment treaties possibly also lacked the promotional features needed to drive foreign direct investment (FDI), designed as they were initially merely to assuage investors' worries rather than to identify new opportunities in a proactive sense. Domestic laws can redress this imbalance and gaps. Third, there has been a marked decline in the number of new international investment agreements (IIAs), yet domestic foreign investment laws (FILs) are increasing in number,² especially in relation to screening for national security purposes.³ In light of these trends, the domestic framework covering foreign investment is poised to become a significant component of any study on international investment law. Fourth, the growing importance of FILs is reflected in the creation and success of a dedicated research organization, focusing specifically on foreign investment legislation.⁴ Finally, some regard the relevant national legal framework as the main element of the 'investment bargain' between the investor and the host state. This is because the investor's basic property and contractual rights are found within national law, as are other important matters such

1 J Salacuse notably identified 'the national legal framework' as one of the titular *Three Laws of International Investment* (OUP 2013).

2 UNCTAD *World Investment Report 2023* (UN 2023) at 58.

3 *ibid.* (indicating that 66 countries introduced 146 measures regarding investment, a 36 per cent increase over 2021; encouragingly, the number of measures favouring investment nearly doubled, from 55 to 102, while the number of policies that were less favourable to investment remained stable).

4 See e.g. the CELIS Institute, created in 2020, in Berlin, Germany: <<https://www.celis.institute/>> accessed November 2023.

as taxation, environment, and labour laws.⁵ In addition to a country's IIA network, such legislation therefore represents a key aspect of foreign investment governance and has ramifications that go well beyond national policies.⁶

It must be noted that there are many laws which might not be designed purposefully to facilitate and promote investment but are nevertheless part of a broader investment legal ecosystem. In other words, they represent features of the host state with which foreign investors must contend, much as their local equivalents do. Such laws include public-private partnerships rules and public procurement laws. Countries may also use these laws to attract FDI for various projects.⁷ Other laws that can impact foreign investment are property law, employment law, and procedural rules on dispute settlement, such as arbitration law or the rules of civil procedure. This chapter does not concern itself with the entirety of the domestic legal framework that has the potential to affect foreign investors—this would be too large a field to offer meaningful commentary. It focuses instead on dedicated pieces of legislation intended to address foreign investors as a distinct category of economic enterprise. These are sometimes described as investment 'codes' because they consolidate a range of relevant regulations into one statutory instrument aimed specifically at foreign investors. In so doing, they achieve what might be suggested is the primary function of facilitating beneficial FDI by clarifying the nature of the legal requirements imposed by the host state on foreign investors.

This chapter investigates two broad categories of FILs: (1) those concerned with national security/screening (2) and those which focus on the state's competitive status, and which are more general in nature. The former category has often been a subject of inquiry in its own right by scholars.⁸ Screening for national security purposes is linked to the broader issue of essential security in international economic law.⁹ Essential security concerns can justify trade barriers under Article XXI of the GATT,¹⁰ and excuse various state interferences with the interests of foreign investors under the essential security exception in IIAs.¹¹²

The second category of FILs, that of general, competition-oriented laws, is a less-well developed field of study, although this is beginning to change as the importance of dedicated foreign investment legislation is growing. These kinds of FILs embrace a greater range of policy issues than merely national security, encompassing laws designed to ensure that foreign investment will augment the receiving states competitiveness in global markets. Such FILs may be seen as the primary source of information for potential foreign investors seeking access into a given host state, and as such, these instruments often give a flavour of the kind of regulatory environment as well as how an investor will be judged by foreign authorities. Likewise, as host states seek to compete for the best FDI projects they will be aware that their FILs will also be a means by which they are assessed by selective foreign investors.

5 Salacuse (n 1) 138.

6 S Spears, 'The Quest for Policy Space in a New Generation of International Investment Agreements' (2010) 13 *Journal of International Economic Law* 1037.

7 See Burger P and Hawkesworth I, 'How to Attain Value for Money' (2011) 11 *OECD Journal on Budgeting* 91.

8 See e.g. R Watai, 'Digital Trade and National Security Exceptions' (2021) 2 *International Trade Law and Regulation* 119.

9 See Chapter 5 of this *Handbook*.

10 *Russia—Measures Concerning Traffic in Transit*, WT/DS512, panel decision adopted 26 April 2019.

11 See e.g. Article 24(3) of the Energy Charter Treaty, signed on 17 December 1994, in force on 16 April 1998, 2080 UNTS 100.

12 See e.g. *CMS v Argentina*, ICSID Case No. ARB/01/8, Decision of the ad hoc Committee on the Application for Annulment of the Argentine Republic, 25 September 2007.

Having introduced FILs as an important source of law governing foreign investments, this chapter will proceed as follows. Part II will clarify the link between FILs and their more well-known counterparts, the IIAs which form the basis of the discipline: bilateral investment treaties and investment chapters of free trade agreements. Part III will offer an overview of the national security variety of FILs, noting leading examples from the US, the EU, and the UK. General competition-oriented FILs, covering a broader range of rules implemented by host states towards foreign investors, will be addressed in Part IV. Part V considers the specific issue of dispute settlement arising from breaches of FILs, drawing attention in particular to the problem of consent to arbitration as manifest by FILs.

Before embarking on an exploration of these issues, it should be pointed out that FILs, as instruments of domestic law, are not naturally sources of international economic law such as treaties, customs, general principles, and—as subsidiary sources—scholarly writings and judicial rulings of international tribunals.¹³ As a discipline of academic study, international economic law primarily concerns itself with treaties—in the case of international investment law these are the IIAs. FILs are probably better understood as objects of comparative law that examine differences and similarities among domestic legal systems.¹⁴ Still, given their importance in providing obligations for investors, FILs constitute an important aspect of foreign investment governance and thus constitute an appropriate sphere of inquiry in this volume. Moreover, similarities among FILs can also give rise to general principles of law, that constitute a source of international law.¹⁵

II The Link Between FILs and IIAs

Since IIAs are still the dominant source of international investment law, the question naturally arises as to the connection that arises between them and FILs—whether the former conflicts or prevail over the later or vice versa. Despite FILs obviously being confined to the jurisdiction of a single state, their regulation of international matters regarding the promotion and protection of foreign investments in a sense blurs the line between domestic and international law.¹⁶

FILs and IIAs are better viewed as complementary instruments rather than substitutes. In many cases FILs will duplicate elements found in the enacting countries IIA framework. Some scholars believe that capital-exporting states concluded IIAs with developing states with a view to the latter enacting local laws that are more welcoming of foreign investment.¹⁷ It is often the case that national arbitration laws are based on models found in international arbitration law in order to maintain a sense of consistency for foreign investors.¹⁸ As they typically arise later for most countries, FILs are often inspired by principles contained in a given country's IIA regime.¹⁹ Moreover,

13 Article 38 of the United Nations, Statute of the International Court of Justice, 18 April 1946, 33 UNTS 993.

14 K Zweigert and H Kötz, *An Introduction to Comparative Law* (OUP 1998) A1: The Concept of Comparative Law.

15 See generally, V Vadi, *Analogies in International Investment Law and Arbitration* (CUP 2016).

16 J Hepburn, 'The Past, Present and Future of Domestic Investment Laws and International Economic Law' (2023) 22 World Trade Review 34.

17 K Vandevelde, 'The Liberal Vision of the International Law on Foreign Investment' in CL Lim (ed), *Alternative Visions of the International Law on Foreign Investment: Essays in Honour of Muthucumaraswamy Sornarajah* (CUP 2016), 51–54.

18 J Chaisse and G Dimitropoulos, 'Domestic Investment Laws and International Economic Law in the Liberal International Order' (2023) 22 World Trade Review 11.

19 J Bonnitcha, S Nikiema and T St John, *Rethinking National Investment Laws* (International Institute for Sustainable Development 2023) iv.

most domestic legal systems tend to construe national laws in a manner which conforms to that state's international obligations.²⁰

Crucially, though, it is the IIAs which may be said to incorporate the FILs, rather than the reverse. IIAs usually require that investments are admitted subject to 'applicable laws and regulations.'²¹ This necessitates an assessment of that state's FILs and can place obligations on investors which are not found in the text of the IIA itself. Umbrella clauses in IIAs also, controversially, require host states to fulfil 'any obligation' which could include those contained in a FIL. This can foist additional obligations on states, for example, to fulfil promises outlined in contracts or in domestic statutes like FILs.²² Moreover, domestic (FILs) project elements into the latter. Many international treaties absorb domestic laws principles, sometimes with the goal of binding other countries to take on similar laws at the domestic level. This is the case of international human rights law, for example, where countries that believe in particular values want other countries to adopt them. They also want to ensure that their legislatures do not renege on those values at a later date.²³ This migration of rules from domestic to international law is manifest in the replication of core rules found in FILs in IIAs. Some scholars even hold that the present contents of international investment law, as found mostly in IIAs, actually originate from FILs enacted in the 20th century.²⁴

International lawmaking, as captured by treaties like IIAs, is often focused on reinforcing national law, while at other times, countries merely seek to protect their domestic laws from being disregarded due to a treaty commitment. Domestic statutes can be readily overruled in a way that treaties cannot. Through wielding international law this way, countries are able to maintain the flexibility of their domestic legal system, rather than using international law to assert their own laws. This approach may be viewed as more defensive in nature, as it allows countries to avoid the pressure of altering their own laws. To achieve this goal, treaties may include language such as 'subject to domestic law,' as alluded to, which ensures that the treaty on a particular issue will not overrule a country's domestic laws.²⁵

As IIAs are updated, pre-existing FILs could be used as a basis for negotiating and concluding international investment agreements between countries, much as a model IIA would do. In some cases, a country's model IIA will replicate some of the elements in its FIL.²⁶ IIAs often contain provisions that build upon the protections and standards of treatment which are provided by the national legislation. This allows countries to determine the foundation of their treaties, potentially placing a greater emphasis on protecting foreign investors and promoting investment flows between states or restricting the scope and scale of foreign investment in the host state's

20 This is often referred to, in US legal scholarship, as the 'Charming Betsy' doctrine, articulated by Chief Justice Marshall in *Murray v The Charming Betsy*, 6 US 64 (1804) USSC.

21 See e.g. Hong Kong-Mexico BIT (2020) Article 3.

22 K Yannaca-Small, 'The Umbrella Clause' in K Yannaca-Small (ed), *Arbitration under International Investment Agreements* (2nd edn, OUP 2018).

23 S R Ratner, 'Precommitment Theory and International Law: Starting a Conversation' (2003) 81 Texas Law Review 2055. This is seen, for example, in non-regression clauses, e.g. The UK-EU Trade and Cooperation Agreement, Article 7.2(1).

24 M Sornarajah, *Resistance and Change in the International Law on Foreign Investment* (CUP 2015) 218–20.

25 S Ratner, 'International Investment Law and Domestic Investment Rules: Tracing the Upstream and Downstream Flows' (2020) 21 The Journal of World Investment & Trade 22.

26 See, for example, Canada's Model Foreign Investment Protection Agreement and the Investment Canada Act, which contains similar elements, to be discussed further here.

economy.²⁷ For example, provisions in IIAs that demand compensation with interest at a reasonable commercial rate when expropriation occurs are not based on customary international law. Instead, they are grounded in the compensation methods that generally existed in domestic legal frameworks for all expropriations, which align with the notion of full compensation.²⁸

Concluding an IIA can be challenging, consuming both time and resources, in some cases with minimal economic gain.²⁹ It is easier for countries to enact laws with the desired level of protection for foreign investors and costs less than negotiating a treaty with other parties. At the same time, FILs are legislative instruments and can offer more transparency and accountability for the country's citizens, in contrast to IIAs, which are negotiated and signed by the executives and lacks parliamentary oversight. On the other hand, IIAs may also be viewed as manifestations of diplomatic and friendly relations between states, which is something that domestic FILs cannot offer.³⁰ Therefore, countries are willing to pursue IIAs, despite already having strong domestic foreign investment laws which in some cases provide the same protections.³¹

A controversy arises regarding the status of FILs as international obligations in their own right rather than as merely national laws. Much as FILs are regular pieces of legislation, drafted and enacted by domestic legislatures, FILs may also be viewed as a unilateral act under international law that imposes international obligations on the enacting country.³² FILs can be interpreted as a unilateral declaration of the enacting state to be bound under international law. The FIL would then have the same the effect as a treaty—adding obligations for states which are not contained in IIAs, which are in theory enforceable before an international tribunal. Accepting this interpretation would lead to recognize FILs as elements of international economic law.

To assess whether unilateral acts of states are binding at the international level, 'the text of the act is the primary consideration in determining its content.'³³ The International Court of Justice (ICJ) acknowledged in its 1974 *Nuclear Tests* judgment that countries can assume international responsibilities through unilateral actions, provided that it is the state's intention that it should be bound according to its terms.³⁴ An intention for a state to be legally bound can be established by the drafting of a declaration in language that is obligatory, a specified date for entry, and provisions for international tribunal resolving disputes. FILs may therefore be viewed as an indication of the state's intention to be legally bound, particularly since they contain binding, specific, and unambiguous terms.³⁵ Similarly, some investment arbitration tribunals have also viewed FILs as unilateral actions that establish enforceable international responsibility.³⁶ It should be noted that the

27 See generally Ratner, 'Precommitment Theory and International Law: Starting a Conversation.'

28 *ibid* at 25.

29 J Hepburn, 'Domestic Investment Statutes in International Law' (2018) 112 *American Journal of International Law* 658 at 662. The link between IIAs and FDI is notoriously tenuous.

30 *ibid*.

31 *ibid*.

32 *ibid* at 667. See also P Saganek, 'Unilateral Acts of States in Public International Law' (1st ed. Wydawnictwo CH Beck, 2016) at 345 and D Caron, 'The Interpretation of National Foreign Investment Laws as Unilateral Acts under International Law' in M Arsanjani and others (eds), *Looking to the Future: Essays on International Law in Honor of W Michael Reisman* (Brill 2010) at 653.

33 E Kassoti, 'Interpretation of Unilateral Acts in International Law' (2022) 69 *Netherlands International Law Review* 295–326, 295.

34 ICJ, *Nuclear Test Case (Australia v France; New Zealand v France)*, judgments, 20 December 1974, [1973] ICJ Rep. at [43] 266.

35 See generally Hepburn (n 29).

36 See e.g. *CEMEX v Venezuela*, ICSID Case No. ARB/15/2, Award, 22 December 2017, at [151].

status of FILs as unilateral acts is not universally held, particularly with respect to the substantive protections found in FILs.³⁷

It is unclear whether the international law of state responsibility can be applied to claims of breach of unilateral acts like FILs, if they are construed as such. These rules, contained in the Articles on Responsibility of States for International Wrongful Acts (ARSIWA), may be appropriate to determine remedies for breach of FILs.³⁸ This is key because FILs often lack specificity regarding remedies.³⁹ Moreover, if ARSIWA is applicable to FILs as unilateral acts, this would enable states to invoke defences such as necessity for breach of a FIL.⁴⁰ Although necessity imposes a high threshold for success, access to such defence could severely undermine the benefits accorded to investors contained in FILs.

III National Security-Based FILs (FDI ‘Screening’)

The first, and perhaps most well-known category of FIL are those concerning national security. Article 3 of the OECD Code on the Liberalization of Capital Movements allows countries to regulate inward foreign investment when deemed necessary for the protection of essential security interests, amongst other matters.⁴¹ The US was the first country to instigate a national security review for foreign investors, created in 1988 to deal with industrial espionage from Japan and amended in 2007 due to the rising global terrorist threat.⁴² The rapid rise of China in the global economy, coupled with the presence of large Chinese state-owned enterprises, differing approaches the protection of intellectual property, and the vulnerability of many sectors to cyber-crime, led to the establishment of national security-based reviews in many developed economies. In recent years, many countries have reassessed whether their historic openness to foreign investment has left them exposed in a more precarious geopolitical environment. This led to the more widespread introduction of screening FILs.⁴³

These instruments typically display strict notification requirements and penalties for FDI in certain sensitive sectors. Among the most significant national security-based FILs is the influential US Foreign Investment Risk Review Modernization Act,⁴⁴ the EU’s Investment Screening Regulation, designed to foster coordination among EU member states,⁴⁵ and the UK’s National Security Investment Act of 2021. There is much debate whether such instruments have reduced inward FDI, perhaps excessively so.

The US national security FIL regime is managed by the Committee on Foreign Investment in the United States (CFIUS) which conducts the national security risk assessment regarding foreign investment in US targets. The statute reflects the US’s historic suspicion towards inward FDI and

37 See generally Hepburn (n 16).

38 Articles on Responsibility of States for International Wrongful Acts (ARSIWA), Annex to General Assembly Resolution 56/83 of 12 December 2001, and corrected by document A/56/49(Vol I)/Corr.4.

39 See generally Hepburn (n 16).

40 Hepburn (n 29).

41 The OECD Code on the Liberalization of Capital Movements is available at <<https://www.oecd.org/daf/inv/investment-policy/Code-capital-movements-EN.pdf>>

42 Subtitle A of Title XVII of Public Law 115–232, 13 August 2018 (creating the Committee on Foreign Investment in the US, CFIUS).

43 OECD, ‘Transparency, Predictability and Accountability for Investment Screening Mechanisms,’ 27 May 2021 at [7].

44 US Foreign Investment Risk Review Modernization Act of 2018.

45 Regulation (EU) 2019/452 of the European Parliament and of the Council of 19 March 2019 establishing a framework for the screening of foreign direct investments into the Union, [2019] L1 79/1.

the fact that controlling it depending on both its nature and its source remains a tool of US foreign policy.⁴⁶ The powers and jurisdiction of CFIUS have been expanded significantly under the 2018 Foreign Investment Risk Review Modernization Act (FIRRMA).⁴⁷ Under this instrument, transactions in 27 industries are subject to mandatory declarations. These include investment in defence, heavy industry, telecommunications, real estate near military bases, materials, and biotechnology. Parties must submit the mandatory declaration even if the investment could not result in control of a US business by a foreign person, as long as it would give the foreign person access to any material non-public technical information in possession of the US business or membership on the board of directors the US business. The term ‘material non-public technical information’ means information that is not in the public domain, and is necessary to design, fabricate, develop, test, produce, or manufacture critical technologies, including processes. FIRRMA has added additional scrutiny for investment from a country of ‘special concern’ that has a demonstrated or declared strategic goal of acquiring a type of critical technology or critical infrastructure that would affect US leadership in areas related to national security. Transactions notified voluntarily to CFIUS enter a ‘safe harbour,’ which means they are not subject to further review once cleared by CFIUS.⁴⁸ Although the number of transactions formally blocked by the US president under the FIRRMA regime has been minimal, many investment transactions have been abandoned once the parties were informed about the identification of national security risks by CFIUS.⁴⁹ As such, the statute has a considerable ‘chilling’ effect on FDI. The screening process is thought to be cumbersome, with the CFIUS system being among the most interventionist regimes globally.⁵⁰

The EU’s Investment Screening Regulation (ISR)⁵¹ appears somewhat at odds with the EU’s open trade policy. The European Commission’s intention is that the EU should be more resilient in strategic sectors and yet more assertive in defending its economic interests. One means of doing so in an increasingly fraught geopolitical landscape is through increased FDI control, which remains a member-state-level competence. The threat of influence from China appears to have been central to the establishment of the EU’s ISR.⁵² Rather than set out proscriptive rules, the ISR establishes a framework for cooperation with regard to notification and reporting between the member states and the European Commission in relation to FDI from third countries that poses risks to security or public order. The Commission urges the member states to make full use of their FDI screening powers and to set up a full-fledged screening mechanism.⁵³ The sectors specified in the ISR include energy, transport, communications, data, space, and finance, as well as semiconductors,

46 J Mammen and D Schwartz, ‘The Expanded Role of CFIUS in International Business Transactions After FIRRMA’ (2019) 1 *International Business Law Journal* 51.

47 Committee on Foreign Investment in the United States (CFIUS), ‘Annual Report to Congress’ (Report Period: CY 2020), <<https://home.treasury.gov/system/files/206/CFIUS-Public-Annual-Report-CY-2020.pdf>> accessed November 2023.

48 G Lichtenbaum and D Ribner, ‘Foreign Investment Screening in the USA’ in S Hindelang and A Moberg (eds), *YSEC Yearbook of Socio-Economic Constitutions 2020* (Springer 2021) 365.

49 *ibid* 366.

50 S Wernicke, ‘Investment Screening: The Return of Protectionism? A Business Perspective’ in H Steffen and A Moberg (eds), *YSEC Yearbook of Socio-Economic Constitutions 2020* (Springer 2021) at 37.

51 Regulation (EU) 2019/452, above n 45.

52 J de Kok, ‘Towards a European Framework for Foreign Investment Reviews’ (2019) 44 *European Law Review* 24.

53 Communication from the Commission, ‘Guidance to the Member States concerning foreign direct investment and free movement of capital from third countries, and the protection of Europe’s strategic assets, ahead of the application of Regulation (EU) 2019/452,’ 2020/C 99 I/01. This may contemplate something more along the lines of the general FILs discussed in the next section.

robotics, and AI,⁵⁴ as are common with those noted in other national security FILs. In as much as the EU's regulation restricts inward FDI and as such is a barrier to global economic integration, it may augment the EU's bargaining power in FTA negotiations, enabling the Union to negotiate better access to foreign markets in bilateral treaties,⁵⁵ another interesting permutation of the FIL-IIA relationship.

The UK's National Security and Investment Act (NSIA) of 2021 removed national security considerations from the more basic earlier legislation, which was designed to deal with competition issues as well, establishing a new investment screening regime on national security grounds. The NSIA confers significantly broader powers on the Secretary of State and is wider in scope than its predecessor. As such, the new regime has the potential to reduce inward FDI considerably. The statute aimed to tighten control over FDI to prevent the transfer overseas of technologies that have direct military applications or impact on cybersecurity. It contemplates a special review procedure for 'core areas' such as certain parts of national infrastructure (including energy), certain advanced technologies, critical direct supplies to the government and emergency services, and dual-use technologies. The NSIA seemingly intentionally does not set out the circumstances in which national security is, or may be, considered at risk. This seems to be particularly the case in the context of the concept of 'change of control' under Section 8 of the Act, which has been described by commentators as 'strikingly broad.'⁵⁶ In late 2023 there were reports that the UK government intended to weaken the NSIA because it has been perceived as both opaque and unnecessarily wide in terms of the transactions which it covers.⁵⁷

IV Competitive/General FILs

Many countries maintain more comprehensive legislation for foreign investment, which is designed primarily to ensure economic benefits of FDI accrue to the host state, enabling it to become more competitive in global markets. This second category of FIL may include reference to national security, as in the case of the Investment Canada Act, or national security may be raised by implication from the nature of the sectors for which FDI is denied or which additional authorization is required, but it is not the primary focus. There are many such FILs in existence and databases such as that of UNCTAD have rendered them more accessible for study as an emerging body of law.⁵⁸ In the spirit of the new era of data-driven analysis, which has swept international economic law, as with other areas, a systemic, empirical study of the precise nature of the contents of these FILs would be highly beneficial. Until then, qualitative analysis such as following discussion unpacks the key analytical issues.

The main objective of general FILs is that of governing foreign investments within the host state. These domestic instruments thus expand and clarify the generic provisions contained in IIAs. The difference between primary and secondary legislation may be an appropriate analogy regarding the differences between IIAs and FILs—the latter of which both cases offer greater

54 Regulation (EU) 2019/452, Article 4.

55 S Schill, 'The European Union's Foreign Direct Investment Screening Paradox: Tightening Inward Investment Control to Further External Investment Liberalization' (2019) 46 *Legal Issues of Economic Integration* 105.

56 A Nourry, D Harrison and J Bernstein, 'UK: Foreign Direct Investment—National Security and Investment Act 2021' (2022) 43 *European Competition Law Review* N115.

57 L Fisher and D Thomas, 'UK to Pare Back New Takeover Screening Powers, Says Deputy PM' *Financial Times* (London, 12 November 2023).

58 UNCTAD, 'Investment Laws Navigator' <<https://investmentpolicy.unctad.org/investment-laws>>

technical detail regarding the implementation of broader principles contained in the former. General FILs accordingly contain provisions outlining the protections which foreign investors can expect to receive in the host state as well as restrictions on activities—only when these are fulfilled are the protections of the IIA triggered. FILs of this nature may cover greenfield investments, where a company establishes operations in a foreign country, as well as foreign acquisition of domestic businesses,⁵⁹ or only foreign acquisition of existing companies.⁶⁰

Admission requirements as set out in FILs allow the host state to screen investments on the basis of their economic needs and give governments the ability to promote particular forms of investment, or impose capitalization or sectoral restrictions on foreign firms. This may include that foreign investors and their investments need to undergo assessment or validation procedures before being admitted to the country, for example, an environmental impact assessment. In this way, FILs allow a country to control the amount of foreign investment in its jurisdiction by adjusting restrictions and the levels of protection that are provided to investors depending on the government's preference.⁶¹ In contrast, IIAs tend to contain obligations which only apply after admittance, unless there is a pre-establishment national treatment clause, which are still relatively uncommon.

Since FILs both protect and regulate FDI, they serve a dual purpose of safeguarding the interests of overseas investors and overseeing their actions within a given jurisdiction. This helps guarantee compliance within domestic regulations and policies.⁶² As noted earlier, in many cases FILs will duplicate elements found in the enacting countries' IIA framework. Indeed it would seem as though many general FILs were heavily inspired by IIAs, especially the older BITs of the 20th century.⁶³ The Foreign Investment Law of China is a good example of such a statute, which, while providing more granularity in terms of clarifying relevant administrative authorities in China, provides a guarantee against expropriation without compensation as well a guarantee for repatriation of capital and profits.⁶⁴ A promise to treat foreign investors the same as local ones is also common.⁶⁵ The promise of fair and equitable treatment is somewhat less common in FILs, although not unheard of.⁶⁶ Another provision found in FILs as in IIAs is that of the definition of investment, seen, for example, in the Foreign Investment Law of Saudi Arabia.⁶⁷

One of the major functions of a FIL is to outline the nature of the investments that are permitted in various sectors, and which are prohibited; matters that would not be found in an IIA. Saudi Arabia's FIL is illustrative in this regard, setting out which industries are excluded from foreign investment both in the industrial and in services sectors.⁶⁸ Australia's Foreign Acquisitions and Takeover Regulation spells out special restrictions with regards to investment in 'sensitive sectors' which include media and telecommunications.⁶⁹ FILs may provide information concerning limitations/conditions on foreign investment, e.g. lists of sectors which are permitted (positive) or excluded (negative) and any associated nationality requirements for employees or directors or

59 See e.g. the 2021 Foreign Investment Law of China and the Foreign Investment Law of Saudi Arabia.

60 See e.g. the Investment Canada Act and Australia's Foreign Acquisitions and Takeover Act.

61 See generally Hepburn (n 16).

62 See generally Spears (n 6).

63 See generally Bonnitcha, Nikiema and St John (n 19).

64 Foreign Investment Law of the People's Republic of China, Articles 20 and 21.

65 E.g. Indonesian Law Concerning Foreign Investment, Article 4(2)a.

66 See e.g. 2010 Seychelles Foreign Investment Act, Article 4.

67 Foreign Investment Law of Saudi Arabia, Article 1 f) and g).

68 *ibid* Article 18.

69 Australia's Foreign Acquisitions and Takeover Regulation, Article 22.

monetary thresholds. This can be seen, for example, in the Philippines' Foreign Investment Act of 1991, which adopts a negative list.⁷⁰ There may be a reference to monetary fines for investing in prohibited sectors, as in the case of the FIL of Saudi Arabia.⁷¹

General, competition-oriented FILs are multifunctional in that they are often enacted not only to protect investments but also to serve other functions such as promoting investment by establishing government agencies to deal with foreign investments with a view to assisting their integration into the host state market. This issue tends to be neglected in IIAs, despite their stated objective (often in the preamble) of promoting FDI. For example, Saudi Arabia's Ministry of Investment (MISA) maintains a dedicated office to support and advise foreign investment.⁷² Such agencies may be described as a 'one-stop shop' for investors. The purpose of these provisions in FILs underscores these instruments' essential role in facilitating inward FDI.⁷³

General FILs also enable host states to place certain obligations on foreign investors in ways that are impossible under traditional IIAs. They may contemplate some kind of a licensing process⁷⁴ or generally require foreign investors to adhere to the law of the host state, 'respect customs and traditions',⁷⁵ or not harm the public interest⁷⁶ or the environment.⁷⁷ For instance, Algeria's Foreign Investment Code contains a 'Principle of Political and Legal Conformation,' which requires foreign investment to 'contribute to the economic and social development' of the state.⁷⁸ Such FILs are an embodiment of the trend towards rebalancing of investor–host state rights and obligations observed in the new generation of IIAs. Rather than focusing on an expanded 'right to regulate' or on exceptions for justifying state encroachment into an investors' profit-making ability for public policy reasons, FILs create positive obligations on the part of the investor to uphold these interests. FILs therefore represent a shift from an exception-based fulfilment of public interest objectives to an obligation-based one.

An illuminating example of an FIL which evinces very wide policy goals as paramount objectives to be taken into account in rendering a decision whether or not to admit a foreign investor may be found in the Investment Canada Act.⁷⁹ This statute is ostensibly national-security focused (seemingly in the first category of FILs) but is actually comprehensive in terms of the policy issues which it embraces as criteria for the approval of a foreign acquisition of a domestic investor (the latter category of general FILs). These factors are set out in the celebrated (or notorious) net benefit test of Article 20 of the Investment Canada Act:

- a) the effect of the investment on the level and nature of economic activity in Canada, including . . . the effect on employment, on resource processing, on the utilization of parts, components and services produced in Canada and on exports from Canada;

70 Philippines Foreign Investment Act of 1991, Article 8. Negative lists are more common in developing countries' FILs.

71 Foreign Investment Law of Saudi Arabia, Article 12.

72 Saudi Arabia's Ministry of Investment (MISA) <<https://misa.gov.sa/en/>> (last accessed November 2023). MISA also assists domestic investors.

73 Hepburn (n 16).

74 See e.g. Law on Strategic Investments in the Republic of Albania, Chapter IV.

75 Mongolian Investment Law of 2013, Article 7(2)7.

76 China FIL Article 6.

77 Mongolian Investment Law of 2013, Article 7(2)4.

78 Algeria's Foreign Investment Code Article 5

79 Investment Canada Act, R.S.C., 1985, c. 28 (1st Supp.) available <<https://laws-lois.justice.gc.ca/eng/acts/i-21.8/>>.

- (b) the degree and significance of participation by Canadians in the Canadian business or new Canadian business and in any industry or industries in Canada of which the Canadian business or new Canadian business forms or would form a part;
- (c) the effect of the investment on productivity, industrial efficiency, technological development, product innovation and product variety in Canada;
- (d) the effect of the investment on competition within any industry or industries in Canada;
- (e) the compatibility of the investment with national industrial, economic and cultural policies, taking into consideration industrial, economic and cultural policy objectives enunciated by the government . . . of any province likely to be significantly affected by the investment; and
- (f) the contribution of the investment to Canada's ability to compete in world markets.

The objectives of economic and social contribution from FDI are apparent from this provision, as are the expectations of technological advancement and the competitive health of the particular industry as well as the overall economy of the recipient state. Especially noteworthy is the requirement in (e) that the foreign investment is compatible with Canada's cultural policy objectives—a criterion that, in its ambiguity, accords a high degree of discretion to the minister. Canada's net benefit test thus encapsulates among the widest of perspectives of national regulatory sovereignty with regards to FDI, a bold counterpoint to the one-sidedness associated with the investment-protective nature of traditional IIAs. The test articulates no less than 20 'vague and elusive' criteria to evaluate applicant investors, making compliance impossible to predict.⁸⁰ Canada's net benefit test has accordingly been criticized for discouraging FDI to Canada, with some advocating a more flexible national interest test as well as enhanced transparency for decision-making, with a view to liberalizing incoming foreign capital.⁸¹

Unlike IIAs which often contain sunset clauses that render unilateral termination problematic, FILs can be terminated more easily; the law may be repealed by subsequent law. Being a unilateral act of the state, it can be repealed unilaterally by the state and does not require other states' consent. Disputes have arisen where FILs have been terminated before an investor has invested in a state,⁸² where an investment has already been made⁸³ and where the stabilization period applies.⁸⁴ The revocation of a FIL's protection is likely only contestable if the statute contains a stabilization clause, preventing changes to legislation. If there is no stabilization clause, then the immediate termination of substantive FIL protections will probably be viewed as valid and not require compensation to an affected investor.

V FILs and Dispute Settlement

Some mechanism is required for the enforcement of the rights and obligations accorded to foreign investors and states under FILs. For many investors, investment arbitration will be their preferred option as they may not trust the courts of the host state. The advantages of international arbitration

80 A Coyne, 'The "Net Benefit" Test Doesn't Need to Be Clarified, It Needs to Be Abolished' *The National Post* (22 October 2012).

81 T Neiman, 'Liberalizing the Investment Canada Act: Striking the Right Balance between Investment and Economic Security' (2019) 19 *Asper Review of International Business and Trade* 1.

82 *Caratube v Kazakhstan*, ICSID Case No. ARB/13/13, Request for Arbitration, 16 June 2008, at [2].

83 *Société Resort v Ivory Coast*, ICSID Case No. ARB/16/11, Decision on Respondents' Preliminary Objection to Jurisdiction, 1 August 2017.

84 Law on the Protection of Foreign Investments of Azerbaijan (1992), Article 10.

for claims brought under investment treaties are well-recognized; it is a key procedural protection found in many IIAs, although it is beginning to disappear from newer ones for various reasons.⁸⁵ Recourse to international arbitration is not always available for entitlements arising under FILs. Some IIAs expressly state that FIL reviews cannot be challenged through an investment tribunal.⁸⁶ For instance, Art 6(2) of the UK's CPTPP Accession Protocol excludes decisions made regarding the entry of foreign investors on national security grounds, taken under the National Security Investment Act, from review under the CPTPP's investment arbitration mechanism.⁸⁷

ICSID arbitration requires the written consent of both parties.⁸⁸ Some older FILs clearly indicate that investor-state arbitration is available—essentially a standing offer to arbitrate.⁸⁹ Other FILs grant consent to investor-state dispute settlement if this is provided for in an IIA.⁹⁰ Some FILs merely recommend or authorize recourse to investment arbitration: ‘an investment dispute *may be settled* through arbitration’ or for arbitration ‘as may be mutually agreed by the parties.’⁹¹ Importantly this requires that a previous or subsequent agreement exists in which ISDS has been expressly consented to (usually termed at *compromis*).⁹² This latter variety of consent can be ambiguous and lead to challenge at the jurisdictional stage of an arbitration.⁹³ Finally, some FILs tailor the consent to arbitration to cover only particular kinds of disputes, for example, those relating only to the application and interpretation of the piece of legislation in question.⁹⁴ It must be emphasized that newer FIs, such as those of Albania, Mongolia, Seychelles, and Venezuela, omit reference to arbitration, thus repealing previous legislations and reflecting a general aversion towards international investment arbitration in FILs. Most modern FILs are silent as to the use of international arbitration which means that consent would be needed elsewhere, as in a contractual agreement, or an IIA.

It is sometimes suggested that FILs have become an increasing source of jurisdiction for ISDS claims.⁹⁵ Yet the number of ICSID claims from which jurisdiction originated in a FIL has declined in recent years. The removal of choice of forum clauses in favour of arbitration in FILs, as noted

85 See Chapter 22 of the Handbook.

86 See, for instance, Canada-China BIT of 2012, Annex D 34, and the EU-Canada Comprehensive Economic and Trade Agreement, Annex I.

87 This is in contrast to national security-based actions taken by states which allegedly violate IIAs. See e.g. M Du, ‘Huawei Strikes Back: Challenging National Security Decisions Before Investment Arbitral Tribunals’ (2022–23) 37 *Emory International Law Review* 1.

88 ICSID Convention, Article 25(1).

89 Albanian Law on Foreign Investment of 1993, Article 8(2)—this provision is absent from Albania's new FIL of 2016.

90 Mongolia's Investment Law of 1991, Article 25—this provision is absent from Mongolia's new FIL of 2013.

91 Seychelles 2005 FIL Section 13(2)—this provision is absent from Seychelles new FIL of 2013.

92 L Boisson De Chazournes, ‘Consent in Investment Arbitration: A Few Remarks’ (*Kluwer Arbitration Blog*, January 2023) <<https://arbitrationblog.kluwerarbitration.com/2023/01/13/consent-in-investment-arbitration-a-few-remarks/>> accessed November 2023.

93 *CEMEX v Venezuela*, ICSID Case No. ARB/08/15, Decision on Jurisdiction, 30 December 2010. The Tribunal examined Article 22 of the 1999 Venezuela Law on Foreign Investment. See the discussion in Rudolf Dolzer, Ursula Kriebaum and Christoph Schreuer, *Principles of International Investment Law* (3rd edn, OUP 2022) at 363–64. Venezuela's new FIL of 2017 lacks this provision.

94 As in the case of *SPP v Egypt*, ICSID Case No. ARB/84/3, Decision on Jurisdiction, 17 November 1985. This dispute concerned Egyptian Foreign Investment Law of 1974 (Law No. 43/1974). Article 90 of Egypt's new Foreign Investment Act of 2017 states: ‘at any point throughout the dispute, both parties may agree to pursue all types of settlement pursuant to the applicable dispute settlement rules, including the ad hoc arbitration or the institutional arbitration.’ This provision appears refers to the Egyptian Arbitration and Mediation Centre, outlined in Article 91 of the same law, not ICSID.

95 Hepburn (n 16).

in the four examples, may explain this trend. In 2013, 16% of ICSID tribunals gained their jurisdiction from an FIL.⁹⁶ By 2022, the number of ICSID cases that were brought under these statutes had dropped to 8%.⁹⁷ In 2023 this figure was down again to 6%.⁹⁸ It would seem that, in terms of creating rights enforceable under international law, FILs are not picking up the ground lost by IIAs as both kinds of instruments appear to be abandoning investor-state dispute settlement. Moreover, only a few FIL-based claims have been considered on merits, and there is therefore limited guidance on how they are viewed by international tribunals.⁹⁹ This creates a challenge for interpreting FILs and the crafting of appropriate remedies in case of breach.

Turning to domestic procedures, decisions taken under FILs are often those of senior political figures, such as ministers (e.g. Canada, New Zealand) or even presidents (e.g. US, Philippines). Judicial review is available for certain decisions taken by the secretary of state under the UK NSIA,¹⁰⁰ and ministers under the Investment Canada Act,¹⁰¹ but these are limited in scope to procedural unreasonableness and cannot question the exercise of discretion on the part of the official involved. Concerning the protections offered under FILs, such as non-discrimination and compensation in the event of expropriation, some FILs contemplate specialized dispute resolution mechanisms. For example, China's FIL refers to 'complaints mechanisms' for foreign investors, with no further details.¹⁰² Saudi Arabia's Foreign Investment Law makes ambiguous reference to the settlement of disputes 'according to relevant laws' without further explanation.¹⁰³ The FIL of Seychelles establishes an Investment Appeal Panel which hears complaints from investors regarding the state's discharging of its duties under the act. Decisions of this body may be appealed to the Supreme Court.¹⁰⁴ It may be that these kinds of bodies will become the new frontier for adjudication of claims by foreign investors against host states in the coming decades. If this is true, then international investment law, based as it was upon treaty-based rights enforced in international tribunals, may one day be more aptly described as comparative foreign investment law.

VI Conclusion

With the future of IIAs uncertain, there is growing interest in the role that FILs might play as an alternative source of rights for foreign investors. As domestic statutes, FILs also enable host states to establish their own expectations for investor behaviour in a manner that has been difficult under IIAs. FILs are therefore an important policy tool for countries seeking to shape the nature of incoming FDI. By according greater legal rights to investors than contained in IIAs, FILs also expose host states to more risks. The nature and purpose of FILs must therefore be carefully considered by states before they are enacted.

It is difficult to make generalizations about the purpose and functions of FILs because each instrument will have been designed by the relevant country for its particular needs. There is no

⁹⁶ World Bank, *ICSID Annual Report 2013*, at 23.

⁹⁷ World Bank, *ICSID Annual Report 2022*, at 26.

⁹⁸ World Bank, *ICSID Annual Report 2023*, at 26.

⁹⁹ Hepburn (n 16).

¹⁰⁰ UK NSIA, Article 49.

¹⁰¹ Investment Canada Act, Article 25.6.

¹⁰² China's FIL Article 26.

¹⁰³ Saudi Arabia's Foreign Investment Law Article 13.

¹⁰⁴ FIL of Seychelles Sections 12 and 13.

‘model’ FIL which can be applied, or even adapted successfully, for all countries.¹⁰⁵ This chapter has conceptualized and examined two main categories of FILs: those relating to screening of foreign investment for the purposes of national security and those which serve a more general competition-oriented goal in ensuring that incoming foreign investment serves the economic, cultural, and social needs of the relevant state. While the former category tends to impose restrictions on foreign investors engaging in economic activity in certain sensitive sectors, the latter category both restricts and incentivizes FDI, typically by clarifying existing protections found in IIAs and in some cases expanding upon these through the provision of administrative assistance to incoming investors through dedicated bureaucracies. General FILs may also create obligations on investors to uphold the public interest as broadly construed, an element missing from traditional IIAs.

The enforceability of the legal provisions contained in FILs remains uncertain—this may depend on the specific wording of the instrument. Consent to investment arbitration requires clear language; this is often lacking in modern FILs, perhaps explaining why there has been an observed decline in ICSID tribunals taking jurisdiction through these instruments. Other issues are raised should be FILs construed as unilateral acts under international law regarding availability of state defences under customary international law and also with respect to interpretation. In conclusion, if FILs are to continue to grow in number and importance as sources of investment governance, states will need to think carefully about how they are drafted with a view to minimizing exposure to additional liabilities while leveraging the greatest benefits from foreign investment.

105 Bonnitcha, Nikiema and St John (n 19).

INVESTOR-STATE DISPUTE SETTLEMENT

Eric De Brabandere

Introduction

Investor-state dispute settlement (ISDS) currently is one of the most used dispute settlement mechanisms in international law, at least when one looks at the number of disputes that have been settled in that field. The ‘Investment Dispute Settlement Navigator’ of the United Nations Conference on Trade and Development (UNCTAD) lists a total of 1332 known treaty-based ISDS cases, 354 of which are currently pending.¹ However, while international investment agreements (IIAs) have existed for many decades, it is only since the early 2000s that the number of treaty-based investment arbitrations have increased. The same UNCTAD Investment Dispute Settlement Navigator shows that between the ‘70s and 2000 only around 40 cases had been initiated, whereas some 40 cases alone were filed between 2003 and 2018, and a record number of cases have been registered since 2018 onward.²

ISDS is an atypical dispute settlement method, as it differs from other forms of arbitration and other forms of international dispute resolution. ISDS is conducted between the foreign investor and the host state. It thus differs from both traditional international dispute settlement mechanisms that remain primarily interstate³ and international commercial arbitration, which concerns claims relating to contractual commitments by both parties.

ISDS covers disputes between foreign investors and states in the broad sense and includes contract-based disputes between the investor and the host state, disputes based on domestic legislation, and disputes based on an applicable IIA. This chapter focuses on disputes arising under IIAs chiefly, as it is precisely this type of disputes and their settlement that contain specific features. This kind of disputes concerns the international responsibility of the state for breaches of its international obligations towards a foreign investor under IIAs and other norms of international law. To that extent, treaty-based ISDS is unique: investors can directly settle disputes with states

1 UNCTAD, ‘Investment Dispute Settlement Navigator’ <investmentpolicy.unctad.org/investment-dispute-settlement> accessed 23 May 2024.

2 *ibid.*

3 See e.g. Van den Bossche’s chapter in this volume (analysing the World Trade Organization’s dispute settlement mechanism).

for breaches of that state's obligations under international law, based on an applicable IIA, without mandatorily exhausting domestic remedies and/or subsequently rely on their home state to exercise diplomatic protection. The specificity of ISDS thus lies in the fact that foreign investors—both natural and legal persons—are given *direct access* to an international dispute settlement mechanism to settle their disputes against host states based on the latter's obligations under international law. In international law generally, direct claims from non-state entities against states remain the exception, especially for the enforcement of international legal obligations of states.⁴

This chapter proceeds as follows. First, it briefly sets out the historical origins of the inclusion of ISDS in IIAs. Second, it discusses the main features of the jurisdiction of arbitral tribunals mandated to settle disputes between foreign investors and states based in IIAs. Third, it examines some procedural features of ISDS such as transparency and the Convention on the Settlement of Investment Disputes between States and Nationals of other States (ICSID Convention).⁵ Fourth, the chapter highlights that while arbitration is the main method used for settling disputes between foreign investors and states, other dispute settlement methods can also be used. It thus explores the growing focus on mediation in resolving investment disputes, as evidenced by the adoption of mediation rules by the International Centre for Settlement of Investments Disputes (ICSID). Finally, the chapter discusses the recent and ongoing reform proposals aimed at establishing an investment court and/or a multilateral appeals mechanism.

I. The Emergence of ISDS

The first IIAs emerged in the late 1950s. The bilateral investment treaty (BIT) signed between Germany and Pakistan in 1959⁶ was the first genuine BIT—*i.e.* a treaty focusing on the promotion and protection of foreign investment only. In the 1960s, IIAs started to increase but the 'baby-boom'⁷ of investment treaties occurred towards the end of the 1980s and 1990s.

The first BITs included inter-state arbitration only.⁸ However, the inclusion of a diagonal dispute settlement provision enabling the arbitration of investment disputes directly between the foreign investor and the host state gradually made its way into BITs. The 1968 Indonesia-Netherlands BIT was the first investment treaty to refer investor-state disputes to arbitration (under ICSID); however, it also required additional consent from both parties to the dispute.⁹ The first BIT generally credited with containing an investor-state arbitration clause without requiring additional consent

4 A notable exception is the European Convention on Human Rights, which allows natural and legal persons to file claims against member states, after exhaustion of local remedies. See Art 34 Convention for the Protection of Human Rights and Fundamental Freedoms, adopted 4 November 1950, entered into force 3 September 1953, 213 UNTS 222.

5 Convention on the Settlement of Investment Disputes between States and Nationals of other States, adopted 18 March 1965, entered into force 14 October 1966, 575 UNTS 159.

6 Treaty for the Promotion and Protection of Investments (Germany-Pakistan), adopted 25 November 1959, entered into force 28 November 1962, 457 UNTS 24. Unless mentioned otherwise, all cited IIAs can be found at 'International Investment Agreements Navigator' <investmentpolicy.unctad.org/international-investment-agreements> accessed 24 May 2024.

7 Stanimir Alexandrov, 'The "Baby Boom" of Treaty-Based Arbitrations and the Jurisdiction of ICSID Tribunals' (2005) 6 The Journal of World Investment & Trade 387.

8 See Treaty for the Promotion and Protection of Investments (Germany-Pakistan), note 6, art 11 (providing for the settlement of disputes between the contracting states before the International Court of Justice or, failing agreement, by international arbitration).

9 Agreement on Economic Cooperation (Netherlands-Indonesia), adopted 7 July 1968, entered into force 17 July 1971, 799 UNTS 13, art 11.

is the 1969 Chad-Italy BIT.¹⁰ The exact reason behind the inclusion of investor-State arbitration clauses, remains unclear,¹¹ even though the traditional explanation is that the direct access to arbitration for investors against host states would depoliticize the dispute.¹²

The 1965 ICSID Convention established the ICSID under the auspices of the World Bank.¹³ The Convention aimed to remove investment disputes from the standard procedure of diplomatic protection by granting foreign investors direct access to an international remedy:

Bearing in mind the possibility that from time to time disputes may arise in connection with such investment between Contracting States and nationals of other Contracting States;

Recognizing that while such disputes would usually be subject to national legal processes, international methods of settlement may be appropriate in certain cases.¹⁴

The Preamble of the ICSID Convention explains the main advantage of using a direct dispute settlement method between the foreign investor and the host state. Indeed, customarily, conflicts between foreign (natural or legal) persons and a state in the exercise of its sovereign authority can only be settled before the domestic courts of that state since the application of state immunity would prevent the submission of such claims to the domestic courts of the foreigner's home state. It is only upon exhaustion of these local remedies¹⁵ that the claims of foreigners can be settled on the international level by resorting to diplomatic protection. In that case, the foreigner's state of nationality may take up the claim of its national against the host state. This is based on the legal fiction that an injury caused by an internationally wrongful act of a state to a natural or legal person of another state constitutes a violation of the state of nationality's own 'right to ensure, in the person of its subjects, respect for the rules of international law.'¹⁶

Proceedings before the domestic courts of the host state for conflicts between foreign investors and that host state, however, may not always prove to be an efficient dispute settlement method. This dispute settlement method is perceived as time-consuming and unreliable, in particular, because of potential bias of the host state's judiciary towards the foreign investor. Moreover, the use of diplomatic protection may not always offer investors the guarantee that the claim will in fact be taken up by their home state since diplomatic protection is not meant to protect the rights of the individual but expresses a state right. Conversely, the direct access to arbitration provides a guarantee that the investor will have access to an effective international remedy through a procedure which is typically considered less time-consuming.

Since the 1960s, the inclusion of international arbitration as the method to settle disputes between foreign investors and home states has thus become a typical feature of IIAs, and it has

10 Agreement between the Republic of Chad and the Republic of Italy to protect and promote investment capital (Chad-Italy), adopted 11 June 1969, entered into force 11 June 1969, art 7.

11 See *ibid* 64–65.

12 See Ibrahim Shihata, 'Towards a Greater Depoliticization of Investment Disputes: The Role of ICSID and MIGA' (1986) 1 ICSID Review 1–25 and Anthea Roberts, 'Triangular Treaties: The Extent and Limits of Investment Treaty Rights' (2015) 56 Harvard International Law Journal 353–417, 390.

13 ICSID Convention, note 5 above.

14 *ibid* preamble.

15 See generally ILC, 'Draft Articles on Diplomatic Protection' in 'Report of the International Law Commission on the Work of its 58th Session' (1 May–9 June & 3 July–11 August 2006) UN DocA/61/10 at 26.

16 *Mavrommatis Palestine Concessions (Greece v United Kingdom)* (Judgment) PCIJ Rep Series A No 2, 12.

been described as one of the most important innovations in international law of the 1960s.¹⁷ Moreover, several arbitral tribunals have noted that access to arbitration for foreign investors is in fact inextricably connected to the substantive protection offered to foreign investors:

[T]here are good reasons to conclude that today dispute settlement arrangements are inextricably related to the protection of foreign investors, as they are also related to the protection of rights of traders under treaties of commerce. [...] International arbitration and other dispute settlement arrangements have replaced these older and frequently abusive practices of the past. These modern developments are essential, however, to the protection of the rights envisaged under the pertinent treaties; they are also closely linked to the material aspects of the treatment accorded.¹⁸

It was, however, only in the late 1980s that investor-state arbitration clauses started to increase rapidly, coupled with an increase in the signature of BITs more generally. A survey on dispute settlement provisions in BITs signed between 1959 and 1989 found that it was only in 1987 that the number of investor-state and ‘limited’ investor-state arbitration clauses—*i.e.* those which grant access to arbitration for foreign investors only with respect to the amount of compensation in cases of expropriation¹⁹—in BITs started to outnumber state-to-state arbitration clauses in BITs.²⁰

At the same time, the past years have seen an increased criticism on the use of arbitration to settle dispute between foreign investors and states. This has led to exploring other methods of settlement such as mediation, reforming the procedural rules applicable to investor-state arbitration, and discussing further reform at the United Nations Commission on International Trade Law (UNCITRAL) to replace investor-state arbitration with an international investment court. These developments will be discussed later in this chapter.

II. Investment Treaties and Consent to Arbitration

The access of foreign investors to ISDS is not automatic—*i.e.* there is not, in international law, a (customary) norm allowing foreign investors to settle their disputes directly with the host state

17 Kenneth J Vandeveld, ‘A Brief History of International Investment Agreements’ (2011) 12 *University of California Davis Journal of International Law and Policy* 157, 174. See also Vandeveld’s chapter in this *Handbook*.

18 See *Emilio Agustín Maffezini v Kingdom of Spain*, Decision on Jurisdiction, 25 January 2000, ICSID Case No ARB/97/7; *Siemens AG v Argentine Republic*, Decision on Jurisdiction, 3 August 2004, ICSID Case No ARB/02/8, para 102(mentioning that investment treaties have ‘as a distinctive feature special dispute settlement mechanisms not normally open to investors. Access to these mechanisms is part of the protection offered under the Treaty. It is part of the treatment of foreign investors and investments’); *Suez, Sociedad General de Aguas de Barcelona, S.A. and Vivendi Universal, S.A. v Argentine Republic*, Decision on Jurisdiction, 3 August 2006, ICSID Case No ARB/03/19 at para 59 (noting that ‘from the point of view of the promotion and protection of investments, the stated purposes of both the Argentina-Spain BIT and the Argentina-UK BIT, dispute settlement is as important as other matters governed by the BITs and is an integral part of the investment protection regime that the respective sovereign States have agreed upon’); *Gas Natural SDG, S.A. v The Argentine Republic*, Decision on Jurisdiction, 17 June 2005, ICSID Case No ARB/03/10, at para 31 (holding that ‘provision for international investor-State arbitration in bilateral investment treaties is a significant substantive incentive and protection for foreign investors’).

19 For instance, Russian BITs during the Cold War typically restricted the scope of arbitration to the question of compensation for expropriation and did not necessarily include the issue of determining whether an expropriation had actually occurred. See Sergey Ripinsky, ‘Russia’ in Chester Brown (ed), *Commentaries on Selected Model Investment Treaties* (OUP 2013) 614–15.

20 Santiago Montt, *State Liability in Investment Treaty Arbitration: Global Constitutional and Administrative Law in the BIT Generation* (Hart 2009) 65.

of the investment. Foreign investors can only arbitrate disputes with the host state if and to the extent that the state has consented to arbitration. As mentioned in the introduction, this consent can be expressed in contracts, domestic legislation, or in IIAs, the latter of which is the focus of this chapter.

An interesting feature of ISDS clauses contained in IIAs is that the consent is expressed by the state parties to the treaty in advance of any actual dispute. Such consent is generally considered to constitute an ‘offer to arbitrate’ by the state,²¹ which may then be accepted by the foreign investor²² through the submission of a request for arbitration.²³

Access to arbitration in IIAs, however, may be conditioned or restricted to certain categories of disputes only. IIAs may, for example, require that foreign investors attempt to first settle the dispute amicably or exhaust local remedies, either generally or within a limited time-period. They may include a ‘fork in the road’ clause obliging investors to choose between international arbitration or domestic courts. For example, Article 8 of the 1990 BIT between Italy and Morocco²⁴ states:

- 1) All disputes or differences, including disputes related to the amount of compensation due in the event of expropriation, nationalisation, or similar measures, between a Contracting Party and an investor of the other Contracting Party concerning an investment of the said investor on the territory of the first Contracting Party should, if possible, be resolved amicably.
- 2) If the disputes cannot be resolved in an amicable manner within six months of the date of the request, presented in writing, the investor in question may submit the dispute either:
 - a) to the competent court of the Contracting Party concerned;
 - b) to an ad hoc tribunal, in accordance with the [UNCITRAL] Arbitration Rules;
 - c) to the International Centre for Settlement of Investment Disputes [. . .].

As this example shows, investment treaties may give a choice to the parties to conduct arbitration before an *ad hoc* arbitral tribunal applying the UNCITRAL Arbitration Rules, or through the ICSID. Irrespective of the forum chosen to settle investment disputes, the jurisdictional requirements derived from the applicable IIA which contains the consent, apply equally. However, the ICSID Convention contains several specific features, as will be discussed later in this chapter.

A second important point is that the ISDS clause in IIAs can also limit the types of disputes which can be submitted to arbitration. Some IIAs, for example, limit the application of ISDS to disputes determining the amount of compensation in case of expropriation²⁵ or involving certain provisions of the IIAs.²⁶

21 See e.g. *Asian Agricultural Products, Ltd. v Sri Lanka*, Award, 27 June 1990, ICSID Case No ARB/87/3, paras 246 ff.

22 On the need for the consent of the foreign investor, see *American Manufacturing and Trading, Inc. v Zaire*, Award, 21 February 1997, ICSID Case No ARB/93/1, para 23 ff.

23 See generally Christoph Schreuer and others, *The ICSID Convention: A Commentary* (CUP 2009) 1279–82.

24 Most international investment treaties can be found on UNCTAD’s database. ‘Investment Dispute Settlement Navigator’ (UNCTAD) <investmentpolicy.unctad.org/investment-dispute-settlement> accessed 23 May 2024.

25 See e.g. Article 13(3) of the 1986 China–Sri Lanka BIT, limiting access to arbitration to ‘a dispute involving the amount or compensation resulting from expropriation.’ Agreement between the Government of the Democratic Socialist Republic of Sri Lanka and the Government of the People’s Republic of China on the Reciprocal Promotion and Protection of Investment (China–Sri Lanka), adopted 13 March 1986, entered into force 25 March 1987.

26 See e.g. Article 24 (1) of the 2012 US Model BIT, limiting access to arbitration to disputes concerning a specified set of obligations in the BIT, an investment authorization, or an investment agreement.’ 2012 US Model BIT <ustr.gov/sites/default/files/BIT%20text%20for%20ACIEP%20Meeting.pdf> accessed 21 June 2024.

Thirdly, several tribunals have considered that the claim in question should be a treaty claim—*i.e.* alleging the breach of the applicable IIA. Claims relating to, for example, contractual disagreements between the parties should be brought before the competent authorities provided for in the contract. As the tribunal in *Abaclat* explained:

It is in principle admitted that with respect to a BIT claim an arbitral tribunal has no jurisdiction where the claim at stake is a pure contract claim. This is because a BIT is not meant to correct or replace contractual remedies, and in particular it is not meant to serve as a substitute to judicial or arbitral proceedings arising from contract claims.²⁷

In this respect, it is important to note that a violation of a contract does not *ipso facto* amount to a violation of international law. As noted by the tribunal in *Duke Energy*: ‘in and of itself the violation of a contract does not amount to the violation of a treaty. This is only natural since treaty and contract breaches are different things, responding to different tests, subject to different rules.’²⁸ Consequently, only claims related to the breach of the treaty can be brought before a treaty-based arbitral tribunal.²⁹ To distinguish one from the other, the *Ad Hoc Committee* in *Vivendi I* argued that the test to be applied is whether the ‘essential basis’ of the claim is contract or treaty-based.³⁰ In applying this test, an arbitral tribunal will be able to define the legal foundation of the claim and thus characterize the claim as treaty- or contract-based, and determine the appropriate dispute settlement forum.

III. The Jurisdiction of Investment Tribunals

To the extent that states have consented to arbitrate disputes between foreign investors and host states in an IIA, arbitral tribunals can only decide a dispute if, and to the extent, that all jurisdictional requirements are complied with. The scope of application of the applicable IIA defines such requirements. First, the dispute must concern an ‘investment’ within the meaning of the investment treaty (and the ICSID Convention in case of arbitration under that convention)—*i.e.* jurisdiction *ratione materiae*. Second, the investment must have been made by an investor within the meaning of the IIA—*i.e.* jurisdiction *ratione personae*. Third, the applicable investment treaty may also contain requirements relating to the temporal application of the treaty and, consequently, the jurisdiction of arbitral tribunals established under such treaties—*i.e.* jurisdiction *ratione temporis*.

27 *Abaclat and Others v Argentine Republic*, Decision on Jurisdiction and Admissibility, 4 August 2011, ICSID Case No ARB/07/5, para 316.

28 *Duke Energy Electroquil Partners and Electroquil SA v Republic of Ecuador*, Award, 18 August 2008, ICSID Case No ARB/04/19, para 342.

29 Some scholars and tribunals have highlighted that exceptions exist to this principled distinction. On ‘umbrella clauses,’ see Stephan W Schill, ‘Enabling Private Ordering: Function, Scope and Effect of Umbrella Clauses in International Investment Treaties’ (2009) 18 Minnesota Journal of International Law 1. See also *Compañía de Aguas del Aconquija S.A. and Vivendi Universal v Argentine Republic*, Decision on Annulment, 3 July 2002, ICSID Case No ARB/97/3, para 55 (discussing the possibility for a treaty-based tribunal to hear a contract-based claim: ‘Read literally, the requirements for arbitral jurisdiction in Article 8 do not necessitate that the Claimant allege a breach of the BIT itself: it is sufficient that the dispute relate to an investment made under the BIT’).

30 *Compañía de Aguas del Aconquija S.A. and Vivendi Universal v Argentine Republic*, Decision on Annulment, 3 July 2002, ICSID Case No ARB/97/3, paras 98 ff.

For arbitration under the ICSID Convention, additional jurisdictional requirements are also included in Article 25 of the ICSID Convention:

The jurisdiction of the Centre shall extend to any legal dispute arising directly out of an investment, between a Contracting State (or any constituent subdivision or agency of a Contracting State designated to the Centre by that State) and a national of another Contracting State, which the parties to the dispute consent in writing to submit to the Centre.

Article 25 of the ICSID Convention thus requires, aside from written consent, a ‘legal dispute arising directly out of an investment’ and a dispute between a ‘Contracting State and a national of another Contracting State.’ These requirements apply, alongside the jurisdictional requirements contained in an applicable IIA, if the arbitration is conducted under the ICSID Convention.

A Jurisdiction Ratione Materiae and the Requirement of an ‘Investment’

To benefit from the protection of an IIA—and, as a consequence, for an arbitral tribunal to have jurisdiction over the dispute—investors need to have made an ‘investment’ as defined in the applicable IIA. The vast majority of IIAs contain wide and broad definitions of what constitutes an ‘investment.’ Moreover, these definitions often display similar structures and elements. Yet IIAs are not identical and do differ in defining what constitutes an ‘investment.’

Definitions in IIAs typically are ‘asset-based’: they define investments as any ‘assets’ that are invested in the territory of the host state. The 2014 Serbia Model BIT thus defines investment as ‘every kind of assets directly invested by an investor of one Contracting Party in the territory of the other Contracting Party in accordance with the laws and regulations of the latter.’³¹

Asset-based definitions are then typically followed by a non-exhaustive list of examples. The same Serbian Model BIT, for example, provides that investments ‘in particular, though not exclusively’ include

- ‘a. movable and immovable property and any other rights in rem, such as mortgages, liens, pledges, usufructs and other;
- b. shares in companies, equity stocks, as well as other kinds of securities with right of participation in companies;
- c. claims to money, related with an investment, under loan contract with a duration period of payment more than 5 years, in a form of subordinate claims;
- d. intellectual property rights (such as copyrights and related rights, patents, industrial designs or models, trademarks), as well as goodwill, technical processes, and know-how;
- e. public-private partnership concluded in accordance with the laws and regulations of the Contracting Party in the territory whereof the investment is being made, including concessions to search for cultivate, extract or exploit natural resources.’

While the level of detail of the list varies, most investments can be brought down to five categories, which are present in the list of the Serbian Model BIT quoted: (1) movable and immovable

31 Article 1 of the 2014 Serbia Model BIT. ‘Agreement between the Republic of Serbia and __ on Reciprocal Promotion and Protection of Investments’ <investmentpolicy.unctad.org/international-investment-agreements/treaty-files/4791/download> accessed 24 May 2024.

property, (2) shares and other interests in companies and enterprises, (3) claims or titles to money, (4) intellectual property rights, and (5) public concessions or licences.³²

Treaties may also use a broad asset-based definition which adds substantive characteristics to investments, such as ‘a certain duration and other characteristics such as the commitment of capital or other resources, the expectation of gain or profit, or the assumption of risk and that is at all times in compliance with the obligations of this Agreement.’³³ These additional features recall the so-called *Salini*-criteria, developed by the *Salini* tribunal in interpreting Article 25 of the ICSID Convention.³⁴

Recent IIAs also explicitly exclude purely commercial transactions from their scope of application, often clarifying that ‘claims to money’ are not all-encompassing. Some IIAs, for example, explain that ‘claims to money’ do not include ‘claims to money that arise solely from commercial contracts for the sale of goods or services by a natural person or enterprise in the territory of a contracting party to a natural person or enterprise in the territory of the other Contracting Party.’³⁵ Other IIAs, such as the 2014 Serbian Model BIT, require claims to money to be ‘related with an investment.’³⁶

To bring an arbitration under the ICSID Convention, investors also need to prove that their ‘investment’ meets the criteria of Article 25 of the ICSID Convention. The ‘investment’ must therefore not only be covered by the definition contained in the IIA, but also fall under the scope of Article 25 of the ICSID Convention. Such provision extends the jurisdiction of the Centre to legal disputes ‘arising directly out of an investment.’ However, the Convention does not define the notion of ‘investment.’ Arbitral tribunals established under the ICSID Convention have therefore attempted to define what constitutes an ‘investment’ under the ICSID Convention.

There is, however, no uniformity in the resulting jurisprudence. Under a first approach, the notion of ‘investment’ under Article 25 of the ICSID Convention has an objective meaning that is independent of the parties’ understanding of what constitutes an investment. In this view, the alleged investment must satisfy four criteria to be considered an ‘investment’: (1) the commitment of capital, (2) a certain duration, (3) the assumption of risk, and (4) a contribution to the development of the host state.³⁷ These criteria were set out by the tribunal in *Salini v. Morocco*³⁸ and have since been referred to as the ‘*Salini* criteria.’ Some IIAs have incorporated similar criteria in their definitions.³⁹

32 Jeswald W Salacuse, *The Law of Investment Treaties* (3rd edn, OUP 2021) 207.

33 Article 2(3) of the 2019 Belgium-Luxembourg Economic Union Model BIT. ‘Agreement between the Belgium-Luxembourg Economic Union, on the one hand, and ___, on the other hand, on the Reciprocal Promotion and Protection of Investments’ <investmentpolicy.unctad.org/international-investment-agreements/treaty-files/5854/download> accessed 24 May 2024.

34 *Salini Costruttori SpA and Italstrade SpA v Kingdom of Morocco*, Decision on Jurisdiction, 23 July 2001, ICSID Case No ARB/00/4, para 52.

35 Article 2(3) of the 2019 Belgium-Luxembourg Economic Union Model BIT.

36 Article 1 (c) of the 2014 Serbia Model BIT. ‘Agreement between the Republic of Serbia and ___ on Reciprocal Promotion and Protection of Investments’ <investmentpolicy.unctad.org/international-investment-agreements/treaty-files/4791/download> accessed 24 May 2024. See also Agreement between the Government of the United Kingdom of Great Britain and Northern Ireland and the Government of the United Mexican States for the Promotion and Reciprocal Protection of Investments (United Kingdom-Mexico) signed 12 May 2006, entered into force 25 July 2007, 2114 UNTS 473, art 1(i)-(j).

37 Rudolf Dolzer and Christoph Schreuer, *Principles of International Investment Law* (2nd edn, OUP 2012) 66.

38 *Salini Costruttori SpA and Italstrade SpA v Kingdom of Morocco*, Decision on Jurisdiction, para 52.

39 See, for example, the very recent ‘Model Clauses’ released by the European Commission, which provide that investments require ‘such characteristics as a certain duration, the commitment of capital or other resources, the

A second approach developed by arbitral tribunals consists of operating a *renvoi* to the definition of investment as contained in the applicable IIA. In this view, the notion of ‘investment’ under the ICSID Convention is, in essence, the equivalent of what the parties to an IIA have defined as an ‘investment.’⁴⁰ The second approach results in the alleged equivalence between the definition of ‘investment’ under the applicable IIA and the notion of ‘investment’ under the ICSID Convention.

However, irrespective of the approach taken, tribunals have generally held that the term ‘investment’ under the ICSID Convention does not include ‘a single commercial transaction, such as the mere delivery of goods against payment of the price.’⁴¹ Or as the *Patechniki* tribunal explained, ‘it is conceivable that a particular transaction is so simple and instantaneous that it cannot possibly be called an ‘investment’ without doing violence to the word.’⁴²

B. Jurisdiction Ratione Personae

The second major jurisdictional requirement is that the investment must have been made by an investor within the meaning of the investment treaty. Only investors that are covered by the definition in the applicable IIA have standing to bring a claim against the host state. Investors are typically defined by reference to nationality—*i.e.* investors are considered ‘investors of the State’ if they are a national of that state. IIAs very often contain distinct rules for natural and legal persons.

Natural persons usually are defined as nationals of a state if they have the nationality of that state. To file a claim, they need to have the nationality of a state party to the treaty other than the respondent state. The Mexico Model BIT, for instance, defines as ‘investor of a Contracting Party’ ‘a natural person having the nationality of a Contracting Party in accordance with its applicable laws.’⁴³

Recent IIAs also include provisions relating to natural persons with multiple nationalities, and—in particular—natural persons who possess the nationality of both the state parties to an IIA. For instance, the 2016 Azerbaijan Model BIT provides:

In cases of double nationality, a person shall be considered to be a national exclusively of the State in which it has a dominant and effective nationality. Dominant and effective nationality refers to the place in which the physical person pays its taxes, receives its social security, exercises its voting rights and/or can hold public office.⁴⁴

assumption of risk, or the expectation of gain or profit.’ European Commission, ‘Annotations to the Model Clauses for negotiation or re-negotiation of Member States’ Bilateral Investment Agreements with third countries’ (21 September 2023) <circabc.europa.eu/ui/group/be8b568f-73f3-409c-b4a4-30acfcec5283/library/f9a070c6-16dd-41e6-8fec-d2ce67473870/details?download=true> accessed 24 May 2024.

40 See *Pantechniki SA Contractors & Engineers (Greece) v The Republic of Albania*, Award, 30 July 2009, ICSID Case No ARB/07/21, paras 42ff (discussing the various approaches).

41 *Philip Morris Brands Sàrl v Oriental Republic of Uruguay*, Decision on Jurisdiction, 2 July 2013, ICSID Case No ARB/10/7, para 203.

42 *Pantechniki SA Contractors & Engineers v The Republic of Albania*, Award, para 48.

43 Article 1(6) of the 2008 Mexico Model BIT. ‘Agreement Between The Government of the United Mexican States and the Government of __ on the Promotion and Reciprocal Protection of Investments’ <investmentpolicy.unctad.org/international-investment-agreements/treaty-files/2860/download> accessed 27 May 2024.

44 Article 1(3)(a) of the 2016 Azerbaijan Model BIT. ‘Agreement between the Government of __ and the Government of the Republic of Azerbaijan on the Promotion and Reciprocal Protection of Investments’ <investmentpolicy.unctad.org/international-investment-agreements/treaty-files/4787/download> accessed 27 May 2024.

As far as legal persons are concerned, investment treaties may use different criteria such as the place of incorporation, the seat or head office of the corporation, or the persons controlling the company. IIAs generally differ on the criteria used and can have multiple criteria. Article 1(1)(b) of the Austrian Model BIT defines the nationality of legal persons by reference to the constitution or organization of the enterprise under the applicable law of a contracting party.⁴⁵ Other IIAs, in turn, contain multiple tests for the nationality of legal persons and may contain different tests for the contracting states. Article 1(4) of the Bahrain-Germany BIT defines the nationality of companies as follows:

The term ‘companies’ means

- (a) in respect of the Kingdom of Bahrain:
natural persons, partnerships, corporations and other legal entities created and organised according to the laws of the Kingdom of Bahrain and having its head office in its territory,
- (b) in respect of the Federal Republic of Germany:
any juridical person as well as any commercial or other company or association with or without legal personality having its seat in the territory of the Federal Republic of Germany, irrespective of whether or not its activities are directed at profit.

Conversely, the Netherlands-Argentina BIT defines the nationality of legal persons not only by referencing the place of incorporation but also by considering shareholders’ control, thus considering ‘national companies’ ‘legal persons, wherever located, controlled, directly or indirectly, by nationals of that Contracting Party.’

For arbitration under the ICSID Convention, further requirements appear in Article 25 of the ICSID Convention. That provision requires that the dispute brought under the ICSID Convention must be a dispute between a ‘national of one contracting State’ and ‘another contracting State.’ ‘National of one contracting State’ is defined for natural persons as ‘any natural person who had the nationality of a Contracting State other than the State party to the dispute.’ Article 25 of the ICSID Convention thus excludes natural persons who have dual nationality—*i.e.* natural persons who also have the nationality of the other state party to the dispute. As far as legal persons are concerned, Article 25 of the ICSID Convention requires that legal persons have the ‘nationality of a Contracting State other than the State party to the dispute’ without setting any criteria to identify their nationality. This said, Article 25 of the ICSID Convention does allow the parties to treat a company incorporated in the host state as a national of another state ‘because of foreign control.’ In the latter case, a company incorporated in the host state may thus be considered a national of the home state if the parties have so agreed, for example, in the applicable investment treaty. In practice, this provision is rarely used because, due to the broad definitions of what constitutes an investment, the foreign investor will often have standing before an arbitral tribunal—independently of its incorporation in the host state.

45 2008 Austrian Model BIT. ‘Agreement for the Promotion and Protection of Investment between the Republic of Austria and ___’ <investmentpolicy.unctad.org/international-investment-agreements/treaty-files/4770/download> accessed 27 May 2024.

C Jurisdiction Ratione Temporis

IAs may provide for their application not only to investments made after but also to investment made before the treaty's entry into force. The application of IAs to investment made before their entry into force indeed needs to be distinguished from the application of the treaty itself, in line with the Vienna Convention on the Law of Treaties⁴⁶ and the general principle of international law *tempus regit actum*, the provisions of the IIA—in principle—apply only from the date of entry into force of the treaty. As a consequence, the IIA (unless otherwise agreed) applies and provides the protection offered under the treaty to foreign investors as of its entry into force. Consequently, in principle, IAs do not provide for retroactive state obligations: the treaty standards of treatment or the ISDS clause do not retroactively apply to events or disputes which have occurred before the entry into force of the IIA.

An IIA may thus apply to investments which were made before the entry into force of the treaty, but the provisions of the treaty would not apply retroactively to acts and omissions of the host state which occurred before the treaty's entry into force. This distinction is sometimes made clear in IAs. For example, the Mexican Model BIT provides that it 'applies to investments made before or after its entry into force, but not to claims arising out of events which occurred, or to claims which had been settled, prior to that date.'⁴⁷

The same logic in principle applies for the ISDS clause that applies to disputes arising after the entry into force of the treaty. While exceptions exist, notably based on the formulation of the ISDS clause or other provisions in the applicable IIA, this principle has been confirmed by arbitral tribunals.⁴⁸

IV. Arbitration Institutions and the Procedural Law

ISDS clauses in IAs typically detail how disputes between foreign investors and host states are to be settled. ISDS clauses may thus require the parties to attempt to reach an amicable settlement. More importantly, they often include various options for arbitrating investment disputes. Options may include arbitration under the ICSID Convention or *ad hoc* arbitration under the UNCITRAL Arbitration Rules.⁴⁹ Some treaties also refer to other arbitration institutions, such as the Stockholm Chamber of Commerce (SCC) or the International Chamber of Commerce (ICC) in Paris.⁵⁰

According to the UNCTAD Investment Dispute Settlement Navigator, most cases have been registered at the ICSID, the Permanent Court of Arbitration (PCA), the Stockholm Chamber of

46 Art 29, Vienna Convention on the Law of Treaties, adopted 23 May 1969, entered into force 27 January 1980, 1155 UNTS 331.

47 Article 27 of the 2008 Mexico Model BIT. 'Agreement Between the Government of the United Mexican States and the Government of __ on the Promotion and Reciprocal Protection of Investments' <investmentpolicy.unctad.org/international-investment-agreements/treaty-files/2860/download> accessed 27 May 2024.

48 See e.g. *Ping An Life Insurance Company of China, Limited and Ping An Insurance (Group) of China, Limited v Kingdom of Belgium*, Award, 30 April 2015, ICSID Case No ARB/12/29, para 184 (arguing that there is 'no support in investor-State arbitration' for a 'presumption that the jurisdiction of a Tribunal extends to disputes which arose prior to its establishment').

49 See 1990 Italy-Morocco BIT, Article 8.

50 See e.g. Article 26(4)(d) of the Energy Charter Treaty, including the SSC as one of the options. The Energy Charter Treaty, adopted 17 December 1994, in force 16 April 1998, 2080 UNTS 95, art 26(4)(d). Article 8(2)(c) of the 2009 Türkiye-Libya BIT lists the ICC in Paris as one of the options. Agreement between the Republic of Turkey and the Great Socialist People's Libyan Arab Jamahiriya on the reciprocal promotion and protection of investments, adopted 25 November 2009, in force 22 April 2011, art 8(2)(c).

Commerce (SCC) and the International Chamber of Commerce (ICC).⁵¹ The role of other arbitral institutions remains minor for the time being.⁵² In terms of applicable procedural law, the UNC-TAD Investment Dispute Settlement Navigator highlights the relative popularity of ICSID and UNCITRAL Arbitration Rules.⁵³

Statistics based on the known investment treaty arbitrations show that most disputes are settled by arbitration under the ICSID Convention (835); followed by arbitration under the UNCITRAL Arbitration Rules (411), which, in turn, are mostly administered by the Permanent Court of Arbitration (PCA) (247). More rarely, arbitration has been conducted before other arbitration institutions, with the SCC and the ICC being the most preferred options after the ICSID and the PCA.

ICSID is the preferred option for several reasons. Not only was it created specifically to settle investment disputes, but the ICSID Convention also contains several attractive features. The ICSID Convention contains a complete set of procedural rules and rules governing the annulment of arbitral awards rendered under the same. From a procedural perspective, investment arbitration under the ICSID Convention is a delocalized, supra-national, or a-national form of arbitration, as it is detached from the laws of any particular state—including the state in which the arbitration takes place. As the ICSID has put it:

One of the unique features of the ICSID system is its autonomous nature. ICSID arbitration is known as a self-contained, or de-localized, system because local courts in any particular State have no role in the ICSID proceeding. Instead, the ICSID Convention and rules contain all provisions necessary for the arbitration of disputes, including provisions addressing the institution of proceedings, jurisdiction, procedure, the award to be rendered by the Tribunal, post-award remedies, and recognition and enforcement of the award.⁵⁴

The next subsections investigate procedural law matters. Subsections A, B, and C explore the rules governing the constitution of arbitral tribunals, transparency, and the validity of arbitral awards respectively. The discussion focuses on the specific features of treaty-based investment arbitration and of the ICSID Convention.

A. Procedural Law in General, and the Constitution of Arbitral Tribunals

In general, the procedure applicable in investment treaty arbitration largely follows the practice of international commercial arbitration or international arbitration more generally. This is particularly the case for arbitration under the UNCITRAL Arbitration Rules,⁵⁵ as these rules apply similarly

51 As of 27 May 2024, the International Centre for Settlement of Investment Disputes (ICSID) has administered 718 cases; the ICSID Additional Facility (ICSID AF) 76; the Stockholm Chamber of Commerce (SCC) 56; the International Chamber of Commerce (ICC) 26. See UNCTAD, 'Investment Dispute Settlement Navigator' <investmentpolicy.unctad.org/investment-dispute-settlement> accessed 23 May 2024.

52 See *ibid.* (reporting that as of 27 May 2024, the London Court of International Arbitration (LCIA) has administered 5 arbitrations; the Moscow Chamber of Commerce and Industry (MCCI) 3; the Cairo Regional Center for International Commercial Arbitration (CRCICA) 2; the Centro de Solución de Conflictos (CESCON) 1; the Arab Investment Court (AIC) 1 and the Hong Kong International Arbitration Centre (HKIAC) 1).

53 See *ibid.*

54 ICSID, 'Updated Background Paper on Annulment' <<https://icsid.worldbank.org/resources/publications/background-papers-annulment>> accessed 14 June 2024.

55 UNGA Resolution 31/98 (1976) on the United Nations Commission on International Trade Law (UNCITRAL) 1976 Arbitration Rules (15 December 1976) UN Doc A/RES/31/98. The UNCITRAL Arbitration Rules have been

to international commercial arbitration. The ICSID Arbitration Rules were modelled on international arbitration: the Model Rules on Arbitral Procedure developed by the International Law Commission ('ILC Model Rules') served as a model for several parts of the ICSID Convention and Arbitration Rules.⁵⁶ The ILC Model Rules were developed based on the practice in inter-state arbitration, which explain why, in certain areas, the ICSID regime governing arbitration deviates from the practice in international commercial arbitration—as is the case in relation to annulment.⁵⁷

The usual procedural features of arbitration thus apply to investment treaty arbitration: the parties decide on the composition of the tribunal and, in principle, define the applicable law and the procedure governing the arbitration. The conduct of the proceedings in investment treaty arbitration is therefore similar to the common arbitral procedures, such as those governing the constitution of the tribunal, the challenge of arbitrators, and the rules in respect to the rendering of the final award.

Parties are free to adopt the UNCITRAL Arbitration Rules. These rules can then be included in the applicable IIA which forms the basis of the consent to arbitrate. For ICSID arbitration, the choice of the procedural law is more limited because it is institutional arbitration and, consequently, the procedural rules established under the ICSID Convention and the ICSID rules of arbitration will apply. Within the boundaries of the ICSID Convention and Arbitration Rules, the parties can still agree on certain procedural questions such as those relating to the applicable law.⁵⁸

For the constitution of the tribunal, differences exist between arbitrations held within the ICSID system and arbitration conducted under the UNCITRAL Arbitration Rules. Article 14 of the ICSID Convention requires that the arbitrators must be 'persons of high moral character and recognized competence in the fields of law, commerce, industry or finance, who may be relied upon to exercise independent judgment.' This article also contains the general principles that appointed arbitrators need to be independent and impartial. Parties can, consequently, propose the disqualification of an arbitrator on account of any fact indicating a manifest lack of the qualities required by Article 14(1) of the ICSID Convention.⁵⁹ The interesting, and peculiar, feature of the procedure governing challenges to arbitrators is that the ICSID Convention leaves the decision on the proposed challenge to the other members of the arbitral tribunal.⁶⁰ If a party challenges a sole arbitrator or the majority of the arbitrators, or if the remaining arbitrators disagree, the decision is made by the chairman of the ICSID Administrative Council. Rule 23 of the 2022 ICSID Arbitration Rules has added that 'if the arbitrators are unable to decide the proposal for any reason, they shall notify the Secretary-General and they shall be considered equally divided.' The decision will then be made by the chairman of the ICSID Administrative Council under Article 58 of the ICSID Convention. Conversely, under the UNCITRAL Arbitration Rules, 'any arbitrator may be challenged if circumstances exist that give rise to justifiable doubts as to the arbitrator's impartiality or independence.'⁶¹ The decision on challenge then is made by the appointing authority.⁶²

updated most recently in 2021; the latest version is available here: https://uncitral.un.org/sites/uncitral.un.org/files/media-documents/uncitral/en/21-07996_expedited-arbitration-e-book.pdf.

56 See Antonio R Parra, *The History of ICSID* (2nd edn, OUP 2017) 46–47.

57 See subsection C. See also 'Updated Background Paper on Annulment' (*ICSID*, 2024) at paras 8–9 <<https://icsid.worldbank.org/resources/publications/background-papers-annulment>> accessed 14 June 2024.

58 Article 42 of the ICSID Convention.

59 Article 57 of the ICSID Convention.

60 Article 58 of the ICSID Convention.

61 Article 12 UNCITRAL Arbitration Rules.

62 Article 13 UNCITRAL Arbitration Rules.

Due to space limits, it is not possible to discuss the applicable procedural in detail.⁶³ However, the next sections will address certain distinct questions characterizing treaty-based investment arbitration, namely, transparency and the ICSID internal annulment mechanism to decide claims relating to the validity of the arbitral award, which will be examined further in the following.

B. Transparency

One of the specific features of investment treaty arbitration is the transparency of the proceedings. Investment treaty arbitration has gradually departed from the secrecy of the proceedings that characterizes commercial arbitration by making available to the public—under certain conditions and with some limitations—information about the proceedings and the final award, and allowing hearings to be open to the public.

Article 48(5) of the ICSID Convention provides that ‘the Centre shall not publish the award without the consent of the parties.’ In 2022, the ICSID substantially modified its Arbitration Rules including those governing the transparency of the proceedings and the publication of awards and decisions.⁶⁴ Chapter X of the 2022 ICSID Arbitration Rules contains a series of rules regulating the publication of awards, orders and decisions on annulment, filed documents, and observation of hearings.⁶⁵ The 2022 ICSID Arbitration Rules similarly contain several rules on the submission of non-disputing parties (*amicus curiae* briefs) and on submissions by, and participation of, non-disputing treaty parties.⁶⁶

The 2014 UNCITRAL Rules on Transparency in Treaty-based Investor-State Arbitration⁶⁷ also show a departure from the principle of confidentiality as far as investment treaty arbitration is concerned. The Rules contain provisions in relation to publication of information about the dispute and, under certain circumstances, the award. These rules apply to arbitrations based on investment treaties concluded after 1 April 2014, but the parties may nonetheless agree to apply the rules retroactively. Moreover, the rules have been included in the 2014 Mauritius Convention,⁶⁸ in which the parties have agreed that ‘the UNCITRAL Rules on Transparency shall apply to any investor-State arbitration, whether or not initiated under the UNCITRAL Arbitration Rules, in which the respondent is a Party.’⁶⁹ However, the Convention has, so far, only been ratified by nine states.⁷⁰

63 See e.g. David Collins, *An Introduction to International Investment Law* (2nd edn, CUP 2023); Rudolf Dolzer, Ursula Kriebaum, and Christoph Schreuer, *Principles of International Investment Law* (3rd edn, OUP 2022).

64 See Antonio R Parra, ‘The 2022 Amendments of the Regulations and Rules of the International Centre for Settlement of Investment Disputes: Change and Continuity’ (2022) 23 *The Journal of World Investment & Trade* 717, 725–32.

65 2022 ICSID Arbitration Rules, Rules 62–66.

66 2022 ICSID Arbitration Rules, Rules 66–68.

67 UNCITRAL, Rules on Transparency in Treaty-based Investor-State Arbitration (UNCITRAL 2014) <uncitral.un.org/sites/uncitral.un.org/files/media-documents/uncitral/en/rules-on-transparency-e.pdf> accessed 21 June 2024.

68 United Nations Convention on Transparency in Treaty-based Investor-State Arbitration, adopted 10 December 2014, entered into force 18 October 2017, XXII UNTS 3208 (Mauritius Convention on Transparency).

69 Mauritius Convention on Transparency Article 2.

70 As of 7 June 2024. See ‘Status: United Nations Convention on Transparency in Treaty-based Investor-State Arbitration (New York, 2014)’ <uncitral.un.org/en/texts/arbitration/conventions/transparency/status> accessed 7 June 2024.

C. Recognition, Enforcement, and Setting Aside and Annulment of Arbitral Awards

An arbitral award rendered in investment treaty arbitration is final and binding between the parties to the dispute, whether the proceedings were conducted under the ICSID Convention or the UNCITRAL Arbitration Rules. This is a standard feature of arbitration. Arbitral awards are decided by a majority, with the possibility for each arbitrator to append a separate or dissenting opinion. They need to be in writing, signed by the members of the arbitral tribunal and must be reasoned.⁷¹ Both set of rules align with the standard practice for international arbitration.

However, ICSID contains certain specific features in relation to requests for the annulment of arbitral awards. Indeed, as mentioned, ICSID is a fully international(ized) procedure, meaning that the *lex loci* and the domestic courts of the state where the arbitration takes place are largely irrelevant. One of the specific features of ICSID arbitration is that Article 54(1) of the ICSID Convention imposes an obligation on all state parties to the Convention to enforce an ICSID award ‘as if it were a final judgment of a court in that State.’ ICSID awards can thus easily be recognized and enforced, as compared to awards rendered under other rules. Consequently, there is no possibility of review by the national courts of the ICSID member state in which enforcement is sought. As a counterpart to this, the ICSID Convention has established its own regime of review of arbitral awards. Article 52(1) of the Convention provides:

Either party may request annulment of the award by an application in writing addressed to the Secretary-General on one or more of the following grounds

- (a) that the Tribunal was not properly constituted;
- (b) that the Tribunal has manifestly exceeded its powers;
- (c) that there was corruption on the part of a member of the Tribunal;
- (d) that there has been a serious departure from a fundamental rule of procedure; or
- (e) that the award has failed to state the reasons on which it is based.

Decisions on annulment are then made by an *ad hoc* committee composed of members nominated by the chairman of the ICSID Administrative Council from the ICSID list of arbitrators. The procedure on annulment follows the procedure applicable in case of arbitration.

Recent statistics show that the number of successful requests for annulment are relatively limited. From 2011 to 2020, for example, only seven requests resulted in the partial or full annulment of the arbitral award rendered—out of a total of 88 requests for annulment.⁷² Conversely, as the total number of awards rendered in that period was 225, there was a relatively important number of requests for annulment made compared to the number of awards rendered. Since 2021, this trend appears to have continued.⁷³

Decisions to set aside investment arbitration awards under rules other than the ICSID Convention—such as those conducted under the UNCITRAL Arbitration Rules—are decided by

⁷¹ Article 48 of the ICSID Convention and Rule 59 of the ICSID Arbitration Rules. Similar requirements can be found in Article 34 of the UNCITRAL Arbitration Rules.

⁷² ICSID, ‘The ICSID Caseload—Statistics: Issue 2024–1’ (1 February 2024) at 16 <icsid.worldbank.org/sites/default/files/publications/ENG_The_ICSID_Caseload_Statistics_Issue%202024.pdf> accessed 7 June 2024.

⁷³ *ibid.*

the domestic courts of the seat of arbitration, in application of the *lex loci arbitri*. The domestic arbitration law then provides for the grounds for an arbitral award to be set aside.

The recognition and enforcement of awards in investment arbitration under rules other than the ICSID Convention is subject to the 1958 New York Convention on the Recognition and Enforcement of Foreign Arbitral Awards (for the states that are parties to this Convention), and/or the domestic laws of the state where recognition and enforcement is sought. The New York Convention contains several possibilities for review by domestic courts which are broader than the grounds of annulment provided for under the ICSID Convention.⁷⁴

V. Alternatives to Investor-State Arbitration

While IIAs regularly include provisions aiming at the amicable settlement and negotiation of investor-state disputes,⁷⁵ they rarely offer any forms of settlement other than international arbitration or recourse to domestic court. So-called multi-tier dispute settlement clauses are not widely spread in IIAs, and were criticized in the past.⁷⁶ Nonetheless, some authors have noticed a recent tendency to include such provisions in IIAs.⁷⁷ Moreover, if alternative dispute resolution methods are included in IIAs, such as conciliation, this often is couched in non-mandatory terms. The BLEU-Serbia BIT, for example, provides for conciliation or ‘expert advice’ only to the extent that it is ‘possible.’ If a settlement using these methods cannot be reached within six months, the investor can file a claim before the domestic courts of the host state or an international arbitral tribunal:

1. Any investment dispute between an investor of one Contracting Party and the other Contracting Party shall be notified in writing in order to take action. The notification shall be accompanied by a sufficiently detailed memorandum.

As far as possible, the Parties shall endeavour to settle the dispute through negotiations, if necessary, by seeking expert advice, or by conciliation between the Contracting Parties through diplomatic channels.

2. In the absence of an amicable settlement by direct agreement between the parties to the dispute or by conciliation through diplomatic channels within six months from the notification, the dispute shall be submitted, at the option of the investor, either to the competent jurisdiction of the Contracting Party where the investment was made, or to international arbitration.⁷⁸

74 See Edward Baldwin, Mark Kantor and Michael Nolan, ‘Limits to Enforcement of ICSID Awards’ (2006) 23 *Journal of International Arbitration* 1, 4–5.

75 See generally Aravind Ganesh, ‘Cooling off Period’ in Helene Ruiz-Fabri (ed), *Max Planck Encyclopedia of International Procedural Law* (November 2017).

76 Gary Born and Marija Šćekić, ‘Pre-Arbitration Procedural Requirements: ‘A Dismal Swamp’ in David D Caron and others (eds), *Practising Virtue: Inside International Arbitration* (OUP 2016).

77 Ana Ubilava, ‘Mandatory Investor-State Conciliation in New International Investment Treaties: Innovation and Interpretation’ (*Kluwer Mediation Blog*, 5 September 2020) <mediationblog.kluwerarbitration.com/2020/09/05/mandatory-investor-state-conciliation-in-new-international-investment-treaties-innovation-and-interpretation> accessed 10 June 2024.

78 Article 11 of the 2004 Belgium-Luxembourg Economic Union (BLEU)—Serbia BIT. Agreement Between the Belgo-Luxembourg Economic Union, on the one hand, and the Serbia and Montenegro, on the other hand, on the Reciprocal Promotion and Protection of Investments (Belgo-Luxembourg Economic Union-Serbia), adopted 4 March 2004, in force 12 August 2007, art 11.

At the same time, conciliation has been part of ICSID Convention since its very inception due to the World Bank's positive experience with the use of conciliation to settle disputes.⁷⁹ However, conciliation initially was, and continues to be, an underused method of settlement. In 2023, only one conciliation case was registered—as opposed to 56 arbitration cases. Overall, the ICSID has registered 14 conciliation cases only.⁸⁰ Of these conciliation cases, 18% were discontinued, and only 22% resulted in a report recording the agreement of the parties. The main reason for the underuse of conciliation seems to have been, and probably still is, that the parties who wish to settle their disputes prefer a method which results in a binding decision.⁸¹

However, mirroring the recent attempts to reform investor-state arbitration, which will be discussed in the next section, there has been a move towards increasing the use of alternative forms of dispute settlement. The 2022 ICSID reforms notably resulted in the adoption of a new set of rules on the mediation of investment disputes.⁸² UNCITRAL equally has drafted guidelines on investment mediation.⁸³ Although earlier attempts had already been made to increase the use of mediation to settle investor-state disputes, such as the International Bar Association (IBA) Rules for Investor–State Mediation,⁸⁴ mediation is rarely used in investor-state dispute settlement.⁸⁵ The effect of the 2022 ICSID Mediation Rules still has to be assessed in the coming years; however, recent analysis shows that there have been only occasional requests to mediate investor-state disputes since the adoption of the 2022 ICSID Mediation Rules.⁸⁶

Moreover, to facilitate the enforcement of international settlement agreements resulting from mediation, a Convention was negotiated within UNCITRAL. The UN Convention on International Settlement Agreements Resulting from Mediation ('Singapore Convention on Mediation')⁸⁷ was adopted by the UN General Assembly in 2018 and entered into force in September 2020. The Singapore Convention applies to international settlement agreements resulting from mediation to resolve an international commercial dispute.⁸⁸ The main idea behind the Convention is that a signed settlement agreement which was the result of international mediation must be enforced in accordance with the provisions of the Convention and the rules of procedure of the state in which enforcement is sought.⁸⁹ The Convention also lists the grounds under which enforcement under the Singapore Convention can be refused.⁹⁰

79 Antonio R Parra, *The History of ICSID* (2nd edn, OUP 2017) 289.

80 ICSID, 'The ICSID Caseload—Statistics: Issue 2024–1' (1 February 2024) 2 <icsid.worldbank.org/sites/default/files/publications/ENG_The_ICSID_Caseload_Statistics_Issue%202024.pdf> accessed 7 June 2024.

81 Parra (n 79) 123.

82 ICSID, 'ICSID Mediation Rules and Regulations' (ICSID, 2022) <icsid.worldbank.org/sites/default/files/ICSID_Mediation_Rules.pdf> accessed 10 June 2024.

83 UNCITRAL (56th Session) 'Draft UNCITRAL Guidelines on Investment Mediation: Note by the Secretariat,' 21 April 2023, UN DocA/CN.9/1151.

84 International Bar Association, 'IBA Rules for Investor–State Mediation' (IBA, December 2012) <www.ibanet.org/MediaHandler?id=C74CE2C9-7E9E-4BCA-8988-2A4DF573192C> accessed 10 June 2024.

85 See Andrea K Schneider and Nancy A Welsh, 'Bargaining in the Shadow of Investor-state Mediation: How the Threat of Mediation Will Improve Parties' Conflict Management' (2021) 17 University of St Thomas Law Journal 373.

86 See 'The First Year of Practice under the 2022 ICSID Rules' (*ICSID*, 9 August 2023) at 10 <icsid.worldbank.org/sites/default/files/publications/The_First_Year_of_Practice_Under_the_ICSID.Rules.pdf> accessed 21 June 2024.

87 UN Convention on International Settlement Agreements Resulting from Mediation ('Singapore Convention on Mediation'), General Assembly Resolution 73/198 (20 December 2018).

88 Article 1(1) of the Singapore Convention on Mediation.

89 Article 3 of the Singapore Convention on Mediation.

90 Article 5 of the Singapore Convention on Mediation.

VI. ISDS Reform: Towards an ‘Investment Court’?

In 2017, UNCITRAL entrusted its Working Group III to work on the ‘the possible reform of investor-State dispute settlement (ISDS).’⁹¹ One of the driving forces behind the reform has been the European Union (EU), which has promoted the replacement of investor-state arbitration by a standing international investment court. The European Commission (EC) launched the idea in 2015,⁹² after a public consultation on the Transatlantic Trade and Investment Partnership (TTIP).⁹³ Following the consultation, the EC presented a concept paper ‘Investment in TTIP and beyond—the path for reform—Enhancing the right to regulate and moving from current ad hoc arbitration towards an Investment Court,’⁹⁴ which set out a two-step approach to reforming the current ISDS system that focuses on the use of arbitration.

Aside from including bilateral investment court systems (ICS) in recently negotiated international investment agreements by the EU,⁹⁵ the bulk of the reform work takes place at the level of UNCITRAL’s Working Group III. While ICSID modified, as discussed, its Rules of Arbitration in 2022, in relation to—*inter alia*—the transparency of the proceedings, third-party funding, publication of awards and decisions, and the costs and efficiency of the proceedings,⁹⁶ UNCITRAL WG III is (mostly) working on the replacement of arbitration by a multilateral court, coupled to an appellate mechanism. The idea is that the creation of a standing mechanisms with full-time judges would remedy, amongst other issues, the lack of consistency and predictability in both arbitral awards and the investment law regime more generally.⁹⁷

UNCITRAL WGIII has completed its work on several other issues, such as the creation of an ‘Advisory Centre on International Investment Law’⁹⁸ to provide advice in respect of ISDS and represent parties in ISDS cases.⁹⁹ Another important outcome of the UNCITRAL WGIII reform process has been the adoption of the ‘UNCITRAL Code of Conduct for Arbitrators in

91 UNGA (50th Session) ‘Report of the United Nations Commission on International Trade Law’ (2017) UN Doc A/72/17 paras 263–64.

92 European Commission, Concept Paper, *Investment in TTIP and Beyond—the Path for Reform: Enhancing the Right to Regulate and Moving from Current Ad Hoc Arbitration Towards an Investment Court* (5 May 2015).

93 See European Commission, *Report: Online Public Consultation on Investment Protection and Investor-to-State Dispute Settlement (ISDS) in the Transatlantic Trade and Investment Partnership Agreement (TTIP)* (13 January 2015) [https://www.europarl.europa.eu/meetdocs/2014_2019/documents/inta/dv/swd\(2015\)0003final_/swd\(2015\)0003final_en.pdf](https://www.europarl.europa.eu/meetdocs/2014_2019/documents/inta/dv/swd(2015)0003final_/swd(2015)0003final_en.pdf) accessed 26 June 2024.

94 European Commission, Concept Paper, *Investment in TTIP and Beyond—the Path for Reform: Enhancing the Right to Regulate and Moving from Current Ad Hoc Arbitration Towards an Investment Court* (5 May 2015).

95 See European Commission, ‘Trade: European Court of Justice Confirms Compatibility of Investment Court System with EU Treaties’ (30 April 2019) Press Release IP/19/2334. See also Marc Bungenberg and August Reinisch, ‘From Arbitral Tribunals to a Multilateral Investment Court: The European Union Approach’ in Julien Chaisse and others (eds), *Handbook of International Investment Law and Policy* (Springer 2021) 2286–87.

96 See Antonio R Parra, ‘The 2022 Amendments of the Regulations and Rules of the International Centre for Settlement of Investment Disputes: Change and Continuity’ (2022) 23 *The Journal of World Investment & Trade* 717, 725–32.

97 UNCITRAL Working Group III (38th Session) ‘Possible Reform of Investor-State Dispute Settlement (ISDS) Appellate and Multilateral Court Mechanisms: Note by the Secretariat,’ 29 November 2019, UN Doc A/CN.9/WG.III/WP.185 para 7.

98 UNCITRAL Working Group III (47th Session) ‘Possible reform of Investor-State Dispute Settlement (ISDS) Draft statute of an advisory centre: Note by the Secretariat,’ 27 November 2023, UN Doc. A/CN.9/WG.III/WP.236.

99 *ibid.*

International Investment Dispute Resolution.’¹⁰⁰ The Code of conduct contains provisions relating to the independence and impartiality of arbitrators (Art. 3), limitations on multiple roles of arbitrators (Art. 4), and rules relating to integrity, confidentiality, and disclosure obligations.

However, only recently has UNCITRAL WGIII resumed its work on the creation of a standing first instance and appeal investment court. In the early stages of its work, WG III had already outlined the options of creating a standing first instance and appeal investment court, with full-time judges in order to address, amongst others, the lack of consistency and predictability in both decisions of arbitral tribunals and the investment law regime more generally.¹⁰¹ It is, however, only in its 2024 session in New York, that WG III started to consider the ‘Draft statute of a standing mechanism for the resolution of international investment disputes.’ This standing mechanism would be composed of two tiers: the first-tier being a dispute tribunal and the second-tier an appellate mechanism. The draft statute of these mechanisms would cover their structural features and matters of jurisdiction and consent.

Concluding Remarks

ISDS is beyond doubt a widely used method to settle disputes between foreign investors and host states. The use of ISDS has increased rapidly since the start of the third millennium, and this trend is, at the moment, unceasing. This chapter has focused on the settlement of claims originating in IIAs and based on an investment treaty. ISDS is peculiar and relatively unique in international law as dispute settlement regimes in international economic law and international law more generally are typically conducted between states. Moreover, while the use of arbitration to settle such disputes resembles the law and practice of international commercial arbitration, ISDS is not concerned generally with adjudication of private rights between two parties established under a contract, but concerns the international responsibility of the state for breaches of its international obligations towards a foreign investor. These reciprocal obligations are contained in IIAs and other norms of international law.

However, the possibility for foreign investors to make use of ISDS as contained in applicable IIA is not automatic and requires meeting various jurisdictional requirements. These requirements essentially relate to both the subject matter of the disputes, and the legal standing of foreign investors, as defined in applicable IIAs. When arbitration is conducted under the ICSID Convention, additional requirements apply under Article 25 of the ICSID Convention which determines and circumscribes the jurisdiction of the Centre.

Procedurally, the state parties to an IIA agree on the forum and the procedural law which will apply to the settlement of disputes between them and foreign investors of the other state party. In doing so, they can include conditions and limitations, and offer various options to the parties to the dispute. Most common are arbitrations under the ICSID Convention and the UNCITRAL Arbitration Rules, which in turn is most often administered by the PCA. The ICSID Convention provides a de-localized system of dispute settlement, deviating in certain important aspects from

100 UNGA Resolution 78/105 (2023) ‘Code of Conduct for Arbitrators in International Investment Dispute Resolution and Code of Conduct for Judges in International Investment Dispute Resolution with respective commentary of the United Nations Commission on International Trade Law’ (11 December 2023) UN Doc A/RES/78/105.

101 UNCITRAL Working Group III (Investor-State Dispute Settlement Reform), Possible Reform of Investor-State Dispute Settlement (ISDS) Appellate and Multilateral Court Mechanisms, Note by the Secretariat, 38th Sess. (resumed) (Vienna, 20–24 January 2020), UN Doc. A/CN.9/WG.III/WP.185 (29 November 2019), para 7.

the standard practice of international commercial arbitration. It also has distinct procedural features, including rules relating to the transparency of the proceedings.

Finally, while arbitration remains the most common method provided for in IIAs to settle investment disputes, this chapter has also mentioned other methods for resolving such disputes, including mediation. The chapter has finally examined the recent and reform proposals aimed at establishing a multilateral appeals mechanism and/or investment court. The result and outcome of the ongoing reform process remain uncertain. While the UNCITRAL WGIII has completed its work on several aspects of the reform, the discussion on the creation of an investment court and the appellate mechanism will probably only be finalized several years from now.

FAIR AND EQUITABLE TREATMENT AND ITS INTERACTIONS WITH OTHER STANDARDS OF TREATMENT

Dr. Ioana Knoll-Tudor

Introduction

The fair and equitable treatment (FET) standard is the most often relied upon standard of treatment in international investment arbitration and therefore finds itself at the heart of the analysis of arbitral tribunals handling investment treaty disputes.

This chapter gives a general overview of the FET and the way in which it interacts with other standards of treatment. First, it reviews the different drafting formulations of the FET clauses in the IIAs (section 1) and assesses the place of the FET in the other international law sources (section 2). Then, the chapter analyses the actual situations in which the FET has been relied on by investors (section 3) and how the FET interacts with the other standards of treatment (section 4).

1. Sources of the FET

1.1 Treaty Practice and Typology of Drafting Formulations

Most bilateral investment treaties (BITs) as well as regional and multilateral investment instruments contain a FET clause, although few treaties do not include an FET clause.¹ These clauses are not uniformly drafted which leads to differences in meaning and interpretation by arbitral tribunals. FET clauses are frequently included as standalone provisions, although certain clauses refer also to the Full Protection and Security (FPS) or other treaty standards of treatment. The main drafting variations of FET clauses will be discussed here.

Reference to the FET standard or to constitutive elements of the FET can be found in certain treaty preambles which contain an enumeration of motives and objectives of the treaty, e.g. fostering economic cooperation, or refer to the right to regulate of the states or the obligation of states not to discriminate between their nationals and international investors.

Preambles which refer to the FET standard mainly emphasize the link between FET and the possibility to achieve a stable investment framework, as it can be seen in Article 2(2)(a) of the

¹ United Nations Conference on Trade and Development (UNCTAD), *World Investment Report* (UNCTAD 2012) 139.

Kazakhstan-US BIT (1992): ‘Agreeing that fair and equitable treatment of investment is desirable in order to maintain a stable framework for investment and maximum effective utilization of economic resources.’ In its 2012 Report on FET, the UNCTAD, however, underlined that such preambles could be interpreted by arbitral tribunals in favour of investors.²

FET clauses are most frequently included in the body of the treaty, although states’ practice of drafting FET clauses varies considerably, with a clear evolution of drafting practices in the past decades.

There are clauses which only refer to the FET standard alone without any further indication; such a minimalist approach is also called the ‘unqualified approach.’ Such FET clauses gave rise to debates as to their interpretation, particularly as to whether they should be considered as referring to the customary international law minimum standard of treatment or to an autonomous standard and therefore be object of a case-by-case interpretation. Certainly, arbitral tribunals faced with such unqualified clauses have significant discretion in interpreting them. While some have interpreted an unqualified FET clause as implicitly referring to international law,³ the majority have interpreted it as an autonomous standard.⁴

A more nuanced approach is constituted by FET clauses which explicitly refer to international law. However, even in this situation, arbitral tribunals are divided, with some interpreting the reference to international law as an allusion to the customary international law minimum standard of treatment,⁵ while others consider that this reference is without impact on the meaning of the FET and treat such clauses similarly to an unqualified FET clause—even holding that such reference invites consideration of a wider range of international law principles than the minimum standard alone.⁶

The global trend in treaty drafting has been shifting towards integrating FET clauses that explicitly refer to international law, particularly to the international minimum standard. Data from the 2017 UNCTAD World Investment Report highlights a significant increase in BITs incorporating such a clause, from just 1% in the period 1959–2010 (‘earlier BITs’) to 29% between 2011 and 2016 (‘recent BITs’).⁷ This trend reflects states’ concern of balancing investor protection with their sovereign right to regulate, suggesting that a reference to the customary international law in the FET clauses may limit arbitral tribunals’ discretion and prevent the creation of additional substantive rights beyond those included in the international minimum standard. The 2012 UNCTAD Report further supports this view, indicating that tying the FET obligation to the international minimum standard raises the threshold of liability for states, necessitating egregious or outrageous conduct for a breach to be recognized.⁸ This drafting formulation has resulted in more states successfully defending claims than under unqualified FET provisions.⁹

2 UNCTAD, ‘Fair and Equitable Treatment: UNCTAD Series on International Investment Agreements II’ (New York, 2012) <http://unctad.org/en/Docs/unctaddiaaia2011d5_en.pdf>, 112.

3 See, for instance, *Siemens AG v Argentina*, Award, 17 January 2007, ICSID No ARB/02/8, para 291.

4 See P Dumberry, *The Fair and Equitable Treatment Standard: A Guide to NAFTA Case Law on Article 1105* (Wolters Kluwer 2013) 44. et seq.

5 See, in particular, *MCI Power Group LC and New Turbine, Inc v Ecuador*, Award, 31 July 2007, ICSID Case No ARB/03/6, para 369.

6 See, for instance, *Compañía de Aguas del Aconquija SA and Vivendi Universal SA v Argentina*, Award, 20 August 2007, ICSID Case No ARB/97/3, paras 5.2.2., 6.6.2., 7.4.5., 7.4.6., 7.4.7.

7 UNCTAD, *World Investment Report 2017 Investment and the Digital Economy* (UNCTAD 2017) <https://unctad.org/system/files/official-document/wir2017_en.pdf>, 122.

8 *ibid* 13.

9 D Gaukrodger, ‘Addressing the Balance of Interests in Investment Treaties: The Limitation of Fair and Equitable Treatment Provisions to the Minimum Standard of Treatment under Customary International Law’ *OECD*

Some BITs explicitly prohibit states from implementing ‘arbitrary or discriminatory’ measures, linking these directly to the FET standard, thus offering a clearer interpretation of the otherwise broad FET principle.

The 2012 UNCTAD Report highlights that even though explicit references to arbitrariness, unreasonableness, and discrimination are made within FET clauses, these do not significantly clarify the scope of FET, as arbitrariness and discrimination are intrinsically against FET principles.¹⁰ In that respect, the Energy Charter Treaty (ECT) provides one of the most comprehensive articulations of the FET standard, explicitly incorporating both a reference to international law and a prohibition against unreasonable and discriminatory measures. Article 10 of the ECT mandates the creation of favourable conditions for investors, ensuring fair and equitable treatment, constant protection, and security without unreasonable or discriminatory impairment. Importantly, it stipulates that investments should not receive treatment less favourable than that required by international law, indicating that the FET obligation may offer protection beyond the minimum standards of international law. This approach, while specific to the energy sector, underscores a broader trend towards integrating explicit protections against arbitrary and discriminatory measures within the framework of FET obligations in BITs.

FET clauses often appear together with other treatment standards such as national treatment (NT), most-favoured-nation (MFN), and FPS. While the inclusion of FPS alongside FET does not significantly impact the interpretation of FET,¹¹ NT and MFN clauses can alter its understanding. While NT ensures equal treatment for foreign and domestic investors within the host state, MFN extends any favourable treatment granted to investors from a third country to investors from the contracting parties. These principles, especially when combined within the same provision as FET, introduce a layer of complexity to the interpretation of FET, particularly due to potential MFN clauses limitations (such as favouring investors from nations within a customs or free trade union).

The integration of FET with NT and MFN standards within BITs varies, with some treaties combining FET with either NT or MFN, establishing a baseline for the treatment of investors. Others link all three standards within one clause but differ in whether these standards are linked or operate independently, necessitating careful interpretation. FET’s essence as an international law principle, not contingent upon other standards or national measures, allows it to exceed the benchmarks set by NT and MFN clauses, offering superior treatment to foreign investors.

Recent state practice, especially in model BITs, includes an exhaustive list of state actions considered unfair or inequitable, aiming to clarify the FET standard.¹² These often prohibit denial of justice, linking it directly with the FET standard and making access to justice (whether civil, criminal, or administrative) a fundamental component of FET.

Some BITs specify state actions that presumptively breach the FET standard, particularly in sectors like mining and energy. Such clauses set a high threshold for breach, requiring investors to prove significant violations. This trend towards detailed FET clauses enhances the standard’s clarity and could also be seen as codifying arbitral jurisprudence while also limiting the interpretative freedom of arbitral tribunals.

Working Paper on International Investment 2017/03 <https://www.oecd-ilibrary.org/finance-and-investment/addressing-the-balance-of-interests-in-investment-treaties_0a62034b-en>, 9.

10 UNCTAD (n 7) 31.

11 *ibid* 21.

12 Y Levashova, *The Right of States to Regulate in International Investment Law: The Search for Balance Between Public Interest and Fair and Equitable Treatment* (Kluwer Law International 2019) 50; C Bondy, ‘Fair and Equitable Treatment—Ten Years on’ in J Engelmayer Kalicki and M Abdel Raouf (eds), *Evolution and Adaptation: The Future of International Arbitration* (Kluwer Law International 2019) 221.

1.2 FET as a Part of the Body of General International Law

The role of FET within general international law is a contentious issue. In some contexts, such as under CAFTA, NAFTA and its successor the United States–Mexico–Canada Agreement (USMCA), FET has been assimilated to the international minimum standard (IMS), though not all investment treaty tribunals agree with this view. The USMCA, which came into effect on 1 July 2020 replacing NAFTA, specifically addresses this in its Article 14.6, titled ‘Minimum Standard of Treatment.’ This article states:

1. Each party shall accord to covered investments treatment in accordance with customary international law, including fair and equitable treatment and full protection and security.
2. For greater certainty, paragraph 1 prescribes the customary international law minimum standard of treatment of foreign investments.

This adoption of the Free Trade Commission’s interpretation of Article 1105 of NAFTA¹³ by the USMCA signifies a continued and explicit linkage between FET and IMS within the context of North American trade agreements.

Another perspective sees FET as a part of customary international law, considering its widespread inclusion as a standalone clause in BITs.

The *Pope & Talbot* case distinguished FET from IMS, emphasizing FET’s evolutionary character, which requires interpretation based on each treaty’s drafting and the specific case context. The UNCTAD Secretariat also noted that equating FET with IMS is problematic, stating that although both standards may cover similar issues like arbitrariness and discrimination, having an FET clause does not automatically mean incorporating the IMS, and arguing that the key question is ‘whether the actions in questions are in all circumstances fair and equitable or unfair and inequitable,’ irrespective of the IMS.¹⁴

The FET and IMS standards should thus not be confused, as each operates in distinct fields of law with different functions and enforceability. Despite a linguistic temptation to equate FET with a ‘minimum’ standard, to terms ‘fair’ and ‘equitable’ imply a broader interpretation.

Regarding FET as a part of international customary law requires two elements: the existence of a consistent state practice (objective element) and the *opinio juris* that such a practice is mandatory (subjective element). According to its proponents, the FET standard’s inclusion in almost every BIT suggests that it has become part of customary international law, supported by the uniformity of state practice. However, variations in FET clause language indicate differences in interpretation. Although there is an argument for FET’s status as customary law, a consensus at the state level is missing, which explains that referring to FET as ‘custom’ is largely avoided.¹⁵

2. Actual Situations in Which the FET Standard Has Been Applied

The FET standard’s undefined nature means that it has to be interpreted on a case-by-case basis. One method to understand FET involves analysing situations where investors have

13 2001 NAFTA Free Trade Commission Note of Interpretation On the Fair and Equitable Treatment Standard Under NAFTA Article 1105.

14 United Nations Conference for Trade and Development (UNCTAD), *Fair and Equitable Treatment* (UNCTAD 1999) 40.

15 P Dumberry, ‘Has the Fair and Equitable Treatment Standard Become a Rule of Customary International Law?’ (2017) 8 *Journal of International Dispute Settlement* 155–78, 155.

alleged FET violations in their claims. Arbitral tribunals have thus identified various state conducts that breach FET, considering factors like the actions' attribution to the state, their nature, intent, and proportionality, while always seeking to balance the investors' interests with those of the state. This section outlines key situations recognized by arbitral tribunals as FET violations.

2.1 Lack of Respect for the Obligation of Vigilance and Protection

Under FET clauses, states are required to exercise vigilance and protect investments within their territory. This duty aligns with the obligation of due diligence, defined as 'nothing more nor less than the reasonable measures of prevention which a well-administered government could be expected to exercise under similar circumstances.'¹⁶

Amerasinghe notes that 'the mere lack or want of due diligence'¹⁷ is enough to establish the liability of a state, even without proof of negligence. This concept of due diligence, as highlighted in Judge Asante's separate opinion in the *AAPL* case, underscores 'the general obligation of the host State to exercise due diligence in protecting foreign investment in its territories, an obligation that derives from customary international law.'¹⁸ As such references to due diligence are often discussed alongside FPS and FET standards, however, this makes it 'difficult to understand how the general duty of due diligence would operate under FET.'¹⁹

The *Wena Hotels* case illustrates this failure of state vigilance, where the tribunal concluded that 'even if Egypt did not instigate or participate in the seizure of the two hotels, as Wena claims, there is sufficient evidence to find that Egypt was aware of the Egyptian Hotels Company's intentions and took no actions to prevent the seizures or to immediately restore Wena's control over the hotels'²⁰ and thus found the state's inaction in breach of FET.

Recent cases, however, show a shift towards emphasizing the FPS standard, sometimes blurring the lines with the content of FET. For instance, the *Frontier Petroleum* case differentiated FET from FPS: while the former prohibits 'behaviour that is unfair and inequitable,' the FPS 'obliges the host state to provide a legal framework that grants security and protects the investment against adverse action by private persons as well as state organs.'²¹ Similarly, the *Oxus Gold* tribunal highlighted that 'unless otherwise expressly defined in a specific BIT, the general FPS standard complements the FET standard by providing protection towards acts of third parties, i.e. non-state parties, which are not covered by the FET standard,'²² indicating that if an act was done by the state or its organs, then the FET standard should be applied.

16 A Freeman, 'Responsibility of States for Unlawful Acts of Their Armed Forces' (1956) 88 *Recueils des Cours de l'Académie de Droit International de La Haye* 15–16.

17 A Amerasinghe, *State Responsibility for Injuries to Aliens* (OUP 1967) 281–82.

18 Dissenting Opinion of Samuel K.B. Asante in *Asian Agricultural Products Ltd. (AAPL) v Republic of Sri Lanka*, ICSID Case No. ARB/87/3, Award, 27 June 1990, para 639.

19 E De Brabandere, 'Host States' Due Diligence Obligations in International Investment Law' (2015) 42 *Syracuse Journal of International Law and Commerce* 348.

20 *Wena Hotels Limited v Arab Republic of Egypt*, ICSID Case No. ARB/98/4, Award, 8 December 2000, para 85.

21 *Frontier Petroleum Services Ltd. v The Czech Republic*, PCA Case No. 2008–09, Final Award, 12 November 2010, para 296.

22 *Oxus Gold plc v Republic of Uzbekistan, the State Committee of Uzbekistan for Geology & Mineral Resources, and Navoi Mining & Metallurgical Kombinat*, Ad hoc arbitration, Final Award, 17 December 2015, para 353.

2.2 Denial of Due Process or Denial of Justice

Denial of due process or justice by a host state, including lack of procedural fairness, constitutes a breach of FET. This encompasses all procedures an investor may be engaged with—i.e. not only judicial but also administrative. Such claims challenge the host state's legal system and can be brought forward in international arbitration. However, several views exist on this point. Perspectives vary, with some arguing that only outright refusal to hear a case constitutes denial of justice,²³ while others believe that any national decision could qualify if taken by officers of the host state.

Despite these different views, the concept is well-recognized in international law, and tribunals have ruled that violations occur when decisions at an international level are found to be 'clearly improper and discreditable, with the result that the investment has been subject to 'unfair and inequitable treatment.'²⁴

Denial of justice encompasses actions not just by the judiciary²⁵ but also by legislative or administrative bodies. For instance, the *Iberdrola* tribunal recognized that actions preventing access to courts could, 'even if the act comes from the executive or legislative body,' constitute denial of justice.²⁶ Accordingly, even legislative or administrative organs can commit denial of justice. This principle was further affirmed in decisions such as *Renergy*,²⁷ *United Utilities v. Estonia*,²⁸ and *Glencore*.²⁹

Additionally, the question of local remedies is pivotal in denial of justice claims. The *Loewen* tribunal, for instance, underscored the importance of available and adequate local remedies for investors, such as the possibility to appeal, as a prerequisite for such claims. In that case, the claimant failed to demonstrate the unavailability to resort to the US Supreme Court.³⁰ Similarly, the *Metalclad* tribunal demonstrated how denial of procedural due process, such as not being notified about crucial meetings necessary to obtain a construction permit, could support a denial of

23 There are no serious representatives of this view in contemporary international law. This view deprives the denial of justice of any real meaning. The underlying argument of this position is that once dealt with by the national courts of a state, it would be an affront to national sovereignty for international adjudicators to revise the decision of the national courts. This concept was also relied upon in the *Lion Mexico* case, where the tribunal 'noted that denial of justice has been conceived by international customary law and that there is no treaty formula under the NAFTA (and most treaties for that matter) which can offer guidance on which judicial actions attributable to States amount to *justitia denegata*. Additionally, the Tribunal has decided that denial of justice can only be procedural.' *Lion Mexico Consolidated L.P. v United Mexican States*, ICSID Case No. ARB(AF)/15/2, Award, 20 September 2021, para 245.

24 *Mondev International Ltd. v United States of America*, ICSID Case No. ARB(AF)/99/2, Award, 11 October 2002, para 127.

25 *Eli Lilly and Company v Canada*, ICSID Case No. UNCT/14/2, Final Award, 16 March 2017, para 223: 'the conduct of the judiciary will in principle be attributable to the State by reference to uncontroversial principles of State responsibility.'

26 *Iberdrola v Guatemala* (I), ICSID Case No. ARB 09/15, Award, 17 August 2012, para 444: '[t]here is not only denial of justice in relation to the actions of the judiciary, but also, among other hypotheses, when a State prevents an investor's access to the courts of that State; in that case there will be denial of justice even if the act comes from the executive or legislative body.'

27 *Renergy S.à r.l. v Kingdom of Spain*, ICSID Case No. ARB/14/18, Award, 6 May 2022, para 928.

28 *United Utilities (Tallinn) B.V. and Aktsiaselts Tallinna Vesi v Republic of Estonia*, ICSID Case No. ARB/14/24, Award, 21 June 2019, para 870.

29 *Glencore International A.G. and C.I. Prodeco S.A. (Switzerland) v Republic of Colombia*, ICSID Case No. ARB/16/6, Award, 27 August 2019, para 1319.

30 *Loewen Group, Inc. and Raymond L. Loewen v United States of America*, ICSID Case No. ARB(AF)/98/3, Award, 26 June 2003, para 167.

justice claim.³¹ This emphasis on the exhaustion of local remedies has been consistently upheld in subsequent cases, as seen in *PACC v. Mexico*³² and *EBO Invest v. Latvia*.³³

However, tribunals also exercise caution to respect national sovereignty and the autonomy of domestic legal systems, as seen in *Loewen*, where the tribunal refrained from judging the conduct of a trial against domestic law standards.³⁴ As pointed out by the doctrine, this underscores a general principle that ‘the exhaustion of local remedies is a precondition to bringing a denial of justice claim.’³⁵ It is also pertinent to note that the requirement to exhaust local remedies may extend beyond the context of denial of justice claims, serving as a necessary step for accessing the procedural benefits of an investment treaty (including the initiation of ISDS) to enforce an FET obligation.

In the *Loewen case*, the tribunal found the trial and verdict in local courts to be fundamentally flawed and not meeting ‘with minimum standards of international law and fair and equitable treatment.’³⁶ It emphasized that a state’s obligation under international law is ‘to provide a fair trial of a case to which a foreigner is a party,’³⁷ requiring the investor to suffer no discrimination or prejudice. Tribunals thus agree that investors should be offered a fair trial and due process.

When it comes to identifying a breach of FET in relation with the denial of justice standard, tribunals generally look for a ‘[m]anifest injustice in the sense of a lack of due process leading to an outcome which offends a sense of judicial propriety.’³⁸ Mere errors are insufficient; there needs to be clear evidence of ‘gross unfairness,’³⁹ ‘flagrant and inexcusable violation,’⁴⁰ or ‘palpable violation’ in which ‘bad faith not judicial error seems to be the heart of the matter.’⁴¹

In *AES v. Hungary*, the tribunal required evidence of decisions being ‘manifestly unfair or unreasonable (such as would shock, or at least surprise a sense of juridical propriety).’⁴² As further noted by the tribunal, this implies that not every court failures ‘amount to a failure to provide fair and equitable treatment.’⁴³ Similarly, the *Rumeli* tribunal later identified decisions that are ‘so patently arbitrary, unjust or idiosyncratic that it demonstrates bad faith.’⁴⁴

31 *Metalclad Corporation v The United Mexican States*, ICSID Case No. ARB(AF)/97/1, Award, 30 August 2000, para 91.

32 *PACC Offshore Services Holdings Ltd v United Mexican States*, ICSID Case No. UNCT/18/5, Award, 11 January 2022.

33 *Rox Holding AS and Staur Eiendom AS v Republic of Latvia*, ICSID Case No. ARB/16/38, Award, 28 February 2020.

34 *Loewen Group, Inc. and Raymond L. Loewen v United States of America*, ICSID Case No. ARB(AF)/98/3, Award, 26 June 2003, para 134.

35 F Palombino, *Fair and Equitable Treatment and the Fabric of General Principles* (Springer 2018) 59.

36 *Loewen Group, Inc. and Raymond L. Loewen v United States of America*, ICSID Case No. ARB(AF)/98/3, Award, 26 June 2003, para 137.

37 *ibid* para 123.

38 *ibid* para 132.

39 JW Garner, ‘International Responsibility of States for Judgements of Courts and Verdicts of Juries amounting to Denial of Justice’ (1929) 10 *British Yearbook of International Law* 183.

40 E Jiménez de Arechaga, ‘International Law in the Past Third of a Century’ (1978) 159 *RCADI* 282.

41 DP O’Connell, *International Law* (Stevens and Sons 1970) 498.

42 *AES Summit Generation Limited and AES-Tisza Erőmű Kft. v Republic of Hungary (II)*, ICSID Case No. ARB/07/22, Award, 23 September 2010, para 9.3.40.

43 *ibid*.

44 *Rumeli Telekom A.S. and Telsim Mobil Telekomunikasyon Hizmetleri A.S. v Republic of Kazakhstan*, ICSID Case No. ARB/05/16, Award, 29 July 2008, para 653.

Conversely, in *Lion Mexico*, the tribunal highlighted that ‘a wilful and intentional illicit conduct by local Courts may serve as the grounds for a finding of denial of justice,’⁴⁵ requiring an objective assessment of ‘improper and egregious procedural conduct by the local courts’ that falls below ‘basic internationally accepted standards of administration of justice and due process.’⁴⁶

The *Agility v. Iraq* case broadens the perspective, with the tribunal finding that claimants must prove the host state’s failure to provide ‘a minimally adequate justice system in order to satisfy the high threshold for a claim for denial of justice,’ without offering further details on this threshold.⁴⁷

Denial of justice also entails specific exceptions and limitations—as arbitration cannot be used by investors to challenge unfavourable court decisions. Tribunals, as seen in *Mondev*, emphasize that they are not appellate courts for reviewing local court decisions on their merits.⁴⁸ This stance is echoed in cases like *Mamidoil*—where the tribunal, when faced with a ruling of the Albanian Supreme Court overturning a decision of a first instance court, underscored that it was ‘not a super-appellate court [nor] a superconstitutional court with competence to correct the Albanian Constitutional Court’s’ decision.⁴⁹

Lastly, the FET standard also requires that investors be granted procedural fairness. An example is the *Middle East Cement* case, where the tribunal highlighted the necessity of ‘direct communication’⁵⁰ for significant actions like the seizure and auction of assets, asserting that investors should be informed in advance ‘irrespective of whether there [i]s a legal duty or practice to do so.’⁵¹ This underscores that procedural inadequacy can entail a breach of the FET standard, demanding the treatment of investors does not fall below ‘the level that is unacceptable from the international perspective.’⁵²

2.3 The Non-Observance or Frustration of an Investor’s Legitimate Expectations

As originally phrased by the *Thunderbird* tribunal, the concept of ‘legitimate expectations’ relates to a ‘situation where a Contracting Party’s conduct creates reasonable and justifiable expectations on the part of an investor (or investment) to act on reliance on said conduct, such that a failure by the [State] to honour those expectations could cause the investor (or the investment) to suffer damages.’⁵³

The doctrine of legitimate expectations, as an integral element of the FET standard, has evolved through arbitral practice. It emerged from the need to protect the investor’s trust in the stability

45 *Lion Mexico Consolidated L.P. v United Mexican States*, ICSID Case No. ARB(AF)/15/2, Award, 20 September 2021, para 296.

46 *ibid* para 299.

47 *Agility Public Warehousing Company K.S.C. v Republic of Iraq*, ICSID Case No. ARB/17/7, Final Award, 22 February 2021, para 216.

48 *Mondev International Ltd. v United States of America*, ICSID Case No. ARB(AF)/99/2, Award, 11 October 2002, para 126.

49 *Mamidoil Jetoil Greek Petroleum Products Société Anonyme S.A. v Republic of Albania*, ICSID Case No. ARB/11/24, Award, 30 March 2015, para 764. See also *Big Sky Energy Corporation v Republic of Kazakhstan*, ICSID Case No. ARB/17/22, Award, 24 November 2021, para 359.

50 *MTD Equity Sdn. Bhd. and MTD Chile S.A. v Chile*, ICSID Case No. ARB/01/7, Award, 25 May 2004, para 143.

51 *ibid* para 143.

52 *S.D. Myers, Inc. v Government of Canada*, Award, 13 November 2000, para 134.

53 *International Thunderbird Gaming Corporation v The United Mexican States*, NAFTA/UNCITRAL, Award, 26 January 2006, para 147.

and reliability of the host state's legal and regulatory environment, which is deemed crucial for the investment's success. This doctrine has been recognized by numerous arbitral tribunals as part of the FET standard, with some even tracing its roots to the broader obligation of good faith in international law.⁵⁴

The seminal case that laid the groundwork for the recognition of legitimate expectations within the FET standard was *Tecmed v. Mexico* where the tribunal made a general reference to the protection of an investor's expectations as taken into account by the foreign investor to make the investment.⁵⁵ Following this, the term 'legitimate expectations' was explicitly used by the tribunal in *Thunderbird v. Mexico*, marking the first instance where an arbitral tribunal used this specific term to address the concept.⁵⁶

The protection of legitimate expectations under the FET standard has been further developed and elaborated upon in subsequent arbitral decisions. It has been the subject of a particularly vast jurisprudence, with tribunals holding that an investor has legitimate expectations to be treated impartially, fairly, and/or even-handedly (despite some of them criticizing such approach as circular) and that expectation of return on an investment is reasonable. Legitimate expectations have also been seen to arise in connection to indirect expropriation, whether accepted by tribunals or not. Although not mentioned as a self-standing concept in international investment agreements, certain investment treaties (mainly concluded by the US and Canada) refer to 'investment-backed expectations' amongst the factors to be considered in order to determine whether a certain State measure constitutes indirect expropriation.

Since then, most arbitral tribunals have identified the protection of investors' legitimate expectations as the 'dominant element'⁵⁷ and the 'most important function'⁵⁸ of the FET standard. Other tribunals seem to also equate FET with the protection of legitimate expectations.⁵⁹ Some authors and tribunals even go further, advocating for the view of legitimate expectations as 'a self-standing subcategory and independent basis for a claim under the "fair and equitable standard"'⁶⁰—reflecting a broader understanding of FET as encompassing specific assurances and the overall regulatory framework that influenced the investor's decision to invest.

54 *Total S.A. v Argentine Republic*, ICSID Case No. ARB/04/1, Decision on Liability, 27 December 2010, para 128; *El Paso Energy International Company v The Argentine Republic*, ICSID Case No. ARB/03/15, Award, 31 October 2011, para 348; *Waguih Elie George Siag and Clorinda Vecchi v Arab Republic of Egypt*, ICSID Case No. ARB/05/15, Award, 1 June 2009, para 450; *Charanne B.V. and Construction Investments S.A.R.L. v Spain*, SCC Case No. 062/2012, Award, 21 January 2016, para 486.

55 *Técnicas Medioambientales Tecmed, S.A. v The United Mexican States*, ICSID Case No. ARB (AF)/00/2, Award, 29 May 2003, para 154.

56 *Thunderbird v Mexico*, Award, para 147.

57 *Saluka v Czech Republic*, UNCITRAL, Partial Award, 17 March 2006, para 302. See also *Novenergia II—Energy & Environment (SCA) (Grand Duchy of Luxembourg), SICAR v Kingdom of Spain*, SCC Case No. 2015/063, Final Award, 15 February 2018, para 648 and *Invesmart v Czech Republic*, ad hoc arbitration, Award (Redacted), 26 June 2009, para 202.

58 *Electrabel S.A. v Republic of Hungary*, ICSID Case No. ARB/07/19, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 7.75. See also *EDF (Services) v Romania*, ICSID Case No. ARB/05/13, Award, 8 October 2009, para 216; *Generation Ukraine Inc. v Ukraine*, ICSID Case No. ARB/00/9, Award, 16 September 2003, para 20.37; *El Paso v Argentina*, Award, para 348; *Mobil Exploration and Development Inc. Suc. Argentina and Mobil Argentina S.A. v Argentine Republic*, ICSID Case No. ARB/04/16, Decision on Jurisdiction and Liability, 10 April 2013, para 927.

59 *Impregilo S.p.A. v Argentine Republic*, ICSID Case No. ARB/07/17, Award, 21 June 2011, para 285.

60 *Thunderbird v Mexico*, Award, Separate Opinion of Thomas Wälde, December 2005, para 37.

However, the inclusion of legitimate expectations within the FET standard is not without controversy. While the majority of legal scholars and practitioners acknowledge its significance as an accepted element of FET, some critique the doctrine as an unforeseen expansion of the FET standard, potentially imposing undue obligations on parties to an investment treaty.⁶¹ Critics argue that this broad interpretation could limit states' regulatory autonomy and adaptability, raising concerns about the balance between investor protection and sovereign rights.⁶² It is also worth noting that, for these critics, the vagueness of the FET standard is in large part to blame for some of the resentment and backlash against ISDS.

Although the facts of each case must be appreciated in their context, various situations have been recognized by arbitral tribunals as giving rise to legitimate expectations about the host state's legal framework and its treatments towards the investment.

For instance, the relationship between a state and an investor is based on legal and contractual commitments which can take various forms, including contracts entered into with a state agency or state entity,⁶³ licenses, permits, etc.

The host state may also make explicit and implicit representations to an investor. These include formal promises,⁶⁴ acts of government officials, or direct communications. Implicit representations, on the other hand, may arise from the state's conduct, including its regulatory practices, administrative actions, repeated assurances by federal officials and public statements⁶⁵ that signal a commitment to certain policies or regulatory stability.⁶⁶

The stability of the regulatory and legal framework in place at the time of the investment is another key factor influencing investors' expectations.⁶⁷ States are expected to maintain a stable and predictable regulatory landscape to encourage foreign investment.⁶⁸ However, this obligation is not absolute and must be balanced with the state's right to adjust its laws in the public interest,⁶⁹ reflecting changes in economic, social, or environmental conditions.⁷⁰ Moreover, legitimate expectations should not be conflated with stability clauses. A critical level of alteration in the regulatory

61 M Potestà, 'Legitimate Expectations in Investment Treaty Law: Understanding the Roots and the Limits of a Controversial Concept' (2013) 28 ICSID Review 88–122.

62 *Suez and Vivendi v Argentina* and *AWG Group v Argentina*, ICSID Case No. ARB/03/19, Separate Opinion of Arbitrator Pedro Nikken, 30 July 2010, paras 3, 27.

63 *Continental Casualty Company v The Argentine Republic*, ICSID Case No ARB/03/9, Award, 5 September 2008, para 261; *Suez, Sociedad General de Aguas de Barcelona SA and InterAguas Servicios Integrales del Agua SA v The Argentine Republic*, ICSID Case No ARB/03/17, Decision on Liability, 30 July 2010, para 212.

64 *Crystalex International Corporation v Bolivarian Republic of Venezuela*, ICSID Case No ARB(AF)/11/2, Award, 4 April 2016, para 547.

65 However, the dominant perspective contends that political statements hold little significance in establishing a legitimate expectation. See e.g. *Continental v Argentina*, Award, para 261; *Mamidoil v Albania*, Award, para 643; *El Paso v Argentina*, Award, para 395.

66 *Southern Pacific Properties (Middle East) Limited v Arab Republic of Egypt*, Award, ICSID Case No ARB/84/3, 20 May 1992, para 83; *Waste Management v Mexico*, ICSID Case No. ARB(AF)/98/2, Award, 2 June 2000, para 98; *Parkerings-Compagniet AS v Republic of Lithuania*, ICSID Case No. ARB/05/8, Award 11 September 2007, para 331; *National Grid PLC v The Argentine Republic*, UNCITRAL, Award, 3 November 2008, para 173.

67 Despite tribunals finding that laws themselves cannot base legitimate expectations. See *Antaris v Czech Republic*, Award, 2 May 2018, para 360.

68 In *El Paso v Argentina*, the tribunal notably insisted that expectations of stability must be objectively reasonable, directly associating the concept of stability with the matter of legitimate expectations. See *El Paso v Argentina*, Award, para 350.

69 *EDF (Services) v Romania*, Award, 8 October 2009, para 217.

70 *Antaris v Czech Republic*, Award, 2 May 2018, para 360; *Arif v Moldova*, Award, 8 April 2013, para 537; *Perenco v Ecuador*, Decision on Remaining Issues of Jurisdiction and Liability, 12 September 2014, para 560.

framework, however, can harm investors and contravene their legitimate expectations. Instances such as the 2001–02 Argentine crisis and changes to renewable energy laws in Spain, Italy, and the Czech Republic in recent years illustrate how alterations in the legal framework can lead to FET-based arbitration proceedings.

In addressing these situations under the FET standard, arbitral tribunals generally follow a structured methodology to ascertain whether a state's conduct has indeed frustrated the legitimate expectations of an investor:

- i. *Objective basis for expectations*: Tribunals first examine whether there was an objective conduct of the state that could give rise to legitimate expectations on the part of the investor (often referring to commitments or representations made by the state at the time of the investment, as mentioned).
- ii. *Legitimacy and reasonableness of the expectations*: The investor's expectations must be 'legitimate' or 'reasonable' or 'fair' and not based on the investor's subjective considerations.⁷¹
- iii. *Investor's reliance on these expectations*: The investor must have relied on such legitimate expectations when deciding to invest in the host state, with tribunals often requiring evidence that the expectations played a significant role in the investor's decision to invest or continue investing in the host state.
- iv. *Frustration of the investor's expectations*: Tribunals will then seek to identify subsequent conduct of the host state that frustrated the investor's legitimate expectations (e.g. a change in law, revocation of a previously granted license, etc.).
- v. *Resultant harm to the investor*: Finally, there must be evidence that the investor suffered damage as a result of the state's conduct.

In appreciating a breach of legitimate expectations, tribunals also take into account several additional factors, such as (i) the specificities of the host state, in particular its level of political, economic, and legal development (e.g. legitimate expectations might differ between a country with an economy in transition and a developed economy one),⁷² (ii) the specificity of the host state's acts in creating legitimate expectations (e.g. contracts, unilateral promises or political statements, assurances or representations made by the state to induce the investment are more likely to give rise to protected legitimate expectations than general legislative frameworks or political statements), (iii) the context of the investment (e.g. the political, socioeconomic, cultural, and historical conditions prevailing in the host state,⁷³ the climate affected by a high degree of political volatility,⁷⁴ a post-civil war),⁷⁵ and (iv) the investor's due diligence (tribunals often consider that investors must

71 *Suez and Vivendi v Argentina* and *AWG Group v Argentina*, Decision on Liability, 30 July 2010, para 209; *Jan de Nul v Egypt*, Award, 6 November 2008, para 186; *Arif v Moldova*, Award, 8 April 2013, para 532; *Urbaser v Argentina*, Award, 8 December 2016, para 613; *Charanne v Spain*, Award, 21 January 2016, para 495; *Antin v Spain*, Award, 15 June 2018, para 538.

72 *El Paso Energy v The Argentine Republic*, Award, para 360; *Generation Ukraine Inc. v Ukraine*, Award, para 20.37; *Parkerings v Lithuania*, Award, para 335.

73 *Duke Energy Electroquil Partners & Electroquil S.A. v Republic of Ecuador*, ICSID Case No. ARB/04/19, Award, 18 August 2008, para 340; *Bayindir v Pakistan*, Award, 27 August 2009, para 192; *Parkerings v Lithuania*, Award, 11 September 2007, para 335; *Metalpar v Argentina*, Award on the Merits, 6 June 2008, para 187.

74 *Bayindir Insaat Turizm Ticaret VE Sanayi A.Ş. v Islamic Republic of Pakistan*, ICSID Case No. ARB/03/29, Award, 27 August 2009, para 195.

75 *Toto Costruzioni General S.P.A v Republic of Lebanon*, ICSID Case No. ARB/07/12, Award 7 June 2012, para 245.

act reasonably and exercise due diligence when assessing a business environment on which they intend to rely, and ensure themselves that their investments comply with the law).⁷⁶

2.4 Coercion and Harassment by the Organs of a Host State

Coercion and harassment by the organs of a host state can also amount to a breach of the FET standard. In *Mobil v. Argentina*, the tribunal, also referring to the *Pope & Talbot* case, found that a government regulatory authority launching a ‘verification review’ against the investor which was deemed confrontational and aggressive amounted to a breach of FET under Article 1105 NAFTA.⁷⁷ Similarly, in *Al-Bahloul v. Tajikistan*, the tribunal recognized that the FET standard also includes ‘[t]he obligation not to exercise unreasonable pressure on an investor to reach certain goals’⁷⁸ and interpreted this conduct as a violation of due process.

The practice of host states pressuring investors for renegotiation or rescission of their investments further exemplifies FET violations. For instance, in *Burlington v. Ecuador*, the tribunal considered Ecuador’s takeover of oil blocks as the ‘final step in a series of acts of harassment’ directed against the investor, intended to force the renegotiation of the production sharing contracts.⁷⁹

2.5 The Failure to Provide a Stable and Predictable Legal Framework

The significance of a stable and predictable legal framework for foreign investments is well recognized in commercial sectors as well as a principle in international investment law. The lack of such a framework is considered as a potential FET violation. However, the content of this situation has been long-shaped, mainly by arbitral decisions in the early 2000s that suggested that FET required strict regulatory stability, implying that any changes in this framework could result in a violation of the standard.⁸⁰ However, more recent arbitral have moved away from this stringent view.

The requirement for stability has been closely scrutinized in numerous renewable energy cases involving changes to renewable energy regulations in countries like Spain, Italy, and the Czech Republic. Initiated mostly under the ECT, these cases have emphasized the critical role of a stable regulatory environment and illustrated how sharp or unexpected legal changes can lead to disputes and be deemed violations of the FET standard.

76 *Olguín v Paraguay*, Award, 26 July 2001, para 75; *MTD v Chile*, Award, 25 May 2004, para para 117, 164; *Parkerings v Lithuania*, Award, 11 September 2007, para 333; *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 601; *Invesmart v Czech Republic*, Award (Redacted), 26 June 2009, para 254; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 285; *Anderson v Costa Rica*, Award, 19 May 2010, para 58; *Isolux v Spain*, Award, 12 July 2016, para 781; *Novenergia II v Spain*, Final Award, 15 February 2018, para 679; *Antin v Spain*, Award, 15 June 2018, para 537; *Antaris v Czech Republic*, Award, 2 May 2018, paras 434–35; *Gavriloc v Croatia*, Award, 26 July 2018, para 986; *Zelena v Serbia*, Award, 9 November 2018, para 98.

77 *Mobil v Argentine Republic*, Decision on Jurisdiction and Liability, 10 April 2013, para 938.

78 *Mohammad Ammar Al-Bahloul v The Republic of Tajikistan*, SCC Case No. 064/2008, Partial Award on Jurisdiction and Liability, 2 September 2009, para 221.

79 *Burlington Resources, Inc. v Republic of Ecuador*, ICSID Case No. ARB/08/5, Decision on Reconsideration and Award, 7 February 2017, paras 172–73.

80 See UNCTAD, *Fair and Equitable Treatment* (UNCTAD 2012), 64–67 (referring to *Tecmed v Mexico*, *Occidental v Ecuador I*, *CMS v Argentina*, *Enron v Argentina* and *PSEG v Turkey* and *Sempra v Argentina*.)

2.6 Unjust Enrichment

Unjust enrichment has been the subject of many definitions. According to the landmark Iran-US Claims Tribunal's Sea-Land decision, however, '[t]here must have been an enrichment of one party to the detriment of the other, and both must arise as a consequence of the same act or event. There must be no justification for the enrichment, and no contractual or other remedy available to the injured party whereby he might seek compensation from the party enriched.'⁸¹

The *Strabag v. Libya* case further highlights that although its elements vary according to the applicable laws, unjust enrichment requires 'some incontrovertible benefit as a result.'⁸²

In *Churchill Mining v. Indonesia*, investors claimed Indonesia unjustly enriched itself by revoking their mining rights, after they discovered the seventh largest coal field in the world,⁸³ though the tribunal did not address this claim.⁸⁴ Similarly, arbitral tribunals have long held that unjust enrichment is a last-resort remedy, which can be raised when no alternative remedies are available.⁸⁵

2.7 Evidence of Bad Faith

Evidence of bad faith by a host state can lead to liability under the FET standard. Bad faith is distinct from the obligation of good faith, which is a standalone obligation that applies to both the state and the investor and serves as a benchmark to evaluate state actions.⁸⁶ Thus, the *GAMI* tribunal found that acts in good faith, even if unfavourable, do not necessarily lead to the state's liability.⁸⁷ Similarly, in *Total*, the tribunal did not hold the state liable for its good faith acts even though these acts breached the principle of fair and equitable treatment.⁸⁸ Besides, and as shown in *Oostergetel* and *Frontier Petroleum*, 'the FET standard may be violated even when the State does not act in bad faith.'⁸⁹

Evidence of bad faith thus can be considered as a complementary element, or, eventually, as a circumstance aggravating the state's responsibility. Similarly to unjust enrichment, a finding of bad faith can serve as a last-resort remedy, but arbitral tribunals definitely recognized that an action carried out in bad faith is sufficient to find an FET violation. For instance, the tribunal in *Genin* noted that acts breaching the FET 'include acts showing a wilful neglect of duty, an insufficiency of action falling far below international standards, or even subjective bad faith,'⁹⁰ highlighting bad

81 *Sea-Land Service, Inc. v The Government of the Islamic Republic of Iran, Ports and Shipping Organization*, IUSCT Case No. 33, Award (Award No. 135-33-1), 22 June 1984, para 62.

82 *Strabag SE v Libya*, ICSID Case No. ARB(AF)/15/1, Award, 29 June 2020, para 899.

83 *Churchill Mining and Planet Mining Pty Ltd v Republic of Indonesia*, ICSID Case No. ARB/12/40 and 12/14, Award, 6 December 2016, para 226.

84 *ibid* para 528.

85 *CMC Muratori Cementisti CMC Di Ravenna SOC. Coop., CMC Muratori Cementisti CMC Di Ravenna SOC. Coop. A.R.L. Maputo Branch and CMC Africa Austral, LDA v Republic of Mozambique*, ICSID Case No. ARB/17/23, Award, 24 October 2019, paras 467, 473.

86 D Draguiev, 'Bad Faith Conduct of States in Violation of the vFair and Equitable Treatment' Standard in International Investment Law and Arbitration' (2014) 5 *Journal of International Dispute Settlement* 284.

87 *GAMI Investments, Inc. v United Mexican States*, Final Award, 15 November 2004, para 97.

88 *Total S.A. v Argentine Republic*, ICSID Case No. ARB/04/1, Decision on Liability, 27 December 2010, paras 163-64.

89 *Jan Oostergetel and Theodora Laurentius v The Slovak Republic*, Final Award, 23 April 2012, para 227 (holding that 'it is clear that the FET standard may be violated even when the State does not act in bad faith'). See also *Frontier Petroleum Services Ltd. v The Czech Republic*, PCA Case No. 2008-09, Final Award, 12 November 2010, para 301.

90 *Alex Genin, Eastern Credit Limited, Inc. and A.S. Baltoil v The Republic of Estonia*, ICSID Case No. ARB/99/2, Award, 25 June 2001, para 367.

faith as a distinct ground for FET violations. However, for procedural irregularities to constitute a violation of a BIT, investors must demonstrate ‘bad faith, a wilful disregard of due process of law or an extreme insufficiency of action.’⁹¹

2.8 Absence of Transparency

The absence of transparency is a critical aspect of a host state’s FET obligation, related to its legal and regulatory system. The *Metalclad* tribunal determined that ‘[o]nce the authorities [. . .] become aware of any scope for misunderstanding or confusion in this connection, it is their duty to ensure that the correct position is promptly determined and clearly stated so that investors can proceed with all appropriate expedition in the confident belief that they are acting in accordance with all relevant laws.’⁹² A lack of transparency from local authorities, leading to investor misunderstanding, thus breaches the FET standard by failing to provide a transparent and predictable framework.

The role of transparency within the FET’s context was echoed in cases like *Indian Metals v. Indonesia*, which identified the transparency obligation as one of the ‘core principles’ of FET.⁹³ Similarly, in *Infracapital v. Spain*, transparency was highlighted as essential for ensuring ‘stable conditions [and] to accord to investments fair and equitable treatment.’⁹⁴ However, interpretations of transparency’s role in FET vary, with some tribunals considering it as ‘equivocal’ and even linking it to legitimate expectations,⁹⁵ and others viewing it as a part of the obligation to provide a stable and predictable legal framework.⁹⁶

The obligation of transparency requires host states to keep investors informed about significant legal or regulatory changes, such as the issuance of licenses⁹⁷ or planning permits evaluations.⁹⁸ Instances where this has not occurred, like in *Vivendi v. Argentina II*⁹⁹ and *Rumeli Telekom v. Kazakhstan*,¹⁰⁰ were deemed FET violations due to the lack of prior notice and opportunity for investors to respond. Recent rulings, however, suggest a narrower scope for transparency requirements, with the *Sergei Paushok* tribunal indicating that rapid legislative changes (in this case, taking place in less than a week) without consultation do not necessarily constitute a breach of transparency under FET.¹⁰¹

91 *ibid* para 371.

92 *Metalclad Corporation v The United Mexican States*, ICSID Case No. ARB(AF)/97/1, Award, 30 August 2000, para 76.

93 *Indian Metals & Ferro Alloys Limited v The Government of the Republic of Indonesia*, PCA Case No. 2015–40, Award, 29 March 2019, para 226.

94 *Infracapital F1 S.à r.l. and Infracapital Solar B.V. v Kingdom of Spain*, ICSID Case No. ARB/16/18, Decision on Jurisdiction, Liability and Directions on Quantum, 13 September 2021, paras 518, 617.

95 *RWE v Spain*, Decision on Jurisdiction, Liability and Certain Issues of Quantum, 30 December 2019, paras 658–59.

96 *AES Corporation and Tau Power B.V. v Republic of Kazakhstan*, ICSID Case No. ARB/10/16, Award, 1 November 2013, para 316.

97 *Mohammad Ammar Al-Bahloul v The Republic of Tajikistan*, SCC Case No. 064/2008, Partial Award on Jurisdiction and Liability, 2 September 2009, para 188.

98 *ECE v Czech Republic*, PCA Case No. 2010–05, Final Award, 19 September 2013, para 4.808.

99 *Vivendi v Argentina*, ICSID Case No. ARB/97/3, Award II, 20 August 2007, para 7.4.31.

100 *Rumeli Telekom A.S. and Telsim Mobil Telekomunikasyon Hizmetleri A.S. v Republic of Kazakhstan*, ICSID Case No. ARB/05/16, paras 617–18.

101 *Paushok, CJSC v Mongolia*, Award on Jurisdiction and Liability, para 304.

2.9 Arbitrary and Discriminatory Treatment

An arbitrary and discriminatory treatment could also entail an FET breach. Whether an action or omission of a state was arbitrary and discriminatory is usually addressed when the tribunal discusses the specific wrongdoing of the state. Accordingly, the obligation not to treat investors in an arbitrary or discriminatory manner is conceived as a narrower obligation, which is thus often analysed during a second stage of a tribunal's analysis. This second-stage analysis was well illustrated in both the *GAMI* and *LG&E* cases.¹⁰²

In *Lauder*, the tribunal opined that in order for a measure to be in breach of the applicable article of the treaty, which imposed that 'neither party shall in any way impair by arbitrary and discriminatory measure,' the measure has to be both arbitrary and discriminatory, resulting mainly from the plain wording of the provision, containing the word 'and' instead of the word 'or.'¹⁰³ However, this interpretation was not upheld by all tribunals, as some tribunals went on to interpret the two terms separately.¹⁰⁴ Conversely, examples exist where arbitrariness or discrimination have been considered as independent elements of protection under the applicable treaties.¹⁰⁵

2.10 Corruption

Recent developments in arbitral tribunal practice have highlighted corruption as a significant and rising concern within the context of FET. Tribunals have recognized corruption as a valid cause of action under FET, emphasizing its serious impact on investment protection. For instance, in *Liman Caspian Oil v. Kazakhstan*, the tribunal pointed out that 'corruption, if established, would constitute a grave violation of the standard of fair and equitable treatment.'¹⁰⁶ Similarly, the tribunal in *EDF v. Romania* explained that 'a request for bribe by a State agency is a violation of the fair and equitable treatment obligation' while also showing that 'exercising a State's discretion on the basis of corruption is fundamental breach of transparency and legitimate expectations.'¹⁰⁷

Corruption as a cause of action was also suggested by the tribunal in *Yukos v. Russian Federation*—which, according to Bowling, could even be seen as a 'textbook example for applying FET for acts of corruption.'¹⁰⁸ The case suggested that Russian authorities' multiple actions against Yukos (including criminal prosecutions, harassment, tax reassessments, fines, and asset freezes) could have resulted in the bankruptcy and dissolution of Yukos and constituted a breach of FET due to their alignment with corrupt practices and political motivations.¹⁰⁹ As concluded by Bowling, this

102 *GAMI Investments, Inc. v United Mexican States*, Final Award, 15 November 2004, para 25 and *LG&E Energy Corp., LG&E Capital Corp. and LG&E International Inc. v Argentine Republic*, ICSID Case No. ARB/02/1, Decision on Liability, 3 October 2006, paras 140–63.

103 *Ronald S. Lauder v Czech Republic*, Award, 3 September 2001, para 219.

104 *LG&E Energy Corp., LG&E Capital Corp. and LG&E International Inc. v Argentine Republic*, ICSID Case No. ARB/02/1, Decision on Liability, 3 October 2006 (examining first the discriminatory treatment (paras 140–48) and then, the arbitrary treatment (paras 149–60)).

105 P Dumberry, 'The Prohibition against Arbitrary Conduct and the Fair and Equitable Treatment Standard under NAFTA Article 1105' (2014) 15 *Journal of World Investment & Trade* 139 *et seq.*

106 *Liman Caspian Oil BV and NCL Dutch Investment BV v Republic of Kazakhstan*, ICSID Case No. ARB/07/14, Award (Excerpts), 22 June 2010, para 422.

107 *EDF (Services) Limited v Romania*, Award, para 221.

108 C Bowling, 'Corruption and FTAs: Does an Implicit Cause of Action Exist for Corruption Claims in ISDS?' (2019) 51 *International Law and Politics* 944–46.

109 *Yukos Universal Ltd. (Isle of Man) v Russian Federation*, PCA Case No. 2005–04/AA227, Final Award, 18 July 2014, para 1583.

perspective ‘has significant implications for investors, as it sets potential precedent for incidents of corruption as causes of action under ISDS.’¹¹⁰

2.11 Human Rights Violations

Human rights violations have not been commonly used as the basis for treaty claims, but there is an increasing trend to incorporate human right obligations into treaties and rely upon them. Early on, in *Biloune v. Ghana*, the tribunal declared itself incompetent to rule upon the alleged human rights violations (Mr Biloune’s arbitrary detention and expulsion and the violation of his property and contractual rights) ‘as an independent cause of action,’¹¹¹ stating its jurisdiction was confined to commercial disputes. The tribunal recognized the obligations of host states under customary international law to grant foreign nationals a specific standard of treatment.

The *Strabag v. Poland* case provided insights on pursuing human right claims.¹¹² It notably indicated that investors must demonstrate how human rights protections under the European Convention on Human Rights (ECHR) for property and fair trial align with the treaty’s obligations and how the facts of their case constitute a breach of these rights.¹¹³

In *Al Warraq v. Indonesia*, the tribunal considered a breach of FET claim based on Article 14(2) of the International Covenant on Civil and Political Rights (ICCPR), interpreting the term ‘basic rights’ mainly as ownership rights. The tribunal’s examination of Indonesia’s actions against the ICCPR’s standards led to the conclusion that the ICCPR forms ‘an element of the guarantee of fair and equitable treatment’¹¹⁴ and that ‘the Claimant did not receive fair and equitable treatment as enshrined in the ICCPR,’ thus granting the claim.¹¹⁵ The case thus illustrates the potential for human rights as a standalone claim under the FET standard, even if not explicitly pleaded as independent human rights violations.

3. Relationship Between the FET and Other Standards of Protection

This section now briefly considers the relationship between the FET standard and the other provisions of a treaty. In other words, it addresses the question of whether the meaning of the FET standard is modified through the interaction with other treaty provisions.

Although the prevailing view characterizes FET as an autonomous and non-contingent standard, FET is indeed intricately intertwined with other investment protection standards contained in investment treaties. The tribunal in *PSEG v. Turkey* eloquently highlighted this dynamic, noting the emergence of FET as a standard with its own identity, ‘separate and distinct of other standards, albeit many times closely related to them,’ thereby ensuring comprehensive protection for investments.¹¹⁶

110 Bowling (n 108) 945.

111 *ibid* paras 60–61.

112 *Strabag SE, Raiffeisen Centrobank AG and Syrena Immobilien Holding AG v Republic of Poland*, ICSID Case No. ADHOC/15/1, Partial Award on Jurisdiction, 4 March 2020, para 5.75.

113 *ibid*.

114 *Hesham Talaat M. Al-Warraq v The Republic of Indonesia*, Final Award, 15 December 2014, para 522.

115 *ibid* para 621.

116 *PSEG v Turkey*, Award, 19 January 2007, para 239. See also *Plama v Bulgaria*, Award, 27 August 2008, paras 161–63, 171–73; *Achmea v Slovak Republic [I]*, Final Award, 7 December 2012, paras 283–84; *Hochtief v Argentina*, Decision on Liability, 29 December 2014, paras 290–91, 336c.

In theory, discussions on FET's relationship with other treaty provisions suggest two primary modes of interaction: FET can either serve as a corrective standard, encapsulating other treatment standards under its umbrella, or stand as an autonomous standard that interacts with, yet remains distinct from, other treatment standards. This duality underscores the inherent challenge in delineating clear boundaries between FET and other standards, given the possibility of competing claims arising from identical facts.

Some arbitral tribunals, however, have expressed concerns over the potential for 'confusion' between standards, advocating for a perspective that views the various standards as complementary rather than conflated.¹¹⁷ This section now explores the multifaceted relationship between FET and the key standards it is often combined with full protection and security, non-discrimination, most-favoured-nation treatment, *pacta sunt servanda*, and non-impairment.

3.1 Full Protection and Security

The FPS standard obligates host states to safeguard foreign investors and their investments from harm, whether through direct actions of state organs or through failure to act, particularly in contexts such as civil unrest. This standard has traditionally been associated with the physical protection of investors and their investments, a scope that remains largely undisputed.¹¹⁸

However, contemporary interpretations of FPS have expanded to encompass 'legal' protection and security, aligning it with FET principles to reflect a broader understanding of the obligations of host states.

The relationship between the FET and FPS standards has been a subject of considerable debate and divergent interpretations among arbitral tribunals. While some tribunals have posited that a breach of FPS necessarily implies a breach of FET,¹¹⁹ others have maintained a clear distinction between the two standards, emphasizing their separateness and the need for independent examination.¹²⁰

The bridge between the two standards is built by the obligation of due diligence which is part of the FET, as discussed. However, the application of due diligence under these standards serves distinct purposes. Specifically, under the full protection and security obligation, due diligence essentially refers to the protection of investors and their investments, thus relating mainly to the physical aspect. In contrast, the due diligence obligation under the FET standard encompasses a broader spectrum. It pertains to ensuring a conducive and stable regulatory and administrative environment for foreign investments, thereby addressing the treatment of investments in a more comprehensive manner.

117 *El Paso v Argentina*, Award, 31 October 2011, para 226. See also *Mobil Exploration v Argentina*, Decision on Jurisdiction and Liability, 10 April 2013, paras 810–13.

118 A Reinisch and C Schreuer, *International Protection of Investments—The Substantive Standards* (CUP 2020) 358.

119 *Wena Hotels v Egypt*, Award, 8 December 2000, para 84; *Occidental v Ecuador*, Final Award, 1 July 2004, para 187; *Impregilo v Argentina*, Award, 21 June 2011, para 334; *Azurix v Argentina*, Award, 14 July 2006, para 408; *Roussalis v Romania*, Award, 7 December 2011, para 321; *Achmea v Slovak Republic [I]*, Final Award, 7 December 2012, para 284.

120 *Arif v Moldova*, Award, 8 April 2013, para 505; *Mamidoil v Albania*, Award, paras 819–20; *El Paso v Argentina*, Award, 31 October 2011, para 228; *Ulysseas v Ecuador*, Final Award, 12 June 2012, paras 271–72; *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010, para 296; *Oostergetel v Slovak Republic*, Final Award, 23 April 2012, para 226.

3.2 Non-Discrimination

The overlap between non-discrimination obligations and FET is also intricate. Due to the fundamental expectation of equitable treatment that underpins FET, a breach of non-discrimination obligations is often seen as inherently violating the FET standard. However, the absence of discrimination does not automatically ensure compliance with FET.

As the duty to avoid arbitrary or discriminatory measures is frequently regarded as an element of FET, arbitral tribunals have usually equated discriminatory treatment with a breach of FET.¹²¹ In contrast, tribunals such as in *Methanex* and *Loewen* exemplify the perspective that non-discrimination and FET clauses should be applied independently since they contain two different obligations.¹²² Even though they may overlap, they cannot be relied upon in an interchangeable manner by investors because there is a risk of failing on both sides.

In practice, some international investment agreements such as Article 10 ECT explicitly combine the FET standard with prohibitions against arbitrary and discriminatory measures in a single clause. This has led tribunals in cases like *Nykomb v. Latvia* and *Impregilo v. Argentina* to interpret such combined clauses as indicating that a breach of non-discrimination obligations suffices to establish FET violations,¹²³ albeit recognizing that FET may encompass a broader range of protections beyond the specific duties to act reasonably and without discrimination.

3.3 Most-Favoured-Nation Clause

The MFN clause has a unique relationship with FET. It can elevate the FET standard by allowing investors to claim the most favourable treatment accorded in any of the host state's treaties. The distinction between these two standards was made clear by the tribunal in *Flemingo v. Poland*,¹²⁴ emphasizing that a state's adherence with national treatment or MFN does not automatically ensure adherence to FET, and vice versa.

Notwithstanding, the MFN clause plays a dual role in relation to FET, both as a minimum threshold for FET (in certain scenarios, certain treaties explicitly set the MFN standard as a minimum benchmark for FET application) and as facilitating access to FET through other BITs (since the MFN clause enables investors to claim fair and equitable treatment even in the absence of an explicit FET provision in the BIT governing their investment, provided that the host state has signed other BITs that include FET obligations).

3.4 Pacta Sunt Servanda

The interaction between FET and the principle that agreements must be kept is anchored on the premise that treaties and contracts form the basis of arbitration. On the one hand, international investment agreements predominantly confer jurisdiction to international arbitral tribunals to deal

121 *CMS v Argentina*, Award, 12 May 2005, para 290; *El Paso v Argentina*, Award, 31 October 2011, para 230; *CC/Devas v India*, Award on Jurisdiction and Merits, 25 July 2016, para 480; *Alghanim v Jordan*, Award, 14 December 2017, paras 482–87. See also *Lauder v Czech Republic*, Final Award, 3 September 2001, para 294.

122 *Methanex*, paras 14, 24–26; *Loewen*, para 137.

123 *Nykomb v Latvia*, Award, 16 December 2003, para 4.3.2.; *Impregilo v Argentina*, Award, 21 June 2011, para 333. See also *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 284; *Oxus Gold v Uzbekistan*, Final Award, 17 December 2015, para 323; *SAUR v Argentina*, Decision on Jurisdiction and Liability, 6 June 2012, para 485.

124 *Flemingo Duty Free v Poland*, Award, 12 August 2016, para 531.

with investors' claims. On the other hand, even contracts can form the basis of arbitration. This framework is achieved through the mechanism of umbrella clauses. Umbrella clauses are investment treaty provisions that elevate contractual breaches to treaty breaches. While their wording varies, their most common form is as follows: 'Each Contracting Party shall observe any obligation it may have entered into with regard to investments of nationals of the other Contracting Party.'¹²⁵ Can non-compliance with contractual obligations by a host state constitute a breach of the FET standard? This relationship is subject to arbitration tribunals' interpretations, with some viewing contractual breaches as directly implicating FET, particularly when state actions deviate from legitimate expectations of stability and fairness.

Despite the lack of uniformity in tribunal decisions, the connection between FET and *pacta sunt servanda* emerges as a general principle of international law, alongside principles of good faith and estoppel. Some tribunals have concluded that a host state's failure to comply with contractual obligations constitutes a violation of the FET standard. This assertion enables investors to bring contractual claims based on the FET clause of a BIT, utilizing the legitimate expectations mechanism central to FET.¹²⁶

3.5 Standard of Non-Impairment

The non-impairment standard, which is often included alongside FET in treaties, specifically addresses the impact of state measures on the management and enjoyment of investments. This standard is frequently invoked in treaties through references to the prohibition of arbitrary and discriminatory treatment, which also encompasses unlawful expropriation.¹²⁷ While closely related to FET, it focuses on the effects of state actions, providing a more specific lens through which to assess treatment of investments. Tribunals have recognized its distinct role, albeit closely aligned with the broader objectives of FET.¹²⁸ In *Saluka*, the tribunal notably observed that while both standards are predicated on a standard of reasonableness, non-impairment specifically addresses any negative impact on the operational aspects of an investment due to state measures, including actions or omissions.¹²⁹

After the examination of the relationship between the FET and the other standards of treatment one main conclusion emerges: the final answer as to the content of FET, when included in a treaty, can only be given by the wording of the specific clause. More generally, the relationship between FET and other treaty provisions illustrates the dynamic nature of international investment law. FET's interaction with full protection and security, non-discrimination, and MFN treatment reveals its role as a cornerstone of investor protection, adaptable yet distinct from other standards. Its linkage with the *pacta sunt servanda* clause and non-impairment standards further highlights the comprehensive protection FET aims to provide, ensuring that investments are treated in a

¹²⁵ Z Douglas, 'The Umbrella Clause Revisited' (2023) 38 ICSID Review—Foreign Investment Law Journal 472–83.

¹²⁶ *Mondev International Ltd. v United States of America*, Award, 11 October 2002, ICSID Case No. ARB(AF)/99/2, para 134; *SGS Société Générale de Surveillance S.A. v The Republic of Paraguay*, Award, 10 February 2012, ICSID Case No. ARB/07/29, para 146.

¹²⁷ See *Olin Holdings Limited v State of Libya*, ICC Case No. 20355/MCP, Final Award, 25 May 2018, para 354, where the tribunal held an expropriation to also amount to discrimination.

¹²⁸ *Saluka*, paras 457–61; *Occidental Exploration v Ecuador*, paras 159–61; *Rompetrol v Romania*, Award, 6 May 2013, para 177.

¹²⁹ *ibid.*

manner that is not only fair and equitable but also consistent with the host state's international obligations.

Conclusion

While the FET standard remains a fundamental component of international investment law, offering a broad shield against the conduct of host states that falls short of international legal expectations, its application is undergoing significant scrutiny and recalibration. Concerns have been raised about the standard being overbroad and overinclusive, effectively serving as a catch-all provision that might risk undermining state sovereignty and regulatory powers. These criticisms illustrate the delicate balance that needs to be struck between protecting investors while preserving the sovereign right of states to regulate.

Recent trends indicate a movement towards restricting the scope of the FET standard—a shift that can be linked to broader phenomena like ongoing deglobalization trends or, what Alvarez called, 'the return of the state.'¹³⁰ These developments are indicative of the international investment law community's commitment to evolve and adapt to the changing dynamics of global investment.

The jurisprudence of arbitral tribunals and reform proposals within the field of international investment law are beginning to address these concerns. By refining the interpretation of the FET standard and incorporating more precise language in investment treaties, there is a concerted effort to define more clearly the obligations of states and the protections afforded to investors. This evolving approach seeks to address the criticisms of the FET standard being too expansive, aiming instead for a more nuanced application that respects the sovereignty and regulatory prerogatives of host states while continuing to provide strong protection for investors.

130 J Alvarez, 'The Return of the State' (2011) *Minnesota Journal of International Law* 268.

NON-DISCRIMINATION IN INTERNATIONAL INVESTMENT LAW

Prabhash Ranjan

1. Introduction

In the last three decades, the proliferation of bilateral investment treaties (BITs)¹ and investor-state dispute settlement (ISDS) claims² has been accompanied by the expansion of the criticisms of the international investment law regime.³ The critics chastise BITs and ISDS for providing extensive protection to foreign investors at the cost of the state's right to regulate. Whether this is true or not has been extensively debated.⁴ Nonetheless, this debate has prompted many countries to revisit, review, and reflect on the BITs they signed in the 1980s, 1990s, and early 2000s (the so-called first- or old-generation BITs). A central concern is that most of these first-generation investment treaties contain broad investment protection standards that become suitable candidates for expansive interpretation by ISDS tribunals. Consequently, the endeavour of countries in the last decade or so has been to recalibrate their investment treaties so that the investment protection standards are defined as precisely as possible. This has given rise to a new generation of investment treaties, which is undoubtedly changing the landscape of international investment law.

Against this backdrop, this chapter focuses on studying the evolving trends in the investment treaty practice on two core non-discrimination standards in international investment law: the most-favoured-nation (MFN) and national treatment (NT) standards. Before discussing these two standards, it is pertinent to mention that the term 'non-discrimination' in an investment treaty may exist in multiple places. For example, several treaties forbid states from adopting arbitrary

1 According to UNCTAD, as of 31 December 2023, a total of 2831 BITs are in force—<https://unctad.org/system/files/official-document/diaepcbinf2024d4_en.pdf>

2 As of 31 December 2023, the total number of known investment treaty arbitration cases has reached 1332—<<https://investmentpolicy.unctad.org/news/hub/1743/20240327-total-number-of-known-investment-treaty-cases-rises-to-1-332>>

3 Maria Laura Marceddu and Pietro Ortolani, 'What is Wrong with Investment Arbitration? Evidence from a Set of Behavioural Experiments' (2020) 31 *European Journal of International Law* 405; Nicolás M Perrone, *Investment Treaties and the Legal Imagination* (OUP 2021) 172–98.

4 Gloria Maria Alvarez and others, 'A Response to the Criticism against ISDS by EFILA' (2016) 33(1) *Journal of International Arbitration* 1; Stephan W Schill, 'In Defence of International Investment Law' in Marc Bungenberg and others (eds), *European Yearbook of International Economic Law*, vol 7 (Springer 2016) 309.

or discriminatory measures.⁵ Likewise, BITs routinely mandate states to follow the principles of non-discrimination while lawfully expropriating investment. The focus of this chapter is restricted to the two core non-discrimination standards. Much as in the case with trade law, these two non-discrimination standards are relative or comparative, that is, their effectiveness is contingent on the level of treatment the host state provides to other foreign (in the case of the MFN standard) and domestic (in the case of NT) investors. Accordingly, these investment protection standards differ from standards like fair and equitable treatment and full protection and security, which are absolute.⁶ The chapter first discusses the MFN standard followed by the NT clause.

2. The Most-Favoured-Nation Treatment Standard

The core idea behind the MFN provision is non-discriminatory treatment by ensuring that treaty-signing countries treat each other and their nationals no less favourably than they treat third States and their nationals.⁷ Due to an MFN clause in a BIT, the investor will arguably be eligible for such better treatment that the host state provides to foreign investors in BITs with other countries.⁸ This is also known as the multilateralizing effect of the MFN provision.⁹ International investment law is replete with instances of foreign investors relying on the MFN provision in the primary treaty (that is, the treaty between the host state and the investor's home State) to borrow or incorporate clauses from third-country BITs (that is, treaties between the host state and countries other than the investor's home state) that they consider beneficial or as granting a more favourable treatment in comparison to the primary treaty.¹⁰ The importation of beneficial provisions from third-country BITs can be called MFN's *de jure* (in law) treatment.¹¹ This can be contrasted with MFN's *de facto* (in fact) treatment. The latter requires comparing the factual treatment the host state accorded to a foreign investor and that provided to another comparable foreign investor under its domestic law.¹² The treatment under domestic law means both the domestic law *per se* and the actual or factual measures adopted based on this domestic law.

The use of the MFN provision to import beneficial provisions can take place in two ways. The first method is to incorporate beneficial procedural provisions such as an ISDS clause from

5 See, for example, Treaty between the Government of the United States of America and the Government of Romania Concerning the Reciprocal Encouragement and Protection of Investment (US-Romania) (signed 28 May 1992, entered into force 15 January 1994) Art. II(2)(b).

6 Andrea K Bjorklund and Lukas Vanhonnaeker, 'National Treatment' in M M Mbengue and S Schacherer (eds), *Foreign Investment Under the Comprehensive Economic and Trade Agreement (CETA)* (Studies in European Economic Law and Regulation 2019) 45.

7 Rudolph Dolzer, Ursula Kriebaum and Christoph Schreuer, *The Principles of International Investment Law* (3rd edn, OUP 2022) 264.

8 *ibid.* For more discussion on the MFN provision see N Jansen Calamita and Ewa Zelazna, 'Most-Favoured-Nation Clauses and the Centrality and Limits of General Principles' in Andrea Gattini, Attila Tanzi, and Filippo Fontanelli (eds), *General Principles of Law and International Investment Arbitration* (Brill 2018) 398; Patrick Dumberry, 'The Importation of the FET Standard through MFN Clauses: An Empirical Study of BITs' (2017) 32(1) ICSID Review 116; Yannick Radi, *Rules and Practices of International Investment Law and Arbitration* (CUP 2020) 119–30.

9 Stephan W Schill, 'The Multilateralization of International Investment Law' (2009) 22(2) European Journal of International Law 490.

10 Radi (n 8) 125.

11 Anqi Wang, *The Interpretation and Application of the Most-Favored-Nation Clause in Investment Arbitration* (Brill 2022) 272.

12 *ibid.* 91; Tanjina Sharmin, *Application of Most-Favoured-Nation Clauses by Investor-State Arbitral Tribunals* (Springer 2020) 134–35; *UAB Eenergija (Lithuania) v Republic of Latvia*, ICSID Case No ARB/12/33, Award (22 December 2017) para 1112.

a third-country BIT to overcome a less investor-friendly ISDS provision in the primary treaty.¹³ This could take various shapes. For example, an investor might use the MFN provision to override preconditions to arbitration, present in the primary treaty, like litigating before domestic courts for a certain period before initiating the ISDS process, by incorporating a provision in a third country BIT that does not have such preconditions to arbitration.¹⁴ Likewise, an investor may use the MFN provision to invoke other dispute settlement mechanisms, like ICSID, present in a third-country BIT, but absent in the primary treaty.¹⁵ Another possibility is that the investor might employ the MFN provision to expand the coverage of the ISDS provision by importing a broader jurisdictional provision from a third country BIT into the primary treaty.¹⁶ ISDS tribunals have generally allowed the usage of the MFN provision to avoid the preconditions to arbitration given in the primary treaty.¹⁷ However, barring a few exceptions,¹⁸ the tribunals have ruled against employing the MFN provision to incorporate beneficial ISDS clauses to create or expand jurisdiction.¹⁹

The second way is to incorporate a substantial protection provision absent in the primary treaty (for example, using MFN to incorporate the FET provision) or to replace a substantial protection feature present in the primary treaty with a beneficial one present in the third-country BIT (for example, using MFN provision to replace a FET provision ostensibly less friendly to the investor²⁰ with a more investor-friendly²¹ FET).²² Except for a few examples,²³ an overwhelming number of ISDS tribunals have ruled that the MFN clause can be employed to borrow beneficial substantive protection provisions like the FET provision, full protection and security clause, umbrella clause, and so on, from third-country BITs signed by the host state.²⁴ Often, the actual import of the MFN provision will depend on the precise wording of the provision.²⁵

13 Facundo Pérez-Aznar, 'The Use of Most-Favoured-Nation Clauses to Import Substantive Treaty Provisions in International Investment Agreements' (2018) 20(4) *Journal of International Economic Law* 777, 779; See also the following cases: *Emilio Agustín Maffezini v Kingdom of Spain (Maffezini v Spain)*, ICSID Case No ARB/97/7, Decision on Objections to Jurisdiction (25 January 2000); *Ally Ltd. v Czech Republic*, ICSID Case No UNCT/15/1, Decision on Jurisdiction (9 February 2017); *Itisaluna Iraq LLC and others v Republic of Iraq*, ICSID Case No ARB/17/10, Award (3 April 2020).

14 *Hochtief AG v The Argentine Republic*, ICSID Case No ARB/07/31, Award (19 December 2016).

15 *Garanti Koza LLP v Turkmenistan (Garanti Koza v Turkmenistan)*, ICSID Case No ARB/11/20, Decision on the Objection to Jurisdiction for Lack of Consent (3 July 2013) 38.

16 *Ivan Peter Busta and James Peter Busta v Czech Republic*, SCC Case No V 2015/014, Final Award (10 March 2017) 163–69; Pérez-Aznar (n 13).

17 Pérez-Aznar (n 13) 780–81.

18 *Venezuela US, S.R.L. (Barbados) v Bolivarian Republic of Venezuela*, PCA Case No 2013–34, Interim Award on Jurisdiction (26 July 2016).

19 Pérez-Aznar (n 13) 781.

20 A provision that links FET with the customary international law's minimum standard of treatment for aliens, arguably, is less investor-friendly because it has a higher threshold for violation.

21 A provision where FET occurs as a broad and autonomous provision, arguably, is more investor-friendly because it can be interpreted to include several kinds of State conduct within the ambit of the FET.

22 David D Caron and Esmé Shirlow, 'Most-Favored-Nation Treatment: Substantive Protection' in Meg Kinnear and others (eds), *Building International Investment Law: The First 50 Years of ICSID* (Wolters Kluwer 2015) 399–413.

23 *İçkale İnşaat Limited Şirketi v Turkmenistan*, ICSID Case No ARB/10/24, Award (8 March 2016) 328–29; *Muhammet Çap and Sehil v Turkmenistan*, ICSID Case No ARB/12/6, Award (4 May 2021) 789–90.

24 *Kontinental Conseil Ingénierie v Gabonese Republic*, PCA Case No 2015–25, Award (23 December 2016) 168–70; *Ioan Micula, Viorel Micula and others v Romania (II)*, ICSID Case No ARB/14/29, Award (5 March 2020).

25 *State Development Corporation 'VEB.RF' v Ukraine*, SCC Case No 2019/113 and V2019/088, Partial Award (31 January 2021) 269.

Such wide interpretations are possible due to the broadly defined MFN provision in the older generation of BITs. For instance, Article IV(2) of the Argentina-Spain BIT²⁶ states: ‘In all matters governed by this Agreement, such treatment shall be no less favourable than that accorded by each Party to investments made in its territory by investors of a third country.’ The tribunal in *Maffezini v Spain* held that this provision is broad enough to permit the importation of a beneficial provision from a third country BIT because it confers protection to ‘all matters.’²⁷ The only exceptions to the MFN provision that the Argentina-Spain BIT recognizes are privileges extended by a free trade area, a customs union,²⁸ or a tax agreement.²⁹ Several tribunals have held that the presence of a comprehensive list of exceptions implies that other issues not listed as part of the exceptions fall within the purview of the MFN clause.³⁰

The ISDS rulings permitting the use of the MFN provision to import beneficial substantive and procedural provisions have triggered fierce debates on the role and scope of the MFN provision.³¹ Commentators argue that letting foreign investors employ the MFN clause to borrow beneficial provisions from third-country BITs could lead to disruptive treaty shopping.³² Some scholars further claim that allowing the MFN provision to borrow or import provisions from a third-country BIT is a misinterpretation of the MFN provision.³³ On the other hand, some defend the multilateralizing effect of the MFN provision.³⁴ The argument is that based on the language of the MFN provision, it is possible to interpret it in a manner that allows the investor to benefit from favourable substantive protection features present in third-country BITs.³⁵

An important fallout of all of this has been that countries have started reorienting their MFN provisions by moving towards narrower formulation. This reorientation is part of the broader investment treaty reform that several countries are undertaking. The chapter now discusses the key trends of MFN reform in investment treaties.

2.1 Emerging Trends in International Investment Rule-Making Concerning the MFN Standard

The trends in reorienting or recalibrating the MFN provision in the new-generation BITs exhibit several characteristics. Some of the prominent ones are discussed here.

26 Acuerdo Para La Prohicion Y La Proteccion Reciproca De Inversiones Entre El Reino De España Y La Republica Argentina (Argentina-Spain BIT) (signed 3 October 1991, entered into force 28 September 1992).

27 *Emilio Agustín Maffezini v The Kingdom of Spain*, ICSID Case No ARB/97/7, Award (13 November 2000) 38.

28 Argentina-Spain BIT (n 26) Article IV(3).

29 Argentina-Spain BIT (n 26) Article IV(4).

30 *Siemens A.G. v The Argentine Republic*, ICSID Case No ARB/02/8, Decision on Jurisdiction (3 August 2004) 85;

Hochtief AG v The Argentine Republic, ICSID Case No ARB/07/31, Decision on Jurisdiction (24 October 2011) 74.

31 Simon Batifort and J Benton Heath, ‘The New Debate on the Interpretation of MFN Clauses in Investment Treaties: Putting the Brakes on Multilateralization’ (2018) 111(4) *American Journal of International Law* 873, 873–913; Stephan W Schill, ‘MFN Clauses as Bilateral Commitments to Multilateralism: A Reply to Simon Batifort and J Benton Heath’ (2018) 111(4) *American Journal of International Law* 914, 914–35.

32 Yannick Radi, ‘The Application of the Most-Favoured-Nation Clause to the Dispute Settlement Provisions of Bilateral Investment Treaties: Domesticating the ‘Trojan Horse’ (2007) 18(4) *European Journal of International Law* 757–74; Jorun Baumgartner, *Treaty Shopping in International Investment Law* (OUP 2016).

33 José Pedro Villablanca Gutiérrez, ‘The Use of MFN Clauses in Investment Arbitration: The Problem of Importation’ (2024) *Journal of International Dispute Settlement* 8.

34 Schill (n 31).

35 *ibid.*

2.1.1 No MFN

In reaction to overly broad interpretations of the MFN treatment, some countries have opted to eliminate the MFN provision from their treaties. The most striking example here is India. India's 2016 Model BIT³⁶ and subsequent BITs with Belarus,³⁷ Kyrgyzstan,³⁸ and Taiwan³⁹ do not contain the MFN provision. The absence of the MFN provision is a direct fallout of the ruling against India in *White Industries v. Republic of India*.⁴⁰ In this case, White Industries, an Australian investor, successfully invoked the MFN clause present in the India-Australia BIT (the primary BIT) to import a provision, 'effective means of asserting claims and enforcing rights' present in the India-Kuwait BIT (the third-country BIT) to enlarge the protection available to it.⁴¹ After the *White Industries* setback,⁴² India took the stand that foreign investors' use of the MFN provision to borrow beneficial substantive and procedural provisions from third-country BITs to replace or supplement the provisions of the primary BIT undermines various strategic, diplomatic, and political objectives of negotiating bilateral treaties.⁴³ In other words, countries may have different interests in negotiating disparate BITs, which may be reflected in the terms of the treaty. A foreign investor using the MFN provision to incorporate a protection feature from a third country BIT might disturb the negotiated interest. However, not including the MFN provision is a disproportionate way of addressing the concerns of treaty shopping. Concerns about treaty shopping can instead be addressed by narrowing down the scope of the MFN provision. Excluding an MFN provision from the BIT means exposing foreign investment to the risk of discriminatory treatment by the host state. This discriminatory treatment, for example, could arise when the host state offers preferential treatment in applying domestic measures to one foreign investor over another foreign investor who is in a like situation. This will mean the absence of a level playing field for foreign investors, which could make them apprehensive about investment, especially in turbulent foreign markets.⁴⁴ The lack of an MFN provision strongly tilts the scale towards the host state's regulatory power undermining the interests of foreign investors.

2.1.2 MFN as a Best Endeavour Clause

In some new-generation investment treaties, the MFN provision exists as a best endeavour clause. For example, Article 3(2) of the Papua New Guinea–Japan BIT⁴⁵ provides:

Each Contracting Party shall endeavour to accord to investors of the other Contracting Party and to their investments treatment no less favourable than the treatment it accords in like

36 Bilateral Investment Treaty between the Government of the Republic of India and (Country) (Indian Model BIT).

37 Treaty between the Republic of Belarus and the Republic of India (India-Belarus) (signed 24 September 2018, entered into force 05 March 2020).

38 Bilateral Investment Treaty between the Government of the Kyrgyz Republic and the Government of the Republic of India (India-Kyrgyzstan) (signed 14 June 2019).

39 Bilateral Investment Agreement between the Taipei Economic and Cultural Center in India and the India Taipei Association in Taipei (India-Taiwan province of China) (signed 18 December 2018, 14 February 2019).

40 *White Industries Australia Limited v Republic of India*, UNCITRAL, Final Award (30 November 2011).

41 For a detailed discussion on this case see Prabhash Ranjan, *India and Investor State Dispute Settlement: Affronting Sovereignty or Indicting Capriciousness* (Routledge 2024) 43–46.

42 *White Industries* (n 40).

43 Prabhash Ranjan, *India and Bilateral Investment Treaties: Refusal, Acceptance, Backlash* (OUP 2019) 378.

44 Wang (n 11) 271–72.

45 Agreement between the Government of Japan and the Government of the Independent State of Papua New Guinea for the Promotion and Protection of Investment (Papua New Guinea–Japan) (signed 26 April 2011, entered into force 17 January 2014).

circumstances to investors of a non-Contracting Party and to their investments. For this purpose, the former Contracting Party shall, upon request by the other Contracting Party, hold consultations in good faith.⁴⁶

The key word in this provision is that the countries shall ‘endeavour’ to accord MFN treatment. This is a softer commitment on the host state compared to other MFN provisions that impose a hard obligation of non-discrimination.⁴⁷ This approach can also be identified as an obligation of conduct, not an obligation of result.⁴⁸ In other words, while the state is under an obligation to attempt to accord MFN treatment to foreign investors, it is not under a binding obligation to do that.

2.1.3 Adding the ‘Like Circumstances’ Qualifier

An indispensable element of a non-discrimination analysis in international investment law is to find an investor or a group thereof whose treatment can be compared with the treatment accorded to the foreign investor.⁴⁹ The MFN principle requires comparing the treatment meted out to the foreign investor and the (allegedly superior) treatment granted to an investor from the third state in ‘like circumstances’ or ‘similar situation.’ Whether the MFN standard has been breached will require an identifiable comparator. Interestingly, the MFN provisions in the older-generation BITs rarely included the ‘like circumstances’ qualifier. Even if the ‘like circumstances’ criterion is not included, it is argued that likeness is inherent in any MFN provision; i.e. like treatment is owed to actors in like circumstances.⁵⁰ This is evident from the approach of some ISDS tribunals that have referred to the likeness criterion in determining *de facto* MFN discrimination even if the applicable MFN provision did not contain the ‘like circumstances’ qualifier.⁵¹ Despite this, countries have started inserting the ‘like circumstances’ qualifier in their MFN provision to make it abundantly clear to ISDS tribunals that an identifiable comparator has to be found in any alleged violation of the MFN provision. For example, Article 3 of the 2023 Angola-Japan BIT⁵² provides:

Each Contracting Party shall in its Area accord to investors of the other Contracting Party and to their investments treatment no less favourable than the treatment it accords in *like*

46 Agreement on Free Trade and Economic Partnership between the Swiss Confederation and Japan (Japan-Switzerland) (signed 19 February 2009, entered into force 01 September 2009) Article 88.

47 Sharmin (n 12) 252–53; Wang (n 11) 269–70.

48 On obligation of conduct and obligation of result, see Rüdiger Wolfrum, ‘Obligation of Result Versus Obligation of Conduct: Some Thoughts About the Implementation of International Obligations’ in Mahnouch H Arsanjani and others (eds), *Looking to the Future: Essays on International Law in Honor of W. Michael Reisman* (Brill 2011) 363–83.

49 Radi (n 8) 114.

50 Wang (n 11) 92; Andreas Ziegler, ‘Most-Favoured-Nation (MFN) Treatment’ in August Reinisch (ed), *Standards of Investment Protection* (OUP 2008) 75; Pérez-Aznar (n 13) 777, 800.

51 *MNSS B.V. and Recupero Credito Acciaio N.V. v Montenegro*, ICSID Case No ARB(AF)/12/8, Award (4 May 2016) 361–62; *GEA Group Aktiengesellschaft v Ukraine*, ICSID Case No ARB/08/16, Award (31 March 2011) 342.

52 Agreement between Japan and the Republic of Angola for the Liberalisation, Promotion and Protection of Investment (Angola-Japan) (signed 9 August 2023).

circumstances [emphasis added] to investors of a non-Contracting Party and to their investments with respect to investment activities.⁵³

A critical question is whether the ‘like circumstances’ qualifier in the MFN clause in the new-generation BITs means that tribunals can only examine *de facto*, not *de jure*, discrimination. This question is pertinent because phrases such as ‘like circumstances’ or ‘similar situations’ make it difficult to show that there is a comparable foreign investor when the MFN clause aims at importing beneficial provisions from third-country BITs. For example, in *White Industries v India*, there was no actual Kuwaiti investor comparable to White (the Australian investor) receiving better treatment. If one looks at the arbitral practice, one finds that barring a few exceptions,⁵⁴ tribunals have allowed the usage of the MFN clause to import beneficial provisions from third-country BITs even if the primary BIT contains ‘like circumstances’ or ‘similar situations’ qualifiers.⁵⁵ Consequently, inserting qualifiers such as ‘like circumstances’ might be of limited utility. It will help in the situations of *de facto* MFN treatment when actual governmental measures imposed on foreign investors are in question. However, such qualifiers will not have a role in MFN’s application in importing beneficial provisions from third-country BITs. Furthermore, tribunals diverge in interpreting ‘like circumstances.’⁵⁶ For instance, NAFTA tribunals have narrowly construed the term ‘like circumstances’ focusing on factors like whether the investors faced similar legal or regulatory regimes.⁵⁷ On the other hand, other tribunals have expansively interpreted the term ‘like circumstances’ going beyond the sector in which the foreign investor operated.⁵⁸ Given this wide range of approaches, countries have started defining the meaning of ‘like circumstances’ in their BITs to curb arbitral discretion. For example, Article 9.4(3) of the 2024 Sri Lanka–Thailand FTA states:

For greater certainty, whether treatment is accorded in ‘like circumstances’ depends on the totality of the circumstances, including whether the relevant treatment distinguishes between investors or investments on the basis of legitimate public welfare objectives.⁵⁹

The provision aims to ensure that if host states distinguish between two foreign investors because of a legitimate public welfare objective, the investments will not be in ‘like circumstances’ even if

53 See also Agreement between the Government of Hungary and the Government of Turkmenistan for the Promotion and Reciprocal Protection of Investments (Hungary-Turkmenistan) (signed 9 June 2023) Article 4(1); Agreement between the Government of the Republic of Turkey And the Government of the Republic of Serbia concerning the Reciprocal Promotion And Protection of Investments (Serbia-Turkey) (signed 30 January 2018) Article 4(2).

54 *İçkale İnşaat Limited Şirketi* (n 23) 328–29; *Muhammet Çap & Şehil İnşaat Endüstriye Ticaret Ltd. Sti. v Turkmenistan*, ICSID Case No ARB/12/6 Award (4 May 2021) 778–88.

55 *Bayindir İnşaat Turizm Ticaret Ve Sanayi A.Ş. v Islamic Republic of Pakistan*, ICSID Case No ARB/03/29, Award (27 August 2009) 150–59; *ATA Construction, Industrial and Trading Company v The Hashemite Kingdom of Jordan*, ICSID Case No ARB/08/2, Award (18 May 2010) 75.

56 Wang (n 11) 102–3.

57 *Pope & Talbot Inc. v The Government of Canada*, UNCITRAL, Award on the Merits of Phase 2 (10 April 2001); *Windstream Energy LLC v Government of Canada*, PCA Case No 2013–22, Award (27 September 2016).

58 *Occidental Exploration and Production Company v The Republic of Ecuador*, LCIA Case No UN3467, Final Award (1 July 2004) 188–90.

59 Sri Lanka–Thailand Free Trade Agreement (SLTFTA) (signed 3 February 2024) Article 9.4(3). See also Investment Agreement between the Government of the Hong Kong Special Administrative Region of the People’s Republic of China and the Government of the Republic of Chile (Hong Kong–Chile) (signed 18 November 2016, entered into force 14 July 2019) Article 4, footnote 4; Australia–Indonesia Comprehensive Economic Partnership Agreement (Indonesia–Australia) (signed 04 March 2019, entered into force 05 July 2020) Article 14.5, footnote 9.

the investments operate in the same sector. Such a formulation will help restrain expansive interpretation of the MFN provision. While a provision such as this confers greater regulatory power to the state, it might make the job of an ISDS tribunal difficult.⁶⁰ The phrase, ‘legitimate public welfare objective’ is too broad. Thus, it’s possible misuse by the host state cannot be ruled out. A host state might camouflage a discriminatory measure as a legitimate public welfare objective to avoid its MFN obligations.

In some instances, countries have been even more precise in defining ‘like circumstances.’ For example, Article 4.2 of the Turkey-UAE BIT provides:

It is understood that the reference to ‘like circumstances’ in paragraph I requires a comprehensive examination, on a case-by-case basis, of all the circumstances of an investment, including, but not limited to:

- (a) its effects on third parties and the local community;
- (b) its effects on the local, regional, or national environment, including the cumulative effects of all investments in a jurisdiction on the environment;
- (c) the sector in which the investor is located;
- (d) the objective of the measure concerned; and
- (e) the regulatory process generally applied to the measure concerned. The review referred to in this paragraph shall not be limited or biased in favour of any one factor.⁶¹

This provision provides several factors to consider in determining whether investments are in like circumstances. So, suppose a state applies a regulatory measure on foreign investment because of its deleterious impact on local communities and does not extend the same measure to another foreign investor in the same sector because the latter does not have a similar impact. In that case, it will not give rise to an MFN breach because the two investments are not in like circumstances. The same goes for the impact of foreign investment on the environment. These provisions surely give greater regulatory latitude to the host state and are designed to ensure that arbitral tribunals do not interpret the MFN provision expansively.

2.1.4 Excluding ISDS and Substantive Provisions

As discussed, one of the difficulties concerning the MFN provision has been the importation of beneficial dispute settlement and substantive provisions from third-country BITs. The purpose of an MFN provision is to ensure that there is no less favourable treatment. However, the word ‘treatment’ in most old-generation BITs is not defined. Thus, arguably, if the host state’s third-country BIT contains beneficial treaty provisions (either substantive or ISDS-related or both), the foreign investor under the primary BIT is being treated less favourably. However, this gives rise to concerns related to treaty shopping.

To mitigate this concern, countries are increasingly drafting MFN provisions elucidating the meaning of the word ‘treatment.’ The word ‘treatment’ in new-generation BITs is defined in a manner that excludes the use of the MFN provision to incorporate either beneficial dispute settlement

⁶⁰ Sharmin (n 12) 269.

⁶¹ Agreement between the Republic of Turkey and the United Arab Emirates concerning the Reciprocal Promotion and Protection (Turkey-UAE) (signed 28 September 2005, entered into force 24 July 2011).

provisions or both dispute settlement and substantive provisions from third-country BIT. For example, Article 4(3) of the Hungary-Turkmenistan BIT states:

For greater certainty, the ‘treatment’ referred to in paragraph 2 does not include procedures for the resolution of investment disputes between investors and states provided for in other international investment treaties and any other agreements. Substantive obligations in other international investment treaties and other trade agreements do not in themselves constitute ‘treatment,’ and thus cannot give rise to a breach of this Article, absent measures adopted or maintained by a Contracting Party pursuant to those obligations.⁶²

Two points are important here. First, the provision clarifies that the MFN provision cannot be used to borrow beneficial dispute resolution provisions from third-country BITs. This formulation serves the public policy concerns of the host state without undermining protection for foreign investors.

Second, the MFN provision cannot be used to import favourable substantive provisions from third-country treaties. So, if the FET provision is missing in the primary BIT, the MFN provision in this BIT cannot be used to import an FET provision from the host state’s third-country BIT. However, there is a nuance that needs to be appreciated here. If the host state (say Turkmenistan) adopts a domestic measure based on a substantive provision present in a third-country BIT, which confers an advantage on the third-country foreign investor, the Hungarian investor can plausibly invoke the MFN provision asking for no less favourable treatment in the application of Turkmenistan’s domestic measure.⁶³ In other words, the MFN provision can be applied to *de facto* discrimination but not to *de jure* situations, i.e., situations where countries only make abstract legal promises in their treaties without any accompanying domestic measures based on such promises.⁶⁴ However, legally drawing such a distinction between *de facto* (in fact) and *de jure* (in law) situations might be questionable. In other words, if a country has made a promise to a foreign investor, either as part of its domestic law or as part of its treaty commitments, it should extend the same promise to other foreign investors, irrespective of whether the state enacts a domestic measure pursuant to this promise. This is the essence of the MFN provision.

A sub-variety within this set of treaties that excludes ISDS-related and substantive provisions consists of treaties that provide that the MFN provision cannot be employed to invoke FET and dispute settlement procedures from a third-country BIT. For example, Article 4.4 of the Argentina-Qatar BIT⁶⁵ provides that the MFN provision ‘shall not apply in order to invoke the fair and equitable treatment and the dispute settlement provisions accorded to investors of any Third State under treaties signed by one of the Contracting Parties prior to the entry into force of this Treaty.’ Thus, the MFN provision can be used to invoke all beneficial substantive provisions barring the FET clause and dispute-settlement provisions. Furthermore, this bar extends only to the

62 Comprehensive Trade and Economic Agreement between Canada and the European Union (EU-Canada) (signed 30 October 2016) Article 8.7(4); EU-Viet Nam Investment Protection Agreement (EU-Vietnam) (signed 30 June 2019) Article 2.4(5).

63 August Reinisch, ‘Most Favoured Nation Treatment’ in Marc Bungenberg and August Reinisch (eds), *CETA Investment Law* (C.H.Beck 2015) 222–23.

64 For a commentary on a similar provision in the EU-Canada CETA, see Marc Bungenberg and August Reinisch, ‘A Paradigm Change: The CETA Investment Chapter’ in Bungeberg and Reinisch (n. 63) 228.

65 The Reciprocal Promotion and Protection of Investments between the Argentine Republic and the State of Qatar (Argentina-Qatar) (signed 6 November 2016) Article 4.4.

treaties signed before the Argentina-Qatar BIT entered into force. In other words, an Argentinian investor in Qatar or, vice versa, a Qatari investor in Argentina will be able to employ the MFN provision to borrow beneficial provisions like FET in treaties signed by either of the two countries after the entry into force of the Argentina-Qatar BIT.

As against the previous set of treaties that exclude both ISDS-related and substantive provisions from the ambit of the MFN provision, another set of new-generation investment treaties excludes dispute settlement-related provisions only. For instance, Article 3 of the Japan-Angola BIT provides:

For greater certainty, the treatment referred to in this Article does not encompass international dispute settlement procedures or mechanisms under any international agreement.⁶⁶

This formulation ensures that foreign investors do not use the MFN provision to borrow beneficial ISDS clauses from third-country BITs. Since the ISDS jurisprudence on the issue of employing MFN to borrow beneficial dispute settlement provisions is mixed, it makes sense to exclude it from the purview of the MFN provision. However, should countries also exclude substantive obligations from the ambit of the MFN provision? If yes, it will mean severely restricting the scope of the MFN provision, which might tilt the playing field in favour of the host state's regulatory power. Looking at the new-generation BITs, one finds that the number of treaties that have pushed the ISDS-related provisions outside the ambit of the MFN provision exceeds the treaties where both ISDS-related and substantive provisions have been kept out. In other words, most countries find using the MFN provision to import beneficial ISDS provisions problematic compared to incorporating substantive provisions. Broadly, this is consistent with the rulings of several ISDS tribunals that have allowed the usage of the MFN provision to import substantive provisions but not ISDS-related provisions from third-country BITs, as mentioned before.

2.1.5 Other Clarifications

Lastly, some treaties further narrow the scope of the MFN provision. The chapter briefly mentions two instances of clarifying the ambit of the MFN provision: sub-federal exception and exception for regulatory measures related to intellectual property (IP).

Let us first look at the sub-federal exception. As part of customary international law, it is a well-settled principle that any state action regardless of the level at which it occurs (regional, sub-national, or sub-federal) is attributed to that state.⁶⁷ Various ISDS tribunals have also held that actions of territorial units, provincial governments, or such bodies are attributable to the state.⁶⁸ However, this customary international law rule codified in Article 4(1) of the Articles on Responsibility of States for Internationally Wrongful Acts (ARSIWA) will not apply if countries

66 Japan-Angola BIT (n 52). See also Sri Lanka Thailand Free Trade Agreement (Sri Lanka–Thailand) (signed 3 February 2024) Article 9.4(5); Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) (signed 8 March 2018, 30 December 2018) Article 9.5(3); Regional Comprehensive Economic Partnership (RCEP) (signed 15 November 2020, entered into force 1 January 2022) Article 10.4(3).

67 International Law Commission's (ILC's) Articles on the Responsibility of States for Internationally Wrongful Acts (ARSIWA)—International Law Commission, *Draft Articles on Responsibility of States for Internationally Wrongful Acts*, November 2001, Supplement No 10 (A/56/10), chapter II, Article 4(1).

68 *Resolute Forest Products Inc. v Government of Canada*, PCA Case No 2016–13, Final Award (25 July 2022) 298, 299, 300, 306; *UAB Eenergija* (n 12) 799–800.

have agreed to special regimes of responsibility, for example, as part of a treaty.⁶⁹ In other words, countries are free to follow an approach to state responsibility that differs from ARSIWA.⁷⁰ Thus, countries may have different rules of attribution for the actions of their regional or sub-national governments. A good example of this in the context of the MFN provision is Article 8.6(4) of the Pacific Alliance–Singapore FTA, which provides:

For greater certainty, the treatment accorded by a Party under this Article means, with respect to a regional level of government other than at the federal level, treatment no less favourable than the most favourable treatment accorded, in like circumstances, by that regional level of government to investors and to investments of such investors of any non-Party.

This provision states that for purposes of the MFN provision, the treatment meted out by a regional/sub-federal government of a state to a foreign investor will be compared with the treatment that this regional/sub-federal government offers to another foreign investor who is ‘in like circumstances.’ In other words, the regional government’s treatment will not be compared with the treatment the national or the federal government offers to another foreign investor who is ‘in like circumstances.’ Suppose the regional government is not discriminating between two foreign investors. In that case, there will be no state responsibility even if the treatment offered by the regional government is inferior to the treatment that the federal government might be offering to another foreign investor who is ‘in like circumstances.’ This provision will undoubtedly confer greater regulatory power on states, especially those with several territorial units or provinces with their governance mechanism.

Let us now turn briefly to IP exceptions. In some BITs, IP-related regulatory measures are exempted from the application of the MFN provision. For example, Article 16(4) of the Canada Mongolia BIT⁷¹ provides:

In respect of intellectual property rights, a Party may derogate from Articles 4 (national treatment), 5 (most favoured nation treatment), and subparagraph 2(c) of Article 9 (performance requirements) in a manner that is consistent with the TRIPS Agreement, including any amendments to the TRIPS Agreement in force for both Parties, and waivers to the TRIPS Agreement adopted according to Article IX of WTO Agreement.⁷²

Provisions like these confer greater regulatory power on states to adopt IP-related regulatory measures that may vary from issuing compulsory licenses on patented medicines without worrying

69 Martii Koskeniemi, *Fragmentation of International Law: Difficulties Arising from the Diversification and Expansion of International Law* (2006) Report of the Study Group of the International Law Commission Document A/AC.4/L.682142.

70 Katja Creutz, ‘The Tenacity of the Articles on State Responsibility as a General and Residual Framework: An Appraisal’ in Federica Paddeu and Christian J Tams (eds), *The ILC Articles at 20* (2021) 11 GCILS Working Paper Series <<https://gcils.org/wp-content/uploads/2021/12/25352-The-ILC-Articles-at-20.pdf>>.

71 Agreement between Canada and Mongolia for the Promotion and Protection of Investments (Canada-Mongolia) (signed 8 September 2016, entered into force 24 February 2017) Article 16(4). See also Pacific Alliance–Singapore Free Trade Agreement (PASFTA) (signed 26 January 2022, entered into force 3 May 2025).

72 See also Agreement between the Government of Canada and the Government of the Republic of Moldova for the Promotion and Protection of Investments (Canada-Moldova) (signed 22 June 2018, entered into force 23 August 2019) Article 16(4).

about their potential MFN violation.⁷³ However, for these IP-related measures to be exempted from the MFN provision, they should be consistent with the WTO's Trade-Related Aspects of Intellectual Property (TRIPS) Agreement.

After discussing the MFN provision, let us turn to the other core non-discrimination guarantee in investment treaties, national treatment.

3. National Treatment

Like the MFN provision, NT is also the cornerstone of non-discrimination in international investment law, which prohibits discriminating against foreign investors based on nationality.⁷⁴ An obligation to honour NT means that the host state should provide foreign investors and their investments treatment no less favourable than that offered to domestic investors and their investments in similar circumstances. Several ISDS tribunals have identified a three-step analysis to establish whether a country has breached the NT obligation.⁷⁵

First, arbitral tribunals determine whether the foreign and domestic investors are in 'like circumstances' or 'like situations.' This step, in simple terms, means that the foreign investor will have to identify a domestic comparator. This requirement exists even when the applicable BIT does not contain the term 'like circumstances,' as held by several ISDS tribunals.⁷⁶ Nonetheless, in one case, *Alpha Projektholding v. Ukraine*,⁷⁷ where the applicable BIT does not mention 'like circumstances,' the tribunal did not decide whether the 'like circumstances' requirement would have to be satisfied in an alleged NT violation.⁷⁸

Tribunals diverge in the interpretation of 'like circumstances,' which is a highly factual and context-based determination. As pointed out, some tribunals include the policy justification requirement as part of the 'like circumstances' requirement. Some arbitral tribunals have concluded that if foreign and domestic investors operate in the same economic or business sector they can be said to be 'in like circumstances.'⁷⁹ However, for other tribunals, operating in the same business or economic sector is not decisive in determining whether the foreign and domestic investors are 'in like circumstances.'⁸⁰ By contrast, the *Methanex* tribunal, offering an expansive interpretation, held that even if the foreign and domestic investors do not operate in the same sector and thus are

73 For more on this, see Prabhash Ranjan, 'Trade-Related Aspects of Intellectual Property Rights Waiver at the World Trade Organization: A BIT of a Challenge' (2022) *Journal of World Trade* 523–46.

74 For detailed discussion on national treatment in international investment law, see August Reinisch, 'National Treatment' in Marc Bungenberg and others (eds), *International Investment Law: A Handbook* (Beck-Hart-Nomos 2015) 846; David Collins, 'National Treatment in Emerging Market Investment Treaties' in Kamperman Sanders (ed), *The Principle of National Treatment in International Economic Law* (Edward Elgar 2014) 161–82.

75 *Bayindir Insaat* (n 55) 399; *Olin Holdings Limited v Libya*, ICC Case No 20355/MCP, Final Award (25 May 2018), para 204; *Pawlowski AG and Project Sever s.r.o. v Czech Republic*, ICSID Case No ARB/17/11, Award (1 November 2021) 534.

76 *Consortium RFCC v Royaume du Maroc*, ICSID Case No ARB/00/6, Award (22 December 2003) 53; *Total S.A. v The Argentine Republic*, ICSID Case No ARB/04/01, Decision on Liability (27 December 2010) 210; *Renée Rose Levy de Levi v Republic of Peru*, ICSID Case No ARB/10/17, Award (26 February 2014) 394.

77 *Alpha Projektholding GmbH v Ukraine*, ICSID Case No ARB/07/16, Award (8 November 2010).

78 *ibid* 428; August Reinisch and Christopher Schreuer, *International Protection of Investments: The Substantive Standards* (CUP 2020) 625–26.

79 *Marvin Roy Feldman Karpa v United Mexican States*, ICSID Case No ARB(AF)/99/1, Award (16 December 2002) 171.

80 *Champion Trading Company Ameritrade International Inc. v Arab Republic of Egypt*, ICSID Case No ARB/02/9, Award (27 October 2006) 154; Bjorklund and Vanhonnaeker (n 6) 51.

not in a competitive relationship, they may still be ‘in like circumstances.’⁸¹ Yet the same tribunal considerably narrowed the meaning of ‘like circumstances’ to mean ‘identical’ comparators.⁸²

Second, if the investors are in ‘like circumstances,’ arbitral tribunals inquire whether the foreign investor has received treatment less favourable compared to a ‘like’ domestic investor. No less favourable treatment means that the foreign investor or investment should be accorded the best treatment given to any domestic investor or investment in like circumstances.⁸³ As part of this step, what matters is a discriminatory effect, whether *de jure* or *de facto*, on the foreign investor or investment.⁸⁴ In other words, numerous tribunals have held that whether the host state has the discriminatory intent to treat the foreign investor less favourably is irrelevant in this process.⁸⁵ The requirement to prove intent would create an ‘insurmountable burden’ on the investor to prove that the host state has violated the NT obligation.⁸⁶ However, some tribunals have emphasized the role of intent in determining whether the treatment is less favourable.⁸⁷

Third, arbitral tribunals investigate whether the differential treatment between foreign and domestic investors is due to any legitimate purpose.⁸⁸ If the differentiation is due to a legitimate purpose, there will not be any breach of the NT obligation even if the foreign investor or investment is accorded less favourable treatment than the ‘like’ domestic investor or investment. Some tribunals have differed from this three-step analysis in the sense that they have considered the third step (whether differential treatment is due to a legitimate purpose) as part of the ‘like circumstances’ requirement.⁸⁹ Thus, if differentiation between a foreign and a domestic investor is made due to justifiable policy reasons, the foreign and the domestic investor are not in ‘in like circumstances.’⁹⁰ This approach provides regulatory latitude to countries to adopt rational public policies without worrying about violating the NT obligation.⁹¹ Another variation found in the three-step analysis is that some NAFTA⁹² and non-NAFTA⁹³ tribunals have omitted the third prong, that is, the possibility of a public policy justification for differential treatment. Skipping this aspect of the three-step analysis will erode the regulatory autonomy of States. Thus, even if the host state differentiates between two comparable foreign and domestic investors for legitimate policy objectives, it will violate the NT obligation.

81 *Methanex Corporation v United States of America*, UNCITRAL, Final Award of the Tribunal on Jurisdiction and Merits (3 August 2005).

82 *ibid* 17.

83 Johannes Tropper, ‘Article 8.6—National Treatment’ in Marc Bungenberg and August Reinisch (eds), *CETA Investment Law: Article-by-Article Commentary* (Beck-Hart-Nomos 2022) 209.

84 Reinisch (n 74) 846–69; *Casinos Austria International GmbH and Casinos Austria Aktiengesellschaft v Argentine Republic*, ICSID Case No ARB/14/32, Decision on Jurisdiction (29 June 2018) 249.

85 *Parkerings-Compagniet AS v Republic of Lithuania*, ICSID Case No ARB/05/8, Award (11 September 2007) 368; *International Thunderbird Gaming Corporation v The United Mexican States*, UNCITRAL, Arbitral Award (26 January 2006) 177.

86 *Feldman* (n 79) 183.

87 *LG&E Energy Corp., LG&E Capital Corp. and LG&E International Inc. v Argentine Republic*, ICSID Case No ARB/02/1, Decision on Liability (3 October 2006) 146.

88 Tropper (n 83).

89 *Rusoro Mining Ltd. v Bolivarian Republic of Venezuela*, ICSID Case No ARB(AF)/12/5, Award (22 August 2016) 563.

90 *ibid*; *Pope & Talbot* (n 57) 78.

91 *Bilcon of Delaware and others v Government of Canada*, PCA Case No 2009–04, Award on Jurisdiction and Liability (17 March 2015) 723–24.

92 *Corn Products International, Inc. v United Mexican States*, ICSID Case No ARB (AF)/04/1, Decision on Responsibility (15 January 2008) 117.

93 *Georg Gavrilovic and Gavrilovic d.o.o. v Republic of Croatia*, ICSID Case No ARB/12/39, Award (26 July 2018) 1191.

Regarding the standard of review of the justifications based on public policy, there is some divergence between the tribunals with some indicating that the host state should show it was necessary to adopt the impugned regulatory measure,⁹⁴ whereas some require a lower threshold of merely showing a rational connection between the disputed measure and the policy objective.⁹⁵

3.1 Emerging Trends in International Investment Rulemaking in NT

In the new-generation investment treaties, countries are drafting the NT provision intending to safeguard their regulatory power. Some of these trends will now be discussed.

3.1.1 Mentioning 'Like Circumstances'

While most old-generation investment treaties did not contain the phrase 'like circumstances,' the new-generation BITs specifically mention that foreign and domestic investors or investments should be 'in like circumstances' or 'in like situations' to make any claim of NT violation.⁹⁶ Arguably, even if the 'like circumstances' phrase is not mentioned in the BIT, the tribunals will still determine the domestic comparator while dealing with any alleged NT breach. However, countries are better off mentioning such express comparator clauses in their BITs than not doing so to better preserve their regulatory power.

3.1.2 Defining 'Like Circumstances'

Not only do some treaties provide express comparator clauses, but they also define what 'like circumstances' means. Article 6.3 of the Nigeria-Morocco BIT⁹⁷ provides one of the most elaborate explanations of how to determine whether foreign and domestic investors and investments are in 'like circumstances':

For greater certainty-, references to 'like circumstances' in paragraph 2 requires an overall examination on a case-by-case basis of all the circumstances of an investment including, but not limited to:

- a) its effects on third person and the local community;
- b) its effects on the local, regional or national environment, including the cumulative effects of all investments within a jurisdiction on the environment;
- c) the sector in which the investor is in;
- d) the aim of the measure concerned;
- f) the regulatory process generally applied in relation to the measure concerned;

The examination referred to in this paragraph shall not be limited to or be biased toward anyone factor.

94 *S.D. Myers, Inc. v Government of Canada*, UNCITRAL, Partial Award (13 November 2000) 250.

95 *Gami Investments Inc. v Mexico*, UNCITRAL, Final Award (15 November 2004) 114; *Pope & Talbot* (n 57) 77.

96 See Sri Lanka–Thailand FTA (n 59) Article 9.3(1); Pacific Alliance–Singapore FTA (n 71) Article 8.5(1);

97 Reciprocal Investment Promotion and Protection Agreement between the Government of the Kingdom of Morocco and the Government of the Federal Republic of Nigeria (Nigeria-Morocco) (signed 3 December 2016).

Factors like the effect of the investment on a third person and the local community imply that if foreign investment is impacting the local community whereas domestic investment (in the same sector and in a competitive relationship with the foreign investment) is not, the two are not in ‘like circumstances.’ In such a situation, if the host state treats foreign and domestic investments differently, it will not breach NT.

The NT provision in the Nigeria-Morocco BIT tilts the scale in favour of the host state’s regulatory power. Broad factors like ‘the aim of the measure’ give ample space for the host state to adopt wide and sweeping measures ostensibly for public purposes but that may nevertheless have a discriminatory effect on foreign investment.⁹⁸ Since several ISDS tribunals have included policy-based justifications as part of the ‘like circumstances’ test, an elaborate description of what this term means of the kind given in the Nigeria-Morocco BIT seems unnecessary. If states are concerned that some ISDS tribunals might not include the public policy justification for differentiating between foreign and domestic investment as part of the ‘like circumstances’ analysis, they may include a narrower explanation of what the term means. A good example of this is Article 8.5(4) of the Pacific Alliance–Singapore FTA,⁹⁹ which provides:

For greater certainty, whether treatment is accorded in ‘like circumstances’ under this Article depends on the totality of the circumstances, including whether the relevant treatment distinguishes between investors or investments on the basis of legitimate public welfare objectives.

Although worded in inclusive terms, the provision is narrower because it does not list multiple factors, like the Nigeria-Morocco BIT, to determine ‘like circumstances.’ The critical factor listed in Article 8.5(4) of the Pacific Alliance–Singapore FTA is that differential treatment based on public welfare objectives would mean that the foreign and domestic investments are not in ‘like circumstances.’¹⁰⁰ Significantly, BITs that shed light on the meaning of ‘like circumstances’ include the third prong of the three-part test discussed as part of the ‘like circumstances’ examination. In other words, in these treaties, whether there were justifiable policy reasons to differentiate between foreign and domestic investors or investments shall not be undertaken separately but will be part of the ‘like circumstances’ examination.

3.1.3 NT in Pre-Establishment versus Post-Establishment

Most NT provisions in older-generation BITs signed by developing countries provided for NT only in the post-establishment phase; that is, NT was granted once investment had entered the host state per its laws and regulations. This differs from NT being granted in the pre-establishment phase, that is, before or during the making of the investment. Investment treaties that restrict NT protection to the post-establishment phase confer the host state with greater regulatory control over deciding which investments to admit compared to treaties that allow for pre-establishment

98 Such broad elaboration of ‘like circumstances’ is also found in India-Belarus BIT (n 37) Article 4.1; India-Kyrgyzstan BIT (n 38) Article 4.1; Agreement between the Slovak Republic and the Islamic Republic of Iran for the Promotion and Reciprocal Protection of Investments (signed 19 January 2016, entered into force 30 August 2017) Article 4.3.

99 Pacific Alliance–Singapore FTA (n 71) Article 8.5(4).

100 Free Trade Agreement between Taiwan (Province of China) and Nicaragua (China-Nicaragua) (signed 23 June 2006, entered into force 1 January 2008) unilaterally terminated, Article 11.2, footnote 1. Agreement between the United States of America, the United Mexican States, and Canada (USMCA) (signed 30 November 2018, entered into force 1 July 2020) Article 14.4(4).

and post-establishment NT. A good example of an NT provision covering pre- and post-entry establishment is Article 8.6(1) of the EU-Canada CETA:

Each Party shall accord to an investor of the other Party and to a covered investment, treatment no less favourable than the treatment it accords, in like situations to its own investors and to their investments with respect to the establishment, acquisition, expansion, conduct, operation, management, maintenance, use, enjoyment and sale or disposal of their investments in its territory.

The words like ‘establishment’ and ‘acquisition’ signify the pre-establishment phase. However, it is not just developed countries’ investment treaties that include a pre-establishment NT protection.¹⁰¹ Such provisions are also present in investment treaties of some developing countries signed in the last few years.¹⁰² Nonetheless, quite a few new-generation BITs restrict the NT protection to post-establishment, which includes EU’s investment treaties with Vietnam¹⁰³ and Singapore.¹⁰⁴ Even in the EU-Canada CETA that allows NT protection to pre-establishment, ISDS provisions apply only to post-establishment.

3.1.4 Sub-Federal Exception

Like the MFN provision, the new-generation BITs also contain sub-federal exceptions. For example, Article 8.6(2) of the EU-Canada CETA provides:

The treatment accorded by a Party under paragraph 1 means, with respect to a government in Canada other than at the federal level, or, with respect to a government of or in a Member State of the European Union, treatment no less favourable than the most favourable treatment accorded, in like situations, by that government to investors of that Party in its territory and to investments of such investors.

This provision clarifies that if, say a European investor alleges less favourable treatment by a Canadian sub-federal government, the national comparator will be the ‘like’ domestic investor or investment receiving the most favourable treatment by that sub-federal government. In other words, the treatment given by a sub-federal government to a foreign investor will not be compared with the treatment given to a domestic investor by the federal or the central government of that country or by another sub-federal government.¹⁰⁵ Such a provision, missing in the first or the old generation of BITs, is crucial in countries that have a federal government structure. It gives

101 USMCA (n 100) Article 14.4(1).

102 Investment Agreement of the Mainland and Hong Kong Closer Economic Partnership Arrangement (China-Hong Kong CEPA) (signed 28 June 2017, entered into force 28 June 2017) Article 5.1.

103 EU-Vietnam IPA (n 62) Article 2.3(1).

104 EU-Singapore Investment Protection Agreement (EU-Singapore) (signed 15 October 2018) Article 2.3(1); India-Belarus BIT (n 37) Article 4.1; India-Kyrgyzstan BIT (n 38) Article 4.1; Agreement between the Federative Republic of Brazil and the Federal Democratic Republic of Ethiopia for the Promotion and Reciprocal Protection of Investments (signed 11 April 2018) Article 5.1.

105 Such sub-federal exceptions are also present in India-Belarus BIT (n 37) Article 4.2; India-Kyrgyzstan BIT (n 38) Article 4.2.

adequate regulatory power to the sub-national governments to adopt measures in respect of foreign investments without worrying about breaching the NT provision.

3.1.5 Other Exceptions

The NT provisions may contain other exceptions like sectoral exceptions that augment the host state's regulatory power by excluding certain sectors from the ambit of the NT provision.¹⁰⁶ Thus, in the sectors excluded from the ambit of the NT provision, the host state will be able to adopt laws and policies that differentiate between foreign and domestic investments without incurring any liability. Additionally, some BITs might contain provisions excluding certain activities from the ambit of the NT provision such as government procurement or subsidies and grants provided to government-owned institutions.¹⁰⁷ Likewise, in some BITs actions like land acquisition are excluded from the scope of the NT provision to safeguard the host state's regulatory power.¹⁰⁸

4. Conclusion

The international investment law regime has often been criticized for prioritizing investment protection over the state's right to regulate.¹⁰⁹ Countries participating in the international investment law framework are eager to reshape investment treaty rules to protect their regulatory authority. Unlike treaties signed in the last century, current investment treaties are much more detailed and include numerous provisions that restrict the scope of substantive protections. This chapter discusses key trends in investment treaty rulemaking, particularly concerning two fundamental non-discrimination standards: the MFN and NT standards. The findings indicate that countries are increasingly adjusting their MFN and NT obligations to ensure that their regulatory power remains intact against the broad interpretations often adopted by ISDS tribunals. This shift is a positive development, as it aims to strike a necessary balance between the important goals of protecting investments and upholding the sovereign right to regulate.

However, countries must be cautious not to overreach and disrupt this balance to the extent that it deters investors. Certain treaty developments appear excessive, such as omitting the MFN provision from BITs; excluding substantive protection provisions from the MFN framework, which undermines its purpose; and introducing various factors to assess whether domestic and foreign investments are in 'like circumstances,' extending beyond legitimate public policy justifications.

106 EU-Canada CETA (n 62); Japan-Angola BIT (n 52) Annex 1.

107 Turkey-UAE BIT (n 61) Article 5.2.

108 Agreement between the Government of the Oriental Republic of Uruguay and the Government of the Republic of Türkiye on the Reciprocal Promotion and Protection of Investments (signed 23 April 2022) Article 5.3; Agreement between the Government of the Republic of Hungary and the Government of the Sultanate of Oman for the Promotion and Reciprocal Protection of Investments (signed 2 February 2022, entered into force 24 October 2022) Article 4.5.

109 See Gazzini's chapter in this *Handbook*.

EXPROPRIATION AND THE RELATIONSHIP BETWEEN TREATIES AND GENERAL INTERNATIONAL LAW

*Esmé Shirlow**

Introduction

Rules concerning the expropriation of foreign investment hold a prominent place in the landscape of international investment treaty law and arbitration. Most investment treaties provide rules governing both direct and indirect expropriation of foreign investment, including measures which have ‘equivalent effect’¹ or are ‘tantamount’² to expropriation.³ The regulation of expropriation has also featured prominently in the various attempts to codify—and in some cases develop—customary international law through draft, model, and proposed multilateral investment treaties.⁴ Different approaches to delineating the appropriate scope of ‘expropriation’ are reflected, for instance, in the 1949 International Code of Fair Treatment for Foreign Investments prepared by the International Chamber of Commerce,⁵ the 1959 Abs/Shawcross Draft Convention on Investments

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1 See, for example: Agreement between the Czech Republic and the Argentine Republic of the Promotion and Reciprocal Protection of Investments, Article 5(1).

2 See, for example: Treaty between United States of America and the Argentine Republic concerning the Reciprocal Encouragement and Protection of Investment (1991/1994), Article IV(1).

3 Tribunals have typically interpreted these latter terms as referring to ‘a common concept of indirect expropriation’: Jonathan Bonnitcha, *Substantive Protection under Investment Treaties: A Legal and Economic Analysis* (CUP 2014) 233. See further: UNCTAD, ‘Expropriation’ (2012) UNCTAD Series on Issues in International Investment Agreements II 8; Brigitte Stern, ‘In Search of the Frontiers of Indirect Expropriation’ in Arthur W Rovine (ed), *Contemporary Issues in International Arbitration and Mediation: The Fordham Papers* (Brill 2008); Yves Fortier and Stephen L Drymer, ‘Indirect Expropriation in the Law of International Investment: I Know It When I See It, or Caveat Investor’ (2004) 19 ICSID Review 293.

4 See generally Sebastián López Escarcena, *Indirect Expropriation in International Law* (Edward Elgar 2014) 148–55; Kenneth J Vandeveld, *Bilateral Investment Treaties: History, Policy, Interpretation* (OUP 2010) 54.

5 International Chamber of Commerce, *International Code of Fair Treatment for Foreign Investments* (June 1949), Article 11.

Abroad,⁶ the 1961 Sohn/Baxter Draft,⁷ the 1967 OECD Draft Convention on the Protection of Foreign Property,⁸ the American Law Institute's Third Restatement of Foreign Relations Law,⁹ and the 1998 Multilateral Agreement on Investment.¹⁰

Despite—or perhaps because of—these various attempts at codification, the relationship between general international law and the patchwork of bi- and multilateral investment treaty provisions on expropriation remains complex, multifaceted, and dynamic. This chapter examines several key interactions between investment treaty clauses on expropriation and general rules and principles of international law.¹¹ Section 1 examines the influential role of customary international law for the interpretation and application of treaty references to 'expropriation,' including the role for a state's 'police powers' as part of that analysis. Section 2 explores the role that customary international law has played in some cases in limiting the scope of the concept of 'expropriation' to certain proprietary rights. Section 3 highlights the linkage between customary international law and the criteria specified in most investment treaties for lawful expropriation, including the (limited) role played by general principles of international law in arbitral analyses of the requirement that expropriation be undertaken in accordance with 'due process.' Section 4 examines the extent to which investment treaties might themselves influence the development of general international law by reference to the interaction between treaty provisions on expropriation and the development of rules relevant to compensation for expropriation under customary international law. Section 5 concludes.

1. Sourcing Rules from Customary International Law: The Concept of 'Expropriation' and the State's 'Police Powers'

While most early investment treaties did not define the concept of 'expropriation' in any detail, more recent treaties provide specific criteria relevant to when assessing whether an expropriation has occurred. Few investment treaties, however, exhaustively define the concept of 'expropriation.' As such, most tribunals accept that such clauses must be interpreted as referring to the customary international law understanding of that term. As the *Glamis Gold v United States of America* tribunal stated, for example, the inclusion in a treaty 'of the term "expropriation" incorporates by reference the customary international law regarding that subject.'¹² The tribunal in *European Media Ventures v Czech Republic* elaborated in more detail on this connection between

6 Herman Abs and Hartley Shawcross, 'Draft Convention on Investments Abroad' (1960) 1 *Journal of Public Law* 115, Article III.

7 Louis Sohn and R R Baxter, 'Responsibility of States for Injuries to the Economic Interests of Aliens' (1961) 55 *American Journal of International Law* 545, Article 10.

8 Organisation for Economic Cooperation and Development, Draft Convention on the Protection of Foreign Property (1967) 7 *International Legal Materials* 117, Article 3.

9 'Restatement (Third) of the Foreign Relations Law of the United States (1986).'

10 Organisation for Economic Co-operation and Development, 'Multilateral Agreement on Investment: Draft Consolidated Text' (1998) DAF/MAI(98)/REV1.

11 On the sources of international investment law, see generally Rahim Moloo and Martina Monti's chapter of this volume. On the role of general international law in investment treaty disputes see Esmé Shirlow and Kiran Nasir Gore (eds), *The Vienna Convention on the Law of Treaties in Investor-State Disputes: History, Evolution and Future* (Walters Kluwer 2022); Andreas Kulick, Michael Waibel and Andrijana Mišović (eds), *General International Law in International Investment Law: A Commentary* (OUP 2024).

12 *Glamis Gold Ltd v United States of America* (UNCITRAL), Award, 8 June 2009, para 354.

investment treaties and the concept of expropriation under customary international law. As that tribunal reasoned:

[T]he concept of ‘expropriation’ is not defined in the Treaty. It is appropriate, therefore, to look to general international law for assistance in ascertaining what the State Parties meant when they included reference to expropriation in Article 3(1). [. . .] The Tribunal is mindful of the provision, in Article 31(3)(c) of the Vienna Convention on the Law of Treaties, 1969, that in interpreting a treaty it is necessary to take into account ‘any relevant rules of international law applicable in the relations between the parties’ and accordingly considers that it was this concept of expropriation to which the Parties to the Treaty intended to refer when they adopted the text of Article 3(1).¹³

Applying general international law, tribunals have held that the ‘essence’¹⁴ of expropriation is ‘the taking of property by the State.’¹⁵ Tribunals have also noted that the concept of expropriation under customary international law encompasses both direct and indirect expropriation, as many investment treaties expressly recognise. As the tribunal in *Lone Pine v Canada* observed:

The concept of expropriation is well settled under customary international law as requiring either a direct taking or an outright transfer or seizure of the investor’s property (direct expropriation) or a substantial deprivation, i.e., total or near-total deprivation, of the investor’s property, without a formal transfer of title or outright seizure (indirect expropriation).¹⁶

For indirect expropriation, tribunals have noted ‘the requirement under international law for the investor to establish the substantial, radical, severe, devastating, or fundamental deprivation of its rights or the virtual annihilation, effective neutralisation, or factual destruction of its investment, its value or enjoyment.’¹⁷ Most tribunals, again by reference to customary international law, have further acknowledged that ‘looking only at the effect of a measure on the investment in question is too limited.’¹⁸ Therefore, in addition to a quantitative assessment (focused on the measure’s impact on the investment), tribunals have also addressed qualitative considerations as part of the expropriation analysis. This includes analysing the nature of the measure at issue and whether it is consistent with the state’s undertakings to the investor.¹⁹ Arbitral practice is relatively consistent in

13 *European Media Ventures SA v Czech Republic* (UNCITRAL), Partial Award on Liability, 8 July 2009, paras 46–47. See, similarly: *Accession Mezzanine Capital LP v Hungary*, ICSID Case No ARB/12/3, Award, 17 April 2015, paras 67–72.

14 *European Media Ventures SA* (n 13) paras 46–47.

15 *ibid.*

16 *Lone Pine Resources Inc v Canada* (UNCITRAL), Final Award, 21 November 2022, para 495.

17 *Electrabel SA v Hungary*, ICSID Case No ARB/07/19, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 6.62. See, similarly: *Chemtura Corporation v Canada*, PCA Case No 2008–01, Award, 2 August 2010, para 249; *Glamis Gold Ltd* (n 12) para 358; *Técnicas Medioambientales Tecmed, SA v United Mexican States*, ICSID Case No ARB (AF)/00/2, 29 May 2003, para 115; *Perenco Ecuador Ltd v Republic of Ecuador and Empresa Estatal Petróleos del Ecuador (Petroecuador)*, ICSID Case No ARB/08/6, Decision on Jurisdiction and Liability, 12 September 2014, para 673; *European Media Ventures SA* (n 13) para 50.

18 *Casinos Austria v Argentina*, ICSID Case No ARB/14/32, Award, 5 November 2021, para 331.

19 *Fireman’s Fund Insurance Company v Mexico*, ICSID Case No ARB(AF)/02/01, Award, 17 July 2006, para 176; *Archer Daniels Midland Company v Mexico*, ICSID Case No ARB(AF)/04/5, Award, 21 November 2007, para 250.

this use of customary international law to distil the scope of expropriation under investment treaties and to identify whether a direct or indirect expropriation has occurred.

More recent treaties have expressly acknowledged this role for customary international law in delimiting the concept of expropriation. The Free Trade Agreement between the United States and Oman, for example, confirms the understanding of the parties that the expropriation provision is ‘intended to reflect customary international law concerning the obligation of States with respect to expropriation.’²⁰ Such clauses endorse and make explicit the approaches that tribunals have adopted in practice to date. They also clarify what many tribunals have held to be implicit in existing investment treaty provisions on expropriation: that such clauses do not purport to protect investors from expropriation *beyond* the protection afforded by that concept under customary international law. Several claimants have argued, for instance, that treaty references to measures ‘tantamount’ to expropriation should be interpreted as expanding the protection available under investment treaties beyond that available under customary international law. This argument has been given short shrift by tribunals, providing a notable contrast to a parallel debate about the relationship between fair and equitable treatment clauses and the minimum standard of treatment under customary international law.²¹ Tribunals have consistently acknowledged that treaty expropriation provisions do not purport to ‘expand the internationally accepted scope of the term expropriation.’²² Instead, such provisions have been consistently interpreted to ‘invoke but not go beyond customary international law standards.’²³

Arbitral tribunals have also repeatedly referenced the customary international law ‘police powers’ doctrine as ‘established in international law’ and so a core component of the concept of ‘expropriation’ referred to in investment treaties.²⁴ The application of this doctrine has been justified by

20 See, for example: Agreement between the Government of the United States of America and the Government of the Sultanate of Oman on the Establishment of a Free Trade Area, which entered into force on 1 January 2009, Annex 10-B(1).

21 See Ioana Knoll-Tudor’s chapter in this volume.

22 *SD Myers Inc v Canada* (UNCITRAL), Partial Award, 13 November 2000, para 286. See, similarly: *Pope & Talbot Inc v Canada* (UNCITRAL), Interim Award on Merits, 26 June 2000, paras 103–5 (rejecting the claimant’s submission that the treaty ‘goes beyond those customary definitions and interpretations to adopt broader requirements’); *Lone Pine Resources Inc* (n 16) paras 494, 500.

23 *Accession Mezzanine Capital LP* (n 13) para 69.

24 *Saluka Investments BV v The Czech Republic* (UNCITRAL), Partial Award, 17 March 2006 (n 24) para 255. See, also: *Methanex v Mexico* (UNCITRAL), Final Award, 3 August 2005, Pt IV, Chapter D, para 7; *Saluka Investments BV v The Czech Republic* (UNCITRAL), Partial Award, 17 March 2006, paras 255, 262; *Chemtura Corporation* (n 17) para 266; *Philip Morris Brands Sàrl, Philip Morris Products S A and Abal Hermanos S A v Uruguay*, ICSID Case No ARB/10/7, Award, 8 July 2016, paras 295–301; *Casinos Austria* (n 18) para 331; *Renée Rose Levy de Levi v Peru*, ICSID Case No ARB/10/17, Award, 26 February 2014, para 474; *Suez, Sociedad General de Aguas de Barcelona and Vivendi Universal v Argentina*, ICSID Case No ARB/03/19, Decision on Liability, 30 July 2010 para 139. For further discussion of the police powers doctrine, see Catherine Titi, ‘Police Powers Doctrine and International Investment Law’ in Andrea Gattini, Attila Tanzi and Filippo Fontanelli (eds), *General Principles of Law and International Investment Arbitration* (Brill 2018); Bonnitche (n 3) 259–60; Alain Pellet, ‘Police Powers or the State’s Right to Regulate,’ in Meg Kinnear et al (eds), *Building International Investment Law: The First 50 Years of ICSID* (Wolters Kluwer 2015); UNCTAD (n 3); Esmé Shirlow, ‘Deference and Indirect Expropriation Analysis in International Investment Law: Observations on Current Approaches and Frameworks for Future Analysis’ (2014) 29 ICSID Review—Foreign Investment Law Journal 595; Esmé Shirlow, ‘*Les Laboratoires Servier, S.A.A., and Others v Republic of Poland*: Defining the Nature of the Police Powers ‘Defence’ and the Deference Applicable in Regulatory Expropriation Cases’ (2014) 29 ICSID Review—Foreign Investment Law Journal 559; Esmé Shirlow, *Judging at the Interface: Deference to State Decision-Making Authority in International Adjudication* (CUP 2021) 97–98.

reference to Article 31(3)(c) of the Vienna Convention on the Law of Treaties,²⁵ with tribunals holding that the concept of expropriation itself ‘imports’ or requires consideration of the police powers doctrine.²⁶ This connection between the concept of expropriation and a state’s police powers under customary international law is such that the doctrine will usually be applicable ‘independently of whether the treaty text makes express reference to such powers.’²⁷

The presumption that the police powers doctrine will apply to expropriation clauses in investment treaties has typically served to protect host state regulatory interests because most early investment treaties were otherwise silent as to the applicability of the doctrine. However, states have increasingly sought to expressly acknowledge the role for state regulatory purposes in investment treaties,²⁸ including in connection with the interpretation and application of expropriation provisions. In doing so, states have typically not referred expressly to the concept of the state’s police powers.²⁹ This has prompted tribunals to increasingly confront complicated questions concerning the residual role (if any) for the customary international law doctrine under such treaty provisions.

For instance, in *Eco Oro v Colombia*, the tribunal was required to interpret and apply Annex 811 of the Free Trade Agreement between Canada and Colombia, which provided:

Except in rare circumstances, such as when a measure or series of measures is so severe in the light of its purpose that it cannot be reasonably viewed as having been adopted in good faith, non-discriminatory measures by a Party that are designed and applied to protect legitimate public welfare objectives, for example health, safety and the protection of the environment, do not constitute indirect expropriation.

The investor contended that the treaty should be interpreted by reference to additional requirements for the exercise of police powers under customary international law. It argued that the

25 Vienna Convention on the Law of Treaties, opened for signature 23 May 1969, entered into force 27 January 1980, 1155 UNTS 331. See generally Esmé Shirlow, ‘Applications of the VCLT in Investor-State Arbitration with Accompanying Table Recording References to the VCLT in Some 361 Different Procedural Orders, Decisions and Awards of Investor-State Arbitral Tribunals’ in Esmé Shirlow and Kiran Gore (eds), *The Vienna Convention on the Law of Treaties in Investor-State Disputes: History, Evolution, and Future* (Kluwer 2022).

26 *Saluka Investments* (n 24) para 254.

27 *Casinos Austria* (n 18) para 332. See similarly ICJ, *Certain Iranian Assets (Islamic Republic of Iran v United States of America)*, Judgment, 30 March 2023, para 185; *Saluka Investments* (n 24) paras 254, 262; *Olympic Entertainment Group v Ukraine*, PCA Case No 2019–18, Award, 15 April 2021, para 86.

28 On the ‘right to regulate’ in international investment law more broadly, see Tarcisio Gazzini’s chapter in this volume.

29 States have more expressly linked such provisions to the ‘police powers’ doctrine in model investment treaties. See, for example: European Union, Annotations to the Model Clauses for Negotiation or Re-Negotiation of Member States’ Bilateral Investment Agreements with Third Countries (2023) (stating that the Annex on Expropriation ‘reflects the police powers doctrine which is a manifestation of the State’s right to regulate’); Morocco Model Bilateral Investment Treaty (2019), Article 10(c) (‘Consistent with the right of States to regulate and the principles of customary international law relating to State police powers, bona fide and non-discriminatory legislative and regulatory measures taken by a Party to protect or enhance legitimate public welfare objectives such as public health, safety environment and labor, or which result in legitimate general taxation or alteration of the value of the national currency or any type of action commonly accepted as falling within the police power of the States, do not constitute an indirect expropriation under this Article and therefore would not be subject to any requirement of compensation’); South African Development Community Model Bilateral Investment Treaty (2012), Commentary to Article 6.7. Such documents may inform interpretation of treaty provisions, including as a supplementary means of interpretation: Esmé Shirlow and Michael Waibel, ‘A Sliding Scale Approach to *Travaux* in Treaty Interpretation: The Case of Investment Treaties’ (2021) British Yearbook of International Law.

tribunal, in addition to assessing the requirements set out in Annex 811, also needed to assess whether the measures ‘violated specific commitments given by the State to the investor, were disproportionate to the public interest or not implemented in good faith being arbitrary, unnecessary or otherwise not *bona fide* requiring consideration of good faith tenets of fairness, transparency, non-arbitrariness, clarity, non-ambiguity and predictability.’³⁰ The respondent, by contrast, contended that the Annex was ‘*lex specialis* such that the Tribunal does not need to consider these general international law exceptions.’³¹

The tribunal noted the parties’ agreement that ‘the police powers of the State are expressly reflected in Annex 811.’³² The tribunal held:

Annex 811(2) does not expressly exclude the application of general international law when seeking to understand and apply it. Indeed, parties to a Treaty cannot contract out of the system of international law. When States contract with each other it is inherent that they do so within the system of international law. Therefore, in interpreting and applying the provisions of Annex 811(2), awards on the police powers doctrine under customary international law may provide some guidance (by analogy).³³

Ultimately, the tribunal considered the measures to be consistent with the terms of Annex 811 and the additional requirements of customary international law invoked by the claimant.³⁴ The tribunal’s statement that the treaty parties ‘cannot contract out of the system of international law’ should arguably be understood against the context of the parties’ acknowledgement that Annex 811 ‘reflected’ the concept of police powers under customary international law. Absent such agreement, the better view under applicable rules of treaty interpretation would be that the application of the police powers doctrine *could* be modified or even excluded to the extent it ‘were shown that the contracting parties to the BIT had had a clear intention of dispensing with such a well-recognized principle of customary international law.’³⁵

The *Eco Oro* tribunal’s analysis also demonstrates the need for tribunals to carefully consider which limitations are reflected in relevant state practice and *opinio juris* as comprising part of the customary international law ‘police powers’ doctrine. Arbitral tribunals have distilled several requirements for applying such doctrine, including that measures be non-discriminatory, reasonable, and/or proportionate, adopted for certain purposes, in accordance with due process, consistently with the state’s commitments to the investor and/or in good faith.³⁶ While some of these criteria are relatively well-established as a matter of customary international law, the status of others is arguably less clear.³⁷ Tribunals do not regularly address—other than through citations to

30 *Eco Oro Minerals Corp v Colombia*, ICSID Case No ARB/16/41, Decision on Jurisdiction, Liability and Directions on Quantum, 9 September 2021, para 625.

31 *ibid.*

32 *ibid.*

33 *ibid* para 626.

34 *ibid* para 699.

35 *Casinos Austria* (n 18) para 332. See similarly *Teinver SA v Argentina*, ICSID Case No ARB/09/1, Award, 21 July 2017, para 475.

36 See generally *Saluka Investments* (n 24) para 255; *Methanex* (n 24); ICJ (n 27) para 186; *Philip Morris Brands Sàrl, Philip Morris Products SA and Abal Hermanos SA* (n 24) para 305; *Técnicas Medioambientales Tecmed* (n 17) paras 119 and 122.

37 See, for example, discussion of the principle of proportionality in *Philip Morris Brands Sàrl, Philip Morris Products SA and Abal Hermanos SA* (n 24) para 305; *Olympic Entertainment Group* (n 27) paras 87–90; *Casinos Austria* (n 18)

prior cases—the status of these requirements as a matter of customary international law, and so miss important opportunities to pinpoint how the customary international law doctrine of ‘police powers’ has developed and/or is evolving.³⁸

2. Implied Limits from Customary International Law? Identifying Investments Capable of Being Expropriated

Most tribunals accept that a range of different investments may be the subject of expropriation claims under investment treaties.³⁹ Expropriation provisions are frequently expressed to apply in respect of ‘investments of investors’ covered by the treaty.⁴⁰ Tribunals applying such provisions have often simply cited the treaty definition of ‘investment’ to conclude that the full range of protected assets under an investment treaty may be the subject of an expropriation claim.⁴¹ As the tribunal in *Crystallex v Venezuela* reasoned, for example, ‘the definition of “investments” provided in the Treaty is a broad one,’ and ‘because [the expropriation provision] makes “investments” (together with “returns”) the object of a possible expropriation, it ensures that contractual rights are generally capable of being expropriated.’⁴² Other tribunals, by contrast, have indicated that expropriation provisions may be more limited. In *Eskosol v Italy*, for example, the tribunal held that the investor had an ‘investment’ for jurisdictional purposes⁴³ but that it had no ‘recognized property right’ sufficient to underpin its expropriation claim.⁴⁴ The tribunal held that, ‘absent any established right that was abrogated by Government interference, the fact that Government conduct may have impacted a company business plan does not itself amount to expropriation, even if the end result ultimately is that the company was unable to survive financially.’⁴⁵

In a small number of cases, parties, and in turn tribunals, have specifically invoked rules of general international law to limit the types of investment that may be subject to protection from expropriation under investment treaties. Such analysis is typically informed by the view that, under customary international law, only proprietary rights may be subject to expropriatory measures.⁴⁶

para 351. See also Bonnitche (n 3) 259–60; OECD, “‘Indirect Expropriation’ and the “Right to Regulate” in International Investment Law’ (2004) 04 OECD Working Papers on International Investment <https://www.oecd-ilibrary.org/finance-and-investment/indirect-expropriation-and-the-right-to-regulate-in-international-investment-law_780155872321>; UNCTAD (n 3) 96; Titi (n 24) 325.

38 On the evolution of the police powers doctrine see, for example, *Philip Morris Brands Sàrl, Philip Morris Products SA and Abal Hermanos SA* (n 24) paras 290–91.

39 A connected issue, beyond the scope of this chapter, is the appropriate approach for the analysis of expropriation claims where an investor holds several investments. See, for example: *Electrabel SA* (n 17) paras 6.57–6.58; *Burlington Resources Inc v Ecuador*, ICSID Case No ARB/08/5, Decision on Liability, 14 December 2012, paras 257 and 398. See also Ursula Kriebaum, ‘Partial Expropriation’ (2007) 8 World Investment & Trade 69; Bonnitche (n 3) 236–39.

40 Agreement between the Government of the Republic of Indonesia and the Government of the Kingdom of Denmark concerning the Promotion and Protection of Investments, signed 22 January 2007, in force 15 October 2009, Article 5.

41 *Suez* (n 24) para 151.

42 *Crystallex International Corporation v Venezuela*, ICSID Case No ARB(AF)/11/2, Award, 4 April 2016, paras 662–63.

43 *Eskosol SPA v Italy*, ICSID Case No ARB/15/50, Award, 4 September 2020, paras 121–30 (emphasis in original).

44 *ibid* 472 (emphasis in original).

45 *ibid*.

46 See also Rosalyn Higgins, ‘The Taking of Property by the State: Recent Developments in International Law’ in *Collected Courses of the Hague Academy of International Law*, vol 176 (Brill 1982) 272–74.

Tribunals adopting the view that expropriation provisions apply only to ‘property’ have nonetheless adopted a broad concept of that term as including both tangible and intangible property.⁴⁷ The *Emmis v Hungary* tribunal, for instance, noted that the treaty definition of ‘investment’ indicated that expropriation provisions ‘may equally protect intangible property’ and were ‘not limited to rights in rem.’⁴⁸ It further observed that ‘[t]he position is in any event well established in customary international law’ that ‘[a] right conferred by contract may therefore constitute an asset for this purpose.’⁴⁹ Nonetheless, the *Emmis* tribunal considered it inherent in the concept of ‘expropriation’ that ‘the property right or asset must have vested (directly or indirectly) in the claimant.’⁵⁰ Applying this approach to the contracts at issue, the tribunal explained the ‘legal position under international law’ as follows:

the loss of a right conferred by contract may be capable of giving rise to a claim of expropriation but only if it gives rise to an asset owned by the claimant to which a monetary value may be ascribed. The claimant must own the asset at the date of the alleged breach. It is the asset itself—the property interest or chose in action—and not its contractual source that is the subject of the expropriation claim. Contractual or other rights accorded to the investor under host state law that do not meet this test will not give rise to a claim of expropriation.⁵¹

Several recent treaties adopt this approach to limiting the scope of expropriation under investment treaties. Annex 10-B to the Free Trade Agreement between Australia and Chile, for example, ‘confirm[s]’ the ‘shared understanding’ of the treaty parties: ‘[a]n action or a series of actions by a Party cannot constitute an expropriation unless it interferes with a tangible or intangible property right or property interest in an investment.’⁵² As UNCTAD notes, such provisions serve to narrow ‘the scope of economic rights and interests that can be expropriated, compared with the term investment.’⁵³ Depending on their wording, and the frequency with which they are adopted, it is possible that such clauses may prompt this minority view to become more common in the future.

47 See, for example: *Methanex Corporation v United States of America* (UNCITRAL), Final Award, 3 August 2005 Part IV, Chapter D, para 17; *Fireman’s Fund Insurance Company* (n 19) para 176.

48 *Emmis International Holding BV v Hungary*, ICSID Case No ARB/12/2, Award, 16 April 2014, para 163. Cf Zachary Douglas, ‘Property, Investment and the Scope of Investment Protection Obligations’ in Zachary Douglas, Joost Pauwelyn and Jorge E Viñuales (eds), *The Foundations of International Investment Law: Bringing Theory into Practice* (OUP 2014) 375.

49 *Emmis International Holding BV* (n 48) para 164. Some tribunals imply a further limitation into the analysis of ‘expropriation’ in relation to contracts (to require that any repudiation of the contract by the state be ‘undertaken in an exercise of sovereign authority rather than as an ordinary contract counterparty’): *Rasia FZE and Joseph K Borkowski v Armenia*, ICSID Case No ARB/18/28, 20 January 2023, para 664.

50 *Emmis International Holding BV* (n 48) para 168.

51 *ibid* 169. To similar effect, the tribunal in *European Media Ventures* agreed that the treaty ‘is permeated by a single concept of investment,’ but ‘consider[ed] the questions (a) whether the contractual rights on which Claimant relies constitute an investment within Article 1 of the Treaty; (b) whether those rights are capable of expropriation under Article 3; and (c) whether they were in fact expropriated, to be three entirely separate questions’: *European Media Ventures SA* (n 13) para 41. See similarly *Lone Pine Resources Inc* (n 16) para 502; *Cargill, Incorporated v Mexico*, ICSID Case No ARB(AF)/05/2, Award, 18 September 2009, para 354; *Accession Mezzanine Capital LP* (n 13) paras 147–58.

52 Australia-Chile Free Trade Agreement, concluded 30 July 2008, in force 6 March 2009, [2009] ATS 6, Annex 10-B(1).

53 UNCTAD (n 3) 18.

3. Parallel Developments and Missed Opportunities: The Criteria for Lawful Expropriations

Most investment treaties recognise that States have a right to expropriate foreign investment subject to certain conditions. Thus, once it has been determined that an expropriation has occurred, treaty criteria determine whether such expropriation is lawful or unlawful.⁵⁴ The role of these criteria in distinguishing lawful from unlawful expropriations reflect customary international law analogues. As White noted in 1961, for example:

What can be stated with certainty is that the sovereign's right to expropriate private property for public purposes against compensation was recognised from mediaeval times, and that, with the growth of international law rules regarding the treatment of aliens, his right to expropriate their property within his territory became subject to similar limitations.⁵⁵

Despite some variance across treaties, most investment treaties nowadays require that—to be lawful—an expropriation be (1) non-discriminatory, (2) undertaken for a public purpose, (3) in accordance with due process, and/or (4) accompanied by compensation.⁵⁶ In applying such requirements, tribunals have consistently emphasised that they reflect similar requirements recognised under customary international law.⁵⁷ As the tribunal in *Siag v Egypt* observed, for example: ‘an expropriation is only lawful if certain conditions are met. Several of these requirements have become part of customary international law. They are also included to varying degrees in most treaties.’⁵⁸

Despite recognizing a connection between such treaty requirements and customary international law, most tribunals have not elaborated upon that connection or the content of the customary international law criteria in much if any detail. As such, the criteria under treaties have typically been interpreted largely in isolation from any consideration of their existence and content as a matter of customary international law. This has prompted somewhat unsatisfactory approaches to situations in which one or more of the criteria are omitted from the applicable investment treaty. In *Siag v Egypt*, for instance, the underlying treaty did not contain any requirement for the ‘prompt’ payment of compensation, instead requiring only that compensation be ‘adequate and fair.’⁵⁹ The tribunal nonetheless held that ‘the absence of that word ought not to be seen to permit Egypt to refrain from paying compensation indefinitely,’ citing in support views in scholarly writing that the requirement that compensation be ‘prompt’ is reflected ‘under customary international law and “most treaties.”’⁶⁰ Ultimately, this formed a basis for the tribunal’s decision that the expropriation was unlawful, with the tribunal holding that ‘[e]ven the most charitable of impartial observers

54 As to this order of analysis, see, for example, *Vestey v Venezuela*, ICSID Case No ARB/06/4, Award, 15 April 2016, para 250; *Vincent J Ryan v Poland*, ICSID Case No ARB(AF)/11/3, Award, 24 November 2015, para 467.

55 Gillian White, *Nationalisation of Foreign Property* (Stevens & Sons Limited 1961) 35.

56 UNCTAD (n 3); Vandevelde (n 4) 470.

57 See, for example, *Marion Unglaube v Costa Rica*, ICSID Case No ARB/08/1, Award, 16 May 2012, paras 203–4; *Teinver SA* (n 35) para 1033; *Vigotop Limited v Hungary*, ICSID Case No ARB/11/22, Award, 1 October 2014, para 275; *Achmea BV v Slovak Republic*, PCA Case No 2013–12, Award on Jurisdiction and Admissibility, 20 May 2014, paras 244–46.

58 *Waguih Elie George Siag v Egypt*, ICSID Case No ARB/05/15, Award, 1 June 2009, para 428.

59 Agreement for the Promotion and Protection of Investments between the Republic of Italy and the Arab Republic of Egypt, Article 5(1)(ii).

60 *Waguih Elie George Siag* (n 58) para 434.

would not, in the Tribunal's view, contend that a 12-year delay (at the least) was "prompt."⁶¹ The issue has arisen in other cases, without tribunals offering particularly clear guidance as to its resolution. In *Sunlodges v Tanzania*, for example, the applicable treaty did not contain a requirement that—to be lawful—the expropriation be undertaken in accordance with 'due process.' The claimant submitted, nonetheless, that this requirement applied as a matter of customary international law.⁶² The tribunal ultimately did not determine the issue, holding instead that the expropriation was unlawful under the treaty criteria because it had not been undertaken for a public purpose nor accompanied by compensation.⁶³

The lack of clarity as to the relationship between the criteria as a matter of treaty and general international law has also meant that tribunals have missed opportunities to derive guidance from general international law when applying the treaty criteria. Most treaties, for instance, include a requirement that lawful expropriations be undertaken in accordance with due process. Treaties differ in how this requirement is formulated.⁶⁴ Whereas some treaties, for example, require that an expropriation be 'carried out according to due process of law,'⁶⁵ others stipulate that it must be 'in accordance with domestic laws of general application,'⁶⁶ 'in accordance with the rule of law,'⁶⁷ and/or 'subject to review by due process of law.'⁶⁸ Many tribunals have interpreted the notion of 'due process'—especially where the relevant treaty links that requirement to domestic law standards—by reference to domestic, rather than international, standards.⁶⁹ In some cases, however, tribunals have elucidated an international standard of due process when applying such clauses. In *ADC v Hungary*, for example, the tribunal held:

'due process of law,' in the expropriation context, demands an actual and substantive legal procedure for a foreign investor to raise its claims against the depriving actions already taken or about to be taken against it. Some basic legal mechanisms, such as reasonable advance notice, a fair hearing and an unbiased and impartial adjudicator to assess the actions in dispute, are expected to be readily available and accessible to the investor to make such legal procedure meaningful. In general, the legal procedure must be of a nature to grant an affected investor a reasonable chance within a reasonable time to claim its legitimate rights and have its claims heard. If no legal procedure of such nature exists at all, the argument that 'the actions are taken under due process of law' rings hollow. And that is exactly what the Tribunal finds in the present case.⁷⁰

61 *ibid.*

62 *Sunlodges Ltd and Sunlodges (T) Limited v Tanzania*, PCA Case No 2018–9, Award, 20 December 2019, para 373.

63 *ibid* para 375.

64 See, further: Jarrod Hepburn, *Domestic Law in International Investment Arbitration* (OUP 2017) 47.

65 Agreement between the Government of the Republic of Lithuania and the Government of the Republic of Venezuela on the Promotion and Protection of Investments, Article 4(1).

66 Agreement between the Swiss Federal Council and the Government of the Sultanate of Oman on the Promotion and Reciprocal Protection of Investments, Article 6(1).

67 Agreement on the Promotion and Reciprocal Protection of Investments between the United Mexican States and the Kingdom of Spain, Article V(1)(c).

68 Agreement between the Islamic Republic of Pakistan and the Federal Republic of Germany on the Encouragement and Reciprocal Protection of Investments, Article 4(1).

69 *Middle East Cement Shipping and Handling Co v Egypt*, ICSID Case No ARB/99/6, Award, 12 April 2002, paras 139–44.

70 *ADC Affiliate Limited and ADC & ADMC Management Limited v Hungary*, ICSID Case No ARB/03/16, Award, 2 October 2006, para 435.

Several tribunals have cited with approval this approach to interpreting the concept of due process for the purposes of expropriation provisions.⁷¹ However, most have not sought to characterise such ‘basic’ due process requirements as reflective of customary international law, or even as general principles of international law. Such tribunals are therefore distilling supposedly general or universal principles of due process without a clear basis in applicable law. This has prompted other tribunals to express doubt as to whether the specific standards identified in cases like *ADC* can properly be said to reflect of general international law.⁷²

The analysis of the tribunal in *OI European Group v Venezuela* is a notable exception to this trend. That tribunal noted that the applicable treaty clause did not tether the concept of due process to domestic standards. It held on this basis that the concept of ‘due process’ in the treaty was:

a generic concept which must be interpreted in accordance with the requirements of international law; it is this minimum regulatory standard commonly accepted in all States under the rule of law which guarantees the subject that any decision affecting it will be adopted after having gone through a fair and equitable process.⁷³

The tribunal thereafter analysed four specific due process requirements to consider whether they were encompassed within this minimum international law standard.⁷⁴ In doing so, the tribunal did not assess these requirements as reflective of custom (i.e. by reference to state practice and *opinio juris*) but rather appeared to consider them to be inherent in the international notion of ‘due process’ and thus as ‘general principle[s] of international law.’⁷⁵ Ultimately, careful engagement with relevant custom and/or general principles can assist tribunals in their analysis of ‘due process’ requirements in investment treaties. Careful analysis may also influence the utility of arbitral decisions to parties and future tribunals including for disputes under different treaties.⁷⁶

4. Treaty Impacts on Customary International Law? Applicable Standards of Compensation for Lawful and Unlawful Expropriations

The applicable standards of compensation for both lawful and unlawful expropriations illustrate a further facet of the relationship between general international law and treaties.⁷⁷ Longstanding debates as to the standard of compensation for lawful expropriation under customary international law, for instance, arguably prompted many states to include specific compensation standards in

71 *Ioannis Kardossopoulos and Ron Fuchs v Georgia*, ICSID Case Nos ARB/05/18 and ARB/07/15, Award, 3 March 2010, para 396; *Tenaris SA v Venezuela*, ICSID Case No ARB/11/26, Award, 29 January 2016, para 496; *Crystalex International Corporation* (n 42) para 713.

72 *Guaracachi America, Inc and Rurelec PLC v Bolivia*, PCA Case No 2011–17, Award, 31 January 2014, para 439; *Koch Minerals Sarl v Venezuela*, ICSID Case No ARB/11/19, Award, 30 October 2017, para 7.23.

73 *OI European Group BV v Venezuela*, ICSID Case No ARB/11/25, Award, 10 March 2015, para 388.

74 *ibid* paras 389–403.

75 *ibid* para 391.

76 See Esmé Shirlow and Michael Waibel, ‘Article 32 of the VCLT and Precedent in Investor-State Arbitration: A Sliding Scale Approach to Interpretation’ in Esmé Shirlow and Kiran Nasir Gore (eds), *The Vienna Convention on the Law of Treaties in Investor-State Disputes: History, Evolution, and Future* (Kluwer 2022); Philippa Webb, ‘By Effective Means: Cross-Cutting Aspects of Fairness in International Dispute Settlement’ in Charles N Brower and others (eds), *By Peaceful Means* (OUP 2024).

77 On remedies in international economic law, see Manuel Quindimil’s chapter in this volume.

the expropriation provisions of their investment treaties.⁷⁸ This means that most investment treaties stipulate specific compensation standards that apply for lawful expropriations. The standard of ‘prompt, adequate and effective compensation’ is common in investment treaties,⁷⁹ but other standards also feature, including references to ‘immediate, full and effective,’⁸⁰ ‘appropriate,’⁸¹ ‘prompt fair and effective,’⁸² or ‘fair and equitable’⁸³ compensation.

Despite the variance in terms, several commentators and some tribunals have claimed that a largely consistent treaty practice has emerged. According to this view, most treaties stipulate standards of compensation for lawful expropriations that equate to the ‘fair market value’ of the investment. They argue that this, in turn, has generated or at the very least reflects customary international law standards for lawful expropriation.⁸⁴ The tribunal in *AIG v Kazakhstan* noted, for instance, ‘considerable unanimity in arbitral practice and scholarly opinion’ that the standard of compensation for lawful expropriations under customary international law was ‘appropriate compensation.’⁸⁵ It acknowledged that the ‘vocabulary in which the standard of compensation has been expressed differs from treaty to treaty’⁸⁶ but considered that ‘[d]espite the diversity of vague and indefinite terms, there is a growing agreement on a standard of compensation that more closely approximates to a ‘fair market value’ (or its equivalent) of the property taken.’⁸⁷ Other tribunals have simply stated that the treaty standard of ‘prompt, adequate and effective compensation’ reflects the standard applicable under customary international law.⁸⁸

Others are more sceptical as to whether treaty standards of compensation for lawful expropriation are reflective of, much less that they have crystallised, standards of compensation under customary international law.⁸⁹ As the International Law Association’s Committee on Formation of Customary (General) International Law noted in 2000:

Some have argued that provisions of bilateral investment protection treaties (especially the arrangements about compensation or damages for expropriation) are declaratory of, or have

78 See López Escarcena (n 4) 32, 118; UNCTAD (n 3) 40–41; Vandeveld (n 4) 284, 466; Bonnitcha (n 3) 229; Stephen Zamora, ‘Is There Customary International Economic Law’ (1989) 32 *German Yearbook of International Law* 9, 24–25.

79 See, for example, Agreement between the Republic of Austria and the Republic of Guatemala for the Promotion and Protection of Investments, signed 16 January 2006, in force 1 December 2012, Article 5(1)(d).

80 See, for example, Agreement between the Government of the Italian Republic and the Government of the Republic of Mozambique on the Promotion and Reciprocal Protection of Investments, Article 5(2) (with Article 5[3] then referring to this as ‘just’ compensation).

81 See, for example, ECOWAS Supplementary Act on Investments (2008), Article 8(2).

82 See, for example, Agreement on the Promotion and Protection of Investment between the Government of the Republic of Iraq and the Government of the Kingdom of Saudi Arabia, Article 9(1)(c).

83 See, for example, Agreement between the Government of the Republic of Mozambique and the Government of the Republic of India for the Reciprocal Promotion and Protection of Investments, Article 5(1).

84 See, for example, *CME Czech Republic B.V. v The Czech Republic* (UNCITRAL), Final Award, 14 March 2003, para 492.

85 *AIG Capital Partners, Inc and CJSC Tema Real Estate Company v Republic of Kazakhstan*, ICSID Case No ARB/01/6, Award, 7 October 2003, para 84.

86 *ibid.*

87 *ibid* 85.

88 See, for example, *Teinver SA* (n 35) para 1033.

89 Jean d’Aspremont, ‘International Customary Investment Law: Story of a Paradox’ [2011] *Amsterdam Law School Legal Studies Research Paper*; Patrick Dumberry, *The Formation and Identification of Rules of Customary International Law in International Investment Law* (CUP 2018) 77–79, 114–15.

come to constitute, customary law. But [. . .] there seems to be no special reason to *assume* that this is the case, unless it can be shown that these provisions demonstrate a widespread acceptance of the rules set out in these treaties *outside the treaty framework*.⁹⁰

While there remains ‘an exceedingly high degree of uniformity in the drafting of expropriation provisions of investment treaties,’⁹¹ there is sufficient variance to doubt whether such provisions have yielded consistent state practice—even putting aside the difficulty of establishing that such clauses reflect the *opinio juris* of states.⁹²

Most investment treaties are silent as to the standard of compensation for unlawful expropriation. As a result, tribunals have consistently held that the standard remains the customary international law standard of full reparation.⁹³ Arbitration decisions under investment treaties thus comprise a significant body of practice concerning the interpretation, application, and in some cases adaptation, of customary international law rules on reparation in the relationship between states and foreign individuals.⁹⁴ They moreover illuminate certain differences between the standard of full reparation under customary international law for unlawful expropriations, and the usual requirement of prompt, adequate, and effective compensation for lawful expropriations under investment treaties. The differences between the consequences of lawful and unlawful expropriations becomes particularly acute where an investor seeks restitution of its property and/or in circumstances where the date of valuation makes a material difference to the quantum of compensation.⁹⁵ As noted, states have rarely sought to address the relevant standard of reparation for unlawful expropriation in investment treaties. They could, nonetheless, use future treaty negotiation or reform processes to direct arbitral analysis of such issues in future disputes.⁹⁶ This could

90 International Law Association, Committee on Formation of Customary (General) International Law, *Final Report of the Committee: Statement of Principles Applicable to the Formation of General Customary International Law* (2000) 48. See, also: Matthew Porterfield, ‘State Practice and the (Purported) Obligation under Customary International Law to Provide Compensation for Regulatory Expropriations’ (2011) 37 North Carolina Journal of International Law and Commercial Regulation 159, 189.

91 Bonnitcho (n 3) 229.

92 See International Law Association, Committee on Formation of Customary (General) International Law (n 90), Section 23; Patrick Dumberry, ‘Are BITs Representing the ‘New’ Customary International Law in International Investment Law?’ (2009) 28 Penn State International Law Review 675; Porterfield (n 90).

93 See, for example, *ADC Affiliate Limited and ADC & ADMC Management Limited* (n 70) paras 481–94; *Bank Melli Iran (Iran) and Bank Saderat Iran (Iran) v Bahrain*, PCA Case No 2017–25, Award, 9 November 2021, para 741; *Burlington Resources Inc v Ecuador*, ICSID Case No ARB/08/5, Decision on Reconsideration and Award, 7 February 2017, para 160; *Stabil LLC and Others v Russia*, PCA Case No 2015–35, Final Award, 12 April 2019, para 265; *Teinver SA* (n 35) paras 1088–92. On what full reparation has been interpreted to encompass in investor-State disputes see, further: Filip Balcerzak, ‘The Role of Customary International Law in International Investment Law Remedies’ in Panos Merkouris and others (eds), *Custom and its Interpretation in International Investment Law* (CUP 2024); Jonathan Bonnitcho and Sarah Brewin, ‘Compensation under Investment Treaties’ [2020] International Institute for Sustainable Development <<https://www.iisd.org/system/files/publications/compensation-treaties-best-practices-en.pdf>>.

94 See Esmé Shirlow and Kabir Duggal, ‘The ILC Articles on State Responsibility in Investment Treaty Arbitration’ (2022) 37 ICSID Review—Foreign Investment Law Journal 378; Martins Paparinskis, ‘A Case Against Crippling Compensation in International Law of State Responsibility’ (2020) 83 The Modern Law Review 1246.

95 See, for example, *Sunlodge Ltd and Sunlodge (T) Limited* (n 62) para 374; *Tidewater Investment SRL and Tidewater Caribe, CA v Venezuela*, ICSID Case No ARB/10/5, Award, 13 March 2015, para 142; *ADC Affiliate Limited and ADC & ADMC Management Limited* (n 70) paras 495–500.

96 See generally Esmé Shirlow, ‘Approaches of International Courts and Tribunals to the Award of Compensation in International Private Property Cases and Implications for the Reform of Investor-State

include, *inter alia*, guidance as to the role to be played by customary international law standards in assessing compensation for both lawful and unlawful expropriation and/or clauses to adapt such standards of compensation and reparation to ensure that they remain appropriate to investor-state disputes.⁹⁷

5. Conclusions

As noted throughout this chapter, expropriation clauses in investment treaties have undergone an evolution in recent years. Whereas early expropriation clauses were notable for their brevity,⁹⁸ more recent treaties have sought to clarify the concept of ‘expropriation,’ the conditions under which it will be lawful, the role for state regulatory powers when assessing if an expropriation has occurred, and the consequences of lawful and unlawful expropriations.⁹⁹ General international law remains influential in how these provisions are interpreted and applied. Conversely, there is reason to doubt the extent to which investment treaties have themselves influenced the development of general international law rules relevant to expropriation.¹⁰⁰ Arbitral tribunals have also not always been particularly careful or comprehensive in the methods they have used to identify rules of customary international law or general principles of international law. They have also only had the opportunity to grapple in an *ad hoc* way with certain key complexities associated with the analysis of expropriation,¹⁰¹ including, for instance, the types of investment that may be the subject of expropriation. Nonetheless, the role of general international law in the interpretation and application of expropriation provisions indicates that arbitral practice is playing an important—and might in the future play an even more prominent—role in distilling and in some cases developing general international law on expropriation. In turn, arbitral analyses have prompted reactions from states—including the drafting of new treaty provisions that confirm or clarify the position understood by those states to pertain under general international law. The contributions to the development of general international law by investment treaties and investment treaty tribunals should

Arbitration’ [2022] International Institute for Sustainable Development <<https://www.iisd.org/system/files/2022-06/international-courts-private-property-cases-reform-investor-state-arbitration.pdf>>.

97 Such issues have been raised for consideration by UNICTRAL’s Working Group III on investor-State dispute settlement reform. See, for example: United Nations Commission on International Trade Law, Working Group III (Investor-State Dispute Settlement Reform), Note by the Secretariat, ‘Possible Reform of Investor-State Dispute Settlement (ISDS): Assessment of Damages and Compensation’ [2022] A/CN.9/WG.III/WP.220.

98 See, for example, Treaty between United States of America and the Argentine Republic concerning the Reciprocal Encouragement and Protection of Investment 1991/1994, Article IV.

99 See, for example, Comprehensive Economic and Trade Agreement between Canada and the European Union (2016/2017).

100 Jorg Kammerhofer, *International Investment Law and Legal Theory: Expropriation and the Fragmentation of Sources* (CUP 2021) 13; Tarcisio Gazzini, ‘The Role of Customary International Law in the Field of Foreign Investment’ (2007) 8 *Journal of World Investment & Trade* 691; Steffen Hindelang, ‘Bilateral Investment Treaties, Custom and a Healthy Investment Climate: The Question of Whether BITs Influence Customary International Law Revisited’ (2004) 5 *Journal of World Investment & Trade* 789; Bernard Kishoiyian, ‘The Utility of Bilateral Investment Treaties in the Formulation of Customary International Law’ (1993) 14 *Northwestern Journal of International Law & Business* 327; Dumbery (n 92); Stephen M Schwebel, ‘The Influence of Bilateral Investment Treaties on Customary International Law’ (2004) 98 *American Society of International Law Proceedings* 27.

101 See also Jeremy K Sharpe, ‘The Potential Impact on Investment Arbitration of the ILC’s Work on Customary International Law’ (2014) 108 *AJIL Unbound* 188 (examining why investment treaty tribunals may not be ‘ideally structured to play a primary role in developing customary international law’).

therefore not be underestimated.¹⁰² The relationship between treaty expropriation provisions and general international law is dynamic and evolving and likely to continue to produce complex intersections and evolutions that will be worth watching for all those interested in the role of general international law in investment treaty disputes.

¹⁰² See similarly on the role of investment treaty tribunals in the application, interpretation and development of the general international law rules on State responsibility Shirlow and Duggal (n 94) 391; and on the role of investment treaty tribunals in relation to the customary international law rules of treaty law Shirlow (n 25).

THE RIGHT TO REGULATE IN INTERNATIONAL INVESTMENT LAW

Tarcisio Gazzini

I. Introduction

Legal scholarship, arbitral decisions, and international investment agreements (IIAs) refer with increasing frequency to the right to regulate in international investment law. Such right has been defined as ‘the host state’s legal right to adopt legislation or other measures in derogation of substantive commitments it has undertaken in its international investment treaties without having to compensate aggrieved investors.’¹

The definition calls for two considerations. First, states have always the right and often also the duty—under domestic law,² international law, or both—to regulate.³ They exercise their right to regulate—i.e. resort to their sovereign authority in the pursuit of public interest—when they adopt non-compensable regulatory measures but also in case of compensable indirect expropriation. The crux of the matter remains the consequences of regulatory measures from the standpoint of the foreign investors as they *might* be entitled to receive compensation. Therefore, what is ‘ambiguous and contested’ is not the ‘concept of the right to regulate,’⁴ but how to draw the line between non-compensable regulation and compensable indirect expropriation. Second, the strict association between the right to regulate and indirect expropriation unduly reduces the scope of the analysis. The right to regulate must be appreciated also with regard to the obligation to ensure

1 Catharine Titi, *The Right to Regulate in International Investment Law* (Beck/Hart 2014) 33. See also Crina Baltag, Riddhi Joshi, and Kabir Duggal, ‘Recent Trends in Investment Arbitration on the Right to Regulate, Environment, Health and Corporate Social Responsibility: Too Much or Too Little?’ (2023) 38 ICSID Review 381.

2 See e.g. *Urbaser S.A. and Consorcio de Aguas Bilbao Bizkaia, Bilbao Biskaia Ur Partzuergoa v Argentina*, ICSID ARB/07/26, Award, 8 December 2016, para 622 (stressing the responsibilities incumbent upon the Respondent under its Constitution to ensure the population’s health and access to water.)

3 Catharine Titi, *The Right to Regulate in International Investment Law (Revisited)* (International and Comparative Law Research Center 2022) 21–22 <<https://ssrn.com/abstract=4058447>> (arguing that ‘the question is not, properly speaking, whether the state may or may not regulate, rather it is whether the state by regulating has failed to honour an obligation under an international investment agreement and, if so, whether it needs to compensate the aggrieved investor’).

4 See Krista Nadakavukaren and Rodrigo Polanco Lazo, *Legal Opinion on Right to Regulate* (28 July 2023) 5 <www.isdc.ch, 1> (arguing that the right to regulate ‘is simply an acknowledgment of the traditional concept of sovereignty’).

investors fair and equitable treatment (FET) or the germane minimum international standard,⁵ as well as the so-called stabilization clauses.⁶

This chapter proceeds as follows. After this introduction, Section II explores the concept of the right to regulate. Sections III, IV, and V examine arbitral awards clarifying how states can exercise the right to regulate from the standpoint of indirect expropriation, FET, and stabilization clauses respectively. Section VI briefly reviews the recent treaty practice on the right to regulate.

II. Sovereignty and the Right to Regulate

The right to regulate is indissolubly linked to the concept of sovereignty, which is ubiquitous across international law and permeates virtually all its branches. The very concept of sovereignty was introduced and developed in political theory referring to the power of states to rule over ‘everything within the state’⁷ and has gone through a continuous process of evolution.⁸ It has been observed that ‘[n]o State, developed or developing, doubts the proposition that it has total control over all economic activities which takes place within its boundaries. This is a self-evident principle of state sovereignty.’⁹ In the words of the International Court of Justice,

acts and activities considered to be performed *à titre de souverain* are in particular, but not limited to, legislative acts or acts of administrative control, acts relating to the application and enforcement of criminal or civil law, acts regulating immigration, acts regulating fishing and other economic activities, naval patrols as well as search and rescue operations.¹⁰

Despite its recurrent use, nonetheless, the concept of sovereignty remains elusive and complex. It can take a plethora of forms and has been considered merely as ‘a rhetorical toolkit, a glimmering and shifting style of presentation and address, at once fashionable and passé, fighting words and cliché.’¹¹ Yet it is a useful starting point when discussing the right to regulate foreign investments due to its intrinsic link with the concept of state, territory, and control.¹² According to Lowe,

[t]he concept of the State is rooted in the concept of control of territory. The purpose and role of every State is to control activities within its borders so far as possible, or more accurately

5 See Yulia Levashova, *The Right of States to Regulate in International Investment Law: The Search for Balance between Public Interest and Fair and Equitable Treatment* (Wolters Kluwer 2019).

6 See, for instance, *Philip Morris Brands SÄRL, Philip Morris Products S.A. and Abal Hermanos S.A. v Uruguay*, ICSID ARB/10/7, Final Award, 8 July 2016 (referring repeatedly to ‘regulatory powers’).

7 Robert Jennings and Arthur Watts, *Oppenheim’s International Law* (8th edn, Longman 1992) 125; Peter Malanczuk, *Akehurst’s Modern Introduction to International Law* (7th edn, Routledge 1997) 17 (noting that ‘[t]he theory of sovereignty began as an attempt to analyse the internal structure of a State. Political philosophers thought that there must be, within each State, some entity which possessed supreme legislative power and/or supreme political power’).

8 See Karen Knop and Susan Marks, ‘The War against Cliche: Dispatches from the International Legal Front’ in Christine Chinkin and Freya Baetens (eds), *Statehood and State Responsibility: Essays in Honour of James Crawford* (CUP 2015) 1.

9 Muthucumaraswamy Sornarajah, *The International Law of Foreign Investments* (5th edn, CUP 2021) 107.

10 *Territorial and Maritime Dispute (Nicaragua v Colombia)*, Judgment, *I.C.J. Reports* 2012, p 624, para 80 (emphasis added). See also *Territorial and Maritime Dispute between Nicaragua and Honduras in the Caribbean Sea (Nicaragua v Honduras)*, Judgment, *I.C.J. Reports* 2007 (II), pp 713–22, paras 176–208.

11 David W Kennedy, ‘Some Reflections on the Role of Sovereignty in the International Order’ in Elaine Hughes and others (eds), *State Sovereignty: The Challenge of a Changing World* (Canadian Council on International Law 1992) 237, 245.

12 See, in particular, Jorge E Viñuales, ‘Sovereignty in Foreign Investment Law’ in Zachary Douglas and others (eds), *The Foundations of International Investment Law: Bringing Theory into Practice* (OUP 2014) 317; Georgios

to ensure that activities within its borders are not regulated by any other State. That idea is expressed in international law through the concept of sovereignty.¹³

As a result, the right of the host state to manage the admission of foreign investment¹⁴ and to exercise its regulatory powers over them is uncontroversial and firmly based in customary international law.¹⁵ This was solemnly proclaimed in the Charter of Economic Rights and Duties of States, according to which each state has the right ‘to regulate and exercise authority over foreign investment within its national jurisdiction in accordance with its laws and regulations and in conformity with its national objectives and priorities.’¹⁶

However, the right to regulate must conform all commitments incumbent upon a state whatever their source. Those commitments stem typically from investment treaties, whose conclusion is at once a manifestation and a delimitation of state sovereignty.¹⁷ On the one hand, the contracting states exercise their treaty making power and this constitutes a sovereign prerogative. On the other hand, by signing international investment agreements they accept legal obligations defining—normally on reciprocal terms—how their sovereign powers must be exercised. The concept has been explained by several investment tribunals. In *ADC v. Hungary*, for instance, the tribunal held that

the basic international law principles that while a sovereign State possesses the *inherent* right to regulate its domestic affairs, the exercise of such right is not unlimited and must have its boundaries. [. . .] [T]he rule of law, which includes treaty obligations, provides such boundaries.¹⁸

Conversely, it is equally uncontroversial that foreign investments are subject to the jurisdiction of the host state and must comply with all relevant rules and regulations. The inclusion in a treaty of

Dimitropoulos, ‘National Sovereignty and International Investment Law: Sovereignty Reassertion and Prospects of Reform’ (2021) 21 *Journal of World Investment and Trade* 71; Taylor St John, ‘Three Conceptions of Sovereignty in Contemporary Investment Law’ in Christopher Smith (ed), *Sovereignty in a Global Perspective* (OUP 2022) 235. For a critical approach to the concept, see Charles Rousseau, ‘L’indépendance de l’État dans l’ordre international,’ 73 *Recueil des Cours* (1948-III) 167.

13 Vaughan Lowe, *International Law* (OUP 2007) 138.

14 Unless otherwise bound by treaties, legislation, or contractual obligations, states remain free to regulate the admission and establishment of foreign investment within their jurisdictions as a sovereign prerogative, see Giorgio Sacerdoti, ‘The Admission and Treatment of Foreign Investment under Recent Bilateral and Regional Treaties’ (2000) 1 *Journal of World Investment* 105; Ignacio Gómez-Palacio and Peter Muchlinski, ‘Admission and Establishment’ in Peter Muchlinski, Federico Ortino and Christoph Schreuer (eds), *The Oxford Handbook of International Investment Law* (OUP 2008) 227.

15 See *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 254, quoted with approval in *Invesmart v Czech Republic*, UNCITRAL, Award, 26 July 2009, para 498.

16 General Assembly resolution 3281 (XXIX), 12 December 1974, Article 2.2.

17 Permanent Court of International Justice, S.S. ‘Wimbledon,’ Judgment, 17 August 1923, p 25 (holding that ‘[n]o doubt any convention creating an obligation of this kind places a restriction upon the exercise of the sovereign rights of the State, in the sense that it requires them to be exercised in a certain way. But the right of entering into international engagements is an attribute of State sovereignty’). See also Martin Loughlin, ‘The Erosion of Sovereignty’ (2016) 45 *Netherlands Journal of Legal Philosophy* 2 (highlighting that ‘the obligations that a State assumes through treaties are manifestations of its continuing sovereign authority’).

18 *ADC Affiliate Limited and ADC & ADMC Management Limited v Hungary*, ICSID ARB/03/16, Award, 2 October 2006, para 423 (emphasis added); *Daimler Financial Services AG v Argentina*, ICSID ARB/05/1, Award, 22 August 2012, para 100.

a provision reiterating such obligation, although strictly speaking not necessary, may reassure the state and assist arbitral tribunals.¹⁹

The exercise by a state of its sovereign prerogatives in conformity with international investment law and the obligation incumbent upon foreign investor to comply with all relevant laws and regulation are the two sides of the same coin. On the one hand, international investment law sets the limits within which a state may exercise its regulatory powers, keeping in mind that ‘when a State admits into its territory foreign investments or foreign nationals, whether natural or juristic persons, it is bound to extend to them the protection of the law and assumes obligations concerning the treatment to be afforded them.’²⁰ On the other hand, foreign investors must comply with local laws and regulation throughout the entire life of the investment. Furthermore, unlawfully creating an investment would amount to misuse of the system of international investment protection, which implies losing the protection otherwise enjoyed under the relevant investment treaty, even if the latter is silent on the matter.²¹ Interestingly, some recent investment treaties explicitly condition the protection offered to the investors to their compliance with the laws and regulations of both the host and the home state.²²

III. Regulatory Powers Amounting to Indirect Expropriation

The right to regulate is sacrosanct yet not unlimited. In the absence of a valid stabilization clause,²³ states have the undeniable right to enact, modify or repeal any laws or regulations at their own discretion, provided that they do not ‘act unfairly, unreasonably or inequitably in the exercise of [their] legislative power.’²⁴ It follows that, in principle, states are not obliged to compensate non-discriminatory regulations adopted for a public purpose and in accordance with due process, even if they cause detrimental effects upon foreign investments.²⁵ In a leading decision, the tribunal held: ‘States are not liable to pay compensation to a foreign investor when, in the *normal exercise* of their regulatory powers, they adopt in a non-discriminatory manner *bona fide* regulations that are aimed at the general welfare.’²⁶ The expression ‘normal exercise’—or ‘ordinary measures’²⁷ or ‘generally accepted measures of police powers’²⁸—conveys the idea that there are limits within

19 See, for instance, 2015 Indian Model BIT, Article 12.1.

20 *Barcelona Traction, Light and Power Company, Limited*, Judgment, *ICJ Reports* 1970, p 3, para 33.

21 *Gustav F W Hamster GmbH & Co KG v Ghana*, ICSID ARB/07/24, Award, 18 June 2010, paras 123–24.

22 See, for example, Japan–Colombia BIT, Article 1.

23 See Part V.

24 See *Parkerings-Compagniet AS v Lithuania*, ICSID Case No ARB/05/8, Award, 11 September 2007, para 332; *Técnicas Medioambientales Tecmed, S.A. v Mexico*, ICSID ARB (AF)/00/2, Award, 29 May 2003, para 119 (holding that ‘[t]he principle that the State’s exercise of its sovereign powers within the framework of its police power may cause economic damage to those subject to its powers as administrator without entitling them to any compensation whatsoever is undisputable’).

25 *Methanex Corporation v United States*, NAFTA, Final Award, 3 August 2005, Part IV, Ch. D, par. 7; *Chemtura Corporation v Canada*, UNCITRAL, Award, 2 August 2010, para 266 (considering the relevant regulatory measures as ‘a valid exercise of the State’s police powers’ not triggering compensation since they were ‘motivated by the increasing awareness of the dangers presented by lindane for human health and the environment’); *Magyar Farming Company Ltd, Kintyre Kft and IniciaZrt v Hungary*, ICSID ARB/17/27, Award, 13 November 2019, para 364.

26 *Saluka v Czech Republic*, note 15, para 255 (emphasis added).

27 *Mohamed Abdel Raouf Bahgat v Egypt*, PCA Case No 2012–07, Award, 23 December 2019, para 232.

28 *Magyar Farming v Hungary*, note 25, para 366. Likewise, in American Law Institute, *Restatement (Third) Foreign Relations of the United States* (1987), vol. 1, para 712, comment (g), reference is made to the *commonly accepted* police powers of States.’

which regulatory powers do not trigger any obligation to compensate. The gist of the argument becomes identifying and delineating those boundaries or, in other words, creating a stable and predictable legal framework for the benefit of foreign investments while preserving the capacity of states to exercise their sovereign powers to pursue their economic, social, and cultural policies.

The matter is by no means peculiar to foreign investment. Indeed, domestic tribunals, too, are confronted with the consequences of the exercise of regulatory powers upon private economic activities or property. In the jurisprudence of the United States Supreme Court, for instance, the principle that ‘if regulation goes too far, it will be recognized as a taking for which compensation must be paid’²⁹ is well established. This implies that the state may regulate in the public interest without any compensation being due, provided that the regulation ‘substantially advance[s] legitimate state’s interests’ and does not ‘den[y] an owner economically viable use of his property.’³⁰ However, if the regulation ‘goes too far’ in the sense that is ‘not reasonably necessary to the effectuation of a substantial government purpose,’³¹ then a regulatory taking occurs requiring the payment of proper compensation.

Establishing whether the regulation has gone ‘too far’ requires a difficult case-by-case analysis. In *Kaiser Aetna* the Supreme Court identified three main elements to be considered in regulatory taking disputes: ‘the economic impact of the regulation, its interference with reasonable investment backed-expectation, and the character of the government action.’³² While originating in domestic litigation, those elements eventually found their way into investment treaties in a slightly more sophisticated formulation.³³ Indeed, the question is very much the same in foreign investment law but for the fact that investors are exposed to the regulatory powers of a foreign state.

Likewise, the difficulties relate to establishing whether the host state has gone too far, or in other words has crossed the line between compensable indirect expropriation and non-compensable regulatory powers. Yet, as candidly admitted by several tribunals, ‘[t]here is no comprehensive test that may be used to distinguish regulatory expropriation, for which compensation is required, from an exercise of police or regulatory powers, which does not give rise to a duty of compensation.’³⁴ As a result,

[i]t thus inevitably falls to the adjudicator to determine whether particular conduct by a state ‘crosses the line’ that separates valid regulatory activity from expropriation. Faced with the question of *when, how and at what point an otherwise valid regulation becomes, in fact and effect, an unlawful expropriation*, international tribunals must consider the circumstances in which the question arises.³⁵

However difficult to draw, the line dividing non-compensable regulatory powers and compensable expropriation must be maintained. In theory, even with increasingly sophisticated provisions on indirect expropriation and general exceptions in IIAs, establishing this boundary remains

29 *Pennsylvania Coal Co. v Mahon*, 260 US 393 (1922) 415.

30 *Agins v Tiburon*, 447 US 225 (1980) 260.

31 *Penn Central v New York City*, 438 US 104 (1978) 127.

32 *Kaiser Aetna v United States*, 244 US 164 (1979) 175.

33 See text note 42.

34 *Magyar Farming v Hungary*, note 25, para 365 (quoting with approval *Saluka v Czech Republic*, note 15, para 263); *Feldman v Mexico*, ICSID ARB(AF)/99/1, Award, 16 December 2002, para 100.

35 *Saluka v Czech Republic*, note 15, para 264.

a challenging exercise. In practice, arbitral tribunals have adopted a pragmatic case-by-case approach.³⁶ They have focused on the effects of the regulatory measures, their purpose, their reasonableness and/or proportionality, their non-discriminatory character, or—increasingly—a combination of these indicia.³⁷

Tribunals have traditionally attached great importance to the effects caused by the regulatory measures upon investors.³⁸ For example, a tribunal held that regulatory measures are compensable if they reduce or eliminate the benefits legitimately expected from the exploitation of the rights to such an extent as to render them useless.³⁹ From this perspective, the intent or the purpose of the measures becomes irrelevant.⁴⁰ As maintained by another tribunal,

[e]xpropriatory environmental measures—no matter how laudable and beneficial to society as a whole—are, in this respect, similar to any other expropriatory measures that a state may take in order to implement its policies: where property is expropriated, even for environmental purposes, whether domestic or international, the state's obligation to pay compensation remains.⁴¹

Although the effects of the regulatory measures remain the core determinant to establish whether they amount to expropriation, treaties have adopted increasingly more sophisticated approaches and offered non-exhaustive lists of elements to consider, including:

- (i) the economic impact of the government action, although the fact that an action or series of actions by a Party has an adverse effect on the economic value of an investment, standing alone, does not establish that an indirect expropriation has occurred;
- (ii) the extent to which the government action interferes with distinct, reasonable investment-backed expectations; and
- (iii) the character of the government action.⁴²

36 L Yves Fortier, 'Caveat Investor: The Meaning of Expropriation and the Protection Afforded Investors Under NAFTA' (2003) 20 *News from ICSID* 11 ('[t]he determination as to whether state conduct is compensable as an expropriation under NAFTA Article 1110(1) (or similar provisions in other agreements) is, in almost all instances, based on the facts of the case in question').

37 See L Yves Fortier and Stephen L Drymer, 'Indirect Expropriation in the Law of International Investment: I Know It When I See It, or Caveat Investor' (2004) 19 *ICSID Review* 293, 326.

38 See Prabhash Ranjan, 'Police Powers, Indirect Expropriation in International Investment Law, and Article 31(3)(c) of the VCLT: A Critique of *Philip Morris v Uruguay*' (2019) 9 *Asian JIL* 98, 121–22 (maintaining that '[t]he criterion to distinguish legitimate regulation from expropriation is the quantum and degree of deprivation').

39 *CMS Gas Transmission Company v Argentina*, ICSID ARB/01/8, Award, 12 May 2005, para 262 ('substantial deprivation' effectively neutralising the enjoyment of the property'); *Consortium RFCC v Maroc*, ICSID ARB/00/6, Award, 22 December 2002, para 69 ('avoir des effets substantiels d'une intensité certaine qui réduisent et/ou font disparaître les bénéfices légitimement attendus de l'exploitation des droits objets de ladite mesure à un point tel qu'ils rendent la détention de ces droits inutile'); *Pope & Talbot Inc. v Canada*, UNCITRAL (NAFTA), Interim Award, 26 June 2000, para 96 ('a deprivation substantial enough'). For earlier examples, see *Sedco, Inc. v National Iranian Oil Company*, 24 October 1985, 9 *Iran-United States CTR* 248, p 275 ('a substantial or excessive degree' of deprivation); *Starrett Housig Corporation v Iran*, 19 December 1983, 4 *Iran-United States CTR* 122, p 154 ('a conduct rendering property rights useless').

40 In *Patrick Mitchell v Congo*, ICSID ARB/99/7, Annulment, 1 November 2006, para 54, the Committee accepted that in applying the so-called sole effect doctrine, the Tribunal 'was merely exercising its freedom of judgment.'

41 See *Compañía del Desarrollo de Santa Elena, S.A. v Costa Rica*, ICSID ARB/96/1, Final Award, 17 February 2000, para 72; *Spyridon Roussalis v Romania*, ICSID Case No ARB/06/1, Award, 7 December 2011, paras 328, 330.

42 See Annex B (Expropriation) of the 2004 and 2012 United States Model BIT and Annex B.13(1) of the 2004 and 2014 Canada Model BIT. On the application of these criteria by the United States Supreme Court, see note 32.

The principle of proportionality, in turn, has been applied in various forms. Some tribunals have not elaborated on the proportionality requirement,⁴³ others have held that the contested measures must be proportional to ‘the threat to public order to which it purports to respond,’⁴⁴ or ‘the public interest presumably protected.’⁴⁵ Other tribunals have searched for ‘a reasonable relationship of proportionality between the charge or weight imposed to the foreign investor and the aim of regulatory measures’⁴⁶ or balanced ‘two competing interests: the degree of the measure’s interference with the right of ownership and the power of the State to adopt its policies’⁴⁷ in order to establish whether the state’s action was obviously disproportionate to the need being addressed.⁴⁸ More recently, a tribunal has held that in order to satisfy the principle of proportionality ‘a measure must (a) be one that is suitable by nature for achieving a legitimate public purpose, (b) be necessary for achieving that purpose in that no less burdensome measure would suffice, and (c) not be excessive in that its advantages are outweighed by its disadvantages.’⁴⁹

Arbitral tribunals have also regularly relied on the ‘police powers’ doctrine to settle claims concerning compensation for regulatory measures.⁵⁰ While it is undisputed that ‘the police powers defence is not *carte blanche*,’⁵¹ this doctrine remains elusive. According to a tribunal, measures annulling rights of the investor do not trigger a duty to compensate only in a narrow set of circumstances, namely, if they constitute (a) generally accepted measures of police powers that aim at enforcing existing regulations against the investor’s own wrongdoings and/or (b) regulatory measures aimed at protecting public health, environment, or public order.⁵²

Police powers and regulatory powers seem substantially similar as they both refer the boundaries within which a state may exercise its sovereign powers without any compensation being due to investors. They largely overlap, as confirmed by a tribunal holding that the police powers doctrine is ‘a recognition that States have a reasonable right to regulate foreign investments in their territories even if such regulation affects investor property rights.’⁵³ As a result, determining whether

43 *Olympic Entertainment Group AS v Ukraine*, PCA Case No 2019–18, Award, 15 April 2021, para 90.

44 *Bahgat v Egypt*, note 27, para 230.

45 *Tecmed v Mexico*, note 24, para 122. See also, amongst others, *El Paso Energy International Company v Argentina*, ICSID ARB/03/15, Award, 31 October 2011, para 241; *Marfin Investment Group Holdings SA and others v Cyprus*, ICSID ARB/13/27, Award, 26 July 2018, paras 981–83.

46 *Tecmed v Mexico*, note 24, para 122 (borrowing the expression from the ECtHR); *Azurix Corp. v Argentina*, ICSID ARB/01/12, Award, 14 July 2006, para 312.

47 *LG&E v Argentina*, ICSID ARB/02/1, Decision on Liability, 3 October 2006, para 195.

48 *ibid.*, para 189.

49 *PL Holdings Sarl v Poland*, Partial Award, 28 June 2017, para 355.

50 Originating from the Greek *politeia* [polity], the doctrine featured in the jurisprudence of mixed claims commissions, scholarly debates, and finally investment treaty arbitration. See Oliver Hailes, ‘Police Powers in a Pandemic. Investment Treaty Interpretation and the Customary Presumption of Reasonable Regulation’ in Panos Merkouris and others (eds), *Custom and its Interpretation in International Investment Law* (CUP 2023) 233, esp. 240–41 (with regard to pandemics and the 2005 International Health Regulation); Valentina Vadi, *Public Health in International Investment Law and Arbitration* (Routledge 2013) 74–83 and 139–43 (examining the use of the police powers doctrine in pharmaceutical and environmental disputes respectively).

51 *Bahgat v Egypt*, note 28, para 230. See also *Saluka v Czech Republic*, note 15, para 258.

52 *Magyar v Hungary*, note 25, para 366. Quoted with approval in *Nachingwea U.K. Limited (UK), Ntaka Nickel Holdings Limited (UK) and Nachingwea Nickel Limited (Tanzania) v Tanzania*, ICSID ARB/20/38, Award, 14 July 2023, para 239.

53 *Suez, Sociedad General de Aguas de Barcelona S.A., and InterAguas Servicios Integrales del Agua S.A. v Argentina*, ICSID ARB/03/17, Liability, 30 July 2010, para 148.

a state has exceeded its reasonable right to regulate and then its legitimate police powers would be ‘duplicative and therefore inappropriate.’⁵⁴ In *Philip Morris v Uruguay*, alternatively, the tribunal has constructed police powers as a subcategory of regulatory powers and stressed that ‘the police powers doctrine has been applied in several cases to reject claims challenging regulatory measures designed specifically to protect public health.’⁵⁵

The police powers doctrine is often referred to by arbitral tribunals as one of the key elements for excluding the qualification of regulatory measures as indirect expropriation. If a measure is justified under the police powers doctrine, it does not constitute indirect expropriation. According to a recent award, in line with several previous ones, ‘[a] State measure constitutes expropriation if (i) the measure deprives the investor of its investment; (ii) the deprivation is permanent; and (iii) the deprivation finds no justification under the police powers doctrine.’⁵⁶

Tribunals have been rather reluctant to articulate on the content of the police powers doctrine: their argument has inevitably become circular, replacing one elusive concept (‘regulatory powers’) with another equally elusive (‘police powers doctrine’) and ultimately deciding in favour of aggrieved investors on the basis of quantitative rather than qualitative assessment. Approaching the police powers doctrine ‘in an insufficiently clear and rigorous way . . . belies [the doctrine’s] relatively settled status in investor-state arbitration and reveals the need for greater rigour and lucidity in its future application.’⁵⁷

The uncertainty still surrounding both the right to regulate and the police powers doctrine justifies the high level of deference demonstrated by tribunals regarding the measures adopted by states, especially when they enact public health measures.⁵⁸ Some tribunals, for instance, have admitted that for the purpose of balancing the right to regulate against the expectations of investors, they must show a ‘high measure of deference’⁵⁹ or afford states ‘significant latitude.’⁶⁰ While the right to regulate is not unlimited, as an expression of sovereignty, it commands an adequate

54 *ibid.* In literature, see Federico Ortino, *The Origins and Evolution of Investment Treaty Standards* (OUP 2020) esp. Chapter 3.

55 *Phillip Morris v Uruguay*, note 6, para 298. See also *ibid* para 291 (noting that ‘Protecting public health has since long been recognized as an essential manifestation of the State’s police power, as indicated also by Article 2(1) of the BIT which permits contracting States to refuse to admit investments for reasons of public security and order, public health and morality’), and para 295 (holding that ‘[t]he principle that the State’s reasonable bona fide exercise of police powers in such matters as the maintenance of public order, health or morality, excludes compensation even when it causes economic damage to an investor and that the measures taken for that purpose should not be considered as expropriatory did not find immediate recognition in investment treaty decisions. But a consistent trend in favor of differentiating the exercise of police powers from indirect expropriation emerged after 2000. During this latter period, a range of investment decisions have contributed to develop the scope, content and conditions of the State’s police powers doctrine, anchoring it in international law. According to a principle recognized by these decisions, whether a measure may be characterized as expropriatory depends on the nature and purpose of the State’s action’).

56 *Infinito Gold Ltd. v Costa Rica*, ICSID ARB/14/5, Award, 3 June 2021, para 699.

57 Rhys Carvosso, ‘The Precarity of the Police Powers Doctrine in Investment Arbitration: *Rockhopper v Italy*’ (2023) 15 *Journal of International Dispute Settlement* 172 (criticizing the Rockhopper Tribunal for ‘approach[ing] the police powers doctrine in an insufficiently clear and rigorous way.’ For Carvosso, ‘the Tribunal’s reasons were scant and lacked any articulation of the content of the doctrine or engagement with the extensive body of relevant arbitral jurisprudence and scholarship, making it difficult to comprehend how the doctrine was understood and why it was rejected’).

58 See Valentina Vadi and Lukasz Gruszczynski, ‘Standards of Review in International Investment Law and Arbitration: Multilevel Governance and the Commonweal’ (2013) 16 *Journal of International Economic Law* 1.

59 *S.D. Myers, Inc. v Canada* (UNCITRAL) Partial Award, 13 November 2000, para 263. See also *Lone Pine Resources Inc. v Canada*, ICSID Case No UNCT/15/2, Award, 21 November 2022, paras 623–24.

60 *Addiko Bank AG v Montenegro*, ICSID ARB/17/35, Award, 24 November 2021, para 560.

level of deference. Its contours have been defined by arbitral tribunals by resorting to different approaches and concepts or, with increasing frequency, a combination thereof. Yet a significant degree of legal uncertainty remains.

IV. Regulatory Powers and the Fair and Equitable Treatment Standard

IAs aim at establishing a clear, predictable, and stable legal framework propitious to the development of profitable private business as well as the economic development of the concerned states.⁶¹ Among their provisions, the FET standard and the international minimum standard of treatment pegged to customary international law occupy a prominent position.

Obviously, the FET standard does not prevent states from exercising their regulatory powers in a manner consistent with international law.⁶² As the *Electrabel* tribunal aptly pointed out,

[w]hile the investor is promised protection against unfair changes, it is well-established that the host State is entitled to maintain a reasonable degree of regulatory flexibility to respond to changing circumstances in the public interest. Consequently, the requirement of fairness must not be understood as the immutability of the legal framework, but as implying that subsequent changes should be made fairly, consistently and predictably, taking into account the circumstances of the investment.⁶³

The FET standard defines *how* states must exercise their regulatory powers. Several arbitral tribunals have given flesh to the standard by resorting to criteria systematically recognized and applied within the jurisdiction of virtually all states. In general terms, ‘the exercise of [states’] right to regulate and change legislation must not be contrary to the principles of reasonableness, transparency, due process and to the prohibition against discrimination and arbitrariness.’⁶⁴ Some of these criteria reflect general principles of law. For instance, the principles of transparency, due process and to the prohibition against discrimination and arbitrariness are rather uncontroversial and their applicability generally straightforward.⁶⁵

Not too differently from indirect expropriation claims, thus, also in claims regarding FET tribunals have insisted on the principles of reasonableness and proportionality. They have focused

61 *Frontier Petroleum Services Ltd. v Czech Republic* (UNCITRAL), Final Award, 12 November 2010, para 285 (holding that ‘[s]tability means that the investor’s legitimate expectations based on this legal framework and on any undertakings and representations made explicitly or implicitly by the host state will be protected. The investor may rely on that legal framework as well as on representations and undertakings made by the host state including those in legislation, treaties, decrees, licenses, and contracts’).

62 *Sevilla Beheer B.V. and Others v Spain*, ICSID ARB/16/27, Jurisdiction, Liability and Quantum, 11 February 2022, para 714. See also *Addiko Bank AG v Montenegro*, note 60, para 559.

63 *Electrabel S.A. v Hungary*, ICSID ARB/07/19, Award, 25 November 2015, para 7.7.

64 *Infracapital F1 S.à.r.l. and Infracapital Solar B.V. v Spain*, ICSID ARB/16/18, Decision on Jurisdiction, Liability and Directions on Quantum, 13 September 2021, para 658. See also, amongst many, *Rumeli Telekom A.S. v Kazakhstan*, ICSID ARB/05/16, Award, 29 July 2008, para 609.

65 *Sun Reserve Luxco Holdings SRL v Italy*, SCC No 132/2016, Award, 25 March 202, para 688 (holding that ‘[t]o constitute a breach of the FET standard, it must be shown that the host State’s conduct was manifestly or grossly unfair or unreasonable, was arbitrary or discriminatory, constituted a denial of justice in national proceedings in the host State, or that the host State engaged in a wilful neglect of duty or a wilful disregard of due process of law, or showed an extreme insufficiency of action falling far below international standards’).

on the reasonableness of the measures adopted by the state. From this perspective, one tribunal held that

[a] rational policy is taken by a state following a logical (good sense) explanation and with the aim of addressing a public interest matter. Nevertheless, a rational policy is not enough to justify all the measures taken by a state in its name. A challenged measure must also be reasonable. That is, there needs to be an appropriate correlation between the state's public policy objective and the measure adopted to achieve it. This has to do with the nature of the measure and the way it is implemented.⁶⁶

Another tribunal, likewise, compared the public interest and the affected private rights and double-checked the availability of less burdensome alternative measures susceptible to equally satisfy the protected public interest.⁶⁷

Several tribunals have also held that states must respect the investor's reasonable and legitimate expectations⁶⁸ generated by specific undertakings and representations made by the host state with regard to certain investors as opposed to general legislation.⁶⁹ Importantly, the notion of legitimate expectations does not affect 'the State's rights to exercise its sovereign authority to legislate and to adapt its legal system to changing circumstances.'⁷⁰ As pointed out by a tribunal,

the presence of specific commitments, contractual or otherwise, cannot automatically eliminate or diminish the significance of the host State's regulatory powers for the purposes of its FET obligation under Article 10(1) ECT. Instead, [. . .] specific commitments only make a difference to the assessment of the investor's knowledge and of the reasonableness and legitimacy of its expectations.⁷¹

The FET standard is thus intrinsically linked to the right to regulate. The question is not whether the state has the right to regulate, but rather whether such right has been exercised in accordance with the FET standard. In other words, states must not exceed the exercise of their *normal regulatory power* in the pursuance of a public interest.⁷² Such an assessment is made on a case-by-case basis, considering all relevant criteria, including the effects of the regulation. As observed by a tribunal, 'the obligation to accord FET means that regulatory regimes cannot be radically altered as applied to existing investments in ways that deprive investors who invested in reliance on those

66 *AES Summit Generation Limited and AES-Tisza Eromii Kft v Hungary*, ICSID Case No ARB/07/22, Award, 23 September 2010, paras 10.3.7–10.3.9.

67 *Cairn Energy PLC and Cairn UK Holdings Limited (CUHL) v India*, PCA Case No 2016–7, Award, 21 December 2020, para 1788. See also the decision referred to in footnote 2249 of the award.

68 *ibid.* See Michele Potestà, 'Legitimate Expectations in Investment Treaty Law: Understanding the Roots and the Limits of a Controversial Concept' (2013) 28 ICSID Review 88.

69 *Philip Morris v Uruguay*, note 6, para 426. The jurisprudence is however unsettled as admitted in *Masdar Solar & Wind Cooperatief U.A. v Spain*, ICSID Case No ARB/14/1, 16 May 2018, paras 489/510.

70 *Philip Morris v Uruguay*, note 6, para 422 (footnote omitted). For another example, see *Spółdzielnia Pracy Muszynianka v Slovak Republic*, UNCITRAL, PCA Case No 2017–08, Award, 7 October 2020, para 466.

71 *Sun Reserve v Italy*, note 67, para 703 (referring with approval to *Electrabel S.A. v Hungary*, note 63, para 7.78); *Antaris GmbH and Dr. Michael Göde v Czech Republic*, PCA No 2014–01, Award, 2 May 2018, para 360.

72 *Philippe Morris v Uruguay*, note 6, para 423.

regimes of their investment's value.⁷³ Other tribunals set a particularly high threshold for qualifying state conduct as a breach of FET, requiring a 'radical or fundamental' change⁷⁴ or 'the subversion of the legal regime.'⁷⁵

The FET standard does not provide absolute protection to foreign investors as states are obliged to provide *fundamental stability* in the *essential characteristics* of the legal regime relied upon by investors in making long-term investments.⁷⁶ Once again, the central question remains of how to strike a balance between the sovereign rights of states and the creation of a climate favourable to the flow of investments based on market principles.⁷⁷

Especially in highly regulated sectors such as renewable energy, furthermore, due diligence is part and parcel of the equation.⁷⁸ According to a tribunal,

the investor's legitimate expectations are measured with reference to the knowledge that a hypothetical prudent investor is deemed to have had as of the date of the investment. The extent of inquiry that is incumbent on a prudent investor depends on the particular circumstances of the case.⁷⁹

Yet, while assessing the exercise of regulatory powers to adjudicate claims based on the FET standard, tribunals have conceded that judgments concerning public interest are entrusted to states⁸⁰ and recognized that the latter enjoy a margin of appreciation in the field of economic regulation.⁸¹ The importation of the margin of appreciation theory into foreign investment law has attracted criticism. It recalls the deference referred to by tribunals in the context of indirect expropriation.⁸² Whether applying the principle of reasonableness, the margin of appreciation theory, the radical

73 *Eiser Infrastructure Limited and Energía Solar Luxembourg S.à.r.l. v Spain*, ICSID ARB/13/36, Final Award, 4 May 2017, para 382.

74 *ibid*, para 692; *Encavis and others v Italy*, ICSID ARB/20/39, Award, 11 March 2024, para 659.

75 *Hydro Energy 1 S.à.r.l. and Hydroxana Sweden AB v Spain*, Jurisdiction, Liability and Directions on Quantum, 9 March 2020, para 553 (referring to *Blusun v Italy*). See Ortino, note 54, 101–11.

76 *Eiser v Spain*, *supra* note 73, para 382; *EDF (Services) Limited v Romania*, ICSID ARB/05/13, Award, 9 October 2009, para 217 (holding that '[t]he idea that legitimate expectations, and therefore FET, imply the stability of the legal and business framework, may not be correct if stated in an overly-broad and unqualified formulation. The FET might then mean the virtual freezing of the legal regulation of economic activities, in contrast with the State's normal regulatory power and the evolutionary character of economic life').

77 *AES Solar and others (PV Investors) v Spain*, PCA No 2012–14, Final Award, 28 February 2020, para 565.

78 See Filip Balcerzak, *Renewable Energy Arbitration—Quo Vadis? Implications of the Spanish Saga for International Investment Law* (Brill 2023).

79 *SolEs Badajoz v Spain*, ICSID ARB/15/38, Award, 31 July 2019, para 331. On the notion of prudent or diligent investor, see, in particular, *Charanne v Spain*, SCC V 062/2012, Award, 21 January 2016 [unofficial translation], paras 503, 505, 514; *Isolux Netherlands, BV v Spain*, SCC V 2013/153, Award, 17 July 2016, para 781; *Belenergia S.A. v Italy*, ICSID ARB/15/40, Award, 28 August 2019, para 587; *Mathias Kruck and others v Spain*, ICSID ARB/15/23, Decision on Jurisdiction, Liability and Principles of Damages, 14 September 2022, para 191. In literature, see Peter Muchlinski, 'Caveat Investor? The Relevance of the Conduct of the Investor under the Fair and Equitable Standard' (2006) 55 *ICLQ* 530; Yulia Levashova, 'FET and Investor's Due Diligence under International Investment Law' (2020) 67 *NILR* 233.

80 *Blusun S.A., Jean-Pierre Lecorcier and Michael Stein v Italy*, ICSID ARB/14/3, Final Award, 17 December 2016, para 318.

81 *PV Investors v Spain*, PCA No 2012–14, Final Award, 28 February 2020, paras 580–83.

82 See Concurring and dissenting opinion Gary Born, in *Philip Morris v Uruguay*, note 6, esp. paras 82 ff, and dissenting opinion Gary Born in *Antaris GmbH v Czech Republic*, note 71, esp. para 42 ff. In literature, see in particular, Julian Arato, 'The Margin of Appreciation in International Investment Law' (2013–14) 54 *Vanderbilt Journal of*

alteration test and wherever the related thresholds are set, the assessment of the host state conduct imposes a meticulous and balanced case-by-case examination.

What is important, finally, is to keep distinct the questions of the exercise of regulatory powers and its implications for the purpose of the FET standard, on the one hand, and expropriation, on the other. It is argued that the recent *Eco Oro* decision has at once misinterpreted the relevant treaty and apparently jettisoned the distinction between non-compensable regulatory powers from the standpoint of the minimum standard of treatment and compensable expropriation.⁸³ The FTA between Canada and Colombia provides the confinement of indirect expropriation to *rare circumstances* (Annex 811) and contains a general exception clause modelled after Art. XX GATT (Article 2201). The tribunal found a breach of the minimum standard of treatment (Article 805),⁸⁴ but not of indirect expropriation (Article 811).⁸⁵ In Section F of the decision, however, the tribunal considered the general exception clause from the standpoint of both substantive standards and eventually conflated them. It deduced from the silence of Article 2201 of the Canada–Colombia FTA, read in conjunction with *inter alia* Annex 811, the duty to compensate even if the concerned measures were not considered as indirect expropriation.⁸⁶ The finding, which dismissed the contrary position of both Colombia and Canada (the latter as non-disputing party), is unconvincing.

Obviously, regulatory powers are ‘not absolute or unbound.’⁸⁷ Indeed, the ordinary meaning of the expression ‘rare circumstances’ used in Annex 811 cannot but confirm that there are circumstances—although *rare*—in which the measures adopted by the state may amount to indirect expropriation and therefore trigger the duty to compensate. The very objective of Annex 811 is precisely to squeeze those circumstances, or, in other words, to set an extremely high threshold for indirect expropriation claims. If the threshold has not been trespassed, no compensation is due. Article 2201(3) simply further protects the regulatory space of the state and is logically silent on the issue of compensation. Requesting the express exclusion of compensation in the absence of indirect expropriation—as the tribunal did by resorting to an unpersuasive *a contrario* argument⁸⁸—flies in the face of the meaning of Annex 811 and Article 2201(3).

V. Right to Regulate and Stabilization Clauses

Closely related to the FET standard are stabilization clauses,⁸⁹ also known as freezing clauses being designed to make new laws inapplicable to the concerned investment.⁹⁰ Such clauses ‘stabilize or freeze the essential provisions of the agreement by strictly prohibiting any legislative or

International Law 545; Gary Born, Danielle Morris and Stephanie Forrest, ‘A Margin of Appreciation: Appreciating Its Irrelevance in International Law’ (2020) 61 Harvard International Law Journal 65.

83 *Eco Oro Minerals Corp. v Colombia*, ICSID ARB/16/41, Decision on Jurisdiction, Liability and Direction on Quantum, 9 September 2021.

84 *ibid* para 699.

85 *ibid* para 821.

86 *ibid* paras 829–30.

87 *Eco Oro v Colombia*, note 83, Partial Dissenting Opinion by Horacio A Grigera Naón, para 28.

88 *Eco Oro v Colombia*, note 83, para 829.

89 See Katja Gehne and Romulo Brillo, ‘Stabilization Clauses in International Investment Law: Beyond Balancing and FET,’ Transnational Economic Law Research Center (TELC), No 143, March 2017 <https://icsid.worldbank.org/sites/default/files/parties_publications/C6106/2021.01.08%20Parties%27%20Post%20Hearing%20Briefs/Claimants%27%20Post%20Hearing%20Submission/Legal%20Authorities/CL-0281.pdf>.

90 *Total S.A. v Argentina*, ICSID ARB/04/01, Liability, 27 December 2010, para 101 (explaining that stabilization clauses have ‘the intended effect of freezing a specific host State’s legal framework at a certain date, such that the adoption of any changes in the legal regulatory framework of the investment concerned [...] would be illegal’).

administrative act which derogates from or is otherwise inconsistent with the provisions of the agreement or the legal environment of the transaction.⁹¹ In other words, through stabilization clauses, states renounce to exercise their regulatory powers. As a tribunal explained,

[b]y reason of its very sovereignty within its territorial domain, the State possesses the legal power to grant rights which it forbids itself to withdraw before the end of the concession . . . Nothing can prevent a State, in the exercise of its sovereignty, from binding itself irrevocably by the provisions of a concession and from granting to the concessionaire irrevocable rights.⁹²

Such restraining effect must be explicitly provided for in a specific clause. It cannot result from a generous understanding of the concept of legitimate expectations. One thing is ensuring that the legal framework existing when the investment was made cannot be altered unreasonably, disproportionately, or contrary to the public interest; another is freezing it for a certain period of time or even throughout the entire life of the investment.⁹³ Also, stabilization clauses must be distinguished from economic equilibrium clauses, which are less demanding on states as they provide that new laws will apply to foreign investments, but compensation is due for the cost of complying with them.

Stabilization clauses are normally found in investment contracts, especially in contracts concluded in the extractive industries in sub-Saharan Africa, Eastern and Southern Europe, and Central Asia.⁹⁴ Significantly, in 2016, the Israeli Supreme Court struck down a natural gas plan due to a freezing clause exempting foreign investors from regulatory changes in taxation, antitrust limitations and export quotas for ten years. The Court's president explained that the stabilization clause 'was made in contrast to the general principle of administrative law regarding the prohibition of shackling the authority's ability to govern. The government does not have the power to decide not to decide and not to act.'⁹⁵ The judgment also emphasized that the clause was unacceptable as intended to tie not only the hands of the current and future executive, but also of the legislative.

91 Samuel K B Asante, 'Stability of Contractual Relations in the Transnational Investment Process' (1979) 28 ICLQ 401.

92 *ARAMCO v Saudi Arabia*, Award, 23 Aug 1958 (1963) 27 ILR 117, p 168.

93 *Charanne v Spain*, note 79, paras 503, 505, 514; *Encavis and others v Italy*, note 74, para 652 (finding that '[t]he ECT's stable conditions requirement therefore does not operate as a stabilization clause requiring States to freeze their regulatory framework or economic benefits for foreign investors').

94 See, for instance, Athina Fouchard Papaefstratiou, 'Stabilisation Clauses in Long-Term Investment Contracts Their Evolution and Their Application by Investment Tribunals' in Elena Cima and Makane Moïse Mbengue (eds), *A Multifaceted Approach to Trade Liberalisation and Investment Protection in the Energy Sector* (Brill 2021) 43; Antony Crockett, 'Stabilisation Clauses and Sustainable Development: Drafting for the Future' in Chester Brown and Kate Miles (eds), *Evolution in Investment Treaty Law and Arbitration* (CUP 2011) 516; Audley Sheppard and Antony Crockett, 'Are Stabilization Clauses a Threat to Sustainable Development?' in M-C Cordonier Segger and others (eds), *Sustainable Development in World Investment Law* (Kluwer 2010) 333.

95 See A Reich, Israel's Foreign Investment Protection Regime in View of Developments in its Energy Sector, European University Institute Working Paper LAW 2017/02 <http://cadmus.eui.eu/bitstream/handle/1814/45005/LAW_2017_02.pdf?sequence=1>; Rachel Frid de Vries, 'Stability Shaken? Israeli High Court of Justice Strikes Down the Stabilization Clause in the Israeli Government's Gas Plan' (2017) 18 Journal of World Investment & Trade 332; Sharon Yadin, 'Israel's Law and Regulation after the Gas Discoveries' in Eyal Tevet and others (eds), *Regulation in Israel* (Palgrave Macmillan 2021) 218.

Stabilization clauses can be found with increasing frequency in domestic legislation.⁹⁶ For instance, Article 13 (Assurance of business investment upon changes of laws) of the Vietnamese Law on Investment, for instance, provides that

- 2) Where a new law that provides less favorable investment incentives than those currently enjoyed by investor is promulgated, investors shall keep enjoying the current incentives for the remaining period of the incentive enjoyment of the project.
- 3) The regulations in Clause 2 of this Article do not apply if regulations of law are changed for reasons of national defense and security, social order and security, social ethics, public health, or environmental protection.⁹⁷

Stabilization clauses can also be found occasionally in investment treaties. Article 12(3) of the 1998 Italy–Mozambique BIT, for instance, reads:

Whenever, after the date when the investment has been made, a modification should take place in laws, regulations, acts or measures of economic policies governing directly or indirectly the investment, the same treatment shall apply upon request of the investor that was applicable to it at the moment when the investment was agreed upon to be carried out.⁹⁸

The clause neutralizes the exercise of subsequent regulatory powers to the extent that such exercise is directly or indirectly detrimental to covered investors. From another standpoint, it provides *all* investors of the other contracting party an exemption from unfavourable laws, regulations, acts, or measures of economic policies subsequently adopted by the host state.

Stabilization clauses have been often criticized for unduly undermining the capacity of states to meet their responsibility with regard to the protection of collective interests—especially with regard to the protection of the environment and public health—and to pursue effective tax and economic policies.⁹⁹ Their impact is particularly evident in the natural resources sector and amplified by the often long duration of agreements concerning exploitation of those resources and the distribution of the profits they generate. Yet, already in 1982, a tribunal admitted that stabilization clauses no longer possessed their ‘former absolute character.’¹⁰⁰ It also emphasized that ‘[a] limitation

96 Jarrod Wong and Abdallah Abuefutih Ali, ‘The Legislative Stabilization Clause’ (2023) 55 *New York University Journal of Law & Policy* 67.

97 LawNo67/2014/QH13 <<https://investmentpolicy.unctad.org/investment-laws/laws/152/viet-nam-law-on-investment>>.

98 Identical or similar clauses are contained in Italy’s BITs with Angola, Armenia, Azerbaijan, Bosnia, Cameroon, Kazakhstan, Macedonia, Moldova, Tanzania, Uganda, and Uzbekistan. See also Article 13 (Observance of Written Commitments) of the 2003 Italian Model BIT. The provision does not feature in the 2022 Model BIT.

99 See Andrea Shemberg, ‘Stabilization Clauses and Human Rights,’ 27 May 2009 <<http://www.ifc.org/wps/wcm/connect/9feb5b00488555eab8c4fa6a6515bb18/Stabilization%2BPaper.pdf?MOD=AJPERES>>; Sheppard and Crockett, above note 94; Human Rights Council, ‘Principles for Responsible Contracts,’ 25 May 2011, A/HRC/17/31/Add.3. See also Piero Bernardini, ‘Stabilization and Adaptation in Oil and Gas Investments’ (2008) 1 *Journal of World Energy Law & Business* 98; Lorenzo Cotula, ‘Reconciling Regulatory Stability and Evolution of Environmental Standards in Investment Contracts: Towards a Rethink of Stabilization Clauses’ (2008) 1 *Journal of World Energy Law & Business* 98; Moshe Hirsch, ‘Between Fair and Equitable Treatment and Stabilization Clause: Stable Legal Environment and Regulatory Change in International Investment Law’ (2011) 12 *Journal of World Energy Law & Business* 806; Jola Gjuzi, *Stabilization Clauses in International Investment Law: A Sustainable Development Approach* (Springer 2018).

100 *Award in the Matter of an Arbitration between Kuwait and the American Independent Oil Company (AMINOIL)*, 21 *ILM* (1982) 976, para 101.

on the sovereign rights of the State is all the less to be presumed where the concessionaire is in any event in possession of important guarantees regarding its essential interests in the shape of a legal right to eventual compensation.¹⁰¹

The question remains whether and eventually how states could legally justify a conduct otherwise contrary to stabilization clauses they have accepted or, even before, how they could limit the impact of those clauses, or offer investors a valid alternative protection. A first option would be resorting to the *rebus sic stantibus* doctrine, which is well known in public international law and commercial arbitration—although decisions are not entirely consistent, and the practice remains rather scarce.¹⁰²

The conditions for invoking the doctrine are strict as the state must demonstrate that

- (i) an extraordinary and unforeseeable or unforeseen event caused an imbalance in the obligations of the parties;
- (ii) this imbalance must be such that performance of the contract would be too burdensome for one of the parties; and
- (iii) the event causing the imbalance should not be a consequence of actions or omissions of the party invoking the principle.¹⁰³

Alternatively, an element of flexibility could be introduced through the evolutionary interpretation of the relevant agreement.¹⁰⁴ Perhaps most effectively, states could limit the scope of application of stabilization clauses by expressly preserving their regulatory powers, by using positive lists of areas where the clause is meant to be applied (i.e. tax, customs or foreign exchange regulation), or negative lists, thus excluding from the reach of the clause certain areas (as in the case of the 2014 Vietnamese Law on Investment).

Finally, states may prefer economic equilibrium clauses, normally inserted in investment contracts, which ensure more flexibility without compromising legal certainty. While stabilization clauses may be in the decline in the petroleum industry, especially because of the difficulties to implement them, investor may prefer economic equilibrium clauses provided the obligation to pay monetary compensation is clearly defined in terms of damages, restitution, reimbursement, and indemnification.¹⁰⁵ From this perspective, mandatory modification clause might be preferred to renegotiation clause.¹⁰⁶

VI. Right to Regulate in Recent Treaty Practice

Investment treaties have traditionally been silent on the regulatory powers of states. This has caused concern amongst, and attracted criticism from, states, governmental and non-governmental

¹⁰¹ *ibid* para 95.

¹⁰² See Robert Kolb, 'The Construction of the *Rebus Sic Stantibus* Clause in International Law Exception, Rule, or Remote Spectator?' in Lorand Bartels and Federica Paddeu (eds), *Exceptions in International Law* (OUP 2020) 274; Julian Kulaga, 'A Renaissance of the Doctrine of *Rebus Sic Stantibus*' (2020) 69 ICLQ 477.

¹⁰³ *Burlington Resources Inc. v Ecuador*, ICSID ARB/08/5, Liability, 14 December 2012, para 358.

¹⁰⁴ See Cotula, note 99, 175–78.

¹⁰⁵ Peter D Cameron, *Stabilisation in Investment Contracts and Changes of Rules in Host Countries: Tools for Oil & Gas Investors*, Final Report, 5 July 2006 <<https://www.international-arbitration-attorney.com/wp-content/uploads/arbitrationlaw4-Stabilisation-Paper.pdf>>.

¹⁰⁶ On the distinction, see *Burlington v Ecuador*, note 103, esp. section 2.3.2.

organizations, and civil society.¹⁰⁷ The call for an adequate treaty protection of states' regulatory space has grown increasingly louder and has been reflected in recent treaty practice.

One of the first provisions of this kind requires states not to relax their rules and regulations to attract foreign investments. This is the case, for instance, of Article 15 of the Canada–Serbia BIT, according to which

[t]he Parties recognize that it is inappropriate to encourage investment by relaxing domestic health, safety or environmental measures. Accordingly, a Party should not waive or otherwise derogate from, or offer to waive or otherwise derogate from, those measures to encourage the establishment, acquisition, expansion or retention in its territory of an investment of an investor.¹⁰⁸

The obligation is further strengthened by the state commitment 'to strive to minimize in an economically efficient manner harmful environmental impacts caused by investment as well as to take precautionary measures to prevent or minimize environmental harm and recognizes the so-called polluter pays principle.' This is notably the case of Article 19 of the Energy Charter Treaty (ECT),¹⁰⁹ which has been reproduced in Article 19.1 of the Economic Community of West African States (ECOWAS) Energy Protocol.¹¹⁰ A more stringent standard combines the parties' right to set their own level of domestic environmental protection and environmental development policies with their commitment to ensure high levels of environmental protection to continue improving this legislation.¹¹¹

A potentially quite effective manner to minimize the negative impact of foreign investments on the host state's environment is the performance of Sustainability Impact Assessment (SIA). The exercise is intended 'to assess how the investment provisions under negotiation could affect economic, social, human right and environmental issues . . . and to make recommendations to maximise the benefits of the agreement and prevent or minimise potential negative impacts.'¹¹² The SIA may then be complemented by the Environment Impact Assessment (EIA) to be performed by foreign investors to ensure that specific investment projects are environmentally sound. EIAs are 'basic for the adequate protection of the environment and the application of appropriate preventive measures. This is [. . .] increasingly [true] under international law.'¹¹³

107 According to UNECA, *Investment Policies and Bilateral Investment Treaties in Africa: Implications for Regional Integration* (Addis Abeba 2015) 9, foreign investment is heavily protected, with little or no responsibilities and obligations to the host economy and the people, particularly in terms of protecting land, social, cultural, and environmental rights <<http://repository.uneca.org/handle/10855/23035>>.

108 Canada–Serbia BIT, concluded on 1 September 2014, in force on 27 April 2015. See also the preamble of the BIT between United States and Nicaragua, concluded on 1 July 1995, not in force yet, in which the Parties recognized that the treaty's objective could be achieved 'without relaxing health, safety and environmental measures of general application.'

109 Concluded on 17 December 1994 and entered into force on 16 April 1998 <<https://www.energychartertreaty.org>>.

110 Concluded on 31 January 2003. Article 40 provides for the provisional application of the treaty pending its entry into force.

111 See, for instance, Article VII (1) of the 2009 BIT between Belgium-Luxembourg Economic Union and Colombia.

112 European Commission, *Sustainability Impact Assessment (SIA) in Support of an Investment Agreement between the European Union and the People's Republic of China, Interim Report* (June 2017) <http://trade.ec.europa.eu/doclib/docs/2017/june/tradoc_155638.pdf>.

113 *Emilio Agustín Maffezini v Spain*, ICSID Case No ARB/97/7, Award, 13 November 2000, para 67.

Several municipal laws require (foreign) investors to protect and preserve the environment. For instance, Article 54 of the Foreign Investment Act of Cuba provides:

Foreign investment shall be encouraged, authorized and will operate in the context of the country's sustainable development, which means that, throughout all its stages, special attention will be given to the introduction of technology, the protection of the environment and the rational use of natural resources.¹¹⁴

Other treaty provisions deal more directly with the exercise of regulatory powers. Some of them declare that the treaty does not affect the right of the host state to adopt, maintain, or enforce any measures that it considers appropriate to ensure that any investment activities in its territory are undertaken in accordance with environmental law.¹¹⁵ Other are drafted in the form of exceptions, possibly using Article XX of the General Agreement on Tariffs and Trade (GATT) as a model. Depending on the drafting of the relevant clause, the host state can adopt the measures that are *necessary*¹¹⁶ or *it considers to be necessary*¹¹⁷ for the conservation of living or non-living exhaustible natural resources, provided that they are not applied in a manner that would constitute arbitrary or unjustifiable discrimination between investments or between investors, or a disguised restriction on international trade or investment. The self-judging or not self-judging character of these provisions dictate the type of review arbitral tribunals may pass over regulatory measures adopted by the host state.

Alternatively, states may agree that non-discriminatory regulatory actions by a party that are designed and applied to protect legitimate public welfare objectives, such as public health, safety, and the environment only in rare (i.e. exceptional) circumstances constitutes indirect expropriations.¹¹⁸ The clause operates as a strong indication for arbitral tribunals to show the highest level of deference to the measures adopted by the host state.

Finally, the 2023 Investment Protocol to the African Continental Free Trade Area (AfCFTA)¹¹⁹ contains what can be considered the most advanced protection of state regulatory powers during pandemics to date. Following the Declaration on the Risk of Investor-State Dispute Settlement

114 For another examples, see Article 6 of the Indonesia—Law Concerning Investment (2007); Section 17 of the Myanmar—Foreign Investment Law (2012); Article 7 of the Mongolia—Law On Investment (2013); Article 56 of the Gambia—Investment and Export Promotion Agency Act (2010).

115 See, for instance, Article VII (4) of the BIT between the Belgium-Luxemburg Economic Union and Colombia.

116 Under Article 10 (1) of the Canada Model BIT, for instance, ‘nothing in this Agreement shall be construed to prevent a Party from adopting or enforcing measures *necessary* (a) to protect human, animal or plant life or health;(b) to ensure compliance with laws and regulations that are not inconsistent with the provisions of this Agreement; or (c) for the conservation of living or non-living exhaustible natural resources’ (emphasis added).

117 According to Article 16.1 of the Indian Model BIT, for instance, ‘nothing in this Treaty precludes the Host State from taking actions or measures of general applicability which *it considers necessary* with respect *inter alia* to protecting and conserving the environment including all living and non-living natural resources’ (emphasis added). See also Article VIII, Colombian Model BIT.

118 See, for instance, United States Model BIT (2012), or Agreement between United States Mexico, and Canada USMCA (2018).

119 The Agreement that Established the African Continental Free Trade Area (AfCFTA) was adopted on 21 March 2018 and entered into force in May 2019. Its Investment Protocol was adopted on 19 February 2023. Draft January 2023 <https://www.bilaterals.org/IMG/pdf/en_-_draft_protocol_of_the_afcfta_on_investment.pdf>.

with Respect to COVID-19 Pandemic Related Measures, adopted by the African Union on 24 November 2020,¹²⁰ Article 27 of the Protocol reads:

1. Each State Party has the right to determine its public health policies and priorities, to establish its own levels of domestic public health protection, and to adopt or modify its relevant laws and measures in the context of epidemics, pandemics and other public health emergencies *in accordance with its international commitments*.
2. Each State Party shall, in accordance with national laws and regulations, promote and facilitate investments in the public health sector and the subsectors and related industries, including medical equipment, pharmaceuticals especially for chronic diseases, vaccines and Intensive Care Units requirements.
3. State Parties shall cooperate to identify relevant investment policies and measures to address epidemics, pandemics and other public health emergencies in accordance with the decisions and declarations of the African Union.

Article 27 of the Protocol reaffirms the state's right—and often also the duty under domestic law, international law, or both—to regulate as an expression of sovereignty¹²¹ and recognizes that the exercise of regulatory powers must conform relevant international commitments. Although Article 27 of the Protocol is not ground-breaking, its centrality is evident with regard to the whole treaty and in particular the provisions on contingent standards and expropriation. According to Articles 13 and 15 of the Protocol, measures *designed and applied* to protect *inter alia* public health cannot amount to a violation, respectively, of the national treatment standard and the most-favoured nation standard. The two provisions are self-judging insofar as all measures *designed and applied*—as opposed to *necessary*—to protect public health fall within their scope. Crucially, Article 20 of the Protocol expressly prevents the qualification as indirect expropriation of non-discriminatory regulatory actions *designed* to protect *inter alia* public health. Once more, deference to the state is almost complete. When combined, these clauses provide states with an effective legal shield against claims concerning regulatory measures. As long as their measures are neither discriminatory nor arbitrary, states can confidently fulfil their obligations under the Protocol and their responsibilities under domestic and general international law.

VII. Conclusions

The issue of regulatory powers remains central in foreign investment law. The legal relationship between the host state and foreign investors, which lies at the heart of the discipline, revolves around the need to ensure the latter adequate and effective legal protection without prejudging the capacity of the former to meet its responsibility in pursuing public interest objectives. The question has been scrutinized focusing on indirect expropriation, FET, and stabilization clauses. The conduct of the host state must be assessed on a case-by-case basis and with great caution.

120 See Makane M Mbengue, 'Narratives of Solidarity in Times of Crisis Tales from Africa' in Makane M Mbengue and Jean d'Aspremont (eds), *Crisis Narratives in International Law* (Brill 2022) 62, 65–68.

121 The Preamble of the AfCFTA Protocol refers to the inherent right of state parties to regulate in their territories and to introduce measures in order to achieve their national public policy objectives, promote sustainable development objectives, and protect legitimate public welfare objectives, including public health.

Although arbitral tribunals have adopted different approaches and their awards have not been consistent, a certain degree of consent on some key issues seems to have been reached. Increasingly sophisticated legal instruments and treaties may contribute to establish a stable and predictable legal framework but cannot be expected to eliminate the legal uncertainty that still distinguishes the topic.

THE INTERNATIONAL FINANCIAL ARCHITECTURE AND SOVEREIGN DEBT CRISIS RESOLUTION

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I. Introduction

This chapter reviews the international financial architecture and its role in sovereign debt crisis resolution. All debts are creatures of contract and sovereign debt is no different in this regard: Sovereign debtors enter into loan agreements with banks, sell securities to investors in capital markets, and conclude debt contracts with other governments or multilateral organizations. What makes these debts special is that the legal value of their promise to repay the borrowed amounts is often compromised by the doctrine of sovereign immunity and the lack of a central court for adjudicating contract-related disputes. A rule of customary international law, sovereign immunity entails that a sovereign state cannot be sued before the courts of another state without its consent. Resolution of disputes emerging in the sovereign debt context is thus largely an ad hoc exercise with shifting contours shaped by politics, international law, and the domestic norms of key financial jurisdictions, notably New York and England.

These features have proven to be malleable over the past centuries. Simply taking stock of their status quo at any given point in time risks conveying a quickly outdated picture. Instead, this chapter will highlight the flexibility and moving aspects of this ‘architecture’ and thereby argue that when it comes to sovereign debt crisis resolution, the oft-quoted international financial architecture could be better described as furniture or dynamic ecosystem. Its building blocks can be moved and rearranged to suit the mood of the times. More importantly, the ways in which sovereign debt crises are solved have changed (from gunboat diplomacy and sovereign income stream encumbrances to IMF intermediation, court adjudications, and collective action clauses), but the outcomes have remained remarkably similar. As of this writing, the New York state legislature, which has jurisdiction over more than 50% of outstanding international sovereign bonds,¹ has been working on legislative options to improve restructuring processes over the past

¹ IMF, ‘The International Architecture for Resolving Sovereign Debt Involving Private-Sector Creditors—Recent Developments, Challenges, and Reform Options’ (2020) IMF Policy Paper 22 (noting that ‘[a]s a share of the nominal principal amount, about 45 percent of the total stock outstanding of international sovereign bonds are governed by English law and about 52 percent by New York law’).

four years.² Whether these shifts actually take place is yet to be seen, but initiatives such as the one put forward in New York are not new.

For example, in 2001, driven by concerns over holdout creditors and the lack of an efficient process to coordinate dispersed private holders of sovereign bonds, Anne O. Krueger, then the deputy managing director of the International Monetary Fund (IMF), published what is to date the most ambitious proposal to create a sovereign debt resolution architecture.³ It sought to create a bankruptcy-analogue regime with the IMF at its centre. Yet political economy constraints and concepts of sovereignty have stood, and continue to stand, in the way of the statutory approach to sovereign debt restructuring.⁴ Instead, the IMF membership has since promoted the contractual approach, which relies on negotiations between creditors and the use of contractual coordination mechanisms.⁵

Many experts pinpoint disincentivizing private creditors' holdout behaviour as the key rationale for their support of a revamp in sovereign debt resolution mechanisms.⁶ Restructurings are often delayed until they are inevitable and once a process starts, they take too long.⁷ This is the root problem: sovereign debt resolution tends to be a protracted affair, involving a variety of different cooks that could spoil the broth.⁸

Moreover, recent research finds that the costs of default are regressive (i.e. the poorest suffer the most upon a default).⁹ Poverty rates increase shortly after default, over the following decade life expectancy declines, infant mortality increases by 1.5%, and, of course, GDP plunges and does not recover.¹⁰ More importantly, these costs are time variant; with slower resolutions leading to increasing costs.¹¹ While there may be interim restructurings, the decisive restructuring which cures the default and keeps the country from re-defaulting for at least 24 months takes on average 7.9 years to arrive.¹²

Importantly, the landscape of sovereign financing markets has changed significantly over the past decade or so. Bilateral creditors are now the most important financial counterparties to many

2 For an overview of the different bills related to sovereign debt restructuring that have been under legislative consideration in the past few years, see Clifford Chance, 'Sovereign Debt Restructuring: Active New York Assembly Bill Providing for a New Comprehensive Sovereign Debt Restructuring Mechanism and a Limit on Recoveries on Sovereign Debt' (11 March 2024) <<https://www.cliffordchance.com/briefings/2024/03/sovereign-debt-restructuring-active-new-york-assembly-bill-prov.html>> accessed 18 September 2024.

3 Anne Krueger, *A New Approach to Sovereign Debt Restructuring* (IMF 2002) <<https://www.imf.org/external/pubs/ft/exrp/sdrm/eng/sdrm.pdf>> accessed 18 September 2024.

4 Brad Setser, '12 The Political Economy of the SDRM' in Barry Herman, José Antonio Ocampo and Shari Spiegel (eds), *Overcoming Developing Country Debt Crises* (OUP 2010).

5 IMF, 'Strengthening the Contractual Framework to Address Collective Action Problems in Sovereign Debt Restructuring' (2014) IMF Policy Paper <<https://www.imf.org/external/np/pp/eng/2014/090214.pdf>> accessed 3 September 2024.

6 See e.g. Lee Buchheit and Indermit Gill, 'A Better Way to Induce Creditor Cooperation in Sovereign-debt Workouts' (*World Bank Blog*, 16 May 2024) <<https://blogs.worldbank.org/en/voices/a-better-way-to-induce-creditor-cooperation-in-sovereign-debt-workouts>> accessed 18 September 2024.

7 Whether or not this would improve by replacing the contractual, negotiation-based approach with a top-down statutory regime remains controversial and a discussion of the trade-offs would go beyond the scope of this chapter.

8 Sebastian Grund, *Sovereign Debt Restructuring and the Law: The Holdout Creditor Problem in Argentina and Greece* (Routledge 2023).

9 Juan P. Farah Yacoub and others, 'The Social Costs of Sovereign Default' (2022) Policy Research Working Paper, World Bank, 5–12.

10 *ibid.*

11 Tamon Asonuma and Christoph Trebesch, 'Sovereign Debt Restructurings: Preemptive or Post-Default' (2016)

14 *Journal of the European Economic Association* 175–214; Christoph Trebesch and others, 'External Sovereign Debt Restructurings: Delay and Replay' (*VoxEU*, 21 May 2021) <<https://voxeu.org/article/external-sovereign-debt-restructurings-delay-and-replay>> accessed 30 August 2024.

12 Trebesch and others (n 11).

developing economies and their lending practices are not governed by the same legal framework as bonds or other commercial debt instruments.¹³ In fact, delays on the recently completed Zambian restructuring have been largely attributed to coordination challenges among official bilateral creditors rather than bondholders.¹⁴ While, in the aftermath of the COVID-19 pandemic, the Group of Twenty (G20), the premier forum for international economic cooperation, responded by forging a new initiative to bring the main bilateral creditors to one negotiating table, this ‘G20 Common Framework for Debt Treatments beyond the Debt Service Suspension Initiative’ (henceforth ‘Common Framework’) has yet to deliver on promises of expedited resolution.¹⁵

The chapter proceeds first by presenting an historical summary of sovereign debt and its resolution mechanisms. Then we turn to the current architecture, presenting the main players as well as the most salient legal characteristics shaping the international sovereign debt system. Lastly, we offer some forward-looking thoughts on what may be on the horizon.

II. A Short History of Sovereign Debt Arrangements

This section briefly explores the tectonic movements that have contributed to the international sovereign debt system’s current configuration. It thus illuminates the most salient historical developments of the field including the construction of a Western-led multilateral order, which, for sovereign debt restructurings entailed the creation of the Paris Club; the codification of restrictive sovereign immunities in the US and the UK, which enabled creditors to resort to the courts as opposed to lobbying their government to defend their interests; and the transition from syndicated bank lending to bonds that came with the resolution of the 1980s emerging markets debt crisis. To help the reader appreciate the major timelines and their interactions, it is useful to visualize them. Figure 26.1 presents a stylized set of overlapping timelines.



Figure 26.1 Stylized Timeline of the Eras of Commercial Sovereign Debt¹⁶

13 Chuku Chuku and others, ‘Are We Heading for Another Debt Crisis in Low-Income Countries? Debt Vulnerabilities: Today vs the Pre-HIPC Era’ (4 April 2023) IMF Working Paper No 2023/079 <<https://www.imf.org/en/Publications/WP/Issues/2023/04/04/Are-We-Heading-for-Another-Debt-Crisis-in-Low-Income-Countries-Debt-Vulnerabilities-Today-531792>> accessed 30 August 2024.

14 See Jorgelina Do Rosario, ‘Analysis: Cash-strapped Countries Face IMF Bailout Delays as Debt Talks Drag on’ *Reuters* (2 March 2023); Kejal Vyas and Jin Wu Song, ‘The Frantic Push to Solve Sovereign Debt Crises Irks Wall Street’ *Bloomberg* (29 May 2023) (citing Mark Weidemaier: ‘[t]he primary ripple to restructuring now is you have failure to reach agreement among official creditors . . . That’s the primary source of delay’).

15 Kristalina Georgieva and Ceyla Pazarbasioglu, ‘The G20 Common Framework for Debt Treatments Must Be Stepped Up’ (*IMF Blog*, 2 December 2021) <<https://www.imf.org/en/Blogs/Articles/2021/12/02/blog120221the-g20-common-framework-for-debt-treatments-must-be-stepped-up>> accessed 30 August 2024.

16 Authors’ own elaboration generally based on Carmen M Reinhart and Kenneth S Rogoff, *This Time is Different: Eight Centuries of Financial Folly* (Princeton UP 2010); G Mitu Gulati and Mark C Weidemaier,

In the absence of a formalized central workout mechanism, sovereign debt markets have always turned to informal arrangements.¹⁷ In the 19th century, this largely entailed the creation of ad hoc creditor groups and, later, the formation of guilds or trade associations. The most important one was the Corporation of Foreign Bondholders of London, established in 1868, incorporated in 1873, and operating until 1988.¹⁸ This ‘corporation’ was created by investors to gather information on the market and safeguard the interests of bondholders. Sovereign finance practices were different then. Collateralized loans were common, entailing the use of a valuable asset or an expected cashflow (e.g. from exports of a certain commodity) as collateral to secure a loan. If the borrower defaulted on the loan, the lender might seize and sell the asset to offset their loss. Similarly, sovereign interventions were commonplace. The governments of powerful countries even took military action to assert the rights of their creditor subjects. By the early 20th century, sovereign financing had turned into a realm reserved to other sovereigns due to increased geopolitical tensions.¹⁹ Between the 1910s and the end of WWII, bilateral lending was the rule in sovereign debt. It was largely driven by geopolitical, as opposed to commercial, motives.

Starting in the 1950s the first informal group of state creditors was developed to deal with sovereign debt, then the main source of financial pain for sovereigns.²⁰ The Paris Club gathered representatives from rich developed nations who had extended credit through their agencies over the preceding two decades.²¹ To this day, the Paris Club aims to find coordinated and sustainable solutions to the payment difficulties experienced by debtor countries.

The next shift was in the source of credit. Emerging countries began to borrow heavily in hard currency from large, internationally active banks in money centres, notably New York City and London, during the 1970s. As these private creditors took centre stage in sovereign lending under a new international order, they resorted to creating their own informal mechanism for sovereign debt workouts: the Bank Advisory Council—dubbed the London Club by the press.²²

At the same time, the necessity to codify sovereign immunity practices by statute became apparent.²³ Thus, in 1976 and 1978 respectively, the United States passed the Foreign Sovereign Immunities Act (FSIA) and the United Kingdom passed the State Immunities Act (SIA).²⁴ Both statutes codified a doctrine hitherto known as restrictive sovereign immunity, which has since been recognized as

‘Differing Perceptions? Market Practice and the Evolution of Foreign Sovereign Immunity,’ (2016) Duke Law School Public Law & Legal Theory Working Paper No 2016–21; Jeffrey Frankel, ‘The Rise of the Renminbi as International Currency: Historical Precedents’ (*VoxEU*, 10 October 2011) <<https://voxeu.org/article/rise-renminbi-international-currency-historical-precedents>> accessed 2 September 2024.

17 Lex Rieffel, *Restructuring Sovereign Debt: The Case for Ad Hoc Machinery* (Brookings Institution Press 2003) 19.

18 Paolo Mauro and Yishay Yafeh, ‘The Corporation of Foreign Bondholders’ (2003) IMF Working Paper No WP/03/107, 3 <<http://www.imf.org/external/pubs/ft/wp/2003/wp03107.pdf>> accessed 30 August 2024. See also *Annual Report of the Council of the Corporation of Foreign Bondholders* (1873) 1, retrieved via Stanford Libraries <<https://searchworks.stanford.edu/view/357970>> accessed 30 August 2024.

19 See Carmen M Reinhart and Kenneth S Rogoff, *This Time is Different: Eight Centuries of Financial Folly* (Princeton UP 2009).

20 Rieffel (n 17) 18–21.

21 Annamaria Viterbo, *Sovereign Debt Restructuring: The Role and Limits of Public International Law* (Giappichelli 2020) 90 et seq.

22 Raman Uppal and Cynthia Van Hulle, ‘Sovereign Debt and the London Club: A Precommitment Device for Limiting Punishment for Default’ (1997) 21(5) *Journal of Banking & Finance* 741–56.

23 See Gulati and Weidemaier (n 16) 11; Mary Kay Kane, ‘Suing Foreign Sovereigns: A Procedural Compass’ (1982) 34 *Stanford Law Review* 385, 385–86.

24 *ibid.*

customary international law.²⁵ In essence, a sovereign could from then on be subjected to the jurisdiction of their courts when acting as a private commercial actor would.²⁶

Then in the early 1980s another large shift took place and the ‘emerging markets debt crisis’ gave way to what is now known as the ‘lost decade.’ As interest rates increased in the United States under the direction of the Federal Reserve System (Fed) Chairman Paul Volcker to fight stubborn inflation, most developing sovereign borrowers came under extreme financial pressure.²⁷ The emerging markets debt crisis is often thought to have started with the Mexican default of 1982.²⁸ At its height, in 1986, roughly a third of all independent sovereigns, in total 56 states, were in default to private creditors.²⁹ As US banks were deeply exposed to foreign sovereigns, this became a systemic issue, which urgently demanded a resolution.³⁰

During the first stage of the crisis, in the early 1980s, private creditors rejected proposals for debt write-offs that would have undermined their own solvency given their large exposure to emerging markets; they ‘extended and pretended.’³¹ By 1986 the US Treasury, under the leadership of James Baker, proposed a plan that ultimately failed.³² In exchange for reforms liberalizing capital flows, import restrictions, and privatization of money-losing state enterprises the US Treasury would urge the World Bank, Inter-American Development Bank, and private banks to disburse US\$30 billion in net new financing over three years.³³ Creditor wariness, reform fatigue and political pressures meant the plan could not deliver anything either side wanted.³⁴ By 1987 both debtor-countries and market participants had abandoned the Baker plan and started to experiment with face value reductions and creative restructuring on their own.³⁵ Additionally, in 1987 the banks finally began provisioning for losses, clearing a path for accepting principal reductions.³⁶

The 1988 Mexican debt-exchange offered the blueprint for what would become the Brady plan in 1989, named after yet another US Treasury secretary.³⁷ Under this scheme, bank syndicates accepted (a) 20-year bonded debt, which they could sell into secondary markets, that (b) had lower face values than the original loans and (c) were backed by zero-coupon US treasuries.³⁸ Ultimately, these were the characteristics of the Brady plan: face value reductions, bonds instead of loans so as to be able to disperse risk, and the backing of the new principal amounts with zero-coupon treasury bonds in order to entice uptake.³⁹

25 Mark C Weidemaier, ‘Sovereign Immunity and Sovereign Debt’ (2014) 1 *University of Illinois Law Review* 67.

26 *ibid.*

27 See Jérôme Sgard, *The Debt Crisis of the 1980s* (Edward Elgar 2023).

28 *ibid* 80–89.

29 Rieffel (n 17) 156.

30 Sgard (n 27) 1–2.

31 Edwin M Truman, ‘Chapter 8 The Debt Crisis and Its Resolution’ in *Current Legal Issues Affecting Central Banks*, vol III (IMF 1995).

32 Christine A Bogdanowicz-Bindert, ‘The Debt Crisis: The Baker Plan Revisited’ (1986) 28(3) *Journal of Interamerican Studies and World Affairs* 33, 33–46.

33 Rieffel (n 17) 163.

34 Ross Buckley, ‘The Facilitation of the Brady Plan: Emerging Markets Debt Trading From 1989 to 1993’ (1997) 21 *Fordham International Law Journal* 1802.

35 Rieffel (n 17) 165.

36 *ibid.*

37 Neil Shenai and Marijn A Bolhuis, ‘How the Brady Plan Delivered on Debt Relief: Lessons and Implications’ (2023) IMF Working Papers No 258.

38 Buckley (n 34).

39 Shenai and Bolhuis (n 37).

These developments demonstrate the overall fluidity of the sovereign debt system. First, the Brady plan was largely an outgrowth of market innovation and was eventually achieved without resorting to generalized coercive tools.⁴⁰ Second, it is during the 1980s that two of the characteristics of the current system developed. Most of the rescheduling and restructuring deals were closely linked to, or indeed conditional on, IMF-supported macroeconomic adjustment programs.⁴¹ This period of stress put the Fund front and centre in the current sovereign debt restructuring regime fulfilling both the role of last resort lender and, through its debt-sustainability evaluations, the quasi-arbiter on the size of the debt relief required.

Remarkably, despite the vast political and legal developments, the outcomes of sovereign debt restructuring have remained stable on average. As Graf von Luckner and others show,⁴² the drastic changes in sovereign debt restructuring regimes over that period, the statistical distribution and drivers of creditor losses has no trend: The more things changed, the more they stayed the same.

III. The Current Landscape

As in the past, the present international debt system consists of a smattering of international law customs and norms, and the legal frameworks of select jurisdictions like the US and the UK, including pertinent subnational laws.⁴³ Most commercial (private creditor to country debtor) loans and bonds are issued in these two jurisdictions.⁴⁴ In most current cases, crisis resolution involves the provision of financing by the IMF, other multilateral lenders, or large bilateral creditors. Given the variety of creditor interests—especially bilateral and multilateral lenders—the restructuring process cannot be depoliticized. In addition, rules bind actors to different degrees, which may result in asymmetric burden-sharing outcomes. Private creditors are usually subject to domestic regulatory requirements and fiduciary duties, official bilateral creditors operate within the bounds of their political constraints, and international financial institutions are enjoined by their charters from writing off loans. Yet voluntary participation in restructurings dictates that, in principle, creditor losses imposed by a default are shared by all creditors.

The first characteristic of the current structure is the heterogeneity of debtor entities and creditors. Countries generally borrow at the central government level but may also incur liabilities through their state-owned enterprises. Additionally, countries borrow in different currencies (predominantly US dollars) and, importantly, under different governing laws. There are also many creditors with different aims; not all of whom are simply profit-maximizing investors. The creditor mix is not static even over relatively short periods. Capital is dynamic and adaptive, as are the borrowers seeking it. The sources and directions of capital flows can change, thus continuously altering the compendium of applicable practices, customs, and laws often referred to as the ‘International Financial Architecture.’

40 Manuel Monteagudo, ‘The Debt Problem: The Baker Plan and the Brady Initiative: A Latin American Perspective’ (1994) 28 *International Lawyer* 59.

41 Shenai and Bolhuis (n 37) 8.

42 Clemens Graf von Luckner and others, ‘Sovereign Haircuts: 200 Years of Creditor Losses’ (2024) *IMF Economic Review* 1–46.

43 For an overview, see Grund (n 8) 1–30. Note that while English and New York law govern the vast majority of international sovereign debt instruments, UK and US (federal) laws encompass some of the essential norms regulating the relationship between foreign states and domestic entities, such as sovereign immunity statutes.

44 IMF (n 1).

Debtor	Creditors					
	IMF	Multilateral Development Banks	Bilateral	Banks	Bonds	Suppliers
Sovereign	Direct negotiation, preferential treatment		Paris Club but important non-PC creds. insist on direct negotiation/priority.	London Club historically. Smaller player now, so more direct negotiation.	Ad-hoc creditor committee. Mostly joint negotiation under CACs.	Ad-hoc
State-Owned Enterprises	No lending	Direct negotiation, priority			Idiosyncratic, largely as if it were a regular corp.	

Figure 26.2 Creditor Restructuring Forums and Treatment⁴⁵

There are three main groups of creditors.⁴⁶ First, private creditors chiefly include bondholders and banks. These creditors are generally interested in maximizing portfolio returns and, in the case of bondholders, are mostly represented by large fiduciary investment managers, mostly ‘real money’ investors such as insurance companies and pension funds. The explosion in bonded debt is one the most notable development of the past two decades.

Second, bilateral creditors provide country-to-country loans, as well as export-import bank loans and development financing through agencies such as the US Development Finance Corporation. In general, these creditors can be seen as pursuing policy aims. This group has historically participated in restructurings as a bloc represented by the Paris Club. Herein lies the second notable development of the past two decades: the rise of large non-Paris Club bilateral creditors such as China, Saudi Arabia, and the United Arab Emirates. Chinese bilateral lending now constitutes the relative majority of international debt for more than 50 countries.⁴⁷ For this group—all low-income countries as classified by the World Bank—amounts owed to China far exceed those owed to bond holders.

Third, multilateral creditors include, most notably, the IMF, the World Bank and regional development banks, such as the European Bank for Reconstruction and Development, or the African Development Bank.

1. *Is There a Seniority Structure to Sovereign Debt Claims?*

In the absence of an international sovereign bankruptcy regime, the ranking of claims is a fluid concept in sovereign borrowing.⁴⁸ Under bankruptcy law, a creditor who has a senior claim ranks

45 Rieffel (n 17) 21; authors’ own elaboration and additions based on the information presented in this chapter.

46 Our focus lies on external sovereign creditors that provide financing in a foreign currency. For an analysis of the two different types of sovereign debt, see e.g. Anna Gelpern and Brad Setser, ‘Domestic and External Debt: The Doomed Quest for Equal Treatment’ in Barry Eichengreen and Ricardo Hausmann (eds), *Other People’s Money: Debt Denomination and Financial Instability in Emerging Market Economies* (University of Chicago Press 2005).

47 Author’s calculations based on World Bank, *International Debt Statistics* <<https://databank.worldbank.org/source/international-debt-statistics#>> accessed 21 April 2024.

48 Anna Gelpern, ‘Building a Better Seating Chart for Sovereign Restructurings’ (2004) 53 *Emory Law Journal* 1119–61 (explaining that while no *de jure* seniority structure exists, there are a set of conventions that help guide

highest in the order of repayment, and thus receives a payout before other creditors. In sovereign debt, there is no such *de jure* structure. Nonetheless, creditors often jockey for *de facto* seniority.

As a general matter, the IMF and World Bank, along with other multilateral and regional development banks, are treated as preferred to other creditors.⁴⁹ Yet, there are few robust empirical studies on the *de facto* seniority structure among sovereign creditors. One oft-cited paper by Schlegl, Trebesch, and Wright finds the following pecking order: multilateral creditors led by the IMF, private creditors, and lastly bilateral lenders.⁵⁰ However, as a matter of principle, private creditors have often been deemed junior to bilateral creditors in debt restructuring cases.⁵¹ In sum, while no *de jure* seniority structure exists in the international debt system, a fluid set of conventions has helped to guide the system *de facto*.

2. Sovereign Commercial Debt and Its Restructuring

This section focuses on the peculiarities of sovereign liabilities vis-a-vis commercial or private lenders, and the restructuring of such obligations. As mentioned before, no single coordinating framework similar to national insolvency law exists on the international plane. Commercial debts incurred by sovereigns are typically governed by contract but they are carved-out from domestic insolvency or bankruptcy laws.⁵² While some standardization of contract terms exists in the bond space, the sheer heterogeneity of contractual clauses across commercial debt instruments demonstrates the malleability, flexibility, and dynamism of the field. And so does the fact that certain clauses have evolved and proliferated in recent years. In other words, contracts can be written and rewritten.

There are two major jurisdictions for commercial sovereign debt issuance: New York and England. They display a few commonalities and some punctuated differences. Among the contractual tools to restructure sovereign debt, Collective Action Clauses, or CACs, reign supreme. These provisions, which are standard boilerplate in almost all newly issued sovereign bonds in New York or England,⁵³ enable restructuring negotiations by binding a minority of holdouts to a restructuring deal endorsed by a creditor (super-)majority. Importantly, however, no similar majority voting provisions exist in the loan context, which renders syndicated debt more prone to holdout risks than bonds. Moreover, even in the presence of CACs, some creditors may seek enforcement of

the market); Nouriel Roubini and Brad Setser, 'Seniority of Sovereign Debts' in George A Von Furstenberg (ed), *Bailouts or Bail-ins? Responding to Financial Crises in Emerging Economies* (Peterson Institute for International Economics 2003) 249–87.

49 Matthias Schlegl, Christoph Trebesch and Mark Wright, 'The Seniority Structure of Sovereign Debt' (2019) CESifo Working Paper No 7632 <https://EconPapers.repec.org/RePEc:ces:ceswps:_7632> accessed 2 September 2024.

50 Their test focused on identifying who bears the brunt of losses upon a restructuring: the group of creditors taking the largest haircut is deemed to be *de facto* junior, while the group of creditors taking the lion's share of repayment is regarded as *de facto* senior. *ibid*.

51 See e.g. European Central Bank, 'The IMF's Role in Sovereign Debt Restructurings' (September 2021) ECB Occasional Paper No 262, 30 <<https://www.ecb.europa.eu/pub/pdf/scpops/ecb.op262~f0e9e1e77e.en.pdf>> accessed 2 September 2024 (noting that '[b]ilateral claims are mostly treated via the Paris Club; they have a lower seniority than multilateral claims but should generally be senior to private claims'); also see Tito Cordella and Andrew Powell, 'Preferred and Non-Preferred Creditors' (2021) 132 *Journal of International Economics* 103491.

52 See Paul Lejot, 'Sovereign Debt' in *Oxford Bibliographies* (OUP 2017) <<https://www.oxfordbibliographies.com/display/document/obo-9780199796953/obo-9780199796953-0155.xml>> accessed 2 September 2024. For instance, Chapter 9 of the US Bankruptcy Code, which deals with municipal bankruptcies, explicitly excludes sovereign states from its provisions.

53 See IMF (n 1) (noting that approximately 91% of new international sovereign bond issuances have included the enhanced CACs between 2018 and 2020).

their claim against the sovereign in municipal courts or international arbitral tribunals, as recently evidenced by the *Hamilton Reserve Bank v. Sri Lanka* suit.⁵⁴ Since sovereign debt litigation and arbitration is a highly technical and complex subject, we will only cover it in broad strokes. This subsection shows that there are strong incentives for bondholders and debtor countries to negotiate and little to gain from holdout creditor behaviour under current contractual standards.

A. Collective Action Clauses (CACs)

CACs are provisions in *bond* contracts that allow a majority or supermajority of bondholders to make decisions binding on all holders of the same bond or bonds capable of aggregation, including restructuring payment terms.⁵⁵ CACs have evolved to become a key feature of the international financial architecture for resolving sovereign debt crises.⁵⁶ These provisions first emerged in English-law bonds in 1879.⁵⁷ The lawyer who conceived of them, Francis Beaufort Palmer (1845–1917), stated that their purpose was to enable a majority of bondholders to prevent a minority from adopting unreasonable conduct and creating deadlock.⁵⁸ The operation of CACs is equivalent under US and English law.⁵⁹

First-generation CACs allowed a specified supermajority of bondholders (typically 75% of principal) voting at a meeting to approve modifications to some of the key bond terms relevant for a debt restructuring, binding all holders.⁶⁰ Though widely adopted in English-law bonds, they were rare in US-law bonds but gained new prominence after the IMF proposed them as a policy response to the difficulty of restructuring New-York-law bonds that required unanimous consent, following Mexico's 'Tequila Crisis' in 1995 and especially Argentina's default in 2001.⁶¹ In 2002, the G-10 working group drafted second-generation model CACs suitable for New-York-law bonds, updating the clauses for modern US markets while providing greater minority bondholder protections.⁶² The differences between first- and second-generation CACs were largely procedural.⁶³

54 See *Hamilton Reserve Bank Ltd v The Democratic Socialist Republic of Sri Lanka*, 22cv5199 (DLC) (SDNY 1 November 2023). Also see for a discussion of this issue, Mark C Weidemaier and F Andrew Hessick, 'The Judgment-Holder Problem in Sovereign Debt Workouts' (8 May 2024) UNC Legal Studies Research Paper No 4821478 <<https://ssrn.com/abstract=4821478>> accessed 3 November 2024.

55 Anna Gelpern and G Mitu Gulati, 'The Wonder Clause' (2013) 41 *Journal of Comparative Economics* 367, 368.

56 IMF (n 1).

57 Lee C Buchheit and G Mitu Gulati, 'The Argentine CAC Controversy' (2020) Duke Law School Public Law & Legal Theory Working Paper No 2020–72.

58 *ibid.*

59 Gelpern and Gulati (n 55) 367–70.

60 Buchheit and Gulati (n 57) 2–8.

61 *ibid.*

62 IMF, *A Guide to Committees, Groups and Clubs* <<https://www.imf.org/en/About/Factsheets/A-Guide-to-Committees-Groups-and-Clubs#:~:text=The%20Group%20of%20Ten%20%28G10%29%20refers%20to%20the,are%20estimated%20to%20be%20below%20a%20member%E2%80%99s%20needs>> accessed 26 July 2024 (explaining that 'the Group of Ten (G10) refers to the group of countries that have agreed to participate in the General Arrangements to Borrow (GAB), a supplementary borrowing arrangement that can be invoked if the IMF's resources are estimated to be below a member's needs. The GAB was established in 1962, when the governments of eight IMF members—Belgium, Canada, France, Italy, Japan, the Netherlands, the United Kingdom, and the United States—and the central banks of two others, Germany and Sweden, agreed to make resources available to the IMF for drawings by participants and, under certain circumstances, for drawings by nonparticipants').

63 Buchheit and Gulati (n 57) 2–8.

A key limitation of these early CACs was that they only operate within a single bond series.⁶⁴ A separate vote was required to restructure each series, enabling holdout creditors to potentially acquire blocking positions in individual bond series.⁶⁵

Uruguay's 2003 bond exchange introduced the first third-generation CACs capable of aggregation, allowing a majority vote to restructure multiple bond series together.⁶⁶ To prevent majorities from discriminating against a minority series, Uruguay required an 85% aggregate vote and a 66.67% majority of principal for each series.⁶⁷ Similar 'two-limb' aggregation clauses were introduced in Argentina (2005) and in euro area sovereign bonds.⁶⁸

In 2014, the International Capital Markets Association (ICMA) promulgated a fourth-generation enhanced CAC model, which was the result of a highly collaborative international public-private partnership spearheaded by US Treasury staff.⁶⁹ These enhanced CACs allow for (i) traditional series-by-series voting (66.67% threshold), (ii) two-limb aggregated voting (66.67% aggregate and 50% per series), or (iii) single-limb aggregated voting (75% aggregate) if the restructuring gives all bondholders the same instrument or same menu of instruments.⁷⁰ This last condition is called the 'uniformly applicable offer' requirement.⁷¹ The single-limb option was the key innovation, enabling a restructuring to bind all series without holdouts controlling a series.⁷² In 2020, Ecuador and Argentina were the first sovereigns to use enhanced CACs with aggregated voting in their restructurings.⁷³ Both used the two-limb option and reached participation rates exceeding 90%,⁷⁴ although creditors voiced concerns about the way in which the aggregation features were employed.⁷⁵ The single-limb voting mechanism under enhanced CACs has so far not been used.

While CACs are now widespread and can facilitate a relatively smooth restructuring of bonded debt, they are not a complete solution.⁷⁶ Notably, the restructuring of syndicated bank loans or subnational debt, which often lack majority modification provisions, as well as collateralized debt that offers protection to some creditors, may continue to pose challenges.⁷⁷

64 See e.g. Key Nakajima, 'Collective Action Clauses: Contractual Regulation of Holdout Litigation' in Kei Nakajima (ed), *The International Law of Sovereign Debt Dispute Settlement* (CUP 2022) 100–38.

65 *ibid.* This is what happened in the Greek debt restructuring of 2012; see Grund (n 8) 97–110.

66 See Anna Gelpern and Ben Heller, 'Count the Limbs: Designing Robust Aggregation Clauses in Sovereign Bonds' in Martin Guzman, José Antonio Ocampo and Joseph E Stiglitz (eds), *Too Little, Too Late: The Quest to Resolve Sovereign Debt Crises* (Columbia UP 2016) 109–43.

67 IMF, *The Restructuring of Sovereign Debt—Assessing the Benefits, Risks, and Feasibility of Aggregating Claims* (September 2003) 6 <<https://www.imf.org/external/np/pdr/sdrm/2003/090303.pdf>> accessed 2 September 2024.

68 Gelpern and Heller (n 66) 111.

69 See e.g. Mark Sobel, 'Strengthening Collective Action Clauses: Catalysing Change—The Back Story' (2016) 11 *Capital Markets Law Journal* 3.

70 ICMA, *Standard Aggregated Collective Action Clauses ('CACs') for the Terms and Conditions of Sovereign Notes* (August 2014) <<https://www.icmagroup.org/assets/documents/Resources/ICMA-standard-CACs-August-2014.pdf>> accessed 2 September 2024.

71 *ibid.*

72 IMF (n 5) 20–22.

73 Andrés de la Cruz and Ignacio Lagos, 'CACs at Work: What Next?: Lessons from the Argentine and Ecuadorian 2020 Debt Restructurings' (2021) 16 *Capital Markets Law Journal* 2, 14–31.

74 *ibid.*

75 *ibid.* 17.

76 Note that CACs have been successfully employed in recent bond exchanges, such as Zambia's and Sri Lanka's 2024 restructurings.

77 IMF (n 1) 32.

B. Sovereign Debt Litigation and Arbitration

Even though sovereigns enter into binding contractual agreements with their private creditors, successful enforcement is far from certain. In the past, sovereign immunity was an absolute barrier to enforcing private contracts against states. Private individuals could not sue a sovereign because a foreign court could not exercise jurisdiction over them. However, since the 1950s, the doctrine has evolved from an absolute to a relative constraint in both the US and the UK, and resulted in the adoption of the 1976 FSIA and the 1978 SIA, respectively.⁷⁸ Accordingly, foreign sovereigns are presumed immune unless the activity for which they are being sued falls under one of the exceptions to immunity. Both sets of statutes contain exceptions to immunity for commercial activities⁷⁹ and sovereign borrowing has long been considered one, meaning that states can generally not invoke the immunity defence.

In the US, the FSIA is the sole basis for obtaining jurisdiction over a foreign state.⁸⁰ Generally, the creditor-plaintiff will have to demonstrate that the activity for which they are suing is commercial in nature.⁸¹ The inquiry about the nature of the action falls to the courts, but unsurprisingly borrowing money normally qualifies.⁸² If no clause submitting the debtor to the jurisdiction of a particular court exists, then the creditor-plaintiff would need to show that the activity and matter at hand have sufficient contact with the venue or a direct effect there.⁸³ Marketing activities for the bonds, payments, and subsequent visits to creditors (roadshows) are generally sufficient evidence under US law.⁸⁴ The UK statute yields the same result but takes a shortcut that avoids court interpretations for the term ‘commercial transactions’ in the case of sovereign debt. Unlike the US statute, it states that suits related to sovereign borrowings serviced ‘wholly or partly in the United Kingdom’ are not subject to immunity.⁸⁵

78 See Gulati and Weidemaier (n 16) 11. See also Kay Kane (n 23) 385–86.

79 See 28 USC § 1603; State Immunities Act 1978, s 3.

80 *Argentine Republic v Amerasia Shipping Corp* 488 US 428, 434–35 (1989) (citing *Verlinden BV v Central Bank of Nigeria* 461 US 480, 493 (1983)).

81 See 28 USC § 1603(d). (‘A ‘commercial activity’ means either a regular course of commercial conduct or a particular commercial transaction or act. The commercial character of an activity shall be determined by reference to the nature of the course of conduct or particular transaction or act, rather than by reference to its purpose’); see also *Republic of Argentina v Weltover, Inc.* 504 US 607, 614 (1992) (holding that ‘[a] foreign state engaging in commercial activities do[es] not exercise powers peculiar to sovereigns’; rather, it ‘exercise[s] only those powers that can also be exercised by private citizens’ and citing *Alfred Dunhill of London, Inc. v Republic of Cuba* 425 US 682, 704 (1976)).

82 See e.g. Bruce W Nichols, ‘The Impact of the Foreign Sovereign Immunities Act on the Enforcement of Lender’s Remedies’ (1982) *University of Illinois Law Review* 253, 255 (explaining that the congressional history makes it clear that contracting and repayment of sovereign indebtedness are to be regarded as commercial acts under the FSIA). See also, *Shapiro v Republic of Bolivia* 930 F 2d 1013, 1018 (2d Cir 1991).

83 See 28 USC § 1391(f). See also *SerVaas Inc v Republic of Iraq* 686 F Supp 2d 346, 356 (SDNY 2010); *Capital Ventures Int’l v Republic of Argentina* 552 F 3d 289, 293 (2d Cir 2009).

84 *Republic of Argentina v Weltover, Inc.* 504 US 607, 618–19 (1992) (explaining that New York being designated by some creditors as the place of payment and payments having been effectuated there meets the criteria for a direct effect).

85 State Immunities Act 1978, s 3(1)(b) (‘A State is not immune as respects proceedings relating to . . . an obligation of the State which by virtue of a contract (whether a commercial transaction or not) falls to be performed wholly or partly in the United Kingdom.’) and s 3(3)(b) (‘In this section ‘commercial transaction’ means . . . any loan or other transaction for the provision of finance and any guarantee or indemnity in respect of any such transaction or of any other financial obligation’).

However, even if creditors obtain judgments or awards against a sovereign debtor, executing these against sovereign assets is an uncertain and costly endeavour. Most sovereign assets are protected either by *de jure* immunity or because they lay on their own soil—*de facto* immunity. For example, central bank assets, embassy property, and many assets deemed to be in use by the country for public or sovereign purposes, such as military equipment, enjoy jurisdictional immunity from attachment actions under the FSIA and SIA.⁸⁶ Therefore, most recovery actions for a creditor depend on their ability to find commercially used assets that are legally owned by the sovereign or to pierce the corporate veil between a sovereign and a state-owned enterprise.

Breaking through the legal separation between a sovereign owner and its corporations is difficult. There is a presumption in favour of maintaining it in both key jurisdictions.⁸⁷ The tests in both the US and the UK will consider multiple factors, but the inquiry is generally concerned with the extent to which the sovereign *controls* the firm.⁸⁸ Sovereign control of day-to-day operations and governing bodies staffed by government officials can constitute a main factor. Another important consideration is the level of independence granted to the SOE under the laws of the state that created it.⁸⁹ In the UK, courts ultimately assess similar factors, making the veil generally as hard to pierce as in the US.⁹⁰

3. Bilateral Sovereign Lending and Restructuring

Since the 1950s, the Paris Club has served as the prime forum to bring together sovereign creditors and coordinate a response to sovereign debtor distress.⁹¹ While the Paris Club has remained ‘an informal group of official creditors whose role is to find coordinated and sustainable solutions to the payment difficulties experienced by debtor countries’ and thus remains ‘a non-institution,’ more than US\$600 billion of bilateral sovereign debt has been restructured under its auspices in a total of 479 agreements concluded with 102 debtor countries. The Club is organized around six core principles: solidarity, consensus, information sharing, case-by-case decisions.⁹² The Paris Club has 22 members, which essentially reflect the dominant sovereign lenders during the second half of the 20th century. While several large emerging bilateral creditors, such as Brazil and Russia, have joined the Club, the biggest bilateral lender, China, has not.

The rapidly evolving creditor landscape, notably the rise of private finance and the emergence of large ‘non-traditional’ bilateral creditors like China or Saudi Arabia have exposed some of the flaws in the mechanism. Unsurprisingly, the shift has been the subject of intense and politicized

⁸⁶ See Grund (n 8) 142–48.

⁸⁷ Mark C Weidemaier, ‘Piercing the (Sovereign) Veil: The Role of Limited Liability in State-Owned Enterprises’ (2021) 46 Brigham Young University Law Review 795, 800 (citing *First National City Bank v Banco Para El Comercio Exterior de Cuba* (Bancec), 462 US 611, 626 (1983)).

⁸⁸ See Weidemaier (n 87) 817–20 (explaining that in US federal courts ‘[o]utcomes appear to turn on relatively minor distinctions, which supposedly illuminate the extent to which the state controlled the entity’s day-to-day operations’); see also *First National City Bank v Banco Para El Comercio Exterior de Cuba* (Bancec), 462 US 611, 629 (1983); *Walker International Holdings Ltd v Republique Populaire du Congo* [2005] EWHC 2813 (Comm) [97]–[100]; *Kensington International Ltd v Republic of Congo* [2005] EWHC 2684 (Comm).

⁸⁹ *Walker International Holdings Ltd v Republique Populaire du Congo* [2005] EWHC 2813 (Comm) [73]–[75].

⁹⁰ *ibid* [93].

⁹¹ For an overview, see Annamaria Viterbo, ‘10—The Role of the Paris and London Clubs: Is It under Threat?’ in Michael Waibel (ed), *The Legal Implications of Global Financial Crises* (Brill | Nijhoff 2020).

⁹² Club de Paris, *The Six Principles* <<https://clubdeparis.org/en/communications/page/the-six-principles>> accessed 27 July 2024.

debate. This chapter does not take a position on this issue, but, a study of Chinese debt contracts highlights the emergence of a powerful and savvy lender to developing countries.⁹³ It shows that these loans feature a number of payment safeguards that go beyond those used by China's peers in the official creditor market, although they exhibit a difference in degree, not in kind from commercial and other official bilateral lenders.⁹⁴ Moreover, while some of the terms may be unenforceable in major financial jurisdictions, they could still create a source of informal or formal pressure on the debtor.⁹⁵

The introduction of the 'Common Framework' by the G20 to support low-income countries with unsustainable debt in 2021 was largely driven by the need to respond to the evolving creditor landscape as well as some of these structural changes in sovereign loans. Indeed, much of the discussion at the time focused on trying to bring non-Paris Club lenders onto the same table as other official creditors and to achieve consensus on a broadly applicable set of principles—if not rules—that could guide negotiations.⁹⁶

4. Multilateral Creditors

Multilateral creditors play an important role in providing financing to countries, usually on special terms and in specific circumstances. They rely on the principle of risk sharing by pooling resources to promote certain common policy objectives. The IMF and the World Bank are the most prominent multilateral lenders and deserve closer scrutiny. Since their creation in the wake of World War II, these institutions have been instrumental in addressing international financial crises and promoting development. Given their unique ability to provide lending when most other creditors have become unwilling or unable to do so, their operational frameworks tend to shape the rules of the game beyond the remit of their own functions. Zooming in on the IMF and the World Bank, this subsection sheds light on this evolution.

A. The IMF

The IMF was founded in 1944 at the United Nations Monetary and Financial Conference held at Bretton Woods, New Hampshire.⁹⁷ Aside from its role as overseer of the international monetary system, the IMF could also make available its resources to support members in addressing temporary balance-of-payments (BoP) problems. Today, almost all sovereigns are members of the IMF and more than 60 currently have lending arrangements with the IMF.⁹⁸

Given the IMF's financing role in BoP crises, the vast majority of debt workouts are executed in the context of an IMF-supported program. The program provides both a macroeconomic anchor

93 Anna Gelpern and others, 'How China Lends: A Rare Look into 100 Debt Contracts with Foreign Governments' (2023) 38 *Economic Policy* 345 (analysing 100 debt contracts between Chinese state-owned entities and government borrowers in 24 developing countries and shedding some light on China's lending practices and how they differ from those of other official and private creditors). See also Michael Himmer and Zdenec Rod, 'Chinese Debt Trap Diplomacy: Reality or Myth?' (2022) 18 *Journal of the Indian Ocean Region* 250–72.

94 Gelpern and others (n 93) 353.

95 *ibid* 355.

96 See VI.1. for a more detailed discussion.

97 IMF, 'The Fund's Mandate—An Overview' (22 January 2010) IMF Policy Paper <<https://www.imf.org/external/np/pp/eng/2010/012210a.pdf>> accessed 2 September 2024.

98 IMF, *IMF Lending Arrangements as of September 30, 2024* (September 2024) <<https://www.imf.org/external/np/fin/tad/extarr11.aspx?memberKey1=ZZZZ&date1key=2024-09-30>> accessed 2 September 2024.

for the parties involved as well as an envelope that quantifies the overall financing contribution from the restructuring.⁹⁹ From a legal perspective, the IMF is required to only lend subject to ‘adequate safeguards,’¹⁰⁰ which means that IMF financing can only be provided in support of a member’s economic policies that are capable of resolving the member’s BOP problems and restoring medium-term external viability.¹⁰¹ This legal precondition is epitomized and specified in the IMF’s sovereign debt policy framework, notably the financing assurances and debt sustainability policies.¹⁰² Broadly speaking, in situations where the member’s debt is assessed as unsustainable under the debt sustainability analysis (DSA), the IMF is precluded from providing financing unless the member takes steps to restore debt sustainability over the medium term, including through a debt restructuring.¹⁰³ However, these policies do not prescribe the burden sharing between creditors, including between official and private creditors.¹⁰⁴

Several other IMF policies also influence the restructuring process, a detailed description of which would go beyond the scope of this chapter.¹⁰⁵ Perhaps most importantly, if the member has defaulted on one or more of its creditors, the IMF’s arrears policies must generally be satisfied for the IMF to lend.¹⁰⁶ With respect to commercial creditors, the Lending Into Arrears (LIA) policy would be met if (i) prompt IMF support is considered essential for the implementation of the member’s adjustment program and (ii) the member is pursuing appropriate policies and is making a good faith effort to reach a collaborative agreement with its creditors.¹⁰⁷ With respect to arrears to official and multilateral creditors, the Lending-Into-Official Arrears (LIOA) and the Non-Toleration Policy (NTP)¹⁰⁸ set a stricter standard than the LIA policy, reflecting that the IMF considers additional safeguards necessary when financing is provided to a member that is in arrears to bilateral or multilateral creditors.¹⁰⁹

99 See IMF (n 1).

100 IMF, *Articles of Agreement*, art V, s 3(a).

101 IMF, ‘Guidance Note On The Financing Assurances And Sovereign Arrears Policies And The Fund’s Role In Debt Restructurings’ (18 November 2024) IMF Policy Paper, 4 <<https://www.imf.org/en/Publications/Policy-Papers/Issues/2024/11/18/Guidance-Note-On-The-Financing-Assurances-And-Sovereign-Arrears-Policies-And-The-Fund-s-557389>> accessed 20 November 2024.

102 For a detailed discussion, see *ibid*.

103 *ibid* 50.

104 *ibid* 10.

105 For a detailed description of the arrears policies, see IMF, ‘Reviews of the Fund’s Sovereign ARREARS Policies and Perimeter’ (18 May 2022) IMF Policy Paper <<https://www.imf.org/en/Publications/Policy-Papers/Issues/2022/05/18/Reviews-of-the-Fund-s-Sovereign-ARREARS-Policies-and-Perimeter-517997>> accessed 3 September 2024.

106 The Fund’s LIA policy has never formally defined the scope of ‘payments arrears,’ but it is generally understood that they arise from ‘commercial financial obligations of a contractual nature’ that are not paid when due (taking into account any contractual grace periods). See IMF, ‘Policy Reform Proposals to Promote the Fund’s Capacity to Support Countries Undertaking Debt Restructuring’ *IMF Policy Paper* (16 April 2024) 25 <<https://www.imf.org/en/Publications/Policy-Papers/Issues/2024/04/16/Policy-Reform-Proposals-To-Promote-The-Funds-Capacity-To-Support-Countries-Undertaking-Debt-547821>> accessed 3 September 2024.

107 See, IMF, ‘Consolidated Executive Board Understanding of the Fund’s Arrears Policies and Perimeter Executive Board Meeting’ *Summing Up* (4 May 2022) <<https://www.imf.org/en/Publications/Selected-Decisions/description?decision=SM/22/47>> accessed 3 September 2024.

108 These policies apply to the respective creditor groups in cases with ‘official sector involvement’ (OSI), which means that official claims need to be subject to a debt treatment in the context of an IMF-supported. In non-OSI cases, however, the NTP also applies to bilateral creditors while the LIOA applies to certain IFIs in OSI cases. For details, see IMF (n 105).

109 *ibid*. Under the NTP, the Fund requires that either an ‘agreed plan’ (for the World Bank and certain other international financial institutions (IFIs)) or a ‘credible plan’ for other IFI creditors is in place before approving a financing

Responding to observed delays in the approval of IMF-supported programs due to creditor coordination problems in the past few years, the IMF Executive Board approved new policies to promote the IMF's capacity to support countries undertaking debt restructurings in April 2024.¹¹⁰ The revised policies essentially seek to support and accelerate restructurings where Paris Club creditors are in the minority, either within or outside the G20 Common Framework. As several recent sovereign debt restructurings have revealed, creditors of all stripes still face issues in sequencing negotiations and fostering mutual trust.¹¹¹ Even with the recent policy updates, however, the IMF's core role remains that of a lender of last resort and not of an arbiter between creditors. Indeed, in line with its self-imposed duty of neutrality, the IMF does not involve itself in the details of debt restructurings and will continue to take a neutral stance in intercreditor disputes.¹¹²

B. The World Bank and Other Multilateral Development Banks

Compared with the IMF, the World Bank and other multilateral development banks (MDBs) play a lesser role in today's debt restructurings. Typically considered senior to the creditors providing debt relief through restructuring, they do not participate in the restructuring negotiations. This senior creditor status allows them to provide additional financing when sovereigns are excluded from other external sources of credit. For the sovereigns this can help cover the cost of essential imports during crisis situations. Moreover, for the debt restructuring envelope, additional net inflows in the form of long-term concessional debt can alleviate the hard currency shortages that typically constrain the post-default period. The role of MDBs as co-lenders in distress situations, along with their consistent disbursement of funds to countries shunned by capital markets are the substantive source of their *de facto* seniority. However, there are no clear legal underpinnings for it. The mentioned IMF arrears policies act as a key guardrail for these institutions during restructurings.¹¹³ Notably, the NTP mentioned applies to IFIs whose clearly specified mandate and functional characteristics are closely linked to the IMF's mandate, which includes the World Bank as well as MDBs and other IFIs meeting that standard.¹¹⁴ Under the NTP, the IMF may only provide financing to members in arrears to IFIs if a plan to clear these arrears is either credible (most IFIs) or has already been agreed (World Bank).¹¹⁵

arrangement. Under the LIOA policy, the IMF can provide financing in four different scenarios: (i) if there is an adequately representative Paris Club agreement, (ii) if an official bilateral creditor consents to financing despite the official bilateral arrears, (iii) if 'three criteria' are fulfilled (prompt financial support essential; debtor is making good faith efforts to reach agreement in line with program parameters; decision does not have undue negative effect on Fund's ability to mobilize official financing packages in future cases), or (iv) if the other three strands are not met but the Fund's has additional safeguards. See IMF (n 106).

110 IMF (n 106).

111 See e.g. Ceyla Pazarbasioglu, 'Sovereign Debt Restructuring Process Is Improving Amid Cooperation and Reform' (*IMF Blog*, 29 October 2024) <<https://www.imf.org/en/Blogs/Articles/2024/06/26/sovereign-debt-restructuring-process-is-improving-amid-cooperation-and-reform>> 3 September 2024 (noting that some restructurings have faced significant delays, while also showing that the trend is pointing towards faster workouts).

112 This principle is epitomized in the Fund's disputed claims doctrine, whereby the Fund accepts a member's representation that if the validity or amount of a debt claim is in dispute, such disputed claim does not give rise to arrears for all Fund purposes. The IMF has long held that, as an international organization, it must maintain a neutral position with respect to claims whose underlying validity or amounts are in dispute between members. See IMF (n 105) 61–62.

113 See above III.4.A.

114 IMF (n 105) 23.

115 As explained, this high standard does not apply to bilateral or private creditors.

IV. Outlook—*Quo Vadis* International Financial Architecture?

The international sovereign debt ecosystem has multiple defining characteristics: protracted negotiations, heterogeneous and new creditors, the related holdout problem, and competing priorities between domestic and international policy aims that yield rigidities where more flexibility would be desirable, for example, in the face of climate change. This section provides a brief analysis of three key areas of reform that are currently discussed: (1) the G20 Common Framework and the Global Sovereign Debt Roundtable, (2) climate-focused solutions to address both the climate and debt crisis simultaneously, and (3) state-contingent instruments. While the envisaged changes in these areas seek to improve upon the existing ad hoc approach to sovereign debt restructuring, many of them draw inspiration from past experiences and practices.

1. Common Framework and Global Sovereign Debt Roundtable

At least since the Debt-Service-Suspension Initiative (DSSI) in response to the COVID-19 pandemic, the G20 has taken a prominent role in shaping the sovereign debt ecosystem.¹¹⁶ As noted, this development was largely driven by the rise of China as a major creditor to developing countries. Building upon the G20 DSSI, which offered temporary debt service relief to eligible countries, the Common Framework seeks to facilitate timely and orderly debt treatments, including debt reductions, on a case-by-case basis, but drawing on the Paris Club's principle.¹¹⁷ Eligible debtor countries are required to seek debt treatment from all their official bilateral creditors, as well as from private creditors, on comparable terms. The process is initiated by the debtor country, which must request a treatment of its sovereign debt stock. Creditor committees are then formed to negotiate the terms of that treatment.¹¹⁸

However, the implementation of the Common Framework has faced significant challenges,¹¹⁹ with the 2024 restructuring in Zambia highlighting the need for greater clarity and consensus among creditors.¹²⁰ In response to these challenges, efforts are underway to enhance the Common Framework, including proposals for clearer timelines and comparability of treatment principles.¹²¹

With the Common Framework being not only a novel but primarily a case-by-case restructuring mechanism, the need arose for a standing committee to deal both with general and operational

116 The DSSI means that bilateral official creditors are, during a limited period, suspending debt service payments from the poorest countries (73 low- and lower-middle-income countries) that request the suspension. On the history of the G-20, see e.g. Jan Wouters and Sven Van Kerckhoven, 'OECD and the G20: An Ever Closer Relationship' (2011) 43 *George Washington International Law Review* 345, 352–55.

117 G20, *Annex: Common Framework for Debt Treatments Beyond the DSSI* (2021) <https://clubdeparis.org/sites/default/files/annex_common_framework_for_debt_treatments_beyond_the_dssi.pdf> accessed 3 September 2024.

118 *ibid.*

119 For a critical assessment of the Common Framework, see Brad Setser, 'The Common Framework and Its Discontents' (*Council on Foreign Relations Blog*, 26 March 2023) <<https://www.cfr.org/blog/common-framework-and-its-discontents>> accessed 2 November 2024.

120 Government of the Republic of Zambia, 'Press Release: Government of the Republic of Zambia Reaches Agreement on Debt Restructuring Terms with the Steering Committee of the Ad Hoc Creditor Committee of Holders of Zambia's Eurobonds' *Ministry of Finance and National Planning* (25 March 2024) <<https://www.mofnp.gov.zm/?p=7786>> accessed 3 September 2024.

121 See, for example, Diego Rivetti, 'Achieving Comparability of Treatment under the G20's Common Framework' *EFI Note, World Bank Group* <<http://documents.worldbank.org/curated/en/426641645456786855/Achieving-Comparability-of-Treatment-under-the-G20-s-Common-Framework>> accessed 3 August 2024.

questions concerning the Framework's implementation.¹²² The Global Sovereign Debt Roundtable (GSDR), an informal forum for sovereign debt stakeholders convened by the IMF and World Bank, has emerged as this platform.¹²³ It brings together representatives from debtor countries, official and private creditors, as well as civil society to explore ways to improve the effectiveness, efficiency, and fairness of sovereign debt resolution processes. As of late 2024, the GSDR has published three progress reports as well as an overview of technical issues discussed so far, which include restructuring timelines, information sharing issues, and the restructuring perimeter and parameters.¹²⁴

2. Climate-Focused Solutions

As concerns about climate change have grown, there has been increasing interest in incorporating environmental considerations into sovereign debt instruments and restructuring processes.¹²⁵ Green bonds, sustainability-linked bonds, debt-for-nature swaps, and climate-resilient debt clauses (CRDCs) are among the tools being explored to align sovereign debt with climate goals and provide relief to countries facing climate-related challenges.

Green bonds are debt instruments that raise funds for environmentally friendly projects or incentivize the achievement of sustainability targets.¹²⁶ Sustainability-linked bonds, on the other hand, tie the coupon rate to the achievement of specific environmental, social, or governance (ESG) targets, providing a financial incentive for the issuer to meet these goals.¹²⁷ There is no specific legal framework to govern the terms and conditions of ESG bonds, but industry standards have emerged. From a contractual perspective, ESG bonds are, in essence, basic sovereign securities entailing various additional commitments. However, a review of over 1000 green bonds by Curtis et al. found that enforcement of environmental promises is anything but certain, raising significant doubts as to instruments' green *bona fides*.¹²⁸

Debt-for-nature swaps are another 'green instrument,' and they already had their first moment in the limelight in the late 1980s. These involve the cancellation of a portion of a country's debt in exchange for a commitment to invest in conservation or environmental protection projects. In a recent example, Belize reached an agreement with the US Development Finance Corporation to

122 *ibid*.

123 Global Sovereign Debt Roundtable (GSDR), *GSDR 3rd Cochairs Report* (23 October 2024) <<https://www.imf.org/-/media/Files/About/FAQ/gsdrgsdrcochairsprogressreportoctober2024.ashx>> accessed 14 November 2024.

124 GSDR, *Compendium of GSDR Common Understanding on Technical Issues* (23 October 2024) <<https://www.imf.org/-/media/Files/About/FAQ/gsdrgsdrcompendiumofcommonunderstandingontechnicalissues.ashx>>.

125 Lauren Gifford and Chris Knudson, 'Climate Finance Justice: International Perspectives on Climate Policy, Social Justice, and Capital' (2020) 161 *Climatic Change* 243, 243. (highlighting that 'In the 2015 Paris Agreement, the United Nations Framework Convention on Climate Change (UNFCCC) established, for the first time, the international community's intention to direct sufficient finance to address climate change . . . Article 2 of the Agreement recognized that "finance flows" were essential to achieve these longstanding goals of "low greenhouse gas emissions and climate-resilient development"').

126 International Capital Market Association (ICMA), 'Green Bond Principles Voluntary Process Guidelines for Issuing Green Bonds,' June 2021, with June 2022 Appendix 1 <<https://www.icmagroup.org/assets/documents/Sustainable-finance/2022-updates/Green-Bond-Principles-June-2022-060623.pdf>> accessed 3 September 2024.

127 ICMA, *Sustainability-Linked Bond Principles Voluntary Process Guidelines* (June 2024) <<https://www.icmagroup.org/assets/documents/Sustainable-finance/2024-updates/Sustainability-Linked-Bond-Principles-June-2024.pdf>> accessed 3 September 2024.

128 Quinn Curtis, W Mark C Weidemaier and Mitu Gulati, 'Green Bonds, Empty Promises' (2023) 102 *North Carolina Law Review* 131.

receive a political risk guarantee for a new debt instrument, the proceeds of which were used to repurchase US\$553 million of its external debt, at a 45% discount.¹²⁹ In exchange for the political risk guarantee, Belize committed to invest in marine conservation. Barbados, Ecuador, and Gabon recently followed suit and implemented similar deals.¹³⁰ While debt-for-nature swaps can provide significant debt relief and support environmental goals, their scope remains limited, constrained by the availability of development actors willing to provide guarantees or new money in exchange for green commitments. Moreover, since debt swaps require the involvement of various parties and services, they may be financially and economically inferior to conditional grants or outright debt restructurings in achieving the stated objectives.¹³¹

Climate-resilient debt clauses (CRDCs), also known as ‘hurricane clauses,’ constitute a related innovation.¹³² These provisions allow for the automatic deferral or reduction of debt service payments in the event of a natural disaster or other climate-related shock. Grenada, for instance, included CRDCs in its 2015 debt restructuring, which provided for the deferral of principal and interest payments for up to two years in the event of a qualifying hurricane. Others, such as Barbados and Jamaica, have included similar clauses in their issuances since. In August 2024, the first CRDC was triggered after Hurricane Beryl devastated Grenada, suspending \$12 million in interest payments on a \$112 million bond.¹³³

These climate-focused solutions represent important innovations in their use of existing tools to address new problems. Debt-for-nature swaps, for instance, have been used since the 1980s, albeit on a limited scale. Similarly, the concept of state-contingent debt instruments, such as CRDCs, has a long history.

3. State-Contingent Instruments

Traditional sovereign debt instruments often lack the flexibility to adjust to unexpected shocks or changes in a country’s circumstances.¹³⁴ State-contingent instruments, such as GDP-linked bonds or warrants, aim to address this issue by tying debt service obligations to specific outcomes or events.¹³⁵ The idea behind these instruments, which are also referred to as value recovery instruments (VRIs), is to provide a degree of risk-sharing between the debtor and creditors.¹³⁶

129 Stephanie Fontana-Raina and Sebastian Grund, ‘Debt-for-Nature Swaps: The Belize 2021 Deal and the Future of Green Sovereign Finance’ (2024) 19(2) *Capital Markets Law Journal* 128.

130 White & Case, *Debt-for-Nature Swaps: A Viable Alternative for Vulnerable Economies Amid Global Challenges* (2023) <<https://www.whitecase.com/insight-our-thinking/africa-focus-winter-2023-debt-for-nature>> accessed 4 September 2024.

131 Marcos Chamon and others, ‘Debt-for-Climate Swaps: Analysis, Design, and Implementation’ (2022) IMF Working Papers 2022/162 <<https://doi.org/10.5089/9798400215872.001>> accessed 4 September 2024.

132 Enrico Mallucci, ‘Natural Disasters, Climate Change, and Sovereign Risk’ (2022) 139 *Journal of International Economics* 103672.

133 Joseph Cotterill and Lee Harris, ‘Grenada Triggers “Hurricane Clause” to Suspend Bond Payments’ *Financial Times* (22 August 2024) <<https://www.ft.com/content/06bdabb2-2abb-45ab-9ee4-94e1c328598f>> accessed 20 September 2024.

134 See Juan Pablo Bohoslavsky, Miguel Attaguile and Roberto Kozulj’s chapter in this *Handbook* on the flexibility needed to cope with other contingencies, such as social crises that follow natural or economic catastrophes.

135 See e.g. IMF, ‘State-Contingent Debt Instruments for Sovereigns’ (2017) Policy Papers 2017/023 A001 <<https://doi.org/10.5089/9781498346818.007.A001>> accessed 4 September 2024.

136 Mark H Stumpf, ‘Sovereign State-Contingent Debt Instruments: Risk Taxonomy and Case Studies’ (2019) 14(3) *Capital Markets Law Journal* 320.

GDP-linked bonds, for instance, tie the coupon rate or principal repayment to the issuing country's economic growth.¹³⁷ Generally, if the country's GDP growth exceeds a certain threshold, creditors receive a higher payout. This structure can help align the interests of creditors and debtors, as both benefit from stronger economic growth. Recent restructurings in Suriname, Zambia, and Argentina have featured elements of state-contingency, though their effectiveness remains a subject of ongoing debate and, in some cases, litigation.¹³⁸

For instance, Argentina's 2005 GDP-linked warrants, which were issued as part of the country's debt restructuring following its 2001 default, were first praised for aligning creditor and debtor incentives but were later criticized for their complexity and potential to create future debt sustainability challenges.¹³⁹ A recent judgment by a London court serves as a case in point. Certain holders of these warrants successfully argued that Argentina had understated its GDP growth and were awarded US\$1.3 billion in compensation.¹⁴⁰

Other state-contingent instruments, such as commodity-linked bonds, have also been used in sovereign debt markets on a limited scale. Commodity-linked bonds tie debt service obligations to the price of a specific commodity such as oil or copper.¹⁴¹ In its 2023 restructuring deal, Suriname agreed on a VRI in the form of oil-linked securities that will pay holders if Suriname generates sufficient oil royalties from a recently discovered oil field.¹⁴²

While state-contingent instruments offer the potential for greater flexibility and risk-sharing in sovereign debt markets, they also face several challenges:¹⁴³ They can be difficult to design and price, present opportunities for moral hazard and adverse selection, and risk creating future debt sustainability problems if the contingent liabilities are not properly accounted for. Moreover, most contingent instruments share key substantive characteristics with equity securities, which limits potential investor interest. The gist of the issue has long been a reluctance by money-centre investors to take the risks associated with direct investment in emerging economies, instead preferring fixed-income instruments that essentially require the sovereigns to shoulder risks (and potentially reap the rewards) of developing their economies. Finally, VRIs do not necessarily result in increased debt relief ('haircuts'), creating unwarranted upside risks for investors and potentially degrading the sovereign's repayment capacity in the future.¹⁴⁴

137 David Barr, Oliver Bush and Alex Pienkowski, 'GDP-Linked Bonds and Sovereign Default' in Joseph Stiglitz and Daniel Heymann (eds), *Life After Debt: The Origins and Resolutions of Debt Crisis* (Palgrave Macmillan 2014) 246–75.

138 See for a recent analysis of these instruments and selected case studies, Bretton Woods Committee, 'State-Contingent Debt Instruments: Prospects for Enhancing Growth' (2024) <<https://www.brettonwoods.org/sites/default/files/documents/BWC-SDWG-Paper-SCDI-2024-FNL3-web.pdf>> accessed 2 September 2024.

139 Luca A Ricci, Marcos D Chamon and Alejo Costa, 'Is There a Novelty Premium on New Financial Instruments? The Argentine Experience with GDP-Indexed Warrants' (2008) IMF Working Papers, 109 <<https://doi.org/10.5089/9781451869699.001.A001>> accessed 4 September 2024.

140 *Palladian Partners v Republic of Argentina* [2023] EWHC 711 (Comm).

141 Joseph Atta-Mensah, 'Commodity-Linked Bonds: A Potential Means for Less-Developed Countries to Raise Foreign Capital' (June 2004) Bank of Canada Working Paper 2004–20.

142 Republiek Suriname, Ministerie van Financiën en Planning, 'Restructuring of Bondholders Finalized' (December 2023) <<https://gov.sr/restructuring-of-bondholders-finalized/>> accessed 2 September 2024.

143 Charles Cohen and others, 'The Role of State-Contingent Debt Instruments in Sovereign Debt Restructurings' (2020) IMF Staff Discussion Notes SDN/20/06 <<https://www.imf.org/en/Publications/Staff-Discussion-Notes/Issues/2020/11/13/The-Role-of-State-Contingent-Debt-Instruments-in-Sovereign-Debt-Restructurings-49732>> accessed 10 December 2024.

144 See e.g. Ugo Panizza, 'The Pitfalls of Value Recovery Instruments in Sovereign Debt Restructuring' *Finance for Development Lab* (6 September 2024) <<https://findevlab.org/the-pitfalls-of-value-recovery-instruments-in-sovereign-debt-restructuring/>> accessed 20 September 2024.

V. Conclusion

This chapter sought to canvas the breadth of the international sovereign debt system, introducing the reader to its key features and current setting. At the same time, it highlighted the malleability and constantly evolving nature of what the literature often calls the international financial architecture for sovereign debt restructuring. As new challenges emerge and the global economic landscape shifts, this ecosystem continues to adapt with stakeholders seeking to find a balance between the need for orderly and efficient restructurings and the competing interests of debtors, creditors, and other affected parties.

While many of these innovations draw upon past experiences and practices, they also reflect the unique challenges and opportunities of the current moment. The rise of new and influential sovereign creditors, such as China, and the increasing importance of environmental and social considerations in sovereign debt markets, have created new pressures and incentives for reform. State-contingent instruments, for their part, have long been around and the feasibility of restructurings underpinned by them depends largely on risk-appetite and trust in the monitoring structures around them. All this being said, the very nature of the international financial landscape may well prevent efforts to build something more akin to a stable and rigid architecture. In the meantime, the ad hoc system continues to serve as the foundation for the most important asset class in the world, albeit one built along many tectonic fault lines.

HUMAN RIGHTS AND THE INTERNATIONAL MONETARY FUND

The Case of Argentina

Miguel Attaguile, Juan Pablo Bohoslavsky, and Roberto Kozulj

I Introduction

Although the International Monetary Fund (IMF) continues to claim that human rights do not fall within its remit, its operation can deeply affect human rights, especially economic, social, and cultural ones. Governments can spontaneously implement economic measures that affect human rights, such as reducing welfare spending, privatizing services, deregulating finance and labour markets, commercializing healthcare, relaxing environmental protection, and implementing regressive tax systems.

Yet these measures usually form part of conditionalities included in agreements between states and international financial institutions (IFIs), particularly the IMF.¹ Orthodox economic policies imposed by the IMF to reduce states' over-indebtedness include dismantling public services, cutting budgetary lines highly sensitive to the realization of human rights, such as education and health sectors, weakening networks of social protection, flexibilizing labour, imposing high indirect taxes, and reducing environmental protection standards. Far from being a laboratory hypothesis, as of September 2022, 143 countries (including 94 low- and middle-income countries) were implementing adjustment measures. In 2023, 85% of the world's population is subject to austerity measures, and this is expected to continue until at least 2025, when 75% of the global population (129 countries) will likely be under the mandates of adjustment policies.²

This chapter discusses Argentina as a case study for two reasons. On the one hand, it is the middle-income country that has been under IMF programmes for the longest period: since 1956, these programmes have influenced the country's economy and society profoundly through their demands for short-term policies and structural reforms. On the other hand, Argentina is the IMF member that has received the largest *Stand By Arrangement* in the history of the organization with

1 Alexandros Kentikelenis and Thomas Stubbs, *A Thousand Cuts. Social Protection in the Age of Austerity* (OUP 2023).

2 Isabel Ortiz and Matthew Cummings, 'End Austerity: A Global Report on Budget Cuts and Harmful Social Reforms in 2022–25' *Initiative for Policy Dialogue, Columbia University* (28 September 2021) <https://www.eurodad.org/end_austerity_a_global_report>.

the objective of reinstating neoliberalism.³ The conditions of this loan are renegotiated every three months.

After this introduction, Section 2 examines IMF's supposed immunity from human rights law and explores arguments that challenge this stance. Section 3 investigates the causal links between the orthodox economic policies promoted by the IMF and the levels of realization of human rights, especially economic, social, and cultural rights. Section 4 analyses a case study on the mega-loan granted to Argentina by the IMF in 2018, its successive renegotiations, and the impact of these agreements on fiscal space and human rights. Section 5 concludes this chapter. Despite IMF's resistance to acknowledging the close linkage between its operation and human rights, this chapter demonstrates that such recognition has come of age. Accordingly, the IMF should consider the human rights implications of its work to fulfil its mandate in compliance with human rights law. This chapter also provides theoretical arguments and empirical explanation of how IMF's conditionalities may go hand in hand not just with the violation of economic, social, and cultural rights, but also that of civil and political rights. In some instances, the IMF's operation is even closely linked to human rights of a peremptory character.

II The IMF and Its Controversial Self-Isolation from Human Rights

Because it perceives itself as an institution with an exclusively economic mandate, the IMF argues that it should focus on monetary, fiscal, and financial matters only. It also justifies the increasing expansion of its substantive mandate to cover matters related to climate change, governance, inequality, social protection, and gender because of their potential impact on the macroeconomic and financial stability of countries.⁴

When responding to criticisms regarding the marginalization of human rights by the IMF, its executive director has recently explained:

calls for the Fund to emphasize human rights in its analysis fail to take into account the exclusively economic nature of the Fund's purposes as specified in its Articles of Agreement, which . . . preclude the Fund from using its powers for non-economic objectives. Importantly, these calls also do not take into account the important *indirect* contributions that the IMF makes to human rights—particularly economic and social rights—even while *carrying out its economic mandate* [emphasis added].⁵

To support its position, the IMF often invokes the principle of neutrality required by its statutes. While the IMF's statutes prevent it from taking 'political considerations' into account when making decisions, it cannot be argued that human rights violations constitute part of a country's political internal affairs; otherwise, IFIs would continue to financially support South Africa's Apartheid,

3 Noemi Brenta, 'Argentina y el FMI: un Enfoque Histórico de las Condicionales y su Incidencia en los Derechos Humanos Económicos y Sociales, 1956–2020' (2020) 18 *Revista Derechos en Acción* 311–45.

4 Kristalina Georgieva and Rhoda Weeks-Brown, 'The IMF's Evolving Role Within a Constant Mandate' (2023) 26 *Journal of International Economic Law* 17–29.

5 *ibid* 28 [emphasis added by authors].

as they did for many years.⁶ Accordingly, the IMF systematically violates the principle of neutrality when it imposes economic policies with an orthodox bias on governments.⁷

The IMF has claimed that '[it] has not accepted the Declaration on Human Rights as the motivating principle of [its] operations. UN agencies have generally accepted [its] arguments as establishing the limits of [its] engagement and obligations on promoting human rights.'⁸ In other words, the organization perceives itself above international human rights law. Yet it forms part of the United Nations system.⁹ Under Article 1.3 of the UN Charter, binding on the IMF, human rights are a pillar of the United Nations. UN treaty bodies and special procedures experts have confirmed¹⁰ that all IFIs—including the IMF—must respect the international human rights framework and can be held accountable if they fail to do so.¹¹

Martti Koskeniemi has highlighted a notable contradiction in the IMF's argument: it is not true that the organization does not touch on human rights, as it is eager to regulate the right to property, a human right recognized in international treaties.¹² Why does the IMF choose the human rights that deserve its consideration? Indeed, under international human rights law, civil and political rights as well as economic, social, and cultural rights are considered to be interrelated, interdependent and complementary. In other words, it is not possible to fulfil civil and political rights without respecting economic, social, and cultural rights and vice versa.

As mentioned, the director of the IMF has recently argued that the IMF *indirectly contributes* to the fulfilment of economic and social rights as it carries out its *economic mandate*. It is true, in theory, that economic policies could generate employment or reduce carbon emissions and gender inequality. However, the opposite could also occur. More precisely, the IMF's imposition of conditionality can affect human rights. The reappearance of diseases or the increase in infant mortality rates as a result of cuts in the health sector, or the differential effects on women of adjustments to social protection programmes cannot be overlooked by any organization governed by international law. Along the same lines and referring specifically to the IMF, the special rapporteur of the International Law Commission, Giorgio Gaja, stated in 2009 that it cannot be said 'that an organization is free from international responsibility if it acts in compliance with its constituent instrument.'¹³ Moreover, the member states of IFIs also have obligations and must take responsibility for the decisions they shape and support.¹⁴

6 Eric Tossussaint and Patrick Bond, 'South Africa: The Support of the World Bank and the IMF to the Apartheid Regime' <<https://www.cadtm.org/South-Africa-The-support-of-the-World-Bank-and-the-IMF-to-the-Apartheid-regime>>.

7 Alexandros Kentikelenis and Sarah Babb, 'The Making of Neoliberal Globalization: Norm Substitution and the Politics of Clandestine Institutional Change' (2019) 124 *American Journal of Sociology* 1731–38.

8 IMF, 'IMF and Human Rights' *Letter of the IMF Representative of the United Nations to the Independent Expert on Debt and Human Rights* (27 July 2017) <<https://www.ohchr.org/sites/default/files/Documents/Issues/IEDebt/impactassessments/IMF.pdf>>.

9 Agreement Between the United Nations and the International Monetary Fund, 15 April 1948, 16 UNTS 328.

10 CESCR, 'Public Debt, Austerity Measures and the International Covenant on Economic, Social, and Cultural Rights,' UN Doc. E/C.12/2016/1 (22 July 2016) para 9; Independent Expert on Debt and Human Rights, 'Impact of Economic Reform Policies on Women's Human Rights,' UN Doc. A/73/179, UN Human Rights Council (18 July 2018).

11 Juan Pablo Bohoslavsky, 'Complicity of International Financial Institutions in Violation of Human Rights in the Context of Economic Reforms' (2020) 52 *Columbia Human Rights Law Review* 201–50.

12 Martti Koskeniemi, 'Foreword' in *SPEAK OUT! at The Laboratory for Advanced Research on the Global Economy* (LSE Human Rights 2021) <<https://bit.ly/3CGLLbn>>.

13 Giorgio Gaja (Special Rapporteur), 'Seventh Report on Responsibility of International Organizations,' 20, UN Doc. A/CN.4/610 (27 March 2009).

14 CESCR, 'Public Debt, Austerity Measures and the International Covenant on Economic, Social, and Cultural Rights,' UN Doc. E/C.12/2016/1 (22 July 2016) para 9. It remains to be seen whether the Optional Protocol of the ICESCR can be used to sue States in their role as members of IFIs.

The ‘Guiding Principles on the Human Rights Impact Assessment of Economic Reforms,’ approved by the Human Rights Council in 2019, reflect the growing consensus within the international human rights protection system as to the binding nature of human rights for IFIs:

International financial institutions, bilateral lenders and public donors should ensure that the terms of their transactions and their proposals for reform policies and conditionalities for financial support do not undermine the borrower/recipient State’s ability to respect, protect and fulfil its human rights obligations. States, whether acting alone or within international financial institutions, as well as international financial institutions themselves, should not compel borrowing/receiving States to compromise satisfying their international human rights obligations or contribute to such compromise, either directly or indirectly. As a consequence, international financial institutions, bilateral lenders and other public donors, when granting a loan or giving policy advice in the context of economic reform measures, have an obligation to assess the human rights impact of those measures.¹⁵

III IMF Policies and their Impact on Human Rights

The IMF is one of the principal international organizations that promote policies oriented toward the free market, focusing on price stability, a balanced fiscal budget, opening up the economy, and privatizing public companies.¹⁶ In this context, it grants funds to its member countries under the conditions of its well-known structural adjustment programmes.¹⁷

Historically, the conditions have been dominated by the perspective that state problems are a consequence of ‘bad’ domestic policies that have a destabilizing effect on the balance of payments.¹⁸ The balance of payments considers the inflow and outflow of foreign currency, and if more foreign currency is leaving than entering, it registers a deficit. For the IMF, the origin of the imbalance lies in excessive government spending beyond its income. In emerging countries, however, government spending is oriented mainly toward fighting poverty, unemployment, and income inequality. According to monetarist theory, to which the IMF adheres,¹⁹ these imbalances affect a country’s principal economic variables’ dynamics on a macroeconomic level and thus require intervention from the monetary authority.²⁰ The central bank thus injects domestic currency into the economy and puts pressure on the exchange market, leading to an increase in price—the nominal exchange rate. To correct the imbalance, the government either reduces its spending drastically or increases the foreign currency flow through stimulating net exports or external borrowing. This theoretical framework has been dominant since the origins of the IMF; with slight modifications, it still permeates the thinking and politics of the organization today.²¹

15 Res. 40/8, UN Doc. A/HRC/RES/40/08 (21 March 2019) article 15.

16 Kentikelenis and Babb (n 7) 1723–24.

17 *ibid.*

18 Patricio Meller, ‘Revisión de los Enfoques Teóricos sobre Ajuste Externo y su Relevancia para América Latina’ (2019) 32 *Revista de la CEPAL* 208.

19 *ibid.*

20 Noemi Brenta, ‘Argentina y el FMI: Efectos Económicos de los Programas de Ajuste de Larga Duración’ (2012) 11 *Anuario del Centro de Estudios Históricos ‘Prof. Carlos S. A. Segreti’* 26.

21 Cristian Bonavida and others, *Argentina y el FMI: Análisis de un Nuevo Acuerdo* (Chaco: Escuela de Gobierno 2018) 5.

The recurring crises of the 1990s²² and 2008, largely provoked by imbalances in the financial and capital markets, led the IMF to rethink its role at the beginning of the 21st century.²³ Based on the idea of ‘globalization with a human face’ promoted by the United Nations Development Program in the late ‘90s, which propelled and consolidated the Post-Washington Consensus era,²⁴ the organization began to recognize poverty as a structural phenomenon rather than a transient one, thus requiring policies with greater *social protection*.²⁵

Nevertheless, the IMF did not completely abandon its neoliberal spirit;²⁶ rather, it has incorporated a new dimension considering problems originating from the development of financial markets and their financial engineering. In this vein, it will undertake reforms that will further accentuate its leading role to ensure international financial stability while maintaining its stance that crises result from poor internal politics.

However, crises are not merely due to the functioning of capital and financial markets. Instead, at least in some instances, they can paradoxically result from the IMF’s blunt monetary approach to the balance of payments. Contrary to the expectations of neoliberal theory, opening the economy up to international currency flow increases external debt, while the unrestricted flow of imports affects the balance of trade.²⁷ The combination of both creates an imbalance in the foreign exchange market, which affects countries like Argentina that depend strongly on the inflow of foreign currency for development of their production process. As a result, the external equilibrium predicted by the model becomes highly improbable once the increase in imports exerts pressure on the current account. This pressure is reflected in an outflow of foreign currency. Although the outflow can be reversed if new funds continue to enter the capital account, this does not usually happen, given that this income tends to be short-term and disconnected from the productive sector.²⁸ Thus, these funds tend to reverse their direction at times of great pressure on the exchange rate, forcing the government to intensify its pro-devaluation policies. This leads to increases in the price of imported goods, which through a marking mechanism leads to increasing prices and domestic inflation. Finally, all this brings about distributive bidding between companies, trade unions, and the government, which, through the continuous increase in salaries and profit margins, decreases the real value of salaries and employment and therefore leads to worse income distribution.²⁹

In sum, the policy prescriptions under this theoretical framework result in economies with governments deep in debt and markets in recession, leading to a decrease in tax revenue and an

22 See generally Oscar Ugarteche, *Historia Crítica del FMI. El Gendarme de las Finanzas. Capital Intelectual* (Capital Intelectual 2016).

23 Sarah Babb and Alexandros Kentikelenis, ‘International Financial Institutions as Agents of Neoliberalism’ in En D Cahill and others (eds), *The SAGE Handbook of Neoliberalism* (SAGE 2018) 16–27.

24 Pablo Nemiña, Tomás Gulias and Federico Rudistein, ‘FMI y Política Social desde el Prisma Argentino: Tres Décadas de Cambios, desde las Redes al Piso de Protección Social’ (2020) 18 *Derechos en Acción* 405–34.

25 *ibid.*

26 Alexander Kentikelenis, Thomas H Stubbs and Lawrence P King, ‘IMF Conditionality and Development Policy Space, 1985–2014’ (2016) 23 *Review of International Political Economy* 543–82.

27 Brenta (n 20) 322–32.

28 Martín Abeles, Facundo Grimberg and Sebastián Valdecantos, ‘La Inversión Extranjera Directa en América Latina: Algunas Implicancias Macroeconómicas’ in Martín Abeles, E Pérez Caldentey and Sebastián Valdecantos (eds), *Estudios sobre Finanzierización en América Latina* (CEPAL 2018).

29 Leonardo Vera, ‘Inflación Estructural Redux’ (2013) 69 *Ensayos Económicos* 37–99.

increase in debt service payments.³⁰ This combination puts pressure on the fiscal deficit and redirects government spending, reducing policies that protect and fulfil human rights.

Despite this, the IMF did not question this theoretical basis but rather its historic structural adjustment programmes, which it timidly recognized as promoting greater inequality and exacerbating the crisis. This recognition has resulted in putting greater emphasis on fighting poverty and improving income distribution. Indeed, the IMF's Articles of Agreement explicitly state that it must ensure stability in the balance of payments, an objective achieved, among other factors, by maintaining a relatively stable price level. However, as conflicts arise due to issues of social and distributive inequity, inflation tends to fluctuate, impacting the exchange rate and, indirectly, the flows of external capital. Consequently, it can be argued that addressing income inequality problems is fundamental to the IMF's mandate, a phenomenon the IMF itself recognizes as a *macro-critical* issue.³¹

However, even during the 2008 financial crisis and the COVID-19 pandemic, the IMF technical reports that highlighted the importance of the stimulus policies carried out by countries recommended extensive structural reforms.³² They also identified rigid labour laws as one of the factors hindering recuperation.³³ They required reforms such as curtailing employment protection, enhancing trade liberalization, and tax reductions, following the organization's liberal and orthodox orientation.³⁴

In particular, the IMF's interference in labour policies reflects what Alain Supiot calls 'normative schizophrenia',³⁵ referring to the tensions felt by sovereign states when they must reconcile clearly contradictory positions: on the one hand, IMF recommendations, and on the other, those arising from human rights treaties (mainly economic, social, and cultural rights).³⁶

Along the same lines, the managing director of the IMF Kristalina Georgieva examines the substantial role played by the state in the recovery from COVID-19 and in enhancing equal access to medical care and education.³⁷ She emphasizes the importance of public investment in health, education, and sanitary sectors but conditions it on an initial phase of improvement of the debt burden. Nonetheless, she recommends that, in the future, the populations of emerging countries should have greater access to financial products that facilitate 'consumption smoothing'.³⁸ This consists of the introduction of new mechanisms that may lead to heavier borrowing in the private sector of these countries, with the risks this entails.

In conclusion, for the IMF, macroeconomic and financial imbalances continue to be a consequence of domestic policies and weakness when facing exogenous shocks, whether due to

30 Noemi Brenta, 'Los Acuerdos de Alta Condicionalidad entre Argentina y el FMI, 1956–2022' (2022)1 *Revista de Investigación en Economía y Responsabilidad Social* 1–14.

31 Kristalina Georgieva and Rhoda Weeks-Brown, 'The IMF's Evolving Role Within a Constant Mandate' (2023) 26 *Journal of International Economic Law* 17–29.

32 IMF, 'G-20 Report on Strong, Sustainable, Balanced, and Inclusive Growth' (IMF 2020).

33 Wenjie Chen, MicoMrkaic and Malhar S Nabar, *The Global Economic Recovery 10 Years after the 2008 Financial Crisis* (IMF 2019).

34 *ibid.*

35 Natalia Delgado, 'La Disolución de los Antagonismos entre el FMI y los Derechos Laborales' (2021) 18 *Derechos en Acción* 483.

36 *ibid* 479–516.

37 Kristalina Georgieva, 'The Global Economic Reset—Promoting a More Inclusive Recovery' (*IMF Blog*, 11 June 2020) <<https://www.imf.org/en/Blogs/Articles/2020/06/11/blog061120-the-global-economic-reset-promoting-a-more-inclusive-recovery>>.

38 *ibid.*

excessive deficit or heavy debt. ‘Discretionary’ fiscal policies, as the IMF calls them, would only have a short-term effect, although they would certainly lead to an increase in debt.³⁹ As a result, central to IMF programmes is the risk that governments’ discretionary fiscal policies take precedence over all other policies, a concept known in the literature as *fiscal dominance*.⁴⁰ This critical view of government intervention in the economy favours *fiscal consolidation* regarding stimulus policies as recessionary and irrelevant to growth. In contrast, greater *fiscal austerity* favours economic recovery through the stimulus of private investment—savings become available again for business financing rather than public spending—leading to increased employment and income, and reduced inflation and debt levels.⁴¹ In addition, if the policy of reduced spending is credible, it should improve confidence levels, increase the value of stocks and the wealth of capital markets, and boost consumption and aggregate demand through a positive wealth effect.⁴²

The policy commitments prescribed by the IMF affect the development of economies resorting to its financial assistance. Although the IMF does not implement its policies directly in its member countries, even the discretion with which it selects its beneficiaries indirectly affects them. Revealing examples include the experience of Latin American countries that accessed IMF programmes during the mandates of governments undertaking liberal reforms. For instance, Argentina, Chile, and Uruguay accessed IMF programs during their dictatorial regimes in the 1970s.⁴³ In the agreement signed between Argentina and the IMF during General Rafael Videla’s (1976–1982) military government (1976–81), the IMF imposed a reduction in real wages as an explicit condition.⁴⁴ Another emblematic case is that of Jamaica, which concluded several IMF programmes in the late 1970s and early 1980s.⁴⁵ The policy conditionalities that the Jamaican government had to implement included a devaluation of its currency, a drastic reduction in salaries to moderate the demand for imported goods, the complete deregulation of the economy, a reduction in subsidies and state intervention, and complete openness to foreign business competition.⁴⁶

The Latin American debt crisis provided an ideal context for the IMF to strengthen its orthodox policies. This phenomenon led to the so-called Plan Baker. Launched in October 1985 at the IMF/World Bank annual meeting in Seoul, by James Baker, then United States Secretary of the Treasury, the plan aimed to fight the international debt crisis.⁴⁷ Loans granted from major international

39 Alasdair Scott, ‘IMF Survey: Making Fiscal Stimulus Effective During Downturns’ *IMF News* (2 October 2008) <<https://www.imf.org/en/News/Articles/2015/09/28/04/53/sores100208b>>.

40 Markus Brunnermeier, ‘Rethinking Monetary Policy in a Changing World’ *IMF Finance and Development Magazine* (March 2023) <<https://www.imf.org/en/Publications/fandd/issues/2023/03/rethinking-monetary-policy-in-a-changing-world-brunnermeier>>.

41 Alberto Alesina, Carlo Favero and Francesco Giavazzi, ‘Effects of Austerity: Expenditure- and tax-based Approaches’ (2019) 33 *Journal of Economic Perspectives* 141–62.

42 Rodrigo de Rato, ‘Benefits of Fiscal Consolidation,’ Remarks by Rodrigo de Rato, ‘Managing Director of the IMF to the Real Academia de Doctores’ (*IMF Speech* 25 November 2004) <<https://www.imf.org/es/News/Articles/2015/09/28/04/53/sp112504b>>; Tobias Adrian and Vitor Gaspar, ‘Cómo Puede Ayudar la Restricción Fiscal a Luchar contra la Inflación’ (*IMF Blog*, 22 November 2022) <<https://www.imf.org/es/Blogs/Articles/2022/11/21/how-fiscal-restraint-can-help-fight-inflation>>.

43 Pablo Nemíña and Juan Larralde, ‘Etapas Históricas de la Relación entre el Fondo Monetario Internacional y América Latina (1944–2015)’ (2018) 25 *América Latina en la Historia Económica* 275–313.

44 Noemí Brenta, Elsa Gracida and Mario Rapoport, ‘Argentina, México y el FMI en la Crisis de los Setenta’ (2009) 18 *Ciclos* 11–46.

45 Richard Bernal, ‘The IMF and Class Struggle in Jamaica, 1977–1980’ (1984) 11 *Latin American Perspectives* 53–82.

46 *ibid* 65.

47 Kentikelenis and Babb, note 8, 1735.

organizations through this plan, under pressure from the United States, were subject to the condition of implementing neoliberal policies.⁴⁸

Consistent with its neoliberal orientation, during the 1990s, the IMF promoted relaxing the restrictions on the balance of payments capital account.⁴⁹ This policy affected not only developed countries but also, and to a greater extent, developing countries,⁵⁰ ‘strongly supporting the implementation of economic liberalization policies inspired by the Washington Consensus.’⁵¹

IMF policies can also affect human rights indicators. Regarding income distribution, abundant evidence shows how these programmes increase the Gini coefficient—the measure of statistical dispersion representing the income inequality within a nation or a social group. These programmes have a greater impact on countries with lower fiscal spending, openness, and liberalization of the current and capital accounts.⁵² In line with this, an empirical study of 135 countries found that the structural adjustment programme worsened income distribution.⁵³

Social rights have suffered severe cuts due to the conditionalities imposed by the IMF. A report highlights that there have been reductions in subsidies for energy, food, and social security and an increase in the retirement age.⁵⁴ The IMF is inclined to demand legal changes to render the labour market more flexible, recover investments, and reduce inflation.⁵⁵ Indeed, between 2018 and 2019, several Latin American countries implemented labour reforms in this direction.⁵⁶ All these policy recommendations undermine social rights and affect workers while enhancing the profits of businesses.

The IMF conditionalities also affect economic rights. Econometric estimations in 191 emerging countries reveal that IMF programmes skew the tax structure toward greater pressure on household consumption.⁵⁷ Taxes on personal income and corporate businesses are considered distortive. Thus, regressive tax regimes are evident; they impact mainly low-income sectors, increasing poverty levels.

48 On the correlation between IMF programmes and the interests of the United States, see Miles Kahler, ‘The United States and the International Monetary Fund: Declining Influence or Declining Interest?’ in Margaret Karnsand and Karen Mingst (eds), *The United States and Multilateral Institutions: Patterns of Changing Instrumentality and Influence* (Routledge 1990) 91–114; Ngaire Woods, ‘The United States and the International Financial Institutions: Power and Influence within the World Bank and the IMF’ in Rosemary Foot, S Neil McFarlane and Michael Mastanduno (eds), *US Hegemony and International Organizations* (OUP 2003) 92–114.

49 Jeffrey M Chwieroth, *Capital Ideas: The IMF and the Rise of Financial Liberalization* (Princeton UP 2010).

50 *ibid.*

51 Pablo Nemiña, ‘El FMI y la Política Económica Argentina’ in *DOSSIER ARGENTINA: 30 Años de Democracia* (Universidad de Buenos Aires 2013) 150–63.

52 Elaine R Jijón Gordillo, ‘Las Medidas de Ajuste Planteadas por el Fondo Monetario Internacional y el Efecto en la Desigualdad, Caso Ecuador. Periodo 2001–2019’ (2022) 8 *Dominio de las Ciencias* 616–36.

53 Timon Forster and others, ‘How Structural Adjustment Programs Affect Inequality: A Disaggregated Analysis of IMF Conditionality, 1980–2014’ (2019) 80 *Social Science Research* 83–113.

54 Peter Bakvis, Miriam Brett and Barry Herman, *The IMF’s New Policy Framework on Social Protection* (Global Coalition for Social Protection Floors 2019) <<https://www.socialprotectionfloorscoalition.org/2019/01/the-imfs-new-policy-framework-on-social-protection/>>.

55 Julián Casas Herrera, ‘Implicaciones de los Acuerdos del Fondo Monetario Internacional sobre la Pobreza en Colombia’ (2017) 38 *Económicas* 22.

56 Delgado (n 35) 512.

57 Bernhard Reinsberg, Thomas Stubbs and Alexander Kentikelenis, ‘Taxing the People, not Trade: The International Monetary Fund and the Structure of Taxation in Developing Countries’ (2020) 55 *Studies in Comparative International Development* 278–304.

For the IMF, these policies are necessary in the short term because they imply a lower tax burden on the business sector and, in the medium term, because they positively impact on investment, income, and, ultimately, poverty reduction. This perspective stems from a narrow conception of poverty, which relates it exclusively to income insufficiency,⁵⁸ rather than viewing it as a multidimensional phenomenon. In contrast, since 2010, the UNDP has developed an index that measures structural poverty by considering three dimensions: health, education, and living conditions.⁵⁹

Lastly, a brief reference should be made to the impact that the IMF has on access to the right to education and cultural rights. Although its policies are aimed at affecting the macroeconomy, they cause contractions of public coffers indirectly impacting cultural and even education rights. On the one hand, governments needing to maintain balanced budgets and reduce spending during crises—under the IMF’s structural adjustment framework—may find themselves with fewer funds available for investment in education.⁶⁰ Examples of this include scholarship programs and other mechanisms that promote greater equal access to education.⁶¹ This primarily affects the most vulnerable and low-income sectors, further deepening social inequalities. On the other hand, the decline in population incomes, the rise in poverty, and increased social vulnerability also translate into higher school dropout rates.⁶²

IV The Case of Argentina

Argentina has a long history of resounding socioeconomic failures in connection with IMF agreements. It presents particular characteristics due to the bimonetary nature of its economy. The reforms initiated in the 1990s with the Convertibility Plan involved establishing a Currency Board Arrangement with a fixed parity of one Argentine peso to one US dollar, based on a currency that had undergone 100% appreciation and simultaneous financial and trade liberalization, all sustained by law. The constant imbalances between foreign currency income from foreign trade and expenditure to sustain profit remittance—largely from the privatized firms themselves—required annual disbursements by the IMF of approximately ten billion dollars between 1992 and 2001.⁶³ Furthermore, from 1998 to 2001 the levels of unemployment and poverty rose due to a strong deindustrialization process caused mainly by the appreciation of the currency and trade liberalization. In this way, industrialists became more importers than producers of goods, due to the high costs in Argentina; this resulted in the paradox of high salaries in dollars, which were insufficient to cover the price of basic goods and services.

Consequently, a massive flight of foreign capital occurred in 2001, which made it impossible to sustain the conversion system. There were no longer dollars available to convert into pesos between March and August of 2001. Between December 2001 and the beginning of 2002, one

58 Casas Herrera (n 55).

59 Sabina Alkire and Usha Kanagaratnam, ‘Revisions of the Global Multidimensional Poverty Index: Indicator Options and their Empirical Assessment’ (2021) 49 *Oxford Development Studies* 169–18.

60 Gülay Aslan, ‘International Monetary Fund and Its Effects on Education’ in David A Turner, Hüseyin Yolcu and Selda Polat Hüsrevsahi (eds), *The Role of International Organizations in Education* (Brill 2022) 29–51.

61 Nicandro Quirós, ‘Impacto de las Becas Escolares sobre el Abandono Escolar y la Desigualdad de Ingresos en Argentina’ (2023) Asociación Argentina de Economía Política: Working Papers 4511, 1–48.

62 Esteban Neubauer, Nicolás Ruiz and Sara Álvarez Pavón, ‘La OEI y las Metas 2021: Evolución del Derecho a la Educación en Latinoamérica y el Caribe’ (2023) 7 *RECIE. Revista Caribeña De Investigación Educativa* 83–104.

63 Roberto Kozulj, ‘Los Desequilibrios de la Economía Argentina: Una Visión Retrospectiva y Prospectiva a Diez Años de la Convertibilidad’ [2002] *Revista Comercio Exterior* 640–55; Shinji Takagi and others, *The IMF and Argentina, 1991–2001* (International Monetary Fund, Independent Evaluation Office 2004).

of the worst political, economic, and social crises hit Argentina. The IMF refused to continue disbursing foreign currency due to the evident ‘moral risk’ in replenishing reserves depleted by continuous capital flight. The tension between monetary and fiscal policies and the stabilization of the exchange rate affects the realization of human rights, particularly economic, social, and cultural rights.

Argentina’s debt decreased by 7.5 billion dollars between 2001 and 2015, but then between 2015 and 2019, it increased by 111 billion dollars. The public debt increase largely resulted from speculative debt that involves attracting investments in dollars, converted into Argentine pesos, to mitigate pressure on a constantly fragile foreign exchange market.⁶⁴ Thus, the reserves of the Central Bank of the Argentine Republic (BCRA) rebounded to a peak of 71.8 billion dollars by April 2019, only to fall to 48.7 billion dollars in September of the same year.⁶⁵ While the external debt to gross domestic product ratio was 26% in 2015, it rose to 63% in 2019. Between 2015 and 2018, the nominal GDP expressed in current dollars fell by 20%, the balance of trade current account negative balance rose by 9.5 billion dollars, and the nominal exchange rate rose by 294%. All this led to high levels of inflation and poverty.⁶⁶

Far from improving the country’s living conditions, the gap between the official dollar exchange rate and that of the parallel market accelerated the inflationary spiral. In other words, as reserves became scarcer, the controls and restrictions on access to foreign currency at the official rate drove a parallel market that fuelled inflationary expectations. This situation arose due to BCRA regulations that aimed to save in pesos the higher earnings derived from wage adjustments. This generated conditions for a future financial crisis due to the asymmetry between the savings in pesos, expressed in dollars at the official rate, and the BCRA reserves. The social cost of correcting this imbalance was exacerbated in 2023 by the negative trade balance caused by a drought of unprecedented severity and an inflationary process fuelled by the mechanism for ‘drying up’ the excess pesos to prevent them being used to demand dollars. Further devaluation would thus lead to a recession that would neutralize efforts to maintain employment at reasonable levels, and without this level of employment, the social crisis would take on gigantic proportions. At the same time, the spectre of hyperinflation made it tremendously difficult to intensify the struggle against extreme poverty.

Home and family conditions were affected by the evolution of the exchange rate due to the cycle of the flight of foreign currency, new devaluations, and inflation. For instance, the minimum wage in dollars fell from around 605 in 2015 to 288 in 2019.⁶⁷ Therefore, in 2019 an income of three minimum wages was necessary to avoid poverty. At the same time, the value of the basic food basket that measures the extreme poverty line suffered enormous increases, long before they could be attributed to the increase in international food prices in 2022.⁶⁸ This can be seen in

64 Argentina’s Ministry of Finance, *Evolución de la Deuda Bruta* <<https://www.argentina.gob.ar/economia/finanzas/graficos-deuda/evolucion-de-la-deuda-bruta>> (last visited 18 June 2024).

65 Data on the reserves are published daily by the Central Bank of the Argentine Republic (BCRA) <[https://www.bcra.gob.ar/PublicacionesEstadisticas/Principales_variables_datos.asp?serie=246&detalle=Reservas%20Internacionales%20del%20BCRA%A0\(en%20millones%20de%20d%F3lares%20-%20cifras%20provisorias%20sujetas%20a%20cambio%20de%20valuaci%F3n](https://www.bcra.gob.ar/PublicacionesEstadisticas/Principales_variables_datos.asp?serie=246&detalle=Reservas%20Internacionales%20del%20BCRA%A0(en%20millones%20de%20d%F3lares%20-%20cifras%20provisorias%20sujetas%20a%20cambio%20de%20valuaci%F3n)> (last visited 18 June 2024).

66 See generally Roberto Kozulj, ‘La Evolución de los Indicadores de Desempeño Económico de la Argentina en el Período 2004–2022’ [2022] Cuadernos de Economía Argentina 1–70 <<http://rid.unrn.edu.ar/handle/20.500.12049/9988>>.

67 The minimum vital and mobile wage is taken from the values fixed by the Ministry of Labour, Employment and Social Security, and is converted to dollars using the monthly exchange rate published by the BCRA.

68 The international index of food prices according to FAO was 97.3 between January 2016 and December 2019, whereas between January 2021 and June 2023 it was 125. See FAO Food Price Index, Nominal and Real indices from 1990 onwards (monthly and annual) <<https://www.fao.org/worldfoodsituation/foodpricesindex/en>>.

Figure 27.1, which compares the evolution of the extreme poverty line and the minimum vital and mobile wage.⁶⁹

These tensions have worsened since 2018 due to the agreement signed with the IMF and renegotiated in April 2022. The agreement represents, in 2023, a significant restraint for implementing effective public policies to ensure the realization of the minimum level of human rights. Because of other factors that influenced the economy over this period, it is difficult to evaluate the results of adjustment programmes like that agreed to with the IMF. However, one of the most widely used evaluation methods is to compare the macroeconomic variables at the beginning of the programmes with those at the end. For example, this could be applied to the three main target variables of macroeconomic policy: growth, inflation, and employment. In turn, because these variables influence the living conditions of the population, other factors can be taken as indirect indicators like wages, poverty, and indigence.⁷⁰ In Argentina, both the level of the minimum wage and the components of public social spending allocated to social protection grew at a much slower rate than the devaluations and inflation measured by the Consumer Price Index (CPI); this explains the large increase in the levels of poverty and vulnerability of vast sectors of society.

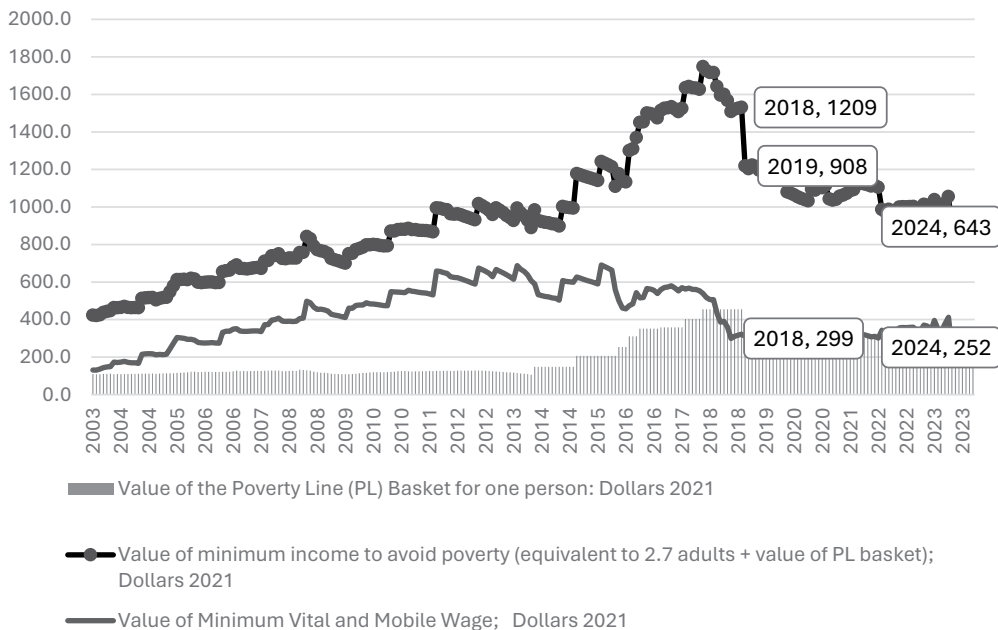


Figure 27.1 Estimation of the Evolution of the Value of the Poverty Line and the Minimum Vital and Mobile Wage: Values in Constant 2021 Dollars, 2003–22

Source: Own elaboration based on data from the National Institute of Statistics and Census (INDEC), the Ministry of Labour, Employment and Social Security (MTEySS), the Central Bank of the Argentine Republic (BCRA), and the Bureau of Labour Statistics.

69 Roberto Kozulj, 'La Evolución de los Indicadores de Desempeño Económico de la Argentina en el Período 2004–2022' (2022) Working Paper PI-40-C969, UNRN <<https://rid.unrn.edu.ar/handle/20.500.12049/9988>>.

70 Brenta (n 20) 311–45.

As a result of the 2018 IMF agreement, by 2019 the gap between the primary and financial results reached its maximum value. There was a pronounced increase in debt interest payments, to the detriment of budget allocations for social welfare policies like family allowance and other public spending associated with basic human rights, such as access to food, health, education, and work. In addition, funds were reallocated that could have been used to cancel short-term debts incurred because of previous speculative investments. These investments were encouraged by the high financial returns offered by the BCRA, as the product of savings created through policies that sought to avoid recession, and they transformed the loss of purchasing power of wages into profits.

The 2018 Stand-By Agreement (SBA) for Argentina stipulated that the loan be fully repaid in 2024.⁷¹ Its aims were not even remotely achievable, especially considering the severe impact on human rights that had already been recorded due to the adjustments made between 2015 and 2017. The decrease in real wages in many cases affected access to food and the realization of adequate living standards. The conditionalities imposed by the SBA with the IMF in June 2018 have reduced the public budget in key areas of state spending in the social sector. The affected areas would ensure the realization of rights related to childhood, such as food, water, adequate housing, sanitation, education, health, and participation in cultural life.

This scrutiny leads us to question the motives of the IMF in granting Argentina an unpayable loan. In the case of Argentina the organization had all the information it needed to flatly reject the request for an SBA in 2018; this was a clear case, typified in the IMF literature, and its own Agreement discouraged the loan, as it prohibits the financing of capital flight.

V Conclusions

Despite its official endorsement of the political neutrality principle, the IMF is constrained by international human rights law. Not only does this view conform with the UN Charter, but it also aligns with the interpretation of international human rights law elaborated by the United Nations' Special Procedures and Treaty bodies as well as regional human rights courts. It is simply inconceivable that an international organization operating within the United Nations aspires to be immune from human rights considerations.

Moreover, the typically orthodox economic policies required by the IMF from its sovereign debtors frequently lead to human rights violations, including civil and political rights as well as social, economic, and cultural rights. The IMF itself has gradually acknowledged this global reality after the recurring crises of the late 1990s. Even though during the COVID-19 pandemic the IMF enabled a certain expansion of the fiscal capacity of governments to protect the most vulnerable sectors, the guiding principle of its periodic monitoring was—and continues to be—to ensure sufficient funds for full repayment of its loans.

This myopic, unrepentant, and inflexible focus on loan repayment has been an obstacle to the fulfilment of civil and political rights as well as economic, social, and cultural rights, ultimately affecting the political, economic, and cultural self-determination of peoples living in debtor countries. On the one hand, although the IMF aims to remain immune to empirical refutations of the results of its policies and its responsibility for human rights violations, these conditionalities

71 For a comprehensive account of the impact of the SBA on sustainability, see General Auditor of the Nation, 'Deuda Pública Acuerdo con el FMI. Impacto sobre la Solvencia y la Sostenibilidad. Auditoría especializada de Deuda Pública Período 2018–2019,' Proceedings 294/2020 <<https://www.agn.gob.ar/sites/default/files/informes/2023-063-Informe.pdf>>.

increase macroeconomic instability, social conflict, and democratic governance deficits. On the other hand, fiscal austerity significantly influences indicators such as employment, poverty, and income distribution, thus particularly affecting economic, social, and cultural rights.

Focusing on the case of Argentina, the 2018 SBA signed with the IMF affected the value of wages thus lowering workers' purchasing power of food and other basic goods and services that help measure poverty. This agreement also caused the reduction of public social spending destined to protecting the most vulnerable sectors of society and fulfilling rights such as access to food, clean water, adequate housing, sanitation, health, education, and participation in cultural life.

With the inauguration of the new government in 2024 (President Javier Milei) and despite having deepened successive adjustments based on IMF prescriptions, the results to date are even worse than those of 2023. Poverty, unemployment, and inflation rates have dramatically increased, although now with a more than 5% drop in GDP (first quarter of 2024). Furthermore, despite having devalued the national currency by 118%, the exchange rate gap points to 150% in June 2024, which could accelerate the inflation rate or further deepen the recession and unemployment scenario. The threat against of (all) human rights in the country could rise to levels not seen in the last 40 years, since the restoration of the rule of law in Argentina.⁷²

The Argentine case studied in this chapter shows the need of putting human rights at the centre of all economic decision-making, in particular the international financial architecture.⁷³ A number of reforms that foster more democratic decision-making processes, as well as reforms that are development and human rights oriented, are urgently needed in the global financial governance, including the IMF.

72 Volker Türk, 'Update to the 56th Session of the Human Rights Council,' UN High Commissioner for Human Rights (18 June 2024) <<https://www.ohchr.org/en/statements-and-speeches/2024/06/we-must-urgently-find-our-way-back-peace-says-high-commissioner>> (reporting that 'In Argentina, recent proposed and adopted measures risk undermining human rights protection. These include cuts to public spending particularly affecting the most marginalised, the announced closure of State institutions dedicated to women's rights and access to justice' and urging 'the authorities to place human rights at the centre of their policy making, to build a more cohesive and inclusive society. This also means full respect for the right to peaceful assembly and freedom of expression').

73 See *ibid.* (noting that 'A human rights economy is a lever for social justice. It promotes equal opportunities, meaningful participation, and investment in essential services. It helps forge trust in public institutions, fostering the social contract. Globally, we need to bring our economic systems—from trade treaties to investment agreements, business regulation to development frameworks—in line with human rights, including the right to development. This also has consequences for the reform of the international financial architecture'). See also Barry Eichengreen, 'IMF Reform is Tricky: The US and China Will Need to Work Together' *Guardian* (18 July 2024) <https://www.theguardian.com/business/article/2024/jul/18/imf-reform-us-china-europe-barry-eichengreen?CMP=Share_iOSApp_Other>; Volker Türk, 'Integrating Human Rights into the International Financial Architecture Reforms: A Cornerstone for Realizing the 2030 Agenda for Sustainable Development and a Human Rights Economy,' Speech delivered at the Sixth Intersessional Meeting of the Human Rights Council on Human Rights and the 2030 Agenda (18 January 2024) <<https://www.ohchr.org/en/statements-and-speeches/2024/01/integrating-human-rights-international-financial-architecture>> (calling for 'urgent reforms of the governance of international financial institutions, including the World Bank and the International Monetary Fund [that] must also transform their economic paradigm. To firmly anchor macroeconomic policies and financing decisions in human rights').

TAKING SUSTAINABLE DEVELOPMENT SERIOUSLY IN INTERNATIONAL ECONOMIC LAW

Marie-Claire Cordonier Segger

I. Introduction

Pressing global sustainability challenges of climate change, linked to rising food insecurity, growing systemic inequalities and human suffering, vulnerability to pandemics, natural resource degradation and scarcity, and escalating contemporary world conflict pose increasingly serious threats to social well-being and respect for human rights, ecological protection and restoration, undermining the potential for economic development and progress. Among other indicators, extreme weather events triggered by climate change are underlining the vulnerability of cross border supply of goods, resulting in substantial reductions in agricultural output and threatening food security on a global scale.¹ Two-thirds of World Trade Organisation (WTO) members self-designate as ‘developing countries,’ and conditions for heavily indebted poor countries, as well as for marginalized communities within countries are worsening in many ways.² Additionally, wildlife populations have declined by an average of 69% in the past 50 years, with human natural resources exploration, fuelled by investment and trade opportunities, identified as a contributing factor to significant biodiversity loss.³ Challenges such as these have reinforced the importance of establishing international trade and investment rules which incorporate social and environmental

1 Rose Daphnee Tchoukouang, Helen Onyeaka and Hugue Nkoutchou, ‘Assessing the Vulnerability of Food Supply Chains to Climate Change-induced Disruptions’ (2024) 920 (1) *Science of the Total Environment* 1, 2. See Intergovernmental Panel on Climate Change, *Climate Change 2023: Synthesis Report* (IPCC 2023); Intergovernmental Panel on Climate Change, *Climate Change 2022: Impacts, Adaptation and Vulnerability* (IPCC 2022); Intergovernmental Panel on Climate Change, *Climate Change 2021: The Physical Science Basis* (IPCC 2021).

2 Claire Weinhardt and Till Schöfer, ‘Differential Treatment for Developing Countries in the WTO: The Unmaking of the North–South Distinction in a Multipolar World’ (2021) 43(1) *Third World Quarterly* 74–93, 86. See United Nations Conference on Trade and Development, *The Least Developed Countries Report 2024* (UNCTAD 2024); United Nations Conference on Trade and Development, *World Investment Report 2024* (UNCTAD 2024); United Nations Conference on Trade and Development, *Economic Development in Africa Report 2024* (UNCTAD 2024); United Nations Conference on Trade and Development, *Digital Economy Report 2024: Shaping an Environmentally Sustainable and Inclusive Digital Future* (UNCTAD 2024).

3 See World Wildlife Fund, *Living Planet Report 2024* (WWF 2024); Intergovernmental Science-Policy Platform on Biodiversity and Ecosystem Services, *Global Assessment Report on Biodiversity and Ecosystem Services* (IPBES 2019).

concerns into economic planning and policymaking. This is integral to achieving a more sustainable global economy.

The relevance of sustainability to economic development is not novel. In fact, its origins can be traced back millennia to the ancient irrigation systems of Sri Lanka and the high Alps of Switzerland, the food security rules and practices of the Iroquois Confederacy, the fisheries management systems of the Nuu-chah-nulth and Māori nations, or the German Forestry Academies of the 18th century with their rules for ‘sustained yield,’⁴ in addition to matters raised in the *Pacific Fur Seal Arbitration* of 1893.⁵ Such concepts were recognized in the 1973 *Stockholm Declaration of Principles* (which established a connection between environmental protection and economic development),⁶ the 1987 *Brundtland Report*⁷ (which addressed international environmental concerns about economic development), the subsequent 1992 *Rio Declaration on Environment and Development* (Rio Declaration) and Agenda 21 (which bridged environmental and development objectives),⁸ the 2002 *Johannesburg Plan of Implementation for Agenda 21 (JPOI)*, and the 2012 *UN Conference on Sustainable Development Declaration (The Future We Want)*, as well as the 2024 *UN Summit of the Future Declaration*.⁹ Various international institutions have been at the forefront of debates concerning ways that the global economy could foster more sustainable development, including the United Nations and its agencies (United Nations Environment Programme [UNEP], United Nations Development Programme [UNDP], United Nations Conference on Trade and Development [UNCTAD], United Nations High Commissioner for Refugees [UNHCR], and others), the WTO, the Organization on Economic Cooperation and Development (OECD), the International Labor Organisation (ILO), and the World Health Organization (WHO), among others.

Most notably, in 2015, building upon the UN Millennium Development Goals, the adoption of the landmark 2030 Agenda for Sustainable Development (Agenda 2030), accompanied by its annexed 17 Sustainable Development Goals (SDGs) and 169 targets marked a landmark global commitment to advance sustainable development.¹⁰ The relevant SDGs call for global cooperation and action on key public policy priorities, including poverty and hunger, health and education, gender equality, labour and inequality, access to clean water and energy, infrastructure and

4 See Peter Sand, ‘Sustainable Development—Of Forests, Ships and Law’ (2007) 37(1) *Environmental Policy and Law* 3 (also referring to the publication of a scientific treatise called ‘*Sylvicultura Oeconomica*’ in 1713 by Johann [Hannss] Carl von Carlowitz which contained the first formulations of the precautionary principle for intergenerational benefits through sustained use).

5 See Marie-Claire Cordonier Segger and Damilola Olawuyi, *Sustainable Development Law: Principles, Practices and Prospects* (OUP 2025); Marie-Claire Cordonier Segger, ‘International Law on Sustainable Development’ in David Armstrong (ed), *Routledge Handbook of International Law* (Routledge 2009); Philippe Sands, ‘International Law in the Field of Sustainable Development’ (1994) 65(1) *British Yearbook of International Law* 303, 306.

6 Stockholm Declaration on the Human Environment (adopted 16 June 1972) A/CONF.14/48/Rev. 1. See particularly principles 4, 13, 15–20; United Nations, *World Charter for Nature* (28 October 1982) A/RES/37/7.

7 World Commission on Environment and Development (WCED), ‘Our Common Future: Report of the World Commission on Environment and Development’ (1987) UN-Document A/42/427.

8 Rio Declaration on Environment and Development (adopted 14 June 1992) A/CONF.151/26 (vol. I). See principles 2–7, 10, 11, 13, 15, 17–19.

9 The Future We Want (adopted 22 June 2012) UNGA Res 66/288; Pact for the Future (adopted 22 September 2024) UNGA Res 79/1.

10 United Nations General Assembly, Transforming Our World: The 2030 Agenda for Sustainable Development (adopted 25 September 2015) UNGA Res 70/1; For further reading see M-C Cordonier Segger and D A Wardell (eds), *Implementing CITES for Sustainable Development* (CUP 2023); M-C Cordonier Segger and M Szabo (eds), *Intergenerational Justice in Sustainable Development Treaty Implementation* (CUP 2020).

innovation, cities and communities, more sustainable production and consumption patterns, climate change, life below water and on land, and also peace and justice.¹¹ Crucially, Agenda 2030 singles out trade and investment as crucial in their contribution to all other SDGs, defining international trade as ‘an engine for inclusive economic growth and poverty reduction, [that] contributes to the promotion of sustainable development.’¹² Indeed, under SDG 17.10, states commit to ‘promot[ing] a universal, rules-based, open, non-discriminatory and equitable multilateral trading system,’¹³ and under SDG 17.5, they plan to ‘adopt and implement investment promotion regimes for least developed countries.’¹⁴ Further, under SDG 17.11, states seek to ‘significantly increase the exports of developing countries,’¹⁵ and under SDG 10, they aim to reduce inequality within and among countries.¹⁶ Assessed cumulatively, states seem convinced that international trade and investment, regulated through international economic law, have an integral role to play in achieving sustainable development.

A commitment to sustainable development evokes both intergenerational and intragenerational equity. Intergenerational equity is founded on the idea that decision-making must respect and take into account the interests of both present and future generations.¹⁷ Intragenerational equity mandates fair economic and social development amongst nations, requiring the outcomes of development within a single generation to be distributed equitably between developing and developed states.¹⁸

A commitment to *sustainable* development is a commitment to a different, alternative type of securing livelihoods and progress, whereby social justice and environmental integrity are considered and respected, rather than adversely impacted.¹⁹ Many have advanced, in this light, a legal *principle of integration* whereby economic decision-making is required to internalize environmental and social considerations.²⁰ As was affirmed by the UN General Assembly in 1997 and codified

11 Marie-Claire Cordonier Segger, *Athena's Treaties: Crafting Trade and Investment Accords for Sustainable Development* (OUP 2021); for more see M-C Cordonier Segger, M Gehring and M Tokas, ‘Trade and Sustainability in EU-Americas Trade Relations’ (2023) 50(3) *Legal Issues of Economic Integration* 227; M-C Cordonier Segger and L Young, ‘Contributions or Complications: CETA, Climate Change and Sustainability in Canada’ (2023) 50(3) *Legal Issues of Economic Integration* 323.

12 UNGA Res 70/1 (2015) A/RES/70/1 [68].

13 UNGA Res 70/1 (2015) A/RES/70/1 [27].

14 UNGA Res 70/1 (2015) A/RES/70/1 [26].

15 UNGA Res 70/1 (2015) A/RES/70/1 [27].

16 UNGA Res 70/1 (2015) A/RES/70/1 [21].

17 See Marie-Claire Cordonier Segger, Marcel Szabo and Alexandra Harrington (eds), *Intergenerational Justice in Sustainable Development Treaty Implementation* (CUP 2021). See also Edith Brown Weiss, ‘Implementing Intergenerational Equity’ in Malgosia Fitzmaurice and others (eds), *Research Handbook on International Environmental Law* (2nd edn, Edward Elgar 2010) 100. This principle is enshrined in principle 3 of the 1991 Rio Declaration on Environment and Development. For further reading, see Catherine Redgwell, ‘Principles and Emerging Norms in International Law: Intra- and Inter-generational Equity’ in Kevin R Gray, Richard Tarasofsky and Cinnamon P Carlarne (eds), *The Oxford Handbook of International Climate Change Law* (OUP 2016).

18 See generally Cordonier Segger and Olawuyi (n 5); see also Duncan French, ‘International Environmental Law and the Achievement of Intragenerational Equity’ (2001) 31(1) *Environmental Law Reporter* 469. See also principle 6 of the 1992 Rio Declaration on Environment and Development which provides that ‘special priority’ should be afforded to the special situation and needs of developing countries, particularly the least developed and those most environmentally vulnerable.

19 Cordonier Segger and Olawuyi (n 5).

20 Marie-Claire Cordonier Segger and Markus Gehring (eds), *Sustainable Development in World Trade Law* (Kluwer 2005); Markus Gehring, Marie-Claire Cordonier Segger and Andrew Newcombe, *Sustainable Development in World Investment Law* (Wolters Kluwer 2010); Marie-Claire Cordonier Segger and Markus Gehring, ‘The Principle

in principle 4 of the Rio Declaration, achieving sustainable development requires the integration of its economic, environmental, and social components.²¹ As such, integration is the underlying mechanism through which sustainable development objectives can be achieved.²² In the environmental context, the principle of integration has been upheld as constituting a general principle of international law relating to the environment.²³

As discussed elsewhere, international economic law has the potential to either foster or frustrate sustainable development in both material and normative ways.²⁴ For example, reliable and equitable trade and investment relations between states might facilitate the establishment and expansion of markets for more sustainable products. International trade and investment rules can also diffuse more sustainable goods and services among states, stimulating productive capacity in these areas. In the agricultural and natural resources sectors, trade and investment could contribute to the reduction of poverty and hunger by supporting local communities in low-income states, which would otherwise be limited in their ability to meaningfully participate in global markets, or support more sustainable innovation and infrastructure by promoting investment in clean energy technologies or integrated water resource management at reduced costs.

Notwithstanding the various ways in which trade or investment might contribute towards a more sustainable economy, the adverse effects of international economic liberalization on environmental and social protection are of growing concern.²⁵ Indeed, there are ample studies which suggest that unrestricted trade and investment liberalization under the WTO and/or regional and

of Integration for Sustainable Development in European Policy and Jurisprudence' in Marie-Claire Cordonier Segger and C G Weeramantry (eds), *Sustainable Development Principles in the Decisions of International Courts and Tribunals* (Routledge 2017).

- 21 GA Res S-19/2, 28 June 1997; Rio Declaration on Environment and Development (1992), Principle 4. See also UNGA Res 70/1 (2015) A/RES/70/1, preamble and paras 3, 8, 9, 10, 33, 35 and 67.
- 22 Multiple cases have reinforced the importance of upholding the principle of integration. See, for example, *United-States-Import Prohibition of Certain Shrimp and Shrimp Products* (Appellate Body Report) [12 October 1998] WTO Doc WT/DT/DS58/AB/R (*Shrimp/Turtle* case) [131], [153]; *S.D. Myers, Inc. v Government of Canada* (Partial Award) NAFTA Arbitration (UNCITRAL Rules) (13 November 2000) [247]; *Award in the Arbitration requiring the Iron Rhine ('IJzren Rijn') Railway between the Kingdom of Belgium and the Kingdom of the Netherlands* (2005) 27 RIAA 35 (*Iron Rhine Railway* case) [59]; *China–Measures Related to the Exportation of Various Raw Materials* (Appellate Body Report) [30 January 2012] WTO Doc WT/DS394/AB/R (*China–Raw Materials* Case) [306]; *State Obligations in Relation to the Environment (Advisory Opinion) IACtHR* (2017) OC-23/17 (*State Obligations* case) [52].
- 23 *Iron Rhine Railway Case* (n 22) [59], [222] (noting that '[e]nvironmental law and the law on development stand not as alternatives but as mutually reinforcing, integral concepts, which require that where development may cause significant harm to the environment there is a duty to prevent, or at least mitigate, such harm'). See Marie-Claire Cordonier Segger, 'Inspiration for Integration: Interpreting International Trade and Investment Accords for Sustainable Development' (2017) 3 Canadian Journal of Comparative and Contemporary Law 159.
- 24 Marie-Claire Cordonier Segger, *Athena's Treaties: Crafting Trade and Investment Accords for Sustainable Development* (OUP 2021); Marie-Claire Cordonier Segger and Javiera Caceres Bustamante, 'Sustainable Development and Climate Change Mitigation in International Trade and Investment Law: Lessons Learned from EU-Chile, EU-Mercosur, EU-Kenya & the draft Agreement on Climate Change, Trade & Sustainability (ACCTS)' (2023) 15(1) Trade, Law and Development; Marie-Claire Cordonier Segger, Markus Gehring and Marios Tokas, 'Trade and Sustainability in EU-Americas Trade Relations' (2023) 50(3) Legal Issues of Economic Integration 227. Markus Gehring, Marie-Claire Cordonier Segger and Andrew Newcombe (eds), *Sustainable Development in World Investment Law* (Wolters Kluwer 2010); Markus Gehring and Marie-Claire Cordonier Segger (eds), *Sustainable Development in World Trade Law* (Kluwer Law International 2005).
- 25 *ibid*, see also Steven J Matusz and David G Tarr, 'Adjusting to Trade Policy Reform' (1999) World Bank Policy Research Working Paper No 2142; Neil McCulloch, Alan Winters and Xavier Cirera, *Trade Liberalization and Poverty: A Handbook* (Centre for Economic and Policy Research 2001).

bilateral trade and investment agreements could result in economic growth patterns which undermine social goals,²⁶ exacerbate inequality,²⁷ increase greenhouse gas emissions,²⁸ and threaten biological diversity and conservation.²⁹ In addition, various sustainability impact assessments, environmental assessments, and reviews conducted in recent years have considered the normative impacts of sustainable development, raising concerns about the adverse effects of increased trade and investment on regional economic, social, and environmental protection.³⁰ Those assessments have affirmed that without the adoption of adequate measures aimed at mitigating such social and environmental harm, trade and investment agreements concluded between states can undermine rather than promote sustainable development.³¹ These concerns can be categorized under three normative ‘tensions’ between sustainable development efforts and economic liberalization. The first tension arises in instances where trade liberalization obligations contained within an international trade or investment agreement can hinder the adoption of new regulations aimed at achieving global commitments on sustainable development. The second tension involves the exacerbation of pre-existing social and environmental obstacles by trade and investment propelled

- 26 Robert Howse, ‘Human Rights in the WTO: Whose Rights, What Humanity?’ (2002) 13(1) *European Journal of International Law* 651; Ronald Labonté, ‘Trade, Investment and Public Health: Compiling the Evidence, Assembling the Arguments’ (2019) 15 *Global Health* 1; Franziska Humbert, ‘The WTO and Child Labour: Implications for the Debate on International Constitutionalism’ in Henner Gött (ed), *Labour Standards in International Economic Law* (Springer 2018) 93.
- 27 UNCTAD, *Policy Coherence, Development Strategies and Integration into the World Economy* (2004) 43. See also Susan Rose-Ackerman and Jennifer Tobin, ‘Do BITs Benefit Developing Countries?’ in Catherine Rogers and Roger P Alford (eds), *The Future of Investment Arbitration* (OUP 2009) 131.
- 28 Marie-Claire Cordonier Segger and Christina Voigt (eds), *The Routledge Handbook on Climate Law and Governance: Courage, Contributions and Compliance* (Routledge 2024). See also, e.g. Marie-Claire Cordonier Segger and Markus Gehring, ‘Making Progress? Climate Change, Sustainable Development and International Trade and Investment Law’ in Charlotte Streck and David Freestone (eds), *Legal Aspects of Carbon Trading: Kyoto, Copenhagen and Beyond* (OUP 2009); Marie-Claire Cordonier Segger, ‘Sistemas de inversión y comercio para economías bajas en emisiones de carbono más sustentables’ in Pilar Moraga and others (eds), *Nuevo Marco Legal para el Cambio Climático* (LOM 2009); You Li and CN Hewitt, ‘The Effect of Trade between China and the UK on National and Global Carbon Dioxide Emissions’ (2008) 36 *Energy Policy* 1907.
- 29 BL Turner and others (eds), *The Earth as Transformed by Human Action: Global and Regional Changes in the Biosphere over the Past 300 Years* (CUP 1990); Bo Kjellen, *A New Diplomacy for Sustainable Development: The Challenge of Global Change* (Routledge 2008); Ernst-Ulrich Petersmann, ‘Taking Human Dignity, Poverty and Empowerment of Individuals More Seriously’ (2002) 13 *European Journal of International Law* 845.
- 30 *Supra* (n 24); see especially, for example: Development Solutions, EU-Andean Trade Sustainability Impact Assessment: Draft Final Report (Brussels, July 2009) [EU-Andean SIA] concerning output reduction and employment loss in Peru’s machinery and equipment sectors, and Ecuador’s automotive sector; IARC, Trade Sustainability Impact Assessment (SIA) of the Association Agreement under Negotiation between the European Community and Mercosur: Final Overview Report Trade SIA EU-Mercosur (Manchester, March 2009) [EU-Mercosur SIA] concerning manufacturing, metals, textiles and other sectors, particularly for Paraguay; PricewaterhouseCoopers, Sustainability Impact Assessment of the EU-ACP Economic Partnership Agreements: Key Findings, Recommendations and Lessons Learned (Paris, May 2007); USTR, *Interim Environmental Review of the US-Chile FTA* (2001) [Interim US-Chile ER].
- 31 Marie-Claire Cordonier Segger, *Athena’s Treaties: Crafting Trade and Investment Accords for Sustainable Development* (OUP 2021). For further reference, see *supra* (n 24); see also Marie-Claire Cordonier Segger and Javiera Caceres Bustamante, ‘Sustainable Development and Climate Change Mitigation in International Trade and Investment Law: Lessons Learned from EU-Chile, EU-Mercosur, EU-Kenya and the draft Agreement on Climate Change, Trade, and Sustainability (ACCTS)’ (2023) 15(1) *Trade, Law and Development*; Marie-Claire Cordonier Segger and Lydia Young, ‘Contributions or Complications: CETA, Climate Change and Sustainability in Canada’ (2023) 50(3) *Legal Issues of Economic Integration* 323.

by a new trade or investment agreement. The third tension is concerned with situations where trade and investment agreements promote unsustainable economic growth.³²

This chapter examines the progress made and the key obstacles which remain in advancing sustainable development through international economic law. First, it explores the key challenges and opportunities for addressing sustainable development tensions within the WTO (Part I). Second, based on recent studies by the author, it identifies certain procedural and substantive legal innovations related to sustainable development which can be integrated into trade and investment agreements to address the three normative tensions discussed (Part II). Finally, it briefly discusses different trade, investment, and financial measures agreed by states in other important international treaties on sustainable development (Part III) before offering some tentative conclusions.

II. Challenges and Opportunities within the WTO

Within the framework of international economic law, the WTO has played an important role in the advancement of sustainable development to date. Indeed, the very preamble to the 1994 *Marrakesh Agreement*, which established the WTO, references the importance of optimally using the world's resources and engaging in trade relations in a manner consistent with sustainable development.³³ Moreover, the General Agreement on Tariffs and Trade (GATT) which serves as the foundation for trade in goods (as amended in 1994) authorizes states to impose trade restrictions or barriers for environmental protection purposes provided such measures are not arbitrary or unjustifiable and do not amount to a disguised restriction on international trade.³⁴ Furthermore, the WTO's implementation of the Trade Facilitation Agreement,³⁵ the expansion of the Information Technology Agreement,³⁶ the Agreement on Technical Barriers to Trade (concerning product regulatory specifications),³⁷ the Agreement on the Application of Sanitary and Phytosanitary Measures (regulating food safety and animal and plant health),³⁸ the amendment of the Trade-Related Aspects of Intellectual Property Rights Agreement (TRIPS Agreement) (maximizing accessibility to medications),³⁹ and the agreement to ban agricultural export subsidies⁴⁰ are some key examples of the WTO's efforts to foster sustainable trading relations across the globe. Other WTO initiatives aimed at promoting sustainable development include, *inter alia*, the institution of: the WTO Committee on Trade and Environment (CTE), the WTO Committee on Technical Barriers to Trade

32 *ibid.*

33 Agreement Establishing the World Trade Organization (adopted 15 April 1994, entered into force 1 January 1995) 1867 UNTS 152, Preamble.

34 General Agreement on Tariffs and Trade (adopted 30 October 1947, entered into force 1 January 1948) 55 UNTS 194 (GATT), Article XX on General Exceptions.

35 Protocol Amending the Marrakesh Agreement Establishing the World Trade Organization, Annex 1A: Agreement on Trade Facilitation (adopted 27 November 2014, entered into Force 22 February 2017) WT/L/940 (Trade Facilitation Agreement).

36 Ministerial Declaration on Trade in Information Technology Products (adopted 13 December 1996) WT/MIN (96)/16 (Information Technology Agreement).

37 Agreement on Technical Barriers to Trade (adopted 15 April 1994, entered into force 1 January 1995) 1868 UNTS 120.

38 Agreement on the Application of Sanitary and Phytosanitary Measures (adopted 15 April 1994, entered into force 1 January 1995) 1867 UNTS 493.

39 Protocol Amending the TRIPS Agreement (adopted 6 December 2005, entered into force 23 January 2017) WT/L 641 (Amendment of the TRIPS Agreement).

40 Agreement on Agriculture (adopted 15 April 1994, entered into force 1 January 1995) 1867 UNTS 410.

(TBT), the WTO Committee on Trade and Development, the Forum on Trade, Environment & the SDGs (TESS), the Enhanced Integrated Framework (EIF), the WTO Technical Assistance Program (TA), the Aid for Trade initiative, the Standards and Trade Development Facility, and the Trade and Environmental Sustainability Structured Discussions (TESSD). Furthermore, the WTO itself has affirmed that '[t]he WTO is central in achieving the 2030 Agenda for Sustainable Development and its Sustainable Development Goals (SDGs).'⁴¹

Nevertheless, progress on issues concerning sustainable development within the WTO has remained limited, as seen by the deadlocked negotiations on trade and environmental issues in the years following the Doha Ministerial Conference of 2001. For instance, although the WTO concluded an Agreement on Fisheries Subsidies (AFS) in 2022 in line with the Doha Agenda and SDG 14.6, aimed at banning subsidies on illegal, unreported, and unregulated fishing and subsidies contributing to overfishing, the AFS has not yet reached the minimum ratification amount of two-thirds of WTO membership.⁴² This is problematic given the urgency associated with regulating fisheries subsidies.⁴³ Reaching a consensus within the WTO on agricultural matters has also proven to be difficult. For example, during the 13th WTO Ministerial Conference held in March 2024, no consensus was reached on imposing stricter disciplines on agricultural export restrictions that may pose risks to food security in net-food importing countries.⁴⁴

Furthermore, while the WTO does contain general exception provisions under Article XX of the GATT which permit trade restrictions to protect human, animal and plant life or health or to conserve exhaustible natural resources, those exceptions are subject to a high evidential bar which can be difficult for states to meet. For instance, for a trade measure to be permitted under Article XX(g) of the GATT (relating to the conservation of exhaustible natural resources), it must (1) not arbitrarily or unjustifiably discriminate between countries or not constitute a disguised restriction on international trade and (2) be applied in conjunction with restrictions on domestic production or consumption.⁴⁵ The *Shrimp—Turtle* case serves as a useful illustration of the difficulties states can face when seeking to rely on the environmental general exceptions contained within GATT Article XX.⁴⁶ Indeed, in that case, the Appellate Body held that notwithstanding the fact that the US import prohibition of shrimp and shrimp products from non-certified countries was directed towards the conservation of exhaustible natural resources (and thus pursued a legitimate

41 The World Trade Organisation, 'WTO and the Sustainable Development Goals' <https://www.wto.org/english/thewto_e/coher_e/sdgs_e/sdgs_e.htm#:~:text=The%20WTO%20is%20central%20to,health%2C%20education%20and%20the%20environment> accessed 5 August 2024; for discussion *supra* (n 24).

42 The World Trade Organization, 'Members Submitting Acceptance of Agreement on Fisheries Subsidies' <https://www.wto.org/english/tratop_e/rulesneg_e/fish_e/fish_acceptances_e.htm> accessed 5 August 2024.

43 Recent studies have indicated that 34% of global marine fish stocks have reduced to levels that are biologically unsustainable. Subsidies and overfishing have led to losses amounting to approximately \$88.9 billion due to forgone net benefits. See UN Trade and Development (UNCTAD), 'Fisheries Subsidies Deal: Why We Need it and How to Implement It' (28 March 2022) <<https://unctad.org/news/blog-fisheries-subsidies-deal-why-we-need-it-and-how-implement-it>>.

44 World Trade Organization, *Thirteenth WTO Ministerial Conference* (WTO 2024) <https://www.wto.org/english/thewto_e/minist_e/mc13_e/mc13_e.htm>; Samuel Tetteh, 'Insights from the 13th WTO Ministerial Conference (MC13)' *BFT Online* (15 March 2024) <<https://thebftonline.com/2024/03/15/insights-from-the-13th-wto-ministerial-conference-mc13/>> accessed 5 August 2024.

45 GATT (n 33), art XX(g).

46 *United States—Import Prohibition of Certain Shrimp and Shrimp Products*, Appellate Body Report and Panel Report pursuant to Article 21.5 of the DSU—Action by the Dispute Settlement Body, WT/DS58/23 (26 November 2001). For discussion, *supra* (n 24).

environmental objective),⁴⁷ it still fell short of satisfying the relevant exception contained within Article XX(g) of the GATT because the prohibition constituted ‘arbitrary and unjustifiable’ discrimination.⁴⁸ Furthermore, it can also be argued that the GATT Article XX exceptions are limited in their scope as they omit other fundamental sustainable development matters such as gender and disability.⁴⁹

Given the limitations of the existing WTO legal framework outlined earlier, creating new mechanisms to more effectively integrate environmental and social development objectives into the institutional structure of the WTO is essential. This could be achieved by, for example, conducting cross-regime forum negotiations comprising the WTO and similar norm-setting organizations, such as United Nations Framework Convention on Climate Change (UNFCCC), Intergovernmental Panel on Climate Change (IPCC), United Nations Environment Programme (UNEP), International Labour Organization (ILO), World Health Organization (WHO), United Nations Conference on Trade and Development (UNCTAD), Food and Agriculture Organization of the United Nations (FAO), and all five regional economic commissions. According to some experts, such a mechanism would also advance SDG 17, which aims to promote an ‘open’ and inclusive multilateral trading system under the WTO. It would also encourage knowledge sharing and the constructive exchange of ideas between relevant agencies on how to best address and tackle trade obstacles to sustainable development.⁵⁰ Furthermore, in instances where a contemplated trading activity could impact the environment, cross-institutional trade negotiations between the WTO and secretariats of relevant MEAs could take place.⁵¹ Beneficially, increasing cooperation and partnerships between trade and environmental regimes would serve to ensure that environmental measures are not unduly constrained by trade rules and trading activities. Other experts argue that such measures, among other efforts to secure greater coherence, could assist in establishing a common inter-agency understanding between the WTO and other international treaty bodies on key sustainable development considerations which should factor into any decision concerning trade.⁵²

47 *United States—Import Prohibition of Certain Shrimp and Shrimp Products*, Recourse to Article 21.5 WT/DS58/AB/RW [5.76] (where the Appellate Body observed that ‘the fact that sea turtles are migratory species and that they are on the verge of extinction is unanimously acknowledged’). For further discussion, *supra* (n 24).

48 See *United States—Import Prohibition of Certain Shrimp and Shrimp Products*, Recourse to Article 21.5 WT/DS58/AB/RW, [5.46]. See also Bret Puls, ‘The Murky Waters of International Environmental Jurisprudence: A Critique of Recent WTO Holdings in the Shrimp/Turtle Controversy’ (1999) (8) *Minnesota Journal of Global Trade* 343.

49 See Amrita Bahri, ‘Trade Agreements and Disability Inclusion: Looking Beyond Labour and Gender Equality Provisions’ in Geraldo Vidigal and Kathleen Claussen (eds), *The Sustainability Revolution in International Trade Agreements* (OUP 2024); Amrita Bahri, Dorotea López and Jan Remy (eds), *Trade Policy and Gender Equality* (CUP 2023); Rohini Acharya and others, ‘Trade and Women—Opportunities for Women in the Framework of the World Trade Organization.’ (2019) 22 *Journal of International Economic Law* 323.

50 Report (1996) of the Committee on Trade and Environment, WT/CTE/1, 12 November 1996, para 171 (endorsing ‘multilateral solutions based on international cooperation and consensus as the best and most effective way for governments to tackle environmental problems of a transboundary or global nature’).

51 Relevant MEAs could include the Cartagena Protocol on Biosafety (carrying implications for international trade in genetically modified organisms), the Montreal Protocol on Substances that Deplete the Ozone Layer (involving trade regulations in ozone-depleting substances), the Convention on International Trade in Endangered Species of Wild Fauna and Flora (CITES) (regulating international trade in endangered species to ensure sustainability and protection of biodiversity), the Convention on Biodiversity (CBD) (carrying implications for international trade law regarding the access to and utilization of genetic resources), and the Paris Agreement under the United Nations Framework Convention on Climate Change (UNFCCC) (regulating the harm posed by trade to the environment through regular reporting requirements on emissions and progress). *Supra* (n 24).

52 See Cordonier Segger and Olawuyi (n 5); Cordonier Segger (n 5). See also Marie-Claire Cordonier Segger and Nicolaas J Schrijver, ‘ILA Guidelines for Sustainable Natural Resources Management for Development’ (2021)

This would, in turn, serve to promote uniformity and consistency in the interpretation and application of MEAs and relevant economic liberalization obligations under the WTO, whereby minimizing the likelihood of legal fragmentation. This proposal would also accord with the principle of mutual supportiveness in international law,⁵³ which requires parties to negotiate with one another in good faith to reconcile the tensions between competing regimes.⁵⁴

In addition to the proposed mechanisms described, the scope of the general exceptions contained within GATT Article XX could be expanded to protect other legitimate sustainable development concerns. For instance, introducing a new exception for gender would provide governments with regulatory flexibility to enact policies centred on gender equality responding to SDG 5, among other important priorities.⁵⁵ Indeed, the WTO Informal Working Group on Trade and Gender seeks to provide a greater focus on gender equality within the work of the WTO.⁵⁶ Established in September 2020 as a follow-up to the Joint Declaration on Trade and Women's Economic Empowerment launched at the 2017 Ministerial Conference in Buenos Aires, the Group 'aims to share best practice on removing barriers to women's participation in world trade, [and] to exchange views on how to apply a "gender lens" to the work of the WTO.'⁵⁷ Such efforts, which can identify and clarify opportunities for trade law to foster, rather than frustrate, sustainable development, may be increasingly relevant for those who support multilateralism.

III. Legal and Procedural Sustainable Development Provisions in Regional and Bilateral Trade and Investment Agreements

Given the slow progress of WTO multilateral trading negotiations, regional and bilateral trade and investment agreements present an alternative platform for which to advance the SDGs. Integrating sustainable development considerations into the drafting of trade and investment agreements is integral to ensuring that transnational trade and investment activities protect the environmental and social development of signatory states whilst simultaneously bolstering their economic growth. As such, this section examines some leading examples of states embedding innovative legal and procedural provisions into their trade and investment agreements in response to the three normative tensions discussed earlier in this chapter.

Netherlands International Law Review 68 at 315; International Law Association, '2018 Report of the Committee on Sustainable Development and the Green Economy in International Trade Law,' 105; International Law Association, New Delhi Conference (2002): ILA New Delhi Declaration of Principles of International Law Relating to Sustainable Development, UN Doc. A/57/329. See also Marie-Claire Cordonier Segger and C G Weeramantry (eds), *Sustainable Justice: Integrating Environmental, Social and Economic Law* (Martinus Nijhoff 2004).

53 The principle of mutual supportiveness in international law was first codified in a document adopted by the 1992 UN Conference on the Environment and Development, which states that '[t]he international economy should provide a supportive international climate for achieving environment and development goals by . . . making trade and environment mutually supportive.' The same document also encourages states to 'promote and support policies, domestic and international, that make economic growth and environmental protection mutually supportive.'

54 See Riccardo Pavoni, 'Mutual Supportiveness as a Principle of International Law and Law-Making: A Watershed for the "WTO-and-Competing-Regimes Debate?"' (2010) 21 European Journal of International Law 641.

55 See Gabrielle White and Michelle Parkouda, 'The Importance of Gender—Responsive Standards for Trade Policy' in Amrita Bahri, Dorotea López and Jan Remy (eds), *Trade Policy and Gender Equality* (CUP 2023). World Economic Forum (WEF), 'The Industry Gender Gap: Women and Work in the Fourth Industrial Revolution' (January 2016) <https://www3.weforum.org/docs/WEF_FOJ_Executive_Summary_GenderGap.pdf> accessed 5 August 2024.

56 *ibid.*

57 *ibid.*

Addressing Trade and Investment Liberalization Obligations Which Might Hinder the Adoption of New Regulations Aimed at Achieving Global Commitments on Sustainable Development

As mentioned, trade and investment liberalization obligations might hinder the adoption of new regulations aimed at achieving global commitments on sustainable development. In response to this first normative tension, states can adopt defensive provisions within their trade and investment agreements to accommodate sustainable development considerations, encouraging and strengthening human rights, environmental, and other laws related to sustainability.⁵⁸

Various trade and investment agreements have sought to combat the first normative tension by integrating sustainable development considerations into their ‘object and purpose.’ For instance, the preamble to the recent 2024 New Zealand–European Union Free Trade Agreement (NZ-EU FTA) expressly notes the parties’ mutual commitment to ‘strengthen their economic, trade, and investment relations in accordance with the objective of sustainable development, in its economic, social and environmental dimensions, and to promote trade and investment that are consistent with the aims for high levels of environmental and labour protection and with relevant internationally recognised standards and agreements to which they are a party.’⁵⁹ Other examples of preambular commitments to sustainable development include non-derogation commitments to occupational health and safety in the Preamble to the EU-Cameroon Economic Partnership Agreement,⁶⁰ commitments on sustainable investment contained within the African Continental Free Trade Area (AfCFTA) Zero Draft of the Protocol on Investment,⁶¹ commitments to maintain predictable regulatory environments for micro, small, and medium-sized enterprises (MSMEs) in the Preamble to the EU-Japan Economic Partnership Agreement,⁶² and commitments to gender-equality in the Preamble to the Chile-Argentina Free Trade Agreement,⁶³ amongst many others. While preambles

58 Marie-Claire Cordonier Segger, *Athena’s Treaties? Crafting Trade and Investment Accords for Sustainable Development* (OUP 2021).

59 Free Trade Agreement between the European Union and New Zealand (adopted 9 July 2023, entered into force 1 May 2024) OJ L1062/1 (NZ-EU FTA) (2024), Preamble.

60 Interim Agreement with a view to an Economic Partnership Agreement between the European Community and its Member States, of the one part, and the Central Africa Party, of the other part (signed 15 January 2009, provisionally applied 4 August 2014) (EU-Cameroon EPA), Preamble (stating that ‘[t]he Parties shall not encourage foreign direct investment by lowering or reducing labour or occupational health and safety standards in the application and enforcement of labour laws of the Parties’).

61 Agreement Establishing the African Continental Free Trade Area (adopted 21 March 2018, entered into force 30 May 2019) 58 ILM 1028 (AfCFTA), Preamble (‘[r]ecognising the important contribution investment can make to the sustainable development of the State Parties, including the reduction of poverty, increase of productive capacity, economic growth, the transfer of technology, and the furtherance of human rights and human development while understanding that sustainable development requires the fulfilment of the economic, social and environmental pillars that are embedded within the concept’).

62 Agreement between the European Union and Japan for an Economic Partnership (adopted 17 July 2018, entered into force 1 February 2019) OJ L330/3 (EU-Japan RTA), Preamble (‘[r]ecognising the importance of strengthening their economic, trade and investment relations, in accordance with the objective of sustainable development in the economic, social and environmental dimensions, and of promoting trade and investment between them, mindful of the needs of the business communities of each Party, in particular small and medium-sized enterprises, and of high levels of environmental and labour protection through relevant internationally recognised standards and international agreements to which both Parties are party’).

63 Free Trade Agreement between the Government of the Republic of Chile and the Government of the Argentine Republic (adopted 2 November 2017, entered into force 1 May 2019) (Chile-Argentina FTA), Preamble (where parties commit to ‘[p]romote the incorporation of the gender perspective in international trade, encouraging equal

alone cannot establish legally binding obligations, they carry an important interpretive function in the context of ascertaining the underlying objectives of a given treaty.⁶⁴ This is supported by Article 31(2) of the Vienna Convention on the Law of Treaties (VCLT) which expressly provides that ‘the context for the purpose of the interpretation of a treaty . . . includ[es] its preamble.’⁶⁵

Alongside preambular commitments, some states have also introduced general and specific exception clauses into their trade and investment agreements to enable governments to regulate on important social and environmental issues related to sustainable development. These exceptions can assist in advancing sustainable development by legitimizing important social and environmental objectives and promoting compliance with relevant domestic legislation. Interestingly, studies have indicated that the most widely used environmental norms in trade agreements are exceptions to trade obligations for domestic measures concerning the conservation of natural resources.⁶⁶ Most general exception provisions contained within trade and investment agreements are based on Article XX of the GATT. For instance, the general exceptions clause contained within Article 97 of the European Union–Southern African Development Community Economic Partnership Agreement (EU-SADC EPA) replicates GAT Art. XX in its entirety.⁶⁷ Other trade and investment agreements such as the Comprehensive and Progressive Agreement for trans-Pacific Partnership (CPTPP) and the United States–Mexico–Canada Agreement (USMCA) incorporate GATT Art. XX and its interpretative notes as forming part of the agreement, *mutatis mutandis*, with further clarification and examples of measures which would be consistent with GATT Art. XX.⁶⁸

Alongside general exceptions, some trade and investment agreements also contain specific exceptions which cover instances where trade rules in particular contexts may constrain environmental and social regulatory measures.⁶⁹ These specific exceptions can also be incorporated in the

rights, treatment and opportunities between men and women in business, industry and the world of work, promoting inclusive economic growth for the societies of both countries’).

64 Marie-Claire Cordonier Segger, *Athena’s Treaties? Crafting Trade and Investment Accords for Sustainable Development* (OUP 2021).

65 Vienna Convention on the Law of Treaties (adopted 23 May 1969, entered into force 27 January 1980) 1155 UNTS 331(VCLT), art 31(2).

66 Jean-Frederic Morin, Andreas Dür and Lisa Lechner, ‘Mapping the Trade and Environment Nexus: Insights from a New Data Set’ (2018) 18(1) *Global Environmental Politics* 122; see also Marie-Claire Cordonier Segger, *Athena’s Treaties? Crafting Trade and Investment Accords for Sustainable Development* (OUP 2021); Marie-Claire Cordonier Segger, Markus Gehring and Marios Tokas, ‘Trade and Sustainability in EU-Americas Trade Relations’ (2023) 50(3) *Legal Issues of Economic Integration* 227.

67 Economic Partnership Agreement between the European Union and its member states, of the one part, and the Southern African Development Community (SADC) EPA states, of the other part (signed 10 June 2016, entered into force provisionally on 10 October 2016) OJ L250/3 (EU-SADC EPA), art 97.

68 Comprehensive and Progressive Agreement for Trans-Pacific Partnership (adopted 8 March 2018, entered into force 30 December 2018) (CPTPP), art 29.1; Agreement between the United States of America, the United Mexican states, and Canada (adopted 30 November 2018, entered into Force 1 July 2020) (USMCA), art 32.1; Comprehensive Economic Partnership Agreement between the Government of the Republic of Chile and the Government of the Republic of Indonesia (adopted 14 December 2017, entered into force 10 August 2019), art 13.1; Free Trade Agreement between the Government of the Republic of Chile and the Government of the Kingdom of Thailand (adopted 5 October 2013, entered into force 5 November 2015) (Chile-Thailand FTA), art 15.1.

69 See, for example, Agreement between the Government of the Oriental Republic of Uruguay and the Government of the Republic of Türkiye on the Reciprocal Promotion and Protection of Investments (signed 23 April 2022, not yet in force) (Turkey-Uruguay BIT), art 7 (providing that ‘nothing in this Agreement shall be construed to prevent a Contracting Party from adopting, maintaining or enforcing any non-discriminatory measure: (a) necessary to protect human, animal or plant life or health, or the environment; (b) related to the conservation of living or non-living exhaustible natural resources’).

form of explicit ‘non-application’ notes which mandate that particular sustainable development concerns cannot be overridden by new trade and investment liberalization rules.⁷⁰ Notably, the incorporation of exceptions and non-application notes in favour of sustainable development into trade and investment agreements effectively operationalizes the integration principle by promoting balance between the advancement of legitimate economic objectives and the regulation of key issues of social and environmental concern.⁷¹

An additional mechanism which some states have used to protect socially and environmentally sensitive sectors from the adverse impacts of economic liberalization has been through the inclusion of specific obligations not to lower environmental standards to achieve competitive advantage. This has largely taken the form of enforcing MEA-related commitments and domestic environmental laws and policies to ensure that they are not undermined by competing trading incentives. Notably, while many MEA-related provisions reaffirm the importance of environmental obligations enshrined within MEAs,⁷² a few go further and actually require parties to adopt measures in adherence to MEA obligations.⁷³ Additionally, some MEA provisions require parties to ratify, adopt, and even implement specific MEAs.⁷⁴ Significantly, mandating party accession to specific MEAs in trade and investment agreements or upholding MEA-related commitments enables states to draw attention to key environmental issues which require prioritized address and careful regulation. This can assist in generating greater awareness of relevant MEAs amongst trading parties, whereby enhancing their legitimacy within international economic law. Moreover, some trade and investment agreements also address situations of inconsistency with MEA obligations, typically favouring MEA obligations.⁷⁵ Furthermore, alongside upholding MEA-related commitments, multiple trade and investment agreements contain provisions that either counsel

70 See, for example, the Schedule of Colombia contained within the Canada-Colombia Free Trade Agreement which provides that ‘This Chapter does not apply to: Set-asides of procurements below US\$125,000 on behalf of Micro, Small and Medium-sized Companies (MIPYMES). The set-asides include any form of preference, such as the exclusive right to provide a good or a service and measures conducive to facilitate the transfer of technology and sub-contracting.’ See also Free Trade Agreement between the Government of the United States of America and the Government of the Republic of Chile (adopted 6 June 2003, entered into force 1 January 2004) 42 ILM 1026, Annex II-CH-6 (US-Chile FTA) where Chile reserves ‘the right to adopt or maintain any measure according rights or preferences to socially or economically disadvantaged minorities.’ See also Annex II-CH-8 of the US-Chile FTA where Chile, in response to concerns raised about the growing privatization of education services, reserves the right to ‘adopt or maintain any measure relating to natural persons who render educational services.’

71 Marie-Claire Cordonier Segger, *Crafting Trade and Investment Accords for Sustainable Development* (OUP 2021). Note that Article 31 of VCLT affirms that annexes (which includes ‘non-application notes’) are part of the ‘context’ of a treaty.

72 See, for example, Free Trade Agreement between the European Union and New Zealand (adopted 9 July 2023, entered into force 1 May 2024) OJ L866/1 (NZ-EU FTA) 2024, chapter 19 (where ‘the Parties affirm the right of each Party to adopt or maintain measures to further the objectives of MEAs to which it is a party’). See also CPTPP (n 65), art 20.4 which reaffirms countries’ existing commitments under MEAs.

73 See, for example, USMCA (n 65), art 24.8.3 which establishes binding obligations for the parties to consult and cooperate on environmental issues covered by relevant MEAs to which they are signatory to.

74 See, for example, Treaty Establishing the Common Market for Eastern and Southern Africa (adopted 5 November 1993, entered into force 8 December 1994) 2314 UNTS 265 (COMESA), art 125.3; USMCA (n 65), art 24.8.4.

75 See, for example, Free Trade Agreement between the Government of Canada and the Government of the Republic of Chile (adopted 5 December 1996, entered into force 5 July 1997) 36 ILM 1067 (Canada-Chile FTA) art A-04; Free Trade Agreement between the Government of the Republic of Chile and the Government of the Republic of Costa Rica (adopted 18 October 1999, entered into force 15 February 2002) (Chile-Costa Rica FTA), art 1.04.2.

against⁷⁶ or prohibit⁷⁷ the parties from lowering domestic environmental protection standards in furtherance of trade or investment.

Addressing the Exacerbation of Pre-Existing Social and Environmental Challenges, by Increases in Trade and Investment Flows Occasioned by a New Trade or Investment Agreement

In response to the second normative tension, relating to the increase in the intensity, scale and scope of social and environmental pressures due to growing trade and investment flows, studies have indicated that establishing cooperation and capacity building mechanisms both from the private sector and civil society is essential to counteract the exacerbation of pre-existing social and environmental obstacles caused by trade and investment.⁷⁸ By including cooperation provisions within their agreements, states can collectively and more effectively address sustainability challenges by sharing resources, information, and best practices with each other.

The cooperation provisions which states have included within their trade and investment agreements to date have been highly variable, often differing in their scope, substance, and operational purpose. For instance, some states have introduced provisions aimed at promoting cooperation across multilateral forums with international organizations.⁷⁹ Other forms of cooperation provisions evident in trade and investment agreements include provisions which (1) promote regional cooperation to harmonize national legislation and policies,⁸⁰ (2) encourage cooperation on

76 See Agreement Between Japan and the Republic of the Philippines for an Economic Partnership (adopted 9 September 2006, entered into force 11 December 2008) (Japan-Philippines EPA), art 102 (which contains non-binding language on non-derogation from domestic environmental laws, stating that '[e]ach Party recognizes that it is inappropriate to encourage investments by investors of the other Party by relaxing its environmental measures. To this effect each Party should not waive or otherwise derogate from such environmental measures as an encouragement for establishment, acquisition or expansion in its Area of investments by investors of the other Party').

77 See, for example, Free Trade Agreement between the European Union and new Zealand (adopted 9 July 2023, entered into force 1 May 2024) OJ L2024/866 (EU-NZ FTA), art 19.5 (stating that '[a] Party shall not waive or otherwise derogate from, or offer to waive or otherwise derogate from, its environmental or labour law in order to encourage trade or investment') See also CPTPP (n 65), art 20.3.6 (where the Parties 'recognize that it is inappropriate to encourage trade or investment by weakening or reducing the protection afforded in their respective environmental laws. Accordingly, a Party shall not waive or otherwise derogate from, or offer to waive or otherwise derogate from, its environmental laws in a manner').

78 OCED, *Environmental and Regional Trade Agreements* (Paris 2007), executive summary, 2.

79 For instance, EU-NZ FTA (n 74), art 19.3(11) provides that 'the Parties shall work together to strengthen their cooperation on trade-related aspects of labour measures and policies, bilaterally, regionally and in international fora, as appropriate, including in the ILO' and article 19.4(9) provides that 'the Parties shall cooperate in international and multilateral fora, including at the WTO and OECD, to advance trade and gender issues and understanding, including, as appropriate, through voluntary reporting as part of their national reports during their WTO Trade Policy Reviews.' See also Free Trade Agreement between New Zealand and the United Kingdom (adopted 28 February 2022, entered into force 31 May 2023) (NZ-UK FTA), art 22.20 (providing that 'the Parties shall cooperate as appropriate on the matters identified in this Chapter. Such cooperation may take place bilaterally and in international forums'); USMCA (n 65), art 23.12 (providing that 'the Parties may establish cooperative arrangements with the ILO or other international and regional organizations to draw on their expertise and resources to further the purposes of this Chapter').

80 See, for example, Second Draft Protocol Additional to the Abidjan Convention Concerning Land-based Sources and Activities in the Western, Central and Southern African Region—Introduction to the Abidjan Convention and Its Related Protocol (stating that '[t]he Contracting Parties shall cooperate in harmonizing national legislation and policies for the effective discharge of their obligations under this Protocol').

conformity assessment procedures,⁸¹ (3) incentivize cooperation on specific issues concerning sustainable development,⁸² (4) require cooperation on the exchange of information,⁸³ (5) invite cooperation with civil society,⁸⁴ and (6) strengthen cooperation regarding the implementation of specific commitments under key multilateral instruments.⁸⁵

In addition, some trade and investment agreements also incorporate capacity building provisions to promote equality between developing and developed states. Capacity building provisions can serve as useful tools to minimize disparity in resources between developed and developing

81 See, for example, Comprehensive Economic and Trade Agreement (CETA) (adopted 30 October 2016, provisionally applied 21 September 2017) CETA, Protocol on Mutual Acceptance of Conformity Results, art 12.3 (providing that '[t]he Parties recognise that differences may exist between their respective standards, technical regulations and conformity assessment procedures. When such differences exist, the recognising Party may seek to satisfy itself that the nominated accreditation body is competent to accredit conformity assessment bodies as competent to assess conformity with the relevant technical regulations of the recognising Party. The recognising Party may satisfy itself based on the following: (a) an arrangement establishing cooperation between the European and Canadian accreditation systems').

82 See, for example, EU-NZ FTA (n 74), art 19.11 which lists specific issues for the parties to cooperate on including '(a) implementation of fundamental, priority and other up-to-date ILO conventions; (b) decent work, including the interlinkages between trade and full and productive employment, labour market adjustment, core labour standards, decent work in global supply chains, social protection and social inclusion, social dialogue and gender equality; (c) strengthening protection of the labour rights of each Party's vulnerable groups; and the impact of labour law and standards on trade and investment, or the impact of trade and investment law on labour.' Additionally, EU-NZ FTA, article X.3.2 commits parties to 'establish close cooperation to jointly engage in the transition towards sustainable food systems.' See also Free Trade Agreement between Australia and the United Kingdom of Great Britain and Northern Ireland (adopted 17 December 2021, entered into force 31 May 2023) (Australia-UK FTA), article 22.2 (where the parties 'recognise that enhanced cooperation to protect and conserve the environment and sustainably manage their natural resources brings benefits that can contribute to sustainable development').

83 See, for example, Free Trade Agreement between the United Kingdom of Great Britain and Northern Ireland and New Zealand (adopted 28 February 2022, entered into force 31 May 2023) (UK-NZ FTA), art 22.19 (where the parties commit 'co-operate as appropriate with respect to environmental issues of mutual interest related to multilateral environmental agreements, in particular trade-related issues, including: (a) exchanging information on the implementation of multilateral environmental agreements to which a Party is a party; (b) exchanging information on ongoing negotiations of new multilateral environmental agreements'). See also EU-Japan EPA, art 16.12 (where the parties recognize 'the importance of cooperation on trade-related and investment-related aspects of environmental and labour policies in order to achieve the objectives of this Agreement, the Parties may [. . .] (c) cooperate to facilitate and promote trade and investment in environmental goods and services, in a manner consistent with this Agreement, including through the exchange of information').

84 See, for example, Free Trade Agreement between the Government of the Republic of Peru and the Government of the Republic of Chile (adopted 22 August 2006, entered into force 1 March 2009) (Peru-Chile FTA), art 5 (providing that 'each Party may invite trade unions and employers' organizations to participate, as well as non-governmental sectors and other organizations, to identify areas and cooperation activities'). See also EU-Central America RTA, arts 11 and 295 which provide, respectively, that '[t]he Parties shall promote meetings of representatives of the European Union's and of Central America's civil societies, including the academic community, social and economic partners, and non-governmental organisations' and that '[t]he Parties shall call for regular meetings with these representatives in order to inform them about the implementation of this Agreement and to gather their suggestions in this respect.'

85 See, for example, EU-NZ FTA (n 74), art 19.6(5)(a) which lists 'policy dialogue and cooperation regarding implementation of the Paris Agreement' as a form of cooperation under the agreement. See also EU-NZ FTA, art 19.8 (encouraging 'cooperation on trade-related aspects of biodiversity policies and measures bilaterally, regionally and in international fora, as appropriate, including in the Convention on Biological Diversity and CITES'); EU-NZ FTA, art 19.10(11) (providing that '[t]he Parties shall work together to strengthen their cooperation on trade-related aspects of fishery and aquaculture policies and measures, bilaterally, regionally and in international fora, as appropriate, including in the WTO, FAO, OECD, United Nations General Assembly, RFMOs and other multilateral instruments in this field, with the aim of promoting sustainable fishing practices and trade in fish products from sustainably managed fisheries').

states. Examples of capacity-building measures contained within trade and investment agreements to date include provisions which (1) encourage cooperation in development finance,⁸⁶ (2) establish institutional structures to promote capacity building for trade negotiations⁸⁷ and (3) create committees to carry out capacity development activities.⁸⁸

Alongside cooperation and capacity building provisions, other mechanisms incorporated within trade and investment treaties in response to the second normative tension include parallel agreements (and chapters) for cooperation on environmental and social matters,⁸⁹ the establishment of specific programmes and initiatives directed at addressing environmental and social concerns,⁹⁰ and the inclusion of complaint mechanisms to allow relevant stakeholders, individuals, and organizations to file complaints concerning matters affecting sustainable development.⁹¹

Addressing the Potential for Trade and Investment Agreements to Promote Unsustainable Economic Growth and Obsolete Industries

In relation to the third normative tension, to prevent trade and investment from promoting unsustainable economic growth, states can adopt trade and investment agreement provisions which incentivize and enhance the production and consumption of sustainable goods and services, promote the transfer of green technologies, and encourage compliance with sustainability standards.⁹²

86 See, for example, EU-SADC EPA (n 64), art 12.1 (where ‘the Parties recognize that development cooperation is a crucial element of their Partnership and an essential factor for the achievement of the objectives of this Agreement as laid down in Article 1. Development finance cooperation for regional economic cooperation and integration, as provided for in the Cotonou Agreement, shall be carried out to support and promote the efforts of the SADC EPA States to achieve the objectives and to maximize the expected benefits of this Agreement’).

87 See, for example, EU-SADC EPA (n 64), art 13.8 (providing that ‘cooperation for EPA institutional capacity building shall aim at supporting institutional structures for EPA implementation management, capacity building for trade negotiations and for trade policy in cooperation with the relevant institutional mechanisms established under the SADC Treaty and SACU Agreement or in the respective SADC EPA States’). See also United-States Peru FTA, art 17.5 (establishing a ‘Labour Affairs Council’ which is responsible for ‘oversee[ing] the implementation of and review progress under this Chapter, including the activities of the Labour Cooperation and Capacity Building Mechanism established under Article 17.6’).

88 See, for example, Economic Partnership Agreement between the CARIFORUM States and the United Kingdom of Great Britain and Northern Ireland (adopted 22 March 2019, entered into force 1 January 2021) (UK-CARIFORM EPA), art 8a which establishes a Trade and Development Committee to carry out capacity development. It also establishes Technical Sub-Committee on Development Cooperation to advance development assistance, which is a firmer commitment.

89 See EU-NZ FTA (n 74), ch 19, which is entirely dedicated to matters pertaining to sustainable development. See also the parallel environmental and labour side agreements contained within the Canada–Costa Rica FTA and the Canada–Chile FTA.

90 See, for example, EU-NZ FTA (n 74), art 19.7 (where the Parties commit to ‘work[ing] together on trade-related aspects of gender equality policies and measures, including activities for women, including workers, businesswomen and entrepreneurs, to access and benefit from the opportunities created by this Agreement. To this end, the Parties shall facilitate cooperation between relevant stakeholders, including wāhine Māori in the case of New Zealand’).

91 See, for example, Agreement on Labour Cooperation between Canada and the Republic of Colombia (adopted 21 November 2008, entered into force 15 August 2011) (Canada-Colombia LCA), art 10 (providing that ‘[e]ach Party shall provide for the submission, acceptance, and review of public communications on labour law matters that (a) are raised by a national or by an enterprise or organisation established in the territory of the Party; (b) arise in the territory of the other Party; and (c) pertain to any matters related to this Agreement’).

92 See, generally Muhlis Can and others, ‘The Role of Trading Environment-Friendly Goods in Environmental Sustainability: Does Green Openness Matter for OECD Countries?’ (2021) 295 *Journal of Environmental Management* 113038.

Indeed, a growing number of trade and investment treaties are incorporating measures aimed at promoting trade in a more sustainable economy. For example, in the context of the European Free Trade Association-Indonesia Comprehensive Economic Partnership Agreement (EFTA-Indonesia CEPA), Switzerland's schedule of concession states that vegetable oil products must satisfy Article 8.10, which mandates effective application of measures halting deforestation and requires evidence of compliance with relevant sustainability standards.⁹³ The recent European Union–New Zealand Free Trade Agreement (EU-NZ FTA) has been another pioneer in this regard, by including zero tariffs on green goods and services such as renewable energy and energy efficient products.⁹⁴ Other similar measures evident within trade and investment agreements include commitments to minimize illegal trade in forestry products and encourage trade and investment in certified sustainable wood,⁹⁵ reduce unsustainable fishery,⁹⁶ promote trade and investment in renewable energy sources,⁹⁷ enforce sanitary and phytosanitary standards,⁹⁸ increase trade and investment opportunities for micro, small, and medium-sized enterprise,⁹⁹ uphold principles of corporate

93 Comprehensive Economic Partnership Agreement between the European Free Trade Association States and Indonesia (adopted 16 December 2018, entered into force 1 November 2021) (EFTA-Indonesia CEPA), art 8.10.

94 See EU-NZ FTA (n 74), art 22.8 (where the Parties commit to 'take steps to eliminate harmful fossil fuel subsidies where they exist, with limited exceptions in support of legitimate public policy objectives; (b) as fellow members of the Powering Past Coal Alliance, end unabated coal-fired electricity generation in their territories as part of a clean energy transition aligned with the goals of the Paris Agreement; (c) encourage the transition to clean energy for electricity, heat, and transport'). Annex 19 of the EU-NZ FTA contains a non-exhaustive list of green goods and services. See also the UK-NZ FTA (n 80) which similarly encourages trade in low carbon goods, services, and technology, accompanied by an extensive list of environmental goods with liberalized tariffs.

95 See, for example, Free Trade Agreement between the European Union and the Republic of Singapore (adopted 19 October 2018, entered into force 21 November 2019) OJ L 294 (EU-Singapore FTA), art 12.7, where the parties commit to 'exchange information on approaches to promote the trade in, and the consumption of, timber and timber products from legally and sustainably managed forests.'

96 See, for example, EU-Singapore FTA (n 92), art 12.8 where the parties agree to 'comply with long-term conservation measures and sustainable exploitation of fish stocks as defined in the international instruments ratified by the respective Parties and to uphold the principles of the Food and Agriculture Organization of the UN.'

97 See, for example, the Negotiated Agreement Text for the Partnership Agreement between the European Union/The European Union and its Member States, of the One Part, and Members of the Organisation of African, Caribbean and Pacific States, of the Other Part, art 48 (where parties commit to 'support[ing] measures that enable easy access to ICT through, among others, the use of affordable and renewable energy sources and the development and redeployment of low-cost wireless networks. They shall also work towards greater complementarity and harmonisation of communication systems and their adaptation to new technologies'). See also EU-Singapore FTA, art 7.7 (which encourages cooperation with respect to 'the design and non-discriminatory implementation of measures promoting the uptake of energy from renewable sources'). See also Georgia-UK Partnership and Cooperation Agreement, art 223 (which provides that 'the Parties shall strive to facilitate the removal of obstacles to trade or investment concerning goods and services of particular relevance to climate change mitigation, such as sustainable renewable energy and energy efficient products and services. This may include the adoption of appropriate technologies and the promotion of standards that respond to environmental and economic needs and minimise technical obstacles to trade').

98 See, for example, UK-CARIFORM EPA (n 85), art 8(v) (where the parties commit to 'enhancing technological and research capabilities of the CARIFORUM States so as to facilitate development of, and compliance with, internationally recognised sanitary and phytosanitary ('SPS') measures and technical standards and internationally recognised labour and environmental standards').

99 See, for example, USMCA (n 65), art 25.2 (where the parties seek to 'promote cooperation between the Parties' small business support infrastructure, including dedicated SME centers, incubators and accelerators, export assistance centers, and other centers as appropriate, to create an international network for sharing best practices, exchanging market research, and promoting SME participation in international trade, as well as business growth in local markets' and 'enhance its cooperation with the other Parties to exchange information and best practices in

social responsibility,¹⁰⁰ bolster trade in environmental goods and services,¹⁰¹ support sustainable biodiversity,¹⁰² and respect the preservation of Indigenous knowledge.¹⁰³

Procedural Innovations in Response to Normative Tensions

Alongside the legal mechanisms described earlier, in various trade and investment agreements, states have agreed certain procedural innovations aimed at promoting more sustainable development.

A first type of procedural innovation are impact assessments of trade and investment liberalization policies and draft treaties.¹⁰⁴ Two main models of impact assessments have been used to date. The first assessment model has mainly been used by the EU and involves the undertaking of sustainability impact assessments both before and during the negotiation of trade and investment agreements to identify potential economic, social, and environmental impacts of the relevant

areas including improving SME access to capital and credit, SME participation in covered government procurement opportunities, and helping SMEs adapt to changing market conditions’).

100 See, for example, Agreement between the Republic of Turkey and the Oriental Republic of Uruguay on the Reciprocal Promotion and Protection of Investments (signed 23 April 2022, not yet in force) (Turkey-Uruguay BIT), art 13 (which provides that ‘[i]nvestors operating within the territory of each Contracting Party shall endeavour to voluntarily incorporate into their internal practices and policies internationally recognized standards of corporate social responsibility, such as statements of principles that have been endorsed or promoted by the Contracting Parties. These principles address, inter alia, labour, environmental, human rights, community relations and anti-corruption issues’). See also Free Trade Agreement between Canada and the State of Israel (adopted 31 July 1996, entered into force 1 January 1997) (Canada-Israel FTA), art 16.4 (providing that ‘the Parties affirm the importance of each Party encouraging enterprises operating within its territory or subject to its jurisdiction to voluntarily incorporate into their business practices and internal policies those guidelines and principles of corporate social responsibility that have been endorsed or are supported by that Party’). See also Agreement between the United Kingdom of Great Britain and Northern Ireland and Japan for a Comprehensive Economic Partnership (signed 23 October 2020, entered into force 1 January 2021) (Japan-UK EPA, art 16.2(e)(f) (where the parties agree to ‘cooperate to promote corporate social responsibility, notably through the exchange of information and best practices, including on adherence, implementation, follow-up, and dissemination of internationally agreed guidelines and principles’).

101 See USMCA (n 65), art 24.24 (providing that ‘[t]he Parties recognize the importance of trade and investment in environmental goods and services, including clean technologies, as a means of improving environmental and economic performance, contributing to green growth and jobs, and encouraging sustainable development, while addressing global environmental challenge’); CPTPP (n 65), art 20.18 (stating that ‘[t]he Parties recognise the importance of trade and investment in environmental goods and services as a means of improving environmental and economic performance and addressing global environmental challenges’); Georgia-UK Partnership and Cooperation Agreement, art 233 (where the parties agree to ‘promote trade in goods that contribute to enhanced social conditions and environmentally sound practices, including goods that are the subject of voluntary sustainability assurance schemes such as fair and ethical trade schemes and ecolabels’).

102 See, for example, United States–Peru Trade Promotion Agreement (adopted 12 April 2006, entered into force 1 February 2009) (US–Peru Trade Promotion Agreement), art 18.11 (where ‘the Parties remain committed to promoting and encouraging the conservation and sustainable use of biological diversity and all its components and levels, including plants, animals, and habitat, and reiterate their commitments in Article 18.1’).

103 See, for example, US–Peru Trade Promotion Agreement (n 99), art 18.11 (where the parties ‘recognize the importance of respecting and preserving traditional knowledge and practices of indigenous and other communities that contribute to the conservation and sustainable use of biological diversity’).

104 For a historical account of impact assessments, see James Salzman, ‘Executive Order 13.141 and the Environmental Review of Trade Agreements’ (2001) 95 *American Journal of International Law* 368, 368.

agreement.¹⁰⁵ For example, sustainability impact assessments (SIA) were commissioned by the EU in respect of the EU–Central America Association Agreement (AA),¹⁰⁶ the EU–Mercosur AA,¹⁰⁷ and the EU–India AA,¹⁰⁸ amongst others. The second assessment model involves the undertaking of environmental reviews to identify possible adverse effects of certain trading and investment activities on the environment. Conducting environmental reviews can serve as a useful way for states to readily identify material environmental risks arising from their contemplated trade and investment activities such as the over-exploitation of fisheries and forestry resources,¹⁰⁹ or threats posed to biodiversity,¹¹⁰ with a view to adopting mitigating measures aimed at protecting the environment against such risks.¹¹¹

An additional procedural innovation evident in some trade and investment treaties are consultation provisions which require states to consult with relevant bodies on the development and implementation of certain trade and investment activities, especially as they relate to matters of environmental or social concern. For instance, Article 5.12.2 of the EU–Singapore FTA provides that ‘where a Party has serious concerns regarding a risk to human, animal, or plant life or health, affecting commodities to which trade takes place, consultations regarding the situation shall take place as soon as possible. In such case, each Party shall endeavour to provide all necessary information in due time to avoid disruption in trade.’¹¹²

An additional procedural innovation present in some trade and investment treaties are dispute settlement mechanisms. It bears noting, however, that while many trade and investment treaties contain dispute settlement mechanisms, not all commitments concerning sustainable development are legally binding and subject to dispute settlement.¹¹³ At best, most trade and investment

105 These assessments are conducted by the EU in accordance with a 2002 Communication of the European Commission, relevant guidelines, and a handbook. See Commission (EC), ‘Communication from the Commission on Impact Assessment’ COM (2002) 276 final, 5 June 2002; European Commission, *Handbook for Trade Sustainability Impact Assessment* (2006).

106 ECORYS, Trade Sustainability Impact Assessment of the Association Agreement to be negotiated between the EU and Central America: Draft Final Report (ECORYS July 2009) [EU–Central America SIA] 42–43, 60 (with regard to losses in different sectors), 45–47 (concerning increases in poverty).

107 IARC, Trade Sustainability Impact Assessment (SIA) of the Association Agreement under Negotiation between the European Community and Mercosur: Final Overview Report Trade SIA EU–Mercosur (IARC March 2009) [EU–Mercosur SIA] in relation to manufacturing, metals, textiles, and other sectors, especially for Paraguay.

108 PricewaterhouseCoopers, Sustainability Impact Assessment of the EU–ACP Economic Partnership Agreements: Key Findings, Recommendations and Lessons Learned (Paris, May 2007).

109 USTR, *Final Environmental Review of the US–Chile FTA* (2003).

110 Mario Matus and Edda Rossi, ‘Trade and the Environment in the FTAA: A Chilean Perspective’ in Carolyn Deere and Daniel Esty (eds), *Greening the Americas: NAFTA’s Lessons for Hemispheric Trade* (MIT Press 2002) 259.

111 An illustrative example of a provision contained within a trade agreement which mandates the undertaking of environmental reviews is Article 2.5 of the Free Trade Agreement between Canada and the Republic of Colombia (adopted 21 November 2008, entered into force 15 August 2011) (Canada–Colombia Agreement), which provides that ‘each Party shall ensure that it maintains appropriate procedures for assessing the environmental impacts in accordance with national law and policy of proposed plans and projects, which may cause adverse effects on the environment, with a view to avoiding or minimizing such adverse effects.’

112 See also Korea–Australia Free Trade Agreement (adopted 8 April 2014, entered into force 12 December 2014) (Korea–Australia FTA), art 18.7 (providing that ‘[a] Party may request consultations with the other Party regarding any matter arising under this Chapter [Environment] by delivering a written request to the contact point of the other Party. Consultations shall commence promptly after a Party delivers a request for consultations to the contact point of the other Party. The Parties shall make every attempt to arrive at a mutually satisfactory resolution of the matter’).

113 See, for example, Canada–Israel FTA (n 97), art 16.4 which encourages corporate social responsibility through dialogue and cooperation, and yet expressly notes that ‘a Party shall not have recourse to dispute settlement under

agreements to date favour methods of engagement and consultation, with legally binding dispute settlement procedures to be used only as a last resort.¹¹⁴ Notwithstanding this general trend, the recent EU-NZ FTA has made an innovative first step in this regard by subjecting the entirety of its Trade and Sustainable Development (TSD) chapter to dispute settlement if obligations are breached.¹¹⁵ Indeed, under the EU-NZ FTA, all TSD commitments are legally binding.¹¹⁶ Nevertheless, while the EU-NZ FTA is indeed promising in this respect, not all TSD commitments under the EU-NZ FTA are ‘sanctionable.’ For instance, while commitments to the Paris Agreement and core ILO labour standards are sanctionable, other TSD commitments such as those relating to trade and gender inequality and fishing subsidies are not.¹¹⁷ As such, further scope for procedural reform in this area remains. Furthermore, recourse to dispute settlement in trade and investment agreements is often subject to a high evidentiary bar which may be difficult for states to meet. Indeed, this was a factor which contributed to the US’s loss in the *US-Guatemala* case, which was decided in the context of the CAFTA-DR FTA.¹¹⁸

Other innovative procedural measures which have been incorporated into trade and investment treaties to date include, *inter alia*, (1) the appointment of experts to handle disputes with specialized knowledge in areas concerning trade and development,¹¹⁹ (2) the acceptance of *amicus curiae* briefs,¹²⁰ and (3) the adoption of methods to ensure transparency and public participation in trade

this Agreement for any matter arising under this Article.’ Likewise, the Korea-Australia FTA does not provide for binding dispute settlement to resolve labour disputes.

114 See, for example, CPTPP (n 65), art 19.15 (providing that ‘no Party shall have recourse to dispute settlement under Chapter 28 (Dispute Settlement) for a matter arising under this Chapter without first seeking to resolve the matter in accordance with this Article’).

115 EU-NZ FTA (n 74), ch 26.

116 *ibid* ch 26.

117 *ibid* art 26.16(2).

118 *Re Guatemala—Issues Relating to the Obligations (U.S. v Guatemala)*, Final Report, CAFTA-DR Arb. Panel (14 June 2017).

119 See, for example, Free Trade Agreement between the European Union and the Socialist Republic of Viet Nam (adopted 30 June 2019, entered into force 1 August 2020) OJ L186/3 (EU-Vietnam FTA), art 13.17 (establishing a Panel of Experts with ‘specialised knowledge of, or expertise in, labour or environmental law, issues addressed in this Chapter, or the resolution of disputes arising under international agreements’ to resolve relevant disputes). See also UMCA, art 31.8.3 (providing that ‘[f]or a dispute arising under Chapter 23 (labour) and Chapter 24 (Environment), each disputing Party shall select a panellist in accordance with the following requirements, in addition to those set out in paragraph 1: (a) in a dispute arising under Chapter 23 (labour), panellists other than the chair shall have expertise or experience in labour law or practice; [. . .]’); EU-NZ FTA (n 74), art 26.3(6) (providing that ‘in disputes concerning the provisions of Chapter 19 (Trade and sustainable development) which relate to the multi-lateral agreements or instruments referred to in Chapter 19 (Trade and sustainable development), the Parties shall take into account information from the ILO or relevant organisations or bodies established under MEAs in order to promote coherence between the work of the Parties and those relevant organisations or bodies. Where relevant, the Parties shall seek advice from those relevant organisations or bodies, or any other expert or body they deem appropriate’).

120 See, for example, the US-Chile FTA (n 67), art 10.19(3) which states that the tribunal may accept and consider *amicus curiae* submissions from non-parties.

negotiations, the implementation of sustainable development mechanisms,¹²¹ domestic rule making processes,¹²² and hearings.¹²³

IV. Sustainable Development Measures in Further International Accords

In addition to the trade and investment agreements discussed earlier in this chapter, and as has been argued elsewhere, through several other important multilateral treaties, states are activating trade, investment, and financial measures for sustainable development.¹²⁴ There are a number which deserve particular attention and are worthy of further study.

Paris Agreement on Climate Change

The Paris Agreement under the United Nations Framework Convention on Climate Change was adopted in 2015 with the objective to transition the world to low-carbon and climate-resilient sustainable development pathways through ‘mitigation, adaptation, finance, technology transfer and capacity-building.’¹²⁵ Under the Paris Agreement, parties agree to submit nationally determined contributions (NDCs) where they set their own emission reduction targets and associated policies.¹²⁶ The implementation of economy-wide absolute emission reduction targets are recommended.¹²⁷ The NDCs are national climate plans submitted by all countries under the Paris Agreement which can serve to promote sustainable trade. Additionally, the Paris Agreement establishes regular reporting requirements for countries on anthropogenic emissions by sources and removals by sinks of greenhouse gases. This can serve to heighten scrutiny of relevant climate-related policies that impact trade. Notably, as established by Article 9 of the Paris Agreement, climate finance is integral to the successful implementation of the Paris Agreement as many developing countries

121 See, for example, Protocol 38C on the EEA Financial Mechanism (2016) Side Agreement to the EEA, art 10 which provides that ‘[t]he following shall apply to the implementation of the EEA Financial Mechanism: 1. The highest degree of transparency, accountability and cost efficiency shall be applied in all implementation phases, as well as principles of good governance, partnership and multi-level governance, sustainable development, and equality between men and women and non-discrimination.’ See also CPTPP (n 65), art 20.5.2 (where ‘the Parties recognize the importance of public participation and consultation, in accordance with their respective law or policy, in the development and implementation of measures concerning the protection of the ozone layer. Each Party shall make publicly available appropriate information about its programs and activities, including cooperative programs that are related to ozone layer protection’). See also, Agreement Establishing an Association between the European Community and its Member States, on the One Hand, and the Republic of Chile, on the Other (adopted 18 November 2002, entered into force 1 March 2005) [2002] OJ L352/3 (EU-Chile AA), art 11.

122 See, for example, Agreement on the Environment between Canada and the Republic of Colombia (adopted 27 November 2008, entered into force 15 August 2011), Preamble (where the parties ‘acknowledge the importance of transparency and public participation in the development of environmental laws and policies and with respect to environmental governance’).

123 See, for example, US-Chile FTA (n 67), art 20.2.

124 Marie-Claire Cordonier Segger and Damilola Olawyi, *Sustainable Development Law: Principles, Practices and Prospects* (OUP 2025); Marie-Claire Cordonier Segger and C G Weeramantry (eds), *Sustainable Justice: Integrating Environmental, Social and Economic Law* (Martinus Nijhoff 2004).

125 Paris Agreement (adopted 12 December 2015, entered into force 4 November 2016) 3156 UNTS 3, art 6(8).

126 Mahinda Siriwardana and Duy Nong, ‘Nationally Determined Contributions (NDCs) to Decarbonise the World: A Transitional Impact Evaluation’ (2021) 97 Energy Economics.

127 Paris Agreement (n 122) art 4(4).

depend on international support for the implementation of their NDC activities.¹²⁸ Clear links have been established between financing NDC implementation and advancing climate action.¹²⁹ Moreover, the Paris Agreement also encourages states to propel ‘economic growth and sustainable development’ through ‘innovation,’¹³⁰ which can encompass trade innovations which promote the transition to a greener economy. Additionally, the Paris Agreement further promotes sustainable trade by encouraging states to ‘build the resilience of socioeconomic and ecological systems, including through economic diversification and sustainable management of natural resources.’¹³¹

Convention on International Trade in Endangered Species of Wild Fauna and Flora

The Convention on International Trade in Endangered Species of Wild Fauna and Flora (CITES) is a multilateral treaty which came into force in 1975 to protect endangered plants and animals from the threats of international trade. Signatories under CITES must identify threatened species, establish rules regarding their trade, and impose trade sanctions against violators. One of CITES’ most notable achievements was the ban on the ivory trade in 1989.¹³² Appendix I of CITES lists species threatened with extinction due to international trade and permits such trade only in exceptional circumstances.¹³³ Appendix II of CITES lists species which could become endangered through unregulated trade and imposes measures aimed at preventing unsustainable use and protecting ecosystems.¹³⁴ Finally, Appendix III of CITES lists species which are subject to domestic regulation by a party and requests the cooperation of other parties to regulate international trade in those species.¹³⁵ Critically, by regulating the trade of endangered plants and animals, CITES seeks to ensure that international trade is more sustainable, complies with legal standards, and is traceable.

Kigali Amendment to the Montreal Protocol on Substances that Deplete the Ozone Layer

The Kigali Amendment to the Montreal Protocol on Substances that Deplete the Ozone Layer (Kigali Amendment to the Montreal Protocol), which entered into force in 2019 adds to the

128 Caroline Zimm and Nebojsa Nakicenovic, ‘What are the Implications of the Paris Agreement for Inequality?’ (2020) 20(4) *Climate Policy* 458–67. Paris Agreement, art 9(3) states that ‘As part of a global effort, developed country Parties should continue to take the lead in mobilizing climate finance from a wide variety of sources, instruments and channels, noting the significant role of public funds, through a variety of actions, including supporting country-driven strategies, and taking into account the needs and priorities of developing country Parties. Such mobilization of climate finance should represent a progression beyond previous efforts.’

129 Gabriela Ileana Iacobuță and others, ‘Aligning Climate and Sustainable Development Finance through an SDG Lens. The Role of Development Assistance in Implementing the Paris Agreement’ (2022) 74(1) *Global Environmental Change*. See also Paris Agreement (n 122), art 2(1)(c) which lists one of the aims of the Agreement as being to ‘mak[e] finance flows consistent with a pathway towards low greenhouse gas emissions and climate-resilient development.’

130 Paris Agreement (n 122), art 10(5).

131 Paris Agreement (n 122), art 7.

132 Andrew M Lemieux and Ronald V Clarke, ‘The International Ban on Ivory Sales and its Effects on Elephant Poaching in Africa’ (2009) 49(4) *The British Journal of Criminology* 451–71.

133 Convention on International Trade in Endangered Species of Wild Fauna and Flora (adopted 3 March 1973, entered into force 1 July 1975) 993 UNTS 243 (CITES), appendix I.

134 *ibid* appendix II.

135 *ibid* appendix III.

Montreal Protocol the phase-down of the production and consumption of hydrofluorocarbons (HFCs).¹³⁶ HFCs are powerful greenhouse gases and substantial contributors to climate change. Under the Amendment, signatories to the Montreal Protocol are required to gradually reduce HFC use by 80–85% by the late 2040s.¹³⁷ The Amendment mandates that import and export licencing systems for HFCs must be in place by 1 January 2019 and provides that trade with Parties that have not ratified the Amendment will be banned from 1 January 2033. By controlling and regulating trade in ozone-depleting substances such as HFCs, the Amendment seeks to promote sustainable trade and minimize harm to the Earth's ozone layer.

Convention on Biological Diversity

The Convention on Biological Diversity (CBD), which entered into force in 1993, is a multilateral agreement which promotes the conservation of biological diversity, the sustainable use of its components, and the fair and equitable sharing of benefits arising from genetic resources. Notably, the Access and Benefit Sharing (ABS) framework under the CBD carries significant implications for patenting and trade in biological materials by requiring the equitable sharing of benefits from the use of genetic resources.¹³⁸

Furthermore, CBD also contains two supplementary agreements which carry implications for international trade, being the Cartagena Protocol on Biosafety (the Cartagena Protocol) and the Nagoya Protocol on Access to Genetic Resources and the Fair and Equitable Sharing of Benefits Arising from their Utilization (ABS) (the Nagoya Protocol).¹³⁹

The Cartagena Protocol, which entered into force in 2003, is an international treaty regulating transboundary movements (which encompasses international trade) of living modified organisms resulting from modern biotechnology. Crucially, the Cartagena Protocol recognizes the right of importing states to reject shipments of genetically modified organisms on the basis of environmental safety or risks posed to human health.¹⁴⁰ An overarching feature of the Cartagena Protocol is its adoption of the well-established *precautionary principle*, which was originally codified in Principle 15 of the Rio Declaration.¹⁴¹ In accordance with the precautionary principle, the Cartagena Protocol requires importing parties to make decisions in accordance with scientifically sound risk

136 Kigali Amendment to the Montreal Protocol on Substances that Deplete the Ozone Layer (adopted 15 October 2016, entered into force 1 January 2019) UN Doc C.N.872.2016.TREATIES-XXVII.2.f; Montreal Protocol on Substances that Deplete the Ozone Layer (adopted 16 September 1987, entered into force 1 January 1989) 1522 UNTS 3.

137 Amendment to the Montreal Protocol on Substances that Deplete the Ozone Layer (adopted 15 October 2016, entered into force 1 January 2019) C.N.872.2016.TREATIES-XXVII.2.f., art 5.

138 Convention on Biological Diversity (adopted 5 June 1992, entered into force 29 December 1993) 1760 UNTS 79 (CBD), art 1; see also Charles Lawson and Kamalesh Adhikari (eds), *Biodiversity, Genetic Resources and Intellectual Property: Developments in Access and Benefit Sharing* (Routledge 2018).

139 Nagoya Protocol on Access to Genetic Resources and the Fair and Equitable Sharing of Benefits Arising from Their Utilization to the Convention on Biological Diversity (adopted 29 October 2010, entered into force 12 October 2014). For further reading, Myrna E Watanabe, 'The Nagoya Protocol: The Conundrum of Defining Digital Sequence Information' (2019) 69(6) *BioScience* 480.

140 Cartagena Protocol on Biosafety to the Convention on Biodiversity (adopted 29 January 2000, entered into force 11 September 2003) 2226 UNTS 208 (Cartagena Protocol), art 10.

141 See Cartagena Protocol (n 137), Preamble (reaffirming 'the precautionary approach contained in Principle 15 of the Rio Declaration on environment and Development'). See also Cartagena Protocol, arts 10.6 and 11.8, (stating that the 'lack of scientific certainty due to insufficient relevant scientific information and knowledge regarding the extent of the potential adverse effects of an LMO on biodiversity, taking into account risks to human health, shall

assessments.¹⁴² In case of insufficient relevant scientific information and knowledge, the importing party is advised to exercise precaution in making importing decisions. Additionally, parties are encouraged to take socioeconomic considerations into account when reaching such decisions.¹⁴³ Moreover, the Cartagena Protocol promotes international cooperation to assist developing countries with building human resources and institutional capacity in biosafety through training and the transfer of technology, know-how, and financial resources.¹⁴⁴

The Nagoya Protocol, which entered into force in 2014, provides a transparent legal framework for the implementation of the access and benefit sharing obligations of the CBD. Significantly, under the Nagoya Protocol, signatory states must adopt special measures to monitor the utilization of genetic resources after they depart a given country. The Nagoya Protocol seeks to promote a more sustainable economy by requiring parties to ‘encourage users and providers to direct benefits arising from the utilization of genetic resources towards the conservation of biological diversity and the sustainable use of its components.’¹⁴⁵

Agreement Under the United Nations Convention on the Law of the Sea on the Conservation and Sustainable Use of Marine Biological Diversity of Areas Beyond National Jurisdiction or Biodiversity Beyond National Jurisdiction Agreement

The Agreement under the United Nations Convention on the Law of the Sea on the Conservation and Sustainable Use of Marine Biological Diversity of Areas Beyond National Jurisdiction or Biodiversity Beyond National Jurisdiction Agreement (BBNJ Treaty or High Seas Treaty),¹⁴⁶ adopted in June 2023 by all UN member states, is a new implementing agreement established under the United Nations Convention on the Law of the Sea, which is designed to conserve and sustainably regulate marine biodiversity in areas beyond national jurisdiction. The High Seas Treaty was adopted by UN member states to achieve the global goal of protecting 30% of the world’s oceans in accordance with the 2022 Kunming-Montreal Global Biodiversity Framework. The High Seas Treaty was also adopted pursuant to SDG 14, life below water (which is the most underfunded SDG to date).¹⁴⁷ The High Seas Treaty gives its Conference of the Parties (BBNJ COP) the mandate to establish marine protected areas and other area-based management tools. Additionally, any novel activities on the high seas will be subject to environmental impact assessments and must consider the ‘cumulative impacts’ of multiple human activities impacting the

not prevent a Party of import from taking a decision, as appropriate, with regard to the import of the LMO in question, in order to avoid or minimize such potential adverse effects’).

142 Cartagena Protocol (n 137), art 15; annex III.

143 Cartagena Protocol (n 137), art 26.

144 Cartagena Protocol (n 137), art 22.

145 Nagoya Protocol on Access to Genetic Resources and the Fair and Equitable Sharing of Benefits Arising from Their Utilization to the Convention on Biological Diversity (adopted 29 October 2010, entered into force 12 October 2014) 3008 UNTS 3, art 9.

146 Agreement under the United Nations Convention on the Law of the Sea on the Conservation and Sustainable Use of Marine Biological Diversity of Areas Beyond National Jurisdiction (adopted 19 June 2023, opened for signature 20 September 2023).

147 United Nations Development Programme, ‘The Ocean and the Blue Economy are Fundamental to Addressing the Triple Planetary Crisis—says UNDP’ (8 June 2022) <<https://www.undp.org/press-releases/ocean-and-blue-economy-are-fundamental-addressing-triple-planetary-crisis-says-undp>> accessed 5 August 2024.

same ecosystem.¹⁴⁸ This includes ‘consequences of climate change, ocean acidification and related impacts.’¹⁴⁹ By subjecting all activities involving the new exploitation of marine resources (which could include trading activities) to environmental impact assessments, the High Seas Treaty seeks to counteract environmental threats posed by trade to marine biodiversity such as overfishing and habitat destruction. This, in turn, serves to promote a more sustainable blue economy. Further, experts have forecasted that the adoption of the High Seas Treaty will likely boost ocean-based investments.¹⁵⁰ This is especially significant given the recent studies indicating that sustainable ocean-based investments can generate global benefits which are at least five times greater than any incurred costs.¹⁵¹ Some examples of ocean-based investments which have yielded extremely positive results for sustainable development includes the United Nations Development Programme’s mobilization of \$1 billion for ocean protection and restoration actions in over 100 countries.¹⁵²

International Treaty on Plant Genetic Resources for Food and Agriculture

The International Treaty on Plant Genetic Resources for Food and Agriculture (Plant Treaty or International Seed Treaty), which entered into force in 2004, provides a comprehensive legal framework for the conservation and sustainable use of all plant genetic resources for food and agriculture and the fair and equitable sharing of the benefits arising out of their use. Plant genetic resources are integral to ensuring food security and they provide the genetic material required to improve crop yields, nutritional quality, and adaptability to various environmental conditions. By promoting the sustainable use and conservation of plant genetic resources, fostering dietary diversity, and improving nutrition, the International Seed Treaty seeks to minimize threats posed to agricultural biodiversity by driving innovation in sustainable agriculture. The International Seed Treaty also supports the expanded use of local and locally adapted crops with a view to ensuring that all people have access to nutritious and diverse food sources. A key feature of the International Seed Treaty which carries implications for international trade is its formal recognition of farmer’s rights to save, use, exchange, and sell farm-saved seeds.¹⁵³ The Treaty also strengthens

148 Agreement under the United Nations Convention on the Law of the Sea on the conservation and sustainable use of marine biological diversity of areas beyond national jurisdiction or Biodiversity Beyond National Jurisdiction Agreement (adopted 19 June 2023, not yet in force) UNGA Res 77/318 (High Seas Treaty), art 27.

149 High Seas Treaty (n 141) art 1. See also Elise Hohansen, Signe Veierud Busch and Ingvild Ulrikke Jakobsen (eds), *The Law of the Sea and Climate Change: Solutions and Constraints* (CUP 2020).

150 The World Economic Forum, ‘High Seas Treaty: UN Member States Seal Historic Deal to Protect International Waters’ (10 March 2023) <<https://www.weforum.org/agenda/2023/03/high-seas-treaty-international-waters-ocean/>> accessed 5 August 2024.

151 See Manaswita Konar and Helen Ding, ‘A Sustainable Ocean Economy for 2050: Approximating Its Benefits and Costs’ (High Level Panel for a Sustainable Ocean Economy, 20 July 2020).

152 Such investments have assisted in moving the world’s largest tuna fishery (W&C Pacific) to 100% sustainability and reversing one of the world’s largest hypoxic dead zones in the Black Sea. See UNDP, ‘The Ocean and the Blue Economy are Fundamental to Addressing the Triple Planetary Crisis—says UNDP’ (8 June 2022) <<https://www.undp.org/press-releases/ocean-and-blue-economy-are-fundamental-addressing-triple-planetary-crisis-says-undp>> accessed 5 August 2024.

153 See International Treaty on Plant Genetic Resources for Food and Agriculture (adopted 3 November 2001, entered into force 29 June 2004) 2400 UNTS 303 (International Seed Treaty), Preamble (‘[a]ffirming also that the rights recognized in this Treaty to save, use, exchange and sell farm-saved seed and other propagating material, and to participate in decision-making regarding, and in the fair and equitable sharing of the benefits arising from, the use of plant genetic resources for food and agriculture, are fundamental to the realization of Farmers’ Rights, as well as the promotion of Farmers’ Rights at national and international levels’).

the capacity of farmers and local communities by recognizing their right to participate in national decision-making concerning the conservation and sustainable use of plant genetic resources for food and agriculture.¹⁵⁴

V. Conclusions and Future Directions

Ultimately, as discussed in this chapter, international economic law and sustainable development are inextricably linked and can be mutually supportive. However, without the adoption of adequate measures to ensure the integration of social and environmental protection into the framework of international economic law, there is a serious risk that continued trade and investment activities will circumvent rather than advance sustainable development. To mitigate against this risk, there is scope to encourage more collaboration and establish a more robust partnership between the WTO and other relevant institutions including secretariats of MEAs to promote legal harmonization and institutional coordination in the design and implementation of sustainable development measures. Furthermore, mutually reinforcing strategies and the participation and commitment of all levels of society, including governmental bodies, individuals, organizations, and the scientific community is required to attract more widespread support for the advancement of sustainable development objectives within the context of international trade and investment. Additionally, the inclusion of various procedural and legal innovations into trade and investment agreements can assist in promoting sustainable trade and investment. Beneficially, such innovations can counter against the three normative tensions which often arise between economic liberalization commitments and sustainable development. Further research may be required to assess the efficacy of these legal and procedural innovations in promoting sustainable development over time. Moreover, there is certainly room for further development and reform in relation to the breadth and scope of these innovations, as was identified in Part II of this chapter in relation to dispute settlement mechanisms and the sanctioning of certain sustainable development violations. Finally, as was explained in Part III of this chapter, a growing number of MEAs carry significant implications for international trade by upholding rules and obligations which promote more sustainable trade practices across multiple sectors and industries in response to key environmental concerns. However, to raise greater awareness of these MEA obligations, states should be encouraged to continue to embed these obligations into their trade and investment agreements. Indeed, to properly advance sustainable development, states should endeavour to integrate environmental and social considerations into the design, negotiation and implementation of their trade and investment regimes. Measures such as these will be critical to achieve transformative change, crafting more sustainable international trade and investment rules for development that respects and advances the interests of current and future generations of humanity, and indeed all species on Earth.

154 International Seed Treaty (n 146), art 9.2.

INTERNATIONAL ECONOMIC LAW AND INDIGENOUS CULTURES

Valentina Vadi

Introduction

Indigenous cultures play an essential role in the building of the identity of Indigenous peoples, and their protection has profound significance for the realization of their human rights. Although the recognition of Indigenous peoples' rights and cultural heritage has gained some momentum at the international law level since the adoption of the 2007 United Nations Declaration on the Rights of Indigenous Peoples (UNDRIP),¹ law and policy tend to prioritize macroeconomic notions of growth despite actual or potential infringements of Indigenous entitlements. Many of the estimated 370 million Indigenous peoples around the world have lost or risk losing their ancestral lands because of the exploitation of natural resources.²

While the clash between economic interests and Indigenous peoples' entitlements is not new, this chapter approaches this well-known issue from an international economic law perspective, focusing on the clash between the safeguarding of Indigenous cultures and the promotion of economic interests in international economic law. The protection of Indigenous heritage has intersected with international trade law, creating clashes between Indigenous culture and free trade.³ In parallel, large-scale foreign investment projects can disrupt Indigenous lands and ways of life.⁴

1 The United Nations Declaration on the Rights of Indigenous Peoples (UNDRIP) was adopted by the United Nations (UN) General Assembly in 2007 with a vote of 144 in favour, 11 abstentions, and 4 votes against. Australia, Canada, New Zealand, and the United States voted against, citing concerns over the compatibility of UNDRIP with domestic law. However, these four nations subsequently endorsed the Declaration. G.A. Res. 61/295, UN Doc. A/RES/61/295, adopted on 13 September 2007.

2 United Nations, Economic and Social Council, Permanent Forum on Indigenous Issues, 'Lands, Natural Resources Represent Life for Indigenous Peoples, Not Mere Commodities, Speakers Stress as Permanent Forum begins Session,' HR/5387, 16 April 2018 <<https://press.un.org/en/2018/hr5387.doc.htm>> (last visited on 3 February 2025)

3 See J Burrows and R Schwartz (eds), *Indigenous Peoples and International Trade: Building Equitable and Inclusive International Trade and Investment Agreements* (CUP 2020).

4 S Puig, *At the Margins of Globalization: Indigenous peoples and International Economic Law* (CUP 2021); George K Foster, 'Foreign Investment and Indigenous Peoples: Options for Promoting Equilibrium between Economic Development and Indigenous Rights' (2012) 33 Michigan Journal of International Law 627.

The key question of this study is whether international economic law has embraced a pure *international economic culture* or if, on the other hand, it is open to including Indigenous cultural concerns in its operation. Until recently, international economic law had developed limited tools for protecting Indigenous cultures through dispute settlement.⁵ However, recent arbitral awards have shown a growing awareness of the need to protect Indigenous cultures within investment disputes. The number of cases in which arbitrators have balanced the different values at stake is increasing. In parallel, at the World Trade Organization (WTO), the seal products ban adopted by the European Union (EU) has brought to the fore a veritable clash of cultures between moral concerns about animal welfare on the one hand, and Indigenous cultural practices and free trade on the other.

This chapter proceeds as follows. First, it scrutinizes the international norms protecting Indigenous rights. Second, the chapter briefly sketches the emergence of disputes involving Indigenous peoples before international economic tribunals. Third, the chapter analyses and critically assesses relevant case studies. Fourth, this chapter offers some legal options to better reconcile the interests at stake. Finally, it draws some conclusions.

2. Global vs Local? The International Protection of Indigenous Cultures

Indigenous communities are geographically rooted in given places yet politically, geographically, historically, and legally situated between the national and the international spheres. Geographically, Indigenous peoples are *Indigenous* ‘because their ancestral roots are embedded in the lands on which they live . . . much more deeply than the roots of more powerful sectors of society living on the same lands.’⁶ They are ‘culturally distinctive societies . . . engulfed by settler societies born of the forces of empire and conquest.’⁷ They have lived in a given territory long before the establishment of the nation state under whose sovereignty they live today.⁸

Politically, Indigenous peoples are situated between the national and the international arenas. For decades, Indigenous peoples have been considered to be mere components of states rather than ‘legal unit[s] of international law.’⁹ They used to be subjects of domestic law only.¹⁰ International law seemed to have forgotten them.

Historically, however, Indigenous nations have played a role in international relations as sovereign nations. After decades of conflict and disease, Indigenous peoples likely assented to various treaties with colonial powers to prevent further encroachments of their sovereignty and preserve what remained of their cultures and rights. Nonetheless, they were soon considered part of the new states and encountered many obstacles in enforcing their treaty rights before domestic and international courts.

5 See generally V Vadi, ‘When Cultures Collide: Foreign Direct Investment, Natural Resources and Indigenous Heritage in International Investment Law’ (2011) 42 *Columbia Human Rights Law Review* 797–889.

6 J Anaya, *International Human Rights and Indigenous Peoples* (Aspen Publishers 2009).

7 J Anaya, *Indigenous Peoples in International Law* (OUP 1996) 3.

8 Convention Concerning Indigenous and Tribal Peoples in Independent Countries (ILO Convention 169), 27 June 1989, 28 ILM 1382, Article 1.

9 *Cayuga Indians (Great Britain) v United States*, 6 *Review of International Arbitral Awards* 173 (1926) 176 (stating that an Indian tribe ‘is not a legal unit of international law’).

10 S Wiessner, ‘Indigenous Self-Determination, Culture, and Land: A Reassessment in Light of the 2007 UN Declaration on the Rights of Indigenous Peoples’ in E Pulitano (ed), *Indigenous Rights in the Age of the UN Declaration* (CUP 2012) 31–63 at 38.

The sovereignty of Indigenous peoples has long been a matter of legal debate. For Indigenous peoples, they remain sovereign, and their sovereignty coexists with that of the state. They regard this parallel sovereignty as a spiritual notion reflecting their ancestral tie to the lands.¹¹ Most Indigenous peoples do not seek to secede from the states where they reside; rather, they demand greater control over natural resources, education, and the autonomy necessary to preserve their cultural integrity.¹² Several countries have adopted notions of concurrent or tribal sovereignty, recognizing the sovereignty of Indigenous peoples within their lands.

Irrespective of these developments, international law has increasingly regulated Indigenous peoples' matters over the past four decades, reaffirming their rights and various entitlements. The emergence of the human rights paradigm in the aftermath of WWII and the decolonization process have prompted the renaissance of Indigenous rights at the international level by fostering the adoption of international law instruments recognizing Indigenous peoples' rights. There has been a paradigm shift in international law; and the international community now regards Indigenous peoples as 'legal subjects under international law.'¹³

At the international level, Indigenous peoples' rights have been protected and promoted in two complementary ways: On the one hand, the protection and promotion of Indigenous peoples' rights remain embedded in the human rights framework. On the other hand, Indigenous peoples have supported the creation of special legal frameworks, institutions, and organs that exclusively deal with their situation.¹⁴ For instance, both the 1989 International Labour Organization Convention Concerning Indigenous and Tribal Peoples in Independent Countries (ILO Convention No. 169)¹⁵ and the United Nations Declaration on the Rights of Indigenous Peoples (UNDRIP)¹⁶ are special instruments for the protection of Indigenous peoples. The creation of the United Nations Permanent Forum for Indigenous Issues reflects the efforts of Indigenous peoples 'to create space for themselves and their issues within the United Nations human rights machinery.'¹⁷

While several international legal instruments protect Indigenous cultural rights, Indigenous culture plays a central role in the UNDRIP. Drafted with the very active participation of Indigenous representatives, the Declaration constitutes the outcome of two decades of preparatory work and a significant achievement for Indigenous peoples worldwide. While in theory the Declaration

11 J Brave Noise Cat, 'Indigenous Sovereignty is on the Rise: Can it Shape the Course of History?' *The Guardian* (30 May 2017).

12 R Shrinkhal, 'Indigenous Sovereignty and Right to Self-determination in International Law: A Critical Appraisal' (2021) 17 *AlterNative* 71, 73.

13 See J Gilbert, *Indigenous Peoples' Land Rights under International Law: From Victims to Actors* (Transnational Publishers 2006).

14 K Göcke, 'Protection and Realization of Indigenous Peoples' Land Rights at the National and International Level' (2013) 5 *Goettingen Journal of International Law* 124.

15 ILO Convention No 169, *supra* note 8. ILO Convention 169 replaces Convention 107 in the countries that have ratified it. ILO Convention Concerning the Protection and Integration of Indigenous and Other Tribal and Semi-Tribal Populations in Independent Countries, adopted on 26 June 1957, in force 2 June 1959 (ILO Convention 107). ILO Convention 107 takes an integrationist approach regarding Indigenous peoples as temporary communities destined to disappear with modernization. Since the adoption of Convention No 169, Convention No 107 is no longer open for ratification but remains in force in those countries that ratified it but have not ratified Convention 169 or denounced it (currently 17 countries). While Convention 107 encouraged integration, Convention 169 provides for the recognition of, and respect for, ethnic and cultural diversity acknowledging Indigenous peoples as permanent societies.

16 UNDRIP, *supra* note 1.

17 S Sargent, 'Transnational Networks and United Nations Human Rights Structural Change: The Future of Indigenous and Minority Rights' (2012) 16 *International Journal of Human Rights* 123–51 at 136.

is not binding, in practice some of its provisions reflect customary international law.¹⁸ For example, this is the case for land rights.¹⁹

Indigenous culture is a key theme of the Declaration,²⁰ as many articles are devoted to different aspects of Indigenous culture.²¹ Not only does the UNDRIP recognize the dignity and diversity of Indigenous peoples' cultures, but it also acknowledges their essential contribution to the 'diversity and richness of civilizations and cultures which constitute the common heritage of mankind.'²² The Declaration recognizes the right of Indigenous peoples to practice their cultural traditions²³ and maintain their distinctive spiritual and material relationship with the land that they have traditionally owned, occupied, or otherwise used.²⁴ It acknowledges Indigenous peoples' right to self-determination²⁵ and requires states to consult and cooperate in good faith with Indigenous peoples to obtain their free, prior, and informed consent before adopting and implementing legislative or administrative measures that may affect them.²⁶

For Indigenous peoples, land is the basis not only of economic livelihood but also the source of spiritual and cultural identity. Indigenous peoples maintain cultural and spiritual ties with the ancestral territory they have traditionally occupied,²⁷ not only due to the presence of sacred sites but also because of the intrinsic cultural value of the land itself.²⁸ Although Indigenous cultures vary across continents, they all have a deep cultural connection to the land.

The legal framework protecting Indigenous cultural heritage presents some pitfalls. On the one hand, no specific UNESCO Convention protects Indigenous cultures and their heritage. On the other hand, aside from the classical human rights mechanisms, there is no special international

18 On the Declaration, see M Barelli, *Seeking Justice in International Law: The Significance and Implications of the UN Declaration on the Rights of Indigenous Peoples* (Routledge 2016).

19 C Binder, 'Investment Protection and Human Rights: Tensions and Perspectives with a Special Focus on the Rights of Indigenous Peoples' in J Scheu and others (eds), *Investment Protection, Human Rights and International Arbitration in Extraordinary Times* (Nomos 2022) 217, 219.

20 S Wiessner, 'The Cultural Rights of Indigenous Peoples: Achievements and Continuing Challenges' (2011) 22 *European Journal of International Law* 121, 139.

21 UNDRIP, Articles 5, 8, 9, 11, 12, 13, 14, 15, 16.

22 UNDRIP, preamble. Compare with ILO Convention 169 preamble (recalling 'the distinctive contributions of indigenous and tribal peoples to the cultural diversity and social and ecological harmony of humankind and to international co-operation and understanding').

23 UNDRIP, Article 11.

24 UNDRIP Articles 10 (no forced removal), 25 (right to traditional lands), 26 (right to land), 28 (right to redress). Compare with ILO Convention 169 Article 14 (right to land), 15.1 (right to the natural resources pertaining to their lands), 15(2) (duty to consult Indigenous peoples) and Article 16 (on relocation).

25 While UNDRIP Article 3 expressly affirms Indigenous peoples' right to self-determination, Convention No 169 does not include such a provision. Nonetheless, it implicitly endorses Indigenous peoples' right to internal self-determination by 'recognizing the aspirations of these peoples to exercise control over their own institutions, ways of life and economic development and to maintain and develop their identities, languages and religions, within the framework of the States in which they live.'

26 UNDRIP Article 19 (free, prior, and informed consent before adopting and implementing legislative or administrative measures that may affect them.) and Article 32 (free, prior, and informed consent prior to the approval of any project affecting their lands or territories and other resources). Compare with ILO Convention 169 Article 6 (duty to consult Indigenous peoples).

27 Inter-Am. Ct. H.R., *Mayagna (Sumo) Awas Tigni Community v Nicaragua*, Judgment of 31 August 2001, IACtHR Series C, No 79, 75, para 149 (clarifying that 'For Indigenous communities, relations to the land are not merely a matter of possession and production but a material and spiritual element which they must fully enjoy, even to preserve their cultural legacy and transmit it to future generations').

28 Inter-Am. Ct. H.R., *Case of the Saramaka People v Suriname*, Judgment on Preliminary Objections, Merits, Reparations and Costs, 28 November 2007 (ser. C) No 172, at para 82.

court where Indigenous peoples can raise complaints regarding measures that affect them. National and regional courts and international monitoring bodies have helped clarify and implement Indigenous rights.²⁹ International economic ‘courts’ have often dealt with Indigenous heritage-related cases too. Nonetheless, such courts have limited mandates to adjudicate Indigenous claims. The UNDRIP does not change this situation. Therefore, notwithstanding the major political merits of the Declaration, the ‘UNDRIP does not definitively resolve, but at best temporarily mediates multiple tensions.’³⁰

3. The Diaspora of Indigenous Culture-Related Disputes Before International Economic Courts

International economic law is a well-developed field of study within the broader international law framework and is characterized by sophisticated dispute settlement mechanisms. While the dispute settlement mechanism of the WTO³¹ used to be the ‘jewel in the crown’ of this organization,³² investor-state arbitration has become the most successful mechanism for settling investment-related disputes. Currently the objects of criticism, both investor-state arbitration and the WTO dispute settlement mechanism are experiencing a phase of reflection, reform, and perhaps transformation.

Even if one assumes that foreign investment and international trade are not per se harmful and that it is desirable to promote them, the argument goes that international economic law can hurt states by limiting their ability to protect their citizens against various harms.³³ Because arbitral tribunals are not generally subject to an appeal mechanism, inconsistent awards have resulted. In response to these criticisms, countries and commentators have proposed a range of alternatives moving towards some judicialization of the system.³⁴ In turn, and perhaps paradoxically, the WTO Appellate Body has been under siege for its alleged judicial activism, and for being too judicialized.³⁵ While a discussion of the various reform proposals is outside the scope of this chapter, it will suffice to mention that some reforms can foster the consideration of important policy objectives before international economic courts.

Given the structural imbalance between the vague and non-binding dispute settlement mechanisms provided by human rights treaties, and the highly effective and sophisticated dispute settlement mechanisms available under international economic law, several disputes involving Indigenous peoples’ rights have been brought before international economic courts. This does not mean that these are the only available tribunals, let alone the best courts for these disputes. Other courts and tribunals are available such as national courts, human rights courts, and the traditional state-to-state *fora* such as the International Court of Justice or even inter-state arbitration. Some of these dispute settlement mechanisms may be more suitable than investor–state arbitration or the

29 G Pentassuglia, ‘Towards a Jurisprudential Articulation of Indigenous Land Rights’ (2011) 22 *European Journal of International Law* 165–202.

30 See K Engle, ‘On Fragile Architecture: The UN Declaration on the Rights of Indigenous Peoples in the Context of Human Rights’ (2011) 22 *European Journal of International Law* 141–63 at 163.

31 Marrakesh Agreement Establishing the World Trade Organization, 15 April 1994, 33 ILM 1144 (1994).

32 A Narlikar *The WTO: A Very Short Introduction* (OUP 2005).

33 S Ratner, ‘International Investment Law through the Lens of Global Justice’ (2017) *Journal of International Economic Law* 747–75.

34 A Roberts, ‘Incremental, Systemic, and Paradigmatic Reform of Investor-State Arbitration’ (2018) 112 *American Journal of International Law* 410–32.

35 G Shaffer, ‘A Tragedy in the Making? The Decline of Law and the Return of Power in International Trade Relations’ (2018) 44 *Yale Journal of International Law* 37–53.

WTO dispute settlement mechanism to address Indigenous peoples' concerns. Given its scope, this study focuses on the jurisprudence of the WTO bodies and arbitral tribunals.

One may wonder whether the fact that cultural disputes tend to be adjudicated before international economic courts determines a sort of institutional bias. About the WTO dispute settlement mechanism, one may wonder whether 'an adjudicatory system engaged in interpreting trade-liberalizing standards would tend to favour free trade.'³⁶ According to some empirical studies, there is a consistently high rate of complainant success in WTO dispute resolution,³⁷ and 'the WTO panels and the WTO Appellate Body have interpreted the WTO agreements in a manner that consistently promotes the goal of expanding trade, often to the detriment of respondents' negotiated and reserved regulatory competencies.'³⁸

In parallel, some scholars believe that investor-state arbitration is biased in favour of corporate economic interests failing to respect vital non-economic concerns.³⁹ This is particularly problematic when it comes to disputes involving Indigenous rights. In particular, the structure of the arbitration process raises significant concerns. While arbitration structurally constitutes a private adjudication model, investment disputes also present international public law aspects. Arbitral awards ultimately shape the relationship between the state, on the one hand, and private individuals on the other.⁴⁰ Arbitrators determine matters such as the legality of governmental activity, the protection of individuals' rights, and the appropriate role of the state.⁴¹

While foreign investors have direct access to investor-state arbitration, thus bypassing local courts,⁴² the communities affected by a given investment do not have automatic access to the system. Rather, they have access to local courts, grievance mechanisms like the World Bank's Inspection Panel, regional human rights courts, and the various complaint procedures before the UN treaty bodies. Therefore, only the respondent state whose Indigenous communities are nationals, not the communities themselves, can raise counterclaims for eventual violations of domestic law protecting Indigenous rights before arbitral tribunals. Furthermore, the investor can challenge adverse court decisions in the host state upholding complaints brought by private parties against a foreign investor, by contending that such judgments constitute wrongful interference with the investment, thus amounting to a denial of justice or a judicial expropriation of the investment before an arbitral tribunal.⁴³ Finally, Indigenous protests can be considered a potential breach of the full protection and security standard under investment treaties, specifically if the host state fails to adequately protect investments from harm caused by the protests.

36 JP Trachtman, 'The Domain of WTO Dispute Resolution' (1999) 40 *Harvard International Law Journal* 333.

37 J Maton and C Maton, 'Independence under Fire: Extra Legal Pressures and Coalition Building in WTO Dispute Settlement' (2007) 10 *Journal of International Economic Law* 317.

38 JF Colares, 'A Theory of WTO Adjudication: From Empirical Analysis to Biased Rule Development' (2009) 42 *Vanderbilt Journal of Transnational Law* 383 at 388.

39 R Broad, 'Corporate Bias in the World Bank Group's International Centre for Settlement of Investment Disputes—A Case Study of a Global Mining Corporation Suing El Salvador' (2015) 36 *University of Pennsylvania Journal of International Law* 854.

40 G Van Harten *Investment Treaty Arbitration and Public Law* (OUP 2007) 70.

41 M Sornarajah, 'The Clash of Globalizations and the International Law on Foreign Investment' (2003) 10 *Canadian Foreign Policy* 1.

42 F Francioni, 'Access to Justice, Denial of Justice, and International Investment Law' in P-M Dupuy, F Francioni and E-U Petersmann (eds), *Human Rights in International Investment Law and Arbitration* (OUP 2009) 72.

43 PCA, *Chevron Corporation and Texaco Petroleum Company v Republic of Ecuador*, PCA Case No 2009-23, Second Partial Award on Track II, 30 August 2018.

The increasing impact of FDI on Indigenous communities has raised the question of whether the principle of access to justice, as successfully developed for the benefit of investors through the provision of binding arbitration, ought to be matched by a corresponding right to a remedial process for individuals and groups adversely affected by the investment in the host state.

The paradox is that foreign investors and Indigenous peoples lie at opposite ends of the same spectrum: international investment agreements protect foreign investors because of their foreignness; international law protects Indigenous peoples because of their Indigeneity, as they descend from those who inhabited the area before colonization. At the same time, however, both foreign investors and Indigenous peoples have clearly defined rights under international law. The following section addresses the question as to whether Indigenous peoples' entitlements play any role in the context of international disputes before international economic courts.

4. When Cultures Collide

Indigenous cultures build upon a holistic understanding of natural resources, cultural practices, and human flourishing. According to General Comment 23, 'culture manifests itself in many forms':⁴⁴ it does not merely include tangible cultural artifacts, but it also encompasses 'a particular way of life associated with the use of land resources, especially in the case of Indigenous peoples.'⁴⁵ Accordingly, it can include traditional activities such as fishing or hunting.⁴⁶ The safeguarding of these cultural practices enables the survival and development of the cultural identity of Indigenous peoples 'thus enriching the fabric of society as a whole.'⁴⁷ Therefore, natural resources matter to Indigenous peoples 'not only because they are their main means of survival, but also because they form part of their worldview . . . and . . . cultural identity.'⁴⁸

By contrast, international economic law has fostered a culture of efficiency, productivity, and exploitation of natural resources in the pursuit of profit and economic development. While development analysts point to extractive projects as anti-poverty measures, and advocate FDI as a major catalyst for growth and modernization, extractive activities displace local cultures, and traditional lifestyles, exposing local communities to pollution and environmental degradation.⁴⁹ Among the groups that are often disproportionately affected by the adverse impact of business activities are peasants, minorities, and Indigenous peoples. Indigenous peoples' cultural values are particularly at risk as rising investment in the extractive industries can have a devastating impact on their land.

Conflicts between Indigenous rights and the economic interests of investors and traders frequently occur on all inhabited continents.⁵⁰ In parallel, free trade may destabilize Indigenous communities by commodifying their cultural heritage, transforming their lifestyles, and affecting their

44 UN Human Rights Comm., *General Comment No 23: The Rights of Minorities* (art. 27), paras 7, 9, UN Doc. CCPR/C/21/Rev.1/Add.5, 8 April 1994.

45 *ibid.*

46 *ibid.*

47 *ibid.*

48 Inter-American Court of Human Rights, *Case of the Sawhoyamaya Indigenous Community v Paraguay*, Judgment of 29 March 2006, Merits, Reparations and Costs, para 118.

49 NM Perrone, 'Investment Treaty Law and Matters of Recognition: Locating the Concerns of Local Communities' (2023) 24 *Journal of World Investment & Trade* 437–60.

50 M Krepchev, 'The Problem of Accommodating Indigenous Land Rights in International Investment Law' (2015) 6 *Journal of International Dispute Settlement* 43.

traditional cultural practices.⁵¹ Indigenous peoples regard international trade and foreign investments as affecting their lives through environmental degradation, forced relocation, and deforestation among others.

Given the impact on Indigenous peoples' lives, scrutiny and critical assessment of these cases is of the utmost relevance. For reasons of space, it is not possible to examine them all in the context of this contribution; rather, this section briefly proposes an analytical framework for discussing past, present, and future cases concerning Indigenous peoples before international economic courts. Multiple classifications are possible: in previous studies, I examined various case studies based on the type of cultural heritage affected by foreign investments⁵² or the investment claims brought by the investor.⁵³ This study proposes a different categorization that unifies the fields of trade and investment and focuses on the role played by Indigenous peoples in the context of such disputes.

To date, the crossover of international economic law and Indigenous peoples' rights has arisen in five ways. First, as foreign investors, Indigenous claimants have filed claims before arbitral tribunals alleging that the host state failed to consider their various entitlements under international investment law and other international law. In parallel, as traders, Indigenous communities lobbied their states to file claims before the WTO dispute settlement mechanism. Second, foreign investors have filed claims against the host state contending that regulatory measures protecting Indigenous rights or their heritage were in breach of relevant investment treaty provisions. Third, foreign investors have filed claims against host states, contending that the latter failed to protect the former or their investments against actions of Indigenous peoples. Fourth, groups of Indigenous peoples who are not party to a given dispute but are interested in its outcome have sought permission to intervene in the proceedings. Finally, some cases reflect the harms caused to Indigenous peoples in the colonial era. This chapter examines these different intersections between investors' rights and the rights of Indigenous peoples.

A. Indigenous Peoples qua Investors and Traders

As foreign investors, Indigenous peoples have filed claims before arbitral tribunals. As traders, they have motivated their states to file claims before the WTO dispute settlement mechanism. For instance, in *Grand River v. United States*,⁵⁴ a Canadian tobacco distribution company composed of Indigenous peoples contended that the Master Settlement Agreement—an agreement between the attorneys general of 46 states and major tobacco companies in the United States—was being applied to their business without their input. For the company, this allegedly violated customary law requiring consultation, if not consent, of Indigenous peoples on regulatory matters potentially affecting them.⁵⁵ The Arbitral Tribunal, however, did not find any violation of the minimum standard due to investors under Article 1105 of the North American Free Trade Agreement (NAFTA),⁵⁶ albeit

51 See eg CG Gonzalez, 'An Environmental Justice Critique of Comparative Advantage: Indigenous Peoples, Trade Policy, and the Mexican Neoliberal Economic Reforms' (2010–11) 32 *University of Pennsylvania Journal of International Law* 723.

52 V Vadi, *Cultural Heritage in International Investment Law and Arbitration* (CUP 2014).

53 V Vadi, *Cultural Heritage in International Economic Law* (Brill 2023).

54 *Grand River Enterprises Six Nations, Ltd. v United States*, Award, 12 January 2011.

55 *ibid* para 182(3).

56 *ibid* para 187.

admitting, in passing, that Indigenous peoples should be consulted on matters potentially affecting them.⁵⁷

Similarly, when the EU adopted a comprehensive regime prohibiting the import and sale in the EU of any seal product except those derived from hunts traditionally conducted by Inuit, the Inuit groups involved in the hunting and trade of seal products lobbied Canada to bring the case to the WTO dispute settlement mechanism. The Inuit contested the ban arguing that the ‘Inuit exemption’ would not prevent the market for seal products from collapsing. Since the Inuit people did not export seal products directly, but through non-Indigenous exporters, they claimed that the derogation would remain an ‘empty box.’ Furthermore, they emphasized that the EU had adopted the EU seal regime without consulting them. Therefore, they perceived the exemption as inadequate to sustain their cultural practices and praised the Canadian government for bringing the seal ban to the WTO.⁵⁸

This type of claim confirms that ‘Indigenous communities have long participated in economic relations with States and corporations alike.’⁵⁹ Accordingly, they play an active role in the global economy. It also confirms that Indigenous peoples—about 400 million people worldwide⁶⁰—constitute a diverse group of communities rather than a monolith with a singular identity. It also illustrates that they rightly reclaim their economic self-determination and ask international economic law to be more permeable to their perspectives and rights.

B. States as Respondents qua Trustees of Indigenous Peoples’ Rights

Second, foreign investors and WTO members have filed claims against other states, contending that the latter’s regulatory measures protecting Indigenous rights breach international economic law. For instance, in *Ras al-Khaimah Inv. Authority v. India*, an Emirati investor had signed a supply agreement with the state to get bauxite. However, the project was met with local opposition, reportedly because the government planned to mine bauxite on reserved tribal land. After the government cancelled the agreement, the company filed a claim against India.⁶¹ Reportedly, the Arbitral Tribunal ruled in favour of India on jurisdictional grounds. However, the award has not been published yet, and it is impossible to examine its reasoning at the time of this writing.

Nonetheless, this and similar cases are interesting because they reveal that Indigenous peoples are not merely disadvantaged by historical discrimination and political marginalization but also by the economic development agendas pursued by post-colonial governments.⁶² The tension between Indigenous worldviews and state economic priorities is apparent in the examined case. Reportedly, two dominant discourses emerged about bauxite mining in Eastern India. On the one hand, the ‘life-giving discourse’ opposed mining because it favoured the conservation of the ecosystem in

57 *ibid* para 210.

58 For a comprehensive discussion of the case, see Vadi, (n 53) 254–57.

59 K Polonskaia, ‘Indigenous Peoples in International Investment Law: Time for a New Dispute Resolution Procedure’ (2023) *Journal of World Investment & Trade* 691, 717.

60 J James-Eluyode, ‘Rethinking the Role of Indigenous Peoples as Rightsholders, Stakeholders, and Valuable Market Participants in the Global Trade and Investment Spaces’ (2022) 25 *Journal of International Economic Law* 362–68, 363.

61 *Ras-Al-Khaimah Investment Authority v India*, ad hoc arbitration, Award, 11 May 2022, unpublished (as of 4 February 2025).

62 James-Eluyode (n 60) 363.

support of Indigenous peoples' traditional lifestyles.⁶³ Bauxite hills can be 'life-giving'; because they are porous, they can store water during the monsoon season and slowly release it into hill streams throughout the year. On the other hand, the 'treasure chest' discourse considered the exploitation of bauxite hills as pivotal for the economic development of the state.⁶⁴

This materialistic vision of mineral extraction 'builds on an ideology of modernization and economic development via industrialization' that is all too common.⁶⁵ Yet, when these development projects relate to Indigenous peoples' lands, they reveal 'the continuity of many colonial trends': On the one hand, states and investors treat Indigenous land as nobody's land, or *terra nullius*, in breach of international law.⁶⁶ The problem is exacerbated by the fact that Indigenous areas are often rich in natural resources and lack demarcation. On the other hand, states and foreign investors often regard Indigenous lands as 'fungible reserves of natural resources within global value chains.'⁶⁷ This view contrasts with the sacred and holistic vision of ancestral land often held by Indigenous peoples and their right to self-determination. This clash of cultures is not just a matter of constitutional salience but also pertains to international law, as Indigenous rights, including the rights to self-determination, land, and cultural rights, are well entrenched in the human rights pantheon.

C. Indigenous Protests and the Full Protection and Security Standard

Foreign investors can argue that Indigenous peoples' protests against their investments violate the full protection and security standard outlined in international investment agreements. This argument arises because these agreements often oblige host states to protect foreign investments from various risks, including those stemming from civil unrest or state inaction to prevent harm. If a state fails to prevent or adequately address protests that negatively impact an investment, the investor may claim a breach of the full protection and security standard and seek compensation.

This situation highlights a potential conflict between the rights of Indigenous peoples to protest and the protections afforded to foreign investors under international investment law. It raises questions about how to balance these competing interests and ensure that states can effectively regulate investments while also respecting the rights of Indigenous communities.

For example, in *Bear Creek v. Peru*, the claimant, a Canadian company, argued that Peru had failed to afford its mining project full protection and security.⁶⁸ The project was controversial because it would impact the land of the Aymara Indigenous peoples, who strongly opposed it. As protests turned violent, Peru revoked the investor's mining concession.⁶⁹ The claimant contended that the host state acted to placate political pressure rather than pursue a legitimate public policy objective.⁷⁰ The tribunal found that the state measures amounted to an indirect expropria-

63 Patrik Oskarsson, 'Diverging Discourses on Bauxite Mining in Eastern India: Life-Supporting Hills for Adivasis or National Treasure Chests on Barren Lands?' (2017) 30 *Society & Natural Resources* 994, 996.

64 *ibid* 994.

65 *ibid* 997.

66 Perrone, *supra* note 49, 442 and 444.

67 *ibid* 447.

68 *Bear Creek Mining Corp. v Peru*, Award, ICSID Case No ARB/14/21, 30 November 2017, para 113.

69 *ibid* paras 189–90 and 202.

70 *ibid* para 349.

tion, concluding that there was no need to examine whether such measures also violated the full protection and security standard.⁷¹

Arbitral tribunals have adopted diverging approaches when dealing with local communities, public participation, and social unrest. While some tribunals have considered public campaigns leading up to alleged breaches of treaty provisions to be a mitigating factor favouring the state, others have approached the role of social unrest with caution. The latter approach is due to the perceived vulnerability of foreign investors and their nonparticipation in the decision-making processes that ultimately affect their economic interests. In legal terms, democratic debate preceding the adoption of domestic law does not justify a breach of international law commitments requiring the promotion of foreign direct investments.⁷²

However, these social mobilizations should not necessarily be regarded as political interference. Rather, at least in some cases, they express Indigenous indignation for the breach of their human rights. Indigenous peoples are vulnerable, and international law recognizes their right to land, culture, and (internal) self-determination in addition to requiring their participation in decisions affecting them.⁷³ Although international law is binding on states, foreign investors must comply with municipal law that often reflects international standards.⁷⁴

D. Indigenous Peoples as Amici Curiae

Procedural rules governing disputes before WTO panels and arbitral tribunals limit Indigenous peoples' ability to be heard in the proceedings. As investors, Indigenous peoples can file investment claims. As traders, they can influence their countries to file claims before the WTO DSM. If they are neither investors nor traders, Indigenous peoples face a paradoxical scenario: they are regarded as third parties external to international economic disputes, even though they are 'internal to the struggle' over the destiny of their ancestral lands.⁷⁵ Even though minorities and local communities are equally excluded from the adjudication of international economic disputes, Indigenous peoples have a special status under international law that differs from that of minorities and local communities. As Indigenous nations, their interests are not perfectly aligned with state interests. Moreover, only Indigenous peoples can truly assess the impact of economic activities on their cultures.⁷⁶

Groups of Indigenous peoples who are not party to a given proceeding but have a significant interest in the outcome of the same can seek permission to intervene in the proceedings as friends of the court (*amici curiae*). *Amicus curiae* submissions can help illuminate the stance of historically marginalized communities and ensure that the rights of Indigenous peoples are respected in the implementation of international economic law. They can contribute to the factual and legal architecture of a case by bringing a perspective, particular knowledge, or insight that is different

71 *ibid* para 544.

72 VCLT Article 27 ('A party may not invoke the provisions of its internal law as justification for its failure to perform a treaty').

73 ILO Convention 169 Article 15, UNDRIP Article 32.

74 T Gazzini and Y Radi, 'Foreign Investment with a Human Face—With Special Reference to Rights of Indigenous Peoples' in R Hofmann and C Tams (eds), *International Investment Law and Its Others* (Nomos 2012) 87, 109.

75 Polonskaia, *supra* note 59, 694; IT Odumosu-Ayanu, 'Local Communities, Indigenous Peoples, and Reform/Redefinition of International Investment Law' (2023) 24 *Journal of World Investment & Trade* 792.

76 *Glamis Gold v United States*, Quechan Indian Nation Application for Leave to File a Non-Party Submission, 19 August 2005, 3–4 (noting at 4 that 'The Tribe is . . . uniquely positioned to comment on the impacts of the proposed mine to cultural resources, cultural landscape or context').

from that of the disputing parties. At the same time, international economic courts must ensure that the participation of *amici curiae* does not disrupt the proceedings or politicize the disputes, and that the submission of *amici curiae*'s briefs does not unduly burden either party.

Despite some merits, *amicus curiae* do not constitute an ideal participatory mechanism. International economic courts are not required to accept such submissions; rather, they can accept them, provided that certain conditions are met, including but not limited to timeliness, brevity, and independence. Moreover, even when international economic courts decide to accept *amicus curiae* briefs, they may impose restrictive word limits and short timeframes to present arguments. More importantly, by serving as *amici curiae*, Indigenous peoples do not become parties to the proceedings; they have limited rights during the same and cannot file annulment or appeal claims. Finally, international economic courts are not obligated to discuss arguments presented by *amici curiae* in their awards and reports.

Indigenous peoples submitted their first *amicus curiae* briefs before an international economic court in the *Softwood Lumber* case, a WTO dispute between Canada and the US. In brief, the softwood lumber companies in the US argued, inter alia, that the low price of the timber at which Canada sold to the US constituted illegal dumping. The US eventually placed countervailing duties upon the Canadian timber to counter the unfair subsidies. Canada alleged that the imposition of such a duty constituted a breach of the WTO Agreement on Subsidies and Countervailing Measures. In their *amicus curiae* brief, the tribes argued that the non-recognition of Indigenous rights to land in Canada conferred a benefit to Canada's domestic timber industry, constituting a subsidy contravening the WTO agreement on Subsidies and Countervailing Measures.⁷⁷ While the WTO panel accepted the submission, it did not comment upon the substantive issues.⁷⁸

Regarding investment disputes, in the *Glamis Gold* case, an Indigenous community was granted *amicus curiae* status.⁷⁹ In this case, a Canadian mining company planned to mine gold on federal land in southeastern California. Nonetheless, the area in and around the Imperial Project was used by pre-contact Native Americans as a pilgrimage route. Therefore, the Quechan, a Native American tribe, opposed the project as it would destroy the Trail of Dreams, a sacred path still used for performing ceremonial practices.⁸⁰ While the tribunal accepted the filing, the Quechuan nation's perspective remains invisible in the award.⁸¹

In the *Grand River* case, the tribunal received a letter from the national chief of the Assembly of First Nations. The letter asked the tribunal to endorse the UNDRIP and customary international law principles and consider Indigenous rights in the arbitration.⁸² The tribunal noted that it had

77 Chief Arthur Manuel, Interior Alliance Native Leaders Join Together to Pursue Softwood, Press release, 10 June 2002 (arguing that 'Canada is arguing that its competitive advantage comes from the fact that Canada has more trees. When in reality it comes from the fact that it gives the forests over to the companies who pay only a small extraction fee, and no-one pays a dime to the Aboriginal co-owners of the forests').

78 *United States—Preliminary Determinations with Respect to Certain Softwood Lumber from Canada*, Report of the Panel, 27 September 2002, 7.2, WT/DS236/R.

79 *Glamis Gold Ltd. v United States of America*, Quechan Indian Nation, Application for Leave to File a Non-Party Submission, 19 August 2005.

80 *Glamis Gold, Ltd. v United States of America*, UNCITRAL (NAFTA) Award, 8 June 2009, para 107.

81 *ibid.* para 286 (acknowledging the acceptance of the *amicus curiae* brief).

82 See *Grand River Enterprise Six Nations Ltd. and others v United States of America*, Award, 12 January 2011, para 60.

considered the letter, but it remains unclear whether and, if so, to what extent.⁸³ In other cases, arbitral tribunals have denied the participation of non-disputing parties.⁸⁴

The procedural marginalization or even exclusion of Indigenous peoples' perspectives from the proceedings can compromise the perceived legitimacy of international economic adjudication and perpetuate colonial legacies.⁸⁵ Indigenous communities have only limited agency in the context of international economic lawmaking and adjudication. Such limits perpetuate historical injustice.

E. Historical Injustice Revealed

More recently, international economic courts have dealt with outlier cases that are atypical as they relate to the harms caused to Indigenous peoples in the colonial era. Although these cases only marginally mention Indigenous peoples, they reveal past injustice, and their resolution will likely reverberate beyond international economic law and have a significant impact on the development of international law.

For instance, a pending arbitration concerns the recovery of a Spanish galleon laden with riches extracted from the former colonies that sank while en route to Spain. A US salvage company, Sea Search Armada (SSA), filed an investor–state arbitration against Colombia, contending that after discovering the wreck of the *San José*, it disclosed its coordinates to the state expecting to receive half the ship's treasure under Colombian law.⁸⁶ However, in 2020, the Colombian Ministry of Culture declared the *San José* 'an asset of national cultural interest . . . thus depriving Claimant of its rights to 50% of its discovery.'⁸⁷ For the company, Colombia unlawfully expropriated its rights when the Ministry of Culture declared the wreck an asset of national cultural interest.⁸⁸

In parallel, Spain contends that the *San José* should complete its interrupted voyage. A Spanish warship, the vessel was sailing from the Spanish colonies to Spain when it sank. For Spain, as a war grave and a state vessel, the *San José* galleon enjoys sovereign immunity and should be free from Colombian interference.⁸⁹ Therefore, Spain applied for leave to intervene as a non-disputing party to the ongoing investor-state arbitration, contending that the tribunal lacked jurisdiction to even hear the dispute.⁹⁰

The tribunal rejected Spain's application.⁹¹ While it praised Spain's desire to 'defend its interests . . . [to] advance . . . the common historical knowledge between Spain and Colombia and . . . the preservation . . . of . . . the subaquatic cultural heritage for the benefit of humanity,' it '[wa]s not

83 *ibid.*

84 *Bernhard von Pezold and Others v Zimbabwe*, ICSID Case No ARB/10/15, Procedural Order No 2, 26 June 2012.

85 Z Boirin-Fargues, 'Indigenous Peoples' Rights in International Investment: An Ongoing Compartmentalization' (2024) 25 *Journal of World Investment & Trade* 153, 174.

86 *Sea Search Armada LLC v Republic of Colombia*, Claimant's Response to Respondent's Preliminary Objections Pursuant To Article 10.20.5 of the TPA, PCA Case No 2023–37 <<https://jusmundi.com/en/document/pdf/other/en-sea-search-armada-llc-v-the-republic-of-colombia-claimants-response-to-respondents-preliminary-objections-pursuant-to-article-10-20-5-of-the-tpa-wednesday-20th-september-2023>> para 19.

87 *ibid* para 5.

88 *ibid.* para 4.

89 *Sea Search Armada LLC v Republic of Colombia*, Decision on the Application by the Kingdom of Spain for Leave to Intervene as Non-disputing Party, 30 December 2023, para 10.

90 *ibid* para 11.

91 *ibid* paras 37–8.

persuaded that this arbitration [wa]s the appropriate forum in which to address Spain's various claims.'⁹²

At first sight, this case is completely unrelated to Indigenous peoples' rights. Yet, if one briefly examines its historical antecedents, the link between this investment treaty arbitration and historical injustice becomes apparent. When it sank in 1708, the San José was laden with gold, silver, and emeralds from across Spain's vast colonies, a treasure worth \$20 billion.⁹³ The ship was transporting wealth mined by enslaved Indigenous workers in the Andes.⁹⁴ After conquering the Inca Empire, the Spaniards ruthlessly exploited its natural resources and established a forced labour system, called *mita*, drafting Indigenous people with disastrous effects that are still felt nowadays.⁹⁵

This and similar cases recall the injustice of colonialism and constitute a warning against any extension of previous subjugation through the transition from colonialism to neocolonialism. International law has historically played a role in empowering the rich and disenfranchising the poor. Despite its anticolonial commitment, international law may become neocolonial in practice if it permits the exploitation of the poor at the margins of globalization and the perpetuation of uneven and asymmetrical relations between industrialized and developing countries. While international law cannot change the past, it can open pathways towards transformation.⁹⁶ It should be responsive to the demands of justice.

5. What's Next?

The collision between international economic law and Indigenous peoples' rights can be solved through international economic law itself, albeit to a limited extent. Two avenues can facilitate the consideration of Indigenous entitlements in international economic disputes.

A. De lege ferenda

As international investment treaties are periodically renegotiated, treaty drafters can expressly accommodate Indigenous peoples' entitlements in the text of these treaties. For instance, Canada and New Zealand have inserted specific clauses protecting Indigenous rights in their trade and investment agreements.⁹⁷ This explicit recognition of Indigenous entitlements by international investment treaties can allow the state to protect Indigenous groups without the fear of expensive investment claims. In parallel, investors can consider the existence of protected groups when assessing the economic risks of the given investment. States can build additional safeguards within international investment treaties by requiring compliance with domestic law. For instance, states can clarify that the relevant investment treaty protects only those investments that comply with

⁹² *ibid* para 33.

⁹³ A Guthrie, 'Colombia Attempts to Toss Case Over \$20 Billion in Sunken Treasure' *ALM* (14 December 2023).

⁹⁴ A Coates, 'The Sunken Treasure of the San José Shipwreck is Contested—but Its Real Riches Go beyond Coins and Jewels' *The Conversation* (14 March 2024).

⁹⁵ A Crossman Cheng, 'All in the Same Boat—Indigenous Property Rights in Underwater Cultural Heritage' (2010) 32 *Houston Journal of International Law* 695, 702–3.

⁹⁶ C Stahn, 'Reckoning with Colonial Injustice: International Law as Culprit and as Remedy?' (2020) 33 *Leiden Journal of International Law* 823–35 at 827.

⁹⁷ See, for instance, Article 15.8 of the New Zealand-Thailand Closer Economic Partnership Agreement of 2005 (reaffirming the government's capacity to accord special or more favourable treatment to Māori people); Article 23 of the Protocol on Investment to the New Zealand-Australia Closer Economic relations Trade Agreement of 2011 (same); Canada-Peru Free Trade Agreement, 29 May 2008, Annex II, Reservations for Future Measures, Schedule of Peru.

domestic law. Such a clause can enable an adaptation of the treaty to the social, cultural, and political needs of the state. More fundamentally, Indigenous peoples' requests to sit at the negotiating table of such agreements should be fully endorsed by states. This would enable Indigenous peoples to have a say on matters that can potentially affect their rights.⁹⁸

Similarly, at the WTO, ministerial declarations, amendments, and interpretative statements can make international trade law more in tune with Indigenous peoples' rights. A permanent observer status at the WTO could be granted to the United Nations Permanent Forum for Indigenous Issues. The inception of the Indigenous Peoples Economic and Trade Cooperation Arrangement (IPETCA) in 2021,⁹⁹ which establishes a framework for facilitating cooperation between participating economies to identify and remove barriers to Indigenous Peoples' economic empowerment and participation in trade, seems a step in the right direction, but Indigenous peoples' views should be considered in all the international economic settings that can potentially affect their interests. Elsewhere, I have already made the case for reforming dispute settlement procedures to make space for Indigenous peoples' perspectives in international economic adjudication.¹⁰⁰

B. De lege lata

International economic courts can consider Indigenous entitlements within the current framework of international economic law. Article XX of the GATT 1994 includes a (closed) list of (limited) exceptions to fundamental trade standards. In some circumstances, the AB has sought guidance from other sources of law and international organizations to interpret and apply this provision. For instance, in the *Shrimp—Turtle* case, the AB referred to multilateral environmental agreements to define the scope of 'exhaustible natural resources.'¹⁰¹ Analogously, the general exceptions listed in Article XX can be interpreted in light of international human rights instruments such as the UNDRIP. In parallel, while a few investment treaties include general exceptions,¹⁰² they include language relating to human rights and Indigenous entitlements.¹⁰³ Similarly, recent international investment agreements tend to reaffirm the state's right to regulate and include exceptions, derogations, and 'legality requirements,' that is, obligations for foreign investors to conform to and respect the domestic laws of the host state (including human rights).¹⁰⁴

98 But see *Hupacasath First Nation v The Minister of Foreign Affairs Canada and The Attorney General of Canada*, Judgment of 9 January 2015, 2015 FCA 4 (CanLII) (the Canadian Federal Court dismissed an application by the Hupacasath First Nation, an aboriginal band in British Columbia, to stay the Canada-China investment treaty until First Nations have been consulted, holding that any potential adverse impacts are non-appreciable and speculative in nature).

99 The current Indigenous Peoples Economic and Trade Cooperation Arrangement (IPETCA) participating economies are Australia, Canada, New Zealand, and Taiwan. The United States has an observer status. The Partnership Council is the governing body of IPETCA and is composed of Indigenous and government representatives from the participating economies to the Arrangement.

100 Vadi (n 5).

101 *Appellate Body Report, United States—Import Prohibition of Certain Shrimp and Shrimp Products*, WT/DS58/AB/R, 6 November 1998, para 130.

102 See e.g. Article 18 of the 2014 Canada Model BIT.

103 See e.g. Article 24 of the 2016 Draft Pan-African Investment Code.

104 See e.g. Article 15.3 of the 2012 Southern African Development Community Model BIT and Article 11 of the 2016 Indian Model BIT.

More importantly, international economic law is not a self-contained regime.¹⁰⁵ Article 3.2 of the DSU enables panels and the AB to interpret WTO treaties in accordance with customary rules of treaty interpretation as reflected in Articles 31 and 32 of the Vienna Convention on the Law of Treaties (VCLT).¹⁰⁶ Analogous provisions appear in the text of several investment treaties. Notoriously, Article 31(3)(c) of the VCLT requires that '[t]here shall be taken into account, together with the context: . . . any relevant rules of international law applicable in the relations between the parties.' Pursuant to Article 31(3)(c), '[e]very treaty provision must be read not only in its own context but in the wider context of general international law, whether conventional or customary.'¹⁰⁷ This provision expresses the principle of systemic integration within the international legal system, indicating that treaty regimes are themselves creatures of international law.¹⁰⁸ Therefore, both WTO adjudicative bodies and arbitral tribunals have some interpretative space to consider other international treaties when they collide with international economic law. In fact, customary rules of treaty interpretation require that international law protecting Indigenous peoples' rights serve as an interpretive context if relevant to the interpretation of the respective international economic law provisions.

However, only rarely have WTO panels or the AB looked outside the WTO framework. For instance, in the *Seal Products* dispute, reference to international law instruments was made, but such instruments played a limited role, if any, in the final decision. Arbitral tribunals appear to be more open to referring to other international law instruments, looking to human rights law for analogies, or as an aid in constructing the meaning of investment treaty provisions. However, the weight of such references in the final decision remains unquantifiable.

Finally, if certain Indigenous rights have acquired the status of *jus cogens* norms, those norms should prevail in case of conflict with international economic law.¹⁰⁹ For instance, in the advisory opinion recently delivered by the International Court of Justice on the legal consequences arising from the policies and practices of Israel in the occupied Palestinian territory, including East Jerusalem, the Court identified the right to self-determination as a peremptory norm, namely, *jus cogens*.¹¹⁰ Accordingly, peremptory norms include the right to self-determination of Indigenous populations, explicitly recognized by Article 3 of the UNDRIP.¹¹¹ Self-determination does not merely include political or economic self-determination but also cultural self-determination, which includes access to the cultural heritage a given community has created.¹¹² In parallel, the prohibition of racial discrimination is also a peremptory norm of international law.¹¹³ When

105 WTO AB Report, *United States—Standards for Reformulated and Conventional Gasoline (US—Gasoline)*, WT/DS2/AB/R, adopted 20 May 1996, at 17; *Asian Agricultural Products Ltd v Democratic Socialist Republic of Sri Lanka*, ICSID Case No ARB/87/3, Award, 27 June 1990, para 21.

106 Vienna Convention on the Law of Treaties adopted 23 May 1969, in force 27 January 1980, 1155 UNTS 331.

107 I Sinclair, *The Vienna Convention on the Law of Treaties* (Manchester University Press 1984) 139.

108 C McLachlan, 'The Principles of Systematic Integration and Article 31(3)(c) of the Vienna Convention' (2005) 54 *International and Comparative Law Quarterly* 279–320, at 280.

109 VCLT Article 64 (stating that treaties which violate peremptory norms are null and void).

110 ICJ, *Legal Consequences arising from the Policies and Practices of Israel in the Occupied Palestinian Territory, including East Jerusalem*, Advisory Opinion, 19 July 2024, para 233.

111 P Viseur Sellers, 'Jus Cogens Redux' (2022) 116 *American Journal of International Law* 282.

112 F Francioni, 'Custom and General Principles of International Cultural Heritage Law' in F Francioni and F Vrdoljak (eds), *The Oxford Handbook of International Cultural Heritage Law* (OUP 2020) 531, 546.

113 International Law Commission, Draft Conclusions on Peremptory Norms of General International Law (*Jus Cogens*), with Commentaries (2022), adopted by the International Law Commission at its 73rd session, in 2022,

investments are made in violation of Indigenous rights as restated in the municipal law of the host state, arbitral tribunals have increasingly declined jurisdiction.¹¹⁴

In some arbitrations, the host states have nonetheless preferred to refer only to domestic constitutional provisions rather than relying on the *jus cogens* nature of the rights involved.¹¹⁵ This is not surprising, as such pleadings may be considered to contribute to state practice, and states are very careful in invoking *jus cogens* as the same arguments could be used against them in other contexts, i.e. before national constitutional courts, regional human rights courts, and international monitoring bodies.¹¹⁶

Conclusions

The case studies analysed in this chapter highlight several conflicts: the clash between international economic law and domestic law; the clash between international economic law and both general and special international law; and the clash between international economic culture and Indigenous cultures. Of particular concern is the tension between the safeguarding of Indigenous cultures and the promotion of economic activities under international economic law.

The land claims and cultural entitlements of Indigenous peoples often compete with the economic development plans of both investors and states. Resource extraction can be incompatible with Indigenous peoples' subsistence economy and cultural practices, thus causing them irreparable harms that are difficult, if not impossible, to quantify. Despite the formal premise of equality between the parties, there are structural power asymmetries between companies and Indigenous communities that governments rarely mitigate.¹¹⁷ For several reasons, states do not always adequately represent the rights of Indigenous peoples.¹¹⁸ Moreover, the fear of costly litigation can chill the willingness of states to adopt measures protecting Indigenous entitlements (regulatory chill).

International economic courts may not be the most appropriate tribunals for adjudicating disputes involving Indigenous communities affected by foreign investments or trade measures. They may not have a specific expertise on Indigenous peoples' rights. Nor do they generally have the mandate to interpret and apply human rights treaties. They are tribunals of limited jurisdiction and cannot adjudicate on eventual infringements of Indigenous peoples' rights. They generally lack the jurisdiction to hold states liable for breach of their human rights obligations unless states enable them to do so by including broad jurisdiction clauses in their international investment

and submitted to the General Assembly as a part of the Commission's report covering the work of that session (2022) II(2) *Yearbook of the International Law Commission*.

114 See e.g. *Cortec Mining Kenya Limited, Cortec (PTY) Limited, and Stirling Capital Limited v Republic of Kenya*, ICSID Case No ARB/15/29, Decision on Application for Annulment, 19 March 2021; *Cortec Mining Kenya Limited, Cortec (PTY) Limited, and Stirling Capital Limited v Republic of Kenya*, ICSID Case No ARB/15/29, Final Award, 22 October 2018.

115 *Glamis Gold, Ltd. v United States of America*, ICSID/UNCITRAL, Award, 8 June 2009, para 654.

116 V Vadi, 'Jus Cogens in International Investment Law and Arbitration' (2015) 46 *Netherlands Yearbook of International Law* 357–88.

117 See V Vadi, 'Heritage, Power and Destiny: The Protection of Indigenous Heritage in International Investment Law and Arbitration' (2018) 50 *George Washington International Law Review* 101–55.

118 W Shipley, 'What's Yours Is Mine: Conflict of Law and Conflict of Interest Regarding Indigenous Property Rights in Latin American Investment Dispute Arbitration' (2014) 11 *Transnational Dispute Management* 1.

treaties.¹¹⁹ Rather, they can only determine if the protections in the relevant investment treaty or WTO-covered agreement have been breached.

While Indigenous peoples can (and have) present(ed) *amicus curiae* briefs reflecting their interests, international economic courts are not legally obligated to consider such briefs—rather, they have the faculty to do so should they deem it appropriate. As *amici curiae*, Indigenous peoples cannot ask for interlocutory or final remedies to preserve their cultural entitlements and land rights before arbitral tribunals and the WTO dispute settlement system.

This chapter has proposed two different yet complementary avenues for integrating cultural threads into the fabric of international economic law. On the one hand, *de lege ferenda*, since international investment treaties are renegotiated periodically, there is scope for inserting *ad hoc* clauses within these treaties to protect Indigenous entitlements. Declarations and interpretative statements could be issued by the Ministerial Conference or the General Council of the WTO.

On the other hand, *de lege lata*, international economic law is not a self-contained regime but should be interpreted and applied in the light of international law. This is required by customary rules of treaty interpretation as restated by the VCLT. In this manner, the UNDRIP, other human rights instruments become relevant. Not only can these approaches promote the effectiveness of human rights instruments, and customary law, but they can also humanize international economic law, fostering a sense of unity and complementarity between different competing subsets of international law.

In conclusion, FDI and free trade represent a potentially positive instrument of development. International economic law, if it is to be a force for good, needs to be mindful of its role in society at large. Given the fact that international economic law and its adjudication can affect Indigenous communities, the voices of Indigenous peoples should become audible in the field in conformity with principles of justice and international law.

119 See, e.g. *Urbaser S.A. and Consorcio de Aguas Bilbao Bizkaia, Bilbao Biskaia Ur Partzuergoa v The Argentine Republic*, ICSID Case No ARB/07/26, Award, 8 December 2016 (examining the counterclaims brought by Argentina).

THE GLOBAL SOUTH AND THE INTERNATIONAL ECONOMIC LEGAL ORDER

Universal Reform/Regional Enfranchisement

Yenkong Ngangjoh Hodu

Introduction

International economic law over the years has withered significant contestations. Such contestations have emerged in almost every area of international economic law especially vis-à-vis its interactions with the Global South. The Global South broadly refers to a variety of states with diverse economic, political, and cultural influence in the international economic system denoting economies that are least developed, developing, or emerging. In the context of World Trade Organization (WTO) law, these countries are either classified as least developed countries (LDCs) or assume the status of developing countries (DCs).¹ Indeed, most of these states that were once net recipients of foreign direct investments (FDI) are now capital exporters. Their common denominator is that they were either colonized or were largely not in charge of their political and economic destinies in late 19th century and/or large part of the 20th century. In fact, the term ‘Global South’ emerged in the mid-20th century during the anticolonial movement. Yet it is at the end of the Cold War when ‘Third World’ as a vocabulary to describe most of the world population was seen as inappropriate, that the term Global South was widely adopted. Using the term ‘Global South’ when discussing these countries ‘invite[s] re-examinations of the intellectual, political, and moral foundations of the international system.’²

Interactions between the Global South and the international economic order have often come to the forefront of legal debates. For instance, the famous Argentine jurist Carlos Calvo (1824–1906) argued that jurisdiction in international investment disputes lies with the country where the

1 Although countries like Australia, Japan, and New Zealand are geographically in the Southern Hemisphere, this chapter does not consider them to be part of the Global South as they largely assume the status of developed countries in the world trading system.

2 See Siba Grovogui, ‘A Revolution Nonetheless: The Global South in International Relations’ (2011) 5 *The Global South* 175–90. See also Balakrishnan Rajagopal, ‘International Law and Its Discontents: Rethinking the Global South’ (2012) 106 *Proceedings of the Annual Meeting (American Society of International Law)* 176–81; Alejandro Rodiles, ‘The Global South and the Law and Governance of Global Security: Towards a Scholarship on the Global Ecology of Insecurities’ in Robin Geib and Nils Melzer (eds), *The Oxford Handbook of the International Law of Global Security* (OUP 2021).

investment is located. The Calvo Doctrine emerged to counteract the then prevailing international economic order under which European governments were willing to use force (the so-called gun-boat diplomacy) against countries in Latin America to force them to repay their debts. According to Calvo, in the event of states' insolvency, aliens should not be given more protection than citizens.³ Contestations also flared with the rejection of an obligation to provide compensation for the expropriation of foreigners that accompanied the Declaration on the Establishment of the New International Economic Order.⁴ The failure of the infamous structural adjustment programmes prescribed to struggling economies in the Global South by the International Monetary Fund in the 1980s and 1990s constitutes another example.⁵ Finally, contestations have recently accompanied the failed GATT/WTO Doha Round of trade negotiations. Although the WTO Doha trade negotiations focused on how to employ trade as a developmental tool to benefit the Global South (despite the WTO terminology referring to developing and least developed countries), contestations emanated from the way the WTO Doha Trade talks have evolved.

In this sense, contestations have always been part of international economic law especially from the Global South. Given that most of these contestations were borne out of the negative effects of colonization and underdevelopment, the central tenet of these contestations has always revolved around the question of poverty eradication, development, and prosperity.⁶ Prosperity is a complex concept. In simple terms, it indicates a fundamental state objective: when governments enter into international economic agreements, their primary objective is to employ such trade agreements to lift their population from economic deprivation to prosperity and improve the overall gross domestic product (GDP) of their countries. Prosperity is more than the absence of poverty; it also includes aspects of sustainable development and equitable distribution of world resources. Although prosperity may be approached from many different perspectives including political, social, and economic, there is a connection between the different dimensions of prosperity.⁷

At the same time, the winds of change brought by globalization have also challenged the countries in the Global North to engage with the Global South in the global economic system in a fairer and more sustainable fashion. In this regard, the criticism levelled against the functioning of the global economic architecture has centred on the nature of existing rules and how they can be reformed to reflect the interests and aspirations of the multilateral community in general and the Global South in particular.⁸

3 See Manuel R Garcia-Mora, 'The Calvo Clause in Latin American Constitutions and International Law' (1950) 33 *Marquette Law Review* 205; Facundo Perez Aznar, 'Revisiting Carlos Calvo on the 200th Anniversary of his Birth' *EJIL Talk* (12 March 2022).

4 United Nations General Assembly, Declaration on the Establishment of a New International Economic Order' (1974), 6th Special Session, A/9559, pp 3–5.

5 See Jerry Dohnal, 'Structural Adjustment Programs: A Violation of Rights' (1994) 1 *Australian Journal of Human Rights* 57–85; M Rodwan Abouharb and David L Cingranelli, 'The Human Rights Effects of World Bank Structural Adjustment, 1981–2000' (2006) 50 *International Studies Quarterly* 233–62; Bernhard Reinsberg and others, 'The World System and the Hollowing Out of State Capacity: How Structural Adjustment Programs Affect Bureaucratic Quality in Developing Countries' (2019) 124 *American Journal of Sociology* 1222–57.

6 See, for instance, Gro Harlem Brundtland, 'What Is World Prosperity?' (1994) 5 *Business Strategy Review* 57–69.

7 On the different dimensions of prosperity, see Laura Howe and others, 'Is the Wealth Index a Proxy for Consumption Expenditure? A Systematic Review' (2009) 63 *Journal of Epidemiology and Community Health* 871–77; Olivia Howland, Christine Noe and Dan Brockington, 'The Multiple Meanings of Prosperity and Poverty: A Cross-site Comparison from Tanzania' (2021) 48 *The Journal of Peasant Studies* 180–200.

8 See generally the work of Third World Approach to International Law (TWAIL) scholars. Although it is debatable when actual TWAIL scholarship started, it includes Mohammed Bedjaoui, *Towards a New International Economic Order* (Lynne Rienner 1979); Makau Mutua, 'What Is TWAIL?' (2000) 94 *ASIL Proceedings*; James T Gathii,

Given the mixed experience of the Global South with the international economic legal architecture, one can identify two types of contestations. On the one hand, contestations are directed at the universal reform of international economic architecture. On the other hand, contestations have resulted in tectonic shifts: countries in the Global South have moved away from universalism to regional economic emancipation. This chapter aims to explore the challenges the Global South is facing in the international economic order in light of these parallel distinct forms of contestations. As the chapter demonstrates, these two types of contestations are not always separate from international reform efforts or regional enfranchisement. Yet the distinction helps understand the direction of international economic law vis-à-vis the Global South. This chapter sheds light on the extent of enfranchisement of the Global South in the international economic order. Due to space limits, it focuses on international investment law and international trade law only.⁹

1. Global Emancipation Through Universal Reform

A. Reforming International Investment Law and Concurrent Contestations

Historically, international investment law was concerned with two key related issues. On the one hand, international investment treaties in the form of bilateral investment treaties (BITs) aimed at liberalizing and promoting foreign investments. On the other hand, the issue of how foreign investments would be protected in host states was of great priority.¹⁰ The economic rationale behind investment liberalization is that it would effectively usher in economic efficiency. Following this logic, investment treaties were seen as mechanisms foreign investors could use to channel their investments into host states and to enhance the smooth operations of such investments in the host states. The second set of provisions were designed to protect investments against host governments' actions. These two groups of provisions appear, albeit in different forms, in almost all investment treaties.¹¹

As the Global South has historically been net recipient of FDI, it has also logically championed the reform of the system. The historical content of international investment law was designed to protect the interests of foreigners abroad and not those of host states.¹² Thus, for many years the reform of international investment law has been a key issue of contestation in the debates around the global economic architecture. Although the Global South has for decades been uneasy with

'Rejoinder: Twailing International Law' (2000) 98 Michigan Law Review 2066–71. See also Mohammed Bedjaoui, 'La Contribution en Demi-Teinte de l'Afrique au Développement du Droit International' (2004) 47 German Yearbook of International Law 63–84 (discussing the contribution of African countries to the evolution of international law).

9 This by no means diminishes the importance of the other aspects of international economic law such as international monetary law, international taxation law, labour law, international intellectual property law, and international development law.

10 As far back as 1992, the World Bank produced a series of Guidelines on the Treatment of Foreign Investments. See Legal Framework for the Treatment of Foreign Investment, vol II (The World Bank Group 1992) 35–42.

11 Although there are over 3000 BITs in existence, there is an avalanche of soft law that governs foreign investment. This so-called 'law in the making' has considerable influence in the theory and practice of international investment law. There has been relentless criticism of its influence on the practice of foreign investment, as well as theoretical debate on the feasibility of its codification. On this, see, for instance, Andrea K Bjorklund and August Reinisch (eds), *International Investment Law and Soft Law* (Edward Elgar 2012). See Stephan W Schill, 'Sources of International Investment Law: Multilateralization, Arbitral Precedent, Comparativism, Soft Law' in Jean D'Aspremont and Samantha Besson (eds), *The Oxford Handbook on the Sources of International Law* (OUP 2017).

12 This entrenched view was widely shared in early 20th century and beyond. See, for instance, Elihu Root, 'The Basis of Protection to Citizens Residing Abroad' (1910) 4 American Journal of International Law 517–28 and 521–22.

the existing international investment legal architecture, it has always strived to reform the system from within. In the 1990s, attempts to negotiate a multilateral investment agreement failed.¹³ Some countries in the Global South supported some of the unsuccessful initiatives while others remained sceptical of a multilateral treaty on investment.¹⁴ However, the discussions continued with the United Nations Commission on International Trade Law (UNCITRAL) Working Group III: Investor-State Dispute Settlement (ISDS) Reform.¹⁵ UNCITRAL Working Group III was bestowed with the mandate to focus its discussions on the procedural aspects of ISDS and address key contentious issues that have been levelled against ISDS such as the legitimacy crisis, transparency, and consistency of awards.¹⁶ With the key aim to achieving a balanced outcome, Working Group III envisaged drawing inspiration from approaches to international lawmaking in different areas.

While the push for global investment law reform predominantly came from the Global South until the dawn of the 21st century,¹⁷ the current desire for reform comes from both the Global South and the Global North. This paradigm shift is due to the fact that whereas in the decades after 1960s, the Global South was largely capital importing, since the 2000s, the distinction between capital

13 Unsuccessful negotiations were launched at the level of the Organization for Economic Co-operation and Development (OECD) and another initiative was in the context of the Singapore issues at the WTO. With regard to the former, a draft text was produced. See Negotiating Group on the Multilateral Agreement on Investment (MAI), 1998, *The Multilateral Agreement on Investment Draft Consolidated Text*, DAF/FE/MAI(98)7/REV1. See also Sol Picciotto, 'Linkages in International Investment Regulation: The Antinomies of the Draft Multilateral Agreement on Investment' (1998) 19 *University of Pennsylvania Journal of International Economic Law* 731–68. At the WTO, the negotiations were conducted as one of the four Singapore issues (trade and investment, transparency in government procurement, trade and competition policy, and trade facilitation) introduced on the WTO agenda in December 1996 at the Singapore WTO Ministerial Conference. Due to the failure to reach a consensus on all the four issues at the 2003 Cancun Ministerial Conference, trade facilitation was the only Singapore issues that was carried forward as part of the Doha Development Agenda while the other three including trade-related investment measures were dropped. For more on this, see <https://www.wto.org/english/thewto_e/whatis_e/tif_e/bey3_e.htm> accessed May 2024.

14 Many countries feared that a multilateral agreement on investment would involve a loss of their economic sovereignty. See, for instance, a report commissioned by the UK Department of International Development in late 1990s written by E V K FitzGerald and others, *The Development Implications of the Multilateral Agreement on Investment* (Finance and Trade Policy Research Centre, Queen Elizabeth House, University of Oxford 1998) <<https://web.archive.oecd.org/2012-06-15/167399-1922690.pdf>> accessed May 2024. See also Peter T Muchlinski, 'The Rise and Fall of the Multilateral Agreement on Investment: Where Now?' (2000) 34 *International Lawyer* 1033–53; Stephen Young and Ana Teresa Tavares, 'Multilateral Rules on FDI: Do We Need Them? Will We get Them? A Developing Country Perspective' in Fiona Beveridge (ed), *Globalization and International Investment* (Ashgate 2005) 299–327.

15 See United Nations Commission on International Trade Law (UNCITRAL), 57th session, Report of Working Group III (Investor-State Dispute Settlement Reform) on the work of its 48th session (New York, 1–5 April 2024) <https://uncitral.un.org/sites/uncitral.un.org/files/media-documents/uncitral/en/acn9-1167_advance_copy.pdf> accessed May 2024.

16 For discussions on some of the criticisms and expectations of countries in the Global South, see Jose E Alvarez and Karl P Sauvart (eds), *The Evolving International Investment Regime: Expectations, Realities, Options* (OUP 2011); Yenkon Ngangjoh Hodu and Makane Mbengue (eds), *African Perspectives in International Investment Law* (Manchester UP 2020).

17 In this regard, with specific reference to African countries, it has been argued that 'foreign investors have always been dominant over African states, to the extent that international investment law has rather been seen as unfair and unjust, therefore calling for "international development law."' See Maurice Kamto, 'The Development of International Investment Law in Africa' in Ngangjoh Hodu and Mbengue (eds), *African Perspectives in International Investment Law* (Manchester UP 2020) 7–17.

importing and exporting countries has become blurred. On the one hand, major countries in the Global South, such as China, India, South Africa, and Brazil, have also become capital exporting. On the other hand, even industrialized countries import foreign capital. Given the various problems with ISDS, a key point of agreement between the Global South and Global North is the desire to establish a multilateral investment court as well as an appellate system for investment disputes.¹⁸ The European Union has led the way on the creation of an international investment court with an appellate system. This is found in most EU Free Trade and Investment Agreements including the Comprehensive Economic and Trade Agreement between the EU and Canada (CETA).¹⁹ With the technical support of the UNCITRAL Secretariat, high-level discussions on a possible multilateral investment court have been carried out by a broad range of states for many years. With broad representations from both developing and industrialized countries, notable progress has been made on the setting of an appropriate code of conduct for arbitrators.²⁰ Yet a multilateral investment agreement including a multilateral investment court remains elusive despite continuous ongoing attempts.

Given the entrenched historical disadvantage that the Global South has encountered with the traditional international investment architecture, new ways of thinking are needed. While it is worth recognizing principles such as special and differential treatment and common but differentiated responsibilities, which have been enshrined in international law in favour of the Global South, the challenges the Global South is facing ought not to be seen as exceptions. They must be viewed in the context of a wholesale revision of international economic law. After all, equity should not be regarded as at odds with international law.²¹ Although equity is a malleable concept in international law, this chapter considers that it requires every contracting parties to international agreements be treated fairly and in recognition of their specific circumstances including historical disadvantages.²² Indeed, an equitable international economic law is in the shared interest of the international community as a whole especially given globalization. Such system would not

18 For an extensive discussion on the merits and demerits of an appellate investment court, see Yenkong Ngangjoh Hodu and Collins C Ajibo, 'ICSID Annulment Procedure and the WTO Appellate System: The Case for an Appellate System for Investment Arbitration' (2015) 6 Journal of International Dispute Settlement 308–31.

19 See Article 8.29 of CETA titled 'Establishment of a multilateral investment tribunal and appellate mechanism.' Official Journal of the European Union, 2017, L 11/23.

20 See Report of Working Group III (Investor-State Dispute Settlement Reform) on the work of its 45th session, UNCITRAL (New York, 27–31 March 2023), A/CN.9/1131.

21 A lot has been written about equity in international law in particular, and law in general. According to Jowitt, 'it should be the genius of every kind of human jurisprudence; since it expounds and limits the language of the positive laws, and construes them not according to their strict letter, but rather in their responsible and benignant spirit.' William Jowitt, 'Equity,' Jowitt's *Dictionary of English Law* 724, Clifford Walsh (ed), (Sweet & Maxwell 1959). On equity and international law, see Vaughan Lowe, 'The Role of Equity in International Law' (1992) Australian Yearbook of International Law 54–81; Vaughan Lowe, 'The Role of Equity in International Law' in Martti Koskeniemi (ed), *The Sources of International Law* (Routledge 2000) (arguing that 'The tasks fulfilled by equity *infra legem* and equity *praeter legem* can be fulfilled within the law. There is no need for a separate concept of equity in the juridical tool-kit in order to reach just decisions'); Thomas Cottier, 'Equity in International Law' in Thomas Cottier, Shaheez Lalani and Clarence Siziba (eds), *Intergenerational Equity* (Brill/Nijhoff 2019); Francesco Francioni, 'Equity in International Law' in *Max Planck Encyclopaedia of Public International Law* (OUP 2020); Catherine Titi, *The Function of Equity in International Law* (OUP 2021).

22 The *Rann of Kutch* arbitration also confirmed that equity is an element of international law that parties may rely on in their relations with one another. See *Rann of Kutch* Arbitration 50 ILR (1968) 2. However, an international tribunal will have a wider power to adjudicate *ex aequo et bono* where such power has been conferred on it by agreement between the disputing parties. See in this regard the arbitrators' views in *AMCO v Indonesia* 89 ILR 365. In *Burkina Faso v Mali*, the Chamber of the ICJ concurred that the application of equity *infra legem* is not only limited to cases

only be consistent with the persistent requests of the Global South including through organization such as UNCTAD,²³ but it would also be congruous with the UN Sustainable Development Goals (SDGs),²⁴ adopted by 193 UN member states.

B. The Global South and the Struggle for Universal and Equitable Reform in International Trade Law

Given their histories of under development in large part due to colonization and exploitation, development goals through international trade have largely guided the Global South's engagement with international economic law. The trade-development nexus has remained a focal point of contention between the Global South and international economic law. With the potential of fashioning international trade rules in a way that is friendly to economic development, over time the Global South has regarded international economic law as indispensable to their development and industrialization objectives. With the hope of reversing decades of unfairness in the global trading system, the Global South is battling for universal and equitable reform of world trade law.

The General Agreement on Tariffs and Trade (GATT) remains the foundation of the global trade architecture. Given that the GATT was originally set up to govern trade between sovereign countries post-World War II, the Global South argues that they had little or no input in the design of GATT rules.²⁵ In fact, the original GATT Contracting Parties did not envisage the impact of GATT rules on developing countries, nor did they consider the interest of the Global South in the design of GATT, given that the majority of the latter were still colonies at the inception of GATT. Moreover, even those countries in the Global South that were independent at the time did not have geopolitical and economic clout.²⁶ Therefore, the post-World War II multilateral trading regime under the GATT and subsequently under the WTO has been rarely in congruity with the development interests of the Global South. It focused on liberalizing areas where countries of the Northern Hemisphere have competitive edge such as industrial goods and financial services. Overtime, sectors such as agriculture, transfer of technology, and movement of natural persons which are all of interest to the Global South have been marginalized.

In a nutshell, the Global South's persistent battle for reform of the trading system over decades in the GATT era can be summarized as the group's demand for non-reciprocal access to the Organisation for Economic Cooperation and Development (OECD)²⁷ markets. This met resistance from OECD countries who disagreed on a reform of international trade rules that could elicit

involving maritime delimitation but may also be applied to other kind of disputes including terrestrial disputes. See *Burkina Faso v Mali*, ICJ Reports 1986, pp 567–68.

23 See UNCTAD, *Investment Policy Framework for Sustainable Development* (2015) <https://unctad.org/system/files/official-document/webdiaepcb2015d3summary_en.pdf> accessed May 2024.

24 The 17 Sustainable Development Goals (SDGs) can be found at <<https://sdgs.un.org/goals>> accessed May 2024.

25 See, for instance, Yılmaz Akyüz, 'Global Economic Prospects: The Recession May be Over but Where Next?' (2011) 2 *Global Policy* 127–37; Chiedu Osakwe, 'Developing Countries and GATT/WTO Rules: Dynamic Transformations in Trade Policy Behaviour and Performance' (2011) 20 *Minnesota Journal of International Law* 365–436; Donatella Alessandrini, 'A Not So "New Dawn" for International Economic Law and Development: Towards a Social Reproduction Approach to GVCs' (2022) 33 *European Journal of International Law* 131–61.

26 See generally Akyüz (n 25).

27 For an analysis of the relationship of the Global South and universal trade reform since the last century, see Robert E Hudec, *Developing Countries in the GATT Legal System* (Aldershot 1987); Daniel LM Kennedy and James D Southwick, *The Political Economy of International Trade Law: Essays in Honour of Robert E. Hudec* (CUP 2002); Robert E Hudec, *Developing Countries in the GATT Legal System* (CUP 2014).

concrete binding obligations on all the parties concerned. In this regard, the two views—i.e. Global South demands for special and differential treatment and non-reciprocal trade preferences, on the one hand, and resistance from the OECD/GATT contracting parties, on the other—became irreconcilable.²⁸ In the end, the reform the Global South obtained amounted to fragmented provisions in the form of special and differential treatment and a few provisions containing non-reciprocal arrangements.²⁹ While such arrangements were intended to rebalance the global trading system in favour of the Global South, they weakened the most-favoured-nation (MFN) obligations while at the same time not serving the interests of the Global South.³⁰ Most of those provisions are of ‘best endeavour’ nature and contain very little binding language.

From the Uruguay Round to the failed Doha Development Round,³¹ the Global South has continued to endorse the special and different treatment approach³² and demanded a broader reform to fix the WTO legal architecture. Indeed, since the launch of the Doha Trade Talks, the Global South has vigorously adopted a somewhat offensive reformist posture while at the same time observing defensive interests in some trade areas.³³ Such reformist posture, which has been largely motivated by domestic pressure and genuine commitment to WTO liberalization obligations, yielded mixed benefits in trade volume and development.³⁴ While the Global South has largely been upfront with its eagerness to achieve multilateral trade reforms, the issue of special and differential treatment and development made very little progress in the Doha Round Trade Talks. Such difficulties, which have contributed to the failure of the Round, derive from a fundamental difference in the basic stance of the Global South and developed countries members on some of the cross-cutting issues being negotiated. With regards to specific issues of development, the Global South has hoped to achieve flexibilities in the implementation of rules to allow them to comply with their international trade obligations in a manner that would not jeopardize their development priorities.

28 See generally Hudec, *Developing Countries in the GATT Legal System*.

29 It is worth pointing out that the OECD countries resisted liberalization in favour of the Global South. According to Robert Hudec, ‘[I]n an avowedly welfare relationship, where the needy have a recognized claim to unilateral payments, the strong cannot make a principled demand for liberal trade policies by the needy when, in the same breath, they define trade liberalization as a ‘payment.’ See Hudec, *Developing Countries in the GATT Legal System*, 17.

30 See Osakwe (n 25).

31 For a good analysis on how the GATT’s history became a liability to reforming the trading system, see, for instance, Kent Jones, *Reconstructing the World Trade Organization for the 21st Century: An Institutional Approach* (OUP 2014); Genevieve Dufour and David Pavot, ‘WTO Negotiations: The Unfinished Doha Development Agenda and the Emergence of New Topics’ (2020) 15 *Global Trade and Customs Journal* 244–51.

32 There are roughly 155 provisions on special and differential (S&D) treatment scattered all over the WTO-covered agreements. Those S&D provisions are usually in the form of trade preferences, flexibility, safeguarding the interests of countries in the Global South, transitional period and technical assistance. See WTO Secretariat, *Implementation of the Special and Differential Treatment Provisions in WTO Agreements and Provisions*, September 2001, WT/COMTD/W/77/Rev.1, at para 3.

33 J Michael Finger, ‘Developing Countries in the WTO System: Applying Robert Hudec’s Analysis to the Doha Round’ (2008) 31 *The World Economy* 841–968. See also David A Gantz, *Liberalizing International Trade after Doha: Multilateral, Plurilateral, Regional, and Unilateral Initiatives* (CUP 2013); Till Schöfer and Clara Weinhardt, ‘Developing-country Status at the WTO: The Divergent Strategies of Brazil, India and China’ (2022) 98 *International Affairs* 1937–57.

34 Salient benefits to the Global South include the August 2003 General Council Decision on the ‘Implementation of Paragraph 6 of the Doha Declaration on the TRIPS Agreement and Public Health’ (WT/L/540 and Corr.1) relating to compulsory licensing for public health emergency in light of HIV/Aids and tuberculosis pandemics, the December 2013 WTO Trade Facilitation Agreement, the June 2022 Ministerial Decision on the TRIPS Agreement permitting compulsory licencing for the purpose of COVID-19 vaccine (WT/MIN(22)/30, WT/L/1141 as well as the June 2022 WTO Agreement on Fisheries Subsidies (WT/MIN(22)/33, WT/L/1144).

Under the multilateral trading system, the Global South's battle for reform hinges on the core promise of the Doha Ministerial Conference, which called upon members to place development at the core of the negotiations. While developed WTO members construed the Doha mandate as not requiring any alteration to the rights and obligations of the WTO *acquis*, this probably represents a very narrow interpretation of the Doha mandate. To make development central to the WTO legal architecture through the operationalization and strengthening of S&D treatment, the balance of rights and obligations of members would inevitably have to be altered. Therefore, the resistance by the developed countries to reforms that would lead to alteration of the rights and obligations of WTO members is not in congruity with the spirit of the Doha Development Round, nor does it help integrate the Global South in the universal trading system. Moreover, given that the current WTO rules were crafted with the promotion of free trade in mind, they also allow most members and the countries of the Northern Hemisphere in particular to maintain trade barriers in favour of their domestic industries.

Contestation of the trading system currently seems ubiquitous. In both developing and developed countries, requests for a universal trade reform seem to be the defining practice in international trade law. With a dim prospect of any early harvest on universal trade reform,³⁵ it would seem reasonable for the Global South and the developed countries to strike a careful balance in their quest for reform. On the one hand, developed countries cannot expect reforms of the trading system with development at its core without rebalancing the rights and obligations of members under the world trading system as a universal project. On the other hand, the Global South must also be ready to concede that given the differences in the level of development of countries in the Global South, flexibilities to the global trade rules would only come into place when certain measures would contribute to their development objectives.

2. Regional Emancipations as a Response to Resistance to Universal Reform

The Global South has conducted its battle for the reform of international economic law at both universal and regional levels. While in the last decade of the 20th century and the first decade of the 21st century, universalism was at the core of Global South's approach to international economic law,³⁶ regional emancipation has become prominent since the rise of resistance to universal reform to international economic law. Over the last 50 years and particularly since the end of the Cold War, regional organizations have drastically grown in numbers and breaths of coverage areas. This expansion has been both regional and sub-regional.³⁷ Although for a long time, Europe was the epicentre of regional clustering, it is now difficult to find any country in the world that does not belong to at least a regional grouping.³⁸ Regional integration has become common in the Global South too.

35 At the 13th WTO Ministerial Conference in Abu Dhabi, no breakthrough on reform was achieved. Instead, what came out of the conference was a repetition of similar Declarations that have been made in the past. See WTO, Abu Dhabi Ministerial Declaration, WT/MIN(24)/Dec, adopted, 2 March 2024.

36 Universalism is used here to indicate multilateralism. In this context, its meaning thus differs from how the term 'universalism' is used in theology to mean certain ideas that have universal application. On universality, see Isil Aral and Jean D'Aspremont (eds), *International Law and Universality* (CUP 2024).

37 See Laurence Boisson de Chazournes, *Interactions between Regional and Universal Organisations: A Legal Perspective* (Brill 2017).

38 Until relatively recently, Mongolia was the only member of the WTO that did not belong to a regional trade agreement. However, this ended when Mongolia and Japan signed an Economic Partnership Agreement (EPA) in

While the distinction between the regional and the universal approach is not always clearcut, the choices of the Global South are largely informed by their prevailing socioeconomic imperatives. Indeed, beyond aiming to be an active participant in the future design of the global economic legal order, the key objectives of the Global South's interaction with international economic law seem to be poverty eradication, development, and economic prosperity. With resistance at the universal level, the Global South is pursuing these goals regionally.

When Global South governments enter into regional international trade and investment agreements their primary objective is to employ such agreements to lift their population from economic deprivation and improve the overall GDP of their countries. This might be contrasted with the secondary hegemonic (regulatory or otherwise) agenda of the Global North. As these agreements form key sources of international economic law, they underpin the prosperity project of the Global South. For example, recent regional organizations in the Global South like the African Continental Free Trade Area Agreement (AfCFTA),³⁹ the Association of Southeast Asian Nations (ASEAN),⁴⁰ and the Mercado Común del Sur (Mercosur)⁴¹ primarily hinge on trade and investment and all include development among their objectives.⁴²

The Global South aims to create economic prosperity for its people and poverty eradication is always the underlining rationale for the creation and existence of any regional integration in the Southern Hemisphere.⁴³ For instance, the first aspiration of African Union Agenda 2063 is to

February 2015. The Agreement entered into effect in June 2016. Mongolia is also a party to the Asia-Pacific Trade Agreement (APTA). Mongolia joined APTA in 2013 but only became a full member in 2020.

39 On some of the substantive rules and opportunities and challenges facing the African Continental Free Trade Area Agreement (AfCFTA), see Collins C Ajibo, 'The Euphoria, Pitfalls and Prospects' (2019) 53 *Journal of World Trade* 871–94.

40 Although the key focus of ASEAN is now trade and investment, it was originally set up as a political and security initiative in the Southeast Asia. This is exemplified by the substantive content of the 1967 Bangkok Declaration <<https://agreement.asean.org/media/download/20140117154159.pdf>>. On ASEAN, its evolution, and success story as well as rule of law, see Kishore Mahbubani and Jeffery Sng, *The ASEAN Miracle: A Catalyst for Peace* (National University of Singapore Press 2017); Ingo Venzke and Li-ann Thio, *The Internal Effects of ASEAN External Relations* (CUP 2016); Jean-Claude Piris and Walter Woon, *Towards a Rules-Based Community: An ASEAN Legal Service* (CUP 2015); Michael Ewing-Chow and Tan Hsien-Li, 'The Role of the Rule of Law in ASEAN Integration,' EUI Working Paper RSCAS 2013/16.

41 The other regional integration projects which are not as advanced are the Andean Community of Nations (made up of Bolivia, Peru, Venezuela, Colombia, and Ecuador), the Union of South American Nations (made up of Argentina, Brazil, Bolivia, Chile, Colombia, Ecuador, Guyana, Paraguay, Peru, Surinam, Uruguay, and Venezuela) and the Bolivarian Alternative for Latin America and the Caribbean (made up of Venezuela, Cuba, Bolivia, Nicaragua, Commonwealth of Dominica, Ecuador, Antigua and Barbuda, Saint Vincent and the Grenadines, Saint Lucia, Grenada, and the Federation of Saint Kitts and Nevis).

42 See Boisson de Chazournes (n 37), Ján Klučka (ed), *Regionalism in International Law* (Routledge 2017).

43 For instance, under Article 3(e) of AfCFTA Charter, states 'promote and attain sustainable and inclusive socio-economic development, gender equality and structural transformation of the State Parties.' See Agreement Establishing the African Continental Free Trade Area, <https://au.int/sites/default/files/treaties/36437-treaty-consolidated_text_on_cfta_-_en.pdf>. Similarly, the preamble to the ASEAN states: '[R]ecognising the different stages of economic development between and among Member States and the need to address the development gaps and facilitate increasing participation of the Member States, especially Cambodia, Lao PDR, Myanmar and Viet Nam, in the AEC through the provision of flexibility and technical and development co-operation.' See paragraph 7 of ASEAN trade in Goods Agreement at <<https://asean.org/asean2020/wp-content/uploads/2020/12/ASEAN-Trade-in-Goods-Agreement.pdf>>. In the case of Mercosur, economic development is noted right in the beginning of the preamble of its founding treaty. It states '[C]onsidering that the expansion of their domestic markets, through integration, is a vital prerequisite for accelerating their processes of economic development with social justice.' See also the second *tiré* of the preamble to the Treaty Establishing a Common Market between the

attain prosperity 'based on inclusive growth and sustainable development.'⁴⁴ The AfCFTA then provides the foundations and structural pillars to realize the aspirations set under Agenda 2063.⁴⁵ In this regard, the AfCFTA encompasses diverse areas exemplified by trade, investment, intellectual property, and competition policy. This regime reflects a convergence of interests of the parties to chart a prosperous future.⁴⁶

Prosperity is more than the absence of poverty; viewed from the prism of the Global South emancipatory agenda, consideration ought to be given to sustainable development and equitable distribution of world resources.⁴⁷ As Gathii puts it, 'these integrated development arrangements have sometimes been designed with re-distributional considerations.'⁴⁸ Moreover, as a complex concept, prosperity requires not only a legal framework but also political will and long-term vision to strengthen the architecture of such regional integration project. In this regard, such regional integration can be construed to put poverty eradication at its core. To achieve this goal, regional integration should be informed by the simple notion that effective free trade can hardly happen in practice without a liberalization that goes beyond tariffs dismantling to cover non-tariff barriers like technical barriers to trade and sanitary and phytosanitary measures.

Essentially, economic development and prosperity have become buzzwords upon which the creation and existence of regional clustering in the Global South is anchored.⁴⁹ From a legal and comparative perspective, there is nothing surprising in articulating a policy agenda around certain vague and unexplained concepts. Afterall, employing memorable phrases in academic, legal, and policy discourses have been with us for many generations and vague provisions have been employed as steppingstones to more substantive policy. Therefore, the idea of employing regional trade and investment agreements as an effective tool to achieve development and poverty eradication in member states is certainly compatible with current practice.

Yet the issues of prosperity and regional emancipation ought to be articulated in a more substantive fashion. Catchwords do have their limits and the discourse on prosperity in relation to regional trade and investment agreements in the Southern Hemisphere lacks concreteness and a firm belief in the institutions created to implement the agreements. While regional trade agreements employ the vocabulary of development and poverty eradication, they include few, modest, and vague legal obligations.

Argentine Republic, the Federal Republic of Brazil, the Republic of Paraguay and the Eastern Republic of Uruguay, <http://www.sice.oas.org/trade/mrcsr/TreatyAsun_e.asp#CHAPTER_I>.

44 See Goals & Priority Areas of Agenda 2063 <<https://au.int/en/agenda2063/goals>>.

45 See UNCTAD, 'Implications of the African Continental Free Trade Area for Trade and Biodiversity: Policy and Regulatory Recommendations,' UNCTAD Document UNCTAD/DITC/TED/INF/2021/3 (30 July 2021).

46 Article 3(c) of the Agreement Establishing the African Continental Free Trade Area states the key objective of the AfCFTA is to 'contribute to the movement of capital and natural persons and facilitate investments building on the initiatives and developments in the State Parties and RECs.' See Agreement Establishing the African Continental Free Trade Area <https://au.int/sites/default/files/treaties/36437-treaty-consolidated_text_on_cfta_-_en.pdf>.

47 See, for instance, Gro Harlem Brundtland, 'What Is World Prosperity?' (1994) 5 *Business Strategy Review* 57–69.

48 See James Thuo Gathii, *African Regional Trade Agreements as Legal Regimes* (CUP 2010) 20 (citing OS Saasa, 'Background to Regional Integration in Africa' in O S Saasa (ed), *Joining the Future: Economic Integration and Cooperation in Africa* (Africa Centre for Technologies Study Press 1991)).

49 Economic development is used here intentionally because the creators of the three regional groupings, i.e. AfCFTA, ASEAN, and Mercosur, conceived development from the classical perspective of growth and economic expansion. This is a departure from the type of development described by Sen. See in this regard, Amartya Sen, *Development as Freedom* (OUP 2001).

These trade and investment regimes can bring tens of millions of people out of poverty and raise the income of many more.⁵⁰ Moreover, the eventual implementation of specific parts of these agreements like the trade facilitation component in AfCFTA and ASEAN can simplify customs procedure that would yield several hundred billion if not trillions of dollars in dividends to the economies of the regions.⁵¹ For instance, the 2020 World Bank Report on the potential benefits of the AfCFTA points to trillion of dollars as potential distributional benefits of the agreement if it is well implemented.⁵² Although these reports are not of any legal consequence, they provide a psychological boost to member states of these regional trade initiatives. This can translate into goodwill from both citizens and politicians in member states of these institutions who are normally responsible for the implementation of the agreed treaty.⁵³ Such goodwill can enhance the implementation of a particular RTA, widening opportunities for technological development and economic growth and diversification.⁵⁴ Accordingly, regional trade agreements are key to the realization of prosperity within regional groupings, thus supporting the idea of regional emancipation envisaged by countries in the Global South.

Concluding Remarks

The contemporary international economic legal order faces unprecedented challenges to its legitimacy and efficacy, with contestations emerging from both hemispheres of the global divide. While the Global North's recent scepticism toward investment protection mechanisms represents a significant development, these challenges serve to validate and amplify the Global South's longstanding critique of the international economic architecture—a critique rooted in decades of structural disadvantage and systematic exclusion from meaningful participation in global economic governance.

This chapter has examined the dual strategic approach adopted by Global South nations: the pursuit of universal reform of the international economic legal order alongside a pragmatic embrace of regional emancipation as an alternative pathway. The analysis reveals that the foundational assumptions underlying the Bretton Woods system—conceived in the aftermath of World War II

50 For instance, David Shark, the deputy director of the WTO, argues that the 2013 Trade Facilitation Agreement (TFA) when implemented 'will expand global trade by as much as \$1 trillion annually.' Moreover, the OECD estimates that 2/3rd of the gains from the TFA will accrue to the Developing Countries. See David Shark, *Benefits of the WTO Trade Facilitation: Implementation of the Trade Facilitation Agreement, Dushanbe, Tajikistan* (2015) <https://www.wto.org/english/thewto_e/acc_e/tjkddgsharktictfastatement.pdf>.

51 See, for instance, World Bank Group Report, *The African Continental Free Trade Area: Economic and Distributional Effects* (2020) <<https://openknowledge.worldbank.org/bitstream/handle/10986/34139/9781464815591.pdf>>. In the case of ASEAN, see Damon Vis-Dunbar and others, 'Taking Advantage of ASEAN's Free Trade Agreements: A Guide for Small and Medium-sized Enterprises' (The International Institute for Sustainable Development 2014).

52 The report also warns that if reforms and trade facilitations are not put in place across the 55 African countries, the potential benefits identified would be difficult to realize. See the 2020 *World Bank Report*, at 67–8.

53 From a compliance theory perspective, Baldwin for instance has demonstrated the effectiveness of reward in engendering compliance. See David A Baldwin, 'The Power of Positive Sanctions' (1971) 24 *World Politics* 19–38. Moreover, studies have demonstrated that psychological forces are instrumental to compliance with legal norm. See, for instance, Robert B Cialdini and Noah J Goldstein, 'Social Influence: Compliance and Conformity' (2004) 55 *Annual Review of Psychology* 591–621. See also Anne Van Aaken and Tomer Broude, 'The Psychology of International Law: An Introduction' (2019) 30 *European Journal of International Law* 1225–36.

54 For Ejangue, the implementation of AfCFTA will lead to a plethora of investment opportunity while opening up opportunities for young people around Africa to expand their trade and technological know-how. See Ruti Ejangue, *Regional Integration: A Gateway to Economic Prosperity for Africa's Youth* (World Bank 2021).

and crystallized in the establishment of the World Bank and International Monetary Fund—require fundamental reconceptualization to address contemporary realities of global economic inequality. This reconceptualization must acknowledge not merely the technological, legal, political, and economic transformations of the past eight decades, but more critically, the persistent asymmetries that have characterized North-South economic relations throughout this period.

The legal framework's gradual incorporation of principles such as special and differential treatment, less than full reciprocity, and common but differentiated responsibilities represents significant normative progress. However, these principles remain inadequately operationalized within the broader architecture of international economic law. The challenges confronting the Global South cannot be addressed through piecemeal exceptions to an otherwise unchanged system; rather, they demand comprehensive structural reform that repositions these principles as central organizing features of a reconstructed international economic legal order.

The empirical evidence presented demonstrates that contemporary Global South contestations manifest along two interconnected trajectories: systemic reform initiatives targeting the universal economic regime and regional emancipation strategies designed to create autonomous spaces for economic development. These approaches exhibit remarkable synergy, with regional initiatives often serving as laboratories for alternative economic models while simultaneously generating leverage for broader systemic reforms. The analysis suggests that regional emancipation has emerged as the preferred mode of contestation, offering several strategic advantages over universal reform efforts.

Regional emancipation provides a more tractable pathway for achieving meaningful change, allowing Global South nations to craft tailored solutions that reflect their specific developmental needs, cultural contexts, and resource endowments. This approach circumvents the institutional inertia and power asymmetries that have historically frustrated universal reform efforts, while simultaneously creating effects that can inform broader transformations even at the universal level. Moreover, regional strategies enable the cultivation of South-South cooperation networks that reduce dependence on traditional North-South economic relationships characterized by extractive patterns of exchange.

Nevertheless, the empirical record of regional emancipation initiatives reveals significant limitations in their capacity to address the fundamental challenges of poverty eradication, sustainable development, and equitable prosperity. The persistence of these challenges reflects both the inherent constraints of operating within a globally integrated economy dominated by Northern institutions and the internal governance deficits that continue to plague many Global South regional organizations. The fragmentation of regional efforts, insufficient institutional capacity, and limited financial resources have constrained the transformative potential of these initiatives.

The resistance encountered by universal reform proposals—evidenced by a history of marginalization of Global South voices in key international economic institutions and the persistence of conditionality frameworks that constrain policy autonomy—underscores the entrenched nature of existing power structures. However, this resistance paradoxically enhances the strategic value of regional emancipation as both a defensive mechanism against external impositions and an offensive strategy for creating alternative economic arrangements.

The chapter's analysis supports the conclusion that regional emancipation represents a credible and necessary intervention in addressing global economic inequalities, even as it falls short of delivering comprehensive solutions to the developmental challenges confronting the Global South. The strategic complementarity between universal reform and regional emancipation suggests that the most effective approach lies not in choosing between these alternatives but in orchestrating their simultaneous pursuit in ways that maximize their mutually reinforcing effects.

The implications of this analysis extend beyond academic discourse to encompass practical questions of legal and policy reform. The international economic legal order must evolve to accommodate the legitimate aspirations of the Global South for equitable participation in global economic governance. This evolution requires not merely procedural adjustments but fundamental reconceptualization of the principles, institutions, and practices that govern international economic relations. The choice facing the international community is not whether such transformation will occur, but whether it will unfold through negotiated reform or through the continued proliferation of parallel institutions and alternative arrangements that gradually erode the relevance of the existing order.

The trajectory of Global South contestations analysed in this chapter suggests that the momentum for change has reached a critical threshold. The challenge for international lawyers and policymakers lies in channelling this momentum toward constructive transformation that serves the interests of both global economic stability and equitable development. The path forward requires courage to question fundamental assumptions, wisdom to learn from both successes and failures of past reform efforts, and commitment to the principle that legitimate international economic governance must reflect the interests and aspirations of all participants, not merely the preferences of the historically privileged.

INTERNATIONAL ECONOMIC LAW AND CLIMATE CHANGE

Avidan Kent

I. Introduction

The urgency of climate change needs little introduction or explanation.¹ Addressing the climate crisis is hardly an easy task: few issues are as complex and wide in nature as climate change.² Such ‘super wicked problem’ ‘defies resolution because of the enormous interdependencies, uncertainties, circularities, and conflicting stakeholders implicated by any effort to develop a solution.’³ Indeed, climate negotiations are addressing a diverse range of issues, such as industrial policies, agriculture, finance, investment, trade, migration, and global justice.

This chapter will focus on the role that international economic law (IEL) can play in addressing climate change. As the link between climate change and IEL is far too wide and complex to be addressed in one chapter alone, this chapter will focus on a specific part of this interaction: the role that IEL can play in supporting investment in clean energy in the Global South.

This chapter proceeds as follows: after this short introduction, Part II explains the main challenges ahead, highlighting the need for a green energy transition in the Global South and the necessity for increased involvement of foreign private investors in this challenge. It also discusses the barriers preventing private entrepreneurs from entering clean energy markets in the Global South. Part III explores the role that IEL can play in addressing such investment barriers, and in unlocking the untapped potential of clean energy investment in the Global South. It also investigates the need to define IEL widely—and to implement such a wide definition in practice—before proceeding to provide key examples from the universe of IEL that can address investment barriers in this sector. Part IV offers concluding remarks. It calls for the conclusion of comprehensive clean energy

1 The interested reader can explore a variety of Intergovernmental Panel on Climate Change (IPCC) reports, including IPCC, *Climate Change 2023, Synthesis Report, Contribution of Working Groups I, II and III to the Sixth Assessment Report of the Intergovernmental Panel on Climate Change* (2023) <https://www.ipcc.ch/report/ar6/syr/downloads/report/IPCC_AR6_SYR_LongerReport.pdf>.

2 Will Steffen, ‘A Truly Complex and Diabolic Policy Problem’ in John Dryzek and others (eds), *The Oxford Handbook of Climate Change and Society* (OUP 2011).

3 Richard J Lazarus, ‘Super Wicked Problems and Climate Change: Restraining the Present to Liberate the Future’ (2009) 94 *Cornell Law Review* 1153, 1159.

IEL-based treaties that will be tailored for the needs of this sector and offer investors a ‘dream package’ that will boost investment, accelerate the pace of green energy transition, and support the attainment of Sustainable Development Goals (SDGs) 13 and 7.

This chapter advances two key theses: first, despite its negative reputation, IEL possesses the tools to support the promotion of international investment in clean energy. As such, the role that IEL could play in the wider societal effort to fight climate change should be explored, rather than—as some would have it—discarded. Second, to maximize its potential, lawmakers must address IEL widely and holistically, far beyond the traditional trade-investment law spectrum. A wider approach will not only eliminate more investment barriers but will also mirror the truly complex and multilayered nature of investment in clean energy in the Global South.

II. The Link Between Climate Change and International Economic Law, and Why It Is Important

This part addresses the crucial and preliminary question: what can IEL achieve in the context of climate change? While this question is paramount, most scholars have sought to address the slightly different question of what IEL should *not* be doing in the context of climate change and how it should *not* restrict the right of states to regulate.

While the latter questions have been largely exhausted in past debates and literature, much remains to be told about the first question. Numerous monographs, articles, chapters, and dissertations have been written about the regulatory halts that IEL imposes on environmental regulation.⁴ The arguments that were made in 1990s and 2000s (promoted then by authors such as Konrad von Moltke,⁵ Kyla Tienhaara,⁶ and others)⁷ have not changed dramatically since and tend to re-emerge whenever new developments or relevant cases appear.⁸

The extensive focus on the negative question of what IEL should not do in the context of climate change is problematic for another reason: it leads to the misleading depiction of IEL as an anti-environmental tool that should be discarded; a view that is now widespread in both academic and policymaking circles.⁹ Instead, addressing the question of what IEL can do for addressing

4 Avidan Kent and Markus Gehring, ‘Investment Law and the Environment’ in Erica Techera and others (eds), *Routledge Handbook of International Environmental Law* (Routledge 2020); Markus Gehring and Avidan Kent, ‘International Investment Agreements and the Emerging Green Economy: Rising up to the Challenge’ in Freya Baetens (ed), *Investment Law within International Law* (CUP 2013); Marie-Claire Cordonier Segger and Avidan Kent, ‘Promoting Sustainable Investment through International Law’ in Marie-Claire Cordonier Segger, Markus Gehring and Andrew Newcombe (eds), *Sustainable Development in World Investment Law* (Kluwer 2010).

5 Konrad von Moltke, ‘The World Trade Organization: its Implications for Sustainable Development’ (1994) 1(3) *The Journal of Environment & Development* 43; Howard Mann and Konrad von Moltke *NAFTA’s Chapter 11 and the Environment: Addressing the Impacts of the Investor-state Process on the Environment* (IISD 1999).

6 Kyla Tienhaara, ‘Mineral Investment and the Regulation of the Environment in Developing Countries: Lessons from Ghana’ (2006) 6 *International Environmental Agreements: Politics, Law and Economics* 371.

7 See variety of chapters in Cordonier-Segger, Gehring and Newcombe (n 4).

8 See, for example, Alessandra Arcuri and others, ‘Investment Law v Supply-side Climate Policies: Insights from *Rockhopper v Italy* and *Lone Pine v Canada*’ (2024) 24 *International Environmental Agreements* 193; Gus Van Harten and Anil Yilmaz Vastardis, ‘Special Issue: Critiques of Investment Arbitration Reform’ (2023) 24 *Journal of World Investment & Trade* 363.

9 A notable ‘invasion’ of this narrative is found in no less than the IPCC report (2022). A cursory review of the names of the authors of these chapters reveals that not even one of them is an IEL expert, and very few have legal background (all are exclusively environmental law experts). For a summary of the comments made in the IPCC report, see Mathilde Dupre, ‘IPCC Points Out the Incompatibility between Protecting Fossil Investments and Decarbonisation’ (2022)

climate change reveals that IEL can have a positive impact as it offers an arsenal of useful tools for overcoming crucial green investment barriers.

Realigning the debate and shifting its focus could, therefore, be both constructive and illuminating. This chapter addresses the question of what IEL can do for addressing climate change through the case study of investment in clean energy in the Global South. It reviews current investment barriers and illuminates the positive role that IEL can play in addressing them.

1. The Global Transition to Clean Energy: The Challenge Ahead

Undoubtedly, the mitigation of climate change will require a green energy revolution. In the 2023 COP 28 Global Stocktake Decision,¹⁰ the United Nations Framework Convention on Climate Change (UNFCCC) member states agreed to ‘accelerate’ their action on climate change¹¹ *inter alia* by ‘tripling renewable energy capacity globally’ by 2030.¹² A wider picture—one that addresses investment needs in the broader context of clean energy (i.e. beyond renewables, to address elements such as energy efficiency and transportation electrification)—is far more dramatic. A report of the International Renewable Energy Agency (IRENA) states in this respect:¹³

[T]he current pace of investment is not sufficient; annual investments need to at least quadruple. Keeping the world on track to achieving the energy transition in line with the 1.5°C Scenario laid out in IRENA’s World energy transitions outlook 2023 will require annual investments of more than USD 5 trillion on average between 2023 and 2030.

Certainly, this challenge cannot, and will not, be met without the involvement of the private sector. States alone do not have the resources, technology, and know-how necessary to address this problem.¹⁴ Indeed, states consider their part in this effort (and in climate finance more generally) as primarily one of finance facilitators, creating conditions that will channel the private sector’s activity towards these goals.¹⁵ The Global Stocktake Decision states in this respect:¹⁶

[The member states] recognize the role of the private sector and highlights the need to strengthen policy guidance, incentives, regulations and enabling conditions to reach the scale of investments required to achieve a global transition towards low greenhouse gas emissions and climate-resilient development and encourages Parties to continue enhancing their enabling environments.

<<https://www.veblen-institute.org/IPCC-points-out-the-incompatibility-between-protecting-fossil-investments-and.html>>; for the full report, see IPCC WGIII, *Climate Change 2022: Mitigation of Climate Change* (IPCC 2022) <https://www.ipcc.ch/report/ar6/wg3/downloads/report/IPCC_AR6_WGIII_FullReport.pdf>.

10 UNFCCC, *First Global Stocktake* (13 December 2023) <FCCC/PA/CMA/2023/L.17https://unfccc.int/sites/default/files/resource/cma2023_L17_adv.pdf>.

11 *ibid* para 6.

12 *ibid* para 28.

13 IRENA, *Global Landscape of Renewable Energy Finance 2023* (IRENA 2023) 10.

14 In the case of Global South governments, these are already financially strained and indebted, IEA, *Financing Clean Energy in Africa* (IEA 2023) 28; World Bank, *Scaling Up to Phase Down: Financing Energy Transitions in the Power Sector* (World Bank 2023) 6.

15 IRENA, *World Energy Transitions Outlook 2023: 1.5°C Pathway* (IRENA 2023) 168.

16 Global Stocktake Decision (n 10), para 70.

The efforts to facilitate and increase investment in clean energy projects are especially important in the Global South. The Global South suffers from severe energy poverty. According to the International Energy Agency (IEA), 760 million people do not have access to energy,¹⁷ the vast majority of which reside in the Global South. In regions such as sub-Saharan African the situation is extreme, with 80% of the population having no access to energy—a percentage that is currently rising as population growth exceeds the pace of improvements.¹⁸

This reality is reflected in SDG 7, which calls on the international community to ‘[e]nsure access to affordable, reliable, sustainable and modern energy for all.’¹⁹ Achieving this goal is a precondition for the attainment of other SDGs that depends on a successful energy transition, including SDG 2 (hunger), SDG 3 (health), SDG 8 (economic growth), and SDG 9 (industry and infrastructure).²⁰

The imperative to accelerate the transition to renewables and clean energy in the Global South is also important from the perspective of SDG 13 concerning climate action. As developing and emerging economies are leaping into economic development, their energy needs are expected to significantly grow. A joint report of the IEA and the International Finance Corporation (IFC) estimates that meeting these countries’ energy needs in accordance with the Paris Agreement objectives will require a steep increase in investment—seven times the current levels—to USD 1.4–1.9 trillion.²¹

And yet hardly enough clean energy investment is making its way towards the Global South. Only 15% of global investments in 2022 were made in developing and emerging economies and less than 1.5% of the investment in the past 20 years was received by sub-Saharan countries.²² At the same time, North-South investment gaps continue to widen as developed nations’ portion of the global investment pot increases.²³ The Global South’s low share of clean energy investment was described by the IEA report as a ‘crucial concern [. . .] far out of line with what is required to meet rising energy needs in a sustainable way.’²⁴

2. So Why Don’t They Come?

The clean energy market is ever more lucrative, and still, with a few notable exceptions (prominently China), very little investment is reaching the Global South. These countries are suffering from a variety of barriers that deter investors from entering and significantly impede their transition. In this context, IEL can help overcome these barriers to unlock global investments and address the imperative of both SDGs 7 and 13.

The following provides a brief overview of these barriers. This review is based on numerous studies and reports by institutions such as the World Business Council for Sustainable Development (WBCSD), the UN Environment Programme (UNEP), the Intergovernmental Panel on Climate Change (IPCC), the Multilateral Investment Guarantee Agency (MIGA), and the IEA, as

17 IEA, *World Energy Outlook 2023* (IEA 2023) 183.

18 IEA (n 17) 183.

19 UNGA, ‘Transforming our World: The 2030 Agenda for Sustainable Development’ UN Doc A/RES/70/1 (2015).

20 Avidan Kent, *International Law and Renewable Energy Investment in the Global South* (Routledge 2022) 18.

21 This estimate excludes China. IEA/IFC, *Scaling up Private Finance for Clean Energy in Emerging and Developing Economies* (IEA 2023) 11.

22 IRENA (n 13) 9.

23 IRENA (n 13) 9.

24 IEA (n 17) 88.

well as academic studies,²⁵ including a wider study written by the author,²⁶ and is complemented by more recent studies.

The barriers faced by clean energy investors in the Global South are highly diverse. For analytical clarity, this chapter divides these barriers into four groups: (1) economic risks, (2) political and policy risks, (3) infrastructure, and (4) regulatory infrastructure. As explained, these groups are often intertwined and affect one another.

a. Economic Risks and Barriers

While the price of clean technologies is constantly falling to the extent that in some areas, renewables are considered as competitive in market terms, certain economic barriers continue to inhibit investment in the field. Notably, the initial investment required for building new fossil fuel facilities remains far lower than a comparable investment in renewables facilities.²⁷ The high cost of the initial investment implies a significant reliance on borrowing; the cost of which is substantial,²⁸ especially in markets that are regarded as risky.²⁹ Risks involved in investment in the Global South (including financial and political risks) are driving the cost of borrowing in the Global South upwards. An IEA report explains this impact:³⁰

for clean energy projects in Africa the cost of capital is at least two to three times higher than in advanced economies and China. This acts as a brake on private sector involvement as it makes projects either unaffordable or unviable for the investor.

The high cost of finance leads to additional barriers. Ouedraogo explains that these costs are leading investors to expect higher returns on their investment, often in the form of higher tariffs. However, higher tariffs may not be a feasible option in some Global South countries, thus reducing the viability of the investment.³¹

Another economic barrier to investment in clean energy concerns the competitive position of renewables, which is adversely affected by fossil fuel subsidies. While the exact value of fossil fuel subsidies is subject to debate (possibly due to differing methodologies), estimates indicate that they are in the region of USD 300 billion to USD 5.3 trillion per year.³² Where states are actively encouraging fossil-fuel-based energy investment, it is not surprising that clean energy investment is not as widespread as perhaps it could have been.

25 See full review in Kent (n 20) chapter 1, part III(D).

26 Kent (n 20) chapter 1, part III(D).

27 IEA (n 14), 30; World Bank (n 14) 7.

28 World Bank (n 14) 6; Jan Christoph Steckel and Michael Jakob, 'The Role of Financing Cost and De-risking Strategies for Clean Energy Investment' (2018) 155 *International Economics* 19.

29 IEA (n 14), 28–29.

30 *ibid.*

31 Nadia Ouedraogo, 'Opportunities, Barriers and Issues with Renewable Energy Development in Africa: A Comprehensive Review' (2019) *Current Sustainable Renewable Energy Reports* 3; World Bank (n 14) 7.

32 See review of different estimates in Kent (n 20) 28–29.

b. Policy and Political Risks

The importance of a stable, safe, supportive, and predictable business environment for the promotion of investment in the Global South cannot be overstated.³³ The nature of clean energy investment requires investors to ‘take the plunge’ with a large upfront investment. They will then hope to recoup their investment over many years of operation. During these many years of operation, investors are entirely at the hands and under the control of their host government, who may or may not maintain earlier agreements. The impact that events such as significant policy U-turns may have on such investments is therefore evident.

With regard to policy risks, lack of predictable government support constitutes a major risk. Fankhauser et al. surveyed developers and operators of renewable energy projects regarding their risk perception vis-à-vis investments in the Global South.³⁴ Stability of revenues in the form of tariff levels (which may be guaranteed by government schemes) was the most frequently cited factor in the survey, with 70% of respondents identifying it as the most, or second most, important factor when considering potential investments.³⁵ The authors concluded:³⁶

Survey respondents emphasised the critical nature of continued government support. A clear renewable energy strategy, combined with pro-renewables regulation, is seen as essential to stabilise revenues and reduce capital costs.

In its most extreme forms, lack of government’s support can also take the form of direct or indirect expropriation. A World Bank survey of independent power producers reveals that 57% perceive the risk of expropriation as either ‘very critical’ or ‘extremely critical.’³⁷ Indeed, a review of investment cases brought by renewable energy producers reveals that most considered host states’ measures that adversely affected their investment as expropriatory in their nature.³⁸

Finally, the risks affecting investors’ decisions also include wider issues of political stability like wars and conflicts.³⁹ Unfortunately, these risks are also more prevalent in Global South countries, which adversely affects the cost of capital.⁴⁰

These policy and political risks impact not only existing and affected projects, but also the decision-making of prospective investors. At this early stage, these perceived risks take a very real financial form: the more substantial the political risks are perceived to be, the higher the cost of finance is. As explained, the high cost of borrowing is one of the key economic barriers inhibiting investment in the Global South. Addressing policy and political risks is, therefore, key to reducing costs and making investment more financially viable.

33 IEA (n 14) 35–36.

34 Sam Fankhauser and others, *Rolling out Renewables in the Global South: A Developer Perspective* (Oxford Smith School 2023) <<https://www.smithschool.ox.ac.uk/sites/default/files/2023-12/Rolling-out-renewables-in-the-Global-South-A-developer-perspective.pdf>>.

35 Fankhauser and others (n 34) 19.

36 Fankhauser and others (n 34) 26.

37 World Bank, *A Sure Path to Sustainable Solar: Solar Deployment Guidelines* (World Bank 2019) 45.

38 Kent (n 20) 80–83.

39 World Bank (n 37) 45–46.

40 IEA (n 14) 30.

c. Infrastructure

The world's nations have recognized the existence of an 'infrastructure gap' in the Global South on many occasions.⁴¹ While Global South governments are making infrastructure investments, these sums are insufficient and the need for private investors' resources is dire.⁴² The impact of the infrastructure gap is also notable in the clean industry sector. An IRENA report observes in this respect: 'Lagging infrastructure development, inefficiencies in grid systems and slow permitting procedures represent significant hindrances in certain markets, impeding the energy transition.'⁴³ Elsewhere, IRENA also mentions the need to update power grid infrastructures (many of which are unsuitable for renewable energy), as well as to invest in buildings, industries, and transportation infrastructure.⁴⁴

Moreover, the production of clean technologies is based in a few countries only, namely, the United States, China, Japan, and the European Union. This means not only that the equipment must be imported by Global South countries but also that 'software' elements such as services and knowledge—all part of the required infrastructure—are often absent.⁴⁵

d. Regulatory Environment

Energy investment is often long-term and highly regulated. The importance of a comprehensive, stable, modern, fair, and predictable regulatory environment is therefore evident. As clarified in principle 6 of the G20 principles for quality infrastructure investment, these basic standards are not unique to clean energy but relevant to almost any type of infrastructure investment.⁴⁶

Numerous regulatory factors can foster clean energy investments. The OECD Policy Guidance for Investment in Clean Energy Infrastructure comprehensively reviews such regulatory factors relevant for clean energy industries, from adequate land to intellectual property (IP) and competition laws.⁴⁷ With respect to investment policy, this guidance states that 'transparency, property protection and non-discrimination are investment policy principles that underpin efforts to create a sound investment environment for all.'⁴⁸

Negative regulatory elements that can affect clean energy investments include protectionist policies and trade barriers.⁴⁹ In this context, a World Bank report mentions among the 'self-imposed' state regulatory barriers deterring foreign investors, *inter alia* protectionist policies 'favoring domestic state-owned enterprises over private investors for various reasons of political economy,'

41 See, for example, the Addis Ababa Action Agenda on Financing for Development (2015) para 14; G7 Ise-Shima Principles for Promoting Quality Infrastructure Investment (2016).

42 Zivanemoyo Chinzara and others, *Infrastructure in Africa: How Institutional Reforms Can Attract More Private Investment* (IFC 2023) <<https://www.ifc.org/content/dam/ifc/doc/2023/working-paper-infrastructure-in-africa.pdf>>.

43 IRENA, *Tracking COP28 Outcomes: Tripling Renewable Power Capacity by 2030* (IRENA 2024) 11.

44 IRENA (n 15), 152–53.

45 Andreas Goldthau and others, 'The Global Energy Transition and the Global South' in Manfred Hafner and Simone Tagliapietra (eds), *The Geopolitics of the Global Energy Transition* (Springer 2020) 322–26.

46 Principle 6, *G20 Principles for Quality Infrastructure Investment* <https://www.mofa.go.jp/mofaj/gaiko/g20/osaka19/pdf/documents/en/annex_01.pdf>.

47 OECD, *OECD Policy Guidance for Investment in Clean Energy Infrastructure* (OECD 2013) 19.

48 OECD (n 47) 7.

49 *ibid* 19.

as well as local content requirement rules.⁵⁰ Others add to this list of ‘self-imposed’ regulatory barriers the delivery of fossil fuel subsidies (discussed earlier under ‘economic risks’).⁵¹

The lack of a robust regulatory environment constitutes an investment barrier in the Global North and the Global South. With respect to the sub-Saharan region, Mungai et al. explain:⁵²

Policies and regulatory measures on climate change are non-existent, and in cases where they exist, they are ill-executed or not implemented at all. It was also evident that governments and organizations still approach climate mitigation from a silo perspective, regarding climate change as an environmental rather than a development issue, hence failing to attract multi-functional solutions and funding.

Ouedraogo similarly describes the regulatory frameworks for renewables in African states as ‘patchy and inconsistent’ and affected by poor implementation, a lack of enforcement and rule of law, and ‘complex bureaucracy, corruption and poor governance.’⁵³

III. Can IEL Promote Clean Energy Investment in the Global South?

In light of these barriers, not enough private clean energy investment is making its way to Global South countries. This section now addresses the question of what IEL can do to help. It opens by making the case for a wider IEL definition, one that will capture the truly complex nature of clean investment in the Global South. It then dives into specific legal elements and provides a brief—almost bite-sized—review of the varied legal tools that IEL offers and how they can address the different investment barriers discussed. This part ends by highlighting the fragmentation of the legal architecture of IEL.

1. What Is IEL? A Case for a Wider Definition

To address the role IEL can play in promoting clean energy investments, one must first understand what is covered by this term. While the definition of IEL remains elusive,⁵⁴ most agree that the term ‘international economic law’ is wide and flexible. Beyond international trade and investment law, many definitions also include a diverse list of areas such as the rules of the World Bank and other multilateral development banks, the International Monetary Fund and international development law.⁵⁵ These related fields are explored in various chapters of this *Handbook*. Others even include areas related to private international law, such as the international sale of goods.⁵⁶ In recent years, areas such as human rights and even environmental law are also entering into the fray.

50 World Bank (n 14) 5.

51 Edward Mungai and others, ‘Unlocking Climate Finance Potential and Policy Barriers—A Case of Renewable Energy and Energy Efficiency in Sub-Saharan Africa’ (2022) 7 *Resources, Environment and Sustainability* 1, 6.

52 Mungai and others (n 51) 6.

53 Ouedraogo (n 31) 55.

54 Steve Charnovitz, ‘What Is International Economic Law?’ (2011) 14(1) *Journal of International Economic Law* 1.

55 See, for example, definitions in Asif Qureshi and others, ‘International Economic Law’ in *Oxford Bibliographies* (OUP 2020); Valentina Vadi, *Cultural Heritage in International Economic Law* (Brill 2023) 93, and a variety of definitions provided by Charnovitz (n 54).

56 David Bederman, *International Economic Law* (Foundation Press 2001), as cited in Charnovitz (n 54), p 3–4.

For example, new bilateral climate treaties have now been signed under Article 6.2 of the Paris Agreement with the explicit objective of promoting international investment.⁵⁷

A wide definition of IEL seems sensible in the specific context of climate change. Activities such as clean energy investment and trade are regulated by a diverse set of rules, far beyond the scope of traditional investment and trade treaties. Ignoring these other legal elements contradicts the notion of policy coherence and causes unnecessary fragmentation within international (economic) law.⁵⁸

More concretely, the investment barriers discussed so far require a wide IEL approach. As these barriers are highly intertwined, so must be the laws that address them. For example, investment assistance/incentives through development and environmental regimes will be effective if accompanied with sufficient risk-reduction mechanisms (e.g. via investment and insurance treaties). Without these guarantees, it is possible that such assistance will not suffice to convince investors to invest. Equally, even where heavily supported through Official Development Assistance (ODA), investors are less likely to engage with governments imposing trade barriers and protectionist policies. The importance of environmental integrity and respect for human rights is another layer that cannot be ignored by investors and host states. In short, one must think about IEL in the context of climate change as holistically as possible.

2. IEL and Investment in Clean Energy in the Global South

A wider definition of IEL is therefore necessary, but what should it include? A comprehensive answer to this question requires a study of its own and is beyond the scope of this chapter.⁵⁹ International trade law, investment law, development law, insurance law, can be regarded as parts of IEL. This is of course not an exclusive list, but for the purpose of this chapter it will suffice. Moreover, international environmental law, international climate change law, and human rights law are all relevant. Therefore, these areas of law must not be seen in isolation and legal instruments should be designed accordingly, including comprehensive bespoke clean energy promotion treaties.

This subsection shows how each of these international legal fields are relevant to the investment barriers discussed earlier. It also discusses the ways in which they could, at least *potentially*, overcome these barriers and support the efforts to promote clean energy investment in the Global South. Due to space and scope limitations, the purpose of this review is not to provide a comprehensive overview of each and every relevant legal instrument⁶⁰ but rather to demonstrate the role that IEL instruments can play in addressing clean energy investment barriers.

57 See, for example, the extensive practice of Switzerland in this area <<https://www.bafu.admin.ch/bafu/en/home/topics/climate/info-specialists/climate-international-affairs/staatsvertraege-umsetzung-klimauebereinkommen-von-paris-artikel6.html>>.

58 Avidan Kent, 'Policy Coherence and the Promotion of Foreign Direct Investment in the Renewable Energy Sector: Lessons from Europe' in Lisa Sachs and others (eds), *Yearbook on International Investment Law & Policy* (OUP 2017).

59 Kent (n 20); Kent (n 58).

60 Kent (n 20).

a. International Trade Law

International trade law can play a significant role in promoting clean energy investment and overcoming the investment barriers discussed earlier. For example, it can address discriminatory policies and the lack of an appropriate regulatory environment. Discriminatory measures appear in many shapes, some of which were explicitly addressed by World Trade Organisation (WTO) law and jurisprudence. Most notably, ever-popular local content requirements that appear in many climate policies, and are considered to be detrimental for foreign investors,⁶¹ were deemed in a variety of WTO cases as discriminatory⁶² and therefore inconsistent with trade law provisions such as the National Treatment rule.⁶³

International trade law can also play a role in addressing economic risks and the lack of proper infrastructure. For instance, the reduction (or the elimination) of tariffs on environmental goods and services will reduce the price of goods and, as a result, reduce additional costs such as those related to borrowing. The impact of these reduced costs can be significant. A WTO Secretariat report summarises in this respect:⁶⁴

Opening up trade in energy-related environmental goods could raise global exports of these goods by 5 per cent by 2030. Although this would also raise demand for energy, the elimination of tariffs and the reduction of non-tariff measures would still lead to a 0.6 per cent net reduction in global CO2 emissions by 2030.

The same logic also applies to the facilitation of trade in services. Most technology-intensive goods—which are abundant in areas such as renewable energy—must be linked to and supported by appropriate services⁶⁵ such as installation, maintenance, monitoring, and training.⁶⁶ As Prawitz and Rentzhog succinctly surmise, when it comes to environmental goods, ‘without services, no trade.’⁶⁷

The negotiations on an Environmental Goods Agreement have been ongoing within the WTO for more than a decade. Participant states include major exporters of environmental goods and services (e.g. the US, China, Japan, and the EU) but very few Global South countries (Costa Rica and Turkey being the only representatives).⁶⁸ The lack of progress and the absence of meaningful

61 For example, see investors’ responses in a survey conducted by the Organization for Economic Co-operation and Development (OECD), in OECD, *Overcoming Barriers to International Investment in Clean Energy, Green Finance and Investment* (OECD Publishing 2015) 81.

62 Canada—Certain Measures Affecting the Renewable Energy Generation Sector, WT/DS412/AB/R and WT/DS426/AB/R, Report of the Appellate Body, 6 May 2013, para 6.1.

63 For a more detailed review, see Avidan Kent and Vyoma Jha, ‘Keeping up with the Changing Climate: The WTO’s Evolutive Approach in Response to the Trade and Climate Conundrum’ (2014) 15 *Journal of World Investment & Trade* 245, 260–61.

64 WTO Secretariat, *Leveraging Trade in Environmental Goods and Services to Tackle Climate Change* (WTO 2022) 3 <https://www.wto.org/english/tratop_e/envir_e/policy_brief_environmental_goods_e.pdf>.

65 This is known as the ‘servicification’ of goods and global chains. See, for example, Andrew Prag ‘Trade and SDG 13—Action on Climate Change’ (2017) ADBI Working Paper 735 Asian Development Bank Institute, 9 <<https://www.adb.org/publications/tradeand-sdg-13-action-climate-change>>.

66 Camilla Prawitz and Magnus Rentzhog, *Making Green Trade Happen: Environmental Goods and Indispensable Services* (National Board of Trade 2014) 11–12.

67 *ibid* at 2.

68 See list of participant states and the state of current negotiations on the WTO website <https://www.wto.org/english/tratop_e/envir_e/ega_e.htm>.

Global South participation cast doubts on the usefulness of this endeavour. Possibly a more effective approach will be to link provisions governing environmental goods and services to bespoke bilateral agreements.⁶⁹ A bilateral approach allows for a more bespoke method, even to the level of approving lists of environmental goods and services per project, rather than maintaining a rigid, permanent list.⁷⁰ It can also avoid the difficult multi-party negotiations over what counts as ‘environmental good or service.’

Other trade provisions could support the inadequate regulatory environment. For example, the role of trade-related intellectual property rules should be explored. Clean technologies are developed primarily in the Global North and China. One may assume that these developers will prefer to distribute their clean technology products to states in which their intellectual property is protected. Studies, however, do not necessarily support this assumption; some explain that the picture is somewhat complex,⁷¹ while others conclude that strong intellectual property protection inhibits the transfer of clean technologies to the Global South.⁷²

a. International Insurance Law

One of the barriers faced by clean energy investors is the high cost of borrowing. Borrowing costs are exceptionally high due to the magnitude of risks investors face in the Global South. Affordably de-risking these investments will reduce their long-term cost and positively contribute to the decision as to whether to invest in clean energy in the Global South.⁷³

International insurance law is naturally equipped to deal with some of these challenges. As with other tools reviewed in this chapter, its effectiveness will depend on states’ political will and ambition, as well on its linkages with the other tools presented in this chapter. There are various types of relevant instruments, differing in terms of ambition, shape, and effectiveness.

First, there are several public multilateral insurance providers.⁷⁴ The most notable example is the World Bank Multilateral Investment Guarantee Agency (MIGA), established by the Convention Establishing the Multilateral Investment Guarantee Agency. MIGA offers a variety of relevant products for investors, including in the clean energy sector, and particularly in the Global

69 Examples of bilateral and regional agreements with provisions governing environmental goods and services include FTAs concluded by New Zealand, or the Asia-Pacific Economic Cooperation (APEC) organization.

70 One advantage of a project-based approach is that many goods and services are necessary for clean energy projects, but are not unique to these projects, and could be used for many other uses as well. States are therefore less willing to provide a permanent and conclusive waiver for these goods.

71 Dassaux et al. found positive effects vis-à-vis the transfer of some technologies and negative effects vis-à-vis others. Damian Dussaux and others, ‘International Transfer of Low-carbon Technologies’ (2018) Grantham Research Institute on Climate Change and the Environment Working Paper No 288 <<https://www.lse.ac.uk/granthaminstitute/wp-content/uploads/2018/01/Working-Paper-288-Dussaux-et-al.pdf>>.

72 Suma Athreye and others, ‘Intellectual Property Rights and the International Transfer of Climate Change Mitigating Technologies’ (2023) 52(9) Research Policy 1.

73 Philippe LeHouérou and Hans Peter Lankes, ‘Mustering the Private Sector for Development and Climate in the Global South: Is it Realistic? Lessons and Recommendations from an On-going Experiment at the World Bank Group’ (2023) FERDI Working Paper, No. P323, 30.

74 See, for example, African Trade & Investment Insurance (ATIDI), an intergovernmental organization with 24 African member states that provides roughly similar services as the Multilateral Investment Guarantee Agency (MIGA) in Africa <<https://www.atidi.africa/investor-relations/member-states/>>. Certain multilateral development banks offer similar services. See, for example, the Asian Development Bank <<https://www.adb.org/what-we-do/private-sector-financing/guarantees>>; and the World Bank Group issues other guarantees also beyond those offered by MIGA (see review in LeHouérou and Lankes (n 73) 41).

South.⁷⁵ Most notably, Article 11 of the MIGA Convention provides political risk insurance (PRI) addressing perceived risks such as restriction on currency transfer, expropriation (direct and indirect), breach of contracts by host governments, wars and civil disturbances, breach of financial obligations by states, states-related entities, or multilateral development banks (MDBs), and non-enforcement of arbitration awards (including investment arbitration awards).⁷⁶

Another function that MIGA performs concerns dispute settlement. In short, when investor-state disputes could result in an insurance claim, MIGA may step in and assist the parties to resolve their dispute amicably. MIGA relies in this respect on the World Bank's power-balance vis-à-vis host states and its access to high-level officials,⁷⁷ a position that has, indeed, proven incredibly effective in securing investors' interests.⁷⁸

A second form of international insurance law arrangements are bilateral in nature. An interesting example are international agreements that are signed with the objective of facilitating the operation of national export credit agencies and development finance institutions abroad. The US practice in this area is notable. This country has concluded dozens of Investment Incentives Agreements with numerous countries concerning the operation of the US Development Finance Corporation (DFC),⁷⁹ which support US investors abroad with products such as political risks insurances. These agreements may, *inter alia*, exclude the DFC from the payment of taxes in host countries,⁸⁰ ensure that it 'shall be afforded all rights and have access to all remedies' of local insurance providers, and equally, 'shall not be subject to regulation under the laws [. . .] applicable to insurance organizations.'⁸¹

The world of international insurance law is increasingly supportive of SDGs 13 and 7. A notable example was a decision by the World Bank to align 100% of MIGA's supported projects with the objectives of the Paris Agreement by 2025.⁸² Such alignment will be based on a methodology that was developed for multilateral development banks and include a list of activities that are considered to be aligned (including a list of clean energy-related projects) and not aligned, with the Paris Agreement.⁸³

While the role that insurance mechanisms play in the promotion of clean energy investment is significant, undoubtedly more could be done, notably in terms of price and coverage.⁸⁴ Others also claim that MIGA's strategy has been too risk averse, avoiding the insurance of projects in high-risk

75 See MIGA's objectives, as stated in Article 2 of the MIGA Convention.

76 MIGA, *Operational Policies: 2023* (MIGA 2023) 20–21.

77 MIGA, *Migabrief: Dispute Resolution and Claims* (2015) <<https://www.miga.org/sites/default/files/2018-06/DisputeResolutionandClaims.pdf>>.

78 According to MIGA, more than 155 disputes were resolved amicably through MIGA's involvement MIGA annual meeting 2023, 12 <<https://www.miga.org/sites/default/files/2023-09/MIGA%20PRI%20%26%20NH%20-%202023%20Annual%20Meetings.pdf>>.

79 Development Finance Corporation, Transparency <<https://www.dfc.gov/our-impact/transparency>>.

80 See, for example, USA-Serbia Investment Incentive Agreement (2021) Art 2(b).

81 *ibid* Art 2(a).

82 World Bank, *Climate Change Action Plan 2021-2025*, iii <<https://www.miga.org/sites/default/files/2021-08/CCAP-2021-25-2.pdf>>.

83 World Bank and others, *Joint MDB Methodological Principles for Assessment of Paris Agreement Alignment of New operations* (World Bank 2023) <<https://documents.worldbank.org/en/publication/documents-reports/documentdetail/099220306162369703/idu00ef11f9807471044870b9c6041d5dda75c78>>.

84 Alexandre Chavarot and Matthew Konieczny, 'Mobilizing Private Sector Capital for Low-Carbon Investments in Developing Countries' in Charles Donovan (ed), *Renewable Energy Finance* (World Scientific 2020) 179–80.

countries, and providing smaller guarantees in low-income countries.⁸⁵ The use of ODA finance (discussed in the following section) for the subsidization of higher-risk insurance policies, and the linking of insurance mechanisms with other international law instruments (e.g. trade, investment, and environmental treaties), could increase the effectiveness of these international law instruments, improve policy coherence, and boost investment in the clean energy sector in the Global South.⁸⁶

b. International Investment Law

Not many fields of law have drawn so much fire as international investment law. While there is no doubt that certain reforms must be achieved (e.g. transparency and ISDS), this critical debate is beyond the scope of this chapter.⁸⁷ This part will rather stress the positive and supportive role that investment treaties can play in promoting clean energy investment in the Global South.

As mentioned, energy investments amplify investors' risks as investors are asked to make significant upfront investments and expect to recoup their investment only over many years of operation, during which they are completely at the hands of the host state, which may or may not respect its commitments. Recent jurisprudence has shown that indeed states do not always deliver what they promise: quite commonly, programmes enacted for the sole purpose of enticing investors by ensuring stability (e.g. feed-in tariffs) have been adversely changed, at times even retroactively.

IAs can mitigate the detrimental effects of some of the most relevant investment barriers and serve as *de facto* premium-free political risks insurances, protecting investors from risks such as expropriation and guaranteeing them certain standards of fairness and due process, as well as a depoliticized dispute settlement forum. Importantly, as part of the commitment to provide a fair and equitable treatment, IAs also protect investors' legitimate expectations. Indeed, this specific guarantee has proven useful in a long list of renewables investment cases in which regulatory changes were deemed as drastic, 'total and unreasonable.'⁸⁸

IAs further aspire to address discriminatory treatment, protect property rights, and provide other standards that can contribute to the regulatory environment, such as an effective and quick dispute resolution. In other words, international investment law and arbitration can help address some barriers to investment.

Nonetheless, the protection provided by IAs is incomplete. Tribunals have, by and large, respected states' right to regulate and accepted reasonable changes that are not 'crippling and disabling'⁸⁹ or retroactive in nature.⁹⁰ They largely regarded mere regulatory changes as unprotected by IAs; investors had to show that they relied on specific promises, such as explicit contract terms.⁹¹

85 Karen Mathiasen and Rakan Aboneaaj, 'MIGA: The Little Engine that Should' (2023) Centre for Global Development Policy Paper 309, 4 <<https://www.cgdev.org/sites/default/files/miga-little-engine-should.pdf>>.

86 See Kent (n 20) chapter 4.

87 See Eric De Brabandere's chapter in this *Handbook*. See also Armand de Mestral and Celine Leveque (eds), *Improving International Investment Agreements* (Routledge 2013); Eric De Brabandere and others (eds), *Public Participation and Foreign Investment Law* (Brill 2021).

88 See, for example, *Eiser Infrastructure Limited v Spain*, ICSID Case No ARB/13/36, Award, para 363. For a full review of these cases, see Kent (n 20) chapter 3.

89 *Blusun v Italy*, ICSID Case No ARB/14/3, Award, para 342.

90 On the right to regulate, see Gazzini's chapter in this *Handbook*.

91 Kent (n 20) chapter 3.

Finally, even adverse and drastic regulatory changes were not deemed severe enough to constitute ‘indirect expropriation.’ The protection from ‘expropriation,’ therefore, is limited as well.

c. International Development Law

The term ‘international development law’ is fluid in nature. It is used in the literature to cover a wide range of policies, from finance, trade, and investment to human rights, humanitarian aid, sustainability, and more. For the purpose of this chapter, it can be defined as covering activities such as finance (notably, but not only, official development assistance), the operation of development institutions (e.g. MDBs), and bilateral development treaties.

ODA is often agreed on and regulated by international treaties including environmental treaties and development treaties. The role that ODA can play in addressing investment barriers in the clean energy sector is significant. ODA can be used in this respect in numerous ways, from investment in relevant infrastructure to capacity building, the training of local manpower, knowledge and technology transfer, and the funding of research and development activities. Importantly for this chapter, ODA funds could be used to leverage private investments by reducing financial risks, for example, through grants that will reduce investors’ need to borrow, the subsidization of insurance premiums, or government guarantees that will reduce interest rates on loans. More controversially, ODA funds could be used as export subsidies, facilitating trade in environmental goods and services by making these cheaper.

ODA is often distributed through the operation of MDBs, which are key actors in the world of international development law and are regulated via international law. These institutions’ contribution to overcoming the investment barriers discussed earlier is wider than mere ODA distribution. MDBs perform three functions that can be regarded as supportive in this context: first, they provide affordable finance; second, they mobilize and leverage private finance via, *inter alia*, the de-risking of investments, and third, they provide capacity building and technical assistance, notably in enforcing regulatory frameworks that are conducive for hosting investment.⁹² MDBs therefore facilitate investment by addressing several barriers, including those related to financial risks, as well as legal and institutional infrastructure.

A third supportive feature provided via international development law are international development treaties. These treaties are essentially North-South agreements, aiming to improve development in the Global South party’s territory *inter alia* by ‘supporting the conditions for increasing investment and private sector initiative.’⁹³ Admittedly, most bilateral development agreements known to the author are, to the least, vague, when it comes to the promotion of clean energy investment. A recent and perhaps somewhat more elaborate example is the Partnership Agreement between the EU and member states of the Organisation of African, Caribbean, and Pacific States (OACPS), the 2023 EU-OACPS Partnership Agreement (‘the Samoa Agreement’), which mentions renewable energies on several occasions. Article 24 (‘Sustainable energy’) of the Africa

92 See, for example, Bjerne Steffen and Tobias Schmidt, ‘A Quantitative Analysis of 10 Multilateral Development Banks’ Investment in Conventional and Renewable Power-generation Technologies from 2006–2016’ (2016) 4 *Nature Energy* 75; Maria Basilio, ‘The Support of Multilateral Development Banks to Renewable Energy Projects in Developing Countries’ (2023) *Journal of Environmental Planning and Management* 1.

93 See EU-ESAP, Article 2(f).

regional protocol includes several such commitments, including a paragraph that directly addresses the investment barriers stated earlier.⁹⁴

The Parties shall facilitate open, transparent, competitive and functioning energy markets by adopting legal and regulatory frameworks that drive investment in sustainable energy, energy storage and energy efficiency. They shall phase out environmentally harmful fossil fuel subsidies. They undertake to strengthen the partnership between African and EU private sectors, and the engagement of their public and private sectors, in order to boost investment in sustainable energy generation, energy efficiency and energy access. They shall mobilise investment in a diversified and clean energy mix for electricity, favouring renewable resources. They shall support the implementation of relevant national and regional energy initiatives in Africa, including by contributing to the objectives of the African Renewable Energy Initiative.

The role that international development law can play in the context of clean energy investment is not without criticism. Critics highlight the lack of sufficient investment⁹⁵ and contest greenwashing⁹⁶ and the diversion of funds from other important non-climate-related issues.⁹⁷ The very vague formulation of provisions that are related to renewables is also problematic, as their implementation very much depends on political will. Development agreements are nevertheless promising; they are holistic in nature, enabling parties to address a wide range of considerations and overcome the fragmentation of international (economic) law.

*e. IEL and Investment in Clean Energy in the Global South:
An Interim Conclusion*

This review of relevant IEL tools, albeit necessarily brief due to space limits,⁹⁸ demonstrates that a wide variety of IEL tools are *potentially* available to foster investment in the clean energy in the Global South. It also points at certain deficiencies. This chapter, therefore, calls on international lawmakers to address the promotion of clean investment in a holistic manner, to address a broad range of barriers by using the widest possible range of legal tools, even where such solutions originate from different areas of law and require a variety of different expertise.

This study equally warns that some IEL instruments could potentially be ‘double-edged’ and may restrict climate policies, rather than promote them. There is no doubt that these issues require

94 Partnership Agreement between the European Union and the Members of the Organisation of the African, Caribbean and Pacific States (2023), Art 24(3).

95 Joeng Won Kim and Jae-Seung Lee, ‘Greening Energy Finance of Multilateral Development Banks: Review of the World Bank Energy Project Investment (1985–2019)’ (2021) 14(9) *Energies*.

96 Homi Kharas, *Aid and Climate Finance* (Brookings 2015) <<https://www.brookings.edu/wp-content/uploads/2016/07/aid-climate-finance-kharas.pdf>> (arguing that many of the ‘green’ funds are not new but rather simply being ‘re-branded’ as green).

97 Fiona Ryan, ‘Separating Climate Finance and ODA’ (*DEVPOLICY Blog*, 2019) <<https://devpolicy.org/separating-climate-finance-and-oda-20190424/>>.

98 Investigating how each of this field can contribute to the green economy in the Global South is a promising field of future research. Lengthy monographs could investigate how each of these legal areas can promote clean investments in the Global South. Even more interestingly, certain aspects of environmental and human rights law related to the regulation of private energy investment deserve further exploration. For a pivotal study with respect to environmental and human rights instruments, see Kent (n 20) chapter 7.

a careful crafting of legal mechanisms that will strike the right balance between the states' right to regulate sensitive issues and the need to promote investment in clean energy in the Global South.

3. The Regulatory Architecture Challenge

Finally, beyond the design of mutually supportive linkages, one must also think about wider issues of institutional governance and legal architecture. As explained, the climate context requires a wide variety of responses, by multiple institutions. Indeed, Keohane and Victor define the global efforts to govern climate change as a 'regime complex,' where 'there are connections between the specific and relatively narrow regimes, but no overall architecture that structures the whole set.'⁹⁹ As argued elsewhere,¹⁰⁰ the lack of an 'overall architecture that structures the whole set' also encapsulates the microcosm of IEL.

While some IEL treaties acknowledge or even explicitly act with regard to climate change, most of these treaties have been concluded in isolation, with very limited reference to, or links with, other relevant IEL instruments.¹⁰¹ This is not a new phenomenon, and indeed much has been written about the fragmentation of international law. This fragmentation is especially problematic for the regulation of complex and multilayered issues that are affected by a variety of legal rules—such as the case of climate change, and the more specific case of clean energy investment in the Global South.

This legal fragmentation is also problematic in terms of effectiveness. Most IEL tools will be effective only if linked with others. For example, no amount of ODA will convince investors to invest in risky markets unless sufficient insurance guarantees are available. Equally, even the most advanced levels of trade liberalization will not lure in investors where interest rates are too high, or where the local regulatory and court systems are discriminatory and corrupt. Hence, the investment barriers discussed must be addressed holistically.

This fragmentation is the result of two main factors: expertise and political will. First, treaty-makers are often experts in one area and are either unaware of, or lack sufficient expertise in, the wider regulatory toolkit. Second, addressing investment barriers requires highly detailed, technical, and lengthy negotiations. In terms of resource allocation, it also requires tough decisions and prioritization. It may seem easier, and certainly faster, to simply tick the proverbial box of 'we took care of the environment!' by making high-level and abstract declarations while leaving the details to be worked out at some unknown time in the future.

IV. Concluding Remarks

On its own, IEL is not a silver bullet, and it will not resolve the endemic lack of investment in the Global South. It can, however, support wider efforts to address deep challenges related to the business environments in these countries. A correct utilization of IEL can, therefore, be conducive to the creation of more attractive investment conditions, and, hopefully, tip the balance in favour of future decisions to invest in the Global South.

99 Robert Keohane and David Victor, 'The Regime Complex for Climate Change' (2010) *The Harvard Project on International Climate Agreements* 4.

100 For a comprehensive study of climate-related IEL instruments adopted by the European Union, see Kent (n 20) (finding that these are often drafted in isolation and with significant fragmentation).

101 *ibid.*

This chapter ends with three concluding remarks. First, the negative image of IEL portrayed by civil society and certain academics is highly misleading. In fact, when it comes to the promotion of sustainable development in the Global South, IEL has much to offer. Policymakers should remember this point, reforming, improving, and adjusting relevant IEL tools, rather than throwing the baby out with the proverbial bathwater.

Second, IEL should be addressed widely and holistically as a legal toolkit that regulates economic activity. The case of investment in clean energy demonstrates that the legal fields of international trade law, international investment law, and international environmental law should not be understood in a rigid and exclusionary manner. Activities such as energy investment should not be labelled under one legal field or another. Rather, policymakers should consider the challenge at hand and rely on whatever legal tools are offered by the wider toolbox of IEL in order to develop an appropriate and effective policy response.

Building on the first two observations, this chapter ends with a call for a bespoke treaty to address the topic of clean energy investment in the Global South. This topic is too complex to be ‘annexed’ to wider negotiations over trade or environmental treaties, and it is certainly important enough to justify the attention and resources that would be required for the creation of such a tailor-made treaty. Such a treaty could draw on the full arsenal of IEL, adopt only useful parts thereof, and modify them to address the concrete context, needs, and challenges inhibiting clean energy investment in the Global South.

INDEX

- Abu Dhabi Ministerial Conference (2024) 69
- Advisory Working Group 96–97
- Africa Continental Free Trade Agreement (AfCFTA) 34, 271–273
- Agreement on Agriculture (AoA) 207; domestic support 214–215; export subsidies 215–217; market access 213–214
- Agreement on Climate Change, Trade, and Sustainability (ACCTS) 238, 243, 252
- agricultural trade system; Agreement on Agriculture (AoA) 213–217; developed and developing countries 211–213; Doha Development Round 217–219; linking trade to food security 219–222; overview 207–208; regulating international trade 208–211
- agriculture; agreement, 214–217; food security, trade to 219–222; international trade 208–211
- Albertoni, Nicolas 161
- Americas Partnership for Economic Prosperity (APEP) 276
- Anti-Counterfeiting Trade Agreement (ACTA) 201
- Anti-Dumping Agreement 80, 162, 170
- appeal/review mechanism 87
- Appellate Body 4, 10, 34, 48, 57, 72–75, 87, 93–94, 105–106, 109–110, 121, 125, 127, 133, 148, 163, 175, 196, 198, 203–204, 206, 230–231, 238, 247, 255–256, 294, 441, 464, 465
- appropriate level of protection (ALOP) 230
- arbitration 59–63, 314–316, 321–327, 412–413
- Article XX of GATT 1994; artistic, historical, and archaeological value 180; compliance with laws and regulations 178–179; exhaustible natural resources 181; importations/exportations of gold or silver 177–178; intergovernmental commodity agreement 181–182; local short supply 182–183; price stabilization 182; prison labour 179–180; protect human, animal, and plant life and health 176–177; protect public morals 176
- artificial intelligence (AI) 269–270, 304
- Asia-Pacific Economic Cooperation (APEC) 245, 278
- Association of Southeast Asian Nations (ASEAN) 253, 272, 273
- Australia-Singapore FTA (2003) 260
- Bagwell, Kyle 161
- Barrero, López 74
- Belt and Road Initiative 5
- Berne Convention 203
- Bianchi, Eduardo 170
- bilateral investment treaties (BITs) 28, 59, 285
- Bretton Woods conference 26, 39
- Brundtland Report 239
- Calvo, Carlos 23
- Calvo Doctrine 23
- Canada Comprehensive Economic and Trade Agreement (CETA) 253
- carbon border adjustment mechanisms (CBAMs) 238
- Carr, Edward Hallett 113
- Castillo, Mario 169, 172
- Central Bank of the Argentine Republic (BCRA) 431, 433
- Charter, Havana 114
- Civil Society Advisory Group (CSAG) 78
- climate change 11, 14–15, 50, 172, 205, 221, 243, 251, 287, 418, 423, 435, 499, 506; and

- Article XX 187–189; international economic law 491–492; international law 42; mitigation 159, 175, 189–190, 238; Paris Agreement on 454–455; post-industrial 229; suitable measures 250; TRIPS topics relate to 82
- Codex Alimentarius Commission 225
- Committee on Foreign Investment in the United States (CFIUS) 55, 302
- Committee on Trade and Environment (CTE) 241
- Comprehensive Progressive Trans-Pacific Partnership (CPTPP) 5, 33–34, 248, 258, 260–262, 266–268, 271
- conferences of the parties (COPs) 243
- Consumer Price Index (CPI) 432
- consumer protection 264–265
- corporate social responsibility (CSR) 143
- COVID-19 pandemic 11, 34, 107, 160, 163–165, 169, 172, 196, 202, 205, 207, 229, 237, 257
- cultures collide 466–467; *amici curiae* 470–472; full protection and security standard, in 469–470; historical injustice 472–473; indigenous people 470; investors and traders, as 467–468; trustees, of 468–469
- cyberattacks 56
- data localization, prohibition on 263–264
- Defense Production Act 55
- de Schutter, Olivier 221
- digital economy agreements (DEAs) 260
- Digital Economy Partnership Agreement (DEPA) 258, 268–269, 270, 279
- digital identity 268, 270
- digital inclusion 268–269
- digital trade 257; consumer protection 264–265; data localization, prohibition on 263–264; electronic contracting 265; electronic transmissions, elimination of 262–263; new frontier, in 267–269; non-discrimination, elimination of 262–263; paperless trading 265; personal data 266–267; PTAs 259–262; scope, of 258–259
- Dispute Settlement Body (DSB) 84
- dispute settlement system, WTO; compliance 92–93; Consolidated Text 92; guidelines for adjudicators 93–95; legal interpretations 95–97; Molina process 85–87; overview 84; panel proceedings 87–92; secretariat support 97–98
- Dispute Settlement Understanding (DSU) 70, 87, 203
- Doha Development Round 4, 33, 136, 217–219
- Doha Ministerial Declaration 241
- dumping 80, 171, 217, 471; anti-dumping 11, 27, 69–70, 72, 80–82; export 212; global 170; illegal 471
- electronic contracting 265
- Energy Charter Treaty (ECT) 62
- environment *see* trade and environment
- Environmentally Preferable Products (EPPS) 245
- Environmental Measures in International Trade (EMIT) Group 240
- EU–New Zealand Free Trade Agreement (EU–NZ FTA) 245
- European Common Agricultural Policy (CAP) 210
- European monetary system 21
- Evenett, Simon J. 162
- exceptions *see* World Trade Organization (WTO) law
- expropriation 368–369; concept, of 369–374; customary international law 374–375; lawful, criteria for 376–378; treaty impacts, on 378–381
- fair and equitable treatment (FET) 13, 289, 331; actual situations, in 334–335; arbitrary and discriminatory treatment 345; bad faith, evidence of 343–344; corruption 345–346; denial of due process 336–338; denial of justice 336–338; full protection and security 347; general international law, body of 334; human rights violations 346; non-discrimination 348; non-impairment, standard of 349–350; non-observance/frustration, of 338–342; organ, coercion and harassment by 342; *pacta sunt servanda* 348–349; stable and predictable legal framework 342; standards of protection 346–347; transparency, absence of 344; treaty practice and typology, of 331–333; unjust enrichment 343; vigilance and protection, obligation of 335
- Feinberg, Robert M. 170
- financial technology (fintech) 269
- Finger, J. Michael 170
- foreign direct investment (FDI) 297
- Foreign Investment and National Security Act (2007) 55
- foreign investment laws (FILs) 297–299; competitive/general, of 304–307; dispute settlement 307–309; FDI 302–304; IIAs and 299–302
- Foreign Investment Risk Review Modernization Act (FIRRMA) 55, 303
- Framework Convention on Tobacco Control (FCTC) 204, 232
- free trade agreement (FTA), 273; *see also specific agreements*

- friendship, commerce, and navigation (FCN) treaties 9, 21, 23
- full protection and security (FPS) 13, 141, 331, 333, 335, 347, 469–470
- General Agreement on Tariffs and Trade (GATT) 2, 26, 27, 50, 70, 100, 101, 103, 104, 106, 145, 161, 174, 192, 193, 238, 259, 262–264, 298, 399, 440–445, 474, 483–484
- General Agreement on Trade in Services (GATS) 10, 31, 100, 114; approach to trade barriers 132–135; domestic regulation 135–136; investment facilitation 141–143
- General Data Protection Regulation (GDPR) 266
- Global Trade Alert (GTA) 163
- government of China (GOC) 153
- Great Depression 24, 25
- Great Financial Crisis (GFC) (2008–09) 160
- Great Recession of (2008–09) 34
- gross domestic product (GDP) 130, 257, 277
- Haitian Tobacco Monopoly* 178
- Havana Charter 179, 181, 182
- health 3, 12, 27, 33, 45, 82, 119, 163, 164, 169, 171, 174, 176–177, 187, 189–191, 198, 199, 205, 222–236, 256, 307, 372, 389, 390, 396, 399, 400, 422, 424, 427, 430, 433, 434, 436, 440, 441, 444, 452, 456, 494
- Helms–Burton Act 55
- High-level Political Forum on Sustainable Development (HLPF) 244
- Hitler, Adolf 24
- human rights *see* International Monetary Fund (IMF)
- import substitution industrialization (ISI) policies 166
- Indigenous cultures 460–461; collide (*see* cultures collide); *de lege ferenda* 474–476; diaspora, of 464–466; international protection, of 461–464
- Indigenous Peoples Economic and Trade Cooperation Arrangement (IPETCA) 280
- Indo Pacific Economic Framework (IPEF) 253, 274
- Informal Dialogue on Plastics Pollution and Sustainable Plastics Trade (IDP) 247
- intellectual property 192–206
- International Bank for Reconstruction and Development (IBRD) 26
- International Centre for Settlement of Investment Disputes (ICSID) 2, 29
- International Court of Justice (ICJ) 28, 54
- international development law 6, 15, 38, 481, 498, 504–505
- international economic law (IEL) 1; beginnings 21–22; book in the literature 16–17; Bretton Woods system 25–26, 29–30; challenges and prospects 3–6; clean energy, global transition to 493–494; climate change 491–492; cold war era 24–25; economic risks and barriers 495; emergence of global economy 22–23; first era of globalization 23–24; fragmentation 32–35; Global South 478–480; Indigenous cultures (*see* Indigenous cultures); infrastructure 497; international investment law 27–29, 31–32; international trade law 30–31; investment in, clean energy 498–506; legal order 36–49; methodology 7–8; overview 1–3; policy and political risks 496; regulatory architecture 506; regulatory environment 497–498; salience and expected audiences 15–16; second era of globalization 30; tariffs and trade 26–27; through universal reform 480–485; universal reform, resistance to 485–488; *see also* World Trade Organisation (WTO)
- International Electrotechnical Commission (IEC) 225
- International Finance Corporation (IFC) 2
- international financial architecture 402–404; bilateral sovereign lending and restructuring 413–414; climate-focused solutions 418–419; common framework and sovereign debt roundtable 417–418; current landscape 407–408; multilateral creditors 414–416; sovereign commercial debt and restructuring 409–413; sovereign debt arrangements, of 404–407; sovereign debt claims, to 408–409; state-contingent instruments 419–420
- international financial law 6, 38–39, 175
- international investment agreements (IIAs) 3, 297, 311
- international investment law 27–29, 31–32, 383–384; customary international law 286–287; FET standard 391–394; host state, laws of 287; indirect expropriation, to 386–391; MFN treatment standard 352–354; national treatment (*see* national treatment); non-discrimination, in 351–352; overview, of 285–286; precedents, role of 292–294; recent treaty practice, in 397–400; regulatory powers 391–394; rule-making, in 354–362; soft law, role of 294–295; sovereignty and right to regulate, linked to 384–386; stabilization clauses 394–397; treaties, of 288–292
- international law 38–41; customary 286–287, 374–375; general 334
- International Monetary Fund (IMF) 1, 2, 25, 26, 422–423; Argentina, case of 430–433; controversial self-isolation 423–425; impact, on 425–430
- International Organization for Standardization (ISO) 225
- International Plant Protection Convention (IPPC) 225

- international trade law 6, 30–31, 48, 53, 69, 74, 114, 128, 158, 192–193, 196–197, 203, 206, 222, 237–239, 243, 255–256, 291, 460, 474, 480, 485, 499, 500–501
- International Trade Organization (ITO) 1, 2, 26, 52, 114, 161
- International Tribunal for the Law of the Sea (ITLOS) 188
- interpretation, 10, 17, 28, 40, 47, 64, 77 84, 93–97, 99, 102, 107–111, 148, 153, 154, 156, 175, 182, 184, 191, 196, 197, 203, 230, 232–236, 287, 293, 295, 301, 308, 310, 331–334, 340, 344, 345, 347, 349–351, 354, 355, 358, 362, 367, 368, 372, 373, 380, 381, 397, 412, 433, 443, 445, 475, 477, 485
- Investment Screening Regulation (ISR) 303
- Investor-state dispute settlement (ISDS) 277, 285, 311–312; arbitral awards, annulment of 325–326; arbitration, investment treaties and consent to 314–316; arbitration institutions and procedural law 321–322; Azerbaijan Model BIT 319–320; constitution, of 322–324; emergence, of 312–314; investment tribunals, jurisdiction of 316–317; investor-state arbitration, alternatives to 326–327; reform, of 328–329; transparency 324
- investor-state dispute settlement (ISDS) 3, 61
- Jackson, John 119, 129
- Jansen, Camilla 163
- Joint-Statement Initiative (JSI) 257
- jus cogens* 41, 45–46, 187, 189, 475–476
- Keynes, John Maynard 2, 25, 26
- Latin American and Caribbean (LAC) countries; foreign-owned domestic firms 171–172; Latin American trade policy 166–170; trade remedy utilization 170–171; traditional barriers to subsidy-based measures 160–166
- least developed countries (LDCs) 65
- legal order, IEL; achieve consistency 45–49; with international law 38–41; with legal regimes 41–45; overview 36–38
- lex posterior derogat priori* 48
- Marrakesh Agreement 70, 142, 240
- Marshall plan 2
- McRae, Donald 40, 203
- Merchant Marine Act (1920) 54
- Minimum Standard of Treatment (MST) 286
- Molina, Marco 85–87, 98, 99
- Morgenthau, Henry 25
- most-favoured-nation (MFN) 13, 290
- Most-Favoured-Nation Clause 115
- multilateral environmental agreements (MEAs) 241
- Multilateral Investment Guarantee Agency (MIGA) 2
- Multi-Party Interim Appeal Arbitration Arrangement (MPIA) 4, 75
- Napoleonic Wars 22
- national treatment 362–364; international investment rulemaking 364–365; pre-establishment vs. post-establishment 365–366; sub-federal exception 366
- net neutrality 268
- New Deal liberalism 30
- Nixon, Richard 29
- Nogues, Julio J. 170
- non-discrimination 262–263, 348, 351–352; GATT 1947 and NT 117–118; GATT 1947 and the MFN 115–116; general exceptions 119; MFN obligations in GATT (1947) 116–117; NT obligation in GATT (1947) 118–119; overview 113–114; trade in goods, including former ‘side agreements’ (Annex 1A) 119–122; trade in services (Annex 1B) 122–125; trade-related aspects of intellectual property rights (Annex 1C) 125–127; unilateral economic coercive measures 127–129; utilization of exceptions 127–129
- non-discriminatory qualitative requirements 135
- non-discriminatory quantitative barriers 134
- non-governmental organizations (NGOs) 77
- North American Free Trade Agreement (NAFTA) 31–33, 290
- North Atlantic Treaty Organization (NATO) 55
- NZ-UK Free Trade Agreement (NZ-EU FTA) 245
- Ominami, Carlos 169, 172
- On The Wealth of Nations* 22
- Organisation for Economic Co-operation and Development (OECD) 245
- paperless trading 265
- Paris Agreement 188
- peace and security; analysis 63–65; investment arbitrations 59–62; jurisprudence of the ICJ 63; national security concerns 53–55; overview 51; post-cold war and contemporary tensions 55–57; post-WW2 international economic law 52–53; WTO dispute settlement 57–59
- personal data protection 266–267
- police powers 369–374, 386, 389, 390
- post-Washington Consensus 4
- Prebisch, Raúl 117
- preferential trade agreements (PTAs) 33, 137, 238, 251–254, 259–262, 273
- Protocol of Accession of the Russian Federation 57
- quantitative restrictions; Article XI:1 of the GATT 104–106; national treatment obligation

- 110–111; overview 100–102; prohibition in Article XI:1 106–109; prohibition on 102–104
quotas 24, 80, 100–101, 103–104, 151, 164, 166, 184, 194–195, 214, 395
- Reference Paper on Services Domestic Regulation 137
- Regional Comprehensive Economic Partnership (RCEP) 5, 34, 201, 258, 264–265, 274
- regionalism, 5 12, 15, 83, 129, 132, 167, 272, 280, 281
- regional trade agreements (RTAs) 51, 271; multipurpose instruments 280–281; overview, of 273–275; trends and highlights 275–280
- re-globalization 51, 65
- Ricardo, David 22
- right to regulate 5, 14, 133, 138, 141, 143, 266, 289, 306, 328, 331, 332, 351, 367, 383–401, 474, 503, 506
- Rio Declaration 239
- The Rise of the Trading State* 113
- Roosevelt, Franklin D. 24
- Rosecrance, Richard 113
- Sanguinetti, Pablo 170
- Saudi Arabia's Ministry of Investment (MISA) 306
- SCM Agreement 149, 150
- SDR Reference Paper 139, 140, 142
- security *see* peace and security
- services *see* trade in services
- Smith, Adam 22
- socio-legal analysis 8
- sources 3, 7, 9, 13, 38, 46, 49, 79, 149, 229, 285, 286, 288, 295, 299, 310, 331, 407, 416, 450, 454, 458, 474, 486
- SPS and TBT Agreements; overview 223–224; promoting trade while upholding regulatory autonomy 224–226; science as a normative yardstick 228–232; upholding regulatory autonomy 224–228; in WTO structures 232–235
- Stainer, Robert W. 161
- state-owned enterprises (SOEs) 277
- state sovereignty 40, 189, 350, 384, 385
- Stockholm Conference (1972) 239
- Stockholm Conference Action Plan 239
- Subsidies and Countervailing Measures (SCM Agreement) 11; China's subsidy problem 150–152; debate on international subsidies regulation 146–148; limits of 156–158; out-of-country benchmarks 155–156; overview 145–146; SOCBs as public bodies 152–154; specificity requirement 154–155; structure of 148–150
- Sustainable Development Goals (SDGs) 14, 56, 242, 244, 436, 441, 483, 492
- tariffs 259, 260, 273, 399, 440, 450, 483, 487, 495, 500, 503
- tariff trade quotas (TRQs) 214
- Technical Barriers to Trade (TBT Agreement), 12; *see also* SPS and TBT Agreements
- trade and environment; circular economy and plastics 246–247; environmental goods and services 244–246; horizons in dispute settlement 254–256; overview 237–238; politics and priorities 240–243; preferential trade agreements (PTAs) 251–254; subsidies reform 247–249; trade-related climate measures 249–251; two cultures 238–240
- Trade and Environmental Sustainability Structured Discussions (TESSD) 12, 237, 243
- Trade Expansion Act (1962) 58
- trade in services; GATS developments, investment facilitation 141–143; GATS' disciplines, domestic regulation 135–136; GATS general approach 132–135; post-GATS developments, domestic regulation 136–140
- Trade in Services Agreement (TiSA) 137
- trade policy review 70
- Trade Policy Review Body (TPRB) 72, 75
- Trade Policy Review Mechanism (TPRM) 75
- Trade Promotion Agreement (TPA) 62
- Trade-Related Aspects of Intellectual Property Rights (TRIPS) Agreement 10–11, 31, 70, 114
- tradification of intellectual property; future aspects 202–206; international intellectual property governance 193–197; label legal pluralism 204; overview 192–193; resistance to 197–202
- Trans-Pacific Partnership (TPP) 201, 271
- transparency 265, 269, 270, 294, 297, 301, 307, 312, 322, 324, 328, 330, 344, 345, 373, 391, 453, 481, 497, 503
- Treaty of Amity 63
- Treaty of Versailles 23
- Trump, Donald 34, 163
- UNCITRAL Model Law on Electronic Commerce (1996) 265
- UN Convention on the Use of Electronic Communications in International Contracts 265
- United Nations Conference on Trade and Development (UNCTAD) 38, 311
- United Nations Convention 251
- United Nations Convention on the Law of the Sea (UNCLOS) 188
- United Nations Framework Convention on Climate Change (UNFCCC) 188, 189, 205, 243
- United Nations Monetary and Financial Conference 25
- United States Department of Commerce (USDOC) 153
- United States–Mexico–Canada Agreement (USMCA) 258, 260–262, 276, 290, 334

- United States Trade Representative (USTR) 193
- UN Trade and Development (UNCTAD)
 - approach 245
- Uruguay Round 30, 31, 70–71, 240
- US-China trade war 163
- US-Japan Digital Trade Agreement (2019) 260
- US-Japan FCN Treaty 52

- Vienna Convention on the Law of Treaties (VCLT)
 - 47, 65, 196, 233

- Washington Consensus 3, 30, 32, 167
- Washington Pact (1935) 180
- WG on Debt and Finance (WGTFD) 73
- WG on Trade and Transfer of Technology (WGTTT) 73
- White, Harry Dexter 25, 26
- World Bank 1, 2, 4, 313, 327, 406, 408, 409, 414, 416, 418, 428, 465, 488, 489, 496–498, 501, 502
- World Health Organization (WHO) 204
- World Intellectual Property Organization (WIPO) 72, 192
- World Trade Organisation (WTO) 2, 31, 38, 50, 84, 100, 114, 130, 174, 192, 207, 223, 237, 257, 259, 435–440; Abu Dhabi Ministerial Conference (2024) 69; accession protocol 152; agreement 11, 33, 71; Anti-Dumping Agreement 162, 170; Appellate Body (AB) 148; BBNJ Treaty 457–458; challenges and opportunities, in 440–443; climate change, Paris Agreement on 454–455; convention on biological diversity 456–457; Convention on International Trade in Endangered Species of Wild Fauna and Flora (CITES) 455; dispute settlement body 73–75; dispute settlement mechanism 82; dispute settlement system 10, 234; food and agriculture 458–459; investment agreement, by 447–449; Kigali Amendment 455–456; members, observers, and civil society 77–78; origins and mandate 70–71; overview 69–70; principles 78–81; regional and bilateral trade 447–454; secretariat 76–77; structure 71–73; sustainable development measures, in 457; sustainable development, on 444–447; trade policy reviews 75–76; trade topics 81–83; unsustainable economic growth and obsolete industries, promote to 449–454
- World Trade Organization (WTO) law; Article XX of GATT (1994) 175–183; chapeau of Article XX of GATT (1994) 185–186; climate change and Article XX 187–189; connection requirements 183–184; extraterritorial jurisdiction 189–191; freedom of trade and other values 174–175; human rights and Article XX 186–187
- World Trade Report* (2023) 65
- WTO Public Forum (PF) 78
- WTO Trade Remedies Data Portal 170

- Xi, Jinping 128